
ERNEST J. WEINRIB

Tort Law
Cases and Materials

FIFTH EDITION





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Tort Law

CASES AND MATERIALS

FIFTH EDITION

Ernest J. Weinrib



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A substantial and a compendious Report of a Case rightly adjudged doth produce three notable Effects. First, it openeth the Understanding of the Reader and Hearer; secondly, it breaketh through Difficulties; and thirdly, it bringeth home, to the Hand of the Studious, Variety of Pleasure and Profit. I say, it doth set open the Window of the Laws, to let in the gladsome Light, whereby the right Reason of the Rule (the Beauty of the Law) may be clearly discerned. It breaketh the thick and hard Shell, whereby with Pleasure and Ease the Sweetness of the Kernel may be sensibly tasted, and adorneth with Variety of Fruits, both pleasant and profitable, the Storehouses of those by whom they were never planted nor watered. Whereunto (in those Cases that be tortuosi and of great Difficulty ...) no one man alone, with all his true and uttermost Labours, nor all the Actors in them, themselves by themselves out of a Court of Justice, nor in Court without solemn Argument (where, I am persuaded, Almighty God openeth and enlargeth the Understanding of the desirous of Justice and Right) could ever have attained unto. For it is one amongst others of the great Honours of the Common Laws, that Cases of great Difficulty are never adjudged or resolved *in tenebris* or *sub silentio suppressis rationibus*; but in open Court, and there upon solemn and elaborate Arguments, first at the Bar by the Counsel learned of either Party ... ; and after at the Bench by the Judges, where they argue ... declaring at large the Authorities, Reasons, and Causes of their Judgements and Resolutions in every such particular case (*habet enim nescio quid energiae viva vox*): a Reverend and Honourable Proceeding in Law, a grateful Satisfaction to the Parties, and a Great Instruction and Direction to the attentive and studious Hearers.

—Sir Edward Coke, *Preface to the Ninth Part of the Reports* (1613)

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PREFACE TO THE FIFTH EDITION

It is a measure of the continuity of this casebook that in each successive edition, the preface consists mainly in the repetition of sentiments expressed in previous prefaces. The aspirations of the casebook have remained the same over the life of its various editions: to treat tort law not merely as a collection of rules but as the repository of contested modes of thinking; to choose (and carefully edit) cases that bring contrasting approaches to bear on the fascinating issues of tort law; to include the most engaging material from throughout the common law world, while giving a faithful picture of tort law in the common law jurisdictions of Canada; and above all, to put into the hands of instructors and students materials that are easy to teach from and fun to learn from. In life, torts are serious and often catastrophic events. But the study of tort law in the classroom, while not downplaying the tragic aspects of tort cases, has to engage students' attention, nourish their legal imaginations, develop both their sympathies and their rational powers, and introduce them to the sheer joy of thinking seriously about law. Millennia ago, Plato stated a powerful pedagogical truth when he declared that seriousness and playfulness are sisters.

Since the previous edition, the common law of torts in Canada has continued to develop its distinctive jurisprudence. Especially significant are new treatments of mental injury, negligent misrepresentation, the duty of care in negligence, and the liability of public authorities. These updates have all been included, as have a miscellany of interesting developments from elsewhere in the common law world. A consultation with instructors who have been using the book at the University of Toronto and elsewhere has also led to the incorporation of some older material. I am grateful to colleagues for their generosity in offering these suggestions. In addition, I have added some cases in which tort law interacts with Canada's Indigenous population. This reflects the decision at the University of Toronto, in the aftermath of the *Report of the Truth and Reconciliation Commission* in 2015, to include in our courses legal material involving First Nations.

As always, I am particularly grateful to my students, year after year, for making the teaching of tort law an unendingly illuminating activity.

December 25, 2018
Toronto

PREFACE TO THE FOURTH EDITION

This edition continues with the pedagogical purposes that have animated this book from its inception: to give students a sense of tort law not merely as a collection of rules, but as the repository of certain modes of thinking. The book reflects my conviction that teachers of tort law have a special responsibility for inducting new law students into the culture of reasoning and justification that makes law a normatively significant and interesting phenomenon. The cases it contains have been selected and edited in order to present contrasting approaches to the adjudicative enterprise; differing solutions to doctrinal issues; and, above all, reasoning that is provocative and engaging. I have tried to collect the most interesting material from the common law world, while of course giving a faithful picture of tort law in common law Canada. To this end, this edition has incorporated recent Canadian developments in nuisance, causation, duty, and the liability of public authorities, as well as adjustments in material that appeared in previous editions. My hope has been to present a casebook that is easy for professors to teach from and exciting for students to learn from.

I am grateful to colleagues using these materials at the University of Toronto and elsewhere, who have generously made suggestions about what should be added, amended, or eliminated. My greatest gratitude continues to be to the students in my classes, who by their insight, enthusiasm, and engagement always confirm the felicity of my decision, made many decades ago, to pursue a career as a teacher of tort law.

*February 9, 2014
Toronto*

PREFACE TO THE THIRD EDITION

The continuing evolution of tort law over the last few years has brought interesting developments both in Canada and in the common law world more generally. Especially noteworthy have been new cases on cause in fact, wrongful birth, nonfeasance, and strict liability. The present edition has incorporated these new developments, while continuing to emphasize the presentation of carefully edited material that might facilitate lively teaching and active student reflection about the role of legal reasoning and about the range of considerations, both juridical and institutional, that appropriately pertain to tort law.

I am grateful to colleagues who have reported their reactions (and those of their students) to the material in previous editions and who have made suggestions about what might be included in a new edition. As always, I owe a special debt to my own students, who allow me to discover tort law afresh every year.

*May 28, 2008
Toronto*

PREFACE TO THE SECOND EDITION

In the six years since the publication of the first edition, tort law in Canada and elsewhere in the common law world has evolved in significant ways. Among the particularly striking developments are those that have dealt with the duty of care, proof of negligence, factual causation, wrongful birth, vicarious liability, and psychiatric harm. The second edition fully incorporates the new material on these issues.

This edition continues the approach adopted in its predecessor volume. The casebook aims to illuminate tort law by including the most interesting judgments from the common law world, and to foster classroom debate by constantly juxtaposing judicial and academic material that offers conflicting views on the issues at hand. The casebook is designed to lay the foundation for a logical and natural progression through the basic building blocks of tort law, to provide an effective introduction to the academic study of tort law, and to encourage students to come to grips with judicial reasoning that underlies the creation and application of legal rules.

I am grateful to my secretary Allyn Whitmore for patiently dealing with successive versions of the casebook; to my colleagues at the University of Toronto and elsewhere who have supplied ideas and suggestions; to the staff at Emond Montgomery for their skill, their professionalism, and their constant reminders about deadlines; and especially to my students, who always make me delight in teaching this subject.

*April 8, 2003
Toronto*

PREFACE TO THE FIRST EDITION

This casebook on torts is the latest version of teaching materials that have been in use at the University of Toronto and elsewhere in Canada for about two decades. This period has witnessed a dramatic flowering of a Canadian jurisprudence of tort law. Those who attended a Canadian law school outside Quebec in the 1960s and 1970s will recall that, although appeals to the Privy Council had been abolished years earlier, the overwhelming preponderance of cases studied were still English, with a mere sprinkling of decisions by the Supreme Court of Canada. Today, in contrast, leading Canadian cases exist on almost every issue of tort law, and these frequently contain arguments and approaches that differ from those found in other common law jurisdictions.

Moreover, during this period, the academic study of tort law has expanded to include not only the elucidation of rules of liability but also the examination of the nature of liability. There is now a rich literature that addresses such fundamental issues as basis of liability, the tension between instrumental and non-instrumental approaches to tort law, the nature of adjudication, the relationship between legal, moral, and economic argument, and the plausibility of seeking comprehensive theories. These theoretical controversies have drawn participants with widely different perspectives: economic analysts, critical legal scholars, feminists, moral philosophers, proponents of corrective justice, and others. And the realization that theoretical argument about tort law has implications for our conceptions of the legal order more generally has served to confirm the pedagogical importance of tort law as a basic subject within the law school curriculum.

The materials in this collection reflect these developments. Of course, a casebook intended for use in Canadian law schools must present the legal doctrines that have emerged in the common law jurisdictions of Canada. In addition, however, the casebook attempts to facilitate a critical understanding and appreciation of tort law as a distinctive mode of legal ordering. Accordingly, the cases have been edited to exhibit not only the conclusion but also the essential steps in the court's reasoning. Historically important or conceptually interesting cases from elsewhere in the common law world have been included, both to provide the opportunity for comparison and to stimulate reflection about the nature of the common law and its relation to particular social conditions. Academic writings from various perspectives have been introduced, so that students can begin to develop a sense of how different theoretical and doctrinal standpoints bear on the treatment and understanding of specific issues. To foster an attitude of active and critical consideration rather than passive and inert reception, the casebook frequently juxtaposes competing conceptions, modes of reasoning, and methodologies. My principle of selection for the material has been straightforward: when alternatives were available, I have always chosen what was intellectually the most engaging, had the most far-reaching implications, and was the most lucidly or provocatively formulated. Above all, the casebook attempts to encourage students to regard the study of tort law as an intellectual exercise of the highest order, spanning practice and theory, the particular and the general, the serious and the playful.

I am grateful to Peter Benson and Stephen Perry, who as students years ago worked on an early version of these materials; to my secretary Ellen Downer, who prepared the manuscript with her usual diligence and dedication; to Boo Thompson of the University of Toronto Bora Laskin Law Library, who provided valuable reference assistance; to the staff of Emond Montgomery, whose skill and professionalism allowed the transition from in-house materials to

published casebook to be relatively painless; and—most of all—to generations of wonderful first-year law students at the University of Toronto, who have been my indispensable and constant collaborators.

June 20, 1997
Toronto

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CHAPTER ONE

NUISANCE

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A nuisance can be defined as an interference with the use and enjoyment of land. The law of nuisance is the way the common law elaborates the rights and duties that govern the relations between neighbours. Thus, in this chapter, we will read cases in which plaintiffs allege that they are being wronged by defendants who are doing such things as emitting offensive smells or disturbing noises.

The facts in these cases are fairly simple and easily understood, but they give rise to questions that are fundamental to the law of torts: What is it for one person to be wronged by another? Assuming that a wrong has been committed, what remedy should be awarded to the plaintiff? What sort of reasoning supports or ought to support the plaintiff's claim? How significant is it that issues concerning the legitimate use of land are being adjudicated by courts rather than settled by legislation or by municipal by-laws? What constraints are courts subject to in dealing with these issues?

Most of the material in this chapter consists of the opinions of judges giving their reasons for deciding particular cases. While reading this material, constantly ask yourself whether you agree with what the judge is saying. In offering us reasons, the judge is, as it were, inviting us to assess the reasons' soundness. Pay attention to what sort of considerations count as reasons for the judge, and try to decide whether the reasons given are persuasive, whether reasons given in one case are consistent with those given in another, and whether considerations that were not mentioned ought to have played a role. Also reflect on whether the decisions reached are in accord with your sense of justice, and whether (or how) justice matters for law.

This chapter is introductory in that it is intended as the occasion for asking simple but fundamental questions about the nature of a civil wrong. It is also introductory in that it introduces different ways of thinking about torts. For instance, some scholars have proposed that we should think of the law of nuisance as a way of promoting desirable policies such as economic efficiency. Some of the material in this section explores this approach and contrasts it to an approach that emphasizes the rights of the parties.

The broad questions that arise in this chapter are difficult ones that, of course, will not be settled by the time you reach the end of it. Rather, the chapter sets the stage for further consideration of these questions in the chapters that follow.

I. THE GROUNDS OF LIABILITY

APPLEBY V ERIE TOBACCO CO

(1910), 22 OLR 533 (Div Ct)

MIDDLETON J (for the court): Appeal from judgment of the Chancellor dismissing an action to restrain a nuisance.

The nuisance complained of is the odour arising from the manufacture of tobacco on the defendants' premises. The odour from the tobacco arises chiefly from the processes of steaming, steeping, and stewing which it undergoes, and the boiling of sugar, licorice, and other ingredients with which it is mixed before it is reduced to "plug tobacco" ready for the market. These odours cannot be prevented if the manufacture is to go on, and, upon the evidence, the defendants appear to be doing their best to prevent injury to their neighbours.

Many witnesses were called for the plaintiff who describe the odour as a "most sickening smell," "a very bad smell," "very, very offensive," and "very nauseating." Some say that it produces vertigo and dizziness, others nausea and headache. Some do not find any evil result beyond that incident to the disagreeable nature of the odour.

The defendants produce a number of witnesses, many of whom say that the odour is "not unhealthy"; others say that it "does not affect" them; and one enthusiastic lover of the weed describes it as "just splendid."

Upon the whole evidence, there can be no doubt that there is a strong odour that to many, if not most, is extremely disagreeable.

In *Fleming v. Hislop* (1886), 11 App. Cas. 686 the standard set by Knight Bruce V-C in *Walter v. Selfe* (1851), 4 DeG&S 315, is accepted by the Lords. In the older case the defendant was a brickmaker. The smoke was complained of. The Vice-Chancellor says (p. 322): "Ought this inconvenience to be considered in fact as more than fanciful, more than one of mere delicacy or fastidiousness, as an inconvenience materially interfering with the ordinary comfort physically of human existence, not merely according to the elegant or dainty modes and habits of living, but according to plain and sober and simple notions among the English people? ... As far as the human frame in an average state of health at least is concerned, mere insalubrity, mere unwholesomeness, may possibly ... be out of the case A smell may be sickening though not in a medical sense A man's body may be in a state of chronic discomfort, still retaining its health The defendant's intended proceedings will, if prosecuted, abridge and diminish seriously and materially the ordinary comfort of existence to the occupier and inmates of the plaintiffs' house."

In *Fleming v. Hislop*, 11 App. Cas. at p. 691, the Earl of Selborne states his view of the law thus: "What causes material discomfort and annoyance for the ordinary purposes of life to a man's house or to his property, is to be restrained ... although the evidence does not go to the length of proving that health is in danger." Lord Halsbury, at p. 697, states what is substantially the same thing: "What makes life less comfortable and causes sensible discomfort and annoyance is a proper subject of injunction."

Now, it is to be borne in mind that an arbitrary standard cannot be set up which is applicable to all localities. There is a local standard applicable in each particular district, but, though the local standard may be higher in some districts than in others, yet the question in each case ultimately reduces itself to the fact of nuisance or no

nuisance, having regard to all the surrounding circumstances. This is shown by the often-quoted passage in Lord Halsbury's judgment in *Colls v. Home and Colonial Stores Limited*, [1904] AC 179, at p. 185: "A dweller in towns cannot expect to have as pure air, as free from smoke, smell, and noise as if he lived in the country, and distant from other dwellings, and yet an excess of smoke, smell and noise may give a cause of action, but in each of such cases it becomes a question of degree, and the question is in each case whether it is a nuisance which will give a right of action."

In *Rushmer v. Polsue and Alfieri Limited*, [1906] 1 Ch. 234, [1907] AC 121, this principle is applied to the case of a printing office established in a neighbourhood devoted to printing, next door to the plaintiff's residence and which rendered sleep impossible. Cozens Hardy LJ ... sums up the situation in a way that commended itself to the Lords. It was, he says, contended "that a person living in a district specially devoted to a particular trade cannot complain of any nuisance by noise caused by the carrying on of any branch of that trade without carelessness and in a reasonable manner. I cannot assent to this argument. A resident in such a neighbourhood must put up with a certain amount of noise. The standard of comfort differs according to the situation of the property and the class of people who inhabit it But whatever the standard of comfort in a particular district may be, I think the addition of a fresh noise caused by the defendant's works may be so substantial as to cause a legal nuisance. It does not follow that because I live, say, in the manufacturing part of Sheffield, I cannot complain if a steam-hammer is introduced next door, and so worked as to render sleep at night almost impossible, although previous to its introduction my house was a reasonably comfortable abode, having regard to the local standard; and it would be no answer to say that the steam-hammer is of the most modern approved pattern and is reasonably worked. In short ... it is no answer to say that the neighbourhood is noisy, and that the defendant's machinery is of first-class character."

This case, as is shewn by this extract, puts an end to the controversy upon the question whether the reasonableness of the defendants' user of their own premises affects the plaintiff's rights. Kekewich J, in *Reinhardt v. Montasti* (1889), 42 Ch. D 685, carefully reviews the cases and concludes that it does not.

It is plain, in this case, that the defendants' manufactory does constitute a nuisance. The odours do cause material discomfort and annoyance and render the plaintiff's premises less fit for the ordinary purposes of life, even making all possible allowances for the local standard of the neighbourhood

The remaining question is: must an injunction follow? ... The working rule, stated by A.L. Smith LJ, in *Shelfer v. City of London Electric Light Co.*, [1895] 1 Ch. 287, at p. 322, as defining the cases in which damages may be given in lieu of an injunction, shews that here an injunction is the proper remedy. No one should be called upon to submit to the inconvenience and annoyance arising from a noxious and sickening odour for a "small money payment," and the inconvenience and annoyance cannot be adequately "estimated in money." The cases in which damages can be substituted for an injunction sought to abate a nuisance of the first class must be exceedingly rare.

The injunction should, therefore, go, restraining the defendants from so operating their works as to cause a nuisance to the plaintiff by reason of the offensive odours arising from the manufacture of tobacco: the operation of this injunction to be stayed for six months to allow the defendants to abate the nuisance if they can do so, or to make arrangements for the removal of that part of the business causing the odour.

QUESTIONS

1. What are the factors to which the court refers in determining that the defendant has committed a nuisance? Do you think that the factors are relevant to a just resolution of this case? Why, for instance, is a local standard relevant? If this particular plaintiff is suffering, why should it matter whether there might be others who are similarly situated?
2. Can you think of any factors that are not mentioned by the court, but which ought to be relevant?
3. Should the plaintiff have recovered if the factory had not caused discomfort, but had lowered the value of his property?
4. If the plaintiff's right is being infringed, why does he have to put up with it for another six months?
5. Why does the court favour the interests of the plaintiff over the interests of the defendant? Do the "reasons" given by the judge supply any reasons for preferring the plaintiff? If they do not, what is the value of the judge's reasons? Would anything be lost if the judge declared that his decision had been determined by a flip of the coin?

ROGERS V ELLIOTT

146 Mass 349, 15 NE 768 (SJC 1888)

[The defendant, who was in charge of a church in a small town, regularly had the church bell rung several times a day. The plaintiff was recovering from sunstroke and suffered convulsions that his doctor attributed to the noise from the bell. The defendant refused the plaintiff's request not to ring the bells, and the plaintiff sued for the damage that the noise was causing him.]

KNOWLTON J: The defendant was the custodian and authorized manager of property of the Roman Catholic Church used for religious worship. The acts for which the plaintiff seeks to hold him responsible were done in the use of this property, and the sole question before us is whether or not that use was unlawful. The plaintiff's case rests upon the proposition that the ringing of the bell was a nuisance. The consideration of this proposition involves an inquiry into what the defendant could properly do in the use of the real estate which he had in charge, and what was the standard by which his rights were to be measured.

It appears that the church was built upon a public street in a thickly settled part of the town ...

In an action of this kind, a fundamental question is, by what standard, as against the interests of a neighbor, is one's right to use his real estate to be measured. In densely populated communities the use of property in many ways which are legitimate and proper necessarily affects in greater or less degree the property or persons of others in the vicinity. In such cases the inquiry always is, when rights are called in question, what is reasonable under the circumstances. If a use of property is objectionable solely on account of the noise which it makes, it is a nuisance, if at all, by reason of its effect upon the health or comfort of those who are within hearing. The right to make a noise for a proper purpose must be measured in reference to the degree of annoyance which others may reasonably be required to submit to. In connection with the importance of the business from which it proceeds, that must be determined by the effect of noise upon people generally, and not upon those, on the one hand, who are peculiarly susceptible to it, or those, on the other, who by long experience have learned to endure it without inconvenience; not upon those whose strong nerves and robust health enable them to endure the greatest disturbances

without suffering, nor upon those whose mental or physical condition makes them painfully sensitive to everything about them.

If one's right to use his property were to depend upon the effect of the use upon a person of peculiar temperament or disposition, or upon one suffering from an uncommon disease, the standard for measuring it would be so uncertain and fluctuating as to paralyze industrial enterprises. The owner of a factory containing noisy machinery, with dwelling houses all about it, might find his business lawful as to all but one of the tenants of the houses, and as to that one, who dwelt no nearer than the others, it might be a nuisance. The character of his business might change from legal to illegal, or illegal to legal, with every change of tenants of an adjacent estate, or with an arrival or departure of a guest or boarder at a house near by; or even with the wakefulness or the tranquil repose of an invalid neighbor on a particular night. Legal rights to the use of property cannot be left to such uncertainty. When an act is of such a nature as to extend its influence to those in the vicinity, and its legal quality depends upon the effect of that influence, it is as important that the rightfulness of it should be tried by the experience of ordinary people, as it is, in determining a question as to negligence, that the test should be the common care of persons of ordinary prudence, without regard to the peculiarities of him whose conduct is on trial.

In the case at bar it is not contended that the ringing of the bell for church services in the manner shown by the evidence materially affected the health or comfort of ordinary people in the vicinity, but the plaintiff's claim rests upon the injury done him on account of his peculiar condition. However his request should have been treated by the defendant upon considerations of humanity, we think he could not put himself in a place of exposure to noise, and demand as of legal right that the bell should not be used.

The plaintiff, in his brief, concedes that there was no evidence of express malice on the part of the defendant, but contends that malice was implied in his acts. In the absence of evidence that he acted wantonly, or with express malice, this implication could not come from his exercise of his legal rights. How far and under what circumstances malice may be material in cases of this kind, it is unnecessary to consider.

Judgment on the verdict.

QUESTIONS

1. Does the judge disbelieve the plaintiff's claim that his convulsions were caused by the ringing of the church bell? If the judge accepts the plaintiff's story that the defendant was causing him harm, why does the plaintiff not win?
2. The court reasons that a fluctuating standard would "paralyze industrial enterprises." Is the defendant here in an industrial enterprise? Does it matter that the defendant operated a church bell? Was the ringing of the church bell under these circumstances a Christian thing to do? Should it matter to the law whether the defendant acted in a Christian manner? Would the legal situation be any different if the noise was generated by an eccentric or minority religious group that had few followers in the local community?
3. Who do you think suffered more, the plaintiff in *Appleby* or the plaintiff in *Rogers*?
4. As you read the chapter, think about whether the other cases substantiate the judge's contention that property rights should not be subject to sudden fluctuations.
5. Should it matter whether the defendant was motivated by a desire to harm the plaintiff?

In *The Mayor, etc of Bradford v Pickles*, [1895] AC 587 (HL), the plaintiffs owned some land beneath which were large water springs that they used, for over 40 years, to supply the town of Bradford with water. The plaintiffs' land was the lower part of a hillside, and above it was a tract

of land owned by the defendant. Beneath the defendant's tract there was a natural reservoir for subterranean water and normally this water flowed, but not in a defined stream, underground down to the plaintiffs' land and filled their springs. The defendant decided to sink a shaft in his own land to change the flow of the underground water. This reduced the amount of water that flowed down to the plaintiffs' springs. The plaintiffs alleged that the defendant's sole motive was to injure the plaintiffs and force them either to buy the defendant's land or pay him for the water they required. The plaintiffs sought an injunction to stop the defendant from continuing his work. The House of Lords refused to grant an injunction. After referring to an earlier case that held that an owner of land had a right to sink a well on his own premises and thereby abstract the subterranean water percolating through his own soil, which would otherwise by force of gravity have found its way into the plaintiff's spring, Lord Halsbury LC observed:

If it was a lawful act, however ill the motive might be, he had a right to do it. If it was an unlawful act, however good his motive might be, he would have no right to do it. But I am not prepared to accept Lindley LJ's view of the moral obliquity of the person insisting on his right when that right is challenged ... I see no reason why he should not insist on their purchasing his interest.

Contrast *Bradford v Pickles* with *Hollywood Silver Fox Farm Ltd v Emmett*, [1936] 2 KB 408 (CA), where the plaintiff company carried on the business of breeding silver foxes on its land. During the breeding season, the vixens are nervous and liable, if disturbed, to refuse to breed, to miscarry, or to kill their young. The defendant was an adjoining landowner who, as a result of a dispute with the plaintiffs, made his son discharge guns on his own land as near as possible to the breeding pens for the sole purpose of injuring the plaintiff's business by interfering with the foxes' breeding. The plaintiffs sought an injunction to restrain the defendant's acts. The defendant, relying on *Bradford*, argued that (1) because the plaintiffs' business required an extraordinary degree of quiet, they could not prevent the defendant from using his land in a way that would not be a nuisance apart from the special use to which the plaintiffs put their land, and (2) as proprietor the defendant had a right to shoot on his own land, and his intentions were irrelevant in that they could not make a lawful act unlawful. The court granted the injunction and held that, in an action for nuisance by noise, the motive of the noisemaker must be considered in determining whether he was using his property in a legitimate and reasonable manner. The court cited the following sentences from a previous case: "No proprietor has an absolute right to create noises upon his own land, because any right which the law gives him is qualified by the condition that it must not be exercised to the nuisance of his neighbours or of the public. If he violates that condition he commits a legal wrong, and if he does so intentionally he is guilty of a malicious wrong in its strict legal sense." The court then concluded that "the decision of the House of Lords in *Bradford Corporation v. Pickles* has no bearing in cases such as this."

**FONTAINEBLEAU HOTEL CORP
V FORTY-FIVE TWENTY-FIVE, INC**
114 So 2d 357 (Fla Dist CA 1959)

PER CURIAM: This is an interlocutory appeal from an order temporarily enjoining the appellants from continuing with the construction of a fourteen-story addition to the Fontainebleau Hotel, owned and operated by the appellants. Appellee, plaintiff below, owns the Eden Roc Hotel, which was constructed in 1955, about a year after the Fontainebleau, and adjoins the Fontainebleau on the north. Both are luxury hotels, facing the Atlantic Ocean. The proposed addition to the Fontainebleau is being constructed twenty feet from its north property line, 130 feet from the mean high water mark of the Atlantic Ocean, and 76 feet 8 inches from the ocean bulkhead line.

The 14-story tower will extend 160 feet above grade in height and is 416 feet long from east to west. During the winter months, from around two o'clock in the afternoon for the remainder of the day, the shadow of the addition will extend over the cabana, swimming pool, and sunbathing areas of the Eden Roc, which are located in the southern portion of its property.

In this action, plaintiff-appellee sought to enjoin the defendants-appellants from proceeding with the construction of the addition to the Fontainebleau (it appears to have been roughly eight stories high at the time suit was filed), alleging that the construction would interfere with the light and air on the beach in front of the Eden Roc and cast a shadow of such size as to render the beach wholly unfitted for the use and enjoyment of its guests, to the irreparable injury of the plaintiff; further, that the construction of such addition on the north side of defendants' property, rather than the south side, was actuated by malice and ill will on the part of the defendants' president toward the plaintiff's president

The chancellor heard considerable testimony on the issues made by the complaint and the answer and, as noted, entered a temporary injunction restraining the defendants from continuing with the construction of the addition. His reason for so doing was stated by him, in a memorandum opinion, as follows:

In granting the temporary injunction in this case the Court wishes to make several things very clear. The ruling is ... based solely on the proposition that no one has a right to use his property to the injury of another. In this case it is clear from the evidence that the proposed use by the Fontainebleau will materially damage the Eden Roc. There is evidence indicating that the construction of the proposed annex by the Fontainebleau is malicious or deliberate for the purpose of injuring the Eden Roc, but it is scarcely sufficient, standing alone, to afford a basis for equitable relief.

This is indeed a novel application of the maxim *sic utere tuo ut alienum non laedas*. This maxim does not mean that one must never use his own property in such a way as to do any injury to his neighbor. *Beckman v. Marshall*, Fla. 1956, 85 So. 2d 552. It means only that one must use his property so as not to injure the lawful rights of another. *Cason v. Florida Power Co.*, 74 Fla. 1, 76 So. 535, LRA 1918A, 1034. In *Reaver v. Martin Theatres*, Fla. 1951, 52 So. 2d 682, 683, 25 ALR 2d 1451, under this maxim, it was stated that "it is well settled that a property owner may put his own property to any reasonable and lawful use, so long as he does not thereby deprive the adjoining landowner of any right of enjoyment of his property *which is recognized and protected by law, and so long as his use is not such a one as the law will pronounce a nuisance.*" [Emphasis supplied.]

No American decision has been cited, and independent research has revealed none, in which it has been held that—in the absence of some contractual or statutory obligation—a landowner has a legal right to the free flow of light and air across the adjoining land of his neighbor. Even at common law, the landowner had no legal right, in the absence of an easement or uninterrupted use and enjoyment for a period of 20 years, to unobstructed light and air from the adjoining land. *Blumberg v. Weiss*, 1941, 129 NJ Eq. 34, 17 A2d 823; 1 Am.Jur., *Adjoining Landowners*, § 51. And the English doctrine of "ancient lights" has been unanimously repudiated in this country

There being, then, no legal right to the free flow of light and air from the adjoining land, it is universally held that where a structure serves a useful and beneficial purpose, it does not give rise to a cause of action, either for damages or for an injunction under the maxim *sic utere tuo ut alienum non laedas*, even though it causes injury to another by cutting off the light and air and interfering with the view that would otherwise be available over adjoining land in its natural state, regardless of the fact that the structure may have been erected partly for spite

We see no reason for departing from this universal rule. If, as contended on behalf of plaintiff, public policy demands that a landowner in the Miami Beach area refrain from constructing buildings on his premises that will cast a shadow on the adjoining premises, an amendment of its comprehensive planning and zoning ordinance, applicable to the public as a whole, is the means by which such purpose should be achieved. But to change the universal rule—and the custom followed in this state since its inception—that adjoining landowners have an equal right under the law to build to the line of their respective tracts and to such a height as is desired by them (in absence, of course, of building restrictions or regulations) amounts, in our opinion, to judicial legislation. As stated in *Musumeci v. Leonardo*, supra [77 RI 255, 75 A2d 177], “So use your own as not to injure another’s property is, indeed, a sound and salutary principle for the promotion of justice, but it may not and should not be applied so as gratuitously to confer upon an adjacent property owner incorporeal rights incidental to his ownership of land which the law does not sanction.” ...

Since it affirmatively appears that the plaintiff has not established a cause of action against the defendants by reason of the structure here in question, the order granting a temporary injunction should be and it is hereby reversed with directions to dismiss the complaint.

NOTES AND QUESTIONS

1. Do you agree with the result in this case? What is the correct translation of the Latin maxim that the court says must be applied? Does it matter?

2. The court distinguishes between a property use that injures one’s neighbour and a property use that injures the rights of one’s neighbour. Does this mean that there is no right not to be injured? How does the court decide whether there has been an interference with the plaintiff’s rights? In particular, how does a court decide that there has been an interference with the plaintiff’s rights in *Appleby* but not in *Fontainebleau*?

3. Compare the reasoning of *Fontainebleau* with that in *Bryant v Lefever*, 4 CPD 172 (1879):

The plaintiff and the defendants were occupiers of adjoining houses, which were of about the same height. Before 1876 the plaintiff was able to light a fire in any room of his house without the chimneys smoking; the two houses had remained in the same condition some thirty or forty years. In 1876 the defendants took down their house, and began to rebuild it. They carried up a wall by the side of the plaintiff’s chimneys much beyond its original height, and stacked timber on the roof of their own house, and thereby caused the plaintiff’s chimneys to smoke whenever he lighted fires ... The jury found in substance ... that the erection of the defendants’ wall sensibly and materially interfered with the comfort of human existence in the plaintiff’s premises. They assessed the damages at £40 ... The defendants appealed ...

BRAMWELL LJ: No doubt there is a nuisance, but it is not of the defendants’ causing. They have done nothing in causing the nuisance. Their house and their timber are harmless enough. It is the plaintiff who causes the nuisance by lighting a coal fire in a place the chimney of which is placed so near the defendants’ wall, that the smoke does not escape, but comes into the house. Let the plaintiff cease to light his fire, let him move his chimney, let him carry it higher, and there would be no nuisance. Who, then, causes it? It would be very clear that the plaintiff did, if he had built his house or chimney after the defendants had put up the timber on theirs, and it is really the same, though he did so before the timber was there. But (what is in truth the same answer), if the defendants cause the nuisance, they have a right to do so. If the plaintiff has not the right to the passage of air, except subject to the defendants’ right to build or put timber on their house, then his right is subject to their right, and though a nuisance follows from the exercise of their right, they are not liable. “*Sic utere tuo ut alienum non laedas*” is a good maxim, but in our opinion the defendants do not infringe it: the plaintiff would if he succeeded ... Judgment for the defendants.

4. That one does not have a right to a view has been trite law since *Aldred's Case* (1619), 77 ER 816 at 821, where Wray CJ said that "for prospect which is a matter of delight and not of necessity, no action lies for stopping thereof, and yet it is a great commendation of a house that has a long and large prospect But the law does not give an action for such things of delight."

5. Contrast *Fontainebleau with Prah v Maretti*, 321 NW 2d 182 (Wisc SC 1982):

This appeal ... present[s] an issue of first impression, namely, whether an owner of a solar-heated residence states a claim upon which relief can be granted when he asserts that his neighbor's proposed construction of a residence (which conforms to existing deed restrictions and local ordinances) interferes with his access to an unobstructed path for sunlight across the neighbor's property

We consider first whether the complaint states a claim for relief based on common law private nuisance. This state has long recognized that an owner of land does not have an absolute or unlimited right to use the land in a way which injures the rights of others. The rights of neighboring landowners are relative; the uses by one must not unreasonably impair the uses or enjoyment of the other. [Footnote: In *Abdella v. Smith*, 34 Wis. 2d 393, at 399; 149 NW 2d 537 (1967), this court quoted with approval Dean Prosser's description of the judicial balancing of the reciprocal rights and privileges of neighbors in the use of their land: "Most of the litigation as to private nuisance has dealt with the conflicting interests of landowners and the question of the reasonableness of the defendant's conduct: The defendant's privilege of making a reasonable use of his own property for his own benefit and conducting his affairs in his own way is no less important than the plaintiff's right to use and enjoy his premises. The two are correlative and interdependent, and neither is entitled to prevail entirely, at the expense of the other. Some balance must be struck between the two. The plaintiff must be expected to endure some inconvenience rather than curtail the defendant's freedom of action, and the defendant must so use his own property that he causes no unreasonable harm to the plaintiff. The law of private nuisance is very largely a series of adjustments to limit the reciprocal rights and privileges of both. In every case the court must make a comparative evaluation of the conflicting interests according to objective legal standards, and the gravity of the harm to the plaintiff must be weighed against the utility of the defendant's conduct." Prosser, *Law of Torts*, sec. 89, p. 596 (2d ed. 1971) (Citations omitted)]

This court's reluctance in the nineteenth and early part of the twentieth century to provide broader protection for a landowner's access to sunlight was premised on three policy considerations. First, the right of landowners to use their property as they wished, as long as they did not cause physical damage to a neighbor, was jealously guarded Second, sunlight was valued only for aesthetic enjoyment or as illumination. Since artificial light could be used for illumination, loss of sunlight was at most a personal annoyance which was given little, if any, weight by society. Third, society had a significant interest in not restricting or impeding land development.

These three policies are no longer fully accepted or applicable. They reflect factual circumstances and social priorities that are now obsolete. First, society has increasingly regulated the use of land by the landowner for the general welfare Second, access to sunlight has taken on a new significance in recent years. In this case the plaintiff seeks to protect access to sunlight, not for aesthetic reasons or as a source of illumination but as a source of energy. Access to sunlight as an energy source is of significance both to the landowner who invests in solar collectors and to a society which has an interest in developing alternative sources of energy. [Footnote: State and federal governments are encouraging the use of the sun as a significant source of energy In this state the legislature has granted tax benefits to encourage the utilization of solar energy The federal government has also recognized the importance of solar energy and currently encourages its utilization by means of tax benefits, direct subsidies and government loans for solar projects.] Third, the policy of favoring unhindered private development in an expanding economy is no longer in harmony with the realities of our society The need for easy and rapid development is not as great today

as it once was, while our perception of the value of sunlight as a source of energy has increased significantly. Courts should not implement obsolete policies that have lost their vigor over the course of the years. The law of private nuisance is better suited to resolve landowners' disputes about property development in the 1980s than is a rigid rule which does not recognize a landowner's interest in access to sunlight ...

Private nuisance law, the law traditionally used to adjudicate conflicts between private landowners, has the flexibility to protect both a landowner's right of access to sunlight and another landowner's right to develop land. Private nuisance law is better suited to regulate access to sunlight in modern society and is more in harmony with legislative policy and the prior decisions of this court than is an inflexible doctrine of non-recognition of any interest in access to sunlight across adjoining land.

We therefore hold that private nuisance law ... is applicable to the instant case. Recognition of a nuisance claim for unreasonable obstruction of access to sunlight will not prevent land development or unduly hinder the use of adjoining land. It will promote the reasonable use and enjoyment of land in a manner suitable to the 1980s. That obstruction of access to light might be found to constitute a nuisance in certain circumstances does not mean that it will be or must be found to constitute a nuisance under all circumstances. The result in each case depends on whether the conduct complained of is unreasonable.

Accordingly we hold that the plaintiff in this case has stated a claim under which relief can be granted.

6. Is there any difference in principle between the facts of *Fontainebleau* and the following situations? If you had been on the court, how would you have decided these cases?

a. The defendant builds a grain silo that interferes with the flight path from the runway of the plaintiff airport.

b. *TH Critelli Ltd v Lincoln Trusts and Savings Co* (1978), 86 DLR (3d) 724 (Ont H Ct J): By increasing the height of its building, the defendant created a lee that caused more snow to accumulate on the roof of the plaintiff's adjacent building, imposing on the plaintiff the expense of reinforcing the roof. In holding for the plaintiff, Grange J remarked: "There is in my view, in such cases as this, a good deal of advantage in being there first. In the case at bar the plaintiff constructed its building taking reasonable precautions and reasonably not expecting a building such as the defendant's as its immediate and adjacent neighbour. The defendant Lincoln Trust on the other hand knew before construction of the existence of the plaintiff's building and that the planned construction would inevitably cause damage. Surely it was incumbent on Lincoln Trust to take steps to prevent that damage."

c. *Hunter v Canary Wharf Ltd*, [1997] 2 All ER 426 (HL): The defendants erected a tall building between the television transmitter and the plaintiffs' homes, thus interfering with television reception. The court dismissed the plaintiffs' action. Lord Goff stated:

[I]n the absence of an easement, more is required than the mere presence of a neighbouring building to give rise to an actionable private nuisance. Indeed, for an action in private nuisance to lie in respect of interference with the plaintiff's enjoyment of his land, it will generally arise from something emanating from the defendant's land. Such an emanation may take many forms—noise, dirt, fumes, a noxious smell, vibrations, and suchlike. Occasionally, activities on the defendant's land are in themselves so offensive to neighbours as to constitute an actionable nuisance, as in *Thompson-Schwab v Costaki* [1956] 1 All ER 652, [1956] 1 WLR 335, where the sight of prostitutes and their clients entering and leaving neighbouring premises were held to fall into that category. Such cases must, however, be relatively rare.

7. Do you derive any assistance from the following extract from *Hay v Cohoes Co*, 2 NY 159 (1849), a case in which the defendant was held liable for damage caused by blasting while excavating a canal?

It is an elementary principle with reference to private rights, that every individual is entitled to the undisturbed possession and lawful enjoyment of his own property. The mode of enjoyment is necessarily limited by the rights of others—otherwise it might be made destructive of their rights altogether. Hence the maxim *sic utere tuo, &c.* The defendants had the right to dig the canal. The plaintiff had the right to the undisturbed possession of his property. If these rights conflict, the former must yield to the latter, as the more important of the two, since, upon grounds of public policy, it is better that one man should surrender a particular use of his land than that another should be deprived of the beneficial use of his property altogether, which might be the consequence if the privilege of the former should be wholly unrestricted. The case before us illustrates this principle. For if the defendants in excavating their canal, in itself a lawful use of their land, could, in the manner mentioned by the witness, demolish the stoop of the plaintiff with impunity, they might, for the same purpose, on the exercise of reasonable care, demolish his house, and thus deprive him of all use of his property.

SHUTTLEWORTH V VANCOUVER GENERAL HOSPITAL

[1927] 2 DLR 573 (BCSC)

MURPHY J: Defendants, who for many years have carried on the Vancouver Civic Hospital, a very large institution, have within the past year erected on Block 418, which they own and which is the adjoining block to that on which the main hospital stands, an infectious diseases hospital. It is intended to treat therein all communicable diseases other than smallpox, plague and venereal diseases. This hospital was opened in its entirety three or four days before the trial of this action though portions of it had been used for some time.

The building is a reinforced concrete structure. It is hereinafter referred to as the Isolation Hospital. It extends almost from street to street through the centre of the block. One end faces on 13th Ave. Plaintiff's private dwelling also faces on 13th Ave. on the opposite side of the street and is directly across from the south end of the Isolation Hospital. The distance between the two from their nearest points is roughly 110 ft. From the upper storey windows of plaintiff's dwelling, it is possible to look into some of the Isolation Hospital rooms and see what is going on therein though the patients in their cots cannot be seen as the cots are placed by the windows and the lower portion of these are painted. Plaintiff alleges the Isolation Hospital to be a nuisance and asks for an injunction or in the alternative, damages. The action is one of the class termed *quia timet* actions and is brought, not so much to obtain relief against wrongs already committed, by which the plaintiff has suffered actual damage, as to protect him from damage which he has reason to fear will be the result of the operation of the Isolation Hospital. The requirements for success in this action are I think, set out by Fitz Gibbon LJ in *AG v. Rathmines, etc., Hosp. Bd.*, [1904] 1 IR 161, at pp. 171-2:—"To sustain the injunction, the law requires proof by the plaintiff of a well-founded apprehension of injury—proof of actual and real danger—a strong probability, almost amounting to moral certainty, that if the Hospital be established, it will be an actionable nuisance. A sentiment of danger and dislike, however natural and justifiable—certainty that the Hospital will be disagreeable and inconvenient—proof that it will abridge a man's pleasure, or make him anxious—the inability of the Court to say that no danger will arise—none of these, even accompanied by depreciation of property will discharge the burden of proof which rests on the plaintiff, or can justify a precautionary injunction, restraining an owner's use of his own land upon the ground of apprehended nuisance to his neighbours." ...

Plaintiff bases his allegation that the Isolation Hospital will be a nuisance on three grounds. First, he says the crying of child patients will make it such. As to this,

it is sufficient to say that the proper time to seek redress will be when the fact is established. Conceivably the collection in one place near a private dwelling of a number of sick children, who simultaneously, at frequent intervals, engage in violent crying, which is heard by persons occupying such private dwelling, may constitute an actionable nuisance. But there is no proof here that this will occur. There may be no great number of sick children in the Isolation Hospital at any one time. If there are they may not make sufficient disturbance to occasion an actionable nuisance. They may be so distributed in this large substantial building that plaintiff may not hear any crying—or, at any rate, crying sufficient to constitute an actionable nuisance.

The next ground put forward by the plaintiff is based on the fact above stated, that a person can, from the upper storey of plaintiff's house, see into some of the Isolation Hospital rooms. If I understand the matter aright, the contention based on this is, that inmates of plaintiff's house will have their sympathy for human suffering constantly aroused by this view to such a degree as to seriously interfere with their comfort and enjoyment of life. If it exists such susceptibility to sympathy for human suffering is doubtless admirable. People of coarser fibre might think that since, according to the experience of humanity up to the present, human disease and consequent suffering is inevitable, susceptibility to sympathy therefor would more likely be soothed than exacerbated by a view showing that every effort was being made to alleviate such suffering. Gross minds might even suggest that the true foundation of such susceptibility was a subconscious desire to mulct the hospital authorities in damages or by the obtaining of an injunction to force them to buy property at a high price. But whatever be the proper deduction, the law, as above stated, is clear that proof of the existence of objection based on sentiment will not give plaintiff a cause of action.

The point of substance in plaintiff's case is that there is danger of infection to members of his household from the existence or operation of the Isolation Hospital. The *Rathmines* case, *supra*; *Fleet v. Metropolitan Asylums Bd.*, 2 Times LR 361; *AG v. Nottingham Corp.*, [1904] 1 Ch. 673; *AG v. Guildford, etc., Hosp. Bd.* (1895), 12 Times LR 54, and other cases show that the onus is on plaintiff to prove a well-founded apprehension of injury, proof of actual and real danger. What plaintiff has in fact done is to call evidence to show that members of his household and his neighbours entertain a real fear of such infection. I am quite prepared to believe they do. He has also sought to establish, mainly by cross-examination, that fear of infection from an Isolation Hospital, given the facts as to proximity proven herein, is widely held by people in general and even by members of the medical profession. No direct testimony that medical men do entertain such fear was led by him. Again, I am prepared to accept the contention that such fear under the given conditions would be widely entertained by laymen. In the absence of direct testimony, I cannot impute belief of the likelihood of infection to members of the plaintiff's household to any qualified physician. But the cases cited show plaintiff must go further and prove not only widespread belief but that such belief must be well founded in fact. He has failed to adduce such proof ...

Evidence was led by plaintiff to show that, in the opinion of real estate men, the value of plaintiff's property has been depreciated by the erection of the Isolation Hospital. But if depreciation has taken place the only reason given before me is the existence of the fear of infection. It being my view that this does not *per se* constitute a ground for an action such as this, it follows that such depreciation—assuming it proven—has not been occasioned by any legal wrong. The mere fact of depreciation cannot found an action. "The act complained of must have been both tortious and hurtful": *Pearce & Meston on Nuisances*, p. 13. FitzGibbon LJ in the passage cited

ante p. 576 expressly states that depreciation of property accompanying a sentiment of danger will not without more give a cause of action.

The case is dismissed with costs.

Action dismissed.

NOTES AND QUESTIONS

1. In *Laws v Florinplace Ltd*, [1981] 1 All ER 659 (ChD), the plaintiffs, ten residents in Longmore Street, brought a motion to restrain by interim injunction the continued operation of a hard-core pornography shop recently opened in the area. They claimed that the business, while not in breach of the criminal law, constituted a nuisance on two independent grounds: (1) The nature of the business would be apparent to residents and offend their sensibilities and, as such, was an unreasonable interference with the enjoyment of their property. (2) The business would attract undesirable clients and persons who might accost local girls. The court granted the interim injunction. Each ground presented a serious and triable issue. There can be nuisance where the use made by the defendants of their property is an affront to the reasonable susceptibilities of ordinary people and where this use is apparent to residents and visitors. Even if the business is carried on discreetly, its nature must be apparent if customers are to use the shop. Even if more than 80 percent of its customers are ordinary persons, the chance that a certain number might be otherwise is not a risk to be easily brushed aside.

2. Is *Laws* consistent with *Shuttleworth*?

3. If there is a nuisance in *Laws*, in what does it consist—in the type of business being operated; in the obtrusiveness of the sign; in the character of the clientele?

II. LEGAL PROCESS AND PUBLIC POLICY

HOLMES, "PRIVILEGE, MALICE AND INTENT"

(1894) 8 Harv L Rev 1 at 3-4, 7, 9

Questions of policy are legislative questions, and judges are shy of reasoning from such grounds. Therefore, decisions ... often are presented as hollow deductions from empty general propositions like *sic utere tuo ut alienum non laedas*, which teaches nothing but a benevolent yearning, or else are put as if they themselves embodied a postulate of the law and admitted of no further deduction, as when it is said that, although there is temporal damage, there is no wrong; whereas, the very thing to be found out is whether there is a wrong or not, and if not, why not.

When the question of policy is faced it will be seen to be one which cannot be answered by generalities, but must be determined by the particular character of the case, even if everybody agrees what the answer should be. I do not try to mention or to generalize all the facts which have to be taken into account; but plainly the worth of the result, or the gain from allowing the act to be done, has to be compared with the loss which it inflicts. Therefore, the conclusion will vary, and will depend on different reasons according to the nature of the affair.

For instance, a man has a right to set up a shop in a small village which can support but one of the kind, although he expects and intends to ruin a deserving widow who is established there already. He has a right to build a house upon his land in such a position as to spoil the view from a far more valuable house hard by. He has

a right to give honest answers to inquiries about a servant, although he intends thereby to prevent his getting a place. But the reasons for these several privileges are different. The first rests on the economic postulate that free competition is worth more to society than it costs. The next, upon the fact that a line must be drawn between the conflicting interests of adjoining owners, which necessarily will restrict the freedom of each; upon the unavoidable philistinism which prefers use to beauty when considering the most profitable way of administering the land in the jurisdiction taken as one whole; upon the fact that the defendant does not go outside his own boundary; and upon other reasons to be mentioned in a moment. The third, upon the proposition that the benefit of free access to information, in some cases and within some limits, outweighs the harm to an occasional unfortunate

Perhaps one of the reasons why judges do not like to discuss questions of policy, or to put a decision in terms upon their views as law-makers, is that the moment you leave the path of merely logical deduction you lose the illusion of certainty which makes legal reasoning seem like mathematics. But the certainty is only an illusion, nevertheless. Views of policy are taught by experience of the interests of life. Those interests are fields of battle. Whatever decisions are made must be against the wishes and opinion of one party, and the distinctions on which they go will be distinctions of degree. Even the economic postulate of the benefit of free competition, which I have mentioned above, is denied by an important school

But in all such cases the ground of decision is policy; and the advantages to the community, on the one side and the other, are the only matters really entitled to be weighed.

QUESTIONS

1. What does Holmes mean by saying that the Latin words quoted in the first paragraph teach “nothing but a benevolent yearning”?
2. Do you agree that one should compare the gain from allowing the act to be done with the loss that it inflicts? Has this been what the courts have been doing in the cases we have read to this point? How would Holmes have decided *Appleby*; *Rogers*; *Fontainebleau Hotel*; *Shuttleworth*? What sort of facts would have to be available to allow the judge to make the comparison?
3. Do you agree with the reasons that Holmes gives for not allowing a right to a view?
4. What does Holmes mean by saying that the interests of life are fields of battle? What view of the law does this imply? Is this view acceptable to you?

Compare Holmes’s conception of public policy with the conception of public benefit in the following cases.

BAMFORD V TURNLEY (1862), 122 ER 27 (Exch)

[The plaintiff alleged that the defendant’s adjacent brick-making operation constituted a nuisance.]

MARTIN B (reading the judgment of BRAMWELL B): The defendant has done that which, if done wantonly or maliciously, would be actionable as being a nuisance to the plaintiff’s habitation by causing a sensible diminution of the comfortable enjoyment of it.

The plaintiff, then, has a *prima facie* case. The defendant has infringed the maxim *sic utere tuo ut alienum non laedas*. Then, what principle or rule of law can he rely on to defend himself? It is clear to my mind that there is some exception to the general application of the maxim mentioned. The instances put during the argument, of burning weeds, emptying cess-pools, making noises during repairs, and other instances which would be nuisances if done wantonly or maliciously, nevertheless may be lawfully done. It cannot be said that such acts are not nuisances, because, by the hypothesis, they are; and it cannot be doubted that, if a person maliciously and without cause made close to a dwelling-house the same offensive smells as may be made in emptying a cesspool, an action would lie. Nor can these cases be got rid of as extreme cases, because such cases properly test a principle. Nor can it be said that the jury settle such questions by finding there is no nuisance, though there is. For that is to suppose they violate their duty, and that, if they discharged their duty, such matters would be actionable, which I think they could not and ought not to be. There must be, then, some principle on which such cases must be excepted. It seems to me that that principle may be deduced from the character of these cases, and is this, viz., that those acts necessary for the common and ordinary use and occupation of land and houses may be done, if conveniently done, without subjecting those who do them to an action. This principle would comprehend all the cases I have mentioned, but would not comprehend the present, where what has been done was not the using of land in a common and ordinary way, but in an exceptional manner—not unnatural nor unusual, but not the common and ordinary use of land. There is an obvious necessity for such a principle as I have mentioned. It is as much for the advantage of one owner as of another; for the very nuisance the one complains of, as the result of the ordinary use of his neighbour's land, he himself will create in the ordinary use of his own, and the reciprocal nuisances are of a comparatively trifling character. The convenience of such a rule may be indicated by calling it a rule of give and take, live and let live

But it is said that ... it is lawful because it is for the public benefit. Now, in the first place, that law to my mind is a bad one which, for the public benefit, inflicts loss on an individual without compensation. But further, with great respect, I think this consideration misapplied in this and in many other cases. The public consists of all the individuals of it, and a thing is only for the public benefit when it is productive of good to those individuals on the balance of loss and gain to all. So that if all the loss and all the gain were borne and received by one individual, he on the whole would be a gainer. But whenever this is the case—whenever a thing is for the public benefit, properly understood—the loss to the individuals of the public who lose will bear compensation out of the gains of those who gain. It is for the public benefit there should be railways, but it would not be unless the gain of having the railway was sufficient to compensate the loss occasioned by the use of the land required for its site; and accordingly no one thinks it would be right to take an individual's land without compensation to make a railway. It is for the public benefit that trains should run, but not unless they pay their expenses. If one of those expenses is the burning down of a wood of such value that the railway owners would not run the train and burn down the wood if it were their own, neither is it for the public benefit they should if the wood is not their own. If, though the wood were their own, they still would find it compensated them to run trains at the cost of burning the wood, then they obviously ought to compensate the owner of such wood, not being themselves, if they burn it down in making their gains. So in like way in this case a money value indeed cannot easily be put on the plaintiff's loss, but it is equal to some number of pounds or pence, £10, £50 or what not: unless the defendant's profits are enough to compensate this, I deny that it is for the public benefit he should do what he has done; if they are, he ought to compensate.

The only objection I can see to this reasoning is, that by injunction or by abatement of the nuisance a man who would not accept a pecuniary compensation might put a stop to works of great value, and much more than enough to compensate him. This objection, however, is comparatively of small practical importance; it may be that the law ought to be amended, and some means be provided to legalise such cases, as I believe is the case in some foreign countries on giving compensation; but I am clearly of opinion that, though the present law may be defective, it would be much worse, and be unjust and inexpedient, if it permitted such power of inflicting loss and damage to individuals, without compensation, as is claimed by the argument for the defendant. ...

In the result, then, I think ... that our judgment should be for the plaintiff.

MILLER V JACKSON

[1977] 3 All ER 338 (CA)

LORD DENNING MR: In summer time village cricket is the delight of everyone. Nearly every village has its own cricket field where the young men play and the old men watch. In the village of Lintz in County Durham they have their own ground, where they have played these last 70 years. They tend it well. The wicket area is well rolled and mown. The outfield is kept short. It has a good club-house for the players and seats for the onlookers. The village team play there on Saturdays and Sundays. They belong to a league, competing with the neighbouring villages. On other evenings after work they practice while the light lasts. Yet now after these 70 years a judge of the High Court has ordered that they must not play there any more. He has issued an injunction to stop them. He has done it at the instance of a newcomer who is no lover of cricket. This newcomer has built, or has had built for him, a house on the edge of the cricket ground which four years ago was a field where cattle grazed. The animals did not mind the cricket. But now this adjoining field has been turned into a housing estate. The newcomer bought one of the houses on the edge of the cricket ground. No doubt the open space was a selling point. Now he complains that, when a batsman hits a six, the ball has been known to land in his garden or on or near his house. His wife has got so upset about it that they always go out at weekends. They do not go into the garden when cricket is being played. They say that this is intolerable. So they asked the judge to stop the cricket being played. And the judge, much against his will, has felt that he must order the cricket to be stopped; with the consequences, I suppose, that the Lintz Cricket Club will disappear. The cricket ground will be turned to some other use. I expect for more houses or a factory. The young men will turn to other things instead of cricket. The whole village will be much the poorer. And all this because of a newcomer who has just bought a house there next to the cricket ground.

I must say that I am surprised that the developers of the housing estate were allowed to build the houses so close to the cricket ground. No doubt they wanted to make the most of their site and put up as many houses as they could for their own profit. The planning authorities ought not to have allowed it. The houses ought to have been so sited as not to interfere with the cricket. But the houses have been built and we have to reckon with the consequences.

At the time when the houses were built it was obvious to the people of Lintz that these new houses were built too close to the cricket ground. It was a small ground, and there might be trouble when a batsman hit a ball out of the ground. But there

was no trouble in finding purchasers. Some of them may have been cricket enthusiasts. But others were not. In the first three years, 1972, 1973 and 1974, quite a number of balls came over or under the boundary fence and went into the gardens of the houses, and the cricketers went round to get them. Mrs Miller was very annoyed about this. To use her own words:

When the balls come over, they the cricketers, either ring or come round in twos and threes and ask if they can have the ball back, and they never ask properly. They just ask if they can have the ball back, and that's it. They have been very rude, very arrogant and very ignorant, and very deceitful ... to get away from any problems we make a point of going out on Wednesdays, Fridays and the weekends.

Having read the evidence, I am sure that that was a most unfair complaint to make of the cricketers. They have done their very best to be polite. It must be admitted, however, that on a few occasions before 1974 a tile was broken or a window smashed. The householders made the most of this and got their rates reduced. The cricket club then did everything possible to see that no balls went over. In 1975, before the cricket season opened, they put up a very high protective fence. The existing concrete fence was only six feet high. They raised it to nearly 15 feet high by a galvanised chain-link fence. It cost £700. They could not raise it any higher because of the wind. The cricket ground is 570 feet above sea level. During the winter even this high fence was blown down on one occasion and had to be repaired at a cost of £400. Not only did the club put up this high protective fence. They told the batsmen to try to drive the balls low for four and not hit them up for six. This greatly reduced the number of balls that got into the gardens. So much so that the rating authority no longer allowed any reduction in rates.

Despite these measures, a few balls did get over. The club made a tally of all the sixes hit during the seasons of 1975 and 1976. In 1975 there were 2,221 overs, that is, 13,326 balls bowled. Of them there were 120 six hits on all sides of the ground. Of these only six went over the high protective fence and into this housing estate. In 1976 there were 2,616 overs, that is 15,696 balls. Of them there were 160 six hits. Of these only nine went over the high protective fence and into this housing estate.

No one has been hurt at all by any of these balls, either before or after the high fence was erected. There has, however, been some damage to property, even since the high fence was erected. The cricket club have offered to remedy all the damage and pay all expenses. They have offered to supply and fit unbreakable glass in the windows, and shutters or safeguards for them. They have offered to supply and fit a safety net over the garden whenever cricket is being played. In short, they have done everything possible short of stopping playing cricket on the ground at all. But Mrs Miller and her husband have remained unmoved. Every offer by the club has been rejected. They demand the closing down of the cricket club. Nothing else will satisfy them. They have obtained legal aid to sue the cricket club.

In support of the case, the plaintiff relies on the dictum of Lord Reid in *Bolton v. Stone*: "If cricket cannot be played on a ground without creating a substantial risk, then it should not be played there at all." I would agree with that saying if the houses or road were there first, and the cricket ground came there second. We would not allow the garden of Lincoln's Inn to be turned into a cricket ground. It would be too dangerous for windows and people. But I do not agree with Lord Reid's dictum when the cricket ground has been there for 70 years and the houses are newly built at the very edge of it. I recognise that the cricket club are under a duty to use all reasonable care consistently with the playing of the game of cricket, but I do not think the cricket club can be expected to give up the game of cricket altogether. After all they have

their rights in their cricket ground. They have spent money, labour and love in the making of it; and they have the right to play on it as they have done for 70 years. Is this all to be rendered useless to them by the thoughtless and selfish act of an estate developer in building right up to the edge of it? Can the developer or purchaser of a house say to the cricket club: "Stop playing. Clear out." I do not think so. And I will give my reasons.

THE LAW IN THE 19TH CENTURY

If we were to approach this case with the eyes of the judges of the 19th century they would, I believe, have seen it in this way. Every time that a batsman hit a ball over the fence so that it landed in the garden, he would be guilty of a trespass. If he hit it so that it went under the fence and down the bank, he would be guilty of a trespass. So would the committee of the cricket club, because they would have impliedly authorised it. They cheered the batsman on. If one or two of the players went round and asked the householder if they could go into the garden to find it, the householder could deny them access; he could say: "You are not to come in here to get your ball. I am not going to get it for you. Nor will I let you. It is going to stay there." If the cricketers said: "It's a new ball. It cost us over £6," the householder could say: "That is your look-out. You ought not to have put it there." Of course, if the householder picked up the ball himself and gave it to his son to play with, he would be liable in conversion. But otherwise he would not be liable at all. He could say: "An Englishman's house is his castle. You are not coming in. Nor are you to hit your cricket ball in here. If you go on doing it, I am going to get an injunction to stop you. Once I prove the violation of a legal right, the Court of Chancery will grant me an injunction to prevent the recurrence of that violation": see *Imperial Gas Light & Coke Co v. Broadbent*. Even if there was any doubt about the plaintiff's right to sue in trespass, he would have a claim in nuisance, once he proved that the balls were repeatedly coming over or under the fence and making things uncomfortable for him. To those claims, in the 19th century, either in trespass or in nuisance, the committee of the cricket club would have no answer. They could not claim an easement because there is no such easement known to the law as a right to hit cricket balls into your neighbour's land. It would be no good for them to say that the cricket ground was there before the house was built. The householder could rely on the case a hundred years ago of the physician who built his new consulting room next to the old established kitchen of his neighbour. The physician was held entitled to stop the working of the kitchen on the ground that the noise was a nuisance to him in his consulting-room: see *Sturges v. Bridgman* (1879), 11 Ch. D 852 ...

THE LAW IN THE 20TH CENTURY

The case here was not pleaded by either side in the formulae of the 19th century. The plaintiffs did not allege trespass The case was pleaded in negligence or alternatively nuisance.

The tort of nuisance in many cases overlaps the tort of negligence But there is at any rate one important distinction between them. It lies in the nature of the remedy sought. Is it damages? Or an injunction? If the plaintiff seeks a remedy in damages for injury done to him or his property, he can lay his claim either in negligence or in nuisance. But, if he seeks an injunction to stop the playing of cricket altogether, I think he must make his claim in nuisance. The books are full of cases where an injunction has been granted to restrain the continuance of a nuisance. But there is no case, so far as I know, where it has been granted so as to stop a man

being negligent. At any rate in a case of this kind, where an occupier of a house or land seeks to restrain his neighbour from doing something on his own land, the only appropriate cause of action, on which to base the remedy of an injunction, is nuisance ... It is the very essence of a private nuisance that it is the unreasonable use by a man of his land to the detriment of his neighbour. He must have been guilty of the fault, not necessarily of negligence, but of the unreasonable use of the land: see *The Wagon Mound (No 2)* by Lord Reid.

It has been often said in nuisance cases that the rule is *sic utere tuo ut alienum non laedas*. But that is a most misleading maxim. Lord Wright put it in its proper place in *Sedleigh-Denfield v. O'Callagan*: "[It] is not only lacking in definiteness but is also inaccurate. An occupier may make in many ways a use of his land which causes damage to the neighbouring landowners, and yet be free from liability ... a useful test is perhaps what is reasonable according to the ordinary usages of mankind living in society, or, more correctly, in a particular society."

I would, therefore, adopt this test: is the use by the cricket club of this ground for playing cricket a reasonable use of it? To my mind it is a most reasonable use. Just consider the circumstances. For over 70 years the game of cricket has been played on this ground to the great benefit of the community as a whole, and to the injury of none. No one could suggest that it was a nuisance to the neighbouring owners simply because an enthusiastic batsman occasionally hit a ball out of the ground for six to the approval of the admiring onlookers. Then I would ask: does it suddenly become a nuisance because one of the neighbours chooses to build a house on the very edge of the ground, in such a position that it may well be struck by the ball on the rare occasion when there is a hit for six? To my mind the answer is plainly No. The building of the house does not convert the playing of cricket into a nuisance when it was not so before. If and insofar as any damage is caused to the house or anyone in it, it is because of the position in which it was built ...

It was said, however, that the case of the physician's consulting-room was to the contrary. But that turned on the old law about easements and prescriptions, and so forth. It was in the days when rights of property were in the ascendant and not subject to any limitations except those provided by the law of easements. But nowadays it is a matter of balancing the conflicting interests of the two neighbours. That was made clear by Lord Wright in *Sedleigh-Denfield v. O'Callagan*, when he said: "A balance has to be maintained between the right of the occupier to do what he likes with his own and the right of his neighbour not to be interfered with." In this case it is our task to balance the right of the cricket club to continue playing cricket on their cricket ground, as against the right of the householder not to be interfered with. On taking the balance, I would give priority to the right of the cricket club to continue playing cricket on the ground, as they have done for the last 70 years. It takes precedence over the right of the newcomer to sit in his garden undisturbed. After all he bought the house four years ago in mid-summer when the cricket season was at its height. He might have guessed that there was a risk that a hit for six might possibly land on his property. If he finds that he does not like it, he ought, when cricket is played, to sit in the other side of the house or in the front garden, or go out; or take advantage of the offers the club have made to him of fitting unbreakable glass, and so forth. Or, if he does not like that, he ought to sell his house and move elsewhere. I expect there are many who would gladly buy it in order to be near the cricket field and open space. At any rate he ought not to be allowed to stop cricket being played on this ground.

This case is new. It should be approached on principles applicable to modern conditions. There is a contest here between the interest of the public at large and the interest of a private individual. The public interest lies in protecting the environment

by preserving our playing fields in the face of mounting development, and by enabling our youth to enjoy all the benefits of outdoor games, such as cricket and football. The private interest lies in securing the privacy of his home and garden without intrusion or interference by anyone. In deciding between these two conflicting interests, it must be remembered that it is not a question of damages. If by a million-to-one chance a cricket ball does go out of the ground and cause damage, the cricket club will pay. There is no difficulty on that score. No, it is a question of an injunction. And in our law you will find it repeatedly affirmed that an injunction is a discretionary remedy. In a new situation like this, we have to think afresh as to how discretion should be exercised. On the one hand, Mrs Miller is a very sensitive lady who has worked herself up into such a state that she exclaimed to the judge: "I just want to be allowed to live in peace. Have we got to wait until someone is killed before anything can be done?" If she feels like that about it, it is quite plain that, for peace in the future, one or other has to move. Either the cricket club have to move, but goodness knows where. I do not suppose for a moment there is any field in Lintz to which they could move. Or Mrs Miller must move elsewhere. As between their conflicting interests, I am of opinion that the public interest should prevail over the private interest. The cricket club should not be driven out. In my opinion the right exercise of discretion is to refuse an injunction; and, of course, to refuse damages in lieu of an injunction. Likewise as to the claim for past damages. The club were entitled to use this ground for cricket in the accustomed way. It was not a nuisance, nor was it negligence of them so to run it. Nor was the batsman negligent when he hit the ball for six. All were doing simply what they were entitled to do. So if the club had put it to the test, I would have dismissed the claim for damages also. But as the club very fairly say that they are willing to pay for any damage, I am content that there should be an award of £400 to cover any past or future damage.

I would allow the appeal, accordingly.

GEOFFREY LANE LJ:

[After reciting the facts and finding the defendants liable for negligence in damages, Geoffrey Lane LJ continued:]

Was there here a use by the defendants of their land involving an unreasonable interference with the plaintiffs' enjoyment of their land? There is here in effect no dispute that there has been and is likely to be in the future an interference with the plaintiffs' enjoyment of no 20 Brackenridge. The only question is whether it is unreasonable. It is a truism to say that this is a matter of degree. What that means is this. A balance has to be maintained between on the one hand the rights of the individual to enjoy his house and garden without the threat of damage and on the other hand the rights of the public in general or a neighbour to engage in lawful pastimes. Difficult questions may sometimes arise when the defendants' activities are offensive to the senses, for example by way of noise. Where, as here, the damage or potential damage is physical the answer is more simple. There is, subject to what appears hereafter, no excuse I can see which exonerates the defendants from liability in nuisance for what they have done or from what they threaten to do. It is true no one has yet been physically injured. That is probably due to a great extent to the fact that the householders in Brackenridge desert their gardens whilst cricket is in progress. The danger of injury is obvious and is not slight enough to be disregarded. There is here a real risk of serious injury.

There is, however, one obviously strong point in the defendants' favour. They or their predecessors have been playing cricket on this ground (and no doubt hitting sixes out of it) for 70 years or so. Can someone by building a house on the edge of

the field in circumstances where it must have been obvious that balls might be hit over the fence, effectively stop cricket being played? Precedent apart, justice would seem to demand that the plaintiffs should be left to make the most of the site they have elected to occupy with all its obvious advantages and all its equally obvious disadvantages. It is pleasant to have an open space over which to look from your bedroom and sitting room windows, so far as it is possible to see over the concrete wall. Why should you complain of the obvious disadvantages which arise from the particular purpose to which the open space is being put? Put briefly, can the defendants take advantage of the fact that the plaintiffs have put themselves in such a position by coming to occupy a house on the edge of a small cricket field, with the result that what was not a nuisance in the past now becomes a nuisance? If the matter were *res integra*, I confess I should be inclined to find for the defendants. It does not seem just that a long-established activity, in itself innocuous, should be brought to an end because someone chooses to build a house nearby and so turn an innocent pastime into an actionable nuisance. Unfortunately, however, the question is not open. In *Sturges v. Bridgman* this very problem arose. The defendant had carried on a confectionary shop with a noisy pestle and mortar for more than 20 years. Although it was noisy, it was far enough away from neighbouring premises not to cause trouble to anyone, until the plaintiff, who was a physician, built a consulting-room on his own land but immediately joining the confectionary shop. The noise and vibrations seriously interfered with the consulting-room and became a nuisance to the physician That decision involved the assumption, which so far as one can discover has never been questioned, that it is no answer to a claim in nuisance for the defendant to show that the plaintiff brought the trouble on his own head by building or coming to live in a house so close to the defendant's premises that he would inevitably be affected by the defendant's activities, where no one had been affected previously It may be that this rule works injustice, it may be that one would decide the matter differently in the absence of authority. But we are bound by the decision in *Sturges v. Bridgman* (1879), 11 Ch. D 852 and it is not for this court as I see it to alter a rule which has stood for so long

Given that the defendants are guilty of both negligence and nuisance, is it a case where the court should in its discretion give relief, or should the plaintiffs be left to their remedy in damages? There is no doubt that if cricket is played damage will be done to the plaintiffs' tiles or windows or both. There is a not inconsiderable danger that if they or their son or their guests spend any time in the garden during the weekend afternoons in the summer they may be hit by a cricket ball. So long as this situation exists it seems to me that damages cannot be said to provide an adequate form of relief. Indeed, quite apart from the risk of physical injury, I can see no valid reason why the plaintiffs should have to submit to the inevitable breakage of tiles and/or windows, even though the defendants have expressed their willingness to carry out any repairs at no cost to the plaintiffs. I would accordingly uphold the grant of the injunction to restrain the defendants from committing nuisance. However, I would postpone the operation of the injunction for 12 months to enable the defendants to look elsewhere for an alternative pitch.

So far as the plaintiffs are concerned, the effect of such postponement will be that they will have to stay out of their garden until the end of the cricket season but thereafter will be free to use it as they wish

CUMMING-BRUCE LJ: I agree with all that Geoffrey Lane LJ has said in his recital of the relevant facts and his reasoning and conclusion on the liability of the defendants in negligence and nuisance, including his observation about the decision in *Sturges v. Bridgman*

The only problem that arises is whether the learned judge is shown to be wrong in deciding to grant the equitable remedy of an injunction which will necessarily have the effect that the ground which the defendants have used as a cricket ground for 70 years can no longer be used for that purpose There is authority that in considering whether to exercise a judicial discretion to grant an injunction the court is under a duty to consider the interests of the public

So on the facts of this case a court of equity must seek to strike a fair balance between the right of the plaintiffs to have quiet enjoyment of their house and garden without exposure to cricket balls occasionally falling like thunderbolts from the heavens, and the opportunity of the inhabitants of the village in which they live to continue to enjoy the manly sport which constitutes a summer recreation for adults and young persons, including one would hope and expect the plaintiffs' son. It is a relevant circumstance which a court of equity should take into account that the plaintiffs decided to buy a house which in June 1972 when completion took place was obviously on the boundary of a quite small cricket ground where cricket was played at weekends and sometimes on evenings during the working week. They selected a house with the benefit of the open space beside it. In February, when they first saw it, they did not think about the use of this open space. But before completion they must have realised that it was the village cricket ground, and that balls would sometimes be knocked from the wicket into their garden, or even against the fabric of the house. If they did not realise it, they should have done. As it turns out, the female plaintiff has developed a somewhat obsessive attitude to the proximity of the cricket field and the cricketers who visit her to seek to recover their cricket balls. The evidence discloses a hostility which goes beyond what is reasonable, although as the learned judge found she is reasonable in her fear that if the family use the garden while a match is in progress they will run risk of serious injury if a great hit happens to drive a ball up to the skies and down into their garden. It is reasonable to decide that during matches the family must keep out of the garden. The risk of damage to the house can be dealt with in other ways, and is not such as to fortify significantly the case for an injunction stopping play on this ground.

With all respect, in my view the learned judge did not have regard sufficiently to these considerations. He does not appear to have had regard to the interest of the inhabitants of the village as a whole. Had he done so he would in my view have been led to the conclusion that the plaintiffs having accepted the benefit of the open space marching with their land should accept the restrictions on enjoyment of their garden which they may reasonably think necessary. That is the burden which they have to bear in order that the inhabitants of the village may not be deprived of their facilities for an innocent recreation which they have so long enjoyed on this ground. There are here special circumstances which should inhibit a court of equity from granting the injunction claimed. If I am wrong in that conclusion, I agree with Geoffrey Lane LJ that the injunction should be suspended for one year to enable the defendants to see if they can find another ground.

Appeal allowed. Past and future damages at £400.

QUESTION

Why does Lord Denning think that playing cricket is in the public interest? Is his conception of the public interest here the same as Bramwell B's conception of public benefit in *Bamford*? Bramwell B has said that the public consists of the individuals in it. Does Lord Denning disagree with this?

STURGES V BRIDGMAN

(1879), 11 ChD 852 (CA)

THESIGER LJ (for the court) (JAMES, BAGGALLAY, and THESIGER LJJ concurring):

The Defendant in this case is the occupier, for the purpose of his business as a confectioner, of a house in Wimpole Street. In the rear of the house is a kitchen, and in that kitchen there are now, and have been for over twenty years, two large mortars in which the meat and other materials of the confectionery are pounded. The Plaintiff, who is a physician, is the occupier of a house in Wimpole Street, which until recently had a garden at the rear, the wall of which garden was a party-wall between the Plaintiff's and the Defendant's premises, and formed the back wall of the Defendant's kitchen. The Plaintiff has, however, recently built upon the site of the garden a consulting-room, one of the side walls of which is the wall just described. It has been proved that in the case of the mortars, before and at the time of action brought, a noise was caused which seriously inconvenienced the Plaintiff in the use of his consulting-room and which, unless the Defendant had acquired a right to impose the inconvenience, would constitute an actionable nuisance. The Defendant contends that he had acquired the right, either at Common Law or under the Prescription Act, by uninterrupted user for more than twenty years.

In deciding this question one more fact is necessary to be stated. Prior to the erection of the consulting-room no material annoyance or inconvenience was caused to the Plaintiff or to any previous occupier of the Plaintiff's house by what the Defendant did ... Here then arises the objection to the acquisition by the Defendant of any easement. That which was done by him was in its nature such that it could not be physically interrupted; it could not at the same time be put a stop to by action. Can user which is neither preventable nor actionable found an easement? We think not ...

[T]he laws governing the acquisition of easements by user stands thus: Consent or acquiescence of the owner of the servient tenement lies at the root of prescription, and of the fiction of a lost grant, and hence the acts or user, which go to the proof of either the one or the other, must be, in the language of the civil law, *nec vi nec clam nec precario*; for a man cannot, as a general rule, be said to consent to or acquiesce in the acquisition by his neighbour of an easement through an enjoyment of which he has no knowledge, actual or constructive, or which he contests and endeavours to interrupt, or which he temporarily licenses. It is a mere extension of the same notion, or rather it is a principle into which by strict analysis it may be resolved, to hold, that an enjoyment which a man cannot prevent raises no presumption of consent or acquiescence ...

[U]ntil the noise, to take this case, became an actionable nuisance, which it did not at any time before the consulting-room was built, the basis of the presumption of the consent, viz., the power of prevention physically or by action, was never present.

It is said that if this principle is applied in cases like the present, and were carried out to its logical consequences, it would result in the most serious practical inconveniences, for a man might go—say into the midst of the tanneries of Bermondsey, or into any other locality devoted to a particular trade or manufacture of a noisy or unsavoury character, and, by building a private residence upon a vacant piece of land, put a stop to such trade or manufacture altogether. The case also is put of a blacksmith's forge built away from all habitations, but to which, in course of time, habitations approach. We do not think that either of these hypothetical cases presents any real difficulty. As regards the first, it may be answered that whether anything is a nuisance or not is a question to be determined, not merely by an abstract consideration of the thing itself, but in reference to its circumstances; what would be a

nuisance in Belgrave Square would not necessarily be so in Bermondsey; and where a locality is devoted to a particular trade or manufacture carried on by the traders or manufacturers in a particular and established manner not constituting a public nuisance, judges and juries would be justified in finding, and may be trusted to find, that the trade or manufacture so carried on in that locality is not a private or actionable wrong. As regards the blacksmith's forge, that is really an *idem per idem* case with the present. It would be on the one hand in a very high degree unreasonable and undesirable that there should be a right of action for acts which are not in the present condition of the adjoining land, and possibly never will be any annoyance or inconvenience to either of its owner or occupier; and it would be on the other hand in an equal degree unjust, and, from a public point of view, inexpedient that the use and value of the adjoining land should, for all time and under all circumstances, be restricted and diminished by reason of the continuance of acts incapable of physical interruption, and which the law gives no power to prevent. The smith in the case supposed might protect himself by taking a sufficient curtilage to ensure what he does from being at any time an annoyance to his neighbour, but the neighbour himself would be powerless in the matter. Individual cases of hardship may occur in the strict carrying out of the principle upon which we found our judgment, but the negation of the principle would lead even more to individual hardship, and would at the same time produce a prejudicial effect upon the development of land for residential purposes. The Master of the Rolls in the Court below took substantially the same view of the matter as ourselves and granted the relief which the Plaintiff prayed for, and we are of opinion that his order is right and should be affirmed, and that this appeal should be dismissed with costs.

NOTES AND QUESTIONS

1. In *Miller v Jackson*, Lord Denning MR and Geoffrey Lane LJ took different attitudes toward this case. With whose attitude do you agree?
2. Do you think that *Sturges* is a badly reasoned case? Do either Lord Denning MR or Geoffrey Lane LJ provide reasoned grounds for their dissatisfaction with *Sturges*?
3. Lord Denning MR states in *Miller* that "there is no such easement known to the law as a right to hit cricket balls into your neighbour's land." Would Thesiger LJ agree? (An easement is the right of one landowner to use the land of another.)
4. In *Coventry v Lawrence*, [2014] 1 AC 822 (UKSC), Lord Neuberger dealt with the issue of whether coming to the nuisance was a defence:

For some time now, it has been generally accepted that it is not a defence to a claim in nuisance to show that the claimant acquired, or started to occupy, her property after the nuisance had started—i.e. that it is no defence that the claimant has come to the nuisance. This proposition was clearly stated in *Bliss* 4 Bing NC 183, 186 per Tindal CJ. Coming to the nuisance appears to have been assumed not to be a defence in *Sturges v Bridgman* 11 Ch D 852. And in *London, Brighton and South Coast Railway Co v Truman* (1885) LR 11 App Cas 45, 52, Lord Halsbury LC described the idea that it was a defence to nuisance as an "old notion ... long since exploded" and he also said that "whether the man went to the nuisance or the nuisance came to the man, the rights are the same" in *Fleming v Hislop* (1886) LR 11 App Cas 686, 697.

The [defendants] suggest that there is authority prior to the decision in *Bliss* 4 Bing 183, which supports the contention that the law was somewhat different in earlier times ... In his *Commentaries on the Laws of England* 1st ed, (1765–1769), Vol II Chap 26, p 403, Blackstone, after explaining that a defendant can be liable in nuisance for setting up a tannery

near my home, continues "but if he is first in possession of the air and I fix my habitation near him, the nuisance is of my own seeking, and must continue." ...

In my view, the law is clear, at least in a case such as the present, where the claimant in nuisance uses her property for essentially the same purpose as that for which it has been used by her predecessors since before the alleged nuisance started: in such a case, the defence of coming to the nuisance must fail. For over 180 years it has been assumed and authoritatively stated to be the law that it is no defence for a defendant to a nuisance claim to argue that the claimant came to the nuisance....

Furthermore, the notion that coming to the nuisance is no defence is consistent with the fact that nuisance is a property-based tort, so that the right to allege a nuisance should, as it were, run with the land. It would also seem odd if a defendant was no longer liable for nuisance owing to the fact that the identity of his neighbour had changed, even though the use of his neighbour's property remained unchanged. Quite apart from this, the concerns expressed by Lord Denning in *Miller* [1977] 1 QB 966 would not apply where a purchasing claimant has simply continued with the use of the property which had been started before the defendant's alleged nuisance-causing activities started.

There is much more room for argument that a claimant who builds on, or changes the use of, her property, after the defendant has started the activity alleged to cause a nuisance by noise, or any other emission offensive to the senses, should not have the same rights to complain about that activity as she would have had if her building work or change of use had occurred before the defendant's activity had started. That raises a rather different point from the issue of coming to the nuisance, namely whether an alteration in the claimant's property after the activity in question has started can give rise to a claim in nuisance if the activity would not have been a nuisance had the alteration not occurred.

The observations I have quoted from Blackstone ... were in the context of cases where the defendant's activity only becomes a potential nuisance after a change of use or building work on the claimant's property, and they therefore provide some support for the defendant in such a case. However, in both *Sturges* and *Miller*, it appears clear that the defendant's activities pre-dated the plaintiff's construction work, and it was only as a result of that work and the subsequent use of the new building that the activities became a nuisance. However, *Miller* was not concerned with damage to the senses, but with physical encroachment on, and potential physical damage to, the plaintiffs and their property (through cricket balls). In *Sturges*, the only issue raised by the unsuccessful defendant was prescription, the nuisance at least arguably involved more than offence to the senses, and the plaintiff's construction work merely involved an extension to an existing building. ...

It is unnecessary to decide this point on this appeal, but it may well be that it could and should normally be resolved by treating any pre-existing activity on the defendant's land, which was originally not a nuisance to the claimant's land, as part of the character of the neighbourhood—at least if it was otherwise lawful. After all, until the claimant built on her land or changed its use, the activity in question will, *ex hypothesi*, not have been a nuisance. This is consistent with the notion that nuisance claims should be considered by reference to what Lord Goff referred to as the "give and take as between neighbouring occupiers of land" quoted in para 5 above (and some indirect support for such a view may be found in *Sturges*, at pp 865–866).

On this basis, where a claimant builds on, or changes the use of, her land, I would suggest that it may well be wrong to hold that a defendant's pre-existing activity gives rise to a nuisance provided that (i) it can only be said to be a nuisance because it affects the senses of those on the claimant's land, (ii) it was not a nuisance before the building or change of use of the claimant's land, (iii) it is and has been, a reasonable and otherwise lawful use of the defendant's land, (iv) it is carried out in a reasonable way, and (v) it causes no greater nuisance than when the claimant first carried out the building or changed the use. ...

5. Coase, in a foundational article in the literature of the economic analysis of law, "The Problem of Social Cost" (1960) 1 *JL & Econ* 1, considered *Sturges* in the following terms:

This paper is concerned with those actions of business firms which have harmful effects on others. The standard example is that of a factory the smoke from which has harmful effects on those occupying neighbouring properties. The economic analysis of such a situation has usually proceeded in terms of a divergence between the private and social product of the factory, in which economists have largely followed the treatment of Pigou in *The Economics of Welfare*. The conclusions to which this kind of analysis seems to have led most economists is that it would be desirable to make the owner of the factory liable for the damage caused to those injured by the smoke, or alternatively, to place a tax on the factory owner varying with the amount of smoke produced and equivalent in money terms to the damage it would cause, or finally, to exclude the factory from residential districts (and presumably from other areas in which the emission of smoke would have harmful effects on others). It is my contention that the suggested courses of action are inappropriate, in that they lead to results which are not necessarily, or even usually, desirable ...

The traditional approach has tended to obscure the nature of the choice that has to be made. The question is commonly thought of as one in which A inflicts harm on B and what has to be decided is: how should we restrain A? But this is wrong. We are dealing with a problem of a reciprocal nature. To avoid the harm to B would inflict harm on A. The real question that has to be decided is: should A be allowed to harm B or should B be allowed to harm A? The problem is to avoid the more serious harm. I instanced in my previous article the case of a confectioner the noise and vibrations from whose machinery disturbed a doctor in his work. To avoid harming the doctor would inflict harm on the confectioner. The problem posed by this case was essentially whether it was worth while, as a result of restricting the methods of production which could be used by the confectioner, to secure more doctoring at the cost of a reduced supply of confectionery products ...

Let us first reconsider the case of *Sturges v. Bridgman* The courts had little difficulty in granting the doctor the injunction he sought. "Individual cases of hardship may occur in the strict carrying out of the principle upon which we found our judgment but the negation of the principle would lead even more to individual hardship, and would at the same time produce a prejudicial effect on the development of land for residential purposes."

The court's decision established that the doctor had the right to prevent the confectioner from using his machinery. But, of course, it would have been possible to modify the arrangements envisaged in the legal ruling by means of a bargain between the parties. The doctor would have been willing to waive his right and allow the machinery to continue in operation if the confectioner would have paid him a sum of money which was greater than the loss of income which he would suffer from having to move to a more costly or less convenient location or from having to curtail his activities at this location or, as was suggested as a possibility, from having to build a separate wall which would deaden the noise and vibration. The confectioner would have been willing to do this if the amount he would have to pay the doctor was less than the fall in income he would suffer if he had to change his mode of operation at this location, abandon his operation or move his confectionery business to some other location. The solution of the problem depends essentially on whether the continued use of the machinery adds more to the confectioner's income than it subtracts from the doctor's. But now consider the situation if the confectioner had won the case. The confectioner would then have had the right to continue operating his noise and vibration-generating machinery without having to pay anything to the doctor. The boot would have been on the other foot: the doctor would have had to pay the confectioner to induce him to stop using the machinery. If the doctor's income would have fallen more through continuance of the use of this machinery than it added to the income of the confectioner, there would clearly be room for a bargain whereby the doctor paid the confectioner to stop using the machinery. That is to say, the circumstances in which it would not

pay the confectioner to continue to use the machinery and to compensate the doctor for the losses that this would bring (if the doctor had the right to prevent the confectioner's using his machinery) would be those in which it would be in the interest of the doctor to make payment to the confectioner which would induce him to discontinue the use of the machinery (if the confectioner had the right to operate the machinery) With costless market transactions, the decision of the courts concerning liability for damage would be without effect on the allocation of resources. It was of course the view of the judges that they were affecting the working of the economic system—and in a desirable direction. Any other decision would have had “a prejudicial effect upon the development of land for residential purposes,” an argument which was elaborated by examining the example of a forge operating on a barren moor, which was later developed for residual [*sic*] purposes. The judges' view that they were settling how the land was to be used would be true only in the case in which the costs of carrying out the necessary market transactions exceeded the gain which might be achieved by any rearrangement of rights. And it would be desirable to preserve the areas (Wimpole Street or the moor) for residential or professional use (by giving non-industrial users the right to stop the noise, vibration, smoke, etc., by injunction) only if the value of the additional residential facilities obtained was greater than the value of cakes of iron lost. But of this the judges seem to have been unaware.

6. Atiyah, *Accidents, Compensation, and the Law*, 2nd ed (London: Weidenfeld and Nicolson, 1975) at 532-33 illustrates Coase's thesis by attaching figures to the alternatives Coase considers:

[*Sturges*] is criticized by Professor Coase on the ground that the real question facing the court in an action of this sort, is the economic question, namely which of the services which have to be sacrificed here are more valuable to society? But he also points out that since the parties could have modified the court's ruling by subsequent agreement between themselves, the ruling did not, in fact, greatly matter from the economic point of view. Thus if, for instance, the additional value to the confectioner of the use of his machinery was (say) £500 a year, while the additional value to the doctor of the use of his consulting room at the end of his garden was (say) £200 a year, it would plainly have been in the interest of both parties for the confectioner to resume using his machinery, and to pay the doctor anything between £200 and £500 a year. In the economic world in which all men are economic men, this is just what would have happened so that the court's original decision to grant an injunction would not have stopped the confectioner using his machinery. Equally, if the doctor's loss of income from his inability to use his consulting room as £500 a year, and the confectioner's loss from inability to use his machinery was only £200, and the court had refused an injunction, it would have been profitable for the doctor to pay the confectioner anything between £200 and £500 a year not to use the machinery, and it would have been profitable for the confectioner to take it. Thus, once again, there is no misallocation of resources, whatever result the law arrives at. If it places the risk on the party who should bear it in order to optimize the allocation of resources, the risk will remain there, whereas if the law places the risk on the wrong party, the parties will correct the law's mistakes by a bargain.

7. Epstein, “A Theory of Strict Liability” (1973) 2 J Leg Stud 151 at 164-65, criticizes Coase as follows:

In *The Problem of Social Cost*, Professor Coase argues that the concept of causation, as he understands it, does not permit the solution of individual legal disputes. Although he does not work from the “but for” paradigm, he does adopt a model of causation that treats as a cause of a given harm any joint condition necessary to its creation. Since the acts of both parties are “necessary” it follows that the concept of causation provides, in this analysis, no grounds to prefer either person to another. The problem is “reciprocal” in both causal and economic terms. In effect, Coase argues that the harms in question resulted because two persons each wished to make inconsistent use of a common resource:

The question is commonly thought of as one in which A inflicts harm on B and what has to be decided is: how should we restrain A? But this is wrong. We are dealing with a problem of a reciprocal nature. To avoid the harm to B would inflict harm on A. The real question that has to be decided is: should A be allowed to harm B or should B be allowed to harm A? The problem is to avoid the more serious harm. I instanced in my previous article the case of a confectioner the noise and vibrations from whose machinery disturbed a doctor in his work. To avoid harming the doctor would inflict harm on the confectioner. The problem posed by this case was essentially whether it was worth while, as a result of restricting the methods of production which could be used by the confectioner, to secure more doctoring at the cost of a reduced supply of confectionery products. Another example is afforded by the problem of straying cattle which destroy crops on neighbouring land. If it is inevitable that some cattle will stray, an increase in the supply of meat can only be obtained at the expense of a decrease in the supply of crops. The nature of the choice is clear: meat or crops. What answer should be given is, of course, not clear unless we know the value of what is obtained as well as the value of what is sacrificed to obtain it. To give another example, Professor George J. Stigler instances the contamination of a stream. If we assume that the harmful effect of the pollution is that it kills the fish, the question to be decided is: is the value of the fish lost greater or less than the value of the product which the contamination of the stream makes possible.

In the first portion of this paragraph, Professor Coase argues that the question is reciprocal because "to avoid the harm to A would be to inflict harm upon B." The real question is "should A be allowed to harm B or should B be allowed to harm A." But that image of reciprocity is not carried through in the concrete description of particular cases used to support the general proposition. The first case concerns a "confectioner the noise and vibrations from whose machinery disturbed a doctor": the second, "straying cattle ... destroy crops on neighboring land"; in the third, "the harmful effect of the pollution ... kills the fish." Coase describes each situation by the use of sentences that differentiate between the role of the subject of each of these propositions and the role of the object. There is no question but that the confectioner harmed the doctor; the cattle the crops; and the contaminants, the fish. The problem only takes on a guise of reciprocity when the party harmed seeks his remedy in court. To use but the first example, the doctor wishes to call in aid the court to "harm" the confectioner, in the sense that he wishes to restrain him from acting to harm his practice. But he is justified in so doing because of the harm the confectioner either has inflicted or will inflict upon him. It would be a grave mistake to say that before the invocation of judicial remedies the grounds of dispute disclosed reciprocal harm. The confectioner did not seek to enjoin the doctor from the practice of medicine, because that practice did not and could not harm the confectioner. The notion of causal reciprocity should not be confused with the notion of redress for harm caused.

Are Epstein's comments a valid criticism of Coase's approach?

TOCK V ST JOHN'S METROPOLITAN AREA BOARD

[1989] 2 SCR 1181

[The appellants suffered extensive damage when their basement flooded after a heavy rain as the result of a blocked storm sewer operated by the respondent municipality. They alleged that the flooding constituted a nuisance. The respondent's defence was that the operation of the sewer system was authorized by statute.]

WILSON J (LAMER and L'HEUREUX-DUBÉ JJ concurring): I have had the benefit of reading the reasons for judgment of my colleague, Justice La Forest, and, while I agree

with his proposed disposition of the appeal, I have reservations about his approach to the law of nuisance as it applies to public bodies acting under statutory authority.

I do not ... share La Forest J's view that this Court should, or indeed can, on this appeal virtually abolish the defence of statutory authority for policy reasons and treat municipalities exercising statutory authority in the same way as private individuals. Such a major departure from the current state of the law would, it seems to me, require the intervention of the legislature.

Moreover, I do not favour replacing the existing law in this area with a general test of whether it is reasonable or unreasonable in the circumstances of the case to award compensation. This test may, because of the high degree of judicial subjectivity involved in its application, make life easier for the judges but, in my respectful view, it will do nothing to assist public bodies to make a realistic assessment of their exposure in carrying out their statutory mandate. Nor will it provide much guidance to litigants in deciding whether or not to sue. It is altogether too uncertain. Nor can I, with respect, accept the proposition that a single individual suffering damage from an isolated nuisance should be dealt with differently from a group of people suffering damage from an ongoing nuisance. This seems to me to be quite incompatible with the concept of principled decision-making. Accordingly, while I agree with my colleague in the result he has reached in this case, I prefer to write my own concurring reasons.

I agree that the flooding of the appellants' basement constituted an unreasonable interference with the appellants' use and enjoyment of the property and that, had the parties been two private individuals, it clearly would have been an actionable nuisance. However, since the respondent is a municipality, the law dictates that different considerations apply. The crucial question is whether or not the respondent is able to rely on the defence of statutory authority in the circumstances of this case.

Since the availability of the defence of statutory authority depends on the language of the statute I set out the relevant provisions of *The Municipalities Act*, SN 1979, c. 33, on which the respondent must rely:

154.(1) The council may, subject to the provisions of The Department of Consumer Affairs and Environment Act, 1973 and regulations made thereunder, construct, acquire, establish, own and operate

(a) a public water supply system for the distribution of water within or, with the approval of the Minister, outside of the town,

(b) a public sewerage system, either independently of or in conjunction with a public water supply system, for the collection and disposal of sewerage within or, with the approval of the Minister, outside of the town, and

(c) a storm drainage system within or, with the approval of the Minister, outside of the town.

(2) For the purposes of subsection (1) the council may

(a) acquire any waters required for the purpose of providing a sufficient supply of water for the town, and

(b) acquire by purchase or expropriation any lands adjacent to such waters to prevent pollution of those waters.

(3) For the purpose of exercising its powers under subsection (1) the council may lay out, excavate, dig, make, build, maintain, repair, and improve all such drains, sewers, and water supply pipes as the council deems necessary.

There is no doubt that these provisions authorize the respondent to construct and continue to operate and maintain the sewage system in question. They are, however, permissive as opposed to mandatory. They confer a power; they do not

impose a duty. Is this distinction relevant to the question of the respondent's liability in nuisance? To answer this it is necessary to review some of the leading authorities on the subject.

[After reviewing the 19th-century English cases on the defence of statutory authority, Wilson J continued:]

The principles to be derived from the foregoing authorities would seem to be as follows:

(a) if the legislation imposes a duty and the nuisance is the inevitable consequence of discharging that duty, then the nuisance is itself authorized and there is no recovery in the absence of negligence;

(b) if the legislation, although it merely confers an authority, is specific as to the manner or location of doing the thing authorized and the nuisance is the inevitable consequence of doing the thing authorized in that way or in that location, then likewise the nuisance is itself authorized and there is no recovery absent negligence.

However:

(c) if the legislation confers an authority and also gives the public body a discretion, not only whether to do the thing authorized or not, but how to do it and in what location, then if it does decide to do the thing authorized, it must do it in a manner and at a location which will avoid the creation of a nuisance. If it does it in a way or at a location which gives rise to a nuisance, it will be liable therefor, whether there is negligence or not.

In other words, in the situations described in (a) and (b) above the inevitability doctrine is a good defence to the public body absent negligence. In situation (c) it is no defence at all and it is unnecessary for the plaintiff to prove negligence in order to recover.

In my view, these principles make a great deal of sense. The inevitability doctrine represents a happy judicial compromise between letting no one who has suffered damage as a consequence of the statutorily authorized activities of public bodies recover and letting everyone so suffering damage recover. Recovery will be allowed unless it is shown that the interference with the plaintiff's rights was permitted by either:

(1) express language in the statute such as a provision specifying that no action for nuisance may be brought for any damage caused: see, for example, the decision of this Court in *District of North Vancouver v. McKenzie Barge & Marine Ways Ltd.*, [1965] SCR 377; or

(2) by necessary implication from the language of the statute coupled with a factual finding that the damage was the inevitable consequence of what the statute ordered or authorized the public body to do

I find no acceptable rationale for the extension of the inevitable consequences doctrine to cases where the public body was perfectly free to exercise its statutory authority without violating private rights. It is only in cases where the public body has no choice as to the way in which or the place where it engages in the nuisance-causing activity that the inevitable consequences doctrine protects it. For only in such cases can it be said that the legislature has authorized any nuisance which is the inevitable consequence of the public body's carrying out its mandate.

The early principles, it seems to me, are rooted in common sense and logic. There is no need to throw the baby out with the bath water.

[After cautioning against "an undue restriction on the right of private citizens to recover for damage caused by the public body's failure to give adequate consideration to private rights when deciding how and where to locate public facilities," Wilson J concluded:]

The legislation in this case was purely permissive within the meaning of these cases. It authorized a sewage system to be constructed but did not specify how or where it was to be done.

The respondent was accordingly obliged to construct and operate the system in strict conformity with private rights. It did not do so. The defence of statutory authority is not available to it and the appellants are entitled to recover.

LA FOREST J (DICKSON CJC concurring): This appeal raises the important question whether a municipal authority which operates and maintains a sewer may, in the absence of negligence on its part, incur liability to a person whose property is damaged as a result of flooding caused by a random blockage of the sewer

The truth is that there is an air of unreality and contrivedness to the defence of statutory authority in this context, however one may seek to rationalize it. Where the statute in question does not expressly exempt a body for damages in nuisance, or, in the alternative, does not provide for a compensation scheme of its own or contain other clear legislative indications, I doubt that divination of an unexpressed intent of the legislature can shed much light on the question whether the person who has suffered damage should be denied compensation. At this remove from the 19th century, therefore, it would seem appropriate to reformulate the law in more functional terms. To give one instance, I would reject the notion that the distinction as to whether a statute is permissive or mandatory is, without more, determinative. Thus, if one looks at the statute authorizing the storm drain in question here, it is clear that the statute is framed in permissive terms. By application of the traditional test, this would ground the presumption that the sewer was meant to be built in strict conformity with private rights, whereas, had the statute been mandatory, the operative presumption would have been that the statutory powers were merely to be exercised without negligence, as that term was defined earlier. But I cannot see how liability for nuisance can credibly be said to depend on whether the legislature has conferred a general power to build sewers that, on all accounts, it must be taken to know will be built as and where the demand arises, or whether it goes to the trouble of passing a special enactment to authorize each sewer in turn. Whatever statutory route is taken will result in the construction of sewerage and drainage facilities in the same locations, and the nature of the authorization cannot, in all reason, have any bearing on the question whether compensation is owed, or is not owed, for damage suffered as a consequence of the operation of the sewer.

Turning to the question of inevitability, it seems to me that, in strict logic, most nuisances stemming from activities authorized by statute are in fact inevitable. Certainly, if one is to judge from the frequency with which storm drain and sewer cases occur in the reports, it would seem a safe conclusion that blockage of such systems is inevitable if one accepts this to mean that it is demonstrably impossible to operate these systems without such occurrences. But what escapes me is why any particular importance should be accorded this fact when weighing a nuisance claim against a statutory authority. The fact that the operation of a given system will inevitably visit random damage on certain unfortunate individuals among the pool of users of the system does not tell us why those individuals should be responsible for paying for that damage.

This rationale was recently adverted to by Robins J in *Schenck v. The Queen in Right of Ontario*, supra, where fruit farmers successfully sued the Ontario Government in nuisance for damage resulting to their orchards adjacent to provincial highways from the application of salt to the highways to permit winter travel. In reasons successively approved by the Ontario Court of Appeal and this Court, Robins J perceptively observed that arguments about inevitability are essentially arguments about money

Constraints of time and money will always militate against the building of absolutely failsafe systems (on the assumption that such systems are possible) and the maintaining of the best conceivable inspection system. Accordingly, a public authority charged with operating any service will inevitably have to strike a balance between the need to give due consideration to factors bearing on efficiency and thrift, and the need to protect persons and property from damage that the system in question is likely to cause. In a word, it will be necessary to make compromises, and I have no reason to doubt that these compromises will take into account the possibility of a certain amount of inevitable damage. This, it seems to me, is bound to occur where the costs of preventing predictable damage far outweigh the actual costs of that damage. To take one example, a public authority, depending on the nature of the threat posed to life and limb, might incur considerable difficulty in justifying to its ratepayers a decision to disburse annually an extra million dollars for a program of inspection that stood merely to forestall damage of one hundred thousand dollars.

But the decision not to inspect in such circumstances does not change the fact that the resultant damage should properly be viewed as a cost of running the system. Similarly, in *Schenck v. The Queen in Right of Ontario*, there were no doubt alternative ways to make highways passable in winter, but they probably came at substantially greater cost. If one can judge from the almost universal use of salt in this country, there was no realistic alternative. To my mind, the flaw in the inevitability test, as traditionally expressed, is that it does not take due account of the fact that "inevitable" damage is often nothing but a hidden cost of running a given system.

In short, I question the applicability to the facts of the instant case of the defence of statutory authority as it is conventionally formulated. Where, as here, the authorizing statute does not specifically provide that a right of action in nuisance is taken away (see *Arif v. City of Fredericton* (1986), 77 NBR (2d) 34 (QB) for an example of a statute that does take away such a right), I see no point in donning the cloak of a soothsayer to plumb the intent of the legislature. After all, if the legislature wishes to shift the risk from a public authority to the individual, it can do so in express terms. I see no reason why it should be presumed to be authorizing a serious nuisance. Nor do I accept that any weight should be accorded a showing by the public body that damage was inevitable. The determination that damage was inevitable, in the sense in which that term was defined earlier, does not provide a rationale for concluding that it is reasonable to demand of the person whom misfortune has singled out that he or she pay for the damage concerned. The costs of damage that is an inevitable consequence of the provision of services that benefit the public at large should be borne equally by all those who profit from the service.

Rather than approaching the matter in this way, I think the best way to resolve the problem is to proceed rather as one does when facing a claim in nuisance between two private individuals, and ask whether, given all the circumstances, it is reasonable to refuse to compensate the aggrieved party for the damage he has suffered. When the problem is stated in this fashion, I fail to see any reason that would compel this result on the facts of this case.

This does not denude the defence of statutory authority of all vigour. If, as Lord Dunedin explained, the legislature has authorized the construction of a work at a particular place, the owner of neighbouring land cannot complain if that work is built there. Similarly, if the legislature authorizes the construction of a work, such as a sewerage system, the adjacent landowners cannot complain of ordinary disturbances or loss of amenity that necessarily results to them from its construction or operation if it is built and operated with all reasonable care and skill. To permit action by a landowner in such circumstances (assuming this can be regarded as a nuisance) would in effect be to deny the statutory mandate. Again, if a municipality is given

statutory authority to construct a garbage dump, landowners in the vicinity where it is built will not suffer an actionable wrong from unavoidable smells emitted from the dump or increased traffic from trucks. But if toxic waste escapes into their basements or wells, this would pose a completely different issue.

The damage in the present case is attributable to a single calamitous event which, in turn, finds its origin in the operation by the respondent of a service of undoubted public utility. This circumstance in itself provides no rationale for denying compensation. As McIntyre JA put it in *Royal Anne Hotel Co. v. Ashcroft*, supra, at p. 468, this would have the effect of visiting a disproportionate share of the cost of the beneficial service on the hapless individual who suffered the damage. As I earlier observed, damage attributable to a calamitous event such as the flooding that occurred here should rather be viewed as what it in fact is, a part of the overall cost of providing a beneficial service to the community. As such it is appropriate, in my view, that the obligation of meeting such costs be placed on the body that undertakes it. That body, unlike its hapless victim, is in a position to defray the cost by spreading it among all subscribers to the system. In the alternative, if the authority is to bear the costs of accidents of this nature, it may realize that it is more cost-effective to forestall their occurrence by increasing the frequency of inspections.

I do not share the qualms of the Court of Appeal that to hold the respondent liable in this instance, in the absence of a showing that it was negligent, will make of it an "absolute insurer in respect of all its works." To evoke this spectre of indeterminate liability is, with respect, to lose sight of the fact that a plaintiff does not, as a matter of course, win an action in nuisance on a mere showing that he has suffered damage as a result of interference with the use or enjoyment of his land There is always the question whether the injury is one for which it is reasonable or unreasonable to award compensation, and this holds true whether the defendant is a private individual or a statutory body. I see no reason to doubt that in many cases the courts, when called upon to strike a balance between the interests of the private citizen and a statutory body, will conclude that it is appropriate that the interests of the private citizen yield to those of the public at large.

Without purporting to formulate a hard and fast rule, it seems to me that a useful distinction exists between isolated and infrequent occurrences which inflict heavy material damage on a single victim, such as we are concerned with in this case, and those ordinary disturbances diffuse in their effect and having a broad and general impact on the comfort, convenience and material well-being of the public at large. We all have to put up with a certain degree of inconvenience, and indeed some material harm as a price of living in organized society. We accept, for example, that we can look to no one for redress because salt on the roads causes our cars to rust out in five years, but as *Schenck v. The Queen in Right of Ontario*, supra, has shown, it is unreasonable that an individual's land be subjected to random and severe damage from that activity without compensation. The test for recovery in nuisance, after all, is whether the effect of the activity on a landowner's enjoyment of property is unreasonable or not. I, therefore, see no ground for viewing a finding of liability on the part of the Board as in any way a floodgates decision that stands, in the long term, to compromise the ability of statutory authorities duly to carry out their legislative mandates I would allow the appeal, set aside the judgment of the Court of Appeal and restore the judgment of the trial judge. The appellants are entitled to their costs throughout.

SOPINKA J: ... The burden of proof with respect to the defence of statutory authority is on the party advancing the defence. It is not an easy one. The courts strain against a conclusion that private rights are intended to be sacrificed for the common good.

The defendant must negative that there are alternate methods of carrying out the work. The mere fact that one is considerably less expensive will not avail. If only one method is practically feasible, it must be established that it was practically impossible to avoid the nuisance. It is insufficient for the defendant to negative negligence. The standard is a higher one. While the defence gives rise to some factual difficulties, in view of the allocation of the burden of proof they will be resolved against the defendant.

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In my opinion, the heavier onus which must be discharged was not met in this case. The trial judge so found. I therefore would dispose of the appeal as proposed by my colleagues.

NOTE

In *Ryan v Victoria (City)*, [1999] 1 SCR 201, a judgment of the court delivered by Major J made the following observations about *Tock*:

54 Statutory authority provides, at best, a narrow defence to nuisance. The traditional rule is that liability will not be imposed if an activity is authorized by statute and the defendant proves that the nuisance is the “inevitable result” or consequence of exercising that authority. ... An unsuccessful attempt was made in *Tock* to depart from the traditional rule. Wilson J. writing for herself and two others, sought to limit the defence to cases involving either mandatory duties or statutes which specify the precise manner of performance. La Forest J. (Dickson C.J. concurring) took the more extreme view that the defence should be abolished entirely unless there is an express statutory exemption from liability. Neither of those positions carried a majority.

55 In the absence of a new rule it would be appropriate to restate the traditional view, which remains the most predictable approach to the issue and the simplest to apply. That approach was expressed by Sopinka J. in *Tock* ...

ANTRIM TRUCK CENTRE LTD V ONTARIO (TRANSPORTATION) 2013 SCC 13, [2013] 1 SCR 594

[The appellant owned and operated a truck stop. The respondent province reconfigured the highways in the area, thus effectively putting the appellant out of business because motorists could now get to its property only by a circuitous route. The appellant applied to the Ontario Municipal Board under the *Expropriations Act*, RSO 1990, c E.26, which provides for compensation for “such reduction in the market value of the land of the owner, and ... such personal and business damages ... as the statutory authority would be liable for if the construction were not under the authority of a statute.” The Board awarded compensation on the ground that, in the absence of statutory authorization, the reconfiguring of the highways would have been a private nuisance. This award was set aside by the Court of Appeal on the grounds that (1) the Board failed to consider the character of the neighbourhood and the sensitivity of the complainant, and (2) the Board “failed to recognize the elevated importance of the utility of the defendant’s conduct where the interference is the product of an ‘essential public service.’” The truck-stop owner appealed to the Supreme Court of Canada.]

CROMWELL J (for the court):

C. FIRST QUESTION: WHAT ARE THE ELEMENTS OF PRIVATE NUISANCE?

[18] [A] nuisance consists of an interference with the claimant's use or enjoyment of land that is both substantial and unreasonable ...

[19] The elements of a claim in private nuisance have often been expressed in terms of a two-part test of this nature: to support a claim in private nuisance the interference with the owner's use or enjoyment of land must be both *substantial* and *unreasonable*. A substantial interference with property is one that is non-trivial. Where this threshold is met, the inquiry proceeds to the reasonableness analysis, which is concerned with whether the non-trivial interference was also unreasonable in all of the circumstances.

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[22] What does this threshold require? ... [A] substantial injury to the complainant's property interest is one that amounts to more than a slight annoyance or trifling interference. As La Forest J. put it in *Tock v. St. John's Metropolitan Area Board*, [1989] 2 S.C.R. 1181, actionable nuisances include "only those inconveniences that materially interfere with ordinary comfort as defined according to the standards held by those of plain and sober tastes," and not claims based "on the prompting of excessive 'delicacy and fastidiousness'" ... Claims that are clearly of this latter nature do not engage the reasonableness analysis.

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D. SECOND QUESTION: HOW IS REASONABLENESS ASSESSED IN THE CONTEXT OF INTERFERENCE CAUSED BY PROJECTS THAT FURTHER THE PUBLIC GOOD?

[25] The main question here is how reasonableness should be assessed when the activity causing the interference is carried out by a public authority for the greater public good. As in other private nuisance cases, the reasonableness of the interference must be assessed in light of all of the relevant circumstances. The focus of that balancing exercise, however, is on whether the interference is such that it would be unreasonable in all of the circumstances to require the claimant to suffer it without compensation.

[26] In the traditional law of private nuisance, the courts assess, in broad terms, whether the interference is unreasonable by balancing the gravity of the harm against the utility of the defendant's conduct in all of the circumstances: see, e.g., A.M. Linden and B. Feldthusen, *Canadian Tort Law* (9th ed. 2011), at p. 580. The Divisional Court and the Court of Appeal identified several factors that have often been referred to in assessing whether a substantial interference is also unreasonable. In relation to the gravity of the harm, the courts have considered factors such as the severity of the interference, the character of the neighbourhood and the sensitivity of the plaintiff: see, e.g., *Tock*, at p. 1191. The frequency and duration of an interference may also be relevant in some cases: *Royal Anne Hotel*, at pp. 760-61. A number of other factors, which I will turn to shortly, are relevant to consideration of the utility of the defendant's conduct. The point for now is that these factors are not a checklist; they are simply "[a]mong the criteria employed by the courts in delimiting the ambit of the tort of nuisance": *Tock*, at p. 1191; J.P.S. McLaren, "Nuisance in Canada," in A.M. Linden, ed., *Studies In Canadian Tort Law* (1968), 320, at pp. 346-47. Courts and

tribunals are not bound to, or limited by, any specific list of factors. Rather, they should consider the substance of the balancing exercise in light of the factors relevant in the particular case.

[27] The way in which the utility of the defendant's conduct should be taken into account in the reasonableness analysis is particularly important in this case and would benefit from some explanation.

[28] The first point is that there is a distinction between the utility of the conduct, which focuses on its purpose, such as construction of a highway, and the nature of the defendant's conduct, which focuses on how that purpose is carried out. Generally, the focus in nuisance is on whether the *interference suffered by the claimant* is unreasonable, not on whether *the nature of the defendant's conduct* is unreasonable. This point was made by the court in *Jespersen's Brake & Muffler Ltd. v. Chilliwack (District)* (1994), 88 B.C.L.R. (2d) 230 (C.A.). In that case, the construction of an overpass resulted in a 40 percent drop in the market value of the claimant's lands. The statutory authority argued that the claimant had to establish (and had failed to do so) that the *statutory authority* had used its land unreasonably. The Court of Appeal correctly rejected that contention. The focus of the reasonableness analysis in private nuisance is on the character and extent of the interference with the claimant's land; the burden on the claimant is to show that the interference is substantial and unreasonable, not to show that the defendant's use of its own land is unreasonable.

[29] The nature of the defendant's conduct is not, however, an irrelevant consideration. Where the conduct is either malicious or careless, that will be a significant factor in the reasonableness analysis: see e.g. *Linden and Feldthusen*, at pp. 590-91; *Fleming*, at s. 21.110; *Street on Torts*, at p. 439. Moreover, where the defendant can establish that his or her conduct was reasonable, that can be a relevant consideration, particularly in cases where a claim is brought against a public authority. A finding of reasonable conduct will not, however, necessarily preclude a finding of liability. The editors of *Fleming's The Law of Torts* put this point well at s. 21.120:

[U]nreasonableness in nuisance relates primarily to the character and extent of the harm caused rather than that threatened. ... [T]he "duty" not to expose one's neighbours to a nuisance is not necessarily discharged by exercising reasonable care or even all possible care. In that sense, therefore, liability is strict. At the same time, evidence that the defendant has taken *all possible precaution* to avoid harm is not immaterial, because it has a bearing on whether he subjected the plaintiff to an unreasonable interference, and is decisive in those cases where the offensive activity is carried on under statutory authority. ... [I]n nuisance it is up to the defendant to exculpate himself, once a *prima facie* infringement has been established, for example, by proving that his own use was "natural" and not unreasonable. [Emphasis added.]

[30] The second point is that the utility of the defendant's conduct is especially significant in claims against public authorities. Even where a public authority is involved, however, the utility of its conduct is always considered in light of the other relevant factors in the reasonableness analysis; it is not, by itself, an answer to the reasonableness inquiry. Moreover, in the reasonableness analysis, the severity of the harm and the public utility of the impugned activity are not equally weighted considerations. If they were, an important public purpose would always override even very significant harm caused by carrying it out. As the editors of *Fleming's The Law of Torts* put it, the utility consideration "must not be pushed too far. ... [A] defendant cannot simply justify his infliction of great harm upon the plaintiff by urging that a

greater benefit to the public at large has accrued from his conduct": s. 21.110. The words of McIntyre J.A. in *Royal Anne Hotel* are apposite:

There is no reason why a disproportionate share of the cost of such a beneficial service should be visited upon one member of the community by leaving him uncompensated for damage caused by the existence of that which benefits the community at large. [p. 761]

[31] *The Queen v. Loiselle*, [1962] S.C.R. 624, demonstrates that even a very important public purpose does not simply outweigh the individual harm to the claimant. Mr. Loiselle operated a garage and service station on the main Montréal–Valleyfield highway. His business ended up on a dead-end highway as a result of the construction of the St. Lawrence Seaway. This Court upheld an award of compensation for injurious affection, noting that the "statutory authority given to construct the works in question was ... expressly made subject to the obligation to pay compensation for damage to lands injuriously affected": p. 627. In other words, the landowner was entitled to compensation even though construction of the Seaway served an important public objective.

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[38] Generally speaking, the acts of a public authority will be of significant utility. If simply put in the balance with the private interest, public utility will generally outweigh even very significant interferences with the claimant's land. That sort of simple balancing of public utility against private harm undercuts the purpose of providing compensation for injurious affection. That purpose is to ensure that individual members of the public do not have to bear a disproportionate share of the cost of procuring the public benefit. This purpose is fulfilled, however, if the focus of the reasonableness analysis is kept on whether it is reasonable for the individual to bear the interference without compensation, not on whether it was reasonable for the statutory authority to undertake the work. In short, the question is whether the damage flowing from the interference should be properly viewed as a cost of "running the system" and therefore borne by the public generally, or as the type of interference that should properly be accepted by an individual as part of the cost of living in organized society: *Tock*, at p. 1200.

[39] ... The distinction is thus between, on one hand, interferences that constitute the "give and take" expected of everyone and, on the other, interferences that impose a disproportionate burden on individuals. That in my view is at the heart of the balancing exercise involved in assessing the reasonableness of an interference in light of the utility of the public authority's conduct.

[40] Of course, not every substantial interference arising from a public work will be unreasonable. The reasonableness analysis should favour the public authority where the harm to property interests, considered in light of its severity, the nature of the neighbourhood, its duration, the sensitivity of the plaintiff and other relevant factors, is such that the harm cannot reasonably be viewed as more than the claimant's fair share of the costs associated with providing a public benefit. This outcome is particularly appropriate where the public authority has made all reasonable efforts to reduce the impact of its works on neighbouring properties.

[41] It is clear, for example, that everyone must put up with a certain amount of temporary disruption caused by essential construction. Although not a case involving a public authority, the judgment of Sir Wilfrid Greene M.R. in *Andreae v. Selfridge & Co., Ltd.*, [1938] 1 Ch. 1, is instructive:

[W]hen one is dealing with temporary operations, such as demolition and rebuilding, everybody has to put up with a certain amount of discomfort, because operations of that kind cannot be carried on at all without a certain amount of noise and a certain amount of dust. Therefore, the rule with regard to interference must be read subject to this qualification ... that in respect of operations of this character, such as demolition and building, if they are reasonably carried on and all proper and reasonable steps are taken to ensure that no undue inconvenience is caused to the neighbours, whether from noise, dust, or other reasons, the neighbours must put up with it. [pp. 5-6]

[42] There are several important ideas in this quotation. One is that the duration of the interference is a relevant consideration. Admittedly, duration was not a relevant factor in this case because the injury was permanent. In cases where it is relevant however, it is helpful to consider that some sorts of temporary inconvenience are more obviously part of the normal “give and take” than are more prolonged interferences. While temporary interferences may certainly support a claim in nuisance in some circumstances, interferences that persist for a prolonged period of time will be more likely to attract a remedy: see, in the context of public nuisance, *Wildtree Hotels Ltd. v. Harrow London Borough Council*, [2001] 2 A.C. 1 (H.L.).

[43] Another important idea is that the traditional consideration relating to the character of the neighbourhood may be highly relevant in the overall balancing. This point is particularly relevant in cases where a claim is brought against a public authority. As Michael Senzilet has written,

With the urban environments of today, people live much closer together and much closer to public corridors than they did 100 years ago ... In today's urban fabric, buildings are closer together, closer to roads, building lots are smaller, and there are far more public projects that are both possible and required. Surely, the choice of living in the urban core, in a suburb, or in the countryside exposes one to differences and one's choice must be made taking into account those differences.

“Compensation for Injurious Affection Where No Land Is Taken,” unpublished LL.M. thesis, University of Ottawa (1987), at p. 73)

[44] A final point emerging from the *Andreae* case, which I alluded to above, relates to the manner in which the work is carried out. While nuisance focuses mainly on the harm and not on the blameworthiness of the defendant's conduct, the fact that a public work is carried out with “all reasonable regard and care” for the affected citizens is properly part of the reasonableness analysis: see, e.g., *Allen v. Gulf Oil Refining Ltd.*, [1981] A.C. 1001, per Lord Wilberforce, at p. 1011.

[45] To sum up on this point, my view is that in considering the reasonableness of an interference that arises from an activity that furthers the public good, the question is whether, in light of all of the circumstances, it is unreasonable to expect the claimant to bear the interference without compensation. ...

F. FOURTH QUESTION: DID THE COURT OF APPEAL ERR IN FINDING THAT THE BOARD'S APPLICATION OF THE LAW OF NUISANCE TO THE FACTS WAS UNREASONABLE?

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[54] Provided that the Board reasonably carried out the analysis in substance, it was not required to specifically enumerate and refer by name to every factor mentioned in the case law. As La Forest J. made clear in *Tock*, the factors he enumerated

are simply examples of the sorts of criteria that the courts have articulated as being potentially of assistance in weighing the gravity of the harm with the utility of the defendant's conduct. They do not make up either an exhaustive or an essential list of matters that must be expressly considered in every case. ...

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[56] Similarly in my view, the Board did not fail to take account of the utility of the respondent's activity or fail to engage in the required balancing as the Court of Appeal concluded it had. As we have seen, the Board adverted to the importance of the highway construction. It did not, however, allow that concern to swamp consideration of whether it was reasonable to require the appellant to bear without compensation the burden inflicted on it by the construction. The Board properly understood that the purpose of the statutory compensation scheme for injurious affection was to ensure that individuals do not have to bear a disproportionate burden of damage flowing from interference with the use and enjoyment of land caused by the construction of a public work. It was reasonable for the Board to conclude that in all of the circumstances, the appellant should not be expected to endure permanent interference with the use of its land that caused a significant diminution of its market value in order to serve the greater public good.

III. REMEDIES

COVENTRY V LAWRENCE

[2014] 1 AC 822 (UKSC)

LORD NEUBERGER: ... Where a claimant has established that the defendant's activities constitute a nuisance, *prima facie* the remedy to which she is entitled (in addition to damages for past nuisance) is an injunction to restrain the defendant from committing such nuisance in the future; of course, the precise form of any injunction will depend very much on the facts of the particular case. However, ever since Lord Cairns' Act (the Chancery Amendment Act 1858 (21 & 22 Vict c 27)), the court has had power to award damages instead of an injunction in any case, including a case of nuisance Where the court decides to refuse the claimant an injunction to restrain a nuisance, and instead awards her damages, such damages are conventionally based on the reduction in the value of the claimant's property as a result of the continuation of the nuisance. Subject to what I say ... below, this is clearly the appropriate basis for assessing damages, given that nuisance is a property-related tort and what constitutes a nuisance is judged by the standard of the ordinary reasonable person.

The question which arises is what, if any, principles govern the exercise of the court's jurisdiction to award damages instead of an injunction. The case which is probably most frequently cited on the question is *Shelfer v City of London Electric Lighting Co* [1895] 1 Ch 287.

In *Shelfer*, the Court of Appeal upheld the trial judge's decision to grant an injunction to restrain noise and vibration. Lindley LJ said at pp 315–316:

[E]ver since Lord Cairns' Act was passed the Court of Chancery has repudiated the notion that the legislature intended to turn that court into a tribunal for legalising wrongful acts; or in other words, the court has always protested against the notion

that it ought to allow a wrong to continue simply because the wrongdoer is able and willing to pay for the injury he may inflict. Neither has the circumstance that the wrongdoer is in some sense a public benefactor (e.g., a gas or water company or a sewer authority) ever been considered a sufficient reason for refusing to protect by injunction an individual whose rights are being persistently infringed.

A L Smith LJ said at pp 322–323, in a frequently cited passage:

[A] person by committing a wrongful act (whether it be a public company for public purposes or a private individual) is not thereby entitled to ask the court to sanction his doing so by purchasing his neighbour's rights, by assessing damages in that behalf, leaving his neighbour with the nuisance ... In such cases the well known rule is not to accede to the application, but to grant the injunction sought, for the plaintiff's legal right has been invaded, and he is *prima facie* entitled to an injunction.

There are, however, cases in which this rule may be relaxed, and in which damages may be awarded in substitution ... In my opinion, it may be stated as a good working rule that—(1) If the injury to the plaintiff's legal rights is small, (2) And is one which is capable of being estimated in money, (3) And is one which can be adequately compensated by a small money payment, (4) And the case is one in which it would be oppressive to the defendant to grant an injunction—then damages in substitution for an injunction may be given.

[After reviewing the cases, Lord Neuberger specified two problems: the stringency of the *Shelfer* approach, and the role of the public interest. He continued:]

The court's power to award damages in lieu of an injunction involves a classic exercise of discretion, which should not, as a matter of principle, be fettered, particularly in the very constrained way in which the Court of Appeal has suggested ... And, as a matter of practical fairness, each case is likely to be so fact-sensitive that any firm guidance is likely to do more harm than good. On this aspect, I would adopt the observation of Millett LJ in *Jaggard* [1995] 1 WLR 269, 288, where he said:

Reported cases are merely illustrations of circumstances in which particular judges have exercised their discretion, in some cases by granting an injunction, and in others by awarding damages instead. Since they are all cases on the exercise of a discretion, none of them is a binding authority on how the discretion should be exercised. The most that any of them can demonstrate is that in similar circumstances it would not be wrong to exercise the discretion in the same way. But it does not follow that it would be wrong to exercise it differently.

Having approved that statement, it is only right to acknowledge that this does not prevent the courts from laying down rules as to what factors can, and cannot, be taken into account by a judge when deciding whether to exercise his discretion to award damages in lieu. Indeed, it is appropriate to give as much guidance as possible so as to ensure that, while the discretion is not fettered, its manner of exercise is as predictable as possible. I would accept that the *prima facie* position is that an injunction should be granted, so the legal burden is on the defendant to show why it should not. ...

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Where does that leave A L Smith LJ's four tests? ... First, the application of the four tests must not be such as "to be a fetter on the exercise of the court's discretion." Secondly, it would, in the absence of additional relevant circumstances pointing the

other way, normally be right to refuse an injunction if those four tests were satisfied. Thirdly, the fact that those tests are not all satisfied does not mean that an injunction should be granted.

As for the second problem, that of public interest, I find it hard to see how there could be any circumstances in which it arose and could not, as a matter of law, be a relevant factor. Of course, it is very easy to think of circumstances in which it might arise but did not begin to justify the court refusing, or, as the case may be, deciding, to award an injunction if it was otherwise minded to do so. But that is not the point. The fact that a defendant's business may have to shut down if an injunction is granted should, it seems to me, obviously be a relevant fact, and it is hard to see why relevance should not extend to the fact that a number of the defendant's employees would lose their livelihood, although in many cases that may well not be sufficient to justify the refusal of an injunction. Equally, I do not see why the court should not be entitled to have regard to the fact that many other neighbours in addition to the claimant are badly affected by the nuisance as a factor in favour of granting an injunction.

It is also right to mention planning permission in this context. In some cases, the grant of planning permission for a particular activity (whether carried on at the claimant's, or the defendant's, premises) may provide strong support for the contention that the activity is of benefit to the public, which would be relevant to the question of whether or not to grant an injunction. Accordingly, the existence of a planning permission which expressly or inherently authorises carrying on an activity in such a way as to cause a nuisance by noise or the like, can be a factor in favour of refusing an injunction and compensating the claimant in damages. This factor would have real force in cases where it was clear that the planning authority had been reasonably and fairly influenced by the public benefit of the activity, and where the activity cannot be carried out without causing the nuisance complained of. However, even in such cases, the court would have to weigh up all the competing factors.

In some such cases, the court may well be impressed by a defendant's argument that an injunction would involve a loss to the public or a waste of resources on account of what may be a single claimant, or that the financial implications of an injunction for the defendant would be disproportionate to the damage done to the claimant if she was left to her claim in damages. In many such cases, particularly where an injunction would in practice stop the defendant from pursuing the activities, an injunction may well not be the appropriate remedy.

Since writing this, I have read with interest Lord Sumption's suggestions as to how the law on the topic of damages instead of an injunction in nuisance cases might develop. At any rate on the face of it, I can see much merit in the proposals which he proffers. However, it would be inappropriate to go further than I have gone at this stage, in the light of the arguments which were raised on this appeal. There may well be objections, qualifications, and alternatives which could be made in relation to Lord Sumption's suggested approach, and they should be considered before the law on this topic is developed further. ...

A final point which it is right to mention on this issue is the measure of damages, where a judge decides to award damages instead of an injunction. It seems to me at least arguable that, where a claimant has a *prima facie* right to an injunction to restrain a nuisance, and the court decides to award damages instead, those damages should not always be limited to the value of the consequent reduction in the value of the claimant's property. While double counting must be avoided, the damages might well, at least where it was appropriate, also include the loss of the claimant's ability to enforce her rights, which may often be assessed by reference to the benefit to the defendant of not suffering an injunction.

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LORD SUMPTION: ... In my view, the decision in *Shelfer* is out of date, and it is unfortunate that it has been followed so recently and so slavishly. It was devised for a time in which England was much less crowded, when comparatively few people owned property, when conservation was only beginning to be a public issue, and when there was no general system of statutory development control. The whole jurisprudence in this area will need one day to be reviewed in this court. There is much to be said for the view that damages are ordinarily an adequate remedy for nuisance and that an injunction should not usually be granted in a case where it is likely that conflicting interests are engaged other than the parties' interests. In particular, it may well be that an injunction should as a matter of principle not be granted in a case where a use of land to which objection is taken requires and has received planning permission. However, at this stage, in the absence of argument on these points, I can do no more than identify them as calling for consideration in a case in which they arise.

NOTES

1. The rationale for the *Shelfer* rule mentioned in *Coventry v Lawrence* was perhaps most uncompromisingly stated by Idington J in *Canada Paper Co v Brown* (1922), 63 SCR 243 (on appeal from Quebec). In that case, the plaintiff owned property that had, for several generations, belonged to his family and on which he built an expensive country home. Nearby, the defendant appellant worked a pulp mill, whose factories were the most important industry in the small town of Windsor. The mill was operating before the plaintiff acquired his land. But after his house had been built, the defendant introduced the use of sulphates for commercial reasons, which seriously inconvenienced the plaintiff by the emission of noxious fumes. At times, the fumes rendered the plaintiff's home uninhabitable. Idington J stated:

The appellant for mere commercial reasons, disregarding the rights of respondent and all others, saw fit to introduce, in the conduct of its business, a process in the use of sulphate which produced malodorous fumes which polluted the air, which the respondent was as owner for himself and his family and guests fully entitled to enjoy in said home and on said property, to such an extent as to render them all exceedingly uncomfortable.

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The argument, that because the exercise by appellant of powers it arrogates to itself but are non-existent in law, may conduce to the prosperity of the little town or village in which the appellants' works are situated, seems to have led to a mass of irrelevant evidence being adduced, and as a result thereof the confusion of thought that produces the remarkable conclusion that because the prosperity of said town or village would be enhanced by the use of the new process therefore the respondent has no rights upon which to rest his rights of property.

I cannot assent to any such mode of reasoning or that there exists in law any such basis for taking from any man his property and all or any part of what is implied therein.

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The invasion of rights incidental to the ownership of property, or the confiscation thereof, may suit the grasping tendencies of some and incidentally the needs or desires of the majority in any community benefiting thereby; yet such a basis or principle of action should be stoutly resisted by our courts, in answer to any such like demands or assertions of social right unless and until due compensation made by due process of law.

Progress may be legislatively made in that direction by many means offering due compensation to the owners, but we must abide by the fundamental law as we find it until changed.

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And, I respectfully submit, that as long as we keep in view the essential merits of the remedy in the way of protecting the rights of property and preventing them from being invaded by mere autocratic assertions of what will be more conducive to the prosperity of the local community by disregarding such rights, we will not go far astray in taking as our guide the reasoning of any jurisprudence which recognizes the identical aim of protecting people in their rights of property when employing their remedy of perpetual injunction.

2. Contrast the attitude of Idington J in *Brown* with that of Middleton J in *Black v Canadian Copper Co* (1917), 12 OWN 243 (HC), reported as follows:

Action for damages alleged to have been sustained by the plaintiffs respectively in respect of their neighbouring farms and gardens, etc., from vapours contained in metallurgical smoke issuing from the roast-beds and smelter-stacks of the defendants, near Sudbury. In all these actions claims were originally made for injunctions, but these claims were abandoned and the cases resolved themselves mainly, if not altogether, into assessments of damages ... MIDDLETON J, in an elaborate written judgment, said that the difficulty was to ascertain what damage, if any, had been done by the emission of the smoke-vapours from the roast-beds and smelter-stacks. Mines cannot be operated without the production of smoke from the roast-yards and smelters, which smoke contains very large quantities of sulphur dioxide. There are circumstances in which it is impossible for the individual so to assert his individual rights as to inflict a substantial injury upon the whole community. If the mines should be prevented from operating, that community could not exist at all. Once close the mines, and the mining community would be at an end, and farming would not long continue. Any capable farmer would find farms easier to operate and nearer general markets if the local market ceased. The consideration of this situation induced the plaintiff's counsel to abandon the claims for injunctions. The Court ought not to destroy the mining industry—nickel is of great value to the world—even if a few farms are damaged or destroyed: but in all such cases compensation, liberally estimated, ought to be awarded.

3. *Boomer v Atlantic Cement Co*, 257 NE 2d 870 (NYCA 1970), a leading US case, reversed the New York equivalent of the *Shelfer* rule. The defendant operated a large cement plant and neighbouring landowners brought actions for injunction and damages complaining of injury to their property caused by dirt, smoke, and vibrations coming from the defendant's plant. The court, impressed by the large disparity in economic consequences of the nuisance and of the injunction, held, Jasen J dissenting, that although a nuisance existed, the plaintiff could recover damages but ought not to be granted an injunction. Observing that "[a] court performs its essential function when it decides the rights of the parties before it," the court considered the control and amelioration of air pollution to be beyond its competence. It rejected the alternative of postponing the effect of an injunction to a specified future date so as to let the defendant have the opportunity to devise new pollution controls because there was no assurance that any significant technical improvement could occur. It would place an unacceptable burden on the defendant to discover a solution that had thus far escaped the cement industry as a whole and penalize the defendant alone among members of the industry if it was unable to do so. Noting that the defendant had invested more than \$45 million in the plant and employed over 300 people, the court remitted the case to the trial court "to grant an injunction which shall be vacated upon payment by defendant of such amounts of permanent damage to the respective plaintiffs as shall for this purpose be determined by the court."

4. In *KVP Co Ltd v McKie*, [1949] SCR 698, [1949] 4 DLR 497, the plaintiffs were individual landowners on the Spanish River and the defendant company operated a pulp and paper mill higher up the river. The plaintiffs' lands were used for various purposes, including agriculture, summer residences, and tourism. Refuse discharged polluted the river. At trial, McRuer CJHC found that offensive smells created by the pollution substantially interfered with the plaintiffs'

use and enjoyment of their properties and awarded them damages and an injunction against KVP Company Ltd. McRuer CJHC noted that only legislation could take away the plaintiffs' rights to be protected from a nuisance. The Court of Appeal unanimously dismissed an appeal launched by the defendant against the injunction.

After the Court of Appeal decision, the following amendment to the *Lakes and Rivers Improvement Act*, SO 1949, c 48, s 6, now RSO 1990, c L.3, s 39, was enacted by the Ontario legislature:

39(1) Where in an action or proceeding a person claims and but for this section would be entitled to, an injunction against the owner or occupier of a mill for an injury or damage, direct or consequential, sustained by the person, or for any interference directly or indirectly with any rights of the person as riparian proprietor or otherwise, by reason or in consequence of the throwing, depositing or discharging, or permitting the throwing, depositing or discharging of any refuse, sawdust, chemical, substance or matter from the mill or from it and other mills into a lake or river, or by reason or in consequence of any odour arising from any such refuse, sawdust, chemical, substance or matter so thrown, deposited or discharged or so permitted to be thrown, deposited or discharged, the court or judge may,

(a) refuse to grant an injunction if it is proved that having regard to all the circumstances and taking into consideration the importance of the operation of the mill to the locality in which it operates and the benefit and advantage, direct and consequential, which the operation of the mill confers on that locality and on the inhabitants of that locality, and weighing the same against the private injury, damage or interference complained of, it is on the whole proper and expedient not to grant the injunction

(2) Nothing in subsection (1) affects any right of the person claiming the injunction to damages against the owner or occupier of the mill for any such injury, damage or interference.

(3) Where damage from the same cause continues, the person entitled to the damages may apply from time to time in the same action or proceeding for the assessment of subsequent damages or for any other relief to which by subsequent events he from time to time becomes entitled.

The 1949 amendment was expressly made applicable "to every action or proceeding in which an injunction is claimed in respect of any of the matters mentioned in such section, including every pending action and proceeding and including every action or proceeding in which an injunction has been granted and in which any appeal is pending."

On further appeal to the Supreme Court of Canada, the appeal was dismissed. The amended statute was held not to affect the present litigation because it was not an enactment declaratory of what the law was deemed to be at the time of the Court of Appeal decision, and provincial law could not empower the Supreme Court to decide in a way that was impossible in law at the time of the decision of the Court of Appeal.

After the decision of the Supreme Court of Canada, the Ontario legislature enacted the *KVP Co Ltd Act*, SO 1950, c 33, which included the following terms:

1(1) Whether or not its operation is now stayed, every injunction heretofore granted against The KVP Company Limited, herein called "the Company" restraining the Company from polluting the waters of the Spanish River, is dissolved.

(2) The dissolution of any such injunction shall not prejudice the right of any person to damages heretofore awarded in the action in which any such injunction was granted and shall not prejudice the right of any person to damages suffered from the date of the trial in which any such injunction was granted to the date when the injunction would have, but for this Act, become effective.

2. Nothing in this Act shall prejudice the right of any person to bring any action against the Company arising from the pollution of the waters of the Spanish River.

5. Similar legislative intervention occurred as a result of *Stephens v The Village of Richmond Hill*, [1955] OR 806, [1955] 4 DLR 572 (Sup Ct), aff'd [1956] OR 88, [1956] 1 DLR (2d) 569 (CA). The defendant municipality constructed a sewage disposal plant on the Don River, as a result of which the river became severely polluted. The plaintiff, whose property the river ran through at a point downstream from the plant, brought an action for infringement of her riparian rights and claimed damages and an injunction. At trial, Stewart J found that her rights had been seriously interfered with and awarded damages. He also held that she was entitled to an injunction on the ground that public works must not be executed so as to interfere with the private rights of individuals unless the legislature decrees otherwise. Here the relevant enabling statute could not be interpreted so as to allow the defendant to rely on the defence of statutory authority, and in any case the damage had not been shown to be inevitable as the defence required. Stewart J then dealt with the issue of the public welfare in the following passage:

It has been further argued that, should these claims be granted, the people of Richmond Hill may in effect be deprived of the only readily and economically available method of disposing of their sewage. In fact, Mr. Wilson says that 95% of all municipalities which have similar sewage-disposal systems may be put to great expense in improving or changing them. It is quite natural and proper that Dr. Barry, Dr. King, Mr. Redfern, and Caverley (a member of the council of Richmond Hill) should insist upon the importance of the welfare of the people at large, but I conceive that it is not for the judiciary to permit the doctrine of utilitarianism to be used as a make-weight in the scales of justice. In civil matters, the function of the Court is to determine rights between parties. It investigates facts by hearing "evidence" (as tested by long-settled rules) and it investigates the law by consulting precedents. Rights or liabilities so ascertained cannot, in theory, be refused recognition and enforcement, and no judicial tribunal claims the power of refusal

It is the duty of the state (and of statesmen) to seek the greatest good for the greatest number. To this end, all civilized nations have entrusted much individual independence to their Governments. But be it ever remembered that no one is above the law. Neither those who govern our affairs, their appointed advisers, nor those retained to build great works for society's benefit, may act so as to abrogate the slightest right of the individual, save within the law. It is for Government to protect the general by wise and benevolent enactment. It is for me, or so I think, to interpret the law, determine the rights of the individual and to invoke the remedy required for their enforcement.

The defendant's appeal to the Ontario Court of Appeal was dismissed except that the order for damages was reversed, the plaintiff not having shown that she had suffered any actual injury. The granting of the injunction was upheld on the grounds that (1) the plaintiff had made out a *prima facie* case in nuisance, (2) a person whose proprietary rights have been interfered with is entitled to an injunction except in special circumstances (such as damages having been shown to be an adequate remedy), and (3) the municipality had no statutory authority either to build the sewage plant or to pollute the river without liability.

The Ontario legislature subsequently passed the *Public Health Amendment Act*, SO 1956, c 71, which by s 6(3) dissolved the injunction against the defendant municipality and retroactively deemed the sewage plant to have been constructed, maintained, and operated by statutory authority. Section 6(4) provided that any person's rights to damages in nuisance or negligence arising out of the construction and operation of the plant were preserved.

SPUR INDUSTRIES V DEL E WEBB DEVELOPMENT CO

494 P2d 700 (Ariz SC 1972)

CAMERON VCJ: From a judgment permanently enjoining the defendant, Spur Industries, Inc., from operating a cattle feedlot near the plaintiff Del E. Webb Development Company's Sun City, Spur appeals. Webb cross-appeals. Although numerous issues are raised, we feel that it is necessary to answer only two questions. They are:

1. Where the operation of a business, such as a cattle feedlot is lawful in the first instance, but becomes a nuisance by reason of a nearby residential area, may the feedlot operation be enjoined in an action brought by the developer of the residential area?
2. Assuming that the nuisance may be enjoined, may the developer of a completely new town or urban area in a previously agricultural area be required to indemnify the operator of the feedlot who must move or cease operation because of the presence of the residential area created by the developer?

[Cameron VCJ then outlined the facts. The defendant operated a cattle feedlot situated 15 miles west of Phoenix, in what had long been an agricultural district. The plaintiff purchased land (for considerably less than the price of land in urban Phoenix) in the neighbourhood of the feedlot in order to develop an urban area to be known as Sun City. As the development grew, it came closer and closer to the feedlot, until the developer encountered sales resistance because of the flies and smells of the feedlot.]

At the time of the suit, Spur was feeding between 20,000 and 30,000 head of cattle, and the facts amply support the finding of the trial court that the feed pens had become a nuisance to the people who resided in the southern part of Del Webb's development. The testimony indicated that cattle in a commercial feedlot will produce 35 to 40 pounds of wet manure per day, per head, or over a million pounds of wet manure per day for 30,000 head of cattle, and that despite the admittedly good feedlot management and good housekeeping practices by Spur, the resulting odor and flies produced an annoying if not unhealthy situation as far as the senior citizens of southern Sun City were concerned. There is no doubt that some of the citizens of Sun City were unable to enjoy the outdoor living which Del Webb had advertised and that Del Webb was faced with sales resistance from prospective purchasers as well as strong and persistent complaints from the people who had purchased homes in that area ...

It is noted, however, that neither the citizens of Sun City nor Youngtown are represented in this lawsuit and the suit is solely between Del E. Webb Development Company and Spur Industries ...

It is clear that as to the citizens of Sun City, the operation of Spur's feedlot was both a public and a private nuisance. They could have successfully maintained an action to abate the nuisance. Del Webb, having shown a special injury in the loss of sales, had a standing to bring suit to enjoin the nuisance. *Engle v. Clark*, 53 Ariz. 472; 90 P2d 994 (1939); *City of Phoenix v. Johnson*, supra. The judgment of the trial court permanently enjoining the operation of the feedlot is affirmed ...

There was no indication in the instant case at the time Spur and its predecessors located in western Maricopa County that a new city would spring up, full-blown, alongside the feeding operation and that the developer of that city would ask the court to order Spur to move because of the new city. Spur is required to move not

because of any wrongdoing on the part of Spur, but because of a proper and legitimate regard of the courts for the rights and interests of the public.

Del Webb, on the other hand, is entitled to the relief prayed for (a permanent injunction), not because Webb is blameless, but because of the damage to the people who have been encouraged to purchase homes in Sun City. It does not equitably or legally follow, however, that Webb, being entitled to the injunction, is then free of any liability to Spur if Webb has in fact been the cause of the damage Spur has sustained. It does not seem harsh to require a developer, who has taken advantage of the lesser land values in a rural area as well as the availability of large tracts of land on which to build and develop a new town or city in the area, to indemnify those who are forced to leave as a result.

Having brought people to the nuisance to the foreseeable detriment of Spur, Webb must indemnify Spur for a reasonable amount of the cost of moving or shutting down. It should be noted that this relief to Spur is limited to a case wherein a developer has, with foreseeability, brought into a previously agricultural or industrial area the population which makes necessary the granting of an injunction against a lawful business and for which the business has no adequate relief.

It is therefore the decision of this court that the matter be remanded to the trial court for a hearing upon the damages sustained by the defendant Spur as a reasonable and direct result of the granting of the permanent injunction. Since the result of the appeal may appear novel and both sides have obtained a measure of relief, it is ordered that each side will bear its own costs.

*Affirmed in part, reversed in part, and remanded
for further proceedings consistent with this opinion.*

HAYS CJ, STRUCKMEYER and LOCKWOOD JJ, and UDALL, Retired Justice, concur.

QUESTIONS

1. Who committed a tort in this case? Who was held liable? Who won?
2. If you agree with this decision, do you think that its reasoning should have been applied to *Miller v Jackson*, above?
3. What if the plaintiff had asked for damages rather than an injunction?
4. What do you think the result should be if the Sun City homeowners, rather than the developer, sued Spur? At the time of *Spur v Webb*, an action against Spur by over 400 property owners in Sun City was pending. After *Spur v Webb* was decided, Spur filed a third-party complaint against Webb so as to be able to obtain indemnity from Webb for damages for which Spur might be liable to the property owners. Webb contended that under the doctrine of *res judicata* Spur's third-party complaint was excluded because *Spur v Webb* had definitively settled Spur's claims against Webb. In *Spur Feeding Co v Superior Court of Maricopa County*, 505 P2d 1377 (Ariz SC 1973), Cameron VCJ (Hays CJ and Struckmeyer and Lockwood JJ concurring) held for Spur:

A reading of the opinion in *Spur v. Webb*, *supra*, leads us to the inescapable opinion that it is not *res judicata* as to the parties before the court in the instant case.

The previous opinion of this court in *Spur v. Webb*, *supra*, concerned itself with two parties and only two questions:

1. whether Spur's operation should be enjoined, and,
2. if so, who was going to pay for the cost of closing or moving.

In the present case before the court, we are concerned primarily with:

1. whether each of the over 400 plaintiffs have sustained any damages as a result of Spur's previous operation, and
2. if so, whether Webb's conduct as to each of the individual plaintiffs is such that Webb should be required to indemnify Spur as to any damages the court might find the plaintiffs are entitled to receive.

Not only are the parties different, but the facts of the case are different than those of the prior case of *Spur v. Webb*, supra. Defendant Spur is entitled to have litigated the conduct of Webb as to each of the plaintiffs and to have the question of indemnity litigated as to each of them.

Holohan J dissented:

Spur claims that Webb is liable to it because Webb knew of the cattle feeding operation of Spur, but it continued to develop its property for sale of homes which in turn resulted in suits by the home buyers against Spur. The Third Party complaint alleges that Webb could have prevented harm to the home buyers if they had been warned of the existence of what Spur delicately refers to as "odors emanating from the animals and body wastes produced by such animals." Spur alleges that its activity is passive and secondary, and Webb is the primary and active actor in causing the damage to home buyers who should have been warned of the odors caused by Spur's activities.

Inviting though the argument of Spur may be, it overlooks the fact that Spur was a wrongdoer as to Webb as well as the new buyers. Webb has a right to develop its land; Spur has no right to commit a nuisance. If the home buyers have a claim against Webb it is separate and distinct from the claim that they have against Spur. Webb had a right to have the nuisance created by Spur abated ...

Spur so conducted its activities that it increased the magnitude of offensive odors being sent beyond its land until the situation reached the state of affairs presented at the trial in the first Spur case. Spur had no right to restrict its neighbors from developing their land. Spur was a wrongdoer, and each year it magnified its wrong. Despite this condition, the Court decided in the first Spur case that Webb should pay to close down a nuisance and move it. Today the Court apparently holds that Webb must indemnify the wrongdoer for any damages caused to property owners by the operation of the nuisance.

5. According to Lewin, "Compensated Injunctions and the Evolution of Nuisance Law" (1986) 71 Iowa L Rev 775 at 792, the *Spur* controversies were resolved as follows:

On remand [of *Spur v Webb*], discovery was commenced on the issue of Spur's cost of moving, but the case was settled without a hearing. Although the terms of the settlement were not made public, they involved Spur moving the feedlot to a new location, with payment of an undisclosed sum of money by Del Webb to Spur ... The lawsuit of the residents was settled after the settlement of Del Webb's suit against Spur with the payment of undisclosed sums to the individual plaintiffs.

Lewin points out that *Spur v Webb* is the only reported case to award a compensated injunction.

SUPPLEMENTARY READING

- Atiyah, "Liability for Railway Nuisance in the English Common Law: A Historical Footnote" (1980) 23 *JL & Econ* 191.
- Atkin, "The Tort of Nuisance: 'Trucking On'" in Griffiths, Henaghan & Rodriguez, eds, *The Search for Certainty: Essays in Honour of John Smillie* (Wellington, NZ: Thomson Reuters, 2016) 60.
- Beever, *The Law of Private Nuisance* (Oxford: Hart, 2013) ch 3.
- Brenner, "Nuisance Law and the Industrial Revolution" (1974) 3 *J Leg Stud* 403.
- Calabresi & Melamed, "Property Rules, Liability Rules, and Inalienability: One View of the Cathedral" (1972) 85 *Harv L Rev* 1089.
- Campbell, "Of Coase and Corn: A (Sort of) Defence of Private Nuisance" (2000) 63 *Mod L Rev* 197.
- Epstein, "Nuisance Law: Corrective Justice and Its Utilitarian Constraints" (1979) 8 *J Leg Stud* 49.
- Nedelsky, "Judicial Conservatism in an Age of Innovation: Comparative Perspectives on Canadian Nuisance Law 1880-1930" in Flaherty, ed, *Essays in the History of Canadian Law*, vol 1 (Toronto: University of Toronto Press, 1981) 281.
- Ogus & Richardson, "Economics and the Environment: A Study of Private Nuisance" (1977) *Cambridge LJ* 284.
- Polinsky, "Resolving Nuisance Disputes: The Simple Economics of Injunctive and Damage Remedies" (1980) 32 *Stan L Rev* 1075.
- Rabin, "Nuisance Law: Rethinking Fundamental Assumptions" (1977) 63 *Va L Rev* 1299.

CHAPTER TWO

NEGLIGENCE: THE STANDARD OF CARE

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In this chapter we begin our consideration of negligence, the most important basis for liability in contemporary tort law. It is obvious that one person can harm another without intending to do so. Under what conditions is a person liable for these unintended harms? This question is addressed in this and the next several chapters.

The usual answer to this question (subject to some possible exceptions that we examine in Chapter 11) is that one is liable for the harms caused by one's negligence, with negligence conceived as the creation of unreasonable risk. However, this answer itself raises a number of further questions:

1. What counts as a harm—that is, what kinds of interests come under the protection of tort law?
2. What counts as a cause—that is, what kind of connection must exist between what the defendant has done and what the plaintiff has suffered?
3. What counts as negligence—that is, what is it that makes the risk created by the defendant's action unreasonable?

The negligence inquiry is thus complex and ramified, and in the following chapters we look at its various elements.

This chapter embarks on this task by examining the last question enumerated above. Our interest is in the standard of care that must be observed in one's interactions with others. On the one hand, tort law insists that generally the standard is objective (based on what a reasonable person would do) rather than subjective (based on what the defendant could do given his or her particular abilities). On the other hand, the law makes allowance for certain incapacities, such as those of the young and the insane. Can these apparently divergent views be reconciled? Moreover, what are the ingredients of reasonable care, and what is the connection between reasonableness (what a person ought to do) and practice or custom (what most persons so situated actually do)? Finally, how does one prove that the defendant acted unreasonably if there is little specific information about what the defendant did?

These doctrinal matters implicate a fundamental issue: how should tort law set the fair terms of interaction between one person and another? Given that risk is an inescapable concomitant of any action, negligence law in effect demarcates the boundary between the

defendant's freedom to act and the plaintiff's interest in security by treating certain risks as unreasonable. On what basis can negligence law intelligibly determine this boundary? As we will see, some commentators have suggested that courts proceed on a rough utilitarian or economic calculation by measuring the social good or weighing costs against benefits. Thus the material in this chapter replays in a different context some of the broad themes about the nature of a civil wrong adumbrated in the chapter on nuisance.

I. THE OBJECTIVE STANDARD

VAUGHAN V MENLOVE

(1837), 132 ER 490 (CP)

[At the trial it appeared that the rick, or haystack, in question had been made by the defendant near the boundary of his own premises; that the hay was in such a state when put together as to give rise to discussions on the probability of fire; that even though there were conflicting opinions on the subject, during a period of five weeks the defendant was repeatedly warned of this peril; that his stock was insured; and that upon one occasion, being advised to take the rick down to avoid all danger, he said "he would chance it." He made an aperture or chimney through the rick, but in spite, or perhaps in consequence, of this precaution, the rick at length burst into flames from the spontaneous heating of its materials; the flames communicated to the defendant's barn and stables, and thence to the plaintiff's cottages, which were entirely destroyed.]

Patteson J, before whom the cause was tried, told the jury that the question for them to consider was whether the fire had been occasioned by gross negligence on the part of the defendant, adding that he was bound to proceed with such reasonable caution as a prudent man would have exercised under such circumstances.

A verdict having been found for the plaintiff, a rule *nisi* for a new trial was obtained on the ground that the jury should have been directed to consider not whether the defendant had been guilty of gross negligence with reference to the standard of ordinary prudence, a standard too uncertain to afford any criterion, but whether he had acted bona fide to the best of his judgment; if he had, he ought not to be responsible for the misfortune of not possessing the highest order of intelligence. The action under such circumstances was of the first impression.]

TINDAL CJ: ... It is contended ... that the question ought to have been whether the Defendant had acted honestly and bona fide to the best of his own judgment. That, however, would leave so vague a line as to afford no rule at all, the degree of judgment belonging to each individual being infinitely various; and though it has been urged that the care which a prudent man would take, is not an intelligible proposition as a rule of law, yet such has always been the rule adopted in cases of bailment, as laid down in *Coggs v. Bernard* (2 Ld. Raym. 909). Though, in some cases a greater degree of care is exacted than in others, yet in "the second sort of bailment, viz. commodatum or lending gratis, the borrower is bound to the strictest care and diligence to keep the goods so as to restore them back again to the lender; because the bailee has a benefit by the use of them, so as if the bailee be guilty of the least neglect he will be answerable; as if a man should lend another a horse to go westward, or for a month; if the bailee put this horse in his stable, and he were stolen from thence, the bailee shall not be answerable for him; but if he or his servant leave the house or

stable doors open and the thieves take the opportunity of that, and steal the horse, he will be chargeable, because the neglect gave the thieves the occasion to steal the horse." The care taken by a prudent man has always been the rule laid down; and as to the supposed difficulty of applying it, a jury has always been able to say, whether, taking that rule as their guide, there has been negligence on the occasion in question.

Instead, therefore, of saying that the liability for negligence should be co-extensive with the judgment of each individual, which would be as variable as the length of the foot of each individual, we ought rather to adhere to the rule which requires in all cases a regard to caution such as a man of ordinary prudence would observe. That was in substance the criterion presented to the jury in this case, and therefore, the present rule must be discharged.

[PARK, GASELEE, and VAUGHAN JJ agreed that the rule should be discharged.]

NOTES

1. In *Buckley v Smith Transport Limited*, [1946] OR 798 (CA), a truck driven by an employee of the defendant came into an intersection at a high speed and rammed into a streetcar operated by the plaintiff. When sued for negligence on the basis of the employer's vicarious liability for the torts of employees committed in the course of employment, the defendant pleaded that the employee, suddenly and without warning, had become insane and imagined that the truck was under some kind of remote electrical control manipulated from the employer's head office, as a result of which he could not control its speed or stop it. Doctors found that the employee was suffering from syphilis of the brain, and he died from the disease one month after the accident. The court held that no liability attached to the employee. The test regarding insanity was: Did the insane delusion make the defendant unable to understand the duty that rested on him and unable to discharge that duty? Thus, an insane delusion, unconnected or not sufficiently connected with the inability to understand and discharge this duty, would not free an insane defendant from liability for negligence. The onus of proof in this connection was always on the party alleging it. The court found that, at the time of the collision, the employee's mind was so affected by the disease that he neither understood nor was able to discharge the duty to take care.

Is this case consistent with *Vaughan v Menlove*?

2. In *Roberts v Ramsbottom*, [1980] 1 All ER 7 (QBD), the plaintiff was emerging from her parked car when it was struck by the car driven by the defendant. As a result, the plaintiff and her daughter were injured and her car damaged beyond repair. Shortly before the collision, the defendant had rear-ended a van and had knocked a boy off his bicycle. Neill J stated:

I can set out my findings shortly as follows. First, I find that the defendant suffered a stroke on 4th June 1976 and that the onset of the stroke began shortly before he left home at about 10:00 am. Second, that before he suffered that stroke the defendant had no previous symptoms or warning signs. Third, that following the onset of the stroke the defendant's consciousness was impaired. Fourth, that this state of impaired or clouded consciousness continued throughout the defendant's journey from his home to the point of impact in Bolton Road. Fifth, that the defendant did experience the feelings of queerness which he described to the police officer and did know at the time it happened that he had hit the van. Sixth, that throughout the journey to Bolton Road and up to the moment of impact with the Triumph car the defendant was sufficiently in possession of his faculties (i) to have some, though an impaired, awareness of his surroundings and the traffic conditions and (ii) to make a series of deliberate and voluntary though inefficient movements of his hands and legs to manipulate the controls of his car. Seventh, that the defendant was at no time aware of the

fact that he was unfit to drive; accordingly no moral blame can be attached to him for continuing to do so.

The standard of care by which a driver's actions are to be judged in an action based on negligence is an objective standard. Every driver, including a learner-driver "must drive in as good a manner as a driver of skill, experience and care, who is sound in wind and limb, who makes no errors of judgment, has good eyesight and hearing, and is free from any infirmity" ... (per Lord Denning in *Nettleship v. Weston*) The standard "eliminates the personal equation and is independent of the idiosyncrasies of the particular person whose conduct is in question" (see per Lord Macmillan in *Glasgow Corporation v. Muir*). As Salmon LJ said in *Nettleship v. Weston*: "On grounds of public policy, neither this criminal nor civil responsibility is affected by the fact that the driver in question may be a learner, infirm or drunk." ...

The liability of a driver in tort is not, however, a strict liability ... [A] defendant may be able to rebut a *prima facie* case of negligence by showing that a sudden affliction has rendered him unconscious or otherwise wholly incapable of controlling the vehicle

In the present case, however, I am not concerned with a total loss of consciousness but with a clouding or impairment of consciousness

The driver will be able to escape liability if his actions at the relevant time were wholly beyond his control. The most obvious case is sudden unconsciousness. But if he retained some control, albeit imperfect control, and his driving, judged objectively, was below the required standard, he remains liable. His position is the same as a driver who is old or infirm. In my judgment unless the facts establish what the law recognises as automatism the driver cannot avoid liability on the basis that owing to some malfunction of the brain his consciousness was impaired. Counsel for the plaintiff put the matter accurately, as I see it, when he said "One cannot accept as exculpation anything less than total loss of consciousness"

I therefore consider that the defendant is liable in law for his driving when he collided with the Triumph car in Bolton Road. I also consider that the plaintiffs would be entitled to succeed, if necessary, on the alternative ground put forward, that is, that the defendant continued to drive when he was unfit to do so and when he should have been aware of his unfitness. He was aware that he had been feeling queer and had hit the van. Owing to his mental state he was unable to appreciate that he should have stopped. As I have said, and I repeat, the defendant was in no way morally to blame, but that is irrelevant to the question of legal liability in this case. An impairment of judgment does not provide a defence. I consider that the defendant was in law guilty of negligence in continuing to drive because he was aware of his disabling symptoms and of his first collision even though he was not able to appreciate their proper significance.

Is this case consistent with *Buckley v Smith Transport*? How can the defendant be held liable if he is "in no way morally to blame"?

In *Mansfield v Weetabix*, [1998] 1 WLR 1263 (CA), the defendants' employee, a trucker named Tarleton, did not know that he had a condition that caused his brain to malfunction when his blood sugar was low. He caused a series of accidents by driving after having had little to eat. The court, overruling the reasoning of *Roberts* on this point, held that he was not liable for damage resulting from the impaired degree of consciousness caused by his condition. Leggatt LJ said:

[Plaintiffs' counsel] submitted that Mr Tarleton's mind went with his acts when he crashed, because his limbs retained some element of control over his driving; and he was at fault because objectively his driving fell below the required standard. ... In my judgment, the standard of care that Mr Tarleton was obliged to show in these circumstances was that which is to be expected of a reasonably competent driver unaware that he is or may be suffering from a condition that impairs his ability to drive. To apply an objective standard in a way that did not take account of Mr Tarleton's condition would be to impose strict liability.

But that is not the law. ... [S]ince in my judgment Mr Tarleton was in no way to blame, he was not negligent.

Aldous LJ agreed, observing:

The standard of care that Mr Tarleton was obliged to show was that which is expected of a reasonably competent driver. He did not know and could not reasonably have known of his infirmity which was the cause of the accident. Therefore he was not at fault. His actions did not fall below the standard of care required.

DUNNAGE V RANDALL

[2016] QB 639 (CA)

LADY JUSTICE RAFFERTY: ... [Vince, who was subsequently diagnosed as a paranoid schizophrenic, showed up unannounced at the home of the claimant and his partner, Miss Butler, where the following events took place:] The Claimant's partner Natasha Butler described Vince as unusually agitated and making allegations against the Claimant. Reassurance seemed to have a calming effect. Neither the Claimant nor Miss Butler, although finding Vince's suspicious speculations tedious, was concerned for their personal safety.

Vince went out [and returned] with a petrol can and a cigarette lighter. He put the can on the table. Suddenly and unexpectedly he began demanding the Claimant and Miss Butler tell him the truth about who was following him and what was happening to him. He was convinced Miss Butler had been talking about him on the telephone. He accused her and the Claimant of playing a part in his (Vince's) stepson's imprisonment. She had become the Claimant's partner and the pair had moved to Devon so as to "stitch him up." He accused the Claimant of theft and of using their friendship to keep enemies close.

As he became angrier he knocked over the open can whilst rolling the lighter trigger. He said "Tell me the truth or we are all going to go up." In an angry exchange with the Claimant he became increasingly incoherent and repetitive and after some moments said "It's too late, I don't want you to tell me anything," stood and poured the petrol over himself. The Claimant tried to grab the lighter and was splashed with petrol. In a struggle both men went to the floor and as the Claimant tried to drag Vince outside the latter ignited the lighter. The Claimant, badly burned, kicked free and jumped from the balcony. Vince died at the scene ...

Vince's legal liability the Judge reduced to a question he said was simply expressed: Did Vince act as a conscious agent deliberately purposefully or recklessly in setting the fire albeit driven by delusions, or was his freedom of thought and action so subverted by illness that his capacity to think and act freely was eliminated so that he was not the causative agent of events leading to the damage?

Of the agreed evidence of the expert psychiatrists he said it permits only one conclusion, that Vince's actions were not voluntary. His conclusion was that:

By reason of the extreme nature of the manifestation of his mental illness, Vince was not acting voluntarily and accordingly is not within the scope of the duty neither is he in breach of that duty. Furthermore, voluntary or voluntarily informed acts were not the cause of the events that led to the damage. This result is no different than would have been the case had Vince fallen as a result of a stroke and knocked [Terry] into the flame of the kitchen gas hob or had Vince been pushed into Terry by a violent third party with the same result. ...

THE AGREED EVIDENCE OF THE EXPERTS ...

The experts concluded that Vince would not have been of sound mind. His unflappable and intransigent delusional state would have been so overwhelming as to render him incapable of formulating any rational alternative action. His intensely delusional mind was governing his actions and he was not in control of them by reason of his grossly impaired state associated with intense paranoid delusions. He was most unlikely to be capable of forming a rational plan or intention to cause harm although it might be argued he was capable of forming an irrational and delusional plan. He was almost certainly incapable of forming a rational intention to carry out a reasoned deliberate act. He was suffering from a defect of reason from a disease of the mind insofar as mind refers to the apparatus of thinking.

Vince was floridly psychotic and at the height of his delusional state unable to consider rational alternatives; his psychotic state would not necessarily have deprived him of the ability to understand the nature and quality of the act and there was no reason to conclude that he was unable to understand that what he was doing would cause serious and catastrophic harm.

However, it was likely that in his floridly psychotic state he would have felt completely overwhelmed by the effects of his delusions which drove him inexorably to a course of action he felt compelled to pursue believing he had no option. Vince may have understood that what he was doing was wrong but his delusional state would likely have led him to believe his actions were less wrong than the intolerable torment of perceived relentless persecution. However, his state of mind would probably have been so deranged that he was most likely beyond meaningful capacity to exercise "free will" such that he felt overwhelmed and compelled to act as he did without benefit of moral or rational thinking to deter him.

Whilst technically he might have had the capacity to form the intention to kill, that is have known that by his action he and his nephew would be seriously harmed, his deranged state of mind almost certainly deprived him of the capacity to consider an alternative so any "wilful" intention must have been governed by his delusional state robbing him of forming any sane or reasonable alternative intention. Put another way his state of mind may have encompassed the ability to intend an action in a mechanistic manner but would not have allowed him to form a rational or sane intention.

A driver might steer into an obstacle with intent (an immediate mechanistic intention) knowing that serious harm might result. However, if he believed he saw a child his actions would have been governed by that belief even if there were no child. The driver might be in control and capable of forming an intent to swerve but his belief or perception of reality would govern his actions. Thus like the driver Vince might technically have been in control of his actions and capable of forming an intent but that and his actions were actually governed by his delusional beliefs.

This reasoning suggested an inference that it was not he who was responsible for his actions but his illness. Another way of looking at responsibility was to consider how he would have behaved when in possession of his own mind. When well he would not have contemplated or committed the offence. His illness, specifically delusional belief, dispossessed him of his own mind. ...

Mr Davie [for the defendant] relied on what he argued was one feature of overriding control. The Judge said:

Following from the opinion of Prof Moore "at the material time Vince Randall would probably have been so deranged that he was most likely beyond any meaningful capacity to exercise free will such that he felt overwhelmingly compelled to act as he did without the benefit of moral or rational thinking to deter him" he was not

capable of discriminating right from wrong and did not know that what he was doing was wrong: he did not know the nature and quality of the act he was doing: he was not able to understand and appreciate the (legal) duty upon him to take care and was disabled from discharging any such duty.

The Judge adopted the view of the experts that Vince's capacity to make a reasoned and informed judgment about his actions had at least 95% impaired volition. Mr Davie relied on this conclusion as pinpointing what he described as the core question: Was the integrated person still there, capable of bringing together those diverse considerations which allow a decision? The answer he says must be "No." Vince could not act freely....

DISCUSSION AND CONCLUSION

The task for this court is in my view less stratified than submissions tended to suggest. First, a comparison of criminal with civil defences. Liberty of the subject imports a particularity of approach of no jurisprudential relevance let alone of any assistance when the issue is tortious liability. ...

Next, I would reject as unhelpful any attempt to differentiate mental from physical illness for the purposes of this argument. It is the effects of a condition or illness which ought properly to be in play, not its label. Medical science for years has acknowledged the same, and if I needed more vindication of my view I should find it in for example a consideration of epilepsy and of Downs Syndrome, each featuring both physical and mental abnormalities. ...

A further area which concerns me is that the experts allowed a small margin at the end of "complete elimination." Once there is introduced any qualification of 100% impairment, as there is for example by use of the adverb "probably," difficulties flow. Where is any line to be drawn? At 99% impairment? At 95% or 90%? What is the lowest percentage to which the court could descend before its findings were affected? Unless a defendant can establish that his condition entirely eliminates responsibility—I avoid use of "fault" so as to emphasise my point—he remains vulnerable to liability if he does not meet the objective standard of care. It is the entirety of the elimination which drives this conclusion, and once that entirety is eroded or diminished, he is fixed with the standard. The evidence was that Vince's responsibility came very close to complete elimination, but the experts stopped short of finding that it was complete.

Vince was protected from liability if he did nothing. If, akin to the man holding a knife whose arm was gripped by another and directed, Vince had no part to play in his physical acts, he would escape liability. ... Likewise, had he been in a state of automatism or were he a sleepwalker.

Here, however, Vince's condition amounted to a position far less stark ... I would allow the appeal.

LORD JUSTICE VOS: ... [I]s there some principle that requires the law to excuse from liability in negligence a defendant who fails to meet the normal standard of care partly because of a medical problem[?] In my judgment, there is and should be no such principle. The courts have consistently and correctly rejected the notion that the standard of care should be adjusted to take account of personal characteristics of the defendant. The single exception in respect of the liability of children should not, I think, be extended. People with physical and mental health problems should not properly be regarded as analogous to children, even if some commonly and inappropriately speak of adults with mental health problems as having a "mental age of 5."

In my judgment, only defendants whose attack or medical incapacity has the effect of entirely eliminating any fault or responsibility for the injury can be excused. It is only defendants in that category that have not actually broken their undoubted duty of care. The actions of a defendant, who is merely impaired by medical problems, whether physical or mental, cannot escape liability if he causes injury by failing to exercise reasonable care.

What then does it mean to say that a medical condition entirely eliminates any fault or responsibility for the injury? It simply means that the defendant himself did nothing to cause the injury. Mr Michael Davie QC, leading counsel for the first defendant, gave the example of a person whose arm is holding a knife and who is overcome by another forcing him to stab a victim. The person holding the knife cannot have broken his duty of care because he did nothing himself.

In my judgment, however, at all intermediate stages where the defendant does something himself he risks being liable for failing to meet the standards of the reasonable man. This approach avoids the need for medical witnesses to become engaged with difficult and undefined terms such as volition, will, free choice, consciousness, personal autonomy and the like. It is only if the defendant can properly be said to have done nothing himself to cause the injury that he escapes liability. ...

So where then does that leave this case? The judge held on the basis of the expert evidence that the deceased's "capacity to think and act rationally and independently was wholly eliminated from the time he took the petrol can out of his car" (paragraph 34). It is the use of the word "rationally" that concerns me. A person can still be acting if he acts irrationally; indeed, it is a matter of regret that even the most intelligent in our society sometimes do act irrationally. Nobody would suggest that they should be excused from liability for their negligence whilst so acting.

It is for this reason that it seems to me that the decision of the judge cannot stand.... It seems to me, however, that, even on the basis of the experts' joint statements, Vince was still acting at relevant times. The experts placed his "absence of volition" between 95% and 100%. But, as Arden LJ has pointed out, they accepted that the acts causing the injuries were directed by Vince's deranged mind. Vince himself undoubtedly went to fetch the petrol and the lighter. In bringing those items into the house, he failed to act with the care of a reasonable person. The words that the deceased spoke seem to indicate that he may have been acting, albeit irrationally, when he said: "tell me the truth or we are all going to go up." The fire and the injuries were undoubtedly caused by Vince's own actions. His disease does not excuse him from needing to take the care of a reasonable man, unless he is not acting or is completely free of any fault. That was not the position in this case.

LADY JUSTICE ARDEN: ... In my judgment, this case is indistinguishable in any material respect from that in *Morriss v Marsden* [1952] 1 All ER 925. In that case, a schizophrenic, who like Vince was deluded, was held liable for assaulting the manager of a hotel where he was staying: like negligence, assault and battery do not require an intention to injure. The attack was unprovoked. His mind directed the attack. It was irrelevant that he did not know that what he was doing was wrong. The court held that the defendant understood the nature and quality of his act even though he was deluded and even though he did not know that what he was doing was wrong.

That situation is with respect far removed from the case of a driver who gets into his car or lorry cab mentally and physically fit for the journey but then has an unforeseen episode during the journey which causes him to lose control of the vehicle. It cannot be said that he was negligent because he was acting with due care when he started to drive. This was the situation in *Mansfield v Weetabix* [1998] 1 WLR 1263.

The defendant suffered the onset of a rare form of hypoglaecemic attack. He had no prior experience of this condition which came on gradually, so that he did not perceive the change in his condition. He was held not liable for injuries and damage caused by his inability to control the vehicle due to that episode... . Vince was not in that position. He was not in control of machinery of which he unforeseeably loses control. Neither party suggests that Vince should have known that he was susceptible to this form of attack, but there is no parallel between *Mansfield* and this case because Vince was never in possession of the petrol can and lighter in the claimant's flat in circumstances when he had performed his duty of care

Having come into close proximity with the claimant, Vince clearly owed him a duty of care not to take action which would or might cause him injury. The standard to be expected of Vince is purely objective. It is the standard of a reasonable person, not a person having Vince's disabilities. It does not therefore matter whether the person was in fact drunk or had some disability. The only question is whether he failed to act as a reasonable person would have done.

In my judgment, there is no question but that Vince breached that duty by taking into the claimant's flat the can of petrol and the lighter. Those items clearly created a risk of injury by fire. On this basis, Vince must be liable in negligence to the claimant for the injury caused to him by reason of the fire... .

The only exception from the objective standard of care in the cases cited to us is made for children of an appropriate age. ...

The objective standard of care reflects the policy of the law. It is not a question of the law discriminating unfairly against people with physical or mental illness. The law takes the view as a matter of policy that everyone should owe the same duty of care for the protection of innocent victims. It would after all, in many cases, be open to a person who knows he has reduced abilities to take account of those abilities in what he does: that is why *Mansfield* was decided the other way from *Morriss*. There will be hard cases, as this case may be one, where a person does not know what action to take to avoid injury to others. However, his liability is no doubt treated in law as the price for being able to move freely within society despite his schizophrenia

HOLMES, THE COMMON LAW

(Boston: Little, Brown, 1881) 77ff

The object of the next two Lectures is to discover whether there is any common ground at the bottom of all liability in tort, and if so, what that ground is. Supposing the attempt to succeed, it will reveal the general principle of civil liability at common law. The liabilities incurred by way of contract are more or less expressly fixed by the agreement of the parties concerned, but those arising from a tort are independent of any previous consent of the wrong-doer to bear the loss occasioned by his act. If A fails to pay a certain sum on a certain day, or to deliver a lecture on a certain night, after having made a binding promise to do so, the damages which he has to pay are recovered in accordance with his consent that some or all of the harms which may be caused by his failure shall fall upon him. But when A assaults or slanders his neighbor, or converts his neighbor's property, he does a harm which he has never consented to bear, and if the law makes him pay for it, the reason for doing so must be found in some general view of the conduct which every one may fairly expect and demand from every other, whether that other has agreed to it or not.

Such a general view is very hard to find. The law did not begin with a theory. It has never worked one out. The point from which it started and that at which I shall

try to show that it has arrived, are on different planes. In the progress from one to the other, it is to be expected that its course should not be straight and its direction not always visible. All that can be done is to point out a tendency, and to justify it. The tendency, which is our main concern, is a matter of fact to be gathered from the cases ...

The law of torts abounds in moral phraseology. It has much to say of wrongs, of malice, fraud, intent, and negligence. Hence it may naturally be supposed that the risk of a man's conduct is thrown upon him as the result of some moral short-coming. But while this notion has been entertained, the extreme opposite will be found to have been a far more popular opinion;—I mean the notion that a man is answerable for all the consequences of his acts, or, in other words, that he acts at his peril always, and wholly irrespective of the state of his consciousness upon the matter ...

As has just been hinted, there are two theories of the common-law liability for unintentional harm. Both of them seem to receive the implied assent of popular text-books, and neither of them is wanting in plausibility and the semblance of authority.

The first is that of Austin, which is essentially the theory of a criminalist. According to him, the characteristic feature of law properly so called, is a sanction or detriment threatened and imposed by the sovereign for disobedience to the sovereign's commands. As the greater part of the law only makes a man civilly answerable for breaking it, Austin is compelled to regard the liability to an action as a sanction, or, in other words, as a penalty for disobedience. It follows from this, according to the prevailing views of penal law, that such liability ought only to be based upon personal fault; and Austin accepts that conclusion, with its corollaries, one of which is that negligence means a state of the party's mind. These doctrines will be referred to later, so far as necessary.

The other theory is directly opposed to the foregoing. It seems to be adopted by some of the greatest common-law authorities, and requires serious discussion before it can be set aside in favor of any third opinion which may be maintained. According to this view, broadly stated, under the common law a man acts at his peril. It may be held as a sort of set-off, that he is never liable for omissions except in consequence of some duty voluntarily undertaken. But the whole and sufficient ground for such liabilities as he does incur outside the last class is supposed to be that he has voluntarily acted, and that damage has ensued. If the act was voluntary, it is totally immaterial that the detriment which followed from it was neither intended nor due to the negligence of the actor ...

The arguments for the doctrine under consideration are, for the most part, drawn from precedent, but it is sometimes supposed to be defensible as theoretically sound. Every man, it is said, has an absolute right to his person, and so forth, free from detriment at the hands of his neighbors. In the cases put, the plaintiff has done nothing; the defendant, on the other hand, has chosen to act. As between the two, the party whose voluntary conduct has caused the damage should suffer, rather than one who has had no share in producing it ...

An act is always a voluntary muscular contraction, and nothing else. The chain of physical sequences which it sets in motion or directs to the plaintiff's harm is no part of it, and very generally a long train of such sequences intervenes. An example or two will make this extremely clear.

When a man commits an assault and battery with a pistol, his only act is to contract the muscles of his arm and forefinger in a certain way, but it is the delight of elementary writers to point out what a vast series of physical changes must take place before the harm is done. Suppose that, instead of firing a pistol, he takes up a hose which is discharging water on the sidewalk, and directs it at the plaintiff, he

does not even set in motion the physical causes which must co-operate with his act to make a battery. Not only natural causes, but a living being, may intervene between the act and its effect. *Gibbons v. Pepper*, which decided that there was no battery when a man's horse was frightened by accident or a third person and ran away with him, and ran over the plaintiff, takes the distinction that, if the rider by spurring is the cause of the accident, then he is guilty. In *Scott v. Shepherd*, ... trespass was maintained against one who had thrown a squib into a crowd, where it was tossed from hand to hand in self-defence until it burst and injured the plaintiff. Here even human agencies were a part of a chain between the defendant's act and the result, although they were treated as more or less nearly automatics in order to arrive at the decision.

Now I repeat, that, if principle requires us to charge a man in trespass when his act has brought force to bear on another through a comparatively short train of intervening causes, in spite of his having used all possible care, it requires the same liability, however numerous and unexpected the events between the act and the result. If running a man down is a trespass when the accident can be referred to the rider's act of spurring, why is it not a tort in every case, as was argued in *Vincent v. Stinehour*, seeing that it can always be referred more remotely to his act of mounting and taking the horse out?

Why is a man not responsible for the consequences of an act innocent in its direct and obvious effects, when those consequences would not have followed but for the intervention of a series of extraordinary, although natural, events? The reason is, that, if the intervening events are of such a kind that no foresight could have been expected to look out for them, the defendant is not to blame for having failed to do so ...

But there is no difference in principle between the case where a natural cause or physical factor intervenes after the act in some way not to be foreseen, and turns what seemed innocent to harm, and the case where such a cause or factor intervenes, unknown, at the time; as, for the matter of that, it did in the English cases cited. If a man is excused in the one case because he is not to blame, he must be in the other. The difference taken in *Gibbons v. Pepper*, cited above, is not between results which are and those which are not the consequences of the defendant's acts: it is between consequences which he was bound as a reasonable man to contemplate, and those which he was not. Hard spurring is just so much more likely to lead to harm than merely riding a horse in the street, that the court thought that the defendant would be bound to look out for the consequences of the one, while it would not hold him liable for those resulting merely from the other; because the possibility of being run away with when riding quietly, though familiar, is comparatively slight. If, however, the horse had been unruly, and had been taken into a frequented place for the purpose of being broken, the owner might have been liable, because "it was his fault to bring a wild horse into a place where mischief might probably be done."

To return to the example of the accidental blow with a stick lifted in self-defence, there is no difference between hitting a person standing in one's rear and hitting one who was pushed by a horse within range of the stick just as it was lifted, provided that it was not possible, under the circumstances, in the one case to have known, in the other to have anticipated, the proximity. In either case there is wanting the only element which distinguishes voluntary acts from spasmodic muscular contractions as a ground of liability. In neither of them, that is to say, has there been an opportunity of choice with reference to the consequence complained of—a chance to guard against the result which has come to pass. A choice which entails a concealed consequence is as to that consequence no choice.

The general principle of our law is that loss from accident must lie where it falls, and this principle is not affected by the fact that a human being is the instrument of misfortune. But relatively to a given human being anything is accident which he could not fairly have been expected to contemplate as possible, and therefore to avoid. ... If this were not so, any act would be sufficient, however remote, which set in motion or opened the door for a series of physical sequences ending in damage; such as riding the horse, in the case of the runaway, or even coming to a place where one is seized with a fit and strikes the plaintiff in an unconscious spasm. Nay, why need the defendant have acted at all, and why is it not enough that his existence has been at the expense of the plaintiff? The requirement of an act is the requirement that the defendant should have made a choice. But the only possible purpose of introducing this moral element is to make the power of avoiding the evil complained of a condition of liability. There is no such power where the evil cannot be foreseen. Here we reach the argument from policy

A man need not, it is true, do this or that act—the term act implies a choice—but he must act somehow. Furthermore, the public generally profits by individual activity. As action cannot be avoided, and tends to the public good, there is obviously no policy in throwing the hazard of what is at once desirable and inevitable upon the actor.

The state might conceivably make itself a mutual insurance company against accidents, and distribute the burden of its citizens' mishaps among all its members. There might be a pension for paralytics and state aid for those who suffered in person or estate from tempest or wild beasts. As between individuals it might adopt the mutual insurance principle *pro tanto*, and divide damages when both were in fault, as in the *rusticum judicium* of the admiralty, or it might throw all loss upon the actor irrespective of fault. The state does none of these things, however, and the prevailing view is that its cumbrous and expensive machinery ought not to be set in motion unless some clear benefit is to be derived from disturbing the status quo. State interference is an evil, where it cannot be shown to be a good. Universal insurance, if desired, can be better and more cheaply accomplished by private enterprise. The undertaking to redistribute losses simply on the ground that they resulted from the defendant's act would not only be open to these objections, but, as it is hoped the preceding discussion has shown, to the still graver one of offending the sense of justice. Unless my act is of a nature to threaten others, unless under the circumstances a prudent man would have foreseen the possibility of harm, it is no more justifiable to make me indemnify my neighbor against the consequences, than to make me do the same thing if I had fallen upon him in a fit, or to compel me to insure him against lightning

Supposing it now to be conceded that the general notion upon which liability to an action is founded is fault or blameworthiness in some sense, the question arises, whether it is so in the sense of personal moral short-coming, as would practically result from Austin's teaching. The language of Rede J ... gives a sufficient answer. "In trespass the intent" (we may say more broadly, the defendant's state of mind) "cannot be construed." Suppose that a defendant were allowed to testify that, before acting, he considered carefully what would be the conduct of a prudent man under the circumstances, and, having formed the best judgment he could, acted accordingly. If the story was believed, it would be conclusive against the defendant's negligence judged by a moral standard which would take his personal characteristics into account. But supposing any such evidence to have got before the jury, it is very clear that the court would say, Gentlemen, the question is not whether the defendant thought his conduct was that of a prudent man, but whether you think it was.

Some middle point must be found between the horns of this dilemma.

The standards of the law are standards of general application. The law takes no account of the infinite varieties of temperament, intellect, and education which make the internal character of a given act so different in different men. It does not attempt to see men as God sees them, for more than one sufficient reason. In the first place the impossibility of nicely measuring a man's powers and limitations is far clearer than that of ascertaining his knowledge of law, which has been thought to account for what is called the presumption that every man knows the law. But a more satisfactory explanation is, that, when men live in society, a certain average of conduct, a sacrifice of individual peculiarities going beyond a certain point, is necessary to the general welfare. If, for instance, a man is born hasty and awkward, is always having accidents and hurting himself or his neighbors, no doubt his congenital defects will be allowed for in the courts of Heaven, but his slips are no less troublesome to his neighbors than if they sprang from guilty neglect. His neighbors accordingly require him, at his proper peril, to come up to their standard, and the courts which they establish decline to take his personal equation into account.

The rule that the law does, in general, determine liability by blameworthiness, is subject to the limitation that minute differences of character are not allowed for. The law considers, in other words, what would be blameworthy in the average man, the man of ordinary intelligence and prudence, and determines liability by that. If we fall below the level in those gifts, it is our misfortune; so much as that we must have at our peril, for the reasons just given. But he who is intelligent and prudent does not act at his peril, in theory of law. On the contrary, it is only when he fails to exercise the foresight of which he is capable, or exercises it with evil intent, that he is answerable for the consequences.

There are exceptions to the principle that every man is presumed to possess ordinary capacity to avoid harm to his neighbors, which illustrate the rule, and also the moral basis of liability in general. When a man has a distinct defect of such a nature that all can recognize it as making certain precautions impossible, he will not be held answerable for not taking them. A blind man is not required to see at his peril; and although he is, no doubt, bound to consider his infirmity in regulating his actions, yet if he properly finds himself in a certain situation, the neglect of precautions requiring eyesight would not prevent his recovering for an injury to himself, and, it may be presumed, would not make him liable for injuring another. So it is held that, in cases where he is the plaintiff, an infant of very tender years is only bound to take the precautions of which an infant is capable; the same principle may be cautiously applied where he is defendant. Insanity is a more difficult matter to deal with, and no general rule can be laid down about it. There is no doubt that in many cases a man may be insane, and yet perfectly capable of taking the precautions, and of being influenced by the motives, which the circumstances demand. But if insanity of a pronounced type exists, manifestly incapacitating the sufferer from complying with the rule which he has broken, good sense would require it to be admitted as an excuse.

Taking the qualification last established in connection with the general proposition previously laid down, it will now be assumed that, on the one hand, the law presumes or requires a man to possess ordinary capacity to avoid harming his neighbors, unless a clear and manifest incapacity be shown; but that, on the other, it does not in general hold him liable for unintentional injury, unless, possessing such capacity, he might and ought to have foreseen the danger, or, in other words, unless a man of ordinary intelligence and forethought would have been to blame for acting as he did ...

Notwithstanding the fact that the grounds of legal liability are moral to the extent above explained, it must be borne in mind that law only works within the sphere of

the senses. If the external phenomena, the manifest acts and omissions, are such as it requires, it is wholly indifferent to the internal phenomena of conscience. A man may have as bad a heart as he chooses, if his conduct is within the rules. In other words, the standards of the law are external standards, and, however much it may take moral considerations into account, it does so only for the purpose of drawing a line between such bodily motions and rests as it permits, and such as it does not. What the law really forbids, and the only thing it forbids, is the act on the wrong side of the line, be that act blameworthy or otherwise.

MCHALE V WATSON
(1966), 115 CLR 199 (Aust HC)

McTIERNAN ACJ: In this case, the plaintiff Susan McHale suffered serious injury to her right eye while in the company of two other girls of about her own age and of Barry Watson, then aged twelve years and two months, a few years older than the others. It was school holidays in January 1957 and Susan and her mother had come from South Australia on a visit to Portland in Victoria and Barry and his mother had come from New South Wales also as visitors to that town. The children had met, being neighbours, in Lighthouse Street, Portland, and late in the afternoon of January 21st played chasings, a children's game also known as tag, in which one player called "it" chases the others until one is touched or tagged and that player in turn becomes "it." A structure made of four corner posts of hardwood, with pickets between them, was "base" for the game. Each post was four feet high and measured 3" x 2": the pickets were short and above them the structure was open. The enclosed area was about four square feet and within it was a young ornamental tree. There was a row of such structures each enclosing a tree in the street. When the game was at an end Susan and Barry were on opposite sides of the tree guard called base. She was to Barry's left and he was standing facing a corner post: the distance between the two children was little more than the distance between two sides of the guard; both were, of course, outside it. Barry took an object from his pocket and threw it in front of him. It hit Susan in the right eye with sad consequences to her; the sight of the eye was destroyed. The object was a round piece of welding rod, of small circumference and six inches long. One end had been sharpened by Barry on the rocks at the beach where he had been earlier in the day amusing himself in the company of another young boy by spearing starfish and prizing shell-fish off the rocks with this implement. He had picked it up outside his father's workshop on his way to the beach.

There was a contest at the trial whether Barry had aimed it at Susan. She and one of her young companions said in evidence that he had done so. Windeyer J did not accept the evidence of either of the girls on that point. Barry said in evidence that he aimed the object at the corner post which he was facing, his idea being to make it stick in the post. The object was made of soft steel, in form it was not finished as a dart although it was described as such in the statement of claim. The learned judge was impressed by Barry's demeanour as a witness and regarded his account of the accident as more probable than that of the others. His Honour analysed the evidence and reasoned from it to his conclusion on the question how Susan came to be hit in the eye by the object. He considered that in all probability the object hit the corner post, which Barry was facing, with force and glanced off it in the direction of Susan. ...

Windeyer J said in his reasons for judgment:

It has been strongly urged for the plaintiff that, in considering whether Barry was negligent, I must judge what he did by the standard expected of a reasonable man, and that that standard is not graduated according to age. In one sense, of course, that is so; for the question whether conduct was negligent, in a legal sense, always depends on an objective standard. This has been generally recognized ever since ... *Vaughan v. Menlove* In *Glasgow Corporation v. Muir* Lord Macmillan said: "The standard of foresight of the reasonable man is, in one sense, an impersonal test. It eliminates the personal equation and is independent of the idiosyncrasies of the particular person whose conduct is in question The reasonable man is presumed to be free both from over-apprehension and from over-confidence, but there is a sense in which the standard of care of the reasonable man involves in its application a subjective element. It is still left to the judge to decide what, in the circumstances of the particular case, the reasonable man would have had in contemplation, and what accordingly the party sought to be made liable ought to have foreseen." That is the question I have to determine. It is a question of fact, a jury question, not a question of law. I have not to determine it by regarding the facts of other cases, but by regarding all the circumstances of this case. I do not think that I am required to disregard altogether the fact that the defendant Barry Watson was at the time only twelve years old. In remembering that I am not considering "the idiosyncrasies of the particular person." Childhood is not an idiosyncrasy. It may be that an adult, knowing of the resistant qualities of hardwood and of the uncertainty that a spike, not properly balanced as a dart, will stick into wood when thrown, would foresee that it might fail to do so and perhaps go off at a tangent. A person who knew, or might reasonably be expected to know that might be held to be negligent if he were not more circumspect than was this infant defendant. But whatever the position would be if the facts were different, my conclusion on the facts of this case is that the injury to the plaintiff was not the result of a lack of foresight and appreciation of the risk that might reasonably have been expected, or of a want of reasonable care in aiming the dart. I find that Barry Watson was not negligent in the legal sense.

The appeal was argued on two main grounds: first that his Honour was in error in holding that the liability or degree of responsibility of the defendant Barry Watson or the standard of care to be exercised by him in any way differed from the liability degree of responsibility or standard of care which would have been proper had he been over the age of twenty-one years, and secondly that his Honour should have made a finding of negligence whether he applied the standard of the ordinary reasonable man or the standard (whatever it might be) appropriate to a twelve-year-old boy.

I do not agree with either of those grounds

There is ample American authority in favour of applying a lower standard of care in cases involving the primary negligence of young children. The American *Restatement of the Law of Tort*, par. 283, divides infants into three categories for the purpose of discussing the standard of care applicable. The categories and the standards of care required are as follows:—

- (a) Children who are so young as to be manifestly incapable of exercising any of the qualities necessary to the perception of risk. This group would comprise babies and children of very tender years and instead of formulating a standard of care for them it suffices to say that they are incapable of negligence.

- (b) Infants who, although they have not yet attained majority, are capable as adults of foreseeing the probable consequences of their actions. In view of the capabilities of this class the standard of care required of them is the same as that required of adults.
- (c) Children who come between the extremes indicated in the above categories and whose capacities are infinitely various. The standard of care required of these children is that which it is reasonable to expect of children of like age, intelligence and experience.

• • •

In the present case we are concerned with a boy of the age of twelve years and two months. He was not, of course, a child of tender years. On the other hand, he was not grown up and, according to the evidence, he played as a child. I think it was right for the learned trial judge to refer to him in common with Susan and the other playmates as young children. It cannot be laid down as an absolute proposition that a boy of twelve years of age can never be liable in negligence; nor that he would always be liable in the same manner as an adult in the case of that tort. The defendant's conduct in relation to this object which he threw, a useless piece of scrap metal, is symbolic of the tastes and simplicity of boyhood. He kept the object in his pocket after using it earlier in the day to scrape marine life off the rocks at the beach; after that he carried it around with him for the rest of the day until the accident happened. It was the type of thing that a wise parent would take from a boy if he thought the boy would play with it as a dart in the company of other children. The defendant on his way from the beach took the object from his pocket to show Susan and her companions, whom he met playing in a paddock, what he was doing at the beach—apparently he was proud of how he had transformed the piece of scrap metal by rubbing it on the rocks. The game of chasings having ended, the wooden corner post was an allurement or temptation to him to play with the object as a dart. If it had stuck into the post at the first throw, doubtless, he would not have been content with one throw. The evidence does not suggest that the defendant was other than a normal twelve-year-old-boy. His Honour considered that the defendant, being a boy of twelve years, did not have enough maturity of mind to foresee that the dart might glance off the post in the direction of Susan if he did not make it hit the post squarely, and that there was a possibility that he might not succeed in doing so. It seems to me that the present case comes down to a fine point, namely whether it was right for the trial judge to take into account Barry's age in considering whether he did foresee or ought to have foreseen that the so-called dart might not stick in the post but be deflected from it towards Susan who was in the area of danger in the event of such an occurrence. I think that there is no ground for disagreeing with the conclusion of Windeyer J on this question. The correctness of this decision depends upon the special circumstances of the case and it does not lay down any general principle that a young boy who cannot be classified as a grown-up person cannot be guilty of negligence in any circumstances.

I would dismiss the appeal.

KITTO J: ... [A] defendant does not escape liability by proving that he is abnormal in some respect which reduces his capacity for foresight or prudence.

The principle is of course applicable to a child. The standard of care being objective, it is no answer for him, any more than it is for an adult, to say that the harm he caused was due to his being abnormally slow-witted, quick-tempered, absent-minded or inexperienced. But it does not follow that he cannot rely in his defense upon a limitation upon the capacity for foresight or prudence, not as being personal

to himself, but as being characteristic of humanity at his stage of development and in that sense normal. By doing so he appeals to a standard of ordinariness, to an objective and not a subjective standard. In regard to the things which pertain to foresight and prudence—experience, understanding of causes and effects, balance of judgment, thoughtfulness—it is absurd, indeed it is a misuse of language, to speak of normality in relation to persons of all ages taken together. In those things normality is, for children, something different from what normality is for adults; the very concept of normality is a concept of rising levels until “years of discretion” are attained. The law does not arbitrarily fix upon any particular age for this purpose, and tribunals of fact may well give effect to different views as to the age at which normal adult foresight and prudence are reasonably to be expected in relation to particular sets of circumstances. But up to that stage the normal capacity to exercise those two qualities necessarily means the capacity which is normal for a child of the relevant age; and it seems to me that it would be contrary to the fundamental principle that a person is liable for harm that he causes by falling short of an objective criterion of “propriety” in his conduct—propriety, that is to say, as determined by a comparison with the standard of care reasonably to be expected in the circumstances from the normal person—to hold that where a child’s liability is in question the normal person to be considered is someone other than a child of corresponding age ...

I am therefore of the opinion that the learned trial judge did not misdirect himself on the question of law. There remains the question of fact: did the respondent, in throwing the spike as he did though aware of the proximity of the appellant, do anything which a reasonable boy of his age would not have done in the circumstances—a boy, that is to say, who possessed and exercised such degree of foresight and prudence as is ordinarily to be expected of a boy of twelve, holding in his hand a sharpened spike and seeing the post of a tree-guard before him? On the findings which must be accepted, what the respondent did was the unpremeditated, impulsive act of a boy not yet of an age to have an adult’s realization of the danger of edged tools or an adult’s wariness in the handling of them. It is, I think, a matter for judicial notice that the ordinary boy of twelve suffers from a feeling that a piece of wood and a sharp instrument have a special affinity. To expect a boy of that age to consider before throwing the spike whether the timber was hard or soft, to weigh the chances of being able to make the spike stick in the post, and to foresee that it might glance off and hit the girl, would be, I think, to expect a degree of sense and circumspection which nature ordinarily withholds till life has become less rosy.

Sympathy with the injured girl is inevitable. One might almost wish that mediæval thinking had led to a modern rule of absolute liability for harm caused. But it has not; and, in the absence of relevant statutory provision, children, like everyone else, must accept as they go about in society the risks from which ordinary care on the part of others will not suffice to save them. One such risk is that boys of twelve may behave as boys of twelve; and that, sometimes, is a risk indeed.

In my opinion the appeal should be dismissed.

MENZIES J (dissenting): ... [T]he fundamental principle of the law of negligence [is] that the standard of care fixed by the law to determine actionable negligence is an objective standard—that is, the care to be expected of an ordinary reasonable man. This, except in special categories, is the standard to be applied to any person capable of negligence in the absence of some consensual modification—express, implied or, perhaps, imputed ...

It may, of course, be objected that the adoption of a hard-and-fast rule to be applied to all cases will sometimes produce what appears to be some hardship but, if so, it should also be recalled that hard cases make bad law. It is, moreover, necessary

to observe that the law of negligence is primarily concerned with the circumstances under which a person who suffers damage may recover compensation, and there is no necessary connexion between legal liability to make compensation and moral culpability. Another objection to a standard rule is that it may appear ridiculous in determining liability to judge immaturity by maturity or, as it was put in argument, to put an old head upon young shoulders. Again the answer to such a criticism is that it was not without good reason that the law has adopted a general standard to determine liability for negligence and the application of a general standard to anyone who is himself either above or below the standard may produce a result that is open to criticism as ridiculous when judged by an irrelevant philosophy. Were the law to require from every person the exercise of all the skill of which he is capable to avoid harm to others, it would be a different law from the established law of negligence and it would be based upon a philosophy different from that underlying the present law. Whether or not it would be a better law is outside any question here relevant, but an attempt to use the results which would follow from the application of such a law, to test the reasonableness of what I understand the present law to require, appears to me to be misconceived.

My conclusion is, therefore, that as the duty of care which the respondent owed to the appellant was to take such care as an ordinary reasonable man would have taken in the circumstances, the appeal should succeed.

I would add that if, contrary to my opinion, the conduct of the respondent ought to be judged by the standard of a reasonable boy of the world rather than a reasonable man of the world, I would still conclude that the respondent had been negligent. It appears to me that no boy of twelve could reasonably think that he could hurl a nail into a post, and I have no doubt that the capacity of the respondent's missile to penetrate a piece of wood was less than that of an ordinary three-inch nail; it was blunt and lacked the weight of a head. Furthermore, in the face of the evidence I would not infer, as did his Honour, that the missile hit the post and was deflected. Upon the facts, I would conclude that a reasonable boy would not throw a three-inch piece of metal, head high, in the direction of another person.

I consider, therefore, that this appeal should be allowed and the action retried.

[OWEN J was of the opinion that the appeal should be dismissed on the ground that "Windeyer J rightly took into consideration the fact that Barry Watson was only twelve years old and that he did not misdirect himself as to the degree of care reasonably to be expected of a boy of that age."]

NOTES

1. Moran, *Rethinking the Reasonable Person* (Oxford: Oxford University Press, 2003) at 64, offers the following observations about *McHale*:

In addition to providing a detailed justification for the nature of the standard of care applicable to child defendants, *McHale v. Watson* also affords an opportunity to closely examine how courts give content to the standard of care. How does the court determine whether or not Barry Watson behaved reasonably in the circumstances? In this, the heart of the negligence inquiry, the court must specify what the legal requirement of reasonableness entails in the concrete circumstances of the case. And despite the centrality of this process of judgment, it is remarkably mysterious. Examining *McHale v. Watson* more closely, however, does shed some light on what considerations courts weigh when they determine whether or not someone acted as a reasonable person would have in their circumstances.

In this sense, *McHale* repays analysis in part because it contains more than the usual cursory assessment of whether the behaviour in question was reasonable. And because the court explicitly struggles with just how far and where the standard of care ought to be tailored to reflect the capacities of the defendant, the reasoning in *McHale* is actually more attentive to the very different components that together make up the reasonable person standard. Thus, for instance, Kitto J characterizes the standard as requiring that degree of care “reasonably to be expected in the like circumstances from the normal person exercising reasonable *foresight* and *consideration for the safety of others*.” And this reference to foresight and prudence is but one of a series of references to these different components of the objective standard. By describing the standard in this way, *McHale* makes room for the possibility of distinguishing between foresight, which implicates the defendant’s cognitive and perceptive abilities, and prudence, which turns on the defendant’s normative abilities or attentiveness to others. And by in this way noting the complexity of the standard, *McHale* can be seen as providing at least the beginnings of a more nuanced vocabulary for understanding the objective standard. Unfortunately, despite the fact that the *McHale* courts point to the availability of such a vocabulary, they do not actually make use of it in their analysis. Nonetheless even noting the distinct elements of the standard of care and then paying little attention to the difference between them is telling.

However, it is not possible to completely avoid the question of what significance should attach to the nature of the shortcoming. The *McHale* court does note that the reasonable person inquiry potentially implicates both shortcomings that ordinarily have some normative significance (like the failure to attend to the interests of others) and those that do not (like the intellectual limitations of children). But although it identifies these separate elements, the court then goes on to treat them as indistinguishable from each other. The implication is thus that there is no basis for according different types of shortcomings different treatment. The court prefers, as we shall see, to read the reasonable person standard as demanding propriety or ordinariness, rather than some more thorough-going moral conception. This undifferentiated approach to fault plays out in the fact that the majority decisions hold that both the degree of foresight and the degree of prudence that children are required to exercise should be modified. As Kitto J puts it, an individual can defend against liability in negligence by pointing to a limitation “in the capacity for foresight or prudence” so long as that deficiency is normal or ordinary. So those justices who find that Barry Watson was not negligent first hold that he did not have the foresight to recognize the risk. However, perhaps partly as a response to the dissent’s challenge, the majority justices also indicate that even if Barry’s action did result in part from a lack of prudence, that lack of prudence would also be excused because it is an ordinary incident of youth.

1. Foresight of Harm

In support of the conclusion that Barry Watson lacked the requisite foresight for liability in negligence, ... the majority decisions in the High Court rely on descriptions of the risk that imply that Barry’s careless act resulted from the limited foresight of childhood. ... Kitto J ... emphasizes the sophisticated cognitive apparatus required to identify the risk Kitto J makes this important point largely through specific and technical descriptions of the risk:

To expect a boy of that age to consider before throwing the spike whether the timber was hard or soft, to weigh the chances of being able to make the spike stick in the post, and to foresee that it might glance off and hit the girl, would be, I think, to expect a degree of sense and circumspection which nature ordinarily withholds till life has become less rosy.

Thus he implies the unlikelihood of a boy foreseeing such a danger.

But the persuasiveness of the conclusion that Barry Watson lacked the foresight to avoid inflicting the harm on Susan McHale depends heavily on the characterization of the facts. The description of the same facts in Menzies J's dissent makes this clear. Not only does Menzies J stress the contentious nature of the evidence concerning Barry's intent, he also diverges from the other judges in his description of the risk involved in the boy's action. In fact, Menzies J implicitly disputes their characterization of the risk, suggesting that it was of a much more obvious nature when he states that what Barry did "was to throw with force a piece of metal like a blunt, headless nail in the general direction of the appellant." Describing the facts in this way suggests that, far from being complicated or technical, the risk inherent in Barry's action should have been clearly apparent to any 12-year-old attentive to the safety of others. So Menzies J concludes that, even if the appropriate standard is that of a reasonable child, Barry Watson should still be judged negligent because "a reasonable boy would not throw a three-inch piece of metal, head high, in the direction of another person."

In this sense, there is considerable normative significance in the manner in which the risk is described. The legal conclusion that Barry could not reasonably have been expected to have had the foresight to avoid the harm is made plausible only because of the characterization of the facts (here, the risk involved in his behaviour). Morris persuasively argued decades ago that the foreseeability of any particular risk is intimately linked to the level of specificity with which that risk is described. But what guides the choice of how to characterize the risk? Such choices are crucial and yet, as *McHale* suggests, both the process by which they are arrived at and the justification for the chosen characterization ultimately seem mysterious. However, examining *McHale's* treatment of the prudential element of the objective standard may shed some light on the court's choice of characterization.

2. Prudence

There is more to *McHale* than the suggestion that the risk was sufficiently complicated for Barry, as a 12-year-old, to lack reasonably the foresight to recognize the danger posed by his actions. The judgments in Barry's favour also implicitly recognize that justifying the dart-throwing may require something beyond this. Indeed, much of the language actually cuts against the suggestion that Barry's shortcoming was straightforwardly cognitive, thus implying that inattentiveness to the security of others or lack of prudence also played a role in Susan's injury. And as noted above, the majority decisions suggest that this lack of prudence, like the lack of foresight, is attributable to childhood and thus non-culpable.

This is particularly evident in the High Court judgment of Kitto J. So, for instance, Kitto J routinely suggests that the boy's age limits not only his ability to foresee harm ("not yet of an age to have an adult's realization of the danger of edged tools"), but also his capacity for prudence ("or an adult's wariness in the handling of them"). Similarly, even in the passage cited above where Kitto J characterizes the risk as sufficiently complicated to excuse a 12-year-old's lack of foresight, the conclusion actually turns as much on prudence as on foresight. For instance, he states that to expect Barry to foresee the danger to Susan would be to demand of him the "sense and circumspection" of an adult. But since "circumspection" is the quality of prudence (that is essentially a normative quality rather than a cognitive one) the implication is that Susan's injury was at least partially due to Barry's lack of attentiveness to others. ...

The suggestion therefore seems to be that even if Susan's injury was due to Barry's lack of prudence, the standard of care should also be adjusted to take account of such a shortcoming. However, this conclusion raises a serious concern with *McHale* and perhaps with the standard of care more generally. The argument in favour of a standard of care that reflects the cognitive and perceptive powers of the child (encapsulated in the phrase "foresight") seems straightforward enough. In fact, ... Holmes's notion of avoidability ... provide[s a persuasive account] of why children who lack the cognitive abilities relevant to the recognition of risk should not be liable under the objective standard. ... But why should we also be willing to

weaken the degree of attentiveness to others, as the standard requires? After all, we normally feel justified in blaming those whose actions reveal that they do not care about others. In fact, some version of this is what we ordinarily call “fault.” ... As Kitto J himself points out, the fault-based understanding of negligence limits liability to acts involving a *shortcoming* on the part of the defendant. And since carelessness of others seems to be just the kind of shortcoming that ordinarily grounds (rather than precludes) legal liability, the conclusion that such shortcomings may not be culpable is surprising.

Although both Windeyer J at trial and the majority of the High Court on appeal indicate that the objective standard should be relaxed to take account of childish lack of prudence as well as lack of foresight, they do not explicitly justify this rather striking conclusion. Nonetheless, their judgments do suggest why they believe that Barry should be exonerated even if his actions betray a lack of prudence. Indeed, the language of “boyish impulse” and the frequent descriptions of the behaviour as “normal” actually form the justification (however implicit) of this conclusion. Barry’s lack of prudence is seen as non-culpable because it is the result of “boyish impulse.” And the courts view boyish impulse as non-culpable because they see it as normal.

2. In *R v Hill*, [1986] 1 SCR 313, a criminal law case dealing with the application of the “ordinary person” standard to the defence of provocation, Wilson J, dissenting, made the following observations about the legal position of children:

In my opinion, if the legal system is to reflect accurately the view of children as being in the developmental stages en route to full functioning capacity as adults, the standard against which children’s actions are measured must be such as can logically culminate in the objective standard of the ordinary person upon their arrival at full adulthood. In negligence law, for example, whereas an extremely young infant assumes almost no legal liability for his or her actions (*Walmsley v. Humenick*, [1954] 2 DLR 232 (BC SC)), older children are expected to conform to the standard appropriate for ordinary children of the same age: see Fleming, *The Law of Torts*, 6th ed. 1983, pp. 107-08. Accordingly, it has been determined that the standard of care applicable to children is only partially objective in that it must be adjusted incrementally in accordance with the age of the child in question: *McHale v. Watson* (1966), 115 CLR 199 (Aust. HC). At some point, of course, there must be a cut-off so that the fully objective standard of the ordinary person can operate. Until this point is reached it stands to reason that the reduced legal standard of responsibility to which children are held is reflected in the semi-objective standard of the ordinary thirteen year old, fourteen year old, etc.

Applying this reasoning to the case at bar, the standard of the ordinary person applicable to adults raising the provocation defence must be adjusted to an incremental scale reflecting the reduced responsibility of the young accused. The measure of self-control properly applicable to the respondent, therefore, is that of the ordinary sixteen year old. This is not, however, conceptually premised on what Lord Diplock refers to as the law’s “compassion for human infirmity” since such compassion, in my view, finds its proper place only in the sentencing process. Rather, the incorporation of the accused’s age into the objective “ordinary person” standard is an attempt to reflect the extent of the legal rights and responsibilities of children in the legal system. The law treats all persons as equal members of society and holds them responsible on an equal basis for their actions except to the extent that they are in a developmental stage en route to achieving full adulthood and full legal rights and duties. This process of maturation into fully responsible actors in the legal system is reflected in the incrementally adjusted measure of legal responsibility accorded to the actions of youthful accuseds

This reduction in the standard against which young accused persons are measured merely reflects the fact that the law does not attribute to individuals in the developmental

stage of their youth the same degree of responsibility as is attributed to fully adult actors. This developmental process is properly embodied in an incrementally adjusted formulation of the "ordinary person" test in accordance with the age of the accused. In this way the basic principles of equality and individual responsibility are embodied in the test to an extent commensurate with the age and capacities of the accused.

3. In *McErlean v Sarel* (1987), 61 OR (2d) 396 at 412-14 (CA), a case involving a collision between two trail bikes driven by teenagers, the court summarized the position of children as follows:

It is well-established that, as a general rule in determining negligence, children are not required to conform to the standard of conduct which may reasonably be expected of adults. Their conduct is judged by the standard to be expected of children of like age, intelligence and experience. This is essentially a subjective test which recognizes that the capacities of children are infinitely various and accordingly treats them on an individual basis and, out of a public interest in their welfare and protection, in a more lenient manner than adults. A child at one end of the scale may be of such tender years as to be manifestly incapable of exercising any of those qualities of intelligence and experience which are necessary to enable him or her to perceive a risk and realize its unreasonable character while a child at the other end may be quite as capable as an adult of exercising such qualities. In each case, the question is whether the child "exercised the care expected from a child of like age, intelligence and experience": *McEllistrum v. Etches* (1956), 6 DLR (2d) 1 at pp. 6-7, [1956] SCR 787 at p. 793. There are, however, exceptions to this general rule.

Where a child engages in what may be classified as an "adult activity," he or she will not be accorded special treatment, and no allowance will be made for his or her immaturity. In those circumstances, the minor will be held to the same standard of care as an adult engaged in the same activity. This exception, which has been widely accepted in the United States (see Prosser and Keeton, [The Law of Torts, 5th ed. (1984)], p. 181), was recognized in this province in *Ryan et al. v. Hickson et al.* (1974), 7 OR (2d) 352, 55 DLR (3d) 196. In that case, two boys, one 12 years old and the other 14 years old, were each found partially to blame for the injury caused to another child as a result of their negligent operation of snowmobiles. Goodman J concluded that children who engage in adult activities, such as snowmobiling, are entitled to no special privilege and are required to meet the standard of the reasonable person. Goodman J (at p. 358 OR, p. 202 DLR) approved as "eminently sensible" the principles set forth by Professor Linden in his then current text [*Canadian Tort Law*, 3rd ed. (1982)], save with respect to his suggestion that the court should take into account whether the adult activity was one which is normally insured, and held them equally as applicable to snowmobiles as to automobiles, whether or not such vehicles are used on or off the highway. We reproduce the passage from Linden, to which reference was made, as it now appears in the latest edition, op. cit., at pp. 126-7:

Special rules for children make sense, especially when they are plaintiffs; however, when a young person is engaged in an adult activity which is normally insured, the policy of protecting the child from ruinous liability loses its force. When the rights of adulthood are granted, the responsibilities of maturity should also accompany them. The legitimate expectations of the community are different when a youth is operating a motor vehicle than when he is playing ball. As one American court suggested, juvenile conduct may be expected from children at play, but "one cannot know whether the operator of an approaching automobile is a minor or adult, and usually cannot protect himself against youthful imprudence even if warned."

There has been a movement toward holding children to the reasonable person standard when they engage in adult activities. A more lenient standard for young people in the operation of motor vehicles, for example, was thought to be "unrealistic" and "inimical to

public safety." When a society permits young people of 15 or 16 the privilege of operating a lethal weapon like an automobile on its highways, it should require of them the same caution it demands of all other drivers.

This concept applies with equal force to the present case. Just as the law does not permit a youth engaged in the operation of an automobile to be judged by standards other than those expected of other drivers, it cannot permit youths engaged in the operation of other motorized vehicles (whether there are any statutory restrictions with respect to age or not) to be judged by standards other than those expected of others engaged in the same or like activity. The critical factor requiring greater care is the motor-powered nature of the vehicle. Automobiles, snowmobiles, power boats, motor cycles, trail bikes, motorized mini-bikes and similar devices are, it is manifest, increasingly available to teenagers, and are equally as lethal in their hands as in the hands of an adult. Machines of this nature, capable as they are of high rates of speed, and demanding as they do the utmost caution and responsibility in conduct, present a grave danger to the teenage operator in particular, and to others in general if the care used in the course of the activity drops below the care which the reasonable and prudent adult would use. The potential risks of harm involved in such activities are apparent, and they must be recognized by parents who permit their teenagers the use of such powerful machines. While teenagers may in other instances be judged by standards commensurate with their age, intelligence and experience, it would be unfair and, indeed, dangerous to the public to permit them in the operation of these power-driven vehicles to observe any lesser standard than that required of all other drivers of such vehicles. The circumstances of contemporary life require a single standard of care with respect to such activities.

II. REASONABLE CARE

POSNER, "THE LEARNED HAND FORMULA FOR DETERMINING LIABILITY"

in Tort Law: Cases and Economic Analysis
(Boston: Little, Brown, 1982) at 1-2

In *United States v. Carroll Towing Co.*, 159 F2d 169 (2d Cir. 1947), the question was presented whether it was negligent for the Connors Company, the owner of a barge, to leave it unattended for several hours in a busy harbor. While unattended, the barge broke away from its moorings and collided with another ship. Judge Learned Hand stated for the court (at p. 173):

there is no general rule to determine when the absence of a bargee or other attendant will make the owner of the barge liable for injuries to other vessels if she breaks away from her moorings It becomes apparent why there can be no such general rule, when we consider the grounds for such a liability. Since there are occasions when every vessel will break from her moorings, and since, if she does, she becomes a menace to those about her, the owner's duty, as in other similar situations, to provide against resulting injuries is a function of three variables: (1) The probability that she will break away; (2) the gravity of the resulting injury, if she does; (3) the burden of adequate precautions. Possibly it serves to bring this notion into relief to state it in algebraic terms: if the probability be called P ; the injury, L ; and the burden, B ; liability depends upon whether B is less than L multiplied by P : i.e., whether $B < PL$ In the case at bar the bargee left at five o'clock in the afternoon of January

3rd, and the flotilla broke away at about two o'clock in the afternoon of the following day, twenty-one hours afterwards. The bargee had been away all the time, and we hold that his fabricated story was affirmative evidence that he had no excuse for his absence. At the *locus in quo*—especially during the short January days and in the full tide of war activity—barges were being constantly “drilled” in and out. Certainly it was not beyond reasonable expectation that, with the inevitable haste and bustle, the work might not be done with adequate care. In such circumstances we hold—and it is all that we do hold—that it was a fair requirement that the Connors Company should have a bargee aboard (unless he had some excuse for his absence), during the working hours of daylight.

By redefinition of two terms in the Hand formula it is easy to bring out its economic character. B, the burden of precautions, is the cost of avoiding the accident, while L, the loss if the accident occurs, is the cost of the accident itself. P times L ($P \times L$)—the cost of the accident if it occurs, multiplied (or as is sometimes said, “discounted”) by the probability that the accident will occur, is what an economist would call the “expected cost” of the accident. Expected cost is most easily understood as the average cost that will be incurred over a period of time long enough for the predicted number of accidents to be the actual number. For example, if the probability that a certain type of accident will occur is .001 (one in a thousand) and the accident cost if it does occur is \$10,000, the expected accident cost is \$10 ($\$10,000 \times .001$); and this is equivalent to saying that if we observe the activity that gives rise to this type of accident for a long enough period of time we will observe an average accident cost of \$10. Suppose the activity in question is automobile trips from point A to point B. If there are 100,000 trips, there will be 100 accidents, assuming that our probability of .001 was correct. The total cost of the 100 accidents will be \$1 million ($\$10,000 \times 100$). The average cost, which is simply the total cost (\$1 million) divided by the total number of trips (100,000), will be \$10. This is the same as the expected cost.

Another name for expected accident costs—for $P \times L$, the right-hand side of the Hand formula—is the benefits from accident avoidance. If one incurs B, the burden of precautions or cost of accident avoidance, one produces a benefit—namely, avoidance of the expected accident costs. The Hand formula is simply an application to accidents of the principle of cost-benefit analysis. Negligence means failing to avoid an accident where the benefits of accident avoidance exceed the costs.

The Hand formula shows that it is possible to think about tort law in economic terms—that, in fact, a famous judge thought about it so. ... [T]he Hand formula—more broadly, economic analysis—provides a unifying perspective in which to view all of tort law.

NOTES

1. Posner outlines his view of the social function of negligence liability in “A Theory of Negligence” (1972) 1 J Leg Stud 29 at 29–34:

There is an orthodox view of the negligence concept to which I believe most legal scholars and historians would subscribe that runs as follows: Until the nineteenth century a man was liable for harm caused by his accidents whether or not he was at fault; he acted at his peril. The no-fault standard of liability was relaxed in the nineteenth century under the pressure of industrial expansion and an individualistic philosophy that could conceive of no justification for shifting losses from the victim of an accident unless the injurer was blameworthy (negligent) and the victim blameless (not contributorily negligent). The result, however, was that accident costs were “externalized” from the enterprises that caused them to workers and other individuals injured as a byproduct of their activities. Justification for the shift, in

the orthodox view, can perhaps be found in a desire to subsidize the infant industries of the period but any occasion for subsidization has long passed, laying bare the inadequacy of the negligence standard as a system for compensating accident victims. The need for compensation is unaffected by whether the participants in the accident were careless or careful and we have outgrown a morality that would condition the right to compensation upon a showing that the plaintiff was blameless and the defendant blameworthy.

There are three essential points here. The first, that the adoption of the negligence standard was a subsidy to the expanding industries of the nineteenth century, is highly ambiguous. It is true that if you move from a regime where (say) railroads are strictly liable for injuries inflicted in crossing accidents to one where they are liable only if negligent, the costs to the railroads of crossing accidents will be lower, and the output of railroad services probably greater as a consequence. But it does not follow that any subsidy is involved—unless it is proper usage to say that an industry is being subsidized whenever a tax levied upon it is reduced or removed. As we shall see, a negligence standard of liability, properly administered, is broadly consistent with an optimum investment in accident prevention by the enterprises subject to the standard. Since it does not connote, as the orthodox view implies, an underinvestment in safety, its adoption cannot be equated with subsidization in any useful sense of that term.

The second major point implicit in the orthodox view is that the dominant purpose of civil liability for accidents is to compensate the victim for the medical expenses, loss of earnings, suffering, and other costs of the accident. Hence, if it is a bad compensation system, it is a bad system. Yet Holmes, in his authoritative essay on the fault system, had rejected a compensation rationale as alien to the system. People, he reasoned, could insure themselves against uncompensated accidents, and there was accordingly no occasion for a state accident-compensation scheme. Holmes left unclear what he conceived the dominant purpose of the fault system to be, if it was not to compensate. The successful plaintiff does recover damages from the defendant. Why? Suppose a major function of the negligence system is to regulate safety. We are apt to think of regulation as the action of executive and administrative agencies. But the creation of private rights of action can also be a means of regulation. The rules are made by the judges aided by the parties. The burdens of investigation and of presenting evidence are also shouldered by the parties. The direct governmental role is thus minimized—a result highly congenial to the thinking of the nineteenth century. Such a system cannot function unless the damages assessed against the defendant are paid over to the plaintiff. That is the necessary inducement for the plaintiff to play his regulatory role of identifying violations of the applicable judge-made rule, proving them, and when appropriate pressing for changes in the rule.

The third essential point in the orthodox view is that negligence is a moral concept—and, in the setting of today, a moralistic one. The orthodox view does not explore the moral roots of fault, but contents itself with asserting that such moral judgments as can be made in the usual accident case are an anachronistic, even frivolous, basis for determining whether to grant or withhold redress. The rejection of moral criteria as a basis for liability follows easily from the conception of the fault system as a compensation scheme and nothing more: it would be odd to deny welfare benefits on the ground that the recipient's misfortune was not the product of someone's wrongful conduct.

Characterization of the negligence standard as moral or moralistic does not advance analysis. The morality of the fault system is very different from that of everyday life. Negligence is an objective standard. A man may be adjudged negligent though he did his best to avoid an accident and just happens to be clumsier than average. In addition, a number of the established rules of negligence liability are hard to square with a moral approach. Insane people are liable for negligent conduct though incapable of behaving carefully. Employers are broadly responsible for the negligence of their employees The moral element in such cases is attenuated.

Moreover, to characterize the negligence concept as a moral one is only to push inquiry back a step. It is true that injury inflicted by carelessness arouses a different reaction from injury inflicted as the result of an unavoidable accident. We are indignant in the first case but not the second. The interesting question is why. What causes us to give the opprobrious label of careless to some human conduct but not other and to be indignant when we are hurt by it? The orthodox view gives no answer.

It is time to take a fresh look at the social function of liability for negligent acts. The essential clue, I believe, is provided by Judge Learned Hand's famous formulation of the negligence standard—one of the few attempts to give content to the deceptively simple concept of ordinary care. Although the formulation postdates the period of our primary interest, it never purported to be original but was an attempt to make explicit the standard that the courts had long applied. In a negligence case, Hand said, the judge (or jury) should attempt to measure three things: the magnitude of the loss if an accident occurs; the probability of the accident's occurring; and the burden of taking precautions that would avert it. If the product of the first two terms exceeds the burden of precautions, the failure to take those precautions is negligence. Hand was adumbrating, perhaps unwittingly, an economic meaning of negligence. Discounting (multiplying) the cost of an accident if it occurs by the probability of occurrence yields a measure of the economic benefit to be anticipated from incurring the costs necessary to prevent the accident. The cost of prevention is what Hand meant by the burden of taking precautions against the accident. It may be the cost of installing safety equipment or otherwise making the activity safer, or the benefit forgone by curtailing or eliminating the activity. If the cost of safety measures or of curtailment—whichever cost is lower—exceeds the benefit in accident avoidance to be gained by incurring that cost, society would be better off, in economic terms, to forgo accident prevention. A rule making the enterprise liable for the accidents that occur in such cases cannot be justified on the ground that it will induce the enterprise to increase the safety of its operations. When the cost of accidents is less than the cost of prevention, a rational profit-maximizing enterprise will pay tort judgments to the accident victims rather than incur the larger cost of avoiding liability. Furthermore, overall economic value or welfare would be diminished rather than increased by incurring a higher accident-prevention cost in order to avoid a lower accident cost. If, on the other hand, the benefits in accident avoidance exceed the costs of prevention, society is better off if those costs are incurred and the accident averted, and so in this case the enterprise is made liable, in the expectation that self-interest will lead it to adopt the precautions in order to avoid a greater cost in tort judgments

Perhaps, then, the dominant function of the fault system is to generate rules of liability that if followed will bring about, at least approximately, the efficient—the cost-justified—level of accidents and safety. Under this view, damages are assessed against the defendant as a way of measuring the costs of accidents, and the damages so assessed are paid over to the plaintiff (to be divided with his lawyer) as the price of enlisting their participation in the operation of the system. Because we do not like to see resources squandered, a judgment of negligence has inescapable overtones of moral disapproval, for it implies that there was a cheaper alternative to the accident. Conversely, there is no moral indignation in the case in which the cost of prevention would have exceeded the cost of the accident. Where the measures necessary to avert the accident would have consumed excessive resources, there is no occasion to condemn the defendant for not having taken them.

If indignation has its roots in inefficiency, we do not have to decide whether regulation, or compensation, or retribution, or some mixture of these best describes the dominant purpose of negligence law. In any case, the judgment of liability depends ultimately on a weighing of costs and benefits.

2. In *McCarty v Pheasant Run, Inc.*, 826 F2d 1554 at 1557 (7th Cir 1987), Posner J made the following comments on the Learned Hand formula:

There are various ways in which courts formulate the negligence standard. The analytically (not necessarily the operationally) most precise is that it involves determining whether the burden of precaution is less than the magnitude of the accident, if it occurs, multiplied by the probability of occurrence. (The product of this multiplication, or "discounting," is what economists call an expected accident cost.) If the burden is less, the precaution should be taken. This is the famous "Hand Formula" announced in *United States v. Carroll Towing Co.*, 159 F2d 169, 173 (2d Cir. 1947) (L. Hand J), an admiralty case, and since applied in a variety of cases not limited to admiralty ...

We are not authorized to change the common law of Illinois, however, and Illinois courts do not cite the Hand Formula but instead define negligence as failure to use reasonable care, a term left undefined But as this is a distinction without a substantive difference, we have not hesitated to use the Hand Formula in cases governed by Illinois law The formula translates into economic terms the conventional legal test for negligence. This can be seen by considering the factors that the Illinois courts take into account in negligence cases: the same factors, and in the same relation, as in the Hand Formula Unreasonable conduct is merely the failure to take precautions that would generate greater benefits in avoiding accidents than the precautions would cost.

Ordinarily, and here, the parties do not give the jury the information required to quantify the variables that the Hand Formula picks out as relevant. That is why the formula has greater analytic than operational significance. Conceptual as well as practical difficulties in monetizing personal injuries may continue to frustrate efforts to measure expected accident costs with the precision that is possible, in principle at least, in measuring the other side of the equation—the cost of burden of precaution For many years to come juries may be forced to make rough judgments of reasonableness, intuiting rather than measuring the factors in the Hand Formula; and so long as their judgment is reasonable, the trial judge has no right to set it aside, let alone substitute his own judgment.

3. Bender, "A Lawyer's Primer on Feminist Theory and Tort" (1988) 38 J Leg Educ 3 at 30-32, offers the following critique of the economic conception of negligence:

When the standard of care is equated with economic efficiency or levels of caution, decisions that assign dollar values to harms to human life and health and then balance those dollars against profit dollars and other evidences of benefit become commonplace. Such cost–benefit and risk–utility analyses turn losses, whether to property or to persons, into commodities in fungible dollar amounts. The standard of care is converted into a floor of unprofitability or inefficiency. People are abstracted from their suffering; they are dehumanized. The risk of their pain and loss becomes a potential debit to be weighed against the benefits or profits to others. The result has little to do with care or even with caution, if caution is understood as concern for safety.

There is another possible understanding of "standard of care" that conforms more closely to Gilligan's "different voice," an alternative perspective rooted in notions of interconnectedness, responsibility, and caring. What would happen if we understood the "reasonableness" of the standard of care to mean "responsibility" and the "standard of care" to mean the "standard of caring" or "consideration of another's safety and interests"? What if, instead of measuring carefulness or caution, we measured concern and responsibility for the well-being of others and their protection from harm? Negligence law could begin with Gilligan's articulation of the feminine voice's ethic of care—a premise that no one should be hurt. We could convert the present standard of "care of a reasonable person under the same or similar circumstances" to a standard of "conscious care and concern of a responsible neighbor or social acquaintance for another under the same or similar circumstances."

The legal standard of care may serve as the minimally acceptable standard of behavior, failing which one becomes liable. But the standard need not be set at the minimum—we do

not need to follow Justice Holmes' advice and write laws for the "bad man." Have we gained anything from legally condoning behavior that causes enormous physical and mental distress and yet is economically efficient? The law can be a positive force in encouraging and improving our social relations, rather than reinforcing our divisions, disparities of power, and isolation.

The recognition that we are all interdependent and connected and that we are by nature social beings who must interact with one another should lead us to judge conduct as tortious when it does not evidence responsible care or concern for another's safety, welfare, or health. Tort law should begin with a premise of responsibility rather than rights, or interconnectedness rather than separation, and a priority of safety rather than profit or efficiency. The masculine voice of rights, autonomy, and abstraction has led to a standard that protects efficiency and profit; the feminine voice can design a tort system that encourages behavior that is caring about others' safety and responsive to others' needs or hurts, and that attends to human contexts and consequences.

It is not a simple matter to establish a standard dependent upon caring. Certainly we all care differently for family and friends than we do for strangers. The closer or more intimate the relationship, the greater our duty of care to that person. Tort liability would be greatest for conduct falling below the accepted standard of "care" within families; that is, when family members do not act responsibly for one another's safety. Of course we could not possibly have the energy to care about every person as we do our children or lovers. But this tort standard does not require caretaking in the sense of nurturing. It is a conscious concern for the consequences our actions or inactions might have on another's safety or health. We can develop an awareness of the health and safety of others in all our activities without exhausting our ability to care.

There is a considerable distance between the law's current standard of care and a standard that might exceed our capabilities. A standard that would make us duty-bound to act responsibly and assure that our behavior does not harm someone else is not beyond us. The law should not permit us casually to cast aside another's safety, health, or interests because we do not personally know the random person who might be injured. Just as we would not want "strangers" to discount the human consequences of their actions to someone about whom we care, we must recognize that the person we affect by our "carelessness" is interconnected to other people as well—family, friends, colleagues, neighbors, communities.

Through a feminist focus on caring, context, and interconnectedness, we can move beyond measuring appropriate behavior by algebraic formulas to assessing behavior by its promotion of human safety and welfare. This approach will clearly lead to liability for some behaviors for which there was none before. If we do not act responsibly with care and concern for others, then we will be deemed negligent. Just as we can now evaluate behavior as negligent if its utility fails to outweigh its risks of harm, we could evaluate behavior as negligent if its care or concern for another's safety or health fails to outweigh its risks of harm. From a feminist perspective the duty of care required by negligence law might mean "acting responsibly towards others to avoid harm, with a concern about the human consequences of our acts or failure to act." It is tragic that our law has been insightful enough to use the language of care but has understood it as only carefulness or acting with caution. If the law imposed a duty of care and concern towards others' safety, orienting our behavior toward avoiding and preventing harms to others, and making it impossible for us to dismiss the consequences of our acts to people we do not directly know, our tort law would take on new dimensions.

4. Posner's reply to Bender's critique appears in Posner, "Conservative Feminism" (1989) U Chicago Legal F 191 at 213:

Leslie Bender suggests that a feminist tort law would replace the "reasonable man" with the "caring neighbour." [Footnote: To illustrate, suppose an accident having an expected cost of

\$100 could be prevented by an expenditure of \$110 on care. Then the failure to prevent the accident would not be negligent, and under normal principles of tort liability the injurer would not be liable to his victim. But presumably a caring neighbour would go the extra step to prevent the accident (at least if the victim was not fully insured against its consequences), so under Bender's proposal the injurer would be liable if he failed to prevent the accident. But liability would not (except in special circumstances) induce him to take the extra care, which by definition would cost him more than the expected accident; he would rather pay the occasional judgment. Liability in such a case would just make negligent liability strict liability.] This suggestion misunderstands the significance of the "reasonable man" (or, as it is now more often and more appropriately referred to, the "reasonable person") rule in tort law. Its significance lies in preventing tortfeasors (or victims of torts) from arguing that while the average person could have avoided the accident, the actual party in the case could not have done so, because he had a below-average capacity to take care. I do not understand Bender to be quarrelling with this result. Her point rather is that in deciding how much care is optimal, we should suppose that potential injurers are not completely strangers to their potential victims but are mildly altruistic toward them (a caring neighbor is more altruistic than a stranger but less so than a close relative). However, people are what they are; most neighbors are not caring, and most accident victims are not neighbors. Human nature will not be altered by holding injurers liable for having failed to take the care that a caring neighbor would have taken. The only effect of adopting Bender's proposal would be to shift negligence liability in the direction of strict liability. Her "caring neighbor" is an unnecessary step in the analysis. Bender might as well argue directly for strict liability on the ground that it is the more altruistic regime than negligence.

Is it? Strict liability is sometimes defended on the ground that it provides more compensation to more accident victims. This is a partial analysis. Strict liability can also result in higher prices, and the burden may be borne by consumers. The net distributive impact is unclear. If these complications are ignored, maybe a feminine outlook on law could be expected to stress compensation—obviously Bender associates altruism with women. On the other hand, strict liability is more rule-like, less standard-like, less contextualist, less sensitive to the particulars of the individual accident, than negligence is; in that respect it is the more masculine standard. Maybe Gilligan's ethic of care cannot be made the basis for a coherent feminist jurisprudence. And if it can be, the result may not be anything distinct from old-fashioned American legal realism, provided we understand that altruism is a feature of some but not all versions of legal realism. Both Holmes and Cardozo were realists, but only Cardozo was a liberal (in the modern, not classical, sense). Plenty of male jurists have worn their hearts on their sleeves.

Who do you think has the better of this exchange between Bender and Posner? Do you think that they have adequately presented all the alternatives? What would each of them think of the conception of reasonable care that emerges out of the Commonwealth cases that follow?

BOLTON V STONE

[1951] AC 850 (HL)

LORD REID: My Lords, it was readily foreseeable that an accident such as befell the respondent might possibly occur during one of the appellants' cricket matches. Balls had been driven into the public road from time to time, and it was obvious that if a person happened to be where a ball fell that person would receive injuries which might or might not be serious. On the other hand, it was plain that the chance of that happening was small. The exact number of times a ball has been driven into the road is not known, but it is not proved that this has happened more than about six times in

about thirty years. If I assume that it has happened on the average once in three seasons I shall be doing no injustice to the respondent's case. Then there has to be considered the chance of a person being hit by a ball falling in the road. The road appears to be an ordinary side road giving access to a number of private houses, and there is no evidence to suggest that the traffic on this road is other than what one might expect on such a road. On the whole of that part of the road where a ball could fall there would often be nobody and seldom any great number of people. It follows that the chance of a person ever being struck even in a long period of years was very small.

This case, therefore, raises sharply the question what is the nature and extent of the duty of a person who promotes on his land operations which may cause damage to persons on an adjoining highway. Is it that he must not carry out or permit an operation which he knows or ought to know clearly can cause such damage, however improbable that result may be, or is it that he is only bound to take into account the possibility of such damage if such damage is a likely or probable consequence of what he does or permits, or if the risk of damage is such that a reasonable man, careful of the safety of his neighbour, would regard that risk as material?

I do not know of any case where this question has had to be decided or even where it has been fully discussed. Of course there are many cases in which somewhat similar questions have arisen, but, generally speaking, if injury to another person from the defendants' acts is reasonably foreseeable the chance that injury will result is substantial and it does not matter in which way the duty is stated. In such cases I do not think that much assistance is to be got from analysing the language which a judge has used. More assistance is to be got from cases where judges have clearly chosen their language with care in setting out a principle, but even so, statements of the law must be read in light of the facts of the particular case. Nevertheless, making all allowances for this, I do find at least a tendency to base duty rather on the likelihood of damage to others than on its foreseeability alone ...

The definition of negligence which has, perhaps, been most often quoted is that of Alderson B, in *Blyth v. Birmingham Waterworks Co.* (5) (11 Exch. 784): "Negligence is the omission to do something which a reasonable man, guided upon those considerations which ordinarily regulate the conduct of human affairs, would do, or doing something which a prudent and reasonable man would not do." I think that reasonable men do, in fact, take into account the degree of risk and do not act on a bare possibility as they would if the risk were more substantial ...

[I]n *Fardon v. Harcourt-Rivington*, Lord Dunedin said: "This is such an extremely unlikely event that I do not think any reasonable man could be convicted of negligence if he did not take into account the possibility of such an occurrence and provide against it ... people must guard against reasonable probabilities, but they are not bound to guard against fantastic possibilities." I doubt whether Lord Dunedin meant the division into reasonable probabilities and fantastic possibilities to be exhaustive so that anything more than a fantastic possibility must be regarded as a reasonable probability. What happened in that case was that a dog left in a car broke the window and a splinter from the glass entered the plaintiff's eye. Before that had happened it might well have been described as a fantastic possibility and Lord Dunedin did not have to consider a case nearer the border-line ...

Counsel for the respondent in the present case had to put his case so high as to say that, at least as soon as one ball had been driven into the road in the ordinary course of a match, the appellants could and should have realised that that might happen again, and that, if it did, someone might be injured, and that that was enough to put on the appellants a duty to take steps to prevent such an occurrence. If the true test is foreseeability alone I think that must be so. Once a ball has been driven on to a road without there being anything extraordinary to account for the fact, there

is clearly a risk that another will follow and if it does there is clearly a chance, small though it may be, that somebody may be injured. On the theory that it is foreseeability alone that matters it would be irrelevant to consider how often a ball might be expected to land in the road and it would not matter whether the road was the busiest street or the quietest country lane. The only difference between these cases is in the degree of risk.

It would take a good deal to make me believe that the law has departed so far from the standards which guide ordinary careful people in ordinary life. In the crowded conditions of modern life even the most careful person cannot avoid creating some risks and accepting others. What a man must not do, and what I think a careful man tries not to do, is to create a risk which is substantial In my judgment, the test to be applied here is whether the risk of damage to a person on the road was so small that a reasonable man in the position of the appellants, considering the matter from the point of view of safety, would have thought it right to refrain from taking steps to prevent the danger. In considering that matter I think that it would be right to take into account not only how remote is the chance that a person might be struck, but also how serious the consequences are likely to be if a person is struck, but I do not think that it would be right to take into account the difficulty of remedial measures. If cricket cannot be played on a ground without creating a substantial risk, then it should not be played there at all. I think that this is in substance the test which Oliver J applied in this case. He considered whether the appellants' ground was large enough to be safe for all practical purposes and held that it was. This is a question, not of law, but of fact and degree. It is not an easy question, and it is one on which opinions may well differ. I can only say that, having given the whole matter repeated and anxious consideration, I find myself unable to decide this question in favour of the respondent. I think, however, that this case is not far from the border-line. If this appeal is allowed, that does not, in my judgment, mean that in every case where cricket has been played on a ground for a number of years without accident or complaint those who organise matches there are safe to go on in reliance on past immunity. I would have reached a different conclusion if I had thought that the risk here had been other than extremely small because I do not think that a reasonable man, considering the matter from the point of view of safety, would or should disregard any risk unless it is extremely small.

LORD RADCLIFFE: My Lords, I agree that this appeal must be allowed. I agree with regret, because I have much sympathy with the decision that commended itself to the majority of the members of the Court of Appeal. I can see nothing unfair in the appellants being required to compensate the respondent for the serious injury that she has received as a result of the sport that they have organised on their cricket ground at Cheetham Hill, but the law of negligence is concerned less with what is fair than with what is culpable, and I cannot persuade myself that the appellants have been guilty of any culpable act or omission in this case ...

[LORDS PORTER, NORMAND, and OAKSEY gave concurring judgments.]

NOTES

1. In *Overseas Tankship (UK) Ltd v The Miller Steamship Co (Wagon Mound, No 2)*, [1967] 1 AC 617 at 641 (PC), Lord Reid glossed *Bolton v Stone* as follows:

Before *Bolton v. Stone* the cases had fallen into two classes: (i) those where, before the event, the risk of its happening would have been regarded as unreal either because the event would have been thought to be physically impossible or because the possibility of its happening

would have been regarded as so fantastic or far-fetched that no reasonable man would have paid any attention to it—"a mere possibility which would never occur to the mind of a reasonable man" (per Lord Dunedin in *Fardon v. Harcourt-Rivington*)—or (ii) those where there was a real and substantial risk or chance that something like the event which happens might occur and then the reasonable man would have taken the steps necessary to eliminate the risk.

Bolton v. Stone posed a new problem. There a member of a visiting team drove a cricket ball out of the ground on to an unfrequented adjacent public road and it struck and severely injured a lady who happened to be standing in the road. That it might happen that a ball would be driven on to this road could not have been said to be a fantastic or far-fetched possibility: according to the evidence it had happened about six times in twenty-eight years. Moreover it could not have been said to be a far-fetched or fantastic possibility that such a ball would strike someone in the road: people did pass along the road from time to time. So it could not have been said that, on any ordinary meaning of the words, the fact that a ball might strike a person in the road was not foreseeable or reasonably foreseeable. It was plainly foreseeable; but the chance of its happening in the foreseeable future was infinitesimal. A mathematician given the data could have worked out that it was only likely to happen once in so many thousand years. The House of Lords held that the risk was so small that in the circumstances a reasonable man would have been justified in disregarding it and taking no steps to eliminate it.

But it does not follow that, no matter what the circumstances may be, it is justifiable to neglect a risk of such a small magnitude. A reasonable man would only neglect such a risk if he had some valid reason for doing so: e.g., that it would involve considerable expense to eliminate the risk. He would weigh the risk against the difficulty of eliminating it. If the activity which caused the injury to Miss Stone had been an unlawful activity there can be little doubt but that *Bolton v. Stone* would have been decided differently. In their lordships' judgment *Bolton v. Stone* did not alter the general principle that a person must be regarded as negligent if he does not take steps to eliminate a risk which he knows or ought to know is a real risk and not a mere possibility which would never influence the mind of a reasonable man. What that decision did was to recognise and give effect to the qualification that it is justifiable not to take steps to eliminate a real risk if it is small and if the circumstances are such that a reasonable man, careful of the safety of his neighbour, would think it right to neglect it.

2. In *Latimer v AEC*, [1953] AC 643 (HL), exceptional rainfall had flooded a factory floor. When the water was drained it was found that the floor had become slippery due to the mixing of water with an oily substance used in the factory's processes. The employer spread as much sawdust as was available on the floor between shifts, but did not have enough to cover all areas. The plaintiff, a worker on a gangway that had not been treated with sawdust, slipped when lifting something and hurt his ankle. He sued the employer for negligence. Lord Porter stated:

[U]ndoubtedly the respondents did their best to get rid of the effects of the flood, employing such of the day workers as could be spared and obtaining volunteers from them for work in the interval between day and night work and from the night shift at a later period, but in the learned judge's opinion it was not possible for them to take any further steps to make the floor less slippery. I understand his view to have been, however, that, inasmuch as the effect of the storm left the gangway in question, and possibly other portions of the works, somewhat slippery and therefore potentially dangerous, they should have shut down the whole works if necessary, or at any rate such portion as was dangerous. ...

[T]he duty of the tribunal is to determine what action in the circumstances which have been proved would a reasonably prudent man have taken. The probability of a workman slipping is one matter which must be borne in mind but it must be remembered that no one else did so. Nor does the possibility seem to have occurred to anyone at the time. It is true that after the event Mr. Milne, one of the respondents' witnesses, expressed the opinion that

he would not have gone on to the floor in the condition in which it was and that it would be too dangerous to do so. But this was after the event, and though he was the respondents' safety engineer and was present until late that night, it seems never to have occurred to him that there was any danger or that any further steps than those actually taken were possible or required for the safety of the employees. The seriousness of shutting down the works and sending the night shift home and the importance of carrying on the work upon which the factory was engaged are all additional elements for consideration and without adequate information on these matters it is impossible to express any final opinion. Moreover, owing to the course taken at the trial there is no material for enabling one to judge whether a partial closing of the factory was possible or the extent to which the cessation of the respondents' activities would have retarded the whole of the work being carried on. In my view, in these circumstances, the appellant has not established that a reasonably careful employer would have shut down the works or that the respondents ought to have taken the drastic step of closing the factory.

Lord Tucker also found that there was no negligence:

The learned judge seems to have accepted the reasoning of counsel for the plaintiff to the effect that the floor was slippery, that slipperiness is a potential danger, that the defendants must be taken to have been aware of this, that in the circumstances nothing could have been done to remedy the slipperiness, that the defendants allowed work to proceed, that an accident due to slipperiness occurred, and that the defendants are therefore liable.

This is not the correct approach. The problem is perfectly simple. The only question was: Has it been proved that the floor was so slippery that, remedial steps not being possible, a reasonably prudent employer would have closed down the factory rather than allow his employees to run the risks involved in continuing work? The learned judge does not seem to me to have posed this question to himself, nor was there sufficient evidence before him to have justified an affirmative answer.

The absence of any evidence that anyone in the factory during the afternoon or night shift, other than the plaintiff, slipped or experienced any difficulty or that any complaint was made by or on behalf of the workers all points to the conclusion that the danger was in fact not such as to impose upon a reasonable employer the obligation placed upon the respondents by the trial judge.

Lord Asquith of Bishopstone concurred:

What evidence the learned judge had before him suggests to my mind that the degree of risk was too small to justify, let alone require, closing down. The evidence of the plaintiff himself ... is that "you always get a certain amount of grease about." Ampstead, his fellow worker, says exactly the same. ... Yet the plaintiff says ... that except for the accident to himself on this occasion ..., he has never known any accident happen to anyone in the factory through these causes. I cannot resist the conclusion that on this occasion, notwithstanding the extent of the flooding, the risk was inconsiderable.

English scholars sometimes conclude from this case that negligence always involves balancing the risk against the cost of precautions. Are they correct?

3. In *Tomlinson v Congleton Borough Council*, [2004] 1 AC 46 (HL), the defendant municipality maintained a park in which there was a shallow lake artificially formed by flooding an old sand quarry. While swimming in the lake the plaintiff plunged forward at too sharp an angle and hit the bottom with his head, suffering a broken neck and consequent paralysis. The plaintiff sued, alleging that the defendant breached its duty under the *Occupiers' Liability Act 1984*, c 3, s 2(2) "to take such care as in all the circumstances of the case is reasonable to see that the visitor will be reasonably safe in using the premises for the purposes for which he is invited or permitted by the occupier to be there." Lord Hoffmann stated:

My Lords, the majority of the Court of Appeal appear to have proceeded on the basis that if there was a foreseeable risk of serious injury, the Council was under a duty to do what was necessary to prevent it. But this in my opinion is an oversimplification. ... [T]he question of what amounts to "such care as in all the circumstances of the case is reasonable" depends upon assessing, as in the case of common law negligence, not only the likelihood that someone may be injured and the seriousness of the injury which may occur, but also the social value of the activity which gives rise to the risk and the cost of preventative measures. These factors have to be balanced against each other.

For example, in *Overseas Tankship (UK) Ltd v Miller Steamship Pty Ltd (The Wagon Mound (No. 2))* [1967] 1 AC 617, there was no social value or cost saving in the defendant's activity. Lord Reid said (at p 643):

In the present case there was no justification whatever for discharging the oil into Sydney Harbour. Not only was it an offence to do so, but it involved considerable loss financially. If the ship's engineer had thought about the matter, there could have been no question of balancing the advantages and disadvantages. From every point of view it was both his duty and his interest to stop the discharge immediately.

So the defendants were held liable for damage which was only a very remote possibility. Similarly in *Jolley v Sutton London B.C.* [2000] 1 WLR 1082 there was no social value or cost saving to the Council in creating a risk by leaving a derelict boat lying about. It was something which they ought to have removed whether it created a risk of injury or not. So they were held liable for an injury which, though foreseeable, was not particularly likely. On the other hand, in *The Wagon Mound (No. 2)* Lord Reid (at p 642) drew a contrast with *Bolton v Stone* [1951] AC 850 in which the House of Lords held that it was not negligent for a cricket club to do nothing about the risk of someone being injured by a cricket ball hit out of the ground. The difference was that the cricket club were carrying on a lawful and socially useful activity and would have had to stop playing cricket at that ground.

This is the kind of balance which has to be struck even in a situation in which it is clearly fair, just and reasonable that there should in principle be a duty of care or in which Parliament, as in the 1957 Act, has decreed that there should be. And it may lead to the conclusion that even though injury is foreseeable, as it was in *Bolton v Stone*, it is still in all the circumstances reasonable to do nothing about it. ...

I turn then to the cost of taking preventative measures. Ward LJ described it (£5,000) as "not excessive." Perhaps it was not, although the outlay has to be seen in the context of the other items (rated "essential" and "highly desirable") in the Borough Council budget which had taken precedence over the destruction of the beaches for the previous two years.

I do not however regard the financial cost as a significant item in the balancing exercise which the court has to undertake. There are two other related considerations which are far more important. The first is the social value of the activities which would have to be prohibited in order to reduce or eliminate the risk from swimming. And the second is the question of whether the Council should be entitled to allow people of full capacity to decide for themselves whether to take the risk.

The Court of Appeal made no reference at all to the social value of the activities which were to be prohibited. The majority of people who went to the beaches to sunbathe, paddle and play with their children were enjoying themselves in a way which gave them pleasure and caused no risk to themselves or anyone else. This must be something to be taken into account in deciding whether it was reasonable to expect the Council to destroy the beaches.

Lord Hobhouse of Woodborough offered a different formulation:

The second point is the mistreatment of the concept of risk. To suffer a broken neck and paralysis for life could hardly be a more serious injury; any loss of life is a consequence of the greatest seriousness. There was undoubtedly a risk of drowning for inexperienced, incompetent or drunken swimmers in the deeper parts of the mere or in patches of weed

when they were out of their depth although no lives had actually been lost. But there was no evidence of any incident where anyone before the claimant had broken his neck by plunging from a standing position and striking his head on the smooth sandy bottom on which he was standing. Indeed, at the trial it was not his case that this was what had happened; he had alleged that there must have been some obstruction. There had been some evidence of two other incidents where someone suffered a minor injury (a cut or a graze) to their head whilst diving but there was no evidence that these two incidents were in any way comparable with that involving the claimant. It is then necessary to put these few incidents in context. The park had been open to the public since about 1982. Some 160,000 people used to visit the park in a year. Up to 200 would be bathing in the mere on a fine summer's day. Yet the number of incidents involving the mere were so few. It is a fallacy to say that because drowning is a serious matter that there is therefore a serious risk of drowning. In truth the risk of a drowning was very low indeed and there had never actually been one and the accident suffered by the claimant was unique. Whilst broken necks can result from incautious or reckless diving, the probability of one being suffered in the circumstances of the claimant were so remote that the risk was minimal. The internal reports before his accident make the common but elementary error of confusing the seriousness of the outcome with the degree of risk that it will occur.

The third point is that this confusion leads to the erroneous conclusion that there was a significant risk of injury presented to the claimant when he went into the shallow water on the day in question. One cannot say that there was no risk of injury because we know now what happened. But, in my view, it was objectively so small a risk as not to trigger s. 1(1) of the 1984 Act, otherwise every injury would suffice because it must imply the existence of some risk. However, and probably more importantly, the degree of risk is central to the assessment of what reasonably should be expected of the occupier and what would be a reasonable response to the existence of that degree of risk. The response should be appropriate and proportionate to both the degree of risk and the seriousness of the outcome at risk. If the risk of serious injury is so slight and remote that it is highly unlikely ever to materialise, it may well be that it is not reasonable to expect the occupier to take any steps to protect anyone against it. The law does not require disproportionate or unreasonable responses.

4. In *Watt v Hertfordshire County Council*, [1954] 1 WLR 835 (CA), the plaintiff was a fireman, who with two others had been sent out to answer an emergency call concerning a woman who was trapped under a heavy vehicle two or three hundred yards from the station. Loaded on to the back of their truck was a heavy jack. The truck had nothing to which the jack could be lashed (the vehicle usually used to transport the jack was engaged in other uses at the time), and the plaintiff and two other firemen steadied it as they were being transported to the scene of the emergency. On the way the driver had to apply the brakes suddenly, throwing the firemen off balance and causing the jack to slide forward and injure the plaintiff. The plaintiff sued his employers, but lost at trial and appealed. In dismissing the appeal, Denning LJ said:

It is well settled that in measuring due care one must balance the risk against the measures necessary to eliminate the risk. To that proposition there ought to be added this. One must balance the risk against the end to be achieved. If this accident had occurred in a commercial enterprise without any emergency, there could be no doubt that the servant would succeed. But the commercial end to make profit is very different from the human end to save life or limb. The saving of life or limb justifies taking considerable risk, and I am glad to say there have never been wanting in this country men of courage ready to take those risks, notably in the fire service.

In this case the risk involved in sending out the lorry was not so great as to prohibit the attempt to save life. I quite agree that fire engines, ambulances and doctors' cars should not shoot past the traffic lights when they show a red light. That is because the risk is too great to warrant the incurring of the danger. It is always a question of balancing the risk against the end.

TRIMARCO V KLEIN
436 NE 2d 502 (NY CA 1982)

FUCHSBERG J: After trial by jury in a negligence suit for personal injuries, the plaintiff, Vincent N. Trimarco, recovered a judgment of \$240,000 ... [O]ur primary concern on this appeal is with the role of the proof plaintiff produced on custom and usage. The ultimate issue is whether he made out a case.

The controversy has its genesis in the shattering of a bathtub's glass enclosure door in a multiple dwelling in July, 1976. Taking the testimony most favorable to the plaintiff, as we must in passing on the presence of a *prima facie* case, we note that, according to the trial testimony, at the time of the incident plaintiff, the tenant of the apartment in which it happened, was in the process of sliding the door open so that he could exit the tub. It is undisputed that the occurrence was sudden and unexpected and the injuries he received from the lacerating glass most severe ...

As part of his case, plaintiff, with the aid of expert testimony, developed that, since at least the early 1950's, a practice of using shatterproof glazing materials for bathroom enclosures had come into common use, so that by 1976 the glass door here no longer conformed to accepted safety standards. This proof was reinforced by a showing that over this period bulletins of nationally recognized safety and consumer organizations along with official Federal publications had joined in warning of the dangers that lurked when plain glass was utilized in "hazardous locations," including "bathtub enclosures." Over objection, the trial court also allowed in sections 389-m and 389-o of New York's General Business Law, which, enacted in 1972 though effective only as of July 1, 1973, required, on pain of criminal sanctions, that only "safety glazing material" be used in all bathroom enclosures after the effective date; however, the court carefully cautioned the jury that, because the statute did not apply to existing installations, of which the glass in question was one, it only was to be considered "along with all the other proof in this case, as a standard by which you may measure the conduct of the defendants." And, on examination of the defendants' managing agent, who long had enjoyed extensive familiarity with the management of multiple dwelling units in the New York City area, plaintiff's counsel elicited agreement that, since at least 1965, it was customary for landlords who had occasion to install glass for shower enclosures, whether to replace broken glass or to comply with the request of a tenant or otherwise, to do so with "some material such as plastic or safety glass" ...

Which brings us to the well-recognized and pragmatic proposition that when "certain dangers have been removed by a customary way of doing things safely, this custom may be proved to show that [the one charged with the dereliction] has fallen below the required standard" (*Garthe v. Ruppert*, 264 NY 290, 296). Such proof, of course, is not admitted in the abstract. It must bear on what is reasonable conduct under all the circumstances, the quintessential test of negligence.

It follows that, when proof of an accepted practice is accompanied by evidence that the defendant conformed to it, this may establish due care (*Bennett v. Long Is. R.R. Co.*, 163 NY 1, 4 [custom not to lock switch on temporary railroad siding during construction]), and, contrariwise, when proof of a customary practice is coupled with a showing that it was ignored and that this departure was a proximate cause of the accident, it may serve to establish liability (*Levine v. Blaine Co.*, 273 NY 386, 389 [custom to equip dumbwaiter with rope which does not splinter]). Put more conceptually, proof of a common practice aids in "[formulating] the general expectation of society as to how individuals will act in the course of their undertakings, and thus to guide the common sense or expert intuition of a jury or commission when called

on to judge of particular conduct under particular circumstances" (Pound, *Administrative Application of Legal Standards*, 44 ABA Rep, 445, 456-457).

The source of the probative power of proof of custom and usage is described differently by various authorities, but all agree on its potency. Chief among the rationales offered is, of course, the fact that it reflects the judgment and experience and conduct of many (2 Wigmore, *Evidence* [3d ed], @ 461; Prosser, *Torts* [4th ed], @ 33). Support for its relevancy and reliability comes too from the direct bearing it has on feasibility, for its focusing is on the practicality of a precaution in actual operation and the readiness with which it can be employed (Morris, "Custom and Negligence," 42 *Col L Rev* 1147, 1148). Following in the train of both of these boons is the custom's exemplification of the opportunities it provides to others to learn of the safe way, if that the customary one be. (See *Restatement, Torts* 2d, @ 295A, Comments a, b.)

From all this it is not to be assumed customary practice and usage need be universal. It suffices that it be fairly well defined and in the same calling or business so that "the actor may be charged with knowledge of it or negligent ignorance" (Prosser, *Torts* [4th ed], @ 33, p 168; *Restatement, Torts* 2d, @ 295A, p 62, Comment a).

However, once its existence is credited, a common practice or usage is still not necessarily a conclusive or even a compelling test of negligence Before it can be, the jury must be satisfied with its reasonableness, just as the jury must be satisfied with the reasonableness of the behavior which adhered to the custom or the unreasonableness of that which did not After all, customs and usages run the gamut of merit like everything else. That is why the question in each instance is whether it meets the test of reasonableness. As Holmes' now classic statement on this subject expresses it, "[what] usually is done may be evidence of what ought to be done, but what ought to be done is fixed by a standard of reasonable prudence, whether it usually is complied with or not" (*Texas & Pacific Ry. Co. v. Behymer*, 189 US 468, 470).

So measured, the case the plaintiff presented, even without the insertion of sections 389-m and 389-o of the General Business Law, was enough to send it to the jury and to sustain the verdict reached. The expert testimony, the admissions of the defendant's manager, the data on which the professional and governmental bulletins were based, the evidence of how replacements were handled by at least the local building industry for the better part of two decades, these in the aggregate easily filled that bill. Moreover, it was also for the jury to decide whether, at the point in time when the accident occurred, the modest cost and ready availability of safety glass and the dynamics of the growing custom to use it for shower enclosures had transformed what once may have been considered a reasonably safe part of the apartment into one which, in the light of later developments, no longer could be so regarded.

Furthermore, the charge on this subject was correct. The Trial Judge placed the evidence of custom and usage "by others engaged in the same business" in proper perspective, when, among other things, he told the jury that the issue on which it was received was "the reasonableness of the defendant's conduct under all the circumstances." He also emphasized that the testimony on this score was not conclusive, not only by saying so but by explaining that "the mere fact that another person or landlord may have used a better or safer practice does not establish a standard" and that it was for the jurors "to determine whether or not the evidence in this case does establish a general custom or practice."

Nevertheless, we reverse and order a new trial because the General Business Law sections should have been excluded. True, if a statutory scheme intended for the protection of a particular class, as is the one here, does not expressly provide for civil

liability, there is responsible authority for the proposition that a court may, in furtherance of the statutory purpose, read in such an intent Be that as it may, the fact is that the statutes here protected only those tenants for whom shower glazing was installed after the statutory effective date. Plaintiff was not in that class. Thus, while new installations made during the three-year interval between July 1, 1973, the effective date of the new General Business Law provisions, and July, 1976, when plaintiff was injured, could have counted numerically in the totality of any statistics to support the existence of a developing custom to use safety glass, defendants' objection to the statutes themselves should have been sustained. Without belaboring the point, it cannot be said that the statutes, once injected into the adversarial conflict, did not prejudice the defendants.

[COOKE CJ and JASEN, GABRIELLI, JONES, WACHTLER, and MEYER JJ concur.]

NOTES AND QUESTIONS

1. The classic case on the significance of custom is *The TJ Hooper*, 60 F2d 737 (2d Cir 1932), in which barges towed by tugs were caught in a storm and consequently sank. The tugs were alleged to be unseaworthy because they did not carry radio receiving sets through which they could have received warnings about changes in the weather. Learned Hand J affirmed the liability of the tug owners:

It is not fair to say that there was a general custom among coastwise carriers so as to equip their tugs. One line alone did it; as for the rest, they relied upon their crews, so far as they can be said to have relied at all. An adequate receiving set suitable for a coastwise tug can now be got at small cost and is reasonably reliable if kept up; obviously it is a source of great protection to their tows. Twice every day they can receive these predictions, based upon the widest possible information, available to every vessel within two or three hundred miles and more. Such a set is the ears of the tug to catch the spoken word, just as the master's binoculars are her eyes to see a storm signal ashore. Whatever may be said as to other vessels, tugs towing heavy coal laden barges, strung out for half a mile, have little power to manoeuvre, and do not, as this case proves, expose themselves to weather which would not turn back stauncher craft. They can have at hand protection against dangers of which they can learn in no other way.

Is it then a final answer that the business had not yet generally adopted receiving sets? There are yet, no doubt, cases where courts seem to make the general practice of the calling the standard of proper diligence; we have indeed given some currency to the notion ourselves Indeed in most cases reasonable prudence is in fact common prudence; but strictly it is never its measure; a whole calling may have unduly lagged in the adoption of new and available devices. It may never set its own tests, however persuasive be its usages. Courts must in the end say what is required; there are precautions so imperative that even their universal disregard will not excuse their omission But here there was no custom at all as to receiving sets; some had them, some did not; the most that can be urged is that they had not yet become general. Certainly in such a case we need not pause; when some have thought a device necessary, at least we may say that they were right, and the others too slack.

Is this opinion consistent with the Learned Hand formula in *Carroll Towing*?

2. Weiler, "Groping Toward a Canadian Tort Law: The Role of the Supreme Court of Canada" (1971) 21 UTLJ 267 at 318, sums up the significance of custom as follows:

It is true that what most people do is not necessarily what they ought, reasonably, to do. On the other hand, what is reasonable in a world not composed wholly of the wise must depend on a composite judgment about what the ordinary person feels appropriate. What is done

by people in practice may be much more representative than a jury judgment in the artificial atmosphere of a courtroom, especially where the latter is used to find a person at fault who has relied upon the natural expectation that what is normal is proper. A lay jury is necessarily uninformed about what is reasonable, and can use only an amorphous and variable standard of responsibility. Custom is necessarily feasible in a technical and economic sense; it is a precise, crystallized standard of care, it can be learned and utilized as a practical matter, and it can produce an informed, impersonal, and fair judgment at the time of the trial ...

Yet these arguments, although compelling, are not conclusive ... [We] must recognize the real likelihood of a distinction between what people actually do and what they ought to do. This is especially true in the area of organizations which are subjected to the constraints of limited budgets and market competition. Safety devices cost money and this raises prices immediately; the risk of injury which is prevented is purely statistical and remote. The consumer may not be trusted to pay a higher price for greater safety and competition may be a great deterrent to the adoption of safety devices which are available and recognized as reasonable. The legislature or its administrative agencies may not yet have acted to require the device of everybody and thus remove it as an element of competition. The plaintiff comes to the court, then, as a one-man lobby to demand recognition for the need for the safety device, and for a decision that the earlier failure to adopt it was indeed against contemporary mores.

TER NEUZEN V KORN

[1995] 3 SCR 674, 127 DLR (4th) 577

SOPINKA J (LA FOREST, GONTHIER, CORY, McLACHLIN, and IACOBucci JJ concurring): This appeal raises issues concerning the liability of the respondent physician for conducting an artificial insemination ("AI") procedure which resulted in his patient, the appellant, contracting the Human Immunodeficiency Virus ("HIV") through the infected semen of the donor. Specifically, this court must address whether the respondent physician could be found negligent, notwithstanding conformity with standard medical practice, and whether the trial judge erred in instructing the jury that the prevailing standard of practice could itself be found to be negligent.

The respondent is an obstetrician and gynaecologist and has practised AI since 1974. The appellant was a psychiatric nurse. She participated in the respondent's AI program from 1981 until January 21, 1985, during which time she underwent about 35 AI procedures. It was agreed that the appellant became infected by HIV as a result of the AI procedure on January 21, 1985. The respondent did not warn the appellant of the risk of HIV infection resulting from the AI procedure (also referred to as "the risk").

The first report of HIV in female sex partners of men with AIDS [acquired immune deficiency syndrome] appeared in early 1983. At that time, heterosexual intercourse was seen as a potential source of infection. However, there was no link between AI and HIV. In December, 1983, for the first time, the risk of contracting AIDS was related to blood transfusions. In October, 1983, an important letter was published by Dr. Mascola in the *New England Journal of Medicine* suggesting that there was a risk of transmitting sexually transmitted diseases ("STDs") through AI. However, this prestigious journal was not widely read by gynaecologists and the respondent did not read this letter. It appears that Dr. Mascola was the first person in the world to express a concern about the possibility of transmitting HIV through AI. The first documented case in the world of HIV transmission through AI was published in the lay media in July, 1985, and in a medical journal in September, 1985. None of the

obstetric literature mentioned AI as a mode of transmission of HIV and no article summarized the disease risks of AI before 1986.

The evidence reveals that the knowledge about HIV was rapidly growing in the period of 1984-1985; however, it was still quite limited and confusing in the early days. Generally, research scientists and health care officials in the AIDS field were expected to be more up to date on medical developments concerning HIV than clinical practitioners and the general medical community. In 1984, the Elisa test was developed in the United States which enabled doctors to test for HIV in blood and tissues. However, as of January 21, 1985, there was no test available for the detection of HIV in semen or blood in Canada. The Elisa test did not become available in Canada until later in 1985. Therefore, it was impossible to test the semen of donors for HIV at the time the appellant became infected.

At this time, it was widely believed that HIV was an STD; however, it was hoped that the atraumatic AI procedure was free of risk. It was believed that the small abrasions caused by intercourse were necessary in order for the virus to get into the bloodstream. Thus, in late 1984, a possibility of the transmission of HIV through heterosexual intercourse was known, but AI was not seriously considered to put anyone at risk of being infected ...

In mid-1984, four babies in Australia were found to have acquired AIDS by blood transfusions. Since it was known that the Elisa test would eventually be available for clinical use, this led to a ministerial decree to impose a moratorium on all body fluid and tissue transfers. As a result, all AI clinics were closed at this time, although this was not supported by the whole medical profession in Australia. This event was not widely publicized in North America and the respondent, as well as the general medical community in North America, were unaware of the closures in Australia until later in 1985. Apparently, there was little exchange of medical information on the subject of HIV between Australia and North America. In September, 1985, an article in the British medical journal *Lancet* revealed that four Australian women had contracted HIV from AI. When the respondent learned of this he immediately discontinued his AI program and recommended that his donors and the appellant be tested.

The American Fertility Society published guidelines for the use of semen donor insemination for the first time in 1986 and these guidelines were revised in 1988. The new guidelines recommended the use of frozen semen only, which is stored for at least six months. Blood samples for HIV antibodies are taken at the time of semen donation and six months later. The semen is only to be used if both samples are HIV negative. These guidelines were not published by the American Center for Disease Control until February, 1988. The respondent did not start testing for Hepatitis B until sometime in 1987-88, when the guidelines were issued.

Although the respondent knew that HIV could be transmitted by heterosexual sex, as well as through blood transfusions, he was not aware that HIV could be transmitted by AI until July, 1985, when he heard about the experience in Australia. None of the medical publications he read prior to January, 1985, nor any of the medical meetings he attended suggested that there was a risk of contracting HIV through AI. The respondent did not read Dr. Mascola's letter which appeared in the *New England Journal of Medicine*. He did not make any connection between the fact HIV was a sexually transmitted disease and the possibility that it could be passed on through AI since there was nothing recorded to this effect.

There was expert evidence that the respondent's AI practice was in keeping with general practices across Canada. Specifically, his AI practice of recruitment and screening of donors and semen accorded with standard practice across Canada. The respondent used only fresh semen prior to January, 1985. He personally interviewed all his donors instead of using a questionnaire. In the interview, the respondent

obtained a complete medical history of the prospective donor including whether the donor was heterosexual or homosexual. The respondent rejected homosexuals because he considered that they had practices that could potentially transmit certain diseases to recipients. The respondent also inquired into the levels of sexual activity since active donors were more likely to be exposed to STDs.

The respondent also conducted a general physical examination. He tested for gonorrhoea, syphilis and other bacteria and conducted blood and semen tests for Rh blood factor. Other than on a random basis, there was no repeat testing of semen nor re-interviewing of donors. Of the 28 active donors used by the respondent in his AI practice, only the donor whose semen was administered to the appellant was infected by HIV. That donor had been asked whether he was heterosexual or homosexual and he replied that he was heterosexual. After the donor tested HIV positive, he told the respondent that he was bisexual.

At trial, the trial judge instructed the jury that it was open to find the respondent negligent on the basis that he failed to comply with the standard medical practice at that time. Alternatively, the trial judge stated that the jury could find that the approved practice itself was negligent

In the result, the jury found the respondent negligent. However, it is unknown on what basis the jurors reached their decision

It is well-settled that physicians have a duty to conduct their practice in accordance with the conduct of a prudent and diligent doctor in the same circumstances. In the case of a specialist, such as a gynaecologist and obstetrician, the doctor's behaviour must be assessed in light of the conduct of other ordinary specialists, who possess a reasonable level of knowledge, competence and skill expected of professionals in Canada, in that field. A specialist, such as the respondent, who holds himself out as possessing a special degree of skill and knowledge, must exercise the degree of skill of an average specialist in his field

It is also particularly important to emphasize, in the context of this case, that the conduct of physicians must be judged in the light of the knowledge that ought to have been reasonably possessed at the time of the alleged act of negligence. As Denning LJ eloquently stated in *Roe v. Ministry of Health*, [1954] 2 All ER 131 (CA) at p. 137, "[w]e must not look at the 1947 accident with 1954 spectacles." That is, courts must not, with the benefit of hindsight, judge too harshly doctors who act in accordance with prevailing standards of professional knowledge.

The Court of Appeal, after a thorough review of the evidence, held that it was not possible for a jury acting judicially to have found that, in 1985, the respondent ought to have known of the risk. This is a power to review a jury verdict which a court of appeal clearly possesses: see *Vancouver-Fraser Park District v. Olmstead* (1974), 51 DLR (3d) 416, [1975] 2 SCR 831, 3 NR 326. I agree with this finding and can find no basis upon which it can be questioned. Indeed my review of the evidence leads to the same conclusion. The evidence of standard practice on the first aspect of the case was based entirely on the state of knowledge required of the reasonable practitioner in 1985 and it would have been equally impossible for a jury acting judicially to have found that, given the state of knowledge, the reasonable practitioner ought to either have discontinued AI or warned the patients of the risk. It having been admitted that the respondent continued AI and did not warn his patients, there was no issue concerning his conformity with the standard practice.

The appellant, therefore, can only support a favourable finding on this aspect of the case on the basis that the jury was entitled to find that the standard established by the evidence itself departed from that of a prudent and diligent physician and that the respondent, in failing to conform with a higher standard, was guilty of negligence

It is generally accepted that when a doctor acts in accordance with a recognized and respectable practice of the profession, he or she will not be found to be negligent. This is because courts do not ordinarily have the expertise to tell professionals that they are not behaving appropriately in their field. In a sense, the medical profession as a whole is assumed to have adopted procedures which are in the best interests of patients and are not inherently negligent

In *The Law of Torts*, 7th ed. (Sydney: Law Book Co., 1987), Professor John G. Fleming observed the following with respect to the role of standard practice, at p. 109:

Conformity with general practice, on the other hand, usually dispels a charge of negligence. It tends to show what others in the same "business" considered sufficient, that the defendant could not have learnt how to avoid the accident by the example of others, that most probably no other practical precautions could have been taken, and that the impact of an adverse judgment (especially in cases involving industry or a profession) will be industry-wide and thus assume the function of a "test case." Finally, it underlines the need for caution against passing too cavalierly upon the conduct and decision of experts.

All the same, even a common practice may itself be condemned as negligent *if fraught with obvious risks.*

(Emphasis added.)

With respect to the medical profession in particular, Professor Fleming noted, at p. 110:

Common practice plays a conspicuous role in medical negligence actions. Conscientious at once of the layman's ignorance of medical science and apprehensive of the impact of jury bias on a peculiarly vulnerable profession, courts have resorted to the safeguard of insisting that negligence in diagnosis and treatment (including disclosure of risks) cannot ordinarily be established without the aid of expert testimony or in the teeth of conformity with accepted medical practice. *However there is no categorical rule. Thus an accepted practice is open to censure by a jury (nor expert testimony required) at any rate in matters not involving diagnostic or clinical skills, on which an ordinary person may presume to pass judgment sensibly, like omission to inform the patient of risks, failure to remove a sponge, an explosion set off by an admixture of ether vapour and oxygen or injury to a patient's body outside the area of treatment.*

(Emphasis added. Footnotes omitted.)

It is evident from the foregoing passage that while conformity with common practice will generally exonerate physicians of any complaint of negligence, there are certain situations where the standard practice itself may be found to be negligent. However, this will only be where the standard practice is "fraught with obvious risks" such that anyone is capable of finding it negligent, without the necessity of judging matters requiring diagnostic or clinical expertise

I conclude from the foregoing that, as a general rule, where a procedure involves difficult or uncertain questions of medical treatment or complex, scientific or highly technical matters that are beyond the ordinary experience and understanding of a judge or jury, it will not be open to find a standard medical practice negligent. On the other hand, as an exception to the general rule, if a standard practice fails to adopt obvious and reasonable precautions which are readily apparent to the ordinary finder of fact, then it is no excuse for a practitioner to claim that he or she was merely conforming to such a negligent common practice.

The question as to whether the trier of fact can find that a standard practice is itself negligent is a question of law to be determined by the trial judge irrespective of the mode of trial. It is, of course, for the jury to determine on the evidence what the standard practice is. If the evidence is conflicting on this issue, the jury will have to resolve the conflict. If, as in this case, the evidence is virtually conclusive, the trial judge should instruct the jury that failure to accept the evidence may very well result in an unreasonable verdict which will be set aside. Moreover, unless the nature of the issue is of a kind to bring it within the exception to the general rule, the jury should be instructed that once they have determined on the evidence what the standard is, the only remaining issue is whether the defendant conformed to the standard. On the other hand, if the case is one coming within the exception so that the jury can fix the standard on the basis of common sense and the ordinary understanding of the jury without the assistance of expert testimony, the trial judge must instruct the jury accordingly

[T]he question to the jury with respect to negligence should require that the jury specify in what respects the defendant was negligent. In a case in which the general rule applies, the answer will reveal whether the jury has understood and applied the judge's instruction that it must accept the standard practice as the legal standard against which the defendant's conduct must be measured. Additionally, in a case which falls within the exception to the general rule and where the jury can fix the standard irrespective of the expert evidence, the answer to the question will ensure that the standard which the jury has adopted is not unreasonable or unknown in law

After correctly charging the jury with respect to the general standard of care relating to physicians, the trial judge commented on the role of evidence of standard practice as follows:

In deciding what risks should have been known to Dr. Korn, evidence of medical experts of custom or general practice is one factor to be considered, but it is not conclusive. *It is open to you as triers of fact to find the custom or general practice negligent.*

(Emphasis added.)

I agree with the following characterization by the Court of Appeal of the issue relating to the standard of care which the jury was called upon to decide in this case (at p. 506):

In this case there were difficult, uncertain, highly technical scientific questions requiring information not ordinarily expected of a practising gynaecologist or obstetrician. No jury is capable of deciding on its own what understanding of recent developments the defendant should bring to his practice. As already described, both Dr. Stewart and Dr. Mascola partially exonerated the defendant

Moreover, the evidence established that the state of medical knowledge about AIDS and HIV was highly variable even between highly qualified scientists. There were differences of opinion between public health authorities and practitioners in different medical communities. In our judgment, this was not the kind of case where a judge could properly instruct the jury that it could decide that a practice that conformed to what other practitioners similarly situated were following was negligent. The only proper instruction to be given on at least a part of the case was that the jury should decide whether the defendant conducted himself as a reasonable physician would in similar circumstances. In our judgment, that required the jury to confine itself to prevailing standards of practice.

In light of this characterization, I agree with the conclusion reached by the Court of Appeal that ... the question of the standard of care was not one which the jury could decide without the aid of expert evidence. ... [T]he Court of Appeal correctly held that a finding of negligence on this branch of the case would not be supportable in that it was not a finding which a jury acting judicially could make.

III. PROOF OF NEGLIGENCE

PROSSER, THE LAW OF TORTS, 4TH ED

(St Paul, Minn: West, 1971) at 205-9, 211-12

FUNCTIONS OF COURT AND JURY

The existence of negligence in a particular use often is said to be a mixed question of law and fact. By this it is meant, not only that both the court and the jury have an important part to play in the determination of an issue, and that separate functions are signed to each, but further, that these actions to some extent overlap, and that it is not easy to fix any definite line of demarcation. It is said also that the court must decide questions of law, and the jury questions of fact. But this means little or anything until some method of classification is provided, by which "law" may be distinguished from "fact": and the division of actions between court and jury is a matter rather of historical origins and present policy than of any such definitions.

The issue of negligence presents at least more or less distinct questions, as to which the court and the jury have separate parts to play in reaching a decision. These are as follows:

1. The sufficiency of the evidence to permit a finding of the facts. Before any duty, or any standard of conduct may be set, there must first be proof of facts which give rise to it; and once the standard is fixed, there must be proof that the actor has departed from it. If it be assumed that the driver of an automobile approaching a visible intersection was visible, and whether he did in fact slow down. These are purely questions of fact, and within the recognized province of the jury as the triers of fact. But over such questions of fact the courts always have reserved a preliminary power of decision, as to whether the issue shall be submitted to the jury at all. If the evidence is such that no reasonably intelligent man would accept it as sufficient to establish the existence of a fact essential to negligence, it becomes the duty of the court to remove the issue from the jury, and to nonsuit the plaintiff, or direct a verdict for the defendant, or even to set aside a verdict once rendered. Less frequently, the evidence may be so overwhelming that no reasonable man could fail to accept the fact as proved; and the court must then direct the jury accordingly. This is, of course, merely a part of the general law of evidence, and in this respect negligence cases do not differ from any other cases where essential facts must be proved.

2. The weight of the evidence as establishing the facts. Once it is determined that reasonable men may differ as to whether a fact has been proved, the probative value of the evidence, and the conclusion to be drawn from it, lies in the hands of the jury. They must not only decide as to the credibility of the testimony, but draw or refuse to draw any inferences from the testimony as to which there may be reasonable difference of opinion. In this respect again, negligence cases do not differ from any others.

3. The existence of a duty. In other words, whether, upon the facts in evidence, such a relation exists between the parties that the community will impose a legal obligation upon one for the benefit of the other—or, more simply, whether the interest of the plaintiff which has suffered invasion was entitled to legal protection at the hands of the defendant. This is entirely a question of law, to be determined by reference to the body of statutes, rules, principles and precedents which make up the law; and it must be determined only by the court. It is no part of the province of a jury to decide whether a manufacturer of goods is under any obligation for the safety of the ultimate consumer, or whether the Long Island Railroad is required to protect Mrs. Palsgraf from fireworks explosions. A decision by the court that, upon any version of the fact there is no duty, must necessarily result in judgment for the defendant. A decision that if certain facts are found to be true, a duty exists, leaves open the other questions not under consideration.

4. The general standard of conduct. As will be seen hereafter, this is the necessary complement of duty. In negligence cases once a duty is found, the duty, in theory at least, always requires the same standard of conduct, that of a reasonable man under the same or similar circumstances Almost invariably this application takes the form of an instruction to the jury declaring, briefly or more fully, a formula such as that of the reasonable man of ordinary prudence. There is room for considerable skepticism as to how far such instructions are understood by the average jury, or have any weight with them, but they represent the attempt, so far as is reasonably possible, to enlighten the layman's ignorance of the law, and to impose a social, rather than an individual standard.

5. The particular standard of conduct. Since it is impossible to prescribe definite rules in advance for every combination of circumstances which may arise, the details of the standard must be filled in in each particular case. The question then is what the reasonable man would have done under the circumstances. Under our system of procedure, this question is to be determined in all doubtful cases by the jury, because the public insists that its conduct be judged in part by the man in the street rather than by lawyers, and the jury serves as a shock-absorber to cushion the impact of the law. The question usually is said to be one of fact, but it should be apparent that the function of the jury in fixing the standard differs from that of the judge only in that it cannot be reduced to anything approaching a definite rule.

In many cases, however, the court may be required to remove the issue of the particular standard from the jury. It is possible to say, in many cases, that the conduct of the individual clearly has or has not conformed to what the community requires, and that no reasonable judgment could reach a contrary conclusion. The court must then direct a verdict for the plaintiff or for the defendant, or even set aside a verdict once rendered, or, if the evidence as to the facts is in conflict, instruct the jury as to the conclusion it must draw from a particular version of the facts. Thus the court may rule that it is necessarily negligence to drive across a railway track without stopping to look and listen, to cross the street without looking, or to walk into the side of a passing automobile, to drive at such a speed that it is impossible to stop within the range of vision, or to ride with a driver who is known to be drunk; or that it is not negligence to fail to take precautions which no reasonable man would consider necessary under the circumstances An uneasy distrust of the jury, and of the layman's known propensity to be charitable with other people's money and to compensate any injury which has occurred, especially at the expense of corporations, has played no small part in this process by which "learned reason" and the greater experience of the judge are substituted for the opinion of twelve more or less good men and true.

While the function of the court, then, is primarily to determine the law, it must also decide some questions of fact, as to whether the evidence makes an issue sufficient for the jury; and the function of the jury in fixing the standard of reasonable conduct is so closely related to law that it amounts to a mere filling in of the details of the legal standard.

Courts seldom divide the issue of negligence into such separate questions. The most common statement is that if men of reasonable intelligence may differ as to the conclusion to be drawn, the issue must be left to the jury; otherwise it is for the court.

BURDEN OF PROOF AND PRESUMPTIONS

Under our adversary system of litigation, which requires that all evidence be produced by the parties themselves, some method must be found to dispose of those cases in which the evidence is so inadequate, or so conflicting, that neither party can satisfy the triers of fact as to the truth of his version of the case. Someone must lose. This "risk of non-persuasion" is called the burden of proof. It is of practical importance in relatively few cases, since few cases ever are so evenly balanced as to require decision on any such basis; but it often appears in instructions to the jury, based upon the possibility that such may be the case.

In civil suits, unlike criminal prosecutions, the burden of proof does not require that the jury be convinced beyond all reasonable doubt, but only that they be persuaded that a preponderance of the evidence is in favor of the party sustaining the burden. This is true as to the issue of negligence, even though the act to be proved may also be a crime. The burden of proof of the defendant's negligence is quite uniformly upon the plaintiff, since he is asking the court for relief, and must lose if his case does not outweigh that of his adversary.

CIRCUMSTANTIAL EVIDENCE: RES IPSA LOQUITUR

It is often said that negligence must be proved, and never will be presumed. The mere fact that an accident or an injury has occurred, with nothing more, is not evidence of negligence on the part of anyone. The fact that a man is found dead upon a railway track after a train has passed is no proof that the train was run without proper care. There is of course, as a matter of speculation, sufficiently interesting in itself, always the possibility that the man may have been killed by reason of negligent operation of the train; but for a decision imposing liability to respond in damages, this is not enough. What is required is evidence, which means some form of proof; and it must be evidence from which reasonable men may conclude that, upon the whole, it is more likely that the event was caused by negligence than that it was not. As long as the conclusion is a matter of mere speculation or conjecture, or where the probabilities are at best evenly balanced between negligence and its absence, it becomes the duty of the court to direct the jury that the burden of proof has not been sustained.

This does not mean, however, that there must be in every case eye-witnesses of the defendant's conduct. Negligence, like any other fact, may be proved by circumstantial evidence. This is evidence of one fact, or of a set of facts, from which the existence of the fact to be determined may reasonably be inferred. It involves, in addition to the observed, a process of reasoning, or inference, by which a conclusion is drawn. Thus it may be reasonable to infer, from skid marks or other traces of an accident, that an automobile was driven at excessive speed; from the usual operation of lights that they were turned out by those who had done so before; or from the fact that soon after the passage of a train a fire started up beside the track, that it was caused by negligence in controlling sparks from the train.

Defense counsel in criminal cases have long made us familiar with the weaknesses of some kinds of circumstantial evidence; but there is still no man who would not accept dog tracks in the mud against the sworn testimony of a hundred eye-witnesses that no dog has passed by. Like all other evidence, it may be strong or weak; it may be so unconvincing as to be quite worthless, or it may be irresistible and overwhelming. The gist of it, and the key to it, is the inference, or process of reasoning by which the conclusion is reached. This must be based upon the evidence given, together with a sufficient background of human experience to justify the conclusion. It is not enough that plaintiff's counsel can suggest a possibility of negligence. The evidence must sustain the burden of proof by making it appear more likely than not. The inference must cover all of the necessary elements of negligence, and must point to a breach of the defendant's duty. The mere fact of the presence of a banana peel on a floor may not be sufficient to show that it has been there long enough for reasonable care to require the defendant to discover and remove it; but if it is "black, flattened out and gritty," the conclusion may reasonably be drawn. It is for the court to determine, in the first instance, whether reasonable men on the jury may draw it.

One type of circumstantial evidence, concerning which there has been much difference of opinion, is that which is given the name of *res ipsa loquitur*. The Latin phrase, which means nothing more than "the thing speaks for itself," is the offspring of a casual word of Baron Pollock during argument with counsel in a case in 1863 in which a barrel of flour rolled out of a warehouse window and fell upon a passing pedestrian. In its inception the principle was nothing more than a reasonable conclusion, from the circumstances of an unusual accident, that it was probably the defendant's fault. It soon became involved, however, in cases of injuries to passengers at the hands of carriers, with the aftermath of an older decision which had held that the carrier had the burden of proving that it had not been negligent. The two principles, one concerned with the sufficiency of circumstantial evidence, the other of the burden of proof, gradually became confused and intermingled; and from this fusion there developed an uncertain "doctrine" of *res ipsa loquitur*, which has been the source of so much trouble to the courts that the use of the phrase itself has become a definite obstacle to any clear thought, and it might better be discarded entirely. ...

The statement of this doctrine most often quoted is that of Chief Justice Erle in 1865:

There must be reasonable evidence of negligence; but where the thing is shown to be under the management of the defendant or his servants, and the accident is such as in the ordinary course of things does not happen if those who have the management use proper care, it affords reasonable evidence, in the absence of explanation by the defendants, that the accident arose from want of care.

**BAKER V MARKET HARBOROUGH
INDUSTRIAL COOPERATIVE SOCIETY LTD**
[1953] 1 WLR 1472 (CA)

[The husbands of the first and second plaintiffs were killed when the vehicles they were driving collided head-on in the centre of a straight road at night. Each plaintiff brought an action in negligence against the company-owner of the vehicle driven by the other. The evidence concerning the circumstances and causes of the accident was meagre. Somervell and Romer LJJs inferred from the facts available that, in the

absence of other evidence allowing the court to draw a distinction between the acts of the two drivers, each driver had committed almost the same negligent acts: failing to keep a proper lookout, failing to drive their respective vehicles on the correct side of the road so that each could pass the other safely, hugging the centre of the road, and failing to give way to the other. Therefore, each was found to be equally to blame and each plaintiff recovered only 50 percent of the damages. Somervell LJ remarked that "the question is ... one of probable inference from the facts as established. It seems plain that there must have been negligence. If the natural inference was that the accident was due to negligence on the part of one or other of the drivers but not to both I would have thought that the plaintiff would fail." Denning LJ also held both drivers liable on the following grounds:]

DENNING LJ: It is pertinent to ask, what would have been the position if there had been a passenger in the back of one of the vehicles who was injured in the collision? He could have brought an action against both vehicles. On proof of the collision in the centre of the road, the natural inference would be that one or other or both were to blame. If there was no other evidence given in the case, because both drivers were killed, would the court, simply because it could not say whether it was only one vehicle that was to blame or both of them, refuse to give the passenger any compensation? The practice of the courts is to the contrary. Every day, proof of the collision is held to be sufficient to call on the two defendants for an answer. Never do they both escape liability. One or other is held to blame, and sometimes both. If each of the drivers were alive and neither chose to give evidence, the court would unhesitatingly hold that both were to blame. They would not escape simply because the court had nothing by which to draw any distinction between them.

So, also, if they are both dead and cannot give evidence, the result must be the same. In the absence of any evidence enabling the court to draw a distinction between them, they must be held both to blame, and equally to blame.

Now take this case where there is no passenger, but both drivers are killed. The natural inference, again, is that one or other was, or both were, to blame. The court will not wash its hands of the case simply because it cannot say whether it was only one vehicle which was to blame or both. In the absence of any evidence enabling the court to draw a distinction between them, it should hold them both to blame, and equally to blame.

It is very different from a case where one or other only is to blame, but clearly not both. Then the judge ought to make up his mind between them, as this court said recently in *Bray v. Palmer*. But when both may be to blame, the judge is under no such compulsion and can cast the blame equally on each.

So much seems so clear on principle that it is unnecessary to go further; but I would like to say that the evidence to my mind makes it much more likely that both were to blame than that one only was to blame.

QUESTION

What conclusion do you think should follow if "one or the other was, or both were, to blame"?

BYRNE V BOADLE (1863), 159 ER 299 (Ex Ct)

Declaration. For that the defendant, by his servants, so negligently and unskilfully managed and lowered certain barrels of flour by means of a certain jigger-hoist and machinery attached to the shop of the defendant, situated in a certain highway,

along which the plaintiff was then passing, that by and through the negligence of the defendant, by his said servants, one of the said barrels of flour fell upon and struck against the plaintiff

Plea: Not guilty.

At the trial before the learned Assessor of the Court of Passage at Liverpool, the evidence adduced on the part of the plaintiff was as follows:—A witness named Critchley said: "On the 18th July, I was in Scotland Road, on the right side going north, defendant's shop is on that side. When I was opposite to his shop, a barrel of flour fell from a window above in defendant's house and shop, and knocked the plaintiff down. He was carried into an adjoining shop. A horse and cart came opposite the defendant's door. Barrels of flour were in the cart. I do not think the barrel was being lowered by a rope. I cannot say: I did not see the barrel until it struck the plaintiff. It was not swinging when it struck the plaintiff. It struck him on the shoulder and knocked him towards the shop. No one called out until after the accident." The plaintiff said: "On approaching Scotland Place and defendant's shop, I lost all recollection. I felt no blow. I saw nothing to warn me of danger. I was taken home in a cab. I was helpless for a fortnight." (He then described his sufferings.) "I saw the path clear. I did not see any cart opposite defendant's shop." Another witness said: "I saw a barrel falling. I don't know how, but from defendant's." The only other witness was a surgeon, who described the injury which the plaintiff had received. It was admitted that the defendant was a dealer in flour.

It was submitted, on the part of the defendant, that there was no evidence of negligence for the jury. The learned Assessor was of that opinion, and nonsuited the plaintiff, reserving leave to him to move the Court of Exchequer to enter the verdict for him with £50 damages, the amount assessed by the jury.

Littler, in the present term, obtained a rule nisi to enter the verdict for the plaintiff, on the ground of misdirection of the learned Assessor in ruling that there was no evidence of negligence on the part of the defendant; against which

Charles Russell now shewed cause Assuming the facts to be brought home to the defendant or his servants, these facts do not disclose any evidence for the jury of negligence. The plaintiff was bound to give affirmative proof of negligence. But there was not a scintilla of evidence, unless the occurrence is of itself evidence of negligence. There was not even evidence that the barrel was being lowered by a jigger-hoist as alleged in the declaration. [Pollock CB: There are certain cases of which it may be said *res ipsa loquitur*, and this seems one of them. In some cases the courts have held that the mere fact of the accident having occurred is evidence of negligence, as, for instance, in the case of railway collisions.] ... The law will not presume that a man is guilty of a wrong. It is consistent with the facts proved that the defendant's servants were using the utmost care and the best appliances to lower the barrel with safety. Then why should the fact that accidents of this nature are sometimes caused by negligence raise any presumption against the defendant? There are many accidents from which no presumption of negligence can arise. [Bramwell B: Looking at the matter in a reasonable way it comes to this—an injury is done to the plaintiff, who has no means of knowing whether it was the result of negligence; the defendant, who knows how it was caused, does not think fit to tell the jury.] Unless a plaintiff gives some evidence which ought to be submitted to the jury, the defendant is not bound to offer any defence. The plaintiff cannot, by a defective proof of his case, compel the defendant to give evidence in explanation. [Pollock CB: I have frequently observed that a defendant has a right to remain silent unless a *prima facie* case is established against him. But here the question is whether the plaintiff has not shewn such a case.] In a case of this nature, in which the sympathies of a jury are with the plaintiff, it would be dangerous to allow presumption to be substituted for affirmative proof of negligence

POLLOCK CB: We are all of opinion that the rule must be absolute to enter the verdict for the plaintiff. The learned counsel was quite right in saying that there are many accidents from which no presumption of negligence can arise, but I think it would be wrong to lay down as a rule that in no case can presumption of negligence arise from the fact of an accident. Suppose in this case the barrel had rolled out of the warehouse and fallen on the plaintiff, how could he possibly ascertain from what cause it occurred? It is the duty of persons who keep barrels in a warehouse to take care that they do not roll out, and I think that such a case would, beyond all doubt, afford *prima facie* evidence of negligence. A barrel could not roll out of a warehouse without some negligence, and to say that a plaintiff who is injured by it must call witnesses from the warehouse to prove negligence seems to me preposterous. So in the building or repairing a house, or putting pots on the chimneys, if a person passing along the road is injured by something falling upon him, I think the accident alone would be *prima facie* evidence of negligence. Or if an article calculated to cause damage is put in a wrong place and does mischief, I think that those whose duty it was to put it in the right place are *prima facie* responsible, and if there is any state of facts to rebut the presumption of negligence, they must prove them. The present case upon the evidence comes to this, a man is passing in front of the premises of a dealer in flour, and there falls down upon him a barrel of flour. I think it apparent that the barrel was in the custody of the defendant who occupied the premises, and who is responsible for the acts of his servants who had the control of it; and in my opinion the fact of its falling is *prima facie* evidence of negligence, and the plaintiff who was injured by it is not bound to shew that it could not fall without negligence, but if there are any facts inconsistent with negligence it is for the defendant to prove them.

BRAMWELL B: I am of the same opinion.

CHANNELL B: I am of the same opinion. The first part of the rules assumes the existence of negligence, but takes this shape, that there was no evidence to connect the defendant with the negligence. The barrel of flour fell from a warehouse over a shop which the defendant occupied, and therefore *prima facie* he is responsible. Then the question is whether there was any evidence of negligence, not a mere scintilla, but such as in the absence of any evidence in answer would entitle the plaintiff to a verdict. I am of opinion that there was. I think that a person who has a warehouse by the side of a public highway, and assumes to himself the right to lower from it a barrel of flour into a cart, has a duty cast upon him to take care that persons passing along the highway are not injured by it. I agree that it is not every accident which will warrant the inference of negligence. On the other hand, I dissent from the doctrine that there is no accident which will in itself raise a presumption of negligence. In this case I think that there was evidence for the jury, and that the rule ought to be absolute to enter the verdict for the plaintiff.

PIGOTT B: I am of the same opinion.

Rule absolute.

SCHIFF, "A RES IPSA LOQUITUR NUTSHELL"

(1976) 26 UTLJ 451

Confusion abounds in much judicial discussion of the kind of evidence usually labelled "*res ipsa loquitur*"—a term in Latin meaning "the thing speaks for itself." And the confusion has certainly not been lessened by the assertion that *res ipsa loquitur*

creates a "presumption of negligence" or constitutes "*prima facie* evidence of negligence." Debate has focused on two matters: first, whether *res ipsa loquitur* merely permits the trier of fact to infer, or compels the trier to determine, that defendant's conduct in violation of the applicable duty of care caused plaintiff's injury; and second, the conditions necessary to forestall what is otherwise a permissible inference or compelled determination.

In Canada, while the judicial authorities are not uniform in analysis, language, or result, most judges have concluded that *res ipsa loquitur* properly understood merely permits "an inference of defendant's negligence." The High Court of Australia and some judges in New Zealand have firmly adopted the same position, as have the courts in most jurisdictions in the United States. In contrast, although the position of the House of Lords is still not entirely clear, the Judicial Committee of the Privy Council and the Court of Appeal of England (the latter at least until recently) hold that *res ipsa loquitur* compels a determination of defendant's negligence only to be forestalled if defendant satisfies the trier of fact that he was not negligent. Since this conclusion unaccountably endows circumstantial evidence with power that direct evidence would not have, it must immediately be suspect.

Upon rational analysis of why "the thing speaks for itself" in the trial of a negligence action, at least two propositions should be clear: Even if the plaintiff introduces no evidence tending to demonstrate the precise cause of his injury, if the injurious event he alleges is of such factual nature that, in the ordinary course of things known to reasonable men, it would probably not have occurred if defendant had acted according to the applicable duty of care, the trier of fact may infer by common reasoning from the fact of the injurious event itself that something done by defendant in violation of that duty caused plaintiff's injury. And, since injurious events involved in litigation may vary infinitely in their factual nature, the strength of the justifiable inference in any particular trial always depends upon the probabilities of the defendant's negligent conduct in the proved situation weighed on the trier's scales of experience.

With the two propositions in mind, assume a particular negligence action where, in the opinion of the trial judge or the appellate court on later review, the very fact of the alleged injurious event if established would justify the trier's inference that defendant's negligent conduct caused the injury. The following propositions then apply to the action as matters of logic and standard judicial practice.

1. The conclusion that the evidence introduced by the plaintiff at the trial warrants the label *res ipsa loquitur* does not change the ordinary allocation of the burden of persuasion. To succeed in the action the plaintiff must still persuade the trier of fact that the defendant caused the plaintiff's injury by some conduct in violation of the applicable duty of care.

2. The first decisive point in the trial occurs when the plaintiff closes the evidence of his case in chief. Even if the plaintiff has not introduced evidence tending to demonstrate the precise connection between defendant's conduct and the injury, on the basis of the evidence of the injurious event itself the trial judge should dismiss any motion by the defendant for non-suit or judgment. And, if the trial judge allows the motion, an appellate court upon the plaintiff's appeal will reverse.

3. In the presence of the evidence of the injurious event, if the defendant moves for non-suit or judgment and calls no evidence, and the trial judge then dismisses the motion, the judge should instruct the jury (if any) to this effect: while the burden of establishing defendant's negligence rests upon the plaintiff, if the jury determines on the evidence that the alleged injurious event occurred, it is free to conclude from the occurrence alone that defendant's negligent conduct caused the injury. If the judge sits without a jury, he should apply the same considerations as sole trier of fact ...

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7. Whether or not the defendant calls evidence, the trial judge's charge to the jury should contain the substance of the following directions and, if he sits without a jury, he should equally apply them in his determinations as trier of fact. In order to succeed the plaintiff must persuade the trier that some negligent conduct by the defendant caused the plaintiff's injury. If on the total evidence the trier's mind is in equilibrium on the issues of causation or negligence, the trier must find for the defendant. Putting this more specifically, the trier of fact must find for the defendant if the trier decides on the total evidence that there are at least two equally probable hypotheses to account for the injurious event, only one of which involves defendant's negligence. These directions are identical to legal doctrine applicable as a matter of course in negligence actions not involving *res ipsa loquitur*.

The last of the directions reproduces the substance of the assertion by many Canadian judges that "where the defendant produces an explanation equally consistent with negligence and with no negligence, the burden of establishing negligence still remains with the plaintiff." However, the formula of the direction more clearly informs the trier of fact that the burden of persuasion remains upon the plaintiff throughout the trial and demands what should be necessary in all trials, the trier's consideration of the total evidence in reaching the ultimate conclusion. Misconceived is the assumption by some judges that the quoted language or a variant requires the defendant to introduce evidence of an explanation or inevitably suffer an adverse judgment. The assumption results from their failure to understand the sense in which the evidence introduced by the plaintiff justifying the inference of defendant's negligent conduct obliges the defendant to introduce evidence. To use Professor Cross's labels, the presence of the plaintiff's evidence "tactically"—but not "legally"—"shifts the evidential burden" to the defendant. To translate this into plain language, as a matter of ordinary trial tactics the defendant is obliged to introduce contrary evidence to avoid only the risk of the trier's adverse conclusion, not the inevitability of the judge's adverse ruling. Equally misconceived is the assertion by some judges that defendant's "explanation" must be more consistent with his innocence than with his negligence. The assertion ignores the trier's ordinary duty to consider the whole evidence as the basis for the conclusion. And when the trier considers the whole evidence, it ignores the ordinary definition of that degree of doubt sufficient in civil trials to warrant the trier's verdict for the defendant—enough doubt to prevent the trier's persuasion beyond the balance of probabilities that plaintiff's allegations are true ...

On occasion some judges have offered a rationale for *res ipsa loquitur* quite different from that posited here. For them it is not necessarily a species of circumstantial evidence justifying the trier's rational conclusion of defendant's negligence; it is a procedural device to ease the plaintiff's difficulties of proof at trial in situations where he has no knowledge how the injurious event occurred while the defendant either knows what happened or has access to the information. Indeed, Dean Wigmore regarded the factors of defendant's knowledge and plaintiff's lack of knowledge as "the particular force and justice of the ... presumption" which, as far as he was concerned, compelled the trier's determination of defendant's negligence in the absence of any countering evidence. Clearly, these factors among others are significant when a judge must decide which litigant shall bear the burden of introducing evidence or the burden of persuasion on particular issues. But, since plaintiffs in Canada can enforce wide pre-trial oral discovery of defendants as well as pre-trial production of relevant documents and inspection of property, the factors do not seem important in most negligence actions in this country today.

Judicial remarks explaining *res ipsa loquitur* as this kind of procedural device have usually occurred in the context of litigation where the evidence of the injurious event permitted the trier's conclusion of defendant's negligence as a matter of ordinary reasoning, with or without supplementary evidence to establish a standard of care. In these instances the alleged factors of plaintiff's ignorance and defendant's knowledge served merely as make weights to justify further the defendant's existing burden to introduce some countering evidence at the end of the plaintiff's case in chief to avoid the strong risk that, absent the evidence, the trier would determine the case against the defendant. But sometimes judges have invoked this rationale to allow the trier's determination of defendant's negligence although the conclusion was not rationally justifiable on the evidence. This has happened, for example, in some medical malpractice cases and arguably in cases involving the crash of an airplane. It has also been common in products liability cases in US courts. Some commentators have supported the development as a half-way house in judicial creation of new bases of tortious liability. But, judicial use of the label to disguise decisions placing a procedural disadvantage on certain classes of defendants confuses understanding of *res ipsa loquitur* as circumstantial evidence of negligence. And, what is perhaps more important, it prevents proper analysis of the wisdom and scope of substantive legal policies underlying the decisions.

NOTES

1. An example of what Schiff is criticizing in the last paragraph is the case of *Ybarra v Spangard*, 154 P2d 687 (Calif SC 1944), where the plaintiff suffered an unexplained injury to his neck while undergoing an appendectomy. The plaintiff sued several of the medical practitioners who were present at the operation but was unable to identify which one had committed the act that caused the injury. He argued that, under the doctrine of *res ipsa loquitur*, the inference of negligence made the granting of a nonsuit improper. Gibson CJ stated:

[I]t is difficult to see how the doctrine can, with any justification, be so restricted in its statement as to become inapplicable to a patient who submits himself to the care and custody of doctors and nurses, is rendered unconscious, and receives some injury from instrumentalities used in his treatment. Without the aid of the doctrine a patient who received permanent injuries of a serious character, obviously the result of someone's negligence, would be entirely unable to recover unless the doctors and nurses in attendance voluntarily chose to disclose the identity of the negligent person and the facts establishing liability. ... If this were the state of the law of negligence, the courts, to avoid gross injustice, would be forced to invoke the principles of absolute liability, irrespective of negligence, in actions by persons suffering injuries during the course of treatment under anesthesia. But we think this juncture has not yet been reached, and that the doctrine of *res ipsa loquitur* is properly applicable to the case before us. ...

The control, at one time or another, of one or more of the various agencies or instrumentalities which might have harmed the plaintiff was in the hands of every defendant or of his employees or temporary servants. This, we think, places upon them the burden of initial explanation. Plaintiff was rendered unconscious for the purpose of undergoing surgical treatment by the defendants; it is manifestly unreasonable for them to insist that he identify any one of them as the person who did the alleged negligent act. ...

[I]f we accept the contention of defendants herein, there will rarely be any compensation for patients injured while unconscious. A hospital today conducts a highly integrated system of activities, with many persons contributing their efforts. There may be, e.g., preparation for surgery by nurses and interns who are employees of the hospital; administering of an anesthetic by a doctor who may be an employee of the hospital, an employee of the operating

surgeon, or an independent contractor; performance of an operation by a surgeon and assistants who may be his employees, employees of the hospital, or independent contractors; and post surgical care by the surgeon, a hospital physician, and nurses. The number of those in whose care the patient is placed is not a good reason for denying him all reasonable opportunity to recover for negligent harm. It is rather a good reason for re-examination of the statement of legal theories which supposedly compel such a shocking result.

We do not at this time undertake to state the extent to which the reasoning of this case may be applied to other situations in which the doctrine of *res ipsa loquitur* is invoked. We merely hold that where a plaintiff receives unusual injuries while unconscious and in the course of medical treatment, all those defendants who had any control over his body or the instrumentalities which might have caused the injuries may properly be called upon to meet the inference of negligence by giving an explanation of their conduct.

2. An even more extreme example is *Anderson v Somberg*, 338 A2d 1 (NJ SC 1975), where the plaintiff was undergoing back surgery when the tip of the rongeur (a forceps-like instrument) broke off and lodged in his spine. The plaintiff sued the surgeon, the hospital that provided the rongeur, the distributor, and the manufacturer. Pashman J stated:

[I]n short, when all the evidence had been presented, no theory for the cause of the rongeur's breaking was within reasonable contemplation save for the possible negligence of Dr. Somberg in using the instrument, or the possibility that the surgeon had been given a defective instrument, which defect would be attributable to a dereliction of duty by the manufacturer, the distributor, the hospital or all of them. ...

We hold that in a situation like this, the burden of proof in fact does shift to defendants. All those in custody of that patient or who owed him a duty, as here, the manufacturer and the distributor, should be called forward and should be made to prove their freedom from liability. The rule would have no application except in those instances where the injury lay outside the ambit of the surgical procedure in question; for example, an injury to an organ, when that organ was itself the object of medical attention, would not by itself make out a *prima facie* case for malpractice or shift the burden of proof to defendants. ...

Since all parties had been joined who could reasonably have been connected with that negligence or defect, it was clear that one of those parties was liable, and at least one could not succeed in his proofs.

Mountain J dissented:

During the course of the Court's opinion there appear statements to the effect that all those who might have been in any way responsible for plaintiff's injury are before the court. Hence, the argument continues, a process of selection properly undertaken by the finder of fact cannot fail to implicate the true culprit or culprits. Indeed, as I read the opinion, the entire argument is made to rest upon this premise: each and every person who may have brought about the imperfection in the surgical instrument or who may have caused the injury by its misuse is before the court; it remains only to identify him.

And yet we know—and everyone who has been associated with this case has always known—that this assumption is not in fact true. The only four defendants in the case are: the surgeon, Dr. Harold Somberg, who performed the operation; St. James Hospital, the medical facility in which the operation took place; Lawton Instrument Co., which manufactured the rongeur; and Rheinhold-Schumann, Inc., the distributor which sold it to the hospital. There is no other defendant in the case. And yet the record is replete with testimony that other surgeons—perhaps as many as twenty—have used the rongeur during the four years that it has formed part of the surgical equipment of the hospital, and that any one or more of them may perfectly well have been responsible for so injuring the instrument that it came apart while being manipulated in plaintiff's incision; or that it may have been weakened to

near breaking point by cumulative misuse, entirely by persons not now before the court. In the face of this uncontroverted proof that the surgical instrument had been used upon approximately twenty earlier occasions and possibly by the same number of different surgeons, in the hands of any of whom it may have been fatally misused, how then can it be said that the wrongdoer is surely in court! There is a far greater likelihood that he is no party to this litigation at all and that his identity will never be established. ...

The opinion takes the view that at this point the burden of proof shifted to defendants. ...

Under this new rule ... [a defendant's] role is no longer simply that of one who may hope to succeed if his proofs justify a verdict. Rather he now finds himself one of a band of persons from among whom one or more must be singled out to respond in damages to the plaintiff's claim. He is now a member of a group who must collectively, among themselves, play a game of *sauve qui peut*—and play it for rather high stakes. With all due respect I submit that at this point there has been complete departure from the rule of reason; the argument is now stripped of all rational basis.

The following case is more in accord with Schiff's conception of *res ipsa loquitur*.

FONTAINE V BRITISH COLUMBIA (OFFICIAL ADMINISTRATOR)

[1998] 1 SCR 424

MAJOR J (for the court): This appeal provides another opportunity to consider the so-called maxim of *res ipsa loquitur*. What is it? When does it arise? And what effect does its application have? This appeal centres on these questions. ...

I. FACTS

The appellant claimed damages under the *Family Compensation Act*, RSBC 1979, c. 120, as amended, with respect to the death of her husband, Edwin Andrew Fontaine.

On November 9, 1990, Edwin Andrew Fontaine ("Fontaine") and Larry John Loewen ("Loewen") left Surrey, BC for a weekend hunting trip. They were expected back on November 12, 1990, and were reported missing later that day. Their bodies were found on January 24, 1991 in Loewen's badly damaged truck ("the vehicle"), which was lying in the Nicolum Creek bed adjacent to Highway 3 (approximately seven kilometres east of Hope, BC). There were no witnesses to the accident, and no one knows precisely when or how the accident happened.

The weather was bad on the weekend the men went missing. Between 10 p.m. on November 8 and 10 p.m. on November 10, 1990, the area in and around the Hope weather station received approximately 328 mm. of rain. Three highways lead out of Hope. Highway 1 was cut off by a major landslide, Highway 3 was closed owing to the washout of a large culvert from under the highway, and two bridges on Highway 5 were closed because of heavy river flooding and potential damage to the bridges' understructures.

Police investigators concluded that, at the time of the accident, the vehicle had been travelling westbound on Highway 3 and left the roadway at a point approximately 10 metres east of the entrance to a rest area. The vehicle then tumbled down a rock-covered embankment into the swollen flood waters of Nicolum Creek and was swept downstream. The vehicle left the road with sufficient momentum to break a path through some small alder trees. Loewen was found, with his seatbelt in place, in the driver's seat.

A police constable testified that, at the presumed time of the accident, Nicolum Creek was in flood condition with the water within two-thirds of a metre of the edge of Highway 3 at the likely site of the accident. The wind was gusting to “extremely high velocities” and a rainstorm was raging. ...

[Major J then recounted the history of the case. The trial judge, rejecting the appellant’s contention that the fact that the vehicle left the highway was *prima facie* evidence of the driver’s negligence, dismissed the case on the ground that the appellant had not proved, on the balance of probabilities, that negligence by Loewen caused Fontaine’s death. An appeal to the BC Court of Appeal was dismissed by a majority.]

A. WHEN DOES RES IPSA LOQUITUR APPLY?

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For *res ipsa loquitur* to arise, the circumstances of the occurrence must permit an inference of negligence attributable to the defendant. The strength or weakness of that inference will depend on the factual circumstances of the case. As described in *Canadian Tort Law*, 5th ed. (Toronto: Butterworths, 1993), by Allen M. Linden, at p. 233, “[t]here are situations where the facts merely whisper negligence, but there are other circumstances where they shout it aloud.”

As the application of *res ipsa loquitur* is highly dependent upon the circumstances proved in evidence, it is not possible to identify in advance the types of situations in which *res ipsa loquitur* will arise. The application of *res ipsa loquitur* in previous decisions may provide some guidance as to when an inference of negligence may be drawn, but it does not serve to establish definitive categories of when *res ipsa loquitur* will apply. It has been held on numerous occasions that evidence of a vehicle leaving the roadway gives rise to an inference of negligence. Whether that will be so in any given case, however, can only be determined after considering the relevant circumstances of the particular case.

Where there is direct evidence available as to how an accident occurred, the case must be decided on that evidence alone. K.M. Stanton in *The Modern Law of Tort* (London: Sweet & Maxwell, 1994), stated at p. 76:

Res ipsa loquitur only operates to provide evidence of negligence in the absence of an explanation of the cause of the accident. If the facts are known, the inference is impermissible and it is the task of the court to review the facts and to decide whether they amount to the plaintiff having satisfied the burden of proof which is upon him. ...

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B. EFFECT OF THE APPLICATION OF RES IPSA LOQUITUR

As in any negligence case, the plaintiff bears the burden of proving on a balance of probabilities that negligence on the part of the defendant caused the plaintiff’s injuries. The invocation of *res ipsa loquitur* does not shift the burden of proof to the defendant. Rather, the effect of the application of *res ipsa loquitur* is as described in *The Law of Evidence in Canada* (Toronto: Butterworths, 1992), by John Sopinka, Sidney N. Lederman and Alan W. Bryant, at p. 81:

Res ipsa loquitur, correctly understood, means that circumstantial evidence constitutes reasonable evidence of negligence. Accordingly, the plaintiff is able to overcome a motion for a non-suit and the trial judge is required to instruct the jury

on the issue of negligence. The jury may, but need not, find negligence: a permissible fact inference. If, at the conclusion of the case, it would be equally reasonable to infer negligence or no negligence, the plaintiff will lose since he or she bears the legal burden on this issue. Under this construction, the maxim is superfluous. It can be treated simply as a case of circumstantial evidence.

Should the trier of fact choose to draw an inference of negligence from the circumstances, that will be a factor in the plaintiff's favour. Whether that will be sufficient for the plaintiff to succeed will depend on the strength of the inference drawn and any explanation offered by the defendant to negate that inference. If the defendant produces a reasonable explanation that is as consistent with no negligence as the *res ipsa loquitur* inference is with negligence, this will effectively neutralize the inference of negligence and the plaintiff's case must fail. Thus, the strength of the explanation that the defendant must provide will vary in accordance with the strength of the inference sought to be drawn by the plaintiff.

The procedural effect of *res ipsa loquitur* was lucidly described by Cecil A. Wright in "Res Ipsa Loquitur" (Special Lectures of the Law Society of Upper Canada (1955), Evidence, pp. 103-136 (Toronto: R. de Boo, 1979)), and more recently summarized by Klar in *Tort Law*, supra, at pp. 423-24:

If the plaintiff has no direct or positive evidence which can explain the occurrence and prove that the defendant was negligent, appropriate circumstantial evidence, as defined by the maxim *res ipsa loquitur*, may be introduced. Should the defendant, at this stage of the proceeding, move for a nonsuit, on the basis that the plaintiff's evidence has not even made out a *prima facie* case for it to answer, the practical effect of the maxim will come into play. The court will be required to judge whether a reasonable trier of fact could, from the evidence introduced, find an inference of the defendant's negligence. That is, could a reasonable jury find that on these facts the maxim *res ipsa loquitur* applies? If it could so find, the motion for a nonsuit must be dismissed. If such an inference could not reasonably be made, the motion must be granted. In other words, the maxim, at the least, will get the plaintiff past a nonsuit.

This, however, does not end the matter. What, if anything, must the defendant do at this point? In theory, where the case is being tried by a judge and jury, the defendant still need not do anything. Although the judge has decided that as a matter of law it would not be an error for the trier of fact to find for the plaintiff on the basis of the circumstantial evidence which has been introduced, it is still up to the jury to decide whether it has been sufficiently persuaded by such evidence. In other words, the judge has decided that as a matter of law, the maxim can apply. Whether as a question of fact it does, is up to the jury. The jury may decide, therefore, that even despite the defendant's failure to call evidence, the circumstantial evidence ought not to be given sufficient weight to discharge the plaintiff's onus. Thus, even if a defendant has decided not to introduce evidence, a trial judge should not, in an action tried by judge and jury, either take the case from the jury and enter judgment for the plaintiff, or direct the jury to return a verdict in favour of the plaintiff. It is up to the trial judge to determine whether the maxim can apply, but up to the jury to decide whether it does apply.

Whatever value *res ipsa loquitur* may have once provided is gone. Various attempts to apply the so-called doctrine have been more confusing than helpful. Its use has been restricted to cases where the facts permitted an inference of negligence and there was no other reasonable explanation for the accident. Given its limited use it is somewhat meaningless to refer to that use as a doctrine of law.

It would appear that the law would be better served if the maxim was treated as expired and no longer used as a separate component in negligence actions. After all, it was nothing more than an attempt to deal with circumstantial evidence. That evidence is more sensibly dealt with by the trier of fact, who should weigh the circumstantial evidence with the direct evidence, if any, to determine whether the plaintiff has established on a balance of probabilities a *prima facie* case of negligence against the defendant. Once the plaintiff has done so, the defendant must present evidence negating that of the plaintiff or necessarily the plaintiff will succeed.

C. APPLICATION TO THIS CASE

In this appeal, the trial judge had to consider whether there was direct evidence from which the cause of the accident could be determined, or, failing that, whether there was circumstantial evidence from which it could be inferred that the accident was caused by negligence attributable to Loewen.

The trial judge found that the only potential evidence of negligence on Loewen's part concerned the fact that the vehicle left the roadway and was travelling with sufficient momentum to break a path through some small trees. She concluded that, when taken together with other evidence concerning the road and weather conditions, this was no more than neutral evidence and did not point to any negligence on Loewen's part. That conclusion was not unreasonable in light of the evidence, which at most established that the vehicle was moving in a forward direction at the time of the accident, with no indication that it was travelling at an excessive rate of speed.

...

There are a number of reasons why the circumstantial evidence in this case does not discharge the plaintiff's onus. Many of the circumstances of the accident, including the date, time and precise location, are not known. Although this case has proceeded on the basis that the accident likely occurred during the weekend of November 9, 1990, that is only an assumption. There are minimal if any evidentiary foundations from which any inference of negligence could be drawn.

As well, there was evidence before the trial judge that a severe wind and rainstorm was raging at the presumed time of the accident. While it is true that such weather conditions impose a higher standard of care on drivers to take increased precautions, human experience confirms that severe weather conditions are more likely to produce situations where accidents occur and vehicles leave the roadway regardless of the degree of care taken. In these circumstances, it should not be concluded that the accident would ordinarily not have occurred in the absence of negligence.

If an inference of negligence might be drawn in these circumstances, it would be modest. The trial judge found that the defence had succeeded in producing alternative explanations of how the accident may have occurred without negligence on Loewen's part. Most of the explanations offered by the defendants were grounded in the evidence and were adequate to neutralize whatever inference the circumstantial evidence could permit to be drawn. The trial judge's finding was not unreasonable and should not be interfered with on appeal.

The finding of facts and the drawing of evidentiary conclusions from those facts is the province of the trial judge, and an appellate court must not interfere with a trial judge's conclusions on matters of fact unless there is palpable or overriding error: see *Toneguzzo-Norvell (Guardian ad Litem of) v. Burnaby Hospital*, [1994] 1 SCR 114 at p. 121, 110 DLR (4th) 289, per McLachlin J. There is no indication that the trial judge committed a palpable or overriding error here.

The appellant submitted that an inference of negligence should be drawn whenever a vehicle leaves the roadway in a single-vehicle accident. This bald proposition ignores the fact that whether an inference of negligence can be drawn is highly dependent upon the circumstances of each case: see *Gauthier & Co. v. The King*, supra, at p. 150. The position advanced by the appellant would virtually subject the defendant to strict liability in cases such as the present one.

V. DISPOSITION

The trial judge did not err in concluding based on either the direct or circumstantial evidence or both that the plaintiff failed to establish on a balance of probabilities that the accident occurred as a result of negligence attributable to Loewen. The appeal is therefore dismissed with costs.

SUPPLEMENTARY READING

- Coleman, "Mental Abnormality, Personal Responsibility, and Tort Liability" in Brody & Engelhardt, eds, *Mental Illness: Law and Public Policy* (Dordrecht & Boston: D Reidel, 1980) 107.
- Epstein, "The Path to *The TJ Hooper*: The Theory and History of Custom in the Law of Tort" (1992) 21 J Leg Stud 1.
- Gilles, "*United States v Carroll Towing Co*: The Hand Formula's Home Port" in Rabin & Sugarman, eds, *Torts Stories* (New York: Foundation Press, 2003) 12.
- Jaffee, "Res Ipsa Loquitur Vindicated" (1951) 1 Buff L Rev 1.
- James, "The Nature of Negligence" (1953) 3 Utah L Rev 275.
- Moran, *Rethinking the Reasonable Person: An Egalitarian Reconstruction of the Objective Standard* (Oxford: Oxford University Press, 2003).
- Morris, "Custom and Negligence" (1942) 42 Colum L Rev 1147.
- Prosser, "Res Ipsa Loquitur in California" (1949) 37 Cal L Rev 183.
- Seavey, "Negligence: Subjective or Objective?" (1927) 41 Harv L Rev 1.
- Seavey, "Res Ipsa Loquitur: Tabula in Naufragio" (1950) 63 Harv L Rev 643.
- "Symposium on Negligence in the Courts: The Actual Practice" (2002) 77 Chicago-Kent L Rev 423.
- Van Praagh, "'Sois Sage': Responsibility for Childishness in the Law of Civil Wrongs" in Neyers, Chamberlain & Pitel, eds, *Emerging Issues in Tort Law* (Oxford: Hart, 2007) 63.
- Wright, "Hand, Posner, and the Myth of the 'Hand Formula'" (2003) Theor Inq L 145.
- Wright, "Justice and Reasonable Care in Negligence Law" (2002) 47 Am J Juris 143.
- Wright, "Res Ipsa Loquitur" in Linden, ed, *Studies in Canadian Tort Law* (Toronto: Butterworths, 1968) 41.

CHAPTER THREE

DUTY AND REMOTENESS: GENERAL CONCEPTS

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WRIGHT, CASES ON THE LAW OF TORTS, 4TH ED

(Toronto: Butterworths, 1967) at 171-72

Every form of activity carries with it the possibility of harm to others. Liability for "fault" involves the idea that the risks created be "unreasonable." When a risk is unreasonable—or the result of negligence—is an extremely complicated problem, both in theory and practice. Involving as it does, a nice balance between the gravity of the risk created and the social utility of the conduct involved, it is not surprising that there should be differences of opinion in determining whether conduct has fallen below the standard accepted as normal in a given community at a given time.

Traditionally this issue was left to the "down to earth" good sense of twelve jurymen. But English law never reached the stage where any conduct that a jury might consider to be negligent involved liability. Sometimes courts have felt that certain persons only should be able to complain of negligent conduct. Sometimes courts have felt that certain harms were beyond the protection that the law should afford even though such harms were the result of negligent conduct.

Various techniques, such as "duty of care," "remoteness of damage" and "proximate cause" have been used to control juries and to place limits on liability. ...

One of the difficulties which has plagued the law of negligence is the fact that many courts, and many more text-writers, have taken the language of these various concepts as separate and distinct dogmas which dictated specific results. One consequence was to segregate discussion of "duty of care" from "proximate cause" and, at times, to state that the two concepts bore no relation one to the other. The present section is designed to find a common denominator in the term "risk." It should also serve as a warning that no form of words can ever be expected to control the issues involved in much of the litigation concerning negligence. ...

As negligent conduct is conduct which creates an unreasonable risk, the question arises, "risk to *whom*" and "risk of *what*"? When a question arises concerning the person or persons who may be considered within a risk created by the defendant's conduct, courts have tended to use the concept of "duty."

When one passes from the persons within a risk to the ways in which a risk may culminate in harm, or the interests which may be invaded by conduct which is, in a sense, "negligent," it is more difficult to employ the term "duty," and courts have tended to use the concepts of "proximate cause" and "remoteness." ...

Conduct which falls below a certain standard of care may create risks to various people concerning various particular interests and the impact on those interests may arise in various ways. What the law must attempt to do is to extract the persons and the interests that are to be protected.

The idea of determining liability according to the "risk" which made the defendant's conduct negligent operates in two directions. It furnishes a rational basis for shifting a loss which arose from an "accident"; it also prescribes limitations. The likelihood of certain injuries should act as a deterrent. From the actor's point of view, why should he compensate for harms the likelihood of which could not have had any influence on his conduct? On the other hand, if the probability of harm to certain persons should have been present to his mind, why should they be excluded from his "duty of care"?

I. DUTY

WINTERBOTTOM V WRIGHT

(1842), 152 ER 402 (Ex Ct)

The declaration stated, that the defendant was a contractor for the supply of mail-coaches, and had in that character contracted for hire and reward with the Postmaster-General, to provide the mail-coach for the purpose of conveying the mailbags from Hartford, in the county of Chester, to Holyhead: That the defendant, under and by virtue of the said contract, had agreed with the said Postmaster-General that the said mail-coach should, during the said contract, be kept in a fit, proper, safe, and secure state and condition for the said purpose, and took upon himself, to wit, under and by virtue of the said contract, the sole and exclusive duty, charge, care, and burden of the repairs, state, and condition of the said mail-coach; and it had become and was the sole and exclusive duty of the defendant, to wit, under and by virtue of his said contract, to keep and maintain the said mail-coach in a fit, proper, safe, and secure state and condition for the purpose aforesaid: That Nathaniel Atkinson and other persons, having notice of the said contract, were under contract with Postmaster-General to convey the said mail-coach from Hartford to Holyhead, and to supply horses and coachmen for that purpose, and also, not on any pretence whatever, to use or employ any other coach or carriage whatever than such as should be so provided, directed, and appointed by the Postmaster-General: That the plaintiff, being a mail-coachman, and thereby obtaining his livelihood, and whilst the said several contracts were in force, having notice thereof, and trusting to and confiding in the contract made between the defendant and the Postmaster-General, and believing that the said coach was in a fit, safe, secure, and proper state and condition for the purpose aforesaid, and not knowing and having no means of knowing to the contrary thereof, hired himself to the said Nathaniel Atkinson and his co-contractors as mail-coachman, to drive and take the conduct of the said mail-coach, which but for the said contract of the defendant he would not have done. The declaration then averred, that the defendant so improperly and negligently conducted himself, and

so utterly disregarded his aforesaid contract, and so wholly neglected and failed to perform his duty in this behalf, that heretofore, to wit, on the 8th of August, 1840, whilst the plaintiff, as such mail-coachman so hired, was driving the said mail-coach from Hartford to Holyhead, the same coach, being a mail-coach found and provided by the defendant under his said contract, and the defendant then acting under his said contract, and having the means of knowing and then well knowing all the aforesaid premises, the said mail-coach being then in a frail, weak, and infirm, and dangerous state and condition, to wit, by and through certain latent defects in the state and condition thereof, and unsafe and unfit for the use and purpose aforesaid, and from no other cause, circumstance, matter or thing whatsoever, gave way and broke down, whereby the plaintiff was thrown from his seat, and in consequence of injuries then received, had become lamed for life. ...

Byles, for the defendant, objected that the declaration was bad in substance. This is an action brought, not against Atkinson and his co-contractors, who were the employers of the plaintiff, but against the person employed by the Postmaster-General, and totally unconnected with them or with the plaintiff. Now it is a general rule, that wherever a wrong arises merely out of the breach of a contract, which is the case on the face of this declaration, whether the form in which the action is conceived be *ex contractu* or *ex delicto*, the party who made the contract alone can sue: *Tollit v. Sherstone* (5 M & W 283). If the rule were otherwise, and privity of contract were not requisite, there would be no limit to such actions. If the plaintiff may, as in this case, run through the length of three contracts, he may run through any number or series of them; and the most alarming consequences would follow the adoption of such a principle. For example, every one of the sufferers by such an accident as that which recently happened on the Versailles railway, might have his action against the manufacturer of the defective axle. So, if the chain-cable of an East Indiaman were to break, and the vessel went aground, every person affected, either in person or property, by the accident, might have an action against manufacturer, and perhaps against every seller also of the iron. ...

LORD ABINGER CB: I am clearly of opinion that the defendant is entitled to our judgment. We ought not to permit a doubt to rest upon this subject, for our doing so might be the means of letting in upon us an infinity of actions. This is an action of the first impression. ... Here the action is brought simply because the defendant was a contractor with a third person; and it is contended that thereupon he became liable to every body who might use the carriage. If there had been any ground for such an action, there certainly would have been some precedent of it; but with the exception of actions against innkeepers, and some few other persons, no case of a similar nature has occurred in practice. That is a strong circumstance, and is of itself a great authority against its maintenance. ... There is no privity of contract between these parties; and if the plaintiff can sue, every passenger, or even any person passing along the road, who was injured by the upsetting of the coach, might bring a similar action. Unless we confine the operation of such contracts as this to the parties who entered into them, the most absurd and outrageous consequences, to which I can see no limit, would ensue. ... [T]here is no instance in which a party, who was not privy to the contract entered into with him, can maintain any such action. The plaintiff in this case could not have brought an action on the contract; if he could have done so, what would have been his situation, supposing the Postmaster-General had released the defendant? That would, at all events, have defeated his claim altogether. By permitting this action, we should be working this injustice, that after the defendant had done everything to the satisfaction of his employer, and after all matters between them had been adjusted, and all accounts settled on the footing

of their contract, we should subject them to be ripped open by this action of tort being brought against him.

ALDERSON B: I am of the same opinion. The contract in this case was made with the Postmaster-General alone; and the case is just the same as if he had come to the defendant and ordered a carriage, and handed it at once over to Atkinson. If we were to hold that the plaintiff could sue in such a case, there is no point at which such actions would stop. The only safe rule is to confine the right to recover to those who enter into the contract: if we go one step beyond that, there is no reason why we should not go fifty. The only real argument in favour of the action is, that this is a case of hardship; but that might have been obviated, if the plaintiff had made himself a party to the contract.

GURNEY B concurred.

ROLFE B: The breach of the defendant's duty, stated in this declaration, is his omission to keep the carriage in a safe condition; and when we examine the mode in which that duty is alleged to have arisen, we find a statement that the defendant took upon himself, to wit, under and by virtue of the said contract, the sole and exclusive duty, charge, care, and burden of the repairs, state and condition of the said mail-coach, and, during all the time aforesaid, it had become and was the sole and exclusive duty of the defendant, to wit, under and by virtue of his said contract, to keep and maintain the said mail-coach in a fit, proper, safe, and secure state and condition. The duty, therefore, is shewn to have arisen solely from the contract; and the fallacy consists in the use of that word "duty." If a duty to the Postmaster-General be meant, that is true; but if a duty to the plaintiff be intended (and in that sense the word is evidently used), there was none. This is one of those unfortunate cases in which there certainly has been *damnum*, but it is *damnum absque injuriâ*; it is, no doubt, a hardship upon the plaintiff to be without a remedy, but by that consideration we ought not to be influenced. Hard cases, it has been frequently observed, are apt to introduce bad law.

Judgment for the defendant.

NOTE AND QUESTIONS

Fleming, *The Law of Torts*, 8th ed (Sydney: Law Book Co, 1992) at 139, observes:

In short, recognition of a duty of care is the outcome of a value judgment, that the plaintiff's invaded interest is deemed worthy of legal protection against negligent interference by conduct of the kind alleged against the defendant. In the decision whether or not there is a duty, many factors interplay: the hand of history, our ideas of morals and justice, the convenience of administering the rule and our social ideas as to where the loss should fall. Hence, the incidence and extent of duties are liable to adjustment in the light of the constant shifts and changes in community attitudes. ... In 1842, Lord Abinger foresaw, that "the most absurd and outrageous consequences, to which I can see no limit, would ensue," if it should ever be held that a party to a contract was under a duty to anyone but the promisee. This standpoint, based on the fear of impeding industrial development, has long since given way to a policy of making negligent manufacturers, repairers and others shoulder the accident losses incidental to their activities. Here, the advent of insurance and a more realistic appreciation of the methods available for the distribution of losses has led to an enormous widening of the field of duty.

Under which of the “many factors” that Fleming lists does “the fear of impeding industrial development” fall? What happened to the other factors? Was this factor mentioned by counsel for the defendant? By Lord Abinger? What evidence would be required to substantiate Fleming’s statement? Which of the factors mentioned by Fleming are reflected in Lord Abinger’s opinion? Are the other members of the court adopting the same ground of decision as Lord Abinger?

M’ALISTER (OR DONOGHUE) V STEVENSON

[1932] AC 562 (HL)

LORD BUCKMASTER (dissenting): My Lords, the facts of this case are simple. On August 26, 1928, the appellant drank a bottle of ginger-beer, manufactured by the respondent, which a friend had bought from a retailer and given to her. The bottle contained the decomposed remains of a snail which were not, and could not be, detected until the greater part of the contents of the bottle had been consumed. As a result she alleged, and at this stage her allegations must be accepted as true, that she suffered from shock and severe gastro-enteritis. She accordingly instituted the proceedings against the manufacturer which have given rise to this appeal.

The foundation of her case is that the respondent, as the manufacturer of an article intended for consumption and contained in a receptacle which prevented inspection, owed a duty to her as consumer of the article to take care that there was no noxious element in the goods, that he neglected such duty and is consequently liable for any damage caused by such neglect. ...

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The law applicable is the common law, and, though its principles are capable of application to meet new conditions not contemplated when the law was laid down, these principles cannot be changed nor can additions be made to them because any particular meritorious case seems outside their ambit.

Now the common law must be sought in law books by writers of authority and in judgments of the judges entrusted with its administration. The law books give no assistance, because the work of living authors, however deservedly eminent, cannot be used as authority, though the opinions they express may demand attention; and the ancient books do not assist. I turn, therefore, to the decided cases to see if they can be construed so as to support the appellant’s case. ...

The case of *Winterbottom v. Wright* is ... an authority that is closely applicable. Owing to negligence in the construction of a carriage it broke down, and a stranger to the manufacture and sale sought to recover damages for injuries which he alleged were due to negligence in the work, and it was held that he had no cause of action either in tort or arising out of contract. This case seems to me to show that the manufacturer of any article is not liable to a third party injured by negligent construction, for there can be nothing in the character of a coach to place it in a special category. It may be noted, also, that in this case Alderson B said: “The only safe rule is to confine the right to recover to those who enter into the contract; if we go one step beyond that, there is no reason why we should not go fifty.”

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The general principle of these cases is stated by Lord Sumner in the case of *Blacker v. Lake & Elliot, Ltd.*, in these terms: “The breach of the defendant’s contract with A. to use care and skill in and about the manufacture or repair of an article does not of itself give any cause of action to B. when he is injured by reason of the article proving to be defective.”

From this general rule there are two well known exceptions: (1.) In the case of an article dangerous in itself; and (2.) where the article not in itself dangerous is in fact dangerous, by reason of some defect or for any other reason, and this is known to the manufacturer. Until the case of *George v. Skivington* I know of no further modification of the general rule.

As to (1.), in the case of things dangerous in themselves, there is, in the words of Lord Dunedin, "a peculiar duty to take precaution imposed upon those who send forth or install such articles when it is necessarily the case that other parties will come within their proximity": *Dominion Natural Gas Co., Ltd. v. Collins & Perkins*. And as to (2.), this depends on the fact that the knowledge of the danger creates the obligation to warn, and its concealment is in the nature of fraud. In this case no one can suggest that ginger-beer was an article dangerous in itself, and the words of Lord Dunedin show that the duty attaches only to such articles, for I read the words "a peculiar duty" as meaning a duty peculiar to the special class of subject mentioned.

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In my view, therefore, the authorities are against the appellant's contention, and, apart from authority, it is difficult to see how any common law proposition can be formulated to support her claim.

The principle contended for must be this: that the manufacturer, or indeed the repairer, of any article, apart entirely from contract, owes a duty to any person by whom the article is lawfully used to see that it has been carefully constructed. All rights in contract must be excluded from consideration of this principle; such contractual rights as may exist in successive steps from the original manufacturer down to the ultimate purchaser are *ex hypothesi* immaterial. Nor can the doctrine be confined to cases where inspection is difficult or impossible to introduce. This conception is simply to misapply to tort doctrine applicable to sale and purchase.

The principle of tort lies completely outside the region where such considerations apply, and the duty, if it exists, must extend to every person who, in lawful circumstances, uses the article made. There can be no special duty attaching to the manufacture of food apart from that implied by contract or imposed by statute. If such a duty exists, it seems to me it must cover the construction of every article, and I cannot see any reason why it should not apply to the construction of a house. If one step, why not fifty? Yet if a house be, as it sometimes is, negligently built, and in consequence of that negligence the ceiling falls and injures the occupier or any one else, no action against the builder exists according to the English law, although I believe such a right did exist according to the laws of Babylon. Were such a principle known and recognized, it seems to me impossible, having regard to the numerous cases that must have arisen to persons injured by its disregard, that, with the exception of *George v. Skivington*, no case directly involving the principle has ever succeeded in the Courts, and, were it well known and accepted, much of the discussion of the earlier cases would have been waste of time, and the distinction as to articles dangerous in themselves or known to be dangerous to the vendor would be meaningless.

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... I am of opinion that this appeal should be dismissed, and I beg to move your Lordships accordingly.

LORD ATKIN: My Lords, the sole question for determination in this case is legal: Do the averments made by the pursuer in her pleading, if true, disclose a cause of action? I need not restate the particular facts. The question is whether the manufacturer of an article of drink sold by him to a distributor, in circumstances which prevent the

distributor or the ultimate purchaser or consumer from discovering by inspection any defect, is under any legal duty to the ultimate purchaser or consumer to take reasonable care that the article is free from defect likely to cause injury to health. I do not think a more important problem has occupied your Lordships in your judicial capacity: important both because of its bearing on public health and because of the practical test which it applies to the system under which it arises [I]n order to support an action for damages for negligence the complainant has to show that he has been injured by the breach of a duty owed to him in the circumstances by the defendant to take reasonable care to avoid such injury. In the present case we are not concerned with the breach of the duty; if a duty exists, that would be a question of fact which is sufficiently averred and for present purposes must be assumed. We are solely concerned with the question whether, as a matter of law in the circumstances alleged, the defender owed any duty to the pursuer to take care.

It is remarkable how difficult it is to find in the English authorities statements of general application defining the relations between parties that give rise to the duty. The Courts are concerned with the particular relations which come before them in actual litigation, and it is sufficient to say whether the duty exists in those circumstances. The result is that the Courts have been engaged upon an elaborate classification of duties as they exist in respect of property, whether real or personal, with further divisions as to ownership, occupation or control, and distinctions based on the particular relations of the one side or the other, whether manufacturer, salesman or landlord, customer, tenant, stranger, and so on. In this way it can be ascertained at any time whether the law recognizes a duty, but only where the case can be referred to some particular species which has been examined and classified. And yet the duty which is common to all the cases where liability is established must logically be based upon some element common to the cases where it is found to exist. To seek a complete logical definition of the general principle is probably to go beyond the function of the judge, for the more general the definition the more likely it is to omit essentials or to introduce non-essentials. ...

At present I content myself with pointing out that in English law there must be, and is, some general conception of relations giving rise to a duty of care, of which the particular cases found in the books are but instances. The liability for negligence, whether you style it such or treat it as in other systems as a species of "culpa," is no doubt based upon a general public sentiment of moral wrongdoing for which the offender must pay. But acts or omissions which any moral code would censure cannot in a practical world be treated so as to give a right to every person injured by them to demand relief. In this way rules of law arise which limit the range of complainants and the extent of their remedy. The rule that you are to love your neighbour becomes in law, you must not injure your neighbour; and the lawyer's question, Who is my neighbour? receives a restricted reply. You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question.

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... There will no doubt arise cases where it will be difficult to determine whether the contemplated relationship is so close that the duty arises. But in the class of case now before the Court I cannot conceive any difficulty arise. A manufacturer puts up an article of food in a container which he knows will be opened by the actual consumer. There can be no inspection by any purchaser and no reasonable preliminary

inspection by the consumer. Negligently, in the course of preparation, he allows the contents to be mixed with poison. It is said that the law of England and Scotland is that the poisoned consumer has no remedy against the negligent manufacturer. If this were the result of the authorities, I should consider the result a grave defect in the law, and so contrary to principle that I should hesitate long before following any decision to that effect which had not the authority of this House. I would point out that, in the assumed state of the authorities, not only would the consumer have no remedy against the manufacturer, he would have none against any one else, for in the circumstances alleged there would be no evidence of negligence against any one other than the manufacturer; and, except in the case of a consumer who was also a purchaser, no contract and no warranty of fitness ... There are other instances than of articles of food and drink where goods are sold intended to be used immediately by the consumer, such as many forms of goods sold for cleaning purposes, where the same liability must exist. The doctrine supported by the decision below would not only deny a remedy to the consumer who was injured by consuming bottled beer or chocolates poisoned by the negligence of the manufacturer, but also to the user of what should be a harmless proprietary medicine, an ointment, a soap, a cleaning fluid or cleaning powder. I confine myself to articles of common household use, where every one, including the manufacturer, knows that the articles will be used by other persons than the actual ultimate purchaser—namely, by members of his family and his servants, and in some cases his guests. I do not think so ill of our jurisprudence as to suppose that its principles are so remote from the ordinary needs of civilized society and the ordinary claims it makes upon its members as to deny a legal remedy where there is so obviously a social wrong.

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In my opinion several decided cases support the view that in such a case as the present the manufacturer owes a duty to the consumer to be careful. ...

[Lord Atkin then surveyed the cases. With respect to *Winterbottom v Wright*, he remarked that this “was a case decided on a demurrer” and continued:]

It is to be observed that no negligence apart from breach of contract was alleged—in other words, no duty was alleged other than the duty arising out of the contract; it is not stated that the defendant knew, or ought to have known, of the latent defect. The argument of the defendant was that, on the face of the declaration, the wrong arose merely out of the breach of a contract, and that only a party to the contract could sue. The Court of Exchequer adopted that view, as clearly appears from the judgments of Alderson and Rolfe BB. There are *dicta* by Lord Abinger which are too wide as to an action of negligence being confined to cases of breach of a public duty. The actual decision appears to have been manifestly right; no duty to the plaintiff arose out of the contract; and the duty of the defendant under the contract with the Postmaster-General to put the coach in good repair could not have involved such direct relations with the servant of the persons whom the Postmaster-General employed to drive the coach as would give rise to a duty of care owed to such servant.

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... I do not find it necessary to discuss at length the cases dealing with duties where the thing is dangerous, or, in the narrower category, belongs to a class of things which are dangerous in themselves. I regard the distinction as an unnatural one so far as it is used to serve as a logical differentiation by which to distinguish the existence or non-existence of a legal right. In this respect I agree with what was said by Scrutton LJ in *Hodge & Sons v. Anglo-American Oil Co.*, a case which was ultimately

decided on a question of fact. "Personally, I do not understand the difference between a thing dangerous in itself, as poison, and a thing not dangerous as a class, but by negligent construction dangerous as a particular thing. The latter, if anything, seems the more dangerous of the two; it is a wolf in sheep's clothing rather than an obvious wolf." The nature of the thing may very well call for different degrees of care, and the person dealing with it may well contemplate persons as being within the sphere of his duty to take care who would not be sufficiently proximate with less dangerous goods; so that not only the degree of care but the range of persons to whom a duty is owed may be extended. But they all illustrate the general principle. ...

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My Lords, if your Lordships accept the view that this pleading discloses a relevant cause of action you will be affirming the proposition that by Scots and English law alike a manufacturer of products, which he sells in such a form as to show that he intends them to reach the ultimate consumer in the form in which they left him with no reasonable possibility of intermediate examination, and with the knowledge that the absence of reasonable care in the preparation or putting up of the products will result in an injury to the consumer's life or property, owes a duty to the consumer to take that reasonable care.

It is a proposition which I venture to say no one in Scotland or England who was not a lawyer would for one moment doubt. It will be an advantage to make it clear that the law in this matter, as in most others, is in accordance with sound common sense. I think that this appeal should be allowed.

LORD MACMILLAN: ... [I]n the discussion of the topic which now engages your Lordships' attention two rival principles of the law find a meeting place where each has contended for supremacy. On the one hand, there is the well established principle that no one other than a party to a contract can complain of a breach of that contract. On the other hand, there is the equally well established doctrine that negligence apart from contract gives a right of action to the party injured by that negligence—and here I use the term negligence, of course, in its technical legal sense, implying a duty owed and neglected. The fact that there is a contractual relationship between the parties which may give rise to an action for breach of contract, does not exclude the co-existence of a right of action founded on negligence as between the same parties, independently of the contract, though arising out of the relationship in fact brought about by the contract. Of this the best illustration is the right of the injured railway passenger to sue the railway company either for breach of the contract of safe carriage or for negligence in carrying him. And there is no reason why the same set of facts should not give one person a right of action in contract and another person a right of action in tort. I may be permitted to adopt as my own the language of a very distinguished English writer on this subject. "It appears," says Sir Frederick Pollock, *Law of Torts*, 13th ed., p. 570, "that there has been (though perhaps there is no longer) a certain tendency to hold that facts which constitute a contract cannot have any other legal effect. The authorities formerly relied on for this proposition really proved something different and much more rational, namely, that if A. breaks his contract with B. (which may happen without any personal default in A. or A.'s servants), that is not of itself sufficient to make A. liable to C., a stranger to the contract, for consequential damage. This, and only this, is the substance of the perfectly correct decisions of the Court of Exchequer in *Winterbottom v. Wright* and *Longmeid v. Holliday*. In each case the defendant delivered, under a contract of sale or hiring, a chattel which was in fact unsafe to use, but in the one case it was not alleged, in the other was alleged but not proved to have been so to his knowledge. In each case a stranger to the contract, using the chattel—a coach in the one case, a lamp in the

other—in the ordinary way, came to harm through its dangerous condition, and was held not to have any cause of action against the purveyor. Not in contract, for there was no contract between these parties; not in tort, for no bad faith or negligence on the defendant's part was proved."

Where, as in cases like the present, so much depends upon the avenue of approach to the question, it is very easy to take the wrong turning. If you begin with the sale by the manufacturer to the retail dealer, then the consumer who purchases from the retailer is at once seen to be a stranger to the contract between the retailer and the manufacturer and so disentitled to sue upon it. There is no contractual relation between the manufacturer and the consumer; and thus the plaintiff, if he is to succeed, is driven to try to bring himself within one or other of the exceptional cases where the strictness of the rule that none but a party to a contract can found on a breach of that contract has been mitigated in the public interest, as it has been in the case of a person who issues a chattel which is inherently dangerous or which he knows to be in a dangerous condition. If, on the other hand, you disregard the fact that the circumstances of the case at one stage include the existence of a contract of sale between the manufacturer and the retailer, and approach the question by asking whether there is evidence of carelessness on the part of the manufacturer, and whether he owed a duty to be careful in a question with the party who has been injured in consequence of his want of care, the circumstance that the injured party was not a party to the incidental contract of sale becomes irrelevant, and his title to sue the manufacturer is unaffected by that circumstance. The appellant in the present instance asks that her case be approached as a case of delict, not as a case of breach of contract. ...

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In the American Courts the law has advanced considerably in the development of the principle exemplified in *Thomas v. Winchester*. In one of the latest cases in the United States, *MacPherson v. Buick Motor Co.*, the plaintiff, who had purchased from a retailer a motor-car manufactured by the defendant company, was injured in consequence of a defect in the construction of the car, and was held entitled to recover damages from the manufacturer. Cardozo J., the very eminent Chief Judge of the New York Court of Appeals and now an Associate Justice of the United States Supreme Court, thus stated the law:

... If the nature of a thing is such that it is reasonably certain to place life and limb in peril when negligently made, it is then a thing of danger. Its nature gives warning of the consequences to be expected. ... The dealer was indeed the one person of whom it might be said with some approach to certainty that by him the car would not be used. Yet the defendant would have us say that he was the one person whom it [the defendant company] was under a legal duty to protect. The law does not lead us to so inconsequent a conclusion. ...

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The law takes no cognizance of carelessness in the abstract. It concerns itself with carelessness only where there is a duty to take care and where failure in that duty has caused damage. In such circumstances carelessness assumes the legal quality of negligence and entails the consequences in law of negligence. What, then, are the circumstances, which give rise to this duty to take care? In the daily contacts of social and business life human beings are thrown into, or place themselves in, an infinite variety of relations with their fellows; and the law can refer only to the standards of the reasonable man in order to determine whether any particular relation gives rise to a duty to take care as between those who stand in that relation to each

other. The grounds of action may be as various and manifold as human errancy; and the conception of legal responsibility may develop in adaptation to altering social conditions and standards. The criterion of judgment must adjust and adapt itself to the changing circumstances of life. The categories of negligence are never closed. The cardinal principle of liability is that the party complained of should owe to the party complaining a duty to take care, and that the party complaining should be able to prove that he has suffered damage in consequence of a breach of that duty. Where there is room for diversity of view, it is in determining what circumstances will establish such a relationship between the parties as to give rise, on the one side, to a duty to take care, and on the other side to a right to have care taken.

To descend from these generalities to the circumstances of the present case, I do not think that any reasonable man or any twelve reasonable men would hesitate to hold that, if the appellant establishes her allegations, the respondent has exhibited carelessness in the conduct of his business. For a manufacturer of aerated water to store his empty bottles in a place where snails can get access to them, and to fill his bottles without taking any adequate precautions by inspection or otherwise to ensure that they contain no deleterious foreign matter, may reasonably be characterized as carelessness without applying too exacting a standard. But, as I have pointed out, it is not enough to prove the respondent to be careless in his process of manufacture. The question is: Does he owe a duty to take care, and to whom does he owe that duty? Now I have no hesitation in affirming that a person who for gain engages in the business of manufacturing articles of food and drink intended for consumption by members of the public in the form in which he issues them is under a duty to take care in the manufacture of these articles. That duty, in my opinion, he owes to those whom he intends to consume his products. He manufactures his commodities for human consumption; he intends and contemplates that they shall be consumed. By reason of that very fact he places himself in a relationship with all the potential consumers of his commodities, and that relationship which he assumes and desires for his own ends imposes upon him a duty to take care to avoid injuring them. He owes them a duty not to convert by his own carelessness an article which he issues to them as wholesome and innocent into an article which is dangerous to life and health. ...

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I am accordingly of opinion that this appeal should be allowed, the judgment of the Second Division of the Court of Session reversed, and the judgment of the Lord Ordinary restored.

LORD THANKERTON also held for the plaintiff. LORD TOMLIN dissented.

NOTES

1. *Watson v Buckley and Osborne, Garrett and Co Ltd (Ogee Ltd)*, [1940] 1 All ER 174 (KB) dealt with the liability of a distributor. A hairdresser from Spain contracted with an established English distributor of lotions, Ogee Ltd, whereby the hairdresser supplied and Ogee Ltd distributed and advertised a Spanish hair dye. The solution was not to contain more than 4 percent chromic acid, but although this was discussed by the parties it was not incorporated in any written agreement. Without testing the lotion, Ogee Ltd packaged it and advertised that it was perfectly safe and wouldn't harm even the most sensitive skin. Mrs Buckley, another hairdresser, suggested that the plaintiff consider the new dye on the basis of the distributor's ads, which she showed him and, as a result, the plaintiff agreed to give it a try. It was used according to directions, but, unfortunately, because it contained 10 percent chromic acid, it caused

the plaintiff dermatitis. The plaintiff brought an action against, *inter alia*, the distributor for its alleged negligence. Stable J held the distributor liable for the following reason:

Ogee, Ltd., were not dealing with an old-established manufacturer who had been supplying them for years. They were, in essence, dealing with a gentleman who had emerged quite unexpectedly from Spain. Although at an interview they stipulated 4 percent of the chromic acid—a matter of vital importance in connection with the hair dye, as I have said—that stipulation was never reduced to writing. It was never made a term of the agreement between them and the manufacturers. The percentage was never confirmed in a letter. They never saw where it was manufactured. They took no steps to ascertain under what sort of supervision the manufacture was carried on. When deliveries were made, no test of any sort, kind or description was made. I am not suggesting that they ought to have tested every consignment. Perhaps it would have been enough, I do not know, if they had made a sample test here and there. I was told that the test could have been made, and that it took 30 seconds. In fact, however, there was no test at all of the deliveries. Last, but by no means least, this commodity, of which they knew singularly little, and in connection with which they had taken no steps whatever to ensure that the deliveries of the commodity were in accordance with the stipulated article, was put out to the trade and to the world as being the hair dye which, in contradistinction to every other dye, was absolutely safe and harmless, could not harm the most sensitive skin, and positively needed no preliminary tests. I need not labour the matter. That, in my judgement, was carelessness. Before committing their name to such an assertion to all and sundry, they should have taken far greater care to ensure that that assertion was based on solid ground. In fact, nothing, or virtually nothing, was done to see that what was being distributed by them was this absolutely safe commodity. As the result of that carelessness, Watson has been severely injured. He read the advertisement. He told me that he was interested by the advertisement, and that it was because of the advertisement that he had the dye used, believing what he was told, and he suffered accordingly. ...

If Ogee, Ltd., had been the manufacturers, I should have held without difficulty here that, by this advertisement which Watson saw (it is not necessary to consider what would have been the case if he had not seen it, or if the contents had not been imparted by someone who had, for, in this case, he saw the advertisement), and upon which he relied, Ogee, Ltd., if they had been the manufacturers, of their own accord would have brought themselves into direct relationship with the consumer. It is said that here, although the manufacturers would owe such a duty, the distributors, being distributors and not manufacturers, are absolved. It seems to me that that statement must be qualified. The number of cases in which a distributor would owe a duty must, I think, be comparatively few. ...

The initial tortious act or careless act ... was the putting of the 10 percent solution into the lotion, and for that the distributors were not responsible. ... The question is now whether or not it was the negligence of the distributor which did the damage. I think that it was. I do not think that the distributor can escape liability for gross carelessness, where the consumer has been injured, by saying: "The initial mistake was made by someone for whose actions I am not responsible." I think that, if there had been any doubt as to the duty (the two questions are really interdependent, but assume the duty was there) the plaintiff here could have sued both defendants. The negligent act of the manufacturer was putting in the acid in too strong a solution. The negligent acts of the distributor were the various acts and omissions and representations which intervened between the manufacture of the article and its reaching Watson.

2. In *Clay v AJ Crump & Sons Ltd*, [1964] 1 QB 533 (CA), the owner of a garage hired the defendant architect to plan and oversee the redevelopment of his property, the defendant demolition contractors to clear the site, and the defendant building contractors to do the subsequent reconstruction. The owner asked the architect to leave a particular wall, scheduled

for eventual demolition, standing for the time being to prevent easy access to the site. The architect agreed to do so without having personally inspected the wall, relying on the opinion of the demolition contractors' managing director (who in turn relied on the opinion of his foreman) that the wall was safe. In fact, the supporting earth had been cleared away from the wall, which was not tied or bonded to other nearby walls that could have buttressed it, so that the wall had been left standing in a dangerous condition, which would have been apparent to anyone making a proper inspection. The building contractors arrived on the site after the demolition contractors, who were to return at a later date to demolish the wall, had left; the building contractors' managing director made a cursory inspection of the wall that failed to reveal its true state. Two weeks later the wall collapsed onto a shelter that the building contractors had built within several feet of the wall, killing two of contractors' workmen and injuring the plaintiff, also an employee of the building contractors.

At trial, damages for negligence were awarded against the architect and the demolition and building contractors, responsibility being apportioned at 42 percent, 38 percent, and 20 percent, respectively. This result, both as to liability and apportionment, was affirmed by the Court of Appeal, which held that it was within the contemplation of both the architect and the demolition contractors that builders would enter the site and be endangered by a wall left in a hazardous condition. The class of persons to whom a duty was owed, which thus included the plaintiff, was not affected by the fact that other persons (including the building contractors and the plaintiff himself) had had ample opportunity to inspect the wall, and Lord Atkin was not to be interpreted as saying in *Donoghue v Stevenson* that for a negligent person to be liable it was essential that there be no reasonable possibility of intermediate examination. The fact that the building contractors had had the last opportunity of examination did not break the chain of causation; by the breach of their respective duties both the architect and the demolition contractors had contributed to the accident. The court also held that the building contractors, as the plaintiff's employer, were under a duty to take reasonable care for his safety, and although in the circumstances that duty required only a cursory examination of the wall it had nevertheless been breached by the managing director's failure to see the danger that should have been obvious to someone of his experience.

PALSGRAF V LONG ISLAND RAILROAD CO

162 NE 99 (NY CA 1928)

CARDOZO CJ: Plaintiff was standing on a platform of defendant's railroad after buying a ticket to go to Rockaway Beach. A train stopped at the station, bound for another place. Two men ran forward to catch it. One of the men reached the platform of the car without mishap, though the train was already moving. The other man, carrying a package, jumped aboard the car but seemed unsteady as if about to fall. A guard on the car, who had held the door open, reached forward to help him in, and another guard on the platform pushed him from behind. In this act, the package was dislodged, and fell upon the rails. It was a package of small size, about fifteen inches long, and was covered by a newspaper. In fact it contained fireworks, but there was nothing in its appearance to give notice of its contents. The fireworks when they fell exploded. The shock of the explosion threw down some scales at the other end of the platform many feet away. The scales struck the plaintiff causing injuries for which she sues.

The conduct of the defendant's guard, if a wrong in its relation to the holder of the package, was not a wrong in its relation to the plaintiff, standing far away. Relatively to her it was not negligence at all. Nothing in the situation gave notice that the

falling package had in it the potency of peril to persons thus removed. Negligence is not actionable unless it involves the invasion of a legally protected interest, the violation of a right. "Proof of negligence in the air, so to speak, will not do." Pollock, *Torts* (11th Ed.) p. 455; ... The plaintiff, as she stood upon the platform of the station, might claim to be protected against intentional invasion of her bodily security. Such invasion is not charged. She might claim to be protected against unintentional invasion by conduct involving in the thought of reasonable men an unreasonable hazard that such invasion would ensue. These, from the point of view of the law, were the bounds of her immunity, with perhaps some rare exceptions, survivals for the most part of ancient forms of liability, where conduct is held to be at the peril of the actor. If no hazard was apparent to the eye of ordinary vigilance, an act innocent and harmless, at least to outward seeming, with reference to her, did not take to itself the quality of a tort because it happened to be a wrong, though apparently not one involving the risk of bodily insecurity, with reference to some one else. "In every instance before negligence can be predicated of a given act, back of the act must be sought and found a duty to the individual complaining, the observance of which would have averted or avoided the injury." McSherry CJ in *West Virginia Central & P.R. Co. v. State*, 96 Md. 652, 666, 54 A 669, 671 (61 LRA 574). ... "The ideas of negligence and duty are strictly correlative." Bowen LJ, in *Thomas v. Quartermaine*, 18 QBD 685, 694. The plaintiff sues in her own right for a wrong personal to her, and not as the vicarious beneficiary of a breach of duty to another.

A different conclusion will involve us, and swiftly too, in a maze of contradictions. A guard stumbles over a package which has been left upon a platform. It seems to be a bundle of newspapers. It turns out to be a can of dynamite. To the eye of ordinary vigilance, the bundle is abandoned waste which may be kicked or trod on with impunity. Is a passenger at the other end of the platform protected by the law against the unsuspected hazard concealed beneath the waste? If not, is the result to be any different, so far as the distant passenger is concerned, when the guard stumbles over a valise which a truckman or a porter has left upon the walk? The passenger far away, if the victim of a wrong at all, has a cause of action, not derivative, but original and primary. His claim to be protected against invasion of his bodily security is neither greater nor less because the act resulting in the invasion is a wrong to another far removed. In this case, the rights that are said to have been violated, the interests said to have been invaded, are not even of the same order. The man was not injured in his person nor even put in danger. The purpose of the act, as well as its effect, was to make his person safe. If there was a wrong to him at all, which may very well be doubted, it was a wrong to a property interest only, the safety of his package. Out of this wrong to property, which threatened injury to nothing else, there has passed, we are told, to the plaintiff by derivation or succession a right of action for the invasion of an interest of another order, the right to bodily security. The diversity of interests emphasizes the futility of the effort to build the plaintiff's right upon the basis of a wrong to some one else. The gain is one of emphasis, for a like result would follow if the interests were the same. Even then, the orbit of the danger as disclosed to the eye of reasonable vigilance would be the orbit of the duty. One who jostles one's neighbor in a crowd does not invade the rights of others standing at the outer fringe when the unintended contact casts a bomb upon the ground. The wrongdoer as to them is the man who carries the bomb, not the one who explodes it without suspicion of the danger. Life will have to be made over, and human nature transformed, before prevision so extravagant can be accepted as the norm of conduct, the customary standard to which behavior must conform.

The argument for the plaintiff is built upon the shifting meanings of such words as "wrong" and "wrongful," and shares their instability. What the plaintiff must show

is "a wrong" to herself; i.e., a violation of her own right, and not merely a wrong to some one else, nor conduct "wrongful" because unsocial, but not "a wrong" to any one. We are told that one who drives at reckless speed through a crowded city street is guilty of a negligent act and therefore of a wrongful one, irrespective of the consequences. Negligent the act is, and wrongful in the sense that it is unsocial, but wrongful and unsocial in relation to other travellers, only because the eye of vigilance perceives the risk of damage. If the same act were to be committed on a speedway or a race course, it would lose its wrongful quality. The risk reasonably to be perceived defines the duty to be obeyed, and risk imports relation; it is risk to another or to others within the range of apprehension. ... This does not mean, of course, that one who launches a destructive force is always relieved of liability, if the force, though known to be destructive, pursues an unexpected path. "It was not necessary that the defendant should have had notice of the particular method in which an accident would occur, if the possibility of an accident was clear to the ordinarily prudent eye." *Munsey v. Webb*, 231 US 150, 156. Some acts, such as shooting are so imminently dangerous to any one who may come within reach of the missile however unexpectedly, as to impose a duty of prevision not far from that of an insurer. Even today, and much oftener in earlier stages of the law, one acts sometimes at one's peril. *Jeremiah Smith, Tort and Absolute Liability*, 30 *HL Rv.* 328; *Street, Foundations of Legal Liability* vol. 1, pp. 77, 78. Under this head, it may be, fall certain cases of what is known as transferred intent, an act wilfully dangerous to A resulting by misadventure in injury to B. *Talmage v. Smith*, 101 Mich. 370, 374, 59 NW 656, 45 Am. St. Rep. 414. These cases aside, wrong is defined in terms of the natural or probable, at least when unintentional. ... The range of reasonable apprehension is at times a question for the court, and at times, if varying inferences are possible, a question for the jury. Here, by concession, there was nothing in the situation to suggest to the most cautious mind that the parcel wrapped in newspaper would spread wreckage through the station. If the guard had thrown it down knowingly and wilfully, he would not have threatened the plaintiff's safety, so far as appearances could warn him. His conduct would not have involved, even then, an unreasonable probability of invasion of her bodily security. Liability can be no greater where the act is inadvertent.

Negligence, like risk, is thus a term of relation. Negligence in the abstract, apart from things related, is surely not a tort, if indeed it is understandable at all. Negligence is not a tort unless it results in the commission of a wrong, and the commission of a wrong imports the violation of a right, in this case, we are told, the right to be protected against interference with one's bodily security. But bodily security is protected, not against all forms of interference or aggression, but only against some. One who seeks redress at law does not make out a cause of action by showing without more that there has been damage to his person. If the harm was not wilful, he must show that the act as to him had possibilities of danger so many and apparent as to entitle him to be protected against the doing of it though the harm was unintended. Affront to personality is still the keynote of the wrong. ... The victim does not sue derivatively, or by right of subrogation, to vindicate an interest invaded in the person of another. Thus to view his cause of action is to ignore the fundamental difference between tort and crime. ... He sues for breach of a duty owing to himself.

The law of causation, remote or proximate, is thus foreign to the case before us. The question of liability is always anterior to the question of the measure of the consequences that go with liability. If there is no tort to be redressed, there is no occasion to consider what damage might be recovered if there were a finding of a tort. We may assume, without deciding, that negligence, not at large or in the abstract, but in relation to the plaintiff would entail liability for any and all consequences, however novel or extraordinary. ... There is room for argument that a

distinction is to be drawn according to the diversity of interests invaded by the act, as where conduct negligent in that it threatens an insignificant invasion of an interest in property results in an unforeseeable invasion of an interest of another order, as, e.g., one of bodily security. Perhaps other distinctions may be necessary. We do not go into the question now. The consequences to be followed must first be rooted in a wrong.

The judgment of the Appellate Division and that of the Trial Term should be reversed, and the complaint dismissed, with costs in all courts.

ANDREWS J (dissenting): Assisting a passenger to board a train, the defendant's servant negligently knocked a package from his arms. It fell between the platform and the cars. Of its content the servant knew and could know nothing. A violent explosion followed. The concussion broke some scales standing a considerable distance away. In falling, they injured the plaintiff, an intending passenger.

Upon these facts, may she recover the damages she has suffered in an action brought against the master? The result we shall reach depends upon our theory as to the nature of negligence. Is it a relative concept—the breach of some duty owing to a particular person or to particular persons? Or, where there is an act which unreasonably threatens the safety of others, is the doer liable for all its proximate consequences, even where they result in injury to one who would generally be thought to be outside the radius of danger? This is not a mere dispute as to words. We might not believe that to the average mind the dropping of the bundle would seem to involve the probability of harm to the plaintiff standing many feet away whatever might be the case as to the owner or to one so near as to be likely to be struck by its fall. If, however, we adopt the second hypothesis, we have to inquire only as to the relation between cause and effect. We deal in terms of proximate cause, not of negligence.

Negligence may be defined roughly as an act or omission which unreasonably does or may affect the rights of others, or which unreasonably fails to protect one's self from the dangers resulting from such acts. Here I confine myself to the first branch of the definition. Nor do I comment on the word "unreasonable." For present purposes it sufficiently describes that average of conduct that society requires of its members. ...

But we are told that "there is no negligence unless there is in the particular case a legal duty to take care, and this duty must be one which is owed to the plaintiff himself and not merely to others." This I think too narrow a conception. Where there is the unreasonable act, and some right that may be affected, there is negligence whether damage does or does not result. That is immaterial. Should we drive down Broadway at a reckless speed, we are negligent whether we strike an approaching car or miss it by an inch. The act itself is wrongful. It is a wrong not only to those who happen to be within the radius of danger, but to all who might have been there—a wrong to the public at large. Such is the language of the street. Such the language of the courts when speaking of contributory negligence. Such again and again their language in speaking of the duty of some defendant and discussing proximate cause in cases where such a discussion is wholly irrelevant on any other theory. ... As was said by Mr. Justice Holmes many years ago: "The measure of the defendant's duty in determining whether a wrong has been committed is one thing, the measure of liability when a wrong has been committed is another." *Spade v. Lynn & B.R. Co.*, 172 Mass. 488, 491, 52 NE 747, 748 (43 LRA 832, 70 Am. St. Rep. 298).

Due care is a duty imposed on each one of us to protect society from unnecessary danger, not to protect A, B, or C alone.

It may well be that there is no such thing as negligence in the abstract. "Proof of negligence in the air, so to speak, will not do." In an empty world negligence would not exist. It does involve a relationship between man and his fellows, but not merely a relationship between man and those whom he might reasonably expect his act would injure; rather, a relationship between him and those whom he does in fact injure. If his act has a tendency to harm some one, it harms him a mile away as surely as it does those on the scene. ...

In the well known *Polemis Case*, [1921] 3 KB 560, Scrutton LJ said that the dropping of a plank was negligent, for it might injure "workman or cargo or ship." Because of either possibility, the owner of the vessel was to be made good for his loss. The act being wrongful, the doer was liable for its proximate results. Criticized and explained as this statement may have been, I think it states the law as it should be and as it is. ...

The proposition is this: Every one owes to the world at large the duty of refraining from those acts that may unreasonably threaten the safety of others. Such an act occurs. Not only is he wronged to whom harm might reasonably be expected to result, but he also who is in fact injured, even if he be outside what would generally be thought the danger zone. There needs be duty due the one complaining, but this is not a duty to a particular individual because as to him harm might be expected. Harm to some one being the natural result of the act, not only that one alone, but all those in fact injured may complain. ...

The right to recover damages rests on additional considerations. The plaintiff's rights must be injured, and this injury must be caused by the negligence. We build a dam, but are negligent as to its foundations. Breaking, it injures property down stream. We are not liable if all this happened because of some reason other than the insecure foundation. But when injuries do result from our unlawful act, we are liable for the consequences. It does not matter that they are unusual, unexpected, unforeseen, and unforeseeable. But there is one limitation. The damages must be so connected with the negligence that the latter may be said to be the proximate cause of the former.

These two words have never been given an inclusive definition. What is a cause in a legal sense, still more what is a proximate cause, depend in each case upon many considerations, as does the existence of negligence itself. Any philosophical doctrine of causation does not help us. A boy throws a stone into a pond. The ripples spread. The water level rises. The history of that pond is altered to all eternity. It will be altered by other causes also. Yet it will be forever the resultant of all causes combined. Each one will have an influence. How great only omniscience can say. You may speak of a chain, or, if you please, a net. An analogy is of little aid. Each cause brings about future events. Without each the other would not be the same. Each is proximate in the sense it is essential. But that is not what we mean by the word. Nor on the other hand do we mean sole cause. There is no such thing.

Should analogy be thought helpful, however, I prefer that of a stream. The spring, starting on its journey, is joined by tributary after tributary. The river, reaching the ocean, comes from a hundred sources. No man may say whence any drop of water is derived. Yet for a time distinction may be possible. Into the clear creek, brown swamp water flows from the left. Later, from the right comes water stained by its clay bed. The three may remain for a space, sharply divided. But at last inevitably no trace of separation remains. They are so commingled that all distinction is lost.

As we have said, we cannot trace the effect of an act to the end, if end there is. Again, however, we may trace it part of the way. A murder at Sarajevo may be the necessary antecedent to an assassination in London twenty years hence. An over-

turned lantern may burn all Chicago. We may follow the fire from the shed to the last building. We rightly say the fire started by the lantern caused its destruction.

A cause, but not the proximate cause. What we do mean by the word "proximate" is that, because of convenience, of public policy, of a rough sense of justice, the law arbitrarily declines to trace a series of events beyond a certain point. This is not logic. It is practical politics. Take our rule as to fires. Sparks from my burning haystack set on fire my house and my neighbor's. I may recover from a negligent railroad, he may not. Yet the wrongful act as directly harmed the one as the other. We may regret that the line was drawn just where it was, but drawn somewhere it had to be. We said the act of the railroad was not the proximate cause of our neighbor's fire. Cause it surely was. The words we used were simply indicative of our notions of public policy. Other courts think differently. But somewhere they reach the point where they cannot say the stream comes from any one source.

Take the illustration given in an unpublished manuscript by a distinguished and helpful writer on the law of torts. A chauffeur negligently collides with another car which is filled with dynamite, although he could not know it. An explosion follows. A, walking on the sidewalk nearby, is killed. B, sitting in a window of a building opposite, is cut by flying glass. C, likewise sitting in a window a block away, is similarly injured. And a further illustration: A nursemaid, ten blocks away, startled by the noise, involuntarily drops a baby from her arms to the walk. We are told that C may not recover while A may. As to B it is a question for court or jury. We will all agree that the baby might not. Because, we are again told, the chauffeur had no reason to believe his conduct involved any risk of injuring either C or the baby. As to them he was not negligent.

But the chauffeur being negligent in risking the collision, his belief that the scope of the harm he might do would be limited is immaterial. His act unreasonably jeopardized the safety of any one who might be affected by it. C's injury and that of the baby were directly traceable to the collision. Without that, the injury would not have happened. C had the right to sit in his office, secure from such dangers. The baby was entitled to use the sidewalk with reasonable safety.

The true theory is, it seems to me, that the injury to C, if in truth he is to be denied recovery, and the injury to the baby, is that their several injuries were not the proximate result of the negligence. And here not what the chauffeur had reason to believe would be the result of his conduct, but what the prudent would foresee, may have a bearing—may have some bearing, for the problem of proximate cause is not to be solved by any one consideration. It is all a question of expediency. There are no fixed rules to govern our judgment. There are simply matters of which we may take account. We have in a somewhat different connection spoken of "the stream of events." We have asked whether that stream was deflected—whether it was forced into new and unexpected channels. ... This is rather rhetoric than law. There is in truth little to guide us other than common sense.

There are some hints that may help us. The proximate cause, involved as it may be with many other causes, must be, at the least, something without which the event would not happen. The court must ask itself whether there was a natural and continuous sequence between cause and effect. Was the one a substantial factor in producing the other? Was there a direct connection between them, without too many intervening causes? Is the effect of cause on result not too attenuated? Is the cause likely, in the usual judgment of mankind, to produce the result? Or, by the exercise of prudent foresight could the result be foreseen? Is the result too remote from the cause, and here we consider remoteness in time and space. ... Clearly we must so consider, for the greater the distance either in time or space, the more surely do other causes intervene to affect the result. When a lantern is overturned, the firing of a shed is a fairly direct consequence. Many things contribute to the spread of the

conflagration—the force of the wind, the direction and width of streets, the character of intervening structures, other factors. We draw an uncertain and wavering line, but draw it we must as best we can.

Once again, it is all a question of fair judgment, always keeping in mind the fact that we endeavor to make a rule in each case that will be practical and in keeping with the general understanding of mankind.

Here another question must be answered. In the case supposed, it is said, and said correctly, that the chauffeur is liable for the direct effect of the explosion, although he had no reason to suppose it would follow a collision. "The fact that the injury occurred in a different manner than that which might have been expected does not prevent the chauffeur's negligence from being in law the cause of the injury." But the natural results of a negligent act—the results which a prudent man would or should foresee—do have a bearing upon the decision as to proximate cause. We have said so repeatedly. What should be foreseen? No human foresight would suggest that a collision itself might injure one a block away. On the contrary, given an explosion, such a possibility might be reasonably expected. I think the direct connection, the foresight of which the courts speak, assumes prevision of the explosion for the immediate results of which, at least, the chauffeur is responsible.

It may be said this is unjust. Why? In fairness he should make good every injury flowing from his negligence. Not because of tenderness toward him we say he need not answer for all that follows his wrong. We look back to the catastrophe, the fire kindled by the spark, or the explosion. We trace the consequences, not indefinitely, but to a certain point. And to aid us in fixing that point we ask what might ordinarily be expected to follow the fire or the explosion.

This last suggestion is the factor which must determine the case before us. The act upon which defendant's liability rests is knocking an apparently harmless package onto the platform. The act was negligent. For its proximate consequences the defendant is liable. If its contents were broken, to the owner; if it fell upon and crushed a passenger's foot, then to him; if it exploded and injured one in the immediate vicinity, to him also as to A in the illustration. Mrs. Palsgraf was standing some distance away. How far cannot be told from the record—apparently 25 or 30 feet, perhaps less. Except for the explosion, she would not have been injured. We are told by the appellant in his brief, "It cannot be denied that the explosion was the direct cause of the plaintiff's injuries." So it was a substantial factor in producing the result—there was here a natural and continuous sequence—direct connection. The only intervening cause was that, instead of blowing her to the ground, the concussion smashed the weighing machine which in turn fell upon her. There was no remoteness in time, little in space. And surely, given such an explosion as here, it needed no great foresight to predict that the natural result would be to injure one on the platform at no greater distance from its scene than was the plaintiff. Just how no one might be able to predict. Whether by flying fragments, by broken glass, by wreckage of machines or structures no one could say. But injury in some form was most probable.

Under these circumstances I cannot say as a matter of law that the plaintiff's injuries were not the proximate result of the negligence. That is all we have before us. The court refused to so charge. No request was made to submit the matter to the jury as a question of fact, even would that have been proper upon the record before us.

The judgment appealed from should be affirmed, with costs.

POUND, LEHMAN, and KELLOGG JJ concur with CARDOZO CJ.

ANDREWS J dissents in opinion in which CRANE and O'BRIEN JJ concur.

Judgment reversed, etc.

NOTES

1. Seavey, "Mr. Justice Cardozo and the Law of Torts" (1939) 39 Colum L Rev 20 at 33-38, assesses these two opinions as follows:

There are perhaps three factors which are to be considered in determining whether the approach of Cardozo or that of Andrews is to be preferred in this type of situation.

1. Which is the more consistent with our sense of justice in the particular case? Personally, I would find it hard to answer this question. An innocent person has been hurt; some one must bear the loss. The defendant's employee was negligent, although only slightly. ...

2. Which view is more consistent with the underlying theory of negligence? On the existing cases, this issue seems clear. Even intentionally bad acts do not necessarily result in liability to the actor for harm thereby caused. One who, while carefully driving an automobile with which he is kidnapping a child, runs over and kills a pedestrian is not civilly liable for the death, even though he may be guilty of murder. In the *Palsgraf* case, the defendant's act was wrongful only because it created a risk—that is, an unreasonable risk—of harm to the package. *Prima facie* at least, the reasons for creating liability should limit it. ... I would assume that a court which would impose liability for harm resulting from an unexplained explosion of a large quantity of explosives, would not hold liable the possessor of a pile of boxed explosives if, without his negligence, the boxes were to fall upon and crush the foot of a privileged visitor ignorant of the danger inherent in the pile. The risk is one of explosion and not of crushing.

In the modern negligence cases, the fact that the harm is directly caused by an intervening act of a stranger induced by the defendant's negligent conduct prevents the imposition of liability upon the first wrongdoer only if the type of intervention was not within the risk. Thus if the defendant were to leave open a bulkhead adjacent to a slippery sidewalk and a crowd of rowdies so jostled the plaintiff that he fell into the bulkhead, the defendant would be liable for the harm; if, however, the plaintiff were pushed in by an enemy, there would be no liability. The risk was that a traveller might slip in or be inadvertently pushed in, and not that he might be thrown in. On the other hand, one who negligently knocks over a wagon filled with goods would be liable to the owner for losses caused by thievery which the collision made expectable.

These results represent the normal reaction of courts to the various situations where the basic wrong is the creation of an unreasonable risk. Cardozo rationalizes the results, making them consistent with the fundamental conception of negligence. Andrews, as do all the philosophic proponents of the legal cause approach, rationalizes the results only by going back to the elementary basis of all proper legal decisions, by stating that the test is whether the result found by the court accords with our sense of justice. If we are to have the Chancellor's foot as a unit of measurement, we may reasonably expect the Chancellor to have feet of normal size; the result reached by Andrews is contrary to the great weight of American decisions, as I understand them.

3. The final question is which of the two approaches can be more easily applied. If we accept the Andrews opinion at its face value there can be little said in favor of its ease of application. It is difficult to apply a rule which is based upon "a rough sense of justice"; which "arbitrarily declines to trace a series of events beyond a certain point"; which is based upon "practical politics"; which has "no fixed rule to govern our judgment"; which gives "little to guide us other than common sense" or, if there are guides, a rule by which the answer depends upon whether there was "a natural and continuous sequence between cause and effect." We certainly do not desire arbitrariness, and the term "practical politics" as applied to negligence has no very definite connotation. No reason is obvious, and none is given, why intervening events, time or space should play a part, aside from their expectability. One who leaves percussion caps where he should know a child will find them should not be and is not

relieved from liability for harm where the child who finds them places them with his treasures carefully concealed from adult eyes and six months later trades them to another child in another city who, in playing with them, causes an explosion, harming whom you will. Even Andrews invokes expectability in the *Palsgraf* case by asking what might be expected from the dropping of a package, but in order to make the result expectable, he begins his "chain of events" or his "direct sequence" by assuming an explosion as the beginning of the series. Those using the test of directness are merely playing with a metaphor; if directness is meant to connote the comparative absence of external forces not set in motion by the defendant, it is not responsive to the decisions either as a test of inclusion or exclusion. The phrases "natural and continuous sequence" and undeflected "stream of events" mean nothing except so far as they have reference to expectability by persons who know some of the facts but not all of them—that is, the reasonably prudent and intelligent person at the time and place—and this of course brings us back to risk. The connection between the act of the person who fails to insert a cotter pin in the mechanism of an automobile and the harm to a guest in the car six months later in another part of the country (facts corresponding to the *Buick* case), is direct only in the sense that the result is within the risk created by the failure. If we go beyond Andrews and use other well-known phrases and similes, we fare no better. Has the defendant's force been continuously active? In this use of the word, active is again but a metaphor, unless by "active" we mean pregnant with danger. Was the defendant's act a condition rather than the cause? This phrase can be interpreted only if we know what distinguishes condition from cause, or in other words, if we have already answered the problem. For many years chains and nets were supposed to have something to do with liability and although Andrews preferred not to use them, I suggest that by their use the situation is described no more inaccurately, if less vividly, than by the phrases which have displaced them in the favor of the modern Andrews School.

In place of word paintings and purported reasons, Cardozo ... substituted "risk," a word which has a meaning, not merely to the legal student, trained in the use of fictions, but also to the jurors to whom, in most cases, the decisions will be entrusted. If it is complained that "risk" is a word of no definite import, it may be answered that at least it is more descriptive than the other phrases used, which in this type of case at least, always resolve themselves ultimately into rules dealing with expectability.

2. Keeton, *Legal Cause in the Law of Torts* (Columbus: Ohio State University Press, 1963) at 21, observes:

It may be argued that, as between a negligent defendant and a non-negligent plaintiff, a loss of which defendant's conduct was a cause in fact ought to be imposed upon the defendant irrespective of whether it was a kind of loss within the risks by reason of which his conduct is characterized as negligence. But if it is relevant to take into account defendant's fault with respect to a risk different from any that would include the harm plaintiff has suffered, then would it not also be relevant to take into account his other faults as well? And would it not seem equally relevant to consider plaintiff's shortcomings? Shall we fix legal responsibility by deciding who is the better and who the worse person? An affirmative answer might involve us, and quickly too, in the morality of run-of-the-ranch TV drama, where the good guys always win.

3. Weinrib, "The Passing of *Palsgraf*?" (2001) 54 Vand L Rev 803 at 805, gives the following account of *Palsgraf*:

Liability treats the parties as correlatively situated. This correlativity highlights the obvious fact that the liability of the defendant is always a liability to the plaintiff. Liability consists in a legal relationship between two parties, each of whose position is intelligible only in the light of the other's. In holding the defendant liable to the plaintiff, the court is making not two

separate judgments (one that awards something to the plaintiff and the other that coincidentally takes the same from the defendant), but a single judgment that embraces both parties in their interrelationship. The defendant cannot be thought of as liable without reference to a plaintiff in whose favor such liability runs. Similarly, the plaintiff's entitlement exists only in and through the defendant's correlative obligation.

The connection between the two parties that liability affirms is the procedural manifestation of the injustice that liability corrects. That injustice, like liability itself, is correlatively structured: In bringing an action against the defendant, the plaintiff is asserting that they are connected as doer and sufferer of the same injustice. As is evidenced by the judgment's simultaneous correction of both sides of the injustice, the injustice done by the defendant and the injustice suffered by the plaintiff are not independent items. Rather, they are the active and passive poles of the same injustice, so that what the defendant has done is the basis of liability only because of what the plaintiff has suffered, and vice versa. Each party's position is normatively significant only through the position of the other, which is the mirror image of it.

This correlativity figures in the way that tort doctrine constructs the tort relationship. Because liability treats the parties as doer and sufferer of the same injustice, tort law elaborates legal categories that reflect the identical nature of the injustice on both sides. Since the defendant, if liable, has committed the same injustice that the plaintiff has suffered, the reason the plaintiff wins ought to be the same as the reason the defendant loses. Therefore, in specifying the nature of the injustice, the only normative considerations that are significant are those that apply correlatively to both parties. Normative considerations that reflect the correlative situation of the two parties set terms for their interaction that take account of their mutual relationship and therefore are fair to both of them. Such considerations also reflect the mutual dependence of plaintiff and defendant for purposes of liability, thus allowing tort law to function as a coherent enterprise in justification rather than as a hodgepodge of factors separately relevant only to one or the other of the parties.

For tort law (as well as for the law of obligations more generally), the overarching justificatory categories expressive of correlativity are those of the plaintiff's right and the defendant's corresponding duty not to interfere with that right. The injustice of tortious conduct consists in the defendant's doing something that is incompatible with a right of the plaintiff. Right and duty are correlated when the plaintiff's right is the basis of the defendant's duty and, conversely, when the scope of the duty includes the kind of right-infringement that the plaintiff suffered. Under those circumstances, the reasons that justify the protection of the plaintiff's right are the same as the reasons that justify the existence of the defendant's duty. ...

When negligence law is conceived in terms of the correlativity of right and duty, one would expect it to attend to the following two issues. First, what is the content of the plaintiff's right, i.e., what interests of the plaintiff are legally protected against the defendant's conduct? Second, how does negligence law embody the correlativity of the defendant's duty to that right? The concept of duty in negligence law provides the rubric under which these two issues can be considered.

The first of these issues reflects the need to determine whether the plaintiff's loss constitutes an infringement of something to which the plaintiff has a right. Being harmed at the defendant's hand is merely a fact about the plaintiff's history that in itself has no correlative normative significance; only when the harm signifies the defendant's violation of the plaintiff's right do the parties occupy correlative normative positions. Conversely, if the loss of which the plaintiff is complaining is not the subject matter of a right, then the defendant has no duty with respect to it. In the old language of the law, the case is then one of *damnum sine iniuria*. ...

The second issue is that, given the existence of a right in the plaintiff, the defendant's duty has to be correlative to it. This means that the content of the plaintiff's right has to be the object of the defendant's duty. In order to be liable, the defendant must have been

negligent with respect to the plaintiff's right. Otherwise, the parties are not the doer and sufferer of the same injustice, and the reason for the plaintiff's winning would not be the same as the reason for the defendant's losing.

Cardozo's treatment of duty in the *Palsgraf* case gives paradigmatic legal expression to the notion that the defendant's duty is to be construed as correlative to the plaintiff's right. Because in that case the defendant's conduct was not wrongful toward the plaintiff (although it was arguably wrongful toward someone else), the defendant was held not to be under a duty with respect to the plaintiff's loss. Only if the wrongfulness of the defendant's risk-creation was relative to the plaintiff's right could the parties be regarded as doer and sufferer of the same injustice. Cardozo's achievement was to align the relational significance of risk, as a foreseeable effect on another, with the relational nature of tortious wrongdoing as the violation of the plaintiff's right. Consequently, the plaintiff had to be within the class of persons whose rights were foreseeably affected by the defendant's unreasonable creation of risk.

Although he focused on this second issue, Cardozo alluded to the first one as well. "Negligence is not actionable unless it involves the invasion of a legally protected interest, the violation of a right." Because "the commission of a wrong imports the violation of a right," the plaintiff is precluded from recovering unless the defendant's conduct is a wrong in relation to that right. Hence, "what the plaintiff must show is 'a wrong' to herself, i.e., a violation of her own right." That the plaintiff had a right to her bodily security was not disputed in the case, but the defendant's action was not wrongful relative to that right. Thus Cardozo affirmed that the existence of a right in the plaintiff is presupposed in the requirement that the duty breached by the defendant be a wrong toward her.

Cardozo's opinion thus presents the two interrelated functions of the inquiry into the defendant's duty. The first issue is whether the plaintiff's damaged interest has the status of a right, because it is only to a right that the defendant's duty can be correlative. The second issue is whether that correlativity obtains in the case at hand, i.e., whether the defendant breached a duty correlative to that right by creating an unreasonable risk to persons such as the plaintiff. When these two issues are brought together, the question of duty produces a structure of inquiry geared to ascertaining whether the parties can plausibly be regarded as the doer and sufferer of the same injustice.

4. Contrast Seavey's view (note 1 above) with that of Prosser in the following article.

PROSSER, "PALSGRAF REVISITED"

(1953) 52 Mich L Rev 1 at 15-16, 16-19, 24-29

[T]he comment may be ventured that, with due respect to the superlative style in which both [of the *Palsgraf* opinions] are written, neither of them wears well on long acquaintance. Both of them beg the question shamelessly, stating dogmatic propositions without reason or explanation. ...

There is a duty if the court says there is a duty; the law, like the Constitution, is what we make it. Duty is only a word with which we state our conclusion that there is or is not to be liability; it necessarily begs the essential question. When we find a duty, breach and damage, everything has been said. The word serves a useful purpose in directing attention to the obligation to be imposed upon the defendant, rather than the causal sequence of events; beyond that it serves none. ...

Does the railroad, then, owe a duty to Mrs. Palsgraf not to injure her in this way? Why, yes, if the court finds that it does. There is no other answer. Leaving out of account, as did the New York court, the fact that the woman was a passenger, there is still a relation to be found between the parties. It is the relation of close proximity

in time, space and direct causal sequence, between a negligent defendant and the person he injures. Many courts, in whatever language, have held this to be enough. If a court be made of all of the existing cases of "direct" physical injury to the unforeseeable plaintiff, the result is probably a slight majority in the plaintiff's favor. Almost as many courts have said no. The problem remains unanswered. ...

We come next to the effect on this nebulous "duty" of the fact that the damage was, or was not, reasonably to be foreseen by a reasonable man in the position of the defendant. It needs no argument to show that duty does not always coincide with the foreseeable risk. The expert swimmer, with a boat at hand, who sees another drowning before his eyes, may sit on the dock, smoke his pipe, and watch him drown. But it is still possible, as Cardozo contended, that the risk may be an outer boundary beyond which duty cannot extend, and that there is never any duty as to the unforeseeable plaintiff or the unforeseeable damage.

Over this there is an ancient controversy, which goes back to Baron Pollock in 1850. One position, of which Professor Seavey is the modern protagonist, is that the risk which determines the existence of negligence in the first instance limits the recovery for it, and that the same factors which characterize the conduct as wrongful define the scope of liability for its consequences. The other is that what the defendant might foresee is important in determining whether he was at fault at all, but is not decisive as to the extent of the consequences for which, once negligent, he will be liable. The courts have fluctuated and vacillated between the two positions, and neither has been adopted with entire consistency or carried to all of its logical conclusions.

In support of the limitation of liability to the foreseeable risk, it has been contended that it is more just, since the damages are consistent with the fault, and negligence may be only a slight deviation from the social standard, while its consequences may be out of all proportion to it. It is certainly more just from the point of view of the defendant, but it may be doubted that the plaintiff will appreciate the justice. The plaintiff has been hurt, and someone must bear the loss. Essentially the choice is between an innocent plaintiff and a defendant who is admittedly at fault. If the loss is out of all proportion to the defendant's fault, it can be no less out of proportion to the plaintiff's innocence. If it is unjust to the defendant to make him bear the loss which he could not have foreseen, it is no less unjust to the plaintiff to make him bear a loss which he, too, could not have foreseen, and which is not even due to his own negligence, but to that of another. In these cases there is no justice to be had.

It has been said that the limitation is more rational, since it is more consistent with the "underlying theory" of negligence. This is true if we postulate an underlying theory of negligence in the abstract without its consequences, but there is no such thing. A cause of action for negligence must include damages as well as fault; and when we come to state a theory as to whether the plaintiff's damage is included as compensable, we are once more begging the question. Once again the dog chases its tail.

It has been said finally, that the limitation is easier to administer, since it fixes the nearest thing to a definite boundary that is possible, and gives us a degree of predictable certainty in the law. Predictable certainty, and facility of administration, are very desirable things if they are not purchased at too great a price. What degree of certainty does the limitation of foreseeable risk bring to these cases?

It is relatively easy to say that the total risk, made up of the aggregate of all the possibilities of harm, large or small, probable or fantastic, is so great that the reasonable man of ordinary prudence would not drive at an excessive speed. It is quite another matter to say that any one fragment of that risk, consisting of the particular consequences that have in fact occurred, would have been sufficient in itself for the reasonable man to have it in mind and be deterred, or that it is so significant a part

of the whole that liability should attach to it. Herein lies the distinction between the original fault and its results.

It is clearly foreseeable that the speeding driver may hit another car and kill a man. But what of the possibility that he may only bruise a shin, and cancer may develop from the bruise? Or that the car with which he collides may be thrown out of control and hit a third car, or even a fourth? Or that he will hit a man, whose body will be thrown several feet through the air and injure a person on the sidewalk? Or that he will narrowly miss a pregnant woman, who will be frightened into a miscarriage; or that he will injure her unborn child? Or that he will endanger a child in the street, and its rescuer will sustain a broken arm? Or that the person he injures may be left helpless in the street and be run over by another car? Or that he will hit a power line pole, mix up electric wires and start a fire, or kill a workman operating a machine two miles away? Or that he will hit a man carrying a shotgun, and the gun will be discharged, and a bystander be shot in the leg? There is a mathematical chance of all of these possibilities. All of them have occurred, and can occur again; and all of them have been held "proximate" by some court. But which of them are "foreseeable," in the sense of being a significant part of the risk recognizable in advance?

Such piecemeal foresight is a rope of sand, and offers neither certainty nor convenience, as the floundering in the cases seems to show. Here is Learned Hand, a great judge, blandly assuring us that it is beyond reasonable anticipation that a barge with which the defendant collides will sink, and will be carrying insurance. Here is Pennsylvania, twice asserting that no reasonable man could foresee that any object struck by a speeding train or bus would fly off at an angle and hit a person not directly in its path. Here is Wisconsin, affirming that when a child is run down in the street there is no recognizable risk that its mother, in the vicinity, may suffer mental shock. Here is New York, solemnly declaring that the foreseeability of the spread of fire ends at the first adjoining house. I do not believe these things. I think they are rubbish. At the other extreme is another New York case, finding it all foreseeable when a collision forced a taxicab over a sidewalk and into a building, and loosened a stone, which fell on a bystander and killed her, while the taxicab was being removed twenty minutes later by a wrecking car. There is also Texas, which had no difficulty at all in foreseeing that a mudhole left by a defendant in a highway would stall a car, that a rescuer attempting to tow it out would get his wooden leg stuck in the mud, and that a loop in the tow rope would lasso his good leg and break it. Illustrations might be multiplied, as every negligence lawyer knows, but surely these are enough.

Foreseeability of risk, in short, carries only an illusion of certainty in defining the consequences for which the defendant will be liable. The attempt to broaden it by talking instead of consequences which are "normal" to the risk, or reasonably attachable to it, or "not highly extraordinary" in the light of it, seems in part at least to abandon the original reasoning, and adds nothing in the way of definiteness. One of my students told me once that all this meant to him was that what happened should not be "too cockeyed and far-fetched." If that is true, why not look to the cockeyed consequences themselves, rather than to the original fault? ...

So far this has been a brief for Andrews; but more remains to be said. There is still the problem of an end to liability, of a place to stop. It is still unthinkable that any one shall be liable to the end of time for all of the results that follow in endless sequence from his single act. Causation cannot be the answer; in a very real sense the consequences of an act go forward to eternity, and back to the beginning of the world. Any attempt to impose responsibility on such a basis would result in infinite liability for all wrongful acts, which would "set society on edge and fill the courts with endless litigation." To causation there is no end at all; and the preoccupation of the courts with the mechanism of causation is the source of much of our woe. Unless

we can find some other way to limit liability short of what the act has clearly caused, we may be forced back to the scope of the foreseeable risk, unsatisfactory as it is, as the only available alternative to unlimited liability. It is no aid to say, with Andrews, that the question is one of "practical politics," or with Edgerton that it is merely one of "justice." All of the law is a combination of both, and neither ever has been defined to the satisfaction of anyone. It is cold comfort either to the lawyer seeking to decide whether to settle his case, or the judge seeking to decide how to decide it, to be told that there is "little to guide us other than common sense."

The only alternative to the "scope of the risk" to be found in the cases is "direct causation." ... "Direct causation" is easier of comprehension than of definition. "Direct" consequences are those which follow in unbroken sequence from the effect of the defendant's act upon conditions existing and forces already in operation at the time, without the intervention of any external forces which come into active operation later. There is an analogy, often mentioned, to knocking over the first of a row of blocks, after which all of the rest fall down without the aid of any other force. *Palsgraf* is a typical case of direct causation: the guard knocked loose the package, its fall caused the explosion, the explosion knocked over the scale, the scale hit the plaintiff. Nothing intervened. Many courts have said, at least, that "direct" consequences are always proximate, and recoverable, whatever their nature and whoever the plaintiff may be. Andrews does not go so far; but his chief reason for permitting Mrs. *Palsgraf* to recover is that the injury to her was direct.

This has been condemned, and rightly so, as laying an entirely undue emphasis on mere physics. It has been pointed out that any application of a theory of "direct causation" may require an arbitrary disregard of a number of intervening factors, and a selection of those to be regarded as significant. This is true, but it may not be too important. Actually the courts have had little difficulty with it. When a man is given poison, it is easy enough to ignore all the complex chemical reactions brought about in his stomach by the food he puts into it for the next week, and to concentrate on the simple fact that the poison killed him.

The difficulty is rather that direct causation draws no satisfactory line. Its consequences may go entirely too far. It is true that they are limited, not by foreseeability, but by the existing situation on which the defendant acts, the way the stage is set. They are not infinite, but they may still be fantastic. Recognizing this, Andrews proposes a limitation based on the foreseeability of each step in the series, looking forward from the last. Given the explosion, is it foreseeable that it will knock over the scale? Given the falling scale, is it foreseeable that it will strike Mrs. *Palsgraf*? It needs only a moment's reflection to see where this goes. Mrs. *Palsgraf* falls on another package, which explodes and knocks over a more distant scale, which hits Mrs. O'Shaughnessy, who falls on another—but what we are getting is a Rube Goldberg cartoon.

Nor, of course, is "direct causation" of any help once we pass the boundary of directness, and consider the effect of other causes which intervene later in point of time. In determining whether they supersede the defendant's liability, the courts have been driven back to something like the foreseeable risk, although actually they have gone far beyond the limits of what any reasonable defendant would actually contemplate as the consequences of his act. The rescuer, the negligent doctor who aggravates the original injury, the pneumonia which carries off the victim while he lies in the hospital, the second injury which occurs while he is trying to walk on crutches, the frantic effort to escape which results in injury to the person threatened or to another, the second collision with the car thrown across the road, the second driver who runs over the man left helpless in the highway, are at least not possibilities that any reasonable man could be expected to contemplate, think about or have in

mind while he is driving an automobile. They have to be justified by calling them "normal" consequences, which appears to mean only that they are not unreasonably disconnected with the defendant's conduct. Neither the risk theory nor "directness" is of any real help in dealing with them.

For reasons such as these, the opinion of Andrews is as barren as is Cardozo's. It does, I think, come closer to a recognition of the difficulties of the problem and the many factors that may bear on it, and it is less arbitrary in postulating an ironclad rule; but the formula it offers is no better as a universal solvent or a philosopher's stone.

What is the true reason that so many of us feel that the case was correctly decided, and that Mrs. Palsgraf should not recover? It is not, I think, that no harm to her was to be foreseen in the first instance. It is that what did happen to her is too preposterous. Her connection with the defendant's guards and the package is too tenuous; in the old language, she is too remote. The combination of circumstances and events necessary to injure her is too improbable, too fantastic; it is, as my freshman so happily put it "too cockeyed and far-fetched." He may have given us a clue. The *Restatement*, groping for the same idea, says that in retrospect it must not appear "highly extraordinary" that the defendant's conduct has brought about the result. The *Restatement's* comment is unfortunate in the stress which it lays on retrospective knowledge of all the facts, for to omniscience any event whatever must appear not only probable but quite inevitable; but the basic idea is there, that liability must stop somewhere short of the freakish and the fantastic.

If there is any middle ground between the restricted scope of the original risk on the one hand, and the extreme lengths to which even direct causation may be carried on the other, it must lie in some reasonably close connection between the harm threatened and the harm done. If the connection clearly exists, as where the man with the weak heart drops dead after a slight blow, quite unforeseeable consequences are readily recoverable. Where it is more distant, consisting only of proximity in time and space and direct causal sequence, as where the object struck by the vehicle flies off at an angle and hits a bystander on the sidewalk, events of a more or less routine and ordinary kind may lead to recovery even though the court regards them as unforeseeable. When we reach Mrs. Palsgraf and the nightmare accident which injured her, it may be time to stop.

All this answers no questions, provides no formula, and does not help to state a rule. It is at most an approach, which may explain most but not all of the cases, and may appeal to those who are happy neither with Andrews nor with Cardozo. It suggests that the old words "proximate" and "remote," for which no one has had a kind word for half a century, may provide the best available answer after all; and that, as is sometimes the case where the courts continue to use a word for more than a century, they mean just what they say. ...

We come at last to the riddle of the *Palsgraf* case: how can we state a rule? Preliminary to this is the question, can the matter be reduced to a rule at all; and preliminary to both is the question, what value would a rule have if we could state it?

We are in a field of freak accidents, of crazy concatenations of circumstances, no one of which ever has been duplicated exactly before, or ever will occur in exactly the same way again. It is not likely that there will be another Mrs. Palsgraf before judgment day. As a precedent her case is utterly worthless, unless we can extract from it some generalization, some guide to a method of dealing with freak accidents, some prediction for the unpredictable. But freak accidents, in the aggregate, follow no pattern at all; and even where some superficial resemblance can be found, the details will vary so greatly and significantly from case to case that we may very well come to different conclusions. A rule for the unpredictable is itself a contradiction in terms.

For what proposition of law does the *Palsgraf* case really stand? Professor Cowan, in a sadly neglected article, has stated it as follows:

... a railroad does not owe to an intending passenger the duty to refrain from permitting its guards to push upon a moving train another passenger carrying a package which, though innocent in appearance, contains fireworks, and which, if joggled from the boarding passenger's arm, will fall to the tracks, explode, shake the platform, knock down scales, and thus injure the intending passenger.

As a guide to the decision of future cases, this is of course ridiculous. There will be no such cases. But when we try to state the proposition in more general terms, we begin to include so many unpredictable factors which may affect our decision in any specific case that, as the rule approaches sweeping generalization, it loses all validity as a rule. No one would say, on the basis of the *Palsgraf* case, that a plaintiff can never recover for an injury brought about by an explosion. No one would say that there can be no recovery unless the event itself and the manner of its occurrence could reasonably have been foreseen. It may be quite as hazardous and unsound to say that no plaintiff can ever recover unless harm to that plaintiff was to be foreseen. A rule can have validity only as it applies to situations that recur without significant differences. Freak accidents do not recur, and the differences which can arise in them are virtually unlimited.

HAYNES V HARWOOD

[1935] 1 KB 146 (CA)

GREER LJ: The defendants were the owners of a two-horse van which was being driven by their servant, a man named Bird on August 24, 1932. The business on which he was engaged on behalf of his employers took him into Quiney's Yard and Quiney's Wharf, on the left-hand side of Paradise Street Rotherhithe. Bird, who had in the van two horses, one, a mare on the left or near side, the other, a gelding on the right or off side, had to go to the wharf and there unload goods. His van was provided with a chain which, when properly put in position, operates as a drag on the near back wheel of the van. As there is a slope down from the road to the wharf it is usual to put the drag on, and, according to Bird's evidence, he did that on this occasion. When he had finished his unloading Bird had to get a receipt, but instead of waiting where he was for this, he, out of consideration for the wharf owners, who wanted to go on with their work by receiving another van to unload at their wharf took his two horses and the van out into Paradise Street, and left them standing on the left-hand side of the street facing in the direction of the police station, while he went to get his receipt. ...

He came out, and I accept the evidence which was given on behalf of the defendants by an independent observer who says that what then happened was this: two boys were coming along, and one of them, obviously with a mischievous propensity, threw a stone at the horses which caused them to run away. The horses ran a considerable distance without any one interfering with them until they got opposite the police station, where the plaintiff was in the charge room. Seeing what was happening, he came out into the street and there saw a woman who was in grave danger if nothing was done to rescue her; he also saw a number of children who would be in grave danger if nothing was done by him to arrest the progress of the horses. At great risk to his life and limb, he seized the off-side horse and tried to stop them both. After

going about fifteen yards, he succeeded in doing so, but unfortunately one of the horses fell upon him, with the consequence that he suffered serious personal injuries entailing pecuniary loss. ...

In considering this case one must take into account the nature of the street in which the two horses were left. A little way to the left of Quiney's Yard, on the opposite side of the road, are certain tenement dwellings, and just opposite Quiney's Yard there are dwelling-houses. Coming along on the same side as were the horses and van, one finds a church, a school entrance, and a number of houses which, having regard to the locality, are probably occupied by working-class people with families. We are told that altogether there are three schools in this neighbourhood, and that between 4 and 5 o'clock in the afternoon there are always many children about. It was in this kind of place the defendants' driver chose to leave his vehicle.

It is said for the defendants that the plaintiff is in law without remedy, and in support of this contention certain reasons are given. Before dealing with those, however, I may say that it would be a little surprising if a rational system of law in those circumstances denied any remedy to a brave man who had received his injuries through the original default of the defendants' servant.

It was said that there was no evidence of negligence on the part of the defendants' driver; secondly, assuming there was some evidence of negligence, the accident happened through the intervention of some consciously acting persons between the wrongful conduct of the defendants' driver and the accident; in other words that there was a *novus actus interveniens*, and therefore the chain of causation between the cause of the accident and the damage was broken and the plaintiff's claim cannot be sustained. It was said, thirdly, that quite apart from, and independently of, that question the plaintiff himself assumed the risk which he ran and took the risk upon himself, and therefore as the damage he suffered was the result of his own act, he cannot recover. That again is conveniently put into the Latin phrase, "*volenti non fit injuria*."

I propose to consider first, upon general principles, whether these points are sound. What is meant by negligence? Negligence in the air will not do; negligence, in order to give a cause of action, must be the neglect of some duty owed to the person who makes the claim. In this case, if the duty was owed to, among others, the plaintiff—if he is one of a class affected by the want of care or the negligence of the defendants, that is negligence of which the plaintiff can avail himself as a cause of action. What is the negligence complained of here? Mr. Hilbery rightly described it as a failure to use reasonable care for the safety of those who were lawfully using the highway in which this van with the two horses attached was left unattended. I personally have no doubt that a policeman—or indeed any one, and still more a policeman, using the highway for the purpose of stopping a runaway horse and thereby preventing serious accidents and possibly preventing loss of life, is within the category of those lawfully using the highway. Accordingly, I think the first point fails. Of course it does not follow that in all circumstances it is negligence to leave horses unattended in a highway; each case with all its circumstances has to be considered; but the circumstances which make it quite clear that the defendants' servant was guilty of a want of reasonable care in leaving his horses unattended are that this was a crowded street in which many people, including children, were likely to be at the time when the horses were left and before the defendants' servant could get back to them. The defendants' servant had been frequently in the neighbourhood; he had often delivered goods at Quiney's Wharf; and he must be taken to know something of the character of the neighbourhood, although he denied any knowledge of schools being there. To leave horses unattended, even for such a short time

as three minutes, in a place where mischievous children may be about, where something may be done which may result in the horses running away, seems to me to be negligent—having regard to the proved circumstances.

The next point involves a consideration of the maxim "*novus actus interveniens*." ...

...

If what is relied upon as *novus actus interveniens* is the very kind of thing which is likely to happen if the want of care which is alleged takes place, the principle embodied in the maxim is no defence. The whole question is whether or not, to use the words of the leading case, *Hadley v. Baxendale*, the accident can be said to be "the natural and probable result" of the breach of duty. If it is the very thing which ought to be anticipated by a man leaving his horses, or one of the things likely to arise as a consequence of his wrongful act, it is no defence; it is only a step in the way of proving that the damage is the result of the wrongful act.

There can be no doubt in this case that the damage was the result of the wrongful act in the sense of being one of the natural and probable consequences of the wrongful act. It is not necessary to show that this particular accident and this particular damage were probable; it is sufficient if the accident is of a class that might well be anticipated as one of the reasonable and probable results of the wrongful act.

The third ground was that the principle of *volenti non fit injuria* applied. On this there is very little actual authority in this country and no actual decision of the Court of Appeal, but there is a very helpful decision of Swift J in *Brandon v. Osborne Garrett & Co.* There is, however, a wealth of authority in the United States, and one of the cases, which is quite sufficient to show what the American law is, has been cited to us—namely, *Eckert v. Long Island Railroad Co.* The effect of the American cases is, I think, accurately stated in Professor Goodhart's article to which we have been referred on "Rescue and Voluntary Assumption of Risk" in *Cambridge Law Journal*, vol. v., p. 192. In accurately summing up the American authorities and stating the result of Eckert's case the learned author says this (p. 196):

The American rule is that the doctrine of the assumption of risk does not apply where the plaintiff has, under an exigency caused by the defendant's wrongful misconduct, consciously and deliberately faced a risk, even of death, to rescue another from imminent danger of personal injury or death, whether the person endangered is one to whom he owes a duty of protection, as a member of his family, or is a mere stranger to whom he owes no such special duty.

In my judgment that passage not only represents the law of the United States, but I think it also accurately represents the law of this country. It is, of course, all the more applicable to this case because the man injured was a policeman who might readily be anticipated to do the very thing which he did, whereas the intervention of a mere passer-by is not so probable.

...

I have considered the matter from the point of view of principle, and from that point of view I think it is quite immaterial whether the policeman acted on impulse or whether he acted from a sense of moral duty to do his best to prevent injury to people lawfully using the highway. If it were necessary to find that he acted on impulse, there is ample evidence of that in his own evidence that he did it on the spur of the moment; but I do not think that is essential. I think it would be absurd to say that if a man deliberately incurs a risk he is entitled to less protection than if he acts on a sudden impulse without thinking whether he should do so or not.

MAUGHAM and ROCHE LJ gave judgments to the same effect.

NOTES AND QUESTIONS

1. The classic statement of the basis of liability to the rescuer is the opinion of Cardozo J in *Wagner v International Railway Co*, 133 NE 437 (NY CA 1921):

Danger invites rescue. The cry of distress is the summons to relief. The law does not ignore these reactions of the mind in tracing conduct to its consequences. It recognizes them as normal. It places their effects within the range of the natural and probable. The wrong that imperils life is a wrong to the imperiled victim; it is a wrong also to his rescuer. The state that leaves an opening in a bridge is liable to the child that falls into the stream, but liable also to the parent who plunges to its aid. ... The railroad company whose train approaches without signal is a wrongdoer toward the traveller surprised between the rails, but a wrongdoer also to the bystander who drags him from the path. ... The risk of rescue, if only it be not wanton, is born of the occasion. The emergency begets the man. The wrongdoer may not have foreseen the coming of a deliverer. He is accountable as if he had.

How would Andrews J have dealt with this issue? Is Cardozo J's approach here consistent with his judgment in *Palsgraf*? What does Cardozo J mean by saying that the law "places their effects within the range of the natural and probable"? Does he mean that the plaintiff's rescue attempt was foreseeable, or that the law will treat it as foreseeable even though it was not?

Does it matter whether the rescue was foreseeable? What if the original accident happened in a remote and isolated area where there could be no reasonable anticipation of the presence of a rescuer?

2. In *Horsley v MacLaren*, [1972] SCR 441, 22 DLR (3d) 545 at 558 Laskin J observes:

[T]he original principle on which the "rescue" cases were founded ... was the recognition of a duty by a negligent defendant to a rescuer coming to the aid of the person imperilled by the defendant's negligence. The evolution of the law on this subject, originating in the moral approbation of assistance to a person in peril, involved a break with the "mind your own business" philosophy. Legal protection is now afforded to one who risks injury to himself in going to the rescue of another who has been foreseeably exposed to danger by the unreasonable conduct of a third person. The latter is now subject to liability at the suit of the rescuer as well as at the suit of the imperilled person, provided, in the case of the rescuer, that his intervention was not so utterly foolhardy as to be outside of any accountable risk and thus beyond even contributory negligence.

Moreover, the liability to the rescuer, although founded on the concept of duty, is now seen as stemming from an independent and not a derivative duty of the negligent person. As *Fleming on Torts*, 3rd ed. (1965), has put it (at p. 166), the cause of action of the rescuer in arising out of the defendant's negligence, is based "not in its tendency to imperil the person rescued, but in its tendency to induce the rescuer to encounter the danger. Thus viewed, the duty to the rescuer is clearly independent" This explanation of principle was put forward as early as 1924 by Professor Bohlen (see his *Studies in the Law of Torts*, at p. 569) in recognition of the difficulty of straining the notion of foreseeability to embrace a rescuer of a person imperilled by another's negligence. Under this explanation of the basis of liability, it is immaterial that the imperilled person does not in fact suffer any injury It is a further consequence of the recognition of an independent duty that a person who imperils himself by his carelessness may be as fully liable to a rescuer as a third person would be who imperils another.

3. In *Urbanski v Patel* (1978), 84 DLR (3d) 650 (Man QB) the issue arose in unusual circumstances. During the course of a tubal ligation, the defendant surgeon mistakenly removed the patient's only kidney, in the belief that it was an ovarian cyst. As a result, the plaintiff was placed on dialysis until a kidney transplant could be arranged. The plaintiff's father volunteered one of his kidneys, but the transplant was unsuccessful because the organ was rejected by the plain-

tiff's body. In an action by the plaintiff's father for the loss suffered in giving up his kidney, the court held that the father's effort to help his daughter was a consequence of the disaster that befell her. The present practice of medicine was such that a kidney transplant was an accepted and expected remedy for renal failure. It was entirely foreseeable that a member of the plaintiff's family would donate his organ to help her.

4. The *Ontario Good Samaritan Act*, SO 2001, c 2 states:

1. In this Act, "health care professional" means a member of a College of a health profession set out in Schedule 1 to the *Regulated Health Professions Act, 1991*. 2001, c. 2, s. 1.

2. (1) Despite the rules of common law, a person described in subsection (2) who voluntarily and without reasonable expectation of compensation or reward provides the services described in that subsection is not liable for damages that result from the person's negligence in acting or failing to act while providing the services, unless it is established that the damages were caused by the gross negligence of the person. ...

(2) Subsection (1) applies to (a) a health care professional who provides emergency health care services or first aid assistance to a person who is ill, injured or unconscious as a result of an accident or other emergency, if the health care professional does not provide the services or assistance at a hospital or other place having appropriate health care facilities and equipment for that purpose; and

(b) an individual, other than a health care professional described in clause (a), who provides emergency first aid assistance to a person who is ill, injured or unconscious as a result of an accident or other emergency, if the individual provides the assistance at the immediate scene of the accident or emergency. ...

(3) Reasonable reimbursement that a person receives for expenses that the person reasonably incurs in providing the services described in subsection (2) shall be deemed not to be compensation or reward for the purpose of subsection (1). ...

What is your view of this statute?

DOBSON (LITIGATION GUARDIAN OF) V DOBSON

[1999] 2 SCR 753, 174 DLR (4th) 1

CORY J (LAMER CJC, GONTHIER, IACOBUCCI and BINNIE JJ concurring):

I. INTRODUCTION

Pregnancy speaks of the mystery of birth and life; of the continuation and renewal of the species. The relationship between a pregnant woman and her foetus is unique and innately recognized as one of great and special importance to society. In the vast majority of cases, the expectant woman makes every effort to ensure the good health and welfare of her future child. In addition, the sacrifices made by the mother for her newborn child are considerable. Yet, what if hopes for the future are dashed by an injury caused to the foetus as a result of a prenatal negligent act of the mother-to-be? Should a mother be held liable for the damages occasioned to her born alive child? That is the question to be resolved in this appeal.

II. FACTS

On March 14, 1993, the appellant was in the 27th week of her pregnancy. On that day, she was driving towards Moncton in a snowstorm. She lost control of her vehicle on a patch of slush and struck an oncoming vehicle. It is alleged that the accident was caused by her negligent driving. The infant respondent, Ryan Dobson, was allegedly

injured while in utero, and was delivered prematurely by Caesarean section later that same day. He suffers from permanent mental and physical impairment, including cerebral palsy.

The infant respondent, by his grandfather and litigation guardian, launched a tort claim against, *inter alia*, the appellant for the damages he sustained. The respondent's father was the owner of the vehicle driven by the appellant. As required by provincial law, he was insured against damages caused by the negligence of drivers of his motor vehicle.

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IV. ISSUE

This appeal raises but one issue. Should a mother be liable in tort for damages to her child arising from a prenatal negligent act which allegedly injured the foetus in her womb? ...

V. ANALYSIS

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... [I]n *City of Kamloops v. Nielsen*, [1984] 2 SCR 2, it was recognized that even where a duty of care exists, it may not be imposed for reasons of public policy. Although a duty of care to the born alive child may exist, for reasons of public policy, which will be explored later, that duty should not be imposed upon a pregnant woman. Matters of public policy are concerned with sensitive issues that involve far-reaching and unpredictable implications for Canadian society. It follows that the legislature is the more appropriate forum for the consideration of such problems and the implementation of legislative solutions to them.

B. IMPOSING A DUTY OF CARE IN THIS SITUATION

The test set out in *Kamloops*, *supra*, must be considered and applied in determining whether the appellant mother should be held liable to her child in the present case. This analysis is particularly important in light of the significant policy consequences raised by this appeal. In *Kamloops*, it was held that before imposing a duty of care, the court must be satisfied: (1) that there is a sufficiently close relationship between the parties to give rise to the duty of care; and (2) that there are no public policy considerations which ought to negative or limit the scope of the duty, the class of persons to whom it is owed, or the damages to which a breach of it may give rise.

The first criterion may be satisfied if it is assumed that a pregnant woman and her foetus can be treated as distinct legal entities. It should be noted that this assumption might be seen as being contrary to the holding of McLachlin J in *Winnipeg*, *supra*, at p. 945 that "the law has always treated the mother and unborn child as one." Nonetheless, it is appropriate in the present case to assume, without deciding, that a pregnant woman and her foetus can be treated as separate legal entities. Based on this assumption, a pregnant woman and her foetus are within the closest possible physical proximity that two "legal persons" could be. With regard to foreseeability, it is clear that almost any careless act or omission by a pregnant woman could be expected to have a detrimental impact on foetal development. Indeed, the very existence of the foetus depends upon the pregnant woman. Thus, on the basis of the assumption of separate legal identities, it is possible to proceed to the more relevant analysis for the purposes of the present appeal, the second stage of the *Kamloops* test.

However, even if it is assumed that the first stage of the *Kamloops* test is satisfied, the public policy considerations in this case clearly indicate that a legal duty of care should not be imposed upon a pregnant woman towards her foetus or subsequently born child. The second branch of the *Kamloops* test requires a consideration of those public policy consequences which may negate or limit the imposition of such a duty of care upon mothers-to-be. Although increased medical knowledge makes the consequences of certain behaviour more foreseeable, and facilitates the establishment of a causative link in negligence suits, public policy must also be considered. Significant policy concerns militate against the imposition of maternal tort liability for prenatal negligence. These relate primarily to (1) the privacy and autonomy rights of women and (2) the difficulties inherent in articulating a judicial standard of conduct for pregnant women.

In addition, an intervener submitted that to impose a legal duty of care upon a pregnant woman towards her foetus or subsequently born child would give rise to a gender-based tort, in contravention of s. 15(1) of the *Canadian Charter of Rights and Freedoms*. That contention may be correct. However, in light of the conclusion reached with respect to the second branch of the *Kamloops* test, this case need not, and should not, be decided on Charter grounds. It cannot be forgotten that the parties did not address the Charter. Indeed, apart from the submissions of one intervener, no argument was put forward on the Charter. In those circumstances, it is inappropriate to resolve that issue in these reasons.

1. Privacy and Autonomy Rights of Women

First and foremost, for reasons of public policy, the Court should not impose a duty of care upon a pregnant woman towards her foetus or subsequently born child. To do so would result in very extensive and unacceptable intrusions into the bodily integrity, privacy and autonomy rights of women. It is true that Canadian tort law presently allows a child born alive and viable to sue a third-party for injuries which were negligently inflicted while in utero: *Montreal Tramways*, *supra*. However, of fundamental importance to the public policy analysis is the particularly unique relationship that exists between a pregnant woman and the foetus she carries.

(A) OVERVIEW

Pregnancy represents not only the hope of future generations but also the continuation of the species. It is difficult to imagine a human condition that is more important to society. From the dawn of history, the pregnant woman has represented fertility and hope. Biology decrees that it is only women who can bear children. Usually, a pregnant woman does all that is possible to protect the health and well-being of her foetus. On occasion, she may sacrifice her own health and well-being for the benefit of the foetus she carries. Yet it should not be forgotten that the pregnant woman—in addition to being the carrier of the foetus within her—is also an individual whose bodily integrity, privacy and autonomy rights must be protected.

The unique and special relationship between a mother-to-be and her foetus determines the outcome of this appeal. There is no other relationship in the realm of human existence which can serve as a basis for comparison. It is for this reason that there can be no analogy between a child's action for prenatal negligence brought against some third-party tortfeasor, on the one hand, and against his or her mother, on the other. The inseparable unity between an expectant woman and her foetus distinguishes the situation of the mother-to-be from that of a negligent third-party. ...

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... The unique relationship between a pregnant woman and her foetus is so very different from the relationship with third parties. Everything the pregnant woman does or fails to do may have a potentially detrimental impact on her foetus. Everything the pregnant woman eats or drinks, and every physical action she takes, may affect the foetus. Indeed, the foetus is entirely dependent upon its mother-to-be. Although the imposition of tort liability on a third party for prenatal negligence advances the interests of both mother and child, it does not significantly impair the right of third parties to control their own lives. In contrast to the third-party defendant, a pregnant woman's every waking and sleeping moment, in essence, her entire existence, is connected to the foetus she may potentially harm. If a mother were to be held liable for prenatal negligence, this could render the most mundane decision taken in the course of her daily life as a pregnant woman subject to the scrutiny of the courts.

Is she to be liable in tort for failing to regulate her diet to provide the best nutrients for the foetus? Is she to be required to abstain from smoking and all alcoholic beverages? Should she be found liable for failing to abstain from strenuous exercise or unprotected sexual activity to protect her foetus? Must she undertake frequent safety checks of her premises in order to avoid falling and causing injury to the foetus? There is no rational and principled limit to the types of claims which may be brought if such a tortious duty of care were imposed upon pregnant women.

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Whether it be in the household, on the roadways, or in the workplace, the imposition of a duty of care upon a pregnant woman towards her foetus or subsequently born child could render that woman liable in tort, even in situations where her conduct could not possibly affect a third-party. A mother could be held liable in tort for negligent acts or defaults, which occurred while she was pregnant and alone, and which subsequently caused damages to her born alive child. This could include the careless performance of household activities—such as preparing meals, carrying loads of laundry, or shovelling snow—while alone in the home. It could include the negligent operation of any motor vehicle—be it for personal, family or work-related purposes—even if no third-party could possibly be affected. A mother who injured her foetus in a careless fall, or who had an unreasonable lapse of attention in the home, at work or on the roadways, could potentially be held liable in tort for the damages suffered by her born alive child. The imposition of tort liability in those circumstances would significantly undermine the privacy and autonomy rights of women.

It becomes apparent that many potential acts of negligence are inextricably intertwined with the lifestyle choices, the familial roles and the working lives of pregnant women. Women alone bear the burdens of pregnancy. Our society collectively benefits from the remarkably important role played by pregnant women. The imposition by courts of tort liability on mothers for prenatal negligence would restrict a pregnant woman's activities, reduce her autonomy to make decisions concerning her health, and have a negative impact upon her employment opportunities. It would have a profound effect upon every woman, who is pregnant or merely contemplating pregnancy, and upon Canadian society in general. Any imposition of such tort liability should be undertaken, not by the courts, but by the legislature after careful study and debate.

Moreover, the imposition of tort liability in this context would carry psychological and emotional repercussions for a mother who is sued in tort by her new-

born child. To impose tort liability on a mother for an unreasonable lapse of prenatal care could have devastating consequences for the future relationship between the mother and her born alive child. In essence, the judicial recognition of a cause of action for maternal prenatal negligence is an inappropriate response to the pressing social issue of caring for children with special needs. Putting a mother through the trauma of a public trial to determine whether she was at fault for the injury suffered by her child can only add emotional and psychological trauma to an already tragic situation.

Such litigation would, in all probability, have detrimental consequences, not only for the relationship between mother and child, but also for the relationship between the child and his or her family. Yet, family harmony will be particularly important for the creation of a caring and nurturing environment for the injured child, who will undoubtedly require much loving attention. It seems clear that the well-being of such a child cannot be readily severed from the interests of his or her family. In short, neither the best interests of the injured child, nor those of the remainder of the family, would be served by the judicial recognition of the suggested cause of action.

The primary purposes of tort law are to provide compensation to the injured and deterrence to the tortfeasor. In the ordinary course of events, the imposition of tort liability on a mother for prenatal negligence would provide neither compensation nor deterrence. The pressing societal issue at the heart of this appeal is the lack of financial support currently available for the care of children with special needs. The imposition of a legal duty of care on a pregnant woman towards her foetus or subsequently born child will not solve this problem. If anything, attempting to address this social problem in a litigious setting would merely exacerbate the pain and trauma of a tragic situation. It may well be that carefully considered legislation could create a fund to compensate children with prenatally inflicted injuries. Alternatively, amendments to the motor vehicle insurance laws could achieve the same result in a more limited context. If, as a society, Canadians believe that children who sustain damages as a result of maternal prenatal negligence should be financially compensated, then the solution should be formulated, after careful study and debate, by the legislature.

2. Difficulties of Articulating a Judicial Standard of Conduct for Pregnant Women

The infant respondent and certain interveners argued that a legal duty of care should be imposed upon a pregnant woman towards her foetus or born alive child. If such a duty of care is imposed upon pregnant women, then a judicially defined standard of conduct would have to be met. ...

I believe that the courts cannot, and should not, articulate a standard of conduct for pregnant women. To do so raises all of the troubling questions posed by Cunningham J in *Stallman*, supra (at p. 360):

It must be asked. By what judicially defined standard would a mother have her every act or omission while pregnant subjected to State scrutiny? By what objective standard could a jury be guided in determining whether a pregnant woman did all that was necessary in order not to breach a legal duty to not interfere with her fetus' separate and independent right to be born whole? In what way would prejudicial and stereotypical beliefs about the reproductive abilities of women be kept from interfering with a jury's determination of whether a particular woman was negligent at any point during her pregnancy?

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(A) REASONABLE PREGNANT WOMAN STANDARD

Linked to the unpredictable impact on the privacy and autonomy rights of women, lies the difficult, perhaps impossible, task of judicially defining a standard of conduct for pregnant women. An intervener argued that a mother-to-be should be held liable for all negligent behaviour causing damages to her foetus, which would be determined in accordance with a "reasonable pregnant woman" standard. An intervener submitted that, once aware of the pregnancy, a woman should be required to conform to the standard of behaviour of a "reasonably prudent expectant mother conducting herself under similar circumstances." ...

In my view, this standard is inappropriate. It raises the spectre of judicial scrutiny and potential liability imposed for "lifestyle choices." ... For instance, it would be open to the trier of fact to determine that a "reasonable pregnant woman," who knows or has reason to know of her condition, should not smoke cigarettes or drink alcohol. Decisions involving the standard of care in tort law focus upon generally accepted norms, rather than on the individual woman. This objective standard would permit triers of fact to dictate, according to their own notions of proper conduct, the manner in which an expectant woman should behave throughout her pregnancy. Accordingly, a pregnant woman whose lifestyle conduct was under judicial scrutiny would not benefit from a truly individual standard, which takes into account her personal situation and acknowledges her autonomy.

The importance of an individual standard of assessment is emphasized by the great disparities which exist in the financial situations, education, access to health services and ethnic backgrounds of pregnant women. These disparities would inevitably lead to an unfair application of a uniform legal standard concerned with the reasonable pregnant woman. In this regard, Cunningham J noted in *Stallman*, supra, at p. 360:

Pregnancy does not come only to those women who have within their means all that is necessary to effectuate the best possible prenatal environment: any female of child-bearing age may become pregnant. Within this pool of potential defendants are representatives of all socio-economic backgrounds: the well-educated and the ignorant; the rich and the poor; those women who have access to good health care and good prenatal care and those who, for an infinite number of reasons, have not had access to any health care services.

Tort law is concerned with the application of objective standards of reasonable behaviour to impugned conduct. It cannot adequately address the profound public policy implications raised by this appeal. ...

(B) LIFESTYLE CHOICES PECULIAR TO PARENTHOOD

On behalf of the infant respondent, it was argued that these policy considerations, although admittedly profound, are not raised in this appeal. Rather, it was submitted that this case is only concerned with whether a mother may be liable to her born alive child for her prenatal negligence in the operation of a motor vehicle. This position was adopted by the New Brunswick Court of Appeal. Hoyt CJNB held that, because a pregnant woman who is driving owes a general duty of care to members of the public, she must owe that same duty to her subsequently born child. However, he went on to hold that, if the activity in question is "peculiar to parenthood" or involves a "lifestyle choice," then a child born alive with injuries cannot commence an action in negligence against his or her mother. A similar dividing line is described by Professor Fleming, supra, at p. 168:

More complex is the question of whether a child should have a claim for prenatal injury against a parent. A distinction is in order between the general duty to avoid injury which the defendant owes to all others and those peculiar to parenthood. An instance of the former is the duty to drive carefully, which even the mother at the wheel owes to her foetus. On the other hand, there is strong aversion against inquisition into alleged parental indiscretions during pregnancy, like excessive smoking, drinking or taking drugs.

Thus, Professor Fleming describes the immunity from tort liability in this context as relating to all those activities which are “peculiar to parenthood”; that is to say, those activities that relate uniquely to parenting.

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The Court of Appeal also referred to a “general duty of care” in articulating its test for material tort liability. With respect, there can be no such duty owed to the public at large. As a matter of tort law, a duty of care must always be owed by one person to another. Negligence cannot exist in the abstract. There must be a specific duty owed to a foreseeable plaintiff, which is breached, in order for negligence to arise. A “general duty of care” does not exist. Accordingly, it cannot be used as a legal test for the imposition of tort liability in cases of prenatal negligence. Even if it were possible to identify readily those activities in which a woman owes a “general duty of care,” this would not limit the extent of external scrutiny and control over a pregnant woman’s daily life. To rely on the “general duty of care” distinction, in order to hold that this appeal does not raise important issues of social policy, is bound to introduce a significant element of uncertainty into tort law.

Moreover, it is clear that the duty of care imposed by the Court of Appeal is by no means narrow. It would impose tort liability on mothers for prenatal negligence in all situations in which a “general duty of care” is owed to third parties. The distinction between lifestyle choices and a so-called “general duty of care” involves a standard which can be readily applied to many areas of a pregnant woman’s behaviour, most of which are not protected by insurance. The potential breadth of maternal tort liability under this test was recognized by Professor Ian R. Kerr in “Pre-Natal Fictions and Post-Partum Actions” (1998), 20 *Dal. LJ* 237, at pp. 270-71:

[E]mploying the distinction between duties owed to the general public and those peculiar to parenthood does not assist the Court in narrowing the issue in *Dobson*. In fact, it has the very opposite effect. The rule that the Court of Appeal has derived from Fleming’s distinction is that duties owed by a pregnant woman to the general public are owed to her unborn child as well. The consequence of this rule, which seems to have gone completely unnoticed by the Court, is that it will allow a child’s litigation guardian to commence actions for pre-natal injuries resulting from innumerable sorts of lifestyle choices that a pregnant woman might embrace. These would include activities such as rollerblading, shopping in a crowded mall, spraying weedkiller on her crops, sailing, lighting fireworks for her children on Canada day, or any other activity where there is risk of harm to the general public. There is nothing unique or narrow about the act of driving a car. It is just as much a lifestyle choice as any of the other activities just mentioned. ...

In essence, a rule of tort law attempting to distinguish between acts of a mother-to-be involving privacy interests and those constituting common torts would of necessity result in arbitrary line-drawing and inconsistent verdicts. Simply to state that a “general duty of care” will not apply to “lifestyle choices” is to leave open the possibility that many actions taken by pregnant women will not be considered lifestyle choices for the purposes of litigation. Is drug use, if prescribed by a physician, a

lifestyle choice? Is a hazardous work environment a lifestyle choice? Indeed, is it not arguable that driving while pregnant, for the benefit and welfare of the family, constitutes a lifestyle choice?

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(D) INSURANCE-DEPENDENT RATIONALE

Clearly, the judicial creation of a motor vehicle exception would be predicated, in large part, on the existence of a mandatory insurance regime for automobile negligence. ...

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An insurance-driven judicial solution to the issue raised in this appeal imposes liability on a mother on the basis of her ability to satisfy a judgment by means of her insurance coverage. However, tort law is not, and should not be, result-oriented in this manner. ...

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... This Court has consistently held that the existence of insurance is irrelevant to a determination of tortious liability. Accordingly, it would be inappropriate to resolve this appeal on that basis. ...

McLACHLIN J (L'HEUREUX-DUBÉ J concurring): ... I wish merely to add observations about the constitutional values underpinning the autonomy interest of pregnant women and the difficulty with using tort principles to restrict that interest.

In my view, to apply common law liability for negligence generally to pregnant women in relation to the unborn is to trench unacceptably on the liberty and equality interests of pregnant women. The common law must reflect the values enshrined in the *Canadian Charter of Rights and Freedoms*. Liability for foetal injury by pregnant women would run contrary to two of the most fundamental of these values—liberty and equality.

I turn first to liberty. Virtually every action of a pregnant woman—down to how much sleep she gets, what she eats and drinks, how much she works and where she works—is capable of affecting the health and well-being of her unborn child, and hence carries the potential for legal action against the pregnant woman. Such legal action in turn carries the potential to bring the whole of the pregnant woman's conduct under the scrutiny of the law. This in turn has the potential to jeopardize the pregnant woman's fundamental right to control her body and make decisions in her own interest: *R v. Morgentaler*, [1988] 1 SCR 30, per Wilson J.

The intrusion upon the pregnant woman's autonomy worked by the proposed common law rule would also violate her right to equal treatment. Canadians generally enjoy the full right to decide what they will eat or drink, where they will work and other personal matters. Pregnant women, however, would not enjoy that right. In addition to the usual duties of prudent conduct imposed on all who engage in life's various activities, pregnant women would be subject to a host of additional restrictions. Any other individual can avoid being a tortfeasor by isolating himself or herself from other members of society. The pregnant woman has no such choice. She carries her foetus 24 hours a day, seven days a week.

To say women choose pregnancy is no answer. Pregnancy is essentially related to womanhood. It is an inexorable and essential fact of human history that women and only women become pregnant. Women should not be penalized because it is their sex that bears children: *Brooks v. Canada Safeway*, [1989] 1 SCR 1219. To say that broad legal constraints on the conduct of pregnant women do not constitute unequal treatment because women choose to become pregnant is to reinforce inequality by the fiction of deemed consent and the denial of what it is to be a woman.

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... [The] proposal, adopted by the Court of Appeal—that liability be restricted to situations where the pregnant woman already owes a duty to other people “generally” (in this case, a general duty to “drive carefully”)—violates the precept that a common law duty of care arises from the relationship of the parties before the court, not from the relationship between the defendant and a hypothetical plaintiff. Finally, the variant on the Court of Appeal’s theory adopted by Major J—that the additional duty must be owed to an actual third party—still violates the principle that the duty of care in tort must be founded on the relationship between the actual parties to the dispute before the court, and makes recovery conditional on the serendipitous coincidence that another person stood to be injured by the pregnant woman’s act or omission. I am not persuaded that the common law can be narrowed to achieve the result here sought while staying true to its principles.

The goal of the Court of Appeal and those who advocate liability in this case is modest. They simply want children who are born with injuries sustained before birth due to their mother’s negligence in operating a motor vehicle to be able to recover under the mother’s liability insurance policy. That may be a laudable goal. The difficulty is that in order to achieve this modest goal judicially, they cast themselves on the horns of a dilemma: either they shape the common law in a way that has the potential to render pregnant women liable for a broad range of conduct and unjustifiably trammel liberty and rights to equal treatment; or they accept category-based restrictions antithetical to the common law method. Legislative action, the route chosen in England, can accomplish the limited goal of permitting children like the respondent to access motor vehicle liability insurance without these negative consequences. In these circumstances, the courts should not intervene.

MAJOR J (BASTARACHE J concurring) (dissenting): ... I respectfully disagree with Cory J that sufficient policy concerns have been raised on the facts of this case to negative the child’s right to sue in tort. The appellant Cynthia Dobson was already under a legal obligation to drive carefully. She owed a duty of care to passengers in her car and to other users of the highway, such as John Carter, the other motorist involved in the collision. If her negligent driving caused the collision, she will be liable to John Carter.

In these circumstances, it would be unjustified to hold that the appellant should not be liable to her born alive child on the grounds that such liability would restrict her freedom of action. Her freedom of action in respect of her driving was already restricted by her duty of care to users of the highway. Hence, to acknowledge that the suffering of her born alive child, Ryan Dobson, was within the reasonably foreseeable ambit of the risk created by her negligent driving is hardly a limitation of her freedom of action. The appellant mother would not have had to take any further precautions, additional to those she was already legally obliged to take, in order to avoid liability to her born alive child.

The appellant’s autonomy interests are not in issue. She was not legally free to operate a motor vehicle without due care. She did not have the freedom to drive carelessly. Therefore, it cannot be said that the imposition of a duty of care to her born alive child would restrict her freedom to drive. The respondent child cannot take away from his mother a freedom she did not have.

I respectfully disagree with McLachlin J that the liberty and equality interests of pregnant women are in issue in this appeal. The values enshrined in the *Canadian Charter of Rights and Freedoms* do not grant pregnant women interests of any kind in negligent driving.

On the facts of this case, Ryan Dobson's *prima facie* right to sue in tort arises only on the same grounds and in the same way as that of the driver of the other car. In these circumstances, the appellant's freedom of action is not in issue, and the suggestion that her son's rights ought to be negated so as to protect her freedom of action is misplaced.

Where a pregnant woman already owes a duty of care to a third party in respect of the same behaviour for which her born alive child seeks to find her liable, policy considerations pertinent to the pregnant woman's freedom of action cannot operate so as to negative the child's *prima facie* right to sue. The duty of care imposed on the pregnant woman is not more onerous because of her potential liability to her born alive child.

The presence of a duty of care owed to a third party in respect of the same behaviour for which her born alive child seeks to find her liable precludes a pregnant woman from arguing successfully that her freedom of action would be restricted by the imposition of a duty of care to her born alive child. A grant of immunity from tort liability rooted in policy considerations pertinent to a pregnant woman's freedom of action must necessarily rest on a showing that such freedom of action would be restricted by the imposition of a duty of care to the born alive child. No such showing seems possible where the pregnant woman's freedom of action is already restricted in the very same respect by a duty of care owed to a third party.

I disagree with McLachlin J that this view of the matter violates the principle that the duty of care in tort must be founded on the relationship between the actual parties to the dispute before the court. The point is not that the child's *prima facie* right to sue arising from the first branch of *Kamloops* is conditional on the "serendipitous coincidence" that a third party is owed a duty of care. The point is that, where a duty of care is owed to a third party, the child's *prima facie* right to sue cannot be negated under the second branch of *Kamloops* on policy grounds flowing from the pregnant woman's freedom of action. The point is precisely that where, as here, a pregnant woman's freedom of action is not in issue, nothing in the relationship between the actual parties to the dispute can possibly support the proposition that the imposition of liability to her born alive child would infringe her freedom of action.

But matters are different where the pregnant woman does not owe a third party a duty of care in respect of the behaviour, as, for instance, in her lifestyle choices such as smoking, drinking, and dietary and health-care decisions. That is also true of various other activities that may place the pregnant woman in harm's way. The examples range from an unhealthy work or home environment to activities as extreme as bungy jumping. In such cases, the second branch of the *Kamloops* test may prevent the imposition of a duty of care because her freedom of action is in issue and policy reasons for immunity can be adduced. The distinction is plain and is obscured only by slippery slope and flood-gate types of argument founded in an understandably emotional response to the question.

Assume, for example, that another pregnant woman was a passenger in Cynthia Dobson's car. If, as a result of negligent driving, the other pregnant woman gave birth to an injured child, there is absolutely no doubt that that born alive child would have a right to sue Cynthia Dobson: see *Tramways*, *supra*, and *Duval*, *supra*. In those circumstances, policy reasons flowing from Cynthia Dobson's freedom of action capable of negating Ryan Dobson's right to sue seem impossible to formulate. His mother's freedom of action in respect of her driving was already restricted by the duty of care she owed to, *inter alia*, another born alive child.

The example confirms that no intrusion into a pregnant woman's freedom of action can be demonstrated in cases where a duty of care owed to a third party in

respect of the same behaviour forms part of the factual situation. In such cases, the pregnant woman's freedom of action is not in issue.

This view of the matter has the advantage of providing a bright-line test to distinguish situations in which the pregnant woman's freedom of action is in issue from situations in which her freedom of action is not in issue. A given factual transaction either involves a duty of care to third parties or it does not. These matters are not crystal clear. But the law of tort is well-equipped to distinguish between situations where duties of care are owed and situations where duties of care are not owed. In jurisprudential matters, few lines could be brighter than those situations where a pregnant woman owes to third parties a duty of care in respect of the very same behaviour of which her born alive child complains and situations where she does not owe such duty to third parties.

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The determining question is what social policy can justify the conclusion that, as between the rights of a pregnant woman and those of her born alive child, the rights of the child should yield.

... At issue is the relationship between the rights of a pregnant woman and the rights of her born alive child. A one-sided emphasis on either side of this relationship necessarily misses the subject-matter it is attempting to analyse. Such an emphasis simply begs the question.

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The bare assertion of social policy concerns expressly and unilaterally centred on a pregnant woman's rights are not a sufficient answer to the question whether a pregnant woman's rights should prevail over the equally recognized rights of her born alive child. It is no answer to the plaintiff in this case that unilateral concerns about a pregnant woman's competing rights are sufficient to "negative" a negligent violation of his physical integrity. His rights, too, are at stake.

While the law may grant immunity from liability based on policy reasons, those reasons must be clear and compelling and are conspicuously absent in this case. The removal of the child's cause of action is extreme and it should follow that the policy reasons for doing so should be obvious and persuasive. There was no authority advanced to support the defendant's claim in this case; that is, authority that would negate a pregnant woman's legal responsibility for negligent acts against her born alive child, where the effects of those acts are reasonably foreseeable and where they violate the physical integrity of a legal person. To recall Lamont J's words in *Tramways*, supra, at p. 464, no other plaintiff would "be compelled, without any fault on its part, to go through life carrying the seal of another's fault and bearing a very heavy burden of infirmity and inconvenience without any compensation therefor."

The special relationship between a pregnant woman and her foetus is a biological fact. This biological fact is significant for the mother-defendant. But it is also deeply significant for the born alive child-plaintiff. The legal or social policy implications to be drawn from that biological fact cannot be ascertained in the absence of equal acknowledgment of the rights of the child.

To grant a pregnant woman immunity from the reasonably foreseeable consequences of her acts for her born alive child would create a legal distortion as no other plaintiff carries such a one-sided burden, nor any defendant such an advantage.

Aside from a pregnant woman's autonomy interests, there may be policy considerations flowing from concerns about the appropriateness of intra-familial litigation that may be sufficient to negative any child's right to sue its parents in tort. The considerations, however, must apply to all members of the defined family unit. The conclusion that such concerns only bar tort action brought by born alive children who sustained injuries while still *in utero* is not justified.

As no policy concerns sufficient to negative the child's right to sue arise on the facts of this case, the born alive respondent has the legal capacity to commence a tort action against his appellant mother for prenatal injuries allegedly sustained as a result of her negligent driving.

... [I]t is my opinion that the removal of Ryan Dobson's right to sue in tort for negligent violations of his physical integrity lies within the exclusive purview of the legislature, subject to the limits imposed by the *Canadian Charter of Rights and Freedoms*.

NOTES

1. In *Duval v Seguin*, [1972] 2 OR 686, 26 DLR (3d) 418 (H Ct J), *aff'd* (1974), 1 OR (2d) 482, 40 DLR (3d) 666 (CA), the defendant had negligently injured a pregnant woman in a car accident. The child she was then carrying was now the plaintiff. Fraser J held that the plaintiff could recover damages for injuries sustained while a fetus. The defendant owed a duty of care to the plaintiff because it was foreseeable that some users of the highway were pregnant women and that an unborn child could be injured in an accident. Although unborn when injured, the plaintiff was suing for damages that were suffered since birth and that she would continue to bear. The fact that the damages were separated in time or place from the wrongful act did not bar recovery.

Subsequently, the following provisions of the *Family Law Act*, RSO 1990, c F.3, ss 65-66 were passed:

65. No person is disentitled from bringing an action or other proceeding against another for the reason only that they are parent and child.

66. No person is disentitled from recovering damages in respect of injuries for the reason only that the injuries were incurred before his or her birth.

2. Weinrib & Weinrib, "Constitutional Values and Private Law in Canada" in Friedmann & Barak-Erez, eds, *Human Rights in Private Law* (Oxford: Hart, 2001) 43 at 67, 69-70, make the following comments on *Dobson*:

Transactional equality is the most deeply ingrained and pervasive relational principle of private law. The principle affirms that, since the plaintiff and the defendant have equal status in their relationship, the decision between them cannot be made on the basis of considerations that reflect the normative position of only one of them. If private law reasoning referred only to what was normatively relevant to one of the parties, it would provide no basis for regarding a decision about liability as fair to both of them.

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The [*Dobson*] case dealt with a mother's tort liability to her child for injuries suffered in the womb as a result of a collision caused by her negligent driving when she was pregnant. The Court dismissed the action, on the grounds that any liability attaching to a woman's behaviour during pregnancy for injuries suffered in the womb was incompatible with the woman's right to privacy and autonomy. For the majority, this reasoning was not based on Charter values. A concurring judgment by Justice McLachlin added observations about the constitutional values underpinning the pregnant woman's autonomy interest. Referring to the constitutional decision that struck down the abortion provisions of the Criminal Code, Justice McLachlin pointed out that because legal action against the pregnant woman could place under legal scrutiny the whole of her conduct—her diet, her work habits, her hours of sleep—it could jeopardize her fundamental right to control her own body.

Although the woman's autonomy is relevant in this situation, it is not the whole story. Even if this were a constitutional case, protection of the woman's constitutional right would have to be assessed in the light of allowable limits to it under section 1. Similarly in a private

law case the reasoning must maintain the parties' transactional equality. Whether the woman ought to be liable for her negligence in injuring her child cannot depend entirely on her autonomy right.

The principle of transactional equality excludes two solutions. The first is that the woman be liable for any actions that foreseeably might injure the fetus. Given the physical unity of the fetus and pregnant woman, this would in effect hold the woman completely hostage to the interests of her future child. Considerations unilaterally pertinent to the child would then determine the legal relationship with the pregnant woman. The other excluded solution is the one the Court adopted, that the importance of the woman's autonomy (rightly considered a Charter value by Justice McLachlin) precludes any liability to the child. This solution also makes considerations pertinent only to one of the parties decisive for the whole relationship. The only difference between these two solutions is in the identity of the party that each unilaterally favours. The solutions share a disregard for the transactional equality of the parties. That shared feature should have been fatal to both.

Instead the Court should have worked through the standard tort analysis in a form that was relevant to the physical unity of pregnant woman and fetus. A tort duty to the plaintiff exists if the plaintiff is within the class foreseeably put at risk by the defendant's unreasonable act. Duty is always relative to a class of persons whose potential injury constitutes the reason for thinking of the defendant's act as wrongful. The definition of the class is a normative construct that reflects what it is that renders the defendant's act wrongful. The duty is owed to the plaintiff only inasmuch as the plaintiff is within that class. If that class is such that it can include others beside the fetus *in utero* who is the eventual plaintiff, then there is no reason for the law to treat the plaintiff differently from anyone else who might have been in it. If on the other hand the nature of the class is such that only the fetus could be in it, then the fetus' injury is the result of a risk confined to the physical unity of woman and fetus during the pregnancy. To grant liability on the materialization of such a risk would be inconsistent with the woman's autonomy. The careless driving of the defendant in the *Dobson* case was wrongful because of its potential effect on anyone who might be injured through the automobile's impact. The plaintiff, who was within this class, had as much right to recover in tort as anyone else who might have been within it. On this distinction, a pregnant woman would not be liable to her eventual child for the excessive consumption of alcohol, but she would be liable for injury suffered by the fetus in an accident due to her drunk driving.

3. After *Dobson*, Alberta passed the *Maternal Tort Liability Act*, SA 2005, c M-7.5:

2 This Act applies in respect of the use or operation of an automobile after this Act comes into effect.

3 Sections 4 and 5 establish a limited exception to the immunity that a mother has at common law from actions in tort by her child for injuries suffered by the child on or after the birth as a result of the mother's actions prior to the child's birth.

4 A mother may be liable to her child for injuries suffered by her child on or after birth that were caused by the mother's use or operation of an automobile during her pregnancy if, at the time of the use or operation, the mother was insured under a contract of automobile insurance evidenced by a motor vehicle liability policy.

5(1) A mother's liability under section 4 is limited to the amount of insurance money payable under contracts of automobile insurance indemnifying the mother that the child can recover as a creditor under section 579 of the Insurance Act. ...

What do you think of this treatment of the situation in *Dobson*?

4. Does it matter whether the wrongful act not only occurred before birth but also affected the mother even before the child's conception? In *Renslow v Mennonite Hospital*, 351 NE 2d 870 (Ill CA 1976), the defendant had negligently transfused the wrong type of blood into the future plaintiff's mother while treating her when she had been a teenager, causing her blood

to become sensitized. This had no immediate harmful effect on her and, in fact, she was unaware of it. The condition was not discovered until she was pregnant eight years later, when the danger that it posed to the fetus necessitated inducing premature live birth and an immediate exchange transfusion of all the newborn's blood. The plaintiff successfully sued the defendant for the resulting injuries. A note on the case by Stoll, "Preconception Tort: The Need for a Limitation" (1979) 44 Mo L Rev 143 at 148-50, 152, describes some of the possible consequences of this liability and makes a proposal for dealing with them:

No one argument, nor all of them combined, justifies total nonrecognition of a cause of action for prenatal injuries sustained as a result of negligent conduct which occurred prior to the infant's conception. However, even if it is agreed that, at least in some cases, an infant should be permitted to bring such a lawsuit, there must be some limit upon this right. The need for such a limitation can be illustrated in the following scenarios.

Scenario one—A hospital staff physician negligently administers medication to a young girl. The drug radically alters the girl's chromosome structure, and years later she gives birth to a daughter whose chromosome structure is damaged by the alteration in the mother's chromosomes. This damage is not detected because no outward deformity appears. Several years later, the daughter gives birth to a child suffering from a deformity resulting from the damage to the chromosome structures of the mother and grandmother. It is quite possible, if the holding and reasoning of *Renslow* are followed, that the deformed infant will be able to maintain an action against the hospital which two generations earlier provided the drug to the infant's grandmother.

Scenario two—A fifteen-year-old girl, while crossing a street, is struck by a negligently driven automobile. As a result, the girl sustains multiple fractures of her pelvis. Eight years later, the girl gives birth to an infant. The child sustains prenatal injuries because of a previously undetected malformation in the mother's pelvis. The malformation resulted from the improper healing of the pelvis following the fracture eight years earlier. As the *Renslow* court did not limit the child's cause of action to medical malpractice actions, it would be possible for the injured infant to maintain an action against the driver of the automobile. Thus, the mother could recover for her personal injuries shortly after the accident, and the infant could recover for prenatal injuries several years later. The defendant could be subjected to recurring litigation.

Scenario three—A thirteen-year-old becomes involved in drug abuse. Seven years after stopping the use of drugs, the girl gives birth to an infant with defective internal organs. The defect results from the mother's earlier drug use. Since the early 1960s, a number of states have abrogated the doctrine of parental immunity in certain types of negligence actions. If *Renslow* is followed in such a jurisdiction, the infant could maintain an action against his mother for prenatal injuries sustained as a result of the mother's drug abuse years before the child's conception.

In view of the potential problems illustrated above, it is evident that the *Renslow* type cause of action should be limited in some way. First, recognition of this cause of action without limitation could pose problems, not only in measuring the insurance risk, but also in the possibility of claims by successive generations. Second, recognition of an unlimited cause of action would subject many defendants to the burden of defending stale claims. Although the stale claim problem does not justify denial of the cause of action, it could justify a limitation. Finally, to allow an infant to maintain such an action against his mother or father could result in the danger that the parental immunity doctrine was designed to prevent, i.e., strife between family members and the resultant disruption of domestic tranquility.

Accordingly, a statute is proposed that would expressly restrict this cause of action in terms of both potential defendants and potential plaintiffs. In an attempt to strike a balance between the rights of infants injured before birth due to a negligent act before conception and the public interest in minimizing stale claims and in ensuring that liability is not

expanded too far, a statute is recommended which would provide three specific limitations on preconception tort actions. First, the statute should exclude the natural parents of the infant as possible defendants. This would promote the public interest in preventing the disruption of family harmony that could result from permitting an infant to maintain a *Renslow* type action against his own father or mother. The second limitation would be a bar on all *Renslow* type actions against all other real persons if not commenced within five years from the date of the negligent conduct. This second limit, however, would not apply to actions against members of the medical profession or medical institutions for negligent performance in rendering professional services. This restraint would protect most members of the public from the difficulty of defending stale claims that could arise from *Renslow* type actions, and also would reduce the prospect of recurring litigation. Members of the medical profession, institutions such as hospitals, and corporations might have to face recurring litigation and stale claims. The lack of protection for these categories of defendants admittedly is rather arbitrary. This distinction can be justified on the grounds that these defendants generally are better able to bear the burdens of large recoveries, recurring litigation, and defending stale claims than private individuals, not only because of the relatively greater insurance coverage carried by such defendants, but also for the fact that such defendants can spread these costs (including increased insurance premiums) by increases in the price of products or services. Finally, as to possible plaintiffs, the third facet of this proposed statute would limit recovery to situations where the plaintiff is a member of the first generation to follow the preconception negligent act. It is suggested that in conjunction with this "first generation" limitation, an additional limit be applied barring all *Renslow* type actions for medical malpractice if not commenced within five years from the date of birth. An action for medical malpractice brought by a member of the first generation to follow the negligent act would be barred unless commenced within five years after the date of birth. This would lessen the problems that an institution, such as a hospital, would otherwise face in measuring insurance risks and in being subject to claims from successive generations.

5. In *Dobson*, the Supreme Court of Canada used the two-stage test for duty, first formulated in England, where it was used for a dozen years until the House of Lords abandoned it in 1990. In *Caparo Industries v Dickman*, [1990] 1 All ER 568 at 572 (HL), Lord Bridge of Harwich, in announcing its demise, gave the following account of the two-stage test and its deficiencies:

In determining the existence and scope of the duty of care which one person may owe to another in the infinitely varied circumstances of human relationships there has for long been a tension between two different approaches. Traditionally the law finds the existence of the duty in different specific situations each exhibiting its own particular characteristics. In this way the law has identified a wide variety of duty situations, all falling within the ambit of the tort of negligence, but sufficiently distinct to require separate definition of the essential ingredients by which the existence of the duty is to be recognised. Commenting on the outcome of this traditional approach, Lord Atkin, in his seminal speech in *Donoghue v. Stevenson* [1932] AC 562 at 579-580 observed:

The result is that the Courts have been engaged upon an elaborate classification of duties as they exist in respect of property, whether real or personal, with further divisions as to ownership, occupation or control, and distinctions based on the particular relations of the one side or the other, whether manufacturer, salesman or landlord, customer, tenant, stranger, and so on. In this way it can be ascertained at any time whether the law recognizes a duty, but only where the case can be referred to some particular species which has been examined and classified. And yet the duty which is common to all the cases where liability is established must logically be based upon some element common to the cases where it is found to exist.

It is this last sentence which signifies the introduction of the more modern approach of seeking a single general principle which may be applied in all circumstances to determine the existence of a duty of care. Yet Lord Atkin himself sounds the appropriate note of caution by adding, at p. 580:

To seek a complete logical definition of the general principle is probably to go beyond the function of the judge, for the more general the definition the more likely it is to omit essentials or to introduce non-essentials.

Lord Reid gave a large impetus to the modern approach in *Dorset Yacht Co. Ltd. v. Home Office* [1970] A.C. 1004, 1026-1027, where he said:

In later years there has been a steady trend towards regarding the law of negligence as depending on principle so that, when a new point emerges, one should ask not whether it is covered by authority but whether recognised principles apply to it. *Donoghue v. Stevenson* [1932] A.C. 562 may be regarded as a milestone, and the well known passage in Lord Atkin's speech should I think be regarded as a statement of principle. It is not to be treated as if it were a statutory definition. It will require qualification in new circumstances. But I think that the time has come when we can and should say that it ought to apply unless there is some justification or valid explanation for its exclusion.

The most comprehensive attempt to articulate a single general principle is reached in the well-known passage from the speech of Lord Wilberforce in *Anns v. Merton London Borough* [1977] 2 All ER 492 at 498, [1978] AC 728 at 751-752:

Through the trilogy of cases in this House, *Donoghue v. Stevenson* [1932] AC 562, *Hedley Byrne & Co Ltd v. Heller & Partners Ltd.* [1964] AC 465, and *Home Office v. Dorset Yacht Co Ltd.* [1970] AC 1004, the position has now been reached that in order to establish that a duty of care arises in a particular situation, it is not necessary to bring the facts of that situation within those of previous situations in which a duty of care has been held to exist. Rather the question has to be approached in two stages. First one has to ask whether, as between the alleged wrongdoer and the person who has suffered damage there is a sufficient relationship of proximity or neighbourhood such that, in the reasonable contemplation of the former, carelessness on his part may be likely to cause damage to the latter, in which case a *prima facie* duty of care arises. Secondly, if the first question is answered affirmatively, it is necessary to consider whether there are any considerations which ought to negative, or to reduce or limit the scope of the duty or the class of person to whom it is owed or the damages to which a breach of it may give rise (see the *Dorset Yacht* case [1970] AC 1004 at 1027 per Lord Reid).

But since *Anns's* case a series of decisions of the Privy Council and of your Lordships' House ... have emphasised the inability of any single general principle to provide a practical test which can be applied to every situation to determine whether a duty of care is owed and, if so, what is its scope. ... What emerges is that, in addition to the foreseeability of damage, necessary ingredients in any situation giving rise to a duty of care are that there should exist between the party owing the duty and the party to whom it is owed a relationship characterised by the law as one of "proximity" or "neighbourhood" and that the situation should be one in which the court considers it fair, just and reasonable that the law should impose a duty of a given scope on the one party for the benefit of the other. But it is implicit in the passages referred to that the concepts of proximity and fairness embodied in these additional ingredients are not susceptible of any such precise definition as would be necessary to give them utility as practical tests, but amount in effect to little more than convenient labels to attach to the features of different specific situations which, on a detailed examination of all the circumstances, the law recognises pragmatically as giving rise to a duty of care

of a given scope. Whilst recognising, of course, the importance of the underlying general principles common to the whole field of negligence, I think the law has now moved in the direction of attaching greater significance to the more traditional categorisation of distinct and recognisable situations as guides to the existence, the scope and the limits of the varied duties of care which the law imposes. We must now, I think, recognise the wisdom of the words of Brennan J in the High Court of Australia in *Sutherland Shire Council v. Heyman* (1985) 60 ALR 1 at 43-44, where he said:

It is preferable in my view, that the law should develop novel categories of negligence incrementally and by analogy with established categories, rather than by a massive extension of a *prima facie* duty of care restrained only by indefinable "considerations which ought to negative, or to reduce or limit the scope of the duty or the class of person to whom it is owed."

6. The two-stage test was adopted by the Supreme Court of Canada in *Kamloops v Nielsen*, [1984] 2 SCR 2, 10 DLR (4th) 641, where Wilson J formulated the test as follows (at 10-11 SCR):

[I]n order to decide whether or not a private law duty of care existed, two questions must be asked:

- (1) is there a sufficiently close relationship between the parties (the [defendant] and the person who has suffered the damage) so that, in the reasonable contemplation of the [defendant], carelessness on its part might cause damage to that person? If so,
- (2) are there any considerations which ought to negative or limit (a) the scope of the duty and (b) the class of persons to whom it is owed or (c) the damages to which a breach of it may give rise?

As the *Dobson* case shows, the Supreme Court continued to apply the two-stage test even after it was repudiated by the House of Lords.

7. Weinrib, "Does Tort Law Have a Future?" (2000) 34 Val U L Rev 561 at 566, made the following criticism of the two-stage test used by the Supreme Court of Canada:

The first stage of [the two-stage test] incorporates the traditional language of foreseeability to establish a *prima facie* duty. At this stage the judge attempts to discern "whether, as a matter of simple justice, the defendant may be said to have had an obligation to be mindful of the plaintiff's interests." The second stage allows that *prima facie* duty to be circumscribed or cancelled because of the presence of "policy concerns that are extrinsic to simple justice but that are nevertheless fundamentally important."

The two-stage test has radically altered negligence law in Canada. Negligence analysis no longer consists in scrutinizing the parties' relationship in the light of a coherent series of concepts. ... Instead of examining whether the materialization of the risk created by the defendant is an injustice to the plaintiff, the Court now canvasses a melange of justice and policy considerations. This momentous change has several questionable features.

First, in the final analysis the decisive factor in liability is the importance of the policy considerations relevant to the second stage. These considerations are uncontrolled by the relationship between the parties and indeed may be beyond the court's institutional competence to judge. A plaintiff can therefore be denied compensation on the basis of policy considerations that, while one-sidedly pertinent to the defendant or to persons carrying on a similar activity, have no normative bearing on the position of the plaintiff as the sufferer of an injustice. From the plaintiff's point of view, the denial of recovery, operating (as the Court says) extrinsically to simple justice, amounts to the judicial confiscation of what is rightly due

to the plaintiff in order to subsidize policy objectives unilaterally favourable to the defendant and those similarly situated.

Second, even as policy analysis the second stage is one-sided. It refers only to policy considerations that negative liability, not to those that might confirm liability. Under the Court's formulation, the plaintiff's claim for compensation is entirely constituted by the first stage; the second stage deals only with factors favourable to defendants. For example, a recent case decided that a mother was not liable for the pre-natal injuries that she caused her own child by her negligent driving. Although injury was foreseeable under the first stage, the Court negated liability on policy grounds in order to safeguard the pregnant woman's autonomy and privacy. However, the Court also rejected the suggestion that the existence of a mandatory automobile insurance regime justified liability on policy grounds. Thus, a judicially enunciated policy prevented the victim of negligent driving from gaining access to insurance proceeds whose availability had been legislated. Elsewhere the Court had affirmed that insurance is a policy factor that negatives liability, but apparently it cannot be invoked to support liability.

Third, the relationship between plaintiff and defendant is fragmented not only by the recourse to instrumental policy concerns, but also by the disjunction between the justice and policy considerations of the two stages. This disjunction, in turn, requires judges to balance categorically different considerations, in order to determine whether in a given case the policy considerations are more important than the justice considerations that they can displace. How is this balancing of incommensurables to be done? In effect, the two-stage test puts into circulation two different normative currencies between which no rate of exchange exists.

Fourth, the two-stage test transfigures the notion of foreseeability itself. When considered within the framework of injustice done and suffered, foreseeability is an intrinsically bipolar notion that links the plaintiff's injury to the reason for characterizing the defendant's action as wrongful. Accordingly, foreseeability is internally limited by the scope of the wrongfulness to which it refers. In contrast, under the two-stage test, foreseeability constitutes a "relatively low threshold" for recognizing a *prima facie* duty, which is then extrinsically limited by policy considerations. Any prospective damage counts as being foreseeable under the first stage of the test, without inquiry into why the defendant's action should be characterized as a wrongful infringement of the plaintiff's right. Moreover, although the two-stage test postulates the existence of "a sufficiently close connection between the parties," that connection is not analysed normatively, in terms of the reason for characterizing the defendant's action as a wrong relative to the plaintiff's right. Instead, the connection is pictured in terms of physical images of proximity that are motivated by the spectre of unlimited liability that [the] two-stage test itself has let loose. This broadening of foreseeability is accentuated by its functioning as part of a "test" rather than (as it was for Lord Atkin [in] *Donoghue v. Stevenson*) merely an aspect of the framework for thinking of the relationship between the parties.

In short, the introduction of the two-stage test has transformed Canadian negligence law into an enquiry into one-sided policy factors that are extrinsic to justice between the parties and that are mysteriously balanced against an excessively expansive notion of foreseeability. This enquiry is hardly conducive to the elaboration of coherent and principled justifications for liability.

8. In the wake of such criticism, the Supreme Court of Canada reaffirmed its allegiance to the two-stage test, while adjusting its content, in the next case, *Cooper v Hobart*.

COOPER V HOBART
 2001 SCC 79, [2001] 3 SCR 537

McLACHLIN CJ and MAJOR J (for the court): The present appeal revisits the *Anns* test (from *Anns v. Merton London Borough Council*, [1978] AC 728 (HL)) and, in particular, highlights and hones the role of policy concerns in determining the scope of liability for negligence. The appellant is an investor who alleges that the Registrar of Mortgage Brokers, a statutory regulator, is liable in negligence for failing to oversee the conduct of an investment company which the Registrar licensed. The question is whether the Registrar owes a private law duty of care to members of the investing public giving rise to liability in negligence for economic losses that the investors sustained. Such a duty of care is as yet unrecognized by Canadian courts. For the reasons that follow, we find that this is not a proper case in which to recognize a new duty of care. In the course of these reasons, we attempt to clarify the distinctive policy considerations which impact each stage of the *Anns* analysis.

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IV. ANALYSIS

Canadian courts have not thus far recognized the duty of care that the appellants allege in this case. The question is therefore whether the law of negligence should be extended to reach this situation. While the particular extension sought is novel, the more general issue of how far the principles of liability for negligence should be extended is a familiar one, and one with which this Court and others have repeatedly grappled since Lord Atkin enunciated the negligence principle in *Donoghue v. Stevenson*, [1932] AC 562 (HL), almost 70 years ago. That case introduced the principle that a person could be held liable only for reasonably foreseeable harm. But it also anticipated that not all reasonably foreseeable harm might be caught. This posed the issue with which courts still struggle today: to what situations does the law of negligence extend? This case, like so many of its predecessors, may thus be seen as but a gloss on the case of *Donoghue v. Stevenson*.

In *Donoghue v. Stevenson* the House of Lords revolutionized the common law by replacing the old categories of tort recovery with a single comprehensive principle—the negligence principle. Henceforward, liability would lie for negligence in circumstances where a reasonable person would have viewed the harm as foreseeable. However, foreseeability alone was not enough; there must also be a close and direct relationship of proximity or neighbourhood.

But what is proximity? For the most part, lawyers apply the law of negligence on the basis of categories as to which proximity has been recognized in the past. However, as Lord Atkin declared in *Donoghue v. Stevenson*, the categories of negligence are not closed. Where new cases arise, we must search elsewhere for assistance in determining whether, in addition to disclosing foreseeability, the circumstances disclose sufficient proximity to justify the imposition of liability for negligence.

In *Anns* ... the House of Lords, per Lord Wilberforce, said that a duty of care required a finding of proximity sufficient to create a *prima facie* duty of care, followed by consideration of whether there were any factors negating that duty of care. This Court has repeatedly affirmed that approach as appropriate in the Canadian context.

The importance of *Anns* lies in its recognition that policy considerations play an important role in determining proximity in new situations. Long before *Anns*, courts in Canada and elsewhere had recognized that the decision of how far to extend liability for negligence involved policy considerations. As H. Street put it in *The Law*

of *Torts* (6th ed. 1976), at p. 108, citing a Canadian case, *Nova Mink Ltd. v. Trans-Canada Airlines*, [1951] 2 DLR 241 (NSCA), at pp. 254–55:

[I]t cannot be too strongly stressed that the use of [the] test of foreseeability in order to determine whether there is a duty-relationship between the parties conceals the true judicial process—that test is in fact a conclusion embracing within it, and yet concealing the identity of, the several considerations of policy, and the balancing of interests which have led the court to decide that a duty is owed.

The House of Lords in *Anns* for the first time expressly recognized the policy component in determining the extension of the negligence principle. However, it left doubt on the precise content of the first and second branches of the new formulation of the negligence principle. This gave rise to debate—debate which the submissions in this case revive. Was the first branch concerned with foreseeability only or foreseeability and proximity? If the latter, was there duplication between policy considerations relevant to proximity at the first stage and the second stage of the test?

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We continue in the view, repeatedly expressed by this Court, that the *Anns* two-stage test, properly understood, does not involve duplication because different types of policy considerations are involved at the two stages. In our view, *Anns* continues to provide a useful framework in which to approach the question of whether a duty of care should be imposed in a new situation.

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In brief compass, we suggest that at this stage in the evolution of the law, both in Canada and abroad, the *Anns* analysis is best understood as follows. At the first stage of the *Anns* test, two questions arise: (1) was the harm that occurred the reasonably foreseeable consequence of the defendant's act? and (2) are there reasons, notwithstanding the proximity between the parties established in the first part of this test, that tort liability should not be recognized here? The proximity analysis involved at the first stage of the *Anns* test focuses on factors arising from the relationship between the plaintiff and the defendant. These factors include questions of policy, in the broad sense of that word. If foreseeability and proximity are established at the first stage, a *prima facie* duty of care arises. At the second stage of the *Anns* test, the question still remains whether there are residual policy considerations outside the relationship of the parties that may negative the imposition of a duty of care. It may be ... that such considerations will not often prevail. However, we think it useful expressly to ask, before imposing a new duty of care, whether despite foreseeability and proximity of relationship, there are other policy reasons why the duty should not be imposed.

On the first branch of the *Anns* test, reasonable foreseeability of the harm must be supplemented by proximity. The question is what is meant by proximity. Two things may be said. The first is that “proximity” is generally used in the authorities to characterize the type of relationship in which a duty of care may arise. The second is that sufficiently proximate relationships are identified through the use of categories. The categories are not closed and new categories of negligence may be introduced. But generally, proximity is established by reference to these categories. This provides certainty to the law of negligence, while still permitting it to evolve to meet the needs of new circumstances.

On the first point, it seems clear that the word “proximity” in connection with negligence has from the outset and throughout its history been used to describe the type of relationship in which a duty of care to guard against foreseeable negligence

may be imposed. "Proximity" is the term used to describe the "close and direct" relationship that Lord Atkin described as necessary to grounding a duty of care in *Donoghue v. Stevenson*. ...

As this Court stated in *Hercules Managements Ltd. v. Ernst & Young*, [1997] 2 SCR 165 at para. 24, per La Forest J:

The label "proximity," as it was used by Lord Wilberforce in *Anns*, supra, was clearly intended to connote that the circumstances of the relationship inhering between the plaintiff and the defendant are of *such a nature that the defendant may be said to be under an obligation to be mindful of the plaintiff's legitimate interests in conducting his or her affairs*. [Emphasis added.]

Defining the relationship may involve looking at expectations, representations, reliance, and the property or other interests involved. Essentially, these are factors that allow us to evaluate the closeness of the relationship between the plaintiff and the defendant and to determine whether it is just and fair having regard to that relationship to impose a duty of care in law upon the defendant.

The factors which may satisfy the requirement of proximity are diverse and depend on the circumstances of the case. One searches in vain for a single unifying characteristic. As stated by McLachlin J (as she then was) in *Canadian National Railway Co. v. Norsk Pacific Steamship Co.*, [1992] 1 SCR 1021, at p. 1151: "[p]roximity may be usefully viewed, not so much as a test in itself, but as a broad concept which is capable of subsuming different categories of cases involving different factors" (cited with approval in *Hercules Managements*, supra, at para. 23). Lord Goff made the same point in *Davis v. Radcliffe*, [1990] 2 All ER 536 (PC), at p. 540:

... it is not desirable, at least in the present stage of the development of the law, to attempt to state in broad general propositions the circumstances in which such proximity may or may not be held to exist. On the contrary, following the expression of opinion by Brennan J in *Sutherland Shire Council v. Heyman* (1985) 60 ALR 1 at 43-44, it is considered preferable that "the law should develop categories of negligence incrementally and by analogy with established categories."

What then are the categories in which proximity has been recognized? First, of course, is the situation where the defendant's act foreseeably causes physical harm to the plaintiff or the plaintiff's property. This has been extended to nervous shock (see, for example, *Alcock v. Chief Constable of the South Yorkshire Police*, [1991] 4 All ER 907 (HL)). Yet other categories are liability for negligent misstatement: *Hedley Byrne & Co. v. Heller & Partners Ltd.*, [1963] 2 All ER 575 (HL), and misfeasance in public office. A duty to warn of the risk of danger has been recognized: *Rivtow Marine Ltd. v. Washington Iron Works*, [1974] SCR 1189. Again, a municipality has been held to owe a duty to prospective purchasers of real estate to inspect housing developments without negligence: *Anns*, supra; *Kamloops*, supra. Similarly, governmental authorities who have undertaken a policy of road maintenance have been held to owe a duty of care to execute the maintenance in a non-negligent manner: *Just v. British Columbia*, [1989] 2 SCR 1228, *Swinamer v. Nova Scotia (Attorney General)*, [1994] 1 SCR 445, etc. Relational economic loss (related to a contract's performance) may give rise to a tort duty of care in certain situations, as where the claimant has a possessory or proprietary interest in the property, the general average cases, and cases where the relationship between the claimant and the property owner constitutes a joint venture: *Norsk*, supra; *Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd.*, [1997] 3 SCR 1210. When a case falls within one of these situations or an analogous one and reasonable foreseeability is established, a *prima facie* duty of care may be posited.

This brings us to the second stage of the *Anns* test. As the majority of this Court held in *Norsk*, at p. 1155, residual policy considerations fall to be considered here. These are not concerned with the relationship between the parties, but with the effect of recognizing a duty of care on other legal obligations, the legal system and society more generally. Does the law already provide a remedy? Would recognition of the duty of care create the spectre of unlimited liability to an unlimited class? Are there other reasons of broad policy that suggest that the duty of care should not be recognized? Following this approach, this Court declined to find liability in *Hercules Managements*, supra, on the ground that to recognize a duty of care would raise the spectre of liability to an indeterminate class of people.

It is at this second stage of the analysis that the distinction between government policy and execution of policy falls to be considered. It is established that government actors are not liable in negligence for policy decisions, but only operational decisions. The basis of this immunity is that policy is the prerogative of the elected Legislature. It is inappropriate for courts to impose liability for the consequences of a particular policy decision. On the other hand, a government actor may be liable in negligence for the manner in which it executes or carries out the policy. In our view, the exclusion of liability for policy decisions is properly regarded as an application of the second stage of the *Anns* test. The exclusion does not relate to the relationship between the parties. Apart from the legal characterization of the government duty as a matter of policy, plaintiffs can and do recover. The exclusion of liability is better viewed as an immunity imposed because of considerations outside the relationship for policy reasons—more precisely, because it is inappropriate for courts to second-guess elected legislators on policy matters. Similar considerations may arise where the decision in question is quasi-judicial (see *Edwards v. Law Society of Upper Canada*, 2001 SCC 80).

The second step of *Anns* generally arises only in cases where the duty of care asserted does not fall within a recognized category of recovery. Where it does, we may be satisfied that there are no overriding policy considerations that would negative the duty of care. In this sense ... the second stage of *Anns* will seldom arise and ... questions of liability will be determined primarily by reference to established and analogous categories of recovery. However, where a duty of care in a novel situation is alleged, as here, we believe it necessary to consider both steps of the *Anns* test as discussed above. This ensures that before a duty of care is imposed in a new situation, not only are foreseeability and relational proximity present, but there are no broader considerations that would make imposition of a duty of care unwise.

V. APPLICATION OF THE TEST

The appellants submit that the Registrar of Mortgage Brokers owed them, as investors with a firm falling under the Registrar's administrative mandate, a duty of care giving rise to liability for negligence and damages for losses that they sustained. The investors allege that the Registrar should have acted earlier to suspend Eron or warn them of Eron's breaches of the Act's requirements, and that their losses are traceable to the Registrar's failure to act more promptly.

The first question is whether the circumstances disclose reasonably foreseeable harm and proximity sufficient to establish a *prima facie* duty of care. The first inquiry at this stage is whether the case falls within or is analogous to a category of cases in which a duty of care has previously been recognized. The answer to this question is no.

The next question is whether this is a situation in which a new duty of care should be recognized. It may be that the investors can show that it was reasonably foresee-

able that the alleged negligence in failing to suspend Eron or issue warnings might result in financial loss to the plaintiffs. However, as discussed, mere foreseeability is not enough to establish a *prima facie* duty of care. The plaintiffs must also show proximity—that the Registrar was in a close and direct relationship to them making it just to impose a duty of care upon him toward the plaintiffs. In addition to showing foreseeability, the plaintiffs must point to factors arising from the circumstances of the relationship that impose a duty.

In this case, the factors giving rise to proximity, if they exist, must arise from the statute under which the Registrar is appointed. That statute is the only source of his duties, private or public. Apart from that statute, he is in no different position than the ordinary man or woman on the street. If a duty to investors with regulated mortgage brokers is to be found, it must be in the statute.

In this case, the statute does not impose a duty of care on the Registrar to investors with mortgage brokers regulated by the Act. The Registrar's duty is rather to the public as a whole. Indeed, a duty to individual investors would potentially conflict with the Registrar's overarching duty to the public.

[After reviewing the statute, the court continued:]

The regulatory scheme governing mortgage brokers provides a general framework to ensure the efficient operation of the mortgage marketplace. The Registrar must balance a myriad of competing interests, ensuring that the public has access to capital through mortgage financing while at the same time instilling public confidence in the system by determining who is "suitable" and whose proposed registration as a broker is "not objectionable." All of the powers or tools conferred by the Act on the Registrar are necessary to undertake this delicate balancing. Even though to some degree the provisions of the Act serve to protect the interests of investors, the overall scheme of the Act mandates that the Registrar's duty of care is not owed to investors exclusively but to the public as a whole.

... Even though the Registrar might reasonably have foreseen that losses to investors in Eron would result if he was careless in carrying out his duties under the Act, there was insufficient proximity between the Registrar and the investors to ground a *prima facie* duty of care. The statute cannot be construed to impose a duty of care on the Registrar specific to investments with mortgage brokers. Such a duty would no doubt come at the expense of other important interests, of efficiency and finally at the expense of public confidence in the system as a whole.

Having found no proximity sufficient to found a duty of care owed by the Registrar to the investors, we need not proceed to the second branch of the *Anns* test and the question of whether there exist policy considerations apart from those considered in determining a relationship of proximity, which would negative a *prima facie* duty of care, had one been found. However, the matter having been fully argued, it may be useful to comment on those submissions.

In our view, even if a *prima facie* duty of care had been established under the first branch of the *Anns* test, it would have been negated at the second stage for overriding policy reasons. The decision of whether to suspend a broker involves both policy and quasi-judicial elements. The decision requires the Registrar to balance the public and private interests. The Registrar is not simply carrying out a pre-determined government policy, but deciding, as an agent of the executive branch of government, what that policy should be. Moreover, the decision is quasi-judicial. The Registrar must act fairly or judicially in removing a broker's licence. These requirements are inconsistent with a duty of care to investors. Such a duty would undermine these obligations, imposed by the Legislature on the Registrar. Thus even if a *prima facie* duty of care could be posited, it would be negated by other overriding policy considerations.

The *prima facie* duty of care is also negated on the basis of the distinction between government policy and the execution of policy. As stated, the Registrar must make difficult discretionary decisions in the area of public policy, decisions which command deference. As Huddart JA (concurring in the result) found, the decisions made by the Registrar were made within the limits of the powers conferred upon him in the public interest.

Further, the spectre of indeterminate liability would loom large if a duty of care was recognized as between the Registrar and investors in this case. The Act itself imposes no limit and the Registrar has no means of controlling the number of investors or the amount of money invested in the mortgage brokerage system.

Finally, we must consider the impact of a duty of care on the taxpayers, who did not agree to assume the risk of private loss to persons in the situation of the investors. To impose a duty of care in these circumstances would be to effectively create an insurance scheme for investors at great cost to the taxpaying public. There is no indication that the Legislature intended that result.

NOTES AND QUESTIONS

1. The Supreme Court insists that the role of policy in the two-stage test “does not involve duplication because different types of policy considerations are involved at the two stages.” In *Cooper*, were the policy considerations adduced as relevant to the second stage in fact different in kind from those relevant to the first stage? If they were not, to which stage do they “really” belong?

2. In formulating the “neighbour principle” in *Donoghue v Stevenson* in 1932, Lord Atkin observed that “in English law there is, and must be, some general conception of relations giving rise to a duty of care of which the particular cases found in the books are but instances.” Lord Atkin’s judgment is now accepted as the beginning of the modern law of negligence, but the fate of his idea of a general conception of duty is much less clear. Do you think that the judges of the Supreme Court of Canada subscribe to this notion? Does it matter whether they do?

3. The issue of a general conception of duty (as opposed to a miscellany of particular duties) and the role that proximity might play in supporting or negating such a conception has been much debated in Australia. The great champion of the general conception was Deane J, who elucidated it as follows in *Stevens v Brodribb Sawmilling Co* (1986), 160 CLR 16 at 51 (AHC):

Where a duty of care exists under the common law of negligence, it requires the taking of reasonable care to avoid a reasonably foreseeable and real risk of injury. That being so, a relevant duty of care will have existed in a particular case only if there was reasonable foreseeability of a real risk that injury of the kind sustained would be sustained by a member or members of a class which included the particular plaintiff. If the common law duty of care were an unqualified one owed to the world at large, reasonable foreseeability of injury of the kind sustained by a plaintiff would be the sole determinant of the existence of a relevant duty of care: it would be both a sufficient and the exclusive criterion of whether a particular defendant owed a relevant duty of care to a particular plaintiff. It is, however, plain that that is not, and has never been, the common law. Some effective additional limit or “control mechanism” must be recognized as applying to at least some categories of case. ... The overriding control which [Lord Atkin] recognized was that the duty was owed only to a “neighbour” in the sense of a person who was, for relevant purposes, in a relationship of proximity. ...

The notion of such a general and distinct requirement has been subjected to criticism by some eminent authorities. ... It must be acknowledged that such criticism would have undoubted force if the requirement of proximity of relationship had been propounded as

some rigid formula which could be automatically applied as part of the syllogism of formal logic to determine whether a duty of care arises under the common law of negligence in a particular category of case. The “general conception” of proximity of relationship was, however, neither propounded by Lord Atkin nor accepted in judgments in this court in that sense. Its acceptance involved neither question-begging nor the introduction of undesirable uncertainty into the common law. To the contrary, it flowed from the perception of a consistent jurisprudence of common law negligence in which the notion of proximity can be discerned as a unifying theme explaining why a duty to take reasonable care to avoid a reasonably foreseeable risk of injury has been recognized as arising in particular categories of case and assisting in the determination, by the ordinary legal processes of analogy, induction and deduction, of the question whether the common law should adjudge that such a duty of care is owed in a new category of case. In that regard, recognition of the requirement of proximity as a general prerequisite of a duty of care neither precludes nor dispenses with the need, in the interests of certainty, for particular rules or tests for determining whether the requirement is satisfied in the circumstances of a particular category of case. ... Indeed, once one accepts—as I think one must—that, under the law of this country, reasonable foreseeability of injury is not of itself a sufficient determinant of the existence of a duty of care in all categories of case, there would seem to be but two alternatives to acceptance of Lord Atkin’s overriding requirement of neighbourhood or proximity. The first alternative is to distort the notion of reasonable foreseeability so as to exclude, in some categories of case, injury to another which is obviously foreseeable by “every one of ordinary sense.” The second is to reduce the common law of negligence to a miscellany of disparate and largely unrelated rules under which a duty to take reasonable care to avoid a reasonably foreseeable risk of injury may or may not arise. ... I find both equally unacceptable.

I have [in previous cases] endeavoured to explain what I see as the essential content of the requirement of neighbourhood or proximity which Lord Atkin formulated as an overriding control of the test of reasonable foreseeability. ... In my view, that requirement remains the general conceptual determinant and the unifying theme of the categories of case in which the common law of negligence recognizes the existence of a duty to take reasonable care to avoid a reasonably foreseeable risk of injury to another. In Lord Atkin’s own words, it is the “general conception of relations giving rise to a duty of care, of which the particular cases found in the books are but instances.” ... As such, that requirement of proximity of relationship sustains the underlying unity of principle and lack of chaos in the common law of negligence of this country.

4. Deane J’s views were repudiated by Dawson J in *Hill v Van Erp* (1997), 188 CLR 159 at 177 (Austl HC):

The notion of proximity was advanced by Deane J to describe in general terms the element in a relationship which would give rise to a duty of care where mere foreseeability of harm was insufficient for that purpose and to provide a unifying conceptual determinant to assist in ascertaining what the content of that element was in any given category of case. Perhaps the attempt was an ambitious one, because the assumption would seem to be that there is a common element in each such relationship and that it can adequately be described as proximity. In *Jaensch v Coffey* Deane J suggested that the concept “involves the notion of nearness or closeness,” but the features of a relationship which gives rise to a duty of care do not always answer the description of nearness or closeness. Likewise, some relationships which would as a matter of language be thought proximate nevertheless do not constitute relationships of proximity. That is because, as Deane J recognised in *Jaensch v Coffey*, the identification of the particular requirements of proximity in developing areas of the law is not divorced from the considerations of public policy which underlie and enlighten the concept. But if considerations of policy underlie and enlighten the concept of proximity, and if nearness and closeness are neither sufficient nor necessary to establish a relationship of proximity

in all cases, then it cannot be said that any unifying common element has emerged which can adequately be described as proximity. ... Deane J went too far in *Stevens v Brodribb Sawmilling Co Pty Ltd* when he said that “the notion of proximity can be discerned as a unifying theme explaining why a duty to take reasonable care to avoid a reasonably foreseeable risk of injury has been recognised as arising in particular categories of case.”

To the extent that the joint judgment in *Burnie Port Authority v General Jones Pty Ltd*, to which I was subsequently a party, proceeds along similar lines, it would seem to go too far. I have in mind in particular the statement that without proximity as a “general conceptual determinant and the unifying theme” of the categories of case in which a duty of care arises, the tort of negligence would be reduced to a miscellany of disparate categories among which reasoning by the legal processes of induction and deduction would rest on questionable foundations since the validity of such reasoning essentially depends upon the assumption of underlying unity or consistency.

Reasoning by analogy from decided cases by the processes of induction and deduction, informed by rather than divorced from policy considerations, is not, in my view, dependent for its validity on those cases sharing an underlying conceptual consistency. It is really only dependent upon the fact that something more than reasonable foreseeability is required to establish a duty of care and that what is sufficient or necessary in one case is a guide to what is sufficient or necessary in another.

Nevertheless ... I retain the view ... that the requirement of proximity is at least a useful means of expressing the proposition that in the law of negligence reasonable foreseeability of harm may not be enough to establish a duty of care. Something more is required and it is described as proximity. Proximity in that sense expresses the result of a process of reasoning rather than the process itself, but it remains a useful term because it signifies that the process of reasoning must be undertaken. But to hope that proximity can describe a common element underlying all those categories of case in which a duty of care is recognised is to expect more of the term than it can provide.

HILL V HAMILTON-WENTWORTH SERVICES BOARD

[2007] 3 SCR 129

McLACHLIN CJ (BINNIE, LeBEL, DESCHAMPS, FISH and ABELLA JJ concurring):

I. INTRODUCTION

1 The police must investigate crime. That is their duty. In the vast majority of cases, they carry out this duty with diligence and care. Occasionally, however, mistakes are made. These mistakes may have drastic consequences. An innocent suspect may be investigated, arrested and imprisoned because of negligence in the course of a police investigation. This is what Jason George Hill, appellant in the case at bar, alleges happened to him.

2 Can the police be held liable if their conduct during the course of an investigation falls below an acceptable standard and harm to a suspect results? If so, what standard should be used to assess the conduct of the police? More generally, is police conduct during the course of an investigation or arrest subject to scrutiny under the law of negligence at all, or should police be immune on public policy grounds from liability under the law of negligence? These are the questions at stake on this appeal.

3 I conclude that police are not immune from liability under the Canadian law of negligence, that the police owe a duty of care in negligence to suspects being investigated, and that their conduct during the course of an investigation should be

measured against the standard of how a reasonable officer in like circumstances would have acted. The tort of negligent investigation exists in Canada, and the trial court and Court of Appeal were correct to consider the appellant's action on this basis. The law of negligence does not demand a perfect investigation. It requires only that police conducting an investigation act reasonably. When police fail to meet the standard of reasonableness, they may be accountable through negligence law for harm resulting to a suspect.

II. FACTS ...

4 This case arises out of an unfortunate series of events which resulted in an innocent person being investigated by the police, arrested, tried, wrongfully convicted, and ultimately acquitted after spending more than 20 months in jail for a crime he did not commit.

5 Ten robberies occurred in Hamilton between December 16, 1994 and January 23, 1995. The *modus operandi* in all of the robberies seemed essentially the same. Eyewitnesses provided similar descriptions of the suspect. The police, relying on similarities in the *modus operandi* and eyewitness descriptions, concluded early on in the investigation that the same person had committed all the robberies, and labelled the perpetrator "the plastic bag robber."

6 The appellant, Jason George Hill, became a suspect in the course of the investigation of the "plastic bag" robberies. The police investigated. They released his photo to the media, and conducted a photo lineup consisting of the aboriginal suspect Hill and 11 similar-looking Caucasian foils. On January 27, 1995, the police arrested Hill and charged him with 10 counts of robbery. The evidence against him at that point included: a Crime Stoppers tip; identification by a police officer based on a surveillance photo; several eyewitness identifications (some tentative, others more solid); a potential sighting of Hill near the site of a robbery by a police officer; eyewitness evidence that the robber appeared to be aboriginal (which Hill was); and the belief of the police that a single person committed all 10 robberies.

7 At the time of the arrest, the police were in possession of potentially exculpatory evidence, namely, an anonymous Crime Stoppers tip received on January 25, 1995 suggesting that two Hispanic men ("Frank" and "Pedro") were the perpetrators. As time passed, other exculpatory evidence surfaced. Two similar robberies occurred while Hill was in custody. The descriptions of the robber and the *modus operandi* were similar to the original robberies, except for the presence of a threat of a gun in the last two robberies. The police received a second Crime Stoppers tip implicating "Frank," which indicated that "Frank" looked similar to Jason George Hill and that "Frank" was laughing because Hill was being held responsible for robberies that Frank had committed. The police detective investigating the last two robberies received information from another officer that a Frank Sotomayer could be the robber. He proceeded to gather evidence and information which tended to inculcate Sotomayer—that Sotomayer and Hill looked very much alike, that there was evidence tending to corroborate the credibility of the Crime Stoppers tip implicating "Frank," and that photos from the first robberies seemed to look more like Sotomayer than Hill. Information from this investigation of the later robberies was conveyed to the detective supervising the investigation of the earlier robberies (Detective Loft).

[Eventually all charges were withdrawn except in the one case in which two eyewitnesses, the bank tellers, remained steadfast in their identifications of Hill. After undergoing two trials on this charge, he was acquitted on December 20, 1999.]

13 Hill alleges that the police investigation was negligent in a number of ways. He attacks the identifications by the two bank tellers on the ground that they were interviewed together (not separately, as non-mandatory guidelines suggested), with a newspaper photo identifying Hill as the suspect on their desks, and particularly objects to the methods used to interview witnesses and administer a photo lineup. He also alleged that the police failed to adequately reinvestigate the robberies when new evidence emerged that cast doubt on his initial arrest.

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III. ANALYSIS

THE TORT OF NEGLIGENT INVESTIGATION

1. Duty of Care

19 The issue at this stage is whether the law recognizes a duty of care on an investigating police officer to a suspect in the course of investigation. This matter is not settled in Canada. Lower courts have divided and this Court has never considered the matter. We must therefore ask whether, as a matter of principle, a duty of care should be recognized in this situation.

[McLachlin CJ then reviewed the two-stage test for duty and the elements of foreseeability and proximity under the first stage.]

29 The most basic factor upon which the proximity analysis fixes is whether there is a relationship between the alleged wrongdoer and the victim, usually described by the words "close and direct." This factor is not concerned with how intimate the plaintiff and defendant were or with their physical proximity, so much as with whether the *actions* of the alleged wrongdoer have a close or direct effect on the victim, such that the wrongdoer ought to have had the victim in mind as a person potentially harmed. ...

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32 ... [W]e are concerned with the relationship between an investigating police officer and a suspect. The requirement of reasonable foreseeability is clearly made out and poses no barrier to finding a duty of care; clearly negligent police investigation of a suspect may cause harm to the suspect.

33 Other factors relating to the relationship suggest sufficient proximity to support a cause of action. The relationship between the police and a suspect identified for investigation is personal, and is close and direct. We are not concerned with the universe of all potential suspects. The police had identified Hill as a particularized suspect at the relevant time and begun to investigate him. This created a close and direct relationship between the police and Hill. He was no longer merely one person in a pool of potential suspects. He had been singled out. The relationship is thus closer than in *Cooper* and *Edwards*. In those cases, the public officials were not acting in relation to the claimant (as the police did here) but in relation to a third party (i.e. persons being regulated) who, at a further remove, interacted with the claimants.

34 A final consideration bearing on the relationship is the interests it engages. In this case, personal representations and consequent reliance are absent. However, the targeted suspect has a critical personal interest in the conduct of the investigation. At stake are his freedom, his reputation and how he may spend a good portion of his life. These high interests support a finding of a proximate relationship giving rise to a duty of care.

35 On this point, I note that the existing remedies for wrongful prosecution and conviction are incomplete and may leave a victim of negligent police investigation without legal recourse. The torts of false arrest, false imprisonment and malicious prosecution do not provide an adequate remedy for negligent acts. Government compensation schemes possess their own limits, both in terms of eligibility and amount of compensation. As the Court of Appeal pointed out, an important category of police conduct with the potential to seriously affect the lives of suspects will go unremedied if a duty of care is not recognized. This category includes “very poor performance of important police duties” and other “non-malicious category of police misconduct” (paras. 77-78). To deny a remedy in tort is, quite literally, to deny justice. This supports recognition of the tort of negligent police investigation, in order to complete the arsenal of already existing common law and statutory remedies.

36 The personal interest of the suspect in the conduct of the investigation is enhanced by a public interest. Recognizing an action for negligent police investigation may assist in responding to failures of the justice system, such as wrongful convictions or institutional racism. The unfortunate reality is that negligent policing has now been recognized as a significant contributing factor to wrongful convictions in Canada. While the vast majority of police officers perform their duties carefully and reasonably, the record shows that wrongful convictions traceable to faulty police investigations occur. Even one wrongful conviction is too many, and Canada has had more than one. Police conduct that is not malicious, not deliberate, but merely fails to comply with standards of reasonableness can be a significant cause of wrongful convictions. ...

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38 Finally, it is worth noting that a duty of care by police officers to suspects under investigation is consistent with the values and spirit underlying the *Charter*, with its emphasis on liberty and fair process. The tort duty asserted here would enhance those values, which supports the appropriateness of its recognition.

39 These considerations lead me to conclude that an investigating police officer and a particular suspect are close and proximate such that a *prima facie* duty should be recognized. Viewed from the broader societal perspective, suspects may reasonably be expected to rely on the police to conduct their investigation in a competent, non-negligent manner. ...

40 It is argued that recognition of liability for negligent investigation would produce a conflict between the duty of care that a police officer owes to a suspect and the police's officer duty to the public to prevent crime, that negates the duty of care. I do not agree. ...

41 ... [T]he argument that a duty to take reasonable care toward suspects conflicts with an overarching duty to investigate crime is tenuous. The officer's duty to the public is not to investigate in an unconstrained manner. It is a duty to investigate in accordance with the law. That law includes many elements. It includes the restrictions imposed by the *Charter* and the *Criminal Code*, R.S.C. 1985, c. C-46. Equally, it may include tort law. The duty of investigation in accordance with the law does not conflict with the presumed duty to take reasonable care toward the suspect. Indeed, the suspect is a member of the public. As such, the suspect shares the public's interest in diligent investigation in accordance with the law.

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44 In a variant on this argument, it is submitted that in a world of limited resources, recognizing a duty of care on police investigating crimes to a suspect will require the police to choose between spending resources on investigating crime in the public interest and spending resources in a manner that an individual suspect

might conceivably prefer. The answer to this argument is that the standard of care is based on what a reasonable police officer would do in similar circumstances. The fact that funds are not unlimited is one of the circumstances that must be considered. Another circumstance that must be considered, however, is that the effective and responsible investigation of crime is one of the basic duties of the state, which cannot be abdicated. A standard of care that takes these two considerations into account will recognize what can reasonably be accomplished within a responsible and realistic financial framework.

45 I conclude that the relationship between a police officer and a particular suspect is close enough to support a *prima facie* duty of care.

(B) POLICY CONSIDERATIONS NEGATING THE PRIMA FACIE DUTY OF CARE

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47 In this case, negating conditions have not been established. No compelling reason has been advanced for negating a duty of care owed by police to particularized suspects being investigated. On the contrary, policy considerations support the recognition of a duty of care.

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(i) The “Quasi-Judicial” Nature of Police Duties

49 It was argued that the decision of police to pursue the investigation of a suspect on the one hand, or close it on the other, is a quasi-judicial decision, similar to that taken by the state prosecutor. It is true that both police officers and prosecutors make decisions that relate to whether the suspect should stand trial. But the nature of the inquiry differs. Police are concerned primarily with gathering and evaluating evidence. Prosecutors are concerned mainly with whether the evidence the police have gathered will support a conviction at law. The fact-based investigative character of the police task distances it from a judicial or quasi-judicial role.

50 The possibility of holding police civilly liable for negligent investigation does not require them to make judgments as to legal guilt or innocence before proceeding against a suspect. Police are required to weigh evidence to some extent in the course of an investigation: *Chartier v. Attorney General of Quebec*, 1979 CanLII 17 (SCC), [1979] 2 S.C.R. 474. But they are not required to evaluate evidence according to legal standards or to make legal judgments. That is the task of prosecutors, defence attorneys and judges. This distinction is properly reflected in the standard of care imposed, once a duty is recognized. The standard of care required to meet the duty is not that of a reasonable lawyer or judge, but that of a reasonable *police officer*. Where the police investigate a suspect reasonably, but lawyers, judges or prosecutors act unreasonably in the course of determining his legal guilt or innocence, then the police officer will have met the standard of care and cannot be held liable either for failing to perform the job of a lawyer, judge or prosecutor, or for the unreasonable conduct of other actors in the criminal justice system.

(ii) Discretion

51 The discretion inherent in police work fails to provide a convincing reason to negate the proposed duty of care. It is true that police investigation involves significant discretion and that police officers are professionals trained to exercise this discretion and investigate effectively. However, the discretion inherent in police work

is taken into account in formulating the *standard* of care, not whether a duty of care arises. The discretionary nature of police work therefore provides no reason to deny the existence of a duty of care in negligence.

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54 Courts are not in the business of second-guessing reasonable exercises of discretion by trained professionals. An appropriate standard of care allows sufficient room to exercise discretion without incurring liability in negligence. Professionals are permitted to exercise discretion. What they are not permitted to do is to exercise their discretion unreasonably. This is in the public interest.

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(iv) *Chilling Effect*

56 It has not been established that recognizing a duty of care in tort would have a chilling effect on policing, by causing police officers to take an unduly defensive approach to investigation of criminal activity. In theory, it is conceivable that police might become more careful in conducting investigations if a duty of care in tort is recognized. However, this is not necessarily a bad thing. The police officer must strike a reasonable balance between cautiousness and prudence on the one hand, and efficiency on the other. Files must be closed, life must move on, but care must also be taken. All of this is taken into account, not at the stage of determining whether police owe a duty of care to a particular suspect, but in determining what the standard of that care should be.

2. Standard of Care

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(A) THE APPROPRIATE STANDARD OF CARE FOR THE TORT OF NEGLIGENT INVESTIGATION

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69 ... [T]he general rule is that the standard of care in negligence is that of the reasonable person in similar circumstances. In cases of professional negligence, this rule is qualified by an additional principle: where the defendant has special skills and experience, the defendant must "live up to the standards possessed by persons of reasonable skill and experience in that calling." (See L. N. Klar, *Tort Law* (3rd ed. 2003), at p. 306.) These principles suggest the standard of the reasonable officer in like circumstances.

70 ... [T]he common law factors relevant to determining the standard of care confirm the reasonable officer standard. These factors include: the likelihood of known or foreseeable harm, the gravity of harm, the burden or cost which would be incurred to prevent the injury, external indicators of reasonable conduct (including professional standards) and statutory standards. ... These factors suggest a standard of reasonableness, not something less onerous. There is a significant likelihood that police officers may cause harm to suspects if they investigate negligently. The gravity of the potential harm caused is serious. Suspects may be arrested or imprisoned, their livelihoods affected and their reputations irreparably damaged. The cost of preventing the injury, in comparison, is not undue. Police meet a standard of reasonableness by merely doing what a reasonable police officer would do in the

same circumstances—by living up to accepted standards of professional conduct to the extent that it is reasonable to expect in given circumstances. ...

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73 I conclude that the appropriate standard of care is the overarching standard of a reasonable police officer in similar circumstances. This standard should be applied in a manner that gives due recognition to the discretion inherent in police investigation. Like other professionals, police officers are entitled to exercise their discretion as they see fit, provided that they stay within the bounds of reasonableness. The standard of care is not breached because a police officer exercises his or her discretion in a manner other than that deemed optimal by the reviewing court. A number of choices may be open to a police officer investigating a crime, all of which may fall within the range of reasonableness. So long as discretion is exercised within this range, the standard of care is not breached. The standard is not perfection, or even the optimum, judged from the vantage of hindsight. It is that of a reasonable officer, judged in the circumstances prevailing at the time the decision was made—circumstances that may include urgency and deficiencies of information. The law of negligence does not require perfection of professionals; nor does it guarantee desired results (Klar, at p. 359). Rather, it accepts that police officers, like other professionals, may make minor errors or errors in judgment which cause unfortunate results, without breaching the standard of care. The law distinguishes between unreasonable mistakes breaching the standard of care and mere “errors in judgment” which any reasonable professional might have made and therefore, which do not breach the standard of care. ...

(B) APPLICATION OF THE STANDARD OF CARE TO THE FACTS—WAS THE POLICE CONDUCT IN THIS CASE NEGLIGENT?

74 The defendant police officers owed a duty of care to Mr. Hill. That required them to meet the standard of a reasonable officer in similar circumstances. While the investigation that led to Mr. Hill’s arrest and conviction was flawed, I conclude that it did not breach this standard, judged by the standards of the day.

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76 At the pre-arrest stage, Mr. Hill alleges: witness contamination as the result of publishing his photo ... ; failure to make proper records of events and interviews with witnesses ... ; interviewing two witnesses together and with a photo of Hill on the desk ... ; and structural bias in the photo lineup in which Hill was identified At the post-arrest stage, Hill charges that Detective Loft failed to reinvestigate after evidence came to light that suggested the robber was not Hill, but a different man, Sotomayer. ...

77 We must consider the conduct of the investigating officers in the year 1995 in all of the circumstances, including the state of knowledge then prevailing. Police practices, like practices in other professions, advance as time passes and experience and understanding accumulate. Better practices that developed in the years after Hill’s investigation are therefore not conclusive. By extension, the conclusion that certain police actions did not violate the standard of care in 1995 does not necessarily mean that the same or similar actions would meet the standard of care today or in the future. We must also avoid the counsel of perfection; the reasonable officer standard allows for minor mistakes and misjudgments. Finally, proper scope must be accorded to the discretion police officers properly exercise in conducting an investigation.

78 Considered in this light, the first four complaints, while questionable, were not sufficiently serious on the record viewed as a whole to constitute a departure from the standard of a reasonable police officer in the circumstances. The publication of Hill's photo, the somewhat incomplete record of witness interviews, the fact that two witnesses were interviewed together and the failure to blind-test the photos put to witnesses are not good police practices, judged by today's standards. But the evidence does not establish that a reasonable officer in 1995 would not have followed similar practices in similar circumstances. Nor is it clear that if these incidents had not occurred, Hill would not have been charged and convicted. It follows that the individual officers involved in these incidents cannot be held liable to Hill in negligence.

79 This brings us to the photo lineup. The photo array consisted of one aboriginal suspect, Hill, and eleven Caucasian foils. However, a number of the subjects had similar features and colouring, so that Hill did not in fact stand out as the only aboriginal.

80 The first question is whether this photo lineup met the standard of a reasonable officer investigating an offence in 1995. ... [O]n the evidence adduced, it cannot be concluded that the photo lineup was unreasonable, judged by 1995 standards. This said, the practice followed was not ideal. A reasonable officer today might be expected to avoid lineups using foils of a different race than the suspect, to avoid both the perception of injustice and the real possibility of unfairness to suspects who are members of minority groups—concerns underlined by growing awareness of persisting problems with institutional bias against minorities in the criminal justice system, including aboriginal persons like Mr. Hill. ...

81 In any event, it was established that the lineup's racial composition did not lead to unfairness. ... Although the suspects were classified as being of a different race by the police's computer system, at least some of them appeared to have similar skin tones and similar facial features to Hill. On this evidence, the trial judge concluded that the lineup was not in fact structurally biased. Any risk that Hill might have been unfairly chosen over the 11 foils in the photo lineup did not arise from structural bias relating to the racial makeup of the lineup but rather from the fact that Hill happened to look like the individual who actually perpetrated the robberies, Frank Sotomayer.

82 It remains to consider Mr. Hill's complaint that the police negligently failed to reinvestigate when new information suggesting he was not the robber came to light after his arrest and incarceration. This complaint must be considered in the context of the investigation as a whole. The police took the view from the beginning that the 10 robberies were the work of a single person, branded the plastic bag robber. ...

83 After Hill was charged and taken into custody, the robberies continued. ...

84 When new information emerges that could be relevant to the suspect's innocence, reasonable police conduct may require the file to be reopened and the matter reinvestigated. Depending on the nature of the evidence which later emerges, the requirements imposed by the duty to reinvestigate on the police may vary. In some cases, merely examining the evidence and determining that it is not worth acting on may be enough. In others, it may be reasonable to expect the police to do more in response to newly emerging evidence. Reasonable prudence may require them to re-examine their prior theories of the case, to test the credibility of new evidence and to engage in further investigation provoked by the new evidence. At the same time, police investigations are not never-ending processes extending indefinitely past the point of arrest. Police officers acting reasonably may at some point close their case against a suspect and move on to other matters. The question is always what the reasonable officer in like circumstances would have done to fulfil the duty to reinvestigate and to respond to the new evidence that emerged.

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87 ... Detective Loft ... was in charge of the case and could have asked the Crown to postpone the case to permit reinvestigation He considered doing so, but in the end did not intervene, with the result that the matter went to trial. Explaining his decision, he referred to the evidence of two eyewitnesses identifying Hill as the robber on the final charge.

88 This was not a case of tunnel-vision or blinding oneself to the facts. It falls rather in the difficult area of the exercise of discretion. Deciding whether to ask for a trial to be postponed to permit further investigation when the case is in the hands of Crown prosecutors and there appears to be credible evidence supporting the charge is not an easy matter. In hindsight, it turned out that Detective Loft made the wrong decision. But his conduct must be considered in the circumstances prevailing and with the information available at the time the decision was made. At that time, awareness of the danger of wrongful convictions was less acute than it is today. There was credible evidence supporting the charge. The matter was in the hands of the Crown prosecutors, who had assumed responsibility for the file. ... I cannot conclude that Detective Loft's exercise of discretion in deciding not to intervene at this late stage breached the standard of a reasonable police officer similarly situated.

89 I therefore conclude that although Detective Loft's decision not to reinvestigate can be faulted, judged in hindsight and through the lens of today's awareness of the danger of wrongful convictions, it has not been established that Detective Loft breached the standard of a reasonable police officer similarly placed.

CHARRON J (BASTARACHE and ROTHSTEIN JJ concurring) dissenting:

112 The novel question before this Court is therefore whether the new tort of negligent investigation should be recognized by Canadian law. I have concluded that it should not. A private duty of care owed by the police to suspects would necessarily conflict with the investigating officer's overarching public duty to investigate crime and apprehend offenders. The ramifications from this factor alone defeat the claim that there is a relationship of proximity between the parties sufficient to give rise to a *prima facie* duty of care. In addition, because the recognition of this new tort would have significant consequences for other legal obligations, and would detrimentally affect the legal system, and society more generally, it is my view that even if a *prima facie* duty of care were found to exist, that duty should be negated on residual policy grounds.

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116 There is no dispute that a police officer owes an overarching duty to the public to investigate crime. The question that occupies us here is whether this overarching public duty translates into a private duty owed to individual members of that public who fall in a particular class, namely suspects under investigation. ...

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140 ... The importance of maintaining the police officer's authority to make decisions in the public interest that are adverse to certain citizens is underscored in the case of suspects. ... [B]ecause society's interest in having the police investigate crime and apprehend criminals inevitably collides with the suspect's interest to be left alone by the state, the imposition of a private duty of care would of necessity give rise to conflicting duties. I am not suggesting ... that the police have "a duty to leave people alone." I am saying that it is always in the *interest* of individual members of society to be left alone rather than to be investigated by the police. This is because the individual, whether innocent or not, always stands to lose from being targeted by

the police. Therefore, the imposition on the police of a legal duty to take reasonable care not to harm the individual inevitably pulls the police away from targeting that individual as a suspect. In such circumstances, it is neither just nor fair to the individual police officers, nor in the interest of society generally, to impose on police officers a duty that brings in its wake a set of conflicting duties.

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149 The concern about police discretion in this context is not whether courts will be able to properly distinguish between mere errors of judgment and negligent acts. Police discretion is a significant factor because the police have the discretionary power not to investigate further or engage the criminal process despite the existence of reasonable and probable grounds to believe that an offence has been committed. A concern therefore arises from the fact that, should this Court recognize a private duty of care owed to the suspect under investigation, this power could be exercised, not to advance the public interest as it should be, but out of a fear of civil liability.

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152 If this Court accepts Mr. Hill's argument, the investigating officer will be *legally bound*, not only to fulfill his or her public duty to enforce the law, but also to take care not to harm the suspect by conduct that may ultimately be found to fall below the relevant standard of care. The law should not impose a duty unless it expects that it will be fulfilled. Of course, the surest way of avoiding harm to the suspect is for the officer to decide to not issue process and not engage the criminal law; in other words, in order to reconcile the conflicting duties imposed by law, the police officer may well choose to avoid any risk of harm to the suspect by the exercise of "police discretion." Since there is a significant gap between the "reasonable and probable grounds" standard to issue process and the "beyond a reasonable doubt" standard to convict, the prudent officer who tries to reconcile his public duty to enforce the law and his private duty not to harm the innocent suspect may be well advised not to issue process except in cases where the evidence is overwhelming. How then would we distinguish between a proper exercise of discretion based on a police officer's desire to fulfill his legal duty of care to the suspect and an improper one based on the selfish desire to avoid potential civil liability?

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180 ... [T]he private nature of the tort action necessarily narrows the focus of the criminal investigation to the individual rights of the parties and, in the process, it is almost inevitable that courts lose sight of the broader public interests at stake. In short, tort law simply does not fit.

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187 For these reasons, I conclude, as have other courts of common law jurisdictions, that the common law tort of negligent investigation should not be recognized in Canada. The recognition that the civil tort system is not the appropriate vehicle to provide compensation for the wrongfully convicted should not be viewed as undermining the importance of achieving that important goal. However, how this goal is to be achieved is a complex issue that has been discussed in the context of a number of inquiries and governmental studies It may be that compensation for the wrongfully convicted is a matter better left for the legislators in the context of a comprehensive statutory scheme. It is certainly not a matter that should be left to the vagaries of the proposed tort action.

NOTE

A few months before *Hill*, the Supreme Court of Canada, in *Syl Apps Secure Treatment Centre v BD*, [2007] 3 SCR 83 unanimously held that the potential subjection of the defendant to conflicting duties precluded the proximity required for a duty of care. After writing a story at school that her parents had abused her, a 14-year-old girl was apprehended by the Children's Aid Society as a child in need of protection under the *Child and Family Services Act* (RSO 1990, c C.11, repealed 30 April 2018) and placed with the defendant facility. Her parents, grandparents, and siblings sued alleging that the treatment that the defendants provided negligently deprived the family of a relationship with her. The defendants applied to have the statement of claim struck out on the grounds that it disclosed no reasonable cause of action. Abella J stated the following:

28 Where an alleged duty of care is found to conflict with an overarching statutory or public duty, this may constitute a compelling policy reason for refusing to find proximity (*Cooper*, at para. 44 ...). Such a conflict exists where the imposition of the proposed duty of care would prevent the defendant from effectively discharging its statutory duties. In *Cooper*, for example, a duty to individual investors on the part of the Registrar of Mortgage Brokers was rejected because it was found to "potentially conflict with the Registrar's overarching duty to the public" (para. 44). ... [T]he serious negative policy consequences of these conflicting duties were found to justify denying a finding of proximity.

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41 The deciding factor for me, as in *Cooper*... , is the potential for conflicting duties: imposing a duty of care on the relationship between the family of a child in care and that child's court-ordered service providers creates a genuine potential for "serious and significant" conflict with the service providers' transcendent statutory duty to promote the best interests, protection and well-being of the children in their care.

42 When a child is placed in the care of the Children's Aid Society, or if Crown wardship is ordered, the Act gives the Children's Aid Society or Crown "the rights and responsibilities of a parent for the purpose of the child's care, custody and control" (s. 63(1)). This creates an inherently adversarial relationship between parents and the state.

43 It is true that treating a child in need of protection can sometimes be done in a way that meets with the family's satisfaction in the long term. But it is not the family's satisfaction in the long term to which the statute gives primacy, it is the child's best interests. The fact that the interests of the parents and of the child may occasionally align does not diminish the concern that in many, if not most of the cases, conflict is inevitable.

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49 To impose a duty of care towards the child's family on a treatment centre and its social workers in this context creates a potential conflict with their ability effectively to discharge their statutory duties. A child in care generally involves "situations in which the care parents provide is considered so inadequate that direct interference by the state is justified to protect children ... [S]tate interference through removal of a child from parental care will only be justified if it is proven that there is a significant risk to the child" (N. Bala, "Child Welfare Law in Canada: An Introduction," in N. Bala et al., eds., *Canadian Child Welfare Law* (2nd ed. 2004), 1, at pp. 1-2). The finding that R.D. was a child in need of protection, for example, was made pursuant to s. 37(2)(f) and (h) of the Act. According to the wording of the Act when the order was made, such a finding meant that "the child's parent or the person having charge of the child does not provide, or refuses or is unavailable or unable to consent to, services or treatment to remedy or alleviate" the harm or condition in question.

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63 Although this conclusion makes further assessment unnecessary, another policy consideration confirms that imposing a legal duty of care on the service providers towards

the family members of apprehended children would be unwise. Recognizing such a duty in this context would create the possibility of parallel proceedings, which could lead to a relitigation of matters already determined at the child protection hearing. This would undermine the child protection scheme, result in unnecessary public expense, and inhibit child protection workers from strategies promoting a child's best interests for fear of subsequent litigation. It is difficult to see how any of these potential consequences are in the interests of the legal system or of the public.

64 Child protection work is difficult, painful and complex. Catering to a child's best interests in this context means catering to a vulnerable group at its most vulnerable. Those who do it, do so knowing that protecting the child's interests often means doing so at the expense of the rest of the family. Yet their statutory mandate is to treat the child's interests as paramount. They must be free to execute this mandate to the fullest extent possible. The result they seek is to restore the child, not the family. Where the duties to the child have been performed in accordance with the statute, there is no ancillary duty to accommodate the family's wish for a different result, a different result perhaps even the child protection worker had hoped for.

MACKAY V ESSEX AREA HEALTH AUTHORITY

[1982] 2 WLR 890 (Eng CA)

The infant plaintiff was born handicapped as a result of her mother's contracting German measles while the infant was *in utero*. The defendants were negligent in failing to diagnose the disease. Had the mother been properly informed, she would have, so she claimed, aborted the foetus. The infant claimed damages against the defendant on the ground that their failure to diagnose the disease was in breach of the duty owed by them to her and responsible for her injury, which was to be born. The issue for the court was whether her claim should be struck out as disclosing no reasonable cause of action.

STEPHENSON LJ: ... If, as is conceded, any duty is owed to an unborn child, the authority's hospital laboratory and the doctor looking after the mother during her pregnancy undoubtedly owed the child a duty not to injure it, and if she had been injured as a result of lack of reasonable care and skill on their part after birth, she could have sued them, as she is suing the doctor, for damages to compensate her for the injury they had caused her in the womb. Compare the thalidomide cases, where it was assumed that such an action might lie: e.g., *Distillers Co. (Biochemicals) Ltd. v. Thompson* [1971] AC 458. But this child has not been injured by either defendant, but by the rubella which has infected the mother without fault on anybody's part. Her right not to be injured before birth by the carelessness of others has not been infringed by either defendant, any more than it would have been if she had been disabled by disease after birth. Neither defendant has broken any duty to take reasonable care not to injure her. The only right on which she can rely as having been infringed is a right not to be born deformed or disabled, which means, for a child deformed or disabled before birth by nature or disease, a right to be aborted or killed; or, if that last plain word is thought dangerously emotive, deprived of the opportunity to live after being delivered from the body of her mother. The only duty which either defendant can owe to the unborn child infected with disabling rubella is a duty to abort or kill her or deprive her of that opportunity.

It is said that the duty does not go as far as that, but only as far as a duty to give the mother an opportunity to choose her abortion and death. That is true as far as it goes. The doctor's alleged negligence is in misleading the mother as to the advisability of

an abortion, failing to inform or advise her of its advisability or desirability; the laboratory's alleged negligence is not so pleaded in terms but the negligence pleaded against them in failing to make or interpret the tests of the mother's blood samples or to inform the doctor of their results must, like the doctor's negligence, be a breach of their duty to give the doctor an opportunity to advise the mother of the risks in continuing to let the foetus live in the womb and be born alive. But the complaint of the child, as of the mother, against the authority, as against the doctor, is that their negligence burdened her (and her mother) with her injuries. That is another way of saying that the defendants' breaches of their duties resulted, not just in the child's being born but in her being born injured or, as the judge put it, with deformities. But as the injuries or deformities were not the result of any act or omission of the defendants, the only result for which they were responsible was her being born. For that they were responsible because if they had exercised due care the mother would have known that the child might be born injured or deformed, and the plaintiffs' pleaded case is that, if the mother had known that, she would have been willing to undergo an abortion, which must mean she would have undergone one or she could not claim that the defendants were responsible for burdening her with an injured child. If she would not have undergone an abortion had she known the risk of the child being born injured, any negligence on the defendants' part could not give either plaintiff a cause of action in respect of the child being born injured.

I am accordingly of opinion that though the judge was right in saying that the child's complaint is that she was born with deformities, without which she would have suffered no damage and have no complaint, her claim against the defendants is a claim that they were negligent in allowing her, injured as she was in the womb, to be born at all, a claim for "wrongful entry into life" or "wrongful life."

This analysis leads inexorably on to the question: how can there be a duty to take away life? How indeed can it be lawful? It is still the law that it is unlawful to take away the life of a born child or of any living person after birth. But the *Abortion Act 1967* has given mothers a right to terminate the lives of their unborn children and made it lawful for doctors to help to abort them. ...

There is no doubt that this child could legally have been deprived of life by the mother's undergoing an abortion with the doctor's advice and help. So the law recognises a difference between the life of a foetus and the life of those who have been born. But because a doctor can lawfully by statute do to a foetus what he cannot lawfully do to a person who has been born, it does not follow that he is under a legal obligation to a foetus to do it and terminate its life, or that the foetus has a legal right to die.

Like this court when it had to consider the interests of a child born with Down's syndrome in *In re B. (A Minor) (Wardship: Medical Treatment)*, [1981] 1 WLR 1421, I would not answer until it is necessary to do so the question whether the life of a child could be so certainly "awful" and "intolerable" that it would be in its best interests to end it and it might be considered that it had a right to be put to death. But that is not this case. We have no exact information about the extent of this child's serious and highly debilitating congenital injuries—the judge was told that she was partly blind and deaf—but it is not and could not be suggested that the quality of her life is such that she is certainly better dead, or would herself wish that she had not been born or should now die.

I am therefore compelled to hold that neither defendant was under any duty to the child to give the child's mother an opportunity to terminate the child's life. That duty may be owed to the mother, but it cannot be owed to the child.

To impose such a duty towards the child would, in my opinion, make a further inroad on the sanctity of human life which would be contrary to public policy. It

would mean regarding the life of a handicapped child as not only less valuable than the life of a normal child, but so much less valuable that it was not worth preserving, and it would even mean that a doctor would be obliged to pay damages to a child infected with rubella before birth who was in fact born with some mercifully trivial abnormality. These are the consequences of the necessary basic assumption that a child has a right to be born whole or not at all, not to be born unless it can be born perfect or "normal," whatever that may mean.

Added to that objection must be the opening of the courts to claims by children born handicapped against their mothers for not having an abortion. For the reasons given by the Royal Commission on Civil Liability and Compensation for Personal Injury ((1978) Cmnd. 7054-1), cited by Ackner LJ, that is, to my mind, a graver objection than the extra burden on doctors already open to actions for negligent treatment of a foetus, which weighed with the Law Commission.

Finally, there is the nature of the injury and damage which the court is being asked to ascertain and evaluate.

The only duty of care which courts of law can recognise and enforce are duties owed to those who can be compensated for loss by those who owe the duties, in most cases, including cases of personal injury, by money damages which will as far as possible put the injured party in the condition in which he or she was before being injured. The only way in which a child injured in the womb can be compensated in damages is by measuring what it has lost, which is the difference between the value of its life as a whole and healthy normal child and the value of its life as an injured child. But to make those who have not injured the child pay for that difference is to treat them as if they have injured the child, when all they have done is not having taken steps to prevent its being born injured by another cause.

The only loss for which those who have not injured the child can be held liable to compensate the child is the difference between its condition as a result of their allowing it to be born alive and injured and its condition if its embryonic life had been ended before its life in the world had begun. But how can a court of law evaluate that second condition and so measure the loss to the child? Even if a court were competent to decide between the conflicting views of theologians and philosophers and to assume an "after life" or non-existence as the basis for the comparison, how can a judge put a value on the one or the other, compare either alternative with the injured child's life in this world and determine that the child has lost anything, without the means of knowing what, if anything, it has gained?

Judges have to pluck figures from the air in putting many imponderables into pounds and pence. Loss of expectation of life, for instance, has been held so difficult that the courts have been driven to fix for it a constant and arbitrary figure. ... But in measuring the loss caused by shortened life, courts are dealing with a thing, human life, of which they have some experience; here the court is being asked to deal with the consequences of death for the dead, a thing of which it has none. And the statements of judges on the necessity for juries to assess damages and their ability to do so in cases of extreme difficulty do not touch the problem presented by the assessment of the claims we are considering. To measure loss of expectation of death would require a value judgment where a crucial factor lies altogether outside the range of human knowledge and could only be achieved, if at all, by resorting to the personal beliefs of the judge who has the misfortune to attempt the task. If difficulty in assessing damages is a bad reason for refusing the task, impossibility of assessing them is a good one. A court must have a starting point for giving damages for a breach of duty. The only means of giving a starting point to a court asked to hold that there is the duty on a doctor or a hospital which this child alleges, is to require the court to measure injured life against uninjured life, and that is to treat the doctor

and the hospital as responsible not for the child's birth but for her injuries. That is what in effect Mr. Wilmers suggests that the court should do, tempering the injustice to the defendants by some unspecified discount. This seems almost as desperate an expedient as an American judge's suggestion that the measure of damages should be the "diminished childhood" resulting from the substantial diminution of the parents' capacity to give the child special care: see the dissenting judgment of Handler J in *Berman v. Allan* (1979) 404 A2d 8, 15, 19, 21. If there is no measure of damage which is not unjustified and indeed unjust, courts of law cannot entertain claims by a child affected with pre-natal damage against those who fail to provide its mother with the opportunity to end its damaged life, however careless and unskilful they may have been and however liable they may be to the mother for that negligent failure.

If a court had to decide whether it were better to enter into life maimed or halt than not to enter it at all, it would, I think, be bound to say it was better in all cases of mental and physical disability, except possibly those extreme cases already mentioned ... but certainly not excepting such a case as the present. However that may be, it is not for the courts to take such a decision by weighing life against death or to take cognisance of a claim like this child's. I would regard it on principle as disclosing no reasonable cause of action. ...

The defendants must be assumed to have been careless. The child suffers from serious disabilities. If the defendants had not been careless, the child would not be suffering now because it would not be alive. Why should the defendants not pay the child for its suffering? The answer lies in the implications and consequences of holding that they should. If public policy favoured the introduction of this novel cause of action, I would not let the strict application of logic or the absence of precedent defeat it. But as it would be, in my judgment, against public policy for the courts to entertain claims like those which are the subject of this appeal, I would for this reason, and for the other reasons which I have given, allow the appeal, set aside the judge's order and restore the master's order.

NOTES

1. The same issue arose in *Zaitsov v Katz* (1986), 40(2) Piskei Din 85 at 116 (Israel SC). Barak J found for the plaintiff on the basis of the following reasoning:

My approach is based on the very existence of life and on the inability to compare life and its absence. Such a comparison is neither possible nor required. The infant does not seek to return to a situation of non-life, and we do not impose this burden upon him. He has no right to this. Even if he were to claim that he prefers non-life to life, we would not listen to him, since the right is to life not to non-life. Accordingly there is no need to attempt to assess the value of life in comparison with life with a defect. The damage that the physician caused was life with a defect. The damage is not the causing of life itself or the prevention of non-life. Therefore the expression "wrongful life" is infelicitous and erroneous. The claim is not against life. The alternative is not non-life. The claim is against life with a defect and the only alternative is life without a defect. The physician was negligent and caused life with a defect. That is the damage, and for that damage he is responsible. ...

The negligence of the physician simultaneously created both the defect and the life, without any possibility of separating them. The existence of the defect presupposes the existence of life, and compensation for the existence of the defect also must presuppose the existence of life. It is true that life without a defect was not possible even if the physician had acted carefully. But when he acted carelessly he created life with a defect. One should not compare this damage to non-life (where one evaluates life itself) but to life

without a defect (where one evaluates the defect, which is the damage for which the physician is responsible). In sum: The right of the infant was that, if he was born alive, his life should be without the defect imposed on him by the medical negligence. The damage that the negligence caused him and that the physician is responsible for is not the very giving of life (the infant has no right to non-life) but the giving of life with a defect. Therefore the essence of the harm is to be conceived not through a comparison of life with a defect and non-life, but through a comparison of life with a defect and life without a defect.

In *Hammer v Amit*, [2012] 1327/07, the Supreme Court of Israel reversed *Zaitsov*. Rivlin VP stated:

The difficulty in determining the causal connection between the negligence and the harm of a life with a disability flows from the fact that it is indisputable that the negligence of the physician was not what caused the "life with a defect." ... It is not the doctor who caused the child's disability, for even in the absence of negligence, the child could not come into the world without his disability. In other words: appropriate medical treatment would not have been able to prevent the disability, and the possibility that that specific child would have been born without the disability simply does not exist.

2. Feinberg, *Rights, Justice and the Bounds of Liberty* (Princeton, NJ: Princeton University Press, 1980) at 216-19, deals with the issue of "wrongful life" as follows:

Could a child then sue for damages on the ground that he was improperly allowed to be born? Surprisingly, this has already been done. ... In *Williams v. State* [233 NE 2d 343 (1966)] an infant girl sued the State of New York for damages resulting from the state's negligent operation of a mental hospital. It seems that the infant's mother, a mentally deficient patient in the state institution, was sexually assaulted by an attendant, as a result of which the plaintiff was born out of wedlock to an incompetent mother. The suit, which charged the state with negligence in failing to protect the mother from the rape, met with success in the trial court, but was overturned on appeal. It was part of the plaintiff's pleading at the trial court that she had been "deprived of property rights; deprived of a normal childhood and home life; deprived of proper parental care, support and rearing; caused to bear the stigma of illegitimacy and has otherwise been greatly injured all to her damage in the sum of \$100,000." From the philosophical point of view this bill of injuries would have been more interesting still had it included inherited mental retardation, genetically transmitted from the mother, and perhaps also an inherited tendency (say) to some chronically painful and incurable condition. In that (fictitious) case, the attorney for the plaintiff might have been in a stronger position to counter the argument that:

[w]hat does disturb us is the nature of the new action and the related suits which would be encouraged. Encouragement would extend to all others born into the world under conditions they might regard as adverse. One might seek damages for being born of a certain color, another because of race; one for being born with a hereditary disease, another for inheriting unfortunate family characteristics; one for being born into a large and destitute family, another because a parent has an unsavory reputation.

To this objection, from the opinion in *Zepeda v. Zepeda* cited ... in the *Williams* case, the reply should be that not all interests of the newborn child should or can qualify for prenatal legal protection, but only those very basic ones whose satisfaction is indispensable to a decent life. The state cannot insure all or even many of its citizens against bad luck in the lottery of life. As the eventual Appeals Court opinion put it: "Being born under one set of circumstances rather than another or to one pair of parents rather than another is not a suable wrong that is cognizable in court." On the other hand, to be dealt feeble-mindedness or syphilis, or advanced heroin addiction, or guaranteed malnutrition, or economic deprivation

so far below a reasonable minimum as to be inescapably degrading and sordid, is not merely to have “bad luck.” It is to be dealt a card from a stacked deck in a transaction that is not a “game” so much as a swindle.

The only reservations of the trial judge in allowing the case to be tried were that there was at the time no clear precedent for that kind of suit and that there was something approaching paradox in the idea that a tort can “be inflicted upon a being simultaneously with its conception.” He took neither of these misgivings seriously, but the second one proved to be the plaintiff’s undoing at the appellate level. The Court of Appeals in its majority opinion held that the infant had no right to recover, “rejecting the idea that there could be an obligation of the State to a person not yet conceived.” If my sketch of an argument above is correct, however, the court was too hasty. The obligation of the State, in my view, was not owed to some shadowy creature waiting in its metaphysical limbo to be born. Rather it was an obligation to its patient to protect her from assault, and as a consequence of its breach of duty to her, the rights of another human being, her daughter, which like most prenatal rights, are contingent upon later birth, were violated. Or perhaps the duty of the state can be characterized more felicitously still as a duty of care owed to anybody likely to be affected by its conduct, on analogy with the duty of a producer of canned baby food toward *all* eventual consumers of its product including some children yet unborn or even unconceived.

In a separate concurring opinion, Judge Kenneth Keating found another ground for ruling against the infant:

Damages are awarded in tort cases on the basis of a comparison between the position the plaintiff would have been in, had the defendant not committed the acts causing injury, and the position in which the plaintiff presently finds herself. The damages sought by the plaintiff in the case at bar involve a determination as to whether nonexistence or nonlife is preferable to life as an illegitimate with all the hardship attendant thereon. It is impossible to make that choice.

Now, it is perhaps true as a matter of law, that assessments of damages in tort cases (or at any rate, in all *other* kinds of tort cases) rest upon a hypothetical comparison of the plaintiff’s condition after his injury with what his condition would have been had the defendant not affected it by his intentional or negligent wrong-doing; and of course that kind of comparison cannot be made when the alleged injury occurs at the very moment of conception, for it would have us consider the “condition” the plaintiff would have been in had he never been conceived, which is a contradiction in terms. In this kind of case, then, assessments of damages would have to be made in some other way; but even if assessments were made on *admittedly arbitrary* grounds, they might better serve justice than if no damages are awarded at all. In any case, the question of damages aside, the grounds for charging that a wrong has violated another’s right not to be born do not include reference to a strange never-never land from which phantom beings are dragged struggling and kicking into their mothers’ wombs and thence into existence as persons in the real world. Talk of a “right not to be born” is a compendious way of referring to the plausible moral requirement that no child be brought into the world unless certain very minimal conditions of well-being are assured, and certain basic “future interests” are protected in advance, at least in the sense that the *possibility* of his fulfilling those interests be kept open. When a child is brought into existence even though those requirements have not been observed, *he has been wronged* thereby; and that is not to say that any metaphysical interpretation, or any sense at all, can be given to the statement that he would have been better off had he never been born.

How would Stephenson LJ decide Feinberg’s hypothetical variant on *Williams v State*, 233 NE 2d 343 (1966)?

3. *MacKay* was accepted in *Lacroix v Dominique*, 2001 MBCA 122, 202 DLR (4th) 121. The Ontario Court of Appeal set out a different approach in the following case.

PAXTON V RAMJI

2008 ONCA 697, 92 OR (3d) 401 (footnotes omitted)

[1] FELDMAN JA (for the court): Where a doctor looks after a woman who is pregnant or who may become pregnant, the doctor owes a duty of care to the woman as the patient. In discharging this duty of care, a doctor must always consider and advise the woman of the material risks of any prescription or procedure on a potential future child. The issue in this case is whether a doctor also owes a tort law duty of care to a future child (i.e., a child subsequently born) of the doctor's patient.

[2] The acne drug, Accutane, is a teratogenic drug that carries the risk of causing fetal malformation. The respondent, Dr. Shaffiq Ramji, prescribed Accutane to Dawn Paxton, the mother of the appellant child, Jaime Paxton, on the understanding that the mother would not become pregnant while taking the drug. The doctor's understanding was based on the fact that the appellant's father had had a vasectomy 4½ years earlier that had been successful up to that time. Unfortunately, the vasectomy failed just when the Accutane was prescribed and the appellant was conceived. She was born with considerable damage caused by the Accutane and she sued the respondent for negligence in prescribing the Accutane to her mother. ...

[Feldman JA then outlined the facts, including the protocol for prescribing Accutane:]

[6] In 2001, Dr. Ramji had taken a continuing education course for the prescription of Accutane. Because Accutane is a teratogenic drug that may cause birth defects if it is taken during pregnancy, the manufacturer developed a "Pregnancy Protection Mainpro-C Program" ("PPP") that doctors are to implement before prescribing the drug to women of childbearing potential, in order to try to ensure they will not become pregnant while taking the medication. Dr. Ramji learned the details of the PPP at the course. The content of the PPP as summarized by the trial judge, at para. 134 of her reasons, is as follows:

Effective contraceptive measures must be used for at least one month before Accutane treatment during and/or at least one month following the discontinuation of treatment. It is recommended that two reliable forms of contraception be used simultaneously unless abstinence is the chosen method. Pregnancy occurring during treatment with Accutane and for one month after its discontinuation, carries the risk of fetal malformation. Females should be fully counseled on the serious risk to the fetus, should they become pregnant while undergoing treatment. ...

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DUTY OF CARE

[25] The issue whether a child born with birth defects should be entitled to successfully assert a negligence claim against a doctor or other health-care provider for harm suffered before birth has tested the mettle of many courts both in this country and [internationally]. Often the analysis has focused on the difficulties associated with imposing a duty of care on a doctor towards a future child to give the child's mother (or his/her parents) the opportunity to avoid the child's conception or to abort the fetus. This type of claim is commonly referred to as one for wrongful life. Courts have been troubled by the difficulties in assessing damages where the assessment would be based on a comparison between the value of the plaintiff's existence in a disabled state and the value of non-existence. ...

[26] Courts in most foreign common-law jurisdictions have refused to recognize claims for wrongful life. In the seminal decision of *MacKay v. Essex Area Health Authority* [[1982] 2 All ER 771, [1982] QB 1166 (CA)], the English Court of Appeal refused to recognize a claim for wrongful life on the basis of both legal principle and public policy. The High Court of Australia recently rejected wrongful life claims in *Harriton v. Stephens* and in *Waller v. James*. In the United States, most states have rejected wrongful life actions, beginning with the highly influential decision of the Supreme Court of New Jersey in 1967 in *Gleitman v. Cosgrove*. In the three states where wrongful life actions have been allowed, courts have generally restricted liability to special damages, such as for extraordinary medical expenses, and have refused to award general damages for pain and suffering because of the impossibility of comparing existence with non-existence.

[27] Wrongful life claims are not to be confused with claims labelled wrongful birth. Actions for wrongful birth are brought by the parents (rather than by the child) who claim that their child would not have been conceived or born but for the doctor's negligence. In such claims, the parents seek damages associated with the birth and care of a child. Wrongful birth claims may arise from the birth of a healthy, but unplanned, child as in cases where a doctor is alleged to have negligently performed a sterilization procedure. More commonly, wrongful birth claims involve the birth of a disabled child, as in cases where parents would have elected not to conceive a child had they received accurate genetic counselling about the likelihood that their child would be born with a disability, or to abort a child had they received advice regarding harm that can be caused *in utero* by such diseases as rubella. International courts have generally allowed claims by parents for wrongful birth, but have divided on what damages are recoverable.

[28] In Canada, where claims against medical professionals have been brought by children born with disabilities, some courts have approached such claims from the vantage point of whether or not the claim is accurately characterized as one for wrongful life. If the claim is seen as one for wrongful life, then courts have typically held that such a claim should not be recognized at law. Where the claim is found not to attract the wrongful life label, then courts have concluded that a claim lies for the injury the doctor caused to the child before birth. The trial judge's decision in this case and the Manitoba Court of Appeal's decision in *Lacroix* reflect this approach to determining whether or not the proposed cause of action should be recognized.

[29] In my view, by asking whether or not the claim before the court should be characterized as one for wrongful life, Canadian courts have asked the wrong question. In Canada, the governing tort law analysis for determining whether a person will be held liable in negligence for harm done to another is that mandated by the Supreme Court of Canada in a line of cases following the decision of the House of Lords in *Anns v. Merton London Borough Council*, [1978] A.C. 728 (H.L.). ...

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[37] Thus, in order to determine whether Dr. Ramji can be liable in negligence to Jaime Paxton, the question confronting the court is not whether her claim is one that should be characterized as wrongful life, but whether he owed her a duty of care.

DOES THE CLAIM FALL WITHIN, OR IS IT ANALOGOUS TO, A RECOGNIZED DUTY OF CARE?

[38] The question of a doctor's legal proximity with a future child (whether conceived or not yet conceived) at the time of the doctor's impugned conduct has been considered by Canadian courts in a number of contexts. It is important to keep in

mind that, in discussing a duty of care that may be owed to a future child, these types of claims only arise where the child is born alive, since only a child who is born alive can assert a cause of action. ...

[39] The issue has arisen in cases where a child has sued a doctor for injuries suffered while *in utero* where the injuries were allegedly caused by the doctor. It has also arisen where it is claimed that the doctor allowed a child to be conceived or born in circumstances where the parents would have decided against having the child if the doctor had given them timely information that there was the possibility of harm to their future child.

[40] A review of some examples of the leading appellate decisions will demonstrate that Canadian courts have taken different approaches to the question whether there can be a proximate relationship between a doctor and a future child. The first is the 1992 decision of the British Columbia Court of Appeal in *Cherry (Guardian ad Litem of) v. Borsman* (1992), 94 D.L.R. (4th) 487 (C.A.), leave to appeal to S.C.C. refused [1993] 2 S.C.R. vi. In that case, a doctor negligently injured a fetus while in the process of performing an abortion. The child was born alive and sued the doctor for the injuries.

[41] The British Columbia Court of Appeal held that the doctor owed the mother a duty to perform the abortion properly, but he also owed a duty of care to the fetus not to cause it harm if the abortion was unsuccessful. The court found that an alleged lack of proximity between the doctor and the fetus should not be a barrier to imposing a duty of care: "We think the law would be wanting and badly flawed if it found itself in the position of having to deny any remedy to this infant plaintiff because of what at first glance may appear to be established principles of negligence" (p. 504 D.L.R.).

[42] The second is the Manitoba Court of Appeal's decision in 2000 in *Lacroix*. In that case, the doctor prescribed a teratogenic drug for epilepsy to the mother, but failed to advise her of the risk to a fetus if she were to become pregnant while taking the drug. The mother became pregnant while taking the drug and the child suffered harm *in utero* as a result. While both the child and the parents sued the doctor for damages caused by the drug, the parents' cause of action was barred by operation of the relevant statutory limitation period.

[43] In assessing in what circumstances a child's cause of action should be recognized, the court in *Lacroix* observed that cases involving a claim by a child born with abnormalities generally fall within one of two categories (para. 24):

- (i) cases in which the abnormalities have been caused by the wrongful act or omission of another; and
- (ii) cases in which, but for the wrongful act or omission, the child would not have been born at all. ... If the claim fell within the first category, the doctor would be liable for causing direct damage, but if it fell into the second category, there could be no liability because that would be an action for wrongful life.

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[46] The court concluded that there was no liability on the doctor because the case was in the second "wrongful life" category of cases. The court stated, at paras. 40-41:

The mother in the present case testified that, if she had been advised of the danger, she would have avoided pregnancy, testimony which was accepted by the trial judge. ...

It is thus quite clear that, if the doctor had fulfilled his duty of care to the mother, the child would not likely have been born. The fact that the child's injury was caused

by the medication does not result in liability against the doctor as he was under no duty of care to the child. And the damages as in *MacKay v. Essex Area Health Authority*, *supra*, are impossible to assess.

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[50] The same is true in the present case. On the one hand, the appellant's action could be viewed as a claim for wrongful life in the sense that, accepting the trial judge's finding that Accutane was an indicated treatment for Dawn Paxton's acne, the duty on the doctor must have been to ensure that Jaime Paxton would never be conceived, making her claim one for wrongful life. On the other hand, in the trial judge's view, the appellant's action was not a claim for wrongful life because the doctor's duty was to refuse to prescribe Accutane to Dawn Paxton as a woman of childbearing potential. Had the doctor discharged this duty, Jaime Paxton would have been born healthy.

[51] The different ways of viewing the claims in *Lacroix* and in the present case illustrate that the categories posited in *Lacroix* are malleable and do not provide a rigorous analytical framework for deciding the issue whether the proposed duty of care should be recognized.

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[53] Having reviewed these authorities, I believe it is fair to say that there is no settled jurisprudence in Canada on the question whether a doctor can be in a proximate relationship with a future child who was not yet conceived or born at the time of the doctor's impugned conduct. The Supreme Court of Canada has not had the opportunity to address the issue. The proposed duty of care thus does not fall within an established category of relationship giving rise to a duty of care.

[54] Nor, in my view, is there an existing category of recognized relationship that can be extended by simple analogy to impose, or refuse to impose, a duty of care on a doctor to a future child of the doctor's female patient. For example, in Canada, a mother does not owe a duty of care to her fetus: *Dobson (Litigation Guardian of) v. Dobson* ...

[55] ... In my view, it is clear that a mother's relationship with her fetus is unique and the types of policy considerations that apply to that relationship cannot be applied by analogy to the relationship of other persons with a woman's future child.

[56] Another potentially analogous category is the recognized duty relationship between a woman's future child and a driver of a motor vehicle. Where a driver is negligent and is in an accident involving a pregnant woman, if her child is subsequently born alive and suffers damage as a result of the accident, the child may sue the driver ...

[57] In my view, the relationship between a doctor and a future child of a patient cannot be viewed as analogous to the relationship between a user of the roadway and a woman's future child. Doctors, unlike other third parties, are in a unique relationship with a patient's future child, by virtue of the recognized common-law duty that doctors owe to the pregnant woman who is their patient. This distinction gives rise to significant policy considerations that are not present in the context of an unrelated third-party user of the roadway and that make it inappropriate to treat this category as analogous.

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[59] To summarize, I consider the proposed duty to be a novel one. The court must therefore proceed with the two-stage *Anns* test to determine whether the proposed duty of care should be recognized in law.

PERFORMING THE ANNS TEST

STAGE ONE: PRIMA FACIE DUTY OF CARE

(i) Reasonable Foreseeability

[60] The question of the reasonable foreseeability of possible harm to a future child by actions or omissions of the mother's doctor in prescribing teratogenic medication to the mother is, in my view, not a difficult one. The answer is demonstrated by the PPP that doctors consult when they prescribe Accutane to women of childbearing capacity. That protocol provides steps the doctor is to take to try to ensure that the woman will not become pregnant while taking the drug because of its teratogenic effects on fetuses. It is potential future children who are at risk and who are at the forefront of the contemplation of the drug manufacturer, of Health Canada and of the medical profession. The potential for harm to a fetus while *in utero* from exposure to Accutane is clearly foreseeable.

[61] When deciding the duty of care, one can get into a logical quagmire if the foreseeability question is approached not from the point of view of the foreseeability of harm, but rather the foreseeability of conception. The trial judge looked at the foreseeability of conception when she decided that Dr. Ramji met the standard of care. She concluded that he was entitled to view Dawn Paxton as a woman who was not of childbearing potential because of her husband's vasectomy. Therefore, there was no potential child to look out for.

[62] Similarly, one could argue that harm to a future child is not foreseeable if the future child is not foreseeable, for example, if the people involved are using reliable birth control. That approach, however, confuses the duty of care with the standard of care. If, as a matter of law, there is a duty of care not to harm a future child by prescribing a teratogenic drug to a woman of childbearing capacity, then the doctor may meet the standard of care by taking all reasonable steps to try to ensure that his patient does not become pregnant while taking the drug.

[63] However, a similar approach to the foreseeability question in the duty of care analysis is unproductive and, in my view, incorrect. Of course if there is no one to whom a duty can be owed, then there is no duty. But as long as there is the potential for a future child to be born who may be affected by a teratogenic drug being prescribed to a woman who is of childbearing capacity, then at the first stage of the *Anns* test, the harm to that future child is reasonably foreseeable.

(ii) Proximity

[64] Having concluded that it is reasonably foreseeable that a doctor can cause harm to a future child by prescribing teratogenic medication to a woman who is or may become pregnant, the court must still determine whether the doctor and the future child are in a "close and direct relationship" of proximity that makes it fair and just that the doctor should owe a duty of care to the future child. In my view, in this case, as in *Syl Apps*, it is policy considerations that militate against a finding of the necessary proximity.

[65] In *Syl Apps*, the Supreme Court identified the potential for conflicting duties as a policy consideration and, indeed, "the deciding factor" weighing against a finding of a relationship of proximity (para. 41). In that case, the issue was whether a treatment centre, which was treating a child apprehended by the Children's Aid Society, owed a duty of care to the family of that child. The court held that, because

of the statutory duties that the treatment centre owed to the child to act in her best interests, there would be an inevitable conflict of interest if the treatment centre also owed a duty of care to the family. Faced with that conflict, the treatment centre might well hesitate to pursue the child's best interests for fear of breaching its duty to the family.

[66] The prospect of conflicting duties is similarly present here. If a doctor owes a duty of care to a future child of a female patient, the doctor could be put in an impossible conflict of interest between the best interests of the future child and the best interests of the patient in deciding whether to prescribe a teratogenic drug or to give the patient the opportunity to choose to take such a drug. That conflict was recognized by the Manitoba Court of Appeal in *Lacroix*, where a teratogenic epilepsy drug was necessary for the health of the mother. At paras. 38-39, the court identified the concern as follows:

Can it be said that the doctor owed the future child a duty of care not to prescribe a medication for the mother which he knew carried the risk of injuring a fetus?

The imposition of such a duty would immediately create an irreconcilable conflict between the duty owed by the doctor to the child and that owed to the mother. The medication was properly prescribed to treat the mother's epilepsy. Without it, any fetus she might conceive would be at even greater risk from a seizure than from the medication. Surely the doctor cannot withhold the medication from the mother, and put her at risk, for the sake of avoiding risk to a yet unconceived fetus which might be at even greater risk if the mother's epilepsy went uncontrolled.

[67] In *Lacroix*, one consideration that moved the court in terms of the potential conflict of duties was that, if the mother did not receive the epilepsy medication and if she were to have a seizure while pregnant, the fetus would be at greater risk from that seizure than from the drug. This extra risk factor will not be present in all cases where a teratogenic drug is being prescribed. For example, there is no evidence of extra risk posed to a fetus if its mother's acne condition is not treated by Accutane. Nevertheless, the clear potential for conflicting duties remains between acting in the best interests of the mother and of a future child.

[68] These conflicting duties could well have an undesirable chilling effect on doctors. A doctor might decide to refuse to prescribe Accutane to a female patient, even where it is indicated and the patient agrees to fully comply with the PPP, in order to avoid the risk of a lawsuit brought by a child who is conceived despite compliance with the PPP or because the mother fails to comply with the PPP. Thus, imposing a duty of care on a doctor to a patient's future child in addition to the existing duty to the female patient creates a conflict of duties that could prompt doctors to offer treatment to some female patients in a way that might deprive them of their autonomy and freedom of informed choice in their medical care.

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[71] A second policy consideration that militates against the conclusion that there could be a proximate relationship between a doctor and a future child arises from the indirect aspect of this relationship. For legal proximity to exist, the relationship must be both "close and direct." Although a doctor's actions can, in some cases, directly harm a future child, the doctor's relationship with a future child is necessarily indirect. As Spigelman C.J. of the New South Wales Court of Appeal put it in his decision in the majority in *Harriton v. Stephens*, the relationship is "mediated" through the patient.

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[73] ... The doctor acts by providing advice and information to the mother, including, where teratogenic drugs are being prescribed, the potential effects on a fetus. In the case of a drug that is not teratogenic, and where the only issue is informed consent, the patient takes the information and makes the decision. Although women take care to ensure that their babies will be born healthy, they may decide that certain risks of possible harm to a fetus, such as the risk of multiple births and possible prematurity involved with fertility drugs, are minimal and are worth taking to obtain the benefit of the drug. Because women are autonomous decision makers with respect to their own bodies, they neither make the decision on behalf of the future child, nor do they owe a duty to act in the best interests of a future child: see *Dobson*, at pp. 780-81 S.C.R., and *Winnipeg Child and Family Services*, at pp. 947-49 S.C.R.

[74] In the case of a teratogenic drug, the issue is more complicated. The woman must still make an informed decision about whether to take the drug but, in the case of Accutane, the doctor may not prescribe the drug without also enlisting the agreement of the woman not to become pregnant. That agreement is implemented through the PPP program, which includes pre-prescription pregnancy tests and the use of sufficient birth control protection to try to prevent conception. In relation to the use of birth control, the doctor can do no more than enlist the agreement of the woman that she will use the necessary precautions not to become pregnant. The doctor cannot ensure that she will follow through with that agreement.

[75] In that way, the doctor's relationship with a future child is necessarily indirect. Not only can the doctor not advise or take instructions from a future child, the doctor may not be in a position to fulfill a duty of care to take all reasonable precautions to protect a future child from harm caused by a teratogenic drug. Could a doctor ever be sufficiently confident that his or her female patient (and her partner) will always diligently use effective birth control, or practice abstinence, which is one of the accepted birth control methods under the PPP?

[76] The conflicting duties that would be owed by a doctor to a female patient and to her future child (whether conceived or not yet conceived) in prescribing medication to the female patient, together with the indirect relationship between a doctor and a future child, reflect two aspects of the same reality. Because the woman and her fetus are one, both physically and legally, ... it is the woman whom the doctor advises and who makes the treatment decisions affecting herself and her future child. The doctor's direct relationship and duty are to the female patient. That relationship and that duty of care prevent a relationship of the requisite proximity between the doctor and future child because the interests of the mother and her future child may possibly conflict, as noted by the Supreme Court of Canada in *Winnipeg Child and Family Services*, at p. 949 S.C.R.

STAGE TWO OF THE ANNS TEST: RESIDUAL POLICY CONSIDERATIONS

[77] Having concluded that no *prima facie* duty of care arises, it is not necessary to go on to conduct the second stage of the *Anns* test. However, even if this court were prepared to conclude that there was a sufficient degree of proximity between the parties to base a *prima facie* duty of care, in my view, residual policy considerations at the second stage of the *Anns* test make the imposition of the proposed duty unwise.

[78] As the Supreme Court noted in *Cooper [v Hobart]*, 2001 SCC 79, [2001] 3 SCR 537, because policy considerations form part of a balancing of factors to determine whether there is a duty of care in any case, policy considerations may often be applied at either stage of the analysis. The policy issues of conflicting duties and the

indirectness of the relationship are also relevant at the second stage of the *Anns* test, which is concerned with "the effect of recognizing a duty of care on other legal obligations, the legal system and society more generally": *Odhavji Estate*, para. 51.

[79] Recognizing a duty of care by a doctor to a future child of a female patient would affect the doctor's existing legal obligation, which is to the patient. Recognizing the proposed duty would also have implications for society as a whole for several reasons. One is that our legal and medical systems recognize that a woman has the right, in consultation with her doctor, to choose to abort a fetus. Imposing a duty of a care on a doctor to a future child would interfere with the exercise of that right. Another implication for society as a whole is that, until a child is born alive, a doctor must act in the best interests of the mother. This obligation is consistent with society's recognition of the need to preserve a woman's "bodily integrity, privacy and autonomy rights": *Dobson*, at p. 769 S.C.R.

[80] Having pointed to these policy considerations that negative the imposition of the proposed duty, I acknowledge that there are also potentially undesirable consequences to society if the proposed duty is not recognized. A child born with disabilities as a result of medical treatment that would have been actionable in negligence if a duty of care were recognized will not be able to receive full compensation for the damage suffered, including the ... cost of lifetime care, loss of income and pain and suffering. This is a serious concern, which is only somewhat mitigated by the compensation that can be claimed by the parents from the doctor for the breach of duty to them both, or only to the mother, at least for the ongoing cost of the care of the child. ...

[81] Unfortunately, whenever the court concludes that there is no duty of care, a party who has been affected by another's conduct will not be able to recover in tort for the loss. In those situations, if there is to be a remedy, it is best left to the legislature to create and implement. It is for the legislature to consider and assess all of the policy issues and to determine whether and in what circumstances a remedy should be available to a child born with disabilities as a result of the conduct of the mother's doctor, as well as the nature and extent of any remedy.

[82] The other issue that arises if a doctor does not owe a duty of care to a future child, is how to protect society's interest in ensuring that doctors meet the standard of care when prescribing a teratogenic drug to a woman of childbearing capacity. One may ask, if the doctor does not owe a duty to a future child, then to what duty does the standard attach? In order to allow teratogenic drugs to be available for prescription, society must be confident that such drugs are prescribed responsibly, having in mind the protection of future children.

[83] I believe there are at least two answers to this issue. One is that a doctor owes a duty of care to the patient to properly prescribe Accutane and provide full information about the material risks that the drug poses to herself and to a future child if she were to become pregnant. If the doctor breaches that duty to the mother by failing to meet the standard of care for prescribing Accutane, the doctor will be liable to the mother for damages she suffers as a consequence of giving birth to a child with disabilities caused by the drug.

[84] The other answer is that doctors, as professionals, have professional and ethical responsibilities and obligations to maintain prescribed standards of practice. They are trusted to maintain these standards of practice and are also regulated by their professional bodies. In the case of Accutane, there is ongoing assessment in the medical community of the effectiveness of the PPP and whether further measures are required to prevent harm to the fetus *in utero*. For example, in the United States, the Food and Drug Administration ("FDA") recently tightened restrictions on the prescription of Accutane to women of childbearing potential, because of the

number of women in that ... country who continued to become pregnant while taking the drug. In March 2006, the FDA imposed the “iPLEDGE” program that requires all patients taking the drug to register, complete an informed consent form, obtain risk counselling and comply with the PPP. The program further requires that all physicians register with iPLEDGE prior to prescribing the drug: see Margot Andresen, “Accutane registry compulsory in US, but not Canada” (June 6, 2006) 174(12) C.M.A.J. 1701. Whether such requirements should be made mandatory on doctors in Canada by professional obligation or legislation is something for the relevant oversight bodies to decide.

[85] Therefore, even without imposing a duty of care on a doctor to a future child of a female patient, there are safeguards in place—and ways to improve these safeguards as needed—to protect society’s interest in preventing children from being unnecessarily affected by Accutane and other teratogenic drugs.

CONCLUSION ON DUTY OF CARE

[86] Applying the *Anns* test, I have concluded that the trial judge erred in law in finding that Dr. Ramji owed a duty of care to a potential future child when prescribing Accutane to Dawn Paxton. My conclusion and analysis do not turn on whether the claim is characterized as a claim for damages for wrongful life. Both in the case of *Lacroix* and in this case, the doctor prescribed a teratogenic drug that harmed the fetus, once conceived, and allegedly did not take sufficient steps to try to ensure that his patient did not become pregnant while taking the drug. Both cases could be characterized in some respects as wrongful life claims and in other respects as claims for harm caused by the doctor. However, deciding whether the claim is appropriately characterized as one for wrongful life is to decide the wrong question because it does not address the duty analysis, which is the analysis a court must apply to determine whether a duty of care is owed and, as a consequence, whether an action for negligence lies in a particular case. ...

[An application for leave to appeal this decision to the Supreme Court of Canada was dismissed, April 23, 2009.]

NOTES AND QUESTIONS

1. How would the court have decided *Cherry v Borsman* (1992), 94 DLR (4th) 487 (BCCA)? How would it have decided *Renslow v Mennonite Hospital* (the preconception tort case referred to in note 4 following the *Dobson* case, earlier in this chapter)?

2. In *Leibig v Guelph General Hospital*, 2010 ONCA 450, the infant plaintiff suffered injuries during childbirth resulting in cerebral palsy, allegedly because of the negligence of the defendants immediately before and during the delivery process. The court stated:

[6] In our view, this appeal may be properly decided on the basis of the very long and well-established line of cases, duly cited by the motion judge, holding that an infant, once born alive, may sue for damages sustained as a result of the negligence of healthcare providers during labour and delivery ...

[7] These cases follow from the general principle that “a child may sue in tort for injury caused before birth,” although the legal status to sue arises “only when the child is born” and “damages are assessed only as at the date of birth”: ...

[9] The central point of contention before both the motion judge and this court arises from the defendants’ contention that two recent decisions of this court—*Bovingdon v. Hergott* (2008), 88 O.R. (3d) 641 and *Paxton v. Ramji* (2008), 299 D.L.R. (4th) 614—introduced a

fundamental change to the law that requires us to depart from this established line of authority and to hold that Kevin Liebig has no cause of action against them. ...

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[12] At various points in the *Paxton* judgment, the court cast the issue in terms of a duty of care to a child “not yet conceived or born” or “conceived or not yet conceived” [emphasis added]: see paras. 53 and 76. The defendants adopt a strictly literal reading of those passages and submit that *Paxton* governs the present case and precludes recovery for the damages arising from the alleged negligence in the delivery of Kevin Liebig.

[13] We do not read those passages as governing the issue raised on this appeal. In accordance with the tradition of the common law and the doctrine of precedent, *Paxton* and *Bovingdon* must be read in the light of their precise facts, the issues they addressed, and in a proper legal context In our view, the authority of the labour and delivery cases remains intact and is unaffected by *Bovingdon* and *Paxton*.

[14] We recognize that, in the future, the reasoning in *Bovingdon* and *Paxton* may be brought to bear in other cases involving post-conception negligence. ...

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[19] Cases may well arise that do not fit neatly under any of the established principles and, on occasion, the established principles may appear to be in conflict. This situation is characteristic of the common law, which does not provide a comprehensive, over-arching theory of liability that is capable of deciding every case or dealing with every possibility or contingency. Principles emerge, take shape and are reconciled on the basis of fact and context-specific judicial decisions, aided by scholarly commentary. A common law court should be cautious about laying down principles or rules that are not required to decide the case at hand.

BROWN V CANADA (ATTORNEY GENERAL)

2017 ONSC 251

BELOBABA J: ...

[1] After eight years of protracted procedural litigation, the Sixties Scoop class action is before the court for a decision on the first stage of the merits. The representative plaintiff brings this motion for summary judgment asking that the certified common issue, which focuses on the liability of the federal government, be answered in favour of the class members. If the common issue is answered in favour of the class members, the class action will proceed to the damages stage. If the common issue is answered in favour of the federal government, the class action will be dismissed.

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BACKGROUND

[3] The background facts, as set out in the six previous decisions, are by now well-known, not only to the parties but to many Canadians, and will not be repeated here. In any event, the factual background is not in dispute.

[4] The Sixties Scoop happened and great harm was done.

[5] There is no dispute about the fact that thousands of aboriginal children living on reserves in Ontario were apprehended and removed from their families by provincial child welfare authorities over the course of the class period—from 1965 to 1984—and were placed in non-aboriginal foster homes or adopted by non-aboriginal parents.

[6] There is also no dispute about the fact that great harm was done. The “scooped” children lost contact with their families. They lost their aboriginal language, culture and identity. Neither the children nor their foster or adoptive parents were given information about the children’s aboriginal heritage or about the various educational and other benefits that they were entitled to receive. The removed children vanished “with scarcely a trace.” As a former Chief of the Chippewas Nawash put it: “[i]t was a tragedy. They just disappeared.”

[7] The impact on the removed aboriginal children has been described as “horrendous, destructive, devastating and tragic.” The uncontroverted evidence of the plaintiff’s experts is that the loss of their aboriginal identity left the children fundamentally disoriented, with a reduced ability to lead healthy and fulfilling lives. The loss of aboriginal identity resulted in psychiatric disorders, substance abuse, unemployment, violence and numerous suicides. Some researchers argue that the Sixties Scoop was even “more harmful than the residential schools”: Residential schools incarcerated children for 10 months of the year, but at least the children stayed in an Aboriginal peer group; they always knew their First Nation of origin and who their parents were and they knew that eventually they would be going home. In the foster and adoptive system, Aboriginal children vanished with scarcely a trace, the vast majority of them placed until they were adults in non-Aboriginal homes where their cultural identity and legal Indian status, their knowledge of their own First Nation and even their birth names were erased, often forever.

[8] One province, Manitoba, has issued a formal apology. On June 18, 2015, the premier of Manitoba apologized on behalf of the province for the “historical injustice” of the Sixties Scoop and “the practice of removing First Nation, Métis and Inuit children from their families and placing them for adoption in non-Indigenous homes, sometimes far from their home community, and for the losses of culture and identity to the children and their families and communities.”

[9] All of this, however, is background and is not determinative of the legal issue that is before the court. The court is not being asked to point fingers or lay blame. The court is not being asked to decide whether the Sixties Scoop was the result of a well-intentioned governmental initiative implemented in good faith and informed by the norms and values of the day, or was, as some maintain, state-sanctioned “culture/identity genocide” that was driven by racial prejudice to “take the savage out of the Indian children.” This is a debate that is best left to historians and, perhaps, to truth and reconciliation commissions.

[10] The issue before this court is narrower and more focused. The question is whether Canada can be found liable in law for the class members’ loss of aboriginal identity after they were placed in non-aboriginal foster and adoptive homes.

COMMON ISSUE

[11] The certified common issue that is before the court for adjudication is this:

When the Federal Crown entered into the Canada-Ontario Welfare Services Agreement in December 1, 1965 and at any time thereafter up to December 31, 1984:

- (1) Did the Federal Crown have a fiduciary or common law duty of care to take reasonable steps to prevent on-reserve Indian children in Ontario who were placed in the care of non-aboriginal foster or adoptive parents from losing their aboriginal identity?
- (2) If so, did the Federal Crown breach such fiduciary or common law duty of care?

[12] Three observations should be made. First, the Canada-Ontario Welfare Services Agreement entered into on December 1, 1965 (“the 1965 Agreement” or “the

Agreement”) is obviously at the core of the common issue. Second, the focus of the common issue is the action or inaction of Canada, not Ontario; and, three, the focus of attention is only on the time period after the aboriginal children had been placed in non-aboriginal foster or adoptive homes. The actual apprehension and removal of the children from the reserves by provincial child-care workers is not an issue that is before the court.

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CLASS DEFINITION

[14] The class is defined to include the estimated 16,000 aboriginal children who were removed from reserves in Ontario and placed in non-aboriginal foster homes or were adopted by non-aboriginal parents. The class period covers 19 years—from December 1, 1965 (when Canada entered into the 1965 Agreement) to December 31, 1984 (when Ontario amended its child welfare legislation to recognize for the first time that aboriginality should be a factor to be considered in child protection and placement matters).

THE 1965 AGREEMENT

[15] The genesis of the 1965 Agreement can be found in the discussions that took place at the 1963 Federal-Provincial Conference. According to the preamble in the 1965 Agreement, the 1963 Conference “determined that the principal objective was the provision of provincial services and programs to Indians on the basis that needs in Indian Communities should be met according to standards applicable to other communities.” The stated goal of the 1965 Agreement was to “make available to the Indians in the province the full range of provincial welfare programs.”

[16] Under s. 2(1) of the 1965 Agreement, Ontario undertook to extend some 18 provincial welfare programs to “Indians with Reserve Status in the Province.” The provincial programs in question, as listed in Schedules A and C to the Agreement, included blind and disabled person allowances, mothers’ allowances, care of the aged and child welfare services, that is “services to children, including the protection and care of neglected children, the protection of children born out of wedlock and adoption services provided under the [Ontario] Child Welfare Act ...”

[17] There is no doubt that Canada could have enacted its own child protection statute aimed only at Indian children on reserves or, indeed, any of the other 17 provincial laws that formed part of the 1965 Agreement. But it chose not to do so. Ontario already had operating provincial programs in place. And even though the province could have extended these laws to the reserves as “laws of general application” under s. 88 of the *Indian Act*, it was clearly not doing so. It made sense, therefore, for Canada to fund the provincial extension to the reserves of the 18 listed provincial laws as an exercise of its spending power. Canada’s financial obligation under the 1965 Agreement was to reimburse the province for the per capita cost of the provincial programs that were so extended, in accordance with the formula that was set out in the Agreement.

[18] It is important to understand, however, that the 1965 Agreement was more than a federal spending agreement. It also reflected Canada’s concern that the extension of the provincial laws would respect and accommodate the special culture and traditions of the First Nations peoples living on the reserves, including their children.

[19] That is why section 2(2) was added.

OBLIGATION TO CONSULT UNDER SECTION 2(2)

[20] Ontario's undertaking to extend the provincial welfare programs as set out in s. 2(1) was made "subject to (2)." Sub-section 2(2) of the Agreement said this:

No provincial welfare program shall be extended to any Indian Band in the Province unless that Band has been consulted by Canada or jointly by Canada and by Ontario and has signified its concurrence.

[21] It is obvious not only from the plain meaning of this provision but also from the circumstances surrounding the execution of the 1965 Agreement that the obligation to consult with Indian Bands and secure their concurrence was intended to be a key component of the Agreement. One only has to consider what was said in a background memorandum prepared by Canada for use at the 1963 Federal-Provincial Conference:

The utmost care must be taken ... to ensure that the Indians are not again presented with a fait accompli in the form of a blueprint for their future which they have had no part in developing and which they have been given no opportunity to influence. This means that the Federal Government should make crystal clear that before any final arrangements are made, the Indians must be fully consulted.

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[24] In short, Canada was prepared to exercise its spending power to fund the extension of the provincial programs to reserves but only with the advice and consent of every affected Indian Band to every one of the 18 provincial programs that were being so extended. It is obvious from the record that the obligation to consult, as set out in s. 2(2) of the 1965 Agreement, was intended to include explanations, discussions and accommodations. It was meant to be a genuinely meaningful provision.

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NO INDIAN BANDS WERE EVER CONSULTED

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[36] On the record before me, I find that no Indian Bands were ever consulted before provincial child welfare services were extended to the reserves and no Bands ever provided their "signified concurrence" following such consultations. The evidence supporting the plaintiff on this point is, frankly, insurmountable. In any event, Canada offered no evidence to suggest otherwise.

CANADA BREACHED THE 1965 AGREEMENT

[37] I find that by failing to consult the Indian Bands, Canada breached section 2(2) of the 1965 Agreement. This finding may seem self-evident but it requires some explanation.

[38] Under section 2(1) of the Agreement, Ontario undertook to extend the listed provincial welfare programs to Indians on reserves but did so "subject to (2)" which required consultation by Canada. One could argue that it was Ontario that breached sections 2(1) and (2) of the Agreement because it proceeded to extend the named provincial programs to the reserves even though Canada had not consulted any Indian Band. The plaintiff, however, filed this class action against Canada, not Ontario.

[39] The question therefore is whether Canada breached section 2(2) of the Agreement. Strictly speaking, there is nothing in section 2(2) which explicitly obliges Canada to actually undertake the consultations referred to therein. However, the

undertaking to do so can be implied from the language and context of this provision. The law is clear that a contractual term can be implied if it is a contractual term that must have been intended by the parties and is necessary or obvious in light of the particular circumstances of the agreement. The law is also clear that “where the approval of a third party is necessary in order to enable a contract to proceed, it may be implied that the party in a position to seek that approval must make reasonable efforts to do so.”

[40] I therefore have no difficulty concluding that under section 2(2) of the 1965 Agreement, Canada undertook to consult with the Indian Bands, that it failed to do so and thus breached this provision of the Agreement.

IF THE INDIAN BANDS HAD BEEN CONSULTED

[41] Canada argues that even if it had consulted with the Indian bands, as it was obliged to do under section 2(2), there is no evidence that any of the Indian bands would have provided any ideas or advice that could have prevented the Indian children who had been removed and placed in non-aboriginal foster or adoptive homes from losing their aboriginal identity. Counsel for Canada put it this way: “[W]ould life have been different had they been consulted?”

[42] This is an odd and, frankly, insulting submission. Canada appears to be saying that even if the extension of child welfare services to their reserves had been fully explained to the Indian Bands and if each Band had been genuinely consulted about their concerns in this regard, that no meaningful advice or ideas would have been forthcoming.

[43] In the documentation produced by Canada over the course of the class period, there are numerous memoranda and letters from both federal and First Nations representatives setting out in some detail the kinds of things that could have been done to prevent the loss of aboriginal identity post-placement. For example: educating non-aboriginal foster and adoptive parents about the relevant cultural differences and providing them with information about the aboriginal child’s entitlement to various federal benefits and payments.

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[49] If these ideas and suggestions had been implemented as part of the extension of the provincial child welfare regime—that is, if the foster or adoptive parents had been provided with information about the aboriginal child’s heritage and the federal benefits and payments that were available when the child became of age, and if the foster or adoptive parents had shared this information with the aboriginal child that was under their care, it follows in my view that it would have been far less likely that the children of the Sixties Scoop would have suffered a complete loss of their aboriginal identity.

[50] Canada says things were different back then. Canada argues that in 1965 and in the years immediately following, it was not foreseeable, given the state of social science knowledge at the time, that trans-racial adoptions or placements in non-aboriginal foster homes would have caused the great harm that resulted.

[51] Canada’s submission misses the point.

[52] The issue is not what was known in the 1960s about the harm of trans-racial adoption or the risk of abuse in the foster home. The issue is what was known in the 1960s about the existential importance to the First Nations peoples of protecting and preserving their distinctive cultures and traditions, including their concept of the extended family. There can be no doubt that this was well understood by Canada at the time. For example, focusing on adoption alone, Canada knew or should have known that the adoption of aboriginal children by non-aboriginal parents constituted

“a serious intrusion into the Indian family relationship” that could “obliterate the [Indian] family and ... destroy [Indian] status.”

[53] Recall as well that the Indian Affairs Branch was of the view that “it would be a serious breach of faith with the Indian people if any provincial services were forced on a Band against its wishes.” Indeed, as I have already noted, it was this very understanding, namely the importance to the First Nations peoples of protecting and preserving their distinctive cultures and traditions, that best explains why section 2(2) and the obligation to consult was added to the 1965 Agreement in the first place.

[54] In sum, information about the aboriginal child’s heritage and his or her entitlement to various federal benefits was in and of itself important to both the Indian Band and the removed aboriginal children—not only to ensure that the latter knew about their aboriginal roots and “could always come home” but also about the fact that they could apply for the various federal entitlements, including a free university education, and other financial benefits once they reached the age of majority.

[55] Much of this information was finally provided by the federal government in 1980.

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RETURNING TO THE COMMON ISSUE

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[64] Was Canada legally obliged to provide such information? The plaintiff says yes and makes two submissions, one based on fiduciary law and the second based on the common law. For the reasons that follow, I find that Canada’s liability cannot be established under fiduciary law but can be established under the common law. I will explain each of these findings in turn.

[Belobaba J found that Canada was not under a fiduciary duty because it had not assumed such a degree of discretionary control over the protection and preservation of aboriginal identity that it amounted to a direct administration of that interest. He then continued:]

[72] A duty of care at common law, however, has been established. In my view, section 2(2) and the obligation to consult creates a common law duty of care and provides a basis in tort for the class members’ claims.

[73] The common law duty of care arises out of the fact that the 1965 Agreement is analogous to a third-party beneficiary agreement. Canada undertook the obligation to consult in order to benefit Indian Bands (and by extension, Indians living on the reserves, including children). The Indian Bands are not parties to the Agreement. But a tort duty can be imposed on Canada as a contracting party in these circumstances. As a leading contracts scholar explains:

There are ... cases in which the tort duty owed to the third party appears to arise directly from the breach of contract. In recent English cases, for example, solicitors have been held liable to prospective beneficiaries for their failure to draw up a will or execute it properly. Such failures would constitute breach of contractual duties owed to their clients that could not be enforced in a contract claim by the prospective beneficiaries because of the third-party beneficiary rule. Their claim in tort, which avoids the third-party beneficiary rule, appears to flow directly from the initial breach of contract.

[74] Similarly here, the plaintiff’s claim in tort (the existence and breach of a common law duty of care) flows directly from the fact that at the time of entering

the 1965 Agreement, Canada assumed and breached the obligation to consult with the third-party Indian Bands. If the circumstances of a solicitor drafting a will for the benefit of a third-party beneficiary is “sufficient to create a special relationship to which the law attaches a duty of care,” the same should follow even more where there is not only a unique and pre-existing “special relationship” based on both history and law but a clear obligation to consult the beneficiaries about matters of existential importance.

[75] I pause here to acknowledge that strictly speaking the third-party beneficiaries under the 1965 Agreement were the Indian Bands not the apprehended children—that is, not the class members. It is certainly open to Canada to take the position that the breach of the Agreement and the duty of care that flowed from this breach applied only to the Indian Bands and not to the removed Indian children. I remain confident, however, that such a formalistic argument, fully acceptable in the commercial context, will not be advanced in the First Nations context where notions of good faith, political trust and honourable conduct are meant to be taken seriously, and where Canada’s breach of the 1965 Agreement was so flagrant.

[76] If I am wrong in my conclusion that the common law duty of care as alleged herein can be established under existing law as just described, and instead is better understood as a novel claim, I now turn to the analysis that applies when dealing with a novel claim.

[77] The applicable legal approach is the “two stage” analysis known as the *Anns-Cooper* test. The first stage question is whether the facts disclose a relationship of proximity in which failure to take reasonable care might foreseeably cause loss or harm to the plaintiff. If this is established, a *prima facie* duty of care arises and the analysis proceeds to the second stage, which asks whether there are any residual policy reasons why this *prima facie* duty of care should not be recognized.

[78] In my view, under the first stage of the analysis, a *prima facie* duty of care is established. It is beyond dispute that there is a special and long-standing historical and constitutional relationship between Canada and aboriginal peoples that has evolved into a unique and important fiduciary relationship.

[79] It is also beyond dispute that given such close and trust-like proximity it was foreseeable that a failure on Canada’s part to take reasonable care might cause loss or harm to aboriginal peoples, including their children. As the Supreme Court noted in *Cooper v. Hobart*, by looking at the “expectations” and “interests involved” the court can evaluate “the closeness of the relationship between the plaintiff and the defendant” and can “determine whether it is just and fair having regard to that relationship to impose a duty of care in law upon the defendant.”

[80] Even in the absence of section 2(2) and the obligation to consult, Canadian law, during the time period in question, “accepted” that Canada’s care and welfare of the aboriginal peoples was a “political trust of the highest obligation.” And there can be no doubt that the aboriginal peoples’ concern to protect and preserve their aboriginal identity was and remains an interest of the highest importance. As the Divisional Court put it: “[i]t is difficult to see a specific interest that could be of more importance to aboriginal peoples than each person’s connection to their aboriginal heritage.”

[81] The content of the 1965 Agreement and Canada’s clear obligation to consult and secure the signified concurrence of the affected Indian Band before the child welfare regime was extended to that reserve reinforces the conclusion that the proximity criterion is easily satisfied on the evidence herein and that it is indeed just and fair to impose a duty of care upon the defendant. All the more so when the focus of the extended child welfare regime was a highly vulnerable group, namely children in need of protection. I therefore find that a *prima facie* duty of care has been established.

[82] I can now turn to the second stage of the *Anns-Cooper* analysis. In my view, Canada has not advanced any credible policy consideration that would negate the common law duty of care. Canada says that imposing a duty on the federal government to provide essential information about aboriginal identity and federal financial benefits to the non-aboriginal foster and adoptive parents would “penalize Canada for having used its spending power to ensure that Ontario had the capacity to provide Indian children on reserves in need of protection with that very protection.” In my view, this submission does not succeed. Imposing a duty of care to provide said information would not have “penalized” anybody. All that would have happened in this case is that Canada would have provided the much-needed information in and around 1965 and not fifteen years later.

[83] I therefore find that a common law duty to take steps to prevent aboriginal children who were placed in the care of non-aboriginal foster or adoptive parents from losing their aboriginal identity has been established.

NOTE

On June 20, 2018, Belobaba J approved the settlement of this litigation in *Brown v Canada (AG)*, 2018 ONSC 3429:

1 The Sixties Scoop, nationally acknowledged as a “dark and painful chapter in Canada’s history,” generated some 23 actions in superior and federal courts across the country. The Ontario action that is before me, *Brown v. Canada*, is the most advanced. In litigation for almost nine years, it was *Brown* that established Canada’s liability in tort to the Sixties Scoop survivors in Ontario. The other actions remain at the starting gate.

2 Canada agreed to settle *Brown* but only if the other actions were included in one nation-wide settlement.

3 Justice Michel Shore of the Federal Court mediated the national settlement. The parties reached an agreement in principle on August 30, 2017. The national settlement agreement (“the Settlement Agreement” or “Agreement”) was formally executed on November 30, 2017. As part of the national settlement, the other actions were consolidated into an omnibus Federal Court action, which I will refer to as the *Riddle* action.

4 On May 11, 2018 after two days of hearings in Saskatoon, Justice Shore approved the Settlement Agreement for the purposes of the *Riddle* action. He was satisfied that the national settlement was fair and reasonable and in the best interests of the class members. ...

5 The Settlement Agreement is now before me for a similar approval in the context of the *Brown* action. ...

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7 The cornerstones of the Agreement are the payment of individual compensation without proof of harm and the establishment of a national foundation that will be devoted to memorializing the stories of the Sixties Scoop survivors and dedicated to the goals of reconciliation and healing.

8 Canada has agreed to pay a minimum of \$500 million and a maximum of \$750 million to cover the individual payments to Sixties Scoop survivors. The individual payments are capped at \$50,000 per person. Canada has also agreed to pay a further \$50 million to fund the foundation and \$75 million in legal fees to class counsel.

9 The most likely overall value of the Settlement Agreement is about \$550 million—\$50 million for the foundation and a minimum of \$500 million for the individual payments. The potential overall value is \$800 million—\$50 million for the foundation and a maximum of \$750 million for the individual payments.

10 There is much in the design and content of the Settlement Agreement that is impressive and reflects well on the parties and their legal counsel and, of course, on Justice Shore as mediator. For example, the decision to resolve all of the Sixties Scoop class actions in one national settlement; the expansion of the class definition and the operable time period so that many more Sixties Scoop survivors can be included; Canada's commitment to pay a fixed damages amount to every eligible claimant without requiring proof of harm; the use of a simplified one-page application form; the provision of an "exceptions" mechanism to deal with unusual or difficult cases; the payment of a separate and all-inclusive legal fee to class counsel to cover both work done to date and any future assistance that claimants may require; and, of course, the establishment of a national foundation to address reconciliation and healing.

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13 On balance, I was favourably impressed when I first reviewed the Settlement Agreement. The establishment of a national foundation for reconciliation and healing was clearly of over-arching importance. The agreement to pay individual compensation based on a one-page application form and without requiring proof of harm was admirable. I was also aware that Chief Marcia Brown Martel, the representative plaintiff in the *Brown* action who was deeply involved in every aspect of both the litigation and the settlement discussions, was satisfied overall that the Settlement Agreement was fair and reasonable and in the best interests of the class.

Two concerns

14 I had only two concerns when I concluded my review of the Agreement. First, whether a \$25,000 to \$50,000 payment as damages for the loss of one's Indigenous cultural identity was indeed a fair and reasonable amount given the harm that was sustained by the class members. Second, the \$75 million payment to class counsel for legal fees.

15 I am now satisfied that given the risks of further litigation, a \$25,000 to \$50,000 payment for the loss of one's Indigenous cultural identity is fair and reasonable and should be approved. But not the payment of \$75,000,000 for legal fees. I am not satisfied that \$75 million for legal fees is anywhere close to reasonable.

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The size of the individual payment

17 The parties' best estimate is that 22,400 Indigenous children nation-wide were "scooped" from their homes and placed with non-Indigenous foster or adoptive parents over the applicable 40-year time-period. The best estimate of a take-up rate is that just under half of the eligible claimants—or about 10,000 claimants—will apply for compensation. If this take-up estimate proves correct, then each claimant will receive the maximum of \$50,000. If there are 15,000 claimants, the individual payment will fall to \$33,333. If there are 20,000 to 30,000 claimants, the individual payment will be \$25,000. Class counsel believe that the individual payment will most likely be in the range of \$25,000 to \$50,000.

18 Only a tiny percentage of the class members in *Brown* submitted written objections or attended in court to tell their stories and voice their concerns in person. The primary concern was that the \$25,000 to \$50,000 payment was not enough.

19 I can certainly understand this objection. Even though the *Brown* action is limited to the loss of cultural identity, the harm that was done to the "scooped" children on this point alone was lasting and profound. The stories told by the Sixties Scoop survivors are deeply disturbing. But equally poignant is the realization of these very survivors that "no amount of money can ever fix the damage [that was done] ... no amount of money can give me a family ... no amount of money can give people back their sense of belonging."

20 On the Sixties Scoop Website, one finds an exchange that goes to the very heart of the matter. The key question is posed as follows: *"What about \$25,000 - \$50,000? That doesn't seem very much for someone who lost their cultural identity?"* The answer, provided by lead class counsel Jeffery Wilson, was astute and unassailable:

You're right. It isn't very much. There is no amount of money that could replace what you have lost or that could make up for what you suffered ... There is no "enough." I know someone wrote in and said, "It should be a hundred thousand dollars." Maybe, it should be more. But, no court would have ever ordered anything close to \$100,000. We negotiated against the backdrop of what we could realistically get from the court, applying western law. Like any other case, this one is the beginning, the first step.

And while this settlement cannot give you back what you deserve or what you have lost, it can make a very big difference. It is symbolic and shows that cultural identity will now be something that courts have to consider, and measure in all cases from this point forward. Because of you, the law must now recognize that "saving the child" means keeping him or her with family, or extended family or her or his community.

Loss of cultural identity is a collective loss. That means we have to consider the total of what we have achieved, and not simply the amount per claimant.

21 There is little doubt that a \$25,000 to \$50,000 payment to the Sixties Scoop survivors for the loss of their cultural identity is a modest amount of money. However, after reviewing all the evidence before me and after considering the many pitfalls that await the class members if the lawsuit were to continue, I conclude that a payment in this range is indeed fair and reasonable and in the best interests of the class. I say this for the following reasons:

- The claim itself (damages for loss of cultural identity) is a novel claim in Canadian law. It is true that some Australian courts have recognized a "loss of cultural fulfilment" tort claim in the aboriginal context but most of the damage awards in these cases are in the \$10,000 to \$40,000 range;
- In her statement of claim, the representative plaintiff claimed "at least \$50,000" in general damages for the loss of cultural identity, thus signalling that a \$50,000 payment would be acceptable;
- The \$50,000 damages award should be discounted substantially to reflect the risks that await the class members if they continue with the litigation—the limitation defences, causation issues, the likely unavailability of an aggregate damages approach and the need for literally thousands of individual trials, and the inevitable and time-consuming appeal process. In short, years of further litigation with no guarantee of success and a very real risk of getting nothing. When one considers the risks of continued litigation, an immediate payment in the range of \$25,000 to \$50,000 without having to show any proof of harm is not unreasonable;
- Most importantly, the Settlement Agreement provides for the establishment of a federally-funded national foundation that will be dedicated to the memorialization of the survivors' stories and to the ongoing process of reconciliation and healing. This is an important institutional benefit that could not have been attained with continued litigation.

22 Class counsel in *Brown* submit that the settlement, including the \$25,000 to \$50,000 individual payment, "exceeds our best day in court." I do not disagree.

23 I am satisfied that the payment of \$25,000 to \$50,000 falls within a zone of reasonableness and should be approved. In sum, I am satisfied that the core settlement provisions that provide from \$550 million to \$800 million in cash and non-cash benefits are fair and reasonable and in the best interests of the class.

RANKIN (RANKIN'S GARAGE AND SALES) V JJ

2018 SCC 19

KARAKATSANIS J (McLACHLIN CJ and ABELLA, MOLDAVER, WAGNER, CÔTÉ and ROWE JJ concurring):

1 A vehicle is stolen from a commercial garage. The vehicle is crashed. Someone is injured. Does the business owe a duty of care to the injured party? The question in this appeal is whether the courts below erred in recognizing a duty of care owed by a business that stores vehicles to someone who is injured following the theft of a vehicle.

2 In my view, this case is easily resolved based on a straightforward application of existing tort law principles. This requires analytical rigour and a proper evidentiary basis. The plaintiff did not provide sufficient evidence to support the establishment of a duty of care in these circumstances. While the risk of theft was reasonably foreseeable, the evidence did not establish that it was foreseeable that someone could be injured by the stolen vehicle. Here, there was no evidence to support the inference that the stolen vehicle might be operated in an unsafe manner, causing injury. When considering the security of the automobiles stored at the garage, there was no reason upon this record for someone in the position of the defendant garage owner to foresee the risk of injury. ... A business will only owe a duty to someone who is injured following the theft of a vehicle when, in addition to theft, the unsafe operation of the stolen vehicle was reasonably foreseeable.

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Reasonable Foreseeability and Proximity

21 Since *Donoghue*, the “neighbour principle” has been the cornerstone of the law of negligence. Lord Atkin’s famous quote respecting how far a legal neighbourhood extends incorporates the dual concerns of reasonable foreseeability of harm and proximity:

The rule that you are to love your neighbour becomes in law, you must not injure your neighbour; and the lawyer’s question, Who is my neighbour? receives a restricted reply. You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be—persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question. [p. 580]

Reasonable foreseeability of harm and proximity operate as crucial limiting principles in the law of negligence. They ensure that liability will only be found when the defendant ought reasonably to have contemplated the type of harm the plaintiff suffered.

22 The rationale underlying this approach is self-evident. It would simply not be just to impose liability in cases where there was no reason for defendants to have contemplated that their conduct could result in the harm complained of. Through the neighbour principle, the defendant, as creator of an unreasonable risk, is connected to the plaintiff, the party whose endangerment made the risk unreasonable: E. J. Weinrib, “The Disintegration of Duty,” in M. S. Madden, ed., *Exploring Tort Law* (2005), 143, at p. 151. The wrongdoing relates to the harm caused. Thus, foreseeability

operates as the “fundamental moral glue of tort,” shaping the legal obligations we owe to one another, and defining the boundaries of our individual liability: D. G. Owen, “Figuring Foreseeability” (2009), 44 Wake Forest L. Rev. 1277, at p. 1278.

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24 When determining whether reasonable foreseeability is established, the proper question to ask is whether the plaintiff has “offer[ed] facts to persuade the court that the risk of the *type of damage* that occurred was reasonably foreseeable to the *class of plaintiff* that was damaged”: A. M. Linden and B. Feldthusen, *Canadian Tort Law* (10th ed. 2015), at p. 322 (emphasis added). This approach ensures that the inquiry considers both the defendant who committed the act as well as the plaintiff, whose harm allegedly makes the act wrongful. As Professor Weinrib notes, the duty of care analysis is a search for the connection between the wrong and the injury suffered by the plaintiff: p. 150; see also *Anns*, at pp. 751-52; *Childs*, at para. 25.

25 The facts of this case highlight the importance of framing the question of whether harm is foreseeable with sufficient analytical rigour to connect the failure to take care to the type of harm caused to persons in the plaintiff’s situation. Here, the claim is brought by an individual who was physically injured following the theft of the car from Rankin’s Garage. The foreseeability question must therefore be framed in a way that links the impugned act (leaving the vehicle unsecured) to the harm suffered by the plaintiff (physical injury).

26 Thus, in this context, it is not enough to determine simply whether the theft of the vehicle was reasonably foreseeable. The claim is not brought by the owner of the car for the loss of the property interest in the car; if that were the case, a risk of theft in general would suffice. Characterizing the nature of the risk-taking as the risk of theft does not illuminate why the impugned act is wrongful in this case since creating a risk of theft would not necessarily expose the plaintiff to a risk of physical injury. Instead, further evidence is needed to create a connection between the theft and the unsafe operation of the stolen vehicle. The proper question to be asked in this context is whether the type of harm suffered—personal injury—was reasonably foreseeable to someone in the position of the defendant when considering the security of the vehicles stored at the garage.

ANALYSIS

27 There is no clear guidance in Canadian case law on whether a business owes a duty of care to someone who is injured following the theft of a vehicle from its premises. ... I turn to the *Anns/Cooper* analysis.

28 I cannot agree with my colleague’s position that this case is captured by a broad category defined simply as foreseeable physical injury: see *Cooper*; *Childs*. Such an approach would be contrary to recent guidance from this Court that categories should be framed narrowly (see *Deloitte*, at para. 28); indeed, even in *Deloitte*, the “broad” categories discussed were narrower than foreseeable physical injury (e.g. the duty of care owed by a motorist to other users of the highway; the duty of care owed by a doctor to a patient) (see para. 27). Moreover, in a case like this, applying such a broad category would ignore any distinction between a business and a residential defendant that may be relevant to proximity and/or policy considerations. The application of my colleague’s proposed category to the facts in this case would signal an expansion of that category in a manner that would subsume many of the categories recognized in tort law, rendering them redundant in cases of physical injury (e.g. the duty of a motorist to users of the highway (*Hill v. Hamilton-Wentworth Regional Police Services Board*, 2007 SCC 41, [2007] 3 S.C.R. 129, at para. 25); the duty of a manufacturer to consumers (*Mustapha*, at para. 6)). Neither the courts below

nor the parties articulated the issue in this case so broadly. Finally, foreseeability of injury is built into the category that my colleague identifies—and, as discussed below, foreseeability of injury is not present in the instant case.

WAS THE RISK OF PERSONAL INJURY REASONABLY FORESEEABLE IN THIS CASE?

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34 I accept that the evidence could establish, as the jury found, that the defendant ought to have known of the risk of theft. However, it does not automatically flow from evidence of the risk of theft in general that a garage owner should have considered the risk of physical injury. I do not accept that anyone that leaves a vehicle unlocked with the keys in it should always reasonably anticipate that someone could be injured if the vehicle were stolen. This would extend tort liability too far. Physical injury is only foreseeable when there is something in the facts to suggest that there is not only a risk of theft, but that the stolen vehicle might be operated in a dangerous manner.

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36 We were referred to only three trial court decisions where the subsequent injury to a third party was found to be foreseeable: *Kalogeropoulos* (relied on by the trial judge); *Cairns*; and *Provost*.

37 In *Kalogeropoulos*, a defendant left a vehicle running in an area with bars nearby just after closing time (paras. 50-52). A man returning from an evening of drinking stole the vehicle. The defendant's colleagues chased the thief and the stolen vehicle was crashed into a taxi cab.

38 In *Cairns*, a group of high school students stole the keys for six cars from a car dealership and returned to the car dealership a few days later to steal two cars in broad daylight. One of the youth, who had never driven before, drove through a red light and struck and killed a pedestrian. The trial judge found as a fact that the dealership was aware that young people without driving experience were the most likely perpetrators of the theft of the keys (p. 4). In these circumstances, it was foreseeable that they would return to steal the cars. This connected the risk of theft to a risk of harm from an inexperienced driver fleeing the scene of the theft.

39 In *Provost*, a duty of care on the part of an automobile dealership was found based on the Court of Appeal's decision in the present case. *Provost* concerned the theft of a truck left running for 40 minutes in public view in an open area frequented by many. The accident occurred while fleeing the scene of the crime. Without determining whether this evidence was sufficient to establish a duty of care, I note that there was specific evidence led about the risk of erratic driving that flows from fleeing the police in a stolen vehicle (paras. 142-45).

40 In each of these cases, there was something in the factual matrix that could connect the theft and the subsequent unsafe driving of the stolen car and thus make personal injury foreseeable.

41 I agree with the weight of the case law that the risk of theft does not *automatically* include the risk of injury from the subsequent operation of the stolen vehicle. It is a step removed. To find a duty, there must be *some* circumstance or evidence to suggest that a person in the position of the defendant ought to have reasonably foreseen the risk of injury—that the stolen vehicle could be operated unsafely. That evidence need not be related to the characteristics of the particular thief who stole the vehicle or the way in which the injury occurred, but the court must determine whether reasonable foreseeability of the risk of injury was established on the evidence before it.

42 In the circumstances of this case, the courts below relied upon the risk of theft by minors (who could well be inexperienced or reckless drivers) to connect the failure to secure the vehicles with the nature of the harm suffered, personal injury.

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45 However, the risk of theft in general does not automatically include the risk of theft by minors. I cannot agree with my colleague's suggestion that because minors are reckless, "minors are no less likely to steal a car than any other individual" and therefore, theft by a minor is reasonably foreseeable (para. 83). The inferential chain of reasoning is too weak—it is not enough to say that it is possible that unsupervised minors would be roaming the lot looking for unlocked vehicles.

46 The fact that something is *possible* does not mean that it is reasonably foreseeable. Obviously, any harm that has occurred was by definition possible. Thus, for harm to be reasonably foreseeable, a higher threshold than mere possibility must be met: *Childs*, at para. 29. Some evidentiary basis is required before a court can conclude that the risk of theft includes the risk of theft by *minors*. Otherwise theft by a minor would always be foreseeable—even without any evidence to suggest that this risk was more than a mere possibility. This would fundamentally change tort law and could result in a significant expansion of liability.

47 J. relies on the case of *Holian v. United Grain Growers Ltd.* (1980), 112 D.L.R. (3d) 611 (Man. Q.B.), rev'd on other grounds (1980), 114 D.L.R. (3d) 449 (Man. C.A.), for the proposition that a commercial enterprise ought to have regard for possible injury if there is a theft by a minor. In that case, the plaintiff was injured after a group of boys, aged 8 to 13, stole some insecticide from the defendant's unlocked storage shed to use as "stink bombs." They then threw the insecticide into the plaintiff's car and the plaintiff was injured after inhaling the poisonous gas. The court concluded that the defendant's employees knew that children used the area near the storage shed as a shortcut. This made it reasonably foreseeable that minors may have stolen from the storage shed.

48 Here, there is nothing about the circumstances of cars stored in a garage lot after hours in the main intersection of this town that was intended or known to attract minors. Indeed, there is no evidence that J. or his friend were targeting Rankin's Garage in particular; they were looking all over town for unlocked cars. Unlike an ice cream truck, vehicles are not designed to attract children: see *Arnold v. Teno*, [1978] 2 S.C.R. 287, at pp. 300-302. The witnesses who discussed the history of car thefts in the area did not suggest that minors were responsible for the thefts. Thus, there was insufficient evidence to suggest that minors would frequent the premises at night, or be involved in joyriding or theft.

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55 To summarize, the evidence did not provide specific circumstances to make it reasonably foreseeable that the stolen car might be driven in a way that would cause personal injury. ...

BROWN J dissenting (GASCON J concurring): ...

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DOES THE RELATIONSHIP IN THIS CASE FALL WITHIN A PREVIOUSLY RECOGNIZED CATEGORY?

73 The trial judge found, and J. argued before this Court, that the relationship between Rankin and J. falls within a category of relationships in which a duty of care has been previously found to exist, such that a full *Anns/Cooper* analysis is unnecessary.

I agree. In *Cooper v. Hobart*, this Court identified the first category of relationships in which a duty of care has been previously recognized as being that “where the defendant’s act foreseeably causes physical harm to the plaintiff.” To show that the circumstances of a case fall within this category, a plaintiff need only demonstrate that physical injury to him or her was a reasonably foreseeable consequence of a defendant’s overt act of negligence. This is because, as this Court explained in *Deloitte & Touche v. Livent Inc. (Receiver of)*, when determining whether a previously recognized category applies, “court[s] should be attentive to the *particular factors* which justified recognizing that prior category in order to determine whether the relationship at issue is, in fact, truly the same as or analogous to that which was previously recognized.” And, in cases of foreseeable physical injury, the “factor” which justifies the establishment of a proximate relationship and a duty of care is the foreseeability of injury alone. Indeed, the majority appears to agree that this will “often” be the case. Where foreseeability of physical injury is shown, proximity is established by analogy to those cases where reasonably foreseeable physical injury had previously prompted a court to recognize a duty of care. It follows that, in such cases, a duty of care will be properly recognized under the categorical approach and there will be no need to undertake a full *Anns/Cooper* analysis.

74 In response to the foregoing, the majority insists that the category of foreseeable physical injury is—despite its longstanding recognition by this Court—too “broad” to be serviceable, and therefore inapplicable. Specifically, the majority says that its application here would signal “an expansion” of that category such that it would “subsume many of the categories recognized in tort law.” The majority does not, however, explain why the application of the category of foreseeable physical injury in a case of physical injury would constitute an “expansion” of that category. This unelaborated concern leads the majority to conclude that a novel duty of care analysis must be taken and that the duty inquiry in this case must be narrowed to “injur[y] following the theft of a vehicle from [a commercial garage].” In saying so, the majority contradicts its own finding that the foreseeability of injury is often sufficient to establish proximity in cases of physical injury (the factor which, as noted above, brings this case within the previously recognized category). Of greater consequence, however, is that its approach disregards considerable authority to the contrary. It disregards this Court’s jurisprudence which has twice affirmed the category of foreseeable physical injury as sufficient to establish a duty of care without any word of concern that such a category would “subsume” others. It disregards leading academic commentary which maintains that “when considering foreseeability of harm as an element of duty, courts should approach the question at a general, non fact specific, conceptual level” and that “[d]uty is a general notion describing a class or type of case, not a particular fact situation.” And it disregards this Court’s recent statement in *Livent* that previously recognized categories may be framed broadly or narrowly, but a previously recognized category can—and should—be applied wherever the circumstances that originally justified its recognition are present.

75 An additional difficulty with the majority’s view (that the category of foreseeable physical injury is inapplicable where, as here, the only factor which could establish a duty of care is the foreseeability of physical injury itself) is that it does not explain where this category will henceforward ever apply. The majority relies upon a few more narrowly stated “categories” of duties—physician to patient, manufacturer to consumer, and motorist to highway user—as demonstrative of the need to define duties which involve physical injury with some particularity. Significantly, *none* of these “categories” are applicable here. Further, the necessary implication of the majority’s reliance upon them to reject the applicability of the category of foreseeable

physical injury in this case is that the category of foreseeable physical injury can never be applied, lest courts risk “subsum[ing]” these others. The majority’s approach thereby risks rendering meaningless a long established category of relationships which have been found to give rise to a duty of care and undermining the viability of the categorical approach altogether.

76 In saying this, I do not wish to be taken as suggesting that the categorical approach established in this Court’s jurisprudence is without difficulties. Indeed, the very notion of “categories” of duties is in tension with the great achievement of Lord Atkin in *Donoghue v. Stevenson*, being his systematic integration of previously disparate, case-specific duties of care into a single conception of the circumstances which give rise to a duty of care. Accepting, however, that categorization of duties of care remains central to this Court’s *Anns/Cooper* framework, it ought to be applied properly, bearing in mind the risks inherent in its misapplication. As Professor Stephen R. Perry has explained, “[c]ategories of cases are, after all, defined by principles stated at one or another level of generality.” Significantly, he notes the danger that courts might overreact to a previous articulation of a principle (that is, a category) which it views as having been too broadly stated, by repudiating general principles altogether. There is also the related danger of rendering categorization meaningless by expressing principles (that is, categories) too narrowly. In my respectful opinion, the majority’s reasons court both kinds of risk. ...

WAS PHYSICAL INJURY TO J. A REASONABLY FORESEEABLE CONSEQUENCE OF RANKIN’S NEGLIGENCE?

77 Having concluded that the category of foreseeable physical injury is applicable in this case, I turn now to consider whether injury was, in fact, reasonably foreseeable here. Within the duty of care analysis, the reasonable foreseeability inquiry asks whether injury to the plaintiff, or to a class of persons to which the plaintiff belongs, was a reasonably foreseeable consequence of the defendant’s negligence. Where a plaintiff can show that he is so “closely and directly affected” by a defendant’s actions that the defendant ought “reasonably to have [the plaintiff] in contemplation as being so affected when ... directing [his or her] mind to the acts or omissions which are called in question,” this requirement will be satisfied. The inquiry being objective (that is, into what reasonably *ought* to have been foreseen), it must be undertaken from the standpoint of a reasonable person. Whether, therefore, the defendant actually foresaw the risk which ultimately manifested in injury to the plaintiff is not determinative.

78 Reasonable foreseeability represents a low threshold and is “usually quite easy to overcome.” At this point, a plaintiff must merely provide evidence to “persuade the court that the risk of the *type of damage* that occurred was *reasonably foreseeable to the class of plaintiff* that was damaged.” Where a plaintiff has already sustained injury, it is rare for a court to find that a duty of care is not established for a lack of reasonably foreseeable harm. Indeed, in most cases the establishment of reasonable foresight is “plain.” In cases of “simple” physical injury, for example, the class of persons who should be reasonably foreseen to be “adversely affected” by the defendant’s negligence will include all “those who are within the area of foreseeable injury when the danger materialises.” In other contexts, however, such as harm arising from negligent misstatement, the foreseeability analysis (and, therefore, the definitional scope of the purported duty of care) may require greater particularization as a consequence of the way in which injuries from negligent misstatement arise—that is, from the plaintiff’s reasonable reliance upon the defendant’s undertaking. As this Court recently observed in *Livent*, “reliance on the part of the plaintiff which falls

outside of the scope of the defendant's undertaking of responsibility—that is, of the purpose for which the representation was made or the service was undertaken—necessarily falls outside the scope of the proximate relationship and, therefore, of the defendant's duty of care."

79 In this case, both the trial judge and the Court of Appeal held that it was reasonably foreseeable that an individual such as J. could suffer physical injury as a consequence of Rankin's negligence in the locking, securing and storing of vehicles. ...

[After noting the defendant's testimony—disbelieved by the jury—that he took security precautions because he wanted to keep the vehicles safe and avoid the injuries might result from their theft, Brown J continued:]

81 Of course, Rankin's testimony regarding his diligent security practices was rejected by the jury in the face of its inconsistency with the evidence of at least six other witnesses. Specifically, the jury found that, on the night in question, the Camry was left unlocked with the keys inside. That said, the lengths to which Rankin testified (albeit mendaciously) about the precautions he took to store the vehicles properly and to secure the keys for which he was responsible, provide ample support for the conclusion that a reasonable person in Rankin's circumstances should have foreseen the risk of injury resulting from the negligent storage of vehicles. Indeed, while the majority sees Rankin's testimony as revealing only that he foresaw the risk of *theft*, his evidence was clear he also foresaw the risk of *injury*. The conclusion that physical injury was a reasonably foreseeable result of theft is reinforced by the testimony of two additional witnesses that vehicle theft was known to be a common occurrence in Paisley.

82 It follows from the foregoing that I disagree with the majority's holding that the trial judge had inadequate evidence before her to conclude that physical injury to J. was a reasonably foreseeable consequence of Rankin's negligence. While the majority concedes that the risk of *theft* was reasonably foreseeable, it would find that the risk of *injury* was not, because there was no "circumstance or evidence ... that the stolen vehicle could be operated unsafely." One such "circumstance" relied upon [by] the courts below would have been the reasonably foreseeable risk of theft by minors. This is because, as the majority implicitly acknowledges, minors "could well be inexperienced or reckless drivers." The majority finds, however, that the trial judge erred in relying upon that risk in this case because "*the risk of theft in general* does not automatically include the *risk of theft by minors*." In other words, the majority would have required *additional* evidence that theft would have occurred at the hands of a *minor* in order to find, as the trial judge did, that physical injury to J. was foreseeable.

83 I observe preliminarily, and with respect, that even were J. required to show that theft *by a minor* must have been reasonably foreseen in order to support the trial judge's finding, J. has satisfied that burden here. No authority is cited in support of the majority's pronouncement that "*the risk of theft in general* does not automatically include the risk of theft by minors." Indeed, there is likely no such authority, and the majority's own reasons explain why. As those reasons say of minors, they can be "reckless." This very characteristic tends to affirm, rather than negate, the obvious fact that minors are no less likely to steal a car than any other individual. Seen in that light, there is a certain unreality to the majority's reasoning that Rankin should have foreseen *theft*, but could not reasonably have foreseen *theft by a minor*. All this is aside from the fact that, in drawing this curious distinction, the majority overturns the trial judge's finding of fact without legal justification for doing so.

84 In any event, however, I agree with the majority that J. was not required to show that the "characteristics of the particular thief who stole the vehicle or the way in which

the injury occurred” were foreseeable in order to establish a duty of care. While the trial judge relied upon the foreseeability of theft *by a minor* to impose a duty of care, such duties are not conditioned upon the reasonable foreseeability of *the particular circumstances* which gave rise to the plaintiff’s actual injury (a matter which is properly considered at the remoteness or legal causation stage). Imposition of a duty of care, rather, was conditioned in this case *only* upon J. showing that physical injury to him was reasonably foreseeable *under any circumstances* flowing from Rankin’s negligence. And, as I have explained above, it was open on the basis of Rankin’s own testimony to conclude that his negligence in leaving unattended vehicles unlocked with keys inside overnight could have led to reasonably foreseeable physical injury. This evidence is sufficient to support the trial judge’s conclusion that physical injury to J. was a reasonably foreseeable consequence of Rankin’s negligence.

II. REMOTENESS

IN RE POLEMIS AND FURNESS, WITHY & CO

[1921] 3 KB 560 (CA)

The respondent shipowners chartered a steamship to the appellants, who employed the vessel to transport a cargo of petrol from Lisbon to Casablanca. Due to rough weather there had been some leakage from the cargo, so that by the time the ship reached port a considerable quantity of petrol vapour was present below decks. The local stevedores who had been employed by the appellant charterers to unload the vessel knocked a plank into the hold during the process of transferring the cargo, thereby igniting a spark which set off an explosion and led to the complete destruction of the ship by fire. The arbitrators who were appointed in accordance with the charter agreement found as facts that the stevedores were servants of the appellants and that the fire had been caused by the servants’ negligence. The charterers contended that the damages claimed by the owners for the value of the ship were too remote, and on this issue the arbitrators stated a special case for the opinion of the Court.

BANKES LJ: ... In the present case the arbitrators have found as a fact that the falling of the plank was due to the negligence of the defendants’ servants. The fire appears to me to have been directly caused by the falling of the plank. Under these circumstances I consider that it is immaterial that the causing of the spark by the falling of the plank could not have been reasonably anticipated. The appellants’ junior counsel sought to draw a distinction between the anticipation of the extent of damage resulting from a negligent act, and the anticipation of the type of damage resulting from such an act. He admitted that it could not lie in the mouth of a person whose negligent act had caused damage to say that he could not reasonably have foreseen the extent of the damage, but he contended that the negligent person was entitled to rely upon the fact that he could not reasonably have anticipated the type of damage which resulted from his negligent act. I do not think that the distinction can be admitted. Given the breach of duty which constitutes the negligence, and given the damage as a direct result of that negligence, the anticipations of the person whose negligent act has produced the damage appear to me to be irrelevant. I consider that the damages claimed are not too remote. ...

WARRINGTON LJ: ... The presence or absence of reasonable anticipation of damage determines the legal quality of the act as negligent or innocent. If it be thus determined to be negligent, then the question whether particular damages are recoverable depends only on the answer to the question whether they are the direct consequence of the act. ...

SCRUTTON LJ: ... The second defence is that the damage is too remote from the negligence, as it could not be reasonably foreseen as a consequence. ...

To determine whether an act is negligent, it is relevant to determine whether any reasonable person would foresee that the act would cause damage; if he would not, the act is not negligent. But if the act would or might probably cause damage, the fact that the damage it in fact causes is not the exact kind of damage one would expect is immaterial, so long as the damage is in fact directly traceable to the negligent act, and not due to the operation of independent causes having no connection with the negligent act, except that they could not avoid its results. Once the act is negligent, the fact that its exact operation was not foreseen is immaterial. ... In the present case it was negligent in discharging cargo to knock down the planks of the temporary staging, for they might easily cause some damage either to workmen, or cargo, or the ship. The fact that they did directly produce an unexpected result, a spark in an atmosphere of petrol vapour which caused a fire, does not relieve the person who was negligent from the damage which his negligent act directly caused.

NOTES AND QUESTIONS

1. With which of the opinions in *Palsgraf* is this judgment more consistent? Consider the situation in *FW Jeffrey and Sons Ltd and Finlayson v Copeland Flour Mills Ltd*, [1923] 4 DLR 1140 (Ont SC (AD)). There the defendant owned lot 18 on King Street in the town of Midland. The next lot to the south, lot 17, was owned by Mr Finlayson and the lot south of that, lot 16, by the plaintiffs, Jeffrey. On Finlayson's lot were three shops, referred to as the Brisbin building (at the north), Brown's flour and feed shop (in the middle), and a laundry (at the south). The south wall of the laundry was part of the north wall of the Jeffrey building. All of these buildings were connected with tie rods.

The defendant, for the purpose of constructing a building on his lot, obtained permission from Finlayson to dig under the north wall of the Finlayson block. The underpinning put in was insufficient and the north wall subsided into the excavation. Due to the series of tie rods this exerted a pull on the other buildings in the Finlayson block and on the Jeffrey wall with damage to all of Finlayson's buildings and Jeffrey's building.

For this damage Jeffrey and Finlayson sued, and at the trial they both obtained a judgment for all their damage, the trial judge having found that the underpinning was carried out negligently. From those judgments the defendant appealed, arguing that liability should stop at the north shop of the Finlayson block (the Brisbin building). Rose J stated:

The appellants seem to have had no knowledge of the existence of the tie-rods: and, for the purpose of the discussion of this defence, it is to be assumed that they did not suppose that the Brisbin building was connected with Brown's and the laundry, and also that reasonably careful persons situated as the appellants were would not have contemplated the probability of damage resulting to Brown's and the laundry, and to the Finlayson-Jeffrey party-wall, from the subsidence of the north wall of the Brisbin building, although such an assumption is hard to make when one looks at a photograph of the Finlayson block. ...

The appellants say that, supposing there was negligence, it was negligence towards Mr. Finlayson, owner of the Brisbin building: that they did not know or owe any duty to,

Mr. Finlayson, owner of Brown's, the laundry, and the Finlayson-Jeffrey party-wall: that they could not have foreseen the probability of damage to the Mr. Finlayson last mentioned, and, so, that as regards him there was no negligence and there is no liability. ... The argument appears to me, despite its form, really to treat the failure to use due care as a breach of a duty owed to the thing—the Brisbin block—rather than as a breach of a duty owed to the person who owned the thing. ... In the present case the appellants failed to take reasonable care not to cause loss to Mr. Finlayson: and, even if the only loss which they could have anticipated was loss arising through damage done to the Brisbin building, and even if the loss arising through damage done to the other building is of a different type, it was, I think, proximate.

For these reasons, I think that the liability of the appellants to Mr. Finlayson is established.

My impression is that the claim of F.W. Jeffrey and Sons, Limited, may also be based upon the negligence of the appellants. It was apparent that if the appellants disturbed the wall of the Brisbin building they were going to cause damage to some one; they negligently disturbed the wall; and, as at present advised, I think that, as Jeffrey and Sons sustained damages which resulted, by a direct chain of physical causes, from the negligent act, they ... have a cause of action, even if damage to them was not reasonably to be anticipated by the appellants. ... I would dismiss the appeal with costs.

2. In "*Palsgraf Revisited*" (1953) 52 Mich L Rev 1 at 20-23, Prosser considers *Palsgraf* and *Polemis* in the light of a series of variants on a hypothetical case:

Let us take a case. The defendant, delivering a parcel, drives his truck up a private driveway to the back door of a home. On the way up he notices at the side of the driveway a large paper box or carton, open and visibly empty. Two minutes later, coming down the driveway, he negligently runs over the box. Negligently, because he knows it is there, it may be owned by someone, and it has some small value. In the meantime a two-year-old child, whose presence could not reasonably be anticipated, has concealed himself in the box. Is the defendant liable for the death of the child?

I cannot believe that any court ever will say no. If in the interval the owner of the box had filled it with Dresden china, no one would have any difficulty; nor can I see that it would make the slightest difference if the china were owned by a stranger. The connection between the box and its contents is too close, too obvious, too inseparable. The defendant has not run over an empty box; he has run over a box with something in it. Why should the fact that a new person has entered the case make all the difference? The situation is not unlike that of the unborn child in the body of its mother, where recent decisions have allowed recovery, and so far as I can discover recovery never has been denied on the ground that the plaintiff's presence was not to be foreseen. Or, if one wishes to be really fanciful, take the case of the Siamese twins, where the defendant sees only one head and can foresee only one person, but injures two.

Obviously what we have here is a very close connection, almost identity, between the thing threatened and the person hit. Extend the connection slightly; put the child outside of the box, but concealed behind it—will the result be different? Not everyone will agree, but I would say no. The child is still almost part of the box; the defendant has run over no ordinary box, but a box which conceals a child. Extend the connection still further; the child is five feet away and behind a bush, invisible and unforeseeable, and the box flies against him and injures him. Here, with the exception of those of Pennsylvania, the cases are agreed that the plaintiff can recover. The connection is one of close proximity in time and space, and direct and immediate application of force. ...

How far can the process be carried? Does it extend to Mrs. Palsgraf? Once more the answer is, it does if we make it so. Put the child thirty feet away, and dynamite in the box, and you have the case in its essence. Once it is conceded that negligence can be transferred to closely connected plaintiffs, the question becomes only one of where to draw the line. We

have reached the area of disagreement. There are many cases which, under the name of "proximate cause," have allowed recovery to persons and consequences even more remote. ...

Reduced to its lowest terms, the problem is one of the imposition of liability without fault, or in excess of fault, over and above the liability consistent with the fault. When a man with a weak heart is struck a light and glancing blow and drops dead, we have no trouble in saying that the liability must exceed the fault. The connection is too close, and too clear. Nor is there any difficulty where the result that was to be expected is brought about in a fantastic manner—as, for example, where a passenger is endangered in a railroad collision, and an engine is thrown out of control, runs around a circular track, and injures him in a second collision instead. It is when we get a different kind of injury that our troubles begin. No one doubts that the man with the package, to which alone harm was threatened, could have recovered for the destruction of his fireworks. That is the child in the box. But what if the explosion had put out his eye?

Cardozo "assumes without deciding" that he would recover. On the basis of the very close and obvious connection, and the very direct causal sequence, I should say that he would; and I know of no case that has said, in a parallel situation, that he would not. This is the situation of *In re Polemis*, itself apparently approved by the Restatement, where a plank dropped into the hold of a ship might have been expected to smash cargo but instead set off an explosion of petrol vapor which destroyed it by fire. But if the man with the package can recover for the loss of his eye, I cannot see that there is any sense, except as an arbitrary rule to get rid of the case, in a distinction according to the person who is injured. There is a fundamental and foolish inconsistency in saying that a defendant who threatens injury to A is liable for unforeseeable consequences to A, whether they be death from a weak heart or loss of an eye, but is not liable for the same unforeseeable consequences to B, who is standing beside A and virtually in his shoes. Put Mrs. Palsgraf on the train beside the passenger, with both of them injured by the explosion; is it not utter nonsense to say that recovery turns on which of them owns the package?

OVERSEAS TANKSHIP (UK) V MORTS DOCK & ENGINEERING (THE WAGON MOUND, NO 1)

[1961] AC 388 (PC)

VISCOUNT SIMONDS: The respondents at the relevant time carried on the business of ship-building, ship-repairing and general engineering at Morts Bay, Balmain, in the Port of Sydney. They owned and used for their business the Sheerlegs Wharf, a timber wharf about four hundred feet in length and forty feet wide, where there was a quantity of tools and equipment. In October and November, 1951, a vessel known as the *Corrimal* was moored alongside the wharf and was being refitted by the respondents. Her mast was lying on the wharf and a number of the respondents' employees were working both on it and on the vessel itself, using for this purpose electric and oxy-acetylene welding equipment. At the same time, the appellants were charterers by demise of the s.s. *Wagon Mound*, an oil-burning vessel which was moored at the Caltex Wharf on the northern shore of the harbour at a distance of about six hundred feet from the Sheerlegs Wharf. She was there from about 9 a.m. on Oct. 29, until 11 a.m. on Oct. 30, 1951, for the purpose of discharging gasoline products and taking in bunkering oil. During the early hours of Oct. 30, 1951, a large quantity of bunkering oil was, through the carelessness of the appellants' servants, allowed to spill into the bay, and, by 10:30 on the morning of that day, it had spread over a considerable part of the bay, being thickly concentrated in some places and

particularly along the foreshore near the respondents' property. The appellants made no attempt to disperse the oil. The Wagon Mound unberthed and set sail very shortly after. When the respondents' works manager became aware of the condition of things in the vicinity of the wharf, he instructed their workmen that no welding or burning was to be carried on until further orders. He inquired of the manager of the Caltex Oil Co., at whose wharf the Wagon Mound was then still berthed, whether they could safely continue their operations on the wharf or on the Corrimal. The results of this inquiry, coupled with his own belief as to the inflammability of furnace oil in the open, led him to think that the respondents could safely carry on their operations. He gave instructions accordingly, but directed that all safety precautions should be taken to prevent inflammable material falling off the wharf into the oil. For the remainder of Oct. 30 and until about 2 p.m. on Nov. 1, work was carried on as usual, the condition and congestion of the oil remaining substantially unaltered. But at about that time the oil under or near the wharf was ignited and a fire, fed initially by the oil, spread rapidly and burned with great intensity. The wharf and the Corrimal caught fire and considerable damage was done to the wharf and the equipment on it.

The outbreak of fire was due, as the learned judge found, to the fact that floating in the oil underneath the wharf was a piece of debris on which lay some smouldering cotton waste or rag which had been set on fire by molten metal falling from the wharf; that the cotton waste or rag burst into flames; that the flames from the cotton waste set the floating oil afire either directly or by first setting fire to a wooden pile coated with oil and that, after the floating oil became ignited, the flames spread rapidly over the surface of the oil and quickly developed into a conflagration which severely damaged the wharf. He also made the all-important finding, which must be set out in his own words: "The *raison d'être* of furnace oil is, of course, that it shall burn, but I find the [appellants] did not know and could not reasonably be expected to have known that it was capable of being set afire when spread on water." ...

One other finding must be mentioned. The learned judge held that, apart from damage by fire, the respondents had suffered some damage from the spillage of oil in that it had got on their slipways and congealed on them and interfered with their use of the slips. ...

It is on this footing that their Lordships will consider the question whether the appellants are liable for the fire damage. ...

[After considering *In Re Polemis and Furness, Withy & Co*, Viscount Simonds continued:]

Enough has been said to show that the authority of *Polemis* has been severely shaken, though lip-service has from time to time been paid to it. In their Lordships' opinion, it should no longer be regarded as good law. It is not probable that many cases will for that reason have a different result, though it is hoped that the law will be thereby simplified, and that, in some cases at least, palpable injustice will be avoided. For it does not seem consonant with current ideas of justice or morality that, for an act of negligence, however slight or venial, which results in some trivial foreseeable damage, the actor should be liable for all consequences, however unforeseeable and however grave, so long as they can be said to be "direct." It is a principle of civil liability, subject only to qualifications which have no present relevance, that a man must be considered to be responsible for the probable consequences of his act. To demand more of him is too harsh a rule, to demand less is to ignore that civilised order requires the observance of a minimum standard of behaviour. This concept, applied to the slowly developing law of negligence has led to a great variety of expressions which can, as it appears to their Lordships, be harmonised with little

difficulty with the single exception of the so-called rule in *Polemis*. For, if it is asked why a man should be responsible for the natural or necessary or probable consequences of his act (or any other similar description of them), the answer is that it is not because they are natural or necessary or probable, but because, since they have this quality, it is judged, by the standard of the reasonable man, that he ought to have foreseen them. Thus it is that, over and over again, it has happened that, in different judgments in the same case and sometimes in a single judgment, liability for a consequence has been imposed on the ground that it was reasonably foreseeable, or alternatively on the ground that it was natural or necessary or probable. The two grounds have been treated as conterminous, and so they largely are. But, where they are not, the question arises to which the wrong answer was given in *Polemis*. For, if some limitation must be imposed on the consequences for which the negligent actor is to be held responsible—and all are agreed that some limitation there must be—why should that test (reasonable foreseeability) be rejected which, since he is judged by what the reasonable man ought to foresee, corresponds with the common conscience of mankind, and a test (the “direct” consequence) be substituted which leads to nowhere but the never ending and insoluble problems of causation. “The lawyer” said Sir Frederick Pollock “cannot afford to adventure himself with philosophers in the logical and metaphysical controversies that beset the idea of cause.” Yet this is just what he has most unfortunately done and must continue to do if the rule in *Polemis* is to prevail. A conspicuous example occurs when the actor seeks to escape liability on the ground that the “chain of causation” is broken by a “*nova causa*” or “*novus actus interveniens*.” ...

At an early stage in this judgment, their Lordships intimated that they would deal with the proposition which can best be stated by reference to the well known dictum of Lord Sumner: “[What a defendant ought to have anticipated as a reasonable man is material when the question is whether or not he was guilty of negligence, that is, of want of due care according to the circumstances.] This, however, goes to culpability, not to compensation.” It is with the greatest respect to that very learned judge and to those who have echoed his words that their Lordships find themselves bound to state their view that this proposition is fundamentally false.

It is, no doubt, proper when considering tortious liability for negligence to analyse its elements and to say that the plaintiff must prove a duty owed to him by the defendant, a breach of that duty by the defendant, and consequent damage. But there can be no liability until the damage has been done. It is not the act but the consequences on which tortious liability is founded. Just as (as it has been said) there is no such thing as negligence in the air, so there is no such thing as liability in the air. Suppose an action brought by A for damage caused by the carelessness (a neutral word) of B, for example a fire by the careless spillage of oil. It may, of course, become relevant to know what duty B owed to A, but the only liability that is in question is the liability for damage by fire. It is vain to isolate the liability from its context and to say that B is or is not liable, and then to ask for what damage he is liable. For his liability is in respect of that damage and no other. If, as admittedly it is, B’s liability (culpability) depends on the reasonable foreseeability of the consequent damage, how is that to be determined except by the foreseeability of the damage which in fact happened—the damage in suit? And, if that damage is unforeseeable so as to displace liability at large, how can the liability be restored so as to make compensation payable? But, it is said, a different position arises if B’s careless act has been shown to be negligent and has caused some foreseeable damage to A. Their Lordships have already observed that to hold B liable for consequences, however unforeseeable, of a careless act, if, but only if, he is at the same time liable for some other damage, however trivial, appears to be neither logical nor just. This becomes more

clear if it is supposed that similar unforeseeable damage is suffered by A and C, but other foreseeable damage, for which B is liable, by A only. A system of law which would hold B liable to A but not to C for the similar damage suffered by each of them could not easily be defended. Fortunately, the attempt is not necessary. For the same fallacy is at the root of the proposition. It is irrelevant to the question whether B is liable for unforeseeable damage that he is liable for foreseeable damage, as irrelevant as would the fact that he had trespassed on Whiteacre be to the question whether he had trespassed on Blackacre. Again, suppose a claim by A for damage by fire by the careless act of B. Of what relevance is it to that claim that he has another claim arising out of the same careless act? It would surely not prejudice his claim if that other claim failed; it cannot assist it if it succeeds. Each of them rests on its own bottom and will fail if it can be established that the damage could not reasonably be foreseen. ... As Denning LJ said in *King v. Phillips*, "... there can be no doubt since *Hay (or Bourhill) v. Young* that the test of liability for shock is foreseeability of injury by shock." Their Lordships substitute the word "fire" for "shock" and indorse this statement of the law.

Their Lordships conclude this part of the case with some general observations. They have been concerned primarily to displace the proposition that unforeseeability is irrelevant if damage is "direct." In doing so, they have inevitably insisted that the essential factor in determining liability is whether the damage is of such a kind as the reasonable man should have foreseen. This accords with the general view thus stated by Lord Atkin in *M'Alister (or Donoghue) v. Stevenson*: "The liability for negligence, whether you style it such or treat it as in other systems as a species of 'culpa,' is no doubt based upon a general public sentiment of moral wrongdoing for which the offender must pay." It is a departure from this sovereign principle if liability is made to depend solely on the damage being the "direct" or "natural" consequence of the precedent act. Who knows or can be assumed to know all the processes of nature? But if it would be wrong that a man should be held liable for damage unpredictable by a reasonable man because it was "direct" or "natural," equally it would be wrong that he should escape liability, however "indirect" the damage, if he foresaw or could reasonably foresee the intervening events which led to its being done. ... Thus foreseeability becomes the effective test. ...

Their Lordships will humbly advise Her Majesty that this appeal should be allowed.

NOTES

1. The same incident was the subject of further litigation in *Overseas Tankship (UK) v The Miller Steamship Co (The Wagon Mound, No 2)*, [1967] 1 AC 617 at 641 (PC). Whereas in *The Wagon Mound, No 1*, the plaintiffs were the owners of Sheerlegs Wharf, the wharf that caught fire, in *The Wagon Mound, No 2*, the plaintiffs were the owners of the ship lying at the wharf and damaged by fire. Because the outbreak of fire was a consequence of the wharf manager's act of resuming oxyacetylene welding and cutting while the wharf was surrounded by oil, had the plaintiffs in *The Wagon Mound, No 1* set out to prove that the fire was foreseeable by the defendants they would have had difficulty in denying that it was not also foreseeable by their manager. They then would have been contributorily negligent and, at that time, contributory negligence was a complete defence in New South Wales. Because the plaintiffs in *The Wagon Mound, No 2* did not face this difficulty, the evidence they led was substantially different from that in *The Wagon Mound, No 1*. In particular, it was found that (1) the defendants would regard the oil as difficult, but not impossible, to ignite on water; (2) their experience would probably have been that this rarely happened; and (3) they would have regarded it as a possibility, but one that could become an actuality only in exceptional circumstances. Elaborating on *Bolton v Stone* (see Chapter 2, Section II), the court held the

defendant liable on the ground that “a properly qualified and alert chief engineer would have realized there was a real risk here.”

2. For an influential formulation of the relationship between the duty that the defendant breached and the consequences for which the defendant is liable, see Lord Hoffmann’s criticism of the Court of Appeal in *South Australia Asset Management Corp v York Montague Ltd*, [1997] AC 191 (HL):

A duty of care ... does not however exist in the abstract. A plaintiff who sues for breach of a duty imposed by the law (whether in contract or tort or under statute) must do more than prove that the defendant has failed to comply. He must show that the duty was owed to him and that it was a duty in respect of the kind of loss which he has suffered. ...

How is the scope of the duty determined? In the case of a statutory duty, the question is answered by deducing the purpose of the duty from the language and context of the statute: *Gorris v. Scott* (1874) L.R. 9 Ex. 125. In the case of tort, it will similarly depend upon the purpose of the rule imposing the duty. ...

There is no reason in principle why the law should not penalise wrongful conduct by shifting on to the wrongdoer the whole risk of consequences which would not have happened but for the wrongful act. Hart and Honore, in *Causation in the Law*, 2nd ed. (1985), p. 120, say that it would, for example, be perfectly intelligible to have a rule by which an unlicensed driver was responsible for all the consequences of his having driven, even if they were unconnected with his not having a licence. One might adopt such a rule in the interests of deterring unlicensed driving. But that is not the normal rule. One may compare, for example, *The Empire Jamaica* [1955] P. 259, in which a collision was caused by a “blunder in seamanship of ... a somewhat serious and startling character” (Sir Raymond Evershed M.R., at p. 264) by an uncertificated second mate. Although the owners knew that the mate was not certificated and it was certainly the case that the collision would not have happened if he had not been employed, it was held ... that the damage took place without the employers’ “actual fault or privity” (section 503 of the *Merchant Shipping Act 1894*) because the mate was in fact experienced and (subject to this one aberration) competent. The collision was not therefore attributable to his not having a certificate. The owners were not treated as responsible for all the consequences of having employed an uncertificated mate but only for the consequences of his having been uncertificated.

Rules which make the wrongdoer liable for all the consequences of his wrongful conduct are exceptional and need to be justified by some special policy. Normally the law limits liability to those consequences which are attributable to that which made the act wrongful. In the case of liability in negligence for providing inaccurate information, this would mean liability for the consequences of the information being inaccurate.

I can illustrate the difference between the ordinary principle and that adopted by the Court of Appeal by an example. A mountaineer about to undertake a difficult climb is concerned about the fitness of his knee. He goes to a doctor who negligently makes a superficial examination and pronounces the knee fit. The climber goes on the expedition, which he would not have undertaken if the doctor had told him the true state of his knee. He suffers an injury which is an entirely foreseeable consequence of mountaineering but has nothing to do with his knee.

On the Court of Appeal’s principle, the doctor is responsible for the injury suffered by the mountaineer because it is damage which would not have occurred if he had been given correct information about his knee. He would not have gone on the expedition and would have suffered no injury. On what I have suggested is the more usual principle, the doctor is not liable. The injury has not been caused by the doctor’s bad advice because it would have occurred even if the advice had been correct. ...

Your Lordships might, I would suggest, think that there was something wrong with a principle which, in the example which I have given, produced the result that the doctor was liable. What is the reason for this feeling? I think that the Court of Appeal’s principle offends

common sense because it makes the doctor responsible for consequences which, though in general terms foreseeable, do not appear to have a sufficient causal connection with the subject matter of the duty. The doctor was asked for information on only one of the considerations which might affect the safety of the mountaineer on the expedition. There seems no reason of policy which requires that the negligence of the doctor should require the transfer to him of all the foreseeable risks of the expedition.

3. In *BPE Solicitors v Hughes-Holland*, [2017] UKSC 21, Lord Sumption said about Lord Hoffmann's story of the mountaineer's knee, that it was "one of the most celebrated legal parables of modern times," but that "like all parables, this one over-simplifies the issue and will not bear too much analysis." What (if anything) do you think is wrong with the Lord Hoffmann's illustration?

SMITH V LEECH BRAIN & CO, LTD

[1962] 2 QB 405 (QBD)

The following statement of facts is taken from the judgment of LORD PARKER CJ: The plaintiff, Mrs. Mary Emma Smith, was the widow of William John Smith, deceased, who was at all material times employed as a labourer and galvaniser by the defendants, Leech Brain & Co. Ltd., galvanisers, at their Glaucus Iron Works, Poplar. In those premises there was a tank or bath containing molten metal at a heat of about 400 degrees Celsius, from which it was the duty of William Smith to remove galvanised articles. ...

The normal method of dipping a large article was as follows: The operator responsible for lowering it into the tank by means of the overhead crane could not use the fixed corrugated shelter but had to stand just outside the firebrick wall, some 3 feet from the galvanising bath or tank, and probably some 5 or 6 feet from the article which was being lowered by the crane. That was a dangerous position, and the men in the works at that time were supplied with corrugated iron which they could use as a temporary shelter. There was plenty of corrugated iron available for that purpose and it was so used by the men. Usually only one sheet was used. The sheets were about 6 feet 6 inches in length and about 3 feet in width, with the top bent over at about right angles to form a roof over the man's head. The workman would lean the sheet against the firebrick wall at a point where he could operate the control chains of the crane and then lean against it, holding it in position by putting his back against it and against the firebrick wall, thus having his back to the galvanising tank. The crane had three controls, of which at the time of lowering the operator [was] required to use two, which dropped down at each side of the roof of the shelter, so that, in order to operate one or the other of them, he had to put his hand out slightly from the shield afforded by the corrugated iron. He could not in that position, see what he was doing, and, accordingly, his number one, or the chargehand, would give him instructions, and owing to the danger of spattering, the man giving the instructions would, where possible, keep as far away as he could from the tank. In general, he stood by a doorway to the left of the operator giving him instructions so as to ensure as far as possible that the article to be dipped went into the molten metal as gently as possible so as to avoid spattering of the metal.

On August 15, 1950, at 1 a.m., William Smith was operating the overhead crane and dipping a large article when either he turned round to see what he was doing, or looked at the man who was giving him instructions, and so inadvertently got his head outside the shield afforded by the corrugated iron sheet, sustaining a burn on his lip from the spitting molten metal. The burn was treated at the time and subsequently,

but it did not heal and, having ulcerated, it was diagnosed as cancer, of which secondary growths occurred, and from which he died in October, 1953. He had worked in the gas industry from 1926 to 1935 and was in consequence prone to cancer, in that he might have had a pre-malignant condition resulting from contact with tar, so that a trauma, such as burns, could cause cancer to develop; cancer might equally have developed, however, even if the burn had not been suffered. ...

LORD PARKER CJ: ... On the issue of liability I am satisfied that there was a clear and known danger of molten metal flying from the tank when articles were being lowered into it. It was, in my judgment, plainly foreseeable by any reasonable employer that a workman, unless protected, would be liable, to get molten metal on him, and any reasonable employer could foresee that even a fleck of molten metal lodging in the eye might well cause not trivial but serious damage. Accordingly, it seems to me that any reasonable employer must have foreseen the risks involved in a man being some three feet away from the tank at the time of lowering, and some six feet from the article being lowered, and that proper protection was necessary for such a man. The protection that was afforded has been somewhat aptly described by Mr. Martin Jukes as "Heath Robinson." Without going that far, it clearly was a system which, on the face of it, seems wrong. The dangerous process of lowering was done by remote control, and all that the operator had was the make-shift bit of corrugated iron which was put up and held by the operator himself by leaning against it. Of course, it is only right to say that so long as he stayed behind that shield, it was an adequate protection. But any reasonable employer must reasonably foresee that, men being what they are, the most natural thing in the world is that sooner or later the man will look round. Indeed, the evidence before me is that that is just what was done.

Added to that, in 1950 many galvanisers throughout the country had advanced from this system of temporary shelters and were providing what the defendants, when they altered their works in 1955, provided, namely, a proper shelter akin to a signal box with a window in front whereby the operator could watch what he was doing, and where he was really in complete safety and had no reason to put his head out.

I have come to the conclusion that this is a case where common law negligence has been made out. ...

The next question is whether the cancer which the plaintiff's husband had admittedly got, and the death resulting from it, were caused in whole or in part by the burn. ...

There are really three rival views with which I am confronted. The first one is that this cancer may have been caused by the burn itself without there being any pre-malignant condition; it was admitted that that would be highly unusual, although reasons were given for suggesting that that may have occurred here.

The second, and other extreme view, is that not merely a pre-malignant condition but malignancy itself must have existed long before the accident.

The third view is that as a result of working in gasworks, as the plaintiff's husband did for nine years from 1926 to 1935, he was suffering from pre-malignant changes, and that the burn was the promoting agency which made the cancer develop.

I am satisfied that on the balance of probabilities the third view is the correct one. I find that there was no visible sign of anything wrong with his lip before the accident.

Accordingly, I find that the burn was the promoting agency of cancer in tissues which already had a pre-malignant condition. In those circumstances, it is clear that the plaintiff's husband, but for the burn, would not necessarily ever have developed cancer. On the other hand, having regard to the number of matters which can be

promoting agencies, there was a strong likelihood that at some stage in his life he would develop cancer. But that the burn did contribute to, or cause in part, at any rate, the cancer and the death, I have no doubt.

The third question is damages. Here I am confronted with the recent decision of the Privy Council in *Overseas Tankship (UK), Ltd. v. Morts Dock & Engineering Co., Ltd.* For convenience, that case is always referred to as *The Wagon Mound* case. But for *The Wagon Mound* case, it seems to me perfectly clear that, assuming negligence proved, and assuming that the burn caused in whole or in part the cancer and the death, this plaintiff would be entitled to recover. ...

For my part, I am quite satisfied that the Judicial Committee in *The Wagon Mound* case did not have what I may call, loosely, the "thin skull" cases in mind. It has always been the law of this country that a tortfeasor takes his victim as he finds him. It is unnecessary to do more than refer to the short passage in the decision of Kennedy J in *Dulieu v. White & Sons*, where he said: "If a man is negligently run over or otherwise negligently injured in his body, it is no answer to the sufferer's claim for damages that he would have suffered less injury, or no injury at all, if he had not had an unusually thin skull or an unusually weak heart."

To the same effect is a passage in *The Arpad* case. But quite apart from those two references, as is well known, the work of the courts for years and years has gone on on that basis. There is not a day that goes by where some trial judge does not adopt that principle, that the tortfeasor takes his victim as he finds him. If the Judicial Committee had any intention of making an inroad into that doctrine, I am quite satisfied that they would have said so.

It is true that, if one takes the wording in the advice given by Viscount Simonds in *The Wagon Mound* case and applies it strictly to such a case as this, it could be said that they were dealing with this point. But, as I have said, it is, to my mind, quite impossible to conceive that they were, and, indeed, it has been pointed out that they disclose the distinction between such a case as this and the one which they were considering, when they comment on *Smith v. London & South Western Ry. Co.* Lord Simonds, in dealing with that case in *The Wagon Mound* case, said this: "Three things may be noted about this case: the first, that, for the sweeping proposition laid down, no authority was cited; the second, that the point to which the court directed its mind was not unforeseeable damage of a different kind from that which was foreseen, but more extensive damage of the same kind. ..." In other words, Lord Simonds is clearly there drawing a distinction between the question whether a man could reasonably anticipate a type of injury, and the question whether a man could reasonably anticipate the extent of injury of the type which could be foreseen. ...

The Judicial Committee were not, I think, saying that a man is only liable for the extent of damage which he could anticipate, always assuming the type of injury could have been anticipated. That view is really supported by the way in which cases of this sort have been dealt with in Scotland. Scotland has never, as far as I know, adopted the principle laid down in *Re Polemis*, and yet I am quite satisfied that they have throughout proceeded on the basis that the tortfeasor takes the victim as he finds him.

In those circumstances, it seems to me that this is plainly a case which comes within the old principle. The test is not whether these defendants could reasonably have foreseen that a burn would cause cancer and that Mr. Smith would die. The question is whether these defendants could reasonably foresee the type of injury which he suffered, namely, the burn. What, in the particular case, is the amount of damage which he suffers as a result of that burn, depends on the characteristics and constitution of the victim.

[Parker CJ considered the question of damages, and observed that he must make a substantial reduction from the figure taken for the dependency because the plaintiff's husband might have developed cancer even if he had not suffered the burn.]

STEPHENSON V WAITE TILEMAN LIMITED

[1973] 1 NZLR 152 (CA)

[The appellant, who was employed by the respondent as a steeplejack, was injured in the course of his employment when a wire rope on a crane that he was adjusting broke free from its sheave and slashed the back of his hand. The wound was caused by a number of strands of broken wire that had sprung out of the rope at points where it was rusty and beginning to fray. Within several days the appellant's hand began to swell and he developed a fever. Eventually he became chronically infirm, barely able to look after himself, suffering from lack of concentration, headaches, and loss of balance. In his subsequent action for damages the appellant contended that the respondent had been negligent in allowing the wire rope to get into such a dangerous condition. At the trial two doctors gave evidence. It was the opinion of one that the appellant's eventual state of infirmity was the result of an unknown virus that had entered the wound and damaged his central nervous system; on his view the appellant's ultimate condition was in no way due to any pre-existing susceptibility on his part. The other doctor, although he agreed that an infection of an unknown kind had entered the cut, did not think it was the cause of the appellant's chronic condition. He believed the infirmity to be the result of a nervous disorder, of a kind to which the appellant was probably particularly vulnerable, that had been triggered by the appellant's anxiety over the infection while in hospital. The jury found that the initial cut on the hand was an injury of a kind that was reasonably foreseeable by the respondents, but that the appellant's ultimate disability, although caused by the initial injury, was not damage that the respondent could reasonably have foreseen. The appellant argued on appeal that the foreseeability of the ultimate consequences was not an issue that should have gone to the jury.]

RICHMOND J: The central issue in this appeal is the correct application of the decision of the Privy Council in *Overseas Tankship (UK) Ltd v. Morts Dock & Engineering Co Ltd (The Wagon Mound No 1)* [1961] AC 388; [1961] 1 All ER 404, to actions for damages for bodily injury. ...

It is the broad contention of the appellant that a correct application of the decision in *The Wagon Mound (No 1)* (supra) to the circumstances of the present case involves no more than that the initial injury to the appellant's hand had to be a kind of injury which was reasonably foreseeable by the respondent. That it was so foreseeable is (as I have already stated) not in dispute. In effect Mr. Thomas submitted that all the subsequent consequences of the initial injury should be regarded as going only to the extent of the damage suffered by the appellant and not to that kind of damage. Mr. Casey on the other hand, contended that a proper application of *The Wagon Mound* involved a consideration of the ultimate consequences of the initial injury and a comparison of those consequences with the type of consequence which an ordinary prudent employer ought to have regarded as a real possibility flowing from a wound or scratch inflicted by the sprags of the wire rope. ...

In these circumstances it is no wonder that the minds of both practising lawyers and academicians turned immediately to consider the effect of the decision on the most common form of all actions for negligence. One of the obvious questions to

ask was, "What would become of the 'eggshell skull' cases?" So far as I have been able to ascertain, nobody seriously felt that the long standing principle that a wrongdoer should take his victim as he found him should be altered. ... Dr. Glanville Williams contributed an article under the title *The Risk Principle* (1961) 77 LQR 179. This was after the decision in *The Wagon Mound* and at pp. 193-197 he gave careful consideration to the eggshell skull cases. ... [H]e felt that the thin skull rule was on the whole a justifiable exception to the foreseeability of risk principle but was an exception which should be confined to cases of bodily injury. He made a comment which I think is both helpful and striking. It was as follows: "However, where the plaintiff has suffered bodily injury, it is difficult to maintain the cold logical analysis of the situation. Human bodies are too fragile, and life too precarious, to permit a defendant nicely to calculate how much injury he may inflict without causing more serious injury" (ibid, 196). I have read a number of learned articles which have subsequently been published and in none of them have I found any real advocacy of abolition of the thin skull rule. The difficulty has been rather to find a satisfactory theoretical basis whereby to reconcile such cases with the principle of foreseeability of damage.

The basic situation in the eggshell skull cases is that the accident operates on a pre-existing state of special susceptibility in some way latent in the injured person. Another possibility is that the occurrence of physical injury may expose the plaintiff to a new risk of further injury. The most obvious illustration is the case of physical injury involving a wound and thereby permitting the entry of some infection. This type of situation is discussed by the learned author of an article published in (1962) 25 MLR 1 as a result of the decision in *The Wagon Mound (No 1)*. At p. 12 he points out in a footnote that there seems to be no English decision exactly in point but refers to American authority and suggests that in such a case, if death were caused through infection entering the wound, the defendant would be liable since the wound exposes the victim to a new risk of harm from contingencies of this sort. Later he suggests that in such a case it is probably irrelevant whether the infection is a common or an exceedingly rare one. The same kind of situation is also discussed by Dr. Glanville Williams in 77 LQR at pp. 198-200.

It would seem to me that if the principle of the eggshell skull cases is still part of English law, then it must follow both on grounds of logic and practical policy that the principle of new risk created by injury must also be part of the law. It would be illogical to allow recovery in respect of disease latent in the plaintiff's body but activated by physical injury and at the same time to deny recovery in respect of illness caused by an infection entering the plaintiff's system as the result of a wound. On the more practical side, it may in any given case be quite impossible to decide in which category a particular consequence of an accident lies. Thus in the case of the present appeal, it is common ground that an infection entered the appellant's system through the wound caused by the wire rope. It is not however possible to say whether the virus was of an unusually virulent kind against which the appellant put up a normal resistance or whether the virus was one to which the appellant was unusually susceptible. ...

It may be difficult to decide upon an adequate theoretical reconciliation of the continued existence of this rule and *The Wagon Mound* principle, but for practical purposes it does not matter whether it be regarded as an exception to the general rule or whether the unforeseeable consequences are regarded simply as going to the extent of the injury rather than to the kind of the injury. Whatever explanation be adopted, it must in my opinion also follow, for reasons which I have already given, that we should accept as part of our law the principle of liability for harmful consequences arising from a new risk created by a foreseeable kind of injury. These two principles must necessarily go hand in hand. In the result, I gratefully adopt Lord

Parker's sentence—"What, in the particular case, is the amount of damage which he suffers as a result of that burn, depends on the characteristics and constitution of the victim." I would however add thereto the words "and upon the operation of any new risks to which he is exposed as a result thereof." ...

I now summarise my conclusions:

1. In cases of damage by physical injury to the person the principles imposing liability for consequences flowing from the pre-existing special susceptibility of the victim and/or from new risk or susceptibility created by the initial injury remain part of our law.
2. In such cases the question of foreseeability should be limited to the initial injury. The tribunal of fact must decide whether that injury is of a kind, type or character which the defendant ought reasonably to have foreseen as a real risk.
3. If the plaintiff establishes that the initial injury was within a reasonably foreseeable kind, type or character of injury, then the necessary link between the ultimate consequences of the initial injury and the negligence of the defendant can be forged simply as one of cause and effect—in other words by establishing an adequate relationship of cause and effect between the initial injury and the ultimate consequence. ...

In the present case it is accepted by Mr. Casey that the initial injury to the appellant was of a kind which was reasonably foreseeable by the respondent. There is an adequate finding by the jury on the issue of causation. It is in these circumstances immaterial whether the opinion of Dr. Glasgow or that of Dr. Culpan is preferred. On any view the case is one of special susceptibility on the part of the respondent (that is, to the particular infection which entered the wound, or to functional disorder) or else is one of a normal reaction on the part of the appellant to a new risk created by the initial injury (that is, the risk of infection or the risk of functional disorder). It may be a mixture of both. However that may be it follows from what I have said earlier in this judgment that the issue as to foreseeability of ultimate consequences should not have been put to the jury in the circumstances of this case. The appeal should in my opinion be allowed and judgment entered for the appellant in accordance with the other findings of the jury.

MacARTHUR J and TURNER P concurred.

NOTE

In *Cotic v Gray* (1981), 33 OR (2d) 356, 124 DLR (3d) 641 (CA), the plaintiff's husband suffered serious injuries in a car accident caused by the defendant's negligence. Prior to the accident, the husband was subject to severe depression and to neurotic behaviour, and after the accident his condition worsened and he became psychotic. Sixteen months later, he committed suicide. The jury found that the accident caused or contributed to his death. However, the defendant denied liability for the death on the ground that, although physical injury resulting in death was foreseeable, the suicide was not.

The only issue before the Ontario Court of Appeal was the extent of the defendant's liability toward the deceased for conduct admittedly negligent. The court held that the defendant had to take his victim as he found him—that is, a psychologically vulnerable person. Because the causal link between the defendant's act and the death was established, he had to compensate the deceased's wife for the death.

Lacourcière JA pointed to the problematic relation between the foreseeability requirement and the "thin-skull" principle, but didn't resolve it. He thought it unnecessary to decide whether

the suicide was foreseeable or whether, although unforeseeable, it was an exception to that requirement. Wilson JA thought that in this instance the actual consequence was clearly unforeseeable, but that once some personal injury was foreseeable, the thin-skull principle operated on its own to fix, as a matter of policy, the wrongdoer with liability for the injury associated with the peculiar vulnerability of his victim. The claim that the suicide broke the chain of causation ought to be rejected, not because the suicide was the foreseeable or natural consequence of the defendant's act but rather because the policy forwarded by the thin-skull principle would be thwarted by ascribing independent causal significance to the victim's peculiar vulnerability.

HUGHES V LORD ADVOCATE

[1963] AC 837 (HL)

The facts established at the proof may be summarised as follows: On the afternoon of Saturday, November 8, 1958, certain Post Office employees were working on telephone cables situated under Russell Road, Edinburgh, a quiet road with no dwelling houses fronting it, the nearest being 400 yards away. The evidence of the Post Office employees was that they had never been bothered by children there. They obtained access thereto by removing the cover of one of two manholes in the carriageway and descending through the opening into the chamber some nine feet deep below the road. Over the manhole they had erected a canvas shelter tent, and in accordance with normal procedure had placed four red warning lamps in position around the area occupied by the tent and the equipment which they were using. The lamps were of the normal pattern and lit by paraffin. Soon after 5 p.m. when it was dark, the Post Office employees left the site for their tea break and went for that purpose into a nearby telephone exchange. They were absent for about a quarter of an hour. Before leaving they removed a ladder from the manhole and placed it on the ground alongside the shelter; they also pulled a tarpaulin cover down over the entrance to the shelter, leaving a space of about 2½ feet between the lower edge of the tarpaulin and the roadway. The lamps had been lit at about 3:30 p.m. After they left, the appellant, then aged eight years, and his ten-year-old uncle, David Leishman, came along Russell Road, and decided to enter the shelter. They took with them into the shelter the ladder, a length of rope and a tin can, which they found but which were not part of the Post Office equipment and also one of the red warning lamps, which they swung at the end of the rope. They placed the ladder in position in order to explore the manhole. The exact sequence of events thereafter was a matter on which the two boys gave somewhat differing accounts, but after they emerged from the manhole the lamp was either knocked or dropped into the manhole and a violent explosion took place. Immediately after the explosion the appellant fell into the manhole either on account of the force of the explosion itself, or through the occurrence causing him to lose his balance while standing beside the opening. As a result of the explosion itself, and largely aggravated by his presence in the manhole in the moments immediately following the explosion, he sustained severe burning injuries, the most disabling being those to his fingers, which were probably caused by his endeavouring to hold on to and climb up the metal rungs of the ladder out of the manhole, the metal being intensely hot as a result of the explosion. According to the appellant's own account, he had stumbled over the lamp and knocked it into the hole, when a violent explosion occurred and he himself fell in. A passer-by named Bruce, who was 100 yards or so along the street at the time, described the explosion as having made a roar of sound like a "woof" and said that a flame shot up some 30 feet into the air. When the lamp was recovered

from the manhole, its tank was half out and its wick-holder was completely out of the lamp. The explanation of the accident which was accepted was that when the lamp fell down the hole and was broken, some paraffin escaped, and enough was vaporised to create an explosive mixture which was detonated by the naked light of the lamp.

LORD REID: ... I am satisfied that the Post Office workmen were in fault in leaving this open manhole unattended and it is clear that if they had done as they ought to have done this accident would not have happened. It cannot be said that they owed no duty to the appellant. But it has been held that the appellant cannot recover damages.

It was argued that the appellant cannot recover because the damage which he suffered was of a kind which was not foreseeable ... [T]he facts proved do not, in my judgment, support that argument. The appellant's injuries were mainly caused by burns, and it cannot be said that injuries from burns were unforeseeable. As a warning to traffic the workmen had set lighted red lamps round the tent which covered the manhole, and if boys did enter the dark tent it was very likely that they would take one of these lamps with them. If the lamp fell and broke it was not at all unlikely that the boy would be burned and the burns might well be serious. No doubt it was not to be expected that the injuries would be as serious as those which the appellant in fact sustained. But a defender is liable, although the damage may be a good deal greater in extent than was foreseeable. He can only escape liability if the damage can be regarded as differing in kind from what was foreseeable.

So we have (first) a duty owed by the workmen, (secondly) the fact that if they had done as they ought to have done there would have been no accident, and (thirdly) the fact that the injuries suffered by the appellant, though perhaps different in degree, did not differ in kind from injuries which might have resulted from an accident of a foreseeable nature. The ground on which this case has been decided against the appellant is that the accident was of an unforeseeable type. Of course the pursuer has to prove that the defender's fault caused the accident and there could be a case where the intrusion of a new and unexpected factor could be regarded as the cause of the accident rather than the fault of the defender. But that is not this case. The cause of this accident was a known source of danger, the lamp, but it behaved in an unpredictable way.

The explanation of the accident which has been accepted, and which I would not seek to question, is that, when the lamp fell down the manhole and was broken, some paraffin escaped, and enough was vaporized to create an explosive mixture which was detonated by the naked light of the lamp. The experts agree that no one would have expected that to happen: it was so unlikely as to be unforeseeable. The explosion caused the boy to fall into the manhole: whether his injuries were directly caused by the explosion or aggravated by fire which started in the manhole is not at all clear. The essential step in the respondent's argument is that the explosion was the real cause of the injuries and that the explosion was unforeseeable. ...

This accident was caused by a known source of danger, but caused in a way which could not have been foreseen, and in my judgment that affords no defence. I would therefore allow the appeal.

LORD GUEST: ... In dismissing the appellant's claim the Lord Ordinary and the majority of the judges of the First Division reached the conclusion that the accident which happened was not reasonably foreseeable. In order to establish a coherent chain of causation it is not necessary that the precise details leading up to the accident should have been reasonably foreseeable: it is sufficient if the accident which occurred is of a type which should have been foreseeable by a reasonably careful person ... [T]he precise concatenation of circumstances need not be envisaged. Concentration

has been placed in the courts below on the explosion which it was said could not have been foreseen because it was caused in a unique fashion by the paraffin forming into vapour and being ignited by the naked flame of the wick. But this, in my opinion, is to concentrate on what is really a non-essential element in the dangerous situation created by the allurements. The test might better be put thus:—Was the igniting of paraffin outside the lamp by the flame a foreseeable consequence of the breach of duty? In the circumstances there was a combination of potentially dangerous circumstances against which the Post Office had to protect the appellant. If these formed an allurements to children it might have been foreseen that they would play with the lamp, that it might tip over, that it might be broken, and that when broken the paraffin might spill and be ignited by the flame. All these steps in the chain of causation seem to have been accepted by all the judges in the courts below as foreseeable. But because the explosion was the agent which caused the burning and was unforeseeable, therefore the accident, according to them, was not reasonably foreseeable. In my opinion this reasoning is fallacious. An explosion is only one way in which burning can be caused. Burning can also be caused by the contact between liquid paraffin and a naked flame. In the one case paraffin vapour and in the other case liquid paraffin is ignited by fire. I cannot see that these are two different types of accident. They are both burning accidents and in both cases the injuries would be burning injuries. On this view the explosion was an immaterial event in the chain of causation. It was simply one way in which burning might be caused by the potentially dangerous paraffin lamp. ...

LORD JENKINS, LORD MORRIS OF BORTH-Y-GEST, and LORD PEARCE also gave opinions in favour of the plaintiffs.

QUESTIONS

1. Would the result have been different if the injury that the plaintiff suffered was the loss of his hearing from the noise of the explosion?

2. In *Doughty v Turner Manufacturing Co, Ltd*, [1964] 1 QB 518 (CA), the defendants had in their factory two cauldrons in which metal parts were heated by immersing them in hot molten liquid. The defendants placed an asbestos cement cover that had been bought from reputable manufacturers on top of each cauldron in order to keep the heat in. No one knew that any serious consequences would result if the covers were immersed in the liquid. Unfortunately, one of the defendants' employees inadvertently knocked one of the covers into the cauldron, but no one thought that the immersed cover posed a danger and therefore no one moved away from the cauldron. The plaintiff, one of the defendant's employees, had been sent to the heating room to deliver a message and, as he stood next to the cauldron, the molten liquid in it suddenly erupted, causing him personal injuries. It was later discovered that the cover exploded on account of its immersion in the molten liquid and it was this explosion alone that caused the liquid to erupt. The plaintiff sued the defendants for injuries sustained by their alleged negligence. The Court of Appeal unanimously reversed the trial judge's decision and found the defendants not liable. Diplock LJ:

The use of a cover made of this material presents, it is now known, two risks of injury to persons in the vicinity of the furnace. The first risk, which it shares with any other solid object of similar weight and size, is that if it is allowed to drop on to the hot liquid in the bath with sufficient momentum it may cause the liquid to splash on to persons within about one foot from the bath and injure them by burning. The second risk is that if it becomes immersed in a liquid, the temperature of which exceeds 500 degrees C, it will disintegrate and cause an under-surface explosion which will eject the liquid from the bath over a wide area and may cause injury by burning to persons within that area. The former risk was well-

known (that was foreseeable) at the time of the accident; but it did not happen. It was the second risk which happened and caused the plaintiff damage by burning. The crucial finding by the learned judge, in a characteristically laconic judgment, was that this was not a risk of which the defendants at the time of the accident knew, or ought to have known. This finding, which was justified by the evidence and has not been assailed in this appeal, would appear to lead logically to the conclusion that in causing, or failing to prevent, the immersion of the cover in the liquid, the defendants, by their servants, were in breach of no duty of care owed to the plaintiff, for this was not an act or omission which they could reasonably foresee was likely to cause him damage. ...

It was, however, argued by counsel for the plaintiff that, even though the risk of explosion on immersion of the cover was not one which the defendants could reasonably foresee, the plaintiff can, nevertheless, recover because one of the defendants' servants inadvertently either knocked the cover into the liquid or allowed it to slip in, thus giving rise to a foreseeable risk of splashing the hot liquid on to the plaintiff and injuring him by burning. The actual damage sustained by the plaintiff was damage of the same kind, that is by burning, as could be foreseen as likely to result from knocking the cover into the liquid or allowing it to slip in, and his counsel contended that this was sufficient to impose a duty on the defendants owed to the plaintiff to take reasonable care to avoid knocking the cover into the liquid, or allowing it to slip in, and that the plaintiff's damage flowed from their breach of this duty. Such a proposition might, before *The Wagon Mound*, have been supported by *Re Polemis*, but that decision of the Court of Appeal is no longer law; and counsel for the plaintiff relied principally on *Hughes v. Lord Advocate*, a case in which the House of Lords treated *The Wagon Mound* as correctly stating the law, but distinguished it on the facts. I do not think that this authority assists him. In *Hughes v. Lord Advocate* the breach of duty by the defendant on which reliance was placed was his omission to guard a dangerous allurement to children, which was liable to cause them injury (*inter alia*) by burning. The infant plaintiff, to whom the duty was owed, was allured and was injured by burning, although the particular concatenation of circumstances which resulted in his burns being more serious than they would have been expected to be could not reasonably have been foreseen. They were, nevertheless, the direct consequence of the defendant's breach of duty and the injury was of the same kind as could reasonably have been foreseen, although of unforeseen gravity. But in the present case the defendants' duty owed to the plaintiff in relation to the only foreseeable risk, that is of splashing, was to take reasonable care to avoid knocking the cover into the liquid or allowing it to slip in in such a way as to cause a splash which would injure the plaintiff. Failure to avoid knocking it into the liquid, or allowing it to slip in, was of itself no breach of duty to the plaintiff. It is not clear on the evidence whether the dropping of the cover on to the liquid caused any splash at all. The judge made no finding on this. ... However that may be, it is incontrovertible that, even if there was some slight splash when the cover fell on to the liquid, the plaintiff was untouched by it and it caused him no injury. There was thus, in the circumstances of this case, no breach of duty to the plaintiff involved in inadvertently knocking the cover into the liquid or inadvertently allowing it to slip in.

Do you agree?

KEETON, LEGAL CAUSE IN THE LAW OF TORTS

(Columbus: Ohio State University Press, 1963) at 49-60

The descriptions of risks and result ... are fact-oriented in the sense that they are heavily dependent upon interpretation of the facts of the particular case. Moreover, this evaluative, fact-oriented aspect is always present, no matter how much a court may emphasize the logical precision of the legal rule and minimize the indefinite

quality of the evaluations it must reach in order to apply the rule. Indeed, the breadth or narrowness of the description of risks upon which the court relies is usually a more significant influence on the particular decision than the choice of rule on legal cause.

The case of *Hill v. Winsor* will serve to introduce problems associated with the nature of these descriptions of risks and result. Plaintiff, with other workmen, was engaged in repairing a fender on the upstream side of the Warren Bridge between Boston and Charlestown. The fender consisted of piles spaced twelve feet apart, driven perpendicularly into the riverbed, and other piles driven diagonally into the riverbed with the tops fastened to the upright piles and to a cap of timbers extending along the whole row of piles. The master of the steam-tug "Argus" negligently permitted the tug to bump first one and then another of the row of piles. The blow jarred the fender for a distance of ninety feet. The workmen were standing on planks sustained by spikes that had been driven into the sides of the piles. As they saw the tug coming, they sprang from the planks to the top of the fender. All reached safety except the plaintiff. Before he could reach the cap, the jar transmitted through the row of piles dislodged a brace that plaintiff had placed between an upright and a diagonal pile, and as the piles came together his hand and leg were trapped. The tug continued to bump along the row of piles and ran hard against the piles in which plaintiff was trapped, severely injuring him. The trial court charge to the jury included the following instruction:

It is not necessary that either the plaintiff or the defendants should be able to foresee the consequences of the negligence of the defendants in order to make the defendants liable.

Overruling defendants' exceptions to this charge, which was followed by verdict for plaintiff, the Supreme Judicial Court of Massachusetts declared:

[I]t is not necessary that injury in the precise form in which it in fact resulted should have been foreseen. It is enough that it now appears to have been a natural and probable consequence.

Was the result within the risk? That is, was the result of which plaintiff was complaining in this case within any of the risks by reason of which defendants' conduct was characterized as negligence? If we use a detailed, mechanism-of-harm description of the result and the risks, the answer will be negative. No one would declare that the mechanism by which this harm came about was reasonably foreseeable. On the other hand, if we use a very generalized description of the type of harm that was foreseeable and of the type of harm that occurred, an answer that the result was within the risk is inevitable. This is so, for example, if we say first, that the foreseeable risks by reason of which defendants' conduct was characterized as negligence included the risk that the manner of operation of the tug would cause an impact against the fender and that one of the workmen would somehow be injured and, second, that the plaintiff was injured by the impact of the tug against the fender. Indeed, if we use a sufficiently generalized description of the relevant risk, we can particularize the description of harm without taking it beyond the *Mother Hubbard* description of risk. In short, the decision for the plaintiff in *Hill v. Winsor* rested not upon the court's choice of the natural-and-probable-consequences rule of legal cause, which in relation to this problem would tend to be more favorable to defendants than the direct-causation rule, but rather upon the court's choice of a generalized, in preference to a particularized, description of the relevant risk—upon a type-oriented in preference to a mechanism-oriented description of risk.

This choice of the orientation of the description of risk toward generality or type of harm on the one hand or toward particularity or mechanism of harm on the other is a choice of degree. Also, it is a choice that defies exposition except in terms that are essentially illustrative—that is, in terms of a catalogue of conclusions reached about cases of described facts. Perhaps any court today would agree with the Massachusetts court on the conclusion that the harm in *Hill v. Winsor* was a natural and probable consequence (or, expressing it in the terms of the Risk Rule, was a result within the risk). No doubt, on the other hand, extreme freakishness of the sequence of events that produces a final state of affairs that might have been expected to come about in some other way commends itself as a relevant consideration and stands against a practice of description of the harm in a way that wholly disregards the mechanism of injury. The choice of description involves a degree of orientation toward type of harm on the one hand or toward mechanism of harm on the other hand, with neither point of view wholly rejected; and many cases will produce differences of opinion about what description is appropriate. Such differences might exist, for example, over a case that arose in Texas and appropriately has within it what can plausibly be billed as the most of certain characteristics.

On an August evening in 1934, Walter Carey and his wife, Lillie, were camped in the right of way of a public highway at a point about twenty feet from the travelled way. Lillie was lying on a bed inside their house car, Walter was lying on a cot under an awning just outside the house car, and the two were conversing through an open window. Into this scene of domestic tranquillity intruded defendants' truckdriver, hauling ten-gallon cans of oil with knowledge that a fastener on the truck was insecure. The fastener came loose as the truck passed near Camp Carey, and a can fell off. As the can struck the ground, the top blasted off and flew through the air, striking Carey and causing a severe head wound. Lillie heard the commotion, saw something flying through the air, and heard her husband cry out something to the effect that his head was caved in. Thinking he was under attack, she rushed out with pistol in hand and saw his bleeding head. As fate would have it, she was then three months pregnant. A miscarriage followed. The trial court entered judgement on the verdict for plaintiffs, allowing recovery for the miscarriage as well as the injury to the husband. The intermediate appellate tribunal denied recovery entirely. The Supreme Court split the difference, so to speak, allowing recovery for the injury to the husband and denying recovery for the injury to the wife. The theory of the Supreme Court was that defendants should have foreseen the risk that a can might fall, that the top might be blasted off, and that someone using the roadway might be injured by either the can or the top. It was too much, however, to expect foresight of injuries such as Mrs. Carey received. The court pointedly noted that they "resulted alone from fright, in the manner and way, and under the circumstances above detailed."

How would you describe the set of risks by reason of which you would characterize the truckdriver's conduct as negligence? And with what degree of particularization would you describe the results of which the Careys were complaining? Probably your descriptions would place the injury to Carey within the risk. Would they also place the injury to Mrs. Carey within the risk? The answer should not turn on a rule that automatically excludes miscarriages, if the Risk Rule is being faithfully applied. But you might reasonably fix the limits of the description of relevant risks at exactly the line drawn by the Supreme Court of Texas, on grounds associated with the added distance and the added steps of the sequence between negligence and harm. That is, you might draw this line, not because miscarriages from fright are unforeseeable, but because of causing a miscarriage by driving down the highway in a truck with a defective fastener, loaded with cans of oil, is of less consequence, taking account

of both the likelihood of occurrence and the severity of threatened harm, than the risk of injury from impact of the top of a fallen can. Of course, this conclusion reflects an influence of the mechanism-of-injury point of view. But, arguably, it is no more than a reasonable degree of influence. A somewhat greater emphasis on that point of view would exclude the injury from the impact of the lid as well. Some kind of standard that classifies risks in some such way as this is implicit in the notion that we are concerned with only those risks by reason of which the defendants' conduct is characterized as negligence.

The Carey opinion expresses the standard in the form of the question whether the injuries to Mrs. Carey were foreseeable. The ambiguity of this statement of the question is a source of confusion and misunderstanding. First, there is an ambiguity concerning the meaning of injuries. This is a point to which the distinction between type-oriented and mechanism-oriented descriptions of risk and result is directed. Second, putting the crucial question in terms of whether the injuries to Mrs. Carey were foreseeable involves, at best, an ambiguity about the existence of other limitations than bare foreseeability. At worst, this statement of the question carries the misleading implication that the scope of legal responsibility extends to every consequence that is foreseeable as a possibility in any degree, whether or not the ordinary prudent person, carefully considering his course of conduct, would have treated the consequence in issue as a factor in his choice. All the injuries to Mrs. Carey could have been foreseen as possibilities, though unlikely ones. The crucial standard is better expressed as the question whether all her injuries were within those risks by reason of which the defendants' conduct was characterized as negligence. This statement of the standard, though less precise than we might wish, at least eliminates an ambiguity in the foreseeability formulation and focuses attention on the unavoidable difficulties of judgement that are encountered in applying the standard to a borderline case.

One of the remaining difficulties, already suggested by the foregoing comments, is that the focus is not upon whether the aggregate of all risks outweighs utility of the conduct but rather upon the tougher questions whether particular risks are sufficiently material to be a part of the basis for finding negligence and how particularly the risks and the results are to be described.

Another difficulty is associated with the fact that these two findings that I have referred to as a description of the risk and a description of the result—or as the description of the standard and the description of the facts of the particular case—are not like a legal ruling that chooses among potential rules of law. Neither are they like a fact finding that resolves a disputed issue as to whether speed of a vehicle was in excess of a legal limit of 30 miles an hour. Rather, they are evaluative findings. They represent evaluative choices for which reasons are not articulated. ...

This does not mean that it is not important to concern ourselves with the major choice between the Risk Rule and another. It does mean that we should not delude ourselves into thinking that we have solved the problems of legal cause when that choice is made. One who resorts to precedents for a purpose, as judge, of seeking guidance to decision of a legal-cause issue in the case at hand or for the purpose, as lawyer, of predicting decision must study the precedents, not merely from the point of view of ascertaining the choice between the Risk Rule and another as the generalized rule of legal cause, but also from the point of view of finding in the body of decisions a sense of the tendencies manifested in the fact-oriented evaluative findings.

Regrettably, courts do not customarily advert to the considerations that influence their choice of orientation of the descriptions of risk and result employed in deciding cases. No doubt, these descriptions are sometimes not even matters of conscious

choice. This is not to say, however, that one cannot identify the considerations and the tendencies of broad or narrow description. Indeed, by careful study of opinions from the point of view of fact types, one can discern patterns of assumed description for types of cases that have been the subject of judicial opinions and can even discover tendencies and trends. This kind of study is the key to use precedents on legal cause for guidance in decision or prediction. As to that aspect of precedents concerned with the choice of the rule, close similarity of facts is nonessential. As to that aspect of precedents concerned with evaluative findings, the usefulness of the decision as a guide to future decision or prediction is heavily dependent upon close similarity of facts. Inevitably, the degree of guidance is of a lower order than that one can derive from precedents with respect to a legal rule. ... But this lower order of predictability is due not to deficiency in the natural-and-probable-consequences rule or the Risk Rule of legal cause in comparison with any kind of order-and-nature-of-antecedents rule. Rather, this difficulty is implicit in reliance, under either type of rule, upon concepts the application of which requires fact-oriented evaluative findings. Under the Risk Rule, this difficulty is implicit in the concept of risk. Under an order-and-nature-of-antecedents rule, it is implicit in the standards chosen for characterizing the order and nature of antecedent circumstances.

NOTES

1. Morris, "Duty, Negligence and Causation" (1952) 101 U Pa L Rev 189 at 196-98, also deals with the problem of risk description:

Once misconduct causes damage the specific accident has happened in a particular way and has resulted in a discrete harm. When after the event, the question is asked—"were the particular accident and the resulting damages foreseeable?"—the cases fall into three classes:

(1) In some cases damages resulting from misconduct are so typical that it is impossible to convince judges and jurors that they were unforeseeable. If Mr. Builder negligently drops a brick on Mr. Pedestrian, who is passing the urban site of a house under construction, even though the dent in Pedestrian's skull is microscopically unique in pattern, Builder could not sensibly maintain that the bashed in skull was an unforeseeable consequence.

(2) In some cases the freakishness of the facts refuses to be downed, and any description that minimizes it is viewed as misdescription. For example, in a recent Louisiana case the defendant trucker negligently left his truck on the highway at night without setting out flares. A car crashed into the truck and caught fire. The plaintiff came to the rescue of the car occupants—a man and wife. After the rescuer got them out of the car he returned to the car to get a floor mat to pillow the injured wife's head. A pistol lay on the mat rescuer wanted to use. He picked it up and handed it to the husband. The accident had, unbeknownst to the rescuer, temporarily deranged the husband, and he shot rescuer in the leg. Such a consequence of negligently failing to guard a truck with flares is so unarguably unforeseeable that no judge or juror would be likely to hold otherwise. (Incidentally, the Louisiana court held the trucker liable to the rescuer on the ground that foreseeability is not a requisite of liability.)

(3) Between these extremes are cases in which the consequences are neither typical nor wildly freakish. In these cases unusual details are arguably—but only arguably—significant. If they are held to be significant, then the consequences are unforeseeable; if they are held to be insignificant then the consequences are foreseeable. For example, in a Texas case two men were sent out on a service truck to tow a stalled car. One of them, the plaintiff, made the tow rope fast and tried to step from between the vehicles as the truck started. His artificial leg slipped into a mud hole in the road, which would not have been there had defendant railroad not disregarded its statutory duty to maintain this portion of the highway. He was unable to extricate his peg-leg, and was in danger of being run over by the stalled car. He

grabbed the tail gate of the service truck to use its forward force to pull him out of the mud. A loop in the tow rope lassoed his good leg, tightened, and broke it. As long as these details are considered significant facts of the case the accident is unforeseeable. No doubt some judges would stress them and so hold. As a matter of fact the Texas courts have on occasion ruled that much less freakish injuries were unforeseeable. But in the peg-leg case the court quoted with approval the plaintiff's lawyer's "description" of the "facts" which was couched in these words: "The case stated in the briefest form, is simply this: Appellee was on the highway, using it in a lawful manner, and slipped into this hole, created by appellant's negligence, and was injured in undertaking to extricate himself." The court also adopted the injured man's answer to the railroad's attempt to stress unusual details:

Appellant contends: it could not reasonably have been foreseen that slipping into this hole would have caused the appellee to have become entangled in a rope, and the moving truck, with such dire results. The answer is plain: The exact consequences do not have to be foreseen.

In this third class of cases foreseeability can be determined only after the significant facts have been described. If the official description of facts adopted by the court is detailed, the accident is called unforeseeable; if it is general, the accident is called foreseeable. Since there is no authoritative guide to the proper way to describe facts, the process of holding a loss is—or is not—foreseeable is most fluid, begging attempts at accurate prediction.

This third class of cases includes most, but not quite all, of the arguable cases on the scope of liability. Cases which fall in the first class—in which the resulting damages are so typical that arguments of unforeseeability sound nonsensical are almost invariably decided for the plaintiff. Cases which fall in the second class—in which the utter freakishness of the coincidental connection between the defendant's wrongdoing and the plaintiff's injury refuses to be suppressed—are almost invariably decided for the defendant. ... The arguable cases fall in class three, in which the foreseeability requirement cannot function as a "test." In these cases advocates and judges can and do state logical and acceptable analyses of either foreseeability or unforeseeability.

Even though foreseeability of the injury will not function as a test of the scope of liability, nevertheless the idea that responsibility should be limited to foreseeable consequences is properly potent—an idea that will continue to influence decisions and demand respect. Close problems on the scope of liability-for-fault call for judgments on whether the defendant is to blame for the plaintiff's injury. Those who make such a judgment—regardless of what doctrines or rules they purport to use—tend to view the freak injury as the workings of malevolent fate, rather than as injuries responsibly caused by the wrongdoer's misconduct. A plaintiff, therefore, is likely to dispose judges and jurors in his favor if he can persuade them that unusual aspects of the case are insignificant details. On the other hand, a defendant may induce psychological support for his position if he can convince judges and jurors that freakish details are a prominent and significant part of the case. Such advocacy is a fine art. Counsel who overdoes it strengthens, rather than weakens, his opponent. If plaintiff's lawyer insists on too general a description, he appears to be trying to suppress important facts; if defense counsel insists on too specific a description, he appears to be taking advantage of mere technicality.

2. The issue of proper risk description was discussed in *Jolley v Sutton London Borough Council*, [2000] 3 All ER 409 (HL). In that case, the defendant failed to remove an abandoned boat that appeared to be sound, but was in fact rotten. The teenage plaintiff and a friend jacked the boat up and were in the process of repairing it when it fell and caused serious injuries. The Court of Appeal found for the defendant on the ground that, although it was reasonably foreseeable that children would play on the boat and be injured, it was not foreseeable that they would prop up the boat and be injured by its falling off the prop, and therefore the

plaintiff's accident was of a different kind than the defendant could reasonably have foreseen. The decision was reversed by the House of Lords. Lord Hoffmann stated:

[T]he plaintiff must show that the injury which he suffered fell within the scope of the council's duty and that in cases of physical injury, the scope of the duty is determined by whether or not the injury fell within a description which could be said to have been reasonably foreseeable. ...

It is ... agreed that what must have been foreseen is not the precise injury which occurred but injury of a given description. The foreseeability is not as to the particulars but the genus. And the description is formulated by reference to the nature of the risk which ought to have been foreseen. So, in *Hughes v Lord Advocate* [1963] AC 837 the foreseeable risk was that a child would be injured by falling in the hole or being burned by a lamp or by a combination of both. The House of Lords decided that the injury which actually materialised fell within this description, notwithstanding that it involved an unanticipated explosion of the lamp and consequent injuries of unexpected severity. ...

The short point in the present appeal is therefore whether the judge ... was right in saying in general terms that the risk was that children would "meddle with the boat at the risk of some physical injury" or whether the Court of Appeal were right in saying that the only foreseeable risk was of "children who were drawn to the boat climbing upon it and being injured by the rotten planking giving way beneath them" Was the wider risk, which would include within its description the accident which actually happened, reasonably foreseeable?

My Lords, although this is in end the question of fact, the courts are not without guidance. "Reasonably foreseeable" is not a fixed point on the scale of probability. As Lord Reid explained in *Overseas Tankship (UK) Ltd v Miller Steamship Co Pty (The Wagon Mound No 2)* [1967] 1 AC 617, 642 other factors have to be considered in deciding whether a given probability of injury generates a duty to take steps to eliminate the risk. In that case, the matters which the Privy Council took into account were whether avoiding the risk would have involved the defendant in undue cost or required him to abstain from some otherwise reasonable activity. In *Bolton v Stone* [1951] AC 850 there was a foreseeable risk that someone might one day be hit by a cricket ball but avoiding this risk would have required the club to incur very large expense or stop playing cricket. ...

My Lords, in this calculation it seems to me that the concession by the [defendants] is of significance. The [defendants] admit that they should have removed the boat. True, they make this concession solely on the ground that there was a risk that children would suffer minor injuries if the rotten planking gave way beneath them. But the concession shows that if there were a wider risk, the council would have had to incur no additional expense to eliminate it. They would only have had to do what they admit they should have done anyway. On the principle as stated by Lord Reid, the wider risk would also fall within the scope of the council's duty unless it was different in kind from that which should have been foreseen (like the fire and pollution risks in *The Wagon Mound No 1*) and either wholly unforeseeable (as the fire risk was assumed to be in *The Wagon Mound No 1*) or so remote that it could be "brushed aside as far-fetched": see Lord Reid in *The Wagon Mound No 2* [1969] 2 AC 617. ...

[O]ne cannot so describe the risk that children coming upon an abandoned boat and trailer would suffer injury in some way other than by falling through the planks. Mr de Navarro says that apart from its rotten planking, the boat was simply a heavy object like any other. It was no more likely to cause injury to the children than any other heavy object they might be able to get hold of. He draws the analogy of a man who negligently leaves a loaded gun where children play with it and one child injures another by dropping it on his toe. The injury does not fall within the scope of the risk created by the fact that it is a gun rather than some other heavy but innocuous object. So Roch LJ said ... : "had the boat been sound then no reason for its removal would have existed."

I think that in a case like this, analogies from other imaginary facts are seldom helpful. Likewise analogies from real facts in other cases: I entirely agree with my noble and learned

friend, Lord Steyn, in deploring the citation of cases which do nothing to illuminate any principle but are said to constitute analogous facts. In the present case, the rotten condition of the boat had a significance beyond the particular danger it created. It proclaimed the boat and its trailer as abandoned, *res nullius*, there for the taking, to make of them whatever use the rich fantasy life of children might suggest.

In the Court of Appeal, Lord Woolf MR observed, at p 1553, that there seemed to be no case of which counsel were aware “where want of care on the part of a defendant was established but a plaintiff, who was a child, had failed to succeed because the circumstances of the accident were not foreseeable.” I would suggest that this is for a combination of three reasons: first, because a finding or admission of want of care on the part of the defendant establishes that it would have cost the defendant no more trouble to avoid the injury which happened than he should in any case have taken; secondly, because in such circumstances the defendants will be liable for the materialisation of even relatively small risks of a different kind, and thirdly, because it has been repeatedly said in cases about children that their ingenuity in finding unexpected ways of doing mischief to themselves and others should never be underestimated. For these reasons, I think that the judge’s broad description of the risk as being that children would “meddle with the boat at the risk of some physical injury” was the correct one to adopt on the facts of this case. The actual injury fell within that description and I would therefore allow the appeal.

SAADATI V MOORHEAD

[2017] 1 SCR 543

The judgment of the Court was delivered by BROWN J—

INTRODUCTION

[1] This appeal, which arises from a motor vehicle accident in British Columbia, concerns principally the application of the common law of negligence to claims for mental injury. A trial judge awarded damages for mental injury to the appellant, Mohsen Saadati, on the strength not of expert evidence, but of the testimony of lay witnesses to the effect that, after the appellant’s involvement in an automobile accident caused by the respondents, his personality had changed. The British Columbia Court of Appeal reversed, holding that recovery for mental injury requires a claimant to prove, with expert medical opinion evidence, a “recognizable [or recognized] psychiatric illness.”

[2] This Court has, however, never required claimants to show a recognizable psychiatric illness as a precondition to recovery for mental injury. Nor, in my view, would it be desirable for it to do so now. Just as recovery for *physical* injury is not, as a matter of law, conditioned upon a claimant adducing expert diagnostic evidence in support, recovery for *mental* injury does not require proof of a recognizable psychiatric illness. This and other mechanisms by which some courts have historically sought to control recovery for mental injury are, in my respectful view, premised upon dubious perceptions of psychiatry and of mental illness in general, which Canadian tort law should repudiate. Further, the elements of the cause of action of negligence, together with the threshold stated by this Court in *Mustapha v. Culligan of Canada Ltd.*, 2008 SCC 27, [2008] 2 S.C.R. 114, at para. 9, for proving mental injury, furnish a sufficiently robust array of protections against unworthy claims. I therefore conclude that a finding of legally compensable mental injury need not rest, in whole or in part, on the claimant proving a recognized psychiatric illness. It follows that I would allow the appeal and restore the trial judge’s award.

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B. MENTAL INJURY

[13] Liability in negligence law is conditioned upon the claimant showing (i) that the defendant owed a duty of care to the claimant to avoid the kind of loss alleged; (ii) that the defendant breached that duty by failing to observe the applicable standard of care; (iii) that the claimant sustained damage; and (iv) that such damage was caused, in fact and in law, by the defendant's breach (*Mustapha*, at para. 3). At issue here is the third element. As they argued at the Court of Appeal, the respondents say that the trial judge erred by awarding damages for mental injury that did not correspond to a proven, recognized psychiatric illness. More specifically, the Court must answer the narrow question of whether it is strictly *necessary*, in order to support a finding of legally compensable mental injury, for a claimant to adduce expert evidence or other proof of a recognized psychiatric illness.

(1) Recovery for Mental Injury in Negligence Law

[14] The early common law's posture towards claims for negligently caused mental harm was one of suspicion and sometimes outright hostility ... and was "virtually programmed to entrench primitive suspicions and prejudices about 'invisible,' intangible harm" (H. Teff, *Causing Psychiatric and Emotional Harm: Reshaping the Boundaries of Legal Liability* (2009), at p. 40). Mental injury was seen as "not derived through the senses, but [as] a product of the imagination" (*Miner v. Canadian Pacific Railway Co.* (1911), 18 W.L.R. 476 (Alta. S.C. *en banc*), at p. 478). This scepticism persisted into the last century, such that mental injury was not compensable unless accompanied by physical injury...

[15] While the absolute bar to recovery for mental injury absent physical injury was eventually lifted, the suspicion which originally impelled that bar persisted, and common law courts continued to impose conditions upon recovery beyond those applied to claims for negligently caused physical injury. While, therefore, in England liability for negligently caused mental injury was first recognized as early as 1901 (*Dulieu v. White & Sons*, [1901] 2 K.B. 669 (Div. Ct.)), it was conditional upon "a shock which arises from a reasonable fear of immediate personal injury to oneself" (p. 675), or (after *Hambrook v. Stokes Brothers*, [1925] 1 K.B. 141 (C.A.)), "a reasonable fear of immediate personal injury either to [the claimant, or the claimant's children]"...

[16] Further obstacles to recovery for mental injury arose in English law. In *McLoughlin v. O'Brian*, at pp. 419-21, Lord Wilberforce posited three considerations that could limit the boundaries of compensable "nervous shock": the class of persons whose claims should be recognized (often referred to as relational proximity), the proximity of such persons to the accident (locational, or geographical proximity), and the means by which the "shock" is caused (temporal proximity) (G. H. L. Fridman, *The Law of Torts in Canada* (3rd ed. 2010), at p. 326). Where claimants alleged mental injury arising out of a sudden traumatic event, later judgments further distinguished between a "primary" victim (who was directly involved as a participant) and a "secondary" victim (who witnessed physical injuries caused to others) (see *Alcock v. Chief Constable of South Yorkshire Police*, [1992] 1 A.C. 310 (H.L.); and *Page v. Smith*, [1996] 1 A.C. 155 (H.L.)). This distinction has, however, sometimes proven difficult to apply in practice (as shown by the English law's difficulty in categorizing the status of rescuers ...) and has been criticized as lacking foundation in principle, having no relevance to the justice of the claimant's case... That this is so has never really been disputed. As Lord Hoffmann candidly acknowledged ... "in this area of law, the search

for principle was called off in *Alcock*. ... No one can pretend that the existing law ... is founded upon principle."

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[19] This Court has not, however, adopted either the primary/secondary victim distinction, or *McLoughlin v. O'Brian*'s disaggregated proximity analysis. Rather, in *Mustapha*, recoverability of mental injury was viewed (at para. 3) as depending upon the claimant satisfying the criteria applicable to any successful action in negligence—that is, upon the claimant proving a duty of care, a breach, damage, and a legal and factual causal relationship between the breach and the damage. Each of these elements can pose a significant hurdle: not all claimants alleging mental injury will be in a relationship of proximity with defendants necessary to ground a duty of care; not all conduct resulting in mental harm will breach the standard of care; not all mental disturbances will amount to true "damage" qualifying as mental injury, which is "serious and prolonged" and rises above the ordinary emotional disturbances that will occasionally afflict any member of civil society without violating his or her right to be free of negligently caused mental injury (*Mustapha*, at para. 9); and not all mental injury is caused, in fact or in law, by the defendant's negligent conduct.

[20] Indeed, the claim in *Mustapha* failed on that last element: the claimant's damage was not caused in law by (that is, it was too remote from) the defendant's breach. *Mustapha* thus serves as a salutary reminder that, even where a duty of care, a breach, damage and factual causation are established, there remains the pertinent threshold question of legal causation, or remoteness—that is, whether the occurrence of mental harm in a person of ordinary fortitude was the reasonably foreseeable result of the defendant's negligent conduct (*Mustapha*, at paras. 14-16). And, just as recovery for physical injury will not be possible where injury of that kind was not the foreseeable result of the defendant's negligence, so too will claimants be denied recovery (as the claimant in *Mustapha* was denied recovery) where mental injury could not have been foreseen to result from the defendant's negligence.

[21] It follows that this Court sees the elements of the cause of action of negligence as furnishing principled and sufficient barriers to unmeritorious or trivial claims for negligently caused mental injury. The view that courts should require something more is founded not on legal principle, but on policy—more particularly, on a collection of concerns regarding claims for mental injury (including those advanced in this appeal by the intervener Insurance Bureau of Canada) founded upon dubious perceptions of, and postures towards, psychiatry and mental illness in general: that mental illness is "subjective" or otherwise easily feigned or exaggerated; and that the law should not provide compensation for "trivial matters" but should foster the growth of "tough hides not easily pierced by emotional responses" (A. M. Linden and B. Feldthusen, *Canadian Tort Law* (10th ed. 2015), at p. 449...). The stigma faced by people with mental illness, including that caused by mental injury, is notorious ... , often unjustly and unnecessarily impeding their participation, so far as possible, in civil society. While tort law does not exist to abolish misguided prejudices, it should not seek to perpetuate them.

[22] Where, therefore, genuine factual uncertainty arises regarding the worthiness of a claim, this can and should be addressed by robust application of those elements by a trier of fact, rather than by tipping the scales via arbitrary mechanisms (R. Stevens, *Torts and Rights* (2007), at p. 56). Certainly, concerns about "subjective" symptoms or about feigned or exaggerated claims of mental injury are—like most matters of credibility—questions of fact best entrusted to the good sense of triers of fact, upon whose credibility determinations of liability and even of liberty often rest.

In short, such concerns should be resolved by “a vigorous search for the truth, not the abdication of judicial responsibility” (Linden and Feldthusen, at p. 449 ...).

[23] I add this. As to that first necessary element for recovery (establishing that the defendant owed the claimant a duty of care), it is implicit in the Court’s decision in *Mustapha* that Canadian negligence law recognizes that a duty exists at common law to take reasonable care to avoid causing foreseeable mental injury, and that this cause of action protects a right to be free from negligent interference with one’s mental health. That right is grounded in the simple truth that a person’s mental health—like a person’s physical integrity or property, injury to which is also compensable in negligence law—is an essential means by which that person chooses to live life and pursue goals (A. Ripstein, *Private Wrongs* (2016), at pp. 87 and 252-53). And, where mental injury is negligently inflicted, a person’s autonomy to make those choices is undeniably impaired, sometimes to an even greater degree than the impairment which follows a serious physical injury ... To put the point more starkly, “[t]he loss of our mental health is a more fundamental violation of our sense of self than the loss of a finger” (Stevens, at p. 55).

[24] It is also implicit in *Mustapha* that the ordinary duty of care analysis is to be applied to claims for negligently caused mental injury. With great respect to courts that have expressed contrary views, it is in my view unnecessary and indeed futile to re-structure that analysis so as to mandate formal, separate consideration of certain dimensions of proximity, as was done in *McLoughlin v. O’Brian*. Certainly, “temporal,” “geographic” and “relational” considerations might well inform the proximity analysis to be performed in some cases. But the proximity analysis as formulated by this Court is, and is intended to be, sufficiently flexible to capture all relevant circumstances that might in any given case go to seeking out the “close and direct” relationship which is the hallmark of the common law duty of care (*Cooper v. Hobart*, 2001 SCC 79, [2001] 3 S.C.R. 537, at para. 32, citing *Donoghue v. Stevenson*, [1932] A.C. 562 (H.L.), at pp. 580-81). As the Court has said, that analysis

focuses on factors arising from the *relationship* between the plaintiff and the defendant....

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The label “proximity,” as it was used by Lord Wilberforce in [*Anns v. Merton London Borough Council*, [1978] A.C. 728 (H.L.)], was clearly intended to connote that the circumstances of the relationship inhering between the plaintiff and the defendant are of *such nature that the defendant may be said to be under an obligation to be mindful of the plaintiff’s legitimate interests in conducting his or her affairs.* (*Cooper*, at paras. 30 and 33 (emphasis in original).)

(2) Recognized Psychiatric Illness

[25] As I have already said, the principal issue presented by this appeal—and, in particular, by the Court of Appeal’s conclusion that the appellant’s claim failed for lack of expert evidence demonstrating a recognized psychiatric illness—concerns the element of the cause of action of negligence requiring the claimant to show damage. More specifically, it requires the Court to consider what constitutes mental injury, and how it may be proven.

[26] The origins of the putative requirement of showing a recognized psychiatric illness appear to lie in Lord Denning M.R.’s speech in *Hinz v. Berry*, [1970] 2 Q.B. 40 (C.A.), at p. 42:

In English law no damages are awarded for grief or sorrow caused by a person's death. No damages are to be given for the worry about the children, or for the financial strain or stress, or the difficulties of adjusting to a new life. Damages are, however, recoverable for nervous shock, or, to put it in medical terms, for a recognisable psychiatric illness caused by the breach of duty by the defendant ...

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[28] Despite some early resistance, however ... Canadian trial and appellate courts after *Hinz v. Berry* began to see the requirement of a "recognizable psychiatric illness" as conditioning recovery for mental injury upon the claimant adducing expert testimony verifying a condition *recognizable to the expert* Similarly, despite some resistance elsewhere in the Commonwealth to restricting recovery for mental injury to claimants who can adduce such expert psychiatric evidence ... , this threshold now prevails in the United Kingdom, Australia, and New Zealand

[29] In sum—and this is the state of the law which this Court must now evaluate—the law developed by Canadian lower courts (albeit, as I have mentioned, on an unstable premise) requires claimants alleging mental injury to show that such injury has manifested itself to an expert in psychiatry in the form of a clinically diagnosed, recognizable psychiatric illness. This has therefore "place[d] the categories of mental and emotional harm for which damages may be recovered in the hands of psychiatry. Whatever that discipline chooses to identify and name as a psychiatric illness becomes the law's boundaries for damages in this area" (*van Soest* at p. 205 ...).

[30] Usually, this has been done with reference to what has been said to represent a "considerable degree of international agreement on the classification of mental disorders and their diagnostic criteria," which are contained in the *Diagnostic and Statistical Manual of Mental Disorders* ("DSM"), published by the American Psychiatric Association, and the *International Statistical Classification of Diseases and Related Health Problems* ("ICD"), published by the World Health Organization The DSM, now in its 5th edition (2013), stipulates diagnostic criteria for, and classifies, mental disorders, while the ICD, now in its 10th revision (1992), contains statistically based classifications of all diseases (including "mental and behavioural disorders").

[31] Confining compensable mental injury to conditions that are identifiable with reference to these diagnostic tools is, however, inherently suspect as a matter of legal methodology. While, for treatment purposes, an accurate diagnosis is obviously important, a trier of fact adjudicating a claim of mental injury is not concerned with diagnosis, but with symptoms and their effects (*Mulheron*, at p. 88). Put simply, there is no necessary relationship between reasonably foreseeable mental injury and a diagnostic classification scheme. As Thomas J. observed in *van Soest* (at para. 100), a negligent defendant need only be shown to have foreseen *injury*, and not a *particular psychiatric illness* that comes with its own label. In other words, the trier of fact's inquiry should be directed to the level of harm that the claimant's particular symptoms represent, not to whether a label could be attached to them. Downloading the task of assessing legally recoverable mental injury to the DSM and ICD therefore imports an arbitrary control mechanism upon recovery for mental injury, conditioning recovery not upon any legally principled basis directed to the alleged *injury*, but upon conformity with a legally irrelevant classification scheme designed to facilitate identification of *particular conditions*

[32] Resort to the DSM or ICD in the context of litigating claims for mental injury has been variously rationalized as fostering objectivity, certainty and predictability of outcomes; and as preventing "indeterminate liability" (*Tame*, at paras. 193-94; *Healey*, at para. 65; *Queen of the North*, at para. 68). These rationalizations, however, do not withstand scrutiny. In particular, the putative objectivity, certainty and pre-

dictability said to be furnished by the recognizable psychological illness requirement are in my view overstated. Psychiatric diagnoses—like diagnoses of physical illness or injury—can sometimes be controversial even among treating practitioners (M. A. Jones, “Liability for Psychiatric Damage: Searching for a Path between Pragmatism and Principle,” in J. W. Neyers, E. Chamberlain and S. G. A. Pitel, eds., *Emerging Issues in Tort Law* (2007) 113, at p. 131). The categories identified in the DSM are, therefore, not static, and continue to be revised to reflect evolving psychiatric consensus on the classification of psychiatric disorders. Labels that were at one time widely accepted may become obsolete. The DSM (DSM-II), for example, identified homosexuality as a psychiatric disorder until 1973, after which it continued to identify “sexual orientation disturbance” for people “in conflict with” their sexual orientation. This was later replaced in the DSM-III with “ego-dystonic homosexuality,” which was itself removed in 1987 (J. Drescher, “Out of DSM: Depathologizing Homosexuality” (2015), 5 *Behav. Sci.* 565, at p. 571). The ICD retained homosexuality in its classification until 1990, and continues to identify ego-dystonic homosexuality as a recognized condition (although in 2014 the World Health Organization recommended its removal from its 11th revision, now in development) (S. Cochran et al., “Proposed declassification of disease categories related to sexual orientation in the *International Statistical Classification of Diseases and Health Related Problems* (ICD-11)” (2014), 92 *Bull. World Health Organ.* 672).

[33] Conversely, potential disorders originally excluded from the DSM may be “legitimized” by later inclusion. For example, “post-traumatic stress disorder” first appeared in the DSM (DSM-III) in 1980. And, with the publication of the DSM-IV, it no longer required “a psychologically traumatic event that is generally outside the range of usual human experience” (Jones, at p. 132). Similarly, the release of the 5th edition of the DSM (DSM-V) was preceded by a debate about the inclusion of grief as a psychiatric condition (R. A. Bryant, “Grief as a psychiatric disorder” (2012), 201 *Br. J. Psychiatry* 9, at pp. 9-10). Rather than fostering objectivity, certainty and predictability of outcomes, then, tethering determinations of legal liability to these iterative diagnostic tools relegates the law of negligence to following a sometimes meandering path as it is cleared by the cutting edge of *au courant* thinking in modern psychiatry—wherever it may lead, or from wherever it may retreat.

[34] The view that a recognizable psychiatric illness requirement is necessary to prevent indeterminate liability ... is similarly untenable. ... Further, and as I have explained is the case with unmeritorious or trivial claims for negligently caused mental injury, robust application of the elements of the cause of action of negligence should also be sufficient to address concerns for indeterminate liability. In particular, liability for mental injury must be confined to claims which satisfy the proximity analysis within the duty of care framework, which focuses on the relationship between the parties (*Cooper*, at para. 30), and the remoteness inquiry, which asks whether “the harm [is] too unrelated to the wrongful conduct to hold the defendant fairly liable” (*Mustapha*, at para. 12, quoting Linden and Feldthusen, at p. 360). We have been given no reason to suppose that the same sort of constraints which negligence law imposes upon claimants alleging physical injury would be less effective in weeding out unworthy claims for mental injury. It is therefore not only undesirable, but unnecessary to distort negligence law by applying the mechanism of a diagnostic threshold for proving mental injury.

[35] In short, no cogent basis has been offered to this Court for erecting distinct rules which operate to preclude liability in cases of mental injury, but not in cases of physical injury. Indeed, there is good reason to recognize the law of negligence as already according each of these different forms of personal injury—mental and physical—identical treatment. As the Court observed in *Mustapha* (at para. 8), the

distinction between physical and mental injury is “elusive and arguably artificial in the context of tort.” Continuing (and citing *Page v. Smith*, at p. 188), the Court explained that, “[i]n an age when medical knowledge is expanding fast, and psychiatric knowledge with it, it would not be sensible to commit the law to a distinction between physical and psychiatric injury, which may ... soon be altogether outmoded. *Nothing will be gained by treating them as different ‘kinds’ of personal injury, so as to require the application of different tests in law*” (emphasis in original). ... Or, as Davies J. (as he then was) added in *Toronto Railways* (at p. 275), “[t]he nervous system is just as much a part of man’s physical being as the muscular or other parts.” In a similar vein, Lord Macmillan, in *Bourhill v. Young* (at p. 103), said “[t]he distinction between mental shock and bodily injury was never a scientific one, for mental shock is presumably in all cases the result of, or at least accompanied by, some physical disturbance in the sufferer’s system.”

[36] It follows that requiring claimants who allege one form of personal injury (mental) to prove that their condition meets the threshold of “recognizable psychiatric illness,” while not imposing a corresponding requirement upon claimants alleging another form of personal injury (physical) to show that their condition carries a certain classificatory label, is inconsistent with prior statements of this Court, among others. It accords unequal—that is, less—protection to victims of mental injury. And it does so for no principled reason (Beever, at p. 410). I would not endorse it.

[37] None of this is to suggest that mental injury is always as readily demonstrable as physical injury. While allegations of injury to muscular tissue may sometimes pose challenges to triers of fact, many physical conditions such as lacerations and broken bones are objectively verifiable. Mental injury, however, will often not be as readily apparent. Further, and as *Mustapha* makes clear, mental injury is not proven by the existence of mere psychological upset. While, therefore, tort law protects persons from negligent interference with their mental health, there is no legally cognizable right to happiness. Claimants must, therefore, show much more—that the disturbance suffered by the claimant is “serious and prolonged and rise[s] above the ordinary annoyances, anxieties and fears” that come with living in civil society (*Mustapha*, at para. 9). To be clear, this does not denote distinct legal treatment of mental injury relative to physical injury; rather, it goes to the prior legal question of what constitutes “mental injury.” Ultimately, the claimant’s task in establishing a mental injury is to show the requisite degree of disturbance (although not, as the respondents say, to show its classification as a recognized psychiatric illness).

[38] Nor should any of this be taken as suggesting that expert evidence cannot assist in determining whether or not a mental injury has been shown. In assessing whether the claimant has succeeded, it will often be important to consider, for example, how seriously the claimant’s cognitive functions and participation in daily activities were impaired, the length of such impairment and the nature and effect of any treatment (Mulheron, at p. 109). To the extent that claimants do not adduce relevant expert evidence to assist triers of fact in applying these and any other relevant considerations, they run a risk of being found to have fallen short. As Thomas J. observed in *van Soest* (at para. 103), “[c]ourts can be informed by the expert opinion of modern medical knowledge without needing to address the question whether the mental suffering is a recognisable psychiatric illness or not.” To be clear, however: while relevant expert evidence will often be helpful in determining whether the claimant has proven a mental injury, it is not required as a matter of law. Where a psychiatric diagnosis is unavailable, it remains open to a trier of fact to find on other evidence adduced by the claimant that he or she has proven on a balance of probabilities the occurrence of mental injury. And, of course, it also remains open to the

defendant, in rebutting a claim, to call expert evidence establishing that the accident cannot have caused *any* mental injury, or at least any mental injury known to psychiatry. While, for the reasons I have given, the lack of a diagnosis cannot on its own be dispositive, it is something that the trier of fact can choose to weigh against evidence supporting the existence of a mental injury.

APPLICATION

[39] The trial judge found that the accident caused the appellant to suffer “psychological injuries, including personality change and cognitive difficulties” (para. 50) such as slowed speech, leading to a deterioration of his close personal relationships with his family and friends. He remarked (at para. 65) that the appellant “was a changed man with his irritability likely reflecting a dark realization that he was not the man he once was.” These findings have not been challenged. ...

[40] I see no legal error in the trial judge’s treatment of the evidence of the appellant’s symptoms as supporting a finding of mental injury. Those symptoms fit well within the *Mustapha* parameters of mental injury which I have already recounted. While there was no expert testimony associating them with a condition identified in the DSM or ICD, I reiterate that what matters is substance—meaning, those symptoms—and not the label. And, the evidence accepted by the trial judge clearly showed a serious and prolonged disruption that transcended ordinary emotional upset or distress.

NOTES AND QUESTIONS

1. In *Mustapha v Culligan of Canada Ltd*, 2008 SCC 27, [2008] 2 SCR 114, the plaintiff sued for psychiatric injury. In the course of replacing an empty bottle of drinking water with a full one, Mr Mustapha saw a dead fly and part of another dead fly in the unopened replacement bottle. He became obsessed with the event and its “revolting implications” for the health of his family, which had been consuming water supplied by the defendant for the previous 15 years. The plaintiff developed a major depressive disorder with associated phobia and anxiety. The Court held that the action failed. McLachlin CJ stated:

[P]sychological disturbance that rises to the level of personal injury must be distinguished from psychological upset. Personal injury at law connotes serious trauma or illness. ... The law does not recognize upset, disgust, anxiety, agitation or other mental states that fall short of injury. I would not purport to define compensable injury exhaustively, except to say that it must be serious and prolonged and rise above the ordinary annoyances, anxieties and fears that people living in society routinely, if sometimes reluctantly, accept. The need to accept such upsets rather than seek redress in tort is what I take the Court of Appeal to be expressing in its quote from *Vanek v. Great Atlantic & Pacific Co. of Canada* (1999), 48 OR (3d) 228 (CA): “Life goes on” (para. 60). Quite simply, minor and transient upsets do not constitute personal *injury*, and hence do not amount to damage. ...

The remoteness inquiry asks whether “the harm [is] too unrelated to the wrongful conduct to hold the defendant fairly liable” Since *The Wagon Mound (No. 1)*, the principle has been that “it is the foresight of the reasonable man which alone can determine responsibility.”

The remoteness inquiry depends not only upon the degree of probability required to meet the reasonable foreseeability requirement, but also upon whether or not the plaintiff is considered objectively or subjectively. One of the questions that arose in this case was whether, in judging whether the personal injury was foreseeable, one looks at a person of “ordinary fortitude” or at a particular plaintiff with his or her particular vulnerabilities. This question may be acute in claims for mental injury, since there is a wide variation in how particular people

respond to particular stressors. The law has consistently held—albeit within the duty of care analysis—that the question is what a person of ordinary fortitude would suffer As stated in *White*, at p. 1512: “The law expects reasonable fortitude and robustness of its citizens and will not impose liability for the exceptional frailty of certain individuals.” ...

[T]he requirement that a mental injury would occur in a person of ordinary fortitude ... is inherent in the notion of foreseeability. This is true whether one considers foreseeability at the remoteness or at the duty of care stage. As stated in *Tame v. New South Wales* (2002), 211 CLR 317, [2002] HCA 35, *per* Gleeson CJ, this “is a way of expressing the idea that there are some people with such a degree of susceptibility to psychiatric injury that it is ordinarily unreasonable to require strangers to have in contemplation the possibility of harm to them, or to expect strangers to take care to avoid such harm” (para. 16). To put it another way, unusual or extreme reactions to events caused by negligence are imaginable but not reasonably foreseeable.

To say this is not to marginalize or penalize those particularly vulnerable to mental injury. It is merely to confirm that the law of tort imposes an obligation to compensate for any harm done on the basis of *reasonable* foresight, not as insurance. The law of negligence seeks to impose a result that is fair to both plaintiffs and defendants, and that is socially useful. In this quest, it draws the line for compensability of damages, not at perfection, but at reasonable foreseeability. Once a plaintiff establishes the foreseeability that a mental injury would occur in a person of ordinary fortitude, by contrast, the defendant must take the plaintiff as it finds him for purposes of damages. As stated in *White*, at p. 1512, focusing on the person of ordinary fortitude for the purposes of determining foreseeability “is not to be confused with the ‘eggshell skull’ situation, where as a result of a breach of duty the damage inflicted proves to be more serious than expected.” Rather, it is a threshold test for establishing compensability of damages at law.

I add this. In those cases where it is proved that the defendant had actual knowledge of the plaintiff’s particular sensibilities, the ordinary fortitude requirement need not be applied strictly. If the evidence demonstrates that the defendant knew that the plaintiff was of less than ordinary fortitude, the plaintiff’s injury may have been reasonably foreseeable to the defendant. In this case, however, there was no evidence to support a finding that Culligan knew of Mr. Mustapha’s particular sensibilities.

It follows that in order to show that the damage suffered is not too remote to be viewed as legally caused by Culligan’s negligence, Mr. Mustapha must show that it was foreseeable that a person of ordinary fortitude would suffer serious injury from seeing the flies in the bottle of water he was about to install. This he failed to do. The only evidence was about his own reactions, which were described by the medical experts as “highly unusual” and “very individual”... . There is no evidence that a person of ordinary fortitude would have suffered injury from seeing the flies in the bottle; indeed the expert witnesses were not asked this question. Instead of asking whether it was foreseeable that the defendant’s conduct would have injured a person of ordinary fortitude, the trial judge applied a subjective standard, taking into account Mr. Mustapha’s “previous history” and “particular circumstances” ... , including a number of “cultural factors” such as his unusual concern over cleanliness, and the health and well-being of his family. This was an error. Mr. Mustapha having failed to establish that it was reasonably foreseeable that a person of ordinary fortitude would have suffered personal injury, it follows that his claim must fail.

2. In *Harnicher v University of Utah Medical Center*, 962 P 2d67 (Utah SC 1998), the plaintiffs were a couple who had engaged the services of the defendant fertility clinic for in vitro fertilization using a mixture of the husband’s sperm and the sperm of a particular donor who physically resembled the husband and matched the husband’s blood type. It was important to the couple that it be possible to believe and represent that the husband was the biological

father of any child who resulted from the procedure. After the birth of healthy triplets, blood tests established that two of the children had a blood type that revealed that they could not possibly have been the husband's children. The parents brought an action for negligent infliction of mental distress, alleging that they consequently suffered depression and distress that adversely affected their relationship with each other and with the children. The court dismissed the action, on the ground that the alleged negligence was not shown to have been of a type that would likely cause severe emotional distress in a reasonable person normally constituted. The dissenting judge noted that "an extensive body of literature analyzing the experience of infertility, and the complexity of the psychoemotional issues raised by in vitro fertilization, and the use of donor sperm, undercuts the majority's apparent assumption that the result of having children—any children by any means—obviates any possible loss associated with not having the children one planned (and in this case contracted) for." How would the Supreme Court of Canada have dealt with this case?

3. If you think that parents in the situation of the Harnichers should be able to recover, what do you make of the following article in the *Tampa Bay Times*, October 6, 2014, under the title "The Woman Who Wanted a White Baby"?

All in the Family, the megahit show of 1970s TV, routinely made audiences roar and squirm by inserting the most ignorant sort of bigotry into the yap of patriarch Archie Bunker. In one memorable episode, he freaked out when he discovered he'd been transfused with blood from a black man. His misconceptions about the possible results were characteristically ridiculous: "The colored chromosomes, inside of them corpuscles there, they could maybe make certain changes."

Funny, but is it so very 40 years ago? Maybe not. Last week, a white Ohio woman sued the Midwest Sperm Bank, a Chicago company she'd used in trying to conceive. The alleged error? Providing her with the wrong "product"—the sperm of a black man. The plaintiff ... didn't learn of the error until well along in her pregnancy—a pregnancy that resulted in a healthy, biracial daughter, Payton, who is now 2 years old. ...

She's asking to be compensated for her emotional distress, her medical expenses, and other "economic and non-economic losses."

Most of the complaint is about the emotional pain and suffering. She describes the difficulty of living with Payton in an all-white community, with its "stereotypical attitudes." One of [her] uncles, for example, "speaks openly and derisively about people of color." And she acknowledges her own limited cultural competence. (For instance, Mom has found it stressful to go into a "black neighborhood" in order to get Payton a "decent haircut.") ...

Whether we empathize with her or not, [the plaintiff] is likely to run into another wall in trying to get compensated for her own heartache. Although sperm donor mix-up cases are rare, a New York court's 2007 decision probably reflects the position the Illinois courts will take in this case. In *Andrews v. Keltz* [838 NYS 2d 363 (2007)], the judge rejected an almost identical claim for emotional distress. There, a Dominican mother and a white father had used in vitro fertilization in their effort to conceive their own biological child. But when the mother gave birth to a girl who was darker than both of them, they sued the clinic that had screwed up by using sperm other than the dad's. The judge tossed out the emotional distress claim, citing a New York case that held "as a matter of public policy, we are unable to hold that the birth of an unwanted but otherwise healthy and normal child constitutes an injury to the child's parents."

4. In *Yearworth v North Bristol NHS Trust*, [2010] 1 QB 1 (CA), men who were about to undergo chemotherapy had their sperm frozen, in order to preserve the possibility of having children. The institution that had custody of the sperm negligently allowed the sperm to defrost, rendering it unusable. In rejecting the claim that the men suffered personal injury resulting in psychiatric injury, the court stated:

[I]t would be a fiction to hold that damage to a substance generated by a person's body, inflicted after its removal for storage purposes, constituted a bodily or "personal injury" to him We must deal in realities. To do otherwise would generate paradoxes, and yield ramifications, productive of substantial uncertainty, expensive debate and nice distinctions in an area of law which should be simple, and the principles clear. Even if we were to admit the principle, however arbitrarily, within the parameters suggested ... above, namely that the substance should remain in essence biologically active and should be intended to be kept for an ultimate function identical to its original function, the law would swim into deep waters in relation to the continued biological activity, and the function, of several other bodily substances or parts. Even when we test [the contention of the plaintiff's counsel] by applying minor hypothetical variations to the facts of the present cases, we find uncomfortable anomalies. He concedes, for example, that: (a) had one of the men died prior to the loss of the sperm, the suggested personal injury would have been inflicted upon all of the men save him; [and] (b) had the loss of the sperm occurred after the men, to their knowledge, had recovered their natural fertility and so had no further interest in its preservation, the suggested personal injury would nevertheless have been inflicted on all of them albeit that, as damage would be absent, it would not have been actionable.

The court nonetheless held that the sperm was the property of the claimants and that the defendant, having beached the terms of the bailment, which was akin to a contract for peace of mind, was liable for the emotional distress caused by the negligence.

5. In cases like *Harnicher* and *Yearworth*, is mental distress the appropriate category for thinking of liability? See Kleinfeld, "Tort Law and In Vitro Fertilization: The Need for Legal Recognition of 'Procreative Injury'" (2005) 115 Yale LJ 237. Kleinfeld defines procreative injury as an infringement of the "procreative interest in bearing and rearing one's own genetic progeny with the mate of one's choice."

BRADFORD V KANELLOS

1973 CanLII 1285, 40 DLR (3d) 578 (SCC)

MARTLAND J (JUDSON and RITCHIE JJ concurring):—On the morning of April 12, 1967, the appellants, who are husband and wife, were customers in the respondents' restaurant in the City of Kingston. While seated at the counter in the restaurant, a flash fire occurred in the grill used for cooking purposes. The grill was equipped with an automatic fire extinguisher system, of an approved type, which, when it became operative, discharged carbon dioxide on to the heated area to extinguish the fire.

Shortly after the start of the fire the fire extinguisher was activated, manually, and the fire was extinguished almost immediately. The fire was not a cause of concern to the appellants. No damage was done by the fire because the fire was of very short duration and all that burned was grease that had accumulated in the grill and a rag or rags which had been thrown on the fire when it broke out in an effort to extinguish it.

The fire extinguisher made a hissing or popping noise when it operated. This caused an unidentified patron in the restaurant to shout that gas was escaping and that there was going to be an explosion. The result of these words was to cause a panic in the restaurant. While people ran from the restaurant the appellant wife was pushed or fell from her seat at the counter and sustained injury.

The appellants brought action against the respondents, the appellant wife claiming general damages and the appellant husband claiming special damages for expenses incurred as a result of his wife's injuries. The trial Judge awarded damages in the amounts of \$3,582.43 to the appellant husband and \$6,400 to the appellant

wife. He found there had been negligence involved in the flash fire because the grill had not been cleaned as efficiently as it should have been, and said: "Therefore while the negligence may be small, it pinpoints this as negligence."

He did not find that the fire, in itself, had caused the panic, but ascribed it to the noise caused by the fire extinguisher. He said:

As a result of this hissing explosive noise, or whatever it was, some rather foolish people in the restaurant called out that it might explode. For this reason it appears that some considerable panic ensued and there was a rushing for the door.

His conclusion was that, while the act of yelling out almost qualified as that of an "idiotic person," the panic could have been foreseen.

By unanimous decision, the Court of Appeal allowed the appeal of the present respondents. Schroeder JA, who delivered the judgment of the Court, said:

The practical and sensible view to be taken of the facts here leads fairly to the conclusion that it should not be held that the person guilty of the original negligence resulting in the flash fire on the grill ought reasonably to have anticipated the subsequent intervening act or acts which were the direct cause of the injuries and damages suffered by the plaintiffs.

From this judgment the present appeal has, with leave, been brought to this Court.

I agree with the decision of the Court of Appeal. The judgment at trial found the respondents to be liable because there had been negligence in failing to clean the grill efficiently, which resulted in the flash fire. But it was to guard against the consequences of a flash fire that the grill was equipped with a fire extinguisher system. This system was described by the Chief of the Kingston Fire Department, who was called as a witness by the appellants, as, not only an approved installation, but one of the best.

This system, when activated, following the flash fire, fulfilled its function and put out the fire. This was accomplished by the application of carbon dioxide on the fire. In so doing there was a hissing noise and it was on hearing this that one of the customers exclaimed that gas was escaping and that there was danger of an explosion, following which the panic occurred, [and] the appellant wife was injured.

On these facts it is apparent that her injuries resulted from the hysterical conduct of a customer which occurred when the safety appliance properly fulfilled its function. Was that consequence fairly to be regarded as within the risk created by the respondent's negligence in permitting an undue quantity of grease to accumulate on the grill? The Court of Appeal has found that it was not and I agree with that finding.

In my opinion, the appeal should be dismissed with costs.

SPENCE J (LASKIN J concurring) (dissenting): ...

I am of the opinion that any reasonable person knew that a greasy grill might well take fire and that in such event a CO₂ fire extinguisher is put into action either automatically or manually and that such fire extinguisher makes a hissing and popping sound and he could not fail to anticipate that a panic might well result. The panic did result and on the evidence the whole affair from beginning to end was almost instantaneous. The plaintiff Elizabeth Bradford described it variously in the words "no, it was quick": Again, that she had been watching the fire approximately a minute when the man next to her called out "gas" and that thereupon there was an immediate panic.

The respondent Gus Kanellos ... testified that the stove used was a gas stove, and, in my view, it was most natural for the one patron to call out the word "gas" when the hissing sound was heard and either that patron or another, and I think it was impossible to distinguish in view of the confusion, to remark that "it is going to explode."

The learned trial Judge, in giving judgment, said [quoted by Schroeder JA, 18 DLR (3d) at 61]:

Now it is said to me that, even if this is negligence, there is an intervening factor involved here that is not within the control of the restaurant owners. That intervening factor is applied by some customers of the restaurant who acted hysterically. Whoever yelled that out almost qualifies in my opinion for that type idiotic person. But this is foreseeable; human nature is rather unstable in emergencies and must be recognized as being unstable in emergencies. The proprietors themselves were running around the restaurant rather excitedly. The only person that the evidence would indicate was not excited was Mrs. Emmons, and she shook after it was all over according to her story. The panic in the restaurant could have been foreseen.

With that statement, I am in exact agreement. I am not of the opinion that the persons who shouted the warning of what they were certain was an impending explosion were negligent. I am, on the other hand, of the opinion that they acted in a very human and usual way and that their actions, as I have said, were utterly foreseeable and were part of the natural consequence of events leading inevitably to the plaintiff's injury. I here quote and adopt Fleming, *Law of Torts*, 4th ed. (1971), at pp. 192-3:

Nowadays it is no longer open to serious question that the operation of an intervening force will not ordinarily clear a defendant from further responsibility, if it can fairly be considered a not abnormal incident of the risk created by him if as sometimes expressed, it is "part of the ordinary course of things." Nor is there room any longer for any categorical distinction in this regard between forces of nature, like rain or ice, on the one hand, and the action of human beings even when consciously controlled, on the other.

Least difficult are instances of just normal and reasonable response to the stimulus of the hazard engendered by the defendant's negligence. ... A time honoured illustration is the famous Squib Case: *Scott v. Shephard* (1773) 2 W Bl. 892, where a wag threw a lighted fire-work into a market whence it was tossed from one stall to another in order to save the wares until it eventually exploded in the plaintiff's face. Yet it was held that *trespass* lay because "all that was done subsequent to the original throwing was a continuation of the first force and first act and continued until the squib was spent by bursting."

Even if the actions of those who called out "gas" and "it is going to explode" were negligent and, as I have said, I do not think it was, then I am of the opinion that the plaintiffs would still have a right of action against the defendants, here respondents, or against such persons or against both. ...

For these reasons, I would allow the appeal. ...

Appeal dismissed.

HOME OFFICE V DORSET YACHT CO LTD

[1970] AC 1004 at 1140 (HL)

[Under England's *Prison Act 1952*, borstal boys were offenders between 15 and 20 years of age, who (in the language of the legislation) could "be detained and given such training and instruction as will conduce to their reformation and the prevention of crime." As explained in a pamphlet issued by the Home Office: "The system of

training in each borstal seeks the all-round development of character and capacities. ... It is based on progressive trust demanding personal decision, responsibility, and self-control. ... The conditions of a borstal must then be as unlike those of a prison as is compatible with compulsory detention, but they must be various and elastic to suit different stages of development.”]

LORD REID: My Lords, on 21st September 1962, a party of borstal trainees were working on Brownsea Island in Poole Harbour under the supervision and control of three borstal officers. During that night seven of them escaped and went aboard a yacht which they found nearby. They set this yacht in motion and collided with the respondents’ yacht which was moored in the vicinity. Then they boarded the respondents’ yacht. Much damage was done to this yacht by the collision and some by the subsequent conduct of these trainees. The respondents sue the appellant, the Home Office, for the amount of this damage.

The case comes before your Lordships on a preliminary issue whether the Home Office or these borstal officers owed any duty of care to the respondents capable of giving rise to a liability in damages. So it must be assumed that the respondents can prove all that they could prove on the pleadings if the case goes to trial. The question then is whether on that assumption the Home Office would be liable in damages. It is admitted that the Home Office would be vicariously liable if an action would lie against any of these borstal officers.

The facts which I think we must assume are that this party of trainees was in the lawful custody of the governor of the Portland Borstal Institution and was sent by him to Brownsea Island on a training exercise in the custody and under the control of the three officers with instructions to keep them in custody and under control. But in breach of their instructions these officers simply went to bed leaving the trainees to their own devices. If they had obeyed their instructions they could and would have prevented these trainees from escaping. They would therefore be guilty of the disciplinary offences of contributing by carelessness or neglect to the escape of a prisoner and to the occurrence of loss, damage or injury to any person or property. All the escaping trainees had criminal records and five of them had a record of previous escapes from borstal institutions. The three officers knew or ought to have known that these trainees would probably try to escape during the night, would take some vessel to make good their escape and would probably cause damage to it or some other vessel. There were numerous vessels moored in the harbour, and the trainees could readily board one of them. So it was a likely consequence of their neglect of duty that the respondents’ yacht would suffer damage.

The case for the home office is that under no circumstances can borstal officers owe any duty to any member of the public to take care to prevent trainees under their control or supervision from injuring him or his property. If that is the law then enquiry into the facts of this case would be a waste of time and money because whatever the facts may be the respondents must lose. That case is based on three main arguments. First, it is said that there is virtually no authority for imposing a duty of this kind. Secondly, it is said that no person can be liable for a wrong done by another who is of full age and capacity and who is not the servant or acting on behalf of that person. And thirdly, it is said that public policy (or the policy of the relevant legislation) requires that these officers should be immune from any such liability.

The first would at one time have been a strong argument. About the beginning of this century most eminent lawyers thought that there were a number of separate torts involving negligence each with its own rules, and they were most unwilling to add more. They were of course aware from a number of leading cases that in the past the courts had from time to time recognised new duties and new grounds of

action. But the heroic age was over, it was time to cultivate certainty and security in the law; the categories of negligence were virtually closed. The learned Attorney-General invited us to return to those halcyon days, but, attractive though it may be, I cannot accede to his invitation.

In later years there has been a steady trend towards regarding the law of negligence as depending on principle so that, when a new point emerges, one should ask not whether it is covered by authority but whether recognised principles apply to it. *Donoghue v. Stevenson* may be regarded as a milestone, and the well-known passage in Lord Atkin's speech should I think be regarded as a statement of principle. It is not to be treated as if it were a statutory definition. It will require qualification in new circumstances. But I think that the time has come when we can and should say that it ought to apply unless there is some justification or valid explanation for its exclusion. For example, causing economic loss is a different matter; for one thing it is often caused by deliberate action. Competition involves traders being entitled to damage their rivals' interests by promoting their own, and there is a long chapter of the law determining in what circumstances owners of land can, and in what circumstances they may not, use their proprietary rights so as to injure their neighbours. But where negligence is involved the tendency has been to apply principles analogous to those stated by Lord Atkin (cf *Hedley Byrne & Co Ltd v. Heller & Partners Ltd*). And when a person has done nothing to put himself in any relationship with another person in distress or with his property mere accidental propinquity does not require him to go to that person's assistance. There may be a moral duty to do so, but it is not practicable to make it a legal duty. And then there are cases, eg with regard to landlord and tenant, where the law was settled long ago and neither Parliament nor this House sitting judicially has made any move to alter it. But I can see nothing to prevent our approaching the present case with Lord Atkin's principles in mind.

Even so it is said that the respondents must fail because there is a general principle that no person can be responsible for the acts of another who is not his servant or acting on his behalf. But here the ground of liability is not responsibility for the acts of the escaping trainees; it is liability for damage caused by the carelessness of these officers in the knowledge that their carelessness would probably result in the trainees causing damage of this kind. So the question is really one of remoteness of damage. And I must consider to what extent the law regards the acts of another person as breaking the chain of causation between the defendants' carelessness and the damage to the plaintiff. ...

[I]t has never been the law that the intervention of human action always prevents the ultimate damage from being regarded as having been caused by the original carelessness. The convenient phrase *novus actus interveniens* denotes those cases where such action is regarded as breaking the chain and preventing the damage from being held to be caused by the careless conduct. But every day there are many cases where, although one of the connecting links is deliberate human action, the law has no difficulty in holding that the defendant's conduct caused the plaintiff loss.

There are some propositions that ... are ... beyond question in connection with this class of case. One is that human action does not per se sever the connected sequence of acts. The mere fact that human action intervenes does not prevent the sufferer from saying that damages for injury due to that human action, as one of the elements in the sequence, is recoverable from the original wrongdoer.

(per Lord Wright in *Lord v. Pacific Steam Navigation Co Ltd, The Oropesa*.)

What then is the dividing line? Is it foreseeability or is it such a degree of probability as warrants the conclusion that the intervening human conduct was the natural and probable result of what preceded it? There is a world of difference between the

two. If I buy a ticket in a lottery or enter a football pool it is foreseeable that I may win a very large prize—some competitor must win it. But, whatever hopes gamblers may entertain, no one could say that winning such a prize is a natural and probable result of entering such a competition. In *Haynes v. Harwood*, Greer LJ said:

If what is relied upon as *novus actus interveniens* is the very kind of thing which is likely to happen if the want of care which is alleged takes place, the principle embodied in the maxim is no defence. ...

There is a well-known Scottish case, *Scott's Trustees v. Moss*, which so far as I am aware has received no adverse comment and which I can cite as an authority because the Scots and English law of negligence are the same. The pursuers occupied land near a place where the defender, a promoter of entertainment, had advertised that a balloon would descend. It descended in the pursuers' field and a crowd who had gathered burst into that field and caused considerable damage. The defender being sued for that damage pleaded unsuccessfully that the pursuers' averments were irrelevant. ...

These cases show that, where human action forms one of the links between the original wrongdoing of the defendant and the loss suffered by the plaintiff, that action must at least have been something very likely to happen if it is not to be regarded as *novus actus interveniens* breaking the chain of causation. I do not think that a mere foreseeable possibility is or should be sufficient, for then the intervening human action can more properly be regarded as a new cause than as a consequence of the original wrongdoing. But if the intervening action was likely to happen I do not think it can matter whether that action was innocent or tortious or criminal. Unfortunately tortious or criminal action by a third party is often the "very kind of thing" which is likely to happen as a result of the wrongful or careless act of the defendant. And in the present case, on the facts which we must assume at this stage, I think that the taking of a boat by the escaping trainees and their unskilful navigation leading to damage to another vessel were the very kind of thing that these borstal officers ought to have seen to be likely. ...

It was suggested that a decision against the Home Office would have very far-reaching effects; it was indeed suggested in the Court of Appeal that it would make the Home Office liable for the loss occasioned by a burglary committed by a trainee on parole or a prisoner permitted to go out to attend a funeral. But there are two reasons why in the vast majority of cases that would not be so. In the first place it would have to be shown that the decision to allow any such release was so unreasonable that it could not be regarded as a real exercise of discretion by the responsible officer who authorised the release. And secondly it would have to be shown that the commission of the offence was the natural and probable, as distinct from merely a foreseeable, result of the release—that there was no *novus actus interveniens*. ...

Finally, I must deal with public policy. It is argued that it would be contrary to public policy to hold the Home Office or its officers liable to a member of the public for this carelessness—or indeed any failure of duty on their part. The basic question is who shall bear the loss caused by that carelessness—the innocent respondents or the Home Office who are vicariously liable for the conduct of their careless officers? I do not think that the argument for the Home Office can be put better than it was put by the Court of Appeals of New York in *Williams v. New York State*:

... [P]ublic policy also requires that the State be not held liable. To hold otherwise would impose a heavy responsibility upon the State, or dissuade the wardens and principal keepers of our prison system from continued experimentation with "minimum security" work details—which provide a means for encouraging better-risk

prisoners to exercise their senses of responsibility and honor and so prepare themselves for their eventual return to society. Since 1917, the Legislature has expressly provided for out-of-prison work, Correction Law, s. 182, and its intention should be respected without fostering the reluctance of prison officials to assign eligible men to minimum security work, lest they thereby give rise to costly claims against the State, or indeed inducing the State itself to terminate this "salutary procedure" looking toward rehabilitation.

It may be that public servants of the State of New York are so apprehensive, easily dissuaded from doing their duty, and intent on preserving public funds from costly claims, that they could be influenced in this way. But my experience leads me to believe that Her Majesty's servants are made of sterner stuff. So I have no hesitation in rejecting this argument. I can see no good ground in public policy for giving this immunity to a government department. I would dismiss this appeal.

LORD MORRIS OF BORTH-Y-GEST and LORD PEARSON gave judgments to the same effect.

LORD DIPLOCK: ... The specific question of law raised in this appeal may ... be stated as: is any duty of care to prevent the escape of a borstal trainee from custody owed by the Home Office to persons whose property would be likely to be damaged by the tortious acts of the borstal trainee if he escaped? This is the first time that this specific question has been posed at a higher judicial level than that of a county court. Your Lordships in answering it will be performing a judicial function similar to that performed in *Donoghue v. Stevenson* ... of deciding whether the English law of civil wrongs should be extended to impose legal liability to make reparation for the loss caused to another by conduct of a kind which has not hitherto been recognised by the courts as entailing any such liability.

This function, which judges hesitate to acknowledge as law-making, plays at most a minor role in the decision of the great majority of cases, and little conscious thought has been given to analysing its methodology. ...

It will be apparent that I agree with Lord Denning MR that what we are concerned with in this appeal "is ... at bottom a matter of public policy which we, as judges, must resolve." He cited in support Lord Pearce's dictum in *Hedley Byrne & Co Ltd v. Heller & Partners Ltd*:

How wide the sphere of the duty of care in negligence is to be laid depends ultimately on the courts' assessment of the demands of society for protection from the carelessness of others.

The reference in this passage to "the courts" in the plural is significant for—

As always in English law the first step in such an inquiry is to see how far the authorities have gone, for new categories in the law do not spring into existence overnight;

per Lord Devlin.

The justification of the courts' role in giving the effect of law to the judges' conception of the public interest in the field of negligence is based on the cumulative experience of the judiciary of the actual consequences of lack of care in particular instances. And the judicial development of the law of negligence rightly proceeds by seeking first to identify the relevant characteristics that are common to the kinds of conduct and relationship between the parties which are involved in the case for decision and the kinds of conduct and relationships which have been held in previous decisions of the courts to give rise to a duty of care.

The method adopted at this stage of the process is analytical and inductive. It starts with an analysis of the characteristics of the conduct and relationship involved

in each of the decided cases. But the analyst must know what he is looking for; and this involves his approaching his analysis with some general conception of conduct and relationships which ought to give rise to a duty of care. This analysis leads to a proposition which can be stated in the form: "In all the decisions that have been analysed a duty of care has been held to exist wherever the conduct and the relationship possessed each of the characteristics A, B, C, D etc, and has not so far been found to exist when any of these characteristics were absent."

For the second stage, which is deductive and analytical, that proposition is converted to: "In all cases where the conduct and relationship possess each of the characteristics A, B, C, D etc, a duty of care arises." The conduct and relationship involved in the case for decision is then analysed to ascertain whether they possess each of these characteristics. If they do the conclusion follows that a duty of care does arise in the case for decision.

But since *ex hypothesi* the kind of case which we are now considering offers a choice whether or not to extend the kinds of conduct or relationships which give rise to a duty of care, the conduct or relationship which is involved in it will lack at least one of the characteristics A, B, C or D etc. And the choice is exercised by making a policy decision whether or not a duty of care ought to exist if the characteristic which is lacking were absent or redefined in terms broad enough to include the case under consideration. The policy decision will be influenced by the same general conception of what ought to give rise to a duty of care as was used in approaching the analysis. The choice to extend is given effect to by redefining the characteristics in more general terms so as to exclude the necessity to conform to limitations imposed by the former definition which are considered to be inessential. The cases which are landmarks in the common law, such as ... *Donoghue v. Stevenson* ... , are instances of cases where the cumulative experience of judges has led to a restatement in wide general terms of characteristics of conduct and relationships which give rise to legal liability.

Inherent in this methodology, however, is a practical limitation which is imposed by the sheer volume of reported cases. The initial selection of previous cases to be analysed will itself eliminate from the analysis those in which the conduct or relationship involved possessed characteristics which are obviously absent in the case for decision. The proposition used in the deductive stage is not a true universal. It needs to be qualified so as to read: "In all cases where the conduct and relationship possess each of the characteristics A, B, C, and D etc, but do not possess any of the characteristics Z, Y, or X etc, which were present in the cases eliminated from the analysis, a duty of care arises." But this qualification, being irrelevant to the decision of the particular case, is generally left unexpressed. This was the reason for the warning by Lord Atkin in *Donoghue v. Stevenson* itself when he said:

[I]n the branch of the law which deals with civil wrongs, dependent in England at any rate entirely upon the application by judges of general principles also formulated by judges, it is of particular importance to guard against the danger of stating propositions of law in wider terms than is necessary, lest essential factors be omitted in the wider survey and the inherent adaptability of English law be unduly restricted. For this reason it is very necessary in considering reported cases in the law of torts that the actual decision alone should carry authority, proper weight, of course, being given to the dicta of the judges.

The respondents' argument in the present appeal disregards this warning. It seeks to treat as a universal not the specific proposition of law in *Donoghue v. Stevenson* which was about a manufacturer's liability for damage caused by his dangerous

products but the well-known aphorism used by Lord Atkin to describe a “general conception of relations giving rise to a duty of care”:

You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be—persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation ... when I am directing my mind to the acts or omissions which are called in question.

Used as a guide to characteristics which will be found to exist in conduct and relationships which give rise to a legal duty of care this aphorism marks a milestone in the modern development of the law of negligence. But misused as a universal it is manifestly false.

The branch of English law which deals with civil wrongs abounds with instances of acts and, more particularly, of omissions which give rise to no legal liability in the doer or ommitter for loss or damage sustained by others as a consequence of the act or omission, however reasonably or probably that lesser damage might have been anticipated. The very parable of the good Samaritan which was evoked by Lord Atkin in *Donoghue v. Stevenson* illustrates, in the conduct of the priest and of the Levite who passed by on the other side, an omission which was likely to have as its reasonable and probable consequence damage to the health of the victim of the thieves, but for which the priest and Levite would have incurred no civil liability in English law. Examples could be multiplied. One may cause loss to a tradesman by withdrawing one's custom although the goods which he supplies are entirely satisfactory; one may damage one's neighbour's land by intercepting the flow of percolating water to it even though the interception is of no advantage to oneself; one need not warn him of a risk of physical danger to which he is about to expose himself unless there is some special relationship between one and him such as that of occupier of land and visitor; one may watch one's neighbour's goods being ruined by a thunderstorm although the slightest effort on one's part could protect them from the rain and one may do so with impunity unless there is some special relationship between one and him such as that of bailor and bailee. ...

In the present appeal, too, the conduct of the Home Office which is called in question differs from the kind of conduct discussed in *Donoghue v. Stevenson* in at least two special characteristics. First, the actual damage sustained by the respondents was the direct consequence of a tortious act done with conscious volition by a third party responsible in law for his own acts and this act was interposed between the act of the Home Office complained of and the suspension of damage by the respondents. Secondly, there are two separate “neighbour relationships” of the Home Office involved, a relationship with the respondents and a relationship with the third party. They are capable of giving rise to conflicting duties of care. This appeal, therefore, also raises the lawyer's question “Am I my brother's keeper?” A question which may also receive a restricted reply. ...

In two cases, *Ellis v. Home Office* and *D'Arcy v. Prison Comrs*, it was assumed, in the absence of argument to the contrary, that the legal custodian of a prisoner detained in a prison owed to the plaintiff, another prisoner confined in the same prison, a duty of care to prevent the first prisoner from assaulting the plaintiff and causing him physical injuries. Unlike the present case, at the time of the tortious act of the prisoner for the consequences of which it was assumed that the custodian was liable the prisoner was in the actual custody of the defendant and the relationship between them gave to the defendant a continuing power of physical control over the acts of the prisoner. The relationship between the defendants and the plaintiffs in these two cases too bore no obvious analogy to that between the respondents and

the Home Office in the present case. In each of the cases the defendant in the exercise of a legal right and physical power of custody and control of the plaintiff had required him to be in a position in which the defendant ought reasonably and probably to have foreseen that he was likely to be injured by his fellow prisoner.

In my view, it is the combination of these two characteristics, one of the relationship between the defendant custodian and the person actually committing the wrong to the plaintiff and the other of the relationship between the defendant and the plaintiff which supply the reason for the existence of the duty of care in these two cases—which I conceded as counsel in *Ellis v. Home Office*. The latter characteristic would be present also in the relationship between the defendant and any other person admitted to the prison who sustained similar damage from the tortious act of a prisoner, since the Home Office as occupier and manager of the prison has the legal right to control the admission and the movements of a visitor while he is on the prison premises. A similar duty of care would thus be owed to him. But I do not think that, save as a deliberate policy decision, any proposition of law based on the decisions in these two cases would be wide enough to extend to a duty to take reasonable care to prevent the escape of a prisoner from actual physical custody and control owed to a person whose property is situated outside the prison premises and is damaged by the tortious act of the prisoner *after his escape*.

From the previous decisions of the English courts ... it is possible to arrive by induction at an established proposition of law as respects one of those special-relations: *viz* A is responsible for damage caused to the person or property of B by the tortious act of C (a person responsible in law for his own acts) where the relationship between A and C has the characteristics: (1) that A has the legal right to detain C in penal custody and to control his acts while in custody; (2) that A is actually exercising his legal right of custody of C at the time of C's tortious act; and (3) that A if he had taken reasonable care in the exercise of his right of custody could have prevented C from doing the tortious act which caused damage to the person or property of B; and where also the relationship between A and B has the characteristics; (4) that at the time of C's tortious act A has the legal right to control the situation of B or his property as respects physical proximity to C; and (5) that A can reasonably foresee that B is likely to sustain damage to his person or property if A does not take reasonable care to prevent C from doing tortious acts of the kind which he did.

On the facts which your Lordships are required to assume for the purposes of the present appeal the relationship between the Home Office, A, and the borstal trainees, C, did possess characteristics (1) and (3) but did not possess characteristic (2); while the relationship between the Home Office, A, and the respondents, B, did possess characteristic (5) but did not possess characteristic (4). What your Lordships have to decide as respects each of the relationships is whether the missing characteristic is essential to the existence of the duty or whether the facts assumed for the purposes of this appeal disclose some other characteristic which if substituted for that which is missing would produce a new proposition of law which ought to be true.

As any proposition which relates to the duty of controlling another man to prevent his doing damage to a third deals with a category of civil wrongs of which the English courts have hitherto had little experience it would not be consistent with the methodology of the development of the law by judicial decision that any new proposition should be stated in wider terms than are necessary for the determination of the present appeal. Public policy may call for the immediate recognition of a new sub-category of relations which are the source of a duty of this nature additional to the sub-category described in the established proposition; but further experience of actual cases would be needed before the time became ripe for the coalescence of

sub-categories into a broader category of relations giving rise to the duty, such as was effected with respect to the duty of care of a manufacturer of products in *Donoghue v. Stevenson*. Nevertheless, any new sub-category will form part of the English law of civil wrongs and must be consistent with its general principles.

Since the tortious act of the borstal trainees took place after they had ceased to be in the actual custody of the borstal officers, what your Lordships are concerned with in the relationship between the Home Office and borstal trainees is the responsibility of the Home Office to detain them in custody. To detain them at all would be to commit a civil wrong to them unless the legal right to detain them were conferred on the custodians by statute or at common law. In the case of borstal trainees that right is conferred by statute, viz s 13 of the *Prison Act 1952*. This makes lawful their detention within the curtilage of the borstal institution and outside its curtilage in the custody or under the control of a borstal officer. ...

It is common knowledge, of which judicial notice may be taken, that borstal training often fails to achieve its purpose of reformation, and that trainees when they have ceased to be detained in custody revert to crime and commit tortious damage to the person and property of others. But so do criminals who have never been apprehended and criminals who have been released from custody on completion of their sentences or earlier pursuant to a statutory power to do so. The risk of sustaining damage from the tortious acts of criminals is shared by the public at large. It has never been recognised at common law as giving rise to any cause of action against anyone but the criminal himself. It would seem arbitrary and therefore unjust to single out for the special privilege of being able to recover compensation from the authorities responsible for the prevention of crime a person whose property was damaged by the tortious act of a criminal, merely because the damage to him happened to be caused by a criminal who had escaped from custody before completion of his sentence instead of by one who had been lawfully released or who had been put on probation or given a suspended sentence or who had never been previously apprehended at all. To give rise to a duty on the part of the custodian owed to a member of the public to take reasonable care to prevent a borstal trainee from escaping from his custody before completion of the trainee's sentence there should be some relationship between the custodian and the person to whom the duty is owed which exposes that person to a particular risk of damage in consequence of that escape which is different in its incidence from the general risk of damage from criminal acts of others which he shares with all members of the public.

What distinguishes a borstal trainee who has escaped from one who has been duly released from custody, is his liability to recapture, and the distinctive added risk which is a reasonably foreseeable consequence of a failure to exercise due care in preventing him from escaping is the likelihood that in order to elude pursuit immediately on the discovery of his absence the escaping trainee may steal or appropriate and damage property which is situated in the vicinity of the place of detention from which he has escaped.

So long as Parliament is content to leave the general risk of damage from criminal acts to lie where it falls without any remedy except against the criminal himself, the courts would be exceeding their limited function in developing the common law to meet changing conditions if they were to recognise a duty of care to prevent criminals escaping from penal custody owed to a wider category of members of the public than those whose property was exposed to an exceptional added risk by the adoption of a custodial system for young offenders which increased the likelihood of their escape unless due care was taken by those responsible for their custody.

I should therefore hold that any duty of a borstal officer to use reasonable care to prevent a borstal trainee from escaping from his custody was owed only to persons

whom he could reasonably foresee had property situate in the vicinity of the place of detention of the detainee which the detainee was likely to steal or to appropriate and damage in the course of eluding immediate pursuit and recapture. Whether or not any person fell within this category would depend on the facts of the particular case including the previous criminal and escaping record of the individual trainee concerned and the nature of the place from which he escaped.

So to hold would be a rational extension of the relationship between the custodian and the person sustaining the damage which was accepted in *Ellis v. Home Office* and *D'Arcy v. Prison Comrs* as giving rise to a duty of care on the part of the custodian to exercise reasonable care in controlling his detainee. In those two cases the custodian had a legal right to control the physical proximity of the person or property sustaining the damage to the detainee who caused it. The extended relationship substitutes for the right to control the knowledge which the custodian possessed or ought to have possessed that physical proximity in fact existed.

In the present appeal the place from which the trainees escaped was an island from which the only means of escape would presumably be a boat accessible from the shore of the island. There is thus material, fit for consideration at the trial, for holding that the respondents, as the owners of a boat moored off the island, fell within the category of persons to whom a duty of care to prevent the escape of the trainees was owed by the officers responsible for their custody.

If therefore it can be established at the trial of this action ... that it was reasonably foreseeable by the officers that if these particular trainees did escape they would be likely to appropriate a boat moored in the vicinity of Brownsea Island for the purpose of eluding immediate pursuit and to cause damage to it, the borstal officers would be in breach of a duty of care owed to the respondents and the respondents would, in my view, have a cause of action against the Home Office as vicariously liable for the "negligence" of the borstal officers.

VISCOUNT DILHORNE (dissenting): ... Lord Atkin in defining the elements common to all cases where a breach of a duty of care gives rise to liability cannot have intended his words to mean that in every case failure to take reasonable care to avoid acts or omissions which could reasonably be foreseen as likely to injure one's neighbour as defined by him was actionable. He cannot, for instance, have meant that a person is liable in negligence if he fails to warn a person nearby whom he sees about to step off the pavement into the path of an oncoming vehicle or if he fails to attempt to rescue a child in difficulties in a pond. In both these instances—and they could be multiplied—it can be said that he could reasonably have foreseen that they would be likely to suffer injury by his omission to take action and that they were so closely and directly affected by his omission to do so that he ought to have had them in contemplation.

If, applying Lord Atkin's test, it be held that a duty of care existed in this case, I do not think that such a duty can be limited to being owed only to those in the immediate proximity of the place from which the escape is made. In *Donoghue v. Stevenson* the duty was held to be owed to consumers wherever they might be. If there be such a duty, it must, in my view, be owed to all those who it can reasonably be foreseen are likely to suffer damage as a result of the escape. Surely it is reasonably foreseeable that those who escape may take a succession of vehicles, perhaps many miles from the place from which they escaped, to make their getaway. Surely it is reasonably foreseeable that those who escape from prisons, borstals and other places of confinement will, while they are on the run, seek to steal food for their sustenance and money and are likely to break into premises for that purpose.

If the foreseeability test is applied to determine to whom the duty is owed, I am at a loss to perceive any logical ground for excluding liability to persons who suffer

injury or loss, no matter how far they or their property may be from the place of escape if the loss or injury was of a character reasonably foreseeable as the consequence of failure to take proper care to prevent the escape.

Lord Atkin's answer to the question "Who, then, in law is my neighbour?" while very relevant to determine to whom a duty of care is owed, cannot determine, in my opinion, the question whether a duty of care exists ... [T]he *Donoghue v. Stevenson* principle cannot be regarded as an infallible test of the existence of a duty of care; nor do I think that if that test is satisfied, there arises any presumption of the existence of such a duty.

Lord Denning MR in the course of his judgment in this case said that he thought that the absence of authority was "because, until recently, no lawyer ever thought such an action would lie" on one of two grounds, first that the damage was far too remote, the chain of causation being broken by the act of the person who had escaped; and, secondly, on the ground that the only duty owed was to the Crown.

Whatever be the reasons for the absence of authority, the significant fact is its absence and that leads me to the conclusion, despite the disclaimer of counsel for the respondents of any such intention, that we are being asked to create in reliance on Lord Atkin's words an entirely new and novel duty and one which does not arise out of any novel situation.

I, of course, recognise that the common law develops by the application of well established principles to new circumstances but I cannot accept that the application of Lord Atkin's words ... suffices to impose a new duty on the Home Office and on others in charge of persons in lawful custody of the kind suggested. No doubt very powerful arguments can be advanced that there should be such a duty. It can be argued that it is wrong that those who suffer loss or damage at the hands of those who have escaped from custody as a result of negligence on the part of the custodians should have no redress save against the persons who inflicted the loss or damage who are unlikely to be able to pay; that they should not have to bear the loss themselves whereas if there is such a duty, liability might fall on the Home Office and the burden on the general body of taxpayers. However this may be, we are concerned not with what the law should be but with what it is. The absence of authority shows that no such duty now exists. If there should be one, that is, in my view, a matter for the legislature and not for the courts. ...

There is no authority for the existence of such a duty under the common law. Lord Denning MR in his judgment in the Court of Appeal, I think, recognised this for he said "It is, I think, at bottom a matter of public policy which we, as judges, must resolve" and "What then is the right policy for the judges to adopt?" He went on to say:

Many, many a time has a prisoner escaped—or been let out on parole—and done damage. But there is never a case in our law books when the prison authorities have been liable for it. No householder who has been burgled, no person who has been wounded by a criminal, has ever recovered damages from the prison authorities, such as to find a place in the reports. The householder has claimed on his insurance company. The injured man can now claim on the compensation fund. None has claimed against the prison authorities. Should we alter all this? I should be reluctant to do so if, by so doing, we should hamper all the good work being done by our prison authorities.

Where I differ is in thinking that it is not part of the judicial function "to alter all this." The facts of a particular case may be a wholly inadequate basis for a far reaching change of the law. We have not to decide what the law should be and then to alter the existing law. That is the function of Parliament.

LAMB V LONDON BOROUGH OF CAMDEN

[1981] QB 625 (CA)

LORD DENNING MR: ... Off Hampstead Heath there is a terrace of houses of quality built in the early nineteenth century. They are called "the Villas on the Heath." One of them belonged to Mrs Lamb. In 1972 she went to New York and let the house to a tenant. Whilst she was away the local council decided to replace the sewer in the road next to the house. In October 1973 they dug a deep trench a few feet from the front wall of the house. In doing it, they broke into a water main. The water burst out and washed out soil from the foundations of the house. There was subsidence. The walls cracked. It became unsafe to live in. The tenant moved out. Mrs Lamb, still in America, got her father, her solicitors and her agents to look after her interests. In the summer of 1974 she herself came back for six weeks and made preliminary arrangements for repairs to be done. The work was so extensive that she had her furniture removed and put into store in Harrods' repository. Then she went back to America.

The house, being then left unoccupied and unfurnished, was a sitting target for squatters. In October 1974 they invaded it. Mrs Lamb returned for three weeks at Christmas. She found the squatters still there. She was appalled at the state of the place. Her solicitors issued a summons under RSC Ord 113 and managed to get them out. After those squatters had gone, her father got some building labourers to put up a few boards at a cost of £10. The neighbours helped too.

But a few months later, in the summer of 1975, there was a second invasion of squatters. A shifting population. As some went out, others came in. Mrs Lamb's agents did what they could to get them out. The electricity and gas were cut off. But to no avail. The squatters pulled off the panelling for fuel. They ripped out the central heating and other installations. They stole them. Eventually the police arrested the squatters on a charge of larceny. Whilst they were at the police station, Mrs Lamb's agents got in and made the premises secure with elaborate reinforced defences. That was in May 1977. ...

On those facts this point of law arises: can Mrs Lamb recover from the council the £30,000 due to the squatters' damage? The official referee found that it was too remote and was not recoverable. He cited the speech of Lord Reid in *Home Office v. Dorset Yacht Co Ltd.* ...

Now I would test the rulings of the Law Lords by asking: suppose that by some negligence of the staff, a borstal boy, or an adult prisoner, escapes over the wall, or from a working party. It is not only reasonably foreseeable, it is, as we all know, very likely, that he will steal a car in the immediate vicinity. He will then drive many miles, abandon the car, break into a house and steal clothes, get a lift in a lorry, and continue his depredations. On Lord Diplock's test, and I fancy on that of Lord Morris and Lord Pearson also, the Home Office would owe a duty of care to the owner of the stolen car but to none of the others who suffered damages. So the owner of the car could sue, but the others could not.

But on Lord Reid's test of "very likely" to happen, the Home Office would be liable not only to the owner of the stolen car but also to all the others who suffered damage: because it was very likely to happen.

That illustration convinces me that Lord Reid's test was wrong. If it were adopted, it would extend the liability of the Home Office beyond all reason. The Home Office should not be liable for the depredations of escaped convicts. The householders should recover for the damage not against the Home Office but on their insurance policies. The insurers should not by subrogation be able to pass it on to the Home Office. ...

If Lord Reid's test is wrong, what is the alternative test? Logically, I suppose that liability and compensation should go hand in hand. If reasonable foresight is the criterion in negligence, so also it should be in remoteness of damage. That was the test for which counsel for Mrs Lamb contended. He supported it by reference to the case in New South Wales of *Chomentowski v. Red Garter Restaurant Pty Ltd* (1970) 92 WN (NSW) 1070, where a head waiter was hit over the head by a robber. The management were negligent in not taking sufficient precautions. They were held liable because the attack might reasonably have been foreseen, though not very likely.

To my mind that alternative test is also not acceptable. It would extend the range of compensation far too widely. Take the *Chomentowski* case itself. In England the head waiter would be able to get full compensation for his injuries from the Criminal Injuries Compensation Board which provides compensation for victims of violent crimes. That would be preferable to making the manager liable for his pardonable want of foresight. Take next the illustration I took from the *Dorset Yacht* case of the criminal who escapes (owing to the negligence of the prison staff) and breaks into people's houses. Although it could reasonably be foreseen, the Home Office are not liable for his depredations. ...

The truth is that all these three, duty, remoteness and causation, are all devices by which the courts limit the range of liability for negligence or nuisance. As I said recently in *Compania Financiera Soleada SA v. Hamoor Tanker Corp'n Inc, The Borag* [1981] 1 All ER 856 at 861, [1981] 1 WLR 274 at 281: "... it is not every consequence of a wrongful act which is the subject of compensation. The law has to draw a line somewhere."

Sometimes it is done by limiting the range of the persons to whom duty is owed. Sometimes it is done by saying that there is a break in the chain of causation. At other times it is done by saying that the consequence is too remote to be a head of damage. All these devices are useful in their way. But ultimately it is a question of policy for the judges to decide. I venture to repeat what I said in *Dutton v. Bognor Regis United Building Co Ltd* [1972] 1 All ER 462 at 475, [1972] 1 QB 373 at 397:

It seems to me that it is a question of policy which we, as judges, have to decide. The time has come when, in cases of new import, we should decide them according to the reason of the thing. In previous times, when faced with a new problem, the judges have not openly asked themselves the question: what is the best policy for the law to adopt? But the question has always been there in the background. It has been concealed behind such questions as: Was the defendant under any duty to the plaintiff? Was the relationship between them sufficiently proximate? Was the injury direct or indirect? Was it foreseeable or not? Was it too remote? And so forth. Nowadays we direct ourselves to considerations of policy. ...

Looking at the question as one of policy, I ask myself: whose job was it to do something to keep out the squatters? And, if they got in, to evict them? To my mind the answer is clear. It was the job of the owner of the house, Mrs Lamb, through her agents. That is how everyone in the case regarded it. It has never been suggested in the pleadings or elsewhere that it was the job of the council. No one ever wrote to the council asking them to do it. The council were not in occupation of the house. They had no right to enter it. All they had done was to break the water main outside and cause the subsidence. After they had left the site, it was Mrs Lamb herself who paved the way for the squatters by moving out all her furniture and leaving the house unoccupied and unfurnished. There was then, if not before, on the judge's findings, a reasonably foreseeable risk that squatters might enter. She ought to have taken steps to guard against it. She says that she locked the doors and pulled the cv shutters. That turned out to be insufficient, but it was her responsibility to do more. At any

rate, when the squatters did get in on the first occasion in 1974, it was then her agents who acted on her behalf. They got the squatters out. Then, at any rate, Mrs Lamb or her agents ought to have done something effective. But they only put up a few boards at a cost of £10. Then there was the second invasion in 1975. Then her agents did recognise her responsibility. They did what they could to get the squatters out. They eventually succeeded. But no one ever suggested throughout that it was the responsibility of the council.

In her evidence Mrs Lamb suggested that she had not the money to do more. I do not think the judge accepted the suggestion. Her agents could well have made the house secure for a modest sum which was well within her capabilities.

On broader grounds of policy, I would add this: the criminal acts here, malicious damage and theft, are usually covered by insurance. By this means the risk of loss is spread throughout the community. It does not fall too heavily on one pair of shoulders alone. The insurers take the premium to cover just this sort of risk and should not be allowed, by subrogation, to pass it on to others. ...

So here, it seems to me, that, if Mrs Lamb was insured against damage to the house and theft, the insurers should pay the loss. If she was not insured, that is her misfortune.

Taking all these policy matters into account, I think the council are not liable for the acts of these squatters.

I would dismiss this appeal.

OLIVER LJ: ... I confess that I find it inconceivable that the reasonable man, wielding his pick in the road in 1973, could be said reasonably to foresee that his puncturing of a water main would fill the plaintiff's house with uninvited guests in 1974. ... Accordingly, the appeal should, in my judgment, be dismissed.

I should perhaps add that I do not dissent from the view of Lord Denning MR that the test expressed by Lord Reid (with, as I think, the intention of restricting the ambit of the duty in tort) was incorrect, in that it was not exhaustive and did not go far enough in that direction. To apply a straight test of foreseeability or likelihood to hypothetical circumstances which could arise in relation to the acts of independent third parties in the case of, for instance, carelessness on the part of servants of the Home Office does, as Lord Denning MR points out, produce some astonishing results. Suppose that as a result of the carelessness of a prison officer a prisoner escapes and commits a crime of the same type as that for which he is in custody a fortnight later and 400 miles away from the place at which he escaped. Is it any less foreseeable that he will do so than that he will steal his rail fare from a house adjoining the prison? And is the Home Office to be liable without limit until the prisoner is apprehended? Does it make any difference if he is, at the date of his escape, on remand or due for parole? Happily, such hypothetical questions do not, on the view that I take, have to be answered in the instant case, but whether or not it is right to regard questions of remoteness according to some flexible test of the policy of the law from time to time (on which I prefer at the moment to express no view) I concur with Lord Denning MR in regarding the straight test of foreseeability, at least in cases where the acts of independent third parties are concerned, as one which can, unless subjected to some further limitation, produce results which extend the ambit of liability beyond all reason. Speaking for myself, I would respectfully regard Lord Reid's test as a workable and sensible one, subject only to this, that I think that he may perhaps have understated the degree of likelihood required before the law can or should attribute the free act of a responsible third person to the tortfeasor. Such attribution cannot, as I think, rationally be made simply on the basis of some geographical or temporal proximity, and even "likelihood" is a somewhat uncertain

touchstone. It may be that some more stringent standard is required. There may, for instance, be circumstances in which the court would require a degree of likelihood amounting almost to inevitability before it fixes a defendant with responsibility for the act of a third party over whom he has and can have no control. ... [T]hat does not arise here, and the problem can be left for a case in which it directly arises.

WATKINS LJ: "This doctrine of remoteness of damage is one of very considerable obscurity and difficulty." So wrote the editor of *Salmond on the Law of Torts* (17th Edn, 1977, p 38). If I did not consciously share that opinion previously from a fairly long acquaintance with the subject, I have, since hearing the able submissions made to this court, to confess to feelings of apprehension of never emerging out of the maze of authorities on the subject of remoteness into the light of a clear understanding of it. On my way to providing an answer to the question raised in this appeal I have sometimes felt like Sir Winston Churchill must have done when he wrote:

I had a feeling once about mathematics—that I saw it all. Depth beyond depth was revealed to me—the byss and abyss. I saw—as one might see the transit of Venus or the Lord Mayor's Show—a quantity passing through an infinity and changing its sign from plus to minus. I saw exactly how it happened and why the tergiversation was inevitable—but it was after dinner and I let it go. ...

I feel bound to say with respect that what Lord Reid said in the *Dorset Yacht* case does nothing to simplify the task of deciding for or against remoteness, especially where the fresh damage complained of has been caused by the intervening act of a third party. ...

It seems to me that if the sole and exclusive test of remoteness is whether the fresh damage has arisen from an event or act which is reasonably foreseeable, or reasonably foreseeable as a possibility, or likely or quite likely to occur, absurd, even bizarre, results might ensue in actions for damages for negligence. Why, if this test were to be rigidly applied to the facts in the *Dorset Yacht* case, one can envisage the Home Office being found liable for the damage caused by an escaped borstal boy committing a burglary in John O'Groats. This would plainly be a ludicrous conclusion.

I do not think that words such as, among others, "possibility," "likely" or "quite likely" assist in the application of the test of reasonable foreseeability. If the crisply stated test which emanates from *The Wagon Mound (No 1)* is to be festooned with additional words supposedly there for the purpose of amplification or qualification, an understandable application of it will become impossible. In my view the *Wagon Mound* test should always be applied without any of the gloss which is from time to time being applied to it.

But when so applied it cannot in all circumstances in which it arises conclude consideration of the question of remoteness, although in the vast majority of cases it will be adequate for this purpose. In other cases, the present one being an example of these in my opinion, further consideration is necessary, always providing, of course, a plaintiff survives the test of reasonable foreseeability.

This is because the very features of an event or act for which damages are claimed themselves suggest that the event or act is not on any practical view of it remotely in any way connected with the original act of negligence. These features will include such matters as the nature of the event or act, the time it occurred, the place where it occurred, the identity of the perpetrator and his intentions, and responsibility, if any, for taking measures to avoid the occurrence and matters of public policy.

A robust and sensible approach to this very important area of the study of remoteness will more often than not produce, I think, an instinctive feeling that the event or act being weighed in the balance is too remote to sound in damages for the

plaintiff. I do not pretend that in all cases the answer will come easily to the inquirer. But that the question must be asked and answered in all these cases I have no doubt.

To return to the present case, I have the instinctive feeling that the squatters' damage is too remote. I could not possibly come to any other conclusion, although on the primary facts I, too, would regard that damage or something like it as reasonably foreseeable in these times.

We are here dealing with unreasonable conduct of an outrageous kind. It is notorious that squatters will take the opportunity of entering and occupying any house, whether it be damaged or not, which is found to be unoccupied for more than a very temporary duration. In my opinion this kind of antisocial and criminal behaviour provides a glaring example of an act which inevitably, or almost so, is too remote to cause a defendant to pay damages for the consequences of it.

Accordingly, I would hold that the damage caused by the squatters in the present case is too remote to be recovered from these defendants.

SUPPLEMENTARY READING

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CHAPTER FOUR

CAUSE IN FACT

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The law of negligence deals with liability for the consequences of unreasonable risk creation. Chapter 2, with its focus on the standard of care, was concerned with the issue of what makes the risk created by the defendant an unreasonable one. Chapter 3 next considered, under the headings of duty and remoteness (or proximate cause), the description of the risk in terms of the class of persons and the kind of injuries and accidents that are reasonably foreseeable; the basic idea behind these concepts is that the defendant is not liable unless the plaintiff's injury is within the risk that led us to think of the defendant's risk-creating act as wrongful. The present chapter completes the survey of the basic concepts in negligence law's treatment of risk by dealing with the materialization of the risk into the injury. Injury is essential to liability for negligence; no matter how culpable the defendant's act, the defendant cannot be held liable for negligence unless the defendant's act resulted in an injury to the plaintiff. Thus, without the materialization of risk into injury, no liability can arise. "Cause in fact" is the concept that deals with this feature of liability.

Accordingly, tort law distinguishes between two meanings of the word "cause," and thus between two aspects of the connection between the defendant's negligent act and the plaintiff's injury. The first, proximate cause or remoteness, connects act and injury by directing attention to whether the injury or accident suffered by the plaintiff is within the reason for regarding the defendant's act as wrongful. To deal with this aspect of the connection between act and injury, a court must make a judgment about whether, in the circumstances of the case, the unreasonable risk created by the defendant can fairly be described as encompassing the injury suffered by the plaintiff. As the cases in the previous chapter indicated, the fluidity and indeterminacy of this exercise often cause it to be regarded as a matter of "policy." The second aspect, cause in fact, is seemingly more straightforward: it connects act and injury by asking simply whether the former produced the latter. The requirement of cause in fact triggers a factual and historical inquiry that is resolved by the production of evidence about the events that occurred and the drawing of inferences from that evidence. As Cecil A. Wright observed many years ago, "Cause and effect are pure questions of fact. Did the defendant cause the injury of which the plaintiff is complaining? In not one case in a thousand is there any question that it did." (Wright, "The Law of Torts, 1923-1947" (1948) 26 *Can Bar Rev* 46 at 58.)

Nonetheless, the requirement of cause in fact can occasion two kinds of difficulty. The first is a conceptual difficulty about the nature of causation for purposes of tort liability. The standard approach to cause in fact is the "but for" test, under which one asks whether the plaintiff's injury would have occurred but for the defendant's act. If the injury would have occurred in any case, causation is not present and the suit fails. However, the law recognizes that this "test"

is inadequate in certain cases of multiple causation, notably, where there are several negligent parties each of whose action would have been sufficient to produce the injury even without the action of the others. As we will see in the first part of this chapter, multiple causation gives rise to fundamental perplexities about the role of causation. When courts are confronted by situations where they feel that cause in fact is present despite the failure to satisfy the “but for” test, they often vaguely refer to the defendant’s action as being a “substantial factor” or a “material contribution.” These formulas do not, however, obviate the necessity to come to grips with the underlying problems.

The second kind of difficulty flows from the evidential background to a determination of cause in fact. As with all factual issues essential to the claim, the burden of proving cause in fact falls on the plaintiff. However, in certain situations of causal uncertainty, especially where the injury is closely associated with the kind of risk created by the defendant’s negligent act, courts may be disposed to finding the defendant liable even though the plaintiff cannot prove the causal connection between the act and the injury. In recent years these situations have received considerable attention from the highest courts in Canada and elsewhere. Some scholars have suggested that these judgments exemplify or foreshadow a radical transformation of tort law. Under what conditions might a relaxation of the plaintiff’s burden of proof be justifiable, and on what principle(s)? These are the questions raised by the material in the second part of this chapter.

I. THE NATURE OF FACTUAL CAUSATION

BARNETT V CHELSEA & KENSINGTON HOSPITAL MANAGEMENT COMMITTEE

[1968] 3 All ER 1068 (QBD)

NIELD J: ... The plaintiff is the widow of William Patrick Barnett, who died on Jan. 1, 1966, from arsenical poisoning, and she is also the administratrix of his estate. She claims damages on behalf of herself and two of her children as dependants of the deceased and also on behalf of his estate. The defendant committee were at all material times responsible for the management of St. Stephen’s Hospital, Chelsea.

The deceased was employed as a night watchman at a hall of residence at the Chelsea College of Sciences and Technology. Also employed in a similar capacity but in a different part of the college were Frederick Whittall and Herbert Weighall—the latter being the senior watchman.

At about 5 a.m. all three watchmen drank some tea. Some of it came from a flask and some was freshly made in a teapot. After drinking the tea the deceased complained of the heat in the room and then within twenty minutes of drinking the tea all three men started to vomit, and the vomiting continued persistently until about 8 a.m. when the day workers arrived at the college. The three watchmen then made their way in the deceased’s car—which he drove quite normally—to the casualty department of St. Stephen’s Hospital. ...

[On their arrival the following communication took place between the nurse on duty and the doctor on call:] Nurse Corbett then spoke on the telephone ... and said words to this effect: “Is that Dr. Banerjee? There are three men complaining of vomiting after drinking tea” and Dr. Banerjee replied: “Well, I’m vomiting myself and I have not been drinking. Tell them to go home and go to bed and call in their own doctors ...”

Dr. Banerjee's message was given by the nurse to the three men and they, thinking it was final, all left. Mr. Whittall decided not to stay because no treatment had been suggested. The deceased walked normally from his chair and then drove his two companions back to the college, and again drove perfectly properly. At the college the deceased went into the telephone room and lay down on the floor with a cushion under his head. About 9.10 a.m. Mr. Whittall asked the deceased how he felt and the deceased said "Leave me alone, I'll be all right." ...

[T]he deceased died about 1.30 p.m. ...

[After finding that the defendants breached their duty to the deceased by not admitting and treating him, Nield J continued:]

It remains to consider whether it is shown that the deceased's death was caused by this negligence or whether, as the defendants have said, the deceased must have died in any event. ...

There has been put before me a timetable which, I think, is of much importance. The deceased attended at the casualty department at 8.05 or 8.10 a.m. If Dr. Banerjee had got up and dressed and come to see the three men and examined them and decided to admit them, the deceased (and Dr. Lockett agreed with this) could not have been in bed in a ward before 11 a.m. I accept Dr. Goulding's evidence that an intravenous drip would not have been set up before 12 noon, and if potassium loss was suspected it could not have been discovered until 12.30. Dr. Lockett, dealing with this, said "If [the deceased] had not been treated until after 12 noon the chances of survival were not good."

Without going in detail into the considerable volume of technical evidence which has been put before me, it seems to me to be the case that when death results from arsenical poisoning it is brought about by two conditions; on the one hand dehydration and on the other disturbance of the enzyme processes. If the principal condition is one of enzyme disturbance—as I am of the view that it was here—then the only method of treatment which is likely to succeed is the use of the specific or antidote which is commonly called B.A.L. Dr. Goulding said this in the course of his evidence: "The only way to deal with this is to use the specific B.A.L. I see no reasonable prospect of the deceased being given B.A.L. before the time at which he died," and at a later point in his evidence: "I feel that even if fluid loss had been discovered death would have been caused by the enzyme disturbance. Death might have occurred later." I regard that evidence as very moderate, and that it might be a true assessment of the situation to say that there was no chance of B.A.L. being administered before the death of the deceased.

For these reasons, I find that the plaintiff has failed to establish, on the grounds of probability, that the defendants' negligence caused the death of the deceased.

LAMBTON V MELLISH

[1894] 3 Ch 163

The Plaintiff was the lessee and occupier of a house adjoining Ashstead Common in Surrey. ...

...

The Defendants Mellish and Cox were rival refreshment contractors who catered for visitors and excursionists to the common, and both the Defendants had merry-go-rounds on their premises, and were in the habit of using organs as an accompaniment to the amusements.

It appeared from the evidence that these organs were for three months or more in the summer continuously being played together from 10 or 11 A.M. till 6 or 7 P.M., and that the noise caused by the two organs was "maddening."

The organ used by Mellish has been changed, and it was alleged by him that the organ in use when the motion was made was a small portable hand-organ making comparatively little noise. That used by Cox was a much larger one provided with trumpet stops and emitting sounds which could be heard at the distance of one mile.

The Plaintiff now moved against the Defendant in each action for an injunction restraining him from playing any organs so as to cause a nuisance or injury to the Plaintiff or his family, or other the occupiers of the Plaintiff's property.

Farwell, QC, and Borthwick, for the Plaintiff in both actions:—

Although it is possible that the noise made by the Defendant Mellish's organ is slight compared with that made by the Defendant Cox, Mellish is nevertheless contributing to the noise and is responsible with the Defendant Cox for the aggregate noise which constitutes the nuisance complained of. ...

CHITTY J: ... Notwithstanding the conflict of evidence, I am of opinion that the Plaintiff is entitled to the injunction he asks for as against the Defendant in each action.

A man may tolerate a nuisance for a short period. A passer-by or a by-stander would not find any nuisance in these organs; but the case is very different when the noise has to be continuously endured: under such circumstances it is scarcely an exaggeration to term it "maddening," going on, as it does, hour after hour, day after day, and month after month. I consider that the noise made by each Defendant, taken separately, amounts to a nuisance. But I go further. It was said for the Defendant Mellish that two rights cannot make a wrong—by that it was meant that if one man makes a noise not of a kind, duration, or degree sufficient to constitute a nuisance, and another man, not acting in concert with the first, makes a similar noise at the same time, each is responsible only for the noise made by himself, and not also for that made by the other. If the two agreed and acted in combination each would be a wrongdoer. If a man shouts outside a house for most of the day, and another man, who is his rival (for it is to be remembered that these Defendants are rivals), does the same, has the inhabitant of the house no remedy? It is said that that is only so much the worse for the inhabitant. On the ground of common sense it must be the other way. Each of the men is making a noise and each is adding his quantum until the whole constitutes a nuisance. Each hears the other, and is adding to the sum which makes up the nuisance. In my opinion each is separately liable, and I think it would be contrary to good sense, and, indeed, contrary to law, to hold otherwise. It would be contrary to common sense that the inhabitants of the house should be left without remedy at law. I think the point falls within the principle laid down by Lord Justice James in *Thorpe v. Brumjitt*. That was a case of obstructing a right of way, but such obstruction was a nuisance in the old phraseology of the law. He says: "Then it was said that the plaintiff alleges an obstruction caused by several persons acting independently of each other, and does not shew what share each had in causing it. It is probably impossible for a person in the plaintiff's position to shew this. Nor do I think it necessary that he should shew it. The amount of obstruction caused by any one of them might not, if it stood alone, be sufficient to give any ground of complaint, though the amount caused by them all may be a serious injury. Suppose one person leaves a wheelbarrow standing on a way, that may cause no appreciable inconvenience, but if a hundred do so, that may cause a serious inconvenience, which a person entitled to the use of the way has a right to prevent; and it is no defence to any one person among the hundred to say that what he does

causes of itself no damage to the complainant." There is in my opinion no distinction in these respects between the case of a right of way and the case, such as this is, of a nuisance by noise. If the acts of two persons, each being aware of what the other is doing, amount in the aggregate to what is an actionable wrong, each is amenable to the remedy against the aggregate cause of complaint. The Defendants here are both responsible for the noise as a whole so far as it constitutes a nuisance affecting the Plaintiff, and each must be restrained in respect of his own share in making the noise. I therefore, grant an interim injunction in both the actions in the terms of the notices of motion.

NOTES AND QUESTIONS

1. A similar case of multiple causation is *Corey v Havener*, 65 NE 69 (Mass SJC 1902), where the plaintiff was riding his carriage on the highway when the two defendants came up from behind "mounted on motor tricycles, which emitted smoke and made a loud noise," passed the plaintiff at a high speed, one on each side, thus frightening the horse and causing the plaintiff personal injuries. The court held that "the verdict of the jury [in favour of the plaintiff against both defendants] established the fact that both the defendants were wrongdoers. ... If each contributed to the injury that is enough to bind both. Whether each contributed was a question for the jury. ... [T]he plaintiff was entitled to judgment against each for the full amount. There is no injustice in this for a satisfaction of one judgment is all that the plaintiff is entitled to."

2. In *Corey*, both causal agencies were wrongdoers. What if there were two causal agencies but only one wrongdoer? Assume that there was one motorcyclist, but as he passed on the left lightning flashed on the right, and that the noise from either the motorcyclist or the lightning would have been sufficient to stampede the plaintiff's horse.

3. What if there were two causal agencies, one of which resulted from wrongdoing and the other of which was of unknown origin? In *Kingston v Chicago and NW Ry*, 211 NW 913 (Wisc SC 1927), sparks from the defendant's locomotive started a fire, which subsequently merged with a fire of unknown origin 940 feet from the plaintiff's property. The united fire then bore down and destroyed the property. The court dealt with the situation as follows:

We therefore have two separate, independent, and distinct agencies, each of which constituted the proximate cause of plaintiff's damage, and either of which, in the absence of the other, would have accomplished such result.

It is settled in the law of negligence that any one of two or more joint tortfeasors, or one of two or more wrongdoers whose concurring acts of negligence result in injury, are each individually responsible for the entire damage resulting from their joint or concurrent acts of negligence. ...

From our present consideration of the subject we are not disposed to criticise the doctrine which exempts from liability a wrongdoer who sets a fire which unites with a fire originating from natural causes, such as lightning, not attributable to any human agency, resulting in damage. It is also conceivable that a fire so set might unite with a fire of so much greater proportions, such as a raging forest fire, as to be enveloped or swallowed up by the greater holocaust, and its identity destroyed, so that the greater fire could be said to be an intervening or superseding cause. But we have no such situation here. These fires were of comparatively equal rank. ...

Now the question is whether the railroad company, which is found to have been responsible for the origin of the northeast fire, escapes liability because the origin of the northwest fire is not identified, although there is no reason to believe that it had any other than human

origin. An affirmative answer to that question would certainly make a wrongdoer a favorite of the law at the expense of an innocent sufferer. The injustice of such a doctrine sufficiently impeaches the logic upon which it is founded. Where one who has suffered damage by fire proves the origin of a fire and the course of that fire up to the point of the destruction of his property, one has certainly established liability on the part of the originator of the fire. Granting that the union of that fire with another of natural origin, or with another of much greater proportions, is available as a defense, the burden is on the defendant to show that by reason of such union with a fire of such character the fire set by him was not the proximate cause of the damage. No principle of justice requires that the plaintiff be placed under the burden of specifically identifying the origin of both fires in order to recover the damages for which either or both fires are responsible. ...

While under some circumstances a wrongdoer is not responsible for damage which would have occurred in the absence of his wrongful act, even though such wrongful act was a proximate cause of the accident, that doctrine does not obtain "where two causes, each attributable to the negligence of a responsible person, concur in producing an injury to another, either of which causes would produce it regardless of the other." This is because "it is impossible to apportion the damage or to say that either perpetrated any distinct injury that can be separated from the whole," and to permit each of two wrongdoers to plead the wrong of the other as a defense to his own wrongdoing would permit both wrongdoers to escape and penalize the innocent party who has been damaged by their wrongful acts.

Do you agree?

4. Peaslee, "Multiple Causation and Damage" (1934) 47 Harv L Rev 1127 at 1130, distinguishes the case of two culpable causal agencies from the case of one innocent and one culpable as follows:

Damage done is an essential element in the cause of action for negligence. It is here that the root of the problem is to be found. Where strictly concurrent causes are all wrongful, the rule ... holding each responsible for the damage done by all renders the solution plain. But where one of the causes is innocent and the other culpable in origin, as of the two fires uniting before reaching and burning the plaintiff's house, must the negligent actor pay the whole loss, or is he responsible for none of it? On the one hand is sufficient wrongful causation of a physical result, and on the other, inevitable loss not increased by the defendant's wrong. Recovery would make the plaintiff better off than he would have been if the defendant had done no wrong. So long as the innocent cause is in actual, inescapable operation before the wrongful act becomes efficient, it is not apparent how the latter can be considered the cause of the loss. Causation is matter of fact, and that which is not in fact causal ought not to be deemed so in law. The defendant's act may have furnished some cause for the fire, but causing a fire at that time and under those circumstances did not injure the plaintiff, and neither moral justification nor logic would charge the wrongdoer for damage which he had not caused. ...

Difficulty in accepting the theory of non-liability for the results of concurrent innocent causation arises from a feeling that if the theory is sound, it should also apply where each cause was actionable. But comparison of instances where there is a second wrongful cause with those where the second cause is innocent is specious but unsound. Good sense requires that a defendant pay only for that which has been caused by him, when the complaining party will not thereby be unjustifiably prejudiced, and it is only when it is sought to charge him for a loss which he did not cause, therefore, that the quality of the concurring causal act becomes important.

Where both are tortfeasors, the rule that each is liable for the result the two caused gives a full recovery from either. But if one cause is innocent, the wrongdoer is merely answerable

for his own wrong and its results. In the latter case he escapes liability for the damage resultant from the innocent cause since neither he nor anyone for the results of whose wrong the law makes him answerable has done the injury. The ground upon which the joint tortfeasor is held for all the damage does not exist where one of the causes is innocent.

5. Wright, "Causation in Tort Law" (1985) 73 Cal L Rev 1735, argues for what he calls the "NESS" (necessary element of a sufficient set) test of cause in fact. Under this test, a particular condition is the cause of a specific consequence if and only if it was a necessary element of a set of antecedent actual conditions that was sufficient for the occurrence of the consequence. At 1792, Wright analyzes the concurrent causation problem as follows:

In the pollution cases, the NESS test confirms that each defendant's pollution contributed to the injury, even though it was neither necessary or independently sufficient for the injury. For example, assume that five units of pollution were necessary and sufficient for the injury and that each of seven defendants discharged one unit of pollution. Each defendant can truthfully say that its one unit was neither necessary nor independently sufficient for the injury. But each defendant's one unit was necessary for the sufficiency of a set of actual antecedent conditions that included only four of the other units, and the sufficiency of this particular set of actual antecedent conditions was not affected by the existence of two additional duplicative units.

A similar causal situation exists even if one defendant discharges five units of pollution and a second defendant discharges two units. The two units still mix with the five units to produce the injurious seven units. More rigorously, the two units were necessary for the sufficiency of a set of actual antecedent conditions that included only three of the first defendant's five units, a set whose sufficiency was not affected by the existence of two additional duplicative units also provided by the first defendant.

The analysis of the merged-fires cases is analogous. Thus, if any two of three fires were sufficient for the injury, but none by itself was sufficient, each was a cause of the injury since each was necessary for the sufficiency of a set of actual antecedent conditions that included only one of the other fires. The same causal situation exists even if there were only two fires, one of which was independently sufficient and the other of which was not. The first fire was clearly a cause, since it was independently sufficient. But the second fire also was a cause. It was necessary for the sufficiency of a set of actual antecedent conditions which included another fire (the first) that was "at least large enough to be sufficient for the injury if it merged with a fire the size of the second fire." The sufficiency of this set is not affected by the fact that the first fire was so large that it would have been sufficient by itself.

The wording of the quoted condition, "at least large enough," is not a verbal gimmick. The condition is an actual one that existed on the particular occasion. It describes a certain factual situation, as much as the condition in the pollution case that referred to only three of the first defendant's five units of pollution. In the former case, the size of the first fire is broken down into portions; in the latter case, the amount of the first defendant's pollution is broken down into portions.

The NESS test would attribute causal status to a very small fire that merged with an overwhelming large fire. The very small fire was a duplicative cause of any resulting injury. Whether the person who tortiously caused the very small fire should be held liable for any or all of the resulting injury is an issue of policy or principle that comes under the heading of damages.

6. So far we have been dealing with multiple causes that are concurrent. What if they are sequential? Does it matter whether the second cause is innocent or culpable? See the following case.

SUNRISE CO V LAKE WINNIPEG (THE)[1991] 1 SCR 3, 77 DLR (4th) 701

L'HEUREUX-DUBÉ J (LAMER CJC and WILSON, LA FOREST, and SOPINKA JJ concurring): ... On June 7, 1980, the "Kalliopi L," while downbound on the St. Lawrence River, met but did not collide with, the upbound "Lake Winnipeg." Immediately after the meeting, the "Kalliopi L" went aground. The trial judge found that the "Lake Winnipeg" and her owners were entirely responsible for this grounding. In proceeding to an anchorage area, the "Kalliopi L" again, though through no fault of the "Lake Winnipeg," went aground and suffered further damage. The second incident was unrelated to the first. Each grounding alone would have required the "Kalliopi L" to proceed immediately to dry dock for repairs once her cargo had been discharged. The time in dry dock necessitated by damage repairs occasioned by both incidents was 27 days. The detention in dry dock for repairs from the first incident alone would have required the full 27 days. If, however, repairs relating to the second incident were carried out separately, only 14 days in dry dock would have been necessary.

... [T]he sole issue raised by the principal appeal is who is responsible for the loss of profit resulting from the detention for 27 days of the "Kalliopi L."

• • •

While, as my colleague McLachlin J points out ... the general principles [in the shipping and personal injury cases] may be the same, their application is of necessity different. Inherent differences in the nature of the injuries sustained militate against any meaningful comparisons between the two areas. ...

• • •

[T]he nature of the second casualty, be it tortious or otherwise, is irrelevant in this determination. ...

• • •

At p. 31 of his factum the appellant states:

... if the first casualty directly prevented the vessel from continuing her profit-making venture and the length of the period of repairs arising from the first casualty exceeded that of any repairs resulting from any other cause, such as a second incident, then the detention and dry-docking expenses fall upon the party responsible for the first accident, whether the second accident was caused by the fault of the ship owner, the fault of a third party or the fault of no one, such as heavy weather.

In my opinion, the appellant has, on the facts of this case, asserted a correct proposition of law, one that commends itself to me both on the cases and on principle. ...

In summary, there is no causal link between the second incident and the loss of profit suffered by the owners of the "Kalliopi L," such damage being merely coincidental. The "Lake Winnipeg" must, as a consequence bear the responsibility for the full 27 days detention in dry dock.

McLACHLIN J (dissenting in part) (GONTHIER J concurring): ... The authorities recognize that the goal of the award of damages must be to restore the plaintiff to the position it would have been in but for the tortious conduct of the defendant—no less and no more. To that end they insist that the matter is essentially one of determining what loss the plaintiff has established to have been caused by the wrongful act of the defendant, viewing the matter as it stands at the time of trial and taking into account any factors which have diminished the loss in the interval following the defendant's

tort. In particular, if a subsequent incident intervenes which makes work necessary and that work is done at the same time as a previous incident, it is open to the court to conclude that because the ship would in any event necessarily have been out of commission during the time required to effect the repairs required by the second incident, the plaintiff has not established that the detention to that extent was caused by the defendant's act.

I take the general principles to which I have alluded as requiring that, to the extent that an event occurring after the tort and independently of the tort diminishes the loss caused by the tortious event, that diminution must be reflected in the award for damages. The next question is how that is best accomplished.

There are two possibilities. The first is that taken by the Federal Court of Appeal in this case. To the extent the loss is caused by a cause other than the tort, it is not compensable. On this approach, the plaintiffs would be entitled to damages for loss of use of their ship for 13 days, being 27 days less the 14 days that the ship would have been out of use in any event due to an unrelated cause. This was essentially the approach adopted in *The Carslogie*, where the plaintiff received nothing from the defendant because the subsequent event would have required detention for a longer period than required for the repair of the damage caused by the defendant.

This approach, while effecting a certain division of responsibility which might be considered just in some cases, suffers from defects. Where the subsequent event causes greater detention than the first, the plaintiff may be unable to recover anything against the defendant who caused the first loss (as in *The Carslogie*), a result which some would argue to be unfair. Moreover, it can be argued that applying strict logic, adoption of this approach might result in the defendant's recovering nothing in the case where its ship is damaged by two consecutive tortfeasors and the time required to effect both sets of repairs was the same.

The following example illustrates this conclusion. Assume that the ship was damaged in two separate and unrelated tortious collisions, and that the repair of the damage caused by each requires 10 days to complete. The ship is then taken out of service for 10 days and both repairs are performed concurrently. From the perspective of the first tortfeasor the fact that the ship had to be taken out of service for 10 days to repair the damage caused by the second tortfeasor would serve to bar the recovery of damages for the losses suffered during the detention. The second tortfeasor could obviously make precisely the same assertion and argue that it should not be held liable for the detention as the requirement to repair the damage caused by the first tortfeasor meant that the ship would not have been "a profit-making machine" during the repair period even in the absence of the damage caused by the second tortfeasor. In short, where there are two operative causes of the detention, it can be argued by the parties respectively responsible for each that to the extent the detention was caused by the other's act, it is not responsible. This would serve to bar the owner from recovering any detention losses caused by concurrent repairs due to two separate incidents that the owner, by default, would end up bearing the loss.

This result would appear, *ab initio*, an incorrect one and particularly unfair when all of the damage was tortiously caused. To avoid such result, it is necessary to introduce a factor other than pure causation. What is required is a rule that says (a) that one of the two causes of the concurrent loss is responsible (e.g., the "first in time" rule), or (b) that the concurrent delay should be apportioned between the two causes of the concurrent loss.

This leads me to the second way in which the diminution in a loss due to detention caused by a subsequent event can be recognized, *pro rata* apportionment. This was the approach employed with respect to dock dues in *The Haversham Grange*:

[W]here repairs in respect of damage for which underwriters are liable have been executed simultaneously with repairs as to which the owner is uninsured, and an expense has been incurred which would have been necessary for either purpose alone, such expense is not to be wholly attributed to one set of repairs alone, but forms a factor in the cost of each, and must therefore be divided between them in some proportion, which *prima facie* would be equally.

This approach is philosophically compatible with the contributory negligence approach to damages now prevalent in virtually all areas of tort law, and reflected in legislative provisions such as the *Canada Shipping Act*, [RSC 1985, c S-9], and the *Ontario Negligence Act*, RSO 1980, c. 315. ...

Section 638 of the *Canada Shipping Act* provides:

638(1) Where, by the fault of two or more vessels, damage or loss is caused to one or more of those vessels, to their cargoes or freight, or to any property on board, the liability to make good the damage or loss shall be in proportion to the degree in which each vessel was in fault.

(2) Where, having regard to all the circumstances of the case, it is not possible to establish different degrees of fault, the liability shall be apportioned equally.

Similarly the *Ontario Negligence Act* in ss. 2, 4, and 5 recognizes and endorses the principle of apportionment:

2. Where damages have been caused or contributed to by the fault or neglect of two or more persons, the court shall determine the degree in which each of such persons is at fault or negligent, and, where two or more persons are found at fault or negligent, they are jointly and severally liable to the person suffering loss or damage for such fault or negligence, but as between themselves, in the absence of any contract express or implied, each is liable to make contribution and indemnify each other in the degree in which they are respectively found to be at fault or negligent.

4. In any action for damages that is founded upon the fault or negligence of the defendant if fault or negligence is found on the part of the plaintiff that contributed to the damages, the court shall apportion the damages in proportion to the degree of fault or negligence found against the parties respectively.

5. If it is not practicable to determine the respective degree of fault or negligence as between any parties to an action, such parties shall be deemed to be equally at fault or negligent.

• • •

I see no reason ... why the general principle of apportionment discussed in *The Haversham Grange* should not apply. This approach would recognize that there were two causes for the detention of the ship and the consequent loss of earning capacity—the defendants' tortious act and the subsequent grounding incident. The question then is this: what in fairness is required to restore the plaintiffs to the position they would have been in had the first incident not occurred? The answer must be that 13 days alone is *solely* attributable to the defendants' fault and the defendants must bear the full amount of the loss resulting from detention for this period. The remaining 14 days of detention were used to repair damages caused by the defendants' tort as well as damages caused by the intervening incident. Fairness suggests that the loss flowing from this period be divided equally between the two causes of detention. In the result, the defendants would be required to pay damages for 20 days of detention.

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This rule conforms with the fundamental principle that the plaintiffs are entitled to be placed in the same position as they would have been in had the tort never occurred. It embodies all the subsidiary rules that flow from this principle. It recognizes that the plaintiffs are entitled only to such loss as [they] can prove to have been caused by the defendants' act. It permits recognition of diminution of the loss of use claim due to intervening causes. It restricts the extent of any such diminution to other factors which can be shown to have actually caused the particular detention in question. It accords with the modern philosophy of apportioning damages between successive causes of loss. It avoids intricate arguments about factors such as the order of accidents, their impact on the use of the ship, and causation. And it has the advantage of being generally applicable to all causes and producing a fairer result than the all or nothing approach exemplified by *The Carslogie*.

NOTES AND QUESTIONS

1. L'Heureux-Dubé J mentions that shipping cases are not comparable to personal injury cases because of "inherent differences in the nature of the injuries sustained." The personal injury cases that she has in mind are exemplified in two controversial cases decided by the House of Lords. In the first of these cases, *Baker v Willoughby*, [1970] AC 467 (HL), the plaintiff suffered a severe injury to his leg and ankle because of the defendant's negligent driving. The plaintiff sued for the income he would have lost, because he was unable to earn as much as he could have had he not been injured. Subsequently, but before the trial, the plaintiff was the victim of an attempted robbery during which he was shot by one of the robbers. The shot inflicted such damage to the already injured leg that it had to be amputated. The defendant argued that he was not liable for the plaintiff's lost income after the date of the robbery. The House of Lords rejected this argument, holding that the actions of the defendant and the robber were concurrent causes of the loss of income, and that therefore the defendant had to compensate the plaintiff for the losses that he had caused.

In the second case, *Jobling v Associated Dairy*, [1982] AC 794 (HL), the defendant's negligence caused the plaintiff to suffer a back injury that incapacitated him for any but light work. Subsequently, but before the trial, the plaintiff was found to be suffering from a spinal disease unrelated to the accident, which resulted in a total incapacity to work. There were no discernible signs or symptoms of the spinal disease at the date of the accident. The question that arose was whether the defendant was liable for loss of earnings on the basis of a partial incapacity continuing throughout the period which, in the absence of the onset of the spinal disease, would have represented the balance of the defendant's normal working life, or whether the liability was limited to loss of earnings up to the time when the disease resulted in total incapacity. Lord Keith of Kinkel dealt with this issue as follows:

I am ... of opinion that the majority in *Baker v. Willoughby* were mistaken in approaching the problems common to the case of a supervening tortious act and to that of supervening illness wholly from the point of view of causation. While it is logically correct to say that in both cases the original tort and the supervening event may be concurrent causes of incapacity, that does not necessarily, in my view, provide the correct solution. In the case of supervening illness, it is appropriate to keep in view that this is one of the ordinary vicissitudes of life, and when one is comparing the situation resulting from the accident with the situation, had there been no accident, to recognise that the illness would have overtaken the plaintiff in any event, so that it cannot be disregarded in arriving at proper compensation, and no more than proper compensation.

Additional considerations come into play when dealing with the problems arising where the plaintiff has suffered injuries from two or more successive and independent tortious acts. In that situation it is necessary to secure that the plaintiff is fully compensated for the aggregate effects of all his injuries. As Lord Pearson noted in *Baker v. Willoughby* ... it would clearly be unjust to reduce the damages awarded for the first tort because of the occurrence of the second tort, damages for which are to be assessed on the basis that the plaintiff is already partially incapacitated. I do not consider it necessary to formulate any precise juristic basis for dealing with this situation differently from the case of supervening illness. It might be said that a supervening tort is not one of the ordinary vicissitudes of life, or that it is too remote a possibility to be taken into account, or that it can properly be disregarded because it carries its own remedy. None of these formulations, however, is entirely satisfactory. The fact remains that the principle of full compensation requires that a just and practical solution should be found. In the event that damages against two successive tortfeasors fall to be assessed at the same time, it would be highly unreasonable if the aggregate of both awards were less than the total loss suffered by the plaintiff. The computation should start from an assessment of that total loss. The award against the second tortfeasor cannot in fairness to him fail to recognise that the plaintiff whom he injured was already to some extent incapacitated. In order that the plaintiff may be fully compensated, it becomes necessary to deduct the award so calculated from the assessment of the plaintiff's total loss and award the balance against the first tortfeasor. If that be a correct approach, it follows that, in proceedings against the first tortfeasor alone, the occurrence of the second tort cannot be successfully relied on by the defendant as reducing the damages which he must pay. That, in substance, was the result of the decision in *Baker v. Willoughby*, where the supervening event was a tortious act, and to that extent the decision was, in my view, correct.

Before leaving the case, it is right to face up to the fact that, if a non-tortious supervening event is to have the effect of reducing damages but a subsequent tortious act is not, there may in some cases be difficulty in ascertaining whether the event in question is or is not of a tortious character, particularly in the absence of the alleged tortfeasor. Possible questions of contributory negligence may cause additional complications. Such difficulties are real, but are not sufficient, in my view, to warrant the conclusion that the distinction between tortious and non-tortious supervening events should not be accepted. The court must simply do its best to arrive at a just assessment of damages in a pragmatical way in the light of the whole circumstances of the case.

A similar distinction between tortious and non-tortious intervening events was formulated in *Penner v Mitchell* (1978), 89 DLR (3d) 343 (Alta CA). Note that both *Jobling* and *Penner* were approvingly cited in the discussion of independent intervening events in *Athey v Leonati*, below.

Is there any basis for the distinction between shipping cases and personal injury cases?

2. In *Saunders System Birmingham v Adams*, 117 So 72 (Ala SC 1928), the defendant rented a car that had defective brakes to Mrs Green, who in turn injured the plaintiff, Mrs Adams, through her negligent driving. The court held that the jury had to be instructed that if Mrs Green "did not use the brake until she was so close to Mrs. Adams that at the rate of speed she was travelling at said time it would have been impossible to avoid striking her with the brakes in good condition, then you cannot award Mrs. Adams any damages." Comparing this situation to the issue presented in cases like *Corey v Havener* and *Baker v Willoughby*, William A Prosser, *Handbook on the Law of Torts*, 4th ed (St Paul, Minn: West, 1971) at 239, note 25, observes:

An interesting negative application of the same problem, where the negligence of each of the two parties prevents the other from being a cause, is suggested by *Saunders System Birmingham Co. v. Adams*, 1928, 217 Ala. 621, 117 So. 72, and *Rouleau v. Blotner*, 1031, 84 NH

539, 152 A. 916, neither of which considered the point. A supplies B with a car with no brakes; B makes no attempt to apply the brakes, and C is hit. Or A fails to signal for a left turn; B is not looking but would see no signal if he did; there is a collision and C is injured. It may be said with some confidence that if any such case is considered, both parties will be held liable; but the theory of liability is not so clear. Perhaps the best guess is that each, by his negligence, has deprived the plaintiff of a cause of action against the other, and so should be liable.

See also *Hollis v Dow Corning Corp*, [1995] 4 SCR 634, 129 DLR (4th) 609 in Chapter 9.

3. In *Wright v Cambridge Medical Group*, [2012] 3 WLR 1124 (CA Civ), Lord Neuberger MR considered a situation in which the defendant physician negligently failed to refer the plaintiff to the hospital, but the hospital, because of negligent systemic failings within the relevant department, would also not have provided the appropriate treatment in time to prevent the plaintiff's injury:

It appears to be a generally accepted proposition that a doctor cannot escape liability for damage caused to a patient by his breach of duty by establishing that, if he had not committed that breach, the damage would have been suffered anyway because he would have committed a subsequent breach of duty. ...

There was some discussion as to why the proposition is correct. It would seem to be an affront to justice if a doctor could escape liability by contending that, if he had not been negligent as alleged, the same damage would have occurred because he would have subsequently committed a different act of negligence. However, moral outrage and instinctive reaction are not always the safest of guides to legal principle. A sounder basis for the proposition may be the principle that a party cannot rely on his own wrong: in such a case a doctor would be seeking to rely on his own wrong, even if it is a hypothetical notional or contingent wrong. However, while that may well be a good reason justifying the proposition ... we were not referred to any case where it was applied to a hypothetical wrong.

A further reason for this proposition, which appears to me to be correct, is that, by committing the breach of duty, the doctor has prevented the patient from the opportunity of being treated appropriately, and had the patient had that opportunity, she would have had a claim for the same damage against the doctor for the very negligence upon which the doctor is relying to avoid liability. In other words, if a negligent doctor contends that the damage would have occurred anyway, because he would have committed a subsequent act of negligence, the patient can say that, if that argument is correct, it gets the doctor nowhere: as a result of his breach of duty, the doctor has deprived her of the right to claim for damages for the subsequent (if notional) act of negligence.

[This analysis was challenged on the ground that] it is not within the scope of a doctor's duty to protect his patient from financial or economic loss. As to that, I accept that, in the ordinary run of things, a doctor's duty to his patient does not extend to protecting her from economic loss. However, an award of damages for clinical negligence is, in a sense, the legal equivalent of proper clinical treatment: it is the nearest the law can get to putting the patient into the position that she should have been if the doctor had not been negligent. ...

Accordingly, it seems to me that, in a case where a doctor has negligently failed to refer his patient to a hospital, and, as a consequence, she has lost the opportunity to be treated as she should have been by a hospital, the doctor cannot escape liability by establishing that the hospital would have negligently failed to treat the patient appropriately, even if he had promptly referred her. Even if the doctor established this, it would not enable him to escape liability, because, by negligently failing to refer the patient promptly, he deprived her of the opportunity to be treated properly by the hospital, and, if they had not treated her properly, that opportunity would be reflected by the fact that she would have been able to recover damages from them.

McBride & Steel, "Suing for the Loss of a Right to Sue: Why Wright Is Wrong" (2012) 28 J Professional Negligence 27 at 34, observe:

[T]his argument is misconceived. It asserts: (1) that the duty *Doctor* owed *Patient* ... was imposed on him in order to ensure that *Patient* received proper clinical treatment ... and (2) that "proper clinical treatment" encompasses the monetary equivalent of proper clinical treatment provided by the ability to sue if one does not receive proper clinical treatment. ... (1) may be true, but (2) is not true. A substitute for the real thing does not amount, even in part, to the real thing. The term "proper clinical treatment" covers only itself. It does not cover something that might be used to substitute for it when "proper clinical treatment" is not provided.

With whom do you agree?

ATHEY V LEONATI

[1996] 3 SCR 458, 140 DLR (4th) 235

MAJOR J (for the court): The appellant suffered back injuries in two successive motor vehicle accidents, and soon after experienced a disc herniation during a mild stretching exercise. The herniation was caused by a combination of the injuries sustained in the two motor vehicle accidents and a pre-existing disposition. ...

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The respondents' position is that where a loss is created by tortious and non-tortious causes, it is possible to apportion the loss according to the degree of causation. This is contrary to well-established principles. It has long been established that a defendant is liable for any injuries caused or contributed to by his or her negligence. If the defendant's conduct is found to be a cause of the injury, the presence of other non-tortious contributing causes does not reduce the extent of the defendant's liability.

A. GENERAL PRINCIPLES

Causation is established where the plaintiff proves to the civil standard on a balance of probabilities that the defendant caused or contributed to the injury. ...

The general, but not conclusive, test for causation is the "but for" test, which requires the plaintiff to show that the injury would not have occurred but for the negligence of the defendant. ...

The "but for" test is unworkable in some circumstances, so the courts have recognized that causation is established where the defendant's negligence "materially contributed" to the occurrence of the injury. ...

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It is not now necessary, nor has it ever been, for the plaintiff to establish that the defendant's negligence was the sole cause of the injury. There will frequently be a myriad of other background events which were necessary preconditions to the injury occurring. To borrow an example from Professor Fleming (*The Law of Torts*, 8th ed. (Sydney: Law Book Co., 1992) at p. 193), "a fire ignited in a wastepaper basket is ... caused not only by the dropping of a lighted match, but also by the presence of combustible material and oxygen, a failure of the cleaner to empty the basket and so forth." As long as a defendant is part of the cause of an injury, the defendant is liable, even though his act alone was not enough to create the injury. There is no basis for

a reduction of liability because of the existence of other preconditions: defendants remain liable for all injuries caused or contributed to by their negligence.

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... If the law permitted apportionment between tortious causes and non-tortious causes, a plaintiff could recover 100 per cent of his or her loss only when the defendant's negligence was the sole cause of the injuries. Since most events are the result of a complex set of causes, there will frequently be non-tortious causes contributing to the injury. Defendants could frequently and easily identify non-tortious contributing causes, so plaintiffs would rarely receive full compensation even after proving that the defendant caused the injury. This would be contrary to established principles and the essential purpose of tort law, which is to restore the plaintiff to the position he or she would have enjoyed but for the negligence of the defendant.

B. INAPPLICABILITY OF RESPONDENTS' ANALOGIES

The respondents attempted to relate the present case to those where apportionment had been made. Consideration of the principles of tort law shows that none of the apportionment cases is analogous to this appeal. A review of the respondents' six analogies will show why apportionment was appropriate in those cases but not here.

(1) Multiple Tortious Causes

The respondents argued that apportionment between tortious and non-tortious causes should be permitted just as it is where multiple tortfeasors cause the injury. The two situations are not analogous. Apportionment between tortious causes is expressly permitted by provincial negligence statutes and is consistent with the general principles of tort law. The plaintiff is still fully compensated and is placed in the position he or she would have been in but for the negligence of the defendants. Each defendant remains fully liable to the plaintiff for the injury, since each was a cause of the injury. The legislation simply permits defendants to seek contribution and indemnity from one another, according to the degree of responsibility for the injury.

In the present case, the suggested apportionment is between tortious and non-tortious causes. Apportionment between tortious and non-tortious causes is contrary to the principles of tort law, because the defendant would escape full liability even though he or she caused or contributed to the plaintiff's entire injuries. The plaintiff would not be adequately compensated, since the plaintiff would not be placed in the position he or she would have been in absent the defendant's negligence.

(2) Divisible Injuries

The respondents submitted that apportionment is permitted where the injuries caused by two defendants are divisible (for example, one injuring the plaintiff's foot and the other the plaintiff's arm). ... Separation of distinct and divisible injuries is not truly apportionment; it is simply making each defendant liable only for the injury he or she has caused, according to the usual rule. The respondents are correct that separation is also permitted where some of the injuries have tortious causes and some of the injuries have non-tortious causes. ... Again, such cases merely recognize that the defendant is not liable for injuries which were not caused by his or her negligence.

In the present case, there is a single indivisible injury, the disc herniation, so division is neither possible nor appropriate. The disc herniation and its consequences

are one injury, and any defendant found to have negligently caused or contributed to the injury will be fully liable for it.

(3) Adjustments for Contingencies

The respondents argued that the trial judge's assessment of probabilities in causation was similar to the assessment of probabilities routinely undertaken by courts in adjusting damages to reflect contingencies. This argument overlooks the fundamental distinction between the way in which courts deal with alleged past events and the way in which courts deal with potential future or hypothetical events.

Hypothetical events (such as how the plaintiff's life would have proceeded without the tortious injury) or future events need not be proven on a balance of probabilities. Instead, they are simply given weight according to their relative likelihood. ... For example, if there is a 30 per cent chance that the plaintiff's injuries will worsen, then the damage award may be increased by 30 per cent of the anticipated extra damages to reflect that risk. A future or hypothetical possibility will be taken into consideration as long as it is a real and substantial possibility and not mere speculation. ...

By contrast, past events must be proven, and once proven they are treated as certainties. In a negligence action, the court must declare whether the defendant was negligent, and that conclusion cannot be couched in terms of probabilities. Likewise, the negligent conduct either was or was not a cause of the injury. The court must decide, on the available evidence, whether the thing alleged has been proven; if it has, it is accepted as a certainty. ...

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In this case, the disc herniation occurred prior to trial. It was a past event, which cannot be addressed in terms of probabilities. The plaintiff has the burden of proving that the injuries sustained in the accidents caused or contributed to the disc herniation. Once the burden of proof is met, causation must be accepted as a certainty.

(4) Independent Intervening Events

The respondents also sought to draw an analogy with cases where an unrelated event, such as a disease or non-tortious accident, occurs after the plaintiff is injured. One such case was *Jobling v. Associated Dairies Ltd.*, [1981] 2 All ER 752 (HL), in which the defendant negligently caused the plaintiff to suffer a back injury. Before the trial took place, it was discovered that the plaintiff had a condition, completely unrelated to the accident, which would have proved totally disabling in a few years. Damages were reduced accordingly. In *Penner v. Mitchell* (1978), 89 DLR (3d) 343 (Alta. CA), damages for loss of income for 13 months were reduced because the plaintiff had a heart condition, unrelated to the accident, which would have caused her to miss three months of work in any event.

To understand these cases, and to see why they are not applicable to the present situation, one need only consider first principles. The essential purpose and most basic principle of tort law is that the plaintiff must be placed in the position he or she would have been in absent the defendant's negligence (the "original position"). However, the plaintiff is not to be placed in a position better than his or her original one. It is therefore necessary not only to determine the plaintiff's position after the tort but also to assess what the "original position" would have been. It is the difference between these positions, the "original position" and the "injured position," which is the plaintiff's loss. In the cases referred to above, the intervening event was unrelated

to the tort and therefore affected the plaintiff's "original position." The net loss was therefore not as great as it might have otherwise seemed, so damages were reduced to reflect this.

In the present case, there was a finding of fact that the accident caused or contributed to the disc herniation. The disc herniation was not an independent intervening event. The disc herniation was a product of the accidents, so it does not affect the assessment of the plaintiff's "original position" and thereby reduce the net loss experienced by the plaintiff.

(5) The Thin Skull and "Crumbling Skull" Doctrines

The respondents argued that the plaintiff was pre-disposed to disc herniation and that this is therefore a case where the "crumbling skull" rule applies. The "crumbling skull" doctrine is an awkward label for a fairly simple idea. It is named after the well-known "thin skull" rule, which makes the tortfeasor liable for the plaintiff's injuries even if the injuries are unexpectedly severe owing to a pre-existing condition. The tortfeasor must take his or her victim as the tortfeasor finds the victim, and is therefore liable even though the plaintiff's losses are more dramatic than they would be for the average person.

The so-called "crumbling skull" rule simply recognizes that the pre-existing condition was inherent in the plaintiff's "original position." The defendant need not put the plaintiff in a position *better* than his or her original position. The defendant is liable for the injuries caused, even if they are extreme, but need not compensate the plaintiff for any debilitating effects of the pre-existing condition which the plaintiff would have experienced anyway. The defendant is liable for the additional damage but not the pre-existing damage. ... Likewise, if there is a measurable risk that the pre-existing condition would have detrimentally affected the plaintiff in the future, regardless of the defendant's negligence, then this can be taken into account in reducing the overall award. ... This is consistent with the general rule that the plaintiff must be returned to the position he would have been in, with all of its attendant risks and short comings, and not a better position.

The "crumbling skull" argument is the respondents' strongest submission, but in my view it does not succeed on the facts as found by the trial judge. There was no finding of any measurable risk that the disc herniation would have occurred without the accident, and there was therefore no basis to reduce the award to take into account any such risk.

(6) The Loss of Chance Doctrine

The respondents submitted that the accidents merely increased the risk of herniation, and that the defendant is liable only for that increase in risk. This is an application of the "loss of chance" doctrine which is the subject of considerable controversy. ...

The doctrine suggests that plaintiffs may be compensated where their only loss is the loss of a chance at a favourable opportunity or of a chance of avoiding a detrimental event. In this case, the loss would arguably be the loss of a chance of avoiding the disc herniation. However, this contention is not supported by the factual findings. The trial judge made no findings suggesting that the injury was a loss of chance of avoiding a disc herniation. The finding at trial was that the accidents contributed to the actual disc herniation itself. It is therefore unnecessary to consider the loss of chance doctrine, and these reasons neither approve nor disapprove of the doctrine.

C. APPLICATION OF PRINCIPLES TO FACTS ...

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The applicable principles can be summarized as follows. If the injuries sustained in the motor vehicle accidents caused or contributed to the disc herniation, then the defendants are fully liable for the damages flowing from the herniation. The plaintiff must prove causation by meeting the "but for" or material contribution test. Future or hypothetical events can be factored into the calculation of damages according to degrees of probability, but causation of the injury must be determined to be proven or not proven. This has the following ramifications:

1. If the disc herniation would likely have occurred at the same time, without the injuries sustained in the accident, then causation is not proven.
2. If it was necessary to have *both* the accidents *and* the pre-existing back condition for the herniation to occur, then causation is proven, since the herniation would not have occurred but for the accidents. Even if the accidents played a minor role, the defendant would be fully liable because the accidents were still a *necessary* contributing cause.
3. If the accidents alone could have been a sufficient cause, and the pre-existing back condition alone could have been a sufficient cause, then it is unclear which was the cause-in-fact of the disc herniation. The trial judge must determine, on a balance of probabilities, whether the defendant's negligence materially contributed to the injury.

The findings of the trial judge are slightly ambiguous. She awarded only 25 per cent of the global damages because she held that the accidents were a "causation factor" of 25 per cent. Taken out of context, this could be read as meaning that there was a 25 per cent chance that the injury was caused by the accidents, and a 75 per cent chance that it was caused by the pre-existing condition. In that case, causation would simply not be proven. However, it is clear from the reasons for judgment that this is not what the trial judge concluded.

The findings of the trial judge indicate that it was necessary to have *both* the pre-existing condition *and* the injuries from the accidents to cause the disc herniation in this case. ... She concluded that the injuries in the accidents played some causative role, albeit a minor one. These findings indicate that it was the combination of the pre-existing condition and the injuries sustained in the accidents which caused the herniation. Although the accidents played a lesser role than the pre-existing problems, the accidents were nevertheless a necessary ingredient in bringing about the herniation.

The trial judge's conclusion on the evidence was that "[i]n my view, the plaintiff has proven, on a balance of probabilities, that the injuries suffered in the two earlier accidents contributed to some degree to the subsequent disc herniation." She assessed this contribution at 25 per cent. This falls outside the *de minimis* range and is therefore a material contribution. ... This finding of material contribution was sufficient to render the defendant fully liable for the damages flowing from the disc herniation.

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This appeal involves a straightforward application of the thin skull rule. The pre-existing disposition may have aggravated the injuries, but the defendant must take the plaintiff as he finds him. If the defendant's negligence exacerbated the existing condition and caused it to manifest in a disc herniation, then the defendant is a cause of the disc herniation and is fully liable.

Had the trial judge concluded (which she did not) that there was some realistic chance that the disc herniation would have occurred at some point in the future without the accident, then a reduction of the overall damage award may have been considered. This is because the plaintiff is to be returned to his "original position," which might have included a risk of spontaneous disc herniation in the future. However, in the absence of such a finding, it remains speculative and need not be taken into consideration. ... The plaintiff is entitled to the full amount of the damages as found by the trial judge.

II. FACTUAL UNCERTAINTY

BLACKSTOCK V FOSTER

[1958] SR (NSW) 341 (SC)

OWEN J, ROPER CJ in Eq, and HERRON J (for the court):

The respondent to this appeal recovered a verdict against the appellant for £6,071 in an action of negligence and the appellant now seeks a new trial on the issue of damages, claiming that the amount of the verdict was excessive.

The facts are that the respondent was sitting in a stationary motor-car when the appellant negligently drove into the back of it. The respondent was thrown forward and his chest heavily struck the steering wheel. He suffered other injuries of a relatively minor character. Since the accident it has been discovered that the respondent has an inoperable malignant growth in his chest under his ribs and the question is whether on the evidence it was open to the jury to find, as it obviously did, that there was a causal connection between the blow on the chest and the malignant growth. It is conceded that, if the evidence would not justify such a finding the amount of damages is excessive. If, on the other hand, such a finding can be supported, the amount of the verdict is not questioned.

The medical evidence was to the following effect. Prior to January, 1957, when the accident occurred, the respondent must have had a deep-seated growth in his chest called a teratoma. This is a rare condition. Such a growth may or may not become malignant, and, according to all the doctors who gave evidence, a heavy blow could possibly cause a benign growth to develop into a malignant one. None of them was prepared to go further than to say that such a thing was possible. The fact that the respondent had any growth in his chest was not finally discovered until January, 1957. It was then found to be malignant. For a few days after the accident the respondent's chest was painful, no doubt due to bruising. In May, 1957, he again had chest pains and was found to be suffering from pleurisy. The pains passed off when his chest was strapped. About ten days later he had similar pains and these also passed off. Later in 1957 he again had pleurisy and it was in the course of treatment for that complaint that a tumour in the chest was suspected and that suspicion was confirmed later by operation. One of the medical witnesses said that he thought that, judging by the size and rate of growth of the cancer, the tumour had probably become malignant in January, 1957. The same witness said also that he was "struck by the sequence" of events—referring, as we understand it, to the fact that it was in January, 1957, that the respondent had received the blow on his chest. Nevertheless the witness would go no further than to say that it was possible that the development of malignancy and the blow were connected. The doctor called by the appellant

agreed that it was possible that there was some connection between the blow and the malignancy but expressed the view that it was improbable that the one was caused by the other.

We are of the opinion that the evidence which we have outlined above could not justify the inference that it was more probable than not that there was a causal connection between the blow and the malignancy of the growth. It is obvious from the evidence that, in the present state of medical and scientific knowledge, little is known of the causes of malignant growths and if medical science is unable to supply the necessary link between such a growth and a blow in the region of it, it is not for a layman to do so. If he does, he seems to us to enter the realm of speculation. As was said by Dixon J (as he then was) in *Adelaide Stevedoring Co. Ltd. v. Forst*:

Tempting as it always is, particularly in matters of bodily health, to argue from a sequence of external events, such reasoning is justified only when positive knowledge or common experience supplies some adequate ground for believing that the events are naturally associated.

It was for the respondent to prove that it is more probable than not that the blow sustained by him in the accident caused a benign growth to become malignant and, in our opinion, the evidence is insufficient for this purpose.

The appeal should be upheld with costs, the verdict set aside and a new trial ordered limited to the issue of damages, the costs of the first trial should abide the result of the new trial.

COOK V LEWIS

[1951] SCR 830

CARTWRIGHT J (ESTEY and FAUTEUX JJ concurring): ... On the 11th of September, 1948, the plaintiff was hunting with his brother John Lewis and one Dennis Fitzgerald in the vicinity of Quinsam Lake on Vancouver Island. It was the opening day of the hunting season for blue grouse and deer and it was said that the country in which they were hunting was full of hunters. The defendants, accompanied by John Wagstaff, then sixteen years of age, were hunting grouse together. They were using a dog which belonged to Akenhead. They had agreed to divide their bag evenly.

It is said that Cook, Akenhead and Wagstaff were proceeding approximately in line, Cook being on the left, Akenhead in the centre and Wagstaff to the right. The dog, which was some little distance ahead of them, came to a point and at about that moment Fitzgerald, who had come into view on Cook's left, called out a warning and pointed towards a clump of trees which was ahead of Cook and Akenhead and in which at that moment the plaintiff was. Cook heard Fitzgerald's call but did not hear what he said. He thought that Fitzgerald was pointing at the dog and was calling attention to the fact that the dog was on point. Akenhead states that he did not hear Fitzgerald's call. Momentarily after this, a covey of some four or five grouse flew up a short distance in front of the dog. Akenhead says that he fired at the bird which was farthest to the right, leaving the other birds to Cook. Cook says that he fired at a bird straight ahead of him. They appear to have fired almost simultaneously. Immediately afterwards there was a scream from the clump of trees, mentioned above, and the plaintiff appeared. He had received several shot in his face, one of which caused the loss of an eye. John Lewis accused Cook of having shot his brother. Some discussion followed in which both Cook and Akenhead asserted that they had not fired in the direction of the trees in which the plaintiff was hit.

It was the theory of the plaintiff that either Cook or Akenhead or both of them had shot him and that each was liable even if only one of them had fired the shot which struck him. The theory of the defendant Cook was that he had fired only one shot and had fired in such a direction that it was quite impossible that any shot from his gun could have struck the plaintiff. He also stated that there had been a third shot fired almost simultaneously with those fired by himself and Akenhead and suggested that an unidentified third person had fired the shot which injured the plaintiff. His counsel disclaimed before the jury any suggestion that Akenhead had shot the plaintiff.

Akenhead's position at the trial was that he had fired to the right, that he could not have shot the plaintiff and that if it was either of them it was Cook and not he who had done so.

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[T]he jury have indicated that they were unable to find which of the two defendants did fire the shot which did the damage.

The general rule is, I think, stated correctly in *Starkie on Evidence*, 4th Edition, 860, quoted with approval by Patterson JA in *Moxley v. The Canada Atlantic Railway Company*:

Thus, in practice, when it is certain that one of two individuals committed the offence charged, but it is uncertain whether the one or the other was the guilty agent, neither of them can be convicted.

This rule, I think, is also applicable to civil actions so that if at the end of the case A has proved that he was negligently injured by either B or C but is unable to establish which of the two caused the injury, his action must fail against both unless there are special circumstances which render the rule inapplicable.

The respondent argues that such circumstances exist in this case. It is said that Akenhead and Cook were joint tortfeasors being engaged in a joint enterprise under such circumstances that each was liable for the acts of the other. Reliance is placed on the fact that they were hunting together and had agreed to divide the bag evenly.

I am unable to find any authority for the proposition that the mere fact that a party of persons are hunting together and have agreed to divide the bag renders each liable for the tortious acts of all the others. ...

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... It is argued, however, that [the American case of] *Summers v. Tice* ... should be followed and that under the principles stated in that judgment the jury might properly have found both Akenhead and Cook liable for the plaintiff's injury if in their view of the evidence both of them fired in the direction of the clump of trees in which the plaintiff in fact was, under such circumstances that the conduct of each constituted a breach of duty to the plaintiff. I have not been able to find any case in the courts of this country, or of England in which consideration has been given to certain propositions of law laid down in *Summers v. Tice*. The underlying reason for the decision appears to me to be found in the following quotation from the case of *Oliver v. Miles*:

... We think that ... each is liable for the resulting injury to the boy, although no one can say definitely who actually shot him. To hold otherwise would be to exonerate both from liability, although each was negligent, and the injury resulted from such negligence.

The judgment in *Summers v. Tice* reads in part as follows:—

When we consider the relative position of the parties and the results that would flow if plaintiff was required to pin the injury on one of the defendants only, a

requirement that the burden of proof on that subject be shifted to defendants becomes manifest. They are both wrongdoers—both negligent toward plaintiff. They brought about a situation where the negligence of one of them injured the plaintiff hence, it should rest with them each to absolve himself if he can. The injured party has been placed by defendants in the unfair position of pointing to which defendant caused the harm. If one can escape the other may also and plaintiff is remediless. Ordinarily defendants are in a far better position to offer evidence to determine which one caused the injury. This reasoning has recently found favour in this Court.

I do not think it necessary to decide whether all that was said in *Summers v. Tice* should be accepted as stating the law of British Columbia, but I am of opinion, for the reasons given in that case, that if under the circumstances of the case at bar the jury, having decided that the plaintiff was shot by either Cook or Akenhead, found themselves unable to decide which of the two shot him because in their opinion both shot negligently in his direction, both defendants should have been found liable. ...

RAND J: ... A cause may be said to be an operating element which in de facto co-operation with what may be called environment is considered the factor of culpability in determining legal responsibility for damage or loss done to person or property. But in that determination the practical difficulty turns on the allocation of elements to the one or the other of these two divisions of data ... [I]n this case, the essential obstacle to proof is the fact of multiple discharges so related as to confuse their individual effects: It is that fact that bars final proof. But if the victim, having brought guilt down to one or both of two persons before the court, can bring home to either of them a further wrong done him in relation to his remedial right of making that proof, then I should say that on accepted principles the barrier to it can and should be removed.

The Court of Appeal of England has laid down this principle: that if A is guilty of a negligent act toward B the total direct consequences of that act are chargeable against A notwithstanding that they arise from reactions unforeseeable by the ordinary person acting reasonably; *Polemis v. Furness Withy*. In that case, the presence of benzine was known, but that a spark could occur in the fall of a plank into the hold sufficient to set off an explosion, although a potentiality of the total circumstances, was outside the range of anticipation; a falling plank might do some damage to the ship, but would not ordinarily be associated in the impact on wood or iron with fire, and, *a fortiori*, with sparking explosive fumes.

Similarly would that result follow where, instead of an unforeseen potentiality, an element is introduced into the scene at the critical moment of which or its probability the negligent actor knows or ought to have known. That element becomes, then, one of the circumstances in reaction with which the consequences of his act manifest themselves, among which, here, is the confusion of consequences. If the new element is innocent, no liability results to the person who introduces it; if culpable, its effect in law remains to be ascertained.

What, then, the culpable actor has done by his initial negligent act is, first, to have set in motion a dangerous force which embraces the injured person within the scope of its probable mischief; and next, in conjunction with circumstances which he must be held to contemplate, to have made more difficult if not impossible the means of proving the possible damaging results of his own act or the similar results of the act of another. He has violated not only the victim's substantive right to security, but he has also culpably impaired the latter's remedial right of establishing liability. By

confusing his act with environmental conditions, he has, in effect, destroyed the victim's power of proof.

The legal consequence of that is, I should say, that the onus is then shifted to the wrongdoer to exculpate himself; it becomes in fact a question of proof between him and the other and innocent member of the alternatives, the burden of which he must bear. The onus attaches to culpability, and if both acts bear that taint, the onus or *prima facie* transmission of responsibility attaches to both, and the question of the sole responsibility of one is a matter between them.

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The risks arising from these sporting activities by increased numbers of participants and diminishing opportunity for their safe exercise, as the facts here indicate, require appropriate refinements in foresight. Against the private and public interests at stake, is the privilege of the individual to engage in a sport not inherently objectionable. As yet, certainly, the community is not ready to assume the burden of such a mishap. The question is whether a victim is to be told that such a risk, not only in substantive right but in remedy, is one he must assume. When we have reached the point where, as here, shots are considered spent at a distance of between 150 feet and 200 feet and the woods are "full" of hunters, a somewhat stringent regard to conduct seems to me to be obvious. It would be a strange commentary on its concern toward personal safety, that the law, although forbidding the victim any other mode of redress, was powerless to accord him any in its own form of relief. I am unable to assent to the view that there is any such helplessness.

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Assuming, then, that the jury have found one or both of the defendants here negligent, as on the evidence I think they must have, and at the same time have found that the consequences of the two shots, whether from a confusion in time or in area, cannot be segregated, the onus on the guilty person arises. This is a case where each hunter would know of or expect the shooting by the other and the negligent actor has culpably participated in the proof-destroying fact, the multiple shooting and its consequences. No liability will, in any event attach to an innocent act of shooting, but the culpable actor, as against innocence, must bear the burden of exculpation. ...

LOCKE J (dissenting): ... [T]he jury could not find which one of the defendants had fired the shot which caused the damage. The claim against Cook was, therefore, left in this position that either he or Akenhead had fired the shot which injured the unfortunate plaintiff, and upon such a finding it was clearly impossible to enter a verdict against him unless he was liable for the act of Akenhead, whether the claim pleaded sounded in negligence or in trespass. As I understand the contention of the respondent, it is that since Cook and Akenhead were hunting together, using the same dog, under an arrangement whereby the bag would be divided equally between them, each was liable for the negligence of the other. Thus, if but one of them had fired, both would be liable. ... The facts in the present matter do not, however, in my opinion, support a claim upon this basis. Cook and Akenhead were merely hunting in each other's company: there was no common design in the sense that that expression is used in the passage quoted: they were rather each pursuing their own design of shooting grouse, as they were lawfully entitled to do. I am unable to understand how the fact that, like most hunters, they at the end of the day divided up the bag, the more fortunate sharing his luck with the other, can be a basis for any legal liability. There was here no joint venture but rather individual ventures carried on by

these hunters in each other's company and I see no ground upon which one could be held responsible for the negligence of the other. ...

In my opinion, this is decisive of the present appeal since, in the absence of a finding that the respondent was shot by Cook and since the latter is not liable if the damage was caused by the act of Akenhead, the action was properly dismissed.

NOTES AND QUESTIONS

1. What does Rand J mean by "the victim's remedial right of establishing liability"? In *Joseph Brant Memorial Hospital v Koziol*, [1978] 1 SCR 491, 77 DLR (3d) 161, a post-operative patient died as a result of aspiration due to the regurgitation of gastric juices. Jessup JA, speaking for the Ontario Court of Appeal, held that the cause of death was unknown due to the nurse's negligence in failing to keep proper notes. He then proceeded to hold the nurse liable on the basis of Rand J's opinion in *Cook v Lewis*. On appeal to the Supreme Court of Canada, Spence J rejected the use Jessup JA had made of *Cook v Lewis*. After noting that Rand J's judgment was not the judgment of the court, he observed that

[e]ven if that had been the judgment of the Court, it is surely inapplicable on the basis of the present circumstances on the basis of Jessup JA's finding because by that finding guilt has not been "brought down" to one or the other of the two persons. Upon Jessup JA's finding, the cause of death was a mystery and therefore it is impossible to say that there was guilt or negligence, that is, guilt or negligence which caused the death. There must be not only negligence but negligence causing the injury before there can be recovery. We are not here faced with two persons who were negligent and with an inability to find whether the negligence of one or the other caused the death. We are here faced with the simple question of whether there was negligence by Nurse Malette, for which negligence the hospital was responsible in law, and whether that negligence resulted in the late William Kolesar's regurgitation.

2. On the basis of their judgments in *Cook v Lewis*, how would Cartwright J and Rand J have dealt with the following situations?

- a. Three hunters fire in Lewis's direction and one hits Lewis, but we cannot tell which hunter fired the shot that hit Lewis.
- b. Two hunters fire in Lewis's direction. Hunter A fires two shots and Hunter B fires one shot. Lewis is hit by one shot, but we cannot tell which hunter shot him.
- c. One of two hunters fires in Lewis's direction and hits him; the other fires away from Lewis. We cannot tell which hunter fired the shot that hit Lewis.
- d. One of two hunters fires in Lewis's direction and hits him; another hunter fires in Jones's direction and hits her. We cannot tell which hunter fired which shot.
- e. One of two hunters fires in Lewis's direction and hits him; another hunter fires in Jones's direction and misses her. We cannot tell which hunter fired which shot.
- f. Lewis and Jones are standing close together. Ten hunters fire in their direction; one of them (we do not know who) hits Lewis and none hits Jones. How different is this situation (or any of the others in this series of questions) from the next case?

SINDELL V ABBOTT LABORATORIES

607 P2d 924 (Calif SC 1980)

[The plaintiff brought this class action against the defendant drug companies, alleging that the latter negligently promoted and administered the drug DES to the plaintiff's mother during pregnancy for the purpose of preventing miscarriage.

Although the defendants knew or should have known that DES was a carcinogenic substance that could be gravely dangerous to the unborn daughters of the mothers who took it, the defendants, in violation of the authorization of the Food and Drug Administration, failed to warn of its potential danger and marketed DES on an unlimited basis rather than as an experimental drug. Because of the defendants' advertised assurance that DES was safe and effective the plaintiff was exposed to it prior to her birth and as a result suffered serious personal injuries.]

MOSK J (BIRD CJ and NEWMAN and WHITE JJ concurring): This case involves a complex problem both timely and significant: may a plaintiff, injured as the result of a drug administered to her mother during pregnancy, who knows the type of drug involved but cannot identify the manufacturer of the precise product, hold liable for her injuries a maker of a drug produced from an identical formula? ...

DES may cause cancerous vaginal and cervical growths in the daughters exposed to it before birth, because their mothers took the drug during pregnancy. The form of cancer from which these daughters suffer is known as adenocarcinoma, and it manifests itself after a minimum latent period of 10 or 12 years. It is a fast-spreading and deadly disease, and radical surgery is required to prevent it from spreading. DES also causes adenosis, precancerous vaginal and cervical growths which may spread to other areas of the body. The treatment for adenosis is cauterization, surgery, or cryosurgery. Women who suffer from this condition must be monitored by biopsy or colposcopic examination twice a year, a painful and expensive procedure. ...

This case is but one of a number filed throughout the country seeking to hold drug manufacturers liable for injuries allegedly resulting from DES prescribed to the plaintiffs' mothers since 1947. According to a note in the *Fordham Law Review*, estimates of the number of women who took the drug during pregnancy range from 1½ million to 3 million. Hundreds, perhaps thousands, of the daughters of these women suffer from adenocarcinoma, and the incidence of vaginal adenosis among them is 30 to 90 percent. ("Comment, DES and a Proposed Theory of Enterprise Liability" (1978) 46 *Fordham L Rev.* 963, 964-967 [hereafter Fordham Comment].) Most of the cases are still pending. With two exceptions, those that have been decided resulted in judgments in favor of the drug company defendants because of the failure of the plaintiffs to identify the manufacturer of the DES prescribed to their mothers. ...

It is important to observe, however, that while defendants do not have means superior to plaintiff to identify the maker of the precise drug taken by her mother, they may in some instances be able to prove that they did not manufacture the injury-causing substance. In the present case, for example, one of the original defendants was dismissed from the action upon proof that it did not manufacture DES until after plaintiff was born. ...

There is an important difference between the situation involved in *Summers* and the present case. There, all the parties who were or could have been responsible for the harm to the plaintiff were joined as defendants. Here, by contrast, there are approximately 200 drug companies which made DES, any of which might have manufactured the injury-producing drug.

Defendants maintain that, while in *Summers* there was a 50 percent chance that one of the two defendants was responsible for the plaintiff's injuries, here since any one of 200 companies which manufactured DES might have made the product that harmed plaintiff, there is no rational basis upon which to infer that any defendant in this action caused plaintiff's injuries, nor even a reasonable possibility that they were responsible. ...

These arguments are persuasive if we measure the chance that any one of the defendants supplied the injury-causing drug by the number of possible tortfeasors.

In such a context, the possibility that any of the five defendants supplied the DES to plaintiff's mother is so remote that it would be unfair to require each defendant to exonerate itself. There may be a substantial likelihood that none of the five defendants joined in the action made the DES which caused the injury, and that the offending producer not named would escape liability altogether. While we propose, *infra*, an adaptation of the rule in *Summers* which will substantially overcome these difficulties, defendants appear to be correct that the rule, as previously applied, cannot relieve plaintiff of the burden of proving the identity of the manufacturer which made the drug causing her injuries. ...

Should we require that plaintiff identify the manufacturer which supplied the DES used by her mother or that all DES manufacturers be joined in the action, she would effectively be precluded from any recovery. As defendants candidly admit, there is little likelihood that all the manufacturers who made DES at the time in question are still in business or that they are subject to the jurisdiction of the California courts. There are, however, forceful arguments in favor of holding that plaintiff has a cause of action.

In our contemporary complex industrialized society, advances in science and technology create fungible goods which may harm consumers and which cannot be traced to any specific producer. The response of the courts can be either to adhere rigidly to prior doctrine, denying recovery to those injured by such products, or to fashion remedies to meet these changing needs. ...

The most persuasive reason for finding plaintiff states a cause of action is that advanced in *Summers*: as between an innocent plaintiff and negligent defendants, the latter should bear the cost of the injury. Here, as in *Summers*, plaintiff is not at fault in failing to provide evidence of causation, and although the absence of such evidence is not attributable to the defendants either, their conduct in marketing a drug the effects of which are delayed for many years played a significant role in creating the unavailability of proof.

From a broader policy standpoint, defendants are better able to bear the cost of injury resulting from the manufacture of a defective product. As was said by Justice Traynor in *Escola*, "[t]he cost of an injury and the loss of time or health may be an overwhelming misfortune to the person injured, and a needless one, for the risk of injury can be insured by the manufacturer and distributed among the public as a cost of doing business." ...

[W]e hold it to be reasonable in the present context to measure the likelihood that any of the defendants supplied the product which allegedly injured plaintiff by the percentage which the DES sold by each of them for the purpose of preventing miscarriage bears to the entire production of the drug sold by all for that purpose. Plaintiff asserts in her briefs that Eli Lilly and Company and five or six other companies produced 90 percent of the DES marketed. If at trial this is established to be the fact, then there is a corresponding likelihood that this comparative handful of producers manufactured the DES which caused plaintiff's injuries, and only a 10 percent likelihood that the offending producer would escape liability. ...

If plaintiff joins in the action the manufacturers of a substantial share of the DES which her mother might have taken, the injustice of shifting the burden of proof to defendants to demonstrate that they could not have made the substance which injured plaintiff is significantly diminished. While 75 to 80 percent of the market is suggested as the requirement by the Fordham Comment (at p. 996), we hold only that a substantial percentage is required.

The presence in the action of a substantial share of the appropriate market also provides a ready means to apportion damages among the defendants. Each defendant will be held liable for the proportion of the judgment represented by its share of

that market unless it demonstrates that it could not have made the product which caused plaintiff's injuries. In the present case, as we have seen, one DES manufacturer was dismissed from the action upon filing a declaration that it had not manufactured DES until after plaintiff was born. Once plaintiff has met her burden of joining the required defendants, they in turn may cross-complain against other DES manufacturers, not joined in the action, which they can allege might have supplied the injury-causing product.

Under this approach, each manufacturer's liability would approximate its responsibility for the injuries caused by its own products. Some minor discrepancy in the correlation between market share and liability is inevitable; therefore, a defendant may be held liable for a somewhat different percentage of the damage than its share of the appropriate market would justify. It is probably impossible, with the passage of time, to determine market share with mathematical exactitude. ...

We are not unmindful of the practical problems involved in defining the market and determining market share, but these are largely matters of proof which properly cannot be determined at the pleading stage of these proceedings. Defendants urge that it would be both unfair and contrary to public policy to hold them liable for plaintiff's injuries in the absence of proof that one of them supplied the drug responsible for the damage. Most of their arguments, however, are based upon the assumption that one manufacturer would be held responsible for the products of another or for those of all other manufacturers if plaintiff ultimately prevails. But under the rule we adopt, each manufacturer's liability for an injury would be approximately equivalent to the damage caused by the DES it manufactured.

RICHARDSON J dissenting (CLARK and MANUEL JJ concurring): ... According to the majority, in the present case plaintiffs have openly conceded that they are unable to identify the particular entity which manufactured the drug consumed by their mothers. In fact, plaintiffs have joined only five of the approximately two hundred drug companies which manufactured DES. ...

Recovery is permitted from a handful of defendants each of whom individually may account for a comparatively small share of the relevant market, so long as the aggregate business of those who have been sued is deemed "substantial." In other words, a particular defendant may be held proportionately liable even though mathematically it is much more likely than not that it played no role whatever in causing plaintiffs' injuries. Plaintiffs have strikingly capsulated their reasoning by insisting "... that while one manufacturer's product may not have injured a particular plaintiff, we can assume that it injured a different plaintiff and all we are talking about is a mere matching of plaintiffs and defendants." (Counsel's letter (Oct. 16, 1979) p. 3.)

In adopting the foregoing rationale the majority rejects over 100 years of tort law which required that before tort liability was imposed a "matching" of defendant's conduct and plaintiff's injury was absolutely essential. Furthermore, in bestowing on plaintiffs this new largess the majority sprinkles the rain of liability upon all the joined defendants alike—those who may be tortfeasors and those who may have had nothing at all to do with plaintiffs' injury—and an added bonus is conferred. Plaintiffs are free to pick and choose their targets. ...

The foregoing result is directly contrary to long established tort principles. Once again, in the words of Dean Prosser, the applicable rule is: "[Plaintiff] must introduce evidence which affords a reasonable basis for the conclusion that it is more likely than not that the conduct of the defendant was a substantial factor in bringing about the result. A mere possibility of such causation is not enough; and when the matter remains one of pure speculation or conjecture, or the probabilities are at best evenly balanced, it becomes the duty of the court to direct a verdict for the defendant." ...

Under the majority's new reasoning, however, a defendant is fair game if it happens to be engaged in a similar business and causation is possible, even though remote.

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The majority attempts to justify its new liability on the ground that defendants herein are "better able to bear the cost of injury resulting from the manufacture of a defective product." ... This "deep pocket" theory of liability, fastening liability on defendants presumably because they are rich, has understandable popular appeal and might be tolerable in a case disclosing substantially stronger evidence of causation than herein appears. But as a general proposition, a defendant's wealth is an unreliable indicator of fault, and should play no part, at least consciously, in the legal analysis of the problem. In the absence of proof that a particular defendant caused or at least probably caused plaintiff's injuries, a defendant's ability to bear the cost thereof is no more pertinent to the underlying issue of liability than its "substantial" share of the relevant market. A system priding itself on "equal justice under law" does not flower when the liability as well as the damage aspect of a tort action is determined by a defendant's wealth. The inevitable consequence of such a result is to create and perpetuate two rules of law—one applicable to wealthy defendants, and another standard pertaining to defendants who are poor or who have modest means. Moreover, considerable doubts have been expressed regarding the ability of the drug industry, and especially its smaller members, to bear the substantial economic costs (from both damage awards and high insurance premiums) inherent in imposing an industry-wide liability. ...

Given the grave and sweeping economic, social, and medical effects of "market share" liability, the policy decision to introduce and define it should rest not with us, but with the Legislature which is currently considering not only major statutory reform of California product liability law in general, but the DES problem in particular. (See Sen. Bill No. 1392 (1979-1980 Reg. Sess.), which would establish and appropriate funds for the education, identification, and screening of persons exposed to DES, and would prohibit health care and hospital service plans from excluding or limiting coverage to persons exposed to DES.) An alternative proposal for administrative compensation, described as "a limited version of no-fault products liability" has been suggested by one commentator. (Coggins, 13 *Suffolk L. Rev.* at pp. 1019-1021.) Compensation under such a plan would be awarded by an administrative tribunal from funds collected "via a tax paid by all manufacturers." (p. 1020, fn. omitted.) In any event, the problem invites a legislative rather than an attempted judicial solution.

NOTES AND QUESTIONS

1. The *Sindell* decision aroused great controversy in the United States. Consider, for example, the criticism in Epstein, *Modern Products Liability Law* (Westport, Conn: Quorum Books, 1980) at 159-60:

The California Supreme Court, in its recent decision in *Sindell v. Abbott Labs* ... accepted the plaintiff's argument, well presented in a student note in the *Fordham Law Review*, that the principle of *Summers v. Tice* can be extended to the drug cases, even though it means that the presumptive apportionment between defendants must be determined by market share, with each defendant still free to absolve himself if he can. Yet here the administrative concerns do seem decisive. It has been variously estimated that over a period from 1947 to 1971 DES was taken by between 500,000 to 3,000,000 women, with most of the usage being concentrated in the years before 1960. Since the drug in question was first developed by English researchers, it has always been in the public domain, and in fact has been produced

by perhaps as many as several hundred firms, some of whom have been major suppliers in a national market, and others who have operated only in one or another regional market. The share of every firm may well have shifted both from year to year and from place to place because of the competition among the various defendants. DES, moreover, has been prescribed (as it is still prescribed today) for a variety of conditions other than the stabilization of pregnancy, so it is difficult if not impossible to make any inference about the number of pregnant women who took a given defendant's products even if accurate information about market share could be acquired in the first instance. To make matters worse it is doubtful that there is any very raw data on market share for products that were sold twenty or more years ago. ...

Moreover, when it is asked what type of evidence will suffice to rebut the presumption, new difficulties will emerge. Can the defendant produce evidence that shows it operates in a special submarket which has different percentages from that in which the plaintiff has made her calculations, as by offering evidence that a given plaintiff obtained a pill from a pharmacy that used only 15 percent of its pills, even though this defendant had 30 percent of the relevant metropolitan market? What should be done if the plaintiff can show that there is a 50 percent (30 percent or 20 percent?) chance that the pill was both red and round? Are all defendants who made non-red non-round pills dismissed from the case; or are efforts made to take into account all available information, both as it relates to market share and particular identification evidence? Questions of this sort are sure to arise in abundance if only because of the sheer number of defendants presumptively involved in any case, especially if those suppliers not sued by the original plaintiffs are brought into the case by the original defendants. And even if the questions are resolved, there still remains a very difficult lawsuit on matters of negligence, causation, and damages for all the parties involved. The administrative problems overwhelm every other aspect of the case. There is no question but that these difficulties would have been decisive in any era but our own. Yet even a court that is prepared to assay the enormous complexities of an individual design defect or duty to warn case should be well advised of the possible consequences of having large numbers of plaintiffs each pursuing parallel actions against multiple defendants. The system of private adjudication breaks down with litigation of this scope and magnitude. The courts should not struggle to keep it alive with the dubious extension of alternative liability theories beyond the narrow confines of *Summers v. Tice*.

2. In a subsequent DES case, *Abel v Eli Lilly*, 343 NW 2d 164 at 172 (Mich SC 1984), the difference between the DES situation and *Summers v Tice*, 33 Cal.2d 80, 199 P.2d 1 (1948), was formulated as follows:

Perhaps the most fundamental, and arguably the most important, factual difference between *Summers* and this case is that in *Summers* each defendant was negligent toward the sole plaintiff; each could have caused the injury to the plaintiff although only one in fact did so. Here, the plaintiffs do not even claim that each of the defendants was negligent toward each of the plaintiffs. Therefore, each of the defendants in this case could not have caused injury to each of the plaintiffs. Stated differently, in *Summers*, each defendant was negligent toward the plaintiff; here, each defendant was negligent toward a plaintiff, but each defendant was not negligent toward each plaintiff. Thus, all defendants were not negligent toward each plaintiff, and each defendant could not have caused each plaintiff's injury.

Should this difference affect the analysis?

3. On the underlying theory of the *Sindell* case, should a defendant drug manufacturer be held liable even if it can prove on the balance of probabilities that it did not cause the injuries of the particular plaintiff? In *Hymowitz v Eli Lilly*, 539 NE 2d 1069 (NY CA 1989), the court held:

[F]or essentially practical reasons, we adopt a market share theory using a national market. We are aware that the adoption of a national market will likely result in a disproportion between the liability of individual manufacturers and the actual injuries each manufacturer caused in this State. Thus our market share theory cannot be founded upon the belief that, over the run of cases, liability will approximate causation in this State. ... Nor does the use of a national market provide a reasonable link between liability and the risk created by a defendant to a particular plaintiff. Instead, we choose to apportion liability so as to correspond to the over-all culpability of each defendant, measured by the amount of risk of injury each defendant created to the public-at-large. Use of a national market is a fair method, we believe, of apportioning defendants' liabilities according to their total culpability in marketing DES for use during pregnancy. Under the circumstances, this is an equitable way to provide plaintiffs with the relief they deserve, while also rationally distributing the responsibility for plaintiffs' injuries among defendants.

To be sure, a defendant cannot be held liable if it did not participate in the marketing of DES for pregnancy use; if a DES producer satisfies its burden of proof of showing that it was not a member of the market of DES sold for pregnancy use, disallowing exculpation would be unfair and unjust. Nevertheless, because liability here is based on the over-all risk produced, and not causation in a single case, there should be no exculpation of a defendant who, although a member of the market producing DES for pregnancy use, appears not to have caused a particular plaintiff's injury. It is merely a windfall for a producer to escape liability solely because it manufactured a more identifiable pill, or sold only to certain drug-stores. These fortuities in no way diminish the culpability of a defendant for marketing the product, which is the basis of liability here.

4. A Canadian statute that incorporates a scheme similar to the one judicially created in *Sindell* is the *Tobacco Damages and Health Care Costs Recovery Act*, SBC 2000, c 30. The constitutionality of this scheme was upheld against challenge by the tobacco companies in *British Columbia v Imperial Tobacco Canada Ltd*, 2005 SCC 49, [2005] 2 SCR 473. In his judgment, Major J described the legislation as follows:

Section 2(1) is the keystone of the Act. It reads:

The government has a direct and distinct action against a manufacturer to recover the cost of health care benefits caused or contributed to by a tobacco related wrong.

The terms "manufacturer," "cost of health care benefits" and "tobacco related wrong" are defined in s. 1(1) of the Act. Their definitions in turn refer to other defined terms. Incorporating the definitions into s. 2, then paraphrasing to some degree, the section provides as follows:

The government has a direct and distinct action against a manufacturer for the present value of existing and reasonably expected future expenditures by the government for

(a) benefits as defined under the *Hospital Insurance Act* or the *Medicare Protection Act*;

(b) payments under the *Continuing Care Act*; and

(c) programs, services or benefits associated with disease,

where

(a) such expenditures result from disease or the risk of disease caused or contributed to by exposure to a tobacco product; and

(b) such exposure was caused or contributed to by

(i) a tort committed in British Columbia by the manufacturer; or

(ii) a breach of a common law, equitable or statutory duty or obligation owed by the manufacturer to persons in British Columbia who have been or might have become exposed to a tobacco product.

Viewed in this light, s. 2(1) creates a cause of action by which the government of British Columbia may recover from a tobacco manufacturer money spent treating disease in British Columbians, where such disease was caused by exposure to a tobacco product (whether entirely in British Columbia or not), and such exposure was caused by that manufacturer's tort in British Columbia, or breach of a duty owed to persons in British Columbia.

The cause of action created by s. 2(1), besides being "direct and distinct," is not a subrogated claim: s. 2(2). Nor is it barred by the *Limitation Act*, RSBC 1996, c. 266, s. 6(1). Crucially, it can be pursued on an aggregate basis—i.e., in respect of a population of persons for whom the government has made or can reasonably be expected to make expenditures: s. 2(4)(b).

Where the government's claim is made on an aggregate basis, it may use statistical, epidemiological and sociological evidence to prove its case: s. 5(b). It need not identify, prove the cause of disease or prove the expenditures made in respect of any individual member of the population on which it bases its claim: s. 2(5)(a). Furthermore, health care records and related information in respect of individual members of that population are not compellable, except if relied upon by an expert witness: s. 2(5)(b) and (c). However, the court is free to order the discovery of a "statistically meaningful sample" of the health care records of individual members of that population, stripped of personal identifiers: s. 2(5)(d) and (e).

Pursuant to s. 3(1) and (2), the government enjoys a reversed burden of proof in respect of certain elements of an aggregate claim. Where the aggregate claim is, like the one brought against each of the appellants, to recover expenditures in respect of disease caused by exposure to cigarettes, the reversed burden of proof operates as follows. Once the government proves that

- (a) the defendant manufacturer breached a common law, equitable or statutory duty or obligation it owed to persons in British Columbia who have been or might become exposed to cigarettes;
- (b) exposure to cigarettes can cause or contribute to disease; and
- (c) during the manufacturer's breach, cigarettes manufactured or promoted by the manufacturer were offered for sale in British Columbia,

the court will presume that

- (a) the population that is the basis for the government's aggregate claim would not have been exposed to cigarettes but for the manufacturer's breach; and
- (b) such exposure caused or contributed to disease in a portion of the population that is the basis for the government's aggregate claim.

In this way, it falls on a defendant manufacturer to show that its breach of duty did not give rise to exposure, or that exposure resulting from its breach of duty did not give rise to the disease in respect of which the government claims for its expenditures. The reversed burden of proof on the manufacturer is a balance of probabilities: s. 3(4).

Where the aforementioned presumptions apply, the court must determine the portion of the government's expenditures after the date of the manufacturer's breach that resulted from exposure to cigarettes: s. 3(3)(a). The manufacturer is liable for such expenditures in proportion to its share of the market for cigarettes in British Columbia, calculated over the period of time between its first breach of duty and trial: ss. 3(3)(b) and 1(6)

Pursuant to s. 10, all provisions of the Act operate retroactively.

MCGHEE V NATIONAL COAL BOARD

[1972] 3 All ER 1008 (HL)

LORD REID: My Lords, the appellant was employed for many years by the respondents as a labourer at their Prestongrange brickworks. His normal work was emptying pipe kilns. On 30th March 1967 (a Thursday) he was sent to empty brick kilns. Working conditions there were much hotter and dustier than in the pipe kilns. On Sunday, 2nd April, he felt extensive irritation of his skin. He continued to work on the Monday and Tuesday and then went to his doctor who put him off work and later sent him to a skin specialist. He was found to be suffering from dermatitis. He sued the respondents for damages alleging breaches on their part of common law duties to him. ...

It is now admitted that the dermatitis was attributable to the work which the appellant did in the brick kilns. ... The ... ground of fault alleged raises a difficult question of law. It is said in condescendence 3:

It was their duty to take reasonable care to provide adequate washing facilities including showers, soap and towels to enable men to remove dust from their bodies. In each and all of said duties the [respondents] failed and so caused said disease. Had the [respondents] fulfilled said duties incumbent on them the [appellant] would not have contracted said disease. ...

[T]he respondents' defence in the Inner House and before your Lordships has taken the unusual form that breach of duty is admitted, and that it is admitted that the disease is attributable to the work which the appellant performed in the brick kiln, but that it has not been proved that failure to carry out the admitted duty caused the onset of the disease.

The medical witnesses are in substantial agreement. Dermatitis can be caused, and this dermatitis was caused, by repeated minute abrasion of the outer horny layer of the skin followed by some injury to or change in the underlying cells, the precise nature of which has not yet been discovered by medical science. If a man sweats profusely for a considerable time the outer layer of his skin is softened and easily injured. If he is then working in a cloud of abrasive brick dust, as this man was, the particles of dust will adhere to his skin in considerable quantity and exertion will cause them to injure the horny layer and expose to injury or infection the tender cells below. Then in some way not yet understood dermatitis may result. If the skin is not thoroughly washed as soon as the man ceases work that process can continue at least for some considerable time. This man had to continue exerting himself after work by bicycling home while still caked with sweat and grime, so he would be liable to further injury until he could wash himself thoroughly. Washing is the only practicable method of removing the danger of further injury. The effect of such abrasion of the skin is cumulative in the sense that the longer a subject is exposed to injury the greater the chance of his developing dermatitis: it is for that reason that immediate washing is well recognised as a proper precaution. ...

It was held in the Court of Session that the appellant had to prove that his additional exposure to injury caused by his having to bicycle home unwashed caused the disease in the sense that it was more probable than not that this additional exposure to injury was the cause of it. I do not think that that is the proper approach. ...

It has always been the law that a pursuer succeeds if he can shew that fault of the defender caused or materially contributed to his injury. There may have been two separate causes but it is enough if one of the causes arose from fault of the defender. The pursuer does not have to prove that this cause would of itself have been enough

to cause him injury. That is well illustrated by the decision of this House in *Bonnington Castings Ltd. v. Wardlaw*. There the pursuer's disease was caused by an accumulation of noxious dust in his lungs. The dust which he had inhaled over a period came from two sources. The defenders were not responsible for one source but they could and ought to have prevented the other. The dust from the latter source was not in itself sufficient to cause the disease but the pursuer succeeded because it made a material contribution to his injury. The respondents seek to distinguish *Wardlaw's* case by arguing that then it was proved that every particle of dust inhaled played its part in causing the onset of the disease whereas in this case it is not proved that every minor abrasion played its part.

In the present case the evidence does not shew—perhaps no one knows—just how dermatitis of this type begins. It suggests to me that there are two possible ways. It may be that an accumulation of minor abrasions of the horny layer of skin is a necessary precondition for the onset of the disease. Or it may be that the disease starts at one particular abrasion and then spreads, so that multiplication of abrasions merely increases the number of places where the disease can start and in that way increases the risk of its occurrence.

I am inclined to think that the evidence points to the former view. But in a field where so little appears to be known with certainty I could not say that that is proved. If it were then this case would be indistinguishable from *Wardlaw's* case. But I think that in cases like this we must take a broader view of causation. The medical evidence is to the effect that the fact that the man had to cycle home caked with grime and sweat added materially to the risk that this disease might develop. It does not and could not explain just why that is so. But experience shews that it is so. Plainly that must be because what happens while the man remains unwashed can have a causative effect, although just how the cause operates is uncertain. ... Nor can I accept the distinction drawn by the Lord Ordinary between materially increasing the risk that the disease will occur and making a material contribution to its occurrence.

There may be some logical ground for such a distinction where our knowledge of all the material factors is complete. But it has often been said that the legal concept of causation is not based on logic or philosophy. It is based on the practical way in which the ordinary man's mind works in the every-day affairs of life. From a broad and practical viewpoint I can see no substantial difference between saying that what the respondents did materially increased the risk of injury to the appellant and saying that what the respondents did made a material contribution to his injury.

I would therefore allow this appeal.

LORD WILBERFORCE: ... But the question remains whether a pursuer must necessarily fail if, after he has shown a breach of duty, involving an increase of risk of disease, he cannot positively prove that this increase of risk caused or materially contributed to the disease while his employers cannot positively prove the contrary. In this intermediate case there is an appearance of logic in the view that the pursuer, on whom the onus lies, should fail—a logic which dictated the judgments below. The question is whether we should be satisfied in factual situations like the present, with this logical approach. In my opinion, there are further considerations of importance. First, it is a sound principle that where a person has, by breach of duty of care, created a risk, and injury occurs within the area of that risk, the loss should be borne by him unless he shows that it had some other cause. Secondly, from the evidential point of view, one may ask, why should a man who is able to show that his employer should have taken certain precautions, because without them there is a risk, or an added risk, of injury or disease, and who in fact sustains exactly that injury or disease, have to assume the burden of proving more: namely, that it was the addition to the risk, caused by the

breach of duty, which caused or materially contributed to the injury? In many cases of which the present is typical, this is impossible to prove, just because honest medical opinion cannot segregate the causes of an illness between compound causes. And if one asks which of the parties, the workman or the employers should suffer from this inherent evidential difficulty, the answer as a matter in policy or justice should be that it is the creator of the risk who, *ex hypothesi*, must be taken to have foreseen the possibility of damage, who should bear its consequences. ...

[I]n the absence of proof that the culpable condition had, in the result, no effect, the employers should be liable for an injury, squarely within the risk which they created and that they, not the pursuer, should suffer the consequence of the impossibility, foreseeably inherent in the nature of his injury, of segregating the precise consequence of their default.

I would allow this appeal.

LORD SIMON OF GLAISDALE: ... [W]here an injury is caused by two (or more) factors operating cumulatively, one (or more) of which factors is a breach of duty and one (or more) is not so, in such a way that it is impossible to ascertain the proportion in which the factors were effective in producing the injury or which factor was decisive, the law does not require a pursuer or plaintiff to prove the impossible, but holds that he is entitled to damages for the injury if he proves on a balance of probabilities that the breach or breaches of duty contributed substantially to causing the injury. If such factors so operate cumulatively, it is, in my judgment, immaterial whether they do so concurrently or successively.

The question, then, is whether on the evidence the appellant brought himself within this rule. In my view, a failure to take steps which would bring about a material reduction of the risk involves, in this type of case, a substantial contribution to the injury. In this type of case a stark distinction between breach of duty and causation is unreal. If the provision of shower baths was (as the evidence showed) a precaution which any reasonable employer in the respondents' position would take, it means that such employer should have foreseen that failure to take the precaution would, more probably than not, substantially contribute towards injury; this is sufficient *prima facie* evidence. ...

"[M]aterial reduction of the risk" and "substantial contribution to the injury" are mirror concepts in this type of case. ...

To hold otherwise would mean that the respondents were under a legal duty which they could, in the present state of medical knowledge, with impunity ignore.

I would therefore allow the appeal.

LORD KILBRANDON wrote a judgment to the same effect. ...

LORD SALMON: ... I, of course, accept that the burden rests on the appellant to prove, on a balance of probabilities, a causal connection between his injury and the respondents' negligence. It is not necessary, however, to prove, that the respondents' negligence was the only cause of injury. A factor, by itself, may not be sufficient to cause injury but if, with other factors, it materially contributes to causing injury, it is clearly a cause of injury. ...

In the circumstances of the present case it seems to me unrealistic and contrary to ordinary common sense to hold that the negligence which materially increased the risk of injury did not materially contribute to causing the injury. ...

It is known that some factors materially increase the risk and others materially decrease it. Some no doubt are periphery. Suppose, however, it were otherwise and it could be proved that men engaged in a particular industrial process would be exposed to a 52 per cent risk of contracting dermatitis even when proper washing

facilities were provided. Suppose it could also be proved that that risk would be increased to, say, 90 per cent when such facilities were not provided. It would follow that if the decision appealed from is right, an employer who negligently failed to provide the proper facilities would escape from any liability to an employee who contracted dermatitis notwithstanding that the employers had increased the risk from 52 per cent to 90 per cent. The negligence would not be a cause of the dermatitis because even with proper washing facilities, i.e. without the negligence, it would still have been more likely than not that the employee would have contracted the disease—the risk of injury then being 52 per cent. If, however, you substitute 48 per cent for 52 per cent the employer could not escape liability, not even if he had increased the risk to, say, only 60 per cent. Clearly such results would not make sense; nor would they, in my view, accord with the common law.

I think that the approach by the courts below confuses the balance of probability test with the nature of causation. Moreover, it would mean that in the present state of medical knowledge and in circumstances such as these (which are by no means uncommon) an employer would be permitted by the law to disregard with impunity his duty to take reasonable care for the safety of his employees.

My Lords, I would suggest that the true view is that, as a rule, when it is proved, on a balance of probabilities, that an employer has been negligent and that his negligence has materially increased the risk of his employee contracting an industrial disease, then he is liable in damages to that employee if he contracts the disease notwithstanding that the employer is not responsible for other factors which have materially contributed to the disease: *Bonnington Castings Ltd. v. Wardlaw* and *Nicholson v. Atlas Steel Foundry & Engineering Co Ltd*. I do not find the attempts to distinguish those authorities from the present case at all convincing.

In the circumstances of the present case, the possibility of a distinction existing between (a) having materially increased the risk of contracting the disease, and (b) having materially contributed to causing the disease may no doubt be a fruitful source of interesting academic discussions between students of philosophy. Such a distinction is, however, far too unreal to be recognised by the common law. I would accordingly allow the appeal.

NOTES AND QUESTIONS

1. Malone, "Ruminations on Cause-in-Fact" (1956) 9 Stan L Rev 60 at 73, makes the following observations about causal uncertainty:

All rules of conduct, irrespective of whether they are the product of a legislature or are a part of the fabric of the court-made law of negligence, exist for purposes. They are designed to protect *some* persons under *some* circumstances against *some* risks. Seldom does a rule protect every victim against every risk that may befall him, merely because it is shown that the violation of the rule played a part in producing the injury. The task of defining the proper reach or thrust of a rule in its policy aspects is one that must be undertaken by the court in each case as it arises. How appropriate is the rule to the facts of this controversy? This is a question that the court cannot escape.

Some rules of conduct, particularly those that are extracted from the broad notion we call negligence, cover a vague, indefinite area of risk that escapes all efforts of advance charting. Other rules of conduct were designed for fairly narrow and definite purposes. The precise reasons for their existence can be fathomed without too much difficulty. Whenever it can be said with fair certainty that the rule of conduct relied upon by the plaintiff was designed to protect against the very type of risk to which the plaintiff was exposed, courts have shown very little patience with the efforts of defendant to question the sufficiency of

the proof of cause. Such cases nearly always reach the jury if the plaintiff's contention on this issue has the slightest factual plausibility. Not infrequently an opinion will openly betray the operation of this influence:

Where the jury have a right to find such actual negligence, followed by the existence of the very danger which might have been expected to arise therefrom, it cannot be said as a matter of law that the plaintiff is bound to go further and to exclude the operation of other possible causes to which conceivably the danger might have been due, instead of having been due to the actual negligence which has been shown.

Considering that such lines were run for the express purpose, among others, of protecting seamen, we think it a question about which reasonable men might at least differ whether the intestate would have been saved, had it [the line] been there.

In other opinions the interdependence of policy and factual likelihood is more subtly suggested in the language of the court. An interesting decision in this respect is *Reynolds v. Texas and Pac. Ry.* [La CA 1885]—a classic in torts casebooks. Plaintiff, a stout woman, was being urged down the stairs leading from defendant railroad's platform to its tracks. The negligence alleged was the failure of the defendant to provide adequate lighting. She fell, and later instituted suit for the resulting injuries. The railroad contended with considerable plausibility that a two-hundred-fifty-pound woman hurrying to descend a stairway under the insistent urging of her companions might well have fallen even if adequate lighting had been provided. The court, however, in supporting a finding of causal relation, observed:

[W]here the negligence of the defendant greatly multiplies the chances of accident ... and is of a character naturally leading to its occurrence, the mere possibility that it might have happened without the negligence is not sufficient to break the chain of cause and effect. [Courts, in such matters, consider the natural and ordinary course of events, and do not indulge in fanciful suppositions. The whole tendency of the evidence connects the accident with the injury.] ...

It is noteworthy that the court has neatly avoided all reference to the probabilities requirement. The rule violated by defendant was designed to protect hurrying stout passengers in the very predicament of this plaintiff. It is therefore enough that its wrongdoing enhanced the chance of accident, that it increased the risk in some appreciable measure. The competing causes urged by defendant all constituted risk factors against which protection was afforded by the very rule that was violated.

Is *Reynolds* in principle the same case as *McGhee* or a different one?

2. In *Zuchowicz v United States*, 140 F 3d 381 (2d Cir 1998), Mrs Zuchowicz was negligently prescribed twice the maximum approved dosage of the drug Danocrine. A few months later she was diagnosed with a rare and fatal pulmonary disease from which she subsequently died. The issue on appeal was whether the trial judge was in error in concluding that the overdose caused the disease. Calabresi J stated:

To say that Danocrine caused Mrs. Zuchowicz's injuries is only half the story, however. In order for the causation requirement to be met, a trier of fact must be able to determine, by a preponderance of the evidence, that the defendant's *negligence* was responsible for the injury. In this case, [the] defendant's negligence consisted in prescribing an overdose of Danocrine to Mrs. Zuchowicz. For liability to exist, therefore, it is necessary that the fact finder be able to conclude, more probably than not, that the *overdose* was the cause of Mrs. Zuchowicz's illness and ultimate death. The mere fact that the exposure to Danocrine was likely responsible for the disease does not suffice.

The problem of linking [the] defendant's negligence to the harm that occurred is one that many courts have addressed in the past. A car is speeding and an accident occurs. That the

car was involved and was a cause of the crash is readily shown. The accident, moreover, is of the sort that rules prohibiting speeding are designed to prevent. But is this enough to support a finding of fact, in the individual case, that *speeding* was, in fact, more probably than not, the cause of the accident? ... To put it more precisely—the defendant's negligence was strongly causally linked to the accident, and the defendant was undoubtedly a *but for* cause of the harm, but does this suffice to allow a fact finder to say that the defendant's negligence was a *but for* cause?

At one time, courts were reluctant to say in such circumstances that the wrong could be deemed to be the cause. They emphasized the logical fallacy of *post hoc, ergo propter hoc*, and demanded some direct evidence connecting the defendant's wrongdoing to the harm. ...

All that has changed, however. And, as is so frequently the case in tort law, Chief Judge Cardozo in New York and Chief Justice Traynor in California led the way. In various opinions, they stated that: if (a) a negligent act was deemed wrongful *because* that act increased the chances that a particular type of accident would occur, and (b) a mishap of that very sort did happen, this was enough to support a finding by the trier of fact that the negligent behavior caused the harm. Where such a strong causal link exists, it is up to the negligent party to bring in evidence denying *but for* cause and suggesting that in the actual case the wrongful conduct had not been a substantial factor.

Thus, in a case involving a nighttime collision between vehicles, one of which did not have the required lights, Judge Cardozo stated that lights were mandated precisely to reduce the risk of such accidents occurring and that this fact sufficed to show causation unless the negligent party demonstrated, for example, that in the particular instance the presence of very bright street lights or of a full moon rendered the lack of lights on the vehicle an unlikely cause. See *Martin v Herzog*, 228 NY 164 (1920). ...

The general acceptance of this view is both signaled and explained by Prosser, which states categorically:

And whether the defendant's negligence consists of the violation of some statutory safety regulation, or the breach of a plain common law duty of care, the court can scarcely overlook the fact that the injury which has in fact occurred is precisely the sort of thing that proper care on the part of the defendant would be intended to prevent, and accordingly allow a certain liberality to the jury in drawing its conclusion. ...

The case before us is a good example of the above-mentioned principles in their classic form. The reason the FDA does not approve the prescription of new drugs at above the dosages as to which extensive tests have been performed is because all drugs involve risks of untoward side effects in those who take them. Moreover, it is often true that the higher the dosage the greater is the likelihood of such negative effects. At the approved dosages, the benefits of the particular drug have presumably been deemed worth the risks it entails. At greater than approved dosages, not only do the risks of tragic side effects (known and unknown) increase, but there is no basis on the testing that has been performed for supposing that the drug's benefits outweigh these increased risks ... It follows that when a negative side effect is demonstrated to be the result of a drug, and the drug was wrongly prescribed in an unapproved and excessive dosage (i.e. a strong causal link has been shown), the plaintiff who is injured has generally shown enough to permit the finder of fact to conclude that the excessive dosage was a substantial factor in producing the harm. ...

Under the circumstances, we hold that defendant's attack on the district court's finding of causation is meritless.

Do you agree? Is this case decided on the same principle as *McGhee*? As *Reynolds*?

3. In *Wilsher v Essex Area Health Authority*, [1988] 1 AC 1074 (HL), the plaintiff was a prematurely born infant who was suffering from retrolental fibroplasia (RLF), an incurable condition of the retina that severely impaired his vision. He claimed that the defendants were

responsible for the RLF because they negligently performed the procedure for monitoring the partial pressure of oxygen (PO₂). There were, however, additional possible causes of the RLF. Lord Bridge of Harwich stated:

There was in the voluminous expert evidence given at the trial an irreconcilable conflict of opinion as to the cause of Martin's RLF. It was common ground that a sufficiently high level of PO₂ in the arterial blood of a very premature baby, if maintained for a sufficiently long period of time, can have a toxic effect on the immature blood vessels in the retina leading to a condition which may either regress or develop into RLF. It was equally common ground, however, that RLF may occur in premature babies who have survived without any artificial administration of oxygen and that there is evidence to indicate a correlation between RLF and a number of other conditions from which premature babies commonly suffer (e.g. apnoea, hypercarbia, intraventricular haemorrhage, patent ductus arteriosus, all conditions which afflicted Martin) although no causal mechanisms linking these conditions with the development of RLF have been positively identified.

Mustill LJ subjected the speeches in *McGhee v. National Coal Board* [1972] 3 All ER 1008, [1973] 1 WLR 1 to a careful scrutiny and analysis and concluded that they established a principle of law which he expressed in the following terms ([1986] 3 All ER 801 at 829, [1987] QB 730 at 771-772):

If it is an established fact that conduct of a particular kind creates a risk that injury will be caused to another or increases an existing risk that injury will ensue, and if the two parties stand in such a relationship that the one party owes a duty not to conduct himself in that way, and if the first party does conduct himself in that way, and if the other party does suffer injury of the kind to which the risk related, then the first party is taken to have caused the injury by his breach of duty, even though the existence and extent of the contribution made by the breach cannot be ascertained.

Applying this principle to the finding that the authority's negligence was one of the possible causes of Martin's RLF, he held that this was sufficient to enable the court to conclude that the negligence was "taken to have caused the injury." ...

[W]here the layman is told by the doctors that the longer the brick dust remains on the body, the greater the risk of dermatitis, although the doctors cannot identify the process of causation scientifically, there seems to be nothing irrational in drawing the inference, as a matter of common sense, that the consecutive periods when brick dust remained on the body probably contributed cumulatively to the causation of the dermatitis. I believe that a process of inferential reasoning on these general lines underlies the decision of the majority in *McGhee's* case ...

McGhee v. National Coal Board laid down no new principle of law whatever. On the contrary, it affirmed the principle that the onus of proving causation lies on the pursuer or plaintiff. Adopting a robust and pragmatic approach to the undisputed primary facts of the case, the majority concluded that it was a legitimate inference of fact that the defenders' negligence had materially contributed to the pursuer's injury. The decision, in my opinion, is of no greater significance than that and the attempt to extract from it some esoteric principle which in some way modifies, as a matter of law, the nature of the burden of proof of causation which a plaintiff or pursuer must discharge once he has established a relevant breach of duty is a fruitless one.

In the Court of Appeal in the instant case Sir Nicolas Browne-Wilkinson V-C, being in a minority, expressed his view on causation with understandable caution. But I am quite unable to find any fault with the following passage in his dissenting judgment ... :

To apply the principle in *McGhee v. National Coal Board* [1972] 3 All ER 1008, [1973] 1 WLR 1 to the present case would constitute an extension of that principle. In *McGhee*

there was no doubt that the pursuer's dermatitis was physically caused by brick dust: the only question was whether the continued presence of such brick dust on the pursuer's skin after the time when he should have been provided with a shower caused or materially contributed to the dermatitis which he contracted. There was only one possible agent which could have caused the dermatitis, viz brick dust, and there was no doubt that the dermatitis from which he suffered was caused by that brick dust. In the present case the question is different. There are a number of different agents which could have caused the RLF. Excess oxygen was one of them. The defendants failed to take reasonable precautions to prevent one of the possible causative agents (e.g. excess oxygen) from causing RLF. But no one can tell in this case whether excess oxygen did or did not cause or contribute to the RLF suffered by the plaintiff. The plaintiff's RLF may have been caused by some completely different agent or agents, e.g. hypercarbia, intraventricular haemorrhage, apnoea or patent ductus arteriosus. In addition to oxygen, each of those conditions has been implicated as a possible cause of RLF. This baby suffered from each of those conditions at various times in the first two months of his life. There is no satisfactory evidence that excess oxygen is more likely than any of those other four candidates to have caused RLF in this baby. To my mind, the occurrence of RLF following a failure to take a necessary precaution to prevent excess oxygen causing RLF provides no evidence and raises no presumption that it was excess oxygen rather than one or more of the four other possible agents which caused or contributed to RLF in this case. The position, to my mind, is wholly different from that in *McGhee*, where there was only one candidate (brick dust) which could have caused the dermatitis, and the failure to take a precaution against brick dust causing dermatitis was followed by dermatitis caused by brick dust. In such a case, I can see the common sense, if not the logic, of holding that, in the absence of any other evidence, the failure to take the precaution caused or contributed to the dermatitis. To the extent that certain members of the House of Lords decided the question on inferences from evidence or presumptions, I do not consider that the present case falls within their reasoning. A failure to take preventive measures against one out of five possible causes is no evidence as to which of those five caused the injury.

4. The significance of *McGhee* and its relation to *Wilsher* arose again in *Fairchild v Glenhaven Funeral Service*, [2002] 3 All ER 305 (HL). The plaintiffs had suffered mesothelioma as a result of the negligence of either or both of two employers, but could not prove which of them had been the factual cause of the condition. The House of Lords approved of distinguishing *McGhee* and *Wilsher* on the ground that *McGhee* was concerned with one causal agent, whereas *Wilsher* was concerned with several, but were of the view that *Wilsher* was incorrect in asserting that *McGhee* was based merely on a robust and pragmatic approach to the drawing of a factual inference. In their view, *McGhee* developed the law of causation by adapting the orthodox test to meet a particular case.

LORD BINGHAM OF CONHILL: ...

The present appeals raise an obvious and inescapable clash of policy considerations. ... The crux of cases such as the present, if the appellants' argument is upheld, is that an employer may be held liable for damage he has not caused. The risk is the greater where all the employers potentially liable are not before the court. This is so on the facts of each of the three appeals before the House, and is always likely to be so given the long latency of this condition and the likelihood that some employers potentially liable will have gone out of business or disappeared during that period. It can properly be said to be unjust to impose liability on a party who has not been shown, even on a balance of probabilities, to have caused the damage complained of. On the other hand, there is a strong policy argument in favour of compensating those who have suffered grave harm, at the expense of their employers who owed them a duty to protect them against that very harm and failed to do

so, when the harm can only have been caused by breach of that duty and when science does not permit the victim accurately to attribute, as between several employers, the precise responsibility for the harm he has suffered. I am of opinion that such injustice as may be involved in imposing liability on a duty-breaking employer in these circumstances is heavily outweighed by the injustice of denying redress to a victim. Were the law otherwise, an employer exposing his employee to asbestos dust could obtain complete immunity against mesothelioma (but not asbestosis) claims by employing only those who had previously been exposed to excessive quantities of asbestos dust. Such a result would reflect no credit on the law. It seems to me, as it did to Lord Wilberforce in *McGhee's* case ... that "the employers should be liable for an injury, squarely within the risk which they created and that they, not the pursuer, should suffer the consequence of the impossibility, foreseeably inherent in the nature of his injury, of segregating the precise consequence of their default." ...

SNELL V FARRELL

[1990] 2 SCR 311

SOPINKA J (for the court): The issue of law in this case is whether the plaintiff in a malpractice suit must prove causation in accordance with traditional principles or whether recent developments in the law justify a finding of liability on the basis of some less onerous standard. The practical effect of a determination of this issue will be whether the appellant was liable for the loss by the respondent of the vision in her right eye.

The respondent, age 70 at the time of trial, consulted the appellant with respect to problems with her vision. The appellant is a medical doctor specializing in the field of ophthalmology. The respondent was "legally blind" in her right eye. She was advised that she had a cataract which should be surgically removed. After the appellant had explained the operation and the risks involved, the respondent consented. The accepted procedure for elderly patients consisted of local anaesthetization, to avoid risks associated with general anaesthetic, followed by removal of the cataract and implantation of a prosthetic lens into the anterior chamber of the eye behind the cornea.

The procedure is first to anaesthetize the eyelid to prevent blinking. Then a needle is inserted underneath the eyeball to inject anaesthetic into the retrobulbar muscles behind the eyeball to prevent movement and pain. These muscles control eye movement and surround the optic nerve. One complication, which occurs in one to three percent of cases, is haemorrhage in the retrobulbar area caused by inserting the needle. There is no treatment for such haemorrhage but to let it be reabsorbed naturally. A common result of such haemorrhage is pressure behind the eyeball, which can cause the contents of the eye to be expelled when an incision is made in the cornea during the procedure to remove the cataract. Both experts testifying at trial stated that if retrobulbar haemorrhage occurs, the operation should not be continued. They also testified that an incision into the eye would remove the tamponade effect created by an intact eyeball, allowing a retrobulbar haemorrhage to flow more freely.

The classic symptoms of retrobulbar haemorrhage are redness of the eyelids where they touch the eyeball, and hardness of the eye. After injecting the anaesthetic into the retrobulbar area of the eye, Doctor Farrell noticed a small discolouration, one to two centimetres in diameter, at the puncture site below the eye on the surface of the skin. On discovery he stated that this was a very small retrobulbar bleed. He palpated the eye, finding that it was not hard, and there were no other signs of retrobulbar haemorrhage. After waiting thirty minutes he proceeded with the surgery. The oper-

ation went normally. The trial judge accepted Mrs. Snell's evidence that Dr. Farrell told another doctor assisting him that he would have to hurry the operation.

Following the surgery Mrs. Snell developed excruciating pain and was given pain killers. That evening Dr. Farrell removed the patch on Mrs. Snell's eye, finding more blood than at the time of surgery. A retrobulbar bleed had obviously occurred. Dr. Farrell found there to be pressure on the eye, although it was not too great and he did not accurately measure it until a month later. There was blood in the anterior chamber, which cleared rapidly, and blood in the vitreous chamber, which took some nine months to clear. When the vitreous chamber cleared Dr. Farrell was able to see for the first time that the optic nerve had atrophied, resulting in the loss of sight in Mrs. Snell's right eye.

Atrophy results from a loss of the optic nerve's blood supply. One possible cause is pressure due to retrobulbar haemorrhage. The plaintiff's expert, Dr. Samis, examined Mrs. Snell in 1985 (about 17 months after the operation) finding new blood vessel formation in the iris, which indicated that she had suffered a stroke in the back of the eye at some point. He could not identify what caused the stroke. He testified that a major cause of optic nerve atrophy is a stroke in the eye itself, which is most likely in a patient with cardiovascular disease, high blood pressure or diabetes. Mrs. Snell suffered from the latter two conditions, although only to the extent that they were controlled by diet rather than medication. Mrs. Snell also suffered from severe glaucoma, which over a long period can also cause optic nerve atrophy. The plaintiff's expert testified that it was unusual to have chronic glaucoma in just one eye, like Mrs. Snell, unless there has been an intervention of some type. The only intervention of which the expert was aware was the operation itself.

Neither expert was able to express with certainty an opinion as to what caused the atrophy in this case or when it occurred.

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Although neither of the expert witnesses called by the parties could say whether the operation had caused the injury, the trial judge was satisfied that the facts of the case at bar brought it "within an emerging branch of the law of causation" whereby the onus to disprove causation shifts to the defendant in certain circumstances. In this regard, he relied on the decision of the House of Lords in *McGhee v. National Coal Board*, [1973] 1 WLR 1. He concluded that the respondent had *prima facie* proved that the appellant's actions had caused her injury and that the appellant had not satisfied the onus that had shifted to him. Therefore causation, and negligence, was made out.

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... I have examined the alternatives arising out of the *McGhee* case. They were that the plaintiff simply prove that the defendant created a risk that the injury which occurred would occur. Or, what amounts to the same thing, that the defendant has the burden of disproving causation. If I were convinced that defendants who have a substantial connection to the injury were escaping liability because plaintiffs cannot prove causation under currently applied principles, I would not hesitate to adopt one of these alternatives. In my opinion, however, properly applied, the principles relating to causation are adequate to the task. Adoption of either of the proposed alternatives would have the effect of compensating plaintiffs where a substantial connection between the injury and the defendant's conduct is absent. Reversing the burden of proof may be justified where two defendants negligently fire in the direction of the plaintiff and then by their tortious conduct destroy the means of proof at his disposal. In such a case it is clear that the injury was not caused by neutral conduct. It is quite a different matter to compensate a plaintiff by reversing the burden

of proof for an injury that may very well be due to factors unconnected to the defendant and not the fault of anyone.

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I am of the opinion that the dissatisfaction with the traditional approach to causation stems to a large extent from its too rigid application by the courts in many cases. Causation need not be determined by scientific precision. It is, as stated by Lord Salmon in *Alphacell Ltd. v. Woodward*, [1972] 2 All ER 475:

... essentially a practical question of fact which can best be answered by ordinary common sense rather than abstract metaphysical theory.

Furthermore, as I observed earlier, the allocation of the burden of proof is not immutable. Both the burden and the standard of proof are flexible concepts. In *Blatch v. Archer* (1774), 1 Cowp. 63 at p. 65, 98 ER 969, Lord Mansfield stated:

It is certainly a maxim that all evidence is to be weighed according to the proof which it was in the power of one side to have produced, and in the power of the other to have contradicted.

In many malpractice cases, the facts lie particularly within the knowledge of the defendant. In these circumstances, very little affirmative evidence on the part of the plaintiff will justify the drawing of an inference of causation in the absence of evidence to the contrary. This has been expressed in terms of shifting the burden of proof. ...

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... It is not strictly accurate to speak of the burden shifting to the defendant when what is meant is that evidence adduced by the plaintiff may result in an inference being drawn adverse to the defendant. Whether an inference is or is not drawn is a matter of weighing evidence. The defendant runs the risk of an adverse inference in the absence of evidence to the contrary. This is sometimes referred to as imposing on the defendant a provisional or tactical burden: see *Cross*, op. cit., at p. 129. In my opinion, this is not a true burden of proof, and use of an additional label to describe what is an ordinary step in the fact-finding process is unwarranted.

The legal or ultimate burden remains with the plaintiff, but in the absence of evidence to the contrary adduced by the defendant, an inference of causation may be drawn although positive or scientific proof of causation has not been adduced. If some evidence to the contrary is adduced by the defendant, the trial judge is entitled to take account of Lord Mansfield's famous precept. This is, I believe, what Lord Bridge had in mind in *Wilsher* when he referred to a "robust and pragmatic approach to the ... facts" (p. 569).

It is not therefore essential that the medical experts provide a firm opinion supporting the plaintiff's theory of causation. Medical experts ordinarily determine causation in terms of certainties whereas a lesser standard is demanded by the law. ...

The issue, then, in this case is whether the trial judge drew an inference that the appellant's negligence caused or contributed to the respondent's injury, or whether, applying the above principles, he would or ought to have drawn such an inference. ...

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The trial judge found that the appellant was negligent in continuing with the operation when retrobulbar bleeding occurred. This finding is not contested and is fully supported by the evidence. ... It was common ground that the respondent's blindness occurred due to atrophy or death of the optic nerve which was occasioned by a stroke. A stroke is the destruction of a blood vessel due to an interruption of the

blood supply. There were two possible causes of the stroke, one of which was natural and the other due to continuing the operation. Dr. Regan, the appellant's expert, testified as follows: ...

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Q. The question, doctor, is that there's no evidence, is there, that anything other than the operation, the whole operation, was a factor in causing the stroke which Mrs. Snell suffered. There's no evidence of anything external to the operation that caused that stroke, is there?

A. Well it's partially semantics here but there's a very ... in medical terms there's a very distinct definition or distinction between the operation and the anaesthetic so that if you're including the anesthetic in your general term operation, then fine, I can agree, but in particular, there's no evidence that the operation per se, other than the anesthetic, involved or caused a problem with the stroke. There are the other systemic problems that Mrs. Snell has that may possibly have caused the stroke *but there's no indication that they did.* [Emphasis added.]

The anaesthetic, of course, was the needle which caused the retrobulbar bleeding. The trial judge found that it should have been recognized as such and the operation terminated. If it had, the bleeding would have been stanching. Continuing with the operation permitted the bleeding to continue undetected because the eye was occluded by blood and patched. Palpitation of the eye to test for hardness apparently failed to disclose the haemorrhaging. A crucial finding of the trial judge was the following:

Neither Dr. Samis nor Dr. Regan could give an opinion as to what caused the atrophy to the optic nerve. Neither doctor could state when the atrophy occurred since it was some eight months before Dr. Farrell could see the optic nerve because of the blood in the anterior chamber. It was atrophied when he first saw it in August 1984. Neither doctor was able to express an opinion that the operation contributed to the atrophy *except to the extent that the retrobulbar hemorrhage which may have been stanching may have been reopened by the operation.* Perhaps what eventually did happen was going to happen once the injection was completed. The retrobulbar bleeding commenced at that time. It may have been a slow hemorrhage that had not stopped and was not going to stop. *The hemorrhage would have been allowed to flow more freely with the removal of the tamponade effect of opening the cornea.* I cannot go beyond this since neither doctor did and I should not speculate in matters of medical opinion. Both doctors agree that the atrophy resulted from a loss of its own blood supply. *This may have been as a result of natural causes although I am not inclined to this view. The operation would assist bleeding while the cornea remained open.* [Emphasis added.]

It is significant that this finding virtually rules out natural causes as did the appellant. The trial judge then continued:

Dr. Farrell greatly increased the risk of injury to Mrs. Snell's eye by operating when he knew she had a retrobulbar bleed. *Bleeding in the retrobulbar area was facilitated during the operation.* No one can say what happened or with certainty when it happened, because the bleeding from the cataract removal prohibited the doctors from seeing the optic nerve. I am of the opinion that the defendant was "asking for trouble" by operating when he knew his patient had a retrobulbar bleed and that the increased risk was followed by injury in the same area of risk.

I am of the opinion that the plaintiff has prima facie proved that the defendant's actions caused the plaintiff's injury and that the defendant has not satisfied the onus that shifted to him. [Emphasis added.]

The finding in the last paragraph can be read as a finding of causation inferred from the circumstances and in the absence of evidence to the contrary in satisfaction of the evidential burden cast upon the defendant. Or it could be interpreted as accepting Lord Wilberforce's formulation in *McGhee* which reverses the ultimate burden upon finding that a risk was created and an injury occurred within the area of the risk. If the former was intended, I am of the opinion that such an inference was fully warranted on the evidence. On the other hand, if the latter is the interpretation to be placed on that statement, and I am inclined to think that it is, then I am satisfied that had the trial judge applied the principles referred to above he would have drawn an inference of causation between the appellant's negligence and the injury to the respondent.

The appellant was present during the operation and was in a better position to observe what occurred. Furthermore, he was able to interpret from a medical standpoint what he saw. In addition, by continuing the operation which has been found to constitute negligence, he made it impossible for the respondent or anyone else to detect the bleeding which is alleged to have caused the injury. In these circumstances, it was open to the trial judge to draw the inference that the injury was caused by the retrobulbar bleeding. There was no evidence to rebut this inference. The fact that testing the eye for hardness did not disclose bleeding is insufficient for this purpose. If there was any rebutting evidence it was weak, and it was open to the trial judge to find causation, applying the principles to which I have referred.

I am confident that had the trial judge not stated that "I cannot go beyond this since neither doctor did and I should not speculate," he would have drawn the necessary inference. In stating the above, he failed to appreciate that it is not essential to have a positive medical opinion to support a finding of causation. Furthermore, it is not speculation but the application of common sense to draw such an inference where, as here, the circumstances, other than a positive medical opinion, permit.

While this Court does not ordinarily make findings of fact, this course is fully justified in this case. First, I am of the opinion that the trial judge either made the necessary finding or would have but for error of law. Second, it would be a disservice to all to send this case back for a new trial when the evidence is not essentially in conflict. I note that in *Wilsher*, the House of Lords refrained from deciding the case only because the evidence of the experts was seriously in conflict. That is not the case here.

In the result, I would dismiss the appeal with costs.

NOTES

1. In *Walker Estate v York Finch General Hospital*, 2001 SCC 23, [2001] 1 SCR 647, the plaintiff, the estate of a person who had contracted AIDS [acquired immune deficiency syndrome] as a result of a blood transfusion and subsequently died, sued the Canadian Red Cross Society (CRCS) for inadequately screening blood donors. At the time that the blood was collected, the CRCS required donors to answer a questionnaire stating that donors should be in good health, but did not identify high-risk groups. In contrast, the American Red Cross (ARC) was at that time circulating a pamphlet to its donors stating that persons who feel in excellent health may nonetheless have blood that might cause illness in the recipient, identifying AIDS as a new disease that could be spread by blood transfusion, and listing as a high-risk group sexually active homosexual or bisexual men with multiple partners. The donor of the blood that the deceased received was within that high-risk group. The deceased subsequently became ill with AIDS. The court held that the ARC pamphlet represented the appropriate standard of care at the time of the blood donation in question and that the CRCS breached its duty to the deceased by not bringing such information to the attention of its donors.

One of the CRCS's defences was that there was no proof that the CRCS was in fact the cause of the injury, because the donor might have continued to donate blood in any case. Six months after the fatal transfusion, the CRCS issued a pamphlet for donors at blood clinics that made reference to AIDS and listed homosexual males with multiple partners as a high-risk group. Nonetheless, the donor continued to donate blood. He subsequently testified that he did not know of the emerging connection between AIDS and the gay community, that he did not have any interest in current events, and that he was not politically involved with gay concerns. He did not recall hearing any warnings through the media or otherwise that gay men should not donate blood; if he had heard such warnings, he would have questioned why he should not donate blood, given that he felt healthy. He also testified that had he been given warnings about AIDS and the high-risk categories, he would have raised the issue with the nurse at the blood donor clinic. Major J said:

The unique difficulties in proving causation make this area of negligence atypical. The general test for causation in cases where a single cause can be attributed to a harm is the "but-for" test. However, the but-for test is unworkable in some situations, particularly where multiple independent causes may bring about a single harm.

In cases of negligent donor screening, it may be difficult or impossible to prove hypothetically what the donor would have done had he or she been properly screened by the CRCS. The added element of donor conduct in these cases means that the but-for test could operate unfairly, highlighting the possibility of leaving legitimate plaintiffs uncompensated. Thus, the question in cases of negligent donor screening should not be whether the CRCS's conduct was a necessary condition for the plaintiffs' injuries using the "but-for" test, but whether that conduct was a sufficient condition. The proper test for causation in cases of negligent donor screening is whether the defendant's negligence "materially contributed" to the occurrence of the injury. In the present case, it is clear that it did. "A contributing factor is material if it falls outside the *de minimis* range" (see *Athey v. Leonati* ...). As such, the plaintiff retains the burden of proving that the failure of the CRCS to screen donors with tainted blood materially contributed to Walker contracting HIV from the tainted blood ...

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As stated above, the proper test for causation in negligent donor screening cases is whether the defendant's negligence materially contributed to the plaintiff's harm. Even using the strict but-for test, which is not required in these types of cases, causation is proved on the facts. The trial judge concluded, in response to a hypothetical question, that Robert M. would not have been deferred or excluded from donating blood on September 12, 1983 had he seen the CRCS May 1, 1984 pamphlet. That would not have been the case had Robert M. seen the ARC 1983 pamphlet. Robert M. told the trial judge that had he seen, or been given, information on AIDS and the four high risk categories of people who were requested not to donate blood, he would have raised the issue with a nurse, since he fit into one of the risk groups—homosexual males who have multiple partners. The trial judge disbelieved him, expressing the thought that Robert M. did not raise the issue because he considered himself to be in good health. This was the very misconception which the CRCS's May 1, 1984 pamphlet failed to warn against, while the ARC 1983 pamphlet did so expressly.

2. In *Resurface Corp v Hanke*, 2007 SCC 7, [2007] 1 SCR 333, McLachlin CJC summed up the treatment of causal uncertainty as follows:

[20] Much judicial and academic ink has been spilled over the proper test for causation in cases of negligence. It is neither necessary nor helpful to catalogue the various debates. It suffices at this juncture to simply assert the general principles that emerge from the cases.

[21] First, the basic test for determining causation remains the "but for" test. This applies to multi-cause injuries. The plaintiff bears the burden of showing that "but for" the negligent act or omission of each defendant, the injury would not have occurred ...

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[23] The “but for” test recognizes that compensation for negligent conduct should only be made “where a substantial connection between the injury and defendant’s conduct” is present. It ensures that a defendant will not be held liable for the plaintiff’s injuries where they “may very well be due to factors unconnected to the defendant and not the fault of anyone”: *Snell v. Farrell*, at p. 327, *per Sopinka J.*

[24] However, in special circumstances, the law has recognized exceptions to the basic “but for” test, and applied a “material contribution” test. Broadly speaking, the cases in which the “material contribution” test is properly applied involve two requirements.

[25] First, it must be impossible for the plaintiff to prove that the defendant’s negligence caused the plaintiff’s injury using the “but for” test. The impossibility must be due to factors that are outside of the plaintiff’s control; for example, current limits of scientific knowledge. Second, it must be clear that the defendant breached a duty of care owed to the plaintiff, thereby exposing the plaintiff to an unreasonable risk of injury, and the plaintiff must have suffered that form of injury. In other words, the plaintiff’s injury must fall within the ambit of the risk created by the defendant’s breach. In those exceptional cases where these two requirements are satisfied, liability may be imposed, even though the “but for” test is not satisfied, because it would offend basic notions of fairness and justice to deny liability by applying a “but for” approach.

[26] These two requirements are helpful in defining the situations in which an exception to the “but for” approach ought to be permitted. Without dealing exhaustively with the jurisprudence, a few examples may assist in demonstrating the twin principles just asserted.

[27] One situation requiring an exception to the “but for” test is the situation where it is impossible to say which of two tortious sources caused the injury, as where two shots are carelessly fired at the victim, but it is impossible to say which shot injured him: *Cook v. Lewis*, [1951] SCR 830. Provided that it is established that each of the defendants carelessly or negligently created an unreasonable risk of that type of injury that the plaintiff in fact suffered (i.e. carelessly or negligently fired a shot that could have caused the injury), a material contribution test may be appropriately applied.

[28] A second situation requiring an exception to the “but for” test may be where it is impossible to prove what a particular person in the causal chain would have done had the defendant not committed a negligent act or omission, thus breaking the “but for” chain of causation. For example, although there was no need to rely on the “material contribution” test in *Walker Estate v. York Finch Hospital*, this Court indicated that it could be used where it was impossible to prove that the donor whose tainted blood infected the plaintiff would not have given blood if the defendant had properly warned him against donating blood. Once again, the impossibility of establishing causation and the element of injury-related risk created by the defendant are central.

CLEMENTS V CLEMENTS 2012 SCC 32, [2012] 2 SCR 181

McLACHLIN CJ (DESCHAMPS, FISH, ABELLA, CROMWELL, MOLDAVER and KARAKAT-SANIS JJ concurring):

I. INTRODUCTION

[1] The parties to this appeal, Mr. and Mrs. Clements, were motor bike enthusiasts. August 7th, 2004, found them en route from their home in Prince George, British Columbia, to visit their daughter in Kananaskis, Alberta. The weather was wet. Mr.

Clements was driving the bike and Mrs. Clements was riding behind on the passenger seat. The bike was about 100 pounds overloaded. Unbeknownst to Mr. Clements, a nail had punctured the bike's rear tire. Though Mr. Clements was travelling in a 100 km/h zone, he accelerated to at least 120 km/h in order to pass a car. As he crossed the centre line to commence the passing manoeuvre, the nail fell out, the rear tire deflated, and the bike began to wobble. Mr. Clements was unable to bring the bike under control and it crashed, throwing Mrs. Clements off. Mrs. Clements suffered a severe traumatic brain injury. She now sues Mr. Clements, claiming that her injury was caused by his negligence in the operation of the bike.

[2] Mr. Clements' negligence in driving an overloaded bike too fast is not disputed. The only issue is whether his negligence *caused* Mrs. Clements' injury. Mr. Clements called an expert witness, Mr. MacInnis, who testified that the probable cause of the accident was the tire puncture and deflation, and that the accident would have happened even without the negligent acts of Mr. Clements.

[3] The trial judge rejected this conclusion, and found that Mr. Clements' negligence in fact *contributed to* Mrs. Clements' injury. However, he held that the plaintiff "through no fault of her own is unable to prove that 'but for' the defendant's breaches, she would not have been injured," due to the limitations of the scientific reconstruction evidence (2009 BCSC 112 (CanLII), at para. 66). The trial judge went on to hold that in view of this impossibility of precise proof of the amount each factor contributed to the injury, "but for" causation should be dispensed with and a "material contribution" test applied. He found Mr. Clements liable on this basis.

[4] The British Columbia Court of Appeal, *per* Frankel J.A., set aside the judgment against Mr. Clements on the basis that "but for" causation had not been proved and the material contribution test did not apply (2010 BCCA 581, 12 B.C.L.R. (5th) 310).

[5] The legal issue is whether the usual "but for" test for causation in a negligence action applies, as the Court of Appeal held, or whether a material contribution approach suffices, as the trial judge held. For the reasons that follow, I conclude that a material contribution test was not applicable in this case. I would return the matter to the trial judge to be dealt with on the correct basis of "but for" causation.

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A. CAUSATION IN THE LAW OF NEGLIGENCE: THE BASIC RULE OF "BUT FOR" CAUSATION

[6] On its own, proof by an injured plaintiff that a defendant was negligent does not make that defendant liable for the loss. The plaintiff must also establish that the defendant's negligence (breach of the standard of care) *caused* the injury. That link is causation.

[7] Recovery in negligence presupposes a relationship between the plaintiff and defendant based on the existence of a duty of care—a defendant who is at fault and a plaintiff who has been injured by that fault. If the defendant breaches this duty and thereby causes injury to the plaintiff, the law "corrects" the deficiency in the relationship by requiring the defendant to compensate the plaintiff for the injury suffered. This basis for recovery, sometimes referred to as "corrective justice," assigns liability when the plaintiff and defendant are linked in a correlative relationship of doer and sufferer of the same harm: E.J. Weinrib, *The Idea of Private Law* (1995), at p. 156.

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[13] ... [T]he basic rule of recovery for negligence is that the plaintiff must establish on a balance of probabilities that the defendant caused the plaintiff's injury on the "but for" test. This is a factual determination. Exceptionally, however, courts have

accepted that a plaintiff may be able to recover on the basis of “material contribution to risk of injury,” without showing factual “but for” causation. As will be discussed in more detail below, this can occur in cases where it is impossible to determine which of a number of negligent acts by multiple actors in fact caused the injury, but it is established that one or more of them did in fact cause it. In these cases, the goals of tort law and the underlying theory of corrective justice require that the defendant not be permitted to escape liability by pointing the finger at another wrongdoer. Courts have therefore held the defendant liable on the basis that he materially contributed to the risk of the injury.

[14] “But for” causation and liability on the basis of material contribution to risk are two different beasts. “But for” causation is a factual inquiry into what likely happened. The material contribution to risk test removes the requirement of “but for” causation and substitutes proof of material contribution to risk. As set out by Smith J.A. in *MacDonald v. Goertz*, 2009 BCCA 358, 275 B.C.A.C. 68, at para. 17:

“material contribution” does not signify a test of causation at all; rather it is a policy-driven rule of law designed to permit plaintiffs to recover in such cases despite their failure to prove causation. In such cases, plaintiffs are permitted to “jump the evidentiary gap” That is because to deny liability “would offend basic notions of fairness and justice”: *Hanke v. Resurfice Corp.*, para. 25.

[15] While the cases and scholars have sometimes spoken of “material contribution to the injury” instead of “material contribution to risk,” the latter is the more accurate formulation. As will become clearer when we discuss the cases, “material contribution” as a substitute for the usual requirement of “but for” causation only applies where it is impossible to say that a particular defendant’s negligent act in fact caused the injury. It imposes liability not because the evidence establishes that the defendant’s act caused the injury, but because the act contributed to the risk that injury would occur. Thus this Court in *Snell and Resurfice Corp. v. Hanke*, 2007 SCC 7, [2007] 1 S.C.R. 333, raised the possibility of a material contribution to risk

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B. THE MATERIAL CONTRIBUTION TO RISK APPROACH

[After surveying the Canadian cases the court summed up:]

[28] To recap, the Canadian Supreme Court jurisprudence on a material contribution approach to date may be summarized as follows. First, while accepting that it might be appropriate in “special circumstances,” the Court has never in fact applied a material contribution to risk test. *Cook* was analyzed on a reverse onus basis. *Snell*, *Athey*, *Walker Estate* and *Resurfice* were all resolved on a robust and common sense application of the “but for” test of causation. Nevertheless, the Court has acknowledged the difficulties of proof that multi-tortfeasor cases may pose—difficulties which in some cases may justify relaxing the requirement of “but for” causation and finding liability on a material contribution to risk approach.

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[34] In *Resurfice*, this Court summarized the cases as holding that a material contribution approach may be appropriate where it is “impossible” for the plaintiff to prove causation on the “but for” test and where it is clear that the defendant breached its duty of care (acted negligently) in a way that exposed the plaintiff to an unreasonable risk of injury. ...

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[39] What then are the cases referring to when they say that it must be “impossible” to prove “but for” causation as a precondition to a material contribution to risk approach? The answer emerges from the facts of the cases that have adopted such an approach. Typically, there are a number of tortfeasors. All are at fault, and one or more has in fact caused the plaintiff’s injury. The plaintiff would not have been injured “but for” their negligence, viewed globally. However, because each can point the finger at the other, it is impossible for the plaintiff to show on a balance of probabilities that any one of them in fact caused her injury. This is the impossibility of which *Cook* and the multiple employer mesothelioma cases speak.

[40] The cases that have dispensed with the usual requirement of “but for” causation in favour of a less onerous material contribution to risk approach are generally cases where, “but for” the negligent act of one or more of the defendants, the plaintiff would not have been injured. This excludes recovery where the injury “may very well be due to factors unconnected to the defendant and not the fault of anyone”: *Snell, per Sopinka J.*, at p. 327. The plaintiff effectively has established that the “but for” test, viewed globally, has been met. It is only when it is applied separately to each defendant that the “but for” test breaks down because it cannot be shown which of several negligent defendants actually launched the event that led to the injury. The plaintiff thus has shown negligence and a relationship of duty owed by each defendant, but faces failure on the “but for” test because it is “impossible,” in the sense just discussed, to show which act or acts were injurious. In such cases, each defendant who has contributed to the risk of the injury that occurred can be faulted.

[41] In these circumstances, permitting the plaintiff to succeed on a material contribution to risk basis meets the underlying goals of the law of negligence. Compensation for injury is achieved. Fairness is satisfied; the plaintiff has suffered a loss due to negligence, so it is fair that she turns to tort law for compensation. Further, each defendant failed to act with the care necessary to avoid potentially causing the plaintiff’s loss, and each may well have in fact caused the plaintiff’s loss. Deterrence is also furthered; potential tortfeasors will know that they cannot escape liability by pointing the finger at others. And these goals are furthered in a manner consistent with corrective justice; the deficit in the relationship between the plaintiff and the defendants viewed as a group that would exist if the plaintiff were denied recovery is corrected. The plaintiff has shown that she is in a correlative relationship of doer and sufferer of the same harm with the group of defendants as a whole, if not necessarily with each individual defendant.

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[43] It is important to reaffirm that in the usual case of multiple agents or actors, the traditional “but for” test still applies. The question, as discussed earlier, is whether the plaintiff has shown that one or more of the defendants’ negligence was a necessary cause of the injury. Degrees of fault are reflected in calculations made under contributory negligence legislation. By contrast, the material contribution to risk approach applies where “but for” causation cannot be proven against any of multiple defendants, all negligent in a manner that might have in fact caused the plaintiff’s injury, because each can use a “point the finger” strategy to preclude a finding of causation on a balance of probabilities.

[44] This is not to say that new situations will not raise new considerations. I leave for another day, for example, the scenario that might arise in mass toxic tort litigation with multiple plaintiffs, where it is established statistically that the defendant’s acts induced an injury on some members of the group, but it is impossible to know which ones.

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C. SUMMARY

[46] The foregoing discussion leads me to the following conclusions as to the present state of the law in Canada:

- (1) As a general rule, a plaintiff cannot succeed unless she shows as a matter of fact that she would not have suffered the loss "but for" the negligent act or acts of the defendant. A trial judge is to take a robust and pragmatic approach to determining if a plaintiff has established that the defendant's negligence caused her loss. Scientific proof of causation is not required.
- (2) Exceptionally, a plaintiff may succeed by showing that the defendant's conduct materially contributed to risk of the plaintiff's injury, where (a) the plaintiff has established that her loss would not have occurred "but for" the negligence of two or more tortfeasors, each possibly in fact responsible for the loss; and (b) the plaintiff, through no fault of her own, is unable to show that any one of the possible tortfeasors in fact was the necessary or "but for" cause of her injury, because each can point to one another as the possible "but for" cause of the injury, defeating a finding of causation on a balance of probabilities against anyone.

[McLACHLIN CJ ordered a new trial, because the trial judge had committed two errors: insisting that scientific precision was a necessary condition of finding "but for" causation, and applying a material contribution to risk test to a case that did not involve establishing which of several negligent defendants caused the injury.]

[LeBel J (Rothstein J concurring) agreed with McLachlin CJ's analysis of causation, but would have dismissed the action on the ground that the plaintiff had not proved causation.]

GREGG V SCOTT

[2005] 2 AC 176 (HL)

LORD NICHOLLS OF BIRKENHEAD (dissenting):

[1] My Lords, this appeal raises a question which has divided courts and commentators throughout the common law world. The division derives essentially from different perceptions of what constitutes injustice in a common form type of medical negligence case. Some believe a remedy is essential and that a principled ground for providing an appropriate remedy can be found. Others are not persuaded. I am in the former camp.

[2] This is the type of case under consideration. A patient is suffering from cancer. His prospects are uncertain. He has a 45% chance of recovery. Unfortunately his doctor negligently misdiagnoses his condition as benign. So the necessary treatment is delayed for months. As a result the patient's prospects of recovery become nil or almost nil. Has the patient a claim for damages against the doctor? No, the House was told. The patient could recover damages if his initial prospects of recovery had been more than 50%. But because they were less than 50% he can recover nothing.

[3] This surely cannot be the state of the law today. It would be irrational and indefensible. The loss of a 45% prospect of recovery is just as much a real loss for a patient as the loss of a 55% prospect of recovery. In both cases the doctor was in breach of his duty to his patient. In both cases the patient was worse off. He lost something of importance and value. But, it is said, in one case the patient has a remedy, in the other he does not.

[4] This would make no sort of sense. It would mean that in the 45% case the doctor's duty would be hollow. The duty would be empty of content. For the reasons which follow I reject this suggested distinction. The common law does not compel courts to proceed in such an unreal fashion. I would hold that a patient has a right to a remedy as much where his prospects of recovery were less than 50-50 as where they exceeded 50-50. ...

[5] First I must mention the salient facts of this appeal. These are not quite so straightforward or extreme as in the example just given. At the risk of over-simplification they can be summarised as follows. The defendant Dr Scott negligently diagnosed as innocuous a lump under the left arm of the claimant Mr Malcolm Gregg when in fact it was cancerous (non-Hodgkin's lymphoma). This led to nine months' delay in Mr Gregg receiving treatment. During this period his condition deteriorated by the disease spreading elsewhere. The deterioration in Mr Gregg's condition reduced his prospects of disease-free survival for ten years from 42%, when he first consulted Dr Scott, to 25% at the date of the trial. The judge found that, if treated promptly, Mr Gregg's initial treatment would probably have achieved remission without an immediate need for high dose chemotherapy. Prompt treatment would, at least initially, have prevented the cancer spreading to the left pectoral region.

[6] However, the judge found also that, although Mr Gregg's condition deteriorated and in consequence his prospects were reduced in this way, a better outcome was never a probability. It was not possible to conclude on the balance of probability that, in the absence of the negligence, Mr Gregg's medical condition would have been better or that he would have avoided any particular treatment. Before the negligence Mr Gregg had a less than evens chance (45%) of avoiding the deterioration in his condition which ultimately occurred. The delay did not extinguish this chance but reduced it by roughly half. The judge assessed this reduction at 20%. That was the extent to which the negligence reduced Mr Gregg's prospects of avoiding the deterioration in his condition which ultimately occurred.

• • •

[23] Enormous advances have been made in medical knowledge and skills in recent years, in this country and internationally. New and improved drugs and procedures make possible ever more alleviation of illnesses and injuries. But the outcome of medical treatment in any particular case remains beyond anyone's control. It is often a matter of considerable uncertainty, in some types of case more than others. Doctors cannot guarantee outcomes. Every person and his personal circumstances and history are different. The way some drugs work is not understood fully. The response of patients to treatment is not uniform, nor is it always predictable. Faced with a serious illness or injury doctors can often do no more than assess a patient's prospects of recovery. Limitations on human knowledge mean that, to greater or lesser extent, the prognosis for a patient is inherently uncertain. Indeed, sometimes the very diagnosis itself may be problematic.

[24] Given this uncertainty of outcome, the appropriate characterisation of a patient's loss in this type of case must surely be that it comprises the loss of the chance of a favourable outcome, rather than the loss of the outcome itself. Justice so requires, because this matches medical reality. This recognises what in practice a patient had before the doctor's negligence occurred. It recognises what in practice the patient lost by reason of that negligence. The doctor's negligence diminished the patient's prospects of recovery. And this analysis of a patient's loss accords with the purpose of the legal duty of which the doctor was in breach. In short, the purpose of the duty is to promote the patient's prospects of recovery by exercising due skill and care in diagnosing and treating the patient's condition.

[25] This approach also achieves a basic objective of the law of tort. The common law imposes duties and seeks to provide appropriate remedies in the event of a breach of duty. If negligent diagnosis or treatment diminishes a patient's prospects of recovery, a law which does not recognise this as a wrong calling for redress would be seriously deficient today. In respect of the doctors' breach of duty the law would not have provided an appropriate remedy. Of course, losing a chance of saving a leg is not the same as losing a leg: see Tony Weir, *Tort Law* (2002) p 76. But that is not a reason for declining to value the chance for whose loss the doctor was directly responsible. The law would rightly be open to reproach were it to provide a remedy if what is lost by a professional adviser's negligence is a financial opportunity or chance but refuse a remedy where what is lost by a doctor's negligence is the chance of health or even life itself. Justice requires that in the latter case as much as the former the loss of a chance should constitute actionable damage ...

...

[41] The question in the present ... type of case concerns how the law should proceed when, a patient's condition at the time of the negligence having been duly identified on the balance of probability with as much particularity as is reasonably possible, medical opinion is unable to say with a reasonable degree of certainty what the outcome would have been if the negligence had not occurred.

[42] In principle, the answer to this question is clear and compelling. In such cases, as in the economic "loss of chance" cases, the law should recognise the manifestly unsatisfactory consequences which would follow from adopting an all-or-nothing balance of probability approach as the answer to this question. The law should recognise that Mr Gregg's prospects of recovery had he been treated promptly, expressed in percentage terms of likelihood, represent the reality of his position so far as medical knowledge is concerned. The law should be exceedingly slow to disregard medical reality in the context of a legal duty whose very aim is to protect medical reality. In these cases a doctor's duty to act in the best interests of his patient involves maximising the patient's recovery prospects, and doing so whether the patient's prospects are good or not so good. In the event of a breach of this duty the law must fashion a matching and meaningful remedy. A patient should have an appropriate remedy when he loses the very thing it was the doctor's duty to protect. To this end the law should recognise the existence and loss of poor and indifferent prospects as well as those more favourable ...

...

[44] The way ahead must surely be to recognise that where a patient is suffering from illness or injury and his prospects of recovery are attended with a significant degree of medical uncertainty, and he suffers a significant diminution of his prospects of recovery by reason of medical negligence whether of diagnosis or treatment, that diminution constitutes actionable damage. This is so whether the patient's prospects immediately before the negligence exceeded or fell short of 50%. "Medical uncertainty" is uncertainty inherent in the patient's condition, uncertainty which medical opinion cannot resolve. This is to be contrasted with uncertainties arising solely from differences of view expressed by witnesses. Evidential uncertainties of this character should be resolved in the usual way.

[45] This approach would represent a development of the law. So be it. If the common law is to retain its legitimacy it must remain capable of development. It must recognise the great advances made in medical knowledge and skills. It must recognise also the medical uncertainties which still exist. The law must strive to achieve a result which is fair to both parties in present-day conditions. The common law's ability to develop in this way is its proudest boast. But the present state of the

law on this aspect of medical negligence, far from meeting present-day requirements of fairness, generates continuing instinctive judicial unease.

[46] The reason for this disquiet is not far to seek. The present state of the law is crude to an extent bordering on arbitrariness. It means that a patient with a 60% chance of recovery reduced to a 40% prospect by medical negligence can obtain compensation. But he can obtain nothing if his prospects were reduced from 40% to nil. This is rough justice indeed. By way of contrast, the approach set out above meets the perceived need for an appropriate remedy in both these situations and does no more than reflect fairly and rationally the loss suffered by a patient in these situations.

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BARONESS HALE OF RICHMOND:

[221] [I]t can be argued that an all or nothing approach to outcome based losses is unjust. If it is shown on the balance of probabilities that my doctor caused or failed to prevent my injury or disease, he has to pay 100% of what that injury or uncured disease is worth. But, as Joseph H King argues at (1981) 90 *Yale LJ* 1353 at 1387:

[B]y compensating the 95% chance as though it were 100%, courts overcompensate the plaintiff. Both types of chance should be valued in a way that reflects their probability of occurrence. Such an approach would also promote a more accurate loss allocation.

[222] The logic of this argument, however, is that personal injury law should transform itself. It should never be about outcomes but only about chances. It seems to me that this is the real problem we face in this case. How can the two live together?

[223] Until now, the gist of the action for personal injuries has been damage to the person. My negligence probably caused the loss of your leg: I pay you the full value of the loss of the leg (say £100,000). My negligence probably did not cause the loss of your leg. I do not pay you anything. Compare the loss of a chance approach: my negligence probably caused a reduction in the chance of your keeping that leg: I pay you the value of the loss of your leg, discounted by the chance that it would have happened anyway. If the chance of saving the leg was very good, say 90%, the claimant still gets only 90% of his damages, say £90,000. But if the chance of saving the leg was comparatively poor, say 20%, the claimant still gets £20,000. So the claimant ends up with less than full compensation even though his chances of a more favourable outcome were good. And the defendant ends up paying substantial sums even though the outcome is one for which by definition he cannot be shown to be responsible.

[224] Almost any claim for loss of an outcome could be reformulated as a claim for loss of a chance of that outcome. The implications of retaining them both as alternatives would be substantial. That is, the claimant still has the prospect of 100% recovery if he can show that it is more likely than not that the doctor's negligence caused the adverse outcome. But if he cannot show that, he also has the prospect of lesser recovery for loss of a chance. If ... it would in practice always be tempting to conclude that the doctor's negligence had affected his chances to some extent, the claimant would almost always get something. It would be a "heads you lose everything, tails I win something" situation. But why should the defendant not also be able to redefine the gist of the action if it suits him better?

[225] The appellant in this case accepts that the proportionate recovery effect must cut both ways. If the claim is characterised as loss of a chance, those with a better than evens chance would still only get a proportion of the full value of their claim. But I do not think that he accepts that the same would apply in cases where

the claim is characterised as loss of an outcome. In that case there is no basis for calculating the odds. If the two are alternatives available in every case, the defendant will almost always be liable for something. He will have lost the benefit of the 50% chance that causation cannot be proved. But if the two approaches cannot sensibly live together, the claimants who currently obtain full recovery on an adverse outcome basis might in future only achieve a proportionate recovery. This would surely be a case of two steps forward, three steps back for the great majority of straightforward personal injury cases. In either event, the expert evidence would have to be far more complex than it is at present. Negotiations and trials would be a great deal more difficult. Recovery would be much less predictable both for claimants and for defendants' liability insurers. There is no reason in principle why the change in approach should be limited to medical negligence. Whether or not the policy choice is between retaining the present definition of personal injury in outcome terms and redefining it in loss of opportunity terms, introducing the latter would cause far more problems in the general run of personal injury claims than the policy benefits are worth.

[226] Much of the discussion in the cases and literature has centred round cases where the adverse outcome has already happened. The patient has lost his leg. Did the doctor's negligence cause him to lose the leg? If not, did it reduce the chances of saving the leg? But in this case the most serious of the adverse outcomes has not yet happened, and (it is to be hoped) may never happen. The approach to causation should be the same for both past and future events. What, if anything, has the doctor's negligence caused in this case? We certainly do not know whether it has caused this outcome, because happily Mr Gregg has survived each of the significant milestones along the way. Can we even say that it reduced the chances of a successful outcome, given that Mr Gregg has turned out to be one of the successful minority at each milestone? ... Mr Gregg faced a risk of an adverse outcome which happily has not so far materialised, serious though the effects of his illness, treatment and prognosis have been. The complexities of attempting to introduce liability for the loss of a chance of a more favourable outcome in personal injury claims have driven me, not without regret, to conclude that it should not be done. ...

LORD HOFFMANN and LORD PHILLIPS also gave judgments in favour of the defendant. LORD HOPE dissented.

NOTES AND QUESTIONS

1. The issue whether there was liability for loss of a chance in a medical negligence case was dealt with by the Supreme Court of Canada, on appeal from the Quebec Court of Appeal, in *Laferrière v Lawson*, [1991] 1 SCR 541, 78 DLR (4th) 609. In that case, the defendant doctor in 1971 removed a lump from a patient's breast and diagnosed it as cancerous. However, he did not inform the patient of his diagnosis. The patient did not discover she had cancer until 1975. She died in 1978. There was no proof that informing the patient in 1971 would, on the balance of probabilities, have prevented her death. The plaintiff claimed that the doctor's failure to inform the patient prevented her from following up her condition and deprived her of the chance to benefit from proper medical treatment. After an extensive analysis of the civil law jurisprudence, Gonthier J dismissed the plaintiff's claim, concluding that "I do not feel that it is appropriate to focus on the degree of probability of success and to compensate accordingly; it is at least necessary that such a probability, or here, at most, a small possibility, translate into a concrete benefit for the patient which she can be said to have lost as a result of the doctor's fault."

2. In *Kaminsky v Hertz Corp*, 288 NW 2d 426 (Mich CA 1979), the plaintiff was injured by ice that flew off the top of a passing truck. The truck bore the distinctive yellow colour and the

logo of the defendant's rental vehicles. Because 10 percent of the trucks bearing this colour and logo were not owned by the defendant, the trial court granted summary judgment to the defendant. The Court of Appeals reversed:

We find ... that the Hertz color scheme and logo establish a *prima facie* showing of ownership or control sufficient to prevent a summary judgment. ... That responsibility, of course, is not absolute. The named firm may introduce evidence indicating lack of control or ownership. But such explanations are for the jury to evaluate and appraise in light of all the surrounding circumstances.

Do you agree?

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CHAPTER FIVE

DEFENCES

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The previous three chapters dealt with the defendant's wrongful act and with the link between that act and the plaintiff's injury. In breaching the standard of care, the defendant wrongfully creates an unreasonable risk. The requirement of cause in fact is satisfied if that risk materializes into harm to the plaintiff. Duty and remoteness are the concepts through which we examine whether the plaintiff is within the class of persons and whether the injury is within the class of consequences that leads us to consider the plaintiff's risk-creating act as wrongful.

In this chapter we move from what the defendant has done to what the plaintiff has done. Given that the elements of liability considered so far are present, what actions by the plaintiff might disqualify or limit his or her recovery, and thus constitute defences for the defendant? The common law has historically focused on three kinds of actions by the plaintiff: the plaintiff also might have been negligent (contributory negligence), the plaintiff might have voluntarily assumed the risk of injury, and the plaintiff may have been injured as a consequence of his or her own illegal act. A reflection of the antiquity of these last two ideas is their frequent formulation in Latin: *volenti non fit injuria* (no wrong occurs to one who wishes it) and *ex turpi cause non oritur actio* (no liability arises out of a base cause). However, as we shall see, these defences have been progressively limited and now have a very restricted scope.

I. CONTRIBUTORY NEGLIGENCE

BUTTERFIELD V FORRESTER

(1809), 103 ER 926 (KB)

This was an action on the case for obstructing a highway by means of which obstruction the plaintiff who was riding along the road, was thrown down with his horse and injured &c. At the trial before Bayley J at Derby it appeared that the defendant for the purpose of making some repairs to his house which was close by the roadside at one end of the town had put a pole across this part of the road, a free passage being left by another branch or street in the same direction. That the plaintiff left a public house not far distant from the place in question at 8 o'clock in the evening in August,

when they were just beginning to light candles, but while there was light enough left to discern the obstruction at 100 yards distance: and the witness, who proved this, said that if the plaintiff had not been riding very hard he might have observed and avoided it: the plaintiff however, who was riding violently, did not observe it, but rode against it, and fell with his horse and was much hurt in consequence of the accident; and there was no evidence of him being intoxicated at the time. On this evidence Bayley J directed the jury, that if a person riding with reasonable and ordinary care could have seen and avoided the obstruction; and if they were satisfied that the plaintiff was riding along the street extremely hard, and without ordinary care, they should find a verdict for the defendant; which they accordingly did. ...

BAYLEY J: The plaintiff was proved to be riding as fast as his horse could go, and this was through the streets of Derby. If he had used ordinary care he must have seen the obstruction; so that the accident appeared to happen entirely from his own fault.

LORD ELLENBOROUGH CJ: A party is not to cast himself upon an obstruction which has been made by the fault of another and avail himself of it, if he do not himself use common and ordinary caution to be in the right. In cases of persons riding upon what is considered to be the wrong side of the road that would not authorize another purposely to ride up against them. One person being in fault will not dispense with another using ordinary care for himself. Two things must concur to support this action, an obstruction in the road by the fault of the defendant, and no want of ordinary care to avoid it on the part of the plaintiff.

Per Curiam. Rule refused.

NOTES

1. *Davies v Mann* (1842), 10 M & W 546, 152 ER 588 (Ex Ct) restricted the contributory negligence defence, so that it did not apply to situations in which the plaintiff's negligence contributed to the injury but the defendant, who was also negligent, had what came to be called "the last clear chance" to avoid causing the injury. In *Davies v Mann*, the defendant's wagoner, "driving at a smartish pace," negligently ran over and killed the plaintiff's donkey. The defendant argued that the plaintiff was also negligent in that he had fettered the donkey's forefeet and turned it into the highway. The court found the defendant liable. Lord Abinger CB held that "as the defendant might, by proper care, have avoided injuring the animal, and did not, he is liable for the consequences of his negligence." Parke B similarly observed that "the Judge simply told the jury, that the mere fact of negligence on the part of the plaintiff in leaving his donkey on the public highway was no answer to the action, unless the donkey's being there was the immediate cause of the injury; and that, if they were of the opinion that it was caused by the fault of the defendant's servant in driving too fast ... the mere fact of putting the ass upon the road would not bar the plaintiff of his action. All that is perfectly correct; for, although the ass may have been wrongfully there, still the defendant was bound to go along the road at such a pace as would be likely to prevent mischief. Were this not so, a man might justify the driving over goods left on a public highway, or even over a man lying asleep there, or purposely running against a carriage going on the wrong side of the road." Gurney B and Rolfe B concurred.

2. Prosser, "Comparative Negligence" (1953) 41 Cal L Rev 1 at 3-4 assesses the arguments commonly advanced to justify the common law's contributory negligence rule as follows:

There has been much speculation as to why the rule thus declared found such ready acceptance in later decisions, both in England and in the United States. The explanations given by the courts themselves never have carried much conviction. Most of the decisions have talked about "proximate cause," saying that the plaintiff's negligence is an intervening,

insulating cause between the defendant's negligence and the injury. But this cannot be supported unless a meaning is assigned to proximate cause which is found nowhere else. If two automobiles collide and injure a bystander, the negligence of one driver is not held to be a superseding cause which relieves the other of liability; and there is no visible reason for any different conclusion when the action is by one driver against the other. It has been said that the defense has a penal basis, and is intended to punish the plaintiff for his own misconduct; or that the court will not aid one who is himself at fault, and he must come into court with clean hands. But this is no explanation of the many cases, particularly those of the last clear chance, in which a plaintiff clearly at fault is permitted to recover. It has been said that the rule is intended to discourage accidents, by denying recovery to those who fail to use proper care for their own safety; but the assumption that the speeding motorist is, or should be, meditating on the possible failure of a lawsuit for his possible injuries lacks all reality, and it is quite as reasonable to say that the rule promotes accidents by encouraging the negligent defendant. Probably the true explanation lies merely in the highly individualistic attitude of the common law of the early nineteenth century. The period of development of contributory negligence was that of the industrial revolution, and there is reason to think that the courts found in this defense, along with the concepts of duty and proximate cause, a convenient instrument of control over the jury, by which the liabilities of rapidly growing industry were curbed and kept within bounds.

3. Similarly, Fleming, *The Law of Torts*, 8th ed (Sydney: Law Book Co, 1992) at 269, explains that the contributory negligence defence "subsidised the growth of industrial and business enterprise by lightening the burden of compensation losses for accidents inevitably associated with a rapidly expanding economy and the faster and greater volume of transport." Compare Fleming's explanation of *Winterbottom v Wright*, excerpted in Chapter 3, Section I. On this hypothesis, how would one explain *Davies v Mann* (note 1 above)? Note that *Davies v Mann* and *Winterbottom v Wright* were decided within a few months of each other by an almost identical panel of the same court.

4. Bohlen, "Contributory Negligence" (1908) 21 Harv L Rev 233 at 254 connects the idea of contributory negligence to the relationship between the parties:

The development in the law of negligence of this idea was necessitated by the enormous growth of protective duties incident upon the extraordinary economic and mechanical changes taking place during the early part of the nineteenth century. A civilization in which the relations between individuals were few and simple, in the course of a few years, was turned into one in which individuals were thrown into a multitude of complex and novel associations. The extent of the social duties of one citizen to another became enormously enlarged. Unless each man was to be regarded as his brother's keeper, unless he was to be unduly burdened with the duty of practically insuring the world against the results of his conduct, it was necessary that the correlative duty of self-protection should be extended as a counterpoise and corrective. It was manifestly unfair that the whole burden of protective caution should be thrown on one of the two parties, or that any man should be required to take better care for others than such persons are bound to take of themselves. The duty of care for others manifestly should be no higher than the duty of self-protection. To hold otherwise would be to unduly burden business and enterprise, to make of those engaged therein the guardians of those apt to be affected by their operation, and at the same time to rob of self-reliance, and so enervate and emasculate and in effect pauperize the latter by accustoming them to look to others for protection and by removing from them all responsibility of their own safety. To hold that, where the only wrong alleged is the defendant's failure to take care for the plaintiff's safety, the plaintiff's own failure to protect himself debars him from recovery, is but a logical and legitimate extension of the conception underlying consent and voluntary assumption of risk—that the plaintiff can ask from others no higher respect for his rights than he himself pays to them.

NEGLIGENCE ACT

RSO 1990, c N.1

3. In any action for damages that is founded upon the fault or negligence of the defendant if fault or negligence is found on the part of the plaintiff that contributed to the damages the court shall apportion the damages in proportion to the degree of fault or negligence found against the parties respectively.

4. If it is not practicable to determine the respective degree of fault or negligence as between any parties to an action such parties shall be deemed to be equally at fault or negligent.

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6. In any action tried with a jury the degree of fault or negligence of the respective parties is a question of fact for the jury.

7. Where the damages are occasioned by the fault or negligence of more than one party the court has power to direct that the plaintiff shall bear some portion of the costs if the circumstances render this just.

NOTE

Posner, *Economic Analysis of Law*, 2nd ed (Boston: Little, Brown, 1977) at 123-24, sums up the economic implications of the common law rule and of its reform as follows:

Applied only to the defendant, the Hand formula would not always produce the efficient solution. Suppose that an accident cost (after discounting) of \$1,000 could be prevented by the defendant at a cost of \$100, but by the plaintiff at a cost of only \$50. The efficient solution is to make the plaintiff liable by refusing to allow him to recover damages from the defendant. If the defendant is liable, the plaintiff will have no incentive to take preventive measures (unless the damages to which he would be entitled would not fully compensate him for his injury), and the value maximizing solution to the accident problem will not be obtained.

The doctrine of contributory negligence is the law's answer to this problem. If the plaintiff could have prevented the accident at a cost lower than the discounted accident cost, he cannot recover. This takes care of the previous example. But suppose it is the plaintiff who can prevent the \$1000 accident at a cost of \$100, and the defendant at a cost of \$50. If the plaintiff is barred from recovery by the doctrine of contributory negligence, as the Hand formula, applied literally to the plaintiff, would require, the defendant will have no incentive to take what turns out to be the more efficient preventive measure.

Several states have replaced contributory negligence with a comparative negligence standard, whereby the plaintiff's damages are reduced by the percentage by which his own negligence contributed to the accident. This is not the correct economic standard either; in a case like the last one, it would result in the parties' spending more than the efficient amount on accident prevention. If the defendant in that case was fully liable for the accident, he would spend \$50 to prevent it and the plaintiff nothing, so the accident would be prevented at a cost of only \$50. But suppose he were liable for only two thirds, say, of the accident cost, because the plaintiff was also negligent (i.e., could also have prevented the accident at a cost, \$100, that was less than the accident cost). Being liable for a judgment of \$666.67, the defendant would still have an incentive to spend \$50 on accident prevention, while the plaintiff, since he must bear a cost of \$333.33 if an accident occurs, would have an incentive to spend to prevent the accident. The parties might therefore invest a total of \$100-150 in accident prevention, resulting in a \$100 increase in the cost of preventing the same accident; or they might invest nothing (either party, knowing that the other party had an incentive to prevent the accident, might, in reliance thereon, make no attempt to prevent it himself), resulting in an avoidable cost of \$950.

FROOM V BUTCHER

[1975] 3 All ER 520 (CA)

LORD DENNING MR:

1. THE FACTS

The Plaintiff, Mr. Harold Froom is the managing director of a firm of contractors. He lives in Hertfordshire and has a Jaguar motor car. On 19th November 1972 he was driving home from Southend with his wife beside him and his daughter behind. The car was fitted with seat belts for the front seats. But neither Froom nor his wife was wearing them. He gave this reason:

I do not personally like wearing seat belts. I have seen so many accidents on the road where if seat belts are worn then the said driver would never have got out of the vehicle that had been in the smash; and secondly, with a man of my age [he is 57] we do not have to go roaring around the countryside, we just stick to our normal speed.

On this day he driving along Gravel Lane, Chigwell. He was going carefully on his near side of the road at his normal speed of 30 to 35 miles an hour. There was a line of traffic coming in the opposite direction. Then a car pulled out to overtake. It was going fast on its wrong side. It struck Mr. Froom's car head-on. The driver was afterwards convicted of careless driving.

Mr. Froom and his wife and daughter were all injured. Mr. Froom was forced up against the steering column. He had a broken rib and bruises on his chest. He had abrasions on his head. He would probably have been saved from these injuries if he had worn a seat belt. He also had a broken finger, but the seat belt would not have saved that. These injuries were not at all severe. He was back at work next day. The judge assessed his general damages at £450. Mrs. Froom was also injured but the seat belt would not have saved her from them. The question that arises is whether Mr. Froom's damages are to be reduced because he was not wearing a seat belt. The judge held they were not. The defendant appeals to this court.

This is the first case to reach this court about seat belts. But there have been a dozen or more cases in the lower courts; and they have disclosed a remarkable conflict of opinion. Half the judges think that if a person does not wear a seat belt, he is guilty of contributory negligence and his damages ought to be reduced. The other half think that it is not contributory negligence and thus ought not to be reduced.

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4. THE CAUSE OF THE DAMAGE

In these seat belt cases the injured plaintiff is in no way to blame for the accident itself. Sometimes he is an innocent passenger sitting beside a negligent driver who goes off the road. At other times he is an innocent driver of one car which is run into by the bad driving of another car which pulls out on to its wrong side of the road. It may well be asked: why should the injured plaintiff have his damages reduced? The accident was solely caused by the negligent driving by the defendant. Sometimes outrageously bad driving. It should not lie in his mouth to say: "You ought to have been wearing a seat belt." That point of view was strongly expressed in *Smith v. Blackburn* by O'Connor J. He said:

The idea that the insurers of a grossly negligent driver should be relieved in any degree from paying what is proper compensation for injuries is an idea that offends ordinary decency. Until I am forced to do so by higher authority I will not so rule.

I do not think that is the correct approach. The question is not what was the cause of the accident. It is rather what was the cause of the damage. In most accidents on the road the bad driving, which causes the accident, also causes the ensuing damage. But in seat belt cases the cause of the accident is one thing. The cause of the damage is another. The accident is caused by the bad driving. The damage is caused in part by the bad driving of the defendant, and in part by the failure of the plaintiff to wear a seat belt. If the plaintiff was to blame in not wearing a seat belt, the damage is in part the result of his own fault. He must bear some share in the responsibility for the damage and his damages fall to be reduced to such extent as the court thinks just and equitable.

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5. THE SENSIBLE PRACTICE

It is compulsory for every motor car to be fitted with seat belts for the front seats. The regulations so provide. They apply to every motor car registered since 1st 1965. In the regulations seat belts are called, in cumbersome language "body-restraining seat belts." A "seat belt" is defined as "a belt intended to be worn by a person in a vehicle and designed to prevent or lessen injury to its wearer in the event of an accident to the vehicle. ..."

Seeing that it is compulsory to fit seat belts Parliament must have thought it sensible to wear them. But it did not make it compulsory for anyone to wear a seat belt. Everyone is free to wear it or not, as he pleases. Free in this sense, that if he does not wear it, he is free from any penalty from the magistrates. Free in the sense that anyone is free to run his head against a brick wall if he pleases. He can do it if he likes without being punished by the law. But it is not a sensible thing to do. It is his own fault; and he has only himself to thank for the consequences.

Much material has been put before us about the value of wearing a seat belt. It shows quite plainly that everyone in the front seats of a car should wear a seat belt. Not only on long trips, but also on short ones. Not only in the town, but also in the country. Not only when there is fog, but also when it is clear. Not only by fast drivers, but also by slow ones. Not only on motorways but also on side roads. On 15th November 1974 the Minister of Transport said in the House of Commons:

In 1973, 41,000 people were killed or seriously injured in the front seats of cars and light vans. I estimate that a thousand of these deaths and nearly 13,000 serious injuries could have been avoided by the wearing of seat belts. ... In a frontal crash the car stops very rapidly, but the occupants continue to move forward and strike the part of the car in front of them, frequently causing injuries to the head. Quite often they are ejected through the windscreen. Careful study of accident types and injuries led to the estimate that the risk of death or injury is reduced by 50% if a seat belt is worn.

This material confirms the provision of the Highway Code which contains this advice: "Fit seat belts in your car and make sure they are always used." This advice has been in the Highway Code since 1968, and should have been known to Mr. Froom at the time of his accident in November 1972.

The Road Traffic [Act] 1972 says that a failure to observe that provision does not render a person liable to criminal proceedings of any kind, but it can be relied on in civil proceedings as tending to establish or negative liability: see s 3-(5). Sir George Baker P in *Freeborn v. Thomas* made a comment on the provision about seat belts. He said: "[It] says nothing about passengers nor does it say 'You must always wear a

seat belt.' It is if anything, an exhortation to the driver or the owner." I think that Sir George Baker P construed the code too narrowly. The highway code is a guide for all persons who use the road. "Make sure they are always used" is sound advice, not only for drivers, but also for passengers.

The government's view is also plain. During the years 1972 to 1974 they spent £2½ million in advertisements telling people to wear seat belts. Very recently a bill was introduced into Parliament seeking to make it compulsory. In this respect England is following the example of Australia, where it has been compulsory for the last three or four years. The bill here has been delayed. So it will not be compulsory yet awhile. But, meanwhile, I think the judges should say plainly that it is the sensible practice for all drivers and passengers in front seats to wear seat belts whenever and wherever going by car. It is a wise precaution which everyone should take.

6. THE EFFECT OF FAILURE TO WEAR A SEAT BELT

(I) MAJORITY VERSUS MINORITY

Quite a lot of people however think differently about seat belts. Some are like Mr. Froom here. They think that they would be less likely to be injured if they were thrown clear than if they were strapped in. They would be wrong. The chances of injury are four times as great. Yet they believe it honestly and firmly. On this account Nield J thought they should not bear any responsibility. He recognised that such persons are in a minority but he thought that proper respect should be paid to the minority view. He said:

I do not feel that the courts are justified in invading the freedom of choice of the motorist by holding it to be negligence, lack of care or fault to act on an opinion firmly and honestly held and shared by many other sensible people.

I am afraid I do not agree. In determining responsibility, the law eliminates the personal equation. It takes no notice of the views of the particular individual; or of others like him. It requires everyone to exercise all such precautions as a man of ordinary prudence would observe: see *Vaughan v. Menlove* ...

(II) THE HIGH RISK ARGUMENT

Other people take the view that the risk of an accident is so remote that it is not necessary to wear a seat belt on all occasions; but only when there are circumstances which carry a high risk, for example, driving on a motorway in conditions of fog, ice or snow; or engaging in road racing activities. This view was forcibly expressed by Shaw J in *Challoner v. Williams*; by O'Connor J in *Smith v. Blackburn*; and by Stocker J in *Chapman v. Ward*. I cannot accept this view either. You never know when a risk may arise. It often happens suddenly and when least anticipated, when there is no time to fasten the seat belt. Besides, it is easy to forget when only done occasionally. But, done regularly, it becomes automatic. Every time that a car goes out on the road there is the risk of an accident. Not that you yourself will be negligent. But that someone else will be. That is a possibility which a prudent man should, and will, guard against. He should always, if he is wise, wear a seat belt.

(III) MERE FORGETFULNESS

Lastly, there are many people who do not wear their seat belts, simply through forgetfulness or inadvertence or thoughtlessness. Their fault is far less serious than that

of the negligent driver who causes an accident. Some judges have expressed themselves strongly about this. In *Freeborn v. Thomas* Sir George Baker P said:

Looking as an ordinary mortal at the drivers of cars, the vast majority do not wear their seat belts. Must this court say that the unfortunate plaintiff, having forgotten to put on a seat belt, was negligent because she failed to do that which so many others do not do? I think not, and will not.

I am afraid I cannot share this view. The case for wearing seat belts is so strong that I do not think the laws can admit forgetfulness as an excuse. If it was everyone would say: "Oh I forgot." In order to bring home the importance of wearing seat belts, the law should say that a person who fails to wear it must share some responsibility for the damages.

Thus far I have spoken only of the ordinary run of cases. There are, of course, exceptions. A man who is unduly fat or a woman who is pregnant must be excused because, if there is an accident, the strap across the abdomen may do more harm than good. But, apart from such cases, in the ordinary way a person who fails to wear a seat belt should accept some share of responsibility for the damage—if it could have been prevented or lessened by wearing it.

7. THE SHARE OF RESPONSIBILITY

Whenever there is an accident, the negligent driver must bear by far the greater share of responsibility. It was his negligence which caused the accident. It also was a prime cause of the whole of the damage. But insofar as the damage might have been avoided or lessened by wearing a seat belt, the injured person must bear some share. But how much should this be? Is it proper to enquire whether the driver was grossly negligent or only slightly negligent? or whether the failure to wear a seat belt was entirely inexcusable or almost forgivable? If such an enquiry could easily be undertaken, it might be as well to do it. In *Davies v. Swan Motor Co* we saw that consideration should be given not only to the causative potency of a particular factor, but also its blameworthiness. But we live in a practical world. In most of these cases the liability of the driver is admitted: the failure to wear a seat belt is admitted; the only question is: what damages should be payable? This question should not be prolonged by an expensive enquiry into the degree of blameworthiness on either side, which would be hotly disputed. Suffice it to assess a share of responsibility which will be just and equitable in the great majority of cases.

Sometimes the evidence will show that the failure made no difference. The damage would have been the same, even if a seat belt had been worn. In such cases the damages should not be reduced at all. At other times the evidence will show that the failure made all the difference. The damage would have been prevented altogether if a seat belt had been worn. In such cases I would suggest that the damages should be reduced by 25 per cent. But often enough the evidence will only show that the failure made a considerable difference. Some injuries to the head, for instance, would have been a good deal less severe if a seat belt had been worn, but there would still have been some injury to the head. In such case I would suggest that the damages attributable to the failure to wear a seat belt should be reduced by 15 per cent.

8. CONCLUSION

Everyone knows, or ought to know, that when he goes out in a car he should fasten the seat belt. It is so well known that it goes without saying, not only for the driver, but also the passenger. If either the driver or the passenger fails to wear it and an

accident happens and the injuries would have been prevented or lessened if he had worn it then his damages should be reduced. Under the highway code a driver may have a duty to invite his passenger to fasten his seat belt, but adult passengers possessed of their faculties should not need telling what to do. If such passengers do not fasten their seat belts, their own lack of care for their own safety may be the cause of their injuries. In the present case the injuries to the head and chest would have been prevented by the wearing of a seat belt and the damages on that account might be reduced by 15 per cent. The finger would have been broken anyway and the damages for it not reduced at all. Overall the judge suggested 10 per cent and Mr Froom has made no objection to it. So I would not interfere.

I would allow the appeal and reduce the damages by £100.

LAWTON LJ: I agree.

SCARMAN LJ: I agree.

NOTES

1. In *Galaske v O'Donnell*, [1994] 1 SCR 670, the plaintiff, an eight-year-old boy, was being driven, along with his father, in the front seat of the defendant's truck. Neither the plaintiff nor his father fastened their seat belts, and the defendant did not suggest that they do so because he did not want to usurp the father's authority. Through no fault of the defendant, the truck was struck by another vehicle, with the result that the plaintiff was severely injured and his father was killed. Neither of them would have been injured if they had worn their seat belts. Corey J referred to Lord Denning's reasons in *Froom v Butcher* as "sensible and compelling" and observed that "[t]he courts in this country have consistently deducted from 5% to 25% from claims for damages for personal injuries on the grounds that the victims were contributorily negligent for not wearing their seat-belts. This has been done whenever it has been demonstrated that the injuries would have been reduced if the belts had in fact been worn." He held that the driver, as the person in control, is under a duty to take reasonable steps to provide for the safety of passengers not only by driving safely but also by ensuring that young passengers wear their seat belts. This duty is not negated by the presence of a parent, which "does no more than indicate that the duty of care or responsibility towards the child may be shared by both the parent and the driver."

2. Klar, *Tort Law*, 5th ed (Toronto: Carswell, 2012) at 549-54, sums up the Canadian jurisprudence on seat belts as follows:

A plaintiff's failure to use a safety device, particularly a car's seat belt, has been raised by defendants as an item of contributory negligence on numerous occasions. The essence of the argument is that the plaintiff's failure to employ the device was unreasonable, and that this unreasonable conduct was a contributing cause of the plaintiff's injuries. As noted above, the fact that the failure did not contribute to the accident itself is not relevant in so far as the defence of contributory negligence is concerned.

One can summarize the following conclusions which emerge from the numerous seat belt cases:

- (1) A plaintiff's failure to employ a seat belt may or may not be unreasonable, depending upon the circumstances. Although it is generally held to be unreasonable conduct not to wear an available seat belt, or not to use a seat belt or other safety device in the appropriate way, this is not always the case. Some judges continue to reject the seat belt defence based on the philosophy that it is the negligent driver and not the passenger who ought to bear full responsibility for the accident and the consequent injuries. Other courts, while not denying the theoretical validity of the argument, reject

the defence because of a lack of evidence that the plaintiff's injuries were actually worsened by the failure to employ a seat belt. One must also recall that the failure to employ the safety device must have been unreasonable. Excuses are permitted, although it has been held by one court that once a defendant has proved that the plaintiff failed to wear a seat belt and that this failure was a contributing factor to the injuries, the onus of establishing an acceptable excuse falls upon the plaintiff. The courts have accepted as excuses the fact that a plaintiff was an asthmatic who believed that wearing a seat belt would detrimentally affect her asthma, the fact it was a "fine day for driving," "the road was straight and in good condition for driving," "traffic was not heavy," and the driver was "cautious," the fact that it was a short drive and the plaintiff did not foresee the risk, and the fact that the plaintiff found the shoulder part of the belt uncomfortable. ...

- (2) The failure to employ the safety device must have been a causal factor in the plaintiff's injuries. Although, theoretically, courts ought to isolate the injuries that the plaintiff would have received even had a seat belt been worn from those that were contributed to by the plaintiff's failure to have worn a seat belt, and only then apply the plaintiff's contributory negligence reduction to the latter injuries, as a practical matter this is a difficult task. Courts simplify the matter by applying a percentage reduction to the plaintiff's global damage award. ...
- (3) The fact that the plaintiff's failure to employ a safety device was, or was not, in breach of a legislative provision cannot conclusively determine the contributory negligence issue. There are obviously many unreasonable acts which courts consider to constitute contributory negligence which are not legislatively prohibited. It is thus clearly incorrect for a court to decide that since the failure to employ the safety device was not a statutory offence, it cannot constitute contributory negligence. As discussed previously, however, a statutory duty to wear a seat belt creates a useful standard of conduct which courts may adopt in setting a standard of reasonable care in tort actions. Since all Canadian provinces have legislation requiring the use of seat belts in certain conditions, it is now even more likely that the failure to employ them will constitute contributory negligence.
- (4) The failure of parents or drivers to ensure that young children are secured in a seat belt or car seat may be negligent conduct. This may be so whether or not there is legislation requiring drivers or parents to ensure that young passengers are properly protected. A parent or driver can be third parties by other defendants involved in the accident, and be required to contribute to the injured child's damages. In *Migliore v. Gerard*, the court, while accepting the argument, relieved the parents of liability on the basis of the accepted standard of care by parents generally in the community in 1981.

3. Posner, "The Economic Approach to Law" (1975) 53 Tex L Rev 757 at 762, observes:

It may be argued that if economic theory only involves exploring the implications of assuming that people behave rationally, then lawyers can apply the theory perfectly well without the help of specialists. In this view, the economic approach to law just supplied a novel and confusing vocabulary in which to describe the familiar analytical activities of the lawyer. There is indeed a good deal of implicit economic analysis in legal thought—a point to which I shall return—and a good deal of economic theory does consist of elegantly formalizing the obvious and the trivial. But it is not true that all of the useful parts of economic theory are intuitively obvious to the intelligent lawyer. The logic of rational maximization is subtle, frequently complex, and very often counterintuitive. That is why the level of public discussion of economic policy is so low, and why the application of economics to law is more than the translation of the conventional wisdom of academic lawyers into a different jargon.

In a footnote, Posner illustrates the counterintuitive character of economic analysis by reference to seat-belt regulation:

Sam Peltzman's recent study of the effects of automobile safety regulations provides a good example. Peltzman, *The Regulation of Automobile Safety* (forthcoming in *J Pol. Econ.*). Intuitively, it seems obvious that a technically sound and reasonably well-enforced seat-belt requirement would reduce the number of deaths and injuries from automobile accidents. But as Peltzman shows, this intuition is unsound. By increasing the driver's safety, the seat belt, if used, reduces the cost of fast driving, which should, according to economic theory, lead to an increase in driving speed and therefore in the number of accidents, possibly offsetting the beneficial effect of the seat-belt requirement in reducing injuries to drivers and other vehicle occupants. In particular, there should be a sharp increase in pedestrian injuries, since their number will increase with faster driving and there is no offsetting effect from seat-belt protection. Peltzman's study found, as his analysis predicted, a relative increase in pedestrian injuries and in automobile deaths and injuries due to the seat-belt requirement. The economic theory that underlies his study is straightforward, but it is unlikely that a noneconomist would have reasoned to a similar conclusion.

ATYIAH, ACCIDENTS, COMPENSATION AND THE LAW, 2ND ED

(London: Weidenfeld and Nicolson, 1975) at 135-39

In the first place, the relationship between negligence and contributory negligence in practice is not always fully appreciated. At first sight it appears to be a sort of mirror image of negligence itself. There is an apparently satisfying balance in the idea of the negligence of the defendant being counterpoised by the negligence of the plaintiff. But in modern times it must be appreciated that the effect of a finding of contributory negligence is very different from the effect of a finding of negligence. To find a defendant guilty of negligence shifts a loss away from the plaintiff, and spreads it by means of insurance or other processes. But a finding of contributory negligence has precisely the opposite effect. Its effect is to leave part or all of the loss on the plaintiff. Thus, contributory negligence falls much more heavily on the plaintiff than negligence falls on the defendant. Negligent people do not pay for the consequences of their negligence in practice; but contributorily negligent people do pay for the consequences of their contributory negligence. It is not too much to say that the only significant group of people who are called upon to pay for the consequences of their negligence are accident victims themselves. ...

Even though the principle of reducing damages for contributory negligence may appear to be based on a simple moral idea, the principle according to which the plaintiff's damages are reduced is far from obvious or straightforward. The plaintiff's damages will be reduced, having regard not just to the degree of his fault, not just according to whether he has been slightly or grossly at fault, but according to his fault *relative* to that of the defendant. In addition, just as the amount of compensation which a negligent defendant must pay bears no relation to the degree of his fault where he alone is to blame, so also the amount of his loss which the plaintiff must bear where he is partly to blame depends not just on the extent of his fault but also on the extent of the loss itself. Let us consider how all this works with a few simple illustrations.

First: a plaintiff who is 50% to blame for an accident in which he suffers a loss assessed at £100, will lose £50 as a result of his negligence. But a plaintiff who is a mere 10% to blame for an accident in which his loss is assessed at £10,000 will lose £1,000 as a result of his negligence.

Second: a motorist who commits a trivial act of negligence and whose loss is assessed at, say, £1,000 will be held perhaps 10% to blame and so recover £900 if he

collides with a defendant who is driving with gross negligence, while he may be held 50% to blame and so recover only £500 if he collides with a motorist who has merely committed the same mistake as he himself. Yet his own act of negligence is precisely the same in the two cases. ...

Finally, and perhaps most serious of all, the combination of the contributory negligence principle with the no-liability-without-fault principle produces the result that a person injured without fault on the part of anyone receives no tort compensation, whereas a person who may be very largely to blame for his injuries, can receive some tort compensation. Two workmen may be working side by side in the factory and both may be severely injured, with losses assessed at, say, £100,000 each. Workman A is injured by gross negligence on his own part and slight negligence on the part of a colleague working with him. He recovers perhaps 20% of his loss i.e. £20,000, not of course from the negligent man, but from his employer, or his employer's insurers. Workman B, on the other hand, is injured entirely by "accident." He receives not a penny in tort compensation. ...

The truth is that in personal injury claims the doctrine of contributory negligence appears today to serve no legitimate purpose. It is no longer needed (if it ever was) to spare an individual defendant the injustice of being made to compensate a plaintiff who was partly to blame for his own injuries. It operates, in fact, as a frankly penal device: the contributorily negligent plaintiff is simply punished by being deprived of some of the compensation to which he would otherwise be entitled, and the extent of the penalty is largely regulated by quite fortuitous factors. In addition to doubts about how the doctrine works there are doubts about its objective. Today penal laws are invariably justified on the grounds of their deterrent value, but it is very doubtful if the doctrine of contributory negligence has any deterrent value at all in personal injury cases, or whether, indeed, any legal deterrent is needed to prevent people from injuring themselves. ...

Nevertheless, so long as the tort system retains anything like its present structure it would certainly be undesirable to abrogate the defence of contributory negligence in relation to property damage. If the doctrine were swept away altogether it would mean that in many road accidents in which two motorists cause damage to their vehicles by their combined negligence, each would be entitled to claim in full from the other. Such a result might be acceptable in a personal injury claim, but if applied to all cases of damage to the vehicles themselves it would result in a considerable and wasteful use of tort liability and liability insurance rather than the personal accident insurance of the vehicle owner. With damage-only accidents some six or seven times as frequent as personal injury accidents, this would undoubtedly increase the cost of motor insurance by adding to the administrative cost.

II. VOLUNTARY ASSUMPTION OF RISK

DUBE V LABAR

[1986] 1 SCR 649

ESTEY J (MCINTYRE, CHOUINARD, and LE DAIN JJ concurring): ... This is an appeal from the decision of the Court of Appeal for the Yukon Territory dismissing the plaintiff's appeal from a jury verdict barring his negligence claim by operation of the principle, *volenti non fit injuria*. It also concerns the appellate court's deference to

the verdict of a jury. The appellant (plaintiff) and respondent (defendant), co-workers at a construction site, became acquainted shortly before the car accident giving rise to the action occurred. The night before the accident, the parties had participated in an evening of drinking and partying in Haines Junction, a town close to the construction camp where both lived. The morning of the accident, drinking was resumed early. The parties decided to retrieve the respondent's car, which had become stuck on the way home the night before, and then drive into Haines Junction to retrieve the appellant's eye glasses and try to find two young women whom they had met the previous night. On their arrival in Haines Junction, the appellant and respondent each consumed more alcohol. They left the bar, found the two women, and drove them approximately 50 or 60 miles toward Whitehorse at their request. Having dropped the women off, the parties started back to Haines Junction. The appellant had been driving throughout. The respondent, while a passenger, had apparently been drinking beer in the car. At some point on the return trip, the parties passed two hitchhikers, and decided to stop to pick them up. When the appellant tried to start the car again, he was unable to do so, and the respondent got into the driver's seat and started the car. At about this time, the appellant saw some friends passing in another vehicle and, when they stopped, went to talk to them. He returned to the car and went to the driver's side, but the respondent was still in the driver's seat. In a short exchange, the respondent said that he was capable of driving. The appellant then got into the car as a passenger.

The accident occurred very shortly thereafter. The respondent, while driving, turned to speak to the hitchhiker sitting in the back seat. As he did so, the car veered to the right. The appellant, according to the testimony of the other hitchhiker who was seated on the front seat between the appellant and the respondent, attempted to grab the wheel and straighten out the car's course. The respondent's attempts at correction resulted, eventually, in the car's overturning on the right-hand embankment, causing personal injuries to the appellant. Samples of the respondent's breath later registered at .25 and .24 in tests administered by the police.

At trial, without objection from the parties, only two defences, *volenti non fit injuria* and contributory negligence, were put to the jury. [The questions to the jury that pertained to voluntary assumption of risk were:

Did the Plaintiff Gregory Dube expressly or impliedly absolve the Defendant Robert Labar from liability for negligence? Answer: Yes

If your answer... is "yes" of what did such absolution consist? Answer: By willingly assuming the role of passenger in the Labar vehicle with Labar as the operator while knowing his state of impairment.]

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The plaintiff's appeal to this court was argued on the basis that the defence of *volenti* is inapplicable to a case involving negligence on the highways. This submission is plainly inconsistent with four decisions of this court: *Car & Gen. Ins. Corp. v. Seymour*, [1956] SCR 329, 9 DLR (2d) 369 [NS]; *Miller v. Decker*, [1957] SCR 624, 9 DLR (2d) 1 [BC]; *Lehnert v. Stein*, [1963] SCR 38, 40 WWR 616, 36 DLR (2d) 159 [Man.]; and *Eid v. Dumas*, [1969] SCR 665, 5 DLR (3d) 561, 1 NBR (2d) 445. However, while acknowledging that *volenti* is in principle available to a defendant driver, these cases establish that the defence will only be made out in unusual circumstances. The test has been variously described. In the *Seymour* case, Rand J wrote at p. 324:

In such commitments the question ought, I think, rather to be, can the defendant reasonably be heard to say, as an inference from the facts, that the risk of injury from his own misconduct was required by him to be and was accepted by the complainant as such a term [of the undertaking]?

Rand J conceived of *volenti* as a bilateral “exchange of terms” governing the activity in which the parties were engaged. Abbott J, dissenting in the *Miller* case, accurately paraphrased (at p. 626) the test set out by Kellock J in *Seymour*, at p. 332:

For a negligent driver to be completely relieved from liability, the plaintiff must have agreed expressly or by implication to exempt the defendant from liability for damages suffered by the plaintiff and occasioned by the negligence of the defendant during the carrying out of the latter's undertaking. In other words, to constitute a defence there must have been an express or implied bargain between the parties whereby the plaintiff gave up his right of action for negligence. As was pointed out by Kellock J at p. 331, the question in each particular case is, in the language of Lindley LJ in *Yarmouth v. France* [(1887), 19 QBD 647, at p. 660], “not simply whether the plaintiff knew of the risk, but whether the circumstances are such as necessarily to lead to the conclusion that the whole risk was voluntarily incurred by the plaintiff.”

Finally, in *Lehnert v. Stein*, Cartwright J held (at p. 43) that:

... where a driver of a motor vehicle invokes the maxim *volenti non fit injuria* as a defence to an action for damages for injuries caused by his negligence to a passenger, the burden lies upon the defendant of proving that the plaintiff, expressly or by necessary implication, agreed to exempt the defendant from liability for any damage suffered by the plaintiff occasioned by that negligence, and that, as stated in *Salmond on Torts*, 13th ed., p. 44:

The true question in every case is: Did the plaintiff give a real consent to the assumption of the risk without compensation: did the consent really absolve the defendant from the duty to take care?

Thus, *volenti* will arise only where the circumstances are such that it is clear that the plaintiff, knowing of the virtually certain risk of harm, in essence bargained away his right to sue for injuries incurred as a result of any negligence on the defendant's part. The acceptance of risk may be express or may arise by necessary implication from the conduct of the parties, but it will arise, in cases such as the present, only where there can truly be said to be an understanding on the part of both parties that the defendant assumed no responsibility to take due care for the safety of the plaintiff, and that the plaintiff did not expect him to.

Common sense dictates that only rarely will a plaintiff genuinely consent to accept the risk of the defendant's negligence. Glanville Williams wrote in *Joint Torts and Contributory Negligence* (1951), at pp. 307-308, that:

... the defence must be restrictively construed and ... rarely applies in negligence actions. In almost every negligence action of modern times where the defence of *volens* has been raised it has failed. This is because the cases in which a person truly consents to run the risk of another's negligence are altogether exceptional.

He then drew [at 308] the following conclusions as to the nature of the defence, which were expressly adopted by this court in *Lehnert v. Stein* and in *Eid v. Dumas*:

It is submitted that the key to an understanding of the true scope of the *volens* maxim lies in drawing a distinction between what may be called physical and legal risk. Physical risk is the risk of damage in fact; legal risk is the risk of damage in fact for which there will be no redress in law. ... To put this in general terms, the defence of *volens* does not apply where as a result of a mental process the plaintiff decides to take a chance but there is nothing in his conduct to show a waiver of the right of action communicated to the other party. To constitute a defence, there must

have been an express or implied bargain between the parties whereby the plaintiff gave up his right of action for negligence.

The example given by Glanville Williams ... of a person who, knowing that road traffic accidents regularly occur, nevertheless decides to go for a walk along a road-side and thereby runs the risk that he may be run down, illustrates the nature of the distinction. That person could not reasonably be seen to have assumed the risk in the manner required to support the defence of *volenti*. To permit the defence to succeed on facts showing merely that the plaintiff knew of the risk and yet chose to undergo it is inconsistent with the decisions of this court, *supra*, which require not merely knowledge, but express or necessarily implied acceptance of the risk of harm without recourse to law by the plaintiff, along with an inference that the defendant for his part, took no responsibility for the plaintiff's safety.

The defence of *volenti* will, furthermore, necessarily be inapplicable in the great majority of drunken driver – willing passenger cases. It requires an awareness of the circumstances and the consequences of action that are rarely present on the facts of such cases at the relevant time.

[Estey J then stated that, although the manner in which the trial judge had put the defences of *volenti* and contributory negligence to the jury had been misleading and confusing, the responses given by the jury to a series of written questions they had been asked to answer, and in which they had found that the plaintiff had been contributorily negligent and had absolved the defendant from negligence, indicated that they had not in fact been confused. He therefore dismissed the appeal.]

WILSON J gave a concurring opinion.

NOTE

In *Crocker v Sundance Northwest Resorts*, [1988] 1 SCR 1186, Wilson J observed that “since the *volenti* defence is a complete bar to recovery and therefore anomalous in an age of apportionment, the courts have tightly circumscribed its scope. It applies only in situations where the plaintiff has assumed both the physical and the legal risk involved in the activity.”

PRIESTLEY V GILBERT (1973), 40 DLR (3d) 349 (Ont CA)

SCHROEDER JA: The plaintiff appeals from a judgment pronounced by the Honourable Mr. Justice Osler sitting without a jury on May 26, 1972, whereby the plaintiff's action was dismissed on the ground that the defence based on the maxim *volenti non fit in injuria* was entitled to prevail.

The action arose out of a motor accident which occurred on November 15, 1969, in the Town of Strathroy, while the plaintiff was a passenger in the defendant Gilbert's automobile. The collision occurred when the defendant, who was in an advanced state of intoxication, drove his motor vehicle on the wrong side of the road and collided head on with a vehicle approaching from the opposite direction killing both occupants of the other vehicle and causing severe injuries to the plaintiff. The only issue raised on this appeal is whether or not the maxim was properly applied by the trial Judge, for it is common ground that the defendant Gilbert was guilty of gross negligence.

After detailing the facts as to the conduct of the plaintiff and the defendant Gilbert on the day in question, tracing their movements from the first drinking which they

did together in the morning at a drug-store where the plaintiff was doing some carpentry work and from that point to their visits to two veterans' Legion Clubs and their conduct thereafter to the time of the accident, the learned trial Judge, in discussing the defence based on the maxim, continued as follows [[1972] 3 OR 501 at 505, 28 DLR (3d) 553 at 557]:

It was put strongly to me that Mr. Priestly in the circumstances was *volens*, and could not be heard to say that Mr. Gilbert was answerable in damages for what occurred. I accept this submission. While it may appear superficially difficult to reconcile the cases in which this doctrine has been discussed in the Supreme Court of Canada and elsewhere, it was pointed out by Cartwright J as he then was, in *Lehnert v. Stein*, [1963] SCR 38, 36 DLR (2d) 859, 40 WWR 616, that one must determine on the facts of each case whether or not, when this defence is raised, a plaintiff can be found to have accepted not only the physical risk involved, but also the legal risk of injury and damage. In the circumstances of the present case I find that at least by the time Priestly and Gilbert repaired to the Legion Hall in Ailsa Craig, they had clearly decided to divert themselves with drinking in the presence and companionship of each other, and that Priestly was quite prepared to accept any risks involved in the operation of his motor vehicle by Gilbert during the course of their time together. It was put to him in cross-examination on more than one occasion that he recognized that a risk would arise if Gilbert became impaired through the consumption of alcohol, and he agreed that he did so, though stating that he had not reached the conclusion at any time that Gilbert had become impaired or that his ability to drive had become lessened. While this may not have been apparent to Priestly, I find, as I have stated, that on the facts of this case he fully accepted the risk that this would happen. One of the more likely results having actually occurred, he cannot now be heard to say that Gilbert must bear the consequences. ...

In effect, the learned trial Judge found that the plaintiff and the defendant had set out upon a joint venture which the plaintiff knew or should have known would endanger life and limb, and that he voluntarily accepted the risk of personal injury involved.

On the facts and circumstances disclosed by the record it appears to us that the plaintiff must be taken by implication to have consented to the physical and legal risk of injury involved. This may be inferred from the joint venture undertaken by these friends of long standing, involving, as it did, the consumption by them of copious quantities of spirits and beer and the driving of his motor vehicle by the respondent Gilbert when he might, as he did, become hopelessly intoxicated and grossly impaired. The facts of the present case are closely related and bear a striking resemblance to the facts in *Miller v. Decker*, *supra*.

It was urged by counsel for the appellant that at the crucial time his client was in a mental state which disabled him from appreciating the nature and extent of the risk which he was about to incur. That contention, however, has, in our view, been decisively answered in the reasons of the Honourable Mr. Justice Rand in *Miller v. Decker*, at p. 630 SCR, p. 3 DLR, from which I quote in part as follows.

As between themselves there is no doubt of what would have been required by Decker in the interchange that is to be constructed between these young men as they sat down at the beer table to begin "to make an evening of it." That he would have required the other two to assume the risks all were able to foresee and would have participated in creating, to take the same risks that he was taking, is unquestionable. The conditions then existing, their inevitable development, and the obvious hazards were theirs equally and jointly; and one can imagine the reasonable response of Decker, had his mind still been clear enough, if either of them had

let fall a suggestion that he would be responsible for their safety—they would have been told to get into another car.

I emphasize the words of the paragraph immediately following:

It is equally clear that Miller is to be taken to have accepted that requirement. This would have been obvious if he had remained sober and in command of his faculties—and having, by his voluntary acts, co-operated in creating and placing himself in the midst of the mounting dangers, his intoxication does not qualify his acceptance.

While one cannot help but feel sympathy for a plaintiff who has been so grievously injured, nevertheless, the case is one which pre-eminently calls for the application of the maxim. It follows that the appeal is dismissed with costs (if demanded).

NOTE

Another case in which the defence was successful was *Birch v Thomas*, [1972] 1 All ER 905 (CA). There, the 19-year-old defendant was unable to get insurance against passenger liability and therefore, on the advice of his insurance company, placed a sticker that read “passengers ride at their own risk and on the condition that no claims shall be made against the driver or owner” on the inside of the windshield on the passenger’s side. The Court of Appeal accepted the lower court’s finding that before entering the car, the plaintiff was told by the defendant that he was not insured against passenger liability. The plaintiff nonetheless chose to ride in the car rather than in a less comfortable van. When the plaintiff was in the car, the defendant pointed to the sticker, saying that the sticker had to do with insurance. A serious car accident ensued, due to the defendant’s admitted negligence, in which the plaintiff suffered severe head injuries and amnesia. On the basis of the defendant’s testimony, the Court of Appeal assumed that it could not be inferred that the plaintiff had actually read the notice. Nevertheless, the court held that, in light of the words spoken to the plaintiff, the plaintiff had agreed to the exemption from liability. The statement about the absence of insurance was equal to a statement that the passenger rode at his own risk: Everyone nowadays knows that, if injured in a car accident, one could recover only if the defendant was insured and that, in any case, one would not recover when the driver was only 19 years old with no visible assets. The plaintiff had assumed the risk of precisely the kind of injury that occurred and therefore could not recover.

III. ILLEGALITY

HALL V HEBERT

[1993] 2 SCR 159, 101 DLR (4th) 129

CORY J: ... The respondent Hebert owned what he described as a souped-up muscle car. He had driven it at speeds in excess of 200 km/hr. No doubt it exuded a compelling seductive charm that would attract young men of all ages. On a Friday evening, in July of 1986, the respondent drove his car to a party. The appellant Hall, who was known to the respondent, was also invited. He walked over from his residence to join the festivities, and had every intention of walking home when the party was over.

The respondent Hebert drove his girl-friend home about midnight. She testified that he did not appear to be drunk at that time. Hebert then returned to the party, with a case of beer in the trunk of his car. There is no doubt that Hebert consumed several beers at the party. He knew that the appellant had consumed at least eight or

nine beers by the time the party was breaking up around 1:30 a.m. In any event, the respondent invited the appellant to join him. The two young men then drove to a baseball field. There the respondent brought out six bottles of beer from the trunk of the car and shared these with the appellant.

When they had finished drinking the six bottles of beer, the respondent, with the appellant still as a passenger, drove to Graveyard Road. This road is a gravel spur, which leads a few hundred feet up on an incline. It was unlit and, more significantly, dropped off sharply on one side to a gravel pit. The road was so rough that the car keys fell out of the ignition and the vehicle stalled. The young men could not find the car keys. The respondent determined that the car could only be started by "a rolling start." To that end he backed the car part-way down the hill and turned it around so that it was facing downhill. It was by then about 3:00 a.m. At this point the appellant asked if he could drive the car and the respondent replied, "Sure, okay."

With the appellant driving the vehicle, the roll-start was attempted. The appellant perhaps over-accelerated. In any event he lost control. The car left the road, went down the steep slope to the gravel pit and turned upside down. The two young men were able to walk away from the accident and reached the home of an acquaintance, who described both of them as being drunk. It was later discovered that the appellant had suffered significant head injuries.

At the time of the accident the respondent was aware that the appellant had consumed 11 or 12 bottles of beer, three of those within the last hour prior to the accident. Despite this, he did not consider the appellant drunk. However his criterion for determining whether a person was capable of driving his car was, to say the least, relaxed. He considered a person capable of driving his car unless they were falling down drunk or seeing double. Thus despite his knowledge of the amount of beer consumed by the appellant, he did not consider him impaired for purposes of driving his car. The respondent did not believe that the appellant had driven his car although the appellant said that he had on one other occasion. Although both young men were used to driving on gravel roads, the respondent knew the Graveyard Road was dark, inclined and with an open gravel pit on one side. The respondent knew that in roll-starting his souped-up car on a gravel road it would be all too easy in the best of conditions to give the car too much gas so that it would surge ahead and be difficult to control. ...

At trial the respondent raised the defence of *ex turpi causa non oritur actio* alleging that both parties were engaged in a criminal enterprise and as a result, that he could not be held liable. The trial judge decided that the mere acceptance of a ride knowing that the driver was impaired did not constitute a common enterprise. He found that the only joint enterprise of the parties was the consumption of alcohol in a public place contrary to the provincial liquor Act. That conduct he found was finished well before the appellant drove the vehicle. He concluded that there was then no link between the illegality of drinking in a public place and the subsequent actions of the respondent which led to the accident. Further, he expressed the view that a breach of the liquor control Act was not misconduct of such a moral gravity that the court should decline to compensate the appellant. ...

The Court of Appeal allowed the respondent's appeal. The majority was of the view that the respondent owner did not owe a duty of care to the appellant and that accordingly, the appellant (at p. 300) "could not recover damages against him."

Gibbs JA for the majority, concluded that the principle of *ex turpi causa non oritur actio* was applicable and the action could be dismissed on that basis as well. He wrote, at p. 305, that "until the Supreme Court of Canada rules otherwise there can be little doubt that the defence of *ex turpi causa non oritur actio* is available here in this kind of action."

[Cory J then reviewed the relevant doctrines. Among his conclusions were the following:]

[5] This court has approved the two-stage test for considering foreseeability, proximity and duty of care. It is: (i) is there a sufficiently close relationship between the parties so that, in the reasonable contemplation of a party, carelessness on its part might cause damage to another person; if so, (ii) are there any considerations which should negate or limit (a) the scope of the duty and (b) the class of persons to whom it is owed or (c) the damages to which a breach of it may give rise.

[6] It has been recognized that this test, particularly the second branch, is broad enough to take into account policy considerations which may in fact negate the existence of a duty of care.

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[11] The doctrine of *ex turpi causa* should be eliminated from application to tort cases. It would be better to consider the issue as a question to be resolved on considerations of public policy.

[Cory J then applied these statements to the case, concluding:]

There is no reason why the appellant should be prevented from recovering compensation on the grounds of public policy. To permit him to recover would not offend or shock the conscience of reasonable right thinking members of the community fully apprised of the facts.

In sum, public policy should not constitute an absolute bar to the recovery of compensation for the injuries suffered in an accident by an impaired driver. ...

In the result the appeal is allowed, the order of the Court of Appeal set aside and the trial judgment restored. ...

MCLACHLIN J (LA FOREST, L'HEUREUX-DUBÉ, and IACOBUCCI JJ concurring): ... This case is one of great importance. The court is asked to rule on the question of whether and, if so, in what circumstances and under what doctrinal rubric courts may prevent a plaintiff from recovering compensation in tort for loss suffered by the fault of another on the ground that the plaintiff's conduct violated legal or moral rules.

• • •

My own view is that courts should be allowed to bar recovery in tort on the ground of the plaintiff's immoral or illegal conduct only in very limited circumstances. The basis of this power, as I see it, lies in duty of the courts to preserve the integrity of the legal system, and is exercisable only where this concern is in issue. This concern is in issue where a damage award in a civil suit would, in effect, allow a person to profit from illegal or wrongful conduct, or would permit an evasion or rebate of a penalty prescribed by the criminal law. The idea common to these instances is that the law refuses to give by its right hand what it takes away by its left hand. It follows from this that, as a general rule, the *ex turpi causa* principle will not operate in tort to deny damages for personal injury, since tort suits will generally be based on a claim for compensation, and will not seek damages as profit for illegal or immoral acts. As to the form the power should take, I see little utility and considerable difficulty in saying that the issue must be dealt with as part of the duty of care. Finally, I see no harm in using the traditional label of *ex turpi causa non oritur actio*, so long as the conditions that govern its use are made clear.

These conclusions arise from a consideration of the historical uses of the power to deny recovery on the ground of immoral or illegal conduct and the doctrinal considerations which underlie that power. I will first examine what role there is for a power in the courts to deny recovery in tort because of the claimant's immoral or

illegal conduct. My conclusion, as indicated, will be that while there is a role, it is limited. After indicating the nature of that limit, I will address the manner in which the limiting rule is best introduced, whether as a defence to an established cause of action, or as an element negating a duty of care.

I. THE HISTORICAL USE OF THE POWER TO DENY RECOVERY FOR IMMORAL OR ILLEGAL CONDUCT

(A) THE UNDERLYING RATIONALE: THE INTEGRITY OF THE JUDICIAL PROCESS

The power expressed in the maxim *ex turpi causa non oritur* finds its roots in the insistence of the courts that the judicial process not be used for abusive, illegal purposes. Thus Professor Gibson, in "Comment: Illegality of Plaintiff's Conduct as a Defence" (1969), 47 *Can. Bar Rev.* 89 at p. 89, writes:

Few would quarrel with the proposition that a man who murders his wealthy aunt should not be allowed to receive the proceeds of her life insurance as beneficiary, or that two robbers who disagree over the division of the spoils should not be allowed to settle their dispute in a court of law. *It was to deal with flagrant abuses like these that English courts developed the principle expressed in the maxim: ex turpi causa non oritur actio—no right of action from a base cause.*

(Emphasis added.)

The use of the doctrine of *ex turpi causa* to prevent abuse and misuse of the judicial process is well established in contract law and insurance law, where it provokes little controversy. The same cannot be said for tort. This is the first occasion that this court has been invited to pronounce definitively on the proper role of the *ex turpi causa* principle in tort. Looking back on the jurisprudence, the best that can be said is that, as applied in tort, the *ex turpi causa* principle, in both Canada and elsewhere, has had a chequered history. ...

Academic opinion is generally critical of the maxim's use in tort, particularly where it is used to prevent recovery of compensatory damages for personal injury: see Bruce MacDougall, "Ex turpi causa: Should a Defence Arise from a Base Cause?" (1991), 55 *Sask. LR* 1; Glanville L. Williams, *Joint Torts and Contributory Negligence* (London: Stevens & Sons, 1951); D. Gibson, *op. cit.* Other commentators, while concerned that the courts have applied the doctrine in cases where it is not justified, concede that in some circumstances its application in tort may be appropriate: Ernest J. Weinrib, "Illegality as a Tort Defence" (1976), 26 *UTLJ* 28, G.H.L. Fridman, "The Wrongdoing Plaintiff" (1972), 18 *McGill LJ* 275.

I propose to examine those cases where it is generally conceded that the doctrine may properly apply, with a view to determining whether a unifying concern or theme, sufficient to support the preservation of the maxim, can be identified.

One situation in which there seems to be a clear role for the doctrine is the case where to allow the plaintiffs tort claim would be to permit the plaintiff to profit from his or her wrong. It is important at the outset to define what is meant by profit. As the cases illustrate, what is meant is profit in the narrow sense of a direct pecuniary reward for an act of wrongdoing. Compensation for something other than wrongdoing, such as for personal injury, would not amount to profit in this sense. ...

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In some cases the courts may disallow a particular head of damages on the basis that to award that head of damages would be to permit the plaintiff to indirectly profit from his or her crime, in the sense of obtaining remuneration for it. A claim for

damages for personal injuries under the head of loss of future earnings, where the claimed earnings are based on an illegal occupation, will not be allowed because it would amount to the court's rewarding the plaintiff for an illegal activity, permitting the plaintiff to profit from his or her wrong. Courts in other jurisdictions have refused to make such awards in cases of claims by a burglar, a bookies' clerk, a vendor of illegal patent medicines, a fisherman using an unlawful net, and an operator of an illegal gambling den. ...

Another example of a case where a particular type of damage may violate the rule against profiting from wrongdoing, this time a little further removed from the contractual situation, is the case of exemplary damages awarded to a wrongdoer. Because such damages are, by definition, not compensatory, their function (apart from punishing the defendant) would be to reward the wrongdoer for his or her crime. As such, they would arguably constitute a case of enabling a wrongdoer to profit from crime. Professor Weinrib, *op. cit.*, at p. 41, refers to the American case of *Katco v. Briney*, 183 NW 2d 657 (Iowa SC 1971), as an instance where such a claim was successful. The plaintiff was injured by a spring-gun as he was attempting to break into a house and steal some objects from it. He sued for battery. The jury awarded him \$10,000 for punitive damages. While the verdict was affirmed, Weinrib doubts that it would be followed in the commonwealth, particularly in view of the decision in the English Court of Appeal which accepted the argument that wrongful conduct (provocation) could reduce exemplary or punitive damages, but not compensatory damages: *Lane v. Holloway*, *supra*. I am persuaded by this argument.

The narrow principle illustrated by the foregoing examples of accepted application of the maxim of *ex turpi causa non oritur actio* in tort, is that a plaintiff will not be allowed to profit from his or her wrongdoing. This explanation, while accurate as far as it goes, may not, however, explain fully why courts have rejected claims in these cases. Indeed, it may have the undesirable effect of tempting judges to focus on the issue of whether the plaintiff is "getting something" out of the tort, thus carrying the maxim into the area of compensatory damages where its use has proved so controversial, and has defeated just claims for compensation. A more satisfactory explanation for these cases, I would venture, is that to allow recovery in these cases would be to allow recovery for what is illegal. It would put the courts in the position of saying that the same conduct is both legal, in the sense of being capable of rectification by the court, and illegal. It would, in short, introduce an inconsistency in the law. It is particularly important in this context that we bear in mind that the law must aspire to be a unified institution, the parts of which—contract, tort, the criminal law—must be in essential harmony. For the courts to punish conduct with the one hand while rewarding it with the other, would be to "create an intolerable fissure in the law's conceptually seamless web": Weinrib, *op. cit.*, at p. 42. We thus see that the concern, put at its most fundamental, is with the integrity of the legal system.

At this point it may be useful to consider in more depth the distinction between compensatory damages and damages which amount to profit from an illegal act. The foregoing comments indicate that compensatory damages are not properly awarded as compensation for an illegal act, but only as compensation for personal injury. Such damages accomplish nothing more than to put the plaintiff in the position he or she would have been in had the tort not occurred. No part of the award which compensates injury can be said to be the profit of, or the windfall from, an illegal act. It may be that had the plaintiff not committed an illegal act, like driving while impaired as in this case, he or she would never have suffered injury. But the same point could be made in the context of every tort: had the injured party not first done X or Y, he or she would not have been subject to the negligence of the tortfeasor. The question that the law asks is whether an injured party suffered a recognized sort of injury, at the hands of someone who owed this party a duty of care, and who caused reasonably

foreseeable damage by falling below the standard of care that the law imposes. The plaintiff's behaviour will be relevant to the extent to which it can be shown, according to the established principles just referred to, that the plaintiff contributed to, or voluntarily accepted, the injury he or she suffered; his or her behaviour will be otherwise irrelevant, unless the plaintiff's claim falls into that narrow group of excluded claims referred to above. None of the foregoing propositions changes the fact that such compensation as a plaintiff properly recovers arises not from the character of his or her conduct, illegal or otherwise, but from the damage caused to him or her by the negligent act of the defendant. He or she gets only the value of, or a substitute for, the injuries he or she has suffered by the fault of another. He or she gets nothing for or by reason of the fact he or she was engaged in illegal conduct.

There may be cases where the principle of *ex turpi causa* should be invoked to prevent tort recovery which do not fall under the category of profit from illegality. Professor Weinrib, *op. cit.*, suggests that the defence of *ex turpi causa* may properly be invoked to prevent the "stultification of the criminal law" or "evasion of the consequences of the criminal law": at pp. 52-3. He gives the example of a burglar who, due to his partner's negligence, is caught and required to pay a fine. Such a person, he suggests, should be barred from recovering damages for the fine from his partner. Weinrib states that this result could be justified either by saying that one criminal owes no duty to another, or by recourse to the maxim *ex turpi causa non oritur actio*. He adds, at p. 51:

However the conclusion is expressed, few would quarrel with it. B has deliberately chosen to violate the criminal law by attempting the burglary, and he has been visited with the consequences of that choice. Conviction and sentencing by a criminal court is the law's method of ascribing to B the responsibility for his action. The assessment of the penalty is largely, though not exclusively, a reaction to the criminal's own process of decision, and it reflects both the blameworthiness of the criminal in choosing to act as he did and the amount of admonishment sufficient to influence him in his future choices. *It would make no sense at all if B were able to utilize tort law's mechanism of shifting losses in order to avoid the very consequences which criminal law has imposed upon him for his intentionally culpable conduct.*

(Emphasis added.)

See also the similar facts which arose for consideration in *Colburn v. Patmore* (1834), 1 CM & R 73, 149 ER 999 (Exch.).

While this example cannot be explained in terms of profit, the claim being one of compensation for a fine incurred, it does accord with what I have called the more fundamental rationale for the defence of *ex turpi causa*, that based on the need to maintain internal consistency in the law, in the interest of promoting the integrity of the justice system. Again we have a situation where permitting recovery in tort would amount to the law giving with one hand what it takes away with the other. Again it can be said that to permit the claim would be to create "an intolerable fissure in the law's conceptually seamless web."

• • •

Cory J does not deny the importance of the integrity of the justice system as a rationale for the defence. He does, however, argue ... that such a rationale may be too broad, it being difficult to distinguish in many cases between what Ford terms "public and merely judicial outrage," and he adopts the warnings of Ford that "moral indignation must not be mistaken for public policy." On the other hand, he points out that tort awards have been properly made in many cases where the plaintiff's conduct might have offended a judge. It seems to me that the narrow form of the rationale which I have developed, premised on the need to

prevent internal inconsistency in the law, does not attract this criticism. It is not the judge's outrage but a concern for the coherence of the legal system which he or she administers which is operative.

• • •

I conclude that there is a need in the law of tort for a principle which permits judges to deny recovery to a plaintiff on the ground that to do so would undermine the integrity of the justice system. The power is a limited one. Its use is justified where allowing the plaintiff's claim would introduce inconsistency into the fabric of the law, either by permitting the plaintiff to profit from an illegal or wrongful act, or to evade a penalty prescribed by criminal law. Its use is not justified where the plaintiff's claim is merely for compensation for personal injuries sustained as a consequence of the negligence of the defendant. I turn now to the question of the form in which this principle should be cast.

(B) HOW THE GOAL OF PROTECTING THE INTEGRITY OF THE JUDICIAL SYSTEM IS BEST ACCOMPLISHED

My colleague Cory J suggests that the defence of *ex turpi causa non oritur actio* should be eliminated. In its place, he suggests that the courts should be granted the power to disallow a plaintiff's claim, on account of the plaintiff's wrongful conduct, by finding that no duty of care arises. This power is to be exercised under the second branch of the test articulated in *Anns v. Merton London Borough Council*, [1978] AC 728, as approved and reformulated in this court in *Kamloops (City) v. Nielsen* (1984), 10 DLR (4th) 641, [1984] 2 SCR 2, 29 CCLT 97. On this view, the plaintiff's illegal or immoral conduct may constitute a policy reason for holding that the defendant owed the plaintiff no duty of care.

• • •

With great respect, I am not sure that much is gained by replacing the defence of *ex turpi causa non oritur actio* with a judicial discretion to negate, or to refuse to consider, the duty of care. Shifting the analysis to the issue of duty provides no new insight into the fundamental question of whether the courts should be entitled to deny recovery in tort to a plaintiff on the ground of the plaintiff's immoral or illegal conduct. Moreover, it introduces a series of new problems. In the end I fear that it would prove more problematic than has the defence of *ex turpi causa non oritur actio*.

I begin by noting that the duty approach, as expressed by Cory J, does not fully capture what we mean when we invoke the principle of *ex turpi causa*. If what I have said above is correct, the *ex turpi causa* principle operates most naturally as a defence because its purpose is to frustrate what would be, had *ex turpi causa* no role, a complete cause of action. Liability for tort arises out of the relationship between the alleged tortfeasor and the injured claimant. The power of the court to deny recovery where it would undermine the coherence of the legal system, on the other hand, represents concerns independent of this relationship. It is important, if only for the purposes of conceptual clarity, that *ex turpi causa* operate, on those rare occasions where its operation is justified, as a defence to frustrate tort claims which could otherwise be fully made out, because this best expresses what is in fact decided. The courts make it clear that the defendant has acted wrongly in negligently causing harm. They also make it clear that responsibility for this wrong is suspended only because concern for the integrity of the legal systems trumps the concern that the defendant be responsible.

Donoghue v. Stevenson, [1932] AC 562 (HL), the source of our modern law of negligence and of the concept of duty upon which it is founded, requires that a person exercise reasonable care toward all his neighbours. It does not say that the

duty is owed only to neighbours who have acted morally and legally. Tort, unlike equity which requires that the plaintiff come with clean hands, does not require a plaintiff to have a certain moral character in order to bring an action before the court. The duty of care is owed to all persons who may reasonably be foreseen to be injured by the negligent conduct.

Policy concerns unrelated to the legal rules which govern the relationship between the parties to an action have not generally been considered in determining whether a duty of care lies. This follows from the fact that the justice which tort law seeks to accomplish is justice between the parties to the particular action; the court acts at the instance of the wronged party to rectify the damage caused by a particular defendant: see Ernest J. Weinrib "The Special Morality of Tort Law" (1989), 34 *McGill LJ* 403 at p. 408.

The relationship between plaintiff and defendant which gives rise to their respective entitlement and liability arises from a duty predicated on foreseeable consequences of harm. This being the concern, the legality or morality of the plaintiff's conduct is an extrinsic consideration. In the rare cases where concerns for the administration of justice require that the extrinsic consideration of the character of the plaintiff's conduct be considered, it seems to me that this is better done by way of defence than by distorting the notion of the duty of care owed by the defendant to the plaintiff.

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The law of tort recognizes many types of defence. Some go to the relationship between the parties; for example, the defence of *volenti non fit injuria*, the plaintiff's assumption of risk. But others go to matters unrelated to that relationship. Limitation periods, for example, are raised by way of defence. I see no reason to treat *ex turpi causa* differently. Like a lapsed limitation period, it represents a reason why a cause of action, which might otherwise be fully made out, should not succeed.

The debate is not purely academic. There are practical reasons for finding that it is proper to view *ex turpi causa* as a defence. I mention three. If the *ex turpi causa* principle arises in the course of the investigation into whether there exists a duty of care, the onus will lie on the plaintiff to show why he or she should not be disentitled by way of his or her conduct. It is well established that the plaintiff bears the onus of establishing a valid cause of action; if not, the plaintiff faces non-suit. Thus a plaintiff whose conduct is alleged to be immoral or illegal might be bound to disprove the illegality or immorality in order to proceed with her action and avoid non-suit. On the other hand, if the matter is left as a defence, the onus rests on the defendant. As I have indicated, the power to preclude recovery on the basis of the plaintiff's immoral or illegal conduct is an exceptional power, operating in derogation of the general principles of tort applicable to all persons in our society. As such, it seems to me appropriate that the onus of establishing the exceptional circumstances should rest with the defendant. The plaintiff should not be required to disprove the existence and relevance of his or her illegal or immoral conduct, rather it should be for the defendant to establish it.

Second, the duty of care approach is an all or nothing approach, and cannot be applied selectively to discrete heads of damages. As discussed above, cases may arise in which a particular damage claim, e.g., for exemplary damages, or for damages for loss of future earnings, might be seen as a claim to profit from an illegal act. Another damage claim in the same action, e.g., one for compensation for personal injuries, could not be so regarded. If the *ex turpi causa* principle operates as a defence it is possible to distinguish between such claims. If it operates as a factor negating a duty of care, on the other hand, it is not possible to treat an action in the selective manner that justice seems to require.

Finally, consideration of illegal or immoral conduct at the stage of determining the duty of care raises procedural problems. A plaintiff may sue in both tort and contract. If the approach suggested by Cory J is adopted, in the contract claim, the plaintiff's illegal or immoral conduct would be raised as a defence to the claim; in the tort, the same conduct would be an element of the inquiry into the duty of care. In other words, in contract the onus would be on the defendant to prove the relevance of the plaintiff's conduct; in tort, the onus would be on the plaintiff to disprove the relevance of the conduct. The resulting confusion would unnecessarily complicate the task of the trial judge and the parties.

These considerations lead me to conclude that the important but limited power of the court to prevent tort recovery on the ground of the plaintiff's illegal or immoral conduct is better viewed as a defence than as a factor going to the existence of a duty of care.

II. APPLICATION TO THESE FACTS

The doctrine of *ex turpi causa non oritur actio* properly applies in tort where it will be necessary to invoke the doctrine in order to maintain the internal consistency of the law. Most commonly, this concern will arise where a given plaintiff genuinely seeks to profit from his or her illegal conduct, or where the claimed compensation would amount to an evasion of a criminal sanction. This appellant need not be denied recovery since these grounds are not relevant to his claim. The compensation sought by this appellant is for injuries received. This compensation can be reduced to the extent of the appellant's contributory negligence, but cannot be wholly denied by reason of his disreputable or criminal conduct.

[GONTHIER J concurred, holding that the respondent was under a duty of care and that the *ex turpi causa* defence was not available on these facts. He observed that that defence has a valid and important role in defending the integrity of the legal system and the repute of courts.]

[SOPINKA J dissented, holding that the defence of *ex turpi causa* did not apply, but that the defendant did not owe the plaintiff a duty of care.]

NOTES AND QUESTIONS

In *British Columbia v Zastowny*, 2008 SCC 4, [2008] 1 SCR 27, the plaintiff had been a prisoner at the age of 18 in a correctional facility. There he had twice been sexually assaulted by a prison official. After his release he became dependent on heroin and committed offences for which he was incarcerated for 12 of the next 15 years. In an action for damages for the injuries he suffered as a consequence of the sexual assaults, the plaintiff sought compensation for wages lost during his incarceration. Rothstein J stated:

[8] A psychologist, Dr. Robert Ley, with an expertise in assessing and counselling cocaine and heroin addicts testified at trial. He opined that Zastowny's anti-social behaviour and criminality resulted from the assaults. His report stated that Zastowny's self-concept and self-esteem were reasonably stable before the assaults but that after the assaults, he had low self-esteem, anti-social behaviour and suffered sexual anxiety. Dr. Ley linked Zastowny's resentment and rebelliousness towards correctional officers to the assaults. He attributed Zastowny's alcohol use, subsequent choice of heroin as his preferred drug, and greater need to obliterate himself to the assaults. He opined that Zastowny had a good work ethic and record up until he was 18 years old, when he became addicted to crack cocaine, whereafter he had, for the most part, not sustained employment. He concluded that Zastowny's substance abuse and criminality directly interfered with his employment and his substance abuse was significantly exacerbated by the sexual assaults.

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[22] Zastowny's wage loss while incarcerated is occasioned by the illegal acts for which he was convicted and sentenced to serve time. In my view, therefore, the *ex turpi* doctrine bars Zastowny from recovering damages for time spent in prison because such an award would introduce an inconsistency in the fabric of law. This is because such an award would be, as McLachlin J. described in *Hall v. Hebert*, at p. 178, "giving with one hand what it takes away with the other." When a person receives a criminal sanction, he or she is subject to a criminal penalty as well as the civil consequences that are the natural result of the criminal sanction. The consequences of imprisonment include wage loss. As Deschamps J. found in *Quebec (Commission des droits de la personne et des droits de la jeunesse) v. Maksteel Québec Inc.*, [2003] 3 S.C.R. 228, 2003 SCC 68, at para. 33, "[e]very incarcerated offender must suffer the consequences that result from being imprisoned, namely loss of employment for unavailability." An award of damages for wages lost while incarcerated would constitute a rebate of the natural consequence of the penalty provided by the criminal law.

[23] Preserving the integrity of the justice system by preventing inconsistency in the law is a matter of judicial policy that underlies the *ex turpi* doctrine. ...

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[30] The judicial policy that underlies the *ex turpi* doctrine precludes damages for wage loss due to time spent in incarceration because it introduces an inconsistency in the fabric of the law that compromises the integrity of the justice system. In asking for damages for wage loss for time spent in prison, Zastowny is asking to be indemnified for the consequences of the commission of illegal acts for which he was found criminally responsible. Zastowny was punished for his illegal acts on the basis that he possessed sufficient *mens rea* to be held criminally responsible for them. He is personally responsible for his criminal acts and the consequences that flow from them. He cannot attribute them to others and evade or seek rebate of those consequences. As noted by Samuels J.A. in *State Rail*, to grant a civil remedy for any time spent in prison suggests that criminally sanctioned conduct of an individual can be attributed elsewhere. E.K. Banakas discussed this issue in "Tort Damages and the Decline of Fault Liability: Plato Overruled, But Full Marks to Aristotle!" [1985] *Cambridge L.J.* 195, at p. 197:

Although it is morally irrational to punish a person unable to account for his actions, it is even less rational to compensate such a person for his punishment following his unchallenged conviction for a *mens rea* offence; if the conviction stands, punishment is a *lawful injury*, if not, there should be *no* punishment at all and *no* injury of the kind compensated in this case. Tort law has enough on its plate without having to play criminal law's conscience; besides, if *lawful injury*, inflicted by the courts themselves, starts being compensated in negligence, where will it all end?

Precisely what is the "inconsistency in the law" that would result if the plaintiff were successful? Is it correct to say, as the final quotation implies, that the plaintiff is seeking compensation for his punishment?

SUPPLEMENTARY READING

Goudkamp, *Tort Law Defences* (Oxford: Hart Publishing, 2013).

Prosser, "Comparative Negligence" (1953) 41 Cal L Rev 1.

Schwartz, "Contributory and Comparative Negligence: A Re-Appraisal" (1978) 87 Yale LJ 697.

Simons, "The Puzzling Doctrine of Contributory Negligence" (1995) 16 Cardozo L Rev 1693.

Weinrib, "Illegality as a Tort Defence" (1976) 26 UTLJ 28.

CHAPTER SIX

CONTRIBUTION

Supplementary Reading	359
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Over the last few chapters, we have encountered cases in which the plaintiff's injury was the result of wrongful actions by several defendants. In this chapter we look at some of the issues raised by the presence of more than one defendant.

The law treats each tortfeasor as liable to the plaintiff and allows judgment to be executed against whichever defendant(s) the plaintiff wishes, although the plaintiff cannot recover compensation in excess of the damage suffered. The material in this chapter deals with the rights of the defendants as among themselves. Throughout this material, keep in mind that the rights of the plaintiff as a victim of a wrong at the defendants' hand are not affected.

In this context, contribution refers to the power of the defendant to call on other tortfeasors to bear their share of the damages. Although contribution is well entrenched in other parts of the law, the common law historically denied its applicability to tortfeasors. This has now been changed by statute, so that one tortfeasor can now recover a proportional share from the others. This in turn raises questions about the extent to which one defendant can be prejudiced by the actions of the plaintiff against another, about the relationship between the pro rata recovery here and the pro rata recovery under contributory negligence, and about the basis and desirability of the statutory change.

MERRYWEATHER V NIXAN

(1799), 101 ER 1337 (KB)

One Starkey brought an action on the case against the present plaintiff and defendant for an injury done by them to his reversionary estate in a mill, in which was included a count in trover, for the machinery belonging to the mill; and having recovered £840 he levied the whole on the present plaintiff, who thereupon brought this action against the defendant for a contribution of a moiety, as for so much money paid to his use.

At the trial ... the plaintiff was nonsuited, the learned Judge being of opinion that no contribution could by law be claimed as between joint wrong-doers; and, consequently, this action, upon an implied assumpsit, could not be maintained on the mere ground that the plaintiff had alone paid the money which had been recovered against him and the other defendant in that action.

Chambre now moved to set aside the nonsuit; contending, that as the former plaintiff had recovered against both these parties, both of them ought to contribute to pay the damages: but ...

LORD KENYON Ch. J said, there could be no doubt that the nonsuit was proper: that he had never before heard of such an action having been brought, where the former recovery was for a tort. ...

Rule refused.

NEGLIGENCE ACT

RSO 1990, c N.1

1. Where damages have been caused or contributed to by the fault or neglect of two or more persons, the court shall determine the degree in which each of such persons is at fault or negligent, and, where two or more persons are found at fault or negligent, they are jointly and severally liable to the person suffering loss or damage for such fault or negligence, but as between themselves, in the absence of a contract express or implied, each is liable to make contribution and indemnify each other in the degree in which they are respectively found to be at fault or negligent.

2. A tortfeasor may recover contribution or indemnity from any other tortfeasor who is, or would if sued have been, liable in respect of the damage to any person suffering damage as a result of a tort by settling with the person suffering such damage, and thereafter commencing or continuing action against such other tortfeasor, in which event the tortfeasor settling the damage shall satisfy the court that the amount of the settlement was reasonable, and in the event that the court finds the amount of the settlement was excessive it may fix the amount at which the claim should have been settled.

NOTES

1. The Alberta Institute of Law Research and Reform, *Contributory Negligence and Concurrent Wrongoers* (Edmonton: The Institute, 1979) at 34-36, sets out the justification for contribution as follows:

A simple formulation of the justification is that if D1 and D2 each contribute to P's loss, it would be unfair that D1 should have to satisfy all the loss simply because P chooses to sue only D1 or to exact a settlement from only D1 and that D2 would escape unscathed. The author of the seventh edition of Salmond denies that contribution between wrongdoers should be based on an implied contract and states: It [contribution] is based on the principle of justice, that a burden which the law imposes on two men should not be borne wholly by one of them. In the surety case of *Deering v. The Earl of Winchelsea*, Eyre CB states: If a view is taken of the cases, it will appear that the bottom of contribution is a fixed principle of justice, and is not founded in contract. ...

Goff and Jones state:

Any obligor who owes with another a duty to a third party and is liable with that other to a common demand, should be able to claim contribution. ... In all these cases the basis of the right to contribution is unjust enrichment.

The authors note that tortfeasors are in an exceptional position because at common law they could not generally recover contribution from each other. However, even though the claim of a tortfeasor for contribution depends upon statute, the authors state: "the broad principles governing it are not dissimilar from the equitable principles which were established in *Deering v. The Earl of Winchelsea*."

Professor Weinrib states ["Contribution in a Contractual Setting" (1976) 54 Can Bar Rev 338]:

Given that P can recover in full from D1, it would be unfair as between D1 and D2 to force D1 to pay all and allow D2 to escape with paying none of the damages for which each is wholly liable. Contribution is the mechanism rooted in both equity and the common law which reflects this basic consideration of relative fairness. Inasmuch as D1 in discharging his own liability to P has relieved D2 of any need on his part to satisfy his own obligation to P, D1 has under the compulsion of law been forced to confer a benefit on D2 to which D2 is not entitled and which the device of contribution would force him to disgorge.

Weinrib thus goes beyond the formulation of Goff and Jones which was quoted earlier. For example, D1, the builder, does not "owe with" D2, the architect, a duty to P, the owner. Each of D1 and D2 owes a separate duty to P, and if they breach their separate contracts each is not "liable with that other to a common demand." Professor Weinrib concedes that D1 and D2 are not subject to a common liability or a common demand. However, he denies the relevancy of such an issue. He states:

In this context what is at stake is fairness in the incidence of the sanction as a matter of remedial policy and it is hard to see why this should be affected by the fact that the parties have breached a different primary obligation. Once it has been determined that the breaches of contract have caused the same loss and that the loss is translatable into money damages to which both parties are liable, the difference in initial obligation recedes into insignificance and the problem which remains is that of adjusting as between D1 and D2 the money damages which P can demand that either of them wholly pay.

He goes on to say "the requirement of a common liability or the subjection to a common demand is not an obstacle to the policy of the prevention of unjust enrichment, embodied in the notion of contribution but is rather merely an abbreviated way of expressing that policy."

We have found a consideration of the notion of contribution as a reflection of the notion of unjust enrichment to be most helpful. We think, however, that an even more appropriate and somewhat broader formulation is that the law should treat wrongdoers fairly and that in the absence of a compelling reason to the contrary, fairness requires that a burden which the law imposes on two parties should not be borne wholly by one of them.

2. The Supreme Court of Canada has held that *Merryweather v Nixan* does not exclude a common law right to contribution among tortfeasors. In *Bow Valley Husky (Bermuda) Ltd v Saint John Shipbuilding Ltd*, [1997] 3 SCR 1210, McLachlin J wrote (at paras 101-2):

A final question concerns the availability of contribution—that is, the right of a tortfeasor who pays more than its share of the plaintiff's damages to recover the excess amount paid from other tortfeasors. It is often stated that at common law there was no contribution between tortfeasors, citing *Merryweather v. Nixan* (1799), 8 T.R. 186, 101 E.R. 1337. ... Commentators have questioned whether the common law rule against contribution was absolute, particularly in cases where the tort committed was not intentional, and there was no malicious motivation Like the contributory negligence bar, the idea that there can be no contribution between tortfeasors is anachronistic and not in keeping with modern notions of fairness.

I conclude that this is an appropriate case for this Court to make an incremental change to the common law in compliance with the requirements of justice and fairness.

In *Blackwater v Plint*, 2005 SCC 58, [2005] 3 SCR 3 at paras 67-71, common law contribution was applied in the proportion of 75 percent to 25 percent, based on their different levels of control, to two parties who were vicariously liable for the tort of an employee.

3. In *Bryanston Finance Ltd v de Vries*, [1975] 2 All ER 609 at 619 (CA), Lord Denning MR held:

In the present case, the question that arises is this: suppose that the plaintiff settles with one of the wrongdoers before judgment by accepting a sum in settlement; or suppose that by consent an order is made by which the plaintiff accepts an agreed sum from the one tortfeasor and discontinues against him, but goes on against the other. ... If the plaintiff gets judgment against the remaining tortfeasor for a sum which is more than the sum already recovered (by the settlement or the consent order), he is entitled to enforce it for the excess over which he has already recovered. But, if he gets judgment for less than he has already recovered, then he recovers nothing against the remaining tortfeasor and should pay the costs. ... The right solution nowadays is for any sum paid by the one wrongdoer under the settlement to be taken into account when assessing damages against the other wrongdoer. If the plaintiff recovers more, he gets the extra. If he recovers less, he loses and has to pay the costs. And as between the joint wrongdoers themselves, there can be contribution. ...

If the settlement is for \$5,000 and the judgment against the remaining tortfeasor is for \$10,000, how should contribution work? (For a recent discussion of the difficulties to which settlements give rise, see British Columbia Law Institute, *Report on Contribution After Settlement Under the Negligence Act*, BCLI Report No 74 (Vancouver: BCLI, December 2013).)

PARKLAND (COUNTY OF) V STETAR

[1975] 2 SCR 884, 50 DLR (3d) 376

DICKSON J (for the court): The date was December 14, 1969, but the afternoon was warm and sunny. There had been a recent snowfall. Christmas was approaching and Jerome Stetar, accompanied by his two children and his friend Donald Woodrow and Woodrow's daughter drove out into the country to look for a Christmas tree. At about 3:45 p.m., driving northerly on a rural Alberta road they approached an intersection. Approaching the same intersection from the east was another car, driven by Guy Poirier, in which Mrs. Poirier and her three children were passengers. The car was owned by Edmonton Car Rentals Ltd. which I will refer to as "Car Rentals." Poirier's speed was 30 m.p.h. and Stetar's speed was 40 and 45 m.p.h. The intersection was not controlled by stop signs or other means and was uncommonly dangerous due to a ridge of land between the two roads which effectively obscured the approach of westbound traffic from anyone in the position of Stetar coming from the south. Poirier had the right of way. In the ensuing collision the Woodrow child was killed and all other passengers of the two cars were injured.

Although the intersection was uncontrolled, the county had sensibly at an earlier date erected four cross-road warning signs for the north, south, east and westbound traffic. Unhappily, at the time of the accident the sign posted for northbound traffic had been down for a period which from the evidence cannot be stated with any degree of precision but would seem to have been for not less than one month and not more than six months.

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[F]rom the plethora of proceedings, two questions emerge. Before touching them I may say that I share the view of the Courts below that Stetar was negligent and that Poirier was not negligent. Stetar, in violation of the *Highway Traffic Act*, 1967 (Alta.), c. 30 failed to yield the right of way to Poirier. I also agree that if the County of Parkland No. 31 must bear some measure of responsibility for the accident, the proper apportionment is 75% to Stetar and 25% to the county. That leaves for consideration these questions:

(a) Was the County of Parkland No. 31 under any duty, the breach of which contributed to the accident?

(b) Can the Poiriers and Car Rentals recover 100% of their damages from Stetar, although he was only 75% responsible for the accident? They say that having paid them 100% of their claims Stetar can recover 25% from the county. Stetar and the county, on the other hand, say, and the majority of the Appellate Division were of the same mind, that having lost in their action against the county and having failed to appeal, the Poiriers and Car Rentals cannot now collect indirectly from the county what they could not collect directly.

[After answering the first question in the affirmative, Dickson J continued:]

The second question is whether the Poiriers and Car Rentals can recover 100% of their damages from Stetar having regard to (a) the attribution of fault 75% to Stetar and 25% to the county; (b) the nonsuit of the Poiriers and Car Rentals in their actions against the county for their failure to give timely notice; (c) the authorities which support the proposition that s. 4(1)(c) of the *Tort-Feasors Act*, RSA 1955, c. 336 (now RSA 1970, c. 365), and its English counterpart, s. 6(1)(c) of the *Law Reform (Married Women and Tortfeasors) Act*, 1935 (UK), c. 30 do not admit a claim for contribution by one tort-feasor against another when that other has been sued by the injured person and held not liable: *George Wimpey & Co., Ltd. v. British Overseas Airways Corp.*, [1954] 3 All ER 661; *Aleman v. Blair and Canadian Sugar Factories Ltd.* (1963), 44 WWR 530; *Hart v. Hall & Pickles, Ltd.*, [1968] 3 All ER 291. Section 4(1)(c) of the *Tort-Feasors Act* of Alberta provides:

4(1) Where damage is suffered by any person as a result of a tort, whether a crime or not,

(c) any tort-feasor liable in respect of that damage may recover contribution from any other tort-feasor who is or would, if sued, have been liable in respect of the same damage, whether as a joint tort-feasor or otherwise. ...

In *Hart v. Hall & Pickles, Ltd.*, the Court of Appeal had occasion to consider the meaning of s. 6(1)(c) of the *Law Reform (Married Women and Tortfeasors) Act*. Lord Denning MR commented on this section and the *Wimpey* case at p. 293:

This point depends on the interpretation of the Act of 1936. Before that Act when there were separate tortfeasors causing one damage, the plaintiff could sue them each in turn till he got the total amount of his damages: and neither of the tortfeasors had any right of contribution from the other. Now this statute gives a right of contribution. Section 6(1) provides that:

Where damage is suffered by any person as a result of a tort ... (c) any tortfeasor liable in respect of that damage may recover contribution from any other tortfeasor who is, or would if sued have been, liable in respect of the same damage. ...

That is all I need read. Those words as construed by the House of Lords cover two situations: (i) where a tortfeasor has been sued and has been held liable; and (ii) where a tortfeasor has not been sued, but, if he had been sued, he would have been held liable. *The words do not cover a third situation; (iii) where a person who is alleged to be a tortfeasor has been sued and has been held not liable.* If he has been held not liable on the merits of the case, clearly he cannot be sued for contribution. If he has been saved from liability by reason of the Statute of Limitations, again he cannot be sued for contribution, see *George Wimpey v. British Overseas Airways Corp.*

(Italics added.) Section 3(2) of the *Contributory Negligence Act*, RSA 1955, c. 66 (now RSA 1970, c. 6.5), must be considered. This subsection provides:

3(2) Except as provided in sections 4 and 6, where two or more persons are found at fault they are jointly and severally liable to the person suffering the damage or loss, but as between themselves, in the absence of any contract express or implied, they are liable to make contribution to and indemnify each other in the degree in which they are respectively found to have been at fault.

The subsection does not have the effect of limiting the right of the Poiriers and Car Rentals to full recovery from Stetar. On the contrary, it declares the joint and several liability of persons at fault to the person suffering damage or loss. It is only as between themselves that persons contributing to the damage or loss are liable to make contribution to and indemnify each other. This might suggest a right of contribution and indemnification as between Stetar and the county, but I would consider that s. 4(1)(c) of the *Tort-Feasors Act* precludes any such contribution or indemnification in the present case. The relationship of the *Contributory Negligence Act* and the *Tort-Feasors Act* on the issue of contribution between tort-feasors is such that in my opinion s. 4(1)(e) of the latter Act must prevail over s. 3(2) of the former Act. These Acts cover related subject-matter and must be read the one with the other. Section 3(2) of the *Contributory Negligence Act* in its last clause states a general rule reflected as well in the *Tort-Feasors Act* that tort-feasors are liable to make contribution and indemnify each other in the degree in which they are found to be at fault or negligent. While the *Contributory Negligence Act* concerns generally the question of contributory negligence, the *Tort-Feasors Act* addresses itself more particularly to the relationship of tort-feasors. Section 4(1)(e) of the latter Act is specifically directed to the question of recovery as between tort-feasors and in my opinion takes precedence over s. 3(2) of the *Contributory Negligence Act*.

It is contended that it is unjust to require Stetar to pay in full the claims of the Poiriers and Car Rentals when they, by their delay, have made it impossible for Stetar to recover contribution from the county. It is fundamental, however, to tort law that a plaintiff can proceed against any one of a number of joint or several tort-feasors; there is no duty upon him to sue all those whom he believes contributed to his hurt. He may elect to recover the full amount of his damage from a tort-feasor only partly to blame and that tortfeasor, prior to enactment of s. 4(1)(c) of the *Tort-Feasors Act*, had no right to contribution from any other person: *Merryweather v. Nixan* (1799), 8 TR 186, 101 ER 1337. Section 4(1)(c) and its counterpart in other jurisdictions have ameliorated the common law in that the right to contribution has now been recognized; however, even in those cases in which for some reason the right to contribution does not exist, the victim retains the right of full recovery from the tort-feasor whom he has sued. I am accordingly of the view that Stetar has no enforceable claim for contribution against the county in respect of any amount paid by Stetar to Poirier and Car Rentals in the first action and to Mrs. Poirier and children in the second action.

QUESTION

Here Dickson J uses as authorities the English cases of *Wimpey v British Overseas Airways Corporation*, [1954] 3 All ER 661 (HL) and *Hart v Hall and Pickles*, [1968] 3 All ER 291 (CA). The law as stated in these cases was reversed in England by the *Civil Liability (Contribution) Act 1978*, s 1(3) of which allows contribution against a person “notwithstanding that he has ceased to be liable in respect of the damage in question since the time when the damage occurred.” Does or should this have any effect on the state of the law in Canada? Are Canadian courts

now in the position of having to uphold on the basis of English authorities a legal situation that has been repudiated in England itself?

FITZGERALD V LANE

[1988] 2 All ER 961 (HL)

LORD ACKNER: My Lords, on the afternoon of 21 March 1983 the plaintiff, then aged 22, was involved in a tragic accident when crossing Esher High Street, Surrey. The plaintiff was at the time employed by a well-known firm of estate agents and surveyors as a trainee negotiator at their Esher branch. Esher High Street has a carriage way which is 30 feet wide and runs approximately north to south. It has service roads on both sides separated from the carriageway by footpaths, and fronting the service roads are shops and offices. The plaintiff's employers have premises on the eastern side of the service road, about 50 yards from a pelican crossing. At about 3.50 pm the plaintiff was asked to go to a house a mile or so away to meet a prospective purchaser. As his car was parked in the service road on the north-western side of the High Street, he walked to the pelican crossing. The traffic was heavy. There were two lanes of traffic moving south. The nearside lane had been traveling slowly and a car had stopped just before the studs of the crossing. The second line was traveling fairly freely. Although the traffic lights were green to the road traffic and red against the pedestrians, the plaintiff, without stopping, walked at a brisk pace across the pelican crossing. He passed in front of the stationary car and into the path of the first defendant's car. As a result he was struck by the offside front corner of the car, thrown up onto the bonnet, came into contact with the windscreen which shattered, and was then thrown forward and onto the offside of the road, where he was struck by the second defendant's car which was being driven in the opposite direction, that is in a northerly direction. As a result of these collisions the plaintiff sustained multiple injuries and, in particular, a dislocation of the cervical spine resulting in partial tetraplegia.

Sir Douglas Frank QC, sitting as a deputy judge of the High Court in the Queen's Bench Division, in a reserved judgment found that all three parties had been negligent. He assessed the total damages in the sum of £596,553.67. Having concluded that both defendants were responsible for the plaintiff's tetraplegia he then said:

As to the apportionment of the liability, on the facts I have recited I find that it is impossible to say that one of the parties is more or less to blame than the other and hold that the responsibility should be borne equally by all three.

At the conclusion of his judgment he observed:

In view of my findings, one-third of the amount of the award will be paid by each of the defendants.

Following submissions made by counsel for the plaintiff, the judge entered judgment for the plaintiff against the defendants for two-thirds of the total damages.

Both the defendants appealed to the Court of Appeal. ... [D]uring the course of the appeal Sir Edward Eveleigh queried whether the order giving the plaintiff judgment against both defendants for two-thirds of the total damages did truly represent the judge's decision that no one of the parties was more or less to blame than the other. After hearing further argument on this issue the Court of Appeal allowed the appeal to the extent of varying the judge's order, so that it provided that the plaintiff should have judgment against each defendant for 50% of his claim. The Court of Appeal gave leave to appeal to your Lordships' House. ...

THE CORRECT APPROACH TO THE DETERMINATION OF CONTRIBUTORY NEGLIGENCE, APPORTIONMENT AND CONTRIBUTION

It is axiomatic that, whether the plaintiff is suing one or more defendants for damages for personal injuries, the first question which the judge has to determine is whether the plaintiff has established liability against one or other or all the defendants, ie that they, or one or more of them, were negligent (or in breach of statutory duty) and that that negligence (or breach of statutory duty) caused or materially contributed to his injuries. The next step, of course, once liability has been established, is to assess what is the total of the damage that the plaintiff has sustained as a result of the established negligence. It is only after these two decisions have been made that the next question arises namely whether the defendant or defendants have established (for the onus is on them) that the plaintiff, by his own negligence, contributed to the damage which he suffered. If, and only if, contributory negligence is established does the court then have to decide, pursuant to s X of the *Law Reform (Contributory Negligence) Act 1945*, to what extent it is just and equitable to reduce the damages which would otherwise be recoverable by the plaintiff, having regard to his "share in the responsibility for the damage."

All the decisions referred to above are made in the main action. Apportionment of liability in a case of contributory negligence between plaintiff and defendants must be kept separate from apportionment of contribution between the defendants inter se. Although the defendants are each liable to the plaintiff for the whole amount for which he has obtained judgment, the proportions in which, as between themselves, the defendants must meet the plaintiff's claim do not have any direct relationship to the extent to which the total damages have been reduced by the contributory negligence, although the facts of any given case may justify the proportions being the same.

Once the questions referred to above in the main action have been determined in favour of the plaintiff to the extent that he has obtained a judgment against two or more defendants, then and only then should the court focus its attention on the claims which may be made between those defendants for contribution pursuant to the *Civil Liability (Contribution) Act 1978*, re-enacting and extending the court's powers under s 6 of the *Law Reform (Married Women and Tortfeasors) Act 1935*. In the contribution proceedings, whether or not they are heard during the trial of the main action or by separate proceedings, the court is concerned to discover what contribution is just and equitable, having regard to the responsibility between the tortfeasors inter se, for the damage which the plaintiff has been adjudged entitled to recover. That damage may, of course, have been subject to a reduction as a result of the decision in the main action that the plaintiff, by his own negligence, contributed to the damage which he sustained.

Thus, where the plaintiff successfully sues more than one defendant for damages for personal injuries and there is a claim between co-defendants for contribution, there are two distinct and different stages in the decision-making process, the one in the main action and the other in the contribution proceedings.

THE TRIAL JUDGE'S ERROR

Counsel for the plaintiff accepted that the judge telescoped or elided the two separate stages referred to above into one when he said:

I find that it is impossible to say that one of the parties is more or less to blame than the other and hold that the responsibility should be borne equally by all three.

The judge, in my judgment, misdirected himself by thinking in tripartite terms, instead of pursuing separately the two stages: phase 1, was the plaintiff guilty of contributory negligence and, if so, to what extent should the recoverable damages be reduced, issues which concerned the plaintiff on the one hand and the defendants jointly on the other hand; and phase 2, the amount of the contribution recoverable between the two defendants having regard to the extent of their responsibility for the damage recovered by the plaintiff, an issue which affected only the defendants inter se and in no way involved the plaintiff.

The vice of this misdirection is that it can, and, in my judgment, for reasons which I shall explain, in this case it did, result in the judge taking into account the proportions in which the defendants between themselves were liable for the plaintiff's recoverable damages, in deciding on the degree of contributory negligence of which the plaintiff was guilty. He allowed his judgment on the issue of contributory negligence to be coloured by his decision as to the proper apportionment of blame between the defendants. While stating in substance on the one hand that the plaintiff's responsibility was no more and no less than that of either of the defendants, his ultimate conclusion, as mirrored in his order, was that each of the defendants was twice as much to blame as the plaintiff. This could not be right on the facts. Sir Edward Eveleigh had difficulty in seeing where the second defendant was to blame at all (see [1987] 2 All ER 455 at 458, [1987] QB 781 at 792) and, as stated above, Slade LJ said he had considerable sympathy with the submission made on behalf of each of the defendants "that on any footing the plaintiff's share in the responsibility for the damages was, on the facts, greater than that of his client" (see [1987] 2 All ER 455 at 474, [1987] QB 781 at 813). As previously stated, this was a case in which at the trial counsel for the plaintiff, with characteristic sense of reality, conceded that his client was guilty of contributory negligence. As the trial judge observed:

There is no doubt that the plaintiff failed to heed the obvious advice given in the *Highway Code*, namely "When the red man signal shows, don't cross. Press the button on the box and wait."

Clearly the plaintiff ought to have known that the lights were showing green in favour of the traffic approaching the crossing and that the vehicles in the outer of the two lanes going south were traveling freely. That he was substantially the author of his own sad misfortune cannot be gainsaid. The negligence found against the first defendant was that at 30 miles per hour he was traveling too fast and that he was not keeping a proper lookout for pedestrians trying to cross the road, albeit against the traffic lights. The negligence found against the second defendant was that he too was traveling too fast or failing to keep a proper lookout. In my judgment, to rate the negligence of either of the two defendants as being twice as bad as that of the plaintiff is clearly wrong and must have resulted from the judge misdirecting himself in the manner which I have described.

In my judgment, in order to assess the "claimant's share in the responsibility for the damage" which he has suffered as a result of the defendants' established negligence, the Judge must ask himself to what extent, if at all, the plaintiff has also been part author of his own damage. This obviously requires careful evaluation of the plaintiff's conduct in the light of all the circumstances of the accident, and those circumstances, of course include the conduct of all the defendants who have been found guilty of causative negligence. Circumstances will, naturally, differ infinitely. In the instant case the plaintiff's conduct set in motion the chain of events that led to the accident. If the plaintiff had not ignored or failed to observe that the lights were against him and in favour of the traffic when he decided to cross the pelican

crossing, then the accident would never have happened. It was the negligent response of each of the defendants to the dangerous situation thus created by the plaintiff which established their joint and several liability.

In other situations it might be the defendants who, for example, through their negligent driving, or negligent operation of a factory or building site, create the initial danger and it is then the response of the plaintiff to that dangerous situation that has to be assessed. What accounted for the reduction in the damages awarded to the plaintiff was his degree of culpability in setting the scene for the collision. In different circumstances, where the initial danger of injury is created by the negligence of the defendants, then it is the plaintiff's response to that situation which has to be assessed. In neither event does the exercise of assessing the plaintiff's share in the responsibility for the damage which he has sustained necessitate the determination of the extent of the individual culpability of each of the defendants, once the judge is satisfied that the defendants each caused or materially contributed to the plaintiff's damage. While the plaintiff's conduct has to be contrasted with that of the defendants in order to decide to what extent it is just and equitable to reduce the damages which would be awarded to him if the defendants were solely liable, it does not involve an assessment of the extent to which the fault of each of the defendants contributed to that damage. What is being contrasted is the plaintiff's conduct on the one hand with the totality of the tortious conduct of the defendants on the other. As previously stated, the determination of the extent of each of the defendants' responsibility for the damage is not made in the main action but in the contribution proceedings between the defendants, *inter se*, and which does not concern the plaintiff.

LORD BRIDGE OF HARWICH, LORD BRANDON OF OAKBROOK, LORD TEMPLEMAN, and LORD OLIVER OF AYLERTON concurred.

JAMES, "CONTRIBUTION AMONG JOINT TORTFEASORS: A PRAGMATIC CRITICISM"

(1941) 54 Harv L Rev 1156

One of its leading advocates [referring to Gregory, "Contribution Among Tort-Feasors: A Uniform Practice" (1938) Wis L Rev 365] writes that "contribution among tortfeasors has become an important item of law reform in this country." I suggest that under present conditions it is rather a step backward than a means of reform.

I

If tort liability is regarded as a means of shifting a loss from one who suffered it originally to another, through the traditional criterion of "fault," contribution among tortfeasors simply carries the fault basis of liability to a logical conclusion. But a different way of looking at tort liability is to regard it as a means for *distributing* losses over society as a whole or some fairly large segment of it. This approach leads to an altogether different set of consequences. Most important among them is that some good accrues from the fact of distribution itself. It is true that the total cost of the direct loss—through accident, for example—cannot be diminished by its distribution and, indeed, is increased by the cost which the distribution itself entails. Social gain accrues, nevertheless, since consistent distribution of losses over a large group tends to substitute (through the operation of the law of large numbers), a certain and calculable cost for the uncertain risk of ruinous losses to individuals. This removal of risk and uncertainty, moreover, eliminates fear inhibiting desirable enterprise, activity, and progress. Finally, the protection of its members from financial ruin or

great financial shock is a benefit to society as a whole quite apart from the gratification of humanitarian impulses. This has been regarded as a matter of individual benefit merely, but I think that there is no such thing as social good apart from the sum of the good accruing to individuals. And the repercussions of individual ruin are broader and more costly than the direct loss. The full blessings of distribution can best be attained by comprehensive social insurance, but some measure of advantage may be had within the present framework of our law of torts, for many of its rules tend in practice to shift losses to agencies which can and do distribute them. So my major proposition is simply this: An existing rule of law which has some tendency to effect loss distribution over a large segment of society ought not to give way to a rule which will bring about a less effective distribution unless there is a very good reason for it.

The question then arises: is a further refinement of the notion of fault—as exemplified in contribution—a sufficient reason? Let us assume that it may be in some kinds of cases, and narrow our inquiry to the field of accidental injury where fault in the sense of clear moral delinquency is probably rare. When so many of us drive machines capable of doing so much damage, it is inevitable that there will be many human failures fraught with serious consequences to life, limb, and property, which the victims as a class can ill afford. On this horizon the problem of accident prevention looms large, but it is more than doubtful whether a close adherence to the fault principle in civil liability can make a serious contribution to its solution. So far as civil damage goes, two other problems overshadow it: the need for assuring motor victims of compensation, and the need for an intelligent and expedient allocation of their losses so that society may absorb them with as little harm to itself as possible.

Against this contention that the main task of accident law is mitigation of the social disutility occasioned by loss through accident, two counter-arguments may be advanced. It might be said, for example, that methods of adjusting losses must in the long run correspond pretty closely to the ethical sense of the community, which cannot be satisfied by a system which holds men liable who have done no wrong. That tort law must reflect social ethics is clear enough; but the second branch of this argument assumes that the loss rests where legal liability puts it, which is not necessarily or even generally true today. People are not blind to the ultimate incidence of tort liability, and if they see that some defendants are merely conduits for distributing losses over a large group, they may conclude that it is fair to impose losses on these defendants whenever it is fair for the group as a whole to bear them. There is already an increasing feeling that society should share some burdens which are inseparable from activities that benefit society. This feeling is free from all desire for vengeance or retribution, yet it may have an ethical quality for all that, and it may well come to dominate moral judgments in this field in the not too distant future. It might also be asserted that the imposition of liability without fault puts a burden on affirmative activity which works against the general good. If I were to put forward a system of liability without fault, this argument would have to be met, but no change whatever is here being proposed; I am simply opposing a change which would carry out further the implications of the fault principle. The burden of proof is on the proponents of change and I do not think they can show a social need to advance in the direction of individual liability measured by individual fault beyond the line charted by the common law of the nineteenth century.

II

My succeeding propositions cannot be proved from the reports of decided cases. When some branch of the law is undergoing a period of marked change, it often happens that facts which have the greatest bearing on both the practical and the

social problems which a case presents, are deemed legally irrelevant. So it is in our tort law today with the fact of insurance. Therefore, I have selected a small sample of reported cases and written the attorneys concerned in them for the facts—relevant here—which do not appear in the report. The sample consisted of all the cases found in the Fourth Decennial Digest under the fifth paragraph of the title "Contribution." In the light of these cases, let us examine in detail some objections to contribution.

A. Contribution tends to embarrass and disfavour plaintiffs. First of all, contribution will make it harder for claimants to settle cases where there are more wrongdoers than one. This is not a necessary consequence of the right to contribution, but it results from the subsidiary rule, sometimes—but not always—adopted as a corollary to a contribution scheme, that a claimant cannot by covenant protect one wrongdoer against contribution claims which might accrue to other wrongdoers. The rule is logical enough, but its operation is unfortunate. Usually a man will settle a claim against him only to save money—that is, where the compromise figure is less than the probable amount of an adverse verdict. But if, in spite of his agreement with the plaintiff, one tortfeasor can be called upon to pay his share of any verdict which may be rendered against his fellow tortfeasors, he will not settle unless they all do. This puts the plaintiff at a disadvantage in his pre-trial bargaining, where he can no longer play one defendant off against the other, with the fear of each that unless he settles he may have to bear alone the full weight of the verdict. Instead the injured person has to persuade all the defendants to settle before he can offer any one of them an attractive proposition. The tune will be called by the toughest defendant—the one most reluctant to compromise. Of course, contribution may be had without this particular set of untoward consequences. In Wisconsin, where the statute is silent upon the matter and the Supreme Court has not yet spoken, it is assumed in practice and generally ruled by the lower courts that if one wrongdoer settles with the claimant he cannot later be called on for contribution. Under this practice settlements flourish.

This does not dispose of the question. While a proposed change ought to be evaluated in the light of all its consequences, it may be conceded that a rule which works out somewhat unfortunately as between plaintiffs and defendants may be justified if it is needed to prevent serious injustice among defendants. Indeed contribution is urged chiefly to attain justice among defendants and should perhaps in fairness be judged chiefly on that basis.

B. As among defendants, contribution tends to favor the large and wealthy at the expense of the relatively poor and weak, and for this reason would bring about a less effective social distribution of accident losses than exists at present. ... [P]laintiffs tend to sue insured or large corporate wrongdoers and to omit from suit those who do not fall within that class, wherever there is a choice among possible defendants. Moreover, a similar tendency is carried still further in seeking satisfaction. Proponents of contribution never tire of stressing the arbitrary power a plaintiff has in deciding how he will collect a judgment against two or more tortfeasors. He may be guided by whim, caprice, or spite. He may be, of course, but in fact he usually is guided by an intelligent self-interest. Thus even where a plaintiff has sued and has a judgment against an uninsured individual as well as an amply solvent or insured defendant he will almost invariably satisfy his entire judgment from the latter. So it is apparent that the remedy would be effectively used in a substantial number of instances to shift a loss from one strategically placed to distribute it to one who is unable to distribute it at all, while it would never be used to bring about the opposite result. ...

NOTE

Gregory replied to James's arguments in "Contribution Among Joint Tortfeasors: A Defence" (1941) 54 Harv L Rev 1170:

Ability to bear loss as the basis of liability in tort is not a new idea. But the notion that among those conceded to be liable to another, the entire loss should be shifted to him who is better able to pay is novel. This is the gist of Mr. James' engagingly simple thesis.

The advocates of contribution among tortfeasors entertain an equally simple thesis, although it is evolved somewhat more academically than Mr. James'. They perceive in the common liability of two or more tortfeasors a single burden resting on all alike and discharged by one to the benefit of all. But they believe that the common-law refusal to let this loss be spread among all the tortfeasors because the claimant for contribution is a "bad man" and hence not entitled to the aid of the courts, is misplaced prudery. They gamble all on the belief that the joint and several judgment in tort, as well as the common-law antipathy to contribution among tortfeasors, sprang from the conviction that tortfeasors should be dealt with severely. They realize, of course, that joint and several liability was an administrative *tour de force* enabling the courts to sidestep the difficult task of allocating relative degrees of fault among two or more tortfeasors, but their belief as to its probable genesis is unshaken. They would be terribly disturbed if some historian should demonstrate that the real explanation of joint and several liability among tortfeasors, without contribution, was the desire to give the injured person a free hand in shifting the loss to that tortfeasor best able to bear it and pass it on to society in general through increased prices or insurance of some sort.

In short, the advocates of contribution among tortfeasors have been impelled by rough notions of what they would probably call a sense of community justice or fairness and have found security in their position by convincing themselves that the only policies behind the older common-law views were not sound. ...

Mr. James' modest proposal is simply to retain the common-law system with all the tactical advantages it gives to plaintiffs because it is an effective way to provide compensation for the victims of torts without embarrassing those tortfeasors who are relatively unable to share the burden of loss, however seriously they may have contributed to the causing of the damage. It is, indeed, pleasant to know that there is a means of compensating all loss. But it is disquieting to learn that there is even academic support for providing this feeling of security by engendering a sense of utter irresponsibility on the part of all people who wish to enjoy the pleasures of risk-creating activity and at the same time eschew its responsibilities.

I agree that in torts shifting of statistically unavoidable loss to society as a whole is advantageous; workmen's compensation has certainly proved most desirable. If Mr. James supported a program of socialization of loss through taxation or compulsory insurance, preferably administered by quasi-judicial commissions, I would be most sympathetic. This might mean complete abandonment of tort law as we have known it, which is not necessarily a condemnation. But if Mr. James thinks that his ideal can be achieved at the expense of the stronger members of society, through the manipulation of common-law rules developed in an entirely different social context and completely unrelated to the policies which he says they now serve, then I suggest that he is either fostering social irresponsibility or has not thought his thesis through.

Contribution among tortfeasors is, admittedly, a modification of the common law and is based upon the traditional notions of "fault" (for lack of a better word) generally supposed to be at the root of tort liability. If one of two or more tortfeasors discharges a burden for which each of the others was equally liable, then they have benefited by the discharge and should contribute rateably to its payment. ...

Only the desirability of allowing recovery for damage wherever possible and of placing the burden of loss on the broadest shoulders argues potently against adoption of the kind

of contribution practice set forth in the proposed uniform act. I think it highly desirable to provide for the shifting of tort damage—the victims of which are statistically ubiquitous but personally unidentifiable in advance—from the shoulders of those who are hurt to all of society, or to all who partake in the risk-creating activity producing the harm. Yet that is a pretty considerable social program to hope to achieve with the somewhat archaic common law of torts and tort litigation. This system was established and is still administered as an adjunct of a highly individualistic society. It has always envisaged personal fortunes as the source of all damages or compensation. Naturally the system and its underlying assumptions have become practically modified with the development of large business organizations and liability insurance, particularly in regard to what courts treat as evidence of negligence to go to the jury. But these developments have hardly gone far enough to warrant Mr. James' conclusions. I believe that his recommendations will merely aggravate an already undesirable situation. I regard contribution among tortfeasors as no serious interference with the privileges that plaintiffs are intended to have and I believe it to be a desirable modification of some of the injustices of the present common-law system. As long as we retain this outmoded vehicle, developed to provide a distribution of loss based upon something called fault, I believe that we should honestly recognize its purposes and attempt more perfectly to achieve them. If Mr. James' ends are eventually thought best, as I am sure they will be, then the profession can devise a far more effective means of achieving them. In the meantime I shall continue to support contribution among tortfeasors substantially as it is recommended in the proposed *Uniform Contribution among Tortfeasors Act*. I shall continue to remain unimpressed by Mr. James' objections to it, although completely sympathetic to his main ideas.

James replied to this reply in "Replication" (1941) 54 Harv L Rev 1178:

The issue between Mr. Gregory and me is after all a surprisingly narrow one. Both of us believe that a comprehensive scheme of social insurance for accidents is a better ultimate solution of the problem of civil liability than the principle that recovery must be based on fault. We divide only on the question of what to do in the meanwhile. Mr. Gregory would perfect the fault principle and refine its implications even though that might take us farther away from our ultimate goal, while I should evaluate a rule of law, existing or proposed, partly in the light of its tendency to take us nearer to or farther from our goal, and I should think this consideration weightier than questions of fault. That leads into an inquiry which seems sordid, perhaps even unethical, to Mr. Gregory; but I do not view it in that light. I must look behind the trappings of verbiage and rationalization to see how the rule is really working out, how it affects litigants singly and in the mass, where its incidence truly is. And then, perhaps, I must seek to justify a rule in terms of premises that do not find open acceptance in our jurisprudence, so that, if my position prevails, a moderately good rule will be perpetuated by the courts for expressed reasons which are demonstrably bad.

Our difference in attitude has many a precedent. Both of us would welcome a wholesale change in the fault principle. Mr. Gregory must have it all or none, and prefers the more complete negation of it to any half-way measures. I, too, would like to have it all, but find no quarrel with a process which very great men have thought peculiarly characteristic of legal growth. "... As the law is administered by able and experienced men, who know too much to sacrifice good sense to a syllogism, it will be found that, when ancient rules maintain themselves in the way that has been and will be shown in this book, new reasons more fitted to the time have been found for them, and that they gradually receive a new content; and at last a new form, from the grounds to which they have been transplanted."

I do not question Mr. Gregory's account of the origins of the rule forbidding contribution. Surely, as he says, there can be no claim that the considerations I urge had anything at all to do with its birth or early growth. But how does that matter? The rule of vicarious

liability may owe its origin to the law of noxal surrender and the slaveowner's privilege to redeem an offending slave by making good the loss. Would Mr. Gregory have us shape the rule today with a view to carrying out more perfectly this initial function? Should we decide whether to keep or discard it on any such basis as that? Presumably not; and yet the parallel is tolerably close. ...

His proposal will take society one step further away from comprehensive insurance; it cannot, surely, help plaintiffs; it can only hurt impecunious defendants. ... Its advocates are made to look very much like men who propose to sacrifice good sense to a syllogism—and an outworn syllogism at that. Was Don Quixote ever more quixotic?

Who do you think had the better of this exchange?

SUPPLEMENTARY READING

Cheifetz, *Apportionment of Fault in Tort* (Aurora, Ont: Canada Law Book, 1981).

Klar, "Contribution Between Tort-Feasors" (1975) 13 Alta L Rev 359.

Kutner, "Contribution Among Tortfeasors: Liability Issues in Contribution Law" (1985) 63 Can Bar Rev 1.

Weinrib, "Contribution in a Contractual Setting" (1976) 54 Can Bar Rev 338.

Weinrib, "Thinking About Tort Law" (1992) 26 Val U L Rev 717.

CHAPTER SEVEN

THE ROLE OF STATUTES

Supplementary Reading 383

In our society, the wrongful behaviour that tort law addresses is also regulated by a variety of statutes that are designed to promote safety and penalize those who endanger others. Often such legislation does not expressly allow a party injured by its breach to sue the violator for compensation. The question then arises whether such legislation has any role to play in tort litigation. The cases in this chapter deal with this question. As the material that follows makes evident, at stake is not merely the formulation of a narrow legal rule but also an appreciation of the nature of the legislation.

**POSNER, "ECONOMICS, POLITICS, AND THE READING
OF STATUTES AND THE CONSTITUTION"**
(1982) 49 Chicago L Rev 263 at 265-66, 275-79

[Posner outlines the economic theories of legislation and their application to tort law as follows:]

A. PUBLIC INTEREST THEORY

The "public interest" theory ... conceives both the ideal and the actual function of legislation to be to increase economic welfare by correcting market failures such as crime and pollution. Some laws designed to transfer wealth from rich to poor also can be fitted into the theory. Free-rider problems might thwart private efforts to bring about the level of transfers from rich to poor that the rich would prefer; to that extent public wealth redistribution is a public good no different in kind from protection against crime or pollution.

There is little, if any, tension between the economist's public interest theory and the traditional lawyer's view of legislation. The lawyer's view is also that legislation is designed to protect the public interest, implicitly defined in utilitarian terms. If this were the only economic theory of legislation, this article would not be worth writing.

B. INTEREST GROUP THEORY

The "interest group" theory asserts that legislation is a good demanded and supplied much as other goods, so that legislative protection flows to those groups that derive the greatest value from it, regardless of overall social welfare, whether "welfare" is defined as wealth, utility, or some other version of equity or justice. An important

determinant of the net benefit of legislative protection to a group, and the primary focus of this literature, is the cost of organizing effective political action. That cost increases as group membership becomes larger and the group less cohesive. The size of the group also bears on the benefits of legislative protection. As the group becomes larger, the benefits to each member are likely to become smaller, and hence the individual's incentive to contribute to the group's endeavor will be weakened. Should the group try to overcome this problem by seeking so large a redistribution that all members would benefit substantially, the redistribution will be much more costly to those outside the group who will be taxed to defray its cost, and this will increase resistance to the group's objective. From an analysis of such factors, the literature concludes that effective interest groups are usually small and directed toward a single issue. The benefits of a redistribution in their favor are concentrated, the costs of organizing the group are small, and the costs of the redistribution are so widely diffused that nobody has much incentive to oppose it.

The properties that make legislative redistributions feasible have nothing to do with the public interest, whether defined in efficiency or equity terms. If anything, they tend to make legislation systematically perverse from a public interest standpoint by fostering the redistribution of wealth from large groups, including the public as a whole, to small ones. From a normative standpoint, therefore, the interest group theory is pessimistic concerning the purpose and effects of legislation, while the public interest theory is optimistic.

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D. IMPLIED RIGHTS OF ACTION

A statute often will provide for criminal or other public remedies for its violation but not say whether private individuals can bring damage or injunctive actions to enforce it. The present analysis may shed some light on whether a private right of action can be "implied" in a statute that is silent on private remedies, a question that has become controversial in recent years.

The question has an antecedent in the interplay between the standard of care in negligence cases and criminal safety statutes. Suppose a legislature passes a statute forbidding people to drive automobiles faster than fifty-five miles per hour, and someone violates the statute, injuring another as a result. If the victim of the accident sues the injurer, may violation of the statute be used as evidence, perhaps conclusive, of the injurer's negligence? The answer could depend on one's theory of legislation. The public interest theory implies that a legislative pronouncement on safety should be given great weight: the legislature was honestly trying to determine an optimal safety standard, and it has tools not available to courts for making such determinations. The interest group approach implies, to the contrary, that there is no presumption that a legislative safety standard represents a sincere effort at optimal safety, so courts should give it no more weight in private cases than the legislature prescribed. Under this view, if there is no evidence that the legislature wanted the standard used in private cases, courts should not use it. The recurrent finding in the economic literature that legislated safety standards are perverse or ineffectual, quite apart from whether they serve some group's special interest, reinforces this conclusion.

The choice between theories of legislation has implications for four specific issues regarding the use of legislated standards in tort cases and for one issue regarding an implied private right of action to enforce a statute that does not explicitly provide for such a remedy.

1. *Legislative Intent.* As already suggested, if the interest group view is taken the only question for a court asked to use a statutory standard in a private case is whether the legislature intended to require such use. The issue of legislative intent does not arise under the public interest view, where the only question is whether the legislative standard is pertinent to the issues in the case. The test most often used by tort courts—whether the plaintiff claiming the benefit of the statute was one of the people whom the legislature was trying to protect—seems to come to the same thing: an inquiry into the relevance of the standard to the case at hand.

2. *Technical Invalidity.* Suppose a statute containing a safety or health standard is enacted but later is invalidated because of some technical defect in the enactment process. Should the statute nonetheless be given weight by a court in a private action involving the subject matter of the statute? Again the answer depends on one's theory of the legislative process. The public interest theory implies that the defective statute should be given effect unless the defect raises a doubt whether the statute really reflects the deliberate choice of the legislature; a purely technical defect does not nullify the information content of the statute. Under the interest group view of legislation, however, there is no presumption that a statute has any such content. The courts bow to the legislative determination only as a matter of power; if the legislation is defectively enacted, it is not an authentic exercise of legislative power and therefore should not influence, let alone bind, the courts.

3. *Federal Standards in State Courts.* If a state court is asked in a private tort action to derive the applicable standard of care from a federal safety statute, the choice between theories of legislation may again be decisive. Courts that adopt the public interest view presumably should use any pertinent federal standards, because the standards can be assumed to provide information on whether the defendant was negligent. But under the interest group approach, courts have no reason to pay any attention to federal statutes, unless the statutes bind state courts by preempting any inconsistent state determinations on issues within their scope.

4. *Tortious Acts Outside the Legislative Purpose.* In *Gorris v. Scott* [LR 9 Exch 125 (1874)], the defendant violated a statute that required animals to be penned on shipboard. The purpose of the statute was to prevent contagion; the plaintiff's animals were washed overboard, although they would not have been had the defendant penned them as the statute required. The court held that the defendant's violation of the statute did not make him liable. This is the usual result in such cases, but viewed from a public interest standpoint is difficult to understand. If the defendant violated the statute, he acted wrongfully, and liability would have the salutary effect of increasing the incentives to observe the statutory command. But if the statute was just a favor to some interest group, adding sanctions for its violation via the tort law may upset the deal struck in the legislature by giving the interest group more than it could obtain in the political arena.

5. *Implying a Private Right of Action.* In deciding whether a statute creates a private cause of action for those injured by its violation, courts frequently ask whether the statute creates an adequate set of public remedies for its violation, so that implied private remedies are not needed to enforce it effectively. If courts find the statutory remedial scheme so incomplete or defective that private remedies are necessary to make it enforceable, they are more likely to imply a private remedy. This result is defensible only under the public interest theory of legislation. The absence of effective remedies implies to the interest group theorist that the group that procured the legislation lacked the political muscle to get an effective statute, and it is not the business of the courts to give an interest group a benefit that was denied by the legislature. Under this view, to imply a private right of action is to

intervene in the legislative struggle on the side of one interest group, overriding opposing groups that had managed to thwart the enactment of an effective statute. The issue is identical to that in *Gorris*.

The public interest and interest group theories of legislation have very different implications for the proper use of statutes in private cases. But as I argued in part I, we are not limited to a binary choice, and this gives rise to a puzzle: if the output of a legislature is a mixture of public interest and interest group statutes, together with others (based on "sentiment") that are difficult to classify into either group, and if, moreover, courts lack the research tools they need to classify statutes correctly, what is the judge to do when asked to rely on a statute in a private case as a source either of the standard of care or of the underlying right of action? As a matter of logic, it seems he cannot act at all without determining whether a statute is motivated by public interest or interest group considerations—a determination beyond his competence.

Because there is no easy way out of this dilemma, I am led to predict that courts will act with apparent inconsistency.

LANDIS, "STATUTES AND THE SOURCES OF LAW"

(1965) 2 Harv J on Legis 7

Beyond the accepted boundaries that can be accorded to statutory interpretation, however, lies a more neglected but more significant field. This concerns the place that statutes are to occupy in the ultimate processes of law-making by judges. Certainly statutes can never embrace within their sweep all human activity that law is called upon to order. Even the latitudinarian methods of statutory interpretation evolved by civilian theorists—sometimes gossamer-like in their fineness and subtlety and so scarcely able to withstand the rough and ready tumble of actual legal administration—have failed to net the interstices so tightly as to confine the judicial process merely to textual construction. However, to admit the existence of wide areas for legal administration beyond the direct governance of statutes is not to assume that statutes have no part in the solution of problems impossible to bring within the reach of their terms.

One well recognized field exists where statutes have been commonly relied upon by courts to determine whether certain types of conduct are to be regarded as tortious. Legislatures in striking at action deemed by them to be undesirable often fail to think beyond the imposition of a criminal penalty for pursuing forbidden acts. The very prohibition, however, carries with it a judgment of culpability. Courts have generally recognized this fact, and have enlarged the area of tort liability by giving the statute the effect of attaching culpability to action in disregard of the statute. The different theories expounded by the commentators as to the particular significances to be attached to such statutes need not here detain one; it is the use made of this legislation that holds import. The relevance of the legislature's judgment as to the desirability of particular conduct is obvious. In the unfettered choice open to a heterogeneous assembly the pressure of the various interests making for or against penalizing certain action finds a ready reflection. What remains for the judicial process in such cases is the extent to which the indirect pressure of civil liability shall be employed to compel conformance to the legislative rule.

Legislation in this field is only permitted by courts to exercise a limited function, that of crystallizing recognized principles of liability into more rigid rules to cover recurring type situations. A more extensive use of like statutory material can fairly ask indulgence. The statutory rule may have picked out for reprobation only a limited

number of examples from a wide field of not essentially dissimilar instances; but unless the enacted rule covers the particular type of conduct in issue, the traditional technique ignores the legislative treatment of analogous cases. The reasons for this neglect are difficult to grasp. The method of judicial evaluation of the conflicting claims which finally results in the enunciation of a rule has only very generalized and indefinite standards to guide it. Reliance is placed in the main upon particulars which consist of analogous cases decided by other courts, and which consequently reflect only a limited contact with the problem. The judgments of legislatures as expressed in statutory rules often represent a wider and more comprehensive grasp of the situation and yet are practically neglected. ...

The arguments adduced for neglecting such statutory material generally do little more than pour contempt upon the legislative process. Legislation is presumed immune to "principle"; its judgments represent merely the political pressure of a special class; it is both ignorant and perverse. Criticisms such as these, of course, have substance, but statutes are of all types. The task of distinguishing between the deliberate and the ad hoc pronouncements of a legislature is not too difficult. A course of legislation dealing continuously with a series of instances can be made to unfold a principle of action as easily as the sporadic judgments of courts. Deliberate and conscientious preferment of competing claims can be shown to underlie the enacted rule, while the wide generality of such a choice can be evidenced by the legislation of other jurisdictions. Only jejune conceptions of both the judicial and the legislative process stand in the way of the appropriate use of such statutory material. ...

The interplay between legislation and adjudication has been generally explored from the standpoint of interpretation. The function of the legislature as, in essence, a supreme court of appeal constantly busying itself with correcting the aberrations of the judicial process has been largely ignored. Cases, so far as their doctrinal content go, are overruled at almost every legislative session. The deeper import of such action has yet to be appreciated. A decent respect for the legislative process would strike a more favorable balance between legislative and judicial development of law.

One phase of the problem assumes importance especially in a nation with forty-eight coordinate but common legal systems. One jurisdiction faced with the same problem earlier decided by another jurisdiction has to weigh the significance to be attached to a statute repudiating the judicial solution made of the problem. To the narrow traditionalist the statute itself is a datum which reinforces the fact that the overruled decision is evidence of the common law, and so error perpetuates itself. But the simplicity of such a conception of the common law is slowly passing. A better understanding now exists of the nature of the judicial process and the nicety of the choices that sway judgment and thus result in law. Plainly, then, the statute is pertinent. Bench and bar have been prone to neglect this aspect of legislation. Cases are relied upon as authoritative without cognizance of the fact that in the jurisdiction that gave them birth they have already been repudiated. An editorial criticism of a decision is relied upon as an excuse for refusing to follow it, while the judgment of a legislature overturning its effect is neglected. Judicial reversals avowedly based upon the social expediency of the earlier conclusion stifle its germinating powers, but the same sober judgment of a representative assembly merely adds virulence to the poison of judicial unwisdom. Indeed, at times the process portrays a fantasy more than fit for a new Erewhon. ...

Judicial councils exist with the function of acting ministries of justice to call to the attention of the legislature weaknesses in existing judge-made law. Their recommendations, when translated into statutes ought to possess great persuasive value. Expert legislative draftsmen are commonly attached to legislatures, their counsels operating

to prevent the unfortunate incidents that characterized the legislation of early democratic assemblies. In the light of changes that modern juristic thinking has wrought in the nature and sources of law, judicial precedents are assuming a less coercive quality. If it be true that law reflects and should reflect experience rather than logic, legislation born of such an urge demands careful and sympathetic consideration.

NOTE

In *Jordan House Ltd v Menow*, [1974] SCR 239, 38 DLR (3d) 105, the defendant hotel served the plaintiff, a patron of its beverage room, past the point of intoxication and then ejected him. Soon afterward the patron was injured when struck by an automobile as he staggered near the centre of a highway. It was a violation of s 53(3) of the *Liquor Licence Act* and s 81 of the *Liquor Control Act* for the hotel to serve anyone in an apparently intoxicated condition. Section 67 of the *Liquor Licence Act* would have allowed the hotel to be sued for compensation had the plaintiff accidentally been killed or caused injury or damage to the person or property of anyone else. Laskin J observed (at 246 (SCR), 109 (DLR)):

Section 67 of the *Liquor Licence Act* has no direct application to the facts of the present case, and the trial Judge did not attempt to apply it even indirectly as pointing to a standard of care resting upon the hotel. Counsel for the appellant hotel urged, however, that the express provision for civil liability upon a breach of s. 67 reflected a legislative policy precluding the founding of a cause of action upon breach of the other terms of the *Liquor Licence Act* (or of the *Liquor Control Act*) invoked by the trial Judge. In my opinion, this is to mistake the use to which the trial Judge put s. 53(3) of the *Liquor Licence Act* and s. 81 of the *Liquor Control Act*. I do not read his reasons as holding that the mere breach of those enactments and the fact that Menow suffered personal injury were enough to attach civil liability to the hotel. He regarded them rather as crystallizing a relevant fact situation which, because of its authoritative source, the Court was entitled to consider in determining, on common law principles, whether a duty of care should be raised in favour of Menow against the hotel.

LITTLE V BROOKS AND CANADIAN NATIONAL RY CO

[1930] SCR 416, 4 DLR 1

[The plaintiffs, the widow and infant son of the deceased, sued the defendant train company and its employee, whose electric train collided in 1928 with the deceased's car at a crossing, killing him and three of his children. The plaintiffs pointed to a 1917 order of the Ontario Railway and Municipal Board restricting the speed of trains at this crossing to 5 mph. In 1919, the defendant company had been made a federal company and was thereafter governed exclusively by federal regulations so that the provincial order was no longer binding on it.]

RINFRET J (LAMONT and SMITH JJ concurring): ... The plaintiffs alleged that the train was being operated at an excessive and immoderate rate of speed considering the dangers of the crossing. While the order was rightly rejected as a rule binding on the company, it was further tendered as affording evidence that Dundas St. crossing was dangerous, and that it was not unreasonable to require that some precaution be taken there such as it prescribes. Documents such as these will be received in evidence when they contain the results of inquiries made, as here, under competent public authority in the exercise of a judicial or quasi-judicial duty and concerning matters in which the public are interested. ...

We think, therefore, that the order was admissible not as a rule that could be enforced against the railway company, but as affording evidence of an adjudication by a competent tribunal upon the dangerous character of the crossing—a matter of public concern—at the time the order was pronounced (*Taylor on Evidence*, 10th ed., pp. 442-3 and 1213) and presenting a standard of reasonableness upon which a jury might act.

We must qualify what we have just said by adding that if, as a result of subsequent inquiry made by the same or a similarly competent public authority, the regulation, order, rule or decree was set aside or superseded, it would, of course, cease to have any evidentiary value. That will be the case, should it be established at the new trial that, since the railway came under federal control, the Board of Railway Commissioners proceeded to make an inquiry of its own and came to the conclusion that, by providing for other and different means of safety, or simply by following the general railway law, “the said crossing is protected to the satisfaction of the Board.”

NOTES

1. Contrast the approach to regulation in *Littley* with that of Denning LJ in *Chipchase v British Titan Products*, [1956] 1 QB 545 (CA):

The plaintiff is a painter. In November, 1953, he was painting a factory; he got a pair of step ladders and a nine-inch plank, put them up in the ordinary way, and stood on the plank to do his work. He fell off and injured himself. Now he claims against his employers, saying that they were at fault at common law.

Mr. Stogdon argued that if the plaintiff had been working, six feet six inches above the ground, he would, by virtue of regulation 22 of the Building (Safety, Health and Welfare) Regulations, 1948, have had to have planks at least 25 inches wide; and, indeed, as he had a paint bucket up there beside him, the planks would have had to be 34 inches wide. Mr. Stogdon agrees that this case is not within the regulations because the plaintiff was not working six feet six inches but only six feet above the ground; but he argues that, as it was so nearly within the regulations, the court ought to take the regulations into account and hold that there ought to have been a plank wider than nine inches.

I do not think that argument is correct. The commissioner was clearly right in saying that the common law claim must be considered independently of the regulations. Undue complications would be brought into these cases if, whenever the courts were considering common law obligations, they had to consider all the statutory regulations which nearly apply, but which in fact do not apply.

The question, therefore, is, as a matter of common sense, ought there to have been wider staging? On all the evidence in the case the commissioner thought not, and I see no reason why this court should interfere with his decision. It is true that the foreman said that they used one plank only up to five feet ten inches: and if the height was over five feet ten inches there ought to be two planks. Although that witness was called for the defendants, the commissioner was not bound to accept every word the witness said. The commissioner was entitled to take into account the fact that the plaintiff selected the ladders and the plank himself and without complaint worked on it himself. It seems to me that the commissioner was quite right in holding that the employers had not been guilty of negligence, and I would dismiss the appeal.

2. Compare Denning LJ's comments here with his approach to seat-belt legislation in *Froom v Butcher*, [1975] 3 All ER 520, excerpted in Chapter 5, Section I.

THE QUEEN (CAN) V SASKATCHEWAN WHEAT POOL

[1983] 1 SCR 205, 143 DLR (3d) 9

DICKSON J (for the court):—This case raises the difficult issue of the relation of a breach of a statutory duty to a civil cause of action. Where “A” has breached a statutory duty causing injury to “B,” does “B” have a civil cause of action against “A”? If so, is “A’s” liability absolute, in the sense that it exists independently of fault, or is “A” free from liability if the failure to perform the duty is through no fault of his? In these proceedings the Canadian Wheat Board (the Board) is seeking to recover damages from the Saskatchewan Wheat Pool (the Pool) for delivery of infested grain out of a terminal elevator contrary to s. 86(c) of the *Canada Grain Act*, SC 1970-71-72, c. 7.

THE FACTS

The respondent Pool is a grain dealer and operates licensed primary country grain elevators in Saskatchewan. It also operates eight licensed terminal elevators at the port of Thunder Bay in Ontario where grain is received from western Canada for export or shipment further east. ... The Board is an agent of the Crown and is authorized under the *Canadian Wheat Board Act*, RSC 1970, c. C-12, to buy, sell and market wheat, oats and barley, grown in western Canada, for marketing in interprovincial and export trade. ... The quantities [of grain that come into the Pool’s elevators] are large. The grain received by the Pool at Thunder Bay varied from 100 railway carloads a day in January to 600 or 700 carloads a day in September. Each carload, upon arrival at the terminal elevator has a sample taken from it by inspectors employed by the Canadian Grain Commission. These samples are visually scrutinized for insect infestation. Adult rusty beetles can sometimes be detected by visual inspection but not always. A berlese funnel test is performed to reveal infestation from rusty beetle larvae. This test takes from four to six hours to complete. It is performed only on about 10 per cent of the grain cars entering the terminal elevator. It cannot be conducted on the spot. It is done at the headquarter offices of the Canadian Grain Commission in Thunder Bay. The results are not known for two or three days. By the time the results are known, the grain could be either in the terminal elevator or on a ship. ...

The dispute in this case arises from an infestation of rusty grain beetle larvae. On September 19, 1975, the Board surrendered to the Pool terminal elevator receipts for a quantity of No. 3 Canada Utility Wheat at Thunder Bay and gave directions for the wheat to be loaded onto the vessel *Frankcliffe Hall*. On September 22nd and 23rd, No. 3 Canada Utility Wheat and other wheat was loaded from the Pool’s terminal elevator No. 8 into the vessel which sailed on September 23, 1975. During the loading routine samples were taken from the wheat. This wheat was loaded under the scrutiny of the Canadian Grain Commission’s inspectors as well as the scrutiny of the Pool’s representatives. At the loading no one had any knowledge that the grain was infested with rusty beetle larvae. The exact cause of the infestation was not and could not be known. Visual inspection revealed no infestation. A berlese funnel test, however, conducted at the Grain Commission’s headquarters after the ship had sailed disclosed an infestation of rusty grain beetle larvae in the 273,569 bushels of wheat loaded into holds No. 5 and 6. This was the first rusty beetle larvae infestation known to occur in a ship. The Canadian Grain Commission ordered the Board to fumigate the affected wheat. The Board directed the *Frankcliffe Hall* diverted to Kingston for fumigation and was obliged to pay the vessel owner and the elevator operator at Kingston \$98,261.55 comprising detention claims, cost of unloading and reloading

the grain and fumigation of the grain and holds. It is this amount which the Board is now claiming from Saskatchewan Wheat Pool.

The Board makes no claim in negligence. It relies entirely on what it alleges to be a statutory breach. It is common ground that the Board received grain of the kind, grade and quantity to which it was entitled.

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STATUTORY BREACH GIVING RISE TO A CIVIL CAUSE OF ACTION

(a) General

The uncertainty and confusion in the relation between breach of statute and a civil cause of action for damages arising from the breach is of long standing. The commentators have little but harsh words for the unhappy state of affairs, but arriving at a solution, from the disarray of cases, is extraordinarily difficult. It is doubtful that any general principle or rationale can be found in the authorities to resolve all of the issues or even those which are transcendent.

There does seem to be general agreement that the breach of a statutory provision which causes damage to an individual should in some way be pertinent to recovery of compensation for the damage. Two very different forces, however, have been acting in opposite directions. In the United States the civil consequences of breach of statute have been subsumed in the law of negligence. On the other hand, we have witnessed in England the painful emergence of a new nominate tort of statutory breach. This Court was given the opportunity to choose between the two positions in *Sterling Trusts Corp. v. Postma*, [1965] SCR 324, 48 DLR (2d) 423 but did not find it necessary for the determination of that case to attempt the difficult task. ... It is now imperative for this Court to choose.

(b) The English Position

In 1948 in the case of *London Passenger Tpt. Bd. v. Upson*, [1949] AC 155, [1949] 1 All ER 60 ... the House of Lords affirmed the existence of a tort of statutory breach distinct from any issue of negligence. The statute prescribes the duty owed to the plaintiff who need only show (1) breach of the statute, and (2) damage caused by the breach.

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As Street puts it:

The effect of the leading cases in the nineteenth century (which remain important authorities) however, was to make the cause of action rest on proof that the legislature intended that violation of the right or interest conferred by the statute was to be treated as tortious.

(Street, *Law of Torts* (2nd ed., 1959) at p. 273.)

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The pretence of seeking what has been called a "will o' the wisp," a non-existent intention of Parliament to create a civil cause of action, has been harshly criticized. It is capricious and arbitrary, "judicial legislation" at its very worst. ... It is a "bare faced fiction" at odds with accepted canons of statutory interpretation: "the legislature's silence on the question of civil liability rather points to the conclusion that it either did not have it in mind or deliberately omitted to provide for it" (Fleming, *The Law of Torts* (5th ed., 1977), at p. 123. Glanville Williams is now of the opinion that the

"irresolute course" of the judicial decisions "reflect no credit on our jurisprudence" and, with respect, I agree. He writes:

The failure of the judges to develop a governing attitude means that it is almost impossible to predict, outside the decided authorities, when the courts will regard a civil duty as impliedly created. In effect the judge can do what he likes, and then select one of the conflicting principles stated by his predecessors in order to justify his decision.

(*The Effect of Penal Legislation in the Law of Tort*, op. cit., at p. 246.)

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The door to a civil cause of action arising from breach of statute had swung closed at the beginning of the 19th century with the proliferation of written legislation and swung open again, for reasons of policy and convenience, to accommodate the rising incidence of industrial accidents at the end of the 19th century. But the proposition that every statutory breach gave rise to a private right of action was still untenable, as it is today. The Courts looked for a screening mechanism which would determine the cases to which an action should be limited.

Various presumptions or guidelines sprang up. "Thus, it has often been tediously repeated that the crucial test is whether the duty created by the statute is owed primarily to the State, and only incidentally to the individual, or vice versa." (Fleming, op. cit., at p. 125.) A duty to all the public (ratepayers, for example) does not give rise to a private cause of action whereas a duty to an individual (an injured worker, for example) may. The purpose of the statute must be the protection of a certain "class" of individuals of whom the plaintiff is one and the injury suffered must be of a kind which it was the object of the legislation to prevent. Both requirements have, in the past, been fairly narrowly construed and fairly heavily criticized.

Although "[i]t is doubtful, indeed, if any general principle can be found to explain all the cases on the subject" (*Salmond on Torts* (7th ed., 1977), at p. 243) several justifications are given for the tort of statutory breach. It provides fixed standards of negligence and replaces the judgment of amateurs (the jury) with that of professionals in highly technical areas. In effect, it provides for absolute liability in fields where this has been found desirable such as industrial safety. Laudable as these effects are, the state of the law remains extremely unsatisfactory. ...

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(c) The American Position

Professor Fleming prefers the American approach which has assimilated civil responsibility for statutory breach into the general law of negligence:

Intellectually more acceptable, because less arcane, is the prevailing American theory which frankly disclaims that the civil action is in any sure sense a creature of the statute, for the simple enough reason that the statute just does not contemplate, much less provide, a civil remedy. Any recovery of damages for injury due to its violation must, therefore, rest on common law principles. But though the penal statute does not create civil liability the court may think it proper to adopt the legislative formulation of a specific standard in place of the unformulated standard of reasonable conduct, in much the same manner as when it rules peremptorily [sic] that certain acts or omissions constitute negligence of the law.

(Fleming, op. cit., at p. 124.)

There are, however, differing views of the effect of this assimilation: at one end of the spectrum, breach of a statutory duty may constitute negligence *per se* or, at

the other, it may merely be evidence of negligence. This distinction finds its roots in the seminal 1913 article ("Public Wrong and Private Action," (1913-14) Harv LR 317 at 323), by Professor Thayer.

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Professor Thayer's thesis was essentially that prudent men do not break the law. He thus applied the criminal standard of care, breach of which would give rise to penal consequences under the statute, to the civil action.

The majority view in the United States has been that statutory breach constitutes negligence *per se*—in certain circumstances:

Once the statute is determined to be applicable—which is to say, once it is interpreted as designed to protect the class of persons in which the plaintiff is included, against the risk of the type of harm which had in fact occurred as a result of its violation—the great majority of the courts hold that an unexcused violation is conclusive on the issue of negligence, and that the court must so direct the jury. The standard of conduct is taken over by the court from that fixed by the legislature, and "jurors have no dispensing power by which to relax it," except in so far as the court may recognize the possibility of a valid excuse for disobedience of the law. This usually is expressed by saying that the unexcused violation is negligence "*per se*," or in itself. The effect of such a rule is to stamp the defendant's conduct as negligence, but with no greater effect.

(Prosser, *op. cit.*, at p. 200.)

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The major criticism of the negligence *per se* approach has been the inflexible application of the Legislature's criminal standard of conduct to a civil case. I agree with this criticism. The defendant in a civil case does not benefit from the technical defences or protection offered by the criminal law; the civil consequences may easily outweigh any penal consequences attaching to the breach of statute; and finally the purposes served by the imposition of criminal as opposed to civil liability are radically different. The compensatory aspect of tort liability has won out over the deterrent and punitive aspect; the perceptible evolution in the use of civil liability as a mechanism of loss shifting to that of loss distribution has only accentuated this change. And so "[t]he doctrine of negligence *per se* is, therefore, not fitted for relentless use, nor is it so used" (Morris, "The Relation of Criminal Statutes to Tort Liability," (1932-33) 46 Harv LR 453 at 460). Thus the guidelines in the *Restatement of the Law of Torts*.

(d) The Canadian Position

The use of breach of statute as evidence of negligence as opposed to recognition of a nominate tort of statutory breach is, as Professor Fleming has put it, more intellectually acceptable. It avoids, to a certain extent, the fictitious hunt for legislative intent to create a civil cause of action which has been so criticized in England. It also avoids the inflexible application of the legislature's criminal standard of conduct to a civil case. Glanville Williams is of the opinion, with which I am in agreement, that where there is no duty of care at common law, breach of non-industrial penal legislation should not affect civil liability unless the statute provides for it. As I have indicated above, industrial legislation historically has enjoyed special consideration. Recognition of the doctrine of absolute liability under some industrial statutes does not justify extension of such doctrine to other fields, particularly when one considers the jejune reasoning supporting the juristic invention.

Regarding statutory breach as part of the law of negligence is also more consonant with other developments which have taken place in the law. More and more

the legislator is heeding the admonition of Lord du Parc given many years ago in *Cutler v. Wandsworth Stadium Ltd.*, [1949] AC 398, [1949] 1 All ER 544 at 549 (HL):

To a person unversed in the science, or art, of legislation it may well seem strange that Parliament has not by now made it a rule to state explicitly what its intention is in a matter which is often of no little importance, instead of leaving it to the courts to discover, by a careful examination and analysis of what is expressly said, what that intention may be supposed probably to be. There are, no doubt, reasons which inhibit the legislature from revealing its intention in plain words. I do not know, and must not speculate, what those reasons may be. I trust, however, that it will not be thought impertinent, in any sense of that word, to suggest respectfully that those who are responsible for framing legislation might consider whether the traditional practice, which obscures, if it does not conceal, the intention which Parliament has, or must be presumed to have, might not safely be abandoned.

Statutes are increasingly speaking plainly to civil responsibility: Consumer Protection Acts, Rental Acts, Business Corporations Acts. Individual compensation has become an active concern of the legislator.

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Tort law itself has undergone a major transformation in this century with nominate torts being eclipsed by negligence, the closest the common law has come to a general theory of civil responsibility. The concept of duty of care, embodied in the neighbour principle has expanded into areas hitherto untouched by tort law.

One of the main reasons for shifting a loss to a defendant is that he has been at fault, that he has done some act which should be discouraged. There is then good reason for taking money from the defendant as well as a reason for giving it to the plaintiff who has suffered from the fault of the defendant. But there seems little in the way of defensible policy for holding a defendant who breached a statutory duty unwittingly to be negligent and obligated to pay even though not at fault. The legislature has imposed a penalty on a strictly admonitory basis and there seems little justification to add civil liability when such liability would tend to produce liability without fault. The legislature has determined the proper penalty for the defendant's wrong but if tort admonition of liability without fault is to be added, the financial consequences will be measured, not by the amount of the penalty, but by the amount of money which is required to compensate the plaintiff. Minimum fault may subject the defendant to heavy liability. Inconsequential violations should not subject the violator to any civil liability at all but should be left to the criminal Courts for enforcement of a fine.

In this case the Board contends that the duty imposed by the Act is absolute, that is to say, the Pool is liable, even in absence of fault, and all that is requisite to prove a breach of duty is to show that the requirements of the statute have not, in fact, been complied with; it is not necessary to show how the failure to comply arose or that the Pool was guilty of any failure to take reasonable care to comply.

The tendency of the law of recent times is to ameliorate the rigors of absolute rules and absolute duty in the sense indicated, as contrary to natural justice. "Sound policy lets losses lie where they fall except where a special reason can be shown for interference": Holmes, *The Common Law* (1923), at p. 50. In the case at Bar the evidence is that substantially all of the grain entering the terminal of the Pool at Thunder Bay came from agents of the Board. The imposition of heavy financial burden as in this case without fault on the part of the Pool does not incline one to interfere. It is better that the loss lies where it falls, upon the Board.

For all of the above reasons I would be adverse to the recognition in Canada of a nominate tort of statutory breach. Breach of statute, where it has an effect upon civil

liability, should be considered in the context of the general law of negligence. Negligence and its common law duty of care have become pervasive enough to serve the purpose invoked for the existence of the action for statutory breach.

It must not be forgotten that the other elements of tortious responsibility equally apply to situations involving statutory breach, i.e., principles of causation and damages. To be relevant at all, the statutory breach must have caused the damage of which the plaintiff complains. Should this be so, the violation of the statute should be evidence of negligence on the part of the defendant.

IV

THIS CASE

Assuming that Parliament is competent constitutionally to provide that anyone injured by a breach of the *Canada Grain Act* shall have a remedy by civil action, the fact is that Parliament has not done so. Parliament has said that an offender shall suffer certain specified penalties for his statutory breach. We must refrain from conjecture as to Parliament's unexpressed intent. The most we can do in determining whether the breach shall have no other legal consequences is to examine what is expressed. In professing to construe the Act in order to conclude whether Parliament intended a private right of action, we are likely to engage in a process which Glanville Williams aptly described as "looking for what is not there" (op. cit., p. 244). The *Canada Grain Act* does not contain any express provision for damages for the holder of a terminal elevator receipt who receives infested grain out of an elevator.

The obligation of a terminal operator under s. 61(1) of the *Canada Grain Act* is to deliver to the holder of an elevator receipt for grain issued by the operator the identical grain or grain of the same kind, grade and quantity as the grain referred to in the surrendered receipt, as the receipt requires. That obligation was discharged.

Breach of s. 86(c) of the *Canada Grain Act* in discharging infested grain into the *Frankcliffe Hall* does not give rise, in and of itself, to an independent tortious action. The Board has proceeded as if it does. Statutory breach, and not negligence, is pleaded. The case has been presented exclusively on the basis of breach of statutory duty. The Board has not proved what Lord Atkin referred to as statutory negligence, i.e., as intentional or negligent failure to comply with a statutory duty. There is no evidence at trial of any negligence or failure to take care on the part of the Pool. The Pool has demonstrated that it operated its terminal up to the accepted standards of the trade; it made regular checks of its terminals for infested grain; it tested samples of wheat both upon admission to and upon discharge from its terminal elevator. Samples were taken on discharge of the wheat from the terminal elevator into the *Frankcliffe Hall* by both the Pool's employees and the Grain Commission inspectors. Visual inspection of the samples showed no defect. Berlese funnel tests conducted at the Grain Commission headquarters disclosed the infestation but the results could not be made available before the *Frankcliffe Hall* had sailed. The inspection procedures followed were those determined by the Canada Grain Commission (s. 12(1)(a), the *Canada Grain Act*) and the Pool and the Commission worked in co-operation. The Pool successfully demonstrated that the loss was not the result of any negligence on its part.

In sum I conclude that:

1. Civil consequences of breach of statute should be subsumed in the law of negligence.
2. The notion of a nominate tort of statutory breach giving a right to recovery merely on proof of breach and damages should be rejected, as should the

- view that unexcused breach constitutes negligence *per se* giving rise to absolute liability.
3. Proof of statutory breach, causative of damages, may be evidence of negligence.
 4. The statutory formulation of the duty may afford a specific, and useful, standard of reasonable conduct.
 5. In the case at Bar negligence is neither pleaded nor proven. The action must fail.

NOTE

In *Ryan v Victoria (City)*, [1999] 1 SCR 201, the plaintiff was thrown from his motorcycle while attempting to cross railway tracks running down the centre of the street. The accident occurred when the front tire of the appellant's motorcycle became trapped in a "flangeway" gap running alongside the inner edge of the tracks. At the time of the accident, the flangeways on Store Street were approximately one-quarter of an inch wider than the front tire of the plaintiff's motorcycle. Gaps of that width were within the range approved by the Board of Railway Commissioners of Canada in 1910. It would have been possible for the defendant to install narrower flangeways that would have avoided this accident. The judgment of the Court, finding for the plaintiff, was delivered by Major J:

28 Conduct is negligent if it creates an objectively unreasonable risk of harm. To avoid liability, a person must exercise the standard of care that would be expected of an ordinary, reasonable and prudent person in the same circumstances. The measure of what is reasonable depends on the facts of each case, including the likelihood of a known or foreseeable harm, the gravity of that harm, and the burden or cost which would be incurred to prevent the injury. In addition, one may look to external indicators of reasonable conduct, such as custom, industry practice, and statutory or regulatory standards.

29 Legislative standards are relevant to the common law standard of care, but the two are not necessarily co-extensive. The fact that a statute prescribes or prohibits certain activities may constitute evidence of reasonable conduct in a given situation, but it does not extinguish the underlying obligation of reasonableness. See *Saskatchewan Wheat Pool v. Canada*, [1983] 1 S.C.R. 205 (S.C.C.). Thus, a statutory breach does not automatically give rise to civil liability; it is merely some evidence of negligence By the same token, mere compliance with a statute does not, in and of itself, preclude a finding of civil liability Statutory standards can, however, be highly relevant to the assessment of reasonable conduct in a particular case, and in fact may render reasonable an act or omission which would otherwise appear to be negligent. This allows courts to consider the legislative framework in which people and companies must operate, while at the same time recognizing that one cannot avoid the underlying obligation of reasonable care simply by discharging statutory duties.

30 The foregoing view, though generally accepted, has long been resisted in railway cases. For more than 90 years, railway companies have benefited from a "special rule" at common law which placed them in a privileged position within the law of negligence. As long as a railway complied with the requirements imposed upon it by applicable statutes, regulations and administrative orders, it was under no further obligation—absent extraordinary circumstances—to act in an objectively reasonable manner. ... [T]he effect of the rule was [that] it excused railway companies in most cases from the ordinary obligation of prudence which governs other members of society.

31 The roots of the special rule reach back to the turn of the century, when railways occupied a position of unparalleled economic and social importance in the development of Canada. ...

32 This Court upheld the special rule in *Paskivski* [v *Canadian Pacific Ltd*, [1976] 1 SCR 687], but it did so with reluctance. Dickson J. questioned the ongoing relevance of the rule at p. 708:

The past seventy years have wrought many changes within Canada and today one might perhaps be inclined to question the relevance and validity of a rule of law which limits the common law duty of care of a railway to the special case or the exceptional case, particularly if those words are to receive a strict or narrow construction. It may well be that the interests of a young and undeveloped nation are best served by a minimum of impediment to industrial growth and economic expansion but in a more developed and populous nation this attitude of *laissez faire* may have to yield to accommodate the legitimate concern of society for other vital interests such as the safety and welfare of children.

Laskin CJ, concurring in the result reached by Dickson J, was even more pointed in his criticism of the rule at 689-90:

... I am unable to appreciate why railway companies, in the conduct of their transportation operations, are today entitled to the benefit of a special rule, more favourable to them, by which their common law liability is to be gauged. When all allowances are made for the force and legal effect of the rules and regulations of the regulatory agency, the Canadian Transport Commission, to which railway companies are subject, and when the question of their liability turns on the common law of negligence, as is the case here, they cannot claim to be judged by any different standards than those that apply to other persons or entities charged with liability for negligence.

33 The calls for reform expressed 24 years ago in *Paskivski* are more compelling today. The special status enjoyed by railway companies under the law of negligence can no longer be justified in principle and the time has come for that rule to be set aside. Although a doctrine of such long standing should not lightly be discarded, there is little to be gained from maintaining for its own sake a line of jurisprudence which has lost its relevance.

34 The Railways contend that the ... rule should be preserved in deference to the expertise of the Board (now the Canadian Transportation Agency) on matters of railway safety. That argument is unpersuasive. The orders of an administrative board may be relevant to the determination of reasonable behaviour in specific circumstances. However, as noted, such orders do not oust the underlying standard of reasonableness imposed by common law. A railway, like any other company or individual, is subject to generally applicable principles of negligence, and should not enjoy special protection when its actions or omissions cause harm to other members of society. ...

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40 Where a statute authorizes certain activities and strictly defines the manner of performance and the precautions to be taken, it is more likely to be found that compliance with the statute constitutes reasonable care and that no additional measures are required. By contrast, where a statute is general or permits discretion as to the manner of performance, or where unusual circumstances exist which are not clearly within the scope of the statute, mere compliance is unlikely to exhaust the standard of care. This approach strikes an appropriate balance among several important policies, including deference to legislative determinations on matters of railway safety, security for railways which comply with prescribed standards, and protection for those who may be injured as a result of unreasonable choices made by railways in the exercise of official authority.

SENECA COLLEGE V BHADAURIA[1981] 2 SCR 181, 124 DLR (3d) 193

LASKIN CJC (for the court): The issue in this appeal is whether this Court should affirm the recognition by the Ontario Court of Appeal of a new intentional tort. The tort was recognized to protect a plaintiff against unjustified invasion of his or her interest not to be discriminated against in respect of a prospect of employment on grounds of race or national origin. The case was argued in the Ontario Court of Appeal on the alternative footing that a civil right of action flowed directly from a breach of the *Ontario Human Rights Code*, RSO 1970, c. 318, as amended by 1971 (Ont.), c. 50, s. 63; 1972 (Ont.), c. 119 and 1974 (Ont.), c. 73. Wilson JA, having found that the tort arose at common law through the invocation of the public policy expressed in the Code as supplying applicable standards, refrained from addressing the alternative argument. ...

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... [T]he naked legal question which is raised here came before the Courts below and is before this Court on a motion by way of demurrer under Ontario Rule 126. The facts alleged in the statement of claim are to be taken, therefore, as provable according to their recitation. Of course, no statement of defence has as yet been delivered.

The facts alleged disclose that the plaintiff is a highly educated woman of East Indian origin with an earned Ph.D. degree in mathematics. She holds a valid Ontario teaching certificate and has had seven years' teaching experience in the field of mathematics. In response to newspaper advertisements placed by the defendant college, the plaintiff made some 10 separate applications for a teaching position in the period between June 28, 1974 and May 19, 1978. Although letters were sent to her by the college in response to her applications, telling her she would be contacted for an interview, she was never given an interview nor any reason for the rejection of her applications. She alleged that the positions for which she applied were filled by others without her high qualifications but who were not of East Indian origin. She claimed that there was discrimination against her because of her origin and that the college was in breach of a duty not to discriminate against her, and also in breach of s. 4 [rep & sub 1972, c 119, s 5; am 1974, c 73, s 2] of the *Ontario Human Rights Code*, as amended. She claimed damages for being deprived of teaching opportunities at the college in which she was still interested and for being deprived of the opportunity to earn a teaching salary. Moreover, she suffered mental distress, frustration, loss of self-esteem and dignity, and lost time in repeatedly applying for advertised positions for which she was denied the opportunity to compete.

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The present *Ontario Human Rights Code* contains a declaration of policy in its preamble [am 1972, c 119, s 1] (being the same declaration that was in the original Code), as follows:

WHEREAS recognition of the inherent dignity and the equal and inalienable rights of all members of the human family is the foundation of freedom, justice and peace in the world and is in accord with the universal Declaration of Human Rights as proclaimed by the United Nations;

AND WHEREAS it is public policy in Ontario that every person is free and equal in dignity and rights without regard to race, creed, colour, sex, marital status, nationality, ancestry or place of origin;

AND WHEREAS these principles have been confirmed in Ontario by a number of enactments of the Legislature;

AND WHEREAS it is desirable to enact a measure to codify and extend such enactments and to simplify their administration.

[Laskin CJC then outlined the Code's prohibitions of discrimination on the grounds of race, creed, colour, sex, marital status, nationality, ancestry, or place of origin; the role of the Ontario Human Rights Commission in administering and enforcing the Code; the procedure for complaints and setting up a board of inquiry; and the powers of such a board, including the power to order any offending party "to do any act or thing that, in the opinion of the board, constitutes full compliance ... and to rectify any injury caused to any person or to make compensation therefor." He continued:]

The comprehensiveness of the Code is obvious from this recital of its substantive and enforcement provisions. There is a possibility of a breakdown in full enforcement if the Minister refuses to appoint a board of inquiry where a complaint cannot be settled and, further, whether penalties on prosecution will be sought also depends on action by the minister. I do not, however, regard this as supporting (and no other support was advanced by the respondent) the contention that the Code itself gives or envisages a civil cause of action, whether by way of election of remedy or otherwise. The Minister's discretion is simply an element in the scheme.

There is, in my view, a narrow line between founding a civil cause of action directly upon a breach of a statute and as arising from the statute itself and founding a civil cause of action at common law by reference to policies reflected in the statute and standards fixed by the statute. The cases that have dealt with situations of this kind have been in the field of negligence. ...

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What we have here, if the Court of Appeal is correct in its conclusion, is a species of an economic tort, new in its instance and founded, even if indirectly, on a statute enacted in an area outside a fully recognized area of common law duty: see Williams, "The Effect of Penal Legislation in the Law of Tort," 23 *Mod. L. Rev.* 293 (1960), at p. 256. It is one thing to apply a common law duty of care to standards of behaviour under a statute; that is simply to apply the law of negligence in the recognition of so-called statutory torts. It is quite a different thing to create by judicial fiat an obligation—one in no sense analogous to a duty of care in the law of negligence—to confer an economic benefit upon certain persons, with whom the alleged obligor has no connection, and solely on the basis of a breach of a statute which itself provides comprehensively for remedies for its breach.

It was conceded that the relevant provisions in this case, if applicable, are in s. 4(1)(a) and (b) which read as follows:

- 4(1) No person shall,
 - (a) refuse to refer or to recruit any person for employment;
 - (b) dismiss or refuse to employ or to continue to employ any person;

On the facts here, taken as provable, there was a refusal to recruit for employment and, certainly, a refusal to employ. However, a refusal to enter into contract relations or perhaps, more accurately, a refusal even to consider the prospect of such relations has not been recognized at common law as giving rise to any liability in tort.

None of the cases considered in the Ontario Court of Appeal, all arising at common law and under the civil law of Quebec, relate to a refusal to recruit or to employ. They exhibit a strict *laissez faire* policy, even where the business or service whose facilities were denied on the ground of colour or race or ancestry was under gov-

ernment licence: see *Loew's Montreal Theatres Ltd. v. Reynolds* (1919), 30 Que. KB 459; *Franklin v. Evans* (1924), 55 OLR 349; *Christie v. York Corp.*, [1940] 1 DLR 81, [1940] SCR 139; *Rogers v. Clarence Hotel Co. Ltd.*, [1940] 3 DLR 583, [1940] 2 WWR 545, 55 BCR 214. In those cases where a plaintiff succeeded in his claim for damages for denial of services or accommodation on the ground of colour or race, recovery was based on an innkeeper's liability: see *Constantine v. Imperial London Hotels, Ltd.*, [1944] 2 All ER 171, and cf. *Rothfield v. North British R. Co.*, [1920] SC 805. ...

The common law of innkeepers' liability had, historically, developed along different lines from that respecting restaurants and taverns; keepers of a common inn were under an obligation to receive travellers or intending guests, irrespective of race or colour or other arbitrary disqualification: see 24 *Hals.*, 4th ed., "Inns and Innkeepers," p. 616 et seq.

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Another support, perhaps the strongest support, for the result reached by the Ontario Court of Appeal lay in the approach taken by Mackay J in *Re Drummond Wren*, [1945] 4 DLR 674, [1945] OR 778, where a restrictive covenant in a deed of land, prohibiting the sale of the land to "Jews or persons of objectionable nationality," was struck down as offensive to public policy as expressed, *inter alia*, in the *Ontario Racial Discrimination Act, 1944*. As Wilson JA pointed out, Mackay J invalidated the covenant not because it violated the Act but because it was contrary to the public policy expressed in the Act; and she added [at 714]: "This is the distinction which underlies the alternate bases on which the plaintiff has put her claim."

I do not myself quarrel with the approach taken in *Re Drummond Wren*, but it is necessary to point out that a different view on public policy was taken by the Ontario Court of Appeal in *Re Noble and Wolf*, [1949] 4 DLR 375, [1949] OR 503, a case not mentioned by Wilson JA. Moreover, when this last-mentioned case came to this Court as *Noble and Wolf v. Alley et al.*, [1951] 1 DLR 321, [1951] SCR 64, the obnoxious covenant in that case, similar to the one in *Re Drummond Wren*, was held unenforceable for uncertainty and as a restraint on alienation, property law grounds, and the Court made no pronouncement on public policy, although the Court of Appeal had done so, disagreeing therein with *Re Drummond Wren*.

Having canvassed the cases that I have mentioned, Wilson JA began her concluding reasons in these words [at 714]:

Against this background of authorities, we are called on to decide the matter now on appeal before us, namely, assuming that the plaintiff can prove the allegations set forth in her statement of claim, do they give rise to a cause of action at common law and, if they do not, do they give rise to a civil cause of action under the *Ontario Human Rights Code*?

In my view, they give rise to a cause of action at common law. While no authority cited to us has recognized a tort of discrimination, none has repudiated such a tort. The matter is accordingly *res integra* before us.

She followed this by quoting the preamble of the *Ontario Human Rights Code* and continued as follows [at 715]:

I regard the preamble to the Code as evidencing what is now, and probably has been for some considerable time, the public policy of this Province respecting fundamental human rights. If we accept that "every person is free and equal in dignity and rights without regard to race, creed, colour, sex, marital status, nationality, ancestry or place of origin," as we do, then it is appropriate that these rights receive the full protection of the common law. The plaintiff has a right not to be

discriminated against because of her ethnic origin and alleges that she has been injured in the exercise or enjoyment of it. If she can establish that, then the common law must, on the principle of *Ashby v. White et al.*, supra, afford her a remedy.

I do not regard the Code as in any way impeding the appropriate development of the common law in this important area. While the fundamental human right we are concerned with is recognized by the Code, it was not created by it. Nor does the Code, in my view, contain any expression of legislative intention to exclude the common law remedy. Rather the reverse since s. 14a [enacted 1974, c 73, s 15] appears to make the appointment of a board of inquiry to look into a complaint made under the Code a matter of ministerial discretion.

I confess to some difficulty in understanding the basis of the learned Justice's observation that "while the fundamental human right we are concerned with is recognized by the Code, it was not created by it" (or, I assume, by its predecessors). There is no gainsaying the right of the Legislature to establish new rights or to create new interests of which the Court may properly take notice and enforce, either under the prescriptions of the legislature or by applying its own techniques if, on its construction of the legislation, enforcement has not been wholly embraced by the terms of the legislation: see *Salmond on the law of Torts* 17th ed. (1977), c. 10, *passim*.

In the present case, the enforcement scheme under the *Ontario Human Rights Code* ranges from administrative enforcement through complaint and settlement procedures to adjudicative or quasi-adjudicative enforcement by boards of inquiry. The boards are invested with a wide range or remedial authority including the award of compensation (damages in effect), and to full curial enforcement by wide rights of appeal which, potentially, could bring cases under the Code to this Court. The Ontario Court of Appeal did not think that this scheme of enforcement excluded a common law remedy, saying in the words of Wilson JA (which I repeat) [at 715]:

Nor does the Code, in my view, contain any expression of legislative intention to exclude the common law remedy. Rather the reverse since s. 14a [enacted 1974, c 73, s 5] appears to make the appointment of a board of inquiry to look into a complaint made under the Code a matter of ministerial discretion.

I would have thought that this fortifies rather than weakens the Legislature's purpose, being one to encompass, under the Code alone, the enforcement of its substantive prescriptions. It is unnecessary to consider here how far the Minister's discretion is untrammelled, or whether a clue to its character is afforded by the ensuing provisions for appeal to the Courts from a decision or order of a board of inquiry.

The view taken by the Ontario Court of Appeal is a bold one and may be commended as an attempt to advance the common law. In my opinion, however, this is foreclosed by the legislative initiative which overtook the existing common law in Ontario and established a different regime which does not exclude the Courts but rather makes them part of the enforcement machinery under the Code.

For the foregoing reasons, I would hold that not only does the Code foreclose any civil action based directly upon a breach thereof but it also excludes any common law action based on an invocation of the public policy expressed in the Code. The Code itself has laid out the procedures for vindication of that public policy, procedures which the plaintiff-respondent did not see fit to use.

The appeal is, accordingly, allowed, the judgment of the Ontario Court of Appeal is set aside and the judgment of Callaghan J dismissing the action is restored. In the circumstances, there will be no order as to costs, either here or in the Courts below.

Appeal allowed; trial judgment restored.

NOTES

1. In 2006, the Ontario *Human Rights Code*, RSO 1990, c H.19 was amended to provide in s 46.1:

(1) If, in a civil proceeding in a court, the court finds that a party to the proceeding has infringed a right under Part I of another party to the proceeding, the court may make either of the following orders, or both:

1. An order directing the party who infringed the right to pay monetary compensation to the party whose right was infringed for loss arising out of the infringement, including compensation for injury to dignity, feelings and self-respect.
2. An order directing the party who infringed the right to make restitution to the party whose right was infringed, other than through monetary compensation, for loss arising out of the infringement, including restitution for injury to dignity, feelings and self-respect.

(2) Subsection (1) does not permit a person to commence an action based solely on an infringement of a right under Part I.

2. In *Honda Canada Inc v Keys*, 2008 SCC 39, [2008] 2 SCR 362, the plaintiff sued for wrongful dismissal. The plaintiff alleged that the dismissal constituted discrimination on the basis of disability in violation of the Ontario *Human Rights Code* and that this discrimination was an “independent actionable wrong” as required for the award of punitive damages for breach of contract. Bastarache J (for the majority):

In this case, the trial judge awarded punitive damages on the basis of discriminatory conduct by Honda. Honda argues that discrimination is precluded as an independent cause of action under *Seneca College of Applied Arts and Technology v. Bhadauria*, [1981] 2 S.C.R. 181. In that case, this Court clearly articulated that a plaintiff is precluded from pursuing a common law remedy when human rights legislation contains a comprehensive enforcement scheme for violations of its substantive terms. The reasoning behind this conclusion is that the purpose of the Ontario *Human Rights Code* is to remedy the effects of discrimination; if breaches to the Code were actionable in common law courts, it would encourage litigants to use the Code for a purpose the legislature did not intend—namely, to punish employers who discriminate against their employees. Thus, a person who alleges a breach of the provisions of the Code must seek a remedy within the statutory scheme set out in the Code itself. Moreover, the recent amendments to the Code (which would allow a plaintiff to advance a breach of the Code as a cause of action in connection with another wrong) restrict monetary compensation to loss arising out of the infringement, including any injuries to dignity, feelings and self-respect. In this respect, they confirm the Code’s remedial thrust.

The Court of Appeal ... concluded that *Bhadauria* only precludes a civil action based directly on a breach of the Code—but does not preclude finding an independent actionable wrong for the purpose of allocating punitive damages. It is my view that the Code provides a comprehensive scheme for the treatment of claims of discrimination and *Bhadauria* established that a breach of the Code cannot constitute an actionable wrong; the legal requirement is not met.

Keys argued ... that the decision in *Bhadauria* should be set aside and that a separate tort of discrimination should be recognized. In *Bhadauria*, Laskin C.J., writing for the Court, held that the plaintiff was precluded from pursuing a common law remedy because the applicable human rights legislation (the Code) contained a comprehensive enforcement scheme for violations of its substantive terms. The subtext of the *Bhadauria* decision is a concern that the broad, unfettered tort of discrimination created by the Court of Appeal would lead to indeterminate liability. ...

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This said, there is no need to reconsider the position in *Bhadauria* in this case and deal with Keays' request for recognition of a distinct tort of discrimination. There was no evidence of discrimination to support a claim under s. 5 of the Ontario *Human Rights Code*, therefore no breach of human rights legislation serving as an actionable wrong.

LeBel J observed:

I agree that it is not necessary to reconsider *Bhadauria* in the present appeal. But in my opinion Laskin C.J. went further than was strictly necessary in *Bhadauria*. The main thrust of the decision was that Ms. Bhadauria did not have a legally protected interest at common law that had been harmed by the defendant's allegedly discriminatory conduct (pp. 191-92). However, rather than stop there, Laskin C.J. went on to hold that the Ontario *Human Rights Code* "foreclose[s] any civil action based directly upon a breach thereof [and] also excludes any common law action based on an invocation of the public policy expressed in the Code" (p. 195). These conclusions imply (and have been interpreted to mean) that any allegations resembling the type of conduct that is prohibited by the Code cannot be litigated at common law. The Code covers a broad range of conduct in promoting the goal of equality. Yet the conduct at issue in *Bhadauria* was limited to the facts of that case. It would have been sufficient to simply conclude that the interest advanced by Ms. Bhadauria was not protected at common law. It was not necessary for this Court to preclude all common law actions based on all forms of discriminatory conduct.

The development of tort law ought not to be frozen forever on the basis of this *obiter dictum*. The legal landscape has changed. The strong prohibitions of human rights codes and of the *Charter* have informed many aspects of the development of the common law.

3. The enactment of the *Canadian Charter of Rights and Freedoms* (Part I of the *Constitution Act, 1982*, being Schedule B to the *Canada Act 1982* (UK), 1982, c 11) has added another layer to the issue raised by *Bhadauria*. In *RWDSU v Dolphin Delivery Ltd*, [1986] 2 SCR 573, 33 DLR (4th) 174 at para 39 (SCR), 199 (DLR), the Supreme Court of Canada articulated the relationship between the *Charter* and private law in the following terms:

Where ... private party "A" sues private party "B" relying on the common law and where no act of government is relied upon to support the action, the *Charter* will not apply. ... [T]his is a distinct issue from the question whether the judiciary ought to apply and develop the principles of the common law in a manner consistent with the fundamental values enshrined in the Constitution. The answer to this question must be in the affirmative. In this sense, then, the *Charter* is far from irrelevant to private litigants, whose disputes fall to be decided at common law. But this is different from the proposition that one private party owes a constitutional duty to another.

What is the effect of this statement on *Bhadauria*?

4. Weinrib & Weinrib, "Constitutional Values and Private Law in Canada" in Friedmann & Barak-Erez, eds, *Human Rights in Private Law* (Oxford: Hart, 2001) 43 at 48, make the following comments on the relation between the use of constitutional values and the use of statutes in private law:

To determine the content of private law rights, the court as an institution of public reason views the litigants as participants in a social relationship within a world of shared social meanings. The working out of the juridical significance of the parties' conduct is historically variable and relative to societal contexts and understandings. The court's task is to draw on the public culture (which of course includes the court's own prior determinations) in order to give concrete meaning to the legal categories expressive of the parties' self-determining capacity as normatively equal participants in the transaction. The court must also present a

public justification of its conclusion by appealing to considerations that others, as self-determining beings engaged in interactions with one another, can reasonably acknowledge. ... [T]hese considerations can change over time as new forms of knowledge and new appreciations of the social implications of different behaviours arise. In this way the specific content of the rights is derived, not through philosophical speculation, but through reference to beliefs, values, and modes of reasoning that have public plausibility.

Accordingly, public law requires judicial and political institutions to perform the functions of guaranteeing security and determining rights. Even when operating in contexts not indigenous to private law, these institutions affect the judicial project of determining the content of private law's categories.

The relevance of statutes to private law provides an example of this. The behaviour that private law addresses is also regulated by a variety of statutes that are designed to promote safety and to penalize those who endanger others. These statutes may not only be enforced in their own terms but may also, where appropriate, be treated as relevant to the setting of private law standards. In Canada, such statutes are regarded not as formulating a *per se* standard or as grounding a distinct tort of statutory breach, but as providing evidence for determining whether the defendant should be considered negligent under the general principles of tort law. Accordingly, even where they do not directly apply to the facts being litigated, statutory norms can be regarded "as crystallizing a relevant fact situation which, because of its authoritative source, the Court [is] entitled to consider in determining, on common law principles, whether a duty of care should be raised." [*Jordan House Ltd v Menow*, [1974] SCR 239, 38 DLR (3d) 105 at 246 (SCR), 109 (DLR), *per* Laskin J.] In such a case the statute assists in specifying the content of private law categories in contexts beyond its scope as a legislative command.

Constitutional protections of human rights can play a similar role. A constitutional democracy guarantees certain basic liberties as a way of obligating itself to respect the dignity and self-determining capacity of those who are subject to its power. Inscribed in the constitution are rights that enumerate the specific features of self-determining agency that a particular society regards as pertinent to the relations of government and governed. These rights may be held not to be directly applicable to private law. Nonetheless, because the constitution commits the legal order to the priority of human dignity and enumerates the constituents of dignity for political purposes, constitutional values are available for specifying the incidents of dignity included within private law. Even if the constitutional document was created to restrain government, it shares with private law a concern for dignity. The constitution, as society's authoritative repository of legally supreme and publicly accessible values concerning human dignity, is a pre-eminent source on which public reason can draw as it gives concrete meaning to the categories that comprise private law. Indeed, from the standpoint of public reason, the constitution crystallizes in a uniquely conspicuous way the values to be recognized in the process of ascribing specific meanings to the rights and correlative duties of private law.

Constitutional values, then, can become relevant to private law at the stage of specifying the content of the private law categories. Private law's use of the constitution resembles its use of statutes. Neither the constitution nor the statute directly governs the situations for which private law invokes them. Nonetheless, the constitution and the statute serve to flesh out the meaning of private law categories and standards.

Yet the specifying functions of a statute and of the constitution are importantly different, as is evident in the way the Supreme Court of Canada refers to them. Under *Dolphin Delivery*, the judiciary is required to develop the principles of the common law in a manner consistent with *Charter* values. By contrast, the use of a statutory provision reflects no parallel requirement. The existence of a statutory safety standard relevant to determining whether

the defendant breached a common law duty of care cannot be said to create a judicial obligation to develop the common law consistently with that particular statute or even with the entire ensemble of statutes. The statutory provision is merely incidental to the development of the common law. Because it provides evidence of the standard in a particular case, its availability is a happy fortuity that a plaintiff can exploit and that a court can find helpful. But it does not present a norm to be incorporated for its own sake.

Charter values are different. If the principles of the common law must be developed in a manner consistent with *Charter* values, it must be that those values as a set have an affirmative and non-incidental significance for private law. The very fact that these values refer to legally cognisable aspects of dignity endows them with systemic normative significance within private law. ... It is as if, in the social contract ... , citizens subscribe to the state and its institutions only on terms that make the respect for human dignity through *Charter* values an interpretive principle in the elucidation of private law. The assumption underlying the requirement that private law be consistent with *Charter* values is that self-determining agents contracting to enter a constitutional democracy could not reasonably acknowledge a specification of private rights that is inconsistent with the indicia of dignity to which citizens have accorded constitutional recognition. In this sense, constitutional values are constitutive of the juridical relationships of private law, even though constitutional rights as such are not applicable to them.

The constitution thus serves a double function. On the one hand, it sets out the limits to which the idea of human dignity constrains government action. On the other hand, it provides a catalogue of values that can guide courts in the elaboration of the principles and standards that govern the private law relationships. In this respect, the *Charter* is more than a statute writ large that itemizes particular restrictions on the jurisdiction of particular governmental authorities. It is a repository of the principles animating the polity as a whole. Consequently, it affects the legal order not only through its explicit provisions and its mechanisms of enforcement, but also through the values implicit in its conception of a free and democratic society. Linking these functions is the exercise of public reason by the courts in constitutional cases, for in elucidating the constitutional limits on government action, courts inevitably explicate constitutional values. Constitutional jurisprudence thereby even further enriches the resources on which public reason can draw in the private law context.

On this basis, the constitution does not merely contain rights that a citizen can assert against governmental power. It also establishes (in the words of the German constitutional court) "an objective system of values in its section on basic rights. ... This system of values, centring on the freedom of the human being to develop in society ... must direct and inform legislation, administration, and judicial decision. It naturally influences private law as well; [no rule of private law may conflict with it, and all such rules must be construed in accordance with its spirit]." The statement from *Dolphin Delivery* ... is the official Canadian recognition of this role for constitutional values.

SUPPLEMENTARY READING

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CHAPTER EIGHT

DUTY AND REMOTENESS: SPECIAL PROBLEMS

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I. NEGLIGENCE MISREPRESENTATION

HEDLEY BYRNE & CO LTD V HELLER

[1964] AC 465 (HL)

The appellant firm of advertising agents had entered into a contract with one of their customers, Easipower Ltd., which would entail placing substantial orders on Easipower's behalf for advertisements on credit terms. Becoming doubtful of the financial position of Easipower, the appellants asked their own bank (the National Provincial Bank) to obtain a report on the company. The appellants' bank phoned an officer of the respondents, who were Easipower's bankers, and were told "in confidence and without responsibility" that the respondents believed Easipower "to be respectably constituted and considered good for its normal business engagements. ... We believe the company would not undertake any commitments they were unable to fulfil." The appellants subsequently asked for another financial report on Easipower from their own bank, who wrote to the respondents to inquire whether they would consider Easipower "trustworthy in the way of business, to the extent of £100,000 per annum advertising contract." The respondents replied, in a letter headed "confidential, for your private use and without responsibility on the part of this bank or its officials," that Easipower was a "respectably constituted company, considered good for its ordinary business engagements. Your figures are larger than we are accustomed to see."

In two letters, each containing a disclaimer similar to that of the respondents, the appellants' bank passed on to the appellants the information from the respondents' telephone communication and letter. The appellants relied on their statements and as a result lost approximately £17,660 when Easipower went into liquidation. They then brought action to recover their loss from the respondents on the grounds that the latter's replies were given negligently and in breach of the respondent's duty to exercise care in giving them. Both the trial judge and the Court of Appeal held that the respondents did not owe the appellants a duty of care.

LORD REID: My Lords, this case raises the important question whether and in what circumstances a person can recover damages for loss suffered by reason of his having relied on an innocent but negligent misrepresentation. ...

Before coming to the main question of law, it may be well to dispose of an argument that there was no sufficiently close relationship between these parties to give rise to any duty. It is said that the respondents did not know the precise purpose of the inquiries and did not even know whether the National Provincial Bank wanted the information for its own use or for the use of a customer: they know nothing of the appellants. I would reject that argument. They knew that the inquiry was in connection with an advertising contract, and it was at least probable that the information was wanted by the advertising contractors. It seems to me quite immaterial that they did not know who these contractors were ... I shall therefore treat this as if it were a case where a negligent misrepresentation is made directly to the person seeking information, opinion or advice, and I shall not attempt to decide what kind or degree of proximity is necessary before there can be a duty owed by the defendant to the plaintiff.

The appellants' first argument was based on *Donoghue v. Stevenson*. That is a very important decision, but I do not think that it has any direct bearing on this case. That decision may encourage us to develop existing lines of authority, but it cannot entitle us to disregard them. Apart altogether from authority, I would think that the law must treat negligent words differently from negligent acts. The law ought so far as possible to reflect the standards of the reasonable man, and that is what *Donoghue v. Stevenson* sets out to do. The most obvious difference between negligent words and negligent acts is this. Quite careful people often express definite opinions on social or informal occasions even when they see that others are likely to be influenced by them: and they often do that without taking that care which they would take if asked for their opinion professionally or in a business connection. The appellant agrees that there can be no duty of care on such occasions, and we were referred to American and South African authorities where that is recognised, although their law appears to have gone much further than ours has yet done. But it is at least unusual casually to put into circulation negligently made articles which are dangerous. A man might give a friend a negligently-prepared bottle of home-made wine and his friend's guests might drink it with dire results. But it is by no means clear that those guests would have no action against the negligent manufacturer.

Another obvious difference is that a negligently made article will only cause one accident, and so it is not very difficult to find the necessary degree of proximity or neighbourhood between the negligent manufacturer and the person injured. But words can be broadcast with or without the consent or the foresight of the speaker or writer. It would be one thing to say that the speaker owes a duty to a limited class, but it would be going very far to say that he owes a duty to every ultimate "consumer" who acts on those words to his detriment. It would be no use to say that a speaker or writer owes a duty but can disclaim responsibility if he wants to. He, like the manufacturer, could make it part of a contract that he is not to be liable for his negligence: but that contract would not protect him in a question with a third party, at least if the third party was unaware of it.

So it seems to me that there is good sense behind our present law that in general an innocent but negligent misrepresentation gives no cause to action. There must be something more than the mere misstatement. I therefore turn to the authorities to see what more is required. The most natural requirement would be that expressly or by implication from the circumstances the speaker or writer has undertaken some responsibility, and that appears to me not to conflict with any authority which is binding on this House. ...

Much of the difficulty in this field has been caused by *Derry v. Peek*. The action was brought against the directors of a company in respect of false statements in a

prospectus. It was an action of deceit based on fraud and nothing else. But it was held that the directors had believed that their statements were true although they had no reasonable grounds for their belief. The Court of Appeal held that this amounted to fraud in law, but naturally enough this House held that there can be no fraud without dishonesty and that credulity is not dishonesty. The question was never really considered whether the facts had imposed on the directors a duty to exercise care. It must be implied that on the facts of that case there was no such duty. But that was immediately remedied by the Directors' Liability Act, 1890, which provided that a director is liable for untrue statements in a prospectus unless he proves that he had reasonable ground to believe and did believe that they were true.

It must now be taken that *Derry v. Peek* did not establish any universal rule that in the absence of contract an innocent but negligent misrepresentation cannot give rise to an action. It is true Lord Bramwell said: "To found an action for damages there must be a contract and breach, or fraud." And for the next 20 years it was generally assumed that *Derry v. Peek* decided that. But it was shown in this House in *Nocton v. Lord Ashburton* that that is much too widely stated. We cannot, therefore, now accept as accurate the numerous statements to that effect in cases between 1889 and 1914, and we must now determine the extent of the exceptions to that rule.

In *Nocton v. Lord Ashburton* a solicitor was sued for fraud. Fraud was not proved but he was held liable for negligence. Viscount Haldane LC dealt with *Derry v. Peek* and pointed out that while the relationship of the parties in that case was not enough, the case did not decide "that where a different sort of relationship ought to be inferred from the circumstances the case is to be concluded by asking whether an action for deceit will lie. ... There are other obligations besides that of honesty the breach of which may give [rise] to damages. These obligations depend on principles which the judges have worked out in the fashion that is characteristic of a system where much of the law has always been judge-made and unwritten." ...

Lord Haldane gave a further statement of his view in *Robinson v. National Bank of Scotland Ltd.* ... Lord Haldane did not think that a duty to take care must be limited to cases of fiduciary relationship in the narrow sense of relationships which had been recognised by the Court of Chancery as being of a fiduciary character. He speaks of other special relationships, and I can see no logical stopping place short of all those relationships where it is plain that the party seeking information or advice was trusting the other to exercise such a degree of care as the circumstances required, where it was reasonable for him to do that, and where the other gave the information or advice when he knew or ought to have known that the inquirer was relying on him. I say "ought to have known" because in questions of negligence we now apply the objective standard of what the reasonable man would have done.

A reasonable man, knowing that he was being trusted or that his skill and judgment were being relied on, would, I think, have three courses open to him. He could keep silent or decline to give the information or advice sought: or he could give an answer with a clear qualification that he accepted no responsibility for it or that it was given without that reflection or inquiry which a careful answer would require: or he could simply answer without any such qualification. If he chooses to adopt the last course he must, I think, be held to have accepted some responsibility for his answer being given carefully, or to have accepted a relationship with the inquirer which requires him to exercise such care as the circumstances require.

• • •

Now I must try to apply these principles to the present case. What the appellants complain of is not negligence in the ordinary sense of carelessness, but rather misjudgment, in that Mr. Heller, while honestly seeking to give a fair assessment, in fact made a statement which gave a false and misleading impression of his customer's credit. It appears that bankers now commonly give references with regard

to their customers as part of their business. I do not know how far their customers generally permit them to disclose their affairs, but, even with permission, it cannot always be easy for a banker to reconcile his duty to his customer with his desire to give a fairly balanced reply to an inquiry. And inquirers can hardly expect a full and objective statement of opinion or accurate factual information such as skilled men would be expected to give in reply to other kinds of inquiry. So it seems to me to be unusually difficult to determine just what duty beyond a duty to be honest a banker would be held to have undertaken if he gave a reply without an adequate disclaimer of responsibility or other warning. ...

[H]ere the appellants' bank, who were their agents in making the inquiry, began by saying that "they wanted to know in confidence and without responsibility on our part," that is, on the part of the respondents. So I cannot see how the appellants can now be entitled to disregard that and maintain that the respondents did incur a responsibility to them.

The appellants founded on a number of cases in contract where very clear words were required to exclude the duty of care which would otherwise have flowed from the contract. To that argument there are, I think, two answers. In the case of a contract it is necessary to exclude liability for negligence, but in this case the question is whether an undertaking to assume a duty to take care can be inferred: and that is a very different matter. And, secondly, even in cases of contract general words may be sufficient if there was no other kind of liability to be excluded except for negligence: the general rule is that a party is not exempted from liability for negligence "unless adequate words are used"—per Scrutton LJ in *Rutter v. Palmer*. It being admitted that there was here a duty to give an honest reply, I do not see what further liability there could be to exclude except liability for negligence: there being no contract there was no question of warranty.

I am therefore of opinion that it is clear that the respondents never undertook any duty to exercise care in giving their replies. The appellants cannot succeed unless there was such a duty and therefore in my judgment this appeal must be dismissed.

LORD PEARCE: The reason for some divergence between the law of negligence in word and that of negligence in act is clear. Negligence in word creates problems different from those of negligence in act. Words are more volatile than deeds. They travel fast and far afield. They are used without being expended and take effect in combination with innumerable facts and other words. Yet they are dangerous and can cause vast financial damage. How far they are relied on unchecked (by analogy with there being no probability of intermediate inspection—see *Grant v. Australian Knitting Mills Ltd.*) must in many cases be a matter of doubt and difficulty. If the mere hearing or reading of words were held to create proximity, there might be no limit to the persons to whom the speaker or writer could be liable. Damage by negligent acts to persons or property on the other hand is more visible and obvious; its limits are more easily defined. ...

Some guidance may be obtained from the case of *Shiells v. Blackburne*. There a general merchant undertook voluntarily and without reward to enter a parcel of the goods of another, together with a parcel of his own of the same sort, at the Customs House for exportation. Acting, it was contended, with gross negligence, he made the entry under a wrong denomination whereby both parcels were seized. The plaintiff failed on the facts to make out a case of gross negligence. But Lord Loughborough said: "... if a man gratuitously undertakes to do a thing to the best of his skill, where his situation or profession is such as to imply skill, an omission of that skill is imputable to him as gross negligence. If in this case a ship-broker, or a clerk in the Custom House, had undertaken to enter the goods, a wrong entry would in them be

gross negligence, because their situation and employment necessarily imply a competent degree of knowledge in making such entries." Heath J said: "... the surgeon would also be liable for such negligence, if he undertook gratis to attend a sick person, because his situation implies skill in surgery; but if the patient applies to a man of a different employment or occupation for his gratuitous assistance, who either does not exert all his skill, or administers improper remedies to the best of his ability, such person is not liable."

[After referring to additional cases on gratuitous undertakings, Lord Pearce continued:]

In those cases there was no dichotomy between negligence in act and in word, nor between physical and economic loss. The basis underlying them is that if persons holding themselves out in a calling or situation or profession take on a task within that calling or situation or profession, they have a duty of skill and care. In terms of proximity one might say that they are in particularly close proximity to those who, as they know, are relying on their skill and care although the proximity is not contractual. ...

It is argued that so to hold would create confusion in many aspects of the law and infringe the established rule that innocent misrepresentation gives no right to damages. I cannot accept that argument. The true rule is that innocent misrepresentation per se gives no right to damages. If the misrepresentation was intended by the parties to form a warranty between two contracting parties, it gives on that ground a right to damages. ... If an innocent misrepresentation is made between parties in a fiduciary relationship it may, on that ground, give a right to claim damages for negligence. There is also, in my opinion, a duty of care created by special relationships which, though not fiduciary, give rise to an assumption that care as well as honesty is demanded.

Was there such a special relationship in the present case as to impose on the defendants a duty of care to the plaintiffs as the undisclosed principals for whom the National Provincial Bank was making the inquiry? The answer to that question depends on the circumstances of the transaction. If, for instance, they disclosed a casual social approach to the inquiry, no such special relationship or duty of care would be assumed. ... To import such a duty the representation must normally, I think, concern a business or professional transaction whose nature makes clear the gravity of the inquiry and the importance and influence attached to the answer. ... A most important circumstance is the form of the inquiry and of the answer. Both were here plainly stated to be without liability. Mr. Gardiner argues that those words are not sufficiently precise to exclude liability for negligence. Nothing, however, except negligence could, in the facts of this case, create a liability (apart from fraud, to which they cannot have been intended to refer and against which the words would be no protection, since they would be part of the fraud). I do not, therefore, accept that even if the parties were already in contractual or other special relationship the words would give no immunity to a negligent answer. But in any event they clearly prevent a special relationship from arising. They are part of the material from which one deduces whether a duty of care and a liability for negligence was assumed. If both parties say expressly (in a case where neither is deliberately taking advantage of the other) that there shall be no liability, I do not find it possible to say that a liability was assumed.

LORD DEVLIN: ... Is the relationship between the parties in this case such that it can be brought within a category giving rise to special duty? As always in English law the first step in such an inquiry is to see how far the authorities have gone, for new categories in the law do not spring into existence overnight.

It would be surprising if the sort of problem that is created by the facts of this case had never until recently arisen in English law. As a problem it is a by-product of the doctrine of consideration. If the respondents had made a nominal charge for the reference, the problem would not exist. If it were possible in English law to construct a contract without consideration, the problem would move at once out of the first and general phase into the particular; and the question would be, not whether on the facts of the case there was a special relationship, but whether on the facts of the case there was a contract.

The respondents in this case cannot deny that they were performing a service. Their sheet anchor is that they were performing it gratuitously and therefore no liability for its performance can arise. My Lords, in my opinion this is not the law. A promise given without consideration to perform a service cannot be enforced as a contract by the promisee; but if the service is in fact performed and done negligently, the promisee can recover in an action in tort. ...

I think ... that there is ample authority to justify your Lordships in saying now that the categories of special relationships, which may give rise to a duty to take care in word as well as in deed, are not limited to contractual relationships or to relationships of fiduciary duty, but include also relationships which in the words of Lord Shaw in *Nocton v. Lord Ashburton* are "equivalent to contract" that is, where there is an assumption of responsibility in circumstances in which, but for the absence of consideration, there would be a contract. Where there is an express undertaking, an express warranty as distinct from mere representation, there can be little difficulty. The difficulty arises in discerning those cases in which the undertaking is to be implied. In this respect the absence of consideration is not irrelevant. Payment for information or advice is very good evidence that it is being relied on and that the informer or adviser knows that it is. Where there is no consideration, it will be necessary to exercise greater care in distinguishing between social and professional relationships and between those which are of a contractual character and those which are not. It may often be material to consider whether the adviser is acting purely out of good nature or whether he is getting his reward in some indirect form. The service that a bank performs in giving a reference is not done simply out of a desire to assist commerce. It would discourage the customers of the bank if their deals fell through because the bank had refused to testify to their credit when it was good. ...

[W]herever there is a relationship equivalent to contract there is a duty of care. Such a relationship may be either general or particular. Examples of a general relationship are those of solicitor and client and of banker and customer. For the former *Nocton v. Lord Ashburton* has long stood as the authority and for the latter there is the decision of Salmon J in *Woods v. Martins Bank, Ltd.* which I respectfully approve. There may well be others yet to be established. Where there is a general relationship of this sort it is unnecessary to do more than prove its existence and the duty follows. Where, as in the present case, what is relied on is a particular relationship created ad hoc, it will be necessary to examine the particular facts to see whether there is an express or implied undertaking of responsibility.

On the facts of the present case ... the general disclaimer of responsibility ... appears to me in any event to be conclusive. ... A man cannot be said voluntarily to be undertaking a responsibility if at the very moment when he is said to be accepting it he declares that in fact he is not. ...

Appeal dismissed.

LORD HODSON and LORD MORRIS OF BORTH-Y-GEST also gave reasons for dismissing the appeal.

NOTES

1. Decades before *Hedley Byrne*, Cardozo J of the Court of Appeals of New York handed down two famous contrasting judgments about negligent misrepresentation. In *Glanzer v Shepard*, 135 NE 275 (NYCA 1921), the defendants were public weighers who had been hired by the vendor to certify the weight of bags of beans that had been sold to the plaintiff. One copy of the certificate was sent to the vendor, another to the plaintiff. The plaintiff paid for the beans on the faith of the certificates. On discovering that the weight was less than certified, the plaintiff sued the defendants for the amount overpaid. Cardozo J found for the plaintiff:

We think the law imposes a duty toward buyer as well as seller in the situation here disclosed. The plaintiffs' use of the certificates was not an indirect or collateral consequence of the action of the weighers. It was a consequence which, to the weighers' knowledge, was the end and aim of the transaction. [The vendors] ordered, but [the purchasers] were to use. The defendants held themselves out to the public as skilled and careful in their calling. They knew that the beans had been sold, and that on the faith of their certificate payment would be made. They sent a copy to the plaintiffs for the very purpose of inducing action. All this they admit. In such circumstances, assumption of the task of weighing was the assumption of a duty to weigh carefully for the benefit of all whose conduct was to be governed. We do not need to state the duty in terms of contract or of privity. Growing out of a contract, it has none the less an origin not exclusively contractual. Given the contract and the relation, the duty is imposed by law (cf. *MacPherson v. Buick Motor Co.*, 217 NY 382, 390 [the American equivalent of *Donoghue v Stevenson*]).

There is nothing new here in principle. If there is novelty, it is in the instance only. One who follows a common calling may come under a duty to another whom he serves, though a third may give the order or make the payment. ... The surgeon who unskillfully sets the wounded arm of a child is liable for his negligence, though the father pays the bill. ... The bailee who is careless in the keeping of the goods which he receives as those of A, does not escape liability though the deposit may have been made by B. It is ancient learning that one who assumes to act, even though gratuitously, may thereby become subject to the duty of acting carefully, if he acts at all. ... The most common examples of such a duty are cases where action is directed toward the person of another or his property. ... A like principle applies, however, where action is directed toward the governance of conduct. The controlling circumstance is not the character of the consequence, but its proximity or remoteness in the thought and purpose of the actor. ... Constantly the bounds of duty are enlarged by knowledge of a prospective use (*Macpherson v. Buick Motor Co.* ...). We must view the act in its setting, which will include the implications and the promptings of usage and fair dealing. The casual response, made in mere friendliness or courtesy ... may not stand on the same plane, when we come to consider who is to assume the risk of negligence or error, as the deliberate certificate, indisputably ... intended to sway conduct. Here the defendants are held, not merely for careless words ... but for the careless performance of a service—the act of weighing—which happens to have found in the words of a certificate its culmination and its summary. ... The line of separation between these diverse liabilities is difficult to draw. It does not lose for that reason its correspondence with realities. Life has relations not capable always of division into inflexible compartments. The moulds expand and shrink.

We state the defendants' obligation, therefore, in terms not of contract merely, but of duty. ... The defendants, acting not casually nor as mere servants, but in the pursuit of an independent calling, weighed and certified at the order of one with the very end and aim of shaping the conduct of another. Diligence was owing, not only to him who ordered, but to him also who relied.

2. In contrast, in *Ultramares v Touche*, 174 NE 441 (NYCA 1931), the defendants were a firm of public accountants who were alleged to have negligently prepared an audit that was

relied on by the plaintiffs in lending money to the audited firm. Cardozo CJ dismissed the action:

In January, 1924, the defendants, a firm of public accountants, were employed by Fred Stern & Co., Inc., to prepare and certify a balance sheet exhibiting the condition of its business as of December 31, 1923. They had been employed at the end of each of the three years preceding to render a like service. Fred Stern & Co., Inc., ... was engaged in the importation and sale of rubber. To finance its operations, it required extensive credit and borrowed large sums of money from banks and other lenders. All this was known to the defendants. The defendants knew also that in the usual course of business the balance sheet when certified would be exhibited by the Stern company to banks, creditors, stockholders, purchasers or sellers, according to the needs of the occasion, as the basis of financial dealings. Accordingly, when the balance sheet was made up, the defendants supplied the Stern company with thirty-two copies certified with serial numbers as counterpart originals. Nothing was said as to the persons to whom these counterparts would be shown or the extent or number of the transactions in which they would be used. In particular there was no mention of the plaintiff, a corporation doing business chiefly as a factor, which till then had never made advances to the Stern company, though it had sold merchandise in small amounts. The range of the transactions in which a certificate of audit might be expected to play a part was as indefinite and wide as the possibilities of the business that was mirrored in the summary. ...

The plaintiff, a corporation engaged in business as a factor, was approached by Stern in March, 1924, with a request for loans of money to finance the sales of rubber. Up to that time the dealings between the two houses were on a cash basis and trifling in amount. As a condition of any loans the plaintiff insisted that it receive a balance sheet certified by public accountants, and in response to that demand it was given one of the certificates signed by the defendants and then in Stern's possession. On the faith of that certificate the plaintiff made a loan which was followed by many others. ...

If liability for negligence exists, a thoughtless slip or blunder, the failure to detect a theft or forgery beneath the cover of deceptive entries, may expose accountants to a liability in an indeterminate amount for an indeterminate time to an indeterminate class. The hazards of a business conducted on these terms are so extreme as to enkindle doubt whether a flaw may not exist in the implication of a duty that exposes to these consequences.

The assault upon the citadel of privity is proceeding in these days apace. How far the inroads shall extend is now a favorite subject of juridical discussion. ... In the field of the law of torts a manufacturer who is negligent in the manufacture of a chattel in circumstances pointing to an unreasonable risk of serious bodily harm to those using it thereafter may be liable for negligence though privity is lacking between manufacturer and user. ... A force or instrument of harm having been launched with potentialities of danger manifest to the eye of prudence, the one who launches it is under a duty to keep it within bounds. ... [W]hat is released or set in motion is a physical force. We are now asked to say that a like liability attaches to the circulation of a thought or a release of the explosive power resident in words. ...

In *Glanzer v. Shepard* ... [w]e held that the weighers were liable at the suit of the buyer for the moneys overpaid. Here was something more than the rendition of a service in the expectation that the one who ordered the certificate would use it thereafter in the operations of his business as occasion might require. Here was a case where the transmission of the certificate to another was not merely one possibility among many, but the "end and aim of the transaction," as certain and immediate and deliberately willed as if a husband were to order a gown to be delivered to his wife, or a telegraph company, contracting with the sender of a message, were to telegraph it wrongly to the damage of the person expected to receive it. ... The bond was so close as to approach that of privity, if not completely one with it. Not so in the case at hand. No one would be likely to urge that there was a contractual relation, or even one approaching it, at the root of any duty that was owing from the defendants now

before us to the indeterminate class of persons who, presently or in the future, might deal with the Stern company in reliance on the audit. In a word, the service rendered by the defendant in *Glanzer v. Shepard* was primarily for the information of a third person, in effect, if not in name, a party to the contract, and only incidentally for that of the formal promisee. In the case at hand, the service was primarily for the benefit of the Stern company, a convenient instrumentality for use in the development of the business, and only incidentally or collaterally for the use of those to whom Stern and his associates might exhibit it thereafter.

Our holding does not emancipate accountants from the consequences of fraud. It does not relieve them if their audit has been so negligent as to justify a finding that they had no genuine belief in its adequacy, for this again is fraud. It does no more than say that if less than this is proved, if there has been neither reckless misstatement nor insincere profession of an opinion, but only honest blunder, the ensuing liability for negligence is one that is bounded by the contract, and is to be enforced between the parties by whom the contract has been made. We doubt whether the average business man receiving a certificate without paying for it and receiving it merely as one among a multitude of possible investors, would look for anything more.

3. If the plaintiff relies, but unreasonably, on the defendant's misrepresentation, is there no liability or liability with a defence of contributory negligence? In *Grand Restaurants of Canada Ltd v City of Toronto* (1981), 123 DLR (3d) 349 (Ont H Ct J), the plaintiff, experienced in the restaurant business, concluded a contract to buy a restaurant in reliance on the defendant city's assurance that it did not have a current file concerning outstanding work orders and building violations with respect to the property in question. The plaintiff had specifically requested this information and then relied to his detriment on its accuracy. In fact, there was a current file and the court found that this misrepresentation had been negligently made. However, the plaintiff had been aware of prior work orders against the property and the court found that a reasonable person with the plaintiff's experience would have been sufficiently alerted by this knowledge to make further investigations before closing the transaction. Trainor J dealt with the plaintiff's contributory negligence as follows:

Did the plaintiff Grand Restaurants Limited, once being aware of the existence of prior work orders stemming from a liquor licence application since withdrawn, fail to exercise such reasonable care as would have led it to discover the nature of the defects set out in the 1977 work order and the economic risk of closing? ...

At first blush, there is perhaps some difficulty in finding that a plaintiff ought to recover damages for negligent misrepresentation, which presupposes a reasonable reliance on the advice of the defendant, and then to have his damages reduced on account of his reliance—a *causa sine qua non* of his injury—being to some degree “unreasonable” or excessive. But as the learned authors of *Clerk & Lindsell on Torts* point out, “it needs to be emphasised that the plaintiff's negligence is contributory to the damage he sustains,” ... and this I interpret to mean that there is a distinction at law between reasonable reliance as a necessary prerequisite to ground liability, to constitute the cause of action under *Hedley Byrne*, supra, and reliance in the context of contributory negligence as simply a factor going to the extent of the damages suffered. ...

In the case of fault that contributes to the damage suffered, reliance that is “unreasonable” simply goes to reducing damages otherwise recoverable by the plaintiff; it does not go to cancelling the *prima facie* liability of the defendant. ...

There is no question that the place to seek information regarding work orders, violations and active files attendant thereto, is the defendant building department. In this case, however, the plaintiff had information about a prior work order and this, combined with special knowledge of the business to be purchased, should have alerted it to make further investigation or specific inquiries that would have led it to the information the non-availability of

which provided the genesis of this lawsuit. Pursuant to the provisions of the *Negligence Act*, I find the parties equally at fault.

4. Is *Grand Restaurants* different from *Steel v NRAM*, [2018] UKSC 13? In *Steel* the defendant was the solicitor for a property company that had borrowed on the security of a charge against several units of the borrower's property. The borrower proposed, and the lender agreed, that the borrower would sell one of its units and use a substantial part of the proceeds to pay down the debt. The day before the sale of the unit, the defendant emailed the lender that the entire loan was being paid off and she requested that the lender execute the attached deeds of discharge for the charges on all the units. This the lender did without checking the accuracy of the solicitor's statement. The solicitor had been grossly careless in making this statement. Subsequently the borrower went bankrupt, and the lender sued the solicitor for the negligent misrepresentation that led to the loss of its security. The court denied liability on the grounds that it was not reasonable for the lender to rely on the solicitor's mistaken statement. Lord Wilson:

[A] commercial lender about to implement an agreement with its borrower referable to its security does not act reasonably if it proceeds upon no more than a description of its terms put forward by or on behalf of the borrower. The lender knows the terms of the agreement and indeed, as in this case, is likely to have evolved and proposed them. Insofar as the particular officers [who] ... saw and acted upon the email had never been aware of the terms or had forgotten them, immediate access to the correct terms lay—literally—at their finger-tips. No authority has been cited to the court, nor discovered by me in preparing this judgment, in which it has been held that there was an assumption of responsibility for a careless misrepresentation about a fact wholly within the knowledge of the representee. The explanation is, no doubt, that in such circumstances it is not reasonable for the representee to rely on the representation without checking its accuracy and that it is, by contrast, reasonable for the representor not to foresee that he would do so.

5. In *Queen v Cognos Inc*, [1993] 1 SCR 87, 99 DLR (4th) 626, the defendant hired the plaintiff to work on a particular project. At his interview the plaintiff was told that the project was a major one and that the successful candidate would play an important role throughout its life. Relying on these representations, the plaintiff left a relatively well-paying and secure job and accepted the position with the defendant. In fact, the funding for the project had not yet been approved by the defendant's management. Shortly afterward the defendant scaled down the project and terminated the plaintiff's position. Iacobucci J dealt with the defendant's duty of care as follows:

The respondent concedes that it itself and its representative, Mr. Johnston, owed a duty of care towards the six job applicants being interviewed, including the appellant, not to make negligent misrepresentations as to Cognos and the nature and permanence of the job being offered. In so doing, it accepts as correct the findings of both the trial judge and the Court of Appeal that there existed between the parties a "special relationship" within the meaning of *Hedley Byrne*, *supra*.

In my view, this concession is a sensible one. Without a doubt, when all the circumstances of this case are taken into account, the respondent and Mr. Johnston were under an obligation to exercise due diligence throughout the hiring interview with respect to the representations made to the appellant about Cognos and the nature and existence of the employment opportunity.

There is some debate in academic circles, fuelled by various judicial pronouncements, about the proper test that should be applied to determine when a "special relationship" exists between the representor and the representee which will give rise to a duty of care. Some have suggested that "foreseeable and reasonable reliance" on the representations is the key element to the analysis, while others speak of "voluntary assumption of responsibility" on the part of the representor. ...

For my part, I find it unnecessary—and unwise in view of the respondent's concession—to take part in this debate. Regardless of the test applied, the result which the circumstances of this case dictate would be the same. It was foreseeable that the appellant would be relying on the information given during the hiring interview in order to make his career decision. It was reasonable for the appellant to rely on said representations. There is nothing before this Court that suggests that the respondent was not, at the time of the interview or shortly thereafter, assuming responsibility for what was being represented to the appellant by Mr. Johnston. ... It was foreseeable to the respondent and its representative that the appellant would sustain damages should the representations relied on prove to be false and negligently made. There was, undoubtedly, a relationship of proximity between the parties at all material times. Finally, it is not unreasonable to impose a duty of care in all the circumstances of this case; quite the contrary, it would be unreasonable not to impose such a duty. In short, therefore, there existed between the parties a "special relationship" at the time of the interview. The respondent and its representative Mr. Johnston were under a duty of care during the pre-employment interview to exercise reasonable care and diligence in making representations as to the employer and the employment opportunity being offered.

Although it was not argued before this Court, I wish to add what is implicitly in my acceptance of the respondent's concession, namely, that I reject the so-called restrictive approach as to who can owe a *Hedley Byrne* duty of care, often associated with the majority judgment in *Mutual Life and Citizens' Assurance Co. Ltd. v. Evans*, [1971] AC 793 (PC). In my opinion, confining this duty of care to "professionals" who are in the business of providing information and advice, such as doctors, lawyers, bankers, architects, and engineers, reflects an overly simplistic view of the analysis required in cases such as the present one. The question of whether a duty of care with respect to representations exists depends on a number of considerations including, but not limited to, the representor's profession. While this factor may provide a good indication as to whether a "special relationship" exists between the parties, it should not be treated in all cases as a threshold requirement. There may be situations where the surrounding circumstances provide sufficient indicia of a duty of care, notwithstanding the representor's profession. Indeed, the case at bar is a good example.

6. In *Haig v Bamford*, [1977] 1 SCR 466, the defendant firm of accountants was asked by the principal of a company to prepare an audited financial statement in order to facilitate expansion of his business. The accountants knew that the principal purpose for which the statement was required was to secure additional financing and that it would be shown to potential investors. The report produced by the defendants showed the business to be profitable, and in reliance on this evaluation the plaintiff, who was not specifically known to the defendants, invested equity capital. The accounts were negligently prepared, and when the company went bankrupt the plaintiff lost his investment. Dickson J:

The outcome of this appeal rests, it would seem, on whether, to create a duty of care, it is sufficient that the accountants knew that the information was intended to be disseminated among a specific group or class ... or whether the accountants also needed to be apprised of the plaintiff's identity. ...

From the authorities, it appears that several possible tests could be applied to invoke a duty of care on the part of accountants vis-à-vis third parties: (i) foreseeability of the use of the financial statement and the auditor's report thereon by the plaintiff and reliance thereon; (ii) actual knowledge of the limited class that will use and rely on the statement, (iii) actual knowledge of the specific plaintiff who will use and rely on the statement. It is unnecessary for the purposes of the present case to decide whether test (i), the test of foreseeability, is or is not, a proper test to apply in determining the full extent of the duty owed by accountants to third parties. The choice in the present case, it seems to me, is between test (ii) and test (iii), actual knowledge of the limited class or actual knowledge of the specific plaintiff. I have concluded on the authorities that test (iii) is too narrow and that test (ii), actual knowledge of the limited class, is the proper test to apply in this case. ...

In the present case the accountants knew that the financial statements were being prepared for the very purpose of influencing ... a limited number of potential investors. The names of the potential investors were not material to the accountants. What was important was the nature of the transaction or transactions for which the statements were intended, for that is what delineated the limits of potential liability.

7. The House of Lords has stated that the principle of *Hedley Byrne* is not restricted to negligent misrepresentations on which the plaintiff has detrimentally relied, but includes situations where the defendant has assumed responsibility to perform professional services for the plaintiff who is harmed by their being negligently performed. In *Spring v Guardian Assurance Plc*, [1994] 3 All ER 129 (HL), the defendant, who was the plaintiff's previous employer, was held liable for negligently stating in a letter of reference to a prospective employer of the plaintiff that the plaintiff lacked integrity. As a result of this letter, the plaintiff was unable to find employment. In *Henderson v Merrett Syndicates*, [1994] 3 All ER 506 (HL), the plaintiffs were members ("names") of underwriting syndicates that were managed by the defendants. The defendants had the responsibility of deciding what risks should be insured by the syndicates and what risks, if insured, should be reinsured. In the aftermath of catastrophic losses that were borne by the plaintiffs, the plaintiffs alleged that the defendants had been negligent in carrying out their responsibilities. In holding that the defendants were under a duty of care to the plaintiffs, Lord Goff of Chieveley stated (at 518):

[*Hedley Byrne*] has always been regarded as important in that it established that, in certain circumstances, a duty of care may exist in respect of words as well as deeds. ... But, perhaps more important for the future development of the law ... is the principle upon which the decision was founded. ...

All of their Lordships spoke in terms of one party having assumed or undertaken a responsibility towards the other. ... [T]he principle extends beyond the provision of information and advice to include the performance of other services. It follows, of course, that although, in the case of the provision of information and advice, reliance upon it by the other party will be necessary to establish a cause of action (because otherwise the negligence will have no causative effect), nevertheless there may be other circumstances in which there will be the necessary reliance to give rise to the application of the principle. In particular ... where the plaintiff entrusts the defendant with the conduct of his affairs, in general or in particular, he may be held to have relied on the defendant to exercise due skill and care in such conduct. ...

[T]here is in my opinion plainly an assumption of responsibility in the relevant sense by the managing agents toward the names in their syndicates. The managing agents have accepted the names as members of a syndicate under their management. They obviously hold themselves out as possessing a special expertise to advise the names on the suitability of risks to be underwritten; and on the circumstances in which, and the extent to which, reinsurance should be taken out and claims should be settled. The names, as the managing agents well knew, placed implicit reliance on that expertise, in that they gave authority to the managing agents to bind them to contracts of insurance and reinsurance and to the settlement of claims. I can see no escape from the conclusion that, in these circumstances, *prima facie* a duty of care is owed in tort by the managing agents to such names.

CAPARO INDUSTRIES V DICKMAN

[1990] 1 All ER 568 (HL)

LORD BRIDGE OF HARWICH: My Lords, the appellants are a well-known firm of chartered accountants. At all times material to this appeal, they were the auditors of a public limited company, Fidelity Plc. ("Fidelity"), which carried on business as manufacturers and vendors of electrical equipment of various kinds and whose shares

were quoted on the London Stock Exchange. On 22 May 1984 the directors of Fidelity announced the results for the year ended 31 March 1984. These revealed that profits for the year fell well short of the figure which had been predicted, and this resulted in a dramatic drop in the quoted price of the shares which had stood at 143p per share on 1 March 1984 and which, by the beginning of June 1984, had fallen to 63p. Fidelity's accounts for the year to 31 March 1984 had been audited by the appellants and had been approved by the directors on the day before the results were announced. On 12 June 1984 they were issued to the shareholders, with notice of the annual general meeting, which took place on 4 July 1984 and at which the auditor's report was read and the accounts were adopted.

Following the announcement of the result, the respondent Caparo Industries plc. ("Caparo") began to purchase shares of Fidelity in the market. On 8 June 1984 they purchased 100,000 shares but they were not registered as members of Fidelity until after 12 June 1984 when the accounts were sent to shareholders although they had been registered in respect of at least some of the shares which they purchased by the date of the annual general meeting, which they did not attend. On 12 June 1984, they purchased a further 50,000 shares, and by 6 July 1984 they had increased their holding in Fidelity to 29.9 per cent. of the issued capital. On 4 September 1984 they made a bid for the remainder at 120p per share, that offer being increased to 125p per share on 24 September 1984. The offer was declared unconditional on 23 October 1984, and two days later Caparo announced that it had acquired 91.8 per cent. of the issued shares and proposed to acquire the balance compulsorily, which it subsequently did. The action in which this appeal arises is one in which Caparo alleges that the purchases of shares which took place after 12 June 1984 and the subsequent bid were all made in reliance upon the accounts and that those accounts were inaccurate and misleading in a number of respects and in particular in overvaluing stock and underproviding for after-sales credits, with the result that an apparent pre-tax profit of some 1.3m. pounds should in fact have been shown as a loss of over 400,000 pounds. Had the true facts been known, it is alleged, Caparo would not have made a bid at the price paid or indeed at all. Caparo accordingly commenced proceedings on 24 July 1985 ... against the appellants, claiming that they were negligent in certifying, as they did, that the accounts showed a true and fair view of Fidelity's position at the date to which they related.

The salient feature of [the cases on negligent misrepresentation] is that the defendant giving advice or information was fully aware of the nature of the transaction which the plaintiff had in contemplation, knew that the advice or information would be communicated to him directly or indirectly and knew that it was very likely that the plaintiff would rely on that advice or information in deciding whether or not to engage in the transaction in contemplation. In these circumstances the defendant could clearly be expected, subject always to the effect of any disclaimer of responsibility, specifically to anticipate that the plaintiff would rely on the advice or information given by the defendant for the very purpose for which he did in the event rely on it. So also the plaintiff, subject again to the effect of any disclaimer, would in that situation reasonably suppose that he was entitled to rely on the advice or information communicated to him for the very purpose for which he required it. The situation is entirely different where a statement is put into more or less general circulation and may foreseeably be relied on by strangers to the maker of the statement for any one of a variety of different purposes which the maker of the statement has no specific reason to anticipate. To hold the maker of the statement to be under a duty of care in respect of the accuracy of the statement to all and sundry for any purpose for which they may choose to rely on it is not only to subject him, in the classic words of Cardozo CJ to "liability in an indeterminate amount for an indeterminate time to an indeterminate class" (*Ultramares Corporation v. Touche* (1931) 174

NE 441, 444); it is also to confer on the world at large a quite unwarranted entitlement to appropriate for their own purposes the benefit of the expert knowledge or professional expertise attributed to the maker of the statement. Hence, looking only at the circumstances of these decided cases where a duty of care in respect of negligent statements has been held to exist, I should expect to find that the "limit or control mechanism ... imposed upon the liability of a wrongdoer towards those who have suffered economic damage in consequence of his negligence" rested in the necessity to prove, in this category of the tort of negligence, as an essential ingredient of the "proximity" between the plaintiff and the defendant, that the defendant knew that his statement would be communicated to the plaintiff, either as an individual or as a member of an identifiable class, specifically in connection with a particular transaction or transactions of a particular kind (e.g. in a prospectus inviting investment) and that the plaintiff would be very likely to rely on it for the purpose of deciding whether or not to enter upon that transaction or upon a transaction of that kind. ...

I should in any event be extremely reluctant to hold that the question whether or not an auditor owes a duty of care to an investor buying shares in a public company depends on the degree of probability that the shares will prove attractive either en bloc to a take-over bidder or piecemeal to individual investors. It would be equally wrong, in my opinion, to hold an auditor under a duty of care to anyone who might lend money to a company by reason only that it was foreseeable as highly probable that the company would borrow money at some time in the year following publication of its audited accounts and that lenders might rely on those accounts in deciding to lend. I am content to assume the high probability of a take-over bid in reliance on the accounts which the proposed amendment of the statement of claim would assert but I do not think it assists Caparo's case. ...

No doubt [the statutory provisions requiring a company to be audited annually] establish a relationship between the auditors and the shareholders of a company on which the shareholder is entitled to rely for the protection of his interest. But the crucial question concerns the extent of the shareholder's interest which the auditor has a duty to protect. The shareholders of a company have a collective interest in the company's proper management and in so far as a negligent failure of the auditor to report accurately on the state of the company's finances deprives the shareholders of the opportunity to exercise their powers in general meeting to call the directors to book and to ensure that errors in management are corrected, the shareholders ought to be entitled to a remedy. But in practice no problem arises in this regard since the interest of the shareholders in the proper management of the company's affairs is indistinguishable from the interest of the company itself and any loss suffered by the shareholders, e.g. by the negligent failure of the auditor to discover and expose a misappropriation of funds by a director of the company, will be recouped by a claim against the auditors in the name of the company, not by individual shareholders.

I find it difficult to visualise a situation arising in the real world in which the individual shareholder could claim to have sustained a loss in respect of his existing shareholding referable to the negligence of the auditor which could not be recouped by the company. But on this part of the case your Lordships were much pressed with the argument that such a loss might occur by a negligent undervaluation of the company's assets in the auditor's report relied on by the individual shareholder in deciding to sell his shares at an undervalue. The argument then runs thus. The shareholder, qua shareholder, is entitled to rely on the auditor's report as the basis of his investment decision to sell his existing shareholding. If he sells at an undervalue he is entitled to recover the loss from the auditor. There can be no distinction in law between the shareholder's investment decision to sell the shares he has or to buy additional shares. It follows, therefore, that the scope of the duty of care owed

to him by the auditor extends to cover any loss sustained consequent on the purchase of additional shares in reliance on the auditor's negligent report.

I believe this argument to be fallacious. Assuming without deciding that a claim by a shareholder to recover a loss suffered by selling his shares at an undervalue attributable to an undervaluation of the company's assets in the auditor's report could be sustained at all, it would not be by reason of any reliance by the shareholder on the auditor's report in deciding to sell; the loss would be referable to the depreciatory effect of the report on the market value of the shares before ever the decision of the shareholder to sell was taken. A claim to recoup a loss alleged to flow from the purchase of overvalued shares, on the other hand, can only be sustained on the basis of the purchaser's reliance on the report. The specious equation of "investment decisions" to sell or to buy as giving rise to parallel claims thus appears to me to be untenable. Moreover, the loss in the case of the sale would be of a loss of part of the value of the shareholder's existing holding, which, assuming a duty of care owed to individual shareholders, it might sensibly lie within the scope of the auditor's duty to protect. A loss, on the other hand, resulting from the purchase of additional shares would result from a wholly independent transaction having no connection with the existing shareholding.

I believe it is this last distinction which is of critical importance and which demonstrates the unsoundness of the conclusion reached by the majority of the Court of Appeal. It is never sufficient to ask simply whether A owes B a duty of care. It is always necessary to determine the scope of the duty by reference to the kind of damage from which A must take care to save B harmless. "The question is always whether the defendant was under a duty to avoid or prevent that damage, but the actual nature of the damage suffered is relevant to the existence and extent of any duty to avoid or prevent it." (*Sutherland Shire Council v. Heyman*, 60 ALR 1, 48, per Brennan J.) Assuming for the purpose of the argument that the relationship between the auditor of a company and individual shareholders is of sufficient proximity to give rise to a duty of care, I do not understand how the scope of that duty can possibly extend beyond the protection of any individual shareholder from losses in the value of the shares which he holds. As a purchaser of additional shares in reliance on the auditor's report, he stands in no different position from any other investing member of the public to whom the auditor owes no duty. ...

LORD OLIVER OF AYLMEYTON: ... [I]f and so far as the purpose for which the audit was carried out is a relevant consideration in determining the extent of any general duty in tort owed by the appellants to persons other than the company which is their immediate employer, that purpose was simply that of fulfilling the statutory requirements of the *Companies Act*. That, in turn, raises the question, and it is one which lies at the threshold of the inquiry upon which your Lordships are invited to embark, of what is the purpose behind the legislative requirement for the carrying out of an annual audit and the circulation of the accounts. For whose protection were these provisions enacted and what object were they intended to achieve?

My Lords, the primary purpose of the statutory requirement that a company's accounts shall be audited annually is almost self-evident. The structure of the corporate trading entity, at least in the case of public companies whose shares are dealt with on an authorised Stock Exchange, involves the concept of a more or less widely distributed holding of shares rendering the personal involvement of each individual shareholder in the day-to-day management of the enterprise impracticable, with the result that management is necessarily separated from ownership. The management is confided to a board of directors which operates in a fiduciary capacity and is answerable to and removable by the shareholders who can act, if they act at all,

only collectively and only through the medium of a general meeting. Hence the legislative provisions requiring the board annually to give an account of its stewardship to a general meeting of the shareholders. This is the only occasion in each year upon which the general body of shareholders is given the opportunity to consider, to criticise and to comment upon the conduct by the board of the company's affairs, to vote upon the directors' recommendation as to dividends, to approve or disapprove the directors' remuneration and, if thought desirable, to remove and replace all or any of the directors. It is the auditors' function to ensure, so far as possible, that the financial information as to the company's affairs prepared by the directors accurately reflects the company's position in order, first, to protect the company itself from the consequences of undetected errors or, possibly, wrongdoing (by, for instance, declaring dividends out of capital) and, secondly, to provide shareholders with reliable intelligence for the purpose of enabling them to scrutinise the conduct of the company's affairs and to exercise their collective powers to reward or control or remove those to whom that conduct has been confided. ...

[Lord Oliver reviewed the history of the statutory requirement that accounts be made available to the holders of shares and debentures and continued:]

Thus the history of the legislation is one of an increasing availability of information regarding the financial affairs of the company to those having an interest in its progress and stability. It cannot fairly be said that the purpose of making such information available is solely to assist those interested in attending general meetings of the company to an informed supervision and appraisal of the stewardship of the company's directors for the requirement to supply audited accounts to, for instance, preference shareholders having no right to vote at general meetings and to debenture holders cannot easily be attributed to any such purpose. Nevertheless, I do not, for my part, discern in the legislation any departure from what appears to me to be the original, central and primary purpose of these provisions, that is to say, the informed exercise by those interested in the property of the company, whether as proprietors of shares in the company or as the holders of rights secured by a debenture trust deed, of such powers as are vested in them by virtue of their respective proprietary interests.

It is argued on behalf of the respondent that there is to be discerned in the legislation an additional or wider commercial purpose, namely that of enabling those to whom the accounts are addressed and circulated, to make informed investment decisions, for instance, by determining whether to dispose of their shares in the market or whether to apply any funds which they are individually able to command in seeking to purchase the shares of other shareholders. Of course, the provision of any information about the business and affairs of a trading company, whether it be contained in annual accounts or obtained from other sources, is capable of serving such a purpose just as it is capable of serving as the basis for the giving of financial advice to others, for arriving at a market price, for determining whether to extend credit to the company, or for the writing of financial articles in the press. Indeed, it is readily foreseeable by anyone who gives the matter any thought that it might well be relied on to a greater or less extent for all or any of such purposes. It is, of course, equally foreseeable that potential investors having no proprietary interest in the company, might well avail themselves of the information contained in a company's accounts published in the newspapers or culled from an inspection of the documents to be filed annually with the Registrar of Companies (which includes the audited accounts) in determining whether or not to acquire shares in the company. I find it difficult to believe, however, that the legislature, in enacting provisions clearly

aimed primarily at the protection of the company and its informed control by the body of its proprietors, can have been inspired also by consideration for the public at large and investors in the market in particular. ...

I turn, therefore, to the question raised by the appellants' appeal. The Court of Appeal, whilst rejecting unanimously the respondents' contention that the appellant owed them a duty of care simply as potential investors in the market, nevertheless by a majority allowed their claim that a similar duty was owed to them in their capacity as shareholders from the date when they first became registered in respect of shares which they had purchased. ...

Now if it be right, as, for my part, I believe that it is and as the Court of Appeal has held, that no relationship of proximity and thus no duty of care exists between auditors and the investing public generally in relation to the statutory audit—I say nothing, of course, about a case where accounts are audited specifically for the purpose of submission to a potential investor—the attribution of such a duty arising from the receipt of exactly the same information by a person who happens to be the registered holder of a share in the company whose accounts are in question produces entirely capricious results. O'Connor LJ, in his dissenting judgment [1989] QB 653, 715, instanced the case of a shareholder who, having purchased further shares at an overvalue on the basis of the accounts, shows the accounts to a friend who has no existing shareholding but proceeds to make a similar purchase. Each receives exactly the same information; each relies upon it in exactly the same way and for the same purpose; and the loss sustained in both cases is identical and is equally foreseeable. Yet liability is said to exist in the one case but not in the other. One has indeed only to consider the circumstances of the instant case which must ultimately result in drawing a distinction between the loss sustained as a result of the initial purchase of shares (irrecoverable) and that sustained as a result of purchases made after the first registration (recoverable) although all purchases were made in reliance upon exactly the same information.

So unreasonable a distinction must call in question the analysis which leads to it. The majority in the Court of Appeal deduced the relationship from what Bingham LJ described, at p. 684, as "the degree of closeness between the parties." It was pointed out that although the auditors are appointed and paid by the company that is the result of the vote of the shareholders in general meeting and their remuneration is paid out of funds which might otherwise be available for distribution to shareholders by way of dividend. Their duty is to report to the shareholders whether the accounts give a true and fair view of the company's financial position and their report is sent to each shareholder as an identifiable individual. Thus, it was said, the relationship, although not a contractual one, was very close to being contractual and was more-over one in which a lack of care would be likely directly to affect the very person whose interest the auditor is engaged to protect, should that person choose to rely upon the accounts for the purpose of making or disposing of an investment. My Lords, of course I see the force of this, but, as I have already suggested, "proximity" in cases such as this is an expression used not necessarily as indicating literally "closeness" in a physical or metaphorical sense but merely as a convenient label to describe circumstances from which the law will attribute a duty of care. It has to be borne in mind that the duty of care is inseparable from the damage which the plaintiff claims to have suffered from its breach. It is not a duty to take care in the abstract but a duty to avoid causing to the particular plaintiff damage of the particular kind which he has in fact sustained. I cannot improve on the analysis which is to be found in the judgment of Brennan J in the High Court of Australia in the *Shire of Sutherland* case, 60 ALR 1 to which I have already referred. After citing the speech of Viscount

Simonds in *The Wagon Mound* [1961] AC 388, 425, where he observed that it was vain to isolate the liability from its context and to say that B is or is not liable and then to ask for what damage he is liable, Brennan J continued, at p. 48:

The corollary is that a postulated duty of care must be stated in reference to the kind of damage that a plaintiff has suffered and in reference to the plaintiff or a class of which the plaintiff is a member. I venture to repeat what I said in *John Pfeiffer Pty. Ltd. v. Cannay* [1981] 148 CLR 218, 241-242: "His duty of care is a thing written on the wind unless damage is caused by the breach of that duty; there is no actionable negligence unless duty, breach and consequential damage coincide ... for the purposes of determining liability in a given case, each element can be defined only in terms of the others." It is impermissible to postulate a duty of care to avoid one kind of damage—say, personal injury—and, finding the defendant guilty of failing to discharge that duty, to hold him liable for the damage actually suffered that is of another independent kind—say, economic loss. Not only may the respective duties differ in what is required to discharge them; the duties may be owed to different persons or classes of persons. That is not to say that a plaintiff who suffers damage of some kind will succeed or fail in an action to recover damages according to his classification of the damage he suffered. The question is always whether the defendant was under a duty to avoid or prevent that damage, but the actual nature of the damage suffered is relevant to the existence and extent of any duty to avoid or prevent it.

In seeking to ascertain whether there should be imposed on the adviser a duty to avoid the occurrence of the kind of damage which the advisee claims to have suffered is not, I think, sufficient to ask simply whether there existed a "closeness" between them in the sense that the advisee had a legal entitlement to receive the information upon the basis of which he has acted or in the sense that the information was intended to serve his interest or to protect him. One must, I think, go further and ask, in what capacity was his interest to be served and from what was he intended to be protected? A company's annual accounts are capable of being utilised for a number of purposes and if one thinks about it it is entirely foreseeable that they may be so employed. But many of such purposes have absolutely no connection with the recipient's status or capacity, whether as a shareholder, voting or non-voting, or as a debentureholder. Before it can be concluded that the duty is imposed to protect the recipient against harm which he suffers by reason of the particular use that he chooses to make of the information which he receives, one must, I think, first ascertain the purpose for which the information is required to be given. Indeed the paradigmatic *Donoghue v. Stevenson* case of a manufactured article requires, as an essential ingredient of liability, that the article has been used by the consumer in the manner in which it was intended to be used. ... I entirely follow that if the conclusion is reached that the very purpose of providing the information is to serve as the basis for making investment decisions or giving investment advice, it is not difficult then to conclude also that the duty imposed upon the adviser extends to protecting the recipient against loss occasioned by an unfortunate investment decision which is based on carelessly inaccurate information. Bingham LJ did, indeed, conclude that the provision of guidance for the making of investment decisions was one of the purposes to be discerned in the statutory provisions. He observed, [1989] QB 653, 681-682:

... I think these provisions also reflect a wider and more commercial intention. The growth and development of limited liability companies over a relatively very short period have been phenomenal. Their proliferation and expansion have depended on their acceptance by the investing public as an advantageous and (on the whole)

reliable medium of investment. The statutory requirements that companies account to their members and that auditors express an independent opinion to shareholders on the truth and accuracy of company accounts are in my view designed (in part at least) to fortify confidence in the holding of shares as a medium of investment by enabling shareholders to make informed investment decisions. There are obvious reasons, both economic and social, why this end should be regarded as desirable.

How far he regarded this as an essential feature of the relationship of proximity which he held to exist between the appellants and the respondents as shareholders is not, however, entirely clear, for he attributed the same intention to the legislature in relation to investors generally. He said, at p. 682D:

The publication of accounts must limit, if it cannot eliminate, the scope for rumour-inspired speculation and thus promote an informed and orderly market. It enables prospective investors, like shareholders, to make informed decisions. For such prospective investors the independent opinion of the auditor has the same significance as for existing shareholders.

As I have already indicated, I am not, for my part, able to share this view of the intention of the legislature. I do not believe and I see no grounds for believing that, in enacting the statutory provisions, Parliament had in mind the provision of information for the assistance of purchasers of shares or debentures in the market, whether they be already the holders of shares or other securities or persons having no previous proprietary interest in the company. It is unnecessary to decide the point on this appeal, but I can see more force in the contention that one purpose of providing the statutory information might be to enable the recipient to exercise whatever rights he has in relation to his proprietary interest by virtue of which he receives it, by way, for instance, of disposing of that interest. I can, however, see no ground for supposing that the legislature was intending to foster a market for the existing holders of shares or debentures by providing information for the purpose of enabling them to acquire such securities from other holders who might be minded to sell. ...

In my judgment, accordingly, the purpose for which the auditors' certificate is made and published is that of providing those entitled to receive the report with information to enable them to exercise in conjunction those powers which their respective proprietary interests confer upon them and not for the purposes of individual speculation with a view to profit. The same considerations as limit the existence of a duty of care also, in my judgment, limit the scope of the duty and I agree with O'Connor LJ that the duty of care is one owed to the shareholders as a body and not to individual shareholders.

To widen the scope of the duty to include loss caused to an individual by reliance upon the accounts for a purpose for which they were not supplied and were not intended would be to extend it beyond the limits which are so far deductible from the decisions of this House. It is not, as I think, an extension which either logic requires or policy dictates and I, for my part, am not prepared to follow the majority of the Court of Appeal in making. In relation to the purchase of shares of other shareholders in a company, whether in the open market or as a result of an offer made to all or a majority of the existing shareholders, I can see no sensible distinction, so far as a duty of care is concerned, between a potential purchaser who is, vis-à-vis the company, a total outsider and one who is already the holder of one or more shares. I accordingly agree with what has already fallen from my noble and learned friend, Lord Bridge of Harwich, and I, too, would allow the appeal

LORD ROSKILL, LORD ACKNER and LORD JAUNCEY OF TULLICHETTLE also were of the opinion that the appeal should be allowed

NOTE

In *Hercules Managements Ltd v Ernst & Young*, [1997] 2 SCR 165, the plaintiffs, relying on the defendant auditor's allegedly negligent annual reports, invested in a company that subsequently went into receivership. Affirming the lower courts' decisions to grant the defendant summary judgment, the court (per La Forest J) applied the two-stage approach to duty (derived from *Anns v Merton London Borough Council*, [1978] AC 728 (HL)) of asking, first, whether there was a relationship of proximity between the parties giving rise to a *prima facie* duty and, second, whether policy considerations negated or limited this *prima facie* duty. Dealing with the first stage of this test, La Forest J remarked:

[T]he label "proximity" [is] clearly intended to connote that the circumstances of the relationship inhering between the plaintiff and the defendant are of such a nature that the defendant may be said to be under an obligation to be mindful of the plaintiff's legitimate interests in conducting his or her affairs. ... To my mind, proximity can be seen to inhere between the defendant-representor and the plaintiff-representee when two criteria in relation to reliance may be said to exist on the facts: (a) the defendant ought reasonably to foresee that the plaintiff will rely on his or her representation; and (b) reliance by the plaintiff would, in the particular circumstances of the case, be reasonable.

After referring to *Haig* and *Caparo*, La Forest J explained the second stage as follows:

I am of the view that enquiring into such matters as whether the defendant had knowledge of the plaintiff (or class of plaintiffs) and whether the plaintiff used the statements at issue for the particular purpose for which they were provided is, in reality, nothing more than a means by which to circumscribe—for reasons of policy—the scope of the representor's potentially infinite liability. ... [D]etermining whether "proximity" exists in a particular state of facts consists in an attempt to discern whether, as a matter of simple justice, the defendant may be said to have had an obligation to be mindful of the plaintiff's interests in going about his or her business. Requiring, in addition to proximity, that the defendant know the identity of the plaintiff (or class of plaintiffs) and that the plaintiff use the statements in question for the specific purpose for which they were prepared amounts, in my opinion, to a tacit recognition that considerations of basic fairness may sometimes give way to other pressing concerns. Plainly stated, adding further requirements to the duty of care test provides a means by which policy concerns that are extrinsic to simple justice—but that are, nevertheless, fundamentally important—may be taken into account in assessing whether the defendant should be compelled to compensate the plaintiff for the losses suffered. ...

[E]nquiries concerning (a) the defendant's knowledge of the identity of the plaintiff (or of the class of plaintiffs) and (b) the use to which the statements at issue are put may now quite properly be conducted in the second branch of [the *Anns*] test when deciding whether or not policy considerations ought to negative or limit a *prima facie* duty that has been found to exist. In other words, criteria that in other cases [i.e. *Haig* and *Caparo*] have been used to define the legal test for the duty of care can now be recognised for what they really are—policy-based means by which to curtail liability.

While agreeing that the deterrence of negligent conduct by auditors is an important policy consideration, La Forest J was of the view that "in the final analysis it is outweighed by the socially undesirable consequences to which the imposition of indeterminate liability on auditors might lead." Among these consequences were increased insurance premiums, higher costs faced by accountants, opportunity costs in time spent on litigation rather than on generating accounting revenue, reduction in the availability of accounting services as marginal firms are driven to the wall, and increased costs for consumers of accounting services.

Applying this conception of duty to the facts of the case at hand, La Forest J stated that a *prima facie* duty arose because the reliance of shareholders on audited statements is reasonably

foreseeable, especially in view of the statutory requirement to place financial statements before the shareholders at the annual meeting. He also found that the plaintiff's reliance was reasonable: the information was given deliberately and in the course of business by the defendant, who was a professional who had an indirect financial interest in the transaction in respect of which the representation was made. This *prima facie* duty, however, was negated by the policy concern for indeterminate liability, because, although in this case the defendant knew the identity of the shareholders who relied on the audit reports, the reports were not used for precisely the purpose or transaction for which they were prepared. Citing *Caparo*, La Forest J was of the view that the purpose of the reports was not to safeguard the individual interests of the shareholders but to enable them collectively to oversee the management of the corporation.

DELOITTE & TOUCHE V LIVENT INC (RECEIVER OF)

[2017] 2 SCR 855

[McLACHLIN CJ set out the facts as follows:]

[116] Garth Drabinsky and Myron Gottlieb built a North American theatre empire that came to be known as Livent Inc. Seeking ever more spectacular success, they resorted to manipulating the company's financial records. When the scheme came to light, Livent collapsed. Its assets were liquidated. Drabinsky and Gottlieb went to jail.

[117] This is among the many lawsuits that followed. The courts below held that Deloitte & Touche, a firm of accountants and Livent's auditor, breached the duty of care it owed to Livent in failing to detect and expose Livent's fraud, as a result of which Livent was able to continue operations and continue losing money—money it now claims from Deloitte. ...

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[121] Livent's strategy was vertical integration. Unlike other players in the live entertainment industry, it brought the entire enterprise, from production to performance, under one roof—a roof that Livent, as a proprietor of theatre properties, also owned. This was an immensely costly and risky undertaking. Livent invested in real estate in Toronto, Vancouver, New York, and Chicago. It produced and presented a string of spectacular (and therefore expensive) musicals. When its shows succeeded, Livent reaped all the rewards. When they did not, it bore the losses alone.

[122] Drabinsky and Gottlieb were determined to prove that their business model worked. To be sure it did, they and their associates cooked the books. ...

[123] Livent not only misled the markets, it also fooled its auditor. Deloitte never uncovered the company's schemes. Livent continued to raise investment capital and reinvest it in unprofitable theatre enterprises. Deloitte's auditors report for Livent's Fiscal Year 1997 did not disclose the fraud and, although Deloitte objected when Gottlieb presented a misleading quarterly financial statement to the Audit Committee in August 1997, it did not resign.

[124] The truth came to light in 1998. New equity investors appointed new management, who discovered "irregularities." Deloitte retracted its audit opinions for 1996 and 1997. A subsequent investigation and re-audit resulted in restated financial reports. Drabinsky and Gottlieb were suspended, fired, and convicted of fraud.

[125] Livent filed for insolvency protection in both Canada and the United States in November 1998 and sold its assets in August 1999. It went into receivership the following month.

GASCON and BROWN JJ (KARAKATSANIS and ROWE JJ concurring):

[1] This appeal provides the Court with an opportunity to affirm the analytical framework by which liability may be imposed in cases of negligent misrepresentation or performance of a service by an auditor.

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[6] The trial judge's findings of negligence can be divided into two separate events: (1) Deloitte's approval of a 1997 press release ("Press Release") and provision of a comfort letter ("Comfort Letter"); and (2) Deloitte's preparation and approval of the 1997 clean audit opinion ("1997 Audit"). We would not label all of these documents "audit statements." Indeed, collapsing the distinctions between these documents obfuscates a proper duty of care analysis.

[7] Livent asserts that it detrimentally relied on Deloitte in each of these events, which impaired its ability to oversee its operations. Specifically, Livent says that, had Deloitte been prudent in relation to these representations, Livent's life would not have been artificially extended and that, in turn, it would have suffered less corporate loss (calculated as the increase in the deficit between its liabilities and assets at the time of its liquidation) ...

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[15] We reiterate that the *purpose* of the representation is critical. Unlike the Press Release and Comfort Letter (which were intended to inform investors of Livent's financial position), the 1997 Audit was intended to inform Livent of its own financial position for various purposes, including, most importantly, shareholder oversight of management.

III. ANALYSIS

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[18] In *Hercules*, this Court recognized a duty owed by an auditor in preparing a statutory audit of its corporate client. While the Court dismissed the plaintiff shareholders' claim for lost personal investments, it consistently maintained that a claim by the corporation itself for its own losses resulting from a negligent statutory audit could have succeeded. ...

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[21] The *Anns* test ... set a low threshold at the first stage, imposing duties in relation to a nearly limitless class of persons who might rely on representations for nearly limitless purposes. Indeed, as this Court stated in *Hercules*, "[i]n modern commercial society, the fact that audit reports will be relied on by many different people (e.g., shareholders, creditors, potential takeover bidders, investors, etc.) for a wide variety of purposes will almost always be reasonably foreseeable to auditors themselves" (para. 32). For that reason—that is, because of the low "foreseeability" threshold for establishing a *prima facie* duty of care at the first stage of the *Anns* test—the Court looked to the second stage of the *Anns* test to negate or narrow the duty on the basis of the "policy consideration" of indeterminacy. It was here that the Court looked to the identity of the plaintiffs and the purpose of the audit opinion to deny liability for investment and devaluation losses of individual shareholders (paras. 27-28; see also *Haig v. Bamford*, 1976 CanLII 6 (SCC), [1977] 1 S.C.R. 466). Specifically, the Court found that one of the purposes of a statutory audit—that is, to "allo[w] shareholders, as a group, to supervise management and to take decisions with respect to matters concerning the proper overall administration of the corporation[n]" (para. 56 (emphasis in original))—would have permitted the corporate client to recover its own losses at the time of receivership had the claim been brought in the corporation's name.

As we will explain, Livent's injury following the 1997 Audit is precisely the type of injury described in *Hercules* as being compensable....

[22] While this Court's holding in *Hercules* remains binding authority governing an auditor's duty of care in relation to a statutory audit, the framework by which that duty is imposed has since been refined. In the companion cases of *Cooper* and *Edwards v. Law Society of Upper Canada*, 2001 SCC 80 (CanLII), [2001] 3 S.C.R. 562, this Court revised the *Anns* test by distinguishing more clearly between foreseeability and proximity, and by placing greater emphasis on a more demanding first stage of the two-stage analysis (*Cooper*, at para. 30). While, therefore, we rely on *Hercules* for the general proposition that an auditor may owe its client a duty of care in relation to a particular undertaking, it is the *Anns/Cooper* framework to which we must have reference in identifying a principled basis for imposing liability. And, properly applied, that framework will rarely, if ever, give rise to a *prima facie* duty of care that could result in indeterminate liability. Accordingly, and with great respect for contrary views, there is no reason to resort to the second stage in order to negate all liability in this case.

(a) Stage One: Prima Facie Duty of Care

[23] In *Cooper*, this Court recognized that "foreseeability alone" is not enough to establish a *prima facie* duty of care (para. 22; see also *Edwards*, at para. 9). In doing so, it signalled a shift from the *Anns* test, which had grounded the recognition of a *prima facie* duty upon mere foreseeability of injury (*Hercules*, at paras. 25 and 27; *Norsk*, at p. 1154; *Bow Valley*, at para. 61). After *Cooper*, the first stage of the *Anns/Cooper* framework would require "something more" (*Cooper*, at para. 29). That "something more" is proximity....

[24] In *Cooper*, the Court did not indicate whether proximity or reasonable foreseeability should be assessed first. In cases of negligent misrepresentation or performance of a service, however, proximity will be more usefully considered before foreseeability. What the defendant reasonably foresees as flowing from his or her negligence depends upon the characteristics of his or her relationship with the plaintiff, and specifically, in such cases, the purpose of the defendant's undertaking. That said, both proximity and foreseeability of injury merit further reflection.

(I) PROXIMITY

[25] Assessing proximity in the *prima facie* duty of care analysis entails asking whether the parties are in such a "close and direct" relationship that it would be "just and fair having regard to that relationship to impose a duty of care in law" (*Cooper*, at paras. 32 and 34).

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[30] In cases of pure economic loss arising from negligent misrepresentation or performance of a service, two factors are determinative in the proximity analysis: the defendant's undertaking and the plaintiff's reliance. Where the defendant undertakes to provide a representation or service in circumstances that invite the plaintiff's reasonable reliance, the defendant becomes obligated to take reasonable care. And, the plaintiff has a right to rely on the defendant's undertaking to do so (W. N. Hohfeld, "Some Fundamental Legal Conceptions as Applied in Judicial Reasoning" (1913), 23 Yale L.J. 16, at pp. 49-50). These corollary rights and obligations create a relationship of proximity (*Haig*, at p. 477; *Caparo Industries plc v. Dickman*, [1990] 1 All E.R. 568 (H.L.), at pp. 637-38; *Glanzer v. Shepard*, 135 N.E. 275 (N.Y. 1922) at pp. 275-76;

Ultramares Corp. v. Touche, 174 N.E. 441 (N.Y. 1931), at pp. 445-46; E. J. Weinrib, "The Disintegration of Duty" (2006), 31 Adv. Q. 212, at p. 230).

[31] Rights, like duties, are, however, not limitless. Any reliance on the part of the plaintiff which falls outside of the scope of the defendant's undertaking of responsibility—that is, of the purpose for which the representation was made or the service was undertaken—necessarily falls outside the scope of the proximate relationship and, therefore, of the defendant's duty of care (Weinrib; A. Beever, *Rediscovering the Law of Negligence* (2007), at pp. 293-94). This principle, also referred to as the "end and aim" rule, properly limits liability on the basis that the defendant cannot be liable for a risk of injury against which he did not undertake to protect (*Glanzer*, at pp. 275 and 277; *Ultramares*, at pp. 445-46; *Haig*, at p. 482). By assessing all relevant factors arising from the relationship between the parties, the proximity analysis not only determines the existence of a relationship of proximity, but also delineates the scope of the rights and duties which flow from that relationship. In short, it furnishes not only a "principled basis upon which to draw the line between those to whom the duty is owed and those to whom it is not" (*Fallowka*, at para. 70), but also a principled delineation of the scope of such duty, based upon the purpose for which the defendant undertakes responsibility. As we will explain, these principled limits are essential to determining the type of injury that was a reasonably foreseeable consequence of the defendant's negligence.

(II) REASONABLE FORESEEABILITY

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[34] As we have already observed ... reasonable foreseeability of injury is no longer the sole consideration at the first stage of the *Anns/Cooper* framework. Since *Cooper*, both reasonable foreseeability and proximity—the latter expressed in *Cooper* as a distinct and more demanding hurdle than reasonable foreseeability—must be proven in order to establish a *prima facie* duty of care. And, in cases of negligent misrepresentation or performance of a service, the proximate relationship—grounded in the defendant's undertaking and the plaintiff's reliance—informs the foreseeability inquiry. Meaning, the purpose underlying that undertaking and that corresponding reliance limits the type of injury which could be reasonably foreseen to result from the defendant's negligence.

[35] As a matter of first principles, it must be borne in mind that an injury to the plaintiff in this sort of case flows from the fact that he or she detrimentally relied on the defendant's undertaking, whether it take the form of a representation or the performance of a service. It follows that an injury to the plaintiff will be reasonably foreseeable if (1) the defendant should have reasonably foreseen that the plaintiff would rely on his or her representation; and (2) such reliance would, in the particular circumstances of the case, be reasonable (*Hercules*, at para. 27). Both the reasonableness and the reasonable foreseeability of the plaintiff's reliance will be determined by the relationship of proximity between the parties; a plaintiff has a right to rely on a defendant to act with reasonable care for the particular purpose of the defendant's undertaking, and his or her reliance on the defendant for that purpose is therefore both reasonable and reasonably foreseeable. But a plaintiff has no right to rely on a defendant for any other purpose, because such reliance would fall outside the scope of the defendant's undertaking. As such, any consequent injury could not have been reasonably foreseeable.

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(b) Stage Two: Residual Policy Considerations

[37] Where a *prima facie* duty of care is recognized on the basis of proximity and reasonable foreseeability, the analysis advances to stage two of the *Anns/Cooper* framework. Here, the question is whether there are “residual policy considerations” outside the relationship of the parties that may negate the imposition of a duty of care ...

...

[39] *Cooper*, and in particular, its strict delineation between “factors arising from the *relationship* [between the parties]” (para. 30 (emphasis in original)) and factors that “are not concerned with the relationship between the parties” (para. 37) has impacted the stage at which certain factors are considered within the *Anns/Cooper* framework. For example, principles that were traditionally considered at the second stage of the *Anns* test in cases of negligent misrepresentation, such as (1) whether the defendant knew the identity of the plaintiff or the class of plaintiffs who would rely on its representation; and (2) whether the reliance losses claimed by the plaintiff stem from the particular transaction in respect of which the statement at issue was made (*Hercules*, at paras. 27 and 40; *Bow Valley*, at paras. 55-56), are no longer considered at the second stage. This is because, as we have explained, these factors arise from the *relationship* between the parties and are, therefore, properly accounted for under the first stage proximity and reasonable foreseeability analysis.

[40] What, then, remains to be considered at the second stage of the *Anns/Cooper* framework? In *Cooper*, this Court identified factors which are external to the relationship between the parties, including (1) whether the law already provides a remedy; (2) whether recognition of the duty of care creates “the spectre of unlimited liability to an unlimited class”; and (3) whether there are “other reasons of broad policy that suggest that the duty of care should not be recognized” (para. 37). In this way, the residual policy inquiry is a normative inquiry. It asks whether it would be better, for reasons relating to legal or doctrinal order, or reasons arising from other societal concerns, not to recognize a duty of care in a given case.

[41] The place within the *Anns/Cooper* framework of this policy inquiry is significant. It follows the proximity and foreseeability inquiries. The policy inquiry assesses whether, despite the proximate relationship between the parties, and despite the reasonably foreseeable quality of the plaintiff’s injury, the defendant should nonetheless be insulated from liability (*Cooper*, at para. 30; *Odhavji*, at para. 51). That it would limit liability in the face of findings of both proximity and reasonable foreseeability makes plain how narrowly it should be relied upon. ... Only in rare cases—such as those concerning decisions of governmental policy (*Cooper*, at paras. 38 and 53) or quasi-judicial bodies (*ibid.*, at para. 52; *Edwards*, at para. 19)—should liability be denied when a defendant’s negligence causes reasonably foreseeable injury to a plaintiff with whom he or she shares a close and direct relationship. In light of the above, the stage at which certain factors are considered in the *Anns/Cooper* framework is material.

[42] ... We concede that indeterminate liability may, in some cases, be a legitimate residual policy consideration (*Cooper*, at paras. 37 and 54; *Hercules*, at para. 31). In our view, however, rarely, if ever, should a concern for indeterminate liability persist after a properly applied proximity and foreseeability analysis.... Robust application of stage one of the *Anns/Cooper* framework should almost always obviate concerns for indeterminate liability. This follows from an appreciation of what indeterminate liability, as a concept, actually means.

[43] Indeterminate liability is liability of a specific character, not of a specific amount. In particular, indeterminate liability should not be confused with significant liability (*Gross v. Great-West Life Assurance Co.*, 2002 ABCA 37 (CanLII), 299 A.R. 142, at para. 38). Certain activities—like flying commercial aircraft, manufacturing pharmaceutical drugs, or auditing a large corporation—may well give rise to significant liability. But such liability arises from the nature of the defendant's undertakings and of the severe but reasonably foreseeable scale of injury that can result where such undertakings are negligently performed. This explains the significant compensation which these high risk undertakings typically attract. It also explains why contractual disclaimers limiting liability may often be warranted (*Edgeworth*, at p. 220). In contrast, the liability arising from these "high risk" undertakings may only be characterized as "indeterminate" if the scope of such liability is impossible to ascertain (*Black's Law Dictionary* (10th ed. 2014), *sub verbo* "indeterminate"). In other words, liability is truly "indeterminate" if "the accepted sources of law and the accepted methods of working with those sources such as deduction and analogy—are insufficient to resolve the question" (M. V. Tushnet, "Defending the Indeterminacy Thesis," in B. Bix, ed., *Analyzing Law: New Essays in Legal Theory* (1998), 223, at pp. 224-25). More specifically, there are three pertinent aspects to so-called "indeterminacy" in these cases: (1) value indeterminacy ("liability in an indeterminate amount"); (2) temporal indeterminacy ("liability ... for an indeterminate time"); and (3) claimant indeterminacy ("liability ... to an indeterminate class"): *Hercules*, at para. 31, citing *Ultramares*, at p. 444. Naturally, when a claim has value, temporal, and claimant indeterminacy, our legal tools are insufficient to resolve the quantum of infinite damages that will flow from such a claim.

[44] All this said, it would be very difficult for liability of an indeterminate character, so understood, to survive a robust analysis of proximity and foreseeability at the first stage of the *Anns/Cooper* framework. In cases of negligent misrepresentation or performance of a service, the requisite proximity analysis will address claimant indeterminacy because the class of claimants is determinate, including only those in respect of whom the defendant undertook to act. Likewise, foreseeability, which is constrained by the purpose of the undertaking in question, should address concerns about value indeterminacy, because the value of damages is limited—that is, determined—by the reasonably foreseeable quality of the injury (*Hercules*, at para. 32). Finally, proximity and foreseeability should both address temporal indeterminacy since the longer the period of time over which injury is said to have occurred, the less likely the defendant undertook to protect against it and the less foreseeable the injury, taken as a whole. Hence Cardozo C.J.'s statement in the oft-cited *Ultramares* decision that a duty which gives rise to indeterminacy "enkindle[s] doubt whether a flaw may not exist in the implication of a duty that exposes to these consequences" (p. 444; see also Weinrib, at p. 231; Beever, at p. 275). In other words, a finding of indeterminate liability at the damages stage strongly suggests that a legal error occurred at the duty stage, since a finding of a *prima facie* duty of indeterminate scope underlies the resulting indeterminate liability.

[45] We would add one final point. Indeterminate liability is a residual policy consideration, nothing more. The presence of indeterminacy need not be dispositive of liability in all cases. To approach the analysis otherwise would transform indeterminate liability from a policy consideration into a policy veto. While indeterminacy may militate against liability, other policy considerations—such as the immense profit margins that "high risk" actors often benefit from, or the extent to which "high risk" actors voluntarily assume the risk of indeterminate liability—may ultimately justify maintaining that liability, despite its indeterminacy (Beever, at p. 293). Even, therefore, in the rare case where indeterminate liability survives the proximity and

foreseeability inquiries, it is not automatic that such indeterminacy will necessarily govern Indeed, any so-called “indeterminate liability” which survives stage one of the *Anns/Cooper* framework presumably arises from the risk against which the defendant voluntarily undertook to protect the plaintiff and, therefore, may justly and fairly result in liability.

B. APPLICATION

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[47] [A]t the first stage of the *Anns/Cooper* framework, a duty of care is established where proximity and reasonably foreseeability of injury are found. In our view, Deloitte’s undertakings in relation to soliciting investment, and the 1997 Audit, gave rise to proximate relationships. The purpose of those undertakings, in turn, determines the type of injury that was reasonably foreseeable as a result of Livent’s reliance. Livent relied on the 1997 Audit for the purpose it was provided. Thus, a resulting injury was reasonably foreseeable. The same cannot be said, however, in respect of Deloitte’s negligent assistance in soliciting investment.

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(1) Solicitation of Investment (August to October 1997)

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[53] As we have indicated above, the full proximity analysis in cases of negligent misrepresentation is focussed upon the purpose of the defendant’s undertaking and the plaintiff’s reliance. From August to October of 1997, the services which Deloitte provided to Livent—particularly its ongoing assistance in relation to the Press Release and the provision of the Comfort Letter—were undertaken for the purpose of helping Livent to solicit investment. Given this undertaking, Livent was entitled to rely upon Deloitte to carry out these services with reasonable care. From this, it follows that a relationship of proximity arose *in respect of the content of Deloitte’s undertaking*. Deloitte’s undertaking did not entitle Livent to rely on Deloitte’s services and representations for all possible purposes. Rather, the “close and direct” relationship which obligated Deloitte to act with reasonable care was limited to the purpose for which Deloitte undertook to act. ...

[54] Having established a relationship of proximity for the purpose of soliciting investment, Livent asserts that the increase in its liquidation deficit beginning in the fall of 1997 was a reasonably foreseeable consequence of Deloitte’s negligence, because “[t]he false financial picture that ought not to have been certified by Deloitte” was relied upon by Livent to artificially extend its solvency (R.F., at para. 108). In other words, had Deloitte resigned rather than continued to assist Livent in soliciting investment, Livent would have known its actual finances and avoided their interim deterioration. In our view, however, this type of injury was not a reasonably foreseeable consequence of Deloitte’s negligent assistance in soliciting investment. This follows from our earlier observations about how the scope of the parties’ proximate relationship limits the type of injuries that are reasonably foreseeable.

[55] In cases of negligent misrepresentation or performance of a service, a plaintiff’s injury will be reasonably foreseeable where (1) the defendant should reasonably foresee that the plaintiff will rely on his or her representation; and (2) reliance by the plaintiff would, in the particular circumstances of the case, be reasonable (*Hercules*, at para. 27). Whether reliance is reasonable and reasonably foreseeable will turn on whether the plaintiff had a right to rely on the defendant for that purpose. Here,

Livent argues that it detrimentally relied on Deloitte's services and representations to artificially extend the life of the corporation. This reliance is not, however, tied to the solicitation of investment, but was a matter of oversight of management. Phrased in terms of Deloitte's undertaking, during the fall of 1997 Deloitte undertook to assist Livent in soliciting investment, not in oversight of management. Losses related to this undertaking—for example, an inability to solicit investment because of Deloitte's negligence—may be recoverable from Deloitte. But losses outside the scope of this undertaking, including those claimed here relating to a lack of oversight of management extending Livent's solvency, are not recoverable from Deloitte. Simply put, Deloitte never undertook, in preparing the Comfort Letter, to assist Livent's shareholders in overseeing management; it cannot therefore be held liable for failing to take reasonable care to assist such oversight. And, given that Livent had no right to rely on Deloitte's representations for a purpose other than that for which Deloitte undertook to act, Livent's reliance was neither reasonable nor reasonably foreseeable. Consequently, the increase in Livent's liquidation deficit which arose from its reliance on the Press Release and Comfort Letter was not a reasonably foreseeable injury.

[56] This is not to say that Livent had no resources for oversight at the time Deloitte assisted in soliciting investment. Indeed, for internal oversight purposes, Livent could reasonably rely on Deloitte's 1996 Audit. Unlike the Comfort Letter, the 1996 Audit was prepared for the purpose of assisting shareholder oversight of management. As a consequence, its negligent preparation could result in reasonably foreseeable injury flowing from the shareholders' inability to oversee management. The trial judge, however, made a finding of fact that any negligence in Deloitte's preparation of the 1996 Audit caused no injury to Livent. As this finding has not been cross-appealed by Livent, we make no further comment on it.

[57] Having concluded that no *prima facie* duty of care arose in respect of Deloitte's assistance in soliciting investment and the resulting increase in Livent's liquidation deficit, there is no need to consider residual policy considerations.

(2) 1997 CLEAN AUDIT OPINION (APRIL 1998)

(a) Prima Facie Duty of Care

(I) PROXIMITY

[58] This Court has previously established that an auditor owes its corporate client a duty of care in the preparation of a statutory audit. It follows that the established proximate relationship in *Hercules* will be dispositive of the existence of a duty of care in this case, unless the purpose of Deloitte's undertaking to prepare such an audit in this case can be distinguished from the undertaking in *Hercules*. As we will show, it cannot.

[59] In *Hercules*, at para. 48, this Court cited Lord Oliver's statement in *Caparo*, at p. 583, identifying the purposes of a statutory audit:

It is the auditors' function to ensure, so far as possible, that the financial information as to the company's affairs prepared by the directors accurately reflects the company's position in order first, *to protect the company itself from the consequences of undetected errors or, possibly, wrongdoing ... and, second, to provide shareholders with reliable intelligence for the purpose of enabling them to scrutinise the conduct of the company's affairs and to exercise their collective powers to reward or control or remove those to whom that conduct has been confided.* [Emphasis added; emphasis in original deleted.]

[60] These purposes, according to La Forest J., were no different under the statutory audit provisions in Manitoba's *Corporations Act*, R.S.M. 1987, c. C225, which were at issue in *Hercules*. Regarding the second purpose, this Court stated that a statutory audit was necessary to "permit the shareholders, as a body, to make decisions as to the manner in which they want the corporation to be managed, to assess the performance of the directors and officers, and to decide whether or not they wish to retain the existing management or to have them replaced" (*Hercules*, at para. 49). The purpose of the audited reports then "was, precisely, to assist the collectivity of shareholders of the audited companies in their task of overseeing management" (*ibid.*).

[61] No party before us has suggested that the purposes for which a statutory audit is prepared, and which have been recognized in Canadian law for 20 years, have changed. ...

[62] Given the foregoing, no basis exists for distinguishing the purpose of the statutory audit in this case from the purpose which underlay the statutory audit in *Hercules*. It follows that proximity is established between Livent and Deloitte in relation to the statutory audit, on the basis of the previously recognized proximate relationship identified by this Court.

(II) REASONABLE FORESEEABILITY

[63] Livent says that the increase in its liquidation deficit was a reasonably foreseeable consequence of Deloitte's negligent audit, because the audit preserved a false financial picture upon which Livent relied to artificially extend its solvency and delay filing for bankruptcy. In other words, if Deloitte had taken reasonable care in auditing Livent, then Livent would have discovered the fraud and avoided the interim deterioration of its assets.

[64] In our view, this type of injury was a reasonably foreseeable consequence of Deloitte's negligent audit. The purpose of the 1997 Audit was, as this Court described in *Hercules*, two-fold: (1) to protect the company from the consequences of undetected errors and wrongdoing; and (2) to provide shareholders with reliable intelligence enabling oversight (para. 48, citing *Caparo*, at p. 583). Those purposes, as we have already described in our discussion of proximity generally, inform the scope of reasonably foreseeable injury. Specifically, at the time Deloitte undertook to provide the 1997 Audit, Livent was entitled to rely on Deloitte to take reasonable care in doing so for these recognized purposes. Livent's reliance on Deloitte for the purpose of overseeing the conduct of management was therefore both reasonable and reasonably foreseeable. And, as Livent's injury arises from its detrimental reliance, the injury linked to that reliance is itself reasonably foreseeable.

[65] It follows that the type of injury Livent suffered here was a reasonably foreseeable consequence of Deloitte's negligence. Through the 1997 Audit, Deloitte undertook to assist Livent's shareholders in scrutinizing management conduct. By negligently conducting the audit, and impairing Livent's shareholders' ability to oversee management, Deloitte exposed Livent to reasonably foreseeable risks, including "business losses" that would have been avoided with a proper audit. Indeed, the risk of injury flowing from undetected fraud is precisely the type of injury statutory audits seek to avoid.

[66] We add one final point in this regard. In *Hercules* (at para. 48), this Court cited *Caparo* for the proposition that statutory audits are conducted, in part, "to provide shareholders with reliable intelligence for the purpose of enabling them to scrutinise the conduct of the company's affairs." If subsequent business decisions that would not have survived such scrutiny do not fall within the scope of an auditor's duty of care, one wonders what injury, if any, could result in liability for a negligent

audit with respect to this recognized auditing purpose. Corporate scrutiny connotes both knowledge of problems within the corporation, and decisions reflecting an appreciation of those problems. Indeed, it is only by acting on the knowledge contained in an audit that is the product of reasonable care that corporations avoid losses that would have otherwise occurred without that audit.

(b) Residual Policy Considerations

[67] Having found a proximate relationship based on a previously recognized category, we need not consider residual policy considerations to negate or limit the scope of the duty of care (*Cooper*, at para. 39). Nonetheless, as the Chief Justice finds, in the alternative, that the policy consideration of indeterminate liability would deny recovery in this case (paras. 165-166), it is useful to examine how the established proximate relationship engaged in this case precludes indeterminate liability.

[68] As discussed, the character of indeterminacy in these cases has three pertinent aspects: (1) temporal; (2) claimant; and (3) value (*Hercules*, at para. 31, citing *Ultramares*, at p. 444). None of them arise here, consistent with our earlier observation that a robust application of the *Anns/Cooper* framework will usually, if not always, preclude the imposition of liability that is in any way indeterminate ...

[69] Here, as to temporal indeterminacy, any suggestion that Livent could recover indefinitely from the negligent preparation of the 1997 Audit fundamentally mischaracterizes the scope of annual statutory audits. The injury flowing from the 1997 Audit could not be assessed over an indeterminate time window. Rather, statutory audits must occur annually (OBCA, s. 154). As a result, the liability that could attach to one year's negligent audit could not extend beyond the following year's audit, which would effectively supersede the prior year's audit as the factual and legal cause of the injury alleged. Put simply, the time window during which liability might flow from a single negligent statutory audit is not indeterminate. It is one year.

[70] Regarding claimant indeterminacy, the class of claimants here could not be further from indeterminate: it represents one single claimant—Livent. In *Hercules*, this Court noted that “audit reports will be relied on by many different people (e.g., shareholders, creditors, potential take-over bidders, investors, etc.)” (para. 32). That claim gave rise to indeterminate liability because the class of claimants (the “many different people”) was indeterminate. For example, any number of investors could rely on an audit to inform their investment decisions. This case, in contrast, is entirely distinguishable. The fact of a single potential claimant raises no concern of claimant indeterminacy.

[71] We note, parenthetically, that Deloitte characterizes Livent's claim as, in reality (that is, in light of its insolvency), a claim by its various stakeholders. But this submission conflates the plaintiff, Livent, with the stakeholders who may benefit from the success of Livent's claim, thereby disregarding Livent's separate corporate personality. More importantly, it directly contradicts this Court's holding in *Hercules* that a derivative action—which, too, could benefit various stakeholders—is the appropriate vehicle for a claim regarding a negligent statutory audit (paras. 1 and 58-64).

[72] The absence of temporal and claimant indeterminacy in turn explains the absence of value indeterminacy in this case. Here, Livent's improvident use of investment funds could not result in liability of an indeterminate value. Rather, the liability in this case could not exceed the losses of a single corporation. When undertaking to audit Livent, Deloitte must have known that Livent was a substantial corporation, and in turn, that it could suffer large financial losses if misinformed by its auditor. But significant liability is distinct from indeterminate liability (*Gross*, at para. 38). Put differently, Deloitte was, indeed, “able to gauge the scale of its potential liability”

before undertaking the 1997 Audit (Chief Justice's reasons, at para. 176). This is a far cry from the limitless potential quantum of lost investments by innumerable third parties relying on audit statements for their own investment decisions (see *Hercules*, at para. 32). The concern that Deloitte did not know "the scope of [its] liability at the time [it took] on [its] engagement" with Livent (Chief Justice's reasons, at para. 176) conflates indeterminate liability with undetermined liability.

[73] The Chief Justice describes the liability sought to be imposed here as "indeterminate" because Livent's reliance purportedly fell outside the scope of Deloitte's undertaking (para. 170). We disagree. To the contrary, value indeterminacy is limited by the purposes for which the audit was prepared, and Livent's reliance fell squarely within that purpose. In *Hercules*, this Court rejected a claim by investors because they might use audit reports for a "collateral or unintended purpose" (para. 38), thereby giving rise to indeterminate liability (since the variety of purposes to which an audit may be put is potentially limitless). But that is not the case here. The 1997 Audit was prepared for the express purpose of oversight of management by Livent's shareholders, and the loss at issue flowed from those shareholders' inability to conduct that oversight. It follows that the purposes underlying the 1997 Audit—of which, as we have explained, there are only two—do not give rise to potential indeterminacy, and by corollary, relate to potential losses that, too, are not indeterminate. This is not a case where, for example, an unknown third-party relied on an audit to launch a takeover bid—a purpose outside the scope of the audit (*Hercules*, at para. 32). Rather, this is a case in which an established purpose of the audit was undermined, and where losses predictably flowed from that failed purpose (*Haig*, at pp. 478-79)...

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(c) Remoteness

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[80] [T]he Chief Justice holds that Livent's loss is too remote because it cannot be attributed to its shareholders' reliance on the 1997 Audit for the purpose of overseeing management. Specifically, she says that "Livent did not prove and the trial judge did not find that Livent's shareholders relied on Deloitte's negligent audit statements, or that had they received and relied on accurate statements, they would have acted in a way that would have prevented Livent from carrying on business and diminishing its assets" (para. 159). With respect, we see the matter differently. In its amended statement of claim, Livent advanced its theory of impaired shareholder reliance (A.R., vol. III, at p. 112):

As a consequence of the Auditors' breaches of duty, they missed repeated opportunities to uncover and reveal the accounting irregularities and errors being orchestrated by Drabinsky and Gottlieb. Consequently, *the Livent Stakeholders were deprived of the opportunity to exercise their collective will by, inter alia, ousting Drabinsky and Gottlieb thereby avoiding further losses, damages and liabilities incurred by Livent and the Livent Stakeholders.* [Emphasis added.]

[81] Similarly, when the trial judge summarized Livent's position at trial, he wrote (at para. 23):

[Deloitte's] alleged negligent issuance of unqualified opinions, in turn, *deprived the honest directors and shareholders of the opportunity to put a stop to the fraud*, and the losses eventually caused to the company by the fraud, at an earlier date. [Emphasis added.]

[82] The trial judge accepted this theory: "I believe that the honest directors and innocent shareholders in this case were entitled to rely on Deloitte's audits to discharge their supervisory task" (para. 341). Nonetheless, the Chief Justice would deny liability because, in her view, "Livent offered no proof to support" the assertion that its shareholders would have called management to account had they received a non-negligent audit in March of 1998 (para. 161). But this is *precisely* what the record shows. On November 18, 1998, Livent received a prudently prepared audit of its restated 1997 financial statements. This prudent audit disclosed a "significant, if not staggering" difference in reported income (trial reasons, at para. 15). Specifically, the prudent audit uncovered an additional loss of over \$50 million during the 1997 fiscal year.

[83] Livent's response upon receipt of this audit report is telling and, in our view, belies any suggestion that informed shareholder scrutiny would have permitted Livent to act in any manner other than expected. That same day, "Drabinsky and Gottlieb were dismissed for cause ... and Livent voluntarily made a petition for bankruptcy protection" in the United States (trial reasons, at para. 16). The next day, "Livent filed for protection under the Companies' Creditors Arrangement Act, R.S.C. 1985, c. C-36 in Canada" (*ibid.*). It is difficult to conceive of a clearer demonstration of when and how Livent's shareholders would have "prevented Livent from carrying on business and diminishing its assets" had Deloitte prepared a prudent audit in March of 1998 (Chief Justice's reasons, at para. 159).

[84] On this record, any speculation that Livent's shareholders might have done nothing in response to rampant fraud is simply unsustainable. ...

[In the result, recovery was allowed for the increase in the liquidation deficit which followed the defendant's signing off on the audit in April 1998, but recovery was denied for the increase in the liquidation deficit that followed the press release and the comfort letter in the fall of 1997.]

McLACHLIN (WAGNER and CÔTÉ JJ concurring) dissented and would have found the defendant not liable.

II. ECONOMIC LOSS

WELLER V FOOT AND MOUTH DISEASE RESEARCH INSTITUTE

[1966] 1 QB 569 (QBD)

The defendants owned land where they conducted experimental work relating to foot and mouth disease. When cattle in the neighbouring vicinity became infected with the disease, the government ordered the closing of two markets in the area. As a result, the plaintiff cattle auctioneers at the two markets sustained financial losses when they were unable to auction cattle. The court assumed that the infection was due to a virus that had escaped from the defendants' premises. The plaintiffs brought an action against the defendants, claiming they had negligently caused the business losses.

WIDGERY J: Mr. Eveleigh, for the plaintiffs, bases his contention on the well-known speech of Lord Atkin in *Donoghue v. Stevenson*: [The quotation of the "neighbour" principle is omitted.]

Applying this principle, Mr. Eveleigh says that, since the defendants should have foreseen the damage to his clients but nevertheless failed to take proper precaution

against the escape of the virus, their liability is established. It may be observed that if this argument is sound, the defendants' liability is likely to extend far beyond the loss suffered by the auctioneers, for in an agricultural community the escape of foot and mouth disease virus is a tragedy which can foreseeably affect almost all businesses in that area. The affected beasts must be slaughtered, as must others to whom the disease may conceivably have spread. Other farmers are prohibited from moving their cattle and may be unable to bring them to market at the most profitable time; transport contractors who make the living by the transport of animals are out of work; dairymen may go short of milk, and sellers of cattle feed suffer loss of business. The magnitude of these consequences must not be allowed to deprive the plaintiffs of their rights, but it emphasises the importance of this case.

The difficulty facing Mr. Eveleigh is that there is a great volume of authority both before and after *Donoghue v. Stevenson* to the effect that a plaintiff suing in negligence for damages suffered as a result of an act or omission of a defendant cannot recover if the act or omission did not directly injure, or at least threaten directly to injure, the plaintiff's person or property but merely caused consequential loss as, for example, by upsetting the plaintiff's business relations with a third party who was the direct victim of the act or omission. The categories of negligence never close, but when the court is asked to recognise a new category, it must proceed with some caution. ...

In the present case, the defendants' duty to take care to avoid the escape of the virus was due to the foreseeable fact that the virus might infect cattle in the neighbourhood and cause them to die. The duty of care is accordingly owed to the owners of cattle in the neighbourhood, but the plaintiffs are not owners of cattle and have no proprietary interest in anything which might conceivably be damaged by the virus if it escaped. Even if the plaintiffs have a proprietary interest in the premises known as Farnham market, these premises are not in jeopardy. In my judgment, therefore, the plaintiffs' claim in negligence fails even if the assumptions of fact most favourable to them are made. ...

NOTES

1. In *Barber Lines A/S v M/V Donau Maru*, 764 F2d 50 (1st Cir 1985), oil spilled by the defendant ship into Boston Harbor prevented the plaintiff's ship from docking at a nearby berth, with the result that the plaintiff incurred significant extra labour, fuel, transport, and docking costs. In denying recovery for the extra expenses, the court outlined the policy reasons for the law's antipathy to damages for economic loss:

First, cases and commentators point to pragmatic or practical administrative considerations which, when taken together, offer support for a rule limiting recovery for negligently caused pure financial harm. The number of persons suffering foreseeable financial harm in a typical accident is likely to be far greater than those who suffer traditional (recoverable) physical harm. The typical downtown auto accident, that harms a few persons physically and physically damages the property of several others, may well cause financial harm (e.g., through delay) to a vast number of potential plaintiffs. The less usual, negligently caused, oil spill foreseeably harms not only ships, docks, piers, beaches, wildlife, and the like, that are covered with oil, but also harms blockaded ships, marina merchants, suppliers of those firms, the employees of marina businesses and suppliers, the suppliers' suppliers, and so forth. To use the notion of "foreseeability" that courts use in physical injury cases to separate the financially injured allowed to sue from the financially injured not allowed to sue would draw vast numbers of injured persons within the class of potential plaintiffs in even the most simple accident cases (unless it leads courts, unwarrantedly, to narrow the scope of "foreseeability" as applied to persons suffering physical harm). That possibility—a large number of different plaintiffs

each with somewhat different claims—in turn threatens to raise significantly the cost of even relatively simple tort actions. ... Yet the tort action is already a very expensive administrative device for compensating victims of accidents. Indeed, the legal time, the legal resources, the delay appurtenant to the tort action apparently mean that on average the victim recovers only between 28 and 44 cents of every dollar paid by actual or potential defendants, while victims who insure themselves directly recover at least between 55 and 66 cents of each premium dollar earned by insurance companies and between 85 and 90 cents of every dollar actually paid out to investigate and satisfy claims. ... The added cost of the increased complexity, while unknowable with precision, seems likely significant.

At the same time many of the “financially injured” will find it easier than the “physically injured” to arrange for cheaper, alternative compensation. The typical “financial” plaintiff is likely to be a business firm that, in any event, buys insurance, and which may well be able to arrange for “first party” loss compensation for foreseeable financial harm. Other such victims will be able to sue under tort principles, for they will suffer at least some physical harm to their property. Still others may have contracts with, or be able to contract with, persons who can themselves recover from the negligent defendant. A shipowner, for example, might contract with a dock owner for “inaccessibility” compensation; and the dock owner (whose pier is physically covered with oil) might recover this compensation as part of its tort damages. ... Of course, such a tort suit, embodying a “contract-defined” injury, may still raise difficult foreseeability questions, cf. *Hadley v. Baxendale*, 9 Exch. 341 (1854). But the bringing of one suit, instead of several, still makes the litigation as a whole a less costly compensation device. ... Finally, some of the “financially injured” will have suffered harm that is, in any event, noncompensable because it is not sufficiently distinguishable from minor harms typical of ordinary living. ... The law does not compensate, for example, the cost of unused baseball tickets or flowers needed for apology regardless of the cause of the delay that foreseeably led to the added expense. Insofar as these considerations, taken as a whole, support recovery limitations, they reflect a fear of creating victim compensation costs that, from an administrative point of view, are unnecessarily high. ...

A second set of considerations focuses on the “disproportionality” between liability and fault. Those who argue “disproportionality” are not reiterating the discredited nineteenth century view that tort liability would destroy industry, investment, or capitalism. ... Rather, they recognize that tort liability provides a powerful set of economic incentives and disincentives to engage in economic activity or to make it safer. ... And, liability for pure financial harm, insofar as it proved vast, cumulative and inherently unknowable in amount, could create incentives that are perverse.

Might not unbounded liability for foreseeable financial damage, for example, make auto insurance premiums too expensive for the average driver? Is such a result desirable? After all, the high premiums would reflect not only the costs of the harm inflicted; they would also reflect administrative costs of law suits, jury verdicts in uncertain amounts, some percentage of unbounded or inflated economic claims, and lessened incentive for financial victims to avoid harm or to mitigate damage. Given the existing liability for physical injury (and for accompanying financial injury), can one say that still higher premiums are needed to make the public realize that driving is socially expensive or to provide greater incentive to drive safely (an incentive that risk spreading through insurance dilutes in any event ...)?

These considerations, of administrability and disproportionality, offer plausible, though highly abstract, “policy” support for the reluctance of the courts to impose tort liability for purely financial harm. While they seem unlikely to apply with equal strength to every sort of “financial harm” claim, their abstraction and generality, along with the comparative inaccessibility of the empirical information needed to confirm or to invalidate them, mean that courts cannot weigh or apply them case by case. What, for example, in cases like this one, are the added administrative costs involved in allowing all persons suffering pure financial harm to sue the shipowner instead of “channelling” suits (perhaps via contract) through

traditionally injured plaintiffs? Is there a problem of “disproportionality”? How far, for example, would additional, unbounded, pure financial loss liability for negligently caused oil spills, when added to the already large potential traditional liability, affect the type of insurance carried, the incentive to mitigate losses, the incentive to transport oil safely, the likelihood that shippers will use pipelines and domestic wells instead of ships and foreign wells, and the consequences of these and other related changes? We do not know the answers to these questions, nor can judges readily answer them in particular cases.

It does not surprise us then that, under these circumstances, courts have neither enforced one clear rule nor considered the matter case by case. ... Rather, they have spoken of a general principle against liability for negligently caused financial harm, while creating many exceptions. See, e.g. ... *Newlin v. New England Telephone & Telegraph Co.*, 316 Mass. 234, 54 NE 2d 929 (1944) (accompanying physical harm). ... *Hedley Byrne Co. Ltd. v. Heller & Partners Ltd.*, AC 465 (1964) (negligent misstatements about financial matters). ... *Union Oil Co. v. Oppen*, 501 F2d 558 (9th Cir. 1974) (commercial fishermen as special “favorites of admiralty”). These exceptions seem designed to pick out broad categories of cases where the “administrative” and “disproportionality” problems intuitively seem insignificant or where some strong countervailing consideration militates in favor of liability. Thus an award of financial damages to one also caused physical harm does not threaten proliferation of law suits, for the plaintiff could sue anyway (for physical damages). Financial harm awards to family members carry with them an obvious self-limiting principle (as perhaps does awarding such damages to fishermen, as “favorites” of admiralty). Awarding damages for financial harm caused by negligent misrepresentation is special in that, without such liability, tort law would not exert significant financial pressure to avoid negligence; a negligent accountant lacks physically harmed victims as potential plaintiffs. ...

We need not explore the exceptions in detail. Rather, we here simply point to the existence of plausible reasons underlying the judicial hesitance to award damages in a case like this one, and the need to consider exceptions by class rather than case by case. The existence of these factors, together with our comparative inability to evaluate their empirical significance, cautions us against departing from prior law.

2. Compare the approach in *Barber Lines* with that of Benson, “The Basis for Excluding Liability for Economic Loss in Tort Law” in Owen, ed, *Philosophical Foundations of Tort Law* (Oxford: Clarendon Press, 1995) 427 at 427-28 and 434-36:

The first “exclusionary” situation is typified by circumstances where the defendant damages something in which the plaintiff may have a contractual interest (or something else that is less than a possessory or proprietary right) and this impairs the plaintiff’s interest, causing him financial loss. ... For example, I may have a right by contract with a third party, or just a liberty, to use the third party’s bridge for my business purposes. As a consequence of the defendant damaging the bridge, the contract may be frustrated or I may no longer be able to exercise my liberty and I must seek alternative means to accomplish my ends, resulting in economic loss. Ever since the landmark nineteenth century English case of *Cattle [v Stockton Waterworks Co]* (1875), LR 10 QB 453], English, American, and Commonwealth courts with very few exceptions have consistently held that in such circumstances the defendant cannot be liable in negligence for the loss, whether or not it was foreseeable. ... Financial loss that arises from physical damage to something which the plaintiff neither owns nor possesses is often referred to in these decisions and in legal scholarship as “relational” economic loss. The rule that precludes liability here has become known as the “exclusionary rule.” ...

At common law, a proprietary or possessory right in something entitles a person to exclude anyone else from using it without his consent, so long as the first person has, relative to others, a better claim to it in ownership or possession. If a plaintiff lacks a proprietary or possessory right in something, he has no legal standing to constrain a defendant from intentionally using it as the defendant sees fit, even if this impairs or interferes with the

plaintiff's interests. In other words, the defendant cannot be liable to the plaintiff for such harmful consequences. And if this is so when the consequence is intended, the same must be true when it is brought about by the defendant's negligence.

In addition to property and possession, there is one other possible basis of exclusive right in private law, namely, contract. However, contractual rights, in contrast to proprietary or possessory rights, are personal rights that are against a definite individual or definite individuals, so that the fact that there may be a contractual right against one person does not in itself imply that there is an exclusive right against any one else. Now in circumstances of relational economic loss, the plaintiff's sole exclusive right to the use of the damaged chattel is, by hypothesis, a contractual right against someone other than the defendant. Therefore, as against the defendant, the plaintiff does not have any right at all to the exclusive use of the chattel. In other words, the plaintiff has no legal grounds for complaint if the defendant intentionally or negligently damages the chattel, thereby depriving the plaintiff of its use with resulting economic loss to him.

Relative to the defendant, the legal significance of the plaintiff's contractual interest comes to this: he seeks protection of an interest in the use of something from which he has no right to exclude the defendant. ... It seems, then, that the difficulty with the plaintiff's action is not that the loss is either unforeseeable or financial or that it carries with it a threat of indeterminate liability and so must fail as a matter of policy. Rather, the plaintiff lacks a right on which to rest the interest that forms the very basis of this claim, and this is deemed to be fatal from the standpoint of justice.

**CANADIAN NATIONAL RAILWAY CO
V NORSK PACIFIC STEAMSHIP CO**
[1992] 1 SCR 1021, 91 DLR (4th) 289

McLACHLIN J (L'HEUREUX-DUBÉ and CORY JJ concurring): The issue in this case is whether a person who contracts for the use of the property of another can sue a person who damages that property for losses resulting from his or her inability to use the property during the period of repair. Can purely economic losses such as this be recovered? Or is the right to recover in tort confined to cases where the plaintiff can show that his or her property or person was injured?

THE FACTS

The accident which gives rise to these proceedings occurred near the mouth of the Fraser River in British Columbia. A tug owned and operated by the Norsk Pacific Steamship Co. and Norsk Pacific Marine Services Ltd., negligently struck a railway bridge owned by Public Works Canada ("P.W.C."). A number of railway companies, including the Canadian National Railway ("C.N."), held contracts with P.W.C. for the use of the bridge. C.N. was the primary user of the bridge (86% of the total use), which was known locally as "the C.N.R. bridge." The bridge connects the Vancouver terminus to the main line and is the sole direct link between C.N. rails on the north and south shores of the Fraser.

C.N. has property (land and rails) close to the bridge. When the bridge is closed for maintenance, the timing and duration are negotiated between P.W.C. and C.N. The appellants knew that the bridge was essential to C.N.'s operations since there was no other rail bridge in the area. In fact, the bridge had to be closed once due to an accident and, as a result, the appellants were aware of the consequences of such closing for C.N.

After the accident involving Norsk's tug, it took several weeks to repair the bridge. C.N. and the other railways had to reroute their traffic. This raised the cost of their operations, and may have diminished the amount of freight hauled.

The railways sued the tug owners and operators for the additional cost incurred as a result of the closure of the bridge. ...

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1. THE NATURE OF THE PROBLEM

A fundamental proposition underlies the law of tort: that a person who by his or her fault causes damage to another may be held responsible. Where the fault is negligence, the duty extends to all those to whom the tortfeasor may foreseeably cause harm: *Donoghue v. Stevenson*, [1932] AC 562 (HL). This is a proposition of great breadth. It was soon realized that it would be necessary to limit recovery for practical, policy reasons. As Cardozo J put it in *Ultramares Corp. v. Touche*, 174 NE 441 (1931) at p. 444, limits were needed to prevent "liability in an indeterminate amount for an indeterminate time to an indeterminate class."

The search for a principled mechanism of limitation has proved elusive. The law began by limiting recovery to cases where the tortfeasor had caused physical loss or injury to the plaintiff: *Cattle v. Stockton Waterworks Co.* (1875), LR 10 QB 453. That case denied recovery of "relational losses" consequent upon the negligent infliction of damage to the property of another person. Only a person whose person or property is damaged can recover in tort. This rule was followed for decades in England and elsewhere in the Commonwealth.

While the criterion of physical damage successfully avoided the spectre of unlimited damages, it suffered from the defect that it arbitrarily, and in some cases, arguably unjustly, deprived deserving plaintiffs of recovery. Why, it was asked, should the right to recover economic loss be dependent on whether physical damage, however minuscule, had been inflicted on the plaintiff's property? Why should a plaintiff who waits for a defective machine to break and cause physical injury or damage be able to recover, while one who prudently repairs the machine before the physical damage or injury occurs be left without remedy? Is there really a generic distinction between the loss resulting from repair of physical damage and loss resulting from loss of use in a commercial situation where the only real loss is one of profit? While it may be argued that physical injury is inherently more deserving than economic loss, particularly where the economic loss is not associated with physical damage (see B. Feldthusen, *Economic Negligence*, 2nd ed. (Toronto: Carswell, 1989), at pp. 8-14), that does not explain why the law should not permit recovery for economic loss where justice so requires nor how damage to property and economic losses can be distinguished in many situations. Someone who invests in a bridge in order to use it cannot be distinguished from someone who leases a bridge in order to use it. If the bridge is lost they have both lost something of value: the use of the bridge.

Not surprisingly, the courts began to allow recovery of pure economic loss where they thought it was just. However, apart from reliance damages for negligent misrepresentation, the course of the law has been neither uniform nor uncontroversial. This appeal raises anew the issue in the Canadian context.

The answers to the question of recovery of economic loss in negligence are not easy, as the uncertain history of the cases attests. On the one hand, the jurisprudence of the past three decades discloses a resurgent feeling on the part of judges that in some cases beyond physical damage and reliance, economic loss should be recoverable in negligence. On the other hand lies the fear of indiscriminately opening the floodgates of liability.

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3. THE APPROACH WHICH SHOULD BE ADOPTED TO RECOVERY OF PURE ECONOMIC LOSS

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But where, one may ask, are future courts to find guidance? The answer is that as the courts recognize new categories of cases where economic recovery is available, rules will emerge. ...

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If this approach is followed, as it has been to date in Canada, new categories of cases will from time to time arise. It will not be certain whether economic loss can be recovered in these categories until the courts have pronounced on them. During this period, the law in a small area of negligence may be uncertain. Such uncertainty, however, is inherent in the common law generally. It is the price the common law pays for flexibility, for the ability to adapt to a changing world. If past experience serves, it is a price we should willingly pay, provided the limits of uncertainty are kept within reasonable bounds.

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The doctrinal inquiry introduces considerations which the cases have traditionally treated under the concept of proximity. Proximity may be usefully viewed, not so much as a test in itself, but as a broad concept which is capable of subsuming different categories of cases involving different factors. ...

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Viewed thus, the concept of proximity may be seen as an umbrella, covering a number of disparate circumstances in which the relationship between the parties is so close that it is just and reasonable to permit recovery in tort. The complexity and diversity of the circumstances in which tort liability may arise defy identification of a single criterion capable of serving as the universal hallmark of liability. The meaning of "proximity" is to be found rather in viewing the circumstances in which it has been found to exist and determining whether the case at issue is similar enough to justify a similar finding.

In summary, it is my view that the authorities suggest that pure economic loss is *prima facie* recoverable where, in addition to negligence and foreseeable loss, there is sufficient proximity between the negligent act and the loss. Proximity is the controlling concept which avoids the spectre of unlimited liability. Proximity may be established by a variety of factors, depending on the nature of the case. ... In determining whether liability should be extended to a new situation, courts will have regard to the factors traditionally relevant to proximity such as the relationship between the parties, physical propinquity, assumed or imposed obligations and close causal connection. And they will insist on sufficient special factors to avoid the imposition of indeterminate and unreasonable liability. The result will be a principled, yet flexible, approach to tort liability for pure economic loss. It will allow recovery where recovery is justified, while excluding indeterminate and inappropriate liability, and it will permit the coherent development of the law. ...

I add the following observations on proximity. The absolute exclusionary rule adopted in *Cattle v. Stockton* and affirmed in *Murphy* (subject to *Hedley Byrne*) can itself be seen as an indicator of proximity. Where there is physical injury or damage, one posits proximity on the ground that if one is close enough to someone or something to do physical damage to it, one is close enough to be held legally responsible for the consequences. Physical injury has the advantage of being a clear and

simple indicator of proximity. The problem arises when it is taken as the only indicator of proximity. As the cases amply demonstrate, the necessary proximity to found legal liability fairly in tort may well arise in circumstances where there is no physical damage.

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While proximity is critical to establishing the right to recover pure economic loss in tort, it does not always indicate liability. It is a necessary but not necessarily sufficient condition of liability. Recognizing that proximity is itself concerned with policy, the approach adopted in *Kamloops* (paralleled by the second branch of *Anns*), requires the court to consider the purposes served by permitting recovery as well as whether there are any residual policy considerations which call for a limitation on liability. This permits courts to reject liability for pure economic loss where indicated by policy reasons not taken into account in the proximity analysis.

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Are there practical reasons why the recovery of economic loss should be confined to cases where the plaintiff has sustained physical damage or injury or relied on a negligent misrepresentation? Will extension of recovery of economic loss to other situations open the floodgates of liability, prove so uncertain as to be unworkable, or have an adverse economic impact? Such questions are difficult to answer, but some assistance may be gained from looking at what has happened where the rule has been broadened and from examining the merits of the economic arguments urged in support of restricting recovery.

(1) The Comparative Evidence

The comparative historical perspective provides little support for the need for a rule which confines recovery of economic loss to cases where the plaintiff has suffered physical loss or has relied on a negligent misstatement. The civil law in Canada and abroad appears to function adequately without recourse to such a rule. In the common law jurisdictions of Canada, where the availability of damages for pure economic loss has been accepted for a decade and a half, the twin spectres of unlimited recovery and unworkable uncertainty have not materialized; and to the extent that recovery for pure economic loss has been allowed in the United States, it seems not to have provoked adverse consequences but rather to have satisfied the public demand for justice so essential to maintaining the vitality of the law of negligence.

(2) Economic Theory

The arguments advanced under this head proceed from the premise that a certain type of loss should not be seen in terms of fault but seen rather as the more or less inevitable by-product of desirable but inherently dangerous (or "risky") activity. Viewing the activity thus, it is argued that it may well be just to distribute its costs among all who benefit from that activity, and conversely unfair to impose it upon individuals who (assuming human error to be the inevitable by-product of human activity) are viewed as the "faultless" instruments causing the loss. This basis for administering losses has been variously described as "collectivisation of losses" or "loss distribution": see *Fleming on The Law of Torts*, supra, at pp. 8-9. It arguably amounts to a rejection or diminution of the concept of personal fault on which our law of tort (and the civil law of delict) is based.

Three arguments are put forward: (1) the insurance argument; (2) the loss spreading argument; and (3) the "contractual allocation of risk" argument. None of them,

in my view, establishes that the extension of recovery granted by the courts in this case is unfair or inefficient.

The insurance argument says that the plaintiff is in a better position to predict economic loss consequent on an accident, and hence better able to obtain cheap insurance against the contingency. From a macro-economic point of view, this will result in an overall saving. The argument, however, depends on a number of questionable assumptions. As W. Bishop, "Economic Loss in Tort" (1982), 2 *Oxf. J Legal Studies* 1 at p. 2, puts it:

It is said that the victim, even when he sustains large losses, is the least cost insurer where financial loss is concerned. This argument must overcome two difficulties. First, the common law restriction of financial loss recovery reduces incentives to tortfeasors to take care. For example it is cheaper for a builder to dig without checking for the presence of gas mains or electricity cables. Such reduced care will, in the long run, result in more accidents. So, if the insurance argument is to be sustained, the victim must be not only the better insurer, but better by some margin so great that it justifies the losses from more frequent and more severe injury. Second, it seems doubtful that either victim or tortfeasor could in fact insure at reasonable cost in the insurance markets of the real world. There does exist "key man" or business interruption insurance, but no general insurance against lost profit—a type of insurance that would suffer from extreme moral hazard problems. The price of market insurance will always include some cost for administration. Most firms will find the price too high to justify purchase. Usually the only insurance available will be self insurance. Why should we assume that victims do that better than tortfeasors?

The loss-spreading justification asserts that it is better for the economic well-being of society to spread the risk among many parties rather than place it on the shoulders of the tortfeasor. Again, this argument is based on questionable assumptions. To quote Bishop, *op. cit.*, at p. 2, once more:

[This argument] is a variant of the insurance argument. The tortfeasor, for example a small construction firm, easily could be bankrupted by the claims, for example those arising from interrupted power supply. In such cases it is said that numerous small losses to victims are to be preferred to one large loss to the tortfeasor. The victims as a class are natural self-insurers of the loss. The tortfeasor would have to engage in expensive market transactions to insure. Perhaps this is so, but there are two points against it. First not only the question of justice or of efficient risk distribution are involved. Where losses are spread by relieving the tortfeasor of liability we can expect more accidents, and so more losses, to occur. Second, some of the victims may sustain large losses not small ones. ... In any case, the loss spreading rationale cannot justify the numerous cases *where there is only one victim*.

(Emphasis in original.)

A third argument focuses on the ability of persons who stand to suffer economic loss due to damage to the property of another, to allocate the risk within their contracts effectively with property owners. The law of negligence has no business compensating such persons, it is argued, because it makes better economic sense for them to provide for the possibility of damage to the bridge by negotiating a term that in the event of failure, the owner of the bridge would compensate them. ...

The proponents of this position argue that judicial affirmation of a rule that recovery of economic loss is confined to cases where the plaintiff has sustained physical damage to its person or property or has relied in the sense of *Hedley Byrne*,

will send a clear message to the business community to plan its affairs accordingly. Following this argument, the court can presume that if C.N. failed to contract for this indemnification: (a) C.N. paid less for its lease; (b) C.N. did not consider the risk of unavailability to be significant enough to negotiate for such indemnification (or, alternatively, to insure itself); or (c) C.N. did not act reasonably and was itself negligent in organizing its business affairs. As such, the preclusion of C.N. from recovery is justified.

The “contractual allocation of risk” argument rests on a number of important, but questionable assumptions. First, the argument assumes that all persons or business entities organize their affairs in accordance with the laws of economic efficiency, assigning liability to the “least-cost risk avoider.” Second, it assumes that all parties to a transaction share an equality of bargaining power which will result in the effective allocation of risk. It is not considered that certain parties who control the situation (e.g., the owners of an indispensable bridge) may refuse to indemnify against the negligence of those over whom they have no control, or may demand such an exorbitant premium for this indemnification that it would be more cost-effective for the innocent victim to insure itself. Third, it overlooks the historical centrality of personal fault to our concept of negligence or “delict” and the role this may have in curbing negligent conduct and thus limiting the harm done to innocent parties, not all of whom are large enterprises capable of maximizing their economic situation. Given the uncertainty of these premises, it is far from clear that the court should deny recovery of pure economic loss on the basis of arguments based on allocation of risk.

4. APPLICATION TO THIS CASE

The plaintiff C.N. suffered economic loss as a result of being deprived of its contractual right to use the bridge damaged by the defendants’ negligence. Applying the *Kamloops* approach, its right to recover depends on: (1) whether it can establish sufficient proximity or “closeness,” and (2) whether extension of recovery to this type of loss is desirable from a practical point of view.

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In addition to focusing upon the relationship between the appellant Norsk and C.N.—a significant indicator of proximity in and of itself—the trial judge based his conclusion that there was sufficient proximity on a number of factors related to C.N.’s connection with the property damaged, the bridge, including the fact that C.N.’s property was in close proximity to the bridge, that C.N.’s property could not be enjoyed without the link of the bridge, which was an integral part of its railway system and that C.N. supplied materials, inspection and consulting services for the bridge, was its preponderant user, and was recognized in the periodic negotiations surrounding the closing of the bridge.

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Such a characterization brings the situation into the “joint” or “common venture” category under which recovery for purely economic loss has heretofore been recognized in maritime law cases from the United Kingdom (*The “Greystoke Castle,”* supra) and the United States (*Amoco Transport*, supra). The reasoning, as I apprehend it, is that where the plaintiff’s operations are so closely allied to the operations of the party suffering physical damage and to its property (which—as damaged—causes the plaintiff’s loss) that it can be considered a joint venturer with the owner of the property, the plaintiff can recover its economic loss even though the plaintiff has suffered no physical damage to its own property. To deny recovery in such circumstances

would be to deny it to a person who for practical purposes is in the same position as if he or she owned the property physically damaged.

The second question is whether extension of recovery to this type of loss is desirable from a practical point of view. Recovery serves the purpose of permitting a plaintiff whose position for practical purposes, *vis-à-vis* the tortfeasor, is indistinguishable from that of the owner of the damaged property, to recover what the actual owner could have recovered. This is fair and avoids an anomalous result. Nor does the recovery of economic loss in this case open the floodgates to unlimited liability. The category is a limited one. It has been applied in England and the United States without apparent difficulty. It does not embrace casual users of the property or those secondarily and incidentally affected by the damage done to the property. Potential tortfeasors can gauge in advance the scope of their liability. Businesses are not precluded from self-insurance or from contracting for indemnity, nor are they “penalized” for not so doing. Finally, frivolous claims are not encouraged.

I conclude that here ... the necessary duty and proximity are established; that valid purposes are served by permitting recovery; and that recovery will not open the floodgates to unlimited liability. In such circumstances, recovery should be permitted.

STEVENSON J: ... The policy rationale which precludes recovery for most relational losses does not exist if there is no danger of indeterminate liability. There is no danger of indeterminate liability, and thus no policy reason to deny recoverability, when the defendant actually knows or ought to know of a specific individual or individuals, as opposed to a general or unascertained class of the public, who is or are likely to suffer a foreseeable kind of loss as a result of negligence by that defendant. ...

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Viewed in this way this case becomes somewhat easier to decide in that one cannot readily see a policy reason for excluding liability. The loss was identifiable, the victim identifiable, the damage almost inevitable. ... There is no danger of indeterminate liability.

LA FOREST J (dissenting) (SOPINKA and IACOBUCCI JJ concurring): ... [T]he specific issue is ... whether a person (A) who contracts for the use of property belonging to another (B) can sue a person who damages that property for losses resulting from A's inability to use the property during the period of repair. (I call this “contractual relational economic loss,” a convenient if somewhat barbarous phrase.)

... For sound policy reasons, the courts have established a clear rule (the “bright line” rule) that persons cannot sue a tortfeasor for suffering losses to their contractual rights with the owner of property by reason of damages caused to that property by the tortfeasor. That rule, I have no doubt, may be subject to exceptions for clear and overriding policy reasons, but as I will indicate, I have been unable to determine any reason for excluding C.N. from the general rule in the present case.

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My conclusion is that the bright line rule excluding recovery for economic loss owing to interference with contractual relations that results from damage to a third party's property should not be modified, at least on the facts of this case. I should underline from the outset that this conclusion is not a rejection of recovery for pure economic loss in general terms. It is limited, for reasons that will be set forth, to cases where property damage to a third party has occurred and where the plaintiff's interest is contractual.

ANALYSIS

PART I: THE NEED TO RECENTRE THE ANALYSIS ON CONTRACTUAL RELATIONAL ECONOMIC LOSS

To phrase the key issue in this case as a simple one of “is pure economic loss recoverable in tort?” is misleading. I do not doubt that pure economic loss is recoverable in some cases. It does not follow, however, that all economic loss cases are susceptible to the same analysis, or that cases of one type are necessarily relevant to cases of another. Nor does it follow that the constellation of policy concerns that have grown up around the issue of economic loss can be ignored. The fact is that different types of factual situations may invite different approaches to economic loss, and it seems to me to be at best unwise to lump them all together for purposes of analysis. ...

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Cases of contractual relational loss have a number of specific characteristics that differentiate them from other economic loss cases, and certainly from other non-relational loss cases. The first is that in such cases, the right of action of the property owner already puts pressure on the defendants to act with care. The deterrent effect of tort law, to the extent that it survives the advent of widespread insurance, is already present. In this case P.W.C. collected substantial damages. Consequently, Norsk was already under a substantial incentive to take care with respect to the bridge since its liability to the bridge owner would and did require the payment of substantial damages. In most cases of this type, imposing further liability cannot reasonably be justified on the grounds of deterrence (unless a policy of full internalization of all losses resulting from accidents to the party who could have avoided the accident is to be pursued at all costs).

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I come now to a second distinction. A firm exclusionary rule in this area does not have the effect of necessarily excluding compensation to the plaintiff for his or her loss. Rather, it simply channels to the property owner both potential liability to the plaintiff and the right of recovery against the tortfeasor. The property owner is both entitled to recover from the tortfeasor and potentially liable under contract to the plaintiff. Here, the licence agreement explicitly rejected any liability, so the plaintiff cannot recover under it against P.W.C. In contracts between sophisticated parties such as those in the case at bar, who are well advised by counsel, such exclusions of liability often result from determinations regarding who is in the best position to insure the risk at the lowest cost.

A third distinction is that perfect compensation of all contractual relational economic loss is almost always impossible because of the ripple effects which are of the very essence of contractual relational economic loss. This aspect has been recognized as critical from the very beginning. It is in this sense that the solution to cases of this type is necessarily pragmatic and involves drawing a line that will exclude at least some people who have been undeniably injured owing to the tortfeasor's admitted failure to meet the requisite standard of care.

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Finally, contractual relational economic loss cases typically involve accidents. This distinguishes them from both products liability economic loss cases like *Rivtow [Marine Ltd v Washington Iron Works, [1974] SCR 1189]*, in which by definition there is no accident, and negligent misrepresentation cases like *Hedley Byrne & Co. Ltd. v. Heller & Partners Ltd., [1964] AC 465 (HL)*. ...

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A test for recovery in cases of economic loss to contractual entitlements caused by property damage to another party should reflect the characteristics of this type of litigation, described in Feldthusen, *Economic Negligence*, supra, at pp. 207-8:

The defendants in this type of case are not typically heinous wrongdoers, but rather individuals and enterprises engaged in common and useful social activity. The same is true of the plaintiffs who are inadvertently harmed by some unfortunate and often inevitable consequences of modern life. Few important moral, social or symbolic issues are involved. Here, if anywhere, the economists' suggestion that the law should devise rules which permit the occasionally incompatible activities of plaintiffs and defendants to continue at the lowest possible total social cost should be taken seriously. This includes rules which encourage both parties to take cost-efficient accident prevention measures. And in respect of the unavoidable accidents which remain, it suggests that the loss should be borne by the party who can insure against it at the lowest cost.

This description is pertinent in the present case. A good rule should thus place some incentive on both parties to act in an economically rational manner to reduce total accident costs.

The rule must, of course, also confront the problem of indeterminacy. It is often suggested that this is the only problem the rule must confront. ... If the principal reason lying behind the broad exclusionary rule for pure economic loss is the concern over indeterminate liability, then the exclusionary rule can be easily discarded in favour of a more direct test of whether liability would be indeterminate. The plaintiff's case here is essentially built on this proposition and they offer this court a wide variety of factual distinctions which they contend respond to the concern about indeterminate liability. As the above discussion indicates, I do not agree with that approach; a rule in this area should serve to do more than simply exclude indeterminate liability. However, in contractual economic loss cases, the proposed rule must certainly confront this issue.

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PART IV: A REFINED PROXIMITY ANALYSIS IN CONTRACTUAL RELATIONAL ECONOMIC LOSS CASES

The crucial problem with the various formulations of the proximity test examined so far is that they look at the problem strictly from the perspective of the defendant. The defendant's negligence places it in a position of liability vis-à-vis the entire world. However, if it can show that its liability would be indeterminate, it can be excused. In my opinion, given the eminently pragmatic and policy basis of decisions about liability in this area, the situation of both the defendant and the plaintiff needs to be examined in cases of this kind. In particular, the plaintiff's ability to foresee and provide for the particular damage in question is a key factor in the proximity analysis.

The Legitimacy of This Type of Consideration

In my view, it is legitimate to consider which party is the better loss bearer in this type of case. This term requires definition. Determining which party is best able to bear the loss essentially involves asking which party is in a better position to predict the frequency and severity of C.N.'s economic loss when bridges are damaged, and to plan accordingly. Analysis of loss-bearing ability emphasizes how the parties deal

with accidents that tort law has not succeeded in preventing, rather than with preventing accidents.

The question of which party is best able to bear the loss should be distinguished from the question of which party is best able to avoid the accident occurring. Analysis of the issues pertaining to deterrence, or accident avoidance, involves the question of the relative ability of parties to act in a way that will reduce the risk of occurrence of the type of accident in question and is widely recognized as relevant in tort law. In my view, analysis of loss-bearing ability is particularly relevant in determining whether proximity exists in the context of contractual relational economic loss cases.

Tort law has not generally given much consideration to analysis of loss-bearing ability. This type of approach is obviously ill-suited to personal injury cases. In property damage cases involving the primary liability of the tortfeasor, the courts have often rightly been more concerned to ensure deterrence by placing liability on the party best able to avoid the accident occurring. Under modern conditions, deterrence may, of course, be difficult to effect through tort law; none the less, placing liability on the injurer serves to internalize the costs of accidents legitimately to the accident-causing activity. In many cases, loss shifting to the better loss bearer runs squarely into the powerful objection that it is not also the better risk avoider. When the case involves the question whether that party will be held liable at all, the concern for deterrence overrides the concern about loss-bearing ability. Thus, in cases involving primary liability for accidents, tort law has given priority to preventing accidents by requiring those who cause accidents to pay for their damage or more likely to pay for insurance.

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With respect, I do not agree with Stephen J [in *Caltex Oil (Australia) Pty Ltd v The Dredge "Willemstad"* (1976), 136 CLR 529] that the consideration of insurance changes the task of the courts from loss fixing to loss spreading. Insurance considerations are merely one element in an analysis of where it is appropriate to fix the loss, in a case where a solution is necessarily pragmatic. Many of the extensions of tort liability that have occurred over the last 50 years would have been inconceivable in the absence of insurance. Many cases have referred to insurance considerations to justify extending liability: see, for example, *Laskin J in Rivtow*, supra, at pp. 551-2. To reject, as does Stephen J, the open consideration of insurance as "covert judicial action" is paradoxical, since what is proposed is to bring insurance considerations into the open rather than merely expressing conclusions in terms of proximity. ...

In the context of contractual relational economic loss, policy concerns with respect to which party can best bear the loss are particularly important for three reasons. First, policy concerns with respect to deterrence and cost internalization are generally at least substantially met by the tortfeasor's primary liability to the property owner. In cases where the property damage is inconsequential, it might make sense to impose additional liability on deterrence grounds; that is not the case here, however, and I expressly reserve that question.

Second, they can be raised since current law denies recovery; rather than pose the risk of a revolutionary result, the approach merely articulates another policy lying behind a well-established rule. In some areas of the law, an examination of relative loss-bearing ability might lead to arguments for fundamental changes in the law, changes best left to Parliament. Here, however, such considerations simply serve to establish a new rationale, or perhaps more accurately, to articulate explicitly an underlying rationale for a long-standing rule in an area of the law where the importance of policy considerations is now clearly recognized. As the law of torts has

evolved, the courts have not been averse to modifying their mode of analysis of cases and have not waited for the legislature to do so. One imagines with difficulty a statute henceforth requiring the courts to take such considerations into account.

Finally, in this field the crucial problem remains that of limiting liability. All recognize that recovery of this type of claim must remain exceptional, if only because the potential number of claims of this type is practically unlimited. In these circumstances, a significantly higher threshold for recovery is, in my view, entirely justified. In other areas of tort law, where the trend has been towards extending liability, placing an onus on the plaintiff is inconceivable. In this area, however, there is an overriding need for strict controls on potential liability.

In my view, it is legitimate for these reasons to consider explicitly the ability of the plaintiff to bear the risk of loss in this type of case.

Turning then to an application of these criteria to this case, a determination of which party is the better loss bearer is relatively straightforward. C.N. is undoubtedly in a better position to bear the loss than Norsk. First, in light of the significant information available regarding bridge failure and C.N.'s long use of the bridge, C.N. was probably at least equally competent in terms of estimating the potential risks of bridge failure. This aspect seems to me to be clear in light of the facts.

Second, C.N. would clearly be in a better position than P.W.C. to estimate the potential costs of bridge failure to C.N.'s operations. C.N. knows exactly how much use it gets out of the various bridges crossed by its trains. It also knows what the alternatives are in cases of bridge failure. Norsk, of course, is very poorly placed to estimate the value of the use that various people and companies get out of the bridges that cross the rivers its tugs sail on. It is also poorly placed to estimate the potential costs to those users of an interruption in bridge service. Unlike the first factor, which depends to a large degree on the facts of each case, this factor tends to weigh heavily in favour of the defendant in almost every case of this type.

Third, C.N. was better placed to protect itself from the consequences of those losses. ... It is hard to imagine a more sophisticated group of plaintiffs than the users of railway bridges. These parties have access to the full range of protective options: first party commercial insurance or self-insurance, contracts with both the bridge owner and with the railway's customers.

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CONTRACT

I agree with McLachlin J that in many cases the contractual allocation of risk does not supply a rationale for refusing recovery. ...

In this case, however, it [does]. The facts in this case establish that all parties were well aware of the risk of bridge failure. C.N. knew what it was doing. The very bridge at issue here had been damaged on a number of previous occasions, and various studies of the problem had been carried out. C.N. participated actively in at least one of these studies. C.N. was even aware of the traditional legal rule; as I noted, it brought a very similar claim for bridge failure in similar circumstances in 1973 for which recovery was denied.

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In many cases, contracting parties are not willing to insure performance; the contractual allocation of risk in this case is probably typical in that risk is allocated to the potential victim of interrupted service, who benefits from a lower price and who is best placed to take other measures to deal with accidental interruption of contractual benefits. That such an arrangement is so frequent despite the fact that

under current law it precludes recovery by the contracting party is significant. That such an arrangement existed in this case despite the fact that C.N.'s identical claim had been refused in 1973 is doubly significant.

C.N.'s ability to protect itself through contract is not limited to its contract with the property owner. C.N. can also protect itself to some degree through its contractual arrangements with its clients, suppliers and others. It can plan ahead for the case of unavailability of the property in question. Denying recovery will provide incentives to all parties to act in ways that will combine to minimize the impact of losses once they occur, while still providing the critical incentive to the tug to avoid causing accidents in the first place.

In my view, a denial of recovery in this case is justified in light of C.N.'s overwhelmingly superior risk bearing capacity on the facts of this case.

Before leaving the issue of C.N.'s ability to protect itself, it should be noted that the rule proposed by my colleagues will still require parties such as C.N. to protect themselves since they will never know before the particular accident whether they will be part of the determinate class. It is, to say the least, difficult to predict whether a particular railway bridge will be knocked out by someone who knows you by name. Alternatively, it is difficult to know whether of the many possible bridges that will be damaged, the one that will be damaged is the one next to which you own property. As a result, the only solution for the prudent railway will be to purchase insurance. Presumably, the cost of this insurance will reflect the value the insurance company places on the possibility of it recovering from the tortfeasor.

The critical effect of allowing recovery is that it would also require defendants in Norsk's position to insure for potential contractual relational economic loss as well, since they will obviously never know beforehand whether the bridges damaged by its tugs will be used by plaintiffs whose name it knows or who have property nearby. The principal beneficiaries of the rule proposed by my colleagues would be insurance companies, who would benefit from the existence of a new and highly uncertain risk against which companies likely to inflict property damage would need to insure.

The rules suggested by my colleagues thus will require that both parties insure at considerable additional social cost. The only gain will be a slight reduction in the plaintiff's first party insurance costs to take into account the possibility that the insurance company will recover from a tortfeasor under the new doctrine.

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CONCLUSION

It is unclear to me why the current state of the law on contractual relational economic loss, which channels claims to the property owner, is unsatisfactory at least in the commercial area involving sophisticated parties. It is also unclear whether significant amounts of court time should be expended in distinguishing between contractual relational economic loss sufferers those who are proximate to the tortfeasor and those who are not.

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Finally, there are the reasons supporting the exclusionary rule. These are, of course, essentially pragmatic, as has been recognized in cases of this type from the very beginning. First, denial of recovery places incentives on all parties to act in ways that will minimize overall losses, a legitimate and desirable goal for tort law in this area. Second, denial of recovery allows for only one party carrying insurance rather than both parties. Third, it will result in a great saving of judicial resources for cases in which more pressing concerns are put forward. The difficult job of drawing the

line is at least done quickly without a great deal of factual investigation into the various factors that found proximity. The right to recover can be most often determined from the face of the contract. Fourth, it also eliminates difficult problems of sharing an impecunious defendant's limited resources between relational claims and direct claims. Fifth, the traditional rule is certain, and although like any pragmatic solution, borderline cases may cause problems, the exceptions to the rule in cases of joint ventures, general average contributions, and possessory and proprietary interests are reasonably well defined and circumscribed. This case, in my view, does not even constitute a borderline case in this respect, since C.N. has no property interest of any kind. The consequence of that certainty is that contracting parties can be certain of where the loss with respect to the unavailability of property will be in the absence of any contractual arrangement.

NOTES

1. In *Martel Building Ltd v Canada*, 2000 SCC 60, [2000] 2 SCR 860, Iacobucci and Major JJ summed up the law on economic loss in the aftermath of *Norsk* and subsequent cases as follows:

As a cause of action, claims concerning the recovery of economic loss are identical to any other claim in negligence in that the plaintiff must establish a duty, a breach, damage and causation. Nevertheless, as a result of the common law's historical treatment of economic loss, the threshold question of whether or not to recognize a duty of care receives added scrutiny relative to other claims in negligence.

An historical review of the common law treatment of recovery for economic loss has been undertaken by this Court on several occasions. ... Rather than re-canvassing the jurisprudential genealogy reviewed in these cases, it is enough to say that the common law traditionally did not allow recovery of economic loss where a plaintiff had suffered neither physical harm nor property damage. See *Cattle v. Stockton Waterworks Co.* (1875), LR 10 QB 453.

Over time, the traditional rule was reconsidered. In *Rivtow* and subsequent cases it has been recognized that in limited circumstances damages for economic loss absent physical or proprietary harm may be recovered. The circumstances in which such damages have been awarded to date are few. To a large extent, this caution derives from the same policy rationale that supported the traditional approach not to recognize the claim at all. First, economic interests are viewed as less compelling of protection than bodily security or proprietary interests. Second, an unbridled recognition of economic loss raises the spectre of indeterminate liability. Third, economic losses often arise in a commercial context, where they are often an inherent business risk best guarded against by the party on whom they fall through such means as insurance. Finally, allowing the recovery of economic loss through tort has been seen to encourage a multiplicity of inappropriate lawsuits. ...

In an effort to identify and separate the types of cases that give rise to potentially compensable economic loss, La Forest J, in *Norsk* ... endorsed the following categories ... :

1. the independent liability of statutory public authorities;
2. negligent misrepresentation;
3. negligent performance of a service;
4. negligent supply of shoddy goods or structures;
5. relational economic loss. ...

The allegation of negligence in the conduct of negotiations does not fall within any of these classifications. ... That by itself should not preclude the claim. The question is whether the numbered categories ought to be enlarged or some other method identified to include

a new head of economic loss. To answer this question it is useful to set out a framework for the recognition of new categories. ...

In attempting to mould such a framework, it is noteworthy that this Court has looked beyond the traditional bar against recovery of pure economic loss in favour of a case-specific analysis that seeks to weigh the unique policy considerations which arise.

A presumptive exclusionary rule exists only within the narrow realm of contractual relational economic loss. This phrase is intended to define an economic loss suffered via a plaintiff's contractual relationship with a third party to whom the defendant is already liable for property damage. Prior to *Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd.*, [1997] 3 SCR 1210, it was undetermined whether the recognition of contractual relational economic loss was to be approached incrementally on a case-by-case basis, as with the other categories of economic loss, or through recognized categorical exceptions to a narrow exclusionary rule. This debate arose out of the differing approaches expressed by McLachlin J (as she then was) and La Forest J in *Norsk*. ...

In *Bow Valley*, at para. 48, McLachlin J resolved this debate, affirming that recovery for contractual relational economic loss is presumptively excluded, subject to categorical exceptions. However, the categories of recoverable loss are not closed and new ones may emerge as different cases arise. The majority in *Bow Valley* approved her reasons. See Iacobucci J at para. 113:

I understand my colleague's discussion of this matter to mean that she has adopted the general exclusionary rule and categorical exceptions approach set forth by La Forest J in *Norsk* ... She points out that both her reasons and those of La Forest J in *Norsk* recognize that the categories of recoverable contractual relational economic loss are not closed.

It is important to distinguish between the *Bow Valley* majority's reference to the categories of contractual relational economic loss, which falls within the fifth category, and the other four categories of economic loss listed above. This distinction is relevant because contractual relational economic loss receives unique treatment within the broader scope of economic loss in general. In this connection, we reject the assertions of certain commentators who have suggested that the same approach applies to all five categories of economic loss following the *Bow Valley* decision. ...

Unlike the other areas of economic loss, contractual relational economic loss continues to operate under a presumption against recovery. The following categories of contractual relational economic loss are, to date, the sole exceptions to this presumption:

1. Where the claimant has a possessory or proprietary interest in the damaged property;
2. General average cases; and
3. Where the relationship between the claimant and the property owner constitutes a joint venture.

However, as noted above, these three categorical exceptions within contractual relational economic loss categories are not closed. The same is true for the five broader categories of economic loss. ... The reason for the broader five categories is merely to provide greater structure to a diverse range of factual situations by grouping together cases that raise similar policy concerns. These categories are merely analytical tools.

2. In *Canadian National Railway v Norsk*, La Forest J expresses his disagreement with Stephen J's comments on the significance of insurance. Stephen J formulated his position as follows (*Caltex Oil (Australia) Pty Ltd v The Dredge "Willemstad"* (1976), 136 CLR 529 at 580):

In any reference to the writings on [economic loss], and articles abound in the law journals of the last 15 years in the common law countries, frequent mention will be found of the important role to be played by insurance and of the significance which judicial policy consideration should accord to it and to what has come to be known as "loss spreading." ...

I have myself avoided reference to either of these two factors and I should explain my reasons for doing so. If loss-inflicting consequences of an act are reasonably foreseeable and the necessary proximity is shown to exist, the present state of the law of torts, unreformed by any fundamental departure from fault liability, suggests no reason why the tortfeasor should not bear the consequences of his conduct. The task of the courts remains that of loss fixing rather than loss spreading and if this is to be altered it is, in my view, a matter for direct legislative action rather than for the courts. It should be undertaken, if at all, openly and after adequate public inquiry and parliamentary debate and not worked towards covertly, in the course of judicial decision, by the adoption of policy factors which assume its desirability as a goal and operate to further its attainment.

Accordingly I have adopted the perhaps unsophisticated concept that it is just and fair that a negligent tortfeasor, able reasonably to foresee that his conduct will occasion loss to another in a situation of proximity to that conduct, should be found liable to compensate the sufferer of the loss rather than that the victim should bear it himself. An opposing view, that loss should, in the case of involuntary torts, lie where it falls, there to be spread by recourse to the relatively efficient device of loss insurance (more efficient, for various reasons, than liability insurance) may have much to be said for it. Particularly is this so in areas in which insurance of one sort or another in fact becomes universal, whether or not as a result of governmental intervention. But there is, I think, no justification for the courts, when deciding actions in tort between private litigants, to make use of such views as policy determinants in the absence of any independent opportunity to test their soundness and without parliamentary sanction for the departure from pre-existing goals of the law of torts which their espousal involves.

Whose position is more cogent, La Forest J's or Stephen J's?

3. Stapleton, "Torts, Insurance, and Ideology" (1995) 58 Mod L Rev 820 at 831, writes:

[I]f comparative insurability is to be used as a factor influencing tort liability in all cases (not just as a symptom of the indeterminacy problem), by what criteria are we to evaluate who is the "better" or "cheaper" insurer, especially given that both sides will nearly always be able to insure at some price? In fact, no such criteria exist. One reason why this is so is because the risk in relation to which first party insurance is taken out is the risk of the damage being suffered, howsoever caused, be it by someone else's tort or not (let us call this risk $T + NT$), and this is different from that in relation to which liability insurance is taken out, namely of the insured's tort causing the damage (let us call this risk T). In other words, the assertion that "the availability and cost of insurance must be a relevant factor when considering which of two parties should be required to bear the risk of a loss" is flawed when applied to the context of tort suits, because the comparison it requires in order to find the "better" or "cheaper" insurer is not a comparison of like with like.

Even if we could narrow the comparison to the insuring of the same risk, T , and even if the parties were to agree on the evidence of insurance market capacity, the common complaint that liability insurance involves the cost of adjudication of the liability issue would be equally applicable to the context of the potential victim insuring for that risk. But the crux of the argument against the insurability comparison is this: before we can compare which party can most cheaply insure for risk T , we need to know what the aim of covering the risk is. If we assume the aim is to provide the victim with self-insurance, that is, with cover for those of his losses resulting from the occurrence of T which he himself chooses (for example, only economic losses and not cover for pain and suffering) and to the level of those losses he chooses (for example, the percentage of his wages for which he wants cover), then a factor which may make cover arranged by the victim cheaper is that it is he who best knows for which losses he "wants" cover. But if the aim is to compensate victims, that is, to restore them as far as possible to the state they were in before the occurrence of

T, including a sum for pain and suffering, the victim's better knowledge of these issues of personal choice is irrelevant. We are left with trying to compare the victim's superior knowledge about his previous state (his full level of wages, etc.) with the defendant's superior access to information about whether his activities are likely to precipitate the tortious injury. In fact, it is clear what the aim of tort is: it is to compensate, not to provide self-insurance, because its measure of damages is restoration by full compensation of losses. Thus, even if we compare the cost of the two parties insuring the same risk, once we acknowledge that the law is interested in restoring the victim to his pre-injury standard of life, it is not self-evident that the victim is the cheaper party to arrange cover for the risk. What is more, even if it would be cheaper for the victim to arrange cover for the restoration level of support, if the law is also interested in another goal, such as the deterrence of T or the correction of injustice, it may be that any "extra" cost of cover by liability insurance would be justified in the pursuit (even if only symbolically) of such other goals of tort law. In other words, to say that tort law is "about efficient loss distribution" begs the question of what goals tort is trying to achieve efficiently by the distribution. It may be that the more efficient arrangement in pursuit of those goals is liability on, and therefore insurance by, the defendant. Searching for the "better insurer" or "cheaper insurer" ignores this.

In short, when those who promote the insurability comparison conclude that "first party insurance is a cheaper and more effective method of protecting against loss than liability insurance," they make a threefold mistake: a comparison of the ease and cost of insurance risk T + NT with insuring risk T does not compare like with like; the argument ignores and is inconsistent with the law's central commitment to the restoration measure of damages in tort; and it ignores arguments that the plaintiff should be entitled to the protection of tort, for example, because the injury is viewed as a "wrong" requiring correction or because this promotes deterrence of the tortious conduct.

WINNIPEG CONDOMINIUM CORPORATION NO 36

V BIRD CONSTRUCTION CO

[1995] 1 SCR 85, 121 DLR (4th) 193

LA FOREST J (for the court): May a general contractor responsible for the construction of a building be held tortiously liable for negligence to a subsequent purchaser of the building, who is not in contractual privity with the contractor, for the cost of repairing defects in the building arising out of negligence in its construction? That is the issue that was posed by a motion for summary judgment and a motion to strike out a claim as disclosing no reasonable cause of action. ...

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FACTS

On April 19, 1972, a Winnipeg land developer, Tuxedo Properties Co. Ltd. ("Tuxedo"), entered into a contract ("the General Contract") with a general contractor, Bird Construction Co. Limited ("Bird"), for the construction of a 15-storey, 94-unit apartment building. In the General Contract, Bird undertook to construct the building in accordance with plans and specifications prepared by the architectural firm of Smith Carter Partners ("Smith Carter"), with whom Tuxedo also had a contract.

On June 5, 1972, Bird entered into a subcontract with a masonry subcontractor, Kornovski & Keller Masonry Ltd. ("Kornovski & Keller"), under which the latter undertook to perform the masonry portion of the work specified under the General

Contract. The work called for by the General Contract commenced in April, 1972, and the building was substantially completed by December, 1974.

The building was initially built and used as an apartment block, but was converted into a condominium in October, 1978, when Winnipeg Condominium Corporation No. 36 ("the Condominium Corporation") became the registered owner of the land and building. The facts surrounding the conversion were a subject of dispute between the parties, but during oral argument the appellant conceded for the purposes of this appeal that the Condominium Corporation was a subsequent owner of the building and was not the alter ego of the original owner. I shall accordingly deal with the appeal on the assumption that this was indeed the case.

In 1982, the Board of Directors of the Condominium Corporation became concerned about the state of the exterior cladding of the building (consisting of 4-inch-thick slabs of stone), which had been installed by the subcontractor, Kornovski & Keller. The directors observed that some of the mortar had broken away and that cracks were developing in the stonework. As a result of these concerns, the Condominium Corporation retained a firm of structural engineers and the original architects, Smith Carter, to inspect the building. The engineers and Smith Carter recommended some minor remedial work but offered the opinion that the stonework on the building was structurally sound. The remedial work, costing \$8,100, was undertaken at the Condominium Corporation's expense in 1982.

On May 8, 1989, a storey-high section of the cladding, approximately 20 feet in length, fell from the ninth-storey level of the building to the ground below. The Condominium Corporation retained engineering consultants who conducted further inspections. Following these inspections, the Condominium Corporation had the entire cladding removed and replaced at a cost in excess of \$1.5 million.

An action was commenced in negligence by the Condominium Corporation against Bird, Smith Carter and Kornovski & Keller. The Condominium Corporation, in its statement of claim, detailed alleged inadequacies in design and workmanship, without assigning specific blame to one defendant or another. Bird responded by filing a notice of motion for summary judgment and a motion to strike the Condominium Corporation's claim as disclosing no reasonable cause of action with the Manitoba Court of Queen's Bench. ...

...

WAS THERE A SUFFICIENTLY CLOSE RELATIONSHIP BETWEEN THE PARTIES SO THAT, IN THE REASONABLE CONTEMPLATION OF BIRD, CARELESSNESS ON ITS PART MIGHT CAUSE DAMAGE TO A SUBSEQUENT PURCHASER OF THE BUILDING SUCH AS THE CONDOMINIUM CORPORATION?

In my view, it is reasonably foreseeable to contractors that, if they design or construct a building negligently and if that building contains latent defects as a result of that negligence, subsequent purchasers of the building may suffer personal injury or damage to other property when those defects manifest themselves. A lack of contractual privity between the contractor and the inhabitants at the time the defect becomes manifest does not make the potential for injury any less foreseeable. Buildings are permanent structures that are commonly inhabited by many different persons over their useful life. By constructing the building negligently, contractors (or any other person responsible for the design and construction of a building) create a foreseeable danger that will threaten not only the original owner, but every inhabitant during the useful life of the building. ...

In my view, the reasonable likelihood that a defect in a building will cause injury to its inhabitants is also sufficient to ground a contractor's duty in tort to subsequent purchasers of the building for the cost of repairing the defect if that defect is discovered prior to any injury and if it poses a real and substantial danger to the inhabitants of the building. ... If a contractor can be held liable in tort where he or she constructs a building negligently and, as a result of that negligence, the building causes damage to persons or property, it follows that the contractor should also be held liable in cases where the dangerous defect is discovered and the owner of the building wishes to mitigate the danger by fixing the defect and putting the building back into a non-dangerous state. In both cases, the duty in tort serves to protect the bodily integrity and property interests of the inhabitants of the building. ...

Apart from the logical force of holding contractors liable for the cost of repair of dangerous defects, there is also a strong underlying policy justification for imposing liability in these cases. Under the law as developed in ... *Murphy*, the plaintiff who moves quickly and responsibly to fix a defect before it causes injury to persons or damage to property must do so at his or her own expense. By contrast, the plaintiff who, either intentionally or through neglect, allows a defect to develop into an accident may benefit at law from the costly and potentially tragic consequences. In my view, this legal doctrine is difficult to justify because it serves to encourage, rather than discourage, reckless and hazardous behaviour. Maintaining a bar against recoverability for the cost of repair of dangerous defects provides no incentive for plaintiffs to mitigate potential losses and tends to encourage economically inefficient behaviour. ... Allowing recovery against contractors in tort for the cost of repair of dangerous defects thus serves an important preventative function by encouraging socially responsible behaviour.

This conclusion is borne out by the facts of the present case, which fall squarely within the category of what I would define as a "real and substantial danger." It is clear from the available facts that the masonry work on the Condominium Corporation's building was in a sufficiently poor state to constitute a real and substantial danger to inhabitants of the building and to passers-by. The piece of cladding that fell from the building was a storey high, was made of 4-inch-thick Tyndal stone, and dropped nine storeys. Had this cladding landed on a person or on other property, it would unquestionably have caused serious injury or damage. Indeed, it was only by chance that the cladding fell in the middle of the night and caused no harm. In this light, I believe that the Condominium Corporation behaved responsibly, and as a reasonable home-owner should, in having the building inspected and repaired immediately. Bird should not be insulated from liability simply because the current owners of the building acted quickly to alleviate the danger that Bird itself may well have helped to create.

Counsel for Bird submitted that, although the Condominium Corporation behaved reasonably in fixing the defects in the masonry, Bird should not be held liable for the cost of repairs the Corporation incurred in fixing the defective masonry. In support of this submission, counsel for Bird relied upon Lord Keith's argument in *Murphy*, supra, that the decision to repair a dangerous defect in a building is analogous to a decision to discard a defective article. In either case, Lord Keith noted, at p. 918, the cost of repair cannot be characterized as a recoverable loss because the owner of the defective article may simply discard it and thereby remove the danger:

It is difficult to draw a distinction in principle between an article which is useless or valueless and one which suffers from a defect which would render it dangerous in use but which is discovered by the purchaser in time to avert any possibility of

injury. The purchaser may incur expense in putting right the defect or, more probably, discard the article. In either case the loss is purely economic.

While Lord Keith's argument has some appeal on the basis of abstract logic, I do not believe it is sufficient to preclude imposing liability on contractors for the cost of repairing dangerous defects. The weakness of the argument is that it is based upon an unrealistic view of the choice faced by home-owners in deciding whether to repair a dangerous defect in their home. In fact, a choice to "discard" a home instead of repairing the dangerous defect is no choice at all: most home-owners buy a home as a long-term investment and few home-owners, upon discovering a dangerous defect in the home, will choose to abandon or sell the building rather than to repair the defect. Indeed, in most cases, the cost of fixing a defect in a house or building, within the reasonable life of that house or building, will be far outweighed by the cost of replacing the house or buying a new one. This was certainly demonstrated in this case by the fact that the Condominium Corporation incurred costs of over \$1.5 million in repairing the building rather than choosing to abandon or sell the building. I conclude therefore that contractors ought reasonably to foresee that subsequent purchasers of the building will incur expenses to repair dangerous defects created by their negligence during the useful life of the building.

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... I note that the present case is distinguishable on a policy level from cases where the workmanship is merely shoddy or substandard but not dangerously defective. In the latter class of cases, tort law serves to encourage the repair of dangerous defects and thereby to protect the bodily integrity of inhabitants of buildings. By contrast, the former class of cases bring into play the questions of quality of workmanship and fitness for purpose. These questions do not arise here. Accordingly, it is sufficient for present purposes to say that, if Bird is found negligent at trial, the Condominium Corporation would be entitled on this reasoning to recover the reasonable cost of putting the building into a non-dangerous state, but not the cost of any repairs that would serve merely to improve the quality, and not the safety, of the building.

I conclude that the law in Canada has now progressed to the point where it can be said that contractors (as well as subcontractors, architects and engineers) who take part in the design and construction of a building will owe a duty in tort to subsequent purchasers of the building if it can be shown that it was foreseeable that a failure to take reasonable care in constructing the building would create defects that pose a substantial danger to the health and safety of the occupants. Where negligence is established and such defects manifest themselves before any damage to persons or property occurs, they should, in my view, be liable for the reasonable cost of repairing the defects and putting the building back into a non-dangerous state.

ARE THERE ANY CONSIDERATIONS THAT OUGHT TO NEGATE

(A) THE SCOPE OF THE DUTY AND (B) THE CLASS OF PERSONS TO WHOM IT IS OWED OR (C) THE DAMAGES TO WHICH A BREACH OF IT MAY GIVE RISE?

There are two primary and interrelated concerns raised by the recognition of a contractor's duty in tort to subsequent purchasers of buildings for the cost of repairing dangerous defects. The first is that warranties respecting quality of construction are primarily contractual in nature and cannot be easily defined or limited in tort. ...

The second concern is that the recognition of such a duty interferes with the doctrine of *caveat emptor* which, as this court affirmed in *Fraser-Reid v. Droumtsekas*, supra, at p. 386, "has lost little of its pristine force in the sale of land." The doctrine of *caveat emptor* dictates that, in the absence of an express warranty, there

is no implied warranty of fitness for human habitation upon the purchase of a house already completed at the time of sale. ...

In my view, these concerns are both merely versions of the more general and traditional concern that allowing recovery for economic loss in tort will subject a defendant to what Cardozo CJ in *Ultramares Corp. v. Touche*, 174 NE 441 (NY CA 1931) at p. 444, called "liability in an indeterminate amount for an indeterminate time to an indeterminate class." In light of the fact that most buildings have a relatively long useful life, the concern is that a contractor will be subject potentially to an indeterminate amount of liability to an indeterminate number of successive owners over an indeterminate time period. The doctrines of privity of contract and *caveat emptor* provide courts with a useful mechanism for limiting liability in tort. But the problem, as I will now attempt to demonstrate, is that it is difficult to justify the employment of these doctrines in the tort context in any principled manner apart from their utility as mechanisms for limiting liability.

THE CONCERN WITH OVERLAP BETWEEN TORT AND CONTRACT DUTIES

Turning to the first concern, a duty on the part of contractors to take reasonable care in the construction of buildings can, in my view, be conceptualized in the absence of contract and will not result in indeterminate liability to the contractor. ... [T]his court has recognized that a tort duty can arise concurrently with a contractual duty, so long as that tort duty arises independently of the contractual duty: see *Rafuse*, supra; *Edgeworth*, supra. As I see it, the duty to construct a building according to reasonable standards and without dangerous defects arises independently of the contractual stipulations between the original owner and the contractor because it arises from a duty to create the building safely and not merely according to contractual standards of quality. It must be remembered that we are speaking here of a duty to construct the building according to reasonable standards of safety in such a manner that it does not contain dangerous defects. As this duty arises independently of any contract, there is no logical reason for allowing the contractor to rely upon a contract made with the original owner to shield him or her from liability to subsequent purchasers arising from a dangerously constructed building. ...

The tort duty to construct a building safely is thus a circumscribed duty that is not parasitic upon any contractual duties between the contractor and the original owner. Seen in this way, no serious risk of indeterminate liability arises with respect to this tort duty. In the first place, there is no risk of liability to an indeterminate class because the potential class of claimants is limited to the very persons for whom the building is constructed: the inhabitants of the building. The fact that the class of claimants may include successors in title who have no contractual relationship with the contractors does not, in my view, render the class of potential claimants indeterminate. As noted by the New Jersey Supreme Court in *Aronsohn v. Mandara*, 484 A2d 675 (1984), at p. 680, "[t]he contractor should not be relieved of liability for unworkmanlike construction simply because of the fortuity that the property on which he did the construction has changed hands."

Secondly, there is no risk of liability in an indeterminate amount because the amount of liability will always be limited by the reasonable cost of repairing the dangerous defect in the building and restoring that building to a non-dangerous state. Counsel for Bird advanced the argument that the cost of repairs claimed for averting a danger caused by a defect in construction could, in some cases, be disproportionate to the actual damage to persons or property that might be caused if that defect were not repaired. For example, he expressed concern that a given plaintiff could claim thousands of dollars in damage for a defect which, if left unrepaired,

would cause only a few dollars damage to that plaintiff's other property. However, in my view, any danger of indeterminacy in damages is averted by the requirement that the defect for which the costs of repair are claimed must constitute a real and substantial danger to the inhabitants of the building, and the fact that the inhabitants of the building can only claim the reasonable cost of repairing the defect and mitigating the danger. The burden of proof will always fall on the plaintiff to demonstrate that there is a serious risk to safety, that the risk was caused by the contractor's negligence, and that the repairs are required to alleviate the risk.

Finally, there is little risk of liability for an indeterminate time because the contractor will only be liable for the cost of repair of dangerous defects during the useful life of the building. Practically speaking, I believe that the period in which the contractor may be exposed to liability for negligence will be much shorter than the full useful life of the building. With the passage of time, it will become increasingly difficult for owners of a building to prove at trial that any deterioration in the building is attributable to the initial negligence of the contractor and not simply to the inevitable wear and tear suffered by every building: for a similar view, see Sachs LJ in *Dutton*, *supra*, at p. 405.

THE CAVEAT EMPTOR CONCERN

Turning to the second concern, *caveat emptor* cannot, in my view, serve as a complete shield to tort liability for the contractors of a building. In *Fraser-Reid*, *supra*, this court relied on the doctrine of *caveat emptor* in rejecting a claim by a buyer of a house for the recognition of an implied warranty of fitness for human habitation. However, the court explicitly declined to address the question of whether *caveat emptor* serves to negate a duty in tort (pp. 388-9). Accordingly, the question remains at large in Canadian law and must be resolved on the level of principle.

In *Fraser-Reid*, Dickson J (as he then was) observed that the doctrine of *caveat emptor* stems from the *laissez-faire* attitudes of the eighteenth and nineteenth centuries and the notion that purchasers must fend for themselves in seeking protection by express warranty or by independent examination of the premises (at p. 386). The assumption underlying the doctrine is that the purchaser of a building is better placed than the seller or builder to inspect the building and to bear the risk that latent defects will emerge necessitating repair costs. However, in my view, this is an assumption which (if ever valid) is simply not responsive to the realities of the modern housing market. In *Lempke*, *supra*, at p. 295, the Supreme Court of New Hampshire made reference to a number of policy factors that strongly militate against the rigid application of the doctrine of *caveat emptor* with regard to tort claims for construction defects:

First, "[c]ommon experience teaches that latent defects in a house will not manifest themselves for a considerable period of time ... after the original purchaser has sold the property to a subsequent unsuspecting buyer." ...

Second, our society is rapidly changing. "We are an increasingly mobile people; a builder-vendor should know that a house he builds might be resold within a relatively short period of time and should not expect that the warranty will be limited by the number of days that the original owner holds onto the property." ... Furthermore, "the character of society has changed such that the original buyer is not in a position to discover hidden defects." ...

Third, like an initial buyer, the subsequent purchaser has little opportunity to inspect and little experience and knowledge about construction. "Consumer protection demands that those who buy homes are entitled to rely on the skill of a builder and that the house is constructed so as to be reasonably fit for its intended use." ...

Fourth, the builder/contractor will not be unduly taken unaware by the extension of the warranty to a subsequent purchaser. "The builder already owes a duty to construct the home in a workmanlike manner." ... And extension to a subsequent purchaser, within a reasonable time, will not change this basic obligation.

Fifth, arbitrarily interposing a first purchaser as a bar to recovery "might encourage sham first sales to insulate builders from liability."

Philip H. Osborne makes the further point in "A Review of Tort Decisions in Manitoba 1990-1993," [1993] *Man. LJ* 191 at p. 196, that contractors and builders, because of their knowledge, skill and expertise, are in the best position to ensure the reasonable structural integrity of buildings and their freedom from latent defect. In this respect, the imposition of liability on builders provides an important incentive for care in the construction of buildings and a deterrent against poor workmanship.

My conclusion that a subsequent purchaser is not the best placed to bear the risk of the emergence of latent defects is borne out by the facts of this case. It is significant that, when cracking first appeared in the mortar of the building in 1982, the Condominium Corporation actually hired Smith Carter, the original architect of the building, along with a firm of structural engineers, to assess the condition of the mortar work and exterior cladding. These experts failed to detect the latent defects that appear to have caused the cladding to fall in 1989. Thus, although it is clear that the Condominium Corporation acted with diligence in seeking to detect hidden defects in the building, they were none the less unable to detect the defects or to foresee the collapse of the cladding in 1989. This, in my view, illustrates the unreality of the assumption that the purchaser is better placed to detect and bear the risk of hidden defects. For this court to apply the doctrine of *caveat emptor* to negate Bird's duty in tort would be to apply a rule that has become completely divorced, in this context at least, from its underlying rationale.

CONCLUSION

I conclude, then, that no adequate policy considerations exist to negate a contractor's duty in tort to subsequent purchasers of a building to take reasonable care in constructing the building, and to ensure that the building does not contain defects that pose foreseeable and substantial danger to the health and safety of the occupants. ... [T]he reasonable costs of repairing the defects and putting the building back into a non-dangerous state ... are recoverable economic loss under the law of tort in Canada.

NOTES

1. As the *Winnipeg Condominium* case indicates, the House of Lords has taken a more restrictive approach to liability for the defectiveness of a building or chattel. In *Murphy v Brentwood District Council*, [1990] 2 All ER 908 (HL), the defendant district council negligently approved the design of the foundations of houses in a new housing development. After purchasing the house from the builder, the plaintiff noticed serious cracks. Unable to afford the cost of remedying the defect, the plaintiff sold the house for £35,000 less than it would have been worth had it been structurally sound. The plaintiff sued unsuccessfully to recover that amount from the defendant. Lord Bridge of Harwich dealt with defects of quality as follows:

If a manufacturer negligently puts into circulation a chattel containing a latent defect which renders it dangerous to persons or property, the manufacturer, on the well known principles established by *Donoghue v. Stevenson* [1932] AC 562, will be liable in tort for injury to persons or damage to property which the chattel causes. But if a manufacturer produces and

sells a chattel which is merely defective in quality, even to the extent that it is valueless for the purpose for which it is intended, the manufacturer's liability at common law arises only under and by reference to the terms of any contract to which he is a party in relation to the chattel; the common law does not impose on him any liability in tort to persons to whom he owes no duty in contract but who, having acquired the chattel, suffer economic loss because the chattel is defective in quality. If a dangerous defect in a chattel is discovered before it causes any personal injury or damage to property, because the danger is now known and the chattel cannot safely be used unless the defect is repaired, the defect becomes merely a defect in quality. The chattel is either capable of repair at economic cost or it is worthless and must be scrapped. In either case the loss sustained by the owner or hirer of the chattel is purely economic. It is recoverable against any party who owes the loser a relevant contractual duty. But it is not recoverable in tort in the absence of a special relationship of proximity imposing on the tortfeasor a duty of care to safeguard the plaintiff from economic loss. There is no such special relationship between the manufacturer of a chattel and a remote owner or hirer.

I believe that these principles are equally applicable to buildings. If a builder erects a structure containing a latent defect which renders it dangerous to persons or property, he will be liable in tort for injury to persons or damage to property resulting from that dangerous defect. But if the defect becomes apparent before any injury or damage has been caused, the loss sustained by the building owner is purely economic. If the defect can be repaired at economic cost, that is the measure of the loss. If the building cannot be repaired, it may have to be abandoned as unfit for occupation and therefore valueless. These economic losses are recoverable if they flow from breach of a relevant contractual duty, but, here again, in the absence of a special relationship of proximity they are not recoverable in tort. The only qualification I would make to this is that, if a building stands so close to the boundary of the building owner's land that after discovery of the dangerous defect it remains a potential source of injury to persons or property on neighbouring land or on the highway, the building owner ought, in principle, to be entitled to recover in tort from the negligent builder the cost of obviating the danger, whether by repair or by demolition, so far as that cost is necessarily incurred in order to protect himself from potential liability to third parties. ...

I am content for present purposes to assume, though I am by no means satisfied that the assumption is correct, that where the local authority, has in fact approved the defective plans or inspected the defective foundations and negligently failed to discover the defect, their potential liability in tort is coextensive with that of the builder. ...

[T]here are, as it appears to me, two insuperable difficulties arising from the requirement of imminent danger to health or safety as an ingredient of the cause of action which lead to quite irrational and capricious consequences. The first difficulty will arise where the relevant defect in the building, when it is first discovered, is not a present or imminent danger to health or safety. What is the owner to do if he is advised that the building will gradually deteriorate, if not repaired, and will in due course become a danger to health and safety, but that the longer he waits to effect repairs the greater the cost will be? Must he spend £1,000 now on the necessary repairs with no redress against the local authority? Or is he entitled to wait until the building has so far deteriorated that he has a cause of action and then to recover from the local authority the £5,000 which the necessary repairs are now going to cost? I can find no answer to this conundrum. A second difficulty will arise where the latent defect is not discovered until it causes the sudden and total collapse of the building, which occurs when the building is temporarily unoccupied and causes no damage to property except to the building itself. The building is now no longer capable of occupation and hence cannot be a danger to health or safety. It seems a very strange result that the building owner should be without remedy in this situation if he would have been able to recover from the local authority the full cost of repairing the building if only the defect had been discovered before the building fell down. ...

[A] builder, in the absence of any contractual duty or of a special relationship of proximity introducing the *Hedley Byrne* principle of reliance, owes no duty of care in tort in respect of the quality of his work. ... [T]o hold that the builder owed such a duty of care to any person acquiring an interest in the product of the builder's work would be to impose upon him the obligations of an indefinitely transmissible warranty of quality.

Lord Oliver of Aylmerton commented as follows on repairs to avoid injury:

If there is no relationship of proximity such as to create a duty to avoid pecuniary loss resulting from the plaintiff's perception of non-dangerous defects, upon what principle can such a duty arise at the moment when the defect is perceived to be an imminent danger to health? Take the case of an owner-occupier who has inherited the property from a derivative purchaser. He suffers, in fact, no "loss" save that the property for which he paid nothing is less valuable to him by the amount which it will cost him to repair it if he wishes to continue to live in it. If one assumes the parallel case of one who has come into possession of a defective chattel—for instance, a yacht—which may be a danger if it is used without being repaired, it is impossible to see upon what principle such a person, simply because the chattel has become dangerous, could recover the cost of repair from the original manufacturer.

The suggested distinction between mere defect and dangerous defect ... is, I believe, fallacious. The argument appears to be that because, if the defect had not been discovered and someone had been injured, the defendant would have been liable to pay damages for the resultant physical injury on the principle of *Donoghue v. Stevenson* it is absurd to deny liability for the cost of preventing such injury from ever occurring. But once the danger ceases to be latent there never could be any liability. The plaintiff's expenditure is not expenditure incurred in minimising the damage or in preventing the injury from occurring. The injury will not now ever occur unless the plaintiff causes it to do so by courting a danger of which he is aware and his expenditure is incurred not in preventing an otherwise inevitable injury but in order to enable him to continue to use the property or the chattel.

Do you find the Supreme Court of Canada or the House of Lords more persuasive?

2. Benson, at 436-37, sees the same factor at work in the *Winnipeg Condominium* situation as was present in the *Norsk* situation:

What is more, this same analysis seems to hold for the second situation in which courts have applied the exclusionary rule. Here ... the plaintiff's financial loss consists in the cost of repairing something defective which he owns so that he can continue to use it without danger of injury to himself or to his other property. The defect, we suppose, has resulted from the defendant's want of due care. We further assume that there is no contract between the parties. For example, in the important recent English case, *Murphy v. Brentwood District Council*, the plaintiff purchased from a construction company a newly built house whose design has been (negligently, as it turned out) approved by defendant city council. In due course, the plaintiff noticed that the house was seriously defective, both in its structure and in its foundation. These defects posed a risk of imminent danger to the health and safety of the occupants. Unable to carry out the necessary repairs, the plaintiff decided to sell the house, subject to the defects, for an amount considerably less than its market value in sound condition. Plaintiff sued for the difference.

Among the several leading decisions that have recently denied liability in these circumstances, none is so perspicuous as Lord Oliver's speech in *Murphy*. Although plaintiff's claim in *Murphy* was for expenditures made or needed to correct a situation involving a risk of physical injury, Lord Oliver characterized the loss as purely economic and as coming under the exclusionary rule. ... He viewed the loss in this way because "[t]he injury will not now ever occur unless the plaintiff causes it to do so by courting a danger of which he is aware and his expenditure is incurred not in preventing an otherwise inevitable injury *but in order to enable him to continue to use the property or the chattel*." On this view, what the plaintiff

sought to protect was an interest in being able to use something in a certain (safe) condition: the claim was for the cost of putting his defective property in shape so that he could have the benefit of its use (if only its resale value) in an improved condition. But while the plaintiff may have owned the property he wished to ameliorate, what he actually owned at the moment he discovered the defect, and the danger it posed, was just defective property. The property in an improved condition was not his present property or possession. It simply did not yet exist. And on the facts, the plaintiff did not have against the defendant a contractual or any other right to the future possession and enjoyment of the property in a non-defective condition. Here, just as in the first situation, the fundamental difficulty with the plaintiff's claim seems to be that it was premised on his having a protected interest in the use of something over which he could not establish any right as against the defendant.

On the basis of this analysis of the two "exclusionary" situations [the situations exemplified by *Norsk* and by *Winnipeg Condominium*], we are now in a position to identify in a preliminary way what courts seem to regard as the essential difficulty with the plaintiff's claim in both: the claim is with respect to an interest *in the use of something* over which the plaintiff *lacks an exclusive right as against the defendant*. In the first situation, although not in the second, the plaintiff has a contractual interest in the chattel damaged by the defendant. This difference, however, is immaterial. The significance of the plaintiff's contractual interest in the first situation is simply that it establishes that his claim is with respect to benefits or burdens associated *with the use of the chattel*. But this can be shown in other ways. For instance, the plaintiff may simply rely on the possibility of using something without having a contractual right to do so, or he may have the kind of interest in use evidenced in the defective chattel cases just discussed. Similarly, the fact that in the first situation, but not the second, there is a third party who owns or possesses the property which the plaintiff wishes to use is also an inessential difference. In both situations, the plaintiff has no right as against the defendant to have the property which he wishes to use available in a condition that is suitable for his use, whether this is because the property belongs to a third party or because what belongs to the plaintiff is only the property in a defective condition.

3. A few weeks after the *Winnipeg Condominium* judgment, the High Court of Australia dealt with a similar issue. In *Bryan v Maloney* (1995), 128 ALR 163 (HC), the plaintiff, who was the third owner of the house, sued the builder for negligence in constructing the house with inadequate footings. In finding in favour of the plaintiff, Mason CJ and Deane and Gaudron JJ stated:

It is in the context of the above-mentioned relationships of proximity that one must determine whether the relationship which exists between a professional builder of a house, such as Mr Bryan, and a subsequent owner, such as Mrs Maloney, possesses the requisite degree of proximity to give rise to a duty to take reasonable care on the part of the builder to avoid the kind of economic loss sustained by Mrs Maloney in the present case. It is likely that the only connection between such a builder and such a subsequent owner will be the house itself. Nonetheless, the relationship between them is marked by proximity in a number of important respects. The connecting link of the house is itself a substantial one. It is a permanent structure to be used indefinitely and, in this country, is likely to represent one of the most significant, and possibly the most significant, investment which the subsequent owner will make during his or her lifetime. It is obviously foreseeable by such a builder that the negligent construction of the house with inadequate footings is likely to cause economic loss, of the kind sustained by Mrs Maloney, to the owner of the house at the time when the inadequacy of the footings first becomes manifest. When such economic loss is eventually sustained and there is no intervening negligence or other causative event, the causal proximity between the loss and the builder's lack of reasonable care is unextinguished by either lapse of time or change of ownership. ...

Upon analysis, the relationship between builder and subsequent owner with respect to the particular kind of economic loss is, like that between the builder and first owner, marked by the kind of assumption of responsibility and known reliance which is commonly present in the categories of case in which a relationship of proximity exists with respect to pure economic loss. In ordinary circumstances, the builder of a house undertakes the responsibility of erecting a structure on the basis that its footings are adequate to support it for a period during which it is likely that there will be one or more subsequent owners. Such a subsequent owner will ordinarily have no greater, and will often have less, opportunity to inspect and test the footings of the house than the first owner. Such a subsequent owner is likely to be unskilled in building matters and inexperienced in the niceties of real property investment. Any builder should be aware that such a subsequent owner will be likely, if inadequacy of the footings has not become manifest, to assume that the house has been competently built and that the footings are in fact adequate. ...

Moreover, there are persuasive policy reasons supporting the recognition of a relationship of proximity between the builder and a subsequent owner of an ordinary dwelling house with respect to the particular kind of economic loss. ... They include the consideration that, by virtue of superior knowledge, skill and experience in the construction of houses, it is likely that a builder will be better qualified and positioned to avoid, evaluate and guard against the financial risk posed by latent defect in the structure of a house. In all the circumstances, the relationship between builder and subsequent owner as regards the particular kind of economic loss should be accepted as possessing a comparable degree of proximity to that possessed by the relationship between builder and first owner and as giving rise to a duty to take reasonable care on the part of the builder to avoid such loss.

Brennan J, dissenting, agreed with the *Murphy* case and observed:

Where the question is whether a duty of care relating solely to the quality of the building or chattel bought by a purchaser should be imposed by the law of tort or the law of contract, the answer, in my opinion, is that the interests to be protected are appropriately to be governed by the law of contract. ... The doing of work for reward is a matter governed by the agreement between the party doing the work and the party requesting that the work be done. They fix their own rights and liabilities on issues of purely economic significance. The work to be performed, the quality and value of that work and the cost of repairing defects in work ill-done are thus properly the concerns of the law of contract. ...

It would be anomalous to have claims relating to the condition of the building by an original owner against the builder determined by the law of contract if the relief claimed by the remote purchaser against the builder would be determined by the law of tort. Such a situation ... would be tantamount to the imposition on the builder of a transmissible warranty of quality. In some jurisdictions, Parliament has provided such a remedy by statute. The social question whether building costs should be inflated to cover the builder's obligation under such a transmissible warranty is an appropriate question for parliaments to consider but, in the absence of compelling legal principle or considerations of justice reflecting the enduring values of the community, the courts should not decide to extend remedies not hitherto available to remote purchasers of buildings without considering the cost to builders and the economic effect of such an extension. Those are questions which the courts are not suited to consider. The extension of remedies in that direction is properly a matter for Parliament.

However, Brennan J also agreed with the *Winnipeg Condominium* case that a builder should be liable for the cost of repairing defects that are dangerous:

Such an action is a remedy analogous to the remedy available to a rescuer who protects a potential victim from damage threatened by the defendant's negligence. The duty which the builder breaches is, at base, a duty of the *Donoghue v. Stevenson* kind owed to prevent or

avoid personal injury or damage to property, but the owner is within the area of contemplation as one who is at risk of suffering loss if the builder's duty of care to third parties is not discharged. I venture to suggest that the rescuer analogy may afford the "logical basis" which Lord Oliver found difficult to see for distinguishing dangerous from non-dangerous defects.

As the damage postulated in a case where the builder's duty to the owner is in question is neither personal injury nor property damage but actual economic loss, a remedy in tort is available only to a plaintiff who actually incurs expense by removing, paying for the removal or incurring a liability for the cost of removal of the defects which pose the substantial risk of physical damage to person or property. That was the position in the *Winnipeg* case where the "negligently supplied structure ... was not merely shoddy; it was dangerous." ...

WHITE V JONES

[1995] 1 All ER 691 (HL)

After a family quarrel, the father of the plaintiffs executed a will cutting the plaintiffs out of his estate. Subsequently he was reconciled to them, and he instructed his solicitors, the defendants, to prepare a new will leaving the plaintiffs £9000 each. The solicitors neglected to act on these instructions for several weeks. Before the new will was prepared and executed the father died of a heart attack. The plaintiffs sued the solicitors, claiming that the negligent delay deprived them of the £9000 they each would have received from the new will.

LORD GOFF OF CHIEVELEY: ... Before addressing the legal questions which lie at the heart of the present case, it is, I consider, desirable to identify the reasons of justice which prompt judges and academic writers to conclude ... that a duty should be owed by the testator's solicitor to a disappointed beneficiary. The principal reasons are, I believe, as follows.

(1) In the forefront stands the extraordinary fact that, if such a duty is not recognised, the only persons who might have a valid claim (i.e., the testator and his estate) have suffered no loss, and the only person who has suffered a loss (i.e., the disappointed beneficiary) has no claim: ... It can therefore be said that, if the solicitor owes no duty to the intended beneficiaries, there is a lacuna in the law which needs to be filled. This I regard as being a point of cardinal importance in the present case.

(2) The injustice of denying such a remedy is reinforced if one considers the importance of legacies in a society which recognises (subject only to the incidence of inheritance tax, and statutory requirements for provision for near relatives) the right of citizens to leave their assets to whom they please, and in which, as a result, legacies can be of great importance to individual citizens, providing very often the only opportunity for a citizen to acquire a significant capital sum; or to inherit a house, so providing a secure roof over the heads of himself and his family; or to make special provision for his or her old age. In the course of the hearing before the Appellate Committee Mr Matheson (who was instructed by the Law Society to represent the appellant solicitors) placed before the Committee a schedule of claims of the character of that in the present case notified to the Solicitors' Indemnity Fund following the judgment of the Court of Appeal below. It is striking that, where the amount of the claim was known, it was, by today's standards, of a comparatively modest size. This perhaps indicates that it is where a testator instructs a small firm of solicitors that mistakes of this kind are most likely to occur, with the result that it tends to be people of modest means, who need the money so badly, who suffer.

(3) There is a sense in which the solicitors' profession cannot complain if such a liability may be imposed upon their members. If one of them has been negligent in

such a way as to defeat his client's testamentary intentions, he must regard himself as very lucky indeed if the effect of the law is that he is not liable to pay damages in the ordinary way. It can involve no injustice to render him subject to such a liability, even if the damages are payable not to his client's estate for distribution to the disappointed beneficiary (which might have been the preferred solution) but direct to the disappointed beneficiary.

(4) That such a conclusion is required as a matter of justice is reinforced by consideration of the role played by solicitors in society. The point was well made by Cooke J in *Gartside v. Sheffield Young & Ellis* [1983] NZLR 37 at 43, when he observed:

To deny an effective remedy in a plain case would seem to imply a refusal to acknowledge the solicitor's professional role in the community. In practice the public relies on solicitors (or statutory officers with similar functions) to prepare effective wills.

The question therefore arises whether it is possible to give effect in law to the strong impulse for practical justice which is the fruit of the foregoing considerations. For this to be achieved, I respectfully agree with Nicholls V-C when he said that the court will have to fashion "an effective remedy for the solicitor's breach of his professional duty to his client" in such a way as to repair the injustice to the disappointed beneficiary (see [1993] 3 All ER 481 at 489, [1993] 3 WLR 730 at 739). ...

[A] solicitor who undertakes to perform services for his client may be liable to his client for failure to exercise due care and skill in relation to the performance of those services not only in contract, but also in negligence under the principle in *Hedley Byrne v. Heller* ... on the basis of assumption of responsibility by the solicitor towards his client. Even so there is great difficulty in holding, on ordinary principles, that the solicitor has assumed any responsibility towards an intended beneficiary under a will which he has undertaken to prepare on behalf of his client but which, through his negligence, has failed to take effect in accordance with his client's instructions. The relevant work is plainly performed by the solicitor for his client; but, in the absence of special circumstances, it cannot be said to have been undertaken for the intended beneficiary. Certainly, again in the absence of special circumstances, there will have been no reliance by the intended beneficiary on the exercise by the solicitor of due care and skill; indeed, the intended beneficiary may not even have been aware that the solicitor was engaged on such a task, or that his position might be affected. Let me take the example of an *inter vivos* gift where, as a result of the solicitor's negligence, the instrument in question is for some reason not effective for its purpose. The mistake comes to light some time later during the lifetime of the donor, after the gift to the intended donee should have taken effect. The donor, having by then changed his mind, declines to perfect the imperfect gift in favour of the intended donee. The latter may be unable to obtain rectification of the instrument, because equity will not perfect an imperfect gift (though there is some authority which suggests that exceptionally it may do so if the donor has died or become incapacitated: see *Lister v. Hodgson* (1867) LR 4 Eq 30 at 34-35 per Lord Romilly MR). I, for my part, do not think that the intended donee could in these circumstances have any claim against the solicitor. It is enough, as I see it, that the donor is able to do what he wishes to put matters right. From this it would appear to follow that the real reason for concern in cases such as the present lies in the extraordinary fact that, if a duty owed by the testator's solicitor to the disappointed beneficiary is not recognised, the only person who may have a valid claim has suffered no loss, and the only person who has suffered a loss has no claim. ...

[T]he *Hedley Byrne* principle cannot, in the absence of special circumstances, give rise on ordinary principles to an assumption of responsibility by the testator's

solicitor towards an intended beneficiary. Even so, it seems to me that it is open to your Lordships' House ... to fashion a remedy to fill a lacuna in the law and so prevent the injustice which would otherwise occur on the facts of cases such as the present. ... [T]he nature of the transaction was such that, if the solicitors were negligent and their negligence did not come to light until after the death of the testator, there would be no remedy for the ensuing loss unless the intended beneficiary could claim. In my opinion, therefore, your Lordships' House should in cases such as these extend to the intended beneficiary a remedy under the *Hedley Byrne* principle by holding that the assumption of responsibility by the solicitor towards his client should be held in law to extend to the intended beneficiary who (as the solicitor can reasonably foresee) may, as a result of the solicitor's negligence, be deprived of his intended legacy in circumstances in which neither the testator nor his estate will have a remedy against the solicitor. Such liability will not of course arise in cases in which the defect in the will comes to light before the death of the testator, and the testator either leaves the will as it is or otherwise continues to exclude the previously intended beneficiary from the relevant benefit. ...

Let me emphasise that I can see no injustice in imposing liability upon a negligent solicitor in a case such as the present where, in the absence of a remedy in this form, neither the testator's estate nor the disappointed beneficiary will have a claim for the loss caused by his negligence. This is the injustice which, in my opinion, the judges of this country should address by recognising that cases such as these call for an appropriate remedy, and that the common law is not so sterile as to be incapable of supplying that remedy when it is required. ...

LORD BROWNE-WILKINSON: My Lords, I have read the speech of my noble and learned friend, Lord Goff of Chieveley, and agree with him that this appeal should be dismissed. In particular, I agree that your Lordships should hold that the defendant solicitors were under a duty of care to the plaintiffs arising from an extension of the principle of assumption of responsibility explored in *Hedley Byrne & Co Ltd v. Heller & Partners Ltd* [1963] 2 All ER 575, [1964] AC 465. In my view, although the present case is not directly covered by the decided cases, it is legitimate to extend the law to the limited extent proposed using the incremental approach by way of analogy advocated in *Caparo Industries plc v. Dickman* [1990] 1 All ER 568, [1990] 2 AC 605. ...

The solicitor who accepts instructions to draw a will knows that the future economic welfare of the intended beneficiary is dependent upon his careful execution of the task. It is true that the intended beneficiary (being ignorant of the instructions) may not rely on the particular solicitor's actions. But ... the solicitor by accepting the instructions has entered upon, and therefore assumed responsibility for, the task of procuring the execution of a skilfully drawn will knowing that the beneficiary is wholly dependent upon his carefully carrying out his function. That assumption of responsibility for the task is a feature of ... the ... categories of special relationship so far identified in the authorities. It is not to the point that the solicitor only entered on the task pursuant to a contract with the third party (ie the testator). There are therefore present many of the features which in the other categories of special relationship have been treated as sufficient to create a special relationship to which the law attaches a duty of care. In my judgment the analogy is close.

Moreover, there are more general factors which indicate that it is fair, just and reasonable to impose liability on the solicitor. Save in the case of those rash testators who make their own wills, the proper transmission of property from one generation to the next is dependent upon the due discharge by solicitors of their duties. Although in any particular case it may not be possible to demonstrate that the intended beneficiary relied upon the solicitor, society as a whole does rely on solicitors to carry out

their will-making functions carefully. To my mind it would be unacceptable if, because of some technical rules of law, the wishes and expectations of testators and beneficiaries generally could be defeated by the negligent actions of solicitors without there being any redress. It is only just that the intended beneficiary should be able to recover the benefits which he would otherwise have received.

Further, negligence in the preparation and execution of a will has certain unique features. First, there can be no conflict of interest between the solicitor and client (the testator) and the intended beneficiary. There is therefore no objection to imposing on a solicitor a duty towards a third party there being no possible conflict of interest. Second, in transactions *inter vivos* the transaction takes immediate effect and the consequences of solicitors' negligence are immediately apparent. When discovered, they can either be rectified (by the parties) or damages recovered by the client. But in the case of a negligently drawn will, the will has no effect at all until the death. It will have been put away in the deed box not to surface again until the testator either wishes to vary it or dies. In the majority of cases the negligence will lie hidden until it takes effect on the death of the testator, i.e. at the very point in time when normally the error will become incapable of remedy.

In all these circumstances, I would hold that by accepting instructions to draw a will, a solicitor does come into a special relationship with those intended to benefit under it in consequence of which the law imposes a duty to the intended beneficiary to act with due expedition and care in relation to the task on which he has entered. For these and the other reasons given by my noble and learned friend, Lord Goff of Chieveley, I would dismiss the appeal.

LORD NOLAN: ... The appellants were acting in the role of family solicitors. As is commonly the case the contract was with the head of the family, but it would be astonishing if, as a result, they owed a duty of care to him alone, to the exclusion of the other members of the family. In the particular circumstances of the case, the degree of proximity to the plaintiffs could hardly have been closer. Carol White, the first plaintiff, had spoken to Mr Jones about the revised wishes of Mr Barratt and the letter setting out those wishes was written for Mr Barratt by Mr Heath, the husband of the second plaintiff. It would be absurd to suggest that they placed no reliance upon the appellants to carry out the instructions given to them. I do not say that other potential legatees, less intimately concerned with the carrying out of the testator's wishes, would necessarily be deprived of a remedy: I simply point to the facts as being relevant to the pragmatic, case-by-case approach which the law now adopts towards negligence claims.

It is for these reasons, as well as those given by my noble and learned friends, Lord Goff of Chieveley and Lord Browne-Wilkinson, that I would dismiss the appeal.

LORD MUSTILL (dissenting): ... I will proceed at once to explain why I have felt it difficult to join company with those who, judges and commentators alike, have almost unanimously found it too plain to need elaboration that the plaintiffs' claims ought to succeed, if only an intellectually sustainable means can be found. ...

Throughout, the proposition has been that the solicitor owed to the intended beneficiaries a direct and free-standing duty to prepare a will and prepare it promptly, simply because he was doing a job which, if promptly done, and if the testator went through with his intentions, would produce a benefit to them from the estate after the testator's death. To test this proposition by introducing notions of fault is in my opinion liable to mislead, for legal fault cannot exist in a vacuum; the person who complains of it must do so by virtue of a legal right. In the present instance it is tempting to say that the solicitor failed to do his job properly; that it was all his fault

that the plaintiffs are less well off than they should have been; and that the law ought to do something about it. This temptation should in my opinion be resisted. ...

Nor am I able to accept that the special feature of the present situation, that the solicitor's delay was a breach of his professional duty, adds any colour to the claim. In some of the many judgments and commentaries in which this question has been considered one finds traces of the idea that it would be unacceptable if the erring solicitor were to escape from the disaster scot-free. Whether in a given case he will so escape must depend on the rules of his profession and the rigour with which they are enforced. To my mind this is irrelevant. The purpose of the courts when recognising tortious acts and their consequences is to compensate those plaintiffs who suffer actionable breaches of duty, not to act as second-line disciplinary tribunals imposing punishment in the shape of damages.

My Lords, I suggest another reason for caution. The real root of the present problem is the rule of law which, save in exceptional circumstances, prescribes that a disposition of property designed to take effect after death is ineffectual unless embodied in a valid will. From time to time this rule operates to defeat the intentions of the deceased and the expectations of those whom he wished to benefit, and to create what to many would appear an injustice. This is what has happened here. The intentions of the testator, as proved at the trial, have been frustrated. The beneficiaries under the new will have failed to receive what the testator wanted them to receive, and those who took under the old will have received moneys from the testator's assets which at the time of his death he did not want them to have. In a real sense, the amounts of the legacies have gone to the wrong people; a situation which many would feel to be unfair. In the present case this has happened because the solicitor was slow and the testator died when he did. But the position would have been just the same if the solicitor had been prompt, but the death had taken place sooner. Unless those who took under the old will were prepared to be magnanimous, the intended beneficiaries would have nothing to do except complain that the technicalities of the law had done them a disservice. I do not of course suggest that those who have fallen foul of a rule of law through a failure by persons whom they employ in a professional capacity are called upon to suffer in silence. But in a situation like the present the intended beneficiaries did not engage the solicitor, undertake to pay his fees or tell him what to do. Having promised them nothing he has broken no promise. They nevertheless fasten upon the circumstance that the solicitor broke his promise to someone else (the testator) so as to make him the source of a second fund, enabling both sets of parties to benefit; so that those taking under the old will can receive and retain money from the testator's estate which the testator did not want them to have, and the successful plaintiffs can receive amounts equal to those which the testator did want them to have, but from a quite different source. This is undoubtedly a possible result, but I would wish to guard against assuming too readily that it so reflects the moral imperatives of the situation that the law of delict should be strained to bring it about. ...

Accordingly I ask myself this question. If A promises B to perform a service for B which B intends, and A knows, will confer a benefit on C if it is performed, does A owe to C in tort a duty to perform that service? So expressed, this is a new question. ...

As I understand your Lordships' opinions only one feature of existing law is relied upon as the starting point for a new principle wide enough to yield an affirmative answer to the question just posed: namely *Hedley Byrne* itself. Once again, the facts are too distant for the decision to be applied directly. In *Hedley Byrne* the plaintiffs asked the defendants to do something; the defendants did it, and did so imperfectly. Here, leaving aside the special facts of this appeal, and concentrating on the general

case of the disappointed beneficiary, the complaint is that the solicitor did not do something which the beneficiary never asked him to do. ...

[Lord Mustill then extensively reviewed the opinions in *Hedley Byrne* and continued:]

... [T]he case fell squarely within the concept of the undertaking of legal responsibility for careful and diligent performance in the context of a mutual relationship which in my opinion was the essence of the decision in *Hedley Byrne*.

Can the principles thus formulated and applied be sufficient in themselves to yield a duty of care owed to an intended beneficiary? The proposition may conveniently be tested by reference to a will intended to be executed in favour of a charity. It often happens that the charity will not only have no knowledge of the testator's intention, but will never even have heard of the testator and his solicitor. In such a situation I can find no trace of a special relationship such as was contemplated by *Hedley Byrne*, and which actually existed in the two leading cases. The charity does nothing. It neither invites the solicitor to prepare the will, nor determines its conduct on the assumption that it will be skilfully and diligently prepared. There is no mutual relationship. Indeed, I find it hard to see that there is a relationship at all, in any ordinary sense, between parties who are linked only by the fact that if the solicitor does his job, and if the testator executes the will and does not revoke it, the charity will be better off. Nor in my opinion is the claim advanced by looking for an assumption or undertaking of liability. The solicitor does of course undertake the task of preparing the will, in the sense of agreeing to take it on. But this is between himself and his client. By virtue of his response to the testator's instructions the solicitor does assume or undertake a legal liability for doing it properly. But he undertakes nothing towards the charity in the sense of doing something on its behalf. So far as he is concerned the charity is no more than an item in the testator's instructions. ...

For these reasons therefore I conclude that the judgment in favour of the plaintiffs cannot be sustained by the direct application of the existing authorities. There still remains however the question whether a new rule should be devised to encompass the present situation. This could happen in either of two ways. First, the court might start with an established principle, and by the incremental process recognised and adopted in cases from *Caparo Industries plc v. Dickman* onwards extend the law to encompass the new situation. Secondly, the court might proceed directly to the recognition of a duty, without using any of the existing law as a starting-point.

Taking these methods in turn, it is plain that *Hedley Byrne* and *Henderson* together represent the only solid basis for an accretive process which could yield a recovery to disappointed beneficiaries. Even though the elements of request and reliance conspicuous in those two cases are absent from the situation now under review it is no great step, so the argument would run, to build upon the crucial fact, common to all the cases, that the defendant undertook the task in question; and to treat *Hedley Byrne*, *Henderson* and the present as being fundamentally the same. Whilst acknowledging the attractions of this proposition I am unable to accept it, for it is not to my mind the application of *Hedley Byrne* by enlargement—in *consimili casu*, as it were—but the enunciation of something quite different. True it is that the solicitor undertook the task of drawing a will which would be for the advantage of the beneficiaries but he did not draw it for the beneficiaries, he drew it for the testator. ... [T]he cardinal feature [in *Hedley Byrne*] was undoubtedly that the defendants undertook the job for the plaintiffs. The absence of this feature from the instant appeal destroys, in my judgment, the possibility of using *Hedley Byrne* as a stepping stone towards the recognition of the cause of action sued upon. ...

My Lords, even though I have already acknowledged my inability to share with others the view that a negative answer will leave a wholly unacceptable gap in the law, I must recognise the attractions of a solution which could repair the consequences of the solicitor's fault, without in practice opening the way to liabilities so broad as to be socially harmful. I have therefore considered whether it would be possible simply to create a specialist pocket of tort law, with a special type of proximity, distinct from the main body of doctrine, sufficient to provide a remedy in the present case. Whether this would be consistent with a policy of enlarging the law of negligence by the process of accretion, now firmly established since the decision in *Caparo Industries v. Dickman*, I venture to doubt. A broad new type of claim may properly be met by a broad new type of rationalisation, as happened in *Hedley Byrne*; but rationalisation there must be, and it does not conduce to the orderly development of the law, or to the certainty which practical convenience demands, if duties are simply conjured up as a matter of positive law, to answer the apparent justice of an individual case. Be that as it may, the present case does not as it seems to me concern a unique and limited situation, where a remedy might be granted on an ad hoc basis without causing serious harm to the general structure of the law; for I cannot see anything sufficiently special about the calling of a solicitor to distinguish him from others in a much broader category. If the claim in the present case is sound, for any reasons other than those given by my noble and learned friends, it must be sound in every instance of the general situation which I have already identified, namely: where A promises B for reward to perform a service for B, in circumstances where it is foreseeable that performance of the service with care will cause C to receive a benefit, and that failure to perform it may cause C not to receive that benefit. To hold that a duty exists, even *prima facie*, in such a situation would be to go far beyond anything so far contemplated by the law of negligence. I must emphasise that the purpose here is not to conjure up the spectre of "opening the floodgates." It is simply that I cannot discern a principled reasoning which could lead to the recognition of such an extensive new area of potential liability.

In these circumstances I cannot see my way to join all those judges and commentators who have acknowledged a general right for disappointed beneficiaries to recover a solatium from an errant solicitor in tort. This is not, however, necessarily the end of this appeal, for it may be said to have special features. The solicitor, the testator and the intended beneficiaries were not strangers. When the division within the family had healed the testator convened a meeting at which he indicated his wish that the plaintiffs should benefit from his will, and asked the first plaintiff to telephone the solicitor and tell him that the will should be changed. This is what the first plaintiff in fact did. Some weeks later the first plaintiff made an appointment for the solicitor to see the testator after his return from holiday. This appointment was frustrated by the testator's illness and death. My Lords, I was for a time attracted by the possibility that a judgment in favour of the plaintiffs could be upheld on these particular facts on the ground that there existed a special relationship not very far distant from *Hedley Byrne*, even if for the reasons given I am unable to recognise a general duty of care towards intended beneficiaries. On reflection, however, I am satisfied that this would be inappropriate. The case has been conducted throughout on the basis of a stark choice between a duty of general application or no duty at all, and it cannot I believe be right to admit of an intermediate solution which has never been investigated on either the facts or the law. ...

For the reasons stated, I would allow the appeal.

LORD KEITH OF KINKEL (dissenting): ... To admit the plaintiffs' claim in the present case would in substance, in my opinion, be to give them the benefit of a contract to which they were not parties. ...

Here there was no relationship between the plaintiffs and Mr Jones, nor did Mr Jones do or say anything upon which the plaintiffs acted to their prejudice. No damage was done by Mr Jones to any existing financial or other interest of the plaintiffs. The intention to benefit the plaintiffs existed only in the mind of the testator, and if it had received legal effect would have given them only a *spes successionis* of an ambulatory character. ...

NOTES

1. A similar issue arose in *Hill v Van Erp* (1997), 188 CLR 159 (Austl HC). The testatrix instructed the defendant solicitor to draw up a will under which the plaintiff was a beneficiary. When executing the will the solicitor negligently had the plaintiff's husband sign as an attesting witness, which had the effect of rendering the will null and void. By a 5-1 majority, the court found for the plaintiff, although different members of the court formulated different justifications for liability. Brennan CJ was of the view that liability could be based on the plaintiff's loss even without the infringement of a right:

The objection that no claim for damages for economic loss lies in negligence unless it is in respect of damage to an existing right or interest is, in my opinion, erroneous. True it is that a plaintiff who has no existing right or interest that is adversely affected by a defendant's carelessness may suffer no loss and hence have no foundation for a claim in negligence. But it does not follow that it is only in contract that damages may be recovered for loss of something to which the plaintiff has no prior legal right. A benefit that a plaintiff would have received but for the negligence of the defendant is a loss, whether or not the benefit would have been gratuitous. So far as the element of causation is concerned, it is sufficient if the links between the negligent act or omission of the defendant and the plaintiff's loss of the benefit are established. Cases of the present kind are not concerned with the loss of a *spes successionis*; compensation is sought for the loss of the property which, but for the negligence of the defendant, the plaintiff would have taken. The loss of that property is economic loss of which the law of tort takes cognizance.

It follows that the principal conceptual difficulties in the way of allowing the claim of an intended but disappointed beneficiary are without substance.

Dawson J held that "general reliance" combined with the solicitor's assumption of responsibility and other features of the case sufficed for a tort duty:

What is important is the position of a solicitor as a professional person of specialised skill and knowledge. That is significant with respect to the drawing up and execution of a will because the failure to exercise due care may affect not only the interests of the client but also the interests of others whom the client has in mind as beneficiaries. The interests of those others are relevantly the same as the interests of the client in that situation. Because wills are legal documents involving many technicalities, attending to their preparation and execution requires the exercise of professional skill and care. ...

As a result, there is a general reliance extending beyond their clients which is placed upon solicitors in relation to the preparation and execution of wills. ... Reliance or dependence in this sense is in general the product of the grant (and exercise) of powers designed to prevent or minimise a risk of personal injury or disability, recognised by the legislature as being of such magnitude or complexity that individuals cannot, or may not, take adequate steps for their own protection. This situation generates on one side (the individual) a general expectation that the power will be exercised and on the other side (the authority) a realisation that there is a general reliance or dependence on its exercise of power.

The notion of general reliance or dependence ... is apt also to describe the situation in which, while there will usually be no specific reliance by an intended beneficiary upon a solicitor retained to attend to the will, the intended beneficiary's interests are totally and

unavoidably dependent upon the proper performance of a function within the sole province of the solicitor. And, it might be added, in that situation the solicitor knows of the beneficiary's dependence and in that respect may be regarded as having assumed responsibility towards the intended beneficiary.

The distinguishing features of a case such as this do not stop there. In such a case the solicitor's mistake is not ordinarily discoverable by anyone other than the solicitor. In the ordinary course, the only persons who have access to a will are the solicitor and the client. A client can hardly be expected to review the will for regularity and even if he or she were to do so, could hardly be expected to discover its defects. Indeed, to do so would be to engage in the very task which the solicitor was retained to perform in the first place.

Moreover, and this seems to me to be crucial, in the normal course the solicitor's error only becomes apparent after the death of the client. Upon that event, the hitherto concealed error becomes irreversible. In this respect the intended beneficiary is particularly vulnerable and it is this aspect of the matter that led ... to ... the telling remark that in the absence of a duty of care towards the intended beneficiary "[t]he only person who has a valid claim has suffered no loss, and the only person who has suffered a loss has no valid claim." ...

There is nothing in what I have said which is intended to convey the view that whenever a person's performance of a contractual obligation may, if performed negligently, injure a third party's economic interests, that person owes the third party a duty of care. Nor is anything I have said intended to convey the view that, other than in a case of the present kind, a solicitor owes a duty of care to persons other than his client whose interests may be affected by the solicitor's performance of his or her duties to the client. The duty of care which I would recognise in the present case arises from the particular relationship between the parties, that relationship being analogous to other relationships of proximity in which a duty of care has been held to arise. It is that which, in addition to the foreseeability of harm, provides the basis in this case for the recognition of tortious liability for negligence.

Gaudron J held that the defendant had infringed a right of the plaintiff:

Once it is accepted ... , as it is by the appellant in this case, that but for negligence on the part of a solicitor, a person would have benefited under the will of a testator, the would-be beneficiary's loss is not properly treated as the loss of a mere *spes successionis*. To determine what has been lost, it is necessary to look to the situation as it would have been had there been no negligence. And when viewed in that way, it is apparent that the intended beneficiary has lost a legal right, namely, the right to have the testator's estate properly administered in accordance with the terms of the will. There is nothing novel in the imposition of liability in tort for the loss or impairment of a legal right. ...

[W]here, as here, the question is that of liability for the loss or impairment of a precise legal right, the policy questions which necessitate that there be a special relationship of proximity in cases of pure economic loss do not arise. No question arises as to the possibility of liability in an indeterminate amount for an indeterminate time to an indeterminate class. ... It is simply not legitimate to infringe the legal rights of others. And that is so whether they are infringed intentionally or negligently. ...

The relationship in this case as between Mrs Hill and Mrs Van Erp is not one that is characterised either by the assumption of responsibility or reliance. Rather, what is significant is that Mrs Hill was in a position of control over the testamentary wishes of her client and, thus, in a position to control whether Mrs Van Erp would have the right which the testatrix clearly intended her to have, namely, the right to have her estate properly administered in accordance with the terms of her will. ...

I am of the view that, by reason of her position of control, in particular her position to control whether Mrs Van Erp would acquire the right to have Mrs Currey's estate properly administered in accordance with the terms of her will, there was a relationship of proximity

between Mrs Hill and Mrs Van Erp such that Mrs Hill was under a duty of care to take reasonable steps to ensure that Mrs Van Erp's testamentary intentions were not defeated.

Gummow J was of the view that where the relationship between the parties was equivalent to contract, tort law could complete the contractual obligation:

The matter may be approached by asking whether the relationship between Mrs Hill and Mrs Van Erp was "equivalent to contract." That term was ... taken up by Lord Devlin in *Hedley Byrne & Co Ltd v. Heller & Partners Ltd*. It was directed by their Lordships immediately to cases where there was an "assumption of responsibility" in circumstances in which, but for the absence of consideration, there would be a contract. Here there was a contract. But Mrs Van Erp was not a party to it, although if the contract had been duly performed she would have benefited therefrom. The use of contractual analogies in development of new duties of care may make little sense where what is involved is the attachment of responsibilities to relationships which in substance and form are non-contractual. However, that is not this case.

The expression "equivalent to contract," in the context of the present factual matrix, may be understood as embracing a situation where (a) the transmission of the property in question from the client of the defendant to the plaintiff was the objective sought to be accomplished by the contract, and (b) the plaintiff had no interest in the matter adverse to that of the client, yet default by the defendant in performance of her contractual obligations otherwise sounds only in ineffective legal remedies. The duty of the solicitor was one of imperfect obligation. The law of tort operates in such circumstances to complete and vindicate fulfilment of that contractual obligation.

McHugh J dissented on the ground that, in the absence of the infringement of an existing right of the plaintiff, tort liability would disturb the doctrinal integrity of the law:

It is true that the solicitor owes a duty of care to the testator and, in a case like the present, is liable in nominal damages for breach of that duty. But upon what social, moral or economic principle can the law permit the beneficiary to be a free rider on the contract between the solicitor and the client? It cannot be because the careless conduct of the solicitor may cause economic loss to the beneficiary. Anglo-Australian law has never accepted the proposition that a person owes a duty of care to another person merely because the first person knows that his or her careless act may cause economic loss to the latter person. Social and commercial life would be very different if it did. Indeed, leaving aside the intentional tort cases of wrongful interference with another person's legal rights (inducing breach of contract, intimidation and conspiracy, for example) a person will generally owe no duty to prevent economic loss to another person even though the first person intends to cause economic loss to another person. In our free enterprise society, no one questions the right of the trader to increase its advertising or cut its prices even though that action is done with the intention of taking the market share of its rivals.

In a case like the present, there is an additional reason for doubting the existence of a duty of care. The plaintiff suffered no loss in the sense of damage to her person, property or existing legal rights. The damage for which she seeks compensation is her failure to secure a benefit. Speaking generally, damages for expectation losses are the province of contract law where an award of damages for the failure to secure a benefit results from the agreement of the defendant to subject himself or herself to an obligation to secure that benefit. Liability for an expectation loss in contract is voluntarily incurred. Tort law, on the other hand, typically imposes an obligation on a defendant independently of his or her agreement or wishes. But ordinarily in negligence cases, it imposes that obligation only in respect of some existing interest of the plaintiff. As Lush J pointed out in *Seale*, to succeed in a common law action of negligence, "it was essential that some right of the plaintiff should be infringed by the defendant." Consequently, tort law has compensated for expectation losses

only when those losses are the consequence of a wrongful invasion of the person, property or legal interest of the plaintiff. If the likelihood of an expectation loss constitutes a sufficient interest to found a duty of care in negligence cases, the basis of tort liability will be changed and the scope for claims of damages for economic loss is bound to increase. ...

Parallel with and derived from the principle that an action for negligence required an invasion of some legal right of the plaintiff was another fundamental rule of the common law. Absent a special relationship between the plaintiff and the defendant—ordinarily arising from contract, the control of person or property or an assumption of responsibility by the defendant for the plaintiff's existing interests—the common law imposed no affirmative duty on a person to protect another. This rule was the natural outcome of the common law doctrine that the personal action on the case and later the tort of negligence protected only existing rights and interests. As Professor Benson has pointed out: "The legal principle that there is no liability for nonfeasance articulates a severely limited idea of responsibility toward others: individuals must only not injure what already belongs to others; protected interests are defined in terms of what others have (*'suum'*), not what they need or want." ...

If the law imposes an obligation on the solicitor to take reasonable care to protect the expectation interest of the named beneficiary, the obligation must be justified by reference to some principle or doctrine of negligence law. If the rule of law is to have any meaning, if judicial decisions are to be based on more than a judge's sense of justice, like cases must be decided alike and in accordance with a principle that transcends the immediate facts of the case. ... If one looks at the material facts of the present case, the principle that gives rise to the duty must be that a professional person owes a third party a duty to perform a service with proper care whenever the professional person promises to perform that service for a client and the client intends, and the professional person knows, that it will confer a benefit on the third party if it is performed. The ramifications of such a principle are unpredictable, but it must have significant economic effects. ...

The application of such a principle must also lead to a considerable, perhaps massive, expansion of the law of economic loss. Consider, for example, the case of the accountant who is paid a fee by a client to investigate the prospects of a business knowing that the client intends to purchase the business as a gift for a relative. Does the accountant owe the relative a duty of care? Is the accountant liable for the profits that the relative would have earned if, but for the accountant's negligence in assessing its viability, the business had been purchased? Does the insurance broker who is instructed to take out a life assurance policy for a client owe a duty of care to the proposed beneficiary? Is the broker liable to the beneficiary if, as the result of the broker's undue delay, the "assured" dies before the policy is taken out? Moreover, it is difficult to see why the duty should be confined to gifts as opposed to benefits. In that event, professional persons, acting in purely commercial situations, may often owe duties to third parties who stand to benefit from the retainer of a professional person by a client.

To give the beneficiary a remedy in negligence involves too great a departure from accepted doctrine and must inevitably extend the frontiers of legal liability. How far this extension will go in a world where commercial operations are becoming increasingly integrated and sophisticated is impossible to foresee. If change in the law is to be made, it should be done by the legislature which can deal with this special case, perhaps by amending the legislation relating to wills, rather than by extending the law of negligence in a way that departs from its basic doctrines. ...

It does not seem reasonable that the solicitor who has received a small fee from a testator should be liable years after the event for many hundreds of thousands of dollars because a person with whom the solicitor has had no dealings has failed to secure a benefit. In the present case, for example, the solicitor has been held liable for \$163,471.50, yet she was probably paid less than \$300 for preparing the will.

2. One might be tempted to think that the plaintiff in such situations has a claim in unjust enrichment against the persons who actually succeeded to the testator's property. In *Hill v Van Erp*, McHugh J explained why no such claim arises:

Mrs Van Erp does not frame her complaint as one against the next of kin, alleging their unjust enrichment at her expense. She is correct in not doing so. There has been some support in the academic literature for development of a remedy to force the party taking under the unaltered or unrevoked will to transfer the benefit in question to the intended beneficiary, at least where that party knew of the later and, in the event, unfulfilled intentions of the testator. But in the present case the qualifying or vitiating factor would be negligence of Mrs Hill, something for which the next of kin bore no responsibility. Moreover ... a claim of this nature would fail for additional reasons. The enrichment of the next of kin was not "at the expense of" Mrs Van Erp. At best she was a volunteer. Nor is it clear that the wealth in question would "certainly" have vested in Mrs Van Erp had it not been "intercepted" by Mrs Hill and diverted to the next of kin while "en route" from the testatrix. Moreover, it appears that much restitutionary theory is concerned with restoration of benefits subtracted from the wealth of the plaintiff rather than with provision of a means of fulfilling expectations.

III. INVOLUNTARY PARENTHOOD

KEALEY V BEREZOWSKI

(1996), 136 DLR (4th) 708 (Ont Gen Div)

The defendant doctor negligently performed a tubal ligation, with the result that the plaintiff became pregnant and gave birth to a healthy normal child.

LAX J: ... There would appear to be three principal approaches which courts have used to deal with damages consequent upon a wrongful pregnancy. (1) Total recovery for all reasonably foreseeable damages based on ordinary principles of recovery in tort law. With this approach, damages may be recovered for the pecuniary and non-pecuniary costs associated with the birth as well as for the economic costs of raising the child. (2) The "offset/benefits" approach. Here, recovery is permitted for birth costs as well as the consequent economic costs of child-rearing. However, the recoverable damages are offset by the benefits which the birth and rearing of a child normally brings to its parents. (3) The "limited damages" approach permits recovery for the unplanned pregnancy but not for the unplanned child. Accordingly, the damages consequent on the pregnancy and birth of the child are recoverable but no damages are awarded for the child-rearing costs. These are denied for reasons of public policy, causation or both.

...

It is trite law that the tortfeasor takes the victim as she is and if a duty of care is owed and breached, all reasonably foreseeable losses which are proximately caused by and flow from the wrong are recoverable. Those courts which have adopted the "total recovery" approach have been willing to trace the foreseeability doctrine down an endless path. Compensation for child-rearing costs is seen as the inevitable result of the rigorous and logical application of the tort principle that the tortfeasor bear responsibility for all of the costs which have been visited on the plaintiff by the wrong. The "total recovery" approach depends then on the strict application of the foreseeability doctrine without regard to whether or not the "injury," in this case,

the birth of a healthy child, bears any relationship to the wrongdoing or to the legally protected interest. It assumes, counterintuitively, that the birth of a healthy child can constitute an injury. It seems to me that this approach, when applied strictly to wrongful pregnancy cases, is flawed. It confounds the principles of tort recovery with the assessment of damages. It also leads, in its quest for perfect compensation, to the "offset/benefits" approach which is frankly unacceptable. Finally, it fails to answer the troubling mitigation issues which arise in this kind of case.

In this case, the facts are that the Kealeys have a combined family income of about \$100,000. The sterilization was sought because Mrs. Kealey decided that "this body wasn't having any more children." Terminating the pregnancy was not considered as an option and the evidence is that "after the initial shock" of discovering the pregnancy, both parents not only accommodated to the idea, but welcomed it, even wondering if their third child might be "their boy" to complete their family. Mrs. Kealey reasonably expected not to be pregnant again and, for that harm, she should be fully compensated. But, on these facts, it is difficult to characterize the birth of Ashley as an injury. As unplanned as her conception may have been, the injury has been unexpectedly transformed into a happiness which both she and her husband agree provides priceless intangible joys. From the time they learned of Ashley's impending birth, they have been willing and able to assume all of the responsibilities of her rearing, financial and otherwise.

Should any of this matter? If foreseeability is the sole determinant of recovery, these facts should be neutral. However, if the assessment of damages associated with a child's birth is considered on the basis that damages are awarded to compensate for an injury, not in the abstract, but with reference to the purpose of the activity, in this case, the sterilization, these facts may very well matter. The proposition can be looked at in another way. It is not enough that the plaintiff's injury was foreseeable in order to give rise to this head of damage. The plaintiff's injury must fall within the scope of the wrongdoing in the sense that the risks created by the activity, negligently performed, occasioned the consequences which flow from it. ...

• • •

I agree ... that the strict application of tort principles to wrongful pregnancy cases is problematic. However, equally problematic is the approach which permits recovery subject to offsetting the benefits of the child. This approach raises the unpalatable prospect that the "beneficial" child could completely offset the damages awarded to his or her parents thereby negating the award. The greater recovery would go to parents who not only did not want their children but who were lacking in affection for the child and able to demonstrate that the child was of no value. That this cannot be right must be evident.

No one would disagree that the responsibilities of rearing a child entail burdens, financial and otherwise. But, successfully meeting those responsibilities also brings innumerable benefits in the form of personal satisfaction and happiness. The responsibilities and the rewards are inextricably bound together and do not neatly balance one against the other, at least not in the case of children. Who can say whether the time, toil and trouble, or the love, guidance and money which parents devote to a child's care and upbringing, will bring rewards, tangible or intangible, to-day, to-morrow or ever. No court can possibly determine this in any sensible way. Nor should it attempt to do so. If damages are awarded for child-rearing costs, it is my view that the correct approach is as suggested in *Thake v. Maurice*. The responsibilities and the rewards cancel each other out.

• • •

... In an article which considered the Ontario case *Doiron v. Orr*, J.E. Bickenbach, "Damages for Wrongful Conception: *Doiron v. Orr*" (1979-80), 17 *UWOL Rev.* 493, the author suggests that the birth of a child is not properly analyzed as a benefit but that the legal significance of a child's birth is that it creates responsibilities. There is support for this view in law, in public policy, and as a matter of common sense.

From the moment of birth, parents and children have mutual obligations to care for and support one another. Parents have a legal duty to provide the "necessaries of life" to their children failing which they are subject to criminal sanctions. *Criminal Code*, RSC 1985, c. C-46, s. 215. Every parent has an obligation to provide support to a child, in accordance with need, during the period of dependency. *Family Law Act*, s. 31. Children have a corresponding obligation to support their parents if able to do so. *Family Law Act*, s. 32; see *Bolsco v. Godwin* (1993), 45 RFL (3d) 310 (Ont. Prov. Div.), aff'd. (1995), 16 RFL (4th) 419 (Ont. CA). If public policy must be invoked, these statutory provisions suggest to me that, as a matter of public policy, the financial responsibilities associated with the care and upbringing of a child are the responsibilities of parents. In a wrongful pregnancy case, the question then becomes to what extent, if at all, the defendant's negligence impairs the plaintiff's ability to meet those responsibilities to the unplanned child or compromises the relationship of mutual support and dependency between parent and child. It is for this reason, as Professor Bickenbach suggests, that in wrongful pregnancy cases, it is the court's function to find the interest which a successful sterilization would have protected in order to determine whether the consequences of the failed sterilization constitute a genuine injury or a "blessed event." The reasons for the sterilization are relevant to this determination.

...

The particular damage sustained in this case is an unplanned and undesired pregnancy. There is no damage caused by the defendant's negligence which prevents Ashley's parents from fulfilling their responsibilities to her or compromises in any way the relationship of mutual support and dependency which, as a matter of law, arose on her birth. Accordingly, the child-rearing costs in this case are not a compensable loss.

In coming to this conclusion, I do not deny that the economic consequences of raising Ashley were a foreseeable result of Dr. Berezowski's negligence. But, to accede to the plaintiffs' argument that I should strictly apply tort principles means that I must also consider mitigation. The reasons for the sterilization were personal as a matter of family planning. The reasons for continuing the pregnancy and raising Ashley in the Kealey family were a matter of personal choice. Mrs. Kealey testified that, upon learning of her pregnancy, she made an immediate decision to continue the pregnancy. Mr. Kealey subsequently concurred in that decision. Neither abortion nor adoption "was an option." I accept that this was their decision to make and that a court should not ordinarily inquire into the reasons which informed these very personal choices. However, when parents ask a court to be relieved of the consequences of those choices, I think it is appropriate for a court to ask whether it was reasonable in the circumstances to have made those choices. If the answer is only that notwithstanding these choices, they have suffered a foreseeable loss, it is my view that this is an insufficient reason to impose the responsibilities which are at issue here on the tortfeasor.

...

I wish to make clear that the result in this case does not finally determine whether, in all cases, damages for child-rearing costs are or are not recoverable.

This is not a case where a sterilization was sought to protect a mother's health and the mother became ill, impairing her ability to care for the child. Nor is it a case where a sterilization was sought to avoid the transmission of a hereditary condition and the child was born diseased. This is not a case of economic necessity, imposing unreasonable financial burdens on an impoverished family. Nor is it a case ... where a physician's failure to diagnose a pregnancy following a failed sterilization interfered with a woman's decision to terminate the pregnancy in a timely manner. While the analysis here may be of assistance in deciding those other cases, the assessment of damages in those cases is better left to that time. This is a novel and developing area of law in Canada and in Ontario. Tort law proceeds incrementally. I do not go so far as to say that each case must be decided entirely on its own facts. Nevertheless, I think that general principles for the award of damages for child-rearing costs should evolve as cases present themselves. I appreciate that this provides less certainty and predictability than may be desirable but it does permit the development of sound rules appropriate to the varied circumstances which can arise in wrongful pregnancy cases.

...

Having regard to the unplanned pregnancy exacerbated by the round ligament strain, the stress and difficulty of caring for two young children and working full-time during this pregnancy, the labour and delivery, and the re-sterilization, all necessitated by the defendant's negligence, I award general damages of \$30,000.

Kimberley Kealey lost income in the amount of \$6,945.53 net of payments received from UIC [Unemployment Insurance Commission] and from her employer for maternity benefits. This was the claim advanced and was not challenged.

NOTES

1. In *McFarlane v Tayside Health Board*, [2002] 2 AC 59 (HL), the plaintiffs, who already had four children, decided that they did not want more. The husband underwent a vasectomy and was informed that his sperm count test was negative. He and his wife resumed intercourse without contraception. His wife consequently became pregnant and gave birth to a daughter. Recovery was allowed for the discomfort and the extra costs associated with the pregnancy, but not for the costs of maintaining the child. The majority of the court allowed recovery.

LORD SLYNN OF HADLEY: [O]n this part of the case ... your Lordships are concerned only with liability for economic loss. It is not enough to say that the loss is foreseeable as I have only accepted it as foreseeable. ...

It is to be remembered that in relation to liability the House has recognised that in respect of economic loss in order to create liability there may have to be a closer link between the act and the damage than foreseeability provides in order to create liability. ...

LORD STEYN: It is possible to view the case simply from the perspective of corrective justice. It requires somebody who has harmed another without justification to indemnify the other. On this approach the parents' claim for the cost of bringing up Catherine must succeed. But one may also approach the case from the vantage point of distributive justice. It requires a focus on the just distribution of burdens and losses among members of a society. If the matter is approached in this way, it may become relevant to ask commuters on the underground the following questions: Should the parents of an unwanted but healthy child be able to sue the doctor or hospital for compensation equivalent to the cost of bringing up the child for the years of his or her minority, i.e., until about eighteen years? My Lords, I am firmly of the view that an overwhelming number of ordinary men and women would answer the question with an emphatic "No." And the reason for such a response would be an inarticulate

premise as to what is morally acceptable and what is not. ... [T]hey will have in mind that many couples cannot have children and others have the sorrow and burden of looking after a disabled child. The realisation that compensation for financial loss in respect of the upbringing of a child would necessarily have to discriminate between rich and poor would surely appear unseemly to them. It would also worry them that parents may be put in a position of arguing in court that the unwanted child, which they accepted and care for, is more trouble than it is worth. Instinctively, the traveller on the underground would consider that the law of tort has no business to provide legal remedies consequent upon the birth of a healthy child, which all of us regard as a valuable and good thing.

My Lords, to explain decisions denying a remedy for the cost of bringing up an unwanted child by saying that there is no loss, no foreseeable loss, no causative link or no ground for reasonable restitution is to resort to unrealistic and formalistic propositions which mask the real reasons for the decisions. And judges ought to strive to give the real reasons for their decision. It is my firm conviction that where courts of law have denied a remedy for the cost of bringing up an unwanted child the real reasons have been grounds of distributive justice. That is, of course, a moral theory. It may be objected that the House must act like a court of law and not like a court of morals. That would only be partly right. The court must apply positive law. But judges' sense of the moral answer to a question, or the justice of the case, has been one of the great shaping forces of the common law. What may count in a situation of difficulty and uncertainty is not the subjective view of the judge but what he reasonably believes that the ordinary citizen would regard as right. ... In [*White v Chief Constable of South Yorkshire Police*] I observed: "The claim of the police officers on our sympathy, and the justice of their case, is great but not as great as that of others to whom the law denies redress." That is the language of distributive justice. The truth is that tort law is a mosaic in which the principles of corrective justice and distributive justice are interwoven. And in situations of uncertainty and difficulty a choice sometimes has to be made between the two approaches.

In my view it is legitimate in the present case to take into account considerations of distributive justice. That does not mean that I would decide the case on grounds of public policy. On the contrary, I would avoid those quicksands. Relying on principles of distributive justice I am persuaded that our tort law does not permit parents of a healthy unwanted child to claim the costs of bringing up the child from a health authority or a doctor.

LORD HOPE OF CRAIGHEAD: To the example ... of the reasonably wealthy family one might add other examples of cases where the costs of private education might be regarded as recoverable, such as that of the expatriate banker or businessman whose work required him to reside with his wife in countries where suitable facilities for education were not available or to adopt an itinerant lifestyle. It is not difficult to see that in such cases a very substantial award of damages might have to be made for the child's upbringing. Awards on that scale would be bound to raise questions as to whether it was right for the negligent performance of a voluntary and comparatively minor operation, undertaken for the perfectly proper and understandable purpose of enabling couples to dispense with contraceptive measures and to have unprotected intercourse without having children, to expose the doctors, and on their behalf the relevant health authority, to a liability on that scale in damages. It might well be thought that the extent of the liability was disproportionate to the duties which were undertaken and, consequently, to the extent of the negligence. ...

The question for the court is ultimately one of law, not of social policy. If the law is unsatisfactory, the remedy lies in the hands of the legislature. It can be changed by the Scottish Parliament. As to the law, it has not been suggested that the costs of rearing the child are too remote, in the sense that they were not a reasonably foreseeable consequence of the defender's negligence. For my part, I would regard these costs as reasonably foreseeable by the wrongdoer. But in the field of economic loss foreseeability is not the only criterion that must be satisfied. There must be a relationship of proximity between the negligence

and the loss which is said to have been caused by it and the attachment of liability for the harm must be fair, just and reasonable. The mere fact that it was reasonably foreseeable that the pursuers would have to pay for the costs of rearing their child does not mean that they have incurred a loss of the kind which is recoverable. ...

In my opinion it would not be fair, just or reasonable, in any assessment of the loss caused by the birth of the child, to leave these benefits out of account. Otherwise the pursuers would be paid far too much. They would be relieved of the cost of rearing the child. They would not be giving anything back to the wrongdoer for the benefits. But the value which is to be attached to these benefits is incalculable. The costs can be calculated but the benefits, which in fairness must be set against them, cannot. The logical conclusion, as a matter of law, is that the costs to the pursuers of meeting their obligations to the child during her childhood are not recoverable as damages. It cannot be established that, overall and in the long run, these costs will exceed the value of the benefits. This is economic loss of a kind which must be held to fall outside the ambit of the duty of care which was owed to the pursuers by the persons who carried out the procedures in the hospital and the laboratory. ...

LORD CLYDE: The approach which commended itself to the Lord Ordinary on the maintenance costs was to the effect that the value of the child outweighed and indeed transcended any patrimonial loss which the child might create. But in attempting to offset the benefit of parenthood against the costs of parenthood one is attempting to set off factors of quite a different character against themselves and that does not seem to me to accord with principle. At least in the context of the compensation of one debt against another, like requires to be offset against like. In this analogous context of endeavouring to cancel out the maintenance claim one would still expect economic gain to be set off by economic loss. It may be that the benefit which a child represents to his or her parent is open to quantification, but there is no principle under which the law recognises such a set off. A parent's claim for the death of a child is not offset by the saving in maintenance costs which the parent will enjoy. Nor, as was noted by the discussion in the present case, is the loss sustained by a mine-worker who is rendered no longer fit for work underground offset by the pleasure and benefit which he may enjoy in the open air of a public park. Furthermore, in order to pursue such a claim against the risk of such a set off, a parent is called upon in effect to prove that the child is more trouble than he or she is worth in order to claim. That seems to me an undesirable requirement to impose upon a parent and further militates against such an approach. Indeed, the very uncertainty of the extent of the benefit which the child may constitute makes the idea of a set off difficult or even impracticable. ...

[W]hile it is perfectly reasonable for the pursuers to have accepted the addition to their family, it does not seem to me reasonable that they should in effect be relieved of the financial obligations of caring for their child. That seems to me to be going beyond what should constitute a reasonable restitution for the wrong done. ...

Furthermore, reasonableness includes a consideration of the proportionality between the wrongdoing and the loss suffered thereby. The cost of maintaining a child may vary substantially in different circumstances. Counsel for the respondents sought to stress the modesty of the likely level of award in the present case. But once it is accepted that the cost of private education may be included in appropriate cases ... a relatively much more substantial award could be justified. The fact that the quantification admits the possibility of very significant differences in the level of award remains and I find it difficult in the context of a claim such as the present to accept that there would be any reasonable relationship between the fault and the claim such as would accord with the idea of restitution. ... [T]he expense of child rearing would be wholly disproportionate to the doctor's culpability. ...

LORD MILLETT: I do not think that the solution is to be found in a process of categorisation, whether of the nature of the delict or the loss in respect of which damages are claimed. It is true that the claims in the present case are brought under the extended *Hedley Byrne* prin-

ciple ... it should not matter whether the unwanted pregnancy arises from the negligent supply of incorrect information or from the negligent performance of the operation itself. It is also true that the claim for the costs of bringing up Catherine is a claim in respect of economic loss, and that claims in delict for pure economic loss are with good reason more tightly controlled than claims in respect of physical loss. But I do not consider that the present question should depend on whether the economic loss is characterised as pure or consequential. The distinction is technical and artificial if not actually suspect in the circumstances of the present case, and is to my mind made irrelevant by the fact that Catherine's conception and birth are the very things that the defenders' professional services were called upon to prevent. In principle any losses occasioned thereby are recoverable however they may be characterised. Moreover, the distinction has no moral content, and while ostensibly relied upon by some of those who have rejected the claim it can in reality have played no part in their belief that it would be morally wrong to accede to it.

I am not persuaded by the reasoning of Lax J in *Kealey v. Berezowski* ... , where he appears to have held that the parents sustain no loss if their ability to discharge their obligations to maintain the child is not impaired. Quite apart from the fact that their ability to discharge their obligations to their other children must be reduced, the argument does not meet the way the parents put their claim. They do not claim that they have sustained loss by the impairment of their ability to discharge their existing liabilities. They claim that they have sustained loss by the incurring of an additional liability.

I am also not persuaded by the argument that the remedy is disproportionate to the wrong. True, a vasectomy is a minor operation, while the costs of bringing up a child may be very large indeed, especially if they extend to the costs of a private education. But it is a commonplace that the harm caused by a botched operation may be out of all proportion to the seriousness of the operation or the condition of the patient which it was designed to alleviate. ...

In my opinion the law must take the birth of a normal, healthy baby to be a blessing, not a detriment. In truth it is a mixed blessing. It brings joy and sorrow, blessing and responsibility. The advantages and the disadvantages are inseparable. Individuals may choose to regard the balance as unfavourable and take steps to forgo the pleasures as well as the responsibilities of parenthood. They are entitled to decide for themselves where their own interests lie. But society itself must regard the balance as beneficial. It would be repugnant to its own sense of values to do otherwise. It is morally offensive to regard a normal, healthy baby as more trouble and expense than it is worth. ...

This does not answer the question whether the benefits should be taken into account and the claim dismissed or left out of account and full recovery allowed. But the answer is to be found in the fact that the advantages and disadvantages of parenthood are inextricably bound together. This is part of the human condition. Nature herself does not permit parents to enjoy the advantages and dispense with the disadvantages. In other contexts the law adopts the same principle. It insists that he who takes the benefit must take the burden. In the mundane transactions of commercial life, the common law does not allow a man to keep goods delivered to him and refuse to pay for them on the ground that he did not order them. It would be far more subversive of the mores of society for parents to enjoy the advantages of parenthood while transferring to others the responsibilities which it entails. ...

It does not, however, follow that Mr and Mrs McFarlane should be sent away empty handed. The rejection of their claim to measure their loss by the consequences of Catherine's conception and birth does not lead to the conclusion that they have suffered none. They have suffered both injury and loss. They have lost the freedom to limit the size of their family. They have been denied an important aspect of their personal autonomy. Their decision to have no more children is one the law should respect and protect. They are entitled to general damages to reflect the true nature of the wrong done to them. This should be a conventional sum which should be left to the trial judge to assess, but which I would not expect to exceed £5,000 in a straightforward case like the present.

2. In contrast, in *Cattanach v Melchior* (2003), 215 CLR 1, the High Court of Australia allowed the parents to recover the costs of rearing a child from the defendant, who was negligent in failing to advise that a sterilization operation might not have been effective.

McHUGH and GUMMOW JJ: [T]his is a case in tort. Further consideration of the remarks of Windeyer J ... is appropriate ... :

It seems to me a mistake to approach the case by asking whether the plaintiff is precluded by considerations of public policy from asserting a right of action for negligence. The proper inquiry seems to me to be simply: is there for him a right of action? That depends upon whether in the circumstances the law imposed a duty of care; for a right of action and a duty of care are inseparable. The one predicates the other. Duty here does not mean an abstract and general rule of conduct. It is not the duty to God and neighbour of the catechist's question. It is a concept of the law, a duty to a person, which he can enforce by remedy at law.

It is here that the case for the appellants encounters difficulty. Duty, breach and damage are all conceded. The interest of the respondents which the law of negligence protected in respect of the negligent misstatement or omission by Dr Cattanach was that of each of the respondents in the planning of their family or, as it has been put in the United States, in their reproductive future It does not advance understanding greatly, one way or the other, to describe the expenditure required to discharge that obligation as "economic loss."

Nor is it correct to say that the damage that the respondents suffered was the parent-child relationship or the coming into existence of the parent-child relationship. To do so is to examine the case from the wrong perspective. In the law of negligence, damage is either physical injury to person or property or the suffering of a loss measurable in money terms or the incurring of expenditure as the result of the invasion of an interest recognised by the law. ... [F]or the purpose of this appeal, the relevant damage suffered by the Melchiors is the expenditure that they have incurred or will incur in the future, not the creation or existence of the parent-child relationship. ...

The unplanned child is not the harm for which recompense is sought in this action; it is the burden of the legal and moral responsibilities which arise by reason of the birth of the child that is in contention. The expression "wrongful birth" used in various authorities to which the court was referred is misleading and directs attention away from the appropriate frame of legal discourse. What was wrongful in this case was not the birth of a third child to Mr and Mrs Melchior but the negligence of Dr Cattanach

[I]t is an error to think that awarding damages for the cost of raising a child inevitably requires the courts to balance the "monetary value of the child" against the cost of maintaining the child. In assessing damages, it is impermissible in principle to balance the benefits to one legal interest against the loss occasioned to a separate legal interest. The benefits received from the birth of a child are not legally relevant to the head of damage that compensates for the cost of maintaining the child. A different case would be presented if the mother claimed damages for "loss of enjoyment of life" as the result of raising the child. If such a head of damage were allowable, it would be correct to set off against the claim all the benefits derived from having the child. But the head of damages that is relevant in the present case is the financial damage that the parents will suffer as the result of their legal responsibility to raise the child. The benefits to be enjoyed as a result of having the child are not related to that head of damage. The coal miner, forced to retire because of injury, does not get less damages for loss of earning capacity because he is now free to sit in the sun each day reading his favourite newspaper. Likewise, the award of damages to the parents for their future financial expenditure is not to be reduced by the enjoyment that they will or may obtain from the birth of the child.

Logically, those persons like Lord Millett who would deny the cost of maintaining the child because of what they see as the immeasurable benefits gained from the birth of the child must deny the right of action itself. If the immeasurability of those benefits denies damages for the cost of maintaining the child, there must also be denied recovery for the hospital and medical costs of the birth and for the attendant pain and suffering associated with the birth. Yet, illogically as it seems to us, those persons permit the action and allow damages to be recovered in respect of these two heads of damage.

KIRBY J: Lying deep in many of the judicial opinions are perceptions of moral or ethical factors, illustrated by the recourse to Biblical citations. Sometimes, to avoid the appearance of unreliable personal opinions, judges have attempted to objectify the foundation for their judgments. Lord Steyn did this in *McFarlane* by his appeal to the supposed opinion of the passenger in the London Underground. This fictional character, a successor to the man on the Clapham omnibus, is elevated to a modern Delphic oracle so as to amount to something more than "the subjective view of the judge [as to] what he reasonably believes that the ordinary citizen would regard as right." ...

Instead of pretending to such fictions, judges should, in my view, be willing to take responsibility for applying the established judicial controls over the expansion of tort liability. ... [T]hey should accept that: "Every system of law must set some bounds to the consequences for which a wrongdoer must make reparation In any state of society it is ultimately a question of policy to decide the limits of liability."

The setting of such bounds by a legislature can be arbitrary and dogmatic. Subject to any constitutional restrictions, parliaments, motivated by political considerations and sometimes responding to the "echo-chamber inhabited by journalists and public moralists," may impose exclusions, abolish common law rules, adopt "caps" on recovery and otherwise act in a decisive and semi-arbitrary way. Judges, on the other hand, have the responsibility of expressing, refining and applying the common law in new circumstances in ways that are logically reasoned and shown to be a consistent development of past decisional law. Of course, in a general way, judges should take the economic outcomes of their decisions into account. But they have no authority to adopt arbitrary departures from basic doctrine. Least of all may they do so, in our secular society, on the footing of their personal religious beliefs or "moral" assessments concealed in an inarticulate premise dressed up, and described, as legal principle or legal policy.

The application of the general rule, requiring the tortfeasor to pay the victims of the wrong for the reasonably foreseeable consequences of any proved negligence, obliges the inclusion in the recoverable damages of a sum for the costs of child-rearing. Clearly such costs are within the ambit of the compensable principle required by "corrective justice." Lord Steyn conceded as much in *McFarlane*.

The supposed reasons for departing from the general rule of the common law have been variously explained. In so far as they relate to a suggested disproportion between the original wrong and the cost burden imposed as a consequence, this is unconvincing and unprincipled, at least so far as legal analysis is concerned. In many cases, especially those involving vulnerable people, the damages recoverable may bear little relationship to the degree of the tortfeasor's initial culpability. If the suggested reason for denying recovery is the natural joy derived by the parents from the smile of their child, I would answer, as Peter Pain J did in *Thake*: "[E]very baby has a belly to be filled and a body to be clothed." As to the contention that the burden on the medical profession, particularly obstetricians, and their medical indemnity insurance would be prohibitive, the answer that a court must give is that such considerations cannot succeed at common law. ... Any such considerations must therefore be addressed to the other branches of government, principally the legislature. So far as "public policy" is invoked to justify an arbitrary departure from the principle of "corrective

justice" it is necessary to repeat the caution that judges must observe in appealing to, or applying, such contestable considerations.

One writer has argued that the House of Lords decision in *McFarlane* reflects a particular factual context in the United Kingdom whereby most patients in this class of case bring their claim, in effect, against the local authority representing the National Health Service, not, as in Australia, against an individual physician or surgeon or healthcare facility legally responsible for the legal wrong. Concern to protect the viability of the National Health Service at a time of multiple demands upon it might indeed help to explain the invocation in the House of Lords in *McFarlane* of the notion of "distributive justice." But such a consideration has no part to play in the identification of an applicable Australian public policy. In other recent cases, this court has insisted upon following the star of legal principle. It has not diverted from that course because of concerns that legislatures, for their own purposes and within their own much larger powers of law-making, might later modify or reverse the exposition of the common law as offered by this court.

In the present case the negligence of the appellants was established. It was found that such negligence caused direct loss to the parents, including the physical and emotional impact on the mother. Those findings are not in issue in this appeal. They constitute the starting point for analysis of the scope and limits of the parents' recovery. Ordinary principles of tort liability would entitle the victims of the appellants' wrong to recover from the appellants all aspects of their harm that are reasonably foreseeable and not too remote. By the application of that test the inclusion in the parents' damages of a component for the costs of child-rearing involved no legal or factual error. Neither did the omission to deduct from that sum an allowance for estimates of the joys and like benefits derived, or proved likely to be derived, from the birth of the child. On the contrary, the provision of a zone of immunity to the appellants would have involved legal error.

CALLINAN J: The respondents are entitled to be compensated for the costs they are likely to incur in rearing the child until he is 18 years old which is all that they claim. In this case, the claim as formulated was a reasonably simple one. Whether social security or other state benefits may or should be taken into account was not in issue. The reciprocal joy and affection of parenthood can have no financial equivalence to the costs of rearing him. One is no substitute for the other. There is no reason to suppose in any event that the reciprocal bonds of obligation and affection will be any the less if the parents are compensated for the cost of bringing up the child. ...

Arguments of distributive justice are in my opinion unimpressive. Judges are obliged both in principle and in terms of their judicial oath to do equal justice between rich and poor. On one application of such a principle (of distributive justice), the doctor, or the public health authority (or perhaps their insurer) on the basis of having the longer pocket, should pay. I would certainly not decide the case on such a basis. That a negligent person should pay furthers the ends of corrective justice. It is easy to think of much more difficult cases of the assessment of damages, for example, damages for loss of opportunity, or for pain and suffering. I accept the relevance in the debate of the existence of obligations imposed by the law relating to families, paternity and maternity, and like enactments, as well as the sanctions of the criminal law, for a failure to maintain and support children. But the imposition of these legal obligations can no more absolve the negligent professional from his liability for damages than it can the negligent motorist from his obligation in tort to pay the increased cost of the care of a child he has negligently run over even though the parents may remain obliged to support the child by providing that care ...

That being so, the case necessarily becomes ... a relatively simple one.

**PARKINSON V ST JAMES AND
SEACROFT UNIVERSITY HOSPITAL NHS TRUST**
[2002] QB 266 (CA Civ Div)

[A doctor at a hospital administered by the defendant negligently performed a sterilization procedure on the plaintiff. Consequently, the plaintiff, who already had four children and did not want more, became pregnant. This was catastrophic for her. She could not resume work or move with her family from their two-bedroom house to a larger accommodation, as planned. Her husband could not cope with the prospective financial strain of a fifth child and left the family home three months before the birth. The plaintiff was told that the child might be born with a disability but decided not to have the pregnancy terminated. The child was born with the symptoms of autism. The plaintiff acknowledged that the disability was not caused by the negligent sterilization. The plaintiff claimed the basic costs of the child's maintenance.]

HALE LJ: The right to bodily integrity is the first and most important of the interests protected by the law of tort "The fundamental principle, plain and incontestable, is that every person's body is inviolate": see *Collins v. Wilcock* [1984] 1 WLR 1172, 1177. Included within that right are two others. One is the right to physical autonomy: to make one's own choices about what will happen to one's own body. Another is the right not to be subjected to bodily injury or harm. These interests are regarded as so important that redress is given against both intentional and negligent interference with them. In contrast, economic interests come very much lower in the list. ...

In the middle, however, are those cases where the invasion of the right to bodily integrity has caused, not only pain, suffering and loss of amenity (including freedom and autonomy), but also financial consequences, whether in the shape of loss of earnings or the like, or out-of-pocket expenditure. These are a regular and automatic component in any claim for damages for personal injuries and often form the greater part of the claim for the more severely injured

Not surprisingly, their Lordships [in *McFarlane*] did not go into detail about what is entailed in the invasion of bodily integrity caused by conception, pregnancy and childbirth. But it is worth while spelling out the more obvious features. Some will sound in damages and some may not, but they are all the consequence of that fundamental invasion. They are none the less an invasion because they are the result of natural processes. They stem from something which should never have happened. And they last for a great deal longer than the pregnancy itself. Whatever the outcome, happy or sad, a woman never gets over it. I do not, of course, forget the serious consequences for many fathers, and will return to these later, but there are undoubted and inescapable differences between the sexes here. As the claimant in this case is the mother, I hope that I may be forgiven for considering the position of mothers first.

From the moment a woman conceives, profound physical changes take place in her body and continue to take place not only for the duration of the pregnancy but for some time thereafter. Those physical changes bring with them a risk to life and health greater than in her non-pregnant state. Those risks vary according to the age, state of health, and other characteristics of the woman, and of the unborn child. For some women, pregnancy is very dangerous, while for others happily it is not. For some women, pregnancy is generally a pleasurable experience, for others it is generally an uncomfortable time, for many it varies according to the trimester.

Along with those physical changes go psychological changes. Again these vary from woman to woman. Some may amount to a recognized psychiatric disorder, while others may be regarded as beneficial, and many are somewhere in between. But for most they include the development of deep feelings for the new life as it grows within one, feelings which there is now evidence to suggest begin to be reciprocated by the growing child even before he is born.

Along with these physical and psychological consequences goes a severe curtailment of personal autonomy. Literally, one's life is no longer just one's own but also someone else's. One cannot simply rid oneself of that responsibility. The availability of legal abortion depends upon the opinions of others. Even if favourable opinions can readily be found by those who know how, there is still a profound moral dilemma and potential psychological harm if that route is taken. Late abortion brings with it particular problems, and these are more likely to arise in failed sterilisation cases where the woman does not expect to become pregnant. Their Lordships unanimously took the view that it was not reasonable to expect any woman to mitigate her loss by having an abortion. ... Realistically, some may think, the result of their Lordships' decision could well be that some will have no other sensible option.

Continuing the pregnancy brings a host of lesser infringements of autonomy related to the physical changes in the body or responsibility towards the growing child. The responsible pregnant woman forgoes or moderates the pleasures of alcohol and tobacco. She changes her diet. She submits to regular and intrusive medical examinations and tests. She takes certain sorts of exercise and forgoes others. She can no longer wear her favourite clothes. She is unlikely to be able to continue in paid employment throughout the pregnancy or to return to it immediately thereafter.

The process of giving birth is rightly termed "labour." It is hard work, often painful and sometimes dangerous. It brings the pregnancy to an end but it does not bring to an end the changes brought about by the pregnancy. It takes some time for the body to return to its pre-pregnancy state, if it ever does, especially if the child is breast fed. There are well known psychiatric illnesses associated with childbirth and the baby blues are very common. The law recognises that a woman may not recover her pre-pregnancy psychological health for at least six weeks: see section 16(4) of the *Adoption Act 1976*.

Quite clearly, however, the invasion of the mother's personal autonomy does not stop once her body and mind have returned to their pre-pregnancy state. The mother who gives birth is always the legal mother of the child, irrespective of whether or not she is the genetic parent: see section 27(1) of the *Human Fertilisation and Embryology Act 1990*. She is almost always identifiable: foundlings are extremely rare. The mother always and automatically has parental responsibility for the child: see section 2(1) and (2)(a) of the *Children Act 1989*. She will be criminally liable for abandoning or neglecting him: see sections 1(1), (2)(a) and 17(1)(a) of the *Children and Young Persons Act 1933*. She cannot legally surrender or transfer her responsibility, although she can arrange for others to meet it for her: see section 2(9) of the *Children Act 1989*. If she acts responsibly there will be no criminal liability, but short of adoption she cannot divest herself of the responsibility. Adoption is subject to many of the same problems as is abortion. Once again, their Lordships did not consider it reasonable for a wrongdoer to expect a parent to take this course.

Parental responsibility is not simply or even primarily a financial responsibility: see section 3(1) of the *Children Act 1989*. The primary responsibility is to care for the child. The labour does not stop when the child is born. Bringing up children is hard work. As Sir Nicolas Browne-Wilkinson V-C said in *Surtees v. Kingston upon Thames Borough Council*, [1991] 2 FLR 559, 583:

[T]he responsibilities of a parent (which in contemporary society normally means the mother) looking after one or more children, in addition to the myriad other duties which fall on the parent at home, far exceed those of other members of society. The studied calm of the Royal Courts of Justice, concentrating on one point at a time, is light years away from the circumstances prevailing in the average home. The mother is looking after a fast-moving toddler at the same time as cooking the meal, doing the housework, answering the telephone, looking after the other children and doing all the other things that the average mother has to cope with simultaneously, or in quick succession, in the normal household.

The obligation to provide or make acceptable and safe arrangements for the child's care and supervision lasts for 24 hours a day, seven days a week, all year round, until the child becomes old enough to take care of himself. ...

The law has found it much easier to focus on the associated financial costs, the out-of-pocket expenditure on food, clothing, housing, schooling and all the other multitudinous needs of the growing child, and the loss of earnings stemming from the caring role. These costs are not independent of the caring responsibility but part and parcel of it.

It is not possible, therefore, to draw a clean line at the birth. All of these consequences flow inexorably, albeit to different extents and in different ways according to the circumstances and characteristics of the people concerned, from the first: the invasion of bodily integrity and personal autonomy involved in every pregnancy ...

There is ... no reason or need to take [the] limitation [on the damages which would otherwise be recoverable on normal principles] any further than it was taken in *McFarlane's* case. This caters for the ordinary costs of the ordinary child. A disabled child needs extra care and extra expenditure. He is deemed, on this analysis, to bring as much pleasure and as many advantages as does a normal healthy child. Frankly, in many cases, of which this may be one, this is much less likely. The additional stresses and strains can have seriously adverse effects upon the whole family, and not infrequently lead, as here, to the break-up of the parents' relationship and detriment to the other children. But we all know of cases where the whole family has been enriched by the presence of a disabled member and would not have things any other way. This analysis treats a disabled child as having exactly the same worth as a non-disabled child. It affords him the same dignity and status. It simply acknowledges that he costs more.

It also provides a solution to the problem of degree: how disabled does the child have to be for the parents to be able to make a claim? The answer is that the law has for some time distinguished between the ordinary needs of ordinary children and the special needs of a disabled child. Thus, for the purposes of the services to be provided under Part III of the *Children Act 1989*, a child is taken to be "in need" if, among other things, "he is disabled": see section 17(10)(c). For this purpose, "a child is disabled if he is blind, deaf or dumb or suffers from mental disorder of any kind or is substantially and permanently handicapped by illness, injury or congenital deformity or such other disability as may be prescribed": see section 17(11). This or very similar definitions have been used since the legislation establishing the welfare state in the late 1940s to identify those whose special needs require special services. Local social services authorities are used to operating it, for example when maintaining the register of disabled children required by paragraph 2 of Schedule 2 to the 1989 Act. I see no difficulty in using the same definition here.

Another question is when the disability must arise. Mr Stuart-Smith argued that there was no rational cut-off point, as any manner of accidents and illnesses might

foreseeably affect a child throughout his childhood. But that is part of the ordinary experience of childhood, in which such risks are always present, and the balance of advantage and disadvantage is deemed to be equal. The two serious contenders are conception and birth. The argument for conception is that this is when the major damage was caused, from which all else flows. This was what the defendants undertook to prevent. But there are at least two powerful arguments for birth. The first is that, although conception is when the losses start, it is not when they end. The defendants also undertook to prevent pregnancy and childbirth. The normal principle is that all losses, past, present or future, foreseeably flowing from the tort are recoverable. The second is that it is only when the child is born that the deemed benefits begin. And it is those deemed benefits which deny the claim in respect of the normal child. In practice, also, while it may be comparatively straightforward to distinguish between ante- and post-natal causes of disability, it will be harder to distinguish between ante- and post-conception causes. Further, the additional risks to mother and child (for example because of the mother's age or number of previous pregnancies) may be among the reasons for the sterilisation. I conclude that any disability arising from genetic causes or foreseeable events during pregnancy (such as rubella, spina bifida, or oxygen deprivation during pregnancy or childbirth) up until the child is born alive, and which are not *novus actus interveniens*, will suffice to found a claim.

Finally, I must say something about fathers. Most children still live in two-parent households in which the father plays an important part in their lives. Even when they live apart, we attach a great deal of importance to trying to preserve as good and as close a relationship as possible between the child and the parent with whom he is not living. We also expect a financial contribution from that parent. But this is not a debate in which the differences between the sexes can be ignored. The primary invasion of bodily integrity and autonomy is suffered by the mother. If the object of the operation was to prevent that particular mother becoming pregnant, the proximity between her and the defendant is as close as it can be. Even if the object of the operation (and later advice) was to render the father infertile, the proximity between his partner and the defendant is quite close. In both cases the nature of the harm to her is entirely clear and predictable, although it may vary in degree. Of the two types of harm, one can only be suffered by her. The other in my view is properly conceptualised as the obligation to care for and bring up the child. That too is, in the great majority of cases, primarily born by her. However, there are cases where it is shared, more or less equally, or where the primary carer is the father. My tentative view is, however, that, if there is a sufficient relationship of proximity between the tortfeasor and the father who not only has but meets his parental responsibility to care for the child, then the father too should have a claim. However, the issue does not arise in this case, and so it is unnecessary to express a concluded view. ...

BROOKE LJ gave a judgment to the same effect. SIR MARTIN NOURSE concurred.

NOTES

1. In *Krangle (Guardian ad litem of) v Brisco*, 2002 SCC 9, [2002] 1 SCR 205, the plaintiffs were parents of a child born with Down's syndrome. They sued the physician for failing to advise the mother of the availability of amniocentesis testing that would have revealed Down's syndrome, in which case the mother would have terminated the pregnancy. The child was permanently disabled and would require care for the rest of his life. The trial judge found the defendant doctor liable for negligence and awarded damages for the cost of raising Mervyn to adulthood (\$200,000 for in-home services, home-making, and respite care; \$10,000 repre-

senting the contingency that public special education services for the child would decrease or be eliminated; \$45,000 for speech therapy; \$1,000 for orthotic devices; and approximately \$6,000 for a computer and software) as well as damages for the pain, suffering, and anguish associated with his birth and his development. In addition, the trial judge found that it would be in the child's best interest to enter a group home at the age of 19, the costs of which would be borne by the provincial government. The trial judge concluded that it was very likely that the social safety net would be in place when the child turned 19. He assessed at 5 percent the chance that the state would change its policy of providing group home care free of charge to adult disabled persons, and accordingly included a contingency award of \$80,000, or 5 percent of the projected capital cost of adult care for Mervyn. The Supreme Court of Canada affirmed the trial judgment.

2. In *Rees v Darlington Memorial Hospital NHS Trust*, [2003] 4 All ER 987 (HL), the plaintiff was a woman with a genetic condition that severely affected her sight. Feeling that her disability would make it very difficult for her to bring up and take care of a child, she determined to undergo a sterilization procedure. The defendant performed the procedure negligently. The plaintiff became pregnant and gave birth to a non-disabled child. The plaintiff sued for the costs of maintaining the child. The Court of Appeal held (per Hale and Robert Walker LJ, Waller LJ dissenting) that just as the extra costs involved in discharging that responsibility toward a disabled child can be recovered (as in *Parkinson*), so too can the extra costs involved in a disabled parent discharging that responsibility toward a healthy child. The House of Lords reversed.

LORD MILLETT: Disability is a misfortune, and it is the mark of a civilised society that it should provide financial assistance to the disabled. The United Kingdom discharges this responsibility by payment of disability allowance. But this is the responsibility of the state and is properly funded by general taxation. It is not the responsibility of the private citizen whose conduct has neither caused nor contributed to the disability. *McFarlane's* case teaches that the costs of bringing up a healthy child by an unimpaired parent do not sound in damages. Whatever we may say to the contrary, an award of the "extra" costs which are attributable to the fact that the parent is disabled is an award of damages for the disability.

It is accepted that care must be taken not to award damages for the parent's disability. An immediate difficulty is that the costs which are attributable to the parent's disability cannot be disentangled from those which are attributable to the birth of the child. If the parent is unable through disability to look after her healthy child, she must employ someone to do so. How are those costs to be characterised? They must be due at least in part to the birth of the child, and in part to the parent's disability. It is impossible to separate the two elements. They are not different components of the cost, but a single cost with composite causes.

But even if they could be separately identified it would not help, for in principle no part of the costs is recoverable. This is what marks the difference between the present case and *Parkinson's* case. Where it is the child who is disabled the costs are attributable either to the birth of the child or to the fact that the child is disabled. The former are not recoverable; the latter are. Where it is the mother who is disabled they are attributable either to the birth of the child or to the fact that the mother is disabled. There is no third possibility. To the extent that they are due to the birth of the child *McFarlane's* case precludes recovery and to the extent that they are not due to the birth of the child, the causal link with the wrong is broken and the defendants are not liable for them in any case. The fact that the mother is disabled aggravates the financial consequences of the birth of a healthy child, and the birth of a healthy child aggravates the financial consequences of the mother's disability. The former is the defendants' responsibility but does not sound in damages and the latter is not the responsibility of the defendants at all.

In my opinion, principle mandates the rejection of the parent's claim. But in this case principle also marches with justice. The decision of the majority of the Court of Appeal is destructive of the concept of distributive justice. It renders the law incoherent and is bound

to lead to artificial and indefensible distinctions being drawn as the courts struggle to draw a principled line between costs which are recoverable and those which are not. In his powerful dissenting judgment Waller LJ drew attention to the absurdities which would result from drawing the line in entirely the wrong place. He said:

Let me address some examples, I hope not too extreme. If one takes the facts to be that a woman already has four children and wishes not to have a fifth; and if one assumes that having the fifth will create a crisis in health terms, unless help in caring for the child was available. She cannot recover the costs of caring for the child which might alleviate the crisis, as I understand *McFarlane's* case. I would have thought that her need to avoid a breakdown in her health was no different from the need of someone already with a disability, and indeed her need might be greater depending on the degree of disability. Does she, or ordinary people, look favourably on the law not allowing her to recover but allowing someone who is disabled to recover?

If one were to add that the lady with four children was poor, but the lady with a disability was rich—what then? It would simply emphasise the perception that the rule was not operating fairly. One can add to the example by making comparisons between possible family circumstances of the different mothers. Assume the mother with four children had no support from husband, mother or siblings, and then compare her with the person who is disabled, but who has a husband, siblings and a mother all willing to help. I think ordinary people would feel uncomfortable about the thought that it was simply the disability which made a difference.

I can see no answer to these criticisms. In my opinion, principle, common justice and the coherence of the law alike demand that the line be drawn between those costs which are referable to the characteristics of the child and those which are referable to the characteristics of the parent. I agree with Waller LJ that ordinary people would think it unfair that a disabled person should recover the costs of looking after a healthy child when a person not suffering from disability who through no fault of her own was no better able to look after such a child could not. I can identify no legal principle by which such a distinction could be defended.

I still regard the proper outcome in all these cases is to award the parents a modest conventional sum by way of general damages, not for the birth of the child, but for the denial of an important aspect of their personal autonomy, *viz.* the right to limit the size of their family. This is an important aspect of human dignity, which is increasingly being regarded as an important human right which should be protected by law. The loss of this right is not an abstract or theoretical one. ... [T]he parents have lost the opportunity to live their lives in the way that they wished and planned to do. The loss of this opportunity, whether characterised as a right or a freedom, is a proper subject for compensation by way of damages.

I made this suggestion in *McFarlane's* case, but it was not taken up by any one else. As I see it, it was neither accepted nor rejected, and I do not think it right to say that the point was decided. The majority did not consider it at all, at least expressly, perhaps because it was wrongly thought to be an alternative to the award of damages for the mother's pain and suffering. It was not, for I would have awarded it to both parents. In my opinion the point is still open for consideration without the need to depart from the decision in *McFarlane's* case.

The award of a modest sum would not, of course, go far towards the costs of bringing up a child. It would not reflect the financial consequences of the birth of a normal, healthy child; but it would not be meant to. They are not the proper subject of compensation for the reasons stated in *McFarlane's* case. A modest award would, however, adequately compensate for the very different injury to the parents' autonomy; moreover it would be available without proof of financial loss, and so would not attract the distaste or moral repugnance

which was the decisive factor in *McFarlane's* case. In that case I suggested that the award should not exceed £5,000 in a straightforward case. On reflection, I am persuaded that the figure should be a purely conventional one which should not be susceptible of increase or decrease by reference to the circumstances of the particular case. ...

I would allow the appeal and substitute an award of £15,000 as a conventional sum.

Lord Steyn and Lord Hope of Craighead disagreed with the award by the majority of a conventional sum.

LORD STEYN: Like Lord Hope I regard the idea of a conventional award in the present case as contrary to principle. It is a novel procedure for judges to create such a remedy. There are limits to permissible creativity for judges. In my view the majority have strayed into forbidden territory. It is also a backdoor evasion of the legal policy enunciated in *McFarlane's* case. If such a rule is to be created it must be done by Parliament. The fact is, however, that it would be a hugely controversial legislative measure. It may well be that the Law Commissions and Parliament ought in any event, to consider the impact of the creation of a power to make a conventional award in the cases under consideration for the coherence of the tort system.

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INTENTIONAL TORTS AND INFORMED CONSENT

Supplementary Reading 534

Persons are liable in tort not only for the unintended consequences of negligent acts (as set out in Chapters 2 to 8) but also for intentional interferences with interests that the law protects. Negligence and the intentional torts form the two categories of fault that are the basis of most modern tort liability.

The intentional torts have a long history. Many of them are descended from the old writ of trespass that emerged in 13th-century England to deal with breaches of the king's peace and that protected lands, chattels, and persons from direct interferences. The old tort of trespass to persons has now branched off into a number of intentional torts: battery (physical contact to which the plaintiff has not consented), assault (the apprehension of an imminent battery), and false imprisonment (the wrongful interference with another's freedom of movement). Other torts, such as conversion (the assertion of dominion over another's chattel) and detinue (the wrongful withholding of possession), have a lengthy independent history. Still other torts, such as the intentional infliction of mental suffering, are comparatively recent judicial creations.

Because of their differing histories, negligence and the intentional torts have different structures. The idea that there were discrete torts of negligence was repudiated by Lord Atkin in *Donoghue v Stevenson*, [1932] AC 562, when he observed that "in English law there must be, and is, some general conception of relations giving rise to a duty of care, of which the particular cases found in the books are but instances." Since that case the courts have been working out and applying to different contexts the various aspects of that general conception of relations. Thus, negligence law involves the elaboration of a single idea concerned with the creation and materialization into harm of an unreasonable risk. The intentional torts, in contrast, have developed separately, and each has its own particular requirements.

This chapter does not survey these particular requirements, but instead focuses on one issue: the role of consent in an action for battery. The law is clear that the plaintiff's consent to a physical contact negates what would otherwise be a battery. Often cited in this connection is Justice Cardozo's famous statement that "every human being of adult years and sound mind has a right to determine what shall be done with his own body." Nonetheless, questions about the meaning and scope of this right arise. Are there circumstances where the plaintiff can be touched in spite of an expressed unwillingness? Can the defendant be held liable despite the plaintiff's apparent consent? What is it that the consenting plaintiff consents to, the mere touching or (some of) the circumstances under which the touching takes place? What if the person being touched is incapable of consenting? What is the role of consent in the relationship between patient and physician? Indeed, the fact that many of the recent leading cases arise in a medical context gives them their human interest, their conceptual difficulty, and their social relevance.

BETTEL V YIM
(1978), 20 OR (2d) 617 (Co Ct)

BORINS Co Ct J.: ... The events giving rise to this action took place on 22nd May 1976, in a variety store owned and operated by the defendant, Ki Yim, situated in a small commercial plaza located in Metropolitan Toronto

The defendant testified that the plaintiff, together with six or seven other boys, entered the store and went to the area of the pinball machines. Some of the boys were playing with a toy football and toy guns and the defendant told them to leave his store. Half of the boys, including the plaintiff, left and went outside. The defendant saw the plaintiff lighting matches and throwing them into the store. On the first occasion, the plaintiff entered the store and retrieved a burning match. The second match that was thrown into the store burned itself out. Then the plaintiff reentered the store, proceeded toward the pinball machines and said "What's the smell?" The defendant smelled nothing, but after twenty or thirty seconds he saw flames coming from the bag of charcoal and proceeded to remove the bag from the store unassisted by the plaintiff who remained inside. The defendant did not see who had thrown the match which started the fire.

As the defendant returned to the store he saw the plaintiff walking toward the door. He grabbed the plaintiff by the arm as he did not want the plaintiff to leave... . Because the plaintiff denied setting the fire the defendant grabbed him firmly by the collar with both hands and began shaking him. His purpose in doing so was to obtain a confession from the plaintiff before he called the police. The plaintiff's constant denials had made the defendant unhappy. He shook the plaintiff two or three times and then his head came down and struck the plaintiff's nose. He relaxed his hold on the plaintiff who fell to the ground. The defendant obtained some Kleenex for the plaintiff, who was bleeding from the nose, and helped him to his feet. The defendant then telephoned the police.

. . .

I find that while the defendant was holding the plaintiff with both hands and shaking him the defendant's head came into contact with the plaintiff's nose. This had been preceded by the plaintiff and his friends throwing lighted matches into the defendant's store one of which, thrown by the plaintiff, caused a bag of charcoal to ignite. The defendant's purpose in grasping and shaking the plaintiff was to force him to confess that he had set the fire. The defendant had no intention to injure the plaintiff in the manner which he did although he did intend to grasp him firmly by the collar and to shake him.

. . .

That there is no liability for accidental harm is central to the submission of defence counsel who argues that the shaking of the plaintiff by the defendant and the striking of the plaintiff by the defendant's head must be regarded as separate and distinct incidents. While he concedes that the defendant intentionally grabbed and shook the plaintiff, he submits that the contact with the head was unintentional. I have, of course, accepted the defendant's evidence in this regard. This, in my view, gives rise to the important question: Can an intentional wrongdoer be held liable for consequences which he did not intend? Another way of stating the problem is to ask whether the doctrine of foreseeability as found in the law of negligence is applicable to the law of intentional torts? Should an intentional wrongdoer be liable only for the reasonably foreseeable consequences of his intentional application of force or should he bear responsibility for all the consequences which flow from his intentional act?

To approach this issue one must first examine what interests the law seeks to protect. ...

In discussing battery Fleming writes, [*Law of Torts*, 5th ed (1977)], 23-4:

Of the various forms of trespass to the person the most common is the tort known as battery, which is committed by intentionally bringing about a harmful or offensive contact with the person of another. The action, therefore, serves the dual purpose of affording protection to the individual not only against bodily harm but also against any interference with his person which is offensive to a reasonable sense of honour and dignity. The insult involved in being touched without consent has been traditionally regarded as sufficient to warrant redress, even though the interference is only trivial and not attended with actual physical harm. "The least touching of another in anger is a battery," and so is such offensive and insulting behaviour as spitting in another man's face, cutting his hair or kissing a woman. The element of personal indignity is given additional recognition in the award of aggravated damages to compensate for any outrage to the plaintiff's feelings. ...

• • •

Battery is an intentional wrong: the offensive contact must have been intended or known to be substantially certain to result. On the other hand, it is not necessary that the actor intended to inflict bodily harm, since we have seen that the legal injury is complete without it. Indeed it may be sufficient that he intended only to frighten but in a manner fraught with serious risk of bodily contact or harm. ...

Fleming, in the use of "intent" accepts the definition set out in the Second Restatement of the Law of Torts:

8A. Intent

The word "intent" is used throughout the restatement of this Subject to denote that the actor desires to cause the consequences of his act, or that he believes that the consequences are substantially certain to result from it.

Comment:

a. "Intent," as it is used throughout the Restatement of Torts, has reference to the consequences of an act rather than the act itself. When an actor fires a gun in the midst of the Mojave Desert, he intends to pull the trigger; but when the bullet hits a person who is present in the desert without the actor's knowledge, he does not intend that result. "Intent" is limited, wherever it is used, to the consequences of the act.

b. All consequences which the actor desires to bring about are intended, as the word is used in this Restatement. Intent is not, however, limited to consequences which are desired. If the actor knows that the consequences are certain, or substantially certain, to result from his act, and still goes ahead, he is treated by the law as if he had in fact desired to produce the result. ...

• • •

In Harper and James, *The Law of Torts*, (1956), Vol. I, at 213-15 a thorough discussion of the interests protected by the tort of battery is found. The essence of the authors' views is contained in this short passage at 213:

Involved in the tort of battery are two interests of personality: first, the interest in the physical integrity of the body, that it be free from harmful contacts; second, the purely dignitary interest in the body that it be free from offensive contact.

• • •

Harper and James, after stating that by the fiction of “transferred intent” a defendant who intends to strike a third person is liable if his blow miscarries and he strikes the plaintiff, go on to say, *supra*, at 218-219:

As has been pointed out, it is not easy to explain on logical principles the liability of one who, having directed a blow at one person, injures another, if he had no reason to believe the other was present and thus likely to be hurt. There is no intention to harm the plaintiff and no negligence toward him. The rule has been likened to that imposing liability without fault. A similar situation is involved in the rule that where the defendant intended to inflict a harmful or offensive contact, he is liable for the results even though they are unintended and unforeseeable. But as a matter of sound social policy, it is clearly better that the risk of such unintended and unforeseeable consequences should fall on the intentional wrongdoer than on his victim. The former is a tortfeasor and the latter is innocent. The wrongdoer, thus, should bear the loss.

... Hart and Honoré, *Causation in the Law*, (1959), 235 express a similar view:

It is generally agreed that when a defendant is liable because he has intentionally done harm, his liability is not restricted to the harm intended. ... [I]n *Vandenburg v. Truax* (1847) 4 Denio. N.Y. 464 defendant frightened a boy (thereby committing an intentional assault) who, in his panic, ran into plaintiff's shop and overturned a cask of wine. For the loss of the wine defendant was held liable, though he did not intend it. It therefore seems that the existence and extent of liability are not necessarily governed by the same criteria.

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Similarly, [a]fter discussing the meaning of intent and the doctrine of “transferred intent” [Prosser] adds at 33-34:

His act is characterized as “wrongful,” and his fault is regarded as absolute toward all the world, rather than relative to any one person. Having departed from the social standard of conduct, he is liable for the harm which follows from his act, although he did not intend it ...

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One of the cases on which Prosser, and others, relies is *Vosburg v. Putney* (1891), 89 Wis. 523, 50 N.W. 403, which involved a fight between two school boys. Although the jury found that the defendant did not intend the plaintiff any harm, judgment was entered for the plaintiff. The defendant, in kicking the plaintiff, caused a more substantial injury than had been intended. [This is because unbeknownst to the defendant the plaintiff had previously suffered an injury to his knee that had not yet healed.] ...

It is my respectful view that the weight of opinion is that the concept of foreseeability as defined by the law of negligence is a concept that ought not to be imported into the field of intentional torts. While strong policy reasons favour determining the outer limits of liability where conduct falls below an acceptable standard, the same reasons do not apply to deliberate conduct, even though the ultimate result in terms of harm caused to plaintiff is not what was intended by the defendant. In the law of intentional torts, it is the dignitary interest, the right of the plaintiff to insist that the defendant keep his hands to himself, that the law has for centuries sought to protect. In doing so, the morality of the defendant's conduct, characterized as “unlawful,” has predominated the thinking of the courts and is reflected in academic discussions. The logical test is whether the defendant was guilty of deliberate, intentional and unlawful violence or threats of violence. If he was, and a more serious

harm befalls the plaintiff than was intended by the defendant, the defendant, and not the innocent plaintiff, must bear the responsibility for the unintended result. If physical contact was intended, the fact that its magnitude exceeded all reasonable or intended expectations should make no difference. To hold otherwise, in my opinion, would unduly narrow recovery where one deliberately invades the bodily interests of another with the result that the totally innocent plaintiff would be deprived of full recovery for the totality of the injuries suffered as a result of the deliberate invasion of his bodily interests. To import negligence concepts into the field of intentional torts would be to ignore the essential difference between the intentional infliction of harm and the unintentional infliction of harm resulting from a failure to adhere to a reasonable standard of care and would result in bonusing the deliberate wrongdoer who strikes the plaintiff more forcefully than intended. For example, in the case of a deliberate blow to the eye liability should cover not only the black eye and the bloody nose but also the resultant brain damage caused when the plaintiff falls to the ground and strikes his head, even though the latter was never intended. Thus, the intentional wrongdoer should bear the responsibility for the injuries caused by his conduct and the negligence test of "foreseeability" to limit, or eliminate, liability should not be imported into the field of intentional torts.

Counsel for the defendant submits that the grabbing of the plaintiff and the subsequent striking of his nose by the defendant's head should be viewed as separate acts and that liability should end after the plaintiff was grabbed because what followed was accidental. I do not agree. On the facts of this case it is artificial to attempt to separate the two events which were part of one transaction. The striking of the nose occurred while the defendant continued to hold the plaintiff and while the plaintiff was being shaken by the defendant. ... To grab the plaintiff and shake him is undoubtedly a battery. It was this act that set in motion a chain of events. When something happens as a result of a chain of events deliberately set in motion by the defendant and at the end of that chain of events some act is done by the defendant that causes an unintended injury it is not an accident. It is conduct for which the defendant must assume responsibility. ...

MALETTE V SHULMAN
(1990), 67 DLR (4th) 321 (Ont CA)

ROBINS JA (for the court): The question to be decided in this appeal is whether a doctor is liable in law for administering blood transfusions to an unconscious patient in a potentially life-threatening situation when the patient is carrying a card stating that she is a Jehovah's Witness and, as a matter of religious belief, rejects blood transfusions under any circumstances.

In the early afternoon of June 30, 1979, Mrs. Georgette Malette, then age 57, was rushed, unconscious, by ambulance to the Kirkland and District Hospital in Kirkland Lake, Ontario. She had been in an accident. The car in which she was a passenger, driven by her husband, had collided head-on with a truck. Her husband had been killed. She suffered serious injuries.

On arrival at the hospital, she was attended by Dr. David L. Shulman, a family physician practising in Kirkland Lake who served two or three shifts a week in the emergency department of the hospital and who was on duty at the time. Dr. Shulman's initial examination of Mrs. Malette showed, among other things, that she had severe head and face injuries and was bleeding profusely. The doctor concluded that she was suffering from incipient shock by reason of blood loss, and ordered that she

be given intravenous glucose followed immediately by Ringer's Lactate. The administration of a volume expander, such as Ringer's Lactate, is standard medical procedure in cases of this nature. If the patient does not respond with significantly increased blood pressure, transfusions of blood are then administered to carry essential oxygen to tissues and to remove waste products and prevent damage to vital organs.

At about this time, a nurse discovered a card in Mrs. Malette's purse which identified her as a Jehovah's Witness and in which she requested, on the basis of her religious convictions, that she be given no blood transfusions under any circumstances. The card, which was not dated or witnessed, was printed in French and signed by Mrs. Malette. Translated into English, it read:

NO BLOOD TRANSFUSION!

As one of Jehovah's Witnesses with firm religious convictions, I request that no blood or blood products be administered to me under any circumstances. I fully realize the implications of this position, but I have resolutely decided to obey the Bible command: "Keep abstaining ... from blood." (Acts 15:28, 29). However, I have no religious objection to use the nonblood alternatives, such as Dextran, Haemaccel, PVP, Ringer's Lactate or saline solution.

Dr. Shulman was promptly advised of the existence of this card and its contents.

Mrs. Malette was next examined by a surgeon on duty in the hospital. He concluded, as had Dr. Shulman, that, to avoid irreversible shock, it was vital to maintain her blood volume. He had Mrs. Malette transferred to the X-ray department for X-rays of her skull, pelvis and chest. However, before the X-rays could be satisfactorily completed, Mrs. Malette's condition deteriorated. Her blood pressure dropped markedly, her respiration became increasingly distressed, and her level of consciousness dropped. She continued to bleed profusely and could be said to be critically ill.

At this stage, Dr. Shulman decided that Mrs. Malette's condition had deteriorated to the point that transfusions were necessary to replace her lost blood and to preserve her life and health. Having made that decision, he personally administered transfusions to her, in spite of the Jehovah's Witness card, while she was in the X-ray department and after she was transferred to the intensive care unit. Dr. Shulman was clearly aware of the religious objection to blood manifested in the card carried by Mrs. Malette and the instruction that "NO BLOOD TRANSFUSION!" be given under any circumstances. He accepted full responsibility then, as he does now, for the decision to administer the transfusions.

Some three hours after the transfusions were commenced, Mrs. Malette's daughter, Celine Bisson, who had driven to Kirkland Lake from Timmins, arrived at the hospital accompanied by her husband and a local church elder. She strongly objected to her mother being given blood. She informed Dr. Shulman and some of the other defendants that both she and her mother were Jehovah's Witnesses, that a tenet of their faith forbids blood transfusions, and that she knew her mother would not want blood transfusions. Notwithstanding Dr. Shulman's opinion as to the medical necessity of the transfusions, Mrs. Bisson remained adamantly opposed to them. She signed a document specifically prohibiting blood transfusions and a release of liability. Dr. Shulman refused to follow her instructions. Since the blood transfusions were, in his judgment, medically necessary in this potentially life-threatening situation, he believed it his professional responsibility as the doctor in charge to ensure that his patient received the transfusions. Furthermore, he was not satisfied that the card signed by Mrs. Malette expressed her current instructions because, on the information he then had, he did not know whether she might have changed her religious beliefs before the accident; whether the card may have been signed because

of family or peer pressure; whether at the time she signed the card she was fully informed of the risks of refusal of blood transfusions; or whether, if conscious, she might have changed her mind in the face of medical advice as to her perhaps imminent but avoidable death.

As matters developed, by about midnight Mrs. Malette's condition had stabilized sufficiently to permit her to be transferred early the next morning by air ambulance to Toronto General Hospital where she received no further blood transfusions. She was discharged on August 11, 1979. Happily, she made a very good recovery from her injuries.

II

In June, 1980, Mrs. Malette brought this action against Dr. Shulman. ... [T]he learned judge concluded that the Jehovah's Witness card validly restricted his right to treat the patient, and there was no rationally founded basis upon which the doctor could ignore that restriction. Hence, his administration of blood transfusions constituted a battery on the plaintiff. The judge awarded her damages of \$20,000 but declined to make any award of costs.

• • •

I should perhaps underscore the fact that Dr. Shulman was not found liable for any negligence in his treatment of Mrs. Malette. The judge held that he had acted "promptly, professionally and was well-motivated throughout" and that his management of the case had been "carried out in a competent, careful and conscientious manner" in accordance with the requisite standard of care. His decision to administer blood in the circumstances confronting him was found to be an honest exercise of his professional judgment which did not delay Mrs. Malette's recovery, endanger her life or cause her any bodily harm. Indeed, the judge concluded that the doctor's treatment of Mrs. Malette "may well have been responsible for saving her life."

Liability was imposed in this case on the basis that the doctor tortiously violated his patient's rights over her own body by acting contrary to the Jehovah's Witness card and administering blood transfusions that were not authorized. His honest and even justifiable belief that the treatment was medically essential did not serve to relieve him from liability for the battery resulting from his intentional and unpermitted conduct. ...

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III

The right of a person to control his or her own body is a concept that has long been recognized at common law. The tort of battery has traditionally protected the interest in bodily security from unwanted physical interference. Basically, any intentional nonconsensual touching which is harmful or offensive to a person's reasonable sense of dignity is actionable. Of course, a person may choose to waive this protection and consent to the intentional invasion of this interest, in which case an action for battery will not be maintainable. No special exceptions are made for medical care, other than in emergency situations, and the general rules governing actions for battery are applicable to the doctor-patient relationship. Thus, as a matter of common law, a medical intervention in which a doctor touches the body of a patient would constitute a battery if the patient did not consent to the intervention. Patients have the decisive role in the medical decision-making process. Their right of self-determination is recognized and protected by the law. As Justice Cardozo proclaimed in his classic statement: "Every human being of adult years and sound mind has a

right to determine what shall be done with his own body; and a surgeon who performs an operation without his patient's consent commits an assault, for which he is liable in damages": *Schloendorff v. Society of New York Hospital*, 211 NY 125 (1914). ...

The doctrine of informed consent has developed in the law as the primary means of protecting a patient's right to control his or her medical treatment. Under the doctrine, no medical procedure may be undertaken without the patient's consent obtained after the patient has been provided with sufficient information to evaluate the risks and benefits of the proposed treatment and other available options. The doctrine presupposes the patient's capacity to make a subjective treatment decision based on her understanding of the necessary medical facts provided by the doctor and on her assessment of her own personal circumstances. A doctor who performs a medical procedure without having first furnished the patient with the information needed to obtain an informed consent will have infringed the patient's right to control the course of her medical care, and will be liable in battery even though the procedure was performed with a high degree of skill and actually benefitted the patient.

The right of self-determination which underlies the doctrine of informed consent also obviously encompasses the right to refuse medical treatment. A competent adult is generally entitled to reject a specific treatment or all treatment, or to select an alternate form of treatment, even if the decision may entail risks as serious as death and may appear mistaken in the eyes of the medical profession or of the community. Regardless of the doctor's opinion, it is the patient who has the final say on whether to undergo the treatment. The patient is free to decide, for instance, not to be operated on or not to undergo therapy or, by the same token, not to have a blood transfusion. If a doctor were to proceed in the face of a decision to reject the treatment, he would be civilly liable for his unauthorized conduct notwithstanding his justifiable belief that what he did was necessary to preserve the patient's life or health. The doctrine of informed consent is plainly intended to ensure the freedom of individuals to make choices concerning their medical care. For this freedom to be meaningful, people must have the right to make choices that accord with their own values regardless of how unwise or foolish those choices may appear to others. ...

IV

The emergency situation is an exception to the general rule requiring a patient's prior consent. When immediate medical treatment is necessary to save the life or preserve the health of a person who, by reason of unconsciousness or extreme illness, is incapable of either giving or withholding consent, the doctor may proceed without the patient's consent. The delivery of medical services is rendered lawful in such circumstances either on the rationale that the doctor has implied consent from the patient to give emergency aid or, more accurately in my view, on the rationale that the doctor is privileged by reason of necessity in giving the aid and is not to be held liable for so doing. On either basis, in an emergency the law sets aside the requirement of consent on the assumption that the patient, as a reasonable person, would want emergency aid to be rendered if she were capable of giving instructions. As Prosser & Keeton, [*The Law of Torts*, 5th ed. (1984)], at pp. 117-18 state:

The touching of another that would ordinarily be a battery in the absence of the consent of either the person touched or his legal agent can sometimes be justified in an emergency. Thus, it has often been asserted that a physician or other provider of health care has implied consent to deliver medical services, including surgical procedures, to a patient in an emergency. But such lawful action is more satisfactorily

explained as a privilege. There are several requirements: (a) the patient must be unconscious or without capacity to make a decision, while no one legally authorized to act as agent for the patient is available; (b) time must be of the essence, in the sense that it must reasonably appear that delay until such time as an effective consent could be obtained would subject the patient to a risk of a serious bodily injury or death which prompt action would avoid; and (3) under the circumstances, a reasonable person would consent, and the probabilities are that the patient, would consent. ...

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On the facts of the present case, Dr. Shulman was clearly faced with an emergency. He had an unconscious, critically ill patient on his hands who, in his opinion, needed blood transfusions to save her life or preserve her health. If there were no Jehovah's Witness card he undoubtedly would have been entitled to administer blood transfusions as part of the emergency treatment and could not have been held liable for so doing. In those circumstances he would have had no indication that the transfusions would have been refused had the patient then been able to make her wishes known and, accordingly, no reason to expect that, as a reasonable person, she would not consent to the transfusions.

However, to change the facts, if Mrs. Malette, before passing into unconsciousness, had expressly instructed Dr. Shulman, in terms comparable to those set forth on the card, that her religious convictions as a Jehovah's Witness were such that she was not to be given a blood transfusion under any circumstances and that she fully realized the implications of this position, the doctor would have been confronted with an obviously different situation. Here, the patient, anticipating an emergency in which she might be unable to make decisions about her health care contemporaneous with the emergency, has given explicit instructions that blood transfusions constitute an unacceptable medical intervention and are not to be administered to her. Once the emergency arises, is the doctor none the less entitled to administer transfusions on the basis of his honest belief that they are needed to save his patient's life?

The answer, in my opinion, is clearly no. A doctor is not free to disregard a patient's advance instructions any more than he would be free to disregard instructions given at the time of the emergency. The law does not prohibit a patient from withholding consent to emergency medical treatment, nor does the law prohibit a doctor from following his patient's instructions. While the law may disregard the absence of consent in limited emergency circumstances, it otherwise supports the right of competent adults to make decisions concerning their own health care by imposing civil liability on those who perform medical treatment without consent.

The patient's decision to refuse blood in the situation I have posed was made prior to and in anticipation of the emergency. While the doctor would have had the opportunity to dissuade her on the basis of his medical advice, her refusal to accept his advice or her unwillingness to discuss or consider the subject would not relieve him of his obligation to follow her instructions. The principles of self-determination and individual autonomy compel the conclusion that the patient may reject blood transfusions even if harmful consequences may result and even if the decision is generally regarded as foolhardy. Her decision in this instance would be operative after she lapsed into unconsciousness, and the doctor's conduct would be unauthorized. To transfuse a Jehovah's Witness in the face of her explicit instructions to the contrary would, in my opinion, violate her right to control her own body and show disrespect for the religious values by which she has chosen to live her life. ...

The distinguishing feature of the present case—and the one that makes this a case of first impression—is, of course, the Jehovah's Witness card on the person of the unconscious patient. What then is the effect of the Jehovah's Witness card?

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I should emphasize that in deciding this case the court is not called upon to consider the law that may be applicable to the many situations in which objection may be taken to the use or continued use of medical treatment to save or prolong a patient's life. The court's role, especially in a matter as sensitive as this, is limited to resolving the issues raised by the facts presented in this particular case. On these facts, we are not concerned with a patient who has been diagnosed as terminally or incurably ill who seeks by way of advance directive or "living will" to reject medical treatment so that she may die with dignity; neither are we concerned with a patient in an irreversible vegetative state whose family seeks to withdraw medical treatment in order to end her life; nor is this a case in which an otherwise healthy patient wishes for some reason or other to terminate her life. There is no element of suicide or euthanasia in this case.

Our concern here is with a patient who has chosen in the only way possible to notify doctors and other providers of health care, should she be unconscious or otherwise unable to convey her wishes, that she does not consent to blood transfusions. Her written statement is plainly intended to express her wishes when she is unable to speak for herself. There is no suggestion that she wished to die. Her rejection of blood transfusions is based on the firm belief held by Jehovah's Witnesses, founded on their interpretation of the Scriptures, that the acceptance of blood will result in a forfeiture of their opportunity for resurrection and eternal salvation. The card evidences that "as one of Jehovah's Witnesses with firm religious convictions" Mrs. Malette is not to be administered blood transfusions "under any circumstances"; that, while she "fully realize[s] the implications of this position," she has "resolutely decided to obey the Bible command"; and that she has no religious objection to "nonblood alternatives." In signing and carrying this card Mrs. Malette has made manifest her determination to abide by this fundamental tenet of her faith and refuse blood regardless of the consequences. If her refusal involves a risk of death, then, according to her belief, her death would be necessary to ensure her spiritual life.

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VI

The state undoubtedly has a strong interest in protecting and preserving the lives and health of its citizens. There clearly are circumstances where this interest may override the individual's right to self-determination. For example, the state may in certain cases require that citizens submit to medical procedures in order to eliminate a health threat to the community or it may prohibit citizens from engaging in activities which are inherently dangerous to their lives. But this interest does not prevent a competent adult from refusing life-preserving medical treatment in general or blood transfusions in particular.

The state's interest in preserving the life or health of a competent patient must generally give way to the patient's stronger interest in directing the course of her own life. As indicated earlier, there is no law prohibiting a patient from declining necessary treatment or prohibiting a doctor from honouring the patient's decision. To the extent that the law reflects the state's interest, it supports the right of individuals to make their own decisions. By imposing civil liability on those who perform medical treatment without consent even though the treatment may be beneficial, the law serves to maximize individual freedom of choice. Recognition of the right to reject medical

treatment cannot, in my opinion, be said to depreciate the interest of the state in life or in the sanctity of life. Individual free choice and self-determination are themselves fundamental constituents of life. To deny individuals freedom of choice with respect to their health care can only lessen, and not enhance, the value of life. This state interest, in my opinion, cannot properly be invoked to prohibit Mrs. Malette from choosing for herself whether or not to undergo blood transfusions.

Safeguarding the integrity of the medical profession is patently a legitimate state interest worthy of protection. However, I do not agree that this interest can serve to limit a patient's right to refuse blood transfusions. I recognize, of course, that the choice between violating a patient's private convictions and accepting her decision is hardly an easy one for members of a profession dedicated to aiding the injured and preserving life. The patient's right to determine her own medical treatment is, however, paramount to what might otherwise be the doctor's obligation to provide needed medical care. The doctor is bound in law by the patient's choice even though that choice may be contrary to the mandates of his own conscience and professional judgment. If patient choice were subservient to conscientious medical judgment, the right of the patient to determine her own treatment, and the doctrine of informed consent, would be rendered meaningless. Recognition of a Jehovah's Witness' right to refuse blood transfusions cannot, in my opinion, be seen as threatening the integrity of the medical profession or the state's interest in protecting the same.

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VIII

... [T]he card on its face set forth unqualified instructions applicable to the circumstances presented by this emergency. In the absence of any evidence to the contrary, those instructions should be taken as validly representing the patient's wish not to be transfused. If, of course, there were evidence to the contrary—evidence which cast doubt on whether the card was a true expression of the patient's wishes—the doctor, in my opinion, would be entitled to proceed as he would in the usual emergency case. In this case, however, there was no such contradictory evidence. Accordingly, I am of the view that the card had the effect of validly restricting the treatment that could be provided to Mrs. Malette and constituted the doctor's administration of the transfusions a battery. ...

One further point should be mentioned. The appellant argues that to uphold the trial decision places a doctor on the horns of a dilemma, in that, on the one hand, if the doctor administers blood in this situation and saves the patient's life, the patient may hold him liable in battery while, on the other hand, if the doctor follows the patient's instructions and, as a consequence, the patient dies, the doctor may face an action by dependants alleging that, notwithstanding the card, the deceased would, if conscious, have accepted blood in the face of imminent death and the doctor was negligent in failing to administer the transfusions. In my view, that result cannot conceivably follow. The doctor cannot be held to have violated either his legal duty or professional responsibility towards the patient or the patient's dependants when he honours the Jehovah's Witness card and respects the patient's right to control her own body in accordance with the dictates of her conscience. The onus is clearly on the patient. When members of the Jehovah's Witness faith choose to carry cards intended to notify doctors and other providers of health care that they reject blood transfusions in an emergency, they must accept the consequences of their decision. Neither they nor their dependants can later be heard to say that the card did not reflect their true wishes. If harmful consequences ensue, the responsibility for those consequences is entirely theirs and not the doctor's.

Finally, the appellant appeals the quantum of damages awarded by the trial judge. In his submission, given the findings as to the competence of the treatment, the favourable results, the doctor's overall exemplary conduct and his good faith in the matter, the battery was technical and the general damages should be no more than nominal. While the submission is not without force, damages of \$20,000 cannot be said to be beyond the range of damages appropriate to a tortious interference of this nature. The trial judge found that Mrs. Malette suffered mentally and emotionally by reason of the battery. His assessment of general damages was clearly not affected by any palpable or overriding error and there is therefore no basis upon which an appellate court may interfere with the award.

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In the result, for these reasons I would dismiss the appeal.

NOTES

1. In *Nancy B v Hotel-Dieu de Quebec* (1992), 86 DLR (4th) 385 (Qc SC), the plaintiff, who was suffering from an incurable neurological disorder that left her intellectually unimpaired but incapable of movement and who was able to breathe only with the assistance of a respirator, applied for an injunction against her hospital and her physician to permit her to refuse further treatment and to discontinue use of the respirator. Applying the *Civil Code of Québec* provisions recognizing the inviolability of the person and requiring the patient's consent to medical treatment, Dufour J held that the plaintiff had the right to discontinue treatment. Because stopping use of the respirator would merely allow nature to take its course, the plaintiff's death would not involve violation of the *Criminal Code* provisions dealing with homicide or suicide.

2. The following letter to the editor appeared in (2017) 377 New Eng J Med 2192:

We present the case of a person whose presumed code-status preference led him to tattoo "Do Not Resuscitate" on his chest. Paramedics brought an unconscious 70-year-old man with a history of chronic obstructive pulmonary disease, diabetes mellitus, and atrial fibrillation to the emergency department, where he was found to have an elevated blood alcohol level. The staff of the medical intensive care unit evaluated him several hours later when hypotension and an anion-gap metabolic acidosis with a pH of 6.81 developed. His anterior chest had a tattoo that read "Do Not Resuscitate," accompanied by his presumed signature. Because he presented without identification or family, the social work department was called to assist in contacting next of kin. All efforts at treating reversible causes of his decreased level of consciousness failed to produce a mental status adequate for discussing goals of care.

We initially decided not to honor the tattoo, invoking the principle of not choosing an irreversible path when faced with uncertainty. This decision left us conflicted owing to the patient's extraordinary effort to make his presumed advance directive known; therefore, an ethics consultation was requested. He was placed on empirical antibiotics, received intravenous fluid resuscitation and vasopressors, and was treated with bilevel positive airway pressure.

After reviewing the patient's case, the ethics consultants advised us to honor the patient's do not resuscitate (DNR) tattoo. They suggested that it was most reasonable to infer that the tattoo expressed an authentic preference, that what might be seen as caution could also be seen as standing on ceremony, and that the law is sometimes not nimble enough to support patient-centered care and respect for patients' best interests. A DNR order was written. Subsequently, the social work department obtained a copy of his Florida Department of Health "out-of-hospital" DNR order, which was consistent with the tattoo. The patient's clinical status deteriorated throughout the night, and he died without undergoing cardio-pulmonary respiration or advanced airway management.

This patient's tattooed DNR request produced more confusion than clarity, given concerns about its legality and likely unfounded beliefs that tattoos might represent permanent reminders of regretted decisions made while the person was intoxicated. We were relieved to find his written DNR request, especially because a review of the literature identified a case report of a person whose DNR tattoo did not reflect his current wishes. Despite the well-known difficulties that patients have in making their end-of-life wishes known, this case report neither supports nor opposes the use of tattoos to express end-of-life wishes when the person is incapacitated. Gregory E. Holt, M.D., Ph.D. Daniel Kett, M.D. Kenneth W. Goodman, Ph.D., University of Miami.

In a subsequent issue, the authors of this letter replied to comments on their letter:

The correspondents' comments reflect the importance of advance directives and confusion concerning the validity of nonstandard DNR orders. The response of Blumenthal and Beamer reflects our discomfort in correspondence templating the resuscitation of our patient. They correctly note that our society still struggles to develop reliable methods to convey end-of-life choices by incapacitated patients. However, as shown by cases of a recanted DNR tattoo and medallion, nonstandard modes of communicating end-of-life preferences are fallible. They correctly note that any form of out-of-hospital DNR order could be both invalid and "an undue hassle" to update if preferences change. All forms of nonverbal communication are potentially inaccurate, but decreasing the difficulty in updating preferences is advantageous.

Iserson makes the case that advance directives were standardized to give clinicians confidence "without requiring a lawyer." He published a case report of a woman whose DNR medallion was disregarded, which led to her successful resuscitation. The patient subsequently revealed that she was grateful for their efforts and had not understood the implications of a DNR order.

Efforts to eliminate ambiguity in out-of-hospital DNR orders in Florida include the use of standardized forms that are easily recognized and revocable and that contain a physician's signature. This standardization enables clinicians to trust the document. A paper document can be discarded; removing a tattoo is more difficult. Orders to withhold life-sustaining therapy necessitate discussions of cardiopulmonary resuscitation, invasive and noninvasive mechanical ventilation, vasopressors, intravenous fluids, antibiotics, and nutrition and are ineffectively summed up by a simple "Do Not Resuscitate" tattoo. Optimal advance care planning should involve consultation with clinicians to avoid confusion.

The use of temporizing measures allowed us to obtain the patient's out-of-hospital DNR that was congruent with the prior advice of our ethics consultants to honor the tattoo. The query from Pistoia and colleagues concerning the issue of "what if there wasn't time to corroborate" is daunting and unanswered by our case. However, making hastily conceived judgments on complex issues of code status while interpreting nonstandard DNR orders increases the chance of error. Although rejecting a nonstandard DNR order risks delivering unwanted treatment, accepting such an order risks acting on an inaccurate advance directive. We accepted our patient's DNR tattoo, inferring that such an elaborate tattoo was not acquired lightly and expressed a valid wish. Ultimately, patients and clinicians will be better served when advance care preferences are documented in a standard fashion and universally accessible.

NORBERG V WYNRIB

[1992] 2 SCR 226, 92 DLR (4th) 449

The facts of the case are summarized by McLachlin J as follows: The plaintiff was a young woman, who began under prescription to take pain-killers to alleviate the pain associated with an abscessed tooth. By the time her dental problem was diag-

nosed and properly treated, she was addicted. Her physicians at that time did nothing to assist her in making a gradual withdrawal from the pain-killers. She no longer had any medical condition which would indicate the continued ingestion of analgesics, but her craving for the drugs continued. Her drug of choice was Fiorinal, a pharmaceutical legally obtainable only on prescription, whose active ingredients include both codeine, an opiate, and butalbital, a barbiturate. Her life became one long search for the drug. It was illegal; it was hard to get. At first she was able to get it from her sister, but the best way to get it was through doctors. So the plaintiff consulted doctors, many doctors. The doctor who had been supplying her sister with prescriptions proved a fertile source, but then he retired. His replacement refused to give her more pills. She went to Dr. Wynrib with a tale of a painful ankle and asked for Fiorinal. He gave her the prescription. She kept going back for more, on the pretext of this and other illnesses. Dr. Wynrib quickly realized that she was addicted to Fiorinal and confronted her with the addiction. But he coupled the confrontation with a request: "if you're good to me I will be good to you," a request whose meaning was made clear by his pointing upstairs where he lived. The plaintiff refused and left. He continued to make similar suggestions to her and she stopped seeing him. For a while she got Fiorinal from other doctors and off the street. As the other doctors reduced both her supply and the strength of the medication prescribed, she became, as she put it, desperate. She went back to Dr. Wynrib. She gave him what he wanted, sexual favours. He gave her Fiorinal. At one point she begged Dr. Wynrib for help. He did not advise treatment. He merely told her "to quit." The medical evidence establishes that it is virtually impossible "to quit" without the aid of a professional anti-addiction program. After being charged with the offence of "double-doctoring," the plaintiff of her own initiative went to a rehabilitation centre for drug addicts. She left the centre after one month and has not taken any drugs for non-medical reasons since.

LA FOREST J (GONTHIER and CORY JJ concurring): This case concerns the civil liability of a doctor who gave drugs to a chemically dependent woman patient in exchange for sexual contact. The central issue is whether the defence of consent can be raised against the intentional tort of battery in such circumstances. ...

The trial judge, Oppal J, rejected the appellant's claim of sexual assault, holding that she had consented to it. At p. 170, he stated:

By apparently voluntarily submitting to the doctor's advances on the various occasions the plaintiff gave her implied consent to the sexual contact that constitutes the alleged battery. She obviously had deep misgivings about engaging in this conduct with the defendant. Clearly, she did not wish to do so. However, at no time did she express her feelings to the defendant that she did not wish to engage in sexual activities with him. In fact she went along with his demands.

Oppal J recognized that for consent to be genuine, it must not be extorted by force or threats of force, or be obtained from an individual under the influence of drugs, but he held that these factors were not present in this case. The respondent did not exercise or threaten to use force, and there was no evidence that the appellant's addiction interfered with her capacity to consent to the sexual activity or with her ability to reason.

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The majority of the Court of Appeal, McEachern CJ and Gibbs JA, accepted the trial judge's finding that the appellant "gave her implied consent to the sexual contact that constitutes the alleged battery" and that there was no evidence that her addiction to Fiorinal interfered with her capacity to consent to the sexual activity. It further

agreed that the appellant was not at any time deprived of her ability to reason. In the majority's view, Oppal J was correct in dismissing the appellant's sexual assault claim on the basis of consent.

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ASSAULT—THE NATURE OF CONSENT

The alleged sexual assault in this case falls under the tort of battery. A battery is the intentional infliction of unlawful force on another person. Consent, express or implied, is a defence to battery. Failure to resist or protest is an indication of consent "if a reasonable person who is aware of the consequences and capable of protest or resistance would voice his objection": see John G. Fleming, *The Law of Torts*, 7th ed. (Sydney: Law Book Co., 1987), at pp. 72-3. However, the consent must be genuine; it must not be obtained by force or threat of force or be given under the influence of drugs. Consent may also be vitiated by fraud or deceit as to the nature of the defendant's conduct. The courts below considered these to be the only factors that would vitiate consent.

In my view, this approach to consent in this kind of case is too limited. As R.F.V. Heuston and R.A. Buckley, eds., *Salmond and Heuston on the Law of Torts*, 19th ed. (London: Sweet & Maxwell, 1987), at pp. 564-5, put it: "A man cannot be said to be 'willing' unless he is in a position to choose freely; and freedom of choice predicates the absence from his mind of any feeling of constraint interfering with the freedom of his will." A "feeling of constraint" so as to "interfere with the freedom of a person's will" can arise in a number of situations not involving force, threats of force, fraud or incapacity. The concept of consent as it operates in tort law is based on a presumption of individual autonomy and free will. It is presumed that the individual has freedom to consent or not to consent. This presumption, however, is untenable in certain circumstances. A position of relative weakness can, in some circumstances, interfere with the freedom of a person's will. Our notion of consent must, therefore, be modified to appreciate the power relationship between the parties.

An assumption of individual autonomy and free will is not confined to tort law. It is also the underlying premise of contract law. The supposition of contract law is that two parties agree or consent to a particular course of action. However, contract law has evolved in such a way that it recognizes that contracting parties do not always have equality in their bargaining strength. The doctrines of duress, undue influence, and unconscionability have arisen to protect the vulnerable when they are in a relationship of unequal power. For reasons of public policy, the law will not always hold weaker parties to the bargains they make. Professor George B. Klippert in his book *Unjust Enrichment* (Toronto: Butterworths, 1983), refers to the doctrines of duress, undue influence, and unconscionability as "justice factors." He lumps these together under the general term "coercion" and states, at p. 156, that "[i]n essence the common thread is an illegitimate use of power or unlawful pressure which vitiates a person's freedom of choice." In a situation where a plaintiff is induced to enter into an unconscionable transaction because of an inequitable disparity in bargaining strength it cannot be said that the plaintiff's act is voluntary: see Klippert, *op. cit.*, at p. 170.

If the "justice factor" of unconscionability is used to address the issue of voluntariness in the law of contract, it seems reasonable that it be examined to address the issue of voluntariness in the law of tort. This provides insight into the issue of consent: for consent to be genuine, it must be voluntary. The factual context of each case must, of course, be evaluated to determine if there has been genuine consent. However, the principles that have been developed in the area of unconscionable transactions to negate the legal effectiveness of certain contracts provide a useful framework for this evaluation.

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It must be noted that in the law of contracts proof of an unconscionable transaction involves a two-step process: (1) proof of inequality in the positions of the parties, and (2) proof of an improvident bargain. Similarly, a two-step process is involved in determining whether or not there has been legally effective consent to a sexual assault. The first step is undoubtedly proof of an inequality between the parties which, as already noted, will ordinarily occur within the context of a special “power dependency” relationship. The second step, I suggest, is proof of exploitation. A consideration of the type of relationship at issue may provide a strong indication of exploitation. Community standards of conduct may also be of some assistance. ...

• • •

APPLICATION TO THIS CASE

... It seems clear to me that there was a marked inequality in the respective powers of the parties. The appellant was a young woman with limited education. More important, she was addicted to the heavy use of tranquillizers and pain-killers. On this ground alone it can be said that there was an inequality in the position of the parties arising out of the appellant's need. The appellant's drug dependence diminished her ability to make a real choice. Although she did not wish to engage in sexual activity with Dr. Wynrib, her reluctance was overwhelmed by the driving force of her addiction and the unsettling prospect of a painful, unsupervised chemical withdrawal. ...

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On the other side of the equation was an elderly, male professional—the appellant's doctor. An unequal distribution of power is frequently a part of the doctor–patient relationship. As it is stated in the *Final Report of the Task Force on Sexual Abuse of Patients, An Independent Task Force Commissioned by the College of Physicians and Surgeons of Ontario* (November 25, 1991) (Chair: Marilou McPhe-dran), at p. 11:

Patients seek the help of doctors when they are in a vulnerable state—when they are sick, when they are needy, when they are uncertain about what needs to be done.

The unequal distribution of power in the physician–patient relationship makes opportunities for sexual exploitation more possible than in other relationships. This vulnerability gives physicians the power to exact sexual compliance. Physical force or weapons are not necessary because the physician's power comes from having the knowledge and being trusted by patients.

In this case, Dr. Wynrib knew that the appellant was vulnerable and driven by her compulsion for drugs. It is likely that he knew or at least strongly suspected that she was dependent upon Fiorinal before she admitted her addiction to him. It was he who ferreted out that she was addicted to drugs. As a doctor, the respondent knew how to assist the appellant medically and he knew (or should have known) that she could not “just quit” taking drugs without treatment. ... The respondent's medical knowledge and knowledge of the appellant's addiction, combined with his authority to prescribe drugs, gave him power over her. It was he who suggested the sex-for-drugs arrangement.

However, it must still be asked if there was exploitation. In my opinion there was. Dr. Herbert of the Department of Family Practice, Faculty of Medicine, University of British Columbia, expressed the opinion that “a reasonable practitioner would have taken steps to attempt to help Ms Norberg end her addiction by, for example, suggesting drug counselling, or, at the very least, by discontinuing her prescriptions of

Fiorinal.” However, Dr. Wynrib did not use his medical knowledge and expertise to address the appellant’s addiction. Instead, he abused his power over her and exploited the information he obtained concerning her weakness to pursue his own personal interests. It seems to me that a sex-for-drugs arrangement initiated by a doctor with his drug addict patient is a relationship which is divergent from what the community would consider acceptable. ...

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The respondent argues that the position of the plaintiff is tantamount to an assertion that an addict cannot give consent. An addict, he continues, will thus not be held responsible for his or her actions. Although an addiction may indicate an inequality in power, this will not by itself render consent legally ineffective. Under the formulation I have suggested, there must also be exploitation. ...

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The aim is not to absolve an addict from all responsibility; rather it is to protect an addict from abuse from those in special positions of power.

To summarize, in my view, the defence of consent cannot succeed in the circumstances of this case. The appellant had a medical problem—an addiction to Fiorinal. Dr. Wynrib had knowledge of the problem. As a doctor, he had knowledge of the proper medical treatment, and knew she was motivated by her craving for drugs. Instead of fulfilling his professional responsibility to treat the appellant, he used his power and expertise to his own advantage and to her detriment. In my opinion, the unequal power between the parties and the exploitative nature of the relationship removed the possibility of the appellant’s providing meaningful consent to the sexual contact.

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DAMAGES

The appellant asks for an award of damages which includes the following: (1) compensatory damages for wrongful supply of drugs and prolongation of addiction; (2) aggravated damages for the remorse, shame, damaged self-confidence and emotional harm caused by the continued supply of drugs and the sexual exploitation of the appellant; and (3) punitive damages for the respondent’s breach of trust. ...

I begin by noting that the battery is actionable without proof of damage. Moreover, liability is not confined to foreseeable consequences. Aggravated damages may be awarded if the battery has occurred in humiliating or undignified circumstances. These damages are not awarded in addition to general damages. Rather, general damages are assessed “taking into account any aggravating features of the case and to that extent increasing the amount awarded”: see *N.(J.L.) v. L.(A.M.)* (1988), 47 CCLT 65 at p. 71, [1989] 1 WWR 438, 56 Man. R (2d) 161 (QB), per Lockwood J. These must be distinguished from punitive or exemplary damages. The latter are awarded to punish the defendant and to make an example of him or her in order to deter others from committing the same tort: see Allen M. Linden, *Canadian Tort Law*, 4th ed. (Toronto: Butterworths, 1988), at pp. 54-5. In *Vorvis v. Insurance Corp. of British Columbia* (1989), 58 DLR (4th) 193 at p. 208, [1989] 1 SCR 1085, 42 BLR 111, McIntyre J thus set forth the circumstances where the defendant’s conduct would merit punishment:

... punitive damages may only be awarded in respect of conduct which is of such nature as to be deserving of punishment because of its harsh, vindictive, reprehensible and malicious nature. I do not suggest that I have exhausted the adjectives which could describe the conduct capable of characterizing a punitive award, but

in any case where such an award is made the conduct must be extreme in its nature and such that by any reasonable standard it is deserving of full condemnation and punishment.

Although aggravated damages will frequently cover conduct which could also be the subject of punitive damages, as I noted, the two types of damages are distinguishable; punitive damages are designed to punish whereas aggravated damages are designed to compensate: see *Vorvis*, at p. 201.

[After reviewing awards by the lower courts in a number of recent sexual assault cases, La Forest J continued:]

In the present case, there were repeated sexual encounters over a substantial period of time with a person in a position of power. The respondent used his power as a doctor to take advantage of the fact that the appellant was addicted to drugs. There is some distinction between this case and the rape cases cited above in that the assault here was not physically violent. However, the respondent's conduct has caused the appellant humiliation and loss of dignity as is evident from her testimony. She testified at trial that she thinks about the events with Dr. Wynrib on a daily basis and that she has felt a great deal of shame. In fact, she felt that she did not deserve to have her son because of what she had done with Dr. Wynrib. In view of the circumstances, I would award general damages of \$20,000.

In several of the sexual assault cases, punitive damages were not awarded because the defendant had been convicted. An award of punitive damages in such circumstances would have amounted to double punishment. Punitive damages in the amount of \$10,000 were, however, awarded in *Harder v. Brown*, supra; in the amount of \$15,000 in *W.(B). v. Mellor*, supra; and in the amount of \$40,000 in *Wiebe v. Haroldson*, supra. ...

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The question that must be asked is whether the conduct of Dr. Wynrib was such as to merit condemnation by the court. It was not harsh, vindictive or malicious to use the terms cited in *Vorvis*, supra. However, it was reprehensible and it was of a type to offend the ordinary standards of decent conduct in the community. Further, the exchange of drugs for sex by a doctor in a position of power is conduct that cries out for deterrence. As is stated in the *Final Report of the Task Force on Sexual Abuse of Patients*, supra, at p. 80:

The limited understanding of sexual abuse involving a breach of trust has been a major barrier to effective self-regulation. Both the actual harm and the risk of harm to other patients posed by a physician who chooses to abuse his position of power to sexually exploit and abuse are rarely identified; moreover, when harm and risk of harm are identified, both are profoundly underestimated.

An award of punitive damages is of importance to make it clear that this trend of underestimation cannot continue. Dr. Wynrib's use of power to gain sexual favours in the context of a doctor-patient relationship is conduct that is offensive and reprehensible. In all the circumstances, I would award an additional \$10,000 in punitive damages.

DISPOSITION

I would allow the appeal and enter judgment for the plaintiff against the defendant. The plaintiff is entitled to aggravated damages in the amount of \$20,000 and punitive damages in the amount of \$10,000, the whole with costs throughout.

SOPINKA J: I have had the advantage of reading the reasons of Justice La Forest. He disposes of this appeal on the basis of the battery claim. With respect, I cannot agree with his approach on the issue of consent. I am also of the view that this case is more appropriately resolved on the basis of the respondent's duty to treat the appellant arising out of the doctor – patient relationship.

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There may well be cases in which a doctor, by virtue of his or her status, exercises such control or authority over a patient that the patient's submission will not be considered genuine consent. However, in my view, that cannot be said about this case. The appellant began and continued to participate in the sexual encounters in order to obtain drugs. She acknowledged that she played on the respondent's loneliness in order to continue obtaining prescriptions. While it is clear that the sexual contact was contrary to the appellant's wishes, in my view it cannot be said that it was without her consent. I therefore do not find any basis on which to set aside the conclusion of the courts below on the issue of consent.

This is sufficient, in my view, to dispose of the battery claim. However, since my colleague La Forest J has relied upon the principles relating to unconscionable transactions in addressing the issue of consent, I feel it necessary to explain why I do not find such an approach helpful or appropriate in this context.

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[T]he weight of academic and judicial opinion is that the doctrine of unconscionability operates to set aside transactions even though there may have been consent or agreement to the terms of the bargain. It is not that this doctrine vitiates consent but rather that fairness requires that the transaction be set aside notwithstanding consent.

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[The respondent's] professional duty arises out of the relationship of doctor – patient which is essentially based on contract. ...

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While the appellant consented to the sexual encounters, she did not consent to the breach of duty that resulted in the continuation of her addiction and the sexual encounters. The fact that a patient acquiesces or agrees to a form of treatment does not absolve a physician from his or her duty if the treatment is not in accordance with medical standards. Otherwise, the patient would be required to know what the prescribed standard is. In the absence of a clear statement by the respondent to the appellant that he was no longer treating her as her physician and an unequivocal consent to the cessation of treatment, I conclude that the duty to treat the appellant continued until she attended at the rehabilitation centre on her own initiative and was treated.

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The breach of duty found was that in lieu of striving to cure the appellant of her addiction, the respondent promoted it in return for sexual favours. The result was that the addiction was prolonged in lieu of treatment and the appellant was subjected to the respondent's sexual advances. The sexual acts were causally connected to the failure to treat and must form part of the damage suffered by the appellant. I would assess the damages for both these components in the amount awarded by my colleague, La Forest J. I would not, however, award punitive damages. These are inappropriate in this case inasmuch as the basis of liability is the breach of professional duty. While the sexual episodes are an element of damage, they are not the basis of liability. These sexual episodes are the basis of liability in the reasons of La Forest J who found the respondent liable for acts of sexual assault deserving of

punishment. In the view that I have taken, they are rather an element of damage for breach of duty, and an award that includes as a component aggravated damages is adequate compensation to the appellant. ...

McLACHLIN J (L'HEUREUX-DUBÉ J concurring): I have had the advantage of reading the reasons of my colleagues Justice La Forest and Justice Sopinka. With respect, I do not find that the doctrines of tort or contract capture the essential nature of the wrong done to the plaintiff. Unquestionably, they do catch aspects of that wrong. But to look at the events which occurred over the course of the relationship between Dr. Wynrib and Ms. Norberg from the perspective of tort or contract is to view that relationship through lenses which distort more than they bring into focus. Only the principles applicable to fiduciary relationships and their breach encompass it in its totality. In my view, that doctrine is clearly applicable to the facts of this case on principles articulated by this court in earlier cases. It alone encompasses the true relationship between the parties and the gravity of the wrong done by the defendant; accordingly, it should be applied.

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The foundation and ambit of the fiduciary obligation are conceptually distinct from the foundation and ambit of contract and tort. Sometimes the doctrines may overlap in their application, but that does not destroy their conceptual and functional uniqueness. In negligence and contract the parties are taken to be independent and equal actors, concerned primarily with their own self-interest. Consequently, the law seeks a balance between enforcing obligations by awarding compensation when those obligations are breached, and preserving optimum freedom for those involved in the relationship in question. The essence of a fiduciary relationship, by contrast, is that one party exercises power on behalf of another and pledges himself or herself to act in the best interests of the other.

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Dr. Wynrib was in a position of power vis-à-vis the plaintiff; he had scope for the exercise of power and discretion with respect to her. He had the power to advise her, to treat her, to give her the drug or to refuse her the drug. He could unilaterally exercise that power or discretion in a way that affected her interests. And her status as a patient rendered her vulnerable and at his mercy, particularly in light of her addiction. ... All the classic characteristics of a fiduciary relationship were present. Dr. Wynrib and Ms. Norberg were on an unequal footing. He pledged himself—by the act of hanging out his shingle as a medical doctor and accepting her as his patient—to act in her best interests and not permit any conflict between his duty to act only in her best interests and his own interests—including his interest in sexual gratification—to arise. As a physician, he owed her the classic duties associated with a fiduciary relationship—the duties of “loyalty, good faith, and avoidance of a conflict of duty and self-interest.”

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If we accept that the principles [of the fiduciary relationship] can apply in this case to protect the plaintiff's interest in receiving medical care free of exploitation at the hands of her physician, as I think we must, then the consequences are most significant. ... [T]he defences based on the alleged fault of the plaintiff, so pressing in tort, may carry little weight when raised against the beneficiary of a fiduciary relationship. This is because the fiduciary approach, unlike those based on tort or contract, is founded on the recognition of the power imbalance inherent in the relationship between fiduciary and beneficiary, and to giving redress where that power imbalance is abused. Another consequence that flows from considering the

matter on the basis of breach of fiduciary obligation may be a more generous approach to remedies, as I will come to presently. Equity has always held trustees strictly accountable in a way the tort of negligence and contract have not. Foreseeability of loss is not a factor in equitable damages. Certain defences, such as mitigation, may not apply.

But the most significant consequence of applying the doctrine of fiduciary obligation to a person in the position of Dr. Wynrib is this. Tort and contract can provide a remedy for a physician's failure to provide adequate treatment. But only with considerable difficulty can they be bent to accommodate the wrong of a physician's abusing his or her position to obtain sexual favours from his or her patient. The law has never recognized consensual sexual relations as capable of giving rise to an obligation in tort or in contract. My colleagues, with respect, strain to conclude the contrary. *La Forest J* does so by using the contractual doctrine of relief from unconscionable transactions to negate the consent which the plaintiff, as found by the trial judge, undoubtedly gave. The problems inherent in this approach have already been noted. *Sopinka J*, at p. 484, finds himself tacking damages for the sexual encounters onto the breach of the duty to treat on the ground that "[t]he sexual acts were causally connected to the failure to treat and must form part of the damage suffered by the appellant." But can damages flow from acts the law finds lawful simply on the ground they are "connected" to damages for an actionable wrong? And what of the patient whose medical needs are fully met but who is sexually exploited? On *Sopinka J*'s reasoning she has no cause of action. These examples underline the importance of treating the consequences of this relationship on the footing of what it is—a fiduciary relationship—rather than forcing it into the ill-fitting moulds of contract and tort. Contrary to the conclusion of the court below, characterizing the duty as fiduciary does add something; indeed, without doing so the wrong done to the plaintiff can neither be fully comprehended in law nor adequately compensated in damages.

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From the principles I turn to the facts. Dr. Wynrib's breach of his duty to Ms. Norberg caused the following losses or injuries to her: (1) prolongation of her addiction; and (2) sexual violation.

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The evidence amply attests to the misery and desperation of Ms. Norberg during the period during which her addiction was prolonged by Dr. Wynrib's failure to offer the appropriate medical treatment. Part of this, her sexual degradation, must be discounted under this head, since I have considered it independently. Taking this into account, I would award an additional \$20,000 for suffering and loss during the period of prolonged addiction for which Dr. Wynrib was responsible.

Second, Ms. Norberg suffered repeated sexual abuse at the hands of Dr. Wynrib. As the trial judge found, she did not want to have sexual relations with Dr. Wynrib. She submitted only because it was the only way to get the drug she desperately craved, and the deprivation of which plunged her into what was described by Dr. Fleming of the Department of Psychiatry, Faculty of Medicine, UBC, as the "extremely unpleasant experience" of withdrawal. ...

The evidence is clear that Ms. Norberg found the sexual contact degrading and dehumanizing. She avoided it for as long as she could, leaving Dr. Wynrib's care when he first suggested it. When desperation drove her back, she submitted only when her addiction rendered it absolutely necessary. The repeated sexual encounters caused her humiliation and robbed her of her dignity. The pain of those encounters will probably remain with her all her life; Ms. Norberg testified that she thinks about the events daily, that her recollections are an unhappy reminder of her addiction and

desperation. When her son was born, she felt that she did not deserve to have her baby because of what she had done with Dr. Wynrib. While the sexual encounters lack the violence of rape, the pain may be just as great because of its insidious psychological overtones. The rape victim may not, although she unfortunately often does, feel guilt. Ms. Norberg, however inevitable and excusable her participation in this activity, clearly does suffer guilt, even years after the events. The evidence suggests her self-esteem has been vitally and perhaps permanently damaged. These *sequelae*, as the *Final Report of the Task Force on Sexual Abuse of Patients* (at pp. 84-5) makes disturbingly clear, are all too typical of victims of sexual exploitation by physicians.

My colleague La Forest J refers to a number of decisions which have considered the quantum of damages for rape and sexual assault. While one must be cautious in making such comparisons, particularly given the somewhat arbitrary basis upon which damages have been assessed in some sexual assault cases, I find the trauma caused to Ms. Norberg as a consequence of the sexual acts in many respects similar to that in *Harder v. Brown* (1989), 50 CCLT 85, 16 ACWS (3d) 347 sub nom. *H.(D.E.) v. Brown* (BC SC). There the plaintiff, a minor, was assaulted a number of times over a seven-year period by the defendant, an elderly friend of her grandfather. As here, the acts consisted of kissing, fondling and attempted intercourse. The defendant also caused the plaintiff to undress and be photographed. As a result, the plaintiff suffered lasting psychological trauma, including a diminished sense of self-worth and difficulty in forming intimate relationships. Wood J, as he then was, awarded general damages in the sum of \$40,000. Ms. Norberg has suffered similar consequential trauma, but bearing in mind the shorter period during which the sexual abuse occurred here, I would award \$25,000 in damages for sexual exploitation.

Finally, this is in my opinion an appropriate case in which to make an award of punitive damages. ...

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Punitive damages are awarded, not for the purpose of compensating the victim for her loss, but with a view to punishing the wrongdoer and deterring both him and others from engaging in similar conduct in the future. Dr. Wynrib's conduct is sufficiently reprehensible and offensive to common standards of decency to render him liable to such a punitive award. While, given his age, it is unlikely that such damages will have much utility in terms of specific deterrent effect, concerns for general deterrence militate in favour of their being granted. The *Report of the Task Force of the Ontario College of Physicians and Surgeons* makes it clear that the sexual exploitation of patients by physicians is more widespread than it is comfortable to contemplate. Its damaging effects extend not only to those persons who are directly harmed, but also to the image of the profession as a whole and the community's trust in physicians to act in our best interests. In this context punitive damages may serve to reinforce the high standard of conduct which the fiduciary relationship between physicians and patients demands be honoured. This is completely in keeping with the law's role in protecting beneficiaries and promoting fiduciary relationships through the strict regulation of the conduct of fiduciaries. ... An award of punitive damages in the present case would signal the community's disapprobation of the sexual exploitation of vulnerable patients, and for that reason ought to be made.

In considering the quantum of punitive damages I find the decision of Osborn J in *Wiebe v. Haroldson*, *supra*, of some assistance. In that case the plaintiff had been violently raped by a man who was a stranger to her. Punitive damages in the amount of \$40,000 were awarded against the defendant ...

Although the circumstances of the present case are quite different from those in *Wiebe v. Haroldson*, supra, I find guidance in that case. The factors referred to by Osborn J—blameworthy conduct, prevalence of conduct necessitating deterrence, lack of empathy for the victim and lack of concern for the consequences to the victim—are present. Most important in this case, as in *Wiebe*, is the need for deterrence. Dr. Wynrib is not alone in breaching the trust of his patient through sexually exploiting her; physicians, and all those in positions of trust, must be warned that society will not condone abuse of the trust placed in them. I would award punitive damages against Dr. Wynrib in the amount of \$25,000.

In the result I would allow the appeal and award the plaintiff judgment for \$70,000.

NOTES AND QUESTIONS

1. In *Hegarty v Shine* (1878), 14 Cox CC 145 (Irish CA) the plaintiff, a domestic servant, sued after contracting venereal disease from the defendant, the master of the house. The trial judge instructed the jury that if the defendant induced the plaintiff to have sexual relations by concealing his condition, the fraud vitiated the plaintiff's consent. On appeal, this was held to be a misdirection:

The charge of the learned judge assumes that, in order to constitute an assault upon a person, the act done should be against his or her will, without his or her consent. With that proposition I entirely agree. To strike a person minaciously or in anger is a matter very different in character from a blow in sport or play. Sexual intercourse with the consent of the female (supposing no grounds to exist for holding the consent inoperative) cannot be an assault on the part of the male. The charge then proceeds to assert that, although consent be given, yet if that consent was obtained by the fraud of the party committing the act, the fraud vitiated the consent and the act became in view of the law an assault. From this proposition when laid down in reference to the particular facts of the present case I dissent. We are not dealing with deceit as to the nature of the act to be done, such as occurred in the case cited in argument, of the innocent girl who was induced to believe that a surgical operation was being performed. There was here a lengthened cohabitation of the parties, deliberate consent to the act or acts out of which the cause of action has arisen. If deceit by one of them as to the condition of his health suffices to alter the whole relation in which they otherwise were to each other, so as to transform the intercourse between them into an assault on the part of the defendant, why should not any other deceit have the same effect? Suppose a woman to live with her paramour under and with a distinct and reiterated promise of marriage not fulfilled, nor, it may be, intended to be fulfilled, is every separate act of intercourse an assault? Let the same happen in conjunction with a broken engagement to provide for her maintenance and protection against poverty, does a similar consequence here also follow? No one, I think, would be prepared to answer these questions in the affirmative.

Contrast *Kathleen K v Robert B*, 198 Cal Rep 273 (CA 1984), holding that the transfer of a venereal disease that the defendant knew or ought to have known he was carrying was actionable.

2. *R v Mabior*, 2012 SCC 47, [2012] 2 SCR 584 dealt with the conditions under which the non-disclosure of HIV status to a sexual partner constituted aggravated assault under the *Criminal Code*. In the course of her concurring judgment, McLachlin CJC outlined the history of fraud vitiating consent to sexual relations:

[25] The common law history of fraud vitiating consent to sexual relations reveals three periods. The early cases support the view that failure to disclose to a partner the fact that one has a serious sexually transmitted disease could constitute fraud vitiating consent to

sexual relations, resulting in convictions for rape or assault. This was reversed in *The Queen v. Clarence* (1888), 22 Q.B.D. 23 (Cr. Cas. Res.), which held that fraud was confined to deception as to the sexual nature of the act or as to the identity of the male sexual partner. In the post-*Charter* era, a return to a broader view of fraud vitiating consent is appropriate.

[26] The first recorded cases to look at the problem before us took a generous approach to consent to sexual intercourse—one that accepted that sexual partners (always women in those days) were entitled to refuse sexual intercourse and should not be tricked into it by deceit. The courts adopted a flexible approach to “fraud” vitiating consent to sexual relations. Without attempting to define the term, they showed themselves willing to extend the term to fundamental aspects of sexual intercourse.

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[31] These cases evinced a generous approach to the issue of consent and when deceit might vitiate it, an approach that respected the right of the women involved to choose whether to have intercourse or not. However, this jurisprudence was shortly to be set aside, in a series of cases which culminated in *Clarence*. To read these cases is to enter a world foreign to modern sensitivities—the world of Victorian morality.

[32] The case that announced the change was *Hegarty v. Shine* (1878), 14 Cox C.C. 124 (H.C.J. Ir. (Q.B.D.)), a civil case involving an action for assault. ... [McLachlin CJC described this case and then continued:]

[33] The point of no return for the earlier, more open view of fraud was reached in *Clarence*. That case confirmed that fraud could vitiate consent to sexual relations only if the complainant was deceived as to the *sexual nature* of the act or as to the identity of the man. The facts were simple. The couple were married. The husband did not tell his wife he had gonorrhoea and infected her. The husband was charged with assault and unlawful infliction of bodily harm.

[34] The fact that 13 judges sat suggests the case was viewed as important. The court divided nine to four, and the husband was acquitted. The majority held that fraud in the context of sexual relations had been interpreted too broadly by the earlier cases, and that it was necessary to limit its application to situations where the complainant was deceived as to the sexual nature of the act or as to the identity of the man. This produced a rule that was to prevail for almost 100 years that fraud could not vitiate consent to sexual intercourse unless it went to the “sexual nature of the act” or to the identity of the sexual partner.

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[39] The views of the majority in *Clarence* were reflected in the first Canadian *Criminal Code* in 1892 (S.C. 1892, c. 29). Parliament defined fraud for purposes of rape and indecent assault narrowly, by restricting it to “false and fraudulent representations as to the nature and quality of the act”: ss. 259(b) and 266. The Code thus incorporated the concerns of the majority in *Clarence*. The deceitful act was limited to “false and fraudulent representations” by opposition to simple concealment, and the subject of the fraud was limited to the “nature and quality of the act.” As a consequence, Canadian courts accepted *Clarence* as settled law and continued to hold that only active fraud as to the nature of the act, i.e. fraud as to its sexual character, or as to the identity of one’s sexual partner constituted fraud vitiating consent to sexual intercourse: see, e.g., *R. v. Harms* (1943), 81 C.C.C. 4 (Sask. C.A.); *Bolduc v. The Queen*, [1967] S.C.R. 677.

[40] In 1983, Parliament amended the *Criminal Code* to create the present s. 265(3)(c): S.C. 1980-81-82-83, c. 125, s. 19. This amendment was part of a major overhaul of the law of sexual offences which aimed, *inter alia*, at protecting the integrity of the person and eliminating sexual discrimination in the criminal law. The new provision referred simply to “fraud,” dropping the qualifying phrases “false and fraudulent representations” and “nature and quality of the act.” Arguably, this change evidenced Parliament’s intent that “fraud”

should be read more broadly than it had been in the past. However, courts continued to apply a restrictive interpretation to the term ...

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[43] Canadian common law on fraud vitiating consent to sexual relations has now entered a third, post-*Clarence* era. *Charter* values of equality, autonomy, liberty, privacy and human dignity require full recognition of the right to consent or to withhold consent to sexual relations. Fraud under s. 265(3)(c) must be interpreted with these values in mind. The *Clarence* line of jurisprudence, which confined fraud to the question of whether the complainant knew the act was sexual or not, is no longer appropriate in the Canadian context. To hold that a complainant consents to the risk of an undisclosed serious disease because he or she knew the act was sexual affronts contemporary sensibilities and contemporary constitutional values.

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[45] The *Charter* values of equality, autonomy, liberty, privacy and human dignity are particularly relevant to the interpretation of fraud vitiating consent to sexual relations. The formerly narrow view of consent has been replaced by a view that respects each sexual partner as an autonomous, equal and free person. Our modern understanding of sexual assault is based on the preservation of the right to refuse sexual intercourse: sexual assault is wrong because it denies the victim's dignity as a human being. Fraud in s. 265(3)(c) of the *Criminal Code* must be interpreted in light of these values.

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[48] In keeping with the *Charter* values of equality and autonomy, we now see sexual assault not only as a crime associated with emotional and physical harm to the victim, but as the wrongful exploitation of another human being. To engage in sexual acts without the consent of another person is to treat him or her as an object and negate his or her human dignity. Although the *Charter* is not directly engaged, the values that animate it must be taken into account in interpreting s. 265(3)(c) of the *Criminal Code*.

3. In *PP v DD*, 2017 ONCA 180, the plaintiff alleged that the defendant, with whom he had had a romantic relationship, had fraudulently misrepresented that she was taking birth control pills. The defendant subsequently had a child. Paternity testing confirmed that the plaintiff was the father. The plaintiff claimed that the misrepresentation vitiated his consent to the sexual intercourse. Rouleau JA stated:

[73] In Linden and Feldthusen, *Canadian Tort Law* (10th ed.) (Toronto: LexisNexis, October 2015), the authors explain that not all forms of fraud will undermine consent to sexual touching. As they state at p. 82, the key question is whether the deceit goes to the "nature and quality of the act." Consent to sexual touching will normally remain operative if the deceit relates not to the "nature and quality of the act," but instead to some collateral matter.

[74] Reported cases involving fraud pertaining to "the nature or quality of the act" are frequently cases of criminal sexual assault. Criminal sexual assault and tortious sexual battery typically involve the same wrongful act, namely non-consensual sexual touching, and in such cases the difference lies in the *mens rea* and standard of proof that must be established ... For the purpose of determining whether consent to sexual touching is operative in the face of fraud or deceit, such criminal cases are therefore instructive. Cases of fraud as to "the nature or quality of the act" have included circumstances where, for example, a choir-master had sexual intercourse with a young student under the pretense that it would improve her singing (*R. v. Williams*, [1923] 1 K.B. 340 (U.K. Ct. Crim. App.)) and where a woman consented to sexual intercourse under the belief that it would cure certain physical disorders (*R. v. Harms*, 1943 CanLII 146 (SK CA), [1944] 2 D.L.R. 61 (Sask. C.A.)).

[75] Likewise, fraud pertaining to the identity of the sexual partner will undermine consent. This court has upheld a criminal conviction for sexual assault where the complainant mistakenly believed her sexual partner was her boyfriend when it was in fact his identical twin brother and where the twin was reckless or wilfully blind as to whether his identity was clear to the complainant. ...

[76] The [plaintiff] relies on *R. v. Hutchinson*, 2014 SCC 19 (CanLII), [2014] 1 S.C.R. 346, a case wherein the court—in interpreting the *Criminal Code* provisions relating to sexual assault—took the opportunity to both summarize and clarify the law as to when fraud vitiates a complainant's consent to sexual touching. In *Hutchinson*, the majority made clear that the analysis of whether consent to sexual touching is operative involves two questions. First, the court must determine whether the complainant validly consented to the sexual activity in question. Second, if so, the court must consider whether there are any circumstances that may vitiate the complainant's apparent consent

[77] With respect to the first question, the Supreme Court confirmed the earlier case law and the above-noted view of Linden and Feldthusen, insofar as fraud going to the "nature and quality of the act" will undermine consent. Where there is a deception or mistaken belief with respect to either the identity of the sexual partner or the sexual nature of the act itself, no consent to sexual touching will have been obtained

[78] In the present case there is no issue as to whether there was deception concerning the identity of the sexual partner or the sexual nature of the act itself. The appellant concedes that he consented to sexual intercourse with the respondent. His precise allegation is that his otherwise valid consent was vitiated in the circumstances by fraud.

[79] This takes me to the second question in *Hutchinson*, namely what types of fraud will vitiate consent to sexual activity. Here the court confirmed the approach it took in the cases of *R. v. Cuerrier*, 1998 CanLII 796 (SCC), [1998] 2 S.C.R. 371 and *R. v. Mabior*, 2012 SCC 47 (CanLII), [2012] 2 S.C.R. 584. That is, for consent to be vitiated by fraud there must be: (1) dishonesty, which can include the non-disclosure of important facts; and (2) a deprivation or risk of deprivation in the form of serious bodily harm that results from the dishonesty: *Hutchinson*, at para. 67.

[80] In *Hutchinson*, the accused punctured holes in a condom that he then used to have intercourse with the complainant. As a result, unbeknownst to the complainant the sex was unprotected and the intercourse gave rise to a significant risk of serious bodily harm, namely becoming pregnant with all of its attendant risks.

[81] The majority in *Hutchinson* considered that the presence or absence of a condom during sexual intercourse does not affect the "specific physical sex act" to which the complainant consented, namely sexual intercourse, but is rather a "collateral condition" to that sexual activity. In the majority's view, so long as there is consent to "sexual intercourse," this general consent is not vitiated by dishonesty about condom use unless it exposes the individual to a "deprivation or risk of deprivation in the form of serious bodily harm which results from the dishonesty" (para. 67). On the facts of *Hutchinson*, the deprivation consisted of denying the woman the benefit of choosing not to become pregnant "by making her pregnant, or exposing her to an increased risk of becoming pregnant" and thereby exposing her to a significant risk of serious bodily harm. This was based on the majority's understanding that "harm" includes at least the sorts of profound changes in a woman's body resulting from pregnancy (paras. 69-72).

[82] In *Hutchinson*, therefore, the Supreme Court clarified that deception with respect to contraceptive practice does not go to the "nature and quality of the act"—or, in the words of the *Criminal Code*, to the "sexual activity in question"—but that it may, nevertheless, vitiate consent to sexual touching where the fraud gives rise to a significant risk of serious bodily harm, which includes the risk of pregnancy. The majority also made it clear, however, that:

[t]o establish fraud, the dishonest act must result in a deprivation that is equally serious as the deprivation recognized in *Cuerrier* and in this case [namely, a significant risk of

serious bodily harm]. For example, financial deprivations or mere sadness or stress from being lied to will not be sufficient (para. 72).

[83] In summary, therefore, absent any concerns about bodily harm, the test for invalid or vitiated consent has not changed from that set out by the authors in *Canadian Tort Law*. With the one exception of deceit giving rise to a significant risk of serious bodily harm, in which case consent may be vitiated, the question continues to be whether the alleged deception relates to the specific sexual act undertaken and/or to the identity of the sexual partner.

[84] As a result, I do not view *Hutchinson* as being of any assistance to the [plaintiff]. In the present case, the intercourse between the two known partners occurred consensually on many occasions. The appellant's consent to sexual activity was meaningful, voluntary, and genuine. As the appellant concedes, he consented to unprotected sex and was fully informed as to the respondent's identity and as to the nature of the sexual act in which the parties voluntarily participated. The touching involved was wanted and would have occurred in the same way except that, but for the alleged misrepresentation, the appellant would have used a condom. Not wearing a condom did not increase the appellant's risk of serious physical injury.

[85] As the motion judge found, the [plaintiff's] alleged damage is principally emotional harm or, in other words, hurt feelings and lost aspirations and/or career opportunities flowing from the birth of his child. His situation, as a man, is quite different from that of the woman. Clearly, there are profound physical and psychological effects on a mother undergoing a pregnancy that do not apply to the father of the child. The appellant was not exposed to any serious transmissible disease or other significant risk of serious bodily harm flowing from the intercourse. Moreover, it is noteworthy that the [plaintiff] was willing to assume some risk, albeit small, that pregnancy would result from the several instances of sexual intercourse, a risk present even where the woman is taking contraceptive pills.

[86] The alleged deception in this case was not with respect to the nature of the act, but only as to the likely consequences flowing therefrom. The sexual contact in this case was consented to and there were no physically injurious consequences. There was therefore no violation of the appellant's right to physical or sexual autonomy that would give rise to a claim in battery. This is not to minimize the significance of fathering a child and the legal and moral responsibilities that ensue therefrom, nor to condone the alleged conduct of the [defendant]. The issue is only whether the alleged misrepresentation is actionable and whether, if proven, it would constitute the tort of battery. In my view, it would not.

4. Is it battery for a person who falsely holds himself out as a gynecologist to conduct medical examinations? Compare *R v Maurantonio*, [1968] 1 OR 145, 65 DLR (2d) 674 (CA).

5. Is it battery for a man who is already legally married to marry and have sexual relations with a woman from whom he has concealed his existing marriage? See *Smythe v Reardon*, [1948] Q St R 74. What if he mistakenly thinks that his first marriage has been legally dissolved?

E (MRS) V EVE

[1986] 2 SCR 388

LA FOREST J (for the court): These proceedings began with an application by a mother for permission to consent to the sterilization of her mentally retarded daughter who also suffered from a condition that makes it extremely difficult for her to communicate with others. The application was heard by McQuaid J of the Supreme Court of Prince Edward Island—Family Division. In the interests of privacy, he called the daughter "Eve," and her mother "Mrs. E."

When Eve was a child, she lived with her mother and attended various local schools. When she became twenty-one, her mother sent her to a school for retarded

adults in another community. There she stayed with relatives during the week, returning to her mother's home on weekends. At this school, Eve struck up a close friendship with a male student; in fact, they talked of marriage. He too is retarded, though somewhat less so than Eve. However, the situation was identified by the school authorities who talked to the male student and brought the matter to an end.

The situation naturally troubled Mrs. E. Eve was usually under her supervision or that of someone else, but this was not always the case. She was attracted and attractive to men and Mrs. E. feared she might quite possibly and innocently become pregnant. Mrs. E. was concerned about the emotional effect that a pregnancy and subsequent birth might have on her daughter. Eve, she felt, could not adequately cope with the duties of a mother and the responsibility would fall on Mrs. E. This would understandably cause her great difficulty; she is a widow and was then approaching sixty. That is why she decided Eve should be sterilized.

Eve's condition is more fully described by McQuaid J as follows:

The evidence established that Eve is 24 years of age, and suffers what is described as extreme expressive aphasia. She is unquestionably at least mildly to moderately retarded. She has some learning skills, but only to a limited level. She is described as being a pleasant and affectionate person who, physically, is an adult person, quite capable of being attracted to, as well as attractive to, the opposite sex. While she might be able to carry out the mechanical duties of a mother, under supervision, she is incapable of being a mother in any other sense. Apart from being able to recognize the fact of a family unit, as consisting of a father, a mother, and children residing in the same home, she would have no concept of the idea of marriage, or indeed, the consequential relationship between, intercourse, pregnancy and birth.

Expressive aphasia was described as a condition in which the patient is unable to communicate outwardly thoughts or concepts which she might have perceived. Particularly in the case of a person suffering from any degree of retardation, the result is that even an expert such as a psychiatrist is unable to determine with any degree of certainty if, in fact, those thoughts or concepts have actually been perceived, or whether understanding of them does exist. Little appears to be known of the cause of this condition, and even less of its remedy. In the case of Eve, this condition has been diagnosed as extreme.

From the evidence, he further concluded:

[t]hat Eve is not capable of informed consent, that her moderate retardation is generally stable, that her condition is probably non-inheritable, that she is incapable of effective alternative means of contraception, that the psychological or emotional effect of the proposed operation would probably be minimal, and that the probable incidence of pregnancy is impossible to predict. ...

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... The Court is asked to consent, on behalf of Eve, to sterilization since she, though an adult, is unable to do so herself. Sterilization by means of a tubal ligation is usually irreversible. And hysterectomy, the operation authorized by the Appeal Division, is not only irreversible; it is major surgery. Eve's sterilization is not being sought to treat any medical condition. Its purposes are admittedly non-therapeutic. One such purpose is to deprive Eve of the capacity to become pregnant so as to save her from the possible trauma of giving birth and from the resultant obligations of a parent, a task the evidence indicates she is not capable of fulfilling. As to this, it should be noted that there is no evidence that giving birth would be more difficult for Eve than for any other woman. A second purpose of the sterilization is to relieve Mrs. E. of anxiety

about the possibility of Eve's becoming pregnant and of having to care for any child Eve might bear.

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From the earliest time, the sovereign, as *parens patriae*, was vested with the care of the mentally incompetent. This right and duty, as Lord Eldon noted in *Wellesley v. Duke of Beaufort*, supra at 2 Russ., at p. 20, 38 ER, at p. 243 is founded on the obvious necessity that the law should place somewhere the care of persons who are not able to take care of themselves. In early England, the *parens patriae* jurisdiction was confined to mental incompetents, but its rationale is obviously applicable to children and, following the transfer of that jurisdiction to the Lord Chancellor in the seventeenth century, he extended it to children under wardship, and it is in this context that the bulk of the modern cases on the subject arise. The *parens patriae* jurisdiction was later vested in the provincial superior courts of this country, and in particular, those of Prince Edward Island.

The *parens patriae* jurisdiction is, as I have said, founded on necessity, namely the need to act for the protection of those who cannot care for themselves. The courts have frequently stated that it is to be exercised in the "best interest" of the protected person, or again, for his or her "benefit" or "welfare."

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I have no doubt that the jurisdiction may be used to authorize the performance of a surgical operation that is necessary to the health of a person, as indeed it already has been in Great Britain and this country. And by health, I mean mental as well as physical health. In the United States, the courts have used the *parens patriae* jurisdiction on behalf of a mentally incompetent to authorize chemotherapy and amputation, and I have little doubt that in a proper case our courts should do the same. Many of these instances are related in *Strunk v. Strunk*, 445 SW 2d 145 (Ky. 1969), where the court went to the length of permitting a kidney transplant between brothers. Whether the courts in this country should go that far or as in *Quinlan* permit the removal of life-sustaining equipment, I leave to later disposition.

Though the scope or sphere of operation of the *parens patriae* jurisdiction may be unlimited, it by no means follows that the discretion to exercise it is unlimited. It must be exercised in accordance with its underlying principle. Simply put, the discretion is to do what is necessary for the protection of the person for whose benefit it is exercised. ... The discretion is to be exercised for the benefit of that person, not for that of others. It is a discretion, too, that must at all times be exercised with great caution, a caution that must be redoubled as the seriousness of the matter increases. This is particularly so in cases where a court might be tempted to act because failure to do so would risk imposing an obviously heavy burden on some other individual.

There are other reasons for approaching an application for sterilization of a mentally incompetent person with the utmost caution. To begin with, the decision involves values in an area where our social history clouds our vision and encourages many to perceive the mentally handicapped as somewhat less than human. This attitude has been aided and abetted by now discredited eugenic theories whose influence was felt in this country as well as the United States. Two provinces, Alberta and British Columbia, once had statutes providing for the sterilization of mental defectives; The *Sexual Sterilization Act*, RSA 1970, c. 341, repealed by SA 1972, c. 87; *Sexual Sterilization Act*, RSBC 1960, c. 353, s. 5(1), repealed by SBC 1973, c. 79.

Moreover, the implications of sterilization are always serious. As we have been reminded, it removes from a person the great privilege of giving birth, and is for practical purposes irreversible. If achieved by means of a hysterectomy, the procedure approved by the Appeal Division, it is not only irreversible; it is major surgery.

Another factor merits attention. Unlike most surgical procedures, sterilization is not one that is ordinarily performed for the purpose of medical treatment. The Law Reform Commission of Canada tells us this in *Sterilization*, Working Paper 24 (1979), a publication to which I shall frequently refer as providing a convenient summary of much of the work in the field. It says at p. 3:

Sterilization as a medical procedure is distinct, because except in rare cases, if the operation is not performed, the physical health of the person involved is not in danger, necessity or emergency not normally being factors in the decision to undertake the procedure. In addition to its being elective it is for all intents and purposes irreversible.

As well, there is considerable evidence that non-consensual sterilization has a significant negative psychological impact on the mentally handicapped; see *Sterilization*, supra, at pp. 49-52. The Commission has this to say at p. 50:

It has been found that, like anyone else, the mentally handicapped have individually varying reactions to sterilization. Sex and parenthood hold the same significance for them as for other people and their misconceptions and misunderstandings are also similar. Rosen maintains that the removal of an individual's procreative powers is a matter of major importance and that no amount of reforming zeal can remove the significance of sterilization and its effect on the individual psyche.

In a study by Sabagh and Edgerton, it was found that sterilized mentally retarded persons tend to perceive sterilization as a symbol of reduced or degraded status. Their attempts to pass for normal were hindered by negative self perceptions and resulted in withdrawal and isolation rather than striving to conform. ...

The psychological impact of sterilization is likely to be particularly damaging in cases where it is a result of coercion and when the mentally handicapped have had no children.

In the present case, there is no evidence to indicate that failure to perform the operation would have any detrimental effect on Eve's physical or mental health. The purposes of the operation, as far as Eve's welfare is concerned, are to protect her from possible trauma in giving birth and from the assumed difficulties she would have in fulfilling her duties as a parent. As well, one must assume from the fact that hysterectomy was ordered, that the operation was intended to relieve her of the hygienic tasks associated with menstruation. Another purpose is to relieve Mrs. E. of the anxiety that Eve might become pregnant, and give birth to a child, the responsibility for whom would probably fall on Mrs. E.

I shall dispose of the latter purpose first. One may sympathize with Mrs. E. To use Heilbron J's phrase, it is easy to understand the natural feelings of a parent's heart. But the *parens patriae* jurisdiction cannot be used for her benefit. Its exercise is confined to doing what is necessary for the benefit and protection of persons under disability like Eve. And a court, as I previously mentioned, must exercise great caution to avoid being misled by this all too human mixture of emotions and motives. So we are left to consider whether the purposes underlying the operation are necessarily for Eve's benefit and protection.

The justifications advanced are the ones commonly proposed in support of non-therapeutic sterilization (see *Sterilization*, passim). Many are demonstrably weak. The Commission dismisses the argument about the trauma of birth by observing at p. 60:

For this argument to be held valid would require that it could be demonstrated that the stress of delivery was greater in the case of mentally handicapped persons than it is for others. Considering the generally known wide range of post-partum response would likely render this a difficult case to prove.

The argument relating to fitness as a parent involves many value-loaded questions. Studies conclude that mentally incompetent parents show as much fondness and concern for their children as other people; see *Sterilization*, supra, p. 33 et seq., 63-64. Many, it is true, may have difficulty in coping, particularly with the financial burdens involved. But this issue does not relate to the benefit of the incompetent; it is a social problem, and one, moreover, that is not limited to incompetents. Above all it is not an issue that comes within the limited powers of the courts, under the *parens patriae* jurisdiction, to do what is necessary for the benefit of persons who are unable to care for themselves. Indeed, there are human rights considerations that should make a court extremely hesitant about attempting to solve a social problem like this by this means. It is worth noting that in dealing with such issues, provincial sterilization boards have revealed serious differences in their attitudes as between men and women, the poor and the rich, and people of different ethnic backgrounds; see *Sterilization*, supra, at p. 44.

As far as the hygienic problems are concerned, the following view of the Law Reform Commission (at p. 34) is obviously sound:

... if a person requires a great deal of assistance in managing their own menstruation, they are also likely to require assistance with urinary and fecal control, problems which are much more troublesome in terms of personal hygiene.

Apart from this, the drastic measure of subjecting a person to a hysterectomy for this purpose is clearly excessive.

The grave intrusion on a person's rights and the certain physical damage that ensues from non-therapeutic sterilization without consent, when compared to the highly questionable advantages that can result from it, have persuaded me that it can never safely be determined that such a procedure is for the benefit of that person. Accordingly, the procedure should never be authorized for non-therapeutic purposes under the *parens patriae* jurisdiction.

To begin with, it is difficult to imagine a case in which non-therapeutic sterilization could possibly be of benefit to the person on behalf of whom a court purports to act, let alone one in which that procedure is necessary in his or her best interest. And how are we to weigh the best interests of a person in this troublesome area, keeping in mind that an error is irreversible? Unlike other cases involving the use of the *parens patriae* jurisdiction, an error cannot be corrected by the subsequent exercise of judicial discretion. That being so, one need only recall Lord Eldon's remark, supra, that "it has always been the principle of this Court, not to risk damage to children which it cannot repair" to conclude that non-therapeutic sterilization may not be authorized in the exercise of the *parens patriae* jurisdiction. McQuaid J was, therefore, right in concluding that he had no authority or jurisdiction to grant the application.

Nature or the advances of science may, at least in a measure, free Eve of the incapacity from which she suffers. Such a possibility should give the courts pause in extending their power to care for individuals to such irreversible action as we are called upon to take here. The irreversible and serious intrusion on the basic rights of the individual is simply too great to allow a court to act on the basis of possible advantages which, from the standpoint of the individual, are highly debatable. Judges are generally ill-informed about many of the factors relevant to a wise decision in this difficult area. They generally know little of mental illness, of techniques of contraception or their efficacy. And, however well presented a case may be, it can only partially inform. If sterilization of the mentally incompetent is to be adopted as desirable for general social purposes, the legislature is the appropriate body to do so. It is in a position to inform itself and it is attuned to the feelings of the public in

making policy in this sensitive area. The actions of the legislature will then, of course, be subject to the scrutiny of the courts under the *Canadian Charter of Rights and Freedoms* and otherwise.

...

The foregoing, of course, leaves out of consideration therapeutic sterilization and where the line is to be drawn between therapeutic and non-therapeutic sterilization. On this issue, I simply repeat that the utmost caution must be exercised commensurate with the seriousness of the procedure. Marginal justifications must be weighed against what is in every case a grave intrusion on the physical and mental integrity of the person.

... The importance of maintaining the physical integrity of a human being ranks high in our scale of values, particularly as it affects the privilege of giving life. I cannot agree that a court can deprive a woman of that privilege for purely social or other non-therapeutic purposes without her consent. The fact that others may suffer inconvenience or hardship from failure to do so cannot be taken into account. The Crown's *parens patriae* jurisdiction exists for the benefit of those who cannot help themselves, not to relieve those who may have the burden of caring for them.

IN RE B

[1987] 2 All ER 206 (HL)

LORD OLIVER OF AYLMEYTON: My Lords, this appeal concerns a girl of seventeen who was born on 20 May 1969 and who has been in the care of the first respondent, the Sunderland Borough Council, since 31 May 1973 under the provisions of section 1(2)(a) of the *Children and Young Persons Act 1969*. Thus it is the council which, during her minority, exercises parental rights over her. On 18 June 1986 the council applied by originating summons to the Family Division of the High Court of Justice for an order making the minor a ward of court and for leave to be given for her to undergo a sterilisation operation. ... [I]t is sufficient at this stage to say that the leave sought by the council was supported by the mother but opposed by the Official Solicitor on behalf of the minor. ... Bush J came to the firm conclusion that the only possible decision for the future welfare of the minor was that the leave sought by the council should be given and the operation carried out. The Official Solicitor appealed to the Court of Appeal which, on 16 March 1987, unanimously dismissed the appeal. From that decision the Official Solicitor now appeals to your Lordships.

My Lords, none of us is likely to forget that we live in a century which, as a matter of relatively recent history, has witnessed experiments carried out in the name of eugenics or for the purpose of population control, so that the very word "sterilisation" has come to carry emotive overtones. It is important at the very outset, therefore, to emphasise as strongly as it is possible to do so, that this appeal has nothing whatever to do with eugenics. It is concerned with one primary consideration and one alone, namely the welfare and best interest of this young woman, an interest which is conditioned by the imperative necessity of ensuring, for her own safety and welfare, that she does not become pregnant.

The minor is the second of the three children of the marriage of her mother, a marriage which terminated in divorce in 1977. From a comparatively early age it became apparent that she was mentally retarded, was prone to outbursts of aggression and was epileptic. She was received into care at the age of four and was described as being then like a wild animal. After a spell in a residential nursery she was moved, in August 1975, to a residential institution managed by the council for

both minor and adult persons suffering from mental handicap. She has lived there ever since and it is envisaged that she will continue to live there for the foreseeable future. That institution has an associated school at which she may stay until she is nineteen but it is likely that thereafter she will be transferred to an adult training centre at which it will not be possible to provide the degree of supervision that she at present experiences. She suffers from what is described as a "moderate" degree of mental handicap but has a very limited intellectual development. Her ability to understand speech is that of a six-year-old, but her ability to express herself has been described as comparable to that of a two-year-old child. No cause for her mental handicap has been established but the report of Dr. Berney, a consultant psychiatrist who gave evidence before the judge, indicates that her epilepsy and the degree of her mental incapacity suggest an underlying abnormality of the brain. It is not envisaged that she will ever be capable of caring for herself in the community or reach a stage where she could return permanently to her mother's care. She is capable of finding her way round a limited locality, of dressing and bathing herself and performing simple household tasks under supervision and she has been taught to cope with menstruation; but the evidence is that she is unlikely to show an improvement in mental capacity beyond that of a six-year-old child. She has, in the past, shown evidence of extremes of mood and can become violent and aggressive, a phenomenon associated with pre-menstrual tension. Since the middle of 1986 there has been prescribed for her a drug known as danazole to help in controlling her irregular periods and relieving pre-menstrual tension, whilst her epilepsy is controlled by anti-convulsant drugs. She suffers from obesity and an earlier attempt to treat her outbursts of violence with microgynon 30 (a combined oral contraceptive) had to be abandoned because it produced a significant increase in weight. Another behavioural feature of significance is her high tolerance of pain. There is evidence that she bites her arm and that if injured she interferes with the process of healing by opening and probing the wounds.

What prompted the application to the court was the consciousness on the part of her mother and officers of the council responsible for her care that she was beginning to show recognisable signs of sexual awareness and sexual drive exemplified by provocative approaches to male members of the staff and other residents and by touching herself in the genital area. There was thus brought to their attention the obvious risk of pregnancy and the desirability of taking urgent and effective contraceptive measures. Although at present she is subject to effective supervision, her degree of incapacity is not such that it would be thought right that she should, effectively, be institutionalised all her life. The current approach to persons of her degree of incapacity is to allow them as much freedom as is consistent with their own safety and that of other people and although the likelihood is that she will, for the foreseeable future, continue to live at the residential institution, she visits her mother and her siblings at weekends and will, inevitably, be much less susceptible to supervision when she goes to an adult training centre. At the same time the risks involved in her becoming pregnant are formidable. The evidence of Dr. Berney is that there is no prospect of her being capable of forming a long-term adult relationship, such as marriage, which is within the capacity of some less mentally handicapped persons. She has displayed no maternal feelings and indeed has an antipathy to small children. Such skills as she has been able to develop are limited to those necessary for caring for herself at the simplest level and there is no prospect of her being capable of raising or caring for a child of her own. If she did give birth to a child it would be essential that it be taken from her for fostering or adoption although her attitude towards children is such that this would not cause her distress. So far as her awareness of her own sexuality is concerned, she has, as has already been

mentioned, been taught to manage for herself the necessary hygienic mechanics of menstruation, but it has not been possible to teach her about sexuality in any abstract form. She understands the link between pregnancy and a baby but is unaware of sexual intercourse and its relationship to pregnancy. It is not feasible to discuss contraception with her and even if there should come a time when she becomes capable of understanding the need for contraception, there is no likelihood of her being able to develop the capacity to weigh up the merits of different types of contraception or to make an informed choice in the matter. Should she become pregnant, it would be desirable that the pregnancy should be terminated, but because of her obesity and the irregularity of her periods there is an obvious danger that her condition might not be noticed until it was too late for an abortion to take place safely. On the other hand, the risks if she were permitted to go to full term are serious, for although it is Dr. Berney's opinion that she would tolerate the condition of pregnancy without undue distress, the process of delivery would be likely to be traumatic and would cause her to panic. Normal delivery would be likely to require heavy sedation, which could be injurious to the child, so that it might be more appropriate to deliver her by Caesarean section. If this course were adopted, however, past experience of her reaction to injuries suggests that it would be very difficult to prevent her from repeatedly opening up the wound and thus preventing the healing of the post-operative scar. It was against this background and in the light of the increasing freedom which must be allowed her as she grows older and the consequent difficulty of maintaining effective supervision that those having the care of the minor concluded that it was essential in her interests that effective contraceptive measures be taken. Almost all drugs appear to have a bad effect upon her and the view was formed, in which her mother concurred, that the only appropriate course offering complete protection was for her to undergo sterilisation by occluding the fallopian tubes, a relatively minor operation carrying a very small degree of risk to the patient, a very high degree of protection and minimal side effects. There is, however, no possibility that the minor, even if of full age, would herself have the mental capacity to consent to such an operation. Hence the application to the court.

The necessity for the course proposed has been exhaustively considered by the Official Solicitor on the minor's behalf and there have been obtained two very careful and detailed reports from Dr. Berney who is a consultant in child and adolescent psychiatry, and Mr. Barron, a consultant of obstetrics and gynaecology to the Newcastle Health Authority. Both agree upon the absolute necessity of taking effective contraceptive measures and the report of Mr. Barron, in particular, contains a detailed consideration of the various options. It is unnecessary for present purposes to dilate upon the numerous possible courses which have been considered. Her limited intelligence effectively rules out mechanical methods whilst at the same time the way in which certain contraceptive drugs are likely to react with the anti-convulsant drugs administered for her epileptic condition severely limits the available choices. In the end it emerges as common ground that the only alternative to sterilisation which even merits consideration is the administration daily in pill form of the drug progestogen supplemented for the present, at any rate, by the danazole which she is presently taking. This involves a number of disadvantages and uncertainties. In the first place, it involves a regular and uninterrupted course which must be pursued over the whole of the minor's reproductive life of some 30 years or so. Secondly, it involves a daily dosage—a matter which has given great concern to those having the care of the minor. Miss Ford, the social worker most closely connected with her, was of the opinion that if the minor was in one of her violent moods there was no possible way which the pill could be administered. Thirdly, the side effects of the drug over a long term are not yet known. Possibilities canvassed

in the course of the evidence of Dr. Lowry, the consultant paediatrician at Sunderland District General Hospital, were weight-gain, nausea, headaches and depression. But fourthly, and perhaps even more importantly, the effectiveness of this course is entirely speculative. The matter can perhaps best be summed-up in the answer given by Mr. Barron when he was asked in examination-in-chief for an assessment of the prospects of achieving a satisfactory contraceptive regime by way of pill. He said:

It would be very speculative because you have a problem here of a girl who is obese who is still quite young, who has all kinds of problems like, for example, taking anti-convulsant therapy for epilepsy, which affect the manner of working certainly of oestrogens, all of which make her a particularly difficult person in whom to perform a normal judgment. Therefore, I think that we might find a successful *modus vivendi*, but it is difficult to be certain. I think it is perhaps—if you want a kind of guess, I would say that we have a 30 to 40 per cent chance of getting some formulation that would be successful. But of course it would have to be taken for a very long time.

In answer to a further question he surmised that an experimental period of 12 to 18 months might be required.

Here then is the dilemma. The vulnerability of this young woman, her need for protection, and the potentially frightening consequences of her becoming pregnant are not in doubt. Of the two possible courses, the one proposed is safe, certain but irreversible, the other speculative, possibly damaging and requiring discipline over a period of many years from one of the most limited intellectual capacity. Equally it is not in doubt that this young woman is not capable and never will be capable herself of consenting to undergo a sterilisation operation. Can the court and should the court, in the exercise of its wardship jurisdiction, give on her behalf that consent which she is incapable of giving and which, objectively considered, it is clearly in her interests to give?

My Lords, I have thought it right to set out in some detail the background of fact in which this appeal has come before your Lordships' House because it is, in my judgment, essential to appreciate, in considering the welfare of this young woman which it is the duty of the court to protect, the degree of her vulnerability, the urgency of the need to take protective measures and the impossibility of her ever being able at this age or any later age either to consent to any form of operative treatment or to exercise for herself the right of making any informed decision in matters which, in the case of a person less heavily handicapped, would rightly be thought to be matters purely of personal and subjective choice. ...

[T]he right to reproduce is of value only if accompanied by the ability to make a choice and in the instant case there is no question of the minor ever being able to make such a choice or indeed to appreciate the need to make one. All the evidence indicates that she will never desire a child and that reproduction would in fact be positively harmful to her. ... I do not, for my part, find the distinction between "therapeutic" and "non-therapeutic" measures helpful in the context of the instant case, for it seems to me entirely immaterial whether measures undertaken for the protection against future and foreseeable injury are properly described as "therapeutic." The primary and paramount question is only whether they are for the welfare and benefit of this particular young woman situate as she is situate in this case.

Your Lordships have also been referred to *Re Eve* (1986), 31 DLR (4th) 1, a decision of the Supreme Court of Canada which contains an extremely instructive judgment of La Forest J in which he considered the extent of the *parens patriae* jurisdiction over mentally handicapped persons. His conclusion was that sterilisation should

never be authorised for non-therapeutic purposes under the *parens patriae* jurisdiction. If in that conclusion the expression “non-therapeutic” was intended to exclude measures taken for the necessary protection from future harm of the person over whom the jurisdiction is exercisable, then I respectfully dissent from it for it seems to me to contradict what is the sole and paramount criterion for the exercise of the jurisdiction, viz. the welfare and benefit of the ward. La Forest J observed 31 DLR (4th) 1, 32-33: “If sterilisation of the mentally incompetent is to be adopted as desirable for general social purposes, the legislature is the appropriate body to do so.”

With that I respectfully agree but I desire to emphasise once again that this case is not about sterilisation for social purposes; it is not about eugenics; it is not about the convenience of those whose task it is to care for the ward or the anxieties of her family; and it involves no general principle of public policy. It is about what is in the best interests of this unfortunate young woman and how best she can be given the protection which is essential to her future wellbeing so that she may lead as full a life as her intellectual capacity allows. That is and must be the paramount consideration as was rightly appreciated by Bush J and by the Court of Appeal. They came to what, in my judgment, was the only possible conclusion in the interests of the minor. I would accordingly dismiss the appeal.

LORD HAILSHAM OF ST. MARYLEBONE LC, LORD BRIDGE OF HARWICH, LORD BRANDON OF OAKBROOK, and LORD TEMPLEMAN were of the same opinion. In the course of his judgment Lord Hailsham remarked:

We were also properly referred to the Canadian case of *Re Eve* (1986), 31 DLR (4th) 1. But whilst I find La Forest J’s history of the *parens patriae* jurisdiction of the Crown at pp. 14-21 extremely helpful, I find, with great respect, his conclusion at p. 32 that the procedure of sterilisation “should never be authorised for non-therapeutic purposes” (my emphasis) totally unconvincing and in startling contradiction to the welfare principle which should be the first and paramount consideration in wardship cases. Moreover, for the purposes of the present appeal I find the distinction he purports to draw between “therapeutic” and “non-therapeutic” purposes of this operation in relation to the facts of the present case above as totally meaningless, and, if meaningful, quite irrelevant to the correct application of the welfare principle. To talk of the “basic right” to reproduce of an individual who is not capable of knowing the causal connection between intercourse and childbirth, the nature of pregnancy, what is involved in delivery, unable to form maternal instincts or to care for a child appears to me wholly to part company with reality.

REIBL V HUGHES

[1980] 2 SCR 880, 114 DLR (3d) 1

LASKIN CJC (for the court): The plaintiff-appellant, then 44 years of age, underwent serious surgery on March 18, 1970 for the removal of an occlusion in the left internal carotid artery, which had prevented more than a 15 percent flow of blood through the vessel. The operation was competently performed by the defendant-respondent, a qualified neurosurgeon. However, during or immediately following the surgery the plaintiff suffered a massive stroke which left him paralyzed on the right side of his body and also impotent. The plaintiff had, of course, formally consented to the operation. Alleging, however, that his was not an “informed consent,” he sued for damages and recovered on this ground in both battery and negligence. The trial Judge, Haines J, awarded a global sum of \$225,000.

A majority of the Ontario Court of Appeal ordered a new trial on both liability and damages. ...

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It is now undoubted that the relationship between surgeon and patient gives rise to a duty of the surgeon to make disclosure to the patient of what I would call all material risks attending the surgery which is recommended. The scope of the duty of disclosure was considered in *Hopp v. Lepp*, a judgment of this Court, delivered on May 20, 1980 where it was generalized as follows:

In summary, the decided cases appear to indicate that, in obtaining the consent of a patient for the performance upon him of a surgical operation, a surgeon, generally, should answer any specific questions posed by the patient as to the risks involved and should, without being questioned, disclose to him the nature of the proposed operation, its gravity, any material risks and any special or unusual risks attendant upon the performance of the operation. However, having said that, it should be added that the scope of the duty of disclosure and whether or not it has been breached are matters which must be decided in relation to the circumstances of each particular case.

The Court in *Hopp v. Lepp* also pointed out that even if a certain risk is a mere possibility which ordinarily need not be disclosed, yet if its occurrence carries serious consequences, as for example, paralysis or even death, it should be regarded as a material risk requiring disclosure.

In the present case, the risk attending the surgery or its immediate aftermath was the risk of a stroke, of paralysis and, indeed, of death. This was, without question, a material risk. At the same time, the evidence made it clear that there was also a risk of a stroke and of resulting death if surgery for the removal of the occlusion was refused by the patient. The delicacy of the surgery is beyond question, and its execution is no longer in any way faulted. (I would note here that in this Court no issue was raised as to the adequacy of post-operative care.) How specific, therefore, must the information to the patient be, in a case such as this, to enable him to make an “informed” choice between surgery and no surgery? One of the considerations weighing upon the plaintiff was the fact that he was about a year and a half away from earning a lifetime retirement pension as a Ford Motor Company employee. The trial Judge noted (to use his words) that “due to this tragedy befalling him at the time it did, he was not eligible for certain extended disability benefits available under the collective agreement between the Ford Motor Company of Canada, Limited and its hourly employees of ten years’ standing.” At the time of the operation, the plaintiff had 8.4 years’ service with his employer. He stated in his evidence that if he had been properly informed of the magnitude of the risk involved in the surgery he would have elected to forgo it, at least until his pension had vested and, further, he would have opted for a shorter normal life than a longer one as a cripple because of the surgery. Although elective surgery was indicated for the condition from which the plaintiff suffered, there was (as the trial judge found) no emergency in the sense that immediate surgical treatment was imperative.

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1. THE FINDINGS OF THE TRIAL JUDGE

[The trial judge held that in the circumstances of this case the defendant surgeon’s duty of disclosure, as defined by accepted general practice in the neurosurgical community, was, first, to explain to the patient the risks involved in not having an

operation to correct the narrowing of his carotid artery, and, second, to explain to him the specific risks inherent in the proposed arterial surgery, paying sufficient attention to anatomical and statistical detail to make the patient aware of the degree of risk of dying or suffering a stroke; with regard to this second aspect of his duty the defendant should in particular have said something like the following: "I propose to remove a partial plug in an artery a few inches from your brain. There is a risk that as a result a fragment of tissue may slip into your brain and if it does, you have a 4 percent chance of dying and a further 10 percent chance of having a stroke."

The trial judge then found that the defendant had fallen short in his performance of this duty in two material respects:]

... First, I find that although the defendant did impart to the plaintiff an understanding of the mechanics of the operation, to the extent that the plaintiff was made aware that pluggage was to be surgically removed from an artery leading to his brain, the defendant did not take sufficient care to communicate to the plaintiff the purpose of the operation. I find that as a result the plaintiff was probably left with the misunderstanding that the operation was being undertaken to alleviate his headaches and hypertension and to permit him to function effectively at his job. Further, and most importantly, I find that the defendant did not take sufficient care to convey to the plaintiff and assure that the plaintiff understood the gravity, nature and extent of risks specifically attendant on the endarterectomy, in particular the risk that as a result of the operation he could die or suffer a stroke of varying degrees of severity. The defendant's evidence on this issue suffers from the understandable inconsistencies and vagueness that the passage of six and one-half years of time will import. What, on balance, I take from his evidence, however, is that he informed the plaintiff that he would be better off to have the operation than not. At best, the ambiguity of his language I find was such that it would likely convey, even to a patient whose command of English was more perfect than was the plaintiff's, the understanding that the single relevant area of concern was the relative likelihood of a healthy existence in the coming years with, as opposed to without, the surgery. I find that he did not address with the attention required of him the specific risks of an adverse result of the operation itself. The plaintiff was left with the impression that the operation carried no risks of an adverse result of the operation itself. The plaintiff was left with the impression that the operation carried no risks of consequence, other than those incidental to any surgical procedure. I find further, that as a result of the defendant's breach of duty, the plaintiff gave his assent to the performance of the operation, an assent which I am convinced from the evidence he would not have given had the defendant's aforesaid duty not been performed in the negligent manner which I have described.

For the reasons above stated, I am also of the view that the defendant is liable in battery.

2. LIABILITY FOR BATTERY

In my opinion, these findings do not justify the imposition of liability for battery. ...

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The tort [of battery] is an intentional one, consisting of an unprivileged and unconsented to invasion of one's bodily security. True enough, it has some advantages for a plaintiff over an action of negligence since it does not require proof of causation and it casts upon the defendant the burden of proving consent to what was done. Again, it does not require the adducing of medical evidence, although it seems to me that if battery is to be available for certain kinds of failure to meet the duty of

disclosure there would necessarily have to be some such evidence brought before the Court as an element in determining whether there has been such a failure.

The well-known statement of Cardozo J in *Schloendorff v. Society of New York Hospital* (1914), 211 NY 125 at 129, 105 NE 92 at 93 that “every human being of adult years and sound mind has a right to determine what shall be done with his own body; and a surgeon who performs an operation without his patient’s consent commits an assault, for which he is liable in damages,” cannot be taken beyond the compass of its words to support an action of battery where there has been consent to the very surgical procedure carried out upon a patient but there has been a breach of the duty of disclosure of attendant risks. In my opinion, actions of battery in respect of surgical or other medical treatment should be confined to cases where surgery or treatment has been performed or given to which there has been no consent at all or where, emergency situations aside, surgery or treatment has been performed or given beyond that to which there was consent.

This standard would comprehend cases where there was misrepresentation of the surgery or treatment for which consent was elicited and a different surgical procedure or treatment was carried out. See, for example, *Marshall v. Curry*, 60 CCC 136, [1933] 3 DLR 260 (consent given to operation to cure hernia; doctor removes patient’s testicle; action in battery); *Murray v. McMurchy*, [1949] 1 WWR 989, [1949] 2 DLR 442 (BC) (consent given to a caesarian operation; doctor goes on and sterilizes the patient; doctor liable for trespass to the person); *Mulloy v. Hop Sang*, [1935] 1 WWR 714 (Alta. CA) (doctor told to repair hand and not to amputate; performs amputation; held liable in trespass); *Winn v. Alexander*, [1940] OWN 238 (consent given to caesarian; doctor goes further and sterilizes the patient); *Schweizer v. Central Hospital* (1974), 6 OR (2d) 606, 53 DLR (3d) 494 (patient consented to operation on his toe; doctor operated on back instead (spinal fusion); doctor liable for trespass to the person).

In situations where the allegation is that attendant risks which should have been disclosed were not communicated to the patient and yet the surgery or other medical treatment carried out was that to which the plaintiff consented (there being no negligence basis of liability for the recommended surgery or treatment to deal with the patient’s condition), I do not understand how it can be said that the consent was vitiated by the failure of disclosure so as to make the surgery or other treatment an unprivileged, unconsented to and intentional invasion of the patient’s bodily integrity. I can appreciate the temptation to say that the genuineness of consent to medical treatment depends on proper disclosure of the risks which it entails, but in my view, unless there has been misrepresentation or fraud to secure consent to the treatment, a failure to disclose the attendant risks, however serious, should go to negligence rather than to battery. Although such a failure relates to an informed choice of submitting to or refusing recommended and appropriate treatment, it arises as the breach of an anterior duty of due care, comparable in legal obligation to the duty of due care in carrying out the particular treatment to which the patient has consented. It is not a test of the validity of the consent.

3. THE ASSESSMENT OF THE COURT OF APPEAL

Brooke JA, speaking for the majority of the Court of Appeal, noted, quite properly, that “the duty [of disclosure] to the patient is determined by the Court and the evidence of the expert witnesses, if accepted, is relevant to determining whether or not the defendant has discharged that duty. To be actionable [in negligence] the defendant’s failure in his duty of care must cause the plaintiff loss and damage.” ...

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I think the Ontario Court of Appeal went too far, when dealing with the standard of disclosure of risks, in saying ... that “the manner in which the nature and degree of risk is explained to a particular patient is better left to the judgment of the doctor in dealing with the man before him.” Of course, it can be tested by expert medical evidence but that too is not determinative. The patient may have expressed certain concerns to the doctor and the latter is obliged to meet them in a reasonable way. What the doctor knows or should know that the particular patient deems relevant to a decision whether to undergo prescribed treatment goes equally to his duty of disclosure as do the material risks recognized as a matter of required medical knowledge.

It is important to examine this issue in greater detail. The Ontario Court of Appeal appears to have adopted a professional medical standard, not only for determining what are the material risks that should be disclosed but also, and concurrently, for determining whether there has been a breach of the duty of disclosure. This was also the approach of the trial Judge, notwithstanding that on the facts he found against the defendant. (Indeed, the trial Judge seems also to have overstated the duty of disclosure. The Court of Appeal, in contrast, seems to have understated it. Generally, the failure to mention statistics should not affect the duty to inform nor be a factor in deciding whether the duty has been breached.) To allow expert medical evidence to determine what risks are material and, hence, should be disclosed and, correlatively, what risks are not material is to hand over to the medical profession the entire question of the scope of the duty of disclosure, including the question whether there has been a breach of that duty. Expert medical evidence is, of course, relevant to findings as to the risks that reside in or are a result of recommended surgery or other treatment. It will also have a bearing on their materiality but this is not a question that is to be concluded on the basis of the expert medical evidence alone. The issue under consideration is a different issue from that involved where the question is whether the doctor carried out his professional activities by applicable professional standards. What is under consideration here is the patient’s right to know what risks are involved in undergoing or forgoing certain surgery or other treatment.

The materiality of non-disclosure of certain risks to an informed decision is a matter for the trier of fact, a matter on which there would, in all likelihood, be medical evidence but also other evidence, including evidence from the patient or from members of his family. It is, of course, possible that a particular patient may waive aside any question of risks and be quite prepared to submit to the surgery or treatment, whatever they be. Such a situation presents no difficulty. Again, it may be the case that a particular patient may, because of emotional factors, be unable to cope with facts relevant to recommended surgery or treatment and the doctor may, in such a case, be justified in withholding or generalizing information as to which he would otherwise be required to be more specific.

A useful summary of issues on which medical evidence in non-disclosure cases remains significant is found in a comment, “New Trends in Informed Consent” (1975), 54 *Neb. L. Rev.* 66, at p. 90, where, after noting that medical evidence should not control determination of the breach of the standard of care, it continued, as follows (referring to *Canterbury v. Spence* (1972), 464 F2d 772):

Even *Canterbury* specifically notes that expert testimony will still be required, in all but the clearest instances, to establish (1) risks inherent in a given procedure or treatment, (2) the consequences of leaving the ailment untreated, (3) alternative means of treatment and their risks, and (4) the cause of the injury suffered by the plaintiff-patient. Finally, if the defendant-physician claims a privilege, expert testimony is needed to show the existence of (1) an emergency which would eliminate the need for obtaining consent, and (2) the impact upon the patient or risk disclosure where a full disclosure appears medically unwarranted. ...

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If Canadian case law has so far proceeded on a subjective test of causation, it is in Courts other than this one that such an approach has been taken. ... The matter is *res integra* here. An alternative to the subjective test is an objective one, that is, what would a reasonable person in the patient's position have done if there had been proper disclosure of attendant risks. The case for the objective standard has been tersely put in the following passage from a comment in (1973), 48 *NYUL Rev.* 548 at 550 entitled "Informed Consent—A Proposed Standard for Medical Disclosure":

Since proximate causation exists only if disclosure would have resulted in the patient's forgoing the proposed treatment, a standard must be developed to determine whether the patient would have decided against the treatment had he been informed of its risks. Two possible standards exist: whether, if informed, the particular patient would have forgone treatment (subjective view); or whether the average prudent person in plaintiff's position, informed of all material risks, would have forgone treatment (objective view). The objective standard is preferable, since the subjective standard has a gross defect: it depends on the plaintiff's testimony as to his state of mind, thereby exposing the physician to the patient's hindsight and bitterness.

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I think it is the safer course on the issue of causation to consider objectively how far the balance in the risks of surgery or no surgery is in favour of undergoing surgery. The failure of proper disclosure pro and con becomes therefore very material. And so too are any special considerations affecting the particular patient. For example, the patient may have asked specific questions which were either brushed aside or were not fully answered or were answered wrongly. In the present case, the anticipation of a full pension would be a special consideration, and, while it would have to be viewed objectively, it emerges from the patient's particular circumstances. So too, other aspects of the objective standard would have to be geared to what the average prudent person, the reasonable person in the patient's particular position, would agree to or not agree to, if all material and special risks of going ahead with the surgery or forgoing it were made known to him. Far from making the patient's own testimony irrelevant, it is essential to his case that he put his own position forward.

The adoption of an objective standard does not mean that the issue of causation is completely in the hands of the surgeon. Merely because medical evidence establishes the reasonableness of a recommended operation does not mean that a reasonable person in the patient's position would necessarily agree to it, if proper disclosure had been made of the risks attendant upon it, balanced by those against it. The patient's particular situation and the degree to which the risks of surgery or not surgery are balanced would reduce the force, on an objective appraisal, of the surgeon's recommendation. Admittedly, if the risk of forgoing the surgery would be considerably graver to a patient than the risks attendant upon it, the objective standard would favour exoneration of the surgeon who has not made the required disclosure. Since liability rests only in negligence, in a failure to disclose material risks, the issue of causation would be in the patient's hands on a subjective test, and would, if his evidence was accepted, result inevitably in liability unless, of course, there was a finding that there was no breach of the duty of disclosure. In my view, therefore, the objective standard is the preferable one on the issue of causation.

In saying that the test is based on the decision that a reasonable person in the patient's position would have made, I should make it clear that the patient's particular concerns must also be reasonably based; otherwise, there would be more subjectivity than would be warranted under an objective test. Thus, for example, fears which are not related to the material risks which should have been but were not disclosed would

not be causative factors. However, economic considerations could reasonably go to causation where, for example, the loss of an eye as a result of non-disclosure of a material risk brings about the loss of a job for which good eyesight is required. In short, although account must be taken of a patient's particular position, a position which will vary with the patient, it must be objectively assessed in terms of reasonableness.

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5. BREACH OF DUTY OF DISCLOSURE: THE FINDINGS BELOW REVIEWED

In my opinion, the record of evidence amply justifies the trial Judge's findings that the plaintiff was told no more or understood no more than that he would be better off to have the operation than not to have it. This was not an adequate, not a sufficient disclosure of the risk attendant upon the operation itself, a risk well appreciated by the defendant in view of his own experience that of the 60 to 70 such operations that he had previously performed, 8 to 10 resulted in the death of the patients. Although the mortality rate was falling by 1970, the morbidity (the sickness or disease) rate, according to Dr. Hughes was still about 10%. The trial Judge was also justified in finding that the plaintiff, who was concerned about his continuing headaches and who was found to be suffering from hypertension, had the impression that the surgery would alleviate his headaches and hypertension so that he could carry on with his job. Dr. Hughes made it plain in his evidence that the surgery would not cure the headaches but did not, as the trial judge found, make this plain to the plaintiff.

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There were a number of relevant considerations informing the findings of the trial Judge, about which there was no dispute. First, there was no emergency making surgery imperative. There was no noticeable neurological deficit. The defendant himself placed the risk of a stroke as one off in the future, four to five years. Any immediate risk would be from the surgery and not from forgoing it. Moreover, it must have been obvious to the defendant that the plaintiff had some difficulty with the English language and that he should, therefore, have made certain that he was understood. Finally, there was no evidence that the plaintiff was emotionally taut or unable to accept disclosure of the grave risk to which he would be exposed by submitting to surgery. ... As I have already said, the so-called statistical data used by the trial Judge did not affect the grounds upon which he made his critical findings. ...

6. CAUSATION

Relevant to this case to the issue whether a reasonable person in the plaintiff's position would have declined surgery at the particular time is the fact that he was within about one and one-half years of earning pension benefits if he continued at his job; that there was no neurological deficit then apparent; that there was no immediate emergency making the surgery imperative; that there was a grave risk of a stroke or worse during or as a result of the operation, while the risk of a stroke without it was in the future, with no precise time fixed or which could be fixed except as a guess of three or more years ahead. Since, on the trial Judge's finding, the plaintiff was under the mistaken impression, as a result of the defendant's breach of the duty of disclosure, that the surgery would relieve his continuing headaches, this would in the opinion of a reasonable person in the plaintiff's position, also weigh against submitting to the surgery at the particular time.

In my opinion, a reasonable person in the plaintiff's position would, on a balance of probabilities, have opted against the surgery rather than undergoing it at the particular time.

CONCLUSION

I would, accordingly, allow the appeal, set aside the order of the Court of Appeal and restore the judgment at trial. The appellant is entitled to costs throughout.

Appeal allowed.

NOTES

1. In *White v Turner* (1981), 120 DLR (3d) 269 at 282 (Ont H Ct J), Linden J summarized the law resulting from *Reibl v Hughes*:

It is clear that Canadian doctors are obligated to disclose to their patients “the nature of the proposed operation, its gravity, any material risks and any special or unusual risks attendant upon the performance of the operation”: see *Hopp v. Lepp* (1980), 112 DLR (3d) 67 at p. 81, [1980] 4 WWR 645, 13 CCLT 66 at p. 87. It is also clear, since *Reibl v. Hughes* (1980), 114 DLR (3d) 1, 14 CCLT 1, 33 NR 361, that these problems are to be analysed with negligence law theory, rather than with the law of battery. Further, the language of “informed consent” should be avoided in these cases, since it spawns confusion between these two distinct theories of liability.

The law of battery is to be used no longer in cases involving the adequacy of information about risks that is given to these patients, but it remains available where there is no consent to the operation, where the treatment given goes beyond the consent, or where the consent is obtained by fraud or misrepresentation. ...

The future use of battery is, therefore, to be limited to cases involving a real lack of consent. Where there has been a basic consent to the treatment, there is no place left for discussions of battery. The problems associated with inadequacy of information about risks are to be handled with negligence theory. ...

The matter of disclosure of risks by a doctor may be viewed as not entirely unlike the manufacturers’ duty to warn consumers about the dangerous properties of their products. In relation to products, there is an obligation to inform consumers reasonably about the dangers inherent in the product they are about to purchase. Recently, the Supreme Court has required a high degree of explicitness in these warnings, especially when they deal with dangerous products: *Lambert et al. v. Lastoplex Chemicals Co. Ltd. et al.*, [1972] SCR 569, 25 DLR (3d) 121. It is, therefore, consistent to expect full information about the dangers involved in a surgical operation to be communicated to patients. There are, of course, differences in the two situations, but the similarities should be kept in mind.

Further, in analysing the quality and quantity of the information given to a patient under negligence principles, the test to be employed is no longer the professional medical standard, heretofore used by our Courts, but rather the reasonable patient standard. This is a major shift heralded by the Supreme Court of Canada in *Reibl v. Hughes*, *supra*. No longer does the medical profession *alone* collectively determine, by *its* own practices, the amount of information a patient should have in order to decide whether to undergo an operation. From now on, the Court also has a voice in deciding the appropriate level of information that must be conveyed to a patient in the circumstances as a question of fact.

The essential issue, then, is to determine what a reasonable patient in the position of the plaintiff would consider to be “material risks” or “special or unusual risks” about which he would want to receive information.

Before deciding this matter, the Court will certainly expect to hear expert medical evidence on the question of what the risks inherent in a particular operation are, how serious these risks are, how frequently these risks may arise, and what information medical practitioners usually transmit to their patients in relation to these risks.

But that is not *all* the Court will have regard to; it will also give due consideration to the evidence of the patient and his family as to his general situation. The Court will be interested in the information he would want to know in the circumstances. The Court will then assess what a reasonable patient would like to know in these circumstances. Weighing all of these factors, the Court will decide whether the information given to this patient in these circumstances was sufficient.

The patients' right to know, therefore, is no longer to be limited by what the medical profession customarily tells them; henceforth, the patients' right to be able to make an intelligent choice about any proposed surgery transcends the interest of the medical profession in setting its own autonomous standards of disclosure. Canadian Courts, which are properly reluctant to intervene in the conduct of medical practice, have now been directed by the Supreme Court of Canada to become involved in reassessing the contours of the duty of disclosure. This may be a lengthy and difficult process, but the Courts are unable to shirk their responsibility in addressing these matters.

The meaning of "material risks" and "unusual or special risks" should now be considered. In my view, material risks are significant risks that pose a real threat to the patient's life, health or comfort. In considering whether a risk is material or immaterial, one must balance the severity of the potential result and the likelihood of its occurring. Even if there is only a small chance of serious injury or death, the risk may be considered material. On the other hand, if there is a significant chance of slight injury this too may be held to be material. As always in negligence law, what is a material risk will have to depend on the specific facts of each case.

As for "unusual or special risks," there are those that are not ordinary, common, everyday matters. These are risks that are somewhat extraordinary, uncommon and not encountered every day, but they are known to occur occasionally. Though rare occurrences, because of their unusual or special character, the Supreme Court has declared that they should be described to a reasonable patient, even though they may not be "material." There may, of course, be an overlap between "material risks" and "unusual or special risks." If a special or unusual risk is quite dangerous and fairly frequently encountered, it could be classified as a material risk. But even if it is not very dangerous or common, an unusual or special risk must be disclosed. As was explained by Laskin CJ, even if a certain risk is a "mere possibility which ordinarily need not be disclosed, yet if its occurrence carries serious consequences, as for example, paralysis or even death, it should be regarded as a material risk requiring disclosure." ...

It should also be mentioned that there are some common, everyday risks that exist in all surgery, which everyone is expected to know about. Doctors need not warn about them, since they are obvious to everyone. Consequently, just as one need not warn that a match will burn or that a knife will cut, because that would be redundant, one need not warn that, if an incision is made, there will normally be some bleeding, some pain and a scar will remain when the cut has healed. So too, everyone is expected to know that there is a chance of infection in any surgical procedure. There may be other minor discomforts following most surgical treatment, which need not be disclosed to patients. ...

In summary then, this exercise of defining the scope of the duty of disclosure is now a complex one for the Court, requiring much time, effort, thought and evidence. The co-operation and assistance of the medical profession will be vital to the task. The Courts will, as always, move very cautiously in this area. In most cases, the Courts will probably continue to accept as reasonable the customary practices of the profession as to disclosure, since they are, after all, based on experience, common sense and what doctors honestly perceive their patients wish to know. However, it is now open to the Court, if invited, to participate in the process of evaluating the information that has been communicated and to find it wanting in appropriate cases, even if the medical profession disagrees.

The decision in *Reibl v. Hughes* has also declared that an objective test of causation is to be employed in assessing whether the patient would have consented to the operation if he had been properly warned. Unlike the situation in battery, where proof of actual damage is unnecessary, negligence law will only furnish compensation if the substandard conduct being assessed has caused some loss to the plaintiff.

If the patient would still have agreed to the operation, even if he had been supplied with full information about the risks, the failure to inform him fully cannot be described as a cause of the damage he may suffer. Hence, he could not succeed in negligence theory. In order to recover in negligence law, therefore, it must be established that the patient would have refused to undergo the surgery if he had been told about all the relevant risks.

There is a danger here, though, that every patient who becomes a plaintiff will insist that he would have forgone the operation if he had been properly warned. Hindsight is always wiser than foresight. The Courts have always mistrusted judgments made from hindsight and have sought to minimize the danger of such evidence. Hence, the Supreme Court of Canada has wisely adopted an objective test here, not a subjective one. It is not enough, therefore, for the Court to be convinced that the plaintiff would have refused the treatment if he had been fully informed; the Court must *also* be satisfied that a reasonable patient, in the same situation, would have done so. That is the meaning of the objective test adopted in *Reibl v. Hughes*: see also, for another decision utilizing this objective test, *Petty v. MacKay* (1979), 14 BCLR 382, 10 CCLT 85 (BC SC), holding that a reasonable patient, in spite of the plaintiff's evidence to the contrary, would not have forgone the operation if fully informed.

This is a sensible stance which is quite consistent with tort principles in other contexts. For example, the requirement is not unlike the need for proof of reasonable reliance in actions for deceit and negligent misrepresentation. In those types of cases, our Courts have avoided assisting gullible fools, who rely on every bit of silly advice they receive: see Prosser, *Handbook of the Law of Torts* 4th ed. (1971), at p. 714. Consequently, a patient who says he would have forgone life-saving treatment because it might have caused a rash or a headache, cannot recover on the basis of inadequate disclosure, even if he is believed, because a reasonable patient would have gone ahead.

2. In *Reibl*, Laskin CJC briefly outlines the differences between treating lack of informed consent as battery and as negligence. A fuller explanation is given by Plante, "An Analysis of 'Informed Consent'" (1968) 36 *Fordham L Rev* 639 at 650-69:

It is clear in the battery cases that a patient has virtually an absolute right to be free from touchings of a substantially different nature and character from those to which he has consented. It is the patient's prerogative to accept medical treatment or to take his chances of living without it. ...

[T]he courts recognize a clear and simple right on the part of an individual not to be misled as to the nature and character of the intended touching to which he is being asked to consent, whether that misleading is by omission to speak, by overt misstatement, or by use of ambiguous language or technical terms. Accordingly, the physician has a clear and simple duty not to mislead the patient whether by silence, misinformation or ambiguity. ...

When the case involves no substantial misunderstanding of the nature and character of the touching, but plaintiff claims he was not fully or correctly informed as to collateral hazards attendant upon the procedure, the judicial approach is quite different from that found in battery cases. Here defendant-physician's obligation and plaintiff-patient's corresponding right is less certain in nature, more flexible in character and subject to considerable variation. While it is often stated as a general proposition that the patient has the right to be advised of collateral hazards and the physician has the duty so to advise him, most cases have recognized ... that this obligation is not rigid and cannot be prescribed with specificity. It is only a

part of the broad obligation of the physician to use reasonable care, but as any sophisticated person knows, the elasticity in that concept is more than negligible.

It is enlightening to examine briefly some factors that impress courts in shaping plaintiff's right and defendant's duty. While all factors cannot be identified because they are as varied as human disease and illness, one can discern in the opinions certain recurring elements to which the courts seem to ascribe importance.

One consideration often mentioned is whether the case is an emergency requiring immediate treatment. This aspect usually appears in a negative fashion; i.e., in buttressing the conclusion that defendant owed a duty to disclose collateral hazards, the court emphasizes that no emergency made it impractical to perform the duty. ...

A second factor, and perhaps the one most frequently referred to by courts in delineating the physician's duty, is the danger of alarming the patient or causing other adverse psychological effects on him. ... [U]nder some circumstances a reference to collateral hazards may increase the risk to the patient because of the emotional consequences. ...

A third factor that influences the decision as to whether there is a duty to disclose collateral dangers is the likelihood that the danger will materialize. The greater the frequency of injury from it, the greater the obligation of the physician to mention it and vice-versa. ...

The foregoing enumeration is not intended as an exhaustive list of the factors taken into account by courts in determining the nature of the duty owed by a physician to his patient to make disclosure of collateral hazards. They are illustrative, however, of aspects of the case on which it would be appropriate for counsel to introduce evidence. They suggest reasons why a physician's duty will vary greatly from one case to another. For the purposes of this discussion they underscore the point that when the basis of the case is medical negligence as opposed to battery, the physician has a much wider range of discretion and the elements weighed in evaluating his conduct are more numerous. These authorities warrant the conclusion that when a physician tells a patient what he proposes to do, he has a strict duty to explain the nature and character of the procedure in terms that the patient can understand, but that when the physician is considering whether he should disclose collateral hazards to the patient he may take into account many things other than the plain use of language. This conclusion has important implications in subsequent litigation. A physician sued in a battery case has relatively little "elbow room" in which to establish a defense. A physician sued for medical negligence in failing to disclose hazards has many more possibilities on which to base a defense under the circumstances that existed. ...

The crucial issue in a large percentage of cases involving physicians' professional liability is whether testimony by medical experts is required to establish the defendant's wrongful act. Decision of this issue frequently decides the lawsuit. It is in this connection that the distinction between battery and medical negligence may be of controlling significance. ...

In the battery cases, as indicated above, the factual issue is quite simple. Did the physician, by the words he spoke, or by his failure to speak, or by his incomplete statement, or by his failure to explain written words, leave the patient with a substantial misunderstanding as to the general nature and character of the touching which the patient was to undergo? This is not a technical problem. It is not an issue which requires expert knowledge. It involves no more than an understanding of English and its usage plus the ability to assess the effect certain words might have or the meaning to be derived from certain expressions. ...

When we turn to medical negligence cases, proof of defendant's wrongful act presents quite a different problem. The question is not whether defendant conveyed a clear impression of the nature and character of the intended touching. It is assumed he did so. The question is whether defendant violated his obligation to the patient to describe collateral consequences that might ensue as a result of the intended and permitted touching, or from some other source such as the healing process. ...

The essence of the legal wrong to the plaintiff in a battery case is the touching itself which, standing alone, entitles him to substantial damages. Thus the issues of causation and damages are simple. All that need be shown is that what was done differed substantially from that to which consent was given. The cause of action is then complete. No case suggests that it is necessary to show that if the truth had been told plaintiff would have withheld consent. ...

In medical negligence cases, however, the issue of causation is more complex in theory and practice. Plaintiff must show that if he had been fully advised as to the collateral risk he would not have submitted to the procedure. This is a sort of “but for” rule. There must be a cause-in-fact relationship between plaintiff’s ignorance of the risk and his willingness to go forward with the operation. The converse is also true, i.e., if it appears that plaintiff knew of the risk all the time, the failure of the physician to disclose it would have no causal connection with the injury. ...

3. England, *The Philosophy of Tort Law* (Aldershot, UK: Dartmouth, 1992) at 162 comments on the shift in cases like *Reibl* from battery to negligence:

The retreat from doctrine of battery has been explained by the discomfort of treating doctors, who genuinely care for the well-being of the patient, under a doctrine aimed at sanctioning anti-social conduct, usually perpetrated with the worst kind of intentions. Courts were reluctant to stigmatize physicians with the label of having committed battery, lumping them into the same category as murderers, robbers and bar-room brawlers. ...

These judicial (and partly legislative) developments of the doctrine of informed consent create, in the context of medical malpractice, a fundamental contradiction of purposes. The enhanced protection of a patient’s right to self-determination is an important element in the modern striving for individual emancipation. Personal autonomy ranks high among social values; some ideologies may even place it at the top of the scale. The doctor–patient relationship certainly constitutes a serious problem of interpersonal dominance. However, the adjudication of a personal injury case is hardly the appropriate framework for the achievement of genuine patient autonomy.

The basic problem derives from the fact that the concrete harm for which the patient really seeks compensation is not the direct result of the infringement of his right to self-determination, but of the medical treatment itself. The patient’s personal injury is the unfortunate outcome of a risk inherent in the specific kind of treatment he underwent. Since the doctor’s liability is grounded in malpractice, the risk for non-negligent medical accidents falls upon the patient, except in cases where strict product liability can be brought into play. The attempt to overcome the patient’s predicament by linking the medical risk to the issue of personal autonomy is disruptive to coherence. The cross-purpose is caused by combining two different corrective justice issues: malpractice and violation of personal autonomy.

Starting from the exclusive perspective of the right of self-determination, non-disclosure, by itself, is a violation of the patient’s right. However, the harm is essentially to the dignity of a person, and, therefore, usually of a non-pecuniary nature. Only in very exceptional cases, the exercise of dominance over a person is the cause of financial damage to the latter. This may happen to a person whose feelings of resentment and frustration are so intense as to disrupt his normal functioning in life. The measure of the non-pecuniary harm to be compensated depends, from a strictly tortious point of view, upon the extent an individual values his autonomy, taking into account his mental and emotional reaction to the violation. It has to be admitted that, in the context of doctor–patient relationship, the latter’s genuine desire for full autonomy in the decision-making process is rather rudimentary. It is a well-known and widespread phenomenon that people are reluctant to assume full responsibility for their personal fate, especially in cases of difficult medical decisions. Both the psychological reasons (such as transference) and the social background for this dependence have been

extensively analysed. It might be most desirable to change this human attitude, considered by many to be of a regressive nature, by furthering a genuine sharing of authority through patient participation in decision-making. But the fact remains that, at present, the wish for autonomy in medical decision-making is far from being fully developed in the patient.

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If patients lack the consciousness of self-determination, why compensate them for its assumed loss? In the absence of harm, there is no place for compensatory rectification. ...

In view of the actual situation, a patient's claim for infringement of his autonomy by non-disclosure of medical risks and chances would, in most cases, require merely nominal damages: a token for the very violation of a personal right. In practice, however, courts' real concern is not the sanctioning of the right of self-determination, but the compensation of the usually extensive injuries caused by the medical treatment. It is, indeed, most unlikely that a patient who underwent a successful medical intervention would instigate a tort claim against his doctor, on the basis of the subsequently learned fact that some risks had not been fully disclosed to him. The real issue is, as mentioned, the allocation of losses resulting from medical misfortunes.

The use of the idea of patient autonomy in order to solve the completely different problem of compensating victims of medical accidents is bound to create distortions in relation to both issues. From the viewpoint of patient autonomy, there seems to be no justification whatsoever to determine the extent of the duty of disclosure according to the common practice of physicians, or to any other external standard of reasonableness. If the right to self-determination is to be taken seriously, it must be conceived to be of a near absolute nature. Exceptions should be admitted only in extreme cases, and certainly not on the basis of the traditional paternalistic assumptions of professional authorities. Another most problematic concept is that of "decision causation." The fact that the patient would in any case have consented to the medical treatment is irrelevant from the standpoint of personal autonomy. The latter has been violated by the very non-disclosure of information. The patient should be compensated for his non-participation in the decision-making, even if the decision had eventually been identical. [Footnote: See *Lahambre v Nair*, [1989] 2 WWR 749, 763 (Sask QB), where the court found that the non-informed plaintiff would have consented to the medical procedure even if the material risks had been disclosed. Moreover, any reasonable person in the plaintiff's position would have consented to the procedures. Nevertheless, because the plaintiff was entitled to be informed, he was entitled to damages for that failure. In view of the fact that no specific harm resulting from the non-disclosure of the risks had been established, the court awarded ("firmly") nominal damages fixed at \$5,000.] Moreover, the reliance on external tests of reasonableness, in order to resolve the hypothetical causal question, contradicts again the assumption of an absolute right to self-determination. Against this background, there is no wonder that Jay Katz assesses the law's vision of informed consent in the following poignant terms:

The law of informed consent is substantially mythic and fairy tale-like as far as advancing patients' rights to self-decisionmaking is concerned. It conveys in its dicta about such rights a fairy tale-like optimism about human capacities for "intelligent" choices and for being respectful of the other persons' choices; yet in its implementation of dicta, it conveys a mythic pessimism of human capacities to be choice-makers. ...

But especially troublesome is the handling of the "decision causation" issue. In the framework of negligent non-disclosure, the hypothetical causal enquiry turns into another central question of the case. In the light of the psychological and social background of the patient-doctor relationship, in all but exceptional cases, the disclosure of further information would not have changed the patient's decision. The contrary conclusions of courts are, therefore, rarely based on reality. They are dominated by the desire to compensate the

victim of medical mishap, whose disappointment and present affliction make him certainly regret his consent to the treatment. The inherent weakness of the judicial handling of the decision causation issue has been incisively exposed by Twerski and Cohen. Their claim is that decision heuristics significantly undermine the credibility of decision causation determinations. Most people do not process information in a logical, predictable way. Thus, a great number of categories of logical errors in human information processing and decision-making have been identified by cognitive psychologists. Moreover, the manner in which the medical information is presented has a dramatic effect on decisions. Finally, the prior beliefs and idiosyncratic information of the decision-maker significantly affect the impact of additional information on a decision. As a result the legal system is unable to predict the decisions which a patient's analysis of information will produce, whether the analysis is logical or illogical. Twerski believes that the prevalence of irrational information processing renders the whole issue of decision causation non-justiciable. If the legal standard of decision causation is the subjective standard, the fact finder must determine how irrational the patient is, or was, at processing medical information generally. This would enable him to ascertain the incremental effect of the omitted information on the rational or irrational decision-making process. In the absence of this basic information, the court is incompetent to decide the causation issue. The matter is not solved by adopting an objective standard. The reasonable person is not an objectively rational decision-maker. Therefore, it cannot be assumed that the reasonable patient would have acted rationally. The paradoxical question to be answered would be the following: how irrationally does a reasonable person decide? Even assuming completely logical decision-making, additional informational difficulties are created by the other mentioned decision heuristics.

4. In *Chester v Afshar*, [2005] 1 AC 1434 (HL), the plaintiff underwent surgery on her spine without being informed by the surgeon that there was a slight risk that the operation, even if performed properly, would cause serious neurological damage. The damage, in fact, occurred. The plaintiff had an aversion to surgery and would probably not have undergone the surgery at this time if she had been informed of the risk of the damage. However, because such surgery was the only way of alleviating her condition, she probably would have eventually consented to the surgery. Although the risk of the damage would be the same whenever she had the operation, it was accepted that, on the balance of probabilities, she probably would not have suffered the damage if she had had the operation at a different time. In the House of Lords, the majority held that the doctor was liable for the neurological damage. Do you agree?

5. In *Wallace v Kam* (2013), 87 ALJR 648 (HC), the plaintiff underwent a surgical procedure in relation to a condition of his lumbar spine. The defendant neurosurgeon failed to warn him of the procedure's inherent risks. One risk was of temporary local damage to nerves within his thighs, described as "bilateral femoral neurapraxia," resulting from lying face down on the operating table for an extended period. Another risk was a 1-in-20 chance of permanent and catastrophic paralysis resulting from damage to his spinal nerves. The surgical procedure was unsuccessful: the condition of Mr. Wallace's lumbar spine did not improve. The first risk materialized: Mr. Wallace sustained neurapraxia, which left him in severe pain for some time. The second risk did not. The trial court found that the plaintiff would have chosen to undergo the surgical procedure even if warned of the risk of neurapraxia. The plaintiff's action was dismissed:

Consideration of a case involving the materialisation of one of a number of distinct risks of different physical injuries makes it necessary to return to the nature of the duty and the policy that underlies its imposition. The duty of a medical practitioner to warn the patient of material risks inherent in a proposed treatment is imposed by reference to the underlying common law right of the patient to choose whether or not to undergo a proposed

treatment. However, the policy that underlies requiring the exercise of reasonable care and skill in the giving of that warning is neither to protect that right to choose nor to protect the patient from exposure to all unacceptable risks. The underlying policy is rather to protect the patient from the occurrence of physical injury the risk of which is unacceptable to the patient. It is appropriate that the scope of liability for breach of the duty reflect that underlying policy.

The appropriate rule of attribution ... is therefore one that "seeks to hold the doctor liable for the consequence of material risks that were not warned of [and] that were unacceptable to the patient." The normative judgment that is appropriate to be made is that the liability of a medical practitioner who has failed to warn the patient of material risks inherent in a proposed treatment "should not extend to harm from risks that the patient was willing to hazard, whether through an express choice or as found had their disclosure been made."

Essentially the same rule of attribution, and the same justification for that rule, were articulated in the seminal case on a doctor's duty to disclose material risks in the United States [*Canterbury v Spence*, 464 F 2d 772 (1972)]. There it was stated that "the very purpose of the disclosure rule is to protect the patient against consequences which, if known, he would have avoided by forgoing the treatment" and that "[t]he patient obviously has no complaint if he would have submitted to the therapy notwithstanding awareness that the risk was one of its perils." It appears now to be well-settled in the United States that "the non-disclosed risk must manifest itself into actual injury in order for a plaintiff to establish proximate causation," so that "[a]bsent occurrence of the undisclosed risk, the doctor's omission is legally inconsequential."

HOLLIS V DOW CORNING CORP

[1995] 4 SCR 634, 129 DLR (4th) 609

LA FOREST J (L'HEUREUX-DUBÉ, GONTHIER, CORY, and IACOBUCCI JJ concurring): The question raised in this appeal is whether a manufacturer of silicone breast implants may be held liable in tort to a patient who suffers injuries from an unexplained rupture in the implants when the manufacturer has failed to give adequate warning to the patient or the surgeon concerning the risks of rupture. The appellant, Dow Corning Corporation ("Dow"), is a United States corporation which, during the course of the 1970s and 1980s, developed and manufactured the silicone breast implant carrying the trade name "Silastic." On May 7, 1990, Bouck J of the Supreme Court of British Columbia awarded damages and costs against Dow to the respondent, Susan Hollis, for the negligent manufacture of a Silastic breast implant that ruptured in her body approximately 17 months after it was implanted in 1983. ... A majority of the Court of Appeal overturned Bouck J's finding that Dow had negligently manufactured the implant, but dismissed the appeal on the ground that Dow had failed to warn Ms. Hollis adequately concerning the risks of rupture. ...

The sole issue raised in this appeal is whether the Court of Appeal erred in finding Dow liable to the respondent Ms. Hollis for failing adequately to warn the implanting surgeon, Dr. Birch, of the risk of a post-surgical implant rupture inside Ms. Hollis' body. The appellant Dow does not contest Bouck J's factual finding that Ms. Hollis' seven-year surgical ordeal caused her great physical and psychological pain, residual scarring on her breasts, and a loss of past and future income. However, Dow submits that it was not responsible for Ms. Hollis' injuries. In support of this submission, Dow argues, first, that the warning it gave Dr. Birch was adequate and sufficient to satisfy its duty to Ms. Hollis, and second, that even if it did breach its duty to warn Ms. Hollis, this breach was not the proximate cause of her injuries. ...

1. DOW'S DUTY TO WARN AND THE "LEARNED INTERMEDIARY" RULE

(A) THE GENERAL PRINCIPLES

(i) The Duty to Warn

It is well established in Canadian law that a manufacturer of a product has a duty in tort to warn consumers of dangers inherent in the use of its product of which it has knowledge or ought to have knowledge. ... The duty to warn is a continuing duty, requiring manufacturers to warn not only of dangers known at the time of sale, but also of dangers discovered after the product has been sold and delivered. ... All warnings must be reasonably communicated, and must clearly describe any specific dangers that arise from the ordinary use of the product. ...

In the case of medical products such as the breast implants at issue in this appeal, the standard of care to be met by manufacturers in ensuring that consumers are properly warned is necessarily high. Medical products are often designed for bodily ingestion or implantation, and the risks created by their improper use are obviously substantial. The courts in this country have long recognized that manufacturers of products that are ingested, consumed or otherwise placed in the body, and thereby have a great capacity to cause injury to consumers, are subject to a correspondingly high standard of care under the law of negligence. ... Given the intimate relationship between medical products and the consumer's body, and the resulting risk created to the consumer, there will almost always be a heavy onus on manufacturers of medical products to provide clear, complete and current information concerning the dangers inherent in the ordinary use of their product.

I pause at this point to observe that there is an important analogy to be drawn in this context between the manufacturer's duty to warn and the doctrine of "informed consent" developed by this Court in recent years with respect to the doctor–patient relationship. ... The doctrine of "informed consent" dictates that every individual has a right to know what risks are involved in undergoing or forgoing medical treatment and a concomitant right to make meaningful decisions based on a full understanding of those risks. ...

In my view, the principles underlying the doctrine of "informed consent" are equally, if not more, applicable to the relationship between manufacturers of medical products and consumers than to the doctor–patient relationship. The doctrine of "informed consent" was developed as a judicial attempt to redress the inequality of information that characterizes a doctor–patient relationship. An even greater relationship of inequality pertains both between the manufacturer of medical products and the consumer and, to a lesser degree, between the manufacturer and the doctor. In contrast to the doctor–patient relationship, where the patient can question the doctor with respect to the risks and benefits of particular procedures and where doctors can tailor their warnings to the needs and abilities of the individual patients, the manufacturer–consumer relationship is characterized primarily by a lack of direct communication or dialogue. ...

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(ii) The "Learned Intermediary" Rule

As a general rule, the duty to warn is owed directly by the manufacturer to the ultimate consumer. However, in exceptional circumstances, a manufacturer may satisfy its informational duty to the consumer by providing a warning to what the American courts have, in recent years, termed a "learned intermediary." ...

While the “learned intermediary” rule was originally intended to reflect, through an equitable distribution of tort duties, the tripartite informational relationship between drug manufacturers, physicians and patients, the rationale for the rule is clearly applicable in other contexts. Indeed, the “learned intermediary” rule is less a “rule” than a specific application of the long-established common law principles of intermediate examination and intervening cause developed in *Donoghue v. Stevenson*, supra, and subsequent cases; see, for example, *Holmes v. Ashford*, [1950] 2 All ER 76, at p. 80. Generally, the rule is applicable either where a product is highly technical in nature and is intended to be used only under the supervision of experts, or where the nature of the product is such that the consumer will not realistically receive a direct warning from the manufacturer before using the product. In such cases, where an intermediate inspection of the product is anticipated or where a consumer is placing primary reliance on the judgment of a “learned intermediary” and not the manufacturer, a warning to the ultimate consumer may not be necessary and the manufacturer may satisfy its duty to warn the ultimate consumer by warning the learned intermediary of the risks inherent in the use of the product.

However, it is important to keep in mind that the “learned intermediary” rule is merely an exception to the general manufacturer’s duty to warn the consumer. The rule operates to discharge the manufacturer’s duty not to the learned intermediary, but to the ultimate consumer, who has a right to full and current information about any risks inherent in the ordinary use of the product. Thus, the rule presumes that the intermediary is “learned,” that is to say, fully apprised of the risks associated with the use of the product. Accordingly, the manufacturer can only be said to have discharged its duty to the consumer when the intermediary’s knowledge approximates that of the manufacturer. To allow manufacturers to claim the benefit of the rule where they have not fully warned the physician would undermine the policy rationale for the duty to warn, which is to ensure that the consumer is fully informed of all risks. Since the manufacturer is in the best position to know the risks attendant upon the use of its product and is also in the best position to ensure that the product is safe for normal use, the primary duty to give a clear, complete, and current warning must fall on its shoulders.

(B) APPLICATION OF THE GENERAL PRINCIPLES TO THE CASE AT BAR

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... [I]t is my view that the “learned intermediary” rule is applicable in this context, and that Dow was entitled to warn Dr. Birch concerning the risk of rupture without warning Ms. Hollis directly. A breast implant is distinct from most manufactured goods in that neither the implant nor its packaging are placed directly into the hands of the ultimate consumer. It is the surgeon, not the consumer, who obtains the implant from the manufacturer and who is therefore in the best position to read any warnings contained in the product packaging. In this respect, breast implants are, in my view, analogous to prescription drugs, where the patient places primary reliance for information on the judgment of the surgeon, who is a “learned intermediary,” and not on the manufacturer. ... They are not analogous to oral contraceptives, with respect to which many American courts have recently imposed a direct duty to warn, because direct warnings from manufacturers of breast implants are simply not feasible given the need for intervention by a physician. ...

However, the mere fact that the “learned intermediary” rule is applicable in this context does not absolve Dow of liability. As I mentioned earlier, the “learned intermediary” rule presumes that the intermediary is fully apprised of the risks, and can only provide shelter to the manufacturer where it has taken adequate steps to ensure

that the intermediary's knowledge of the risks in fact approximates that of the manufacturer. Thus, the second, and more important, question to be resolved is whether Dow fulfilled its duty to Ms. Hollis by adequately warning Dr. Birch of the risk of post-surgical rupture of the implant.

[La Forest J then reviewed the evidence of Dow's knowledge of gel infections and unexplained ruptures in the period preceding the plaintiff's implant surgery, and he concluded that Dow did not adequately warn Dr. Birch of the risk of post-surgical rupture.]

2. DID DOW'S BREACH OF THE DUTY TO WARN CAUSE MS. HOLLIS' INJURY?

Dow raises two distinct causation issues in this appeal. The first is whether Ms. Hollis would have elected to have the operation if she had been properly warned of the risk by Dr. Birch. Dow submits that a reasonable woman in Ms. Hollis' position would have consented to the surgery despite the risk and, on this basis, argues that its failure to warn was not the proximate cause of Ms. Hollis' injury. The second issue Dow raises is whether Dr. Birch would have warned Ms. Hollis if he had been properly warned by Dow of the risk. ...

(A) WOULD MS. HOLLIS HAVE CONSENTED TO THE OPERATION EVEN IF PROPERLY WARNED OF THE RISK?

(i) The Appropriate Test

In determining whether Ms. Hollis would have consented to the operation had she been properly warned by Dr. Birch of the risk of rupture, Prowse JA applied the modified objective test developed by this Court in *Reibl*, supra, which involved a negligence action by a patient against a surgeon for failing to warn him of the risk of paralysis entailed in elective surgery performed by that surgeon. The test applied by Prowse JA was as follows: would a reasonable woman in Ms. Hollis' particular circumstances have consented to the surgery if she had known all the material risks? I note, however, that in *Buchan*, [54 OR (2d) 92; 25 DLR (4th) 658 (CA)] supra, at pp. 380-81, Robins JA found the *Reibl* test to be inapplicable to products liability cases, and instead applied a subjective test. ...

... The most serious concern raised by the application of a subjective test is that the plaintiff, with the benefit of hindsight, will always claim that she would not have used the product if she had been properly warned. ...

Although [this] concern ... is valid and should continue to be applied in a doctor-patient relationship, in a suit against a manufacturer for failure to warn this concern can be adequately addressed at the trial level through cross-examination and through a proper weighing by the trial judge of the relevant testimony. While this difference between the type of proof required in the two kinds of actions may seem anomalous, it is amply justified having regard to the different circumstances in which the relevant duties arise, and the consequent difference in the nature of these duties. As Robins JA intimated in *Buchan*, the duty of the doctor is to give the best medical advice and service he or she can give to a particular patient in a specific context. It is by no means coterminous with that of the manufacturer of products used in rendering that service. The manufacturer, on the other hand, can be expected to act in a more self-interested manner. In the case of a manufacturer, therefore, there is a greater likelihood that the value of a product will be overemphasized and the risk underemphasized. It is, therefore, highly desirable from a policy perspective to hold the manufacturer to a strict standard of warning consumers of dangerous

side effects to these products. There is no reason, as in the case of a doctor, to modify the usual approach to causation followed in other tortious actions. Indeed the imbalance of resources and information between the manufacturer and the patient, and even the doctor, weighs in the opposite direction. Moreover, it is important to remember that many product liability cases of this nature will arise in a context where no negligence can be attributed to a doctor. It would appear ill-advised, then, to distort the rule that is appropriate for claims against a manufacturer simply because of an apparent anomaly that results in cases where a doctor is also alleged to have been negligent.

(ii) The Application of the Test to the Facts of the Case at Bar

[La Forest J then reviewed the evidence and found that Ms. Hollis would not have opted for the surgery had she known all of the attendant risks.]

(B) WOULD DR. BIRCH'S CONDUCT HAVE BEEN THE SAME WHETHER OR NOT DOW WAS IN BREACH OF THE DUTY TO WARN?

The second causation issue raised by Dow is whether Dr. Birch would have warned Ms. Hollis of the risk of rupture if Dow had properly warned Dr. Birch about that risk. Dow argues that there is no direct causal link between its breach of the duty to warn and Ms. Hollis' injury because, in 1983, Dr. Birch was aware of the risk of implant rupture but did not make a habit of warning his patients about that risk. In support of this argument, Dow relies on Dr. Birch's testimony at trial that, in 1983, he was warning only 20% to 30% of his patients of implant rupture, and that, in determining the nature and scope of his warnings to patients, he relied more on the articles he read in medical journals than on manufacturers' warnings.

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[W]hile Dow is correct in submitting that there was some ambiguity at trial concerning Dr. Birch's warning practices in 1983, Dow's argument is based upon the assumption that to succeed in her claim against Dow Ms. Hollis must prove that Dr. Birch would have warned her if Dow had properly warned Dr. Birch. I do not think this assumption is well founded. Ms. Hollis, it will be remembered, demonstrated that Dow had breached its duty to warn her of the risk of rupture, that she would not have undergone the medical procedure if she had been fully informed of the risks, and that she suffered injury from the rupture. Had Dr. Birch been adequately warned but had not passed on the information to Ms. Hollis, Dow would, it is true, have been absolved of liability by virtue of the learned intermediary doctrine. But I fail to see how one can reason from this that, for Dow to be liable, Ms. Hollis must now establish that Dr. Birch would have informed her if he had known. To require her to do so would be to ask her to prove a hypothetical situation relating to her doctor's conduct, one, moreover, brought about by Dow's failure to perform its duty. While the legal and persuasive onus in a negligence case generally falls on the plaintiff, I do not see how this can require the plaintiff to prove a hypothetical situation of this kind.

The reasoning in this Court's decision in *Cook v. Lewis*, [1951] SCR 830, is helpful in this context. In that case, the plaintiff was shot by one of two members of a hunting party. The jury had found that the plaintiff had been shot by one of the two hunters, and that both of the hunters had been negligent in shooting in the plaintiff's direction, but were unable to say which hunter's bullet had actually hit the plaintiff.

[After referring to Rand J's view that the onus is reversed because the hunters destroyed the victim's power of proof, La Forest J continued:]

While the victim's power of proof has not been destroyed in the same sense as in the hunting party case, it has been seriously undermined in that the plaintiff is, on Dow's contention, called upon to prove what a doctor would have done in a hypothetical situation. It must be kept in mind that the governing principle in a case of this nature is informed consent, namely, the right of the patient to be fully informed by the manufacturer of all material risks associated with the use of a medical product. It is clear from the record that Ms. Hollis' right to informed consent was not respected in this case. We know that Dow's failure to warn was a cause of her injury; whether Dr. Birch's actions in the hypothetical situation posited by Dow might also have been a cause is not a matter for Ms. Hollis to prove. Ms. Hollis, who was in a position of great informational inequality with respect to both the manufacturer and the doctor, played no part in creating the set of causal conditions leading to her injury. Justice dictates that she should not be penalized for the fact that had the manufacturer actually met its duty to warn, the doctor still might have been at fault.

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Simply put, I do not think a manufacturer should be able to escape liability for failing to give a warning it was under a duty to give, by simply presenting evidence tending to establish that even if the doctor had been given the warning, he or she would not have passed it on to the patient, let alone putting an onus on the plaintiff to do so. Adopting such a rule would, in some cases, run the risk of leaving the plaintiff with no compensation for her injuries. She would not be able to recover against a doctor who had not been negligent with respect to the information that he or she *did* have; yet she also would not be able to recover against a manufacturer who, despite having failed in its duty to warn, could escape liability on the basis that, had the doctor been appropriately warned, he or she still would not have passed the information on to the plaintiff. Our tort law should not be held to contemplate such an anomalous result.

As I see it, the plaintiff's claim against the manufacturer should be dealt with in accordance with the following rationale. The ultimate duty of the manufacturer is to warn the plaintiff adequately. For practical reasons, the law permits it to acquit itself of that duty by warning an informed intermediary. Having failed to warn the intermediary, the manufacturer has failed in its duty to warn the plaintiff who ultimately suffered injury by using the product. The fact that the manufacturer would have been absolved had it followed the route of informing the plaintiff through the learned intermediary should not absolve it of its duty to the plaintiff because of the possibility, even the probability, that the learned intermediary would not have advised her had the manufacturer issued it. The learned intermediary rule provides a means by which the manufacturer can discharge its duty to give adequate information of the risks to the plaintiff by informing the intermediary, but if it fails to do so it cannot raise as a defence that the intermediary could have ignored this information. ...

CONCLUSION

On the basis of the foregoing, it is my view that Dow breached its duty to warn Dr. Birch concerning the risks of post-surgical rupture in the Silastic implant and because of this failure to warn is liable to Ms. Hollis for her injuries. Accordingly, I would dismiss the appeal. ...

SOPINKA J (dissenting) (McLACHLIN J concurring): I agree with Justice La Forest in his analysis of the principles relating to the duty to warn and in particular that the learned intermediary principles apply as he proposes. I respectfully disagree, however, with his analysis and application of the principles relating to causation. ...

CAUSATION

The Test

In his reasons, La Forest J adopts a subjective test to determine whether Ms. Hollis would have consented to the operation if properly warned. ...

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The ... subjective approach fails to take into account the inherent unreliability of the plaintiff's self-serving assertion. It is not simply a question as to whether the plaintiff is believed. The plaintiff may be perfectly sincere in stating that in hindsight she believed that she would not have consented to the operation. This is not a statement of fact that, if accepted, concludes the matter. It is an opinion about what the plaintiff would have done in respect of a situation that did not occur. As such, the opinion may be honestly given without being accepted. In evaluating the opinion, the trier of fact must discount its probity not only by reason of its self-serving nature, but also by reason of the fact that it is likely to be coloured by the trauma occasioned by the failed procedure. For this reason, the most reliable approach in determining *what would in fact have occurred* is to test the plaintiff's assertion by reference to objective evidence as to what a reasonable person would have done.

This was the test adopted by this Court in *Reibl v. Hughes*. ...

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Moreover, I see no reason why the test for determining the same issue should be different for the physician and the manufacturer. With respect to both, the question for the plaintiff is the same. How would the plaintiff have responded if properly warned by the physician? Is the trial judge to apply two different tests to determine the same question? If so, this could conceivably result in a finding that, vis-à-vis the physician, the patient would have consented, and vis-à-vis the manufacturer, she would not. Indeed, in the new trial which has been directed by the Court of Appeal with respect to Dr. Birch, the trial judge is obliged to apply the *Reibl* test and may very well find that Ms. Hollis would have agreed to the implant if properly warned.

I fail to understand how a different test for the physician and the manufacturer, which, my colleague acknowledges, seems anomalous, can be redeemed on the basis that a stricter standard can be expected of the manufacturer. This ignores the fact we are dealing with a situation in which the manufacturer's duty to the plaintiff is discharged by informing the physician of risks. The physician is expected to pass this on to the patient. If the risk is one about which the plaintiff ought to be warned, it can hardly be suggested that the physician can water down the warning because a lower standard applies to the physician. ... Indeed, the issue of causation has nothing to do with the standard of disclosure. In resolving this issue, the Court attempts to determine what the plaintiff's response would have been on the assumption that the appropriate warning has been given in accordance with the appropriate standard. The debate concerns the bases on which that response should be measured, not about the standard of disclosure.

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BURDEN OF PROOF

In determining the second causation issue of whether Dr. Birch would have warned Ms. Hollis of the risk of rupture if Dow had properly warned Dr. Birch about that risk, La Forest J proposes to eliminate the fundamental requirement of tort law that the

plaintiff establish causation in order to prove the defendant's liability. Once Ms. Hollis demonstrated that Dow had breached its duty to warn of the risk of rupture, La Forest J would hold that the plaintiff's burden of proving her case had been discharged, and that any possibility that Dr. Birch would have *failed* to pass on any warning is nothing more than a question of apportionment. This approach runs counter to well established tort principles. Simply put, in order to establish liability, the plaintiff must show not only a breach of duty by the defendant, but also that the breach in question was the cause of the plaintiff's injury.

In the instant case, this burden applies to require the plaintiff to show that her injuries would not have occurred had Dow discharged its duty to warn Dr. Birch of any dangers inherent in the implants. In other words, Ms. Hollis must show that her doctor would have warned her of any dangers that had been brought to his attention and that if warned she would have refused the operation. Absent this form of proof, it cannot be said with any degree of certainty that the failure of Dow to warn physicians was *the cause* of the unfortunate injuries suffered by Ms. Hollis. ...

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If Dr. Birch would not have passed on information from Dow to Ms. Hollis, Dow's failure to provide the warning cannot be said to have contributed to Ms. Hollis' injury. Liability cannot be based on failure to take measures which would have no effect and be pointless.

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My colleague refers to the judgment of this Court in *Cook v. Lewis*, supra. ... According to the Court in *Cook*, the reversal of the burden was appropriate in that case because the defendants had essentially removed the means of proof of causation from the plaintiff. ...

Similarly, this Court in *Snell v. Farrell* ... expressed the view that the burden on the plaintiff could be reversed where the subject matter of the alleged tortious conduct lies "particularly within the knowledge" of the defendant. In *Snell*, the defendant surgeon had removed a cataract from the patient plaintiff's eye and the patient had later lost her sight in that eye as a result of optic nerve atrophy. The defendant doctor, knowing what he had done, was in a significantly better position to determine what had occurred. ...

As a result, the burden of proof is properly reversed where the defendant has somehow participated in destroying the means of proving the case against it or where the defendant somehow controls the relevant evidence. Only within this limited sphere of cases is the plaintiff partially relieved of the burden of proving causation. In this case, there is neither any suggestion of a tortious destruction of the means of proof nor does the evidence lie peculiarly in the control of the defendant Dow. On the contrary, the issue in question is largely dependent on the evidence of Dr. Birch. Both Ms. Hollis and Dow have equal access to the evidence of Dr. Birch. Indeed, in this situation, the physician is likely to be inclined to favour his patient, the plaintiff. It is not in the interests of the physician to assert that he would not have passed on a warning that the manufacturer was duty-bound to give him for the benefit of the plaintiff. As the means of proving causation remains available to the plaintiff, it would be inconsistent with *Snell* to reverse the burden of proof. As a result, the burden of proving causation remains on the plaintiff in this case. In order to discharge the burden in question, the plaintiff must adduce evidence that her doctor would have warned her of any dangers associated with breast implants had those dangers been brought to his attention by the defendant.

NOTE

Two years after *Hollis*, the Supreme Court of Canada, in *Arndt v Smith*, [1997] 2 SCR 539, once again discussed the factual causation requirement that applies to the negligent failure to disclose a medical risk. Cory J (Lamer CJC and La Forest, L'Heureux-Dubé, Gonthier, and Major JJ concurring) reaffirmed the modified objective test, which was explained as follows:

The test enunciated relies on a combination of objective and subjective factors in order to determine whether the failure to disclose actually caused the harm of which the plaintiff complains. It requires that the court consider what the reasonable patient in the circumstances of the plaintiff would have done if faced with the same situation. The trier of fact must take into consideration any "particular concerns" of the patient and any "special considerations affecting the particular patient" in determining whether the patient would have refused treatment if given all the information about the possible risks. ...

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Some of the criticisms directed at the *Reibl* test may stem from confusion as to what Laskin CJ intended in his adoption of a modified objective test. The uncertainty surrounds the basic premise that the test depends upon the actions of a reasonable person in the plaintiff's circumstances. Which aspects of the plaintiff's personal circumstances should be attributed to the reasonable person? There is no doubt that objectively ascertainable circumstances, such as a plaintiff's age, income, marital status, and other factors, should be taken into consideration. However, Laskin CJ didn't stop there. He went on and stated that "special considerations" affecting the particular patient should be considered, as should any "specific questions" asked of the physician by the patient. In my view this means that the "reasonable person" who sets the standard for the objective test must be taken to possess the patient's reasonable beliefs, fears, desires and expectations. Further, the patient's expectations and concerns will usually be revealed by the questions posed. Certainly, they will indicate the specific concerns of the particular patient at the time consent was given to a proposed course of treatment. The questions, by revealing the patient's concerns, will provide an indication of the patient's state of mind, which can be relevant in considering and applying the modified objective test.

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As further evidence that the patient's state of mind is relevant to the *Reibl* test, Laskin CJ goes on ... to caution that the trier of fact may only take into account those particular concerns of the patient which are reasonable. ... Clearly, evidence of reasonable fears and concerns can be taken into consideration and this is evidence which could go to establishing the plaintiff's subjective state of mind. Therefore, it is apparent that Laskin CJ intended that the reasonable subjective beliefs of the patient should be attributed to the hypothetical reasonable person used to set the objective standard in order to properly reflect the circumstances of the plaintiff.

If the patient's fears and beliefs were not considered when assessing how the "reasonable person in the patient's position" would have responded had all risks of a procedure been disclosed, absurd verdicts could be produced. For example, let us suppose that a plaintiff brought an action based on her doctor's failure to disclose that there was a very significant risk of her giving birth to a disabled child, that the risk was material and the only issue was causation. If the plaintiff's beliefs are not to be considered, the trier of fact could conclude that a reasonable person in the position of the plaintiff would have chosen to terminate the pregnancy and find in favour of the patient even if the plaintiff was so resolutely and unalterably opposed to abortion that she would never have terminated the pregnancy. The failure to disclose would not have been the actual cause of the harm. Despite this, under the purely objective standard, the plaintiff could recover. This example demonstrates why it is important to include some subjective aspects in the assessment of

what the reasonable person in the position of the plaintiff would have done if all the risks had been disclosed.

Laskin CJ carefully noted that purely subjective fears *which are not related to the material risks* should not be taken into account in applying the modified objective test. In other words, fears which are idiosyncratic, which do not relate directly to the material risks of a proposed treatment and which would often be unknown to a physician, cannot be considered. This is what ensures that the objective standard truly is based on the actions of a "reasonable person." It means that a doctor will not be held responsible for damages attributable to a plaintiff's idiosyncrasies. It ensures that a plaintiff would not be able to successfully prove causation simply by demonstrating an irrational fear which, had the physician disclosed all the risks, would have convinced the plaintiff to forgo medical treatment. For example, if a doctor failed to tell the patient that one of the risks of a procedure was an allergic reaction which could cause a temporary red rash on the skin, and the patient had an irrational belief that a rash is a highly significant and dangerous sign of evil spirits in the body, the patient could not successfully prove causation by demonstrating that he would not have proceeded with the treatment on the basis of this irrational fear.

... [Reibl's] modified objective test for causation ensures that our medical system will have some protection in the face of liability claims from patients influenced by unreasonable fears and beliefs, while still accommodating all the reasonable individual concerns and circumstances of plaintiffs. The test is flexible enough to enable a court to take into account a wide range of the personal circumstances of the plaintiff, and at the same time to recognize that physicians should not be held responsible when the idiosyncratic beliefs of their patients might have prompted unpredictable and unreasonable treatment decisions.

Cory J found that in the case at hand the trial judge had correctly applied the modified objective test. McLachlin J dissented in part on the ground that the proper test of causation is a subjective one:

A finding ... that the physician should have done something which he or she negligently failed to do ... raises the hypothetical question of what the plaintiff would have done had the physician discharged his or her duty. General tort principles suggest that this question is a purely factual inquiry to be answered by reference to all the evidence. This evidence may include evidence from the plaintiff at trial as to what she would have done. But it also includes relevant evidence of her situation, circumstances and mind-set at the time the decision would have been made. The trial judge must look at all the evidence and determine whether the plaintiff would have taken the suggested course on a balance of probabilities. One way of expressing this is to say that the plaintiff's hindsight assertion at trial of what she would have done is tested or evaluated by reference to the evidence as to her circumstances and beliefs at the time the decision would have been made. These circumstances include the medical advice she would have received at the time which might have influenced her decision. In this way, the plaintiff's subjective evidence as to what she would have done is evaluated by reference to the reasonableness of the competing courses of action. As Sopinka J. (dissenting, but not on this ground) put it in *Hollis v. Dow Corning Corp* ... : "the most reliable approach in determining *what would in fact have occurred* is to test the plaintiff's assertion by reference to objective evidence as to what a reasonable person would have done" (emphasis in original).

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The approach suggested by the fundamental principles of tort law is subjective, in that it requires consideration of what the plaintiff at bar would have done. However, it incorporates elements of objectivity; the plaintiff's subjective belief at trial that she would have followed a certain course stands to be tested by her circumstances and attitudes at the time the decision would have been made as well as the medical advice she would have received at the time.

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There is little profit in debating whether the test Laskin CJ had in mind should be labelled objective or subjective. Suffice it to say it contains elements of both the subjective and objective and has been read in different ways. Two assertions can, however, be ventured. First, the Court was concerned to ensure that the plaintiff's particular concerns and circumstances be considered. To hold otherwise would be to virtually place the outcome of the causation inquiry in the hands of the physician. Second, the Court was concerned to ensure that the plaintiff's subjective assertion of what she would have done had she been properly advised be tested "in terms of reasonableness." To hold otherwise would give undue weight to the plaintiff's hindsight assertion that she would have acted in a way that supports her claim for damages. The approach suggested above—that causation is a question of fact for the trial judge to determine on all the evidence including the plaintiff's assertion at trial examined in the light of her circumstances, mind-set, and the medical advice she would have received at the time—satisfies both these concerns.

McLachlin J nonetheless concluded that the trial judge had correctly applied the subjective test. Sopinka and Iacobucci JJ dissented, holding that McLachlin J had formulated the proper test, but the trial judge had not properly applied it.

SUPPLEMENTARY READING

Katz, "Informed Consent: A Fairy Tale? Law's Vision" (1977) 39 U Pitt L Rev 137.

Meisel & Roth, "Toward an Informed Discussion of Informed Consent: A Review and Critique of the Empirical Studies" (1983) 25 Ariz L Rev 265.

Robertson, "Informed Consent Ten Years Later: The Impact of *Reibl v Hughes*" (1991) 70 Can Bar Rev 423.

Schuck, "Rethinking Informed Consent" (1994) 103 Yale LJ 899.

Shaw, "Sterilisation of Mentally Handicapped People: Judge Rule OK?" (1990) 53 Mod L Rev 91.

Shultz, "From Informed Consent to Patient Choice: A New Protected Interest" (1985) 95 Yale LJ 219.

NONFEASANCE

Supplementary Reading 586

The common law distinguishes the wrongful infliction of harm (“misfeasance”) from the mere failure to prevent harm (“nonfeasance”). So far we have been dealing with situations of misfeasance, where the wrongful infliction of harm consisted either in the creation of a nuisance or an unreasonable risk or in acting with the intention of interfering with a protected interest. This chapter turns to consider the idea of nonfeasance.

It is trite law that the defendant is under no duty to act—and therefore can be subject to no liability—in a context of nonfeasance. An extreme consequence of this is that there is no duty to assist persons who are in peril, even where the assistance imposes no real cost. No matter how desperate the other’s circumstances (for example, drowning off the dock where the defendant is standing) and no matter how easy it is to save the other (the lifeline lies at the defendant’s feet), the defendant need not bestir himself on the drowning person’s behalf. The saving of life is a charitable act demanded by conscience, not by law. A well-known judgment expressed this conclusion by referring to Jesus’s parable (Luke 10:30) of the good Samaritan who tended the wounds of the man who was robbed and left half dead on the highway from Jerusalem to Jericho:

The priest and Levite who passed by on the other side were not, it is supposed, liable at law for the continuing suffering of the man who fell among thieves, which they might, and morally ought to have, prevented or relieved. (*Buch v Amory Manufacturing Co* (1897), 69 NH 257 at 260.)

The fact that so drastic and so morally striking a consequence follows from the idea of nonfeasance means that we must be clear about what nonfeasance means. Accordingly, this chapter raises the following questions: What exactly is the difference between misfeasance and nonfeasance? Is the distinction between the two normatively viable? Are there exceptions to this apparently categorical distinction? And does this distinction apply to both private individuals and public authorities?

UNION PACIFIC V CAPPIER
72 P 281 (Kan SC 1903)

SMITH J: This was an action brought by Adeline Cappier, the mother of Irvin Ezelle, to recover damages resulting to her by reason of the loss of her son, who was run over by a car of plaintiff in error, and died from the injuries received. The trial court, at the close of the evidence introduced to support a recovery by plaintiff below, held

that no careless act of the railway company's servants in the operation of the car was shown, and refused to permit the case to be considered by the jury on the allegations and attempted proof of such negligence. The petition, however, contained an averment that the injured person had one leg and an arm cut off by the car wheels, and that the servants of the railway company failed to call a surgeon, or to render him any assistance after the accident, but permitted him to remain by the side of the tracks and bleed to death. Under this charge of negligence a recovery was had. ...

In answer to particular questions of fact, the jury found that the accident occurred at 5:35 p.m.: that immediately one of the railway employees telephoned to police headquarters for help for the injured man; that the ambulance started at 6:05 p.m., and reached the nearest hospital with Ezelle at 6:20 p.m., where he received proper medical and surgical treatment. Judgment against the railway company was based on the following question and answer: "Q. Did not defendant's employees bind up Ezelle's wounds, and try to stop the flow of blood, as soon as they could after the accident happened? A. No." The lack of diligence in the respect stated was intended, no doubt, to apply to the yardmaster, engineer, and fireman in charge of the car and engine. These facts bring us to a consideration of their legal duty toward the injured man after his condition became known. Counsel for defendant in error quoted the language found in *Beach on Contributory Negligence* (3d Ed.) s. 215, as follows: "Under certain circumstances, the railroad may owe a duty to a trespasser after the injury. When a trespasser has been run down, it is the plain duty of the railway company to render whatever service is possible to mitigate the severity of the injury. The train that has occasioned the harm must be stopped, and the injured person looked after, and, when it seems necessary, removed to a place of safety, and carefully nursed, until other relief can be brought to the disabled person." The principal authority cited in support of this doctrine is *Northern Central Railway Co. v. State*, 29 Md. 420, 96 Am. Dec. 545. The court in that case first held that there was evidence enough to justify the jury in finding that the operatives of the train were negligent in running it too fast over a road crossing without sounding the whistle, and that the number of brakemen was insufficient to check its speed. Such negligence was held sufficient to uphold the verdict, and would seem to be all that was necessary to be said. The court however, proceeded to state that from whatever cause the collision occurred, it was the duty of the servants of the company, when the man was found on the pilot of the engine in a helpless and insensible condition, to remove him, and to do it with proper regard to his safety and the laws of humanity. In that case the injured person was taken in charge by the servants of the railway company, and, being apparently dead, without notice to his family, or sending for a physician to ascertain his condition, he was moved to defendant's warehouse, laid on a plank, and locked up for the night. The next morning, when the warehouse was opened, it was found that during the night the man had revived from his stunned condition, and moved some paces from the spot where he had been laid, and was found in a stooping posture, dead, but still warm, having died from haemorrhage of the arteries of one leg which was crushed at and above the knee. It had been proposed to place him in the defendant's station house, which was a comfortable building, but the telegraph operator objected, and directed him to be taken into the warehouse, a place used for the deposit of old barrels and other rubbish. The Maryland case does not support what is so broadly stated in *Beach on Contributory Negligence*. ... After the trespasser on the track of a railway company has been injured in collision with a train, and the servants of the company have assumed to take charge of him, the duty, no doubt, arises to exercise such care in his treatment as the circumstances will allow. We are unable, however, to approve the doctrine that when the acts of a trespasser himself result in his injury, where his own negligent conduct is alone the cause, those in charge of the

instrument which inflicted the hurt, being innocent of wrongdoing, are nevertheless blamable in law if they neglect to administer to the sufferings of him whose wounds we might say were self-imposed.

With the humane side of the question courts are not concerned. It is the omission or negligent discharge of legal duties only which come within the sphere of judicial cognizance. For withholding relief from the suffering, for failure to respond to the calls of worthy charity, or for faltering in the bestowment of brotherly love on the unfortunate, penalties are found not in the laws of men, but in that higher law, the violation of which is condemned by the voice of conscience, whose sentence of punishment for the recreant act is swift and sure. In the law of contracts it is now well understood that a promise founded on a moral obligation will not be enforced in the courts. Bishop states that some of the older authorities recognize a moral obligation as valid, and says: "Such a doctrine, carried to its legitimate results, would release the tribunals from the duty to administer the law of the land, and put in the place of law the varying ideas of morals which the changing incumbents of the bench might from time to time entertain." *Bishop on Contracts*, s. 44. Ezelle's injuries were inflicted, as the court below held, without the fault of the yardmaster, engineer, or fireman in charge of the car and locomotive. The railway company was no more responsible than it would have been had the deceased been run down by the cars of another railroad company on a track parallel with that of plaintiff in error. If no duty was imposed on the servants of defendant below to take charge of and care for the wounded man in such a case, how could a duty arise under the circumstances of the case at bar? In *Barrows on Negligence*, p. 4, it is said: "The duty must be owing from the defendant to the plaintiff, otherwise there can be no negligence, so far as the plaintiff is concerned. And the duty must be owing to plaintiff in an individual capacity, and not merely as one of the general public. This excludes from actionable negligence all failures to observe the obligations imposed by charity, gratitude, generosity, and the kindred virtues. The moral law would obligate an attempt to rescue a person in a perilous position—as a drowning child—but the law of the land does not require it, no matter how little personal risk it might involve, provided that the person who declines to act is not responsible for the peril." See *Kenney v. The Hannibal & St. Joseph Railroad Company*, 70 Mo. 252-257. In the several cases cited in the brief of counsel for defendant in error to sustain the judgment of the trial court it will be found that the negligence on which recoveries were based occurred after the time when the person injured was in the custody and care of those who were at fault in failing to give him proper treatment.

The judgment of the court below will be reversed, with directions to enter judgment on the findings of the jury in favor of the railway company. All the Justices concurring.

NOTES

1. In *Stovin v Wise*, [1996] 3 All ER 801 (HL), Lord Hoffmann observed:

There are sound reasons why omissions require different treatment from positive conduct. It is one thing for the law to say that a person who undertakes some activity shall take reasonable care not to cause damage to others. It is another thing for the law to require that a person who is doing nothing in particular shall take steps to prevent another from suffering harm from the acts of third parties ... or natural causes. One can put the matter in political, moral or economic terms. In political terms it is less of an invasion of an individual's freedom for the law to require him to consider the safety of others in his actions than to impose upon him a duty to rescue or protect. A moral version of this point may be called the "why pick on me?" argument. A duty to prevent harm to others or to render assistance to a person in

danger or distress may apply to a large and indeterminate class of people who happen to be able to do something. Why should one be held liable rather than another? In economic terms, the efficient allocation of resources usually requires an activity should bear its own costs. If it benefits from being able to impose some of its costs on other people (what economists call "externalities"), the market is distorted because the activity appears cheaper than it really is. So liability to pay compensation for loss caused by negligent conduct acts as a deterrent against increasing the cost of the activity to the community and reduces externalities. But there is no similar justification for requiring a person who is not doing anything to spend money on behalf of someone else. Except in special cases (such as marine salvage) English law does not reward someone who voluntarily confers a benefit on another. So there must be some special reason why he should have to put his hand in his pocket. ...

There may be a duty to act if one has undertaken to do so or induced a person to rely upon one doing so. Or the ownership or occupation of land may give rise to a duty to take positive steps for the benefit of those who come upon the land and sometimes for the benefit of neighbours. In *Hargrave v. Goldman* the High Court of Australia held that the owner and occupier of a 600-acre grazing property in Western Australia had a duty to take reasonable steps to extinguish a fire, which had been started by lightning striking a tree on his land, so as to prevent it from spreading to his neighbour's land. This is a case in which the limited class of persons who owe the duty (neighbours) is easily identified and the political, moral and economic arguments which I have mentioned are countered by the fact that the duties are mutual. One cannot tell where the lightning may strike and it is therefore both fair and efficient to impose upon each landowner a duty to have regard to the interests of his neighbour. In giving the advice of the Privy Council affirming the decision (*Goldman v. Hargrave* [1967] 1 AC 645) Lord Wilberforce underlined the exceptional nature of the liability when he pointed out that the question of whether the landowner had acted reasonably should be judged by reference to the resources he actually had at his disposal and not by some general or objective standard. This is quite different from the duty owed by a person who undertakes a positive activity which carries the risk of causing damage to others. If he does not have the resources to take such steps as are objectively reasonable to prevent such damage, he should not undertake that activity at all.

Lord Nicholls of Birkenhead formulated the relevant distinction as follows:

The distinction between liability for acts and liability for omissions is well known. It is not free from controversy. In some cases the distinction is not clear cut. The categorisation may depend upon how broadly one looks when deciding whether the omission is a pure omission or is part of a larger course of activity set in motion by the defendant. Failure to apply the handbrake when parking a vehicle is the classic illustration of the latter. Then the omission is the element which makes the activity negligent. ...

Despite the difficulties, the distinction is fundamentally sound in this area of the law. The distinction is based on a recognition that it is one matter to require a person to take care if he embarks on a course of conduct which may harm others. He must take care not to create a risk of danger. It is another matter to require a person, who is doing nothing, to take positive action to protect others from harm for which he was not responsible, and to hold him liable in damages if he fails to do so.

The law has long recognised that liability can arise more readily in the first situation than the second. This is reasonable. In the second situation a person is being compelled to act, and to act for the benefit of another. There must be some special justification for imposing an obligation of this character. Compulsory altruism needs more justification than an obligation not to create dangers to others when acting for one's own purposes. ...

The classic example of the absence of a legal duty to take positive action is where a grown person stands by while a young child drowns in a shallow pool. Another instance is

where a person watches a nearby pedestrian stroll into the path of an oncoming vehicle. In both instances the callous bystander can foresee serious injury if he does nothing. He does not control the source of the danger, but he has control of the means to avert a dreadful accident. The child or pedestrian is dependent on the bystander: the child is unable to save himself, and the pedestrian is unaware of his danger. The prospective injury is out of all proportion to the burden imposed by having to take preventive steps. All that would be called for is the simplest exertion or a warning shout.

Despite this, the recognised legal position is that the bystander does not owe the drowning child or the heedless pedestrian a duty to take steps to save him. Something more is required than being a bystander. There must be some additional reason why it is fair and reasonable that one person should be regarded as his brother's keeper and have legal obligations in that regard. ...

2. Epstein, "A Theory of Strict Liability" (1973) 2 J Leg Stud 151 at 197, defends the common law rule that there is no duty to rescue on the following grounds:

The common law position on the good Samaritan question does not appeal to our highest sense of benevolence and charity, and it is not at all surprising that there have been many proposals for its alteration or abolition. Let us here examine but one of these proposals. After concluding that the then (1908) current position of the law led to intolerable results, James Barr Ames argued that the appropriate rule should be that:

One who fails to interfere to save another from impending death or great bodily harm, when he might do so with little or no inconvenience to himself, and the death or great bodily harm follows as a consequence of his inaction, shall be punished criminally and shall make compensation to the party injured or to his widow and children in case of death. ...

Under Ames' good Samaritan rule, a defendant in cases of affirmative acts would be required to take only those steps that can be done "with little or no inconvenience." But if the distinction between causing harm and not preventing harm is to be disregarded, why should the difference in standards between the two cases survive the reform of the law? The only explanation is that the two situations are regarded at bottom as raising totally different issues, even for those who insist upon the immateriality of this distinction. ...

Once one decides that as a matter of statutory or common law duty, an individual is required under some circumstances to act at his own cost for the exclusive benefit of another, then it is very hard to set out in a principled manner the limits of social interference with individual liberty. Suppose one claims, as Ames does, that his proposed rule applies only in the "obvious" cases where everyone (or almost everyone) would admit that the duty was appropriate: to the case of the man upon the bridge who refuses to throw a rope to a stranger drowning in the waters below. Even if the rule starts out with such modest ambitions, it is difficult to confine it to those limits. Take a simple case first. X as a representative of a private charity asks you for \$10 in order to save the life of some starving child in a country ravaged by war. There are other donors available but the number of needy children exceeds that number. The money means "nothing" to you. Are you under a legal obligation to give the \$10? Or to lend it interest-free? Does \$10 amount to a substantial cost or inconvenience within the meaning of Ames' rule? It is true that the relationship between the gift to charity and the survival of an unidentified child is not so apparent as is the relationship between the man upon the bridge and the swimmer caught in the swirling seas. But lest the physical imagery govern, it is clear in both cases that someone will die as a consequence of your inaction in both cases. Is there a duty to give, or is the contribution a matter of charity?

Consider yet another example where services, not cash, are an issue. Ames insists that his rule would not require the only surgeon in India capable of saving the life of a person

with a given affliction to travel across the subcontinent to perform an operation, presumably because the inconvenience and cost would be substantial. But how would he treat the case if some third person were willing to pay him for all of his efforts? If the payment is sufficient to induce the surgeon to act, then there is no need for the good Samaritan doctrine at all. But if it is not, then it is again necessary to compare the costs of the physician with the benefits to his prospective patient. It is hard to know whether Ames would require the forced exchange under these circumstances. But it is at least arguable that under his theory forced exchanges should be required, since the payment might reduce the surgeon's net inconvenience to the point where it was trivial.

Once forced exchanges, regardless of the level of payment, are accepted, it will no longer be possible to delineate the sphere of activities in which contracts (or charity) will be required in order to procure desired benefits and the sphere of activity in which those benefits can be procured as of right. Where tests of "reasonableness"—stated with such confidence, and applied with such difficulty—dominate the law of tort, it becomes impossible to tell where liberty ends and obligation begins: where contract ends, and tort begins. In each case, it will be possible for some judge or jury to decide that there was something else which the defendant should have done, and he will decide that on the strength of some cost-benefit formula that is difficult indeed to apply. These remarks are conclusive, I think, against the adoption of Ames' rule by judicial innovation, and they bear heavily on the desirability of the abandonment of the good Samaritan rule by legislation as well. It is not surprising that the law has, in the midst of all the clamour for reform, remained unmoved in the end, given the inability to form alternatives to the current position. ...

[M]ost systems of conventional morality try to distinguish between those circumstances in which a person should be compelled to act for the benefit of his fellow man, and those cases where he should be allowed to do so only if prompted by the appropriate motives. To put the point in other terms, the distinction is taken between that conduct which is required and that which, so to speak, is beyond the call of duty. If that distinction is accepted as part of a common morality, then the argument in favor of the good Samaritan rule is that it, better than any possible alternatives, serves to mark off the first class of activities from the second. ... Failure to aid those in need can invoke at most moral censure on the ground that the person so accused did not voluntarily conform his conduct to some "universal" principle of justice. ... It may well be that the conduct of individuals who do not aid their fellow men is under some circumstances outrageous, but it does not follow that a legal system that does not enforce a duty to aid is outrageous as well.

3. Bender, "A Lawyer's Primer on Feminist Theory and Tort" (1988) 38 J Leg Educ 3 at 33-36, comments on the absence of a duty to rescue from a feminist perspective:

One of the most difficult areas in which questions of duty and the standard of care arise is the "no duty to rescue" case. The problem is traditionally illustrated by the drowning-stranger hypothetical. ... How could there be no duty to rescue? How could standing by and watching another drown be lawful?

Each year that I teach torts I watch again as a majority of my students initially find this legal "no duty" rule reprehensible. After the rationale is explained and the students become immersed in the "reasoned" analysis, and after they take a distanced, objective posture informed by liberalism's concerns for autonomy and liberty, many come to accept the legal rule that intuitively had seemed so wrong to them. They are taught to reject their emotions, instincts, and ethics, and to view accidents and tragedies abstractly, removed from the social and particularized contexts, and to apply instead rationally derived universal principles and a vision of human nature as atomistic, self-interested, and as free from constraint as possible. They are also taught that there are legally relevant distinctions between acts and omissions.

How would this drowning-stranger hypothetical look from a new legal perspective informed by a feminist ethic based upon notions of caring, responsibility, interconnectedness, and cooperation? If we put abstract reasoning and autonomy aside momentarily, we can see what else matters. In defining duty, what matters is that someone, a human being, a part of us, is drowning and will die without some affirmative action. That seems more urgent, more imperative, more important than any possible infringement of individual autonomy by the imposition of an affirmative duty. If we think about the stranger as a human being for a moment, we may realize that much more is involved than balancing one person's interest in having his life saved and another's interest in not having affirmative duties imposed upon him in the absence of a special relationship, although even then the balance seems to me to weigh in favor of imposing a duty or standard of care that requires action.

The drowning stranger is not the only person affected by the lack of care. He is not detached from everyone else. He no doubt has people who care about him—parents, spouse, children, friends, colleagues; groups he participates in religious, social, athletic, artistic, political, educational, work-related; he may even have people who depend upon him for emotional or financial support. He is interconnected with others. If the stranger drowns, many will be harmed. It is not an isolated event with one person's interests balanced against another's. When our legal system trains us to understand the drowning-stranger story as a limited event between two people, both of whom have interests at least equally worth protecting, and when the social ramifications we credit most are the impositions on personal liberty of action, we take a human situation and translate it into a cold, dehumanized algebraic equation. We forget that we are talking about human death or grave physical harms and their reverberating consequences when we equate the consequences with such things as one person's momentary freedom not to act. People are decontextualized for the analysis, yet no one really lives a decontextual life. What gives us the authority to take contextual, actual problems and encode them in a language of numbers, letters, and symbols that represents no reality in any actual person's life?

If instead we impose a duty of acting responsibly with the same self-conscious care for the safety of others that we would give our neighbors or people we know, we require the actor to consider the human consequences of her failure to rescue. Even though it is easier to understand the problem if we hone it down to "relevant facts," which may include abstracting the parties into letter symbols (either A and B or P and D) or roles (driver and passenger), why is it that "relevant facts" do not include the web of relationships and connected people affected by a failure to act responsibly with care for that person's safety? Why is it that our legal training forces us to exclude that information when we solve problems and make rules governing social behaviour or for compensating some victims of accidents? Why should our autonomy or freedom not to rescue weigh more heavily in law than a stranger's harms and the consequent harms to people with whom she is interconnected?

The "no duty" rule is a consequence of a legal system devoid of care and responsiveness to the safety of others. We certainly could create a duty to aid generated from a legal recognition of our interconnectedness, an elevated sense of the importance of physical health and safety, a rejection of the act/omission dualism, and a strong legal value placed on care and concern for others rather than on economic efficiency or individual liberty. The duty to act with care for another's safety, which under appropriate circumstances would include an affirmative duty to act to protect or prevent harm to another, would be shaped by the particular context. One's ability to aid and one's proximity to the need would be relevant considerations. Whether one met that duty would not be determined by how a reasonable person would have acted under the circumstances but by whether one acted out of a conscious care and concern for the safety, health, and well-being of the victim in the way one would act out of care for a neighbour or friend. If someone is clearly in need of medical

help or police protection and your own abilities or limitations make you incapable of providing it, a duty to aid arising from care and concern for another's safety may require you to call for help expeditiously. In circumstances that do not call for rescue, the duty of care would require that one's behaviour be governed by a conscious regard for another's safety. This seemingly minor change would transform the core of negligence law to a human, responsive system.

4. On its facts, was *Union Pacific v Cappier* a nonfeasance case? Compare *Union Pacific with Oke v Weide Transport Ltd* (1963), 41 DLR (2d) 53 (Man CA). In *Oke*, the defendant truck driver, without negligence, knocked down a traffic sign in the middle of a gravel strip dividing the east and west lanes of a highway. The defendant stopped and removed the debris, except for a metal post which was imbedded in the ground. The post was bent with its tip about two feet above the gravel. The defendant thought of reporting the accident to the police, but decided not to. The next day *Oke*, while driving his car, used the gravel strip (which was forbidden) to pass a slow-moving truck. He ran into the metal post, which came up through the floorboards of the car and killed him. The majority held that even if the defendant was under a legal obligation to report the damage to the sign (which they did not decide), the accident that occurred was unforeseeable. In giving the dissenting judgment, and after holding that the accident satisfied the test of foreseeability, Freedman JA said (at 61-62):

Counsel for the defendant advanced another argument that I must now consider. Starting from the premise that the defendant's collision with the sign-post was not the result of his negligence, he urged that thereafter the defendant was under no duty whatever with respect to the broken sign. Without such a duty towards other motorists, including the plaintiff, no negligence could be ascribed to him. His position, it was argued, was no different from that of any other motorist who, driving by and observing the broken sign, did nothing about it.

Concerning this argument I have two observations to make. In the first place, no such other motorist is before the Court as a defendant in this case and it is therefore unnecessary to consider what his position might have been. In the second place, even if we assume that such other motorist would not be liable, it is wrong to think that the defendant's position is on all fours with his. Indeed it is decidedly different. Our other motorist did not collide with the sign; the defendant did, even if it was without negligence. The former, if observing the broken sign-post at all, could do so only fleetingly, while in the act of driving by; the latter stood at the very spot, where he could see the precise results of the collision and the hazard they created. The former, having had no part in the destruction of the sign, was never anything more than an innocent passer-by who might not be under a legal duty to take active steps to control the situation; the defendant on the other hand participated in the creation of the hazard, recognized his obligation to do something by way of rectification, and in fact took some steps in that direction—the removal of debris, the resolve to inform the police—but then failed to go far enough. It is entirely unrealistic, in my view, to try to assimilate his position to that of some passing motorist.

5. In *Moch Co v Rensselaer Water Co*, 159 NE 896 (NY CA 1928), the defendant was a water-works company that contracted with the city to furnish water to fire hydrants at the rate of \$42.50 per year for every hydrant. The plaintiff was the owner of a warehouse that was destroyed by fire when the defendant failed to provide enough water to extinguish the fire before it spread to the plaintiff's warehouse. Cardozo CJ was of the opinion that the plaintiff, not being a party to the defendant's contract with the city, could not recover in contract, and that tort liability was excluded because the defendant's failure to provide water was merely nonfeasance:

"It is ancient learning that one who assumes to act, even though gratuitously, may thereby become subject to the duty of acting carefully, if he acts at all" (*Glanzer v. Shepard*, 233 NY 236, 239; *Marks v. Nambil Realty Co., Inc.*, 245 NY 256, 258). The plaintiff would bring its

case within the orbit of that principle. The hand once set to a task may not always be withdrawn with impunity though liability would fail it if had never been applied at all. A time-honored formula often phrases the distinction as one between misfeasance and nonfeasance. Incomplete the formula is, and so at times misleading. Given a relation involving in its existence a duty of care irrespective of a contract, a tort may result as well from acts of omission as of commission in the fulfilment of the duty thus recognized by law (Pollock, *Torts* [12th ed], p. 555; *Kelley v. Met. Ry. Co.* 1895, 1 QB 944). What we need to know is not so much the conduct to be avoided when the relation and its attendant duty are established as existing. What we need to know is the conduct that engenders the relation. It is here that the formula, however incomplete, has its value and significance. If conduct has gone forward to such a stage that inaction would commonly result, not negatively merely in withholding a benefit, but positively or actively in working an injury, there exists a relation out of which arises a duty to go forward (Bohlen, *Studies in the Law of Torts*, p. 87). So the surgeon who operates without pay is liable though his negligence is in the omission to sterilize his instruments (cf. *Glanzer v. Shepard*, supra); the engineer, though his fault is in the failure to shut off steam (*Kelley v. Met. Ry. Co.*, supra; of *Pittsfield Cottonwear Mfg. Co. v. Shoe Co.*, 71 NH 522, 529, 533); the maker of automobiles, at the suit of some one other than the buyer, though his negligence is merely in inadequate inspection (*MacPherson v. Buick Motor Co.*, 217 NY 382). The query always is whether the putative wrongdoer has advanced to such a point as to have launched a force or instrument of harm, or has stopped where inaction is at most a refusal to become an instrument for good. ...

The plaintiff would have us hold that the defendant, when once it entered upon the performance of its contract with the city, was brought into such a relation with every one who might potentially be benefited through the supply of water at the hydrants as to give to negligent performance, without reasonable notice of a refusal to continue, the quality of a tort. ... We are satisfied that liability would be unduly and indeed indefinitely extended by this enlargement of the zone of duty. The dealer in coal who is to supply fuel for a shop must then answer to the customers if fuel is lacking. The manufacturer of goods, who enters upon the performance of his contract, must answer, in that view, not only to the buyer, but to those to his knowledge are looking to the buyer for their own sources of supply. Every one making a promise having the quality of a contract will be under a duty to the promisee by virtue of the promise, but under another duty, apart from contract, to an indefinite number of potential beneficiaries when performance has begun. The assumption of one relation will mean the involuntary assumption of a series of new relations, inescapably hooded together. Again we may say in the words of the Supreme Court of the United States. "The law does not spread its protection so far" (*Robins Dry Dock & Repair Co. v. Flint*, [275 US 303]). ... The failure in such circumstances to furnish an adequate supply of water is at most the denial of a benefit. It is not the commission of a wrong.

Contrast the view, on similar facts, of Musmanno J in *Doyle v South Pittsburgh Water Co.*, 199 A2d 875 at 878 (Pa SC 1964):

The physical situation in the case at bar and the facts evolving therefrom bring the litigation squarely within the rule that where a party to a contract assumes a duty to the other party to the contract, and it is foreseeable that a breach of that duty will cause injury to some third person not a party to the contract, the contracting party owes a duty to all those falling within the foreseeable orbit or risk of harm. The landmark in this field of the law is the well-known *MacPherson v. Buick Motor Co.* ... where the opinion was written by Justice Cardozo.

MacPherson v Buick Motor Co is the American equivalent of *Donoghue v Stevenson*, [1932] AC 562 (HL). Do you agree that *Moch* and *Donoghue* are indistinguishable?

The *Moch* decision has been much criticized. In Seavey, "Reliance upon Gratuitous Promises or Other Conduct" (1961) 54 Harv L Rev 913 at 921, one of Cardozo's most ardent

academic admirers termed *Moch* “perhaps his most unsatisfactory opinion in the field of torts” because he rested his decision on the defendant’s nonfeasance.

Gregory, “Gratuitous Undertakings and the Duty of Care” (1951) 1 DePaul L Rev 30 at 59, claims to lay bare “the real reason for the decision in the *Moch* case”:

The real reason for the decision in the *Moch* case seems to be that fire insurance companies, and not water companies, are the appropriate social institutions for bearing losses by fire under these circumstances. Practically all property owners today carry fire insurance. They pay plenty for the protection they get and the insurance companies are professional risk-bearers, well able to shoulder the losses which occur. Indeed, losses by fire should be left finally on them unless there is some good reason for allowing them to shift the burden elsewhere. ...

Certainly Cardozo realized that a decision for the *Moch* Company was tantamount to a decision for *Moch*’s fire insurance underwriter against the water company. Any right acknowledged to *Moch* would be equitably assigned by subrogation to its fire insurance carrier—and would quickly be asserted. But what could the water company do about administering this risk? It always received \$42.50 per hydrant per annum, regardless of the nature of the property holdings near any particular hydrant or of the changes which took place in the neighborhoods. That left it virtually nothing to fund against the contingency of loss which might be indirectly occasioned through an inadvertent failure of the water pressure. ...

Cardozo thought the sum of \$42.50 insufficient to warrant the conclusion that a negligent water company should be made to relieve a fire insurance company from bearing the ultimate risk of loss by fire.

CHILDS V DESORMEAUX

2006 SCC 18, [2006] 1 SCR 643

McLACHLIN CJC:

1. INTRODUCTION

[1] A person hosts a party. Guests drink alcohol. An inebriated guest drives away and causes an accident in which another person is injured. Is the host liable to the person injured? I conclude that as a general rule, a social host does not owe a duty of care to a person injured by a guest who has consumed alcohol and that the courts below correctly dismissed the appellants’ action.

2. FACTS

[2] This case arises from a tragic car accident in Ottawa in the early hours of January 1, 1999. At 1:30 a.m., after leaving a party hosted by Dwight Courier and Julie Zimmerman, Desmond Desormeaux drove his vehicle into oncoming traffic and collided head-on with a vehicle driven by Patricia Hadden. One of the passengers in Ms. Hadden’s car was killed and three others seriously injured, including Zoe Childs, who was then a teenager. Ms. Childs’ spine was severed and she has since been paralyzed from the waist down. Mr. Desormeaux and the two passengers in his car were also injured.

[3] Mr. Desormeaux was impaired at the time of the accident. The trial judge found that he had probably consumed 12 beers at the party over two and a half hours, producing a blood-alcohol concentration of approximately 235 mg per 100 ml when he left the party and 225 mg per 100 ml at the time of the accident—concentrations

well over the legal limit for driving of 80 mg per 100 ml. Mr. Desormeaux pleaded guilty to a series of criminal charges arising from these events and received a 10-year sentence.

[4] The party hosted by Dwight Courrier and Julie Zimmerman at their home was a "BYOB" (Bring Your Own Booze) event. The only alcohol served by the hosts was three-quarters of a bottle of champagne in small glasses at midnight. Mr. Desormeaux was known to his hosts to be a heavy drinker. The trial judge heard evidence that when Mr. Desormeaux walked to his car to leave, Mr. Courrier accompanied him and asked, "Are you okay, brother?" Mr. Desormeaux responded "No problem," got behind the wheel and drove away with two passengers. ...

[McLachlin CJC reviewed the general approach to the duty of care under *Anns v London Borough of Merton*, [1977] 2 All ER 492 (HL) and continued:]

3.2 IS THE PROPOSED DUTY NOVEL?

[15] A preliminary point arises from a nuance on the *Anns* test developed in *Cooper v. Hobart*, [2001] 3 SCR 537, 2001 SCC 79. The Court in *Cooper* introduced the idea that as the case law develops, categories of relationships giving rise to a duty of care may be recognized, making it unnecessary to go through the *Anns* analysis. The reference to categories simply captures the basic notion of precedent: where a case is like another case where a duty has been recognized, one may usually infer that sufficient proximity is present and that if the risk of injury was foreseeable, a *prima facie* duty of care will arise. On the other hand, if a case does not clearly fall within a relationship previously recognized as giving rise to a duty of care, it is necessary to carefully consider whether proximity is established. Following *Cooper*, the first issue raised in this case is whether claims against private hosts for alcohol-related injuries caused by a guest constitute a new category of claim. Like the courts below, I conclude that it does.

[16] Canadian law does not provide a clear answer to the question of whether people who host social events where alcohol is served owe a duty of care to third-party members of the public who may be harmed by guests who leave the event inebriated. The closest comparison is that of commercial alcohol providers, who have been held to owe a duty to third-party members of the public who are injured as a result of the drunken driving of a patron: *Stewart v. Pettie*, [1995] 1 SCR 131. Although the action was dismissed on the facts, *Stewart* affirmed that a special relationship existed between taverns and the motoring public that could require the former to take positive steps to protect the latter.

[17] The situation of commercial hosts, however, differs from that of social hosts. As discussed, in determining whether a duty of care arises, the focus is on the nature of the relationship between the parties. Three differences in the plaintiff–defendant relationship suggest that the possibility of a duty of care on commercial hosts does not automatically translate into a duty of care for social hosts.

[18] First, commercial hosts enjoy an important advantage over social hosts in their capacity to monitor alcohol consumption. As a result, not only is monitoring relatively easy for a commercial host, but it is also expected by the host, patrons and members of the public. In fact, commercial hosts have a special incentive to monitor consumption because they are being paid for service. Patrons expect that the number of drinks they consume will be monitored, if only to ensure that they are asked to pay for them. Furthermore, regulators can require that servers undertake training to ensure that they understand the risks of over-service and the signs of intoxication (see, e.g., RRO 1990, Reg. 719). This means that not only is monitoring inherently

part of the commercial transaction, but that servers can generally be expected to possess special knowledge about intoxication.

[19] Second, the sale and consumption of alcohol is strictly regulated by legislatures, and the rules applying to commercial establishments suggest that they operate in a very different context than private-party hosts. This regulation is driven by public expectations and attitudes towards intoxicants, but also serves, in turn, to shape those expectations and attitudes. In Ontario, where these facts occurred, the production, sale and use of alcohol is regulated principally by the regimes established by the *Liquor Control Act*, RSO 1990, c. L.18, and the *Liquor Licence Act*, RSO 1990, c. L.19. The latter Act is wide-ranging and regulates how, where, by and to whom alcohol can be sold or supplied, where and by whom it can be consumed and where intoxication is permitted and where it is not.

[20] These regulations impose special responsibilities on those who would profit from the supply of alcohol. This is clear by the very existence of a licensing scheme, but also by special rules governing the service of alcohol and, as noted above, special training that may be required. Clearly, the sale of alcohol to the general public is understood as including attendant responsibilities to reduce the risk associated with that trade.

[21] The importance of this regulatory environment does not relate to the statutory requirements *per se*, but what they demonstrate about the nature of commercial alcohol sales and about the expectations of purveyors, patrons and the public. Selling alcohol is a carefully regulated industry. The dangers of over-consumption, or of consumption by young or otherwise vulnerable persons, means that its sale and service in commercial settings is controlled. It is not treated like an ordinary commodity sold in retail stores. The public expects that in addition to adherence to regulatory standards, those who sell alcohol to the general public take additional steps to reduce the associated risks. Furthermore, patrons are aware that these special responsibilities have very real and visible manifestations. The imposition of a “cut-off” at the bar is understood, and expected, as part of the institutionalization of these responsibilities. Similarly, in many establishments, “bouncers” both enforce admission and assist other members of the staff who might have to deal with patrons who may have become intoxicated. These features have no equivalent in the non-commercial context. A party host has neither an institutionalized method of monitoring alcohol consumption and enforcing limits, nor a set of expectations that would permit him or her to easily do so.

[22] Third, the contractual nature of the relationship between a tavern keeper serving alcohol and a patron consuming it is fundamentally different from the range of different social relationships that can characterize private parties in the non-commercial context. The appellants argue that there is “nothing inherently special” about profit making in the law of negligence. In the case of alcohol sales, however, it is clear that profit making is relevant. Unlike the host of a private party, commercial alcohol servers have an incentive not only to serve many drinks, but to serve too many. Over-consumption is more profitable than responsible consumption. The costs of over-consumption are borne by the drinker him or herself, taxpayers who collectively pay for the added strain on related public services and, sometimes tragically, third parties who may come into contact with intoxicated patrons on the roads. Yet the benefits of over-consumption go to the tavern keeper alone, who enjoys large profit margins from customers whose judgment becomes more impaired the more they consume. This perverse incentive supports the imposition of a duty to monitor alcohol consumption in the interests of the general public.

[23] The differences just discussed mean that the existence of a duty on the part of commercial providers of alcohol cannot be extended by simple analogy to the

hosts of a private party. The duty proposed in this case is novel. We must therefore ask whether a duty of care is made out on the two-stage *Anns* test.

3.3 STAGE ONE: A PRIMA FACIE DUTY?

[24] Applying the first stage of the *Anns* test requires, as noted above, an examination of the relationship between the parties to determine if it meets the requirement of sufficient proximity. The question is: What, if anything, links party hosts to third-party users of the highway?

[25] The law of negligence not only considers the plaintiff's loss, but explains why it is just and fair to impose the cost of that loss on the particular defendant before the court. The proximity requirement captures this two-sided face of negligence.

[26] I conclude that the necessary proximity has not been established and, consequently, that social hosts of parties where alcohol is served do not owe a duty of care to public users of highways. First, the injury to Ms. Childs was not reasonably foreseeable on the facts found by the trial judge. Second, even if foreseeability were established, no duty would arise because the wrong alleged is a failure to act or nonfeasance in circumstances where there was no positive duty to act.

3.3.1 Foreseeability

[27] Ms. Childs argues that the parties are linked by the foreseeability of physical harm due to the manner in which the party hosts exercised "control or influence over" the party at which Mr. Desormeaux was drinking.

[28] The question of foreseeability is complicated by ambiguity in the findings of the trial judge. The trial judge found that Mr. Desormeaux would be showing "obvious signs of impairment" (para. 73), but did not find that the hosts in the circumstances knew, or ought to have known, that Mr. Desormeaux was too drunk to drive. The risks of impaired driving, and their consequences for motorists and their passengers, are well known. However, if there is no finding that the hosts *knew*, or ought to have known, that the guest who was about to drive was impaired, how can it be said that they should have foreseen that allowing him to drive might result in injury to other motorists?

[29] Instead of finding that the hosts ought reasonably to have been aware that Mr. Desormeaux was too drunk to drive, the trial judge based his finding that the hosts should have foreseen injury to motorists on the road on problematic reasoning. He noted that the hosts knew that Mr. Desormeaux had gotten drunk in the past and then driven. He inferred from this that they should have foreseen that unless Mr. Desormeaux's drinking at the party was monitored, he would become drunk, get into his car and drive onto the highway. The problem with this reasoning is that a history of alcohol consumption and impaired driving does not make impaired driving, and the consequent risk to other motorists, reasonably foreseeable. The inferential chain from drinking and driving in the past to reasonable foreseeability that this will happen again is too weak to support the legal conclusion of reasonable foreseeability—even in the case of commercial hosts, liability has not been extended by such a frail hypothesis.

[30] Ms. Childs points to the findings relating to the considerable amount of alcohol Mr. Desormeaux had consumed and his high blood-alcohol rating, coupled with the fact that Mr. Courrier accompanied Mr. Desormeaux to his car before he drove away, and asks us to make the finding of knowledge of inebriation that the trial judge failed to make. The problem here is the absence of any evidence that Mr. Desormeaux displayed signs of intoxication during this brief encounter. Given

the absence of evidence that the hosts in this case in fact knew of Mr. Desormeaux's intoxication and the fact that the experienced trial judge himself declined to make such a finding, it would not be proper for us to change the factual basis of this case by supplementing the facts on this critical point. I conclude that the injury was not reasonably foreseeable on the facts established in this case.

3.3.2 Failure to Act: Nonfeasance Versus Misfeasance

[31] Foreseeability is not the only hurdle Ms. Childs' argument for a duty of care must surmount. "Foreseeability does not of itself, and automatically, lead to the conclusion that there is a duty of care": G.H.L. Fridman, *The Law of Torts in Canada* (2nd ed. 2002), at p. 320. Foreseeability without more *may* establish a duty of care. This is usually the case, for example, where an *overt act of the defendant* has *directly caused foreseeable physical harm* to the plaintiff: see *Cooper*. However, where the conduct alleged against the defendant is a *failure to act*, foreseeability alone may not establish a duty of care. In the absence of an overt act on the part of the defendant, the nature of the relationship must be examined to determine whether there is a nexus between the parties. Although there is no doubt that an omission may be negligent, as a general principle, the common law is a jealous guardian of individual autonomy. Duties to take positive action in the face of risk or danger are not free-standing. Generally, the mere fact that a person faces danger, or has become a danger to others, does not itself impose any kind of duty on those in a position to become involved.

[32] In this case, we are concerned not with an overt act of the social hosts, but with their alleged failure to act. The case put against them is that they should have interfered with the autonomy of Mr. Desormeaux by preventing him from drinking and driving. It follows that foreseeability alone would not establish a duty of care in this case.

[33] The appellants' argument that Mr. Courrier and Ms. Zimmerman committed positive acts that created, or contributed to, the risk cannot be sustained. It is argued that they *facilitated* the consumption of alcohol by organizing a social event where alcohol was consumed on their premises. But this is not an act that creates risk to users of public roads. The real complaint is that having organized the party, the hosts permitted their guest to drink and then take the wheel of an automobile.

[34] A positive duty of care may exist if foreseeability of harm is present *and* if other aspects of the relationship between the plaintiff and the defendant establish a special link or proximity. Three such situations have been identified by the courts. They function not as strict legal categories, but rather to elucidate factors that can lead to positive duties to act. These factors, or features of the relationship, bring parties who would otherwise be legal strangers into proximity and impose positive duties on defendants that would not otherwise exist.

[35] The first situation where courts have imposed a positive duty to act is where a defendant intentionally attracts and invites third parties to an inherent and obvious risk that he or she has created or controls: *Hendricks v. The Queen*, [1970] SCR 237; *Horsley v. MacLaren*, [1972] SCR 441; *Arnold v. Teno*, [1978] 2 SCR 287; and *Crocker v. Sundance Northwest Resorts Ltd.*, [1988] 1 SCR 1186. For example, it has been held that a boat captain owes a duty to take reasonable care to rescue a passenger who falls overboard (*Horsley*) and that the operator of a dangerous inner-tube sliding competition owes a duty to exclude people who cannot safely participate (*Crocker*). These cases turn on the defendant's causal relationship to the origin of the risk of injury faced by the plaintiff or on steps taken to invite others to subject themselves to a risk under the defendant's control. If the defendant creates a risky situation and invites others into it, failure to act thereafter does not immunize the defendant from

the consequences of its acts. These cases are akin to the positive and *continuing* duty of manufacturers or transferors of goods to warn of inherently dangerous products or dangerous uses of safe products: *Lambert v. Lastoplex Chemicals Co.*, [1972] SCR 569; *Hollis v. Dow Corning Corp.*, [1995] 4 SCR 634.

[36] The second situation where a positive duty of care has been held to exist concerns paternalistic relationships of supervision and control, such as those of parent–child or teacher–student: *Dziwenka v. The Queen in right of Alberta*, [1972] SCR 419; *Bain v. Board of Education (Calgary)* (1993), 146 AR 321 (QB). The duty in these cases rests on the special vulnerability of the plaintiffs and the formal position of power of the defendants. The law recognizes that the autonomy of some persons may be permissibly violated or restricted, but, in turn, requires that those with power exercise it in light of special duties. In the words of Virtue J in *Bain*, in the context of a teacher–student relationship, “[t]hat right of control carries with it a corresponding duty to take care for the safety of, and to properly supervise the student, whether he or she is a child, an adolescent or an adult” (para. 38).

[37] The third situation where a duty of care may include the need to take positive steps concerns defendants who either exercise a public function or engage in a commercial enterprise that includes implied responsibilities to the public at large: *Dunn v. Dominion Atlantic Railway Co.* (1920), 60 SCR 310; *Jordan House Ltd. v. Menow*, [1974] SCR 239; *Doe v. Metropolitan Toronto (Municipality) Commissioners of Police* (1998), 39 OR (3d) 487 (Gen. Div.). In these cases, the defendants offer a service to the general public that includes attendant responsibilities to act with special care to reduce risk. Where a defendant assumes a public role, or benefits from offering a service to the public at large, special duties arise. The duty of a commercial host who serves alcohol to guests to act to prevent foreseeable harm to third-party users of the highway falls into this category: *Stewart v. Pettie*.

[38] Running through all of these situations is the defendant’s material implication in the creation of risk or his or her control of a risk to which others have been invited. The operator of a dangerous sporting competition creates or enhances the risk by inviting and enabling people to participate in an inherently risky activity. It follows that the operator must take special steps to protect against the risk materializing. In the example of the parent or teacher who has assumed control of a vulnerable person, the vulnerability of the person and its subjection to the control of the defendant creates a situation where the latter has an enhanced responsibility to safeguard against risk. The public provider of services undertakes a public service, and must do so in a way that appropriately minimizes associated risks to the public.

[39] Also running through the examples is a concern for the autonomy of the persons affected by the positive action proposed. The law does not impose a duty to eliminate risk. It accepts that competent people have the right to engage in risky activities. Conversely, it permits third parties witnessing risk to decide not to become rescuers or otherwise intervene. It is only when these third parties have a special relationship to the person in danger or a material role in the creation or management of the risk that the law may impinge on autonomy. Thus, the operator of a risky sporting activity may be required to prevent a person who is unfit to perform a sport safely from participating or, when a risk materializes, to attempt a rescue. Similarly, the publican may be required to refuse to serve an inebriated patron who may drive, or a teacher be required to take positive action to protect a child who lacks the right or power to make decisions for itself. The autonomy of risk takers or putative rescuers is not absolutely protected, but, at common law, it is always respected.

[40] Finally, the theme of reasonable reliance unites examples in all three categories. A person who creates or invites others into a dangerous situation, like the high-risk sports operator, may reasonably expect that those taking up the invitation

will rely on the operator to ensure that the risk is a reasonable one or to take appropriate rescue action if the risk materializes. Similarly, a teacher will understand that the child or the child's parents rely on the teacher to avoid and minimize risk. Finally, there is a reasonable expectation on the part of the public that a person providing public services, often under licence, will take reasonable precautions to reduce the risk of the activity, not merely to immediate clients, but to the general public.

[41] Does the situation of the social host who serves alcohol to guests fall within the three categories just discussed or represent an appropriate extension of them having regard to the factors of risk-control and reasonable preservation of autonomy that animate them? I conclude that it does not.

[42] The first category concerns defendants who have created or invited others to participate in highly risky activities. Holding a house party where alcohol is served is not such an activity. Risks may ensue, to be sure, from what guests choose to do or not do at the party. But hosting a party is a far cry from inviting participation in a high-risk sport or taking people out on a boating party. A party where alcohol is served is a common occurrence, not one associated with unusual risks demanding special precautions. The second category of paternalistic relationships of supervision or control is equally inapplicable. Party hosts do not enjoy a paternalistic relationship with their guests, nor are their guests in a position of reduced autonomy that invites control. Finally, private social hosts are not acting in a public capacity and, hence, do not incur duties of a public nature.

[43] More broadly, do the themes that animate the cases imposing positive duties to act—risk enhancement and control, autonomy and reasonable reliance—suggest that the social hosts in this case owed a duty of care to third-party users of the highway, to take reasonable steps to prevent what happened? Again, the answer is that they do not.

[44] Holding a private party at which alcohol is served—the bare facts of this case—is insufficient to implicate the host in the creation of a risk sufficient to give rise to a duty of care to third parties who may be subsequently injured by the conduct of a guest. The host creates a place where people can meet, visit and imbibe alcohol, whether served on the premises or supplied by the guest. All this falls within accepted parameters of non-dangerous conduct. More is required to establish a danger or risk that requires positive action. It might be argued that a host who continues to serve alcohol to a visibly inebriated person knowing that he or she will be driving home has become implicated in the creation or enhancement of a risk sufficient to give rise to a *prima facie* duty of care to third parties, which would be subject to contrary policy considerations at the second stage of the *Anns* test. This position has been taken in some states in the USA: NJ Stat. Ann. §§ 2A:15-5.5 to 2A:15-5.8 (West 2000). We need not decide that question here. Suffice it to say that hosting a party where alcohol is served, without more, does not suggest the creation or exacerbation of risk of the level required to impose a duty of care on the host to members of the public who may be affected by a guest's conduct.

[45] Nor does the autonomy of the individual support the case for a duty to take action to protect highway users in the case at bar. As discussed, the implication of a duty of care depends on the relationships involved. The relationship between social host and guest at a house party is part of this equation. A person who accepts an invitation to attend a private party does not park his autonomy at the door. The guest remains responsible for his or her conduct. Short of active implication in the creation or enhancement of the risk, a host is entitled to respect the autonomy of a guest. The consumption of alcohol, and the assumption of the risks of impaired judgment, is in almost all cases a personal choice and an inherently personal activity. Absent the special considerations that may apply in the commercial context, when such a

choice is made by an adult, there is no reason why others should be made to bear its costs. The conduct of a hostess who confiscated all guests' car keys and froze them in ice as people arrived at her party, releasing them only as she deemed appropriate, was cited to us as exemplary. This hostess was evidently prepared to make considerable incursions on the autonomy of her guests. The law of tort, however, has not yet gone so far.

[46] This brings us to the factor of reasonable reliance. There is no evidence that anyone relied on the hosts in this case to monitor guests' intake of alcohol or prevent intoxicated guests from driving. This represents an important distinction between the situation of a private host, as here, and a public host. The public host provides alcohol to members of the public, under a strict regulatory regime. It is reasonable to expect that the public provider will act to protect the public interest. There is public reliance that he will comply with the rules that prohibit serving too much alcohol to a patron and that if this should occur and the patron seeks to drive, that the public host will take reasonable steps to prevent the person from driving. The same cannot be said of the private social host, who neither undertakes nor is expected to monitor the conduct of guests on behalf of the public.

[47] I conclude that hosting a party at which alcohol is served does not, without more, establish the degree of proximity required to give rise to a duty of care on the hosts to third-party highway users who may be injured by an intoxicated guest. The injury here was not shown to be foreseeable on the facts as found by the trial judge. Even if it had been, this is at best a case of nonfeasance. No duty to monitor guests' drinking or to prevent them from driving can be imposed having regard to the relevant cases and legal principles. A social host at a party where alcohol is served is not under a duty of care to members of the public who may be injured by a guest's actions, unless the host's conduct implicates him or her in the creation or exacerbation of the risk. On the facts of this case, I agree with the Court of Appeal, at para. 75, *per Weiler JA*:

The person sought to be held liable must be implicated in the creation of the risk. ... The social hosts had no statutory duty to monitor the consumption of alcohol or to control the structure of the atmosphere in which alcohol was served. There is no evidence that anyone relied on them to do so. ... I cannot accept the proposition that by merely supplying the venue of a BYOB party, a host assumes legal responsibility to third party users of the road for monitoring the alcohol consumed by guests ... It would not be just and fair in the circumstances to impose a duty of care.

[48] Having concluded that a *prima facie* duty of care has not been established, I find it unnecessary to consider whether any duty would be negated by policy considerations at the second stage of the *Anns* test.

DEPUE V FLATAU

111 NW 1 (Minn SC 1907)

BROWN J: The facts in this somewhat unusual case are as follows: Plaintiff was a cattle buyer, and accustomed to drive through the country in the pursuit of his business, buying cattle, hides, and furs from the farmers. On the evening of January 23, 1905, about five or 5:30 o'clock, after having been out a day or two in the country, he called at the house of defendants, about seven miles from Madelia, where he resided. His object was to inspect some cattle which Flatau, Sr., had for sale, and if arrangements could be made to purchase the same. It was dark at the time of his arrival, but

he inspected the cattle in the barn, and suggested to defendant that, being unable to determine their value by reason of the darkness, he was not prepared to make an offer for the cattle, and requested the privilege of remaining overnight, to the end that a bargain might be made understandingly in the morning. His request was not granted. Plaintiff then bought some furs from other members of defendants' family, and Flatau, Sr., invited him to remain for supper. Under this invitation plaintiff entered the house, paid for the furs, and was given supper with the family. After the evening meal, plaintiff and both defendants repaired to the sitting room of the house, and plaintiff made preparation to depart for his home. His team had not been unhitched from the cutter, but was tied to a hitching post near the house. The testimony from this point leaves the facts in some doubt. Plaintiff testified that soon after reaching the sitting room he was taken with a fainting spell and fell to the floor. He remembers very little of what occurred after that, though he does recall that, after fainting, he again requested permission to remain at defendants' overnight, and that his request was refused. Defendants both deny that this request was made, and testified, when called for cross-examination on the trial, that plaintiff put on his overshoes and buffalo coat unaided, and that, while adjusting a shawl about his neck, he stumbled against a partition between the dining room and the sitting room, but that he did not fall to the floor. Defendant Flatau, Jr., assisted him in arranging his shawl, and the evidence tends to show that he conducted him from the house out of doors and assisted him into his cutter, adjusting the robes about him and attending to other details preparatory to starting the team on its journey. Though the evidence is somewhat in doubt as to the cause of plaintiff's condition while in defendants' home, it is clear that he was seriously ill and too weak to take care of himself. He was in this condition when Flatau, Jr., assisted him into the cutter. He was unable to hold the reins to guide his team, and young Flatau threw them over his shoulders and started the team towards home, going a short distance, as he testified, for the purpose of seeing that the horses took the right road to Madelia. Plaintiff was found early next morning by the roadside, about three-quarters of a mile from defendants' home, nearly frozen to death. He had been taken with another fainting spell soon after leaving defendants' premises, and had fallen from his cutter, where he remained the entire night. He was discovered by a passing farmer, taken to his home, and revived. The result of his experience necessitated the amputation of several of his fingers, and he was otherwise physically injured and his health impaired. Plaintiff thereafter brought this action against defendants, father and son, on the theory that his injuries were occasioned solely by their negligent and wrongful conduct in refusing him accommodations for the night, and, knowing his weak physical condition, or at least having reasonable grounds for knowing it, by reason of which he was unable to care for himself, in sending him out unattended to make his way to Madelia the best he could. At the conclusion of plaintiff's case, the trial court dismissed the action, on the ground that the evidence was insufficient to justify a recovery. Plaintiff appealed from an order denying a new trial.

Two questions are presented for consideration: (1) Whether, under the facts stated, defendants owed any duty to plaintiff which they negligently violated; and (2) whether the evidence is sufficient to take the case to the jury upon the question whether defendants knew, or under the circumstances disclosed ought to have known, of his weak physical condition, and that it would endanger his life to send him home unattended.

The case is an unusual one on its facts, and "all-four" precedents are difficult to find in the books. In fact, after considerable research, we have found no case whose facts are identical with those at bar. It is insisted by defendants that they owed plaintiff no duty to entertain him during the night in question, and were not guilty of any

negligent misconduct in refusing him accommodations, or in sending him home under the circumstances disclosed. Reliance is had for support of this contention upon the general rule as stated in note to *Union Pacific v. Cappier*, 69 LRA 513, where it is said: "Those duties which are dictated merely by good morals or by humane considerations are not within the domain of the law. Feelings of kindness and sympathy may move the Good Samaritan to minister to the needs of the sick and wounded at the roadside, but the law imposes no such obligation; and suffering humanity has no legal complaint against those who pass by on the other side. ... Unless therefore, the relation existing between the sick, helpless, or injured and those who witness their distress is such that the law imposes the duty of providing the necessary relief, there is neither obligation to minister on the one hand, nor cause for legal complaint on the other." This is no doubt a correct statement of the general rule applicable to the Good Samaritan, but it by no means controls a case like that at bar. The facts of this case bring it within the more comprehensive principle that whenever a person is placed in such a position with regard to another that it is obvious that, if he does not use due care in his own conduct, he will cause injury to that person, the duty at once arises to exercise care commensurate with the situation in which he thus finds himself, and with which he is confronted, to avoid such danger; and a negligent failure to perform the duty renders him liable for the consequences of his neglect. This principle applies to varied situations arising from noncontract relations. It protects the trespasser from wanton or wilful injury. It extends to the licensee, and requires the exercise of reasonable care to avoid an unnecessary injury to him. It imposes upon the owner of premises, which he expressly or impliedly invites persons to visit, whether for the transaction of business or otherwise, the obligation to keep the same in reasonably safe condition for use, though it does not embrace those sentimental or social duties often prompting human action. ...

In the case at bar defendants were under no contract obligation to minister to plaintiff in his distress; but humanity demanded that they do so, if they understood and appreciated his condition. And, though those acts which humanity demands are not always legal obligations, the rule to which we have adverted applied to the relation existing between these parties on this occasion and protected plaintiff from acts at their hands that would expose him to personal harm. He was not a trespasser upon their premises, but, on the contrary, was there by the express invitation of Flatau, Sr. He was taken suddenly ill while their guest, and the law, as well as humanity, required that he be not exposed in his helpless condition to the merciless elements. The case, in its substantial facts, is not unlike that of *Cincinnati v. Marrs' Adm'x.*, 27 Ky. Law 388, 85 SW 188, 70 LRA 291. In that case it appears that one Marrs was found asleep in the yards of the railway company in an intoxicated condition. The yard employees discovered him, aroused him from his stupor, and ordered him off the tracks. They knew that he was intoxicated, and that he had left a train recently arrived at the station, and he appeared to them dazed and lost. About forty minutes later, while the yard employees were engaged in switching, they ran over him and killed him. He had again fallen asleep on one of the tracks. The court held the railway company liable; that, under the circumstances disclosed, it was the duty of the yard employees to see that Marrs was safely out of the yards, or, in default of that, to exercise ordinary care to avoid injuring him; and that it was reasonable to require them to anticipate his probable continued presence in the yards. The case at bar is much stronger, for here plaintiff was not intoxicated, nor a trespasser, but, on the contrary, was in defendants' house as their guest, and was there taken suddenly ill in their presence, and, if his physical condition was known and appreciated, they must have

known that to compel him to leave their home unattended would expose him to serious danger.

We understand from the record that the learned trial court held in harmony with the view of the law here expressed, but dismissed the action for the reason, as stated in the memorandum denying a new trial, that there was no evidence that either of the defendants knew, or in the exercise of ordinary care should have known, plaintiff's physical condition, or that allowing him to proceed on his journey would expose him to danger. Of course, to make the act of defendants a violation of their duty in the premises, it should appear that they knew and appreciated his serious condition. The evidence on this feature of the case is not so clear as might be desired, but a majority of the court are of opinion that it is sufficient to charge both defendants with knowledge of plaintiff's condition—at least, that the question should have been submitted to the jury. Defendant Flatau, Sr., testified that he was in the room at all times while plaintiff was in the house and observed his demeanor, and, though he denied that plaintiff fell to the floor in a faint or otherwise, yet the fact that plaintiff was seriously ill cannot be questioned. Flatau, Jr., conducted him to his cutter, assisted him in, observed that he was incapable of holding the reins to guide his team, and for that reason threw them over his shoulders. If defendants knew and appreciated his condition, their act in sending him out to make his way to Madelia the best he could was wrongful and rendered them liable in damages. We do not wish to be understood as holding that defendants were under absolute duty to entertain plaintiff during the night. Whether they could conveniently do so does not appear. What they should or could have done in the premises can only be determined from a full view of the evidence disclosing their situation, and their facilities for communicating his condition to his friends, or near neighbors, if any there were. All these facts will enable the jury to determine whether, within the rules of negligence applicable to the case, defendants neglected any duty they owed plaintiff.

Order reversed.

JUST V BRITISH COLUMBIA [1989] 2 SCR 1228, 64 DLR (4th) 689

CORY J (DICKSON CJC, WILSON, LA FOREST, L'HEUREUX-DUBÉ, and GONTHIER JJ concurring): This appeal puts in issue the approach that should be taken by courts when considering the liability of government agencies in tort actions.

FACTUAL BACKGROUND

On the morning of January 16, 1982 the appellant and his daughter set out, undoubtedly with high hopes and great expectations for a day of skiing at Whistler Mountain. As a result of a heavy snow fall they were forced to stop in the northbound line of traffic on Highway 99. While they were waiting for the traffic to move forward a great boulder weighing more than a ton somehow worked loose from the wooded slopes above the highway and came crashing down upon the appellant's car. The impact killed the appellant's daughter and caused him very serious injuries. He then brought this action against the respondent contending that it had negligently failed to maintain the highway properly.

Highway 99 is a major commuter road between Vancouver and the major ski resorts located at Whistler Mountain. The appellant alleged that there had been earlier rock falls near the scene of the tragedy. As well it was said that the climatic conditions of

freezing and thawing, coupled with a heavy build up of snow in the trees and resulting tree damage created a great risk of rock falls. Trees were said to be a well-known factor in levering rocks loose. It was contended that inadequate attention had been given to all these factors by the respondent and that a reasonable inspection would have demonstrated that the rock constituted a danger to users of the highway.

At the time of the accident the Department of Highways had set up a system for inspection and remedial work upon rock slopes particularly along Highway 99. At the apex of the organization was a Mr. Eastman, the regional geotechnical material engineer. He is a specialist in rock slope maintenance and together with another engineer was responsible for inspecting rock slopes and making recommendations regarding their stability.

The Department contained a rock work section which included Mr. Oliver, the rock work engineer responsible for rock stabilization and inspections on Highway 99. The section also included a rock scaling crew which was formed in 1971 to perform remedial work on the slopes. This crew serviced the entire province. The crew's function was to remove potentially dangerous rocks by prying them loose using a crowbar. As well, they removed trees that were considered a hazard to the safety of those using the highways. Mr. Oliver was required to inspect rock cut areas to assess the stability of the slope and to determine whether there was a risk that a rock might fall on the highway. His inspection duties extended to the entire slope from which such a danger might arise.

When the rock work engineer inspected the rock slopes on Highway 99 he would report his findings and recommendations to the district highways manager responsible for the area. The district manager in turn through the regional geotechnical material engineer submitted requests for the services of the rock scaling crew. The rock scaling crew itself had no discretion as to where and when it worked; its schedule was determined by the requests for remedial work made to the rock work section.

Prior to the accident the practice had been for the Department of Highways to make visual inspections of the rock cuts on Highway 99. These were carried out from the highway unless there was evidence or history of instability in an area in which case the rock engineer would climb the slope. In addition there were numerous informal inspections carried out by highway personnel as they drove along the road when they would look for signs of change in the rock cut and for rocks in the ditch. ...

TEST TO BE APPLIED

In cases such as this where allegations of negligence are brought against a government agency, it is appropriate for courts to consider and apply the test laid down by Lord Wilberforce in *Anns v. Merton London Borough Council* ...

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That test received the approval of the majority of this Court in *City of Kamloops v. Nielsen*, [1984] 2 SCR 2. ...

In the case at bar the accident occurred on a well used major highway in the Province of British Columbia. All the provinces across Canada extol their attributes and attractions in the fierce competition for tourist business. The skiing facilities at Whistler are undoubtedly just such a magnificent attraction. It would be hard to imagine a more open and welcoming invitation to use those facilities than that extended by the provincial highway leading to them. In light of that invitation to use both the facilities and the highway leading to them, it would appear that apart from some specific exemption, arising from a statutory provision or established common law principle, a duty of care was owed by the province to those that use its highways. That duty of care would extend ordinarily to reasonable maintenance of those roads.

The appellant as a user of the highway was certainly in sufficient proximity to the respondent to come within the purview of that duty of care. In this case it can be said that it would be eminently reasonable for the appellant as a user of the highway to expect that it would be reasonably maintained. For the Department of Highways it would be a readily foreseeable risk that harm might befall users of a highway if it were not reasonably maintained. That maintenance could, on the basis of the evidence put forward by the appellant, be found to extend to the prevention of injury from falling rock.

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**WAS THE DECISION OF THE ROCK SECTION AS TO THE
QUANTITY AND QUALITY OF INSPECTIONS A "POLICY" DECISION
EXEMPTING THE RESPONDENT FROM LIABILITY?**

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The functions of government and government agencies have multiplied enormously in this century. Often government agencies were and continue to be the best suited entities and indeed the only organizations which could protect the public in the diverse and difficult situations arising in so many fields. They may encompass such matters as the manufacture and distribution of food and drug products, energy production, environmental protection, transportation and tourism, fire prevention and building developments. The increasing complexities of life involve agencies of government in almost every aspect of daily living. Over the passage of time the increased government activities gave rise to incidents that would have led to tortious liability if they had occurred between private citizens. The early governmental immunity from tortious liability became intolerable. This led to the enactment of legislation which in general imposed liability on the Crown for its acts as though it were a person. However, the Crown is not a person and must be free to govern and make true policy decisions without becoming subject to tort liability as a result of those decisions. On the other hand, complete Crown immunity should not be restored by having every government decision designated as one of policy. Thus the dilemma giving rise to the continuing judicial struggle to differentiate between policy and operation. Particularly difficult decisions will arise in situations where governmental inspections may be expected.

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The need for distinguishing between a governmental policy decision and its operational implementation is thus clear. True policy decisions should be exempt from tortious claims so that governments are not restricted in making decisions based upon social, political or economic factors. However, the implementation of those decisions may well be subject to claims in tort. What guidelines are there to assist courts in differentiating between policy and operation?

Mason J, speaking for himself and one other member of the Australian High Court in *Sutherland Shire Council v. Heyman* (1985), 60 ALR 1, set out what I find to be most helpful guidelines. He wrote: ...

The distinction between policy and operational factors is not easy to formulate, but the dividing line between them will be observed if we recognize that a *public authority is under no duty of care in relation to decisions which involve or are dictated by financial, economic, social or political factors or constraints*. Thus budgetary allocations and the constraints which they entail in terms of allocation of resources cannot be made the subject of a duty of care. *But it may be otherwise*

when the courts are called upon to apply a standard of care to action or inaction that is merely the product of administrative direction, expert or professional opinion, technical standards or general standards of reasonableness. [Emphasis added.]

The duty of care should apply to a public authority unless there is a valid basis for its exclusion. A true policy decision undertaken by a government agency constitutes such a valid basis for exclusion. What constitutes a policy decision may vary infinitely and may be made at different levels although usually at a high level.

The decisions in *Anns v. Merton London Borough Council* and *City of Kamloops v. Nielsen* indicate that a government agency in reaching a decision pertaining to inspection must act in a reasonable manner which constitutes a *bona fide* exercise of discretion. To do so they must specifically consider whether to inspect and if so, the system of inspection must be a reasonable one in all the circumstances.

For example, at a high level there may be a policy decision made concerning the inspection of lighthouses. If the policy decision is made that there is such a pressing need to maintain air safety by the construction of additional airport facilities with the result that no funds can be made available for lighthouse inspection, then this would constitute a *bona fide* exercise of discretion that would be unassailable. Should then a lighthouse beacon be extinguished as a result of the lack of inspection and a shipwreck ensue no liability can be placed upon the government agency. The result would be the same if a policy decision were made to increase the funds for job retraining and reduce the funds for lighthouse inspection so that a beacon could only be inspected every second year and as a result the light was extinguished. Once again this would constitute the *bona fide* exercise of discretion. Thus a decision either not to inspect at all or to reduce the number of inspections may be an unassailable policy decision. This is so provided it constitutes a reasonable exercise of *bona fide* discretion based, for example, upon the availability of funds.

On the other hand, if a decision is made to inspect lighthouse facilities the system of inspections must be reasonable and they must be made properly. ... Thus once the policy decision to inspect has been made, the Court may review the scheme of inspection to ensure it is reasonable and has been reasonably carried out in light of all the circumstances, including the availability of funds, to determine whether the government agency has met the requisite standard of care.

At a lower level, government aircraft inspectors checking on the quality of manufactured aircraft parts at a factory may make a policy decision to make a spot check of manufactured items throughout the day as opposed to checking every item manufactured in the course of one hour of the day. Such a choice as to how the inspection was to be undertaken could well be necessitated by the lack of both trained personnel and funds to provide such inspection personnel. In those circumstances the policy decision that a spot check inspection would be made could not be attacked. ...

Thus a true policy decision may be made at a lower level provided that the government agency establishes that it was a reasonable decision in light of the surrounding circumstances.

The consideration of the duty of care that may be owed must be kept separate and distinct from the consideration of the standard of care that should be maintained by the government agency involved.

Let us assume a case where a duty of care is clearly owed by a governmental agency to an individual that is not exempted either by a statutory provision or because it was a true policy decision. In those circumstances the duty of care owed by the government agency would be the same as that owed by one person to another. Nevertheless the standard of care imposed upon the Crown may not be the same as

that owed by an individual. An individual is expected to maintain his or her sidewalk or driveway reasonably, while a government agency such as the respondent may be responsible for the maintenance of hundreds of miles of highway. The frequency and the nature of inspection required of the individual may well be different from that required of the Crown. In each case the frequency and method must be reasonable in light of all the surrounding circumstances. The governmental agency should be entitled to demonstrate that balanced against the nature and quantity of the risk involved, its system of inspection was reasonable in light of all the circumstances including budgetary limits, the personnel and equipment available to it and that it had met the standard duty of care imposed upon it.

It may be convenient at this stage to summarize what I consider to be the principles applicable and the manner of proceeding in cases of this kind. As a general rule, the traditional tort law duty of care will apply to a government agency in the same way that it will apply to an individual. In determining whether a duty of care exists the first question to be resolved is whether the parties are in a relationship of sufficient proximity to warrant the imposition of such a duty. In the case of a government agency, exemption from this imposition of duty ... may arise as a result of the nature of the decision made by the government agency. That is, a government agency will be exempt from the imposition of a duty of care in situations which arise from its pure policy decisions.

In determining what constitutes such a policy decision, it should be borne in mind that such decisions are generally made by persons of a high level of authority in the agency, but may also properly be made by persons of a lower level of authority. The characterization of such a decision rests on the nature of the decision and not on the identity of the actors. As a general rule, decisions concerning budgetary allotments for departments or government agencies will be classified as policy decisions. Further, it must be recalled that a policy decision is open to challenge on the basis that it is not made in the *bona fide* exercise of discretion. If after due consideration it is found that a duty of care is owed by the government agency and no exemption by way of statute or policy decision-making is found to exist, a traditional torts analysis ensues and the issue of standard of care required of the government agency must next be considered.

The manner and quality of an inspection system is clearly part of the operational aspect of a governmental activity and falls to be assessed in the consideration of the standard of care issue. At this stage, the requisite standard of care to be applied to the particular operation must be assessed in light of all the surrounding circumstances including, for example, budgetary restraints and the availability of qualified personnel and equipment.

Turning to the case at bar it is now appropriate to apply the principles set forth by Mason J in *Sutherland Shire Council v. Heyman*, *supra*, to determine whether the decision or decisions of the government agency were policy decisions exempting the province from liability. Here what was challenged was the manner in which the inspections were carried out, their frequency or infrequency and how and when trees above the rock cut should have been inspected, and the manner in which the cutting and scaling operations should have been carried out. In short, the public authority had settled on a plan which called upon it to inspect all slopes visually and then conduct further inspections of those slopes where the taking of additional safety measures was warranted. Those matters are all part and parcel of what Mason J described as "the product of administrative direction, expert or professional opinion, technical standards or general standards of care." They were not decisions that could be designated as policy decisions. Rather they were manifestations of the implementation of the policy decision to inspect and were operational in nature. As such,

they were subject to review by the Court to determine whether the respondent had been negligent or had satisfied the appropriate standard of care.

At trial the conclusion was reached that the number and frequency of inspections, of scaling and other remedial measures were matters of policy; as a result no findings of fact were made on the issues bearing on the standard of care. Since the matter was one of operation the respondent was not immune from suit and the negligence issue had to be canvassed in its entirety. The appellant was therefore entitled to a finding of fact on these questions and a new trial should be directed to accomplish this.

It may well be that the respondent at the new trial will satisfy the Court that it has met the requisite standard of care. It is apparent that although the *Crown Proceeding Act* imposes the liability of a person upon the Crown, it is not in the same position as an individual. To repeat, the respondent is responsible not for the maintenance of a single private road or driveway but for the maintenance of many hundreds of miles of highway running through difficult mountainous terrain, all of it to be undertaken within budgetary restraints. As noted earlier, decisions reached as to budgetary allotment for departments or government agencies will in the usual course of events be policy decisions that cannot be the basis for imposing liability in tort even though these political policy decisions will have an effect upon the frequency of inspections and the manner in which they may be carried out. All of these factors should be taken into account in determining whether the system was adopted in *bona fide* exercise of discretion and whether within that system the frequency, quality and manner of inspection were reasonable.

To proceed in this way is fair to both the government agency and the litigant. Once a duty of care that is not exempted has been established the trial will determine whether the government agency has met the requisite standard of care. At that stage the system and manner of inspection may be reviewed. However, the review will be undertaken bearing in mind the budgetary restraints imposed and the availability of personnel and equipment to carry out such an inspection.

DISPOSITION

In the result, a new trial must be held to determine whether the respondent had in all the circumstances met the standard of care that should reasonably be imposed upon it with regard to the frequency and manner of inspection of the rock cut and to the cutting and sealing operations carried out upon it.

SOPINKA J (dissenting): ... I am of the opinion that the reasons of my colleague would considerably expand the liability for negligence of public authorities by subjecting to judicial review their policy decisions which were hitherto not reviewable. ...

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My colleague's reasons are based essentially on an attack on the policy of the respondent with respect to the extent and manner of the inspection program. In my opinion, absent evidence that a policy was adopted for some ulterior motive and not for a municipal purpose, it is not open to a litigant to attack it, nor is it appropriate for a court to pass upon it. ...

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In *Anns v. Merton London Borough Council*, *supra*, Lord Wilberforce ... makes it clear that a decision to inspect, and the time, manner and techniques of inspection, may all be within the discretionary power:

There may be a discretionary element in its exercise—discretionary as to the time and manner of inspection, and the techniques to be used. A plaintiff complaining

of negligence must prove, the burden being on him, that action taken was not within the limits of a discretion *bona fide* exercised, before he can begin to rely upon a common law duty of care. But if he can do this, he should, in principle, be able to sue.

If, as here, the statute creates no duty to inspect at all, but simply confers a power to do so, it follows logically that a decision to inspect and the extent and manner thereof are all discretionary powers of the authority.

It is not suggested here that the respondent failed to consider whether to inspect or the manner of inspections. The trial judge and the Court of Appeal found that a policy decision was made that inspections would be carried out by a crew of men called the Rockwork Section. In view of the fact that the crew had responsibility for the inspection of the slopes of all highways, the extent and manner of the inspection was delegated to the Rockwork Section. While it might be suggested that guidelines for inspection should have been laid down for the guidance of the crew, this would be second guessing the policy decision and not a matter for the Court. The appellant's attack on the conduct of the respondent and its employees is an attack on the manner in which they carried out the inspection and scaling of the mountain. The Rockwork Section had decided it could not closely monitor all slopes at all times. Some slopes would only be visually inspected from the highway. The appellant contended that the slopes above man-made cuts should have been closely inspected and that the trees should have been removed within ten feet of a cut slope. The trial judge made the following important findings concerning the decision of the respondent as to the extent and manner of the inspection program:

The question in the case at bar is thus whether the failure of the Crown to take the steps which the plaintiff says it should have taken to prevent the rock fall was a matter of policy or operational. In order to answer it, it is necessary to consider the nature of the decisions here in question. The Crown had never established as a matter of policy that all slopes above highways must be inspected for potential rock fall. Nor had it laid out specific guidelines for dealing with problems if danger was perceived. What it had done was to establish a small crew of men (the rock scaling crew) to deal with problems arising on cliff faces throughout the Province. This crew responded to specific requests from various highway districts for inspection and scaling. For the most part, however, it developed and followed its own program. Given that it was responsible for inspection of slopes and appropriate remedial measures for all the highways in the Province, it could not closely monitor all slopes at all times. The slope here in question was visually inspected from the highway on a number of occasions. However, there had never been scaling or close inspection of the area above the cut because the rock scaling crew did not deem that work to be a priority.

In stating that the authority "must specifically consider whether to inspect and if so the system must be a reasonable one in all the circumstances," my colleague is extending liability beyond what was decided in *Anns v. Merton London Borough Council*, *Barratt v. District of North Vancouver*, and *City of Kamloops v. Nielsen*, *supra*. The system would include the time, manner and technique of inspection. On this analysis it is difficult to determine what aspect of a policy decision would be immune from review. All that is left is the decision to inspect. It can hardly be suggested that all the learning that has been expended on the difference between policy and operational was expended to immunize the decision of a public body that something will be done but not the content of what will be done. It seems to me that a decision to inspect rather than not inspect hardly needs protection from review.

The concern that has resulted in extending immunity from review in respect of policy decisions is that those entrusted with the exercise of the statutory powers make the decision to expend public resources. It is not engaged by a decision simply to do something. It is the decision as to what is to be done that will entail the taxation of the public purse.

NOTES

1. At trial (*Just v R (in right of British Columbia)*, [1985] 5 WWR 570), McLachlin J, in dismissing the plaintiff's claim, had suggested a number of guidelines for distinguishing between a policy decision and an operational function:

The law distinguishes between conduct of a public authority which falls within the realm of "policy" and conduct which is "operational." A governmental body cannot be held liable in a court of law for its policy decisions. It is, however, liable for its operational functions if negligence is established. ...

... In general, policy refers to a decision of a public body at the planning level involving the allocation of scarce resources or balancing such factors as efficiency and thrift The operational function of government, by contrast, involves the use of governmental powers for the purpose of implementing, giving effect to or enforcing compliance with the general or specific goals of a policy decision.

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One hallmark of a policy, as opposed to an operational, decision is that it involves planning In the case at bar, the decision of the rock scaling crew as to what slopes to inspect and scale was a planning decision, involving consideration of priorities and needs throughout the province.

A second characteristic of a policy decision as opposed to an operational function is that a policy decision involves allocating resources and balancing factors such as efficiency or thrift: ... In the case at bar, the choice of when and where to inspect and do remedial work was essentially a matter of deciding where the limited resources made available within the allocated budget could best be applied.

A third criterion is found in the suggestion that the greater the discretion conferred on the decision-making body, the more likely the resultant decision is to be a matter of policy rather than operational In the case at bar, the rock scaling crew had virtually an absolute discretion as to when and where it would work. It created the standards and it determined their enforcement. Its discretion went far beyond the limited operational discretion of how to go about enforcing policies set by others. In effect, the Department of Highways had conferred upon the rock scaling crew the responsibility of formulating policy with respect to the prevention of rock falls on highways.

Fourthly, it has been suggested that where there are standards against which conduct can be evaluated, a decision may move into the operational area and immunity should not be granted The setting of a standard is a policy function; its implementation is an operational function. In the case at bar there were no standards to which the rock scaling crew was required to work or against which its conduct could be evaluated. It alone determined the standards.

Finally, I note that the fact the person or body making the decision is working in the field does not prevent it from being a policy decision. Higher policy-making organs of government may delegate their policy-making powers to those charged with dealing with problems on a day-to-day basis. That, in my view, is what happened in the case at bar.

For these reasons, I conclude that the decisions here complained of fall within the area of policy and cannot be reviewed by this court. The number and quality of inspections, as

well as the frequency of scaling and other remedial measures, were matters of planning and policy involving the utilization of scarce resources and the balancing of needs and priorities throughout the province. Decisions of that nature are for the governmental authorities, not the courts.

2. As *Just* indicates, the case of *Anns v London Borough of Merton*, [1978] AC 728 (HL) marked a new departure for the tort liability of public authorities. In *Anns*, the plaintiffs, lessees in a block of flats, alleged that the foundations of the flats had not been built by the builder in accordance with the plans approved by the defendant local council. Local by-laws passed under the authority of the *Public Health Act* gave the council power to approve building plans and to inspect the foundations before they were covered over. As a result of the defective foundations, structural movements were alleged to have occurred. In holding that the local council was under a duty to the plaintiffs, Lord Wilberforce said:

Although ... a situation of "proximity" existed between the council and owners and occupiers of the houses, I do not think that a description of the council's duty can be based upon the "neighbourhood" principle alone or upon merely any such factual relationship as "control" as suggested by the Court of Appeal. So to base it would be to neglect an essential factor which is that the local authority is a public body, discharging functions under statute: its powers and duties are definable in terms of public not private law. The problem which this type of action creates, is to define the circumstances in which the law should impose, over and above, or perhaps alongside, these public law powers and duties, a duty in private law toward individuals such that they may sue for damages in a civil court. ...

Most, indeed probably all, statutes relating to public authorities or public bodies, contain in them a large area of policy. The courts call this "discretion" meaning that the decision is one for the authority or body to make, and not for the court. Many statutes also prescribe or at least presuppose the practical execution of policy decisions: a convenient description of this is to say that in addition to the area of policy or discretion, there is an operational area. Although this distinction between the policy area and the operational area is convenient, and illuminating, it is probably a distinction of degree; many "operational" powers or duties have in them some element of "discretion." It can safely be said that the more "operational" a power or duty may be, the easier it is to superimpose upon it a common law duty of care. ...

Let us examine the *Public Health Act 1936* in the light of this. Undoubtedly it lays out a wide area of policy. It is for the local authority, a public and elected body, to decide upon the scale of resources which it can make available in order to carry out its functions under Part II of the Act—how many inspectors, with what expert qualifications, it should recruit, how often inspections are to be made, what tests are to be carried out, must be for its decision. It is no accident that the Act is drafted in terms of functions and powers rather than in terms of positive duty. As was well said, public authorities have to strike a balance between the claims of efficiency and thrift ... : whether they get the balance right can only be decided through the ballot box, not in the courts. It is said ... that the local authority is under no duty to inspect, and this is used as the foundation for an argument, also found in some of the cases, that if it need not inspect at all, it cannot be liable for negligent inspection: if it were to be held so liable, so it is said, councils would simply decide against inspection. I think that this is too crude an argument. It overlooks the fact that local authorities are public bodies operating under statute with a clear responsibility for public health in their area. They must, and in fact do, make their discretionary decisions responsibly and for reasons which accord with the statutory purpose. ...

If they do not exercise their discretion in this way they can be challenged in the courts. Thus, to say that councils are under no duty to inspect, it is not a sufficient statement of the position. They are under a duty to give proper consideration to the question whether they should inspect or not. Their immunity from attack, in the event of failure to inspect, in other

words, though great is not absolute. And because it is not absolute, the necessary premise for the proposition “if no duty to inspect, then no duty to take care in inspection” vanishes.

Passing then to the duty as regards inspection, if made. On principle there must surely be a duty to exercise reasonable care. The standard of care must be related to the duty to be performed—namely to ensure compliance with the bylaws. It must be related to the fact that the person responsible for construction in accordance with the bylaws is the builder, and that the inspector’s function is supervisory. It must be related to the fact that once the inspector has passed the foundations they will be covered up, with no subsequent opportunity for inspection. But this duty, heavily operational though it may be, is still a duty arising under the statute. There may be a discretionary element in its exercise—discretionary as to the time and manner of inspection, and the techniques to be used. A plaintiff complaining of negligence must prove, the burden being on him, that action taken was not within the limits of a discretion *bona fide* exercised, before he can begin to rely upon a common law duty of care. But if he can do this, he should, in principle, be able to sue.

3. Illustrative of the treatment of the liability of public authorities before the *Anns* case is *Stevens-Willson v City of Chatham*, [1934] SCR 353, where Lamont J held that a municipality is not liable for mere inactivity:

As pointed out by the trial judge it is not an action for something positive done wrongly, but one for damages for inactivity. The allegation against it is: “that its fire department refused, failed and neglected to fight the fire until the power supplying the electricity to the building was shut off by the Utilities Commission.” The truth of that allegation is admitted. The firemen arrived at the scene of the fire promptly after it commenced, and they saw an arc or ball of fire about three feet wide at the point where the wires entered the conduit pipe leading into the mill. This point was about sixteen feet from the ground and about four to six inches from the side of the metallic covered building, and was the place where the lightning had struck the wires. This arc or ball of fire gave forth what is described as a “sputtering noise,” a “hissing sound as from an acetylene torch,” a “sizzling ball of flame which sounded like a lot of fire crackers or fuses exploding.” Before this unusual sight the firemen quailed. They annexed the hose to the hydrant but did not turn on the water because they did not know what the water would do. They were afraid to do anything until the power was shut off, although they had in their possession the necessary equipment for cutting the wires and the evidence shows that they could have cut them and could have turned the water on the fire with perfect safety to themselves. This they did not do but stood milling around in helpless confusion until the fire had melted the conduit pipe and entered the building and got such a start that when, some twenty-five minutes after the fire commenced, the manager of the Utilities Commission arrived, shut off the power, cut the wires and got the water turned on, it was then too late to save the mill from destruction. It does appear to me not to be open to doubt that had the firemen, when they first arrived, cut the wires and turned on the water, very little damage would have been done to the mill. Their failure to act resulted from ignorance on their part as to what firemen should do in circumstances there existing. It seems to me to be too obvious for argument that at the present day, in a city where the lighting is derived from electricity and the power for most industries comes from the same source, the fire chief, or some person on the force, should know where and how to cut the wires leading into a burning building even if a short circuit has occurred. However, granting that this may be so, it does not affect the liability of the municipality, for, under the authorities referred to by the trial judge and the judges of the Court of Appeal, the law of Ontario seems undoubtedly to be that a municipality cannot be held liable for mere inactivity on the part of its servants.

The conclusion at which we have been forced to arrive in this case is to me very unsatisfactory, but the reason for its unsatisfactory character rests on the state of the law and not on the courts.

4. In *Swinamer v Nova Scotia (AG)*, [1994] 1 SCR 445, 112 DLR (4th) 18, McLachlin J criticized Cory J's approach:

Cory J, as I read his reasons, finds a general duty of care on a province to maintain its highways. This duty is avoided only by establishing that the case falls within a recognized exception to the general duty. As he puts it, "[t]he duty of care should apply to a public authority unless there is a valid basis for its exclusion." He sees policy decisions as a ground of exclusion. He goes on to assert that "[a]s a general rule, the traditional tort law duty of care will apply to a government agency in the same way that it will apply to an individual."

This approach may be seen as a departure from the long-standing view that public authorities owe no private duty to individuals capable of founding a civil action, unless such a duty can be found in the terms of the authority's enabling statute. As Lord Wilberforce put it in *Anns v. Merton London Borough Council*, [1978] AC 728 (HL) at p. 754, to impose a general private law duty on such bodies:

... would be to neglect an essential factor which is that the local authority is a public body, discharging functions under statute: its powers and duties are definable in terms of public not private law. The problem which this type of action creates, is to define the circumstances in which the law should impose, over and above, or perhaps alongside, these public law powers and duties, a duty in private law towards individuals such that they may sue for damages in a civil court.

The reasoning in *Anns* was adopted by this court in *Kamloops (City) v. Nielsen* (1984), 10 DLR (4th) 641 at p. 663, [1984] 2 SCR 2, 29 CCLT 97, where Wilson J emphasized that whether a private law duty may be posited for public authorities depends on their statutory powers:

These questions, Lord Wilberforce said, must be answered by an examination of the governing legislation.

Lord Wilberforce categorized the various types of legislation as follows:

(1) statutes conferring powers to interfere with the rights of individuals in which case an action in respect of damage caused by the exercise of such powers will generally not lie except in the case where the local authority has done what the legislature authorized but has done it negligently;

(2) statutes conferring powers but leaving the scale on which they are to be exercised to the discretion of the local authority. Here there will be an option to the local authority whether or not to do the thing authorized but, if it elects to do it and does it negligently, then the policy decision having been made, there is a duty at the operational level to use due care in giving effect to it.

This appeal falls into the second category. There is no private law duty on the public authority until it makes a policy decision to do something. Then, and only then, does a duty arise at the operational level to use due care in carrying out the policy. On this view, a policy decision is not an exception to a general duty, but a pre-condition to the finding of a duty at the operational level.

5. In *Stovin v Wise*, [1996] 3 All ER 801, the House of Lords repudiated the *Anns* criteria for liability for the exercise of a statutory power. Lord Hoffmann said:

There are at least two reasons why the distinction [between policy and operations] is inadequate. The first is that, as Lord Wilberforce himself pointed out, the distinction is often elusive. This is particularly true of powers to provide public benefits which involve the expenditure of money. Practically every decision about the provision of such benefits, no matter how trivial it may seem, affects the budget of the public authority in either timing or amount. ... But another reason is that even if the distinction is clear cut, leaving no element of discretion in the sense that it would be irrational (in the public law meaning of that word) for the public

authority not to exercise its power, it does not follow that the law should superimpose a common law duty of care. ...

In the case of a mere statutory power ... the legislature has chosen to confer a discretion rather than create a duty. Of course there may be cases in which Parliament has chosen to confer a power because the subject matter did not permit a duty to be stated with sufficient precision. It may nevertheless have contemplated that in circumstances in which it would be irrational not to exercise the power, a person who suffered loss because it had not been exercised, or not properly exercised, would be entitled to compensation. I therefore do not say that a statutory “may” can never give rise to a common law duty of care. I prefer to leave open the question of whether the *Anns* case was wrong. ... But the fact that Parliament has conferred a discretion must be some indication that the policy of the act conferring the power was not to create a right to compensation. The need to have regard to the policy of the statute therefore means that exceptions will be rare.

In summary, therefore, I think that the minimum preconditions for basing a duty of care upon the existence of a statutory power, if it can be done at all, are, first, that it would in the circumstances have been irrational not to have exercised the power, so that there was in effect a public law duty to act, and secondly, that there are exceptional grounds for holding that the policy of the statute requires compensation to be paid to persons who suffer loss because the power was not exercised. ...

I should say something about the Canadian cases which have followed the *Anns* case [1978] AC 728. They are relevant because a number of them involve reliance upon the statutory powers of highway authorities to create a common law duty of care. What is more, the Canadian Supreme Court appears to have achieved this result without the aid of any principle of discrimination other than the distinction between policy and operations.

In *Barratt v. District of North Vancouver* (1980), 114 DLR (3d) 577 the plaintiff was a cyclist who was injured when he rode into a pothole. The local authority had a statutory power, but no duty, to maintain the highway. It had a system of inspecting roads once a fortnight. The pothole had apparently come into existence since the last inspection a week earlier. At first instance, the judge held that the local authority were negligent in not having more frequent inspections. The Supreme Court, applying the *Anns* case, held that frequency of inspections was a matter of policy and could not form the basis of a charge of negligence. On the other hand, in *Just v. British Columbia* (1989), 64 DLR (4th) 689, frequency of inspections was held to be operational. The plaintiff’s car was struck by a boulder which had been loosened by ice and snow and rolled down a hill onto the road. The British Columbia Department of Highways had a statutory power to maintain the highway and had a system of inspection of rock slopes to detect loose boulders. The Supreme Court held that the department could be negligent if it did not inspect often enough. In *Brown v. British Columbia (Minister of Transportation and Highways)* (1994), 112 DLR (4th) 1, the plaintiff was injured when his truck skidded on black ice in cold November weather. He said that the Department of Highways should have put salt and sand on the road to prevent ice from forming. The court held that the department’s decision to continue its infrequent summer schedule of road maintenance into November was a matter of policy. The department was therefore not negligent even if an earlier adoption of the winter schedule would have prevented the accident.

I have to say that these cases seem to me to illustrate the inadequacy of the concepts of policy and operations to provide a convincing criterion for deciding when a duty of care should exist. The distinctions which they draw are hardly visible to the naked eye. With all respect to the majority, I prefer the vigorous dissenting judgments of Sopinka J in the latter two cases.

The facts of *Stovin v Wise* were that the plaintiff was injured in an automobile accident at an intersection where visibility was poor because of an obstruction on neighbouring land. The local highway authority initiated steps to remove the danger, but failed to follow up. Lord

Hoffmann held that it would not have been irrational for the highway authority not to do the work, noting that “[t]he timing of the work and the budgetary year in which the money is spent is surely as much a matter of discretion as the decision in principle to do it.” Moreover,

[t]he creation of a duty of care upon a highway authority, even on grounds of irrationality in failing to exercise a power, would inevitably expose the authority’s budgetary decisions to judicial inquiry. This would distort the priorities of local authorities, which would be bound to try to play safe by increasing their spending on road improvements rather than risk enormous liabilities for personal injury accidents. They will spend less on education or social services. I think that it is important, before extending the duty of care owed by public authorities, to consider the cost to the community of the defensive measures which they are likely to take in order to avoid liability.

It would not be surprising if one of the consequences of the *Anns* case and the spate of cases which followed was that local council inspectors tended to insist upon stronger foundations than were necessary. In a case like this, I do not think that the duty of care can be used as a deterrent against low standards in improving the road layout. ... This must be a matter for the discretion of the authority. On the other hand, denial of liability does not leave the road user unprotected. Drivers of vehicles must take the highway network as they find it. Everyone knows that there are hazardous bends, intersections and junctions. It is primarily the duty of drivers of vehicles to take due care. And if, as in the case of *Mrs Wise*, they do not, there is compulsory insurance to provide compensation to the victims. There is no reason of policy or justice which requires the highway authority to be an additional defendant.

Lord Nicholls of Birkenhead dissented:

In some respects the typical statutory framework makes the step to a common law duty to act easier with public authorities than individuals. Unlike an individual, a public authority is not an indifferent onlooker. Parliament confers powers on public authorities for a purpose. An authority is entrusted and charged with responsibilities, for the public good. The powers are intended to be exercised in a suitable case. Compelling a public authority to act does not represent an intrusion into private affairs in the same way as when a private individual is compelled to act. ...

Norfolk Council acted in a way no reasonable authority would have done. If there is a common law duty, breach of the duty is not disputed. With knowledge of the danger the council decided to act. It then failed to proceed with reasonable diligence. The failure to proceed was not an exercise of discretion by the council. The council did not change its mind. The matter was overlooked. Given the decision to act, the only proper course open to the council was to proceed to implement the decision. Had the council acted as any reasonable authority would, that is what would have happened. The council failed to fulfil its public law obligations just as much as if it were in breach of a statutory duty.

Hence the conclusion, that a concurrent common law duty would not impose on the council any greater obligation to act than the obligation already imposed by its public law duties. The common law duty would impose, not a duty to act differently, but a liability to pay damages if the council failed to act as it should. This is the consequence which considerations of proximity must especially address in the present case. Was the relationship between the parties such that it is fair and reasonable for the council to be liable in damages for failing to behave in a way which merely corresponds to its public law obligations? In this type of case, therefore, the reluctance of the common law to impose a duty to act is not in point. What is in point, in effect though not in legal form, is an obligation to pay damages for breach of public law obligations.

This leads naturally to a further feature of the typical statutory framework. This feature points away from public bodies being subject to concurrent common law obligations. When conferring the statutory functions Parliament stopped short of imposing a duty in favour of the plaintiff. This is so when there is a statutory duty not giving rise to a cause of action for

breach of the duty. This is even more marked when Parliament conferred a power. Without more it would not be reasonable for the common law to impose a duty, sounding in damages, which Parliament refrained from imposing.

For this reason there must be some special circumstance, beyond the mere existence of the power, rendering it fair and reasonable for the authority to be subject to a concurrent common law duty sounding in damages. This special circumstance is the foundation for the concurrent common law duty to act, owed to a particular person or class of persons. It is the presence of this additional, special circumstance which imposes the common law duty and also determines its scope. Viewed in this way there is no inconsistency in principle between the statutory framework set up by Parliament and a parallel common law duty.

Lord Nicholls held that in this case the following features in combination supported the existence of a duty of care: (1) the subject matter was personal injury; (2) the authority knew of the danger; (3) had the danger been removed the accident would not have happened; (4) Parliament has made the authority responsible for omissions regarding dangers on the highway itself; (5) a common law duty is needed to fill the gap that exists between the protection of road users, which is the purpose of the statutory powers, and the absence of an effective public law remedy for injuries resulting from the authority's breach of its public law obligations; and (6) an injured road user may possibly have no other claim.

6. In the aftermath of *Stovin*, the Court of Appeal in the United Kingdom in *Capital and Counties Plc v Hampshire County Council*, [1997] QB 1004 (CA) held, in circumstances similar to those in *Stevens-Willson v City of Chatham* (discussed above at note 3), that a fire brigade is under no duty of care to the owners or occupiers of premises either to attend to a fire or, if it has attended, to fight the fire with care. The fire brigade has a duty only not to make the situation worse, for example, by turning off the sprinkler system.

The retreat from *Anns* in the United Kingdom evident in Lord Hoffmann's opinion in *Stovin* was subsequently formulated extrajudicially in Hoffmann, "Reforming the Law of Public Authority Negligence" (2009) Bar Council Law Reform Lecture at paras 6, 25:

[A] public body owes a duty of care in such circumstances, and only in such circumstances, as a private body would have owed a duty. There are two sides to this coin. On the one side, if a public body does something which, if undertaken by a private body, would have created a duty of care it will owe a similar duty of care. On the other side, the fact that the public body has statutory powers to do something, or even a public law duty, does not create a duty of care in circumstances in which a private body would have owed no such duty. ... [P]ublic bodies owe no duty of care only by virtue of the fact that they have statutory powers or public law duties. An actual relationship with the claimant, such as would give rise to a duty of care on the part of a private body, is required. The effect is to take out of the law of negligence most questions of whether a public body has made the right decision about how it should exercise its powers, that is to say, questions of administration.

7. The decisive reversal of *Anns'* treatment of negligence for public authorities in the United Kingdom came in *Michael v Chief Constable of South Wales Police*, [2015] AC 1732 (UKSC). A woman whose former partner found her at her home with another man assaulted her and left, saying that he would shortly come back to assault her again. She called the police on the emergency number and said that her former partner was going to be back shortly and would kill her. The call was routed to the wrong police station, and when the message was passed on to the local police station it was not graded as requiring an immediate response. The police station was a five- or six-minute drive from her house. Fifteen minutes later she phoned again and was heard to scream as the line went dead. Her ex-partner had indeed murdered her. The court held that the police was under no duty of care to her on receiving her emergency call. Lord Toulson:

English law does not as a general rule impose liability on a defendant (D) for injury or damage to the person or property of a claimant (C) caused by the conduct of a third party The fundamental reason ... is that the common law does not generally impose liability for

pure omissions. It is one thing to require a person who embarks on action which may harm others to exercise care. It is another matter to hold a person liable in damages for failing to prevent harm caused by someone else.

The rule is not absolute. Apart from statutory exceptions, there are two well recognised types of situation in which the common law may impose liability for a careless omission.

The first is where D was in a position of control over T and should have foreseen the likelihood of T causing damage to somebody in close proximity if D failed to take reasonable care in the exercise of that control. *Dorset Yacht* is the classic example Ms Michael's murderer was not under the control of the police, and therefore there is no question of liability under this exception.

The second general exception applies where D assumes a positive responsibility to safeguard C under the *Hedley Byrne* principle, as explained by Lord Goff in *Spring v Guardian Assurance Plc*. It is not a new principle. It embraces the relationships in which a duty to take positive action typically arises: contract, fiduciary relationships, employer and employee, school and pupil, health professional and patient. The list is not exhaustive. ... There has sometimes been a tendency for courts to use the expression "assumption of responsibility" when in truth the responsibility has been imposed by the court rather than assumed by D. It should not be expanded artificially.

These general principles have been worked out for the most part in cases involving private litigants, but they are equally applicable where D is a public body

It is a feature of our system of government that many areas of life are subject to forms of state controlled licensing, regulation, inspection, intervention and assistance aimed at protecting the general public from physical or economic harm caused by the activities of other members of society (or sometimes from natural disasters). Licensing of firearms, regulation of financial services, inspections of restaurants, factories and children's nurseries, and enforcement of building regulations are random examples. To compile a comprehensive list would be virtually impossible, because the systems designed to protect the public from harm of one kind or another are so extensive.

It does not follow from the setting up of a protective system from public resources that if it fails to achieve its purpose, through organisational defects or fault on the part of an individual, the public at large should bear the additional burden of compensating a victim for harm caused by the actions of a third party for whose behaviour the state is not responsible. To impose such a burden would be contrary to the ordinary principles of the common law.

The refusal of the courts to impose a private law duty on the police to exercise reasonable care to safeguard victims or potential victims of crime, except in cases where there has been a representation and reliance, does not involve giving special treatment to the police The question is therefore not whether the police should have a special immunity, but whether an exception should be made to the ordinary application of common law principles which would cover the facts of the present case

If the foundation of a duty of care is the public law duty of the police for the preservation of the Queen's peace, it is hard to see why the duty should be confined to potential victims of a particular kind of breach of the peace. Would a duty of care be owed to a person who reported a credible threat to burn down his house? Would it be owed to a company which reported a credible threat by animal rights extremists to its premises? If not, why not?

It is also hard to see why it should be limited to particular potential victims. If the police fail through lack of care to catch a criminal before he shoots and injures his intended victim and also a bystander (or if he misses his intended target and hits someone else), is it right that one should be entitled to compensation but not the other, when the duty of the police is a general duty for the preservation of the Queen's peace? Similarly if the intelligence service fails to respond appropriately to intelligence that a terrorist group is intending to bring down an airliner, is it right that the service should be liable to the dependents of the victims on the plane but not the victims on the ground? Such a distinction would be understandable if the duty is founded on a representation to, and reliance by, a particular individual but that

is not the basis of the interveners' liability principle. These questions underline the fact that the duty of the police for the preservation of the peace is owed to members of the public at large, and does not involve the kind of close or special relationship ("proximity" or "neighbourhood") necessary for the imposition of a private law duty of care.

Lord Kerr dissented:

In my view, the time has come to recognise the legal duty of the police force to take action to protect a particular individual whose life or safety is, to the knowledge of the police, threatened by someone whose actions the police are able to restrain. I am not convinced that this requires a development of the common law but, if it does, I am sanguine about that prospect. Certainly, I do not believe that rules relating to liability for omissions should inhibit the law's development to this point.

To find that no duty arises on the facts of the present case requires us to squarely confront the consequence of such a finding. If the police force had not negligently downgraded the urgency of Ms Michael's call, on the facts as they are known at present, it is probable that she would still be alive. While the police are not responsible for the actions of her murderer, if the allegations made against them are established, police played a direct, causative role in her death as a result of their negligence. If they were to be found liable for such negligence, would this be so different from the liability of the doctor of a patient who fails to provide life-saving drugs to prevent an aggressive condition in the necessary time? The police have been empowered to protect the public from harm. They should not be exempted from liability on the general common law ground that members of the public are not required to protect others from third party harm; such protection of autonomy for individuals is not appropriate for members of a force whose duty it is to provide precisely the type of protection from the harm that befell Ms Michael. This is the essential and critical obligation of the police force. Any other professional would be liable for inaction with such grievous consequences. So also should be the police.

8. The demise of *Anns* in the United Kingdom has now been definitively confirmed in *Robinson v Chief Constable of West Yorkshire Police*, [2018] UKSC 4. In that case the defendant was held liable for the negligence of the police in injuring an innocent third party while carrying out the arrest of a suspected drug dealer. LORD REED (at paras 32-42):

At common law, public authorities are generally subject to the same liabilities in tort as private individuals and bodies: see, for example, *Entick v Carrington* (1765) 2 Wils KB 275 and *Mersey Docks and Harbour Board v Gibbs* (1866) LR 1 HL 93. Dicey famously stated that "every official, from the Prime Minister down to a constable or collector of taxes, is under the same responsibility for every act done without legal justification as any other citizen": *Introduction to the Study of the Law of the Constitution* 3rd ed (1889), p 181 ...

Accordingly, if conduct would be tortious if committed by a private person or body, it is generally equally tortious if committed by a public authority: see, for example, *Dorset Yacht Co Ltd v Home Office* [1970] AC 1004 ... That general principle is subject to the possibility that the common law or statute may provide otherwise, for example by authorising the conduct in question ... It follows that public authorities are generally under a duty of care to avoid causing actionable harm in situations where a duty of care would arise under ordinary principles of the law of negligence, unless the law provides otherwise.

On the other hand, public authorities, like private individuals and bodies, are generally under no duty of care to prevent the occurrence of harm: as Lord Toulson stated in *Michael*, "the common law does not generally impose liability for pure omissions" (para 97). This "omissions principle" has been helpfully summarised by Tofaris and Steel, "Negligence Liability for Omissions and the Police" (2016) 75 CLJ 128:

In the tort of negligence, a person A is not under a duty to take care to prevent harm occurring to person B through a source of danger not created by A unless (i) A has assumed a responsibility to protect B from that danger, (ii) A has done something

which prevents another from protecting B from that danger, (iii) A has a special level of control over that source of danger, or (iv) A's status creates an obligation to protect B from that danger. ...

That is so, notwithstanding that a public authority may have statutory powers or duties enabling or requiring it to prevent the harm in question. A well-known illustration of that principle is the decision of the House of Lords in *East Suffolk Rivers Catchment Board v Kent* [1941] AC 74. The position is different if, on its true construction, the statutory power or duty is intended to give rise to a duty to individual members of the public which is enforceable by means of a private right of action. If, however, the statute does not create a private right of action, then "it would be, to say the least, unusual if the mere existence of the statutory duty [or, *a fortiori*, a statutory power] could generate a common law duty of care": *Gorringe*, para 23.

A further point, closely related to the last, is that public authorities, like private individuals and bodies, generally owe no duty of care towards individuals to prevent them from being harmed by the conduct of a third party There are however circumstances where such a duty may be owed, as Tofaris and Steele indicated in the passage quoted above. They include circumstances where the public authority has created a danger of harm which would not otherwise have existed, or has assumed a responsibility for an individual's safety on which the individual has relied. ...

In *Anns*, however, it was decided that a local authority owed a duty of care at common law, when exercising its power to inspect building works, to protect the ultimate occupier of the building from loss resulting from defects in its construction. The House of Lords thus held a public authority liable at common law for a careless failure to confer a benefit, by preventing harm caused by another person's conduct, in the absence of any special circumstances such as an assumption of responsibility towards the claimant. It added to the confusion by importing public law concepts, and the American distinction between policy and operational decisions, into questions concerning duties arising under the law of obligations. ... [I]ts reasoning in relation to these matters was not finally disapproved until *Stovin v Wise*.

The position was clarified in *Gorringe v Calderdale Metropolitan Borough Council*, which made it clear that the principle which had been applied in *Stovin v Wise* in relation to a statutory duty was also applicable to statutory powers. Lord Hoffmann ... said that he found it difficult to imagine a case in which a common law duty could be founded simply on the failure, however irrational, to provide some benefit which a public authority had power (or a public law duty) to provide (para 32). He was careful to distinguish that situation from cases where a public authority did acts or entered into relationships or undertook responsibilities giving rise to a duty of care on an orthodox common law foundation (para 38).

However, until the reasoning in *Anns* was repudiated, it was not possible to justify a rejection of liability, where a *prima facie* duty of care arose at the first stage of the analysis from the foreseeability of harm, on the basis that public bodies are not generally liable for failing to exercise their statutory powers or duties so as to confer the benefit of protection from harm. Instead, it was necessary to have recourse to public policy in order to justify the rejection of liability at the second stage The need to have recourse to public policy for that purpose has been superseded by the return to orthodoxy in *Gorringe*. Since that case, a public authority's non-liability for the consequences of an omission can generally be justified on the basis that the omissions principle is a general principle of the law of negligence, and the law of negligence generally applies to public authorities in the same way that it applies to private individuals and bodies.

Equally, concerns about public policy cannot in themselves override a liability which would arise at common law for a positive act carried out in the course of performing a statutory function: the true question is whether, properly construed, the statute excludes the liability which would otherwise arise: see *Gorringe* at para 38 per Lord Hoffmann.

That is not to deny that what might be described as policy considerations sometimes have a role to play in the law of negligence. As explained earlier, where established principles do not provide a clear answer to the question whether a duty of care should be recognised in a novel situation, the court will have to consider whether its recognition would be just and reasonable.

9. Compare *Michael* (note 7) with *Jane Doe v Metropolitan Toronto Police* (1990), 74 OR (2d) 225 (Div Ct). In *Jane Doe* the plaintiff, the victim of a serial rapist, sued the police for failing to warn of the danger of attack. Moldaver J held that her pleadings disclosed a legal cause of action:

Section 57 of the *Police Act*, RSO 1980, c 381, reads as follows:

57. The members of police forces appointed under Part II except assistants and civilian employees, are charged with the duty of preserving the peace, preventing robberies and other crimes and offences, including offences against the by-laws of the municipality and apprehending offenders, and commencing proceedings before the proper tribunal, and prosecuting and aiding in the prosecuting of offenders, and have generally all of the powers and privileges and are liable to all the duties and responsibilities that belong to constables.

This section imposes certain duties upon the police. They include (1) preserving the peace; (2) preventing crimes; and (3) apprehending offenders. The police are charged with the duty of preserving law and order within our society, including the protection of the public from those who would commit or have committed crimes.

When a crime has been committed, society is best protected by the ultimate detection and apprehension of the offender. This holds especially true when the criminal is at large and likely to commit further offences.

For the most part, the police are free to go about their task of detecting and apprehending criminals without fear of being sued by individual members of society who have been victimized. The reason for this is simple. While the police owe certain duties to the public at large, they cannot be expected to owe a private law duty of care to every member of society who might be at risk.

The plaintiff alleges that the defendants knew of the existence of a serial rapist. It was eminently foreseeable that he would strike again and cause harm to yet another victim. The allegations therefore support foreseeability of risk.

The plaintiff further alleges that by the time she was raped, the defendants knew or ought to have known that she had become part of a narrow and distinct group of potential victims, sufficient to support a special relationship of proximity. According to the allegations, the defendants knew:

- (1) that the rapist confined his attacks to the Church-Wellesley area of Toronto;
- (2) that the victims all resided in second or third floor apartments;
- (3) that entry in each case was gained through a balcony door; and
- (4) that the victims were all white, single and female.

Accepting as I must the facts as pleaded, I agree ... that they do support the requisite knowledge on the part of the police sufficient to establish a private law duty of care. The harm was foreseeable and a special relationship of proximity existed. ...

I would add to this by saying that in some circumstances where foreseeable harm and a special relationship of proximity exist, the police might reasonably conclude that a warning ought not to be given. For example, it might be decided that a warning would cause general and unnecessary panic on the part of the public which could lead to greater harm.

It would, however, be improper to suggest that a legitimate decision not to warn would excuse a failure to protect. The duty to protect would still remain. It would simply have to be accomplished by other means.

In this case the plaintiff claims, *inter alia*, that the duty owed to her by the defendants required (1) that she be warned of the impending danger; or (2) in the absence of such a warning, that she be adequately protected. It is alleged that the police did neither.

Instead, she claims they made a conscious decision to sacrifice her in order to apprehend the suspect. They decided to use her as "bait." They chose not to warn her due to a stereotypical belief that because she was a woman, she and others like her would become hysterical. This would have "scared off" the attacker, making his capture more difficult. ...

Whether the decision not to warn was one of policy made in the operational context or an operational decision made in the context of some broader policy, the facts pleaded support a claim in either case.

If the decision not to warn was based on policy, the plaintiff implicitly alleges that it was made arbitrarily, unreasonably and irresponsibly. It stemmed from a conscious decision to use the plaintiff as "bait," combined with an unwarranted stereotypical belief that such warning would cause hysteria.

I would go further and suggest that even if the decision not to warn was one of policy and was responsibly made, it may have carried with it an enhanced duty to provide the necessary resources and personnel to protect the plaintiff and others like her. As already indicated, the plaintiff has alleged that the defendants failed to do this. ...

For all of these reasons, the claim in tort against all defendants must be allowed to proceed.

10. In *Just*, Cory J notes that "a policy decision is open to challenge on the basis that it is not made in the *bona fide* exercise of discretion." The classic Canadian statement of this idea is by Rand J in *Roncarelli v Duplessis*, [1959] SCR 121 at 140:

In public regulation of this sort there is no such thing as absolute and untrammelled "discretion," that is that action can be taken on any ground or for any reason that can be suggested to the mind of the administrator; no legislative Act can, without express language, be taken to contemplate an unlimited arbitrary power exercisable for any purpose, however capricious or irrelevant, regardless of the nature or purpose of the statute. Fraud and corruption in the Commission may not be mentioned in such statutes but they are always implied as exceptions. "Discretion" necessarily implies good faith in discharging public duty; there is always a perspective within which a statute is intended to operate; and any clear departure from its lines or objects is just as objectionable as fraud or corruption.

11. An example of a successful challenge on this basis is *Kamloops v Nielsen*, [1984] 2 SCR 2, 10 DLR (4th) 641. In *Kamloops*, the municipal council did not take steps to prevent construction of a house that was being built without proper foundations. The builder of the house was himself a municipal councillor who pleaded with his colleagues on the council that he should not be harassed by enforcement of the construction bylaw because the building was to be his retirement home and, consequently, no one else would be affected by any problems that might arise. After the house was completed, it was sold to the plaintiff, who was unaware of its history. When the foundation collapsed, the plaintiff successfully sued the municipality for negligence. In rejecting the argument that the municipality was guilty only of nonfeasance, Wilson J said:

There is no evidence to support the proposition that the city gave serious consideration to legal proceedings and decided against them on policy grounds. Rather the evidence gives rise to a strong inference that the city, with full knowledge that the work was progressing in violation of the bylaw and that the house was being occupied without a permit, dropped the matter because one of its aldermen was involved. Having regard to the fact that we are here concerned with a statutory duty and that the plaintiff was clearly a person who should have been in the contemplation of the city as someone who might be injured by any breach

of that duty, I think this is an appropriate case for the application of the principle in *Anns*. I do not think the appellant can take any comfort from the distinction between non-feasance and misfeasance where there is a duty to act or, at the very least, to make a conscious decision not to act on policy grounds. In my view, inaction for no reason or inaction for an improper reason cannot be a policy decision taken in the *bona fide* exercise of discretion. Where the question whether the requisite action should be taken has not even been considered by the public authority, or at least has not been considered in good faith, it seems clear that for that very reason the authority has not acted with reasonable care.

Wilson J also gave the following reasons for holding the defendant liable for the plaintiff's economic loss:

The plaintiff's claim here is against a public authority for breach of a private law duty of care arising under a statute. (This should not be confused with breach of statutory duty *per se*: see *The Queen in Right of Canada v. Saskatchewan Wheat Pool* (1983), 143 DLR (3d) 9, [1983] 1 SCR 205, [1983] 3 WWR 97.) It is noted that in the *Dutton* case Sachs LJ put great emphasis on the fact that the defendant was a public authority and stated that the type of loss recoverable was the type of loss the private law duty arising under the statute was designed to prevent. If economic loss was within the purview of the statute, then it should be recoverable for breach of the private law duty arising under the statute whether or not it is recoverable for breach of a duty at common law. In my view, the private law duty in this case was designed to prevent the expense incurred by the plaintiff in putting proper foundations under his house. It was imposed to ensure that proper foundations would be under his house from the outset. ... If ... a house on defective foundations resulted, it was obviously going to have to be repaired since it represented a threat to the health and safety of the occupants. ...

I do not believe that to permit recovery in this case is to expose public authorities to the indeterminate liability referred to in *Ultramares*, *supra*. In order to obtain recovery for economic loss the statute has to create a private law duty to the plaintiff alongside the public law duty. The plaintiff has to belong to the limited class of owners or occupiers of the property at the time the damage manifests itself. Loss caused as a result of policy decisions made by the public authority in the *bona fide* exercise of discretion will not be compensable. Loss caused in the implementation of policy decisions will not be compensable if the operational decision includes a policy element. Loss caused in the implementation of policy decisions, i.e., operational negligence will be compensable. Loss will also be compensable if the implementation involves policy considerations and the discretion exercised by the public authority is not exercised in good faith. Finally, and perhaps this merits some emphasis, economic loss will only be recoverable if as a matter of statutory interpretation it is a type of loss the statute intended to guard against.

R V IMPERIAL TOBACCO CANADA LTD

2011 SCC 42, [2011] 3 SCR 45

McLACHLIN CJ (for the court):

I. INTRODUCTION

[1] Imperial Tobacco ("Imperial") is a defendant in two cases before the courts in British Columbia, *British Columbia Canada v. Imperial Tobacco Canada Ltd.*, Docket: S010421, and *Knight v. Imperial Tobacco Canada Ltd.*, Docket: L031300. In the first case, the Government of British Columbia is seeking to recover the cost of paying for the medical treatment of individuals suffering from tobacco-related illnesses from a group of 14 tobacco companies, including Imperial ("Costs Recovery case").

The second case is a class action brought against Imperial alone by Mr. Knight on behalf of class members who purchased "light" or "mild" cigarettes, seeking a refund of the cost of the cigarettes and punitive damages ("*Knight* case").

[2] In both cases, the tobacco companies issued third-party notices to the Government of Canada, alleging that if the tobacco companies are held liable to the plaintiffs, they are entitled to compensation from Canada for negligent misrepresentation [and] negligent design

[3] In both cases, Canada brought motions to strike the third-party notices ... , arguing that it was plain and obvious that the third-party claims failed to disclose a reasonable cause of action. ...

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[5] For the reasons that follow, I conclude that all the claims of Imperial and the other tobacco companies brought against the Government of Canada are bound to fail, and should be struck. ...

II. UNDERLYING CLAIMS AND JUDICIAL HISTORY

A. THE KNIGHT CASE

[6] In the *Knight* case, consumers in British Columbia have brought a class action against Imperial under the BPCPA [*Business Practices and Consumer Protection Act*, SBC 2004, c 2] and its predecessor, the TPA [*Trade Practice Act*, RSBC 1996, c 457]. The class consists of consumers of light or mild cigarettes. It alleges that Imperial engaged in deceptive practices when it promoted low-tar cigarettes as less hazardous to the health of consumers. The class alleges that the levels of tar and nicotine listed on Imperial's packages for light and mild cigarettes did not reflect the actual deliveries of toxic emissions to smokers, and alleges that the smoke produced by light cigarettes was just as harmful as that produced by regular cigarettes. The class seeks reimbursement of the cost of the cigarettes purchased, and punitive damages.

[7] Imperial issued a third-party notice against Canada. It alleges that Health Canada advised tobacco companies and the public that low-tar cigarettes were less hazardous than regular cigarettes. Imperial alleges that while Health Canada was initially opposed to the use of health warnings on cigarette packaging, it changed its policy in 1967. It instructed smokers to switch to low-tar cigarettes if they were unwilling to quit smoking altogether, and it asked tobacco companies to voluntarily list the tar and nicotine levels on their advertisements to encourage consumers to purchase low-tar brands. Contrary to expectations, it now appears that low-tar cigarettes are potentially more harmful to smokers.

[8] Imperial also alleges that Agriculture Canada researched, developed, manufactured, and licensed several strains of low-tar tobacco, and collected royalties from the companies, including Imperial, that used these strains. By 1982, Imperial pleads, the tobacco strains developed by Agriculture Canada were "almost the only tobacco varieties available to Canadian tobacco manufacturers" (*Knight* case, amended third-party notice of Imperial, at para. 97).

[9] Imperial makes five allegations against Canada: ...

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- (2) Canada breached private law duties to consumers by negligently misrepresenting the health attributes of low-tar cigarettes, by failing to warn them against the hazards of low-tar cigarettes, and by failing to design its tobacco strain with due care. Consequently, Imperial alleges that it is entitled to contribution and indemnity from Canada under the *Negligence Act*.

- (3) Canada breached its private law duties to Imperial by negligently misrepresenting the health attributes of low-tar cigarettes, by failing to warn Imperial about the hazards of low-tar cigarettes, and by failing to design its tobacco strain with due care. Imperial alleges that it is entitled to damages against Canada to the extent of any liability Imperial may have to the class members. ...

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C. THE CLAIMS FOR NEGLIGENT MISREPRESENTATION

[32] There are two types of negligent misrepresentation claims that remain at issue on this appeal. First, in the *Knight* case, Imperial alleges that Canada negligently misrepresented the health attributes of low-tar cigarettes to consumers, and is therefore liable for contribution and indemnity on the basis of the *Negligence Act* if the class members are successful in this suit. Second, in both cases before the Court, Imperial and the other tobacco companies allege that Canada made negligent misrepresentations to the tobacco companies, and that Canada is liable for any losses that the tobacco companies incur to the plaintiffs in either case.

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[34] For the purposes of the motion to strike, we must accept as true the facts pleaded. We must therefore accept that Canada represented to consumers and to tobacco companies that light or mild cigarettes were less harmful, and that these representations were not accurate. We must also accept that consumers and the tobacco companies relied on Canada's representations and acted on them to their detriment.

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[37] The first question is whether the facts as pleaded bring Canada's relationships with consumers and the tobacco companies within a settled category that gives rise to a duty of care. If they do, a *prima facie* duty of care will be established: see *Childs v. Desormeaux*, 2006 SCC 18, [2006] 1 S.C.R. 643, at para. 15. However, it is important to note that liability for negligent misrepresentation depends on the nature of the relationship between the plaintiff and defendant, as discussed more fully below. The question is not whether negligent misrepresentation is a recognized tort, but whether there is a reasonable prospect that the relationship alleged in the pleadings will give rise to liability for negligent misrepresentation.

[38] In my view, the facts pleaded do not bring either claim within a settled category of negligent misrepresentation. The law of negligent misrepresentation has thus far not recognized liability in the kinds of relationships at issue in these cases. The error of the tobacco companies lies in assuming that the relationships disclosed by the pleadings between Canada and the tobacco companies on the one hand and between Canada and consumers on the other are like other relationships that have been held to give rise to liability for negligent misrepresentation. In fact, they differ in important ways. It is sufficient at this point to note that the tobacco companies have not been able to point to any case where a government has been held liable in negligent misrepresentation for statements made to an industry. To determine whether such a cause of action has a reasonable prospect of success, we must therefore consider whether the general requirements for liability in tort are met, on the test set out by the House of Lords in *Anns v. Merton London Borough Council*, [1978] A.C. 728, and somewhat reformulated but consistently applied by this Court, most notably in *Cooper v. Hobart*, 2001 SCC 79, [2001] 3 S.C.R. 537.

[39] At the first stage of this test, the question is whether the facts disclose a relationship of proximity in which failure to take reasonable care might foreseeably

cause loss or harm to the plaintiff. If this is established, a *prima facie* duty of care arises and the analysis proceeds to the second stage, which asks whether there are policy reasons why this *prima facie* duty of care should not be recognized. ...

(1) Stage One: Proximity and Foreseeability

[40] On the first branch of the test, the tobacco companies argue that the facts pleaded establish a sufficiently close and direct, or “proximate,” relationship between Canada and consumers (in the *Knight* case) and between Canada and tobacco companies (in both cases) to support a duty of care with respect to government statements about light and mild cigarettes. They also argue that Canada could reasonably have foreseen that consumers and the tobacco industry would rely on Canada’s statements about the health advantages of light cigarettes, and that such reliance was reasonable. Canada responds that it was acting exclusively in a regulatory capacity when it made statements to the public and to the industry, which does not give rise to sufficient proximity to ground the alleged duty of care. In the *Costs Recovery* case, Canada also alleges that it could not have reasonably foreseen that the B.C. legislature would enact the CRA [*Tobacco Damages and Health Care Costs Recovery Act*, SBC 2000, c 30] and therefore cannot be liable for the potential losses of the tobacco companies under that Act.

[41] Proximity and foreseeability are two aspects of one inquiry—the inquiry into whether the facts disclose a relationship that gives rise to a *prima facie* duty of care at common law. Foreseeability is the touchstone of negligence law. However, not every foreseeable outcome will attract a commensurate duty of care. Foreseeability must be grounded in a relationship of sufficient closeness, or proximity, to make it just and reasonable to impose an obligation on one party to take reasonable care not to injure the other.

[42] Proximity and foreseeability are heightened concerns in claims for economic loss, such as negligent misrepresentation: see, generally, *Canadian National Railway Co. v. Norsk Pacific Steamship Co.*, [1992] 1 S.C.R. 1021; *Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd.*, [1997] 3 S.C.R. 1210. In a claim of negligent misrepresentation, both these requirements for a *prima facie* duty of care are established if there was a “special relationship” between the parties: *Hercules Managements Ltd. v. Ernst & Young*, [1997] 2 S.C.R. 165. In *Hercules Managements*, the Court, *per* La Forest J., held that a special relationship will be established where: (1) the defendant ought reasonably to foresee that the plaintiff will rely on his or her representation; and (2) reliance by the plaintiff would be reasonable in the circumstances of the case (para. 24). Where such a relationship is established, the defendant may be liable for loss suffered by the plaintiff as a result of a negligent misstatement.

[43] A complicating factor is the role that legislation should play when determining if a government actor owed a *prima facie* duty of care. Two situations may be distinguished. The first is the situation where the alleged duty of care is said to arise explicitly or by implication from the statutory scheme. The second is the situation where the duty of care is alleged to arise from interactions between the claimant and the government, and is not negated by the statute.

[44] The argument in the first kind of case is that the statute itself creates a private relationship of proximity giving rise to a *prima facie* duty of care. It may be difficult to find that a statute creates sufficient proximity to give rise to a duty of care. Some statutes may impose duties on state actors with respect to particular claimants. However, more often, statutes are aimed at public goods, like regulating an industry (*Cooper*), or removing children from harmful environments (*Syl Apps*). In such cases, it may be difficult to infer that the legislature intended to create private law tort duties to claimants. This may be even more difficult if the recognition of a private law duty

would conflict with the public authority's duty to the public: see, e.g., *Cooper* and *Syl Apps*. As stated in *Syl Apps*, "[w]here an alleged duty of care is found to conflict with an overarching statutory or public duty, this may constitute a compelling policy reason for refusing to find proximity" (at para. 28 ...).

[45] The second situation is where the proximity essential to the private duty of care is alleged to arise from a series of specific interactions between the government and the claimant. The argument in these cases is that the government has, through its conduct, entered into a special relationship with the plaintiff sufficient to establish the necessary proximity for a duty of care. In these cases, the governing statutes are still relevant to the analysis. For instance, if a finding of proximity would conflict with the state's general public duty established by the statute, the court may hold that no proximity arises: *Syl Apps*; see also *Heaslip Estate v. Mansfield Ski Club Inc.*, 2009 ONCA 594, 96 O.R. (3d) 401. However, the factor that gives rise to a duty of care in these types of cases is the specific interactions between the government actor and the claimant.

[46] Finally, it is possible to envision a claim where proximity is based both on interactions between the parties and the government's statutory duties.

[47] Since this is a motion to strike, the question before us is simply whether, assuming the facts pleaded to be true, there is any reasonable prospect of successfully establishing proximity, on the basis of a statute or otherwise. On one hand, where the sole basis asserted for proximity is the statute, conflicting public duties may rule out any possibility of proximity being established as a matter of statutory interpretation: *Syl Apps*. On the other, where the asserted basis for proximity is grounded in specific conduct and interactions, ruling a claim out at the proximity stage may be difficult. So long as there is a reasonable prospect that the asserted interactions could, if true, result in a finding of sufficient proximity, and the statute does not exclude that possibility, the matter must be allowed to proceed to trial, subject to any policy considerations that may negate the *prima facie* duty of care at the second stage of the analysis.

[48] As mentioned above, there are two relationships at issue in these claims: the relationship between Canada and consumers (the *Knight* case), and the relationship between Canada and tobacco companies (both cases). The question at this stage is whether there is a *prima facie* duty of care in either or both these relationships. In my view, on the facts pleaded, Canada did not owe a *prima facie* duty of care to consumers, but did owe a *prima facie* duty to the tobacco companies.

[49] The facts pleaded in Imperial's third-party notice in the *Knight* case establish no direct relationship between Canada and the consumers of light cigarettes. The relationship between the two was limited to Canada's statements to the general public that low-tar cigarettes are less hazardous. There were no specific interactions between Canada and the class members. Consequently, a finding of proximity in this relationship must arise from the governing statutes: *Cooper*, at para. 43.

[50] The relevant statutes establish only general duties to the public, and no private law duties to consumers. The *Department of Health Act*, S.C. 1996, c. 8, establishes that the duties of the Minister of Health relate to "the promotion and preservation of the health of the people of Canada": s. 4(1). Similarly, the *Department of Agriculture and Agri-Food Act*, R.S.C. 1985, c. A-9, s. 4, the *Tobacco Act*, S.C. 1997, c. 13, s. 4, and the *Tobacco Products Control Act*, S.C. 1988, c. 20, s. 3 (repealed), only establish duties to the general public. These general duties to the public do not give rise to a private law duty of care to particular individuals. To borrow the words of Sharpe J.A. of the Ontario Court of Appeal in *Eliopoulos Estate v. Ontario (Minister of Health and Long-Term Care)* (2006), 276 D.L.R. (4th) 411, "I fail to see how it could be possible to convert any of the Minister's public law discretionary powers, to be exercised in the general public interest, into private law duties owed to specific

individuals”: para. 17. At the same time, the governing statutes do not foreclose the possibility of recognizing a duty of care to the tobacco companies. Recognizing a duty of care on the government when it makes representations to the tobacco companies about the health attributes of tobacco strains would not conflict with its general duty to protect the health of the public.

[51] Turning to the relationship between Canada and the tobacco companies, at issue in both of the cases before the Court, the tobacco companies contend that a duty of care on Canada arose from the transactions between them and Canada over the years. They allege that Canada went beyond its role as regulator of industry players and entered into a relationship of advising and assisting the companies in reducing harm to their consumers. They hope to show that Canada gave erroneous information and advice, knowing that the companies would rely on it, which they did.

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[53] What is alleged against Canada is that Health Canada assumed duties separate and apart from its governing statute, including research into and design of tobacco and tobacco products and the promotion of tobacco and tobacco products (third-party statement of claim of Imperial in the *Costs Recovery* case, 5 A.R., vol. 2, at p. 66). In addition, it is alleged that Agriculture Canada carried out a programme of cooperation with and support for tobacco growers and cigarette manufacturers including advising cigarette manufacturers of the desirable content of nicotine in tobacco to be used in the manufacture of tobacco products. It is alleged that officials, drawing on their knowledge and expertise in smoking and health matters, provided both advice and directions to the manufacturers including advice that the tobacco strains designed and developed by officials of Agriculture Canada and sold or licensed to the manufacturers for use in their tobacco products would not increase health risks to consumers or otherwise be harmful to them (pp. 109-10). Thus, what is alleged is not simply that broad powers of regulation were brought to bear on the tobacco industry, but that Canada assumed the role of adviser to a finite number of manufacturers and that there were commercial relationships entered into between Canada and the companies based in part on the advice given to the companies by government officials.

[54] What is alleged with respect to Canada’s interactions with the manufacturers goes far beyond the sort of statements made by Canada to the public at large. Canada is alleged to have had specific interactions with the manufacturers in contrast to the absence of such specific interactions between Canada and the class members. Whereas the claims in relation to consumers must be founded on a statutory framework establishing very general duties to the public, the claims alleged in relation to the manufacturers are not alleged to arise primarily from such general regulatory duties and powers but from roles undertaken specifically in relation to the manufacturers by Canada apart from its statutory duties, namely its roles as designer, developer, promoter and licensor of tobacco strains. With respect to the issue of reasonable reliance, Canada’s regulatory powers over the manufacturers, coupled with its specific advice and its commercial involvement, could be seen as supporting a conclusion that reliance was reasonable in the pleaded circumstance.

[55] The indices of proximity offered in *Hercules Managements* for a special relationship (direct financial interest; professional skill or knowledge; advice provided in the course of business, deliberately or in response to a specific request) may not be particularly apt in the context of alleged negligent misrepresentations by government. I note, however, that the representations are alleged to have been made in the course of Health Canada’s regulatory and other activities, not in the course of casual interaction. They were made specifically to the manufacturers who were subject to Health Canada’s regulatory powers and by officials alleged to have special skill, judgment and knowledge.

[56] Before leaving this issue, two final arguments must be considered. First, in the *Costs Recovery* case, Canada submits that there is no *prima facie* duty of care between Canada and the tobacco companies because the potential damages that the tobacco companies may incur under the CRA were not foreseeable. It argues that “[i]t was not reasonably foreseeable by Canada that a provincial government might create a wholly new type of civil obligation to reimburse costs incurred by a provincial health care scheme in respect of defined tobacco-related wrongs, with unlimited retroactive and prospective reach” (A.F. at para. 36).

[57] In my view, Canada’s argument was correctly rejected by the majority of the Court of Appeal. It is not necessary that Canada should have foreseen the precise statutory vehicle that would result in the tobacco companies’ liability. All that is required is that it could have foreseen that its negligent misrepresentations would result in a harm of some sort to the tobacco companies: *Hercules Managements*, at paras. 25-26 and 42. On the facts pleaded, it cannot be ruled out that the tobacco companies may succeed in proving that Canada foresaw that the tobacco industry would incur this type of penalty for selling a more hazardous product. As held by Tysoe J.A., it is not necessary that Canada foresee that the liability would extend to health care costs specifically, or that provinces would create statutory causes of action to recover these costs. Rather, “[i]t is sufficient that Canada could have reasonably foreseen in a general way that the appellants would suffer harm if the light and mild cigarettes were more hazardous to the health of smokers than regular cigarettes” (at para. 78).

[58] Second, Canada argues that the relationship in this case does not meet the requirement of reasonable reliance because Canada was not acting in a commercial capacity, but rather as a regulator of an industry. It was therefore not reasonable for the tobacco companies to have relied on Canada as an advisor, it submits. This view was adopted by Hall J.A. in dissent, holding that “it could never have been the perception of the appellants that Canada was taking responsibility for their interests” (*Costs Recovery* case, at para. 51).

[59] In my view, this argument misconceives the reliance necessary for negligent misrepresentation under the test in *Hercules Managements*. When the jurisprudence refers to “reasonable reliance” in the context of negligent misrepresentation, it asks whether it was reasonable for the listener to rely on the speaker’s statement as accurate, not whether it was reasonable to believe that the speaker is guaranteeing the accuracy of its statement. It is not plain and obvious that it was unreasonable for the tobacco companies to rely on Canada’s statements about the advantages of light or mild cigarettes. In my view, Canada’s argument that it was acting as a regulator does not relate to reasonable reliance, although it exposes policy concerns that should be considered at stage two of the *Anns/Cooper* test: *Hercules Managements*, at para. 41.

[60] In sum, I conclude that the claims between the tobacco companies and Canada should not be struck out at the first stage of the analysis. The pleadings, assuming them to be true, disclose a *prima facie* duty of care in negligent misrepresentation. However, the facts as pleaded in the *Knight* case do not show a relationship between Canada and consumers that would give rise to a duty of care. That claim should accordingly be struck at this stage of the analysis.

(2) Stage Two: Conflicting Policy Considerations

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[62] For the reasons that follow, I accept Canada’s submission that its alleged negligent misrepresentations to the tobacco industry in both cases should not give rise to tort liability because of stage-two policy considerations. First, the alleged

statements are protected expressions of government policy. Second, recognizing a duty of care would expose Canada to indeterminate liability.

(A) GOVERNMENT POLICY DECISIONS

[63] Canada contends that it had a policy of encouraging smokers to consume low-tar cigarettes, and pursuant to this policy, promoted this variety of cigarette and developed strains of low-tar tobacco. Canada argues that statements made pursuant to this policy cannot ground tort liability. It relies on the statement of Cory J. in *Just v. British Columbia*, [1989] 2 S.C.R. 1228, that “[t]rue policy decisions should be exempt from tortious claims so that governments are not restricted in making decisions based upon social, political or economic factors” (p. 1240).

[64] The tobacco companies, for their part, contend that Canada’s actions were not matters of policy, but operational acts implementing policy, and therefore, are subject to tort liability. They submit that Canada’s argument fails to account for the “facts” as pleaded in the third-party notices, namely that Canada was acting in an operational capacity, and as a participant in the tobacco industry. The tobacco companies also argue that more evidence is required to determine if the government’s actions were operational or pursuant to policy, and that the matter should therefore be permitted to go to trial.

[65] In the *Knight* case, the majority in the Court of Appeal, *per* Tysoe J.A., agreed with Imperial’s submissions, holding that “evidence is required to determine which of the actions and statements of Canada in this case were policy decisions and which were operational decisions” (para. 52). Hall J.A. dissented; in his view, it was clear that all of Canada’s initiatives were matters of government policy:

[Canada] had a responsibility, as pleaded in the Third Party Notice, to protect the health of the Canadian public including smokers. Any initiatives it took to develop less hazardous strains of tobacco, or to publish the tar and nicotine yields of different cigarette brands were directed to this end. While the development of new strains of tobacco involved Agriculture Canada, in my view the government engaged in such activities as a regulator of the tobacco industry seeking to protect the health interests of the Canadian public. Policy considerations underlaid all of these various activities undertaken by departments of the federal government. [para. 100]

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(iii) *What Constitutes a Policy Decision Immune from Judicial Review?*

[72] The question of what constitutes a policy decision that is generally protected from negligence liability is a vexed one, upon which much judicial ink has been spilled. There is general agreement in the common law world that government policy decisions are not justiciable and cannot give rise to tort liability. There is also general agreement that governments may attract liability in tort where government agents are negligent in carrying out prescribed duties. The problem is to devise a workable test to distinguish these situations.

[73] The jurisprudence reveals two approaches to the problem, one emphasizing discretion, the other, policy, each with variations. The first approach focuses on the discretionary nature of the impugned conduct. The “discretionary decision” approach was first adopted in *Home Office v. Dorset Yacht Co.*, [1970] 2 W.L.R. 1140 (H.L.). This approach holds that public authorities should be exempt from liability if they are acting within their discretion, unless the challenged decision is irrational.

[74] The second approach emphasizes the “policy” nature of protected state conduct. Policy decisions are conceived of as a subset of discretionary decisions, typically

characterized as raising social, economic and political considerations. These are sometimes called “true” or “core” policy decisions. They are exempt from judicial consideration and cannot give rise to liability in tort, provided they are neither irrational nor taken in bad faith. A variant of this is the policy/operational test, in which “true” policy decisions are distinguished from “operational” decisions, which seek to implement or carry out settled policy. To date, the policy/operational approach is the dominant approach in Canada: *Just; Brown v. British Columbia (Minister of Transportation and Highways)*, [1994] 1 S.C.R. 420; *Swinamer v. Nova Scotia (Attorney General)*, [1994] 1 S.C.R. 445; *Lewis (Guardian ad litem of) v. British Columbia*, [1997] 3 S.C.R. 1145.

[75] To complicate matters, the concepts of discretion and policy overlap and are sometimes used interchangeably. Thus Lord Wilberforce in *Anns* defined policy as a synonym for discretion (p. 500).

[76] There is wide consensus that the law of negligence must account for the unique role of government agencies: *Just*. On the one hand, it is important for public authorities to be liable in general for their negligent conduct in light of the pervasive role that they play in all aspects of society. Exempting all government actions from liability would result in intolerable outcomes. On the other hand, “the Crown is not a person and must be free to govern and make true policy decisions without becoming subject to tort liability as a result of those decisions”: *Just*, at p. 1239. The challenge, to repeat, is to fashion a just and workable legal test.

[77] The main difficulty with the “discretion” approach is that it has the potential to create an overbroad exemption for the conduct of government actors. Many decisions can be characterized as to some extent discretionary. For this reason, this approach has sometimes been refined or replaced by tests that narrow the scope of the discretion that confers immunity.

[78] The main difficulty with the policy/operational approach is that courts have found it notoriously difficult to decide whether a particular government decision falls on the policy or operational side of the line. Even low-level state employees may enjoy some discretion related to how much money is in the budget or which of a range of tasks is most important at a particular time. Is the decision of a social worker when to visit a troubled home, or the decision of a snow-plow operator when to sand an icy road, a policy decision or an operational decision? Depending on the circumstances, it may be argued to be either or both. The policy/operational distinction, while capturing an important element of why some government conduct should generally be shielded from liability, does not work very well as a legal test.

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[84] A review of the jurisprudence provokes the following observations. The first is that a test based simply on the exercise of government discretion is generally now viewed as too broad. Discretion can imbue even routine tasks, like driving a government vehicle. To protect all government acts that involve discretion unless they are irrational simply casts the net of immunity too broadly.

[85] The second observation is that there is considerable support in all jurisdictions reviewed for the view that “true” or “core” policy decisions should be protected from negligence liability. The current Canadian approach holds that only “true” policy decisions should be so protected, as opposed to operational decisions: *Just*. The difficulty in defining such decisions does not detract from the fact that the cases keep coming back to this central insight. ...

[86] A third observation is that defining a core policy decision negatively as a decision that it is not an “operational” decision may not always be helpful as a stand-alone test. It posits a stark dichotomy between two water-tight compartments—policy decisions and operational decisions. In fact, decisions in real life may not fall neatly into one category or the other.

[87] Instead of defining protected policy decisions negatively, as “not operational,” the majority in [*United States v Gaubert*, 499 US 315 (1991)] defines them positively as discretionary legislative or administrative decisions and conduct that are grounded in social, economic, and political considerations. Generally, policy decisions are made by legislators or officers whose official responsibility requires them to assess and balance public policy considerations. The decision is a considered decision that represents a “policy” in the sense of a general rule or approach, applied to a particular situation. It represents “a course or principle of action adopted or proposed by a government”: *New Oxford Dictionary of English* (1998), at p. 1434. When judges are faced with such a course or principle of action adopted by a government, they generally will find the matter to be a policy decision. The weighing of social, economic, and political considerations to arrive at a course or principle of action is the proper role of government, not the courts. For this reason, decisions and conduct based on these considerations cannot ground an action in tort.

[88] Policy, used in this sense, is not the same thing as discretion. Discretion is concerned with whether a particular actor had a choice to act in one way or the other. Policy is a narrow subset of discretionary decisions, covering only those decisions that are based on public policy considerations, like economic, social and political considerations. Policy decisions are always discretionary, in the sense that a different policy could have been chosen. But not all discretionary decisions by government are policy decisions.

[89] While the main focus on the *Gaubert* approach is on the nature of the decision, the role of the person who makes the decision may be of assistance. Did the decision maker have the responsibility of looking at social, economic or political factors and formulating a “course” or “principle” of action with respect to a particular problem facing the government? Without suggesting that the question can be resolved simply by reference to the rank of the actor, there is something to Scalia J.’s observation in *Gaubert* that employees working at the operational level are not usually involved in making policy choices.

[90] I conclude that “core policy” government decisions protected from suit are decisions as to a course or principle of action that are based on public policy considerations, such as economic, social and political factors, provided they are neither irrational nor taken in bad faith. This approach is consistent with the basic thrust of Canadian cases on the issue, although it emphasizes positive features of policy decisions, instead of relying exclusively on the quality of being “non-operational.” It is also supported by the insights of emerging jurisprudence here and elsewhere. This said, it does not purport to be a litmus test. Difficult cases may be expected to arise from time to time where it is not easy to decide whether the degree of “policy” involved suffices for protection from negligence liability. A black and white test that will provide a ready and irrefutable answer for every decision in the infinite variety of decisions that government actors may produce is likely chimerical. Nevertheless, most government decisions that represent a course or principle of action based on a balancing of economic, social and political considerations will be readily identifiable.

[91] Applying this approach to motions to strike, we may conclude that where it is “plain and obvious” that an impugned government decision is a policy decision, the claim may properly be struck on the ground that it cannot ground an action in tort. If it is not plain and obvious, the matter must be allowed to go to trial.

(iv) *Conclusion on the Policy Argument*

[92] As discussed, the question is whether the alleged representations of Canada to the tobacco companies that low-tar cigarettes are less harmful to health are

matters of policy, in the sense that they constitute a course or principle of action of the government. If so, the representations cannot ground an action in tort.

[93] The third-party notices plead that Canada made statements to the public (and to the tobacco companies) warning about the hazards of smoking, and asserting that low-tar cigarettes are less harmful than regular cigarettes; that the representations that low-tar cigarettes are less harmful to health were false; and that insofar as consumption caused extra harm to consumers for which the tobacco companies are held liable, Canada is required to indemnify the tobacco companies and/or contribute to their losses.

[94] The third-party notices implicitly accept that in making the alleged representations, Health Canada was acting out of concern for the health of Canadians, pursuant to its policy of encouraging smokers to switch to low-tar cigarettes. They assert, in effect, that Health Canada had a policy to warn the public about the hazardous effects of smoking, and to encourage healthier smoking habits among Canadians. The third-party claims rest on the allegation that Health Canada accepted that some smokers would continue to smoke despite the adverse health effects, and decided that these smokers should be encouraged to smoke lower-tar cigarettes.

[95] In short, the representations on which the third-party claims rely were part and parcel of a government policy to encourage people who continued to smoke to switch to low-tar cigarettes. This was a “true” or “core” policy, in the sense of a course or principle of action that the government adopted. The government’s alleged course of action was adopted at the highest level in the Canadian government, and involved social and economic considerations. Canada, on the pleadings, developed this policy out of concern for the health of Canadians and the individual and institutional costs associated with tobacco-related disease. In my view, it is plain and obvious that the alleged representations were matters of government policy, with the result that the tobacco companies’ claims against Canada for negligent misrepresentation must be struck out. ...

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(B) INDETERMINATE LIABILITY

[97] Canada submits that allowing the defendants’ claims in negligent misrepresentation would result in indeterminate liability, and must therefore be rejected. It submits that Canada had no control over the number of cigarettes being sold. It argues that in cases of economic loss, the courts must limit liability to cases where the third party had a means of controlling the extent of liability.

[98] The tobacco companies respond that Canada faces extensive, but not indeterminate liability. They submit that the scope of Canada’s liability to tobacco companies is circumscribed by the tort of negligent misrepresentation. Canada would only be liable to the smokers of light cigarettes and to the tobacco companies.

[99] I agree with Canada that the prospect of indeterminate liability is fatal to the tobacco companies’ claims of negligent misrepresentation. Insofar as the claims are based on representations to consumers, Canada had no control over the number of people who smoked light cigarettes. This situation is analogous to *Cooper v. Hobart*, where this Court held that it would have declined to apply a duty of care to the Registrar of Mortgage Brokers in respect of economic losses suffered by investors because “[t]he Act itself imposes no limit and the Registrar has no means of controlling the number of investors or the amount of money invested in the mortgage brokerage system” (para. 54). While this statement was made in *obiter*, the argument is persuasive.

[100] The risk of indeterminate liability is enhanced by the fact that the claims are for pure economic loss. In *Design Services Ltd. v. Canada*, 2008 SCC 22, [2008] 1 S.C.R. 737, the Court, *per* Rothstein J., held that “in cases of pure economic loss, to paraphrase Cardozo C.J., care must be taken to find that a duty is recognized only in cases where the class of plaintiffs, the time and the amounts are determinate” (para. 62). If Canada owed a duty of care to consumers of light cigarettes, the potential class of plaintiffs and the amount of liability would be indeterminate.

[101] Insofar as the claims are based on representations to the tobacco companies, they are at first blush more circumscribed. However, this distinction breaks down on analysis. Recognizing a duty of care for representations to the tobacco companies would effectively amount to a duty to consumers, since the quantum of damages owed to the companies in both cases would depend on the number of smokers and the number of cigarettes sold. This is a flow-through claim of negligent misrepresentation, where the tobacco companies are passing along their potential liability to consumers and to the province of British Columbia. In my view, in both cases, these claims should fail because Canada was not in control of the extent of its potential liability. ...

NOTE

In *Paradis Honey Ltd v Canada (Minister of Agriculture and Agri-Food and the Canadian Food Inspection Agency)* (2016), 382 DLR (4th) 720 (FCA), the plaintiffs were commercial beekeepers who sued in tort for losses suffered as a result of the government’s blanket refusal to issue permits allowing replacement bee colonies to be imported. The minister had the statutory authority to make regulations prohibiting the importation of animals, including bees, for the purpose of preventing the importation into Canada of a disease or toxic substance. Such regulations had been issued but had lapsed. The plaintiffs alleged that the policy of refusing to issue permits lacked lawful authority and claimed that the defendants owed them a duty of care with respect to the importation of bees. At trial the defendants’ motion that the action be struck out as disclosing no reasonable cause of action was granted. In allowing the appeal, Stratas JA observed:

One afternoon in a small, quiet café in Paisley, Scotland, Francis Minghella served May Donoghue a bottle of ginger beer with a decomposed snail in it. So said a claim for damages, at the time so novel it was met by a motion to strike: *M’Alister (Donoghue) v. Stevenson* Upon the dismissal of that motion, a body of law was born. For the last eighty-three years, that body of law, with some modifications, has governed the liability of all private parties—and all public authorities too, even giant, complex ones that today serve millions.

The difference between private parties and public authorities matters not. For reasons never explained, Canadian courts have followed the same analytical framework for each: we examine the duty of care, standard of care, remoteness, proximity, foreseeability, causation and damages.

To make this analytical framework suitable for determining the liability of public authorities, courts have tried gamely to adapt it. And then, dissatisfied with the adaptations, they have adapted the adaptations, and then have adapted them even more, to no good end

Courts have also tried to adapt the analytical framework for negligence by distinguishing between policy matters and operational matters, the former non-actionable, the latter actionable. At first, the Supreme Court embraced this distinction wholeheartedly and unconditionally But after decades of enforcing this distinction and adapting it, the Supreme Court has now concluded that it is unworkable as a legal test: *Imperial Tobacco*, above at paragraphs 78 and 86.

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Today, despite the best efforts of the Supreme Court and other courts, the doctrine governing the liability of public authorities remains chaotic and uncertain, with no end in sight. How come?

At the root of the existing approach is something that makes no sense. In cases involving public authorities, we have been using an analytical framework built for private parties, not public authorities. We have been using private law tools to solve public law problems. So to speak, we have been using a screwdriver to turn a bolt.

Public authorities are different from private parties in so many ways. Among other things, they carry out mandatory obligations imposed by statutes, invariably advantaging some while disadvantaging others. As for the duty of care, does it make sense to speak of public authorities having to consider their "neighbours"—the animating principle of *Donoghue v. Stevenson*—when they regularly affect thousands, tens of thousands or even millions at a time? As for the standard of care, how can one discern an "industry practice" that would inform a standard of care given public authorities' wide variation in mandates, resources and circumstances? Even if these questions are satisfactorily answered, others remain. For example, the defence of consent—a defence that keeps the liability of many private parties in check—is often impractical or impossible for public authorities. And, unlike private parties, many other less drastic tools exist to redress public authorities' misbehaviour, including *certiorari* and *mandamus*.

As well, the current law of liability for public authorities—the provenance and essence of which is private law—sits as an anomaly within the common law. By and large, our common law recognizes the differences between private and public spheres and applies different rules to them. Private matters are governed by private law and are addressed by private law remedies; public matters are governed by public law and are addressed by public law remedies. ...

This anomaly should now end. The law of liability for public authorities should be governed by principles on the public law side of the divide, not the private law side. ...

This idea is not so novel. In the past, on multiple occasions, the Supreme Court has suggested public authorities could be liable when they act "without legal justification," a concept that seems to echo public law principle, not private law torts And in two cases—one more than a half century ago, the other a century ago—the Supreme Court awarded monetary relief for improper public law decision-making on the basis of public law principles existing at that time. In *McGillivray v. Kimber* (1915), 52 S.C.R. 146, 26 D.L.R. 164 (S.C.C.), the Supreme Court granted monetary relief and, in so doing, did not invoke negligence principles or any other nominate cause of action in private law. And in *Roncarelli*, above, the Supreme Court ... granted monetary relief, relying not only on negligence (then article 1053 of the Civil Code of Québec) but also on "the principles of the underlying public law."

What are the principles of the underlying public law? Today, they are found primarily in administrative law, in particular the law of judicial review. Broadly speaking, we grant relief when a public authority acts unacceptably or indefensibly in the administrative law sense and when, as a matter of discretion, a remedy should be granted. These two components—unacceptability or indefensibility in the administrative law sense and the exercise of remedial discretion—supply a useful framework for analyzing when monetary relief may be had in an action in public law against a public authority. This framework explains the outcome in cases like *Roncarelli* and *McGillivray*

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In public law, monetary relief has never been automatic upon a finding that governmental action is invalid or ... outside the range of acceptability or defensibility "Invalidity is not the test of fault and it should not be the test of liability": K.C. Davis, *Administrative Law Treatise* (1958), vol. 3 (St. Paul, MN: West Publishing, 1958) at page 487. There must be additional circumstances to support an exercise of discretion in favour of monetary relief.

The compensatory objective of monetary relief must be kept front of mind. So, in some cases, the quashing of a decision or the enjoining or prohibition of conduct will suffice and monetary relief will neither be necessary nor appropriate. In other cases, quashing, prohibiting or enjoining can prevent future harm and go some way to redress past harm, reducing or eliminating the need for monetary relief. In still others, such as cases like *McGillivray* and *Roncarelli*, both above, only monetary relief can accomplish the compensatory objective.

As well, the quality of the public authority's conduct must be considered. This is because orders for monetary relief are mandatory orders against public authorities requiring them to compensate plaintiffs. And in public law, mandatory orders can be made against public authorities only to fulfil a clear duty, redress significant maladministration, or vindicate public law values

The decided cases seem to reflect this. It is striking how often courts have awarded monetary relief against public authorities where they have not fulfilled a clear and specific duty to act—i.e., where, using the language of public law, the failure to act was unacceptable or indefensible in the administrative law sense and there are circumstances of specific undertakings, specific reliance or known vulnerability of specific persons that trigger or underscore an affirmative duty to act As for addressing maladministration or vindicating public law values, it is striking how often it is said that monetary recovery in some categories of cases requires abuses of power, exercises of bad faith, pursuits of improper purposes, or conduct that is “clearly wrong,” “reckless,” “irrational,” “inexplicable and incomprehensible,” or a “fundamental breakdown of the orderly exercise of authority”

The considerations governing the discretion to award remedies in a judicial review ... apply equally to the granting of monetary relief in public law. Among other things, one must assess the circumstances surrounding the public authority's conduct, its effect and whether the granting of monetary relief would be consistent with public law values Concerns about public authorities being saddled with indeterminate liability and being left free, not chilled, from exercising their legislative mandates are well-supported by some of these public law values. In appropriate cases, those concerns must form part of the exercise of remedial discretion.

An application for leave to appeal from this judgment was dismissed, 2015 CanLII 69423 (SCC).

SUPPLEMENTARY READING

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Chapman, “Developments in Tort Law: The 1993-94 Term” (1995) 6 Sup Ct L Rev 487.

Cohen, “Tort Law and the Crown: Administrative Compensation and the Modern State” in Cooper-Stephenson & Gibson, eds, *Tort Theory* (Toronto: Captus, 1993) 361.

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Landes & Posner, “Salvors, Finders, Good Samaritans and Other Rescuers: An Economic Study of Law and Altruism” (1978) 7 J Leg Stud 83.

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CHAPTER ELEVEN

STRICT LIABILITY

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Throughout the common law world, the salient idea governing the development of tort liability for the last century and a half has been the idea of fault. Fault, as we have seen, embraces both the intentional torts and liability for negligence.

Despite the triumph of fault, there are pockets of liability where the defendant’s fault is questionable, if present at all. These are the subject of this chapter. Such pockets are sometimes seen as areas of “strict liability,” where liability is the result of the defendant’s causation of the harm under particular circumstances rather than the defendant’s culpability.

The kinds of liability dealt with in this chapter pose difficulties of scope and justification. If the riskiness of an activity is sometimes governed by the law of negligence and sometimes by a doctrine of strict liability, how is the exceptional scope of strict liability to be defined without undermining the coherence of negligence as the dominant criterion of liability? And if the common law assumes that fault represents a normatively justifiable ground of legal responsibility, how then can liability be justified when the defendant’s fault is arguably absent? Accordingly, it is hardly surprising that these pockets of “strict liability” receive both diverse academic explanations and variable judicial applications.

I. VINCENT V LAKE ERIE TRANSPORTATION CO

VINCENT V LAKE ERIE TRANSPORTATION CO 124 NW 221 (Minn SC 1910)

O'BRIEN J: The steamship Reynolds, owned by the defendant, was for the purpose of discharging her cargo on November 27, 1905, moored to plaintiffs' dock in Duluth. While the unloading of the boat was taking place a storm from the northeast developed, which at about ten o'clock p.m., when the unloading was completed, had so grown in violence that the wind was then moving at fifty miles per hour and continued to increase during the night. There is some evidence that one, and perhaps two, boats were able to enter the harbor that night, but it is plain that navigation was practically suspended from the hour mentioned until the morning of the

twenty-ninth, when the storm abated, and during that time no master would have been justified in attempting to navigate his vessel, if he could avoid doing so. After the discharge of the cargo the Reynolds signalled for a tug to tow her from the dock, but none could be obtained because of the severity of the storm. If the lines holding the ship to the dock had been cast off, she would doubtless have drifted away; but, instead, the lines were kept fast, and as soon as one parted or chafed it was replaced, sometimes with a larger one. The vessel lay upon the outside of the dock, her bow to the east, the wind and waves striking her starboard quarter with such force that she was constantly being lifted and thrown against the dock, resulting in its damage, as found by the jury, to the amount of \$500.

We are satisfied that the character of the storm was such that it would have been highly imprudent for the master of the Reynolds to have attempted to leave the dock or to have permitted his vessel to drift away from it. One witness testified upon the trial that the vessel could have been warped into a slip, and that, if the attempt to bring the ship into the slip had failed, the worst that could have happened would be that the vessel would have been blown ashore upon a soft and muddy bank. The witness was not present in Duluth at the time of the storm, and, while he may have been right in his conclusions, those in charge of the dock and the vessel at the time of the storm were not required to use the highest human intelligence, nor were they required to resort to every possible experiment which could be suggested for the preservation of their property. Nothing more was demanded of them than ordinary prudence and care, and the record in this case fully sustains the contention of the appellant that, in holding the vessel fast to the dock, those in charge of her exercised good judgment and prudent seamanship. ...

The appellant contends by ample assignments of error that, because its conduct during the storm was rendered necessary by prudence and good seamanship under conditions over which it had no control, it cannot be held liable for any injury resulting to the property of others. ...

The situation was one in which the ordinary rules regulating property rights were suspended by forces beyond human control, and if, without the direct intervention of some act by the one sought to be held liable, the property of another was injured, such injury must be attributed to the act of God, and not to the wrongful act of the person sought to be charged. If during the storm the Reynolds had entered the harbor, and while there had become disabled and been thrown against the plaintiffs' dock, the plaintiffs could not have recovered. Again, if while attempting to hold fast to the dock the lines had parted, without any negligence, and the vessel carried against some other boat or dock in the harbor, there would be no liability upon her owner. But here those in charge of the vessel deliberately and by their direct efforts held her in such a position that the damage to the dock resulted, and, having thus preserved the ship at the expense of the dock, it seems to us that her owners are responsible to the dock owners to the extent of the injury inflicted.

In *Depue v. Flatau*, 100 Minn. 299, 111 NW 1, 8 LRA (NS) 485, this court held that where the plaintiff, while lawfully in the defendants' house, became so ill that he was incapable of traveling with safety, the defendants were responsible to him in damages for compelling him to leave the premises. If, however, the owner of the premises had furnished the traveler with proper accommodations and medical attendance, would he have been able to defeat an action brought against him for their reasonable worth?

In *Ploof v. Putnam* (Vt.), 71 Atl. 188, 20 LRA (NS) 152, the Supreme Court of Vermont held that where, under stress of weather, a vessel was without permission moored to a private dock at an island in Lake Champlain owned by the defendant, the plaintiff was not guilty of trespass, and that the defendant was responsible in damages because his representative upon the island unmoored the vessel, permitting it to drift upon the shore, with resultant injuries to it. If, in that case, the vessel had been

permitted to remain, and the dock had suffered an injury, we believe the shipowner would have been held liable for the injury done.

Theologians hold that a starving man may, without moral guilt, take what is necessary to sustain life; but it could hardly be said that the obligation would not be upon such person to pay the value of the property so taken when he became able to do so. And so public necessity, in times of war or peace, may require the taking of private property for public purposes; but under our system of jurisprudence compensation must be made.

Let us imagine in this case that for the better mooring of the vessel those in charge of her had appropriated a valuable cable lying upon the dock. No matter how justifiable such appropriation might have been, it would not be claimed that, because of the overwhelming necessity of the situation, the owner of the cable could not recover its value.

This is not a case where life or property was menaced by any object or thing belonging to the plaintiffs, the destruction of which became necessary to prevent the threatened disaster. Nor is it a case where, because of the act of God, or unavoidable accident, the infliction of the injury was beyond the control of the defendant, but is one where the defendant prudently and advisedly availed itself of the plaintiffs' property for the purpose of preserving its own more valuable property, and the plaintiffs are entitled to compensation for the injury done.

Order affirmed.

LEWIS J (dissenting): ... [T]he reasoning of the opinion is that, because appellant made use of the stronger cables to hold the boat in position, it became liable under the rule that it had voluntarily made use of the property of another for the purpose of saving its own.

In my judgment, if the boat was lawfully in position at the time the storm broke, and the master could not, in the exercise of due care, have left that position without subjecting his vessel to the hazards of the storm, then the damage to the dock, caused by the pounding of the boat, was the result of an inevitable accident. If the master was in the exercise of due care, he was not at fault. The reasoning of the opinion admits that if the ropes, or cables, first attached to the dock had not parted, or if, in the first instance, the master had used the stronger cables, there would be no liability. If the master could not, in the exercise of reasonable care, have anticipated the severity of the storm and sought a place of safety before it became impossible, why should he be required to anticipate the severity of the storm, and, in the first instance, use the stronger cables?

I am of the opinion that one who constructs a dock to the navigable line of waters, and enters into contractual relations with the owner of a vessel to moor the same, takes the risk of damage to his dock by a boat caught there by a storm, which event could not have been avoided in the exercise of due care, and further, that the legal status of the parties in such a case is not changed by renewal of cables to keep the boat from being cast adrift at the mercy of the tempest.

MUNN V M/V SIR JOHN CROSBIE

[1967] 1 Ex Ct R 94

JACKETT P (THURLOW J concurring): This is an appeal from a judgment delivered by Puddester J, one of the District Judges in Admiralty for the District of Newfoundland, on June 30, 1964, in an action for damages sustained by the plaintiff's wharf, as the result of the defendant ship being pressed against the wharf by a wind of gale force.

The defendant ship was at all material times moored at the wharf, where she had been discharging a cargo of coal belonging to the plaintiff. When the storm arose the strong southeasterly wind tended to push the ship away from the wharf but after some hours the wind shifted to southwest and west and at that stage caused the ship to be pressed against the wharf and thus to occasion the damage.

The action as pleaded and as tried before the trial Judge, was clearly understood by all concerned to be an action based upon the negligence of the defendant in failing to remove the ship from the wharf and in failing to take in due time unspecified measures for avoiding damage to the wharf. The learned trial Judge held that the plaintiff had failed to establish that its damages were caused by negligence of the defendant and, accordingly, dismissed the action. ... In our view the findings of the learned trial Judge that the damage did not result from negligence on the part of those in charge of the defendant ship are well supported by the evidence. ...

Counsel for the appellant put forward an alternative argument in support of the appeal. This argument was based upon an alternative cause of action, which, admittedly, was not in the minds of the professional advisors of the appellant at the time of the proceedings before the District Judge in Admiralty. It would appear that it first occurred to the appellant's advisors that an alternative cause of action was available to it when, upon Mr. Justice Puddester's judgment being reported, comments were made such as that which appears in connection with the report of his decision in 52 DLR (2d), at pages 48 and 49. That reads as follows:

[EDITORIAL NOTE: This case may usefully be compared with a decision of the Supreme Court of Minnesota, *Vincent v Lake Erie Transportation Co*, extracted above (see also Wright, ed, *Cases on the Law of Torts*, 3rd ed [Toronto: Butterworths, 1963] at 125), which, although virtually identical on the facts, reached an opposite conclusion on the question of liability for the damage occasioned. In *Vincent*, the defendant's ship was moored to the plaintiff's wharf for the purpose of discharging cargo when a severe storm blew up and there, too, the captain deliberately decided to keep it moored to the wharf, rather than cast off, with the result that the wharf was damaged when the ship was thrown against it by the wind and waves. The plaintiff complained that it was negligence on the part of the captain to remain moored at the wharf when it became apparent that the storm was to be more than usually severe, but, as in the instant case, the court decided that, on the contrary, such a course would have been highly imprudent and that it was only good judgment and prudent seamanship to hold the vessel fast to the dock. However, the Minnesota court held that the defendant was nonetheless liable to pay for the damage that was caused. In other words, although the defendant's ship was privileged to remain at the wharf and use it as a sanctuary (and if the plaintiff had cast it off, to its damage, the plaintiff would be liable therefor), the defendant could not also demand that the plaintiff should bear the expense of so preserving the defendant's property. Such a solution, conferring only an "incomplete" privilege on the defendant, as distinct from an absolute immunity, seems to be both sound and just.]

In this case, there is no suggestion that the defendant wilfully did the damage. The plaintiff's submission throughout was simply that the defendant master had failed to move the ship from wharf which in our opinion is in substance an allegation of neglect of a duty to remove her. We have already reached the conclusion that the finding of the learned trial Judge, that the appellant failed to establish that the respondent was guilty of negligence in that respect, must be affirmed. ...

Insofar as *Vincent v. Lake Erie Transportation Company*, the Minnesota decision referred to by the Dominion Law Report editor, is concerned, upon a careful reading

of the judgment of the Court delivered by O'Brien J, we are satisfied that it has no application to the facts of this case. ...

In that case, therefore, liability was based upon the fact that those in charge of the vessel "deliberately and by their direct efforts held her in such a position that the damage to the dock resulted." The principle applied was that the ship, having been preserved at the expense of the dock, the owners of the ship were responsible to the dock owners to the extent of the injury inflicted.

In this case, not only was there no allegation in the pleadings, but it was not established that at any point of time those in charge of the vessel took any steps to preserve the ship at the expense of the wharf. There was evidence that additional bow and stern lines were made fast when the wind was still southeasterly and tending to push the ship away from the wharf but it does not appear that this was done to protect the ship at the expense of the wharf or that in the circumstances of wind and weather then prevailing damage to the wharf was to be expected from further securing the ship in her position. On this point the trial Judge found that it was by no means certain at that time that to ride out the storm at the wharf would necessarily cause damage to the wharf. The defendant ship was there as an invitee and it would not be trespass for her to be pushed by the wind into contact with the wharf. Save on the possible hypothesis that damage to the wharf was to be expected by such pressing there could, as we see it, be no liability arise therefrom, and even if damage were to be expected from the ship remaining there and such a liability could arise it would, in our view, sound in negligence rather than in trespass. On the question of what was reasonably foreseeable, it is not without significance that no action was taken by the plaintiff either to terminate the defendant's invitation to remain moored to its property or to require the ship to leave the wharf. Nor is it established that the ship would not have been held without the additional lines. In fact the additional lines had nothing to do with the damage since they had no effect in pressing or even holding the ship against the wharf. In the *Vincent* case, the damage was caused by pounding, and the renewing of the lines as they chafed or parted held the ship in a position where she could pound against the wharf. Here there is no evidence of renewal of lines to hold the ship in position to press against the wharf after she began to do so, and there is thus no material fact upon which liability might be based beyond that of the master's decision in the circumstances not to move the ship away from the wharf. A decision not to move may be evidence of neglect if in the circumstances there is a duty to move, but it is not in itself an act of trespass.

In the circumstances, it is not necessary to come to any conclusion as to whether the principle upon which the *Vincent* case was based is part of the law applicable in the province of Newfoundland. If we had to come to any conclusion on this point, we are inclined to the view that we would adopt the position taken by the dissenting judges in the *Vincent* case. ...

However, even if the principle upon which the *Vincent* case was decided were otherwise applicable in this case, we are of the opinion that the point is not open to the appellant on this appeal because the facts constituting the cause of action, that is to say, acts done by the defendant in the emergency for the preservation of the ship at the expense of the wharf, were not pleaded and were not in issue when the case was being tried before Mr. Justice Puddester. Had those facts been alleged, they might have been put in issue by the statement of defence and the defendant might have adduced with regard thereto evidence that would have completely altered the conclusions that one might otherwise draw from the evidence now before the Court. That evidence, it must be remembered, was adduced with regard to the issues raised by the pleadings as presently constituted and it is to be presumed that the attention

of the parties and of their counsel was on those issues and not on issues that had not been raised. ...

We are therefore of the opinion that the appeal fails. It is dismissed with costs.

NOTES

1. Bohlen, "Incomplete Privilege to Inflict Intentional Invasions of Property and Personality" (1926) 39 Harv L Rev 307 at 313-16, offers this explanation of the apparent oddity that in *Vincent* the defendant had to pay damages despite having acted lawfully:

The doctrine that liability to pay damages even for tangible and material injury to another's legally protected interests can be imposed only as a penalty for culpable conduct has, to a large extent, given way in practice, if not so frequently in theory, to the view that the purpose in law is to adjust a loss which has already occurred in a manner which is fair to the individuals concerned and which accomplishes the maximum of social good with the minimum of loss and inconvenience to them, and which incidentally affords a near as possible a definite guide by which individuals may determine whether a particular course of conduct will or will not subject them to liability.

Upon one thing there is substantial agreement. An act intended to invade another's legally protected interests is privileged only if done to protect or advance some public interest or an interest of the actor. If the act is done only for the protection of one of the actor's interests, it must be an interest of a value greater than, or at least equal to, that of the interest invaded, or if the interests are similar, the harm which the act is appropriate to prevent must be substantially equal to or greater than that which it is intended or likely to cause. There can be no social interest in individual freedom of action such as is often thrown into the scales to give immunity to the doing of an act which contains only a probability of harm to others. The act being intended to invade another's legally protected interests, it is obvious that society as a whole can have no interest in its being done unless the good which it is intended to do is at least equal to the harm it is likely to cause. But society in addition to its interest as protector and vindicator of the rights of its members may have more or less direct interest in the security of certain of the actor's individual interests, greater than that which it has in the security of the interest invaded by the act. Thus, while society has, apart from its position as vindicator of the individual rights of its members, no particular concern as to whether one or another enjoys the possession of a piece of real or personal property, the wealth of society is the aggregate of the wealth of its members, and it therefore has an interest in the preservation of property. And while it is immaterial to it that A rather than B shall suffer a particular bodily harm, the life and efficiency of its citizens, Malthus to the contrary notwithstanding, is regarded by the State as more valuable than any interest of property, particularly one which is of a dignitary rather than material value even to the possessor. ...

But while all agree that the existence of a privilege is determined by a comparison of the respective interests involved, there is a difference of opinion as to the reason why the preponderating value of the interests of the actor and of society deprives the act of its liability creative quality and makes resistance to it a source of liability.

To one who ... regards liability as based exclusively upon fault, the purpose for which an act is done determines whether the actor is innocent or guilty. The weighing of the various interests involved is important in that it determines whether an actor is or is not unduly self-regarding, or is attaching undue importance to the public interests, in doing an act which inevitably or probably involves injury to another. But once the balance is struck his act is either innocent or guilty, lawful or unlawful. If it is innocent, it can subject the actor to no liability and, being lawful, resistance to it is unlawful and subjects the person interposing it to liability. If it is guilty, the actor must answer for all of its results which fall within the very vague category of proximate consequence and, being unlawful, it may be resisted without

liability. This concept is attractive from its apparent definiteness, but it leaves little room for the recognition of degrees of fault.

Under the more modern view, there is room for far nicer discriminations. Under it, it may with perfect consistency be held that the interest of the actor which is served by his act may, as compared with that which is necessarily or probably invaded by it, be of such value that he should not be punished, and that resistance should be discouraged by imposing liability upon one who resists, while at the same time recognizing that the actor who commandeers another's interest in aid of his own necessities should pay for any damage done thereto. Society has an interest in saving human life and property from destruction, but its only concern with the cost of salvage is that it shall be put upon him who, as between individuals concerned, should bear it. As between the individuals concerned, it is obviously just that he whose interests are advanced by the act should bear the cost of doing it rather than that he should be permitted to impose it upon one who derives no benefit from the act.

2. Epstein, "A Theory of Strict Liability" (1973) 2 J Leg Stud 151 at 157-60, argues that *Vincent* stands for the principle of strict liability:

In any system of common law liability, a court must allocate, explicitly or implicitly, a loss that has already occurred between the parties—usually two—before it. It could turn out that neither of the parties acted in a manner that was unreasonable or improper from either an economic or a moral point of view, but a decision that the conduct of both parties was "proper" under the circumstances does not necessarily decide the legal case: there could well be other reasons why one party should be preferred to another. ...

Had the Lake Erie Transportation Company owned both the dock and the ship, there could have been no lawsuit as a result of the incident. The Transportation Company, now the sole party involved, would, when faced with the storm, apply some form of cost-benefit analysis in order to decide whether to sacrifice its ship or its dock to the elements. Regardless of the choice made, it would bear the consequences and would have no recourse against anyone else. There is no reason why the company as a defendant in a lawsuit should be able to shift the loss in question because the dock belonged to someone else. The action in tort in effect enables the injured party to require the defendant to treat the loss he has inflicted on another as though it were his own. If the Transportation Company must bear all the costs in those cases in which it damages its own property, then it should bear those costs when it damages the property of another. The necessity may justify the decision to cause the damage, but it cannot justify a refusal to make compensation for the damage so caused.

The argument is not limited to the case where the defendant acts with the certain knowledge that his conduct will cause harm to others. It applies with equal force to cases where the defendant acts when he knows that there is only a risk that he will cause harm to others. In *Morris v. Platt*, the plaintiff requested a jury instruction that the defendant should be found liable where he accidentally shot the plaintiff in an attempt to defend himself against an attack by third persons, even if he acted prudently under the circumstances. The court rejected that request and held instead that the plaintiff, even if an innocent bystander, could not recover for his injuries; the accident had been "inevitable."

Here I wish to concentrate upon only one difference between the two cases. In *Morris* the only risk the defendant took was that his conduct would harm the plaintiff, while the defendant in *Vincent* knew that such harm would result as a matter of course. Regardless of the substantive theory of liability adopted, the cases cannot be distinguished on this ground. Under the formula of *Carroll Towing*, the difference between the situations in *Morris* and in *Vincent* is taken into account in the "P" term in the formula. In *Vincent* the probability of harm (P) equals one, since the harm was certain. Hence the application of *Carroll Towing* to it turns only on the direct comparison between the burden of prevention (B) and the loss (L). In *Morris*, the application of that formula is somewhat more complex because "P" can take on any value between zero and one.

Morris, moreover, is not distinguishable from *Vincent* on any principled ground even if the *Carroll Towing* formula is rejected as the rule of substantive liability. In the discussion of *Vincent* the argument proceeded on the assumption that the defendant must bear the costs of those injuries that he inflicts upon others as though they were injuries that he suffered himself. The argument applies equally to cases where there is only the risk of harm. If the defendant in cases like *Morris* took the risk of injury to his own person or property, he would bear all the costs and enjoy all the benefits of that decision whether or not it was correct. That same result should apply where a person “only” takes risks with the person or property of other individuals. There is no need to look at the antecedent risk once the harm has come to pass; no need to decide, without guide or reference, which risks are “undue” and which are not. If the defendant harms the plaintiff, then he should pay even if the risk he took was reasonable, just as he should pay in cases of certain harm where the decision to injure was reasonable.

II. RYLANDS V FLETCHER

RYLANDS V FLETCHER

(1865), 3 H & C 774 (Ex D), (1866),

LR 1 Ex 265 (Ex Ch), (1868), LR 3 HL 330 (HL)

Fletcher brought an action against Rylands and Horrocks to recover damages for injury to his mines caused by water flowing into them from a reservoir built on the defendants' land. Fletcher was working coal mines and had worked the mines up to a spot where old passages of disused mines and a vertical shaft filled with rubbish were encountered. Rylands and Horrocks owned a mill near the land under which Fletcher's mines were being worked. They constructed a reservoir in order to supply water to their mill, employing competent engineers and contractors for this purpose. Rylands and Horrocks did not know that coal had ever been worked under or near the site of the reservoir. The site chosen, however, was over old coal mines which communicated with the workings of Fletcher. While there was no negligence on the part of the defendants, the contractors did encounter old shafts while building the reservoir and it was found that they did not use reasonable care to provide sufficient supports for the reservoir when filled with water. The reservoir was completed and was partially filled with water. A few days later one of the old shafts gave way and the water in the reservoir flowed into the old mine workings and large quantities of the water found their way into Fletcher's workings and flooded them.

BRAMWELL B: ... Now, what is the plaintiff's right? He had the right to work his mines to their extent, leaving no boundary between himself and the next owner. By so doing he subjected himself to all consequences resulting from natural causes, among others, to the influx of all water naturally flowing in. But he had a right to be free from what has been called “foreign” water, that is, water artificially brought or sent to him directly, or indirectly by its being sent to where it would flow to him. The defendants had no right to pour or send water onto the plaintiff's works. Had they done so knowingly it is admitted an action would lie; and that it would if they did it again. ... The plaintiff's right then has been infringed; the defendants in causing water to flow to the plaintiff have done that which they had no right to do; what difference in point of law does it make that they have done it unwittingly? I think none, and consequently that the action is maintainable. The plaintiff's case is, you have violated my rights, you have done what you had no right to do, and have done

me damage. If the plaintiff has the right I mention, the action is maintainable. If he has it not, it is because his right is only to have his mines free from foreign water by the act of those who know what they are doing. I think this is not so. I know no case of a right so limited. As a rule the knowledge or ignorance of the damage done is immaterial. The burden of proof of this proposition is not on the plaintiff.

I proceed to deal with the arguments the other way. It is said there must be a trespass, a nuisance or negligence. I do not agree. ... Why is it not a nuisance? The nuisance is not in the reservoir, but in the water escaping. ... [T]he act was lawful, the mischievous consequence is a wrong. ...

MARTIN B (POLLOCK CB concurring): ... First, I think there was no trespass. ... [T]o constitute trespass the act doing the damage must be immediate, and that if the damage be mediate or consequential (which I think the present was) it is not a trespass. Secondly, I think there was no nuisance in the ordinary and generally understood meaning of that word, that is to say, something hurtful or injurious to the senses. The making a pond for holding water is a nuisance to no one. The digging a reservoir in a man's own land is a lawful act. It does not appear that there was any embankment, or that the water in the reservoir was ever above the level of the natural surface of the land, and the water escaped from the bottom of the reservoir, and in ordinary course would descend by gravitation into the defendants' own land, and they did not know of the existence of the old workings. To hold the defendants liable would therefore make them insurers against the consequence of a lawful act upon their own land when they had no reason to believe or suspect that any damage was likely to ensue.

No case was cited in which the question has arisen as to real property; but as to personal property the question arises every day, and there is no better established rule of law than that when damage is done to personal property, and even to the person, by collision either upon the road or at sea, there must be negligence in the party doing the damage to render him legally responsible, and if there be no negligence the party sustaining the damage must bear with it. ...

I entertain no doubt that if the defendants directly and by their immediate act cast water upon the plaintiff's land it would have been a trespass, and that they would be liable to an action for it. But this they did not do. What they did was this, they dug a reservoir in their own land and put water in it, which, by underground openings of which they were ignorant, escaped into the plaintiff's land. I think this a very different thing from a direct casting water upon the land, and that the legal liabilities consequent upon it are governed by a different principle. ...

[T]o hold the defendant liable without negligence would be to constitute him an insurer, which, in my opinion, would be contrary to legal analogy and principle.

[The plaintiff then brought error in the Exchequer Chamber.]

BLACKBURN J: ... The plaintiff, though free from all blame on his part, must bear the loss unless he can establish that it was the consequence of some default for which the defendants are responsible. The question of law therefore arises, what is the obligation which the law casts on the person who, like the defendants, lawfully brings on his land something which, though harmless whilst it remains there, will naturally do mischief if it escape out of his land? It is agreed on all hands that he must take care to keep in that which he has brought on the land and keeps there, in order that it may not escape and damage his neighbours, but the question arises whether the duty which the law casts upon him, under such circumstances, is an absolute duty to keep it in at his peril, or is, as the majority of the Court of Exchequer have thought, merely a duty to take all reasonable and prudent precautions, in order to keep it in,

but no more. If the first be the law, the person who has brought on his land and kept there something dangerous, and failed to keep it in, is responsible for all the natural consequences of its escape. If the second be the limit of his duty, he would not be answerable except on proof of negligence, and consequently would not be answerable for escape arising from any latent defect which ordinary prudence and skill could not detect. ...

We think that the true rule of law is, that the person who for his own purposes brings on his lands and collects and keeps there anything likely to do mischief if it escapes, must keep it in at his peril, and, if he does not do so, is *prima facie* answerable for all the damage which is the natural consequence of its escape. He can excuse himself by showing that the escape was owing to the plaintiff's default; or perhaps that the escape was the consequence of *vis major*, or the act of God; but as nothing of this sort exists here, it is unnecessary to inquire what excuse would be sufficient. The general rule, as above stated, seems on principle just. The person whose grass or corn is eaten down by the escaping cattle of his neighbour, or whose mine is flooded by the water from his neighbour's reservoir, or whose cellar is invaded by the filth of his neighbour's privy, or his habitation is made unhealthy by the fumes and noisome vapours of his neighbour's alkali works, is damnified without fault of his own; and it seems but reasonable and just that the neighbour, who has brought something on his own property which was not naturally there, harmless to others so long as it was confined to his own property, but which he knows to be mischievous if it gets on his neighbour's, should be obliged to make good the damage which ensues if he does not succeed in confining it to his own property. But for his act in bringing it there no mischief could have accrued, and it seems but just that he should at his peril keep it there so that no mischief may accrue, or answer for the natural and anticipated consequences. And upon authority, this we think is established to be the law whether the things so brought be beasts, or water, or filth, or stench.

The case that has most commonly occurred, and which is most frequently to be found in the books, is as to the obligation of the owner of cattle which he has brought on his land, to prevent them escaping and doing mischief. The law as to them seems to be perfectly settled from early times; the owner must keep them in at his peril, or he will be answerable for the natural consequences of their escape; that is with regard to tame beasts, for the grass they eat and trample upon, though not for any injury to the person of others, for our ancestors have settled that it is not the general nature of horses to kick, or bulls to gore, but if the owner knows that the beast has a vicious propensity to attack men, he will be answerable for that too. ... These authorities, and the absence of any authority to the contrary, justify Williams J in saying as he does in *Cox v. Burbidge*, that the law is clear that in actions for damage occasioned by animals that have not been kept in by their owners, it is quite immaterial whether the escape is by negligence or not.

As has been already said, there does not appear to be any difference in principle between the extent of the duty cast on him who brings cattle on his land to keep them in, and the extent of the duty imposed on him who brings on his land, water, filth, or stench, or any other thing which will, if it escape, naturally do damage to prevent their escaping and injuring his neighbour, and the case of *Tenant v. Goldwin*, 1 Salk. 21, 360 [in which a defendant was held liable for the seepage of filth from a privy on his premises to the plaintiff's premises], is an express authority that the duty is the same, and is, to keep them in at his peril. ... As Lord Raymond in his report, 2 Ld. Raym. at p. 1092 said: "The reason of this case is upon this account, that every one must so use his own as not to do damage to another; and as every man is bound so to look to his cattle as to keep them out of his neighbour's ground, that so he may

receive no damage; so he must keep in the filth of his house or office that it may not flow in upon and damnify his neighbour. ..."

No case has been found in which the question as to the liability for noxious vapours escaping from a man's works by inevitable accident has been discussed, but the following case will illustrate it. Some years ago several actions were brought against the occupiers of some alkali works at Liverpool for the damage alleged to be caused by the chlorine fumes of their works. The defendants proved that they at great expense erected contrivances by which the fumes of chlorine were condensed and sold as muriatic acid, and they called a great body of scientific evidence to prove that this apparatus was so perfect that no fumes possibly could escape from the defendants' chimneys. On this evidence it was pressed upon the jury that the plaintiff's damage must have been due to some of the numerous other chimneys in the neighbourhood; the jury, however, being satisfied that the mischief was occasioned by chlorine, drew the conclusion that it had escaped from the defendants' works somehow, and in each case found for the plaintiff. No attempt was made to disturb these verdicts on the ground that the defendants had taken every precaution which prudence or skill could suggest to keep those fumes in, and that they could not be responsible unless negligence were shown ... The uniform course of pleading in actions on such nuisances is to say that the defendant caused the noisome vapours to arise on his premises, and suffered them to come on the plaintiff's, without stating that there was any want of care or skill in the defendant, and that the case of *Tenant v. Goldwin*, *supra*, showed that this was founded on the general rule of law, that he whose stuff it is must keep it that it may not trespass. ...

But it was further said by Martin B that when damage is done to personal property, or even to the person, by collision, either upon land or at sea, there must be negligence in the party doing the damage to render him legally responsible; and this is no doubt true, and as was pointed out by Mr. Mellish during his argument before us, this is not confined to cases of collision, for there are many cases in which proof of negligence is essential, as, for instance, where an unruly horse gets on the footpath of a public street and kills a passenger: *Hammack v. White*, 11 CBNS 588; or where a person in a dock is struck by the falling of a bale of cotton which the defendant's servants are lowering: *Scott v. London Dock Company*, 3 H & C 596; and many other similar cases may be found. But we think these cases distinguishable from the present. Traffic on the highways, whether by land or sea, cannot be conducted without exposing those whose persons or property are near it to some inevitable risk; and that being so, those who go on the highway, or have their property adjacent to it, may well be held to do so subject to their taking upon themselves the risk of injury from that inevitable danger; and persons who by the licence of the owner pass near to warehouses where goods are being raised or lowered, certainly do so subject to the inevitable risk of accident. In neither case, therefore, can they recover without proof of want of care or skill occasioning the accident; and it is believed that all the cases in which inevitable accident has been held an excuse for what *prima facie* was a trespass, can be explained on the same principle, *viz.*, that the circumstances were such as to show that the plaintiff had taken that risk upon himself. But there is no ground for saying that the plaintiff here took upon himself any risk arising from the uses to which the defendants should choose to apply their land. He neither knew what these might be, nor could he in any way control the defendants, or hinder their building what reservoirs they liked, and storing up in them what water they pleased, so long as the defendants succeeded in preventing the water which they there brought from interfering with the plaintiff's property. ...

We are of the opinion that the plaintiff is entitled to recover. ...

[The defendants then appealed to the House of Lords.]

LORD CAIRNS LC: ... My Lords, the principles on which this case must be determined appear to me to be extremely simple. The defendants, treating them as the owners or occupiers of the close on which the reservoir was constructed, might lawfully have used that close for any purpose for which it might in the ordinary course of the enjoyment of land be used; and if, in what I may term the natural user of that land, there had been any accumulation of water, either on the surface or under ground, and if, by the operation of the laws of nature, that accumulation of water had passed off into the close occupied by the plaintiff, the plaintiff could not have complained that that result had taken place. If he had desired to guard himself against it, it would have lain upon him to have done so by leaving, or by interposing, some barrier between his close and the close of the defendants in order to have prevented that operation of the laws of nature. ...

On the other hand, if the defendants, not stopping at the natural use of their close, had desired to use it for any purpose which I may term a non-natural use for the purpose of introducing into the close that which in its natural condition was not in or upon it, for the purpose of introducing water either above or below ground in quantities and in a manner not the result of any work or operation on or under the land; and if in consequence of their doing so, or in consequence of any imperfection in the mode of their doing so, the water came to escape and to pass off into the close of the plaintiff, then it appears to me that that which the defendants were doing they were doing at their own peril; and if in the course of their doing it the evil arose to which I have referred, the evil, namely, of the escape of the water and its passing away to the close of the plaintiff and injuring the plaintiff, then for the consequences of that, in my opinion, the defendants would be liable. ...

[Lord Cairns then quoted Blackburn J's formulation of "the true rule of law" and stated that he agreed with it.]

LORD CRANWORTH: My Lords, I concur with my noble and learned friend in thinking that the rule of law was correctly stated by Mr. Justice Blackburn in delivering the opinion of the Exchequer Chamber. If a person brings, or accumulates, on his land anything which, if it should escape, may cause damage to his neighbour, he does so at his peril. If it does escape and cause damage, he is responsible, however careful he may have been, and whatever precautions he may have taken to prevent the damage. ...

The defendants, in order to effect an object of their own, brought on to their land, or on to land which for this purpose may be treated as being theirs, a large accumulated mass of water, and stored it up in a reservoir. The consequence of this was damage to the plaintiff, and for that damage, however skilfully and carefully the accumulation was made, the defendants, according to the principles and authorities to which I have adverted, were certainly responsible.

I concur, therefore, with my noble and learned friend in thinking that the judgment below must be affirmed.

NOTES

1. *Salmond and Heuston on the Law of Torts*, 20th ed (London: Sweet and Maxwell, 1992) 316 at 321-22, offers this assessment of the case:

Blackburn J did not intend to make new law in *Rylands v. Fletcher*; he made a generalisation which covered the cases of absolute liability which had survived the general "moralisation" of the law in the eighteenth and nineteenth centuries. In the language of Wigmore, these cases of

liability without fault “wandered about, unhoused and unshepherded, except for a casual attention, in the pathless fields of jurisprudence, until they were met by the master-mind of Mr. Justice Blackburn, who guided them to the safe fold where they have since rested. In a sentence epochal in its consequences this judge co-ordinated them all in the true category.” ...

Blackburn J’s statement, basing liability on the defendant’s artificial accumulation of the thing in question, was expressly approved in the House of Lords. But difficulty has arisen because Lord Cairns, probably unconsciously, laid down another principle, distinguishing the natural from the non-natural user of land, and holding that in the latter case only was the liability absolute. This is to substitute a different principle from that adopted by Blackburn J. Its advantage is that it converts a rigid into a flexible rule, and enables the court by determining what is or is not a natural user of land to give effect to its own view of social and economic needs. Its disadvantage is that it has produced a bewildering series of decisions on the meaning of non-natural use. What is the natural use of land? Is it natural to build a house on it, or to light a fire? Is it natural to keep cattle on land? This must be one of the oldest methods of using land, but in Blackburn J’s view it is quite logical to impose strict liability because the cattle have been artificially collected. But in Lord Cairns’ view it is necessary to say that cattle-keeping is non-natural. Again, it has been held not to be natural to spray crops with herbicide from an aircraft: the activity of destroying weeds is as old as nature itself, but it seems odd today to insist that the hoe should be the only method used.

2. In *Powell v Fall* (1880), 5 QBD 597 (CA), Bramwell LJ made the following comments in affirming a judgment applying *Rylands v Fletcher* for injury done to the plaintiff’s rick of hay by sparks escaping from the defendant’s train engine:

The passing of the engine along the road is confessedly dangerous, inasmuch as sparks cannot be prevented from flying from it. It is conceded that at common law an action may be maintained for the injury suffered by the plaintiffs. ... It is just and reasonable that if a person uses a dangerous machine, he should pay for the damage which it occasions; if the reward which he gains for the use of the machine will not pay for the damage, it is mischievous to the public and ought to be suppressed, for the loss ought not to be borne by the community or the injured person. If the use of the machine is profitable, the owner ought to pay compensation for the damage.

3. Contrast the reasoning in *Rylands v Fletcher* with that in *Losee v Buchanan*, 51 NY 476 (CA 1883), where in the absence of proof of negligence the plaintiff was unsuccessful in suing for damages caused when a steam boiler used by the defendant manufacturer exploded and was catapulted onto the plaintiff’s land. In refusing to follow *Rylands v Fletcher*, the court observed:

By becoming a member of civilized society, I am compelled to give up many of my natural rights, but I receive more than a compensation from the surrender by every other man of the same rights, and the security, advantage and protection which the laws give me. So, too, the general rules that I may have the exclusive and undisturbed use and possession of my real estate, and that I must so use my real estate as not to injure my neighbor, are much modified by the exigencies of the social state. We must have factories, machinery, dams, canals and railroads. They are demanded by the manifold wants of mankind, and lay at the basis of all our civilization. If I have any of these upon my lands, and they are not a nuisance and are not so managed as to become such, I am not responsible for any damage they accidentally and unavoidably do my neighbor. He receives his compensation for such damage by the general good, in which he shares, and the right which he has to place the same things upon his lands. I may not place or keep a nuisance upon my land to the damage of my neighbor, and I have my compensation for the surrender of this right to use my own as I will by the similar restriction imposed upon my neighbor for my benefit. I hold my property subject to the risk that it may be unavoidably or accidentally injured by those who live near me; and as I move about upon the public highways and in all places where other persons may lawfully be, I take

the risk of being accidentally injured in my person by them without fault on their part. Most of the rights of property, as well as of person, in the social state, are not absolute but relative, and they must be so arranged and modified, not unnecessarily infringing upon natural rights, as upon the whole to promote the general welfare.

About the analogy with liability for animals the court said:

We are also cited to a class of cases holding the owners of animals responsible for injuries done by them. There is supposed to be a difference as to responsibility between animals *mansuetae naturae* and *ferae naturae*. As to the former, in which there can be an absolute right of property, the owner is bound at common law to take care that they do not stray upon the lands of another, and he is liable for any trespass they may commit, and it is altogether immaterial whether their escape is purely accidental or due to negligence. As to the latter, which are of a fierce nature, the owner is bound to take care of them and keep them under control, so that they can do no injury. But the liability in each case is upon the same principle. The former have a known, natural disposition to stray, and hence the owner knowing this disposition is supposed to be in fault if he does not restrain them and keep them under control. The latter are known to be fierce, savage and dangerous, and their nature is known to their owner, and hence the owner for the same reason is bound to keep them under control. As to the former, the owner is not responsible for such injuries as they are not accustomed to do, by the exercise of vicious propensities which they do not usually have, unless it can be shown that he has knowledge of the vicious habit and propensity. As to all animals, the owner can usually restrain and keep them under control, and if he will keep them he must do so. If he does not, he is responsible for any damage which their well-known disposition leads them to commit. I believe the liability to be based upon the fault which the law attributes to him, and no further actual negligence need be proved than the fact that they are at large unrestrained. But if I am mistaken as to the true basis of liability in such cases, the body of laws in reference to live animals, which is supposed to be just and wise, considering the nature of the animals and the mutual rights and interests of the owners and others does not furnish analogies absolutely controlling in reference to inanimate property.

Do you find the defence of negligence or the discussion of liability for animals in *Losee* convincing? How do you think the *Rylands* court would have dealt with the facts of *Losee*?

RICKARDS V LOTHIAN

[1913] AC 263 (PC)

The plaintiff sued the defendant landlord for water damage suffered when someone maliciously plugged the basin and let the tap run in the lavatory above the plaintiff's business. The lavatory was available for tenants and employees in the building.

LORD MOULTON:

[After finding no evidence of negligence, Lord Moulton turned to the application of *Rylands v Fletcher*. Quoting Blackburn J's "true rule of law," he continued:]

It will be seen that Blackburn J with characteristic carefulness, indicates that exceptions to the general rule may arise where the escape is in consequence of *vis major*, or the act of God, but declines to deal further with the question because it was unnecessary for the decision of the case then before him. A few years later the question of law thus left undecided in *Fletcher v. Rylands* came up for decision in a case arising out of somewhat similar circumstances. The defendant in *Nichols v. Marsland*, 2 Ex. D 1, had formed on her land certain ornamental pools which contained large

quantities of water. A sudden and unprecedented rainfall occurred, giving rise to a flood of such magnitude that the jury found that it could not reasonably have been anticipated. This flood caused the lakes to burst their dams, and the plaintiff's adjoining lands were flooded. The jury found that there was no negligence in the construction or maintenance of the lakes, but they also found that if such a flood could have been anticipated the dams might have been so constructed that the flooding would have been prevented. ...

The judgment of the Court of Exchequer Chamber ... was read by Mellish LJ. After pointing out that the facts of the case rendered it necessary to decide the point left undecided in *Fletcher v. Rylands*, LR 1 Ex. 265; LR 3 HL 330, he proceeds to lay down the law thereupon in the following language:

... If, indeed, the making of a reservoir was a wrongful act in itself, it might be right to hold that a person could not escape from the consequences of his own wrongful act. But it seems to us absurd to hold that the making or the keeping a reservoir is a wrongful act in itself. The wrongful act is not the making or keeping the reservoir, but the allowing or causing the water to escape. If, indeed, the damages were occasioned by the act of the party without more—as where a man accumulates water in his own land, but, owing to the peculiar nature or condition of the soil, the water escapes and does damage to his neighbour—the case of *Rylands v. Fletcher* establishes that he must be held liable. The accumulation of water in a reservoir is not in itself wrongful; but the making it and suffering the water to escape, if damage ensue, constitute a wrong. But the present case is distinguished from that of *Rylands v. Fletcher* in this, that it is not the act of the defendant in keeping this reservoir, an act in itself lawful, which alone leads to the escape of the water, and so renders wrongful that which but for such escape would have been lawful. It is the supervening *vis major* of the water caused by the flood, which, superadded to the water in the reservoir (which of itself would have been innocuous), causes the disaster. A defendant cannot, in our opinion, be properly said to have caused or allowed the water to escape, if the act of God or the Queen's enemies was the real cause of its escaping without any fault on the part of the defendant. If a reservoir was destroyed by an earthquake, or the Queen's enemies destroyed it in conducting some warlike operation, it would be contrary to all reason and justice to hold the owner of the reservoir liable for any damage that might be done by the escape of the water. We are of opinion therefore that the defendant was entitled to excuse herself by proving that water escaped through the act of God.

Their Lordships are of opinion that all that is there laid down as to a case where the escape is due to "*vis major* or the King's enemies" applies equally to a case where it is due to the malicious act of a third person, if indeed that case is not actually included in the above phrase. To follow the language of the judgment just recited—a defendant cannot in their Lordships' opinion be properly said to have caused or allowed the water to escape if the malicious act of a third person was the real cause of its escaping without any fault on the part of the defendant. ...

Following the language of this judgment their Lordships are of opinion that no better example could be given of an agent that the defendant cannot control than that of a third party surreptitiously and by a malicious act causing the overflow.

But there is another ground upon which their Lordships are of opinion that the present case does not come within the principle laid down in *Fletcher v. Rylands*. It is not every use to which land is put that brings into play that principle. It must be some special use bringing with it increased danger to others, and must not merely be the ordinary use of the land or such a use as is proper for the general benefit of the community. ...

The provision of a proper supply of water to the various parts of a house is not only reasonable, but has become, in accordance with modern sanitary views, an almost necessary feature of town life. It is recognized as being so desirable in the interests of the community that in some form or other it is usually made obligatory in civilized countries. Such a supply cannot be installed without causing some concurrent danger of leakage or overflow. It would be unreasonable for the law to regard those who install or maintain such a system of supply as doing so at their own peril, with an absolute liability for any damage resulting from its presence even when there has been no negligence. It would be still more unreasonable if, as the respondent contents, such liability were to be held to extend to the consequences of malicious acts on the part of third persons. In such matters as the domestic supply of water or gas it is essential that the mode of supply should be such as to permit ready access for the purpose of use, and hence it is impossible to guard against wilful mischief. Taps may be turned on, ball-cocks fastened open, supply pipes cut, and waste-pipes blocked. Against such acts no precaution can prevail. It would be wholly unreasonable to hold an occupier responsible for the consequences of such acts which he is powerless to prevent, when the provision of the supply is not only a reasonable act on his part but probably a duty. Such a doctrine would, for example, make a householder liable for the consequences of an explosion caused by a burglar breaking into his house during the night and leaving a gas tap open. There is, in their Lordships' opinion, no support either in reason or authority for any such view of the liability of a landlord or occupier. In having on his premises such means of supply he is only using those premises in an ordinary and proper manner, and, although he is bound to exercise all reasonable care, he is not responsible for damage not due to his own default, whether that damage be caused by inevitable accident or the wrongful acts of third persons. ...

The appeal must therefore be allowed and judgment entered for the defendant in the action.

NOTE

In *Tock v St John's Metropolitan Area Board*, [1989] 2 SCR 1181, the court held that flood damage resulting from a blocked storm sewer operated by the defendant municipality does not trigger liability under *Rylands v Fletcher*. La Forest J:

[T]he Court of Appeal held that the trial judge erred in holding that the construction of a sewer system would trigger the application of the rule in *Rylands v. Fletcher* on the ground that the sewer constituted a non-natural user of land. I share the conclusion of the Court of Appeal.

The definitive statement of the meaning to be ascribed to Lord Cairn's qualification in *Rylands v. Fletcher* ... that strict liability would only attach in respect of "non-natural user" of land is generally agreed to be that of Moulton L.J. in *Rickards v. Lothian* ... Moulton L.J. thus expressed himself: "It is not every use to which land is put that brings into play that principle. It must be some special use bringing with it increased danger to others, and must not merely be the ordinary use of the land or such a use as is proper for the general benefit of the community."

The courts, as noted by Fleming, *The Law of Torts*, 6th ed., at p. 308, have, on the basis of this qualification, interpreted the notion of non-natural user as a flexible concept that is capable of adjustment to the changing patterns of social existence.

In the evolution of the patterns of social existence since the formulation of the rule in *Rylands v. Fletcher*, one of the most salient developments has been the ever-increasing degree of involvement by all levels of government in land planning. The point is nicely put

by Williams in his article "Non-natural Use of Land" (1973), 32 *Cambridge L.J.* 310, at p. 319, when he argues that the existence of planning authorities which ensure that virtually all development of land occurs pursuant to planning decisions "puts the question of land use into a completely different context to that in which Messrs. Rylands and Horrocks built their little reservoir."

Public sewerage and drainage systems are an indispensable part of the infrastructures necessary to support urban life, and it is clear in my mind that the storm sewer in question here was constructed pursuant to planning decisions of the very sort alluded to in Williams' comments. As such, it would be difficult to conceive of a user of land falling more squarely within those that may be said to be ordinary and proper for the general benefit of the community

In summary, if, as argued by Prosser at p. 147 of his essay "The Principle of *Rylands v. Fletcher*," in *Selected Topics on the Law of Torts*, the touchstone for the application of the rule in *Rylands v. Fletcher* is to be damage occurring from a user inappropriate to the place where it is maintained (Prosser cites the example of the pig in the parlour), I would hold that the rule cannot be invoked where a municipality or regional authority, acting under the warrant of statute and pursuant to a planning decision taken in good faith, constructs and operates a sewer and storm drain system in a given locality.

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[1947] AC 156 (HL)

VISCOUNT SIMON: My Lords, in fulfilment of an agreement dated Jan. 26, 1942, and made between the Ministry of Supply and the respondents, the latter undertook the operation, management and control of the Elstow Ordnance Factory as agents for the Ministry. The respondents carried on in the factory the business of filling shell cases with high explosives. The appellant was an employee of the Ministry, with the duty of inspecting this filling of shell cases, and her work required her (although she would have preferred and had applied for other employment) to be present in the shell filling shop. On Aug. 31, 1942, while the appellant was lawfully in the shell filling shop in discharge of her duty, an explosion occurred which killed a man and injured the appellant and others. No negligence was averred or proved against the respondents. ...

Cassels J, who tried the case, considered that it was governed by *Rylands v. Fletcher* and held that the respondents were liable, on the ground that they were carrying on an ultra-hazardous activity and so were under what is called a "strict liability" to take successful care to avoid causing harm to persons whether on or off the premises. The Court of Appeal reversed this decision. ...

There are instances, no doubt, in our law in which liability for damage may be established apart from proof of negligence, but it appears to me logically unnecessary and historically incorrect to refer to all these instances as deduced from one common principle. The conditions under which such a liability arises are not necessarily the same in each class of case.

Now, the strict liability recognised by this House to exist in *Rylands v. Fletcher* is conditioned by two elements which I may call the condition of "escape" from the land of something likely to do mischief if it escapes, and the condition of "non-natural use" of the land. ... It is not necessary to analyse this second condition on the present occasion, for in the case now before us the first essential condition of "escape" does not seem to me to be present at all. "Escape," for the purpose of applying the proposition in *Rylands v. Fletcher* means escape from a place which the

defendant has occupation of, or control over, to a place which is outside his occupation or control. Blackburn J several times refers to the defendant's duty as being the duty of "keeping a thing in" at the defendant's peril and by "keeping in" he means, not preventing an explosive substance from exploding, but preventing a thing which may inflict mischief from escaping from the area which the defendant occupies or controls. ...

Here there is no escape of the relevant kind at all and the appellant's action fails on that ground. ...

LORD MacMILLAN: ... In my opinion, the appellant's statement of claim discloses no ground of action against the respondents. The action is one of damages for personal injuries. Whatever may have been the law of England in early times I am of opinion that, as the law now stands an allegation of negligence is in general essential to the relevancy of an action of reparation for personal injuries. ... [T]he process of evolution has been from the principle that every man acts at his peril and is liable for all the consequences of his acts to the principle that a man's freedom of action is subject only to the obligation not to infringe any duty of care which he owes to others. The emphasis formerly was on the injury sustained and the question was whether the case fell within one of the accepted classes of common law actions; the emphasis now is on the conduct of the person whose act has occasioned the injury and the question is whether it can be characterised as negligent. I do not overlook the fact that there is at least one instance in the present law in which the primitive rule survives, namely, in the case of animals *ferae naturae* or animals *mansuetae naturae* which have shown dangerous proclivities. The owner or keeper of such an animal has an absolute duty to confine or control it so that it shall not do injury to others and no proof of care on his part will absolve him from responsibility, but this is probably not so much a vestigial relic of otherwise discarded doctrine as a special rule of practical good sense. At any rate, it is too well established to be challenged. But such an exceptional case as this affords no justification for its extension by analogy.

The appellant in her printed case in this House thus poses the question to be determined: "Whether the manufacturer of high explosive shells is under strict liability to prevent such shells from exploding and causing harm to persons on the premises where such manufacture is carried on as well as to persons outside such premises." Two points arise on this statement of the question. In the first place, the expression "strict liability," though borrowed from authority, is ambiguous. If it means the absolute liability of an insurer irrespective of negligence, then the answer, in my opinion, must be in the negative. If it means that an exacting standard of care is incumbent on manufacturers of explosive shells to prevent the occurrence of accidents causing personal injuries I should answer the question in the affirmative, but this will not avail the plaintiff. In the next place, the question as stated would seem to assume that liability would exist in the present case to persons injured outside the defendants' premises without any proof of negligence on the part of the defendants. Indeed, Cassels J in his judgment ... records that: "It was not denied that if a person outside the premises had been injured in the explosion the defendants would have been liable without proof of negligence." I do not agree with this view. In my opinion, persons injured by the explosion inside or outside the defendant's premises would alike require to aver and prove negligence to render the defendants liable.

In an address characterised by much painstaking research counsel for the appellant sought to convince your Lordships that there is a category of things and operations dangerous in themselves and that those who harbour such things or carry on such operations in their premises are liable apart from negligence for any personal

injuries occasioned by these dangerous things or operations. I think that he succeeded in showing that in the case of dangerous things and operations the law has recognised that a special responsibility exists to take care, but I do not think that it has ever been laid down that there is absolute liability apart from negligence where persons are injured in consequence of the use of such things or the conduct of such operations. In truth, it is a matter of degree. Every activity in which man engages is fraught with some possible element of danger to others. Experience shows that even from acts apparently innocuous injury to others may result. The more dangerous the act the greater is the care that must be taken in performing it. This relates itself to the principle in the modern law of torts that liability exists only for consequences which a reasonable man would have foreseen. One who engages in obviously dangerous operations must be taken to know that if he does not take special precautions injury to others may very well result. In my opinion, it would be impracticable to frame a legal classification of things as things dangerous and things not dangerous, attaching absolute liability in the case of the former but not in the case of the latter. In a progressive world things which at one time were reckoned highly dangerous come to be regarded as reasonably safe. The first experimental flights of aviators were certainly dangerous, but we are now assured that travel by air is little, if at all, more dangerous than a railway journey.

Accordingly, I am unable to accept the proposition that in law the manufacture of high explosive shells is a dangerous operation which imposes on the manufacturer an absolute liability for any personal injuries which may be sustained in consequence of his operations. Strict liability, if you will, is imposed on him in the sense that he must exercise a high degree of care, but that is all. The sound view, in my opinion, is that the law in all cases exacts a degree of care commensurate with the risk created. It was suggested that some operations are so intrinsically dangerous that no degree of care, however scrupulous, can prevent the occurrence of accidents, and that those who choose for their own ends to carry on such operations ought to be held to do so at their peril. If this were so, many industries would have a serious liability imposed on them. Should it be thought that this is a reasonable liability to impose in the public interest, it is for Parliament so to enact. In my opinion, it is not the present law of England. ...

The doctrine of *Rylands v. Fletcher*, as I understand it, derives from a conception of the mutual duties of adjoining or neighbouring landowners and its congeners are trespass and nuisance. If its foundation is to be found in the injunction *sic utere tuo ut alienum non laedas*, then it is manifest that it has nothing to do with personal injuries. The duty is to refrain from injuring not *alium* but *alienum*. The two prerequisites of the doctrine are that there must be the escape of something from one man's close to another man's close and that that which escapes must have been brought on the land from which it escapes in consequence of some non-natural use of that land whatever precisely that may mean. Neither of these features exists in the present case. I have already pointed out that nothing escaped from the defendants' premises, and, were it necessary to decide the point, I should hesitate to hold that in these days and in an industrial community it was a non-natural use of land to build a factory on it and conduct there the manufacture of explosives. I could conceive it being said that to carry on the manufacture of explosives in a crowded urban area was evidence of negligence, but there is no such case here and I offer no opinion on the point. ...

Your Lordships' task in this House is to decide particular cases between litigants and your Lordships are not called on to rationalise the law of England. That attractive, if perilous, field may well be left to other hands to cultivate. It has been necessary in the present instance to examine certain general principles advanced on behalf of the appellant because it was said that consistency required that these principles should

be applied to the case in hand. Arguments based on legal consistency are apt to mislead, for the common law is a practical code adapted to deal with the manifold diversities of human life and as a great American judge has reminded us "the life of the law has not been logic; it has been experience." For myself, I am content to say that, in my opinion, no authority has been quoted from case or text-book which would justify your Lordships, logically or otherwise, in giving effect to the appellant's plea. I should, accordingly, dismiss the appeal. ...

LORD SIMONDS: ... I turn then to the first question which raises the familiar problem of strict liability, a phrase which I use to express liability without proof of negligence. Here is an age-long conflict of theories which is to be found in every system of law. "A man acts at his peril" says one theory. "A man is not liable unless he is to blame" answers the other. It will not surprise the students of English law or of anything English to find that between these theories a middle way, a compromise, has been found. For it is beyond question that in respect of certain acts a man will be liable for the harmful consequences of those acts, be he ever so careful, yet in respect of other acts he will not be liable unless he has in some way fallen short of a prescribed standard of conduct. It avails not at all to argue that because in some respects a man acts at this peril, therefore in all respects he does so. There is not one principle only which is to be applied with rigid logic to all cases. To this result both the infinite complexity of human affairs and the historical development of the forms of action contribute. ...

My Lords, I have stated a general proposition and indicated that there are exceptions to it. It is clear, for instance, that, if a man brings and keeps a wild beast on his land or a beast known to him to be ferocious of a species generally *mansuetae naturae*, he may be liable for any damage occurring within or without his premises without proof of negligence. Such an exception will serve to illustrate the proposition that the law of torts has grown up historically in separate compartments, and that beasts have travelled in a compartment of their own. ... It is sufficient for my purpose to say that, unless a plaintiff can point to a specific rule of law in relation to a specific subject-matter he cannot, in my opinion, bring himself within the exceptions to the general rule that I have stated. I have already expressed my view that there is no rule which imposes on him who carries on the business of making explosives, though the activity may be "ultra-hazardous" and an explosive "a dangerous thing," a strict liability to those who are lawfully on his premises. ...

LORD PORTER and LORD UTHWATT also gave reasons for dismissing the appeal.

NOTES

1. In refusing to base liability on the ultrahazardous nature of the defendant's activity (as had been done at trial) the House of Lords rejected the dominant approach in the United States. *The Restatement of Torts* (1938) reads:

519. Miscarriage of Ultrahazardous Activities Carefully Carried On

... [O]ne who carries on an ultrahazardous activity is liable to another whose person, land or chattels the actor should recognize as likely to be harmed by the unpreventable miscarriage of the activity for harm resulting thereto from that which makes the activity ultrahazardous, although the utmost care is exercised to prevent the harm.

520. Definition of Ultrahazardous Activity

An activity is ultrahazardous if it

- (a) necessarily involves a risk of serious harm to the person, land or chattels of others which cannot be eliminated by the exercise of the utmost care, and
- (b) is not a matter of common usage.

When the *Restatement* was redrafted, the term “ultrahazardous” was thought to be misleading because it might direct attention to whether the activity is extremely dangerous in itself rather than abnormally dangerous in relation to its surroundings. (Explosives, for example, should attract strict liability if stored in a populated area, but not if stored in a desert.) Accordingly, the *Restatement (Second) of Torts* (1977) used the term “abnormally dangerous activities.” The relevant provisions are the following:

519. General Principle

(1) One who carries on an abnormally dangerous activity is subject to liability for harm to the person, land or chattels of another resulting from the activity, although he has exercised the utmost care to prevent the harm.

(2) this strict liability is limited to the kind of harm, the possibility of which makes the activity abnormally dangerous.

520. Abnormally Dangerous Activities

In determining whether an activity is abnormally dangerous, the following factors are to be considered:

- (a) existence of a high degree of risk of some harm to the person, land or chattels of others;
- (b) likelihood that the harm that results from it will be great;
- (c) inability to eliminate the risk by the exercise of reasonable care;
- (d) extent to which the activity is not a matter of common usage;
- (e) inappropriateness of the activity to the place where it is carried on; and
- (f) extent to which its value to the community is outweighed by its dangerous attributes.

2. In *Indiana Harbor Belt Railroad v American Cyanamid Company*, 915 F2d 1124 (CA 7th Cir 1990), Posner J provided the following elucidation of the *Restatement*’s provisions:

The roots of section 520 are in nineteenth-century cases. The most famous one is *Rylands v. Fletcher*, 1 Ex. 265, aff’d., LR 3 HL 300 (1868), but a more illuminating one in the present context is *Guille v. Swan*, 19 Johns. (NY) 381 (1822). A man took off in a hot-air balloon and landed, without intending to, in a vegetable garden in New York City. A crowd that had been anxiously watching his involuntary descent trampled the vegetables in their endeavor to rescue him when he landed. The owner of the garden sued the balloonist for the resulting damage, and won. Yet the balloonist had not been careless. In the then state of ballooning it was impossible to make a pinpoint landing.

Guille is a paradigmatic case for strict liability. (a) The risk (probability) of harm was great, and (b) the harm that would ensue if the risk materialized could be, although luckily was not, great (the balloonist could have crashed into the crowd rather than into the vegetables). The confluence of these two factors established the urgency of seeking to prevent such accidents. (c) Yet such accidents could not be prevented by the exercise of due care; the technology of care in ballooning was insufficiently developed. (d) The activity was not a matter of common usage, so there was no presumption that it was a highly valuable activity despite its unavoidable riskiness. (e) The activity was inappropriate to the place in which it took place—densely populated New York City. The risk of serious harm to others (other than the balloonist himself, that is) could have been reduced by shifting the activity to the sparsely inhabited areas that surrounded the city in those days. (f) Reinforcing (d), the value to the community of the activity of recreational ballooning did not appear to be great enough to offset its unavoidable risks.

These are, of course, the six factors in section 520. They are related to each other in that each is a different facet of a common quest for a proper legal regime to govern accidents that negligence liability cannot adequately control. The interrelations might be more perspicuous if the six factors were reordered. One might for example start with (c), inability to eliminate the risk of accident by the exercise of due care. ... The baseline common law

regime of tort liability is negligence. When it is a workable regime, because the hazards of an activity can be avoided by being careful (which is to say, nonnegligent), there is no need to switch to strict liability. Sometimes, however, a particular type of accident cannot be prevented by taking care but can be avoided, or its consequences minimized, by shifting the activity in which the accident occurs to another locale, where the risk or harm of an accident will be less ((e)), or by reducing the scale of the activity in order to minimize the number of accidents caused by it ((f)). ... Shavell, "Strict Liability versus Negligence," 9 *J Legal Stud.* 1 (1980). By making the actor strictly liable—by denying him in other words an excuse based on his inability to avoid accidents by being more careful—we give him an incentive, missing in a negligence regime, to experiment with methods of preventing accidents that involve not greater exertions of care, assumed to be futile, but instead relocating, changing, or reducing (perhaps to the vanishing point) the activity giving rise to the accident. ... The greater the risk of an accident ((a)) and the costs of an accident if one occurs ((b)), the more we want the actor to consider the possibility of making accident-reducing activity changes; the stronger, therefore, is the case for strict liability. Finally, if an activity is extremely common ((d)), like driving an automobile, it is unlikely either that its hazards are perceived as great or that there is no technology of care available to minimize them; so the case for strict liability is weakened.

The largest class of cases in which strict liability has been imposed under the standard codified in the *Second Restatement of Torts* involves the use of dynamite and other explosives for demolition in residential or urban areas. ... Explosives are dangerous even when handled carefully, and we therefore want blasters to choose the location of the activity with care and also to explore the feasibility of using safer substitutes (such as a wrecking ball), as well as to be careful in the blasting itself. Blasting is not a commonplace activity like driving a car, or so superior to substitute methods of demolition that the imposition of liability is unlikely to have any effect except to raise the activity's costs.

3. Contrast Posner's views with those of Fletcher, "Fairness and Utility in Tort Theory" (1972) 85 *Harv L Rev* 537 at 543, who suggests that a single general principle of fairness underlies both *Rylands v Fletcher* and *Vincent v Lake Erie*:

The critical feature of both cases is that the defendant created a risk of harm to the plaintiff that was of an order different from the risks that the plaintiff imposed on the defendant.

Without the factor of nonreciprocal risk-creation, both cases would have been decided differently. Suppose that *Rylands* had built his reservoir in textile country, where there were numerous mills, dams, and reservoirs, or suppose that two sailors secured their ships in rough weather to a single buoy. In these situations each party would subject the other to a risk, respectively, of inundation and abrasion. Where the risks are reciprocal among the relevant parties, as they would be in these variations of *Rylands* and *Vincent*, a rule of strict liability does no more than substitute one form of risk for another—the risk of liability for the risk of personal loss. Accordingly, it would make little sense to extend strict liability to cases of reciprocal risk-taking, unless one reasoned that in the short run some individuals might suffer more than others and that these losses should be shifted to other members of the community.

Expressing the standard of strict liability as unexcused, nonreciprocal risk-taking provides an account not only of the *Rylands* and *Vincent* decisions, but of strict liability in general. It is apparent, for example, that the uncommon, ultra-hazardous activities pinpointed by the *Restatement* are readily subsumed under the rationale of nonreciprocal risk-taking. If uncommon activities are those with few participants, they are likely to be activities generating nonreciprocal risks. Similarly, dangerous activities like blasting, fumigating, and crop dusting stand out as distinct, nonreciprocal risks in the community. They represent threats of harm that exceed the level of risk to which all members of the community contribute in roughly equal shares.

The rationale of nonreciprocal risk-taking accounts as well for pockets of strict liability outside the coverage of the *Restatement's* sections on extra-hazardous activities. For

example, an individual is strictly liable for damage done by a wild animal in his charge, but not for damage committed by his domesticated pet. Most people have pets, children, or friends whose presence creates some risk to neighbors and their property. These are risks that offset each other; they are, as a class, reciprocal risks. Yet bringing an unruly horse into the city goes beyond the accepted and shared level of risks in having pets, children, and friends in one's household. If the defendant creates a risk that exceeds those to which he is reciprocally subject, it seems fair to hold him liable for the results of his aberrant indulgence. Similarly, according to the latest version of the *Restatement*, airplane owners and pilots are strictly liable for ground damage, but not for mid-air collisions. Risk of ground damage is non-reciprocal; homeowners do not create risks to airplanes flying overhead. The risks of mid-air collisions, on the other hand, are generated reciprocally by all those who fly the air lanes. Accordingly, the threshold of liability for damage resulting from mid-air collisions is higher than mere involvement in the activity of flying. To be liable for collision damage to another flyer, the pilot must fly negligently or the owner must maintain the plane negligently; they must generate abnormal risks of collision to the other planes aflight.

4. Decisions of the highest authority in England and Australia have cast doubt on the vitality of *Rylands* as an independent basis for liability. In *Cambridge Water v Eastern Counties Leather Plc*, [1994] 1 All ER 53 (HL) the defendant leather manufacturer had for years used a chemical solvent in its manufacturing process. Over the years small quantities of the solvent had regularly spilled on to the concrete floor and then seeped into the earth, whence it was conveyed by percolating water 1.3 miles to a borehole used by the plaintiff for extracting water. It was found not to be reasonably foreseeable that these spillages would contaminate the plaintiff's borehole. Refusing to accept the argument that the defendant should be liable for unforeseeable damage, Lord Goff of Chieveley noted the close relationship between nuisance and the rule in *Rylands v Fletcher* and said:

[T]he development of the law of negligence in the past sixty years points strongly towards a requirement that [reasonable] foreseeability should be a prerequisite of liability in damages for nuisance, as it is of liability in negligence. For if a plaintiff is in ordinary circumstances only able to claim damages in respect of personal injuries where he can prove such foreseeability on the part of the defendant, it is difficult to see why, in common justice, he should be in a stronger position to claim damages for interference with the enjoyment of his land where the defendant was unable to foresee such damage. Moreover, this appears to have been the conclusion of the Privy Council in *The Wagon Mound (No 2)*, *Overseas Tankship (UK) Ltd v. Miller Steamship Co Pty Ltd* [1966] 2 All ER 709, [1967] 1 AC 617. ...

It is against this background that I turn to the submission ... that there is a similar prerequisite of recovery of damages under the rule in *Rylands v. Fletcher* (1866) LR 1 Exch 265.

Blackburn J spoke of "anything likely to do mischief if it escapes"; and later he spoke of something "which he knows to be mischievous if it gets on to his neighbour's [property]," and the liability to "answer for the natural and anticipated consequences." Furthermore, time and again he spoke of the strict liability imposed upon the defendant as being that he must keep the thing in at his peril; and, when referring to liability in actions for damage occasioned by animals, he referred (at 282) to the established principle "that it is quite immaterial whether the escape is by negligence or not." The general tenor of his statement of principle is therefore that knowledge, or at least foreseeability of the risk, is a prerequisite of the recovery of damages under the principle; but that the principle is one of strict liability in the sense that the defendant may be held liable notwithstanding that he has exercised all due care to prevent the escape from occurring. ...

However, quite apart from the indications to be derived from the judgment of Blackburn J in *Fletcher v. Rylands* LR 1 Exch 265 itself, to which I have already referred, the historical connection with the law of nuisance must now be regarded as pointing towards the conclusion that foreseeability of damage is a prerequisite of the recovery of damages under

the rule. I have already referred to the fact that Blackburn J himself did not regard his statement of principle as having broken new ground; furthermore, Professor Newark has convincingly shown that the rule in *Rylands v. Fletcher* was essentially concerned with an extension of the law of nuisance to cases of isolated escape. Accordingly since, following the observations of Lord Reid when delivering the advice of the Privy Council in *The Wagon Mound (No 2)* [1966] 2 All ER 709 at 717, [1967] 1 AC 617 at 640, the recovery of damages in private nuisance depends on foreseeability by the defendant of the relevant type of damage, it would appear logical to extend the same requirement to liability under the rule in *Rylands v. Fletcher*. ...

Lord Goff also rejected the idea that *Rylands* states a principle of strict liability for abnormally dangerous activities.

It can be argued that the rule in *Rylands v. Fletcher* should not be regarded simply as an extension of the law of nuisance, but should rather be treated as a developing principle of strict liability from which can be derived a general rule of strict liability for damage caused by ultra-hazardous operations, on the basis of which persons conducting such operations may properly be held strictly liable for the extraordinary risk to others involved in such operations. ...

I have to say, however, that there are serious obstacles in the way of the development of the rule in *Rylands v. Fletcher* in this way. First of all, if it was so to develop, it should logically apply to liability to all persons suffering injury by reason of the ultra-hazardous operations; but the decision of this House in *Read v. J. Lyons & Co Ltd.* [1946] 2 All ER 471, [1947] AC 156, which establishes that there can be no liability under the rule except in circumstances where the injury has been caused by an escape from land under the control of the defendant, has effectively precluded any such development. Professor Fleming has observed that "the most damaging effect of the decision in *Read v. Lyons* is that it prematurely stunted the development of a general theory of strict liability for ultra-hazardous activities" (see *Fleming on Torts* (8th edn, 1992) p 341). Even so, there is much to be said for the view that the courts should not be proceeding down the path of developing such a general theory. In this connection, I refer in particular to the *Report of the Law Commission on Civil Liability for Dangerous Things and Activities* (Law Com no 32) 1970. In paras 14-16 of the report the Law Commission expressed serious misgivings about the adoption of any test for the application of strict liability involving a general concept of "especially dangerous" or "ultra-hazardous" activity, having regard to the uncertainties and practical difficulties of its application. If the Law Commission is unwilling to consider statutory reform on this basis, it must follow that judges should if anything be even more reluctant to proceed down that path.

Like the judge in the present case, I incline to the opinion that, as a general rule, it is more appropriate for strict liability in respect of operations of high risk to be imposed by Parliament, than by the courts. If such liability is imposed by statute, the relevant activities can be identified, and those concerned can know where they stand. Furthermore, statute can where appropriate lay down precise criteria establishing the incidence and scope of such liability.

5. An even more extreme effacement of *Rylands v Fletcher* as an independent basis of tort liability occurred in *Burnie Port Authority v General Jones Pty Ltd* (1994), 120 ALR 42 (HC), where Mason CJ said:

In the more than a century and a quarter that has passed since its formulation by Blackburn J, the rule has been progressively weakened and confined from within and the area of its effective operation, in the sense of the area in which it applies to impose liability where it would not otherwise exist, has been progressively diminished by increasing assault from without. From within, the broadening of Blackburn J's exception of things "naturally there," which would seem to have been used in the sense of without human intervention, into an exception of "natural," "ordinary" or not "special" use has reduced the scope of the rule to

the stage where a majority of the House of Lords in *Read v. J. Lyons and Co. Ltd.* could indicate a view that, in the circumstances of that case, the use of land for the obviously dangerous activity of manufacturing high-explosive shells may have been outside the scope of the rule. From without, ordinary negligence has progressively assumed dominion in the general territory of tortious liability for unintended physical damage, including the area in which the rule in *Rylands v. Fletcher* once held sway. ...

The result of the development of the modern law of negligence has been that ordinary negligence has encompassed and overlain the territory in which the rule in *Rylands v. Fletcher* operates. Any case in which an owner or occupier brings onto premises or collects or keeps a "dangerous substance" in the course of a "non-natural use" of the land will inevitably fall within a category of case in which a relationship of proximity under ordinary negligence principles will exist between owner or occupier and someone whose person or property is at risk of physical injury or damage in the event of the "escape" of the substance. ...

Inevitably, the past adjustments and qualifications of the rule in *Rylands v. Fletcher* to reflect aspects of the law of ordinary negligence have greatly reduced the likelihood that *Rylands v. Fletcher* liability will exist in a case where liability would not exist under the principles of negligence. ...

The relationship of proximity which exists, for the purposes of ordinary negligence, between a plaintiff and a defendant in circumstances which would *prima facie* attract the rule in *Rylands v. Fletcher* is characterized by such a central element of control and by such special dependence and vulnerability. One party to that relationship is a person who is in control of premises and who has taken advantage of that control to introduce thereon or to retain therein a dangerous substance or to undertake thereon a dangerous activity or to allow another person to do one of those things. The other party to that relationship is a person, outside the premises and without control over what occurs therein, whose person or property is thereby exposed to a foreseeable risk of danger. ... In such a case, the person outside the premises is obviously in a position of special vulnerability and dependence. He or she is specially vulnerable to danger if reasonable precautions are not taken in relation to what is done on the premises. He or she is specially dependent upon the person in control of the premises to ensure that such reasonable precautions are in fact taken. Commonly, he or she will have neither the right nor the opportunity to exercise control over, or even to have foreknowledge of, what is done or allowed by the other party within the premises. Conversely, the person who introduces (or allows another to introduce) the dangerous substance or undertakes (or allows another to undertake) the dangerous activity on premises which he or she controls is "so placed in relation to (the other) person or his property as to assume a particular responsibility for his or its safety."

It follows that the relationship of proximity which exists in the category of case into which *Rylands v. Fletcher* circumstances fall contains the central element of control which generates, in other categories of case, a special "personal" or "non-delegable" duty of care under the ordinary law of negligence. ... There are considerations of fairness which support that conclusion, namely, that it is the person in control who has authorized or allowed the situation of foreseeable potential danger to be imposed on the other person by authorizing or allowing the dangerous use of the premises and who is likely to be in a position to insist upon the exercise of reasonable care. It is also supported by considerations of utility: "the practical advantage of being conveniently workable, of supplying a spur to effective care in the choice of contractors, and in pointing the victim to a defendant who is easily discoverable and probably financially responsible." The weight of authority confirms that the duty in that category of case is a non-delegable one. ...

Where a duty of care arises under the ordinary law of negligence, the standard of care exacted is that which is reasonable in the circumstances. It has been emphasised in many cases that the degree of care under that standard necessarily varies with the risk involved

and that the risk involved includes both the magnitude of the risk of an accident happening and the seriousness of the potential damage if an accident should occur. Even where a dangerous substance or a dangerous activity of a kind which might attract the rule in *Rylands v. Fletcher* is involved, the standard of care remains "that which is reasonable in the circumstances, that which a reasonably prudent man would exercise in the circumstances." In the case of such substances or activities, however, a reasonably prudent person would exercise a higher degree of care. Indeed, depending upon the magnitude of the danger, the standard of "reasonable care" may involve "a degree of diligence so stringent as to amount practically to a guarantee of safety." ...

Once it is appreciated that the special relationship of proximity which exists in circumstances which would attract the rule in *Rylands v. Fletcher* gives rise to a non-delegable duty of care and that the dangerousness of the substance or activity involved in such circumstances will heighten the degree of care which is reasonable, it becomes apparent, subject to one qualification, that the stage has been reached where it is highly unlikely that liability will not exist under the principles of ordinary negligence in any case where liability would exist under the rule in *Rylands v. Fletcher*. ...

The qualification mentioned in the preceding paragraph is that there may remain cases in which it is preferable to see a defendant's liability in a *Rylands v. Fletcher* situation as lying in nuisance (or even trespass) and not in negligence [citing the *Cambridge Water* case]. It follows that the main consideration favouring preservation of the rule in *Rylands v. Fletcher*, namely, that the rule imposes liability in cases where it would not otherwise exist, lacks practical substance. In these circumstances, and subject only to the above-mentioned possible qualification in relation to liability in nuisance, the rule in *Rylands v. Fletcher*, with all its difficulties, uncertainties, qualifications and exceptions, should now be seen, for the purposes of the common law of this country, as absorbed by the principles of ordinary negligence. Under those principles, a person who takes advantage of his or her control of premises to introduce a dangerous substance, to carry on a dangerous activity, or to allow another to do one of those things, owes a duty of reasonable care to avoid a reasonably foreseeable risk of injury or damage to the person or property of another. In a case where the person or property of the other person is lawfully in a place outside the premises that duty of care both varies in degree according to the magnitude of the risk involved and extends to ensuring that such care is taken.

6. In *Transco v Stockport Metropolitan Borough Council*, [2004] 2 AC 1 (HL), the House of Lords declined to follow the Australian approach. A leak developed in a high-pressure pipe belonging to the defendant municipality, through which it supplied water to a housing development. The leak was not due to the defendant's negligence. The water percolated into an embankment supporting the plaintiff's gas main, causing the embankment to collapse and requiring the plaintiff to make expenditures to avoid the possibility that the gas main would crack. The plaintiff's case was dismissed.

LORD BINGHAM OF CORNHILL: [T]hose who decided [*Rylands*] regarded it as one of nuisance, novel only to the extent that it sanctioned recovery where the interference by one occupier of land with the right or enjoyment of another was isolated and not persistent. ...

The rule in *Rylands v. Fletcher* is a sub-species of nuisance, which is itself a tort based on the interference by one occupier of land with the right in or enjoyment of land by another occupier of land as such. From this simple proposition two consequences at once flow. First, as very clearly decided by the House in *Read v. J. Lyons & Co Ltd.* ... , no claim in nuisance or under the rule can arise if the events complained of take place wholly on the land of a single occupier. There must, in other words, be an escape from one tenement to another. Second, the claim cannot include a claim for death or personal injury. ...

Bearing in mind the historical origin of the rule, and also that its effect is to impose liability in the absence of negligence for an isolated occurrence, I do not think the mischief or

danger test should be at all easily satisfied. It must be shown that the defendant has done something which he recognised, or judged by the standards appropriate at the relevant place and time, he ought reasonably to have recognised, as giving rise to an exceptionally high risk of danger or mischief if there should be an escape, however unlikely an escape may have been thought to be.

No ingredient of *Rylands v. Fletcher* liability has provoked more discussion than the requirement of Blackburn J [(1866), LR 1 Exch 265, 280] that the thing brought on to the defendant's land should be something "not naturally there," an expression elaborated by Lord Cairns [(1868), LR 3 HL 330, 339] when he referred to the putting of land to a "non-natural use" Read literally, the expressions used by Blackburn J and Lord Cairns might be thought to exclude nothing which has reached the land otherwise than through operation of the laws of nature. But such an interpretation has been fairly described as "redolent of a different age" (*Cambridge Water* ...), and in *Read v. J. Lyons & Co Ltd.* and *Cambridge Water* at p. 308 the House gave its imprimatur to Lord Moulton's statement, giving the advice of the Privy Council in *Rickards v. Lothian* ... :

It is not every use to which land is put that brings into play that principle. It must be some special use bringing with it increased danger to others, and must not merely be the ordinary use of the land or such a use as is proper for the general benefit of the community.

I think it clear that ordinary user is a preferable test to natural user, making it clear that the rule in *Rylands v. Fletcher* is engaged only where the defendant's use is shown to be extraordinary and unusual. This is not a test to be inflexibly applied: a use may be extraordinary and unusual at one time or in one place but not so at another time or in another place (although I would question whether, even in wartime, the manufacture of explosives could ever be regarded as an ordinary user of land, as contemplated ... in *Read v. J. Lyons & Co Ltd.* ...). I also doubt whether a test of reasonable user is helpful, since a user may well be quite out of the ordinary but not unreasonable, as was that of Rylands ... or the tannery in *Cambridge Water*. Again, as it seems to me, the question is whether the defendant has done something which he recognises, or ought to recognise, as being quite out of the ordinary in the place and at the time when he does it. In answering that question, I respectfully think that little help is gained (and unnecessary confusion perhaps caused) by considering whether the use is proper for the general benefit of the community An occupier of land who can show that another occupier of land has brought or kept on his land an exceptionally dangerous or mischievous thing in extraordinary or unusual circumstances is in my opinion entitled to recover compensation from that occupier for any damage caused to his property interest by the escape of that thing, subject to defences of Act of God or of a stranger, without the need to prove negligence.

It is of course true that water in quantity is almost always capable of causing damage if it escapes. But the piping of a water supply from the mains to the storage tanks in the block was a routine function which would not have struck anyone as raising any special hazard. In truth, the council did not accumulate any water; it merely arranged a supply adequate to meet the residents' needs. The situation cannot stand comparison with the making by Mr Rylands of a substantial reservoir. Nor can the use by the council of its land be seen as in any way extraordinary or unusual. It was entirely normal and routine. ...

LORD HOBHOUSE OF WOODBOROUGH: The principle which the rule reflects is also easily apparent. It is that the law of private nuisance recognises that the risk must be borne by the person responsible for creating it and failing to control it. It reflects a social and economic utility. The user of one piece of land is always liable to affect the users or owners of other pieces of land. An escape of water originating on the former, or an explosion, may devastate not only the land on which it originates but also adjoining and more distant properties. The damage caused may be very serious indeed both in physical and financial terms. There may

be a serious risk that if the user of the land, the use of which creates the risk, does not take active and adequate steps to prevent escape, an escape may occur. The situation is entirely under his control: other landowners have no control. In such a situation, two types of solution might be adopted. One would be to restrict the liberty of the user of the land, the source of the risk, to make such use of his land as he chooses. The other is to impose a strict liability on the landowner for the consequences of his exercising that liberty. The rule adopts the second type of solution It is a coherent principle which accords with justice and with the existing legal theory at the time.

This approach was entirely in keeping with the economic and political culture of the 19th century, *laissez faire* and an understanding of the concept of risk. During the 20th century and particularly during the second half, the culture has changed. Government has increasingly intervened to limit the freedom of a landowner to use his land as he chooses, e.g. through the planning laws, and has regulated or forbidden certain dangerous or antisocial uses of land such as the manufacture or storage of explosives or the emission of noxious effluents. Thus the present state of the law is that some of the situations where the rule in *Rylands v. Fletcher* applies are now also addressed by the first type of solution. But this does not deprive the rule of its utility. The area of regulation is not exhaustive; it does not necessarily give the third party affected an adequate or, even, any say; the Government decision may give priority to some national or military need which it considers must over-ride legitimate individual interests; it will not normally deal with civil liability for damage to property; it does not provide the third party with adequate knowledge and control to evaluate and protect himself from the consequent risk and insurance cost. As Lord Goff pointed out in *Cambridge Water (inf.)*, the occasions where *Rylands v. Fletcher* may have to be invoked by a claimant may be reducing but that is not to say that it has ceased to be a valid part of English law. The only way it could be rendered obsolete is by a compulsory strict public liability insurance scheme for all persons using their land for dangerous purposes. However this would simply be to re-enact *Rylands v. Fletcher* in another guise.

Rylands v. Fletcher was unremarkable in the mid 19th century since there was then nothing peculiar about strict liability. ... [I]t was only later that the generalised criterion of negligence was developed, culminating in *Donoghue v. Stevenson* [1932] AC 562. That is a fault—i.e., breach of a duty of care—not a risk concept. But, where the situation arises as between landowners and arises from the dangerous use of his land by one of them, the risk concept remains relevant. He who creates the relevant risk and has, to the exclusion of the other, the control of how he uses his land, should bear the risk. It would be unjust to deny the other a risk based remedy and introduce a requirement of proving fault.

LORD WALKER OF GESTINGHOPE had this comment on Lord Moulton's formulation: Where Lord Moulton's formulation becomes questionable is, as Lord Goff pointed out in *Cambridge Water* ... , his reference to land use "for the general benefit of the community." It is understandable that any court might be inclined to deal more strictly with a defendant who has profited from a dangerous activity conducted on his own land, and less strictly with persons conducting similar activities for the general public good. But in this area (which is some way removed from the "give and take" of minor nuisances) the court cannot sensibly determine what is an ordinary or special (that is, specially dangerous) use of land by undertaking some utilitarian balancing of general good against individual risk. The court must beware of what David Campbell has called "unsustainably ambitious claims to be able to identify the social welfare function" (see "Of Coase & Corn: A (Sort of) Defence of Private Nuisance" (2000) 63 MLR 197, 204) The temptation to make a utilitarian judgment even led Viscount Simon and Lord Macmillan in *Read v. J. Lyons & Co Ltd.* (at pp. 169-70 and p. 174) to contemplate that in wartime the manufacture of explosive munitions might be regarded as an ordinary use of land. Regardless of any national emergency that sort of activity is (in Lord Goff's words in *Cambridge Water* at p. 309) "an almost classic case of non-natural use."

SMITH V INCO LIMITED
 2011 ONCA 628, 107 OR (3d) 321

By the Court (DOHERTY and MACFARLAND JJA and HOY J): ...

[68] The rule in *Rylands v. Fletcher* imposes strict liability for damages caused to a plaintiff's property (and probably, in Canada, for personal damages) by the escape from the defendant's property of a substance "likely to cause mischief." The exact reach of the rule and the justification for its continued existence as a basis of liability apart from negligence, private nuisance and statutory liability have been matters of controversy in some jurisdictions: see *Transco plc v. Stockport Metropolitan Borough Council*, [2004] 2 A.C. 1 ... ; *Burnie Port Authority v. General Jones Pty. Ltd.* (1994), 179 C.L.R. 520, In Canada, *Rylands v. Fletcher* has gone largely unnoticed in appellate courts in recent years. However, in 1989 in *Tock*, the Supreme Court of Canada unanimously recognized *Rylands v. Fletcher* as continuing to provide a basis for liability distinct from liability for private nuisance or negligence.

[69] The language used by Mr. Justice Blackburn in *Rylands v. Fletcher* ... suggested a broad basis for the imposition of strict liability. His Lordship spoke of strict liability for any damages caused as a result of the escape from the defendant's land of something brought on to that land by the defendant, for his or her own purposes, that was likely to do damage if it escaped from the defendant's property: see, also, the comments of Lord Cranworth, at p. 340 (H.L.). Subsequent descriptions of the scope of the strict liability rule described in *Rylands v. Fletcher*, including that provided by Lord Cairns in *Rylands v. Fletcher*, at p. 339 (H.L.), describe a narrower basis for the imposition of strict liability. Lord Cairns introduced the concept of "non-natural use" of property as a precondition to the imposition of strict liability. Later cases used words like "special," "unusual" or "extraordinary" to describe the use of the property

[70] The meaning of "non-natural use" of property has vexed lawyers and judges since the phrase was penned by Lord Cairns. Its uncertainty and vagueness led the High Court of Australia to abandon the rule entirely in favour of a negligence standard that took into account the dangerous nature of the activity in issue: *Burnie Port Authority v. General Jones Pty. Ltd.*, at p. 540 C.L.R. In Canada, apart from some description of the "non-natural use" requirement found in *Tock*, appellate courts have paid no attention to the details of the rule much less the more fundamental question of the need for its continued existence. Inco does not suggest that the rule should be abrogated. It does, however, argue that it was misapplied in this case.

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[75] The trial judge's assessment of the *Rylands v. Fletcher* claim was driven by his understanding that strict liability under *Rylands v. Fletcher* was premised on the rationale that an entity who chooses to engage in potentially hazardous activity assumes the risk of any damages caused by that activity

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[79] The trial judge did not explain why he concluded that Inco's refinery operation fell within the category of "extra hazardous" activities that should attract strict liability. Nor did he explain why the nickel particle emissions posed "an abnormal risk of harm" to others' properties. The trial judge acknowledged that the nickel emissions were not *per se* dangerous. ... On the evidence, the emissions posed no health risk to anyone (except perhaps in those relatively few instances where there was a small risk of harm to health before the soil was remediated). Nor did the nickel particles cause any damage to the soil or have any effect on the claimants' ability

to use their properties. We see no evidence that Inco, in operating a refinery in accordance with the various regulatory regimes, presented an “abnormal risk” to its neighbours.

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[81] Even if strict liability for ultra-hazardous activities, either as a free-standing basis for liability or a modification of *Rylands v. Fletcher*, were part of the law in Ontario, the claimants failed to prove that Inco’s refinery constituted an “extra hazardous” activity.

[82] Returning to the merits of the strict liability theory adopted by the trial judge, we begin by distinguishing the risk that is targeted by that theory from the risk targeted by the rule in *Rylands v. Fletcher*. Strict liability under *Rylands v. Fletcher* aims not at all risks associated with carrying out an activity, but rather with the risk associated with the accidental and unintended consequences of engaging in an activity. The *Rylands v. Fletcher* cases are about floods, gas leaks, chemical spills, sewage overflows, fires and the like. They hold that where the defendant engages in certain kinds of activities, the defendant will be held strictly liable for damages that flow from mishaps or misadventures that occur in the course of that activity. The escape requirement in *Rylands v. Fletcher* connotes something unintended and speaks to the nature of the risk to which the strict liability in *Rylands v. Fletcher* attaches ...

[83] The “extra hazardous” risk-based strict liability theory employed by the trial judge holds a defendant strictly liable for all damages associated with the activity. The defendant is liable for damages even if they are not the product of any accident or misadventure, but are instead the product of the intended consequences of the activity.

[84] The two risks described above are quite different. The risk addressed in *Rylands v. Fletcher* is a more limited one, imposing strict liability for things that go wrong and produce unintended consequences that damage the property (or perhaps the person) of another. The trial judge overstated the rationale for *Rylands v. Fletcher* strict liability when he described it as applicable to damages caused by activities which create “an abnormal risk of harm.”

[85] There are, of course, policy arguments in favour of the imposition of strict liability where activities create “extra hazardous” risks. Examples of that kind of liability can be found in various statutes, such as the *Environmental Protection Act*, R.S.O. 1990, c. E.19, s. 99. The question is whether the courts, through a modification of the common law and in particular the rule in *Rylands v. Fletcher*, should impose that strict liability on all activities that are found to fit within a necessarily broad and generic description, or leave it to the various legislatures to make that decision through appropriate statutory enactments applicable to specific activities. ...

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[88] More importantly, the expansion of strict liability under the banner of *Rylands v. Fletcher* to damages flowing from all hazardous activities is inconsistent with the description of the rule in *Rylands v. Fletcher* found in *Tock*. In *Tock*, a sewage system operated by the defendant failed after an exceptionally heavy rainfall. A large amount of water flooded the plaintiff’s basement causing extensive damage. The flooding was caused by a blockage in the sewage system.

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[92] The judgment in *Tock* forecloses treating strict liability under *Rylands v. Fletcher* as referable to all “ultra hazardous” activities. As explained in *Tock*, the rule is triggered by “a user inappropriate to the place.” The appropriateness of a use depends on factors that include, but are not limited to, the risk posed by the use.

[93] There are no doubt strong arguments for imposing strict liability on certain inherently dangerous activities. In our view, however, that is fundamentally a policy decision that is best introduced by legislative action and not judicial fiat. In declining to take the bold step [of imposing liability for ultra-hazardous activities], we observe that those who engage in dangerous activities are, of course, subject to negligence actions under which the dangerousness of the activity would be reflected in the standard of care required, nuisance actions, and in ever-increasing situations, detailed and sometimes punitive statutory regimes.

[94] Having concluded there is no common law rule imposing strict liability on those whose activities are said to be “ultra hazardous” and that even if there were, Inco’s refinery was not shown to be an ultra-hazardous activity, we turn to a measure of the claim against the specific criteria that have been developed in the *Rylands v. Fletcher* case law.

[95] Inco operated a refinery on its property. The nickel emissions were part and parcel of that refinery operation and were not in any sense an independent use of the property. The use of the property to which the *Rylands v. Fletcher* inquiry must be directed is its use as a refinery. The nickel emissions are a feature or facet of the use of the property as a refinery. The question must be—was the operation of the refinery at the time and place and in the manner that it was operated a non-natural use of Inco’s property? ...

[96] The trial judge found that Inco’s use of the property was a non-natural use because it brought the nickel on to the property. If the characterization of a use as a non-natural one was ever tied solely to whether the substance was found naturally on the property, it has long since ceased to depend on the answer to that single question. It may be that something found naturally on the property cannot attract liability under *Rylands v. Fletcher*. It is not, however, the law that anything that is not found naturally on the property can be subject to strict liability under *Rylands v. Fletcher* if it escapes and causes damage. The disconnect between things found in nature on the property and the potential application of *Rylands v. Fletcher* is so complete that the House of Lords has abandoned the use of the phrase “non-natural use” as misleading in favour of the phrase “ordinary use”: *Transco plc*, at paras. 11-12.

[97] The emphasis in *Tock*, at para. 13, on a “user inappropriate to the place” and, at para. 10, to “changing patterns of existence” demonstrate that the distinction between natural and non-natural use cannot be made exclusively by reference to the origin of the substance in issue. To decide whether a use is a non-natural one, the court must have regard to the place where the use is made, the time when the use is made and the manner of the use. Planning legislation and other government regulations controlling where, when and how activities can be carried out will be relevant considerations in assessing whether a particular use is a non-natural use in the sense that it is a use that is not ordinary.

[98] The approach to non-natural user taken in *Tock* and in *Cambridge Water Co.* restricts those situations in which *Rylands v. Fletcher* applies. The non-natural use requirement of the *Rylands v. Fletcher* rule serves a similar role to the “give and take between neighbours” principle that is applied when determining whether one person’s interference with another person’s use and enjoyment of his property constitutes an actionable nuisance. Like the reasonable user inquiry in cases involving amenity nuisance, the non-natural user inquiry seeks to distinguish between those uses of property that the community as a whole should accept and tolerate and those uses where the burden associated with accidental and unintended consequences of the use should fall on the user. The nature and degree of the risk inherent in the use is obviously an important feature of this inquiry, but as *Tock* demonstrates, it is not the entire inquiry: see *Cambridge Water Co.*, at pp. 299-300 A.C.

[99] In addition to finding that Inco's use of the property was a non-natural use because it brought the nickel on to the property, the trial judge described the refinery "as bringing with it increased danger to others." He did not identify that danger. Finally, although the trial judge referred to Inco's argument that it complied with all environmental and zoning regulations, he dismissed that argument on the basis that a use could be reasonable and lawful and still not constitute a natural use.

[100] We agree that compliance with various environmental and zoning regulations is not a defence to a *Rylands v. Fletcher* claim. In our view, however, compliance is an important consideration in light of the approach to non-natural user taken in *Tock*. The trial judge appears to have dismissed entirely Inco's compliance with the relevant regulations and zoning laws once he concluded that Inco's compliance was not determinative of the *Rylands v. Fletcher* claim in Inco's favour.

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[103] Any industrial activity, and perhaps even more so a refinery, certainly carries with it the potential to do significant damage to surrounding properties if something goes awry. The claimants did not, however, in our view, demonstrate that Inco's operation of its refinery for over 60 years presented "an exceptionally dangerous or mischievous thing" or that the circumstances were "extraordinary or unusual." To the contrary, the evidence suggests that Inco operated a refinery in a heavily industrialized part of the city in a manner that was ordinary and usual and did not create risks beyond those incidental to virtually any industrial operation. In our view, the claimants failed to establish that Inco's operation of its refinery was a non-natural use of its property.

[104] Although we have accepted Inco's submission that the refinery was not a non-natural use, we would not want to be taken as agreeing with its submission that the refinery operated "for the general benefit of the community" and could not, therefore, be subject to strict liability under *Rylands v. Fletcher*: see *Rickards v. Lothian*, at p. 280 A.C. While Inco's refinery no doubt brought significant economic benefit to Port Colborne, Inco did not operate its refinery for the general benefit of the community. That phrase refers to entities, usually governmental ones, acting under statutory authority and engaged in activities that benefit the community or at least a significant segment of the community at large. The incidental benefit to the community flowing from the operation of the Inco refinery does not bring it within the phrase "for the general benefit of the community": see *Transco plc*, per Lord Bingham, at para. 11.

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[109] We will, however, make two observations that may be of assistance in future cases. First, foreseeability can refer to objective foreseeability of the escape from the defendant's land of the thing that causes damage or it can refer to objective foreseeability of the kind of damage said to have been caused. We see no reason to require foreseeability of the escape. To impose that requirement would all but merge the rule in *Rylands v. Fletcher* with liability in negligence.

[110] There are, however, compelling reasons to require foreseeability of the kind of damages alleged to have been suffered by the plaintiffs. The arguments in favour of requiring foreseeability in that sense are fully articulated by Lord Goff in *Cambridge Water Co.*, at pp. 301-306 A.C. If Lord Goff's views were applied to this case, the foreseeability of a diminution in the appreciation of the value of the claimants' properties some 15 years after the refinery closed would be a live issue.

[111] The second issue, which we will address briefly, concerns the escape component of the rule in *Rylands v. Fletcher*. That component raises two questions. First, we agree with the trial judge that *Rylands v. Fletcher* should not be limited to a single isolated escape. In some situations, the danger posed by the escape rests in the

repeated and cumulative effect of the movement of a substance from the defendant's property to the property of others. The escape may go on for months or even years and the damage may not be caused until the accumulation of the escaping substance reaches certain destinations or accumulations. Assuming the other *Rylands v. Fletcher* requirements are established, we see no reason to distinguish between a one-time escape and continuous or multiple event escapes which produce the same kind of damages: see *Cambridge Water Co.*, at p. 306 A.C.

[112] The second issue pertaining to the escape requirement arises from the nature of the risk to which strict liability under *Rylands v. Fletcher* applies. As explained earlier (see paras. 83-84, 96-97), the *Rylands v. Fletcher* paradigm involves an unnatural use of the defendant's property and some kind of mishap or accident that results in damage. The application of *Rylands v. Fletcher* to consequences that are the intended result of the activity undertaken by the defendant has been doubted ...

[113] We, too, doubt its application. It is one thing to impose strict liability for mishaps that occur in the course of the conduct of an unnatural or unusual activity. It is quite another to impose strict liability for the intended consequence of an activity that is carried out in a reasonable manner and in accordance with all applicable rules and regulations. ...

[114] With respect to the careful and thoughtful reasons of the trial judge, we hold that he erred in finding Inco liable under ... the rule in *Rylands v. Fletcher*.

III. VICARIOUS LIABILITY

JONES V HART

(1698), 90 ER 1255 (KB)

The defendant was a pawnbroker whose servant had taken in, but then lost, the plaintiff's goods. When the servant was unable to return the goods on the plaintiff's tender of money the plaintiff sued the defendant for trover.

HOLT CJ: The action well lies in this case: If the servants of A, with his cart run against another cart, wherein is a pipe of wine, and overturn the cart and spoil the wine, an action lieth against A. So where a carter's servant runs his cart over a boy, action lies against the master for the damage done by this negligence: and so it is if a smith's man pricks a horse in shoeing the master is liable. For whoever employs another, is answerable for him, and undertakes for his care to all that make use of him.

The act of a servant is the act of his master, where he acts by authority of the master.

NOTES

1. *Jones v Hart* is an old example of the common law doctrine of *respondeat superior* ("let the superior answer"). The modern formulation of this doctrine is that the employer (called the "master" in the older cases) is liable for torts committed by his or her employee (called the "servant" in the older cases) in the course of employment.

As this formulation shows, the liability has three elements. First, the employee must have committed a tort. Thus, although the employer is being held vicariously liable for the acts of the employee and is in that respect liable even in the absence of personal fault, *respondeat superior* is not a pure instance of strict liability. In the words of *Prosser and Keeton on Torts*,

5th ed (St Paul, Minn: West, 1984) at 499, “[s]ince [the employer] himself is free from all fault when he is held liable to [the plaintiff], it is in one sense a form of strict liability. In another it is not. The foundation of the action is still negligence, or other fault on the part of [the employee]; and all that the law has done is to broaden the liability for that fault by imposing it on an additional, albeit innocent, defendant.”

Second, the person committing the tort must be an employee of the defendant. Traditionally, employment was defined in terms of control: the servant was “subject to the control of the master as to the manner in which he shall do his work” (*Yewens v Noakes* (1880), 6 QBD 530 at 532 (CA)). This test of employment has been found to be difficult to apply to skilled workers and professionals, such as physicians working for hospitals, where the employer coordinates the work, but cannot plausibly be said to direct the manner in which it is executed. Accordingly, courts have more recently moved to the “organization” test, which asks in effect whether the supposed employee is a cog in the defendant’s organizational machinery. As Lord Denning put it in *Stevenson, Jordan, and Harrison v Macdonald and Evans*, [1952] 1 TLR 101 at 111, an employee is employed as part of the business, and his work is done as an integral part of the business, whereas the work of an independent contractor “although done for the business, is not integrated into it but is only accessory to it.” In *Stevens v Brodribb Sawmilling Co* (1986), 160 CLR 16 (AHC), the High Court of Australia maintained that neither the employer’s authority to control the employee nor the employee’s role in the employer’s organization are independent or decisive tests, but are rather factors that along with others (for example, the mode of remuneration, the provision and maintenance of equipment, the provision for holidays, the deduction of income tax, the right to dismiss, and the putative employee’s power to delegate) go to the characterization of the relationship as a whole: “[T]he question is whether the degree of independence overall is sufficient to establish that a person is working on his own behalf rather than acting as the servant of another ... the question is one of degree for which there is no exclusive measure.” Similarly, in *671122 Ontario Ltd v Sagaz Industries Canada Inc*, 2001 SCC 59, [2001] 2 SCR 983, Major J observed (at paras 46–48):

[T]here is no one conclusive test which can be universally applied to determine whether a person is an employee or an independent contractor. ... [W]hat must always occur is a search for the total relationship of the parties. ... The central question is whether the person who has been engaged to perform the services is performing them as a person in business on his own account. In making this determination, the level of control the employer has over the worker’s activities will always be a factor. However, other factors to consider include whether the worker provides his or her own equipment, whether the worker hires his or her own helpers, the degree of financial risk taken by the worker, the degree of responsibility for investment and management held by the worker, and the worker’s opportunity for profit in the performance of his or her tasks. ... [T]he above factors constitute a non-exhaustive list, and there is no set formula as to their application. The relative weight of each will depend on the particular facts and circumstances of the case.

Third, the tort must be committed in the course of employment. The employer is not liable if the tort was committed while the employee, in the famous words of Parke B in *Joel v Morrison* (1834), ER 1338 (Ex), was “on a frolic of his own.” However, the employer is liable if the deviation from the prescribed task can be construed merely as a detour. Moreover, the employer may be held liable even if the accident arose out of prohibited conduct. For instance, in *Canadian Pacific Railway v Lockhart*, [1942] AC 591 (PC), the employee was a carpenter who, contrary to a written policy brought to the attention of employees, used his own uninsured car to travel from one of his employer’s properties to another and negligently injured the plaintiff in the course of the trip. In affirming liability, Lord Thankerton said:

The general principles ruling a case of this type are well known, but, ultimately, each case will depend for decision on its own facts. As regards the principles their Lordships agree with the statement in *Salmond on Torts* (9th ed.), p. 95: “... A master, as opposed to the employer

of an independent contractor, is liable even for acts which he has not authorized, provided they are so connected with acts that he has authorized that they may rightly be regarded as modes—although improper modes—of doing them. ...

That the use of his own motor-car for the journey might be the more convenient means of transport for Stinson does not alter the fact that he was performing the journey for the purpose of, and as a means of execution of, the work which he was employed to do. In these cases the first consideration is the ascertainment of what the servant was employed to do. The existence of prohibitions may, or may not, be evidence of the limits of the employment. In the present case Stinson was employed to work as a carpenter and general handy-man and for that purpose he was required to go from his headquarters at West Toronto Station to other railway buildings of the Company throughout Toronto and district. The means of transport used by him on these occasions was clearly incidental to the execution of that which he was employed to do. He was not employed to drive a motor-car, but it is clear that he was entitled to use that means of transport as incidental to the execution of that which he was employed to do, provided the motor-car was insured against third party risks. If the prohibition had absolutely forbidden the servant to drive his motor-car in course of his employment, it might well have been maintained that he was employed to do carpentry work and not to drive a motor-car, and that, therefore, the driving of a motor-car was outside the scope of his employment, but it was not the acting as driver that was prohibited, but the non-insurance of the motor-car, if used as a means incidental to the execution of the work which he was employed to do. It follows that the prohibition merely limited the way in which or by means of which the servant was to execute the work which he was employed to do, and that breach of the prohibition did not exclude the liability of the master to third parties.

Another case dealing with whether the tortious act was committed in the course of employment is *Ira S Bushey v United States*, extracted below. For further consideration of the statement from *Salmond on Torts*, see *Bazley v Curry*, also extracted below.

2. The possible rationale of *respondeat superior* has been much discussed and the doctrine often criticized although it is well entrenched in the common law. The difficulty was expressed with characteristic acerbity by Oliver Wendell Holmes in "The History of Agency" (1882) 5 Harv L Rev 1 at 14:

I assume that common sense is opposed to making one man pay for another man's wrong, unless he actually has brought the wrong to pass according to the ordinary canons of legal responsibility—unless that is to say, he has induced the immediate wrongdoer to do acts of which the wrong, or, at least, wrong, was the natural consequence under the circumstances known to the defendant. ... I therefore assume that common sense is opposed to the fundamental theory of agency, although I have no doubt that the possible explanations of its various rules which I suggested at the beginning of this Essay, together with the fact that the most flagrant of them now-a-days often presents itself as a seemingly wholesome check on the indifference and negligence of great corporations, have done much to reconcile men's minds to that theory.

Similarly, Baty, *Vicarious Liability* (Oxford: Clarendon Press, 1916) at 7, writes:

"Qui facit per alium facit per se." "Respondeat superior." These are phrases which roll trippingly off the tongue. But are they more? Whatever they are, they are not arguments.

One may venture, not improperly, to characterize the modern doctrine of vicarious responsibility for the acts of others as veritable upas tree. Unknown to the classical jurisprudence of Rome, unfamiliar to the mediaeval jurisprudence of England, it has attained its luxuriant growth through carelessness and false analogy, and it cannot but operate to check enterprise and to penalize commerce. The extension of joint-stock enterprise with limited liability alone makes the consequences of the doctrine tolerable. One unjuridical institution is inelegantly cured by another. ...

In hard fact, the real reason for employer's liability is [that] the damages are taken from a deep pocket. The present is not a very propitious time for withstanding a dogma based on such a principle. But a return to simpler manners will probably bring with it a return to saner views of liability, even if it is not sooner recognized that to injure capital is to injure industry.

3. In *London Drugs Ltd v Kuehne & Nagle International Ltd*, [1992] 3 SCR 299, 97 DLR (4th) 261, La Forest J (dissenting) describes the policy concerns that he thinks underlie *respondeat superior*:

First, the vicarious liability regime allows the plaintiff to obtain compensation from someone who is financially capable of satisfying a judgment. ... The plaintiff benefits greatly from the doctrine of vicarious liability, which allows access to the deep pocket of the company, even where the company is blameless in any ordinary sense.

Second, a person, typically a corporation, who employs others to advance its own economic interest should in fairness be placed under a corresponding liability for losses incurred in the course of the enterprise. As Lord Denning noted in *Morris v. Ford Motor Co.*, [1973] 1 QB 792 (CA) at p. 798, the courts "would not find negligence so readily—or award sums of such increasing magnitude—except on the footing that the damages are to be borne, not by the man himself, but by an insurance company" through coverage purchased by the employer.

Third, the regime promotes a wide distribution of tort losses since the employer is a most suitable channel for passing them on through liability insurance and higher prices. ...

Fourth, vicarious liability is also a coherent doctrine from the perspective of deterrence. K.N.I. is in a much better situation than Vanwinkel and Brassart to adopt policies with respect to the use of cranes, the inspection of stickers and so on in order to prevent accidents of this type. Given that it will either be held liable or its customers' insurance costs will reflect its carefulness, K.N.I. has every incentive to encourage its employees to perform well on the job and to discipline those who are guilty of wrongdoing.

It is apparent that the vicarious liability regime is not merely a mechanism by which the employer guarantees the employee's primary liability. The regime responds to wider policy concerns than simply the desire to protect the plaintiff from the consequences of the possible and indeed likely incapacity of the employee to afford sufficient compensation, although obviously that concern remains of primary importance. Vicarious liability has the broader function of transferring to the enterprise itself the risks created by the activity performed by its agents.

4. In *Konradi v USA*, 919 F2d 1207 (7th Cir 1990), Posner J explained the operation of deterrence in vicarious liability as follows:

Often an employer can reduce the number of accidents caused by his employees not by being more careful—he may already be using as much care in hiring, supervising, monitoring, etc. his employees as can reasonably be demanded—but by altering the nature or extent of his operations: in a word by altering not his care but his activity. This possibility is a consideration in deciding whether to impose strict liability generally. ... The liability of an employer for torts committed by its employees—without any fault on his part—when they are acting within the scope of their employment, the liability that the law calls "*respondeat superior*," is a form of strict liability. It neither requires the plaintiff to prove fault on the part of the employer nor allows the employer to exonerate himself by proving his freedom from fault. The focus shifts from changes in care to changes in activity. For example, instead of dispatching its salesmen in cars from a central location, causing them to drive a lot and thus increasing the number of traffic accidents, a firm could open branch offices closer to its customers and have the salesmen work out of those offices. The amount of driving would be less (an activity change) and with it the number of accidents. Firms will consider these tradeoffs if they are liable for the torts of their employees committed within the scope of

their employment, even if the employer was not negligent in hiring or training or monitoring or supervising or deciding not to fire the employee who committed the tort. This liability also discourages employers from hiring judgment-proof employees, which they might otherwise have an incentive to do because a judgment-proof employee, by definition, does not have to be compensated (in the form of a higher wage) for running the risk of being sued for a tort that he commits on his employer's behalf. He runs no such risk; he is not worth suing.

If it is true that one objective of the doctrine of *respondeat superior* is to give employers an incentive to consider changes in the nature or level of their activities, then "scope of employment" can be functionally defined by reference to the likelihood that liability would induce beneficial changes in activity. It becomes apparent for example that the employer should not be made liable for a tort committed by the employee in the employee's home, for there is no plausible alteration in the activity of the employer that would substantially reduce the likelihood of such a tort.

IRA S BUSHEY V UNITED STATES

398 F2d 167 (2d Cir 1968)

FRIENDLY CJ: While the United States Coast Guard vessel *Tamara* was being overhauled in a floating drydock located in Brooklyn's Gowanus Canal, a seaman returning from shore leave late at night, in the condition for which seamen are famed, turned some wheels on the drydock wall. He thus opened valves that controlled the flooding of the tanks on one side of the drydock. Soon the ship listed, slid off the blocks and fell against the wall. Parts of the drydock sank, and the ship partially did—fortunately without loss of life or personal injury. The drydock owner sought and was granted compensation by the District Court for the Eastern District of New York in an amount to be determined, 276 F Supp. 518; the United States appeals. ...

The *Tamara* had gone into drydock on February 28, 1963; her keel rested on blocks permitting her drive shaft to be removed and repairs to be made to her hull. ... Access from shore to ship was provided by a route past the security guard at the gate, through the yard, up a ladder to the top of one drydock wall and along the wall to a gangway leading to the fantail deck, where men returning from leave reported at a quartermaster's shack.

Seaman Lane, whose prior record was unblemished, returned from shore leave a little after midnight on March 14. He had been drinking heavily; the quartermaster made mental note that he was "loose." For reasons not apparent to us or very likely to Lane, he took it into his head, while progressing along the gangway wall, to turn each of three large wheels some twenty times; unhappily, as previously stated, these wheels controlled the water intake valves. After boarding ship at 12:11 AM, Lane mumbled to an off-duty seaman that he had "turned some valves" and also muttered something about "valves" to another who was standing the engineering watch. Neither did anything; apparently Lane's condition was not such as to encourage proximity. At 12:20 AM a crew member discovered water coming into the drydock. By 12:30 AM the ship began to list, the alarm was sounded and the crew were ordered ashore. Ten minutes later the vessel and dock were listing over 20 degrees; in another ten minutes the ship slid off the blocks and fell against the drydock wall.

The Government attacks imposition of liability on the ground that Lane's acts were not within the scope of his employment. It relies heavily on s. 228(1) of the *Restatement of Agency* 2d which says that "conduct of a servant is within the scope of employment if, but only if: ... (c) it is actuated, at least in part by a purpose to serve the master." Courts have gone to considerable lengths to find such a purpose, as

witness a well-known opinion in which Judge Learned Hand concluded that a drunken boatswain who routed the plaintiff out of his bunk with a blow, saying "Get up, you big son of a bitch, and turn to," and then continued to fight, might have thought he was acting in the interest of the ship. *Nelson v. American-West African Line*, 86 F2d 730 (2d Cir. 1936), cert. denied, 300 US 665, 57 S Ct. 509, 81 L Ed. 873 (1937). It would be going too far to find such a purpose here; while Lane's return to the Tamaroa was to serve his employer, no one has suggested how he could have thought turning the wheels to be, even if—which is by no means clear—he was unaware of the consequences.

In light of the highly artificial way in which the motive test has been applied, the district judge believed himself obliged to test the doctrine's continuing vitality by referring to the larger purposes *respondeat superior* is supposed to serve. He concluded that the old formulation failed this test. We do not find his analysis so compelling, however, as to constitute a sufficient basis in itself for discarding the old doctrine. It is not at all clear, as the court below suggested, that expansion of liability in the manner here suggested will lead to a more efficient allocation of resources. As the most astute exponent of this theory has emphasized, a more efficient allocation can only be expected if there is some reason to believe that imposing a particular cost on the enterprise will lead it to consider whether steps should be taken to prevent a recurrence of the accident. Calabresi, *The Decision for Accidents: An Approach to Non-fault Allocation of Costs*, 78 *Harv. L. Rev.* 713, 725-34 (1965). And the suggestion that imposition of liability here will lead to more intensive screening of employees rests on highly questionable premises, see Comment, *Assessment of Punitive Damages Against an Entrepreneur for the Malicious Torts of His Employees*, 70 *Yale LJ* 1296, 1301-04 (1961). The unsatisfactory quality of the allocation of resource rationale is especially striking on the facts of this case. It could well be that application of the traditional rule might induce drydock owners, prodded by their insurance companies, to install locks on their valves to avoid similar incidents in the future, while placing the burden on shipowners is much less likely to lead to accident prevention. It is true, of course, that in many cases the plaintiff will not be in a position to insure, and so expansion of liability will, at the very least, serve *respondeat superior*'s loss spreading function. See Smith, Frolic and Detour, 23 *Colum. L. Rev.* 444, 456 (1923). But the fact that the defendant is better able to afford damages is not alone sufficient to justify legal responsibility, see Blum & Kalven, *Public Law Perspectives on a Private Law Problem* (1965), and this overarching principle must be taken into account in deciding whether to expand the reach of *respondeat superior*.

A policy analysis thus is not sufficient to justify this proposed expansion of vicarious liability. This is not surprising since *respondeat superior*, even within its traditional limits, rests not so much on policy grounds consistent with the governing principles of tort law as in a deeply rooted sentiment that a business enterprise cannot justly disclaim responsibility for accidents which may fairly be said to be characteristic of its activities. It is in this light that the inadequacy of the motive test becomes apparent. Whatever may have been the case in the past, a doctrine that would create such drastically different consequences for the actions of the drunken boatswain in *Nelson* and those of the drunken seaman here reflects a wholly unrealistic attitude toward the risks characteristically attendant upon the operation of a ship. We concur in the statement of Mr. Justice Rutledge in a case involving violence injuring a fellow-worker, in this instance in the context of workmen's compensation:

Men do not discard their personal qualities when they go to work. Into the job they carry their intelligence, skill, habits of care and rectitude. Just as inevitably

they take along also their tendencies to carelessness and camaraderie, as well as emotional make-up. In bringing men together, work brings these qualities together, causes frictions between them, creates occasions for lapses into carelessness, and for fun-making and emotional flare-up. ... These expressions of human nature are incidents inseparable from working together. They involve risks of injury and these risks are inherent in the working environment.

Hartford Accident & Indemnity Co. v. Cardillo, 72 App. DC 52, 112 F2d 11, 15, cert. denied, 310 US 649, 60 S Ct. 1100, 84 L Ed. 1415 (1940). ...

Put another way, Lane's conduct was not so "unforeseeable" as to make it unfair to charge the Government with responsibility. We agree with a leading treatise that "what is reasonably foreseeable in this context [of *respondeat superior*] ... is quite a different thing from the foreseeably unreasonable risk of harm that spells negligence. ... The foresight that should impel the prudent man to take precautions is not the same measure as that by which he should perceive the harm likely to flow from his long-run activity in spite of all reasonable precautions on his own part. The proper test here bears far more resemblance to that which limits liability for workmen's compensation than to the test for negligence. The employer should be held to expect risks, to the public also, which arise 'out of and in the course of' his employment of labor." Harper & James, *The Law of Torts* 1377-78 (1956). See also Calabresi, *Some Thoughts on Risk Distribution and the Law of Torts*, 70 *Yale LJ* 499, 544 (1961). Here it was foreseeable that crew members crossing the drydock might do damage, negligently or even intentionally, such as pushing a Bushey employee or kicking property into the water. Moreover, the proclivity of seamen to find solace for solitude by copious resort to the bottle while ashore has been noted in opinions too numerous to warrant citation. Once all this is granted, it is immaterial that Lane's precise action was not to be foreseen. ...

One can readily think of cases that fall on the other side of the line. If Lane had set fire to the bar where he had been imbibing or had caused an accident on the street while returning to the drydock, the Government would not be liable; the activities of the "enterprise" do not reach into areas where the servant does not create risks different from those attendant on the activities of the community in general.

We agree with the district judge that if the seaman "upon returning to the drydock, recognized the Bushey security guard as his wife's lover and shot him," 276 F Supp. at 530, vicarious liability would not follow; the incident would have related to the seaman's domestic life, not to his seafaring activity, cf. *Hartford Accident & Indemnity Co. v. Cardillo*, supra, 112 F2d at 17, and it would have been the most unlikely happenstance that the confrontation with the paramour occurred on a drydock rather than at the traditional spot. Here Lane had come within the closed-off area where his ship lay, cf. *McConville v. United States*, 197 F2d 680 (2 Cir. 1957), to occupy a berth to which the Government insisted he have access, cf. *Restatement, Agency* 2d, s. 267, and while his act is not readily explicable, at least it was not shown to be due entirely to facets of his personal life. The risk that seamen going and coming from the Tamaroa might cause damage to the drydock is enough to make it fair that the enterprise bear the loss. It is not a fatal objection that the rule we lay down lacks sharp contours; in the end, as Judge Andrews said in a related context, "it is all a question [of expediency,] ... of fair judgment, always keeping in mind the fact that we endeavor to make a rule in each case that will be practical and in keeping with the general understanding of mankind." *Palsgraf v. Long Island R.R. Co.*, 248 NY 339, 354-355, 162 NE 99, 104, 59 ALR 1253 (1928) (dissenting opinion). ...

Affirmed.

NOTES

1. The converse of the employer's vicarious liability for the torts of an employee is the doctrine that the employer of an independent contractor has no vicarious liability for the latter's torts. The exceptions to this doctrine are summarized in the following comment to s 409 of the *Restatement of Torts* (2nd):

409. The first departure from the old common law rule was in *Bower v. Peate*, 1 QBD 321 (1876), in which an employer was held liable when the foundation of the plaintiff's building was undermined by the contractor's excavation. Since that decision, the law has progressed by the recognition of a large number of "exceptions" to the "general rule." These exceptions are stated in 410-429. They are so numerous, and they have so far eroded the "general rule," that it can now be said to be "general" only in the sense that it is applied where no good reason is found for departing from it. As was said in *Pacific Fire Ins. Co. v. Kenny Boiler & Mfg. Co.*, 210 Minn. 500, 277 NW 226 (1937), "Indeed it would be proper to say that the rule is now primarily important as a preamble to the catalog of its exceptions."

The exceptions have developed, and have tended to be stated, very largely as particular detailed rules for particular situations, which are difficult to list completely, and few courts have attempted to state any broad principles governing them, or any very satisfactory summaries. In general, the exceptions may be said to fall into three very broad categories:

1. Negligence of the employer in selecting, instructing, or supervising the contractor.
2. Non-delegable duties of the employer, arising out of some relation toward the public or the particular plaintiff.
3. Work which is specially, peculiarly, or "inherently" dangerous.

The first of these three is not really an exception to the rule, because the person who negligently selects, instructs, or supervises an independent contractor is held directly liable for his or her own negligence rather than vicariously liable for the negligence of another. The second and third of these exceptions are well established in Canada, the United States, and England, but have been called into question in Australia. In *Stevens v Brodribb Sawmilling Co* (1986), 160 CLR 16 (AHC), the High Court of Australia held that no distinction could be drawn between acts that are ultrahazardous and those that are not, and that non-delegable duties are merely those that obtain when the defendant is so situated as to assume a particular responsibility for the safety of another that is not discharged by engaging someone (the employer's duty to provide a safe system of work is an example). Compare the Australian subsumption of *Rylands v Fletcher* under liability for negligence with respect to a non-delegable duty of care in Section II of this chapter.

2. Is a defendant who has engaged an independent contractor who is uninsured and thus unable to respond to a damage claim liable (under the first exception in note 1 above) to someone tortiously injured by the contractor? *Becker v Interstate Properties*, 569 F2d 1203 (3d Cir 1977) suggested that liability would forward the tort goals of spreading costs, minimizing losses, and assuring that an activity's risks are borne by its beneficiaries. The suggestion has not generally been followed by other courts in the United States.

3. An employer who is liable under the doctrine of *respondeat superior* has a right to indemnity from the employee. The issue of the employee's personal liability came up in *London Drugs Ltd v Kuehne & Nagle International Ltd*, [1992] 3 SCR 299, 97 DLR (4th) 261, where the employees of a warehousing operation were being sued by the owners of a stored transformer for negligently damaging the transformer when lifting it. The contract between the plaintiff and the employer limited the warehouse's liability to \$40. At issue was whether the plaintiff could recover full damages from the negligent employees on the ground that they were not parties to the contract. The majority of the court, carving out an incremental exception to the doctrine of privity of contract, held that the employees were protected by the contractual provision limiting liability if (as was the case here) the clause was expressly or

implicitly for the benefit of the employees and the employees were performing the very services provided for in the contract. The liability of the employees was therefore limited to \$40. La Forest J (dissenting) held that the employees should not be liable at all. He accordingly reviewed what he thought should be the position of the employees with regard to both indemnity claims by their employers and direct liability claims by third parties.

In my view, not only is the elimination of the possibility of the employee bearing the loss logically compatible with the vicarious liability regime, it is practically compelled by the developing logic of that regime. In our modern economy, an employee's capacity to cause loss does not bear any relation to his salary.

The employer will almost always be insured against the risk of being held liable to third parties by reason of his vicarious liability: the cost of such liability is thus internalized to the profitable activity that gives rise to it. There is no requirement for double insurance, covering both the employee and his employer against the same risk. Shifting the loss to the employee, either by permitting a customer to act against the employee or by permitting the employer to claim an indemnity against the employee, upsets the policy foundation of vicarious liability.

As for deterrence, imposing tort liability on the employee in these circumstances cannot be justified by the need to deter careless behaviour. An employee subjects himself to discipline or dismissal by a refusal to perform work as instructed by the employer. These are the real external pressures felt by an employee to perform well; the odds of an employee being held personally liable remain slight. With the onus clearly on the employer to act to reduce accident costs, the employer is free to establish contractual schemes of contribution from negligent employees as an element in the employer's campaign to reduce accidents. The amounts could be better calibrated on the extent of the employee's fault and the real deterrent effect would be greater. Given the notorious reluctance of employers to sue their employees for obvious reasons, the employer is probably likely to prefer other techniques for improving job performance.

I conclude that for three of the four policy concerns identified [fairness, loss distribution, and deterrence,] the elimination of employee liability in the context of this case would either lead to the concern being better met or would have negligible impact. The critical policy concern that would be raised by the elimination of the employee's liability in this case is related to compensation. Obviously, removing a potential defendant from the equation will reduce to some degree the plaintiff's chances of being compensated for its loss.

In this regard, it should first be noted that in the vast majority of cases, eliminating the possibility of shifting the loss to the employee will have no impact on the plaintiff's compensation. The plaintiff will naturally prefer to sue the employer whenever possible. Under current law, the plaintiff may wish to join one or more employees as parties to the action in order to obtain the possibility of additional discovery (provided it does not constitute an abuse of process), but in the ordinary case, the plaintiff will not look to the employee for recovery. The principal defensive weapon of employees is, of course, their impecuniousness. ...

Nonetheless, for one reason or another, the employer may not be available as a source of compensation.

However, the policy arguments set out above strongly support the idea that, *as between the employee and employer*, the employer should still bear the risk. ... The best solution ... would probably be an indemnity regime operating between employer and employee along the lines of that which exists, as a result of judicial innovation, in Germany. ...

A ... German case ... thus sets forth in forceful terms the economic trends that make this evolution desirable ... :

[D]amage done by an employee without intention or gross negligence while engaged on a dangerous job is one of the employer's business risks and must be borne by him alone. To allot damage done by the employee to the risks of the business, in the absence of gross negligence, is justified by the fact that it is the division of labour

within the business which exposes the employee to the risks specific to his work. Division of labour and organizational structure are matters for the employer whose ownership and power of management enable him to determine how the work of the business is to be organized. The employee, on the other hand, given his subordinate position, has little or no influence on these factors which are relevant to the damage caused. Since the employer is better able to deploy technical and organizational measures to reduce the special risks of the business and to take out any necessary insurance, it is right to treat damage as a risk of the business to be borne by him alone unless it is due to the intentional or grossly negligent conduct of the employee. Another consideration is that without such division of labour the employer himself would have to perform the dangerous job and would then have to bear the cost of damage due to the negligence which is occasionally bound to occur; an instance would be the small hauler who himself takes the wheel of a truck, perhaps his only truck, and so causes damage. Division of labour within a business should not enable the business to put such risk of liability on the employee. *Furthermore the extent of harm is greatly dependent on the way the business is equipped and run. In almost all sectors of the economy technological development involves the replacement of personnel by expensive machinery and other technical equipment which increases the risk of liability. As such rationalization also reduces the employer's expenditure on wages, it is right that he should bear the risk of the increased harm which is due to the conduct of an employee which is neither intentional nor grossly negligent. ...* (Emphasis added.)

The trends identified by the German court are long-term trends common to all advanced industrial economies and I find these arguments very persuasive. Establishing such an indemnity regime is probably the next logical step in the development of the theory of vicarious liability. This would essentially involve bringing legal doctrine into line with the reality of modern industrial relations. ... I propose to rest my decision on narrower grounds, linked to the contractual context in which this case occurs. ...

Wherever there is a planned transaction there are foreseeable risks—to someone's person, land, goods, or financial interests—and thus the possibility of allocating or otherwise dealing with those risks in advance. Where the risk materializes, and there is a tort claim for the loss that results, it is relevant to ask what expectations it was reasonable to have about that risk, and what planning the victim and the negligent party could have done with regard to their respective exposures to loss or liability. In short, the proper approach to the tort claim may need to be coordinated with these contractual or contract-like features of the situation. ...

In my view, where the plaintiff has suffered injury to his property pursuant to contractual relations with the company, he can be considered to have chosen to deal with a company. Company legislation typically provides for notice and publicity of the fact that a company is under a limited liability regime; customers and creditors are thereby put on notice that in ordinary circumstances they can only look to the company for the satisfaction of their claims. ...

In my view, in contracting for services to be provided by a business corporation like K.N.I. in the circumstances of the present case, London Drugs can fairly be regarded as relying upon performance by the corporation, and upon the liability of that body if the services are negligently performed.

In addition, in the context of a commercial vicarious liability claim, placing liability exclusively on the employer places liability on a party that is easily able to modify its liability by contractual stipulations.

In my view, a requirement of specific and reasonable reliance on the defendant employees is justified in this type of case. I find it to be a necessary condition for recovery in cases of employee negligence where the law provides for the possibility of compensation through recourse to the employer and where, accordingly, the plaintiff's interest in compensation for

its loss caused by the fault of another is substantially looked after. I also find it to be necessary in cases in which the defendant has no real opportunity to decline the risk. ...

It may be helpful to set out an appropriate approach to cases of this kind. The first question to be resolved is whether the tort alleged against the employee is an independent tort or a tort related to a contract between the employer and the plaintiff. In answering this question, it is legitimate to consider the scope of the contract, the nature of the employee's conduct and the nature of the plaintiff's interest. If the alleged tort is independent, the employee is liable to the plaintiff if the elements of the tort action are proved. The liability of the company to the plaintiff is determined under the ordinary rules applicable to cases of vicarious liability. If the tort is related to the contract, the next question to be resolved is whether any reliance by the plaintiff on the employee was reasonable. The question here is whether the plaintiff reasonably relied on the eventual legal responsibility of the defendants under the circumstances.

BAZLEY V CURRY

[1999] 2 SCR 534

McLACHLIN J (for the court):

I. INTRODUCTION

It is tragic but true that people working with the vulnerable sometimes abuse their positions and commit wrongs against the very people they are engaged to help. The abused person may later seek to recover damages for the wrong. But judgment against the wrongdoer may prove a hollow remedy. This raises the question of whether the organization that employed the offender should be held liable for the wrong. The law refers to such liability as "vicarious" liability. It is also known as "strict" or "no-fault" liability, because it is imposed in the absence of fault of the employer. The issue in this case is whether such liability lies for an employee's sexual abuse of children in his care.

II. FACTS

The appellant, the Children's Foundation, is a non-profit organization. It operated two residential care facilities for the treatment of emotionally troubled children between the ages of six and twelve. As substitute parent, it practised "total intervention" in all aspects of the lives of the children it cared for. The Foundation authorized its employees to act as parent figures for the children. It charged them to care for the children physically, mentally and emotionally. The employees were to do everything a parent would do, from general supervision to intimate duties like bathing and tucking in at bedtime.

The Foundation hired Mr. Curry, a pedophile, to work in its Vancouver home. The Foundation did not know he was a pedophile. It checked and was told he was a suitable employee. Into this environment, too, came the child Patrick Bazley, young and emotionally vulnerable. Curry began a seduction. Over the months, step by subtle step, bathing became sexual exploration; tucking in in a darkened room became sexual abuse.

Someone complained about Curry. The Foundation inquired and upon verifying that Curry had abused a child in one of its homes, immediately discharged him. In 1992, Curry was convicted of 19 counts of sexual abuse, two of which related to Bazley. Curry has since died.

Bazley sued the Foundation for compensation for the injury he suffered while in its care. The Foundation took the position that since it had committed no fault in hiring or supervising Curry, it was not legally responsible for what he had done. The parties stated a case to determine whether (assuming the appellant was not, in fact, negligent) the appellant was nonetheless vicariously liable for its employee's tortious conduct. The chambers judge found that it was and the Court of Appeal dismissed the appeal.

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IV. ISSUES

The issue in this appeal is whether the Foundation is vicariously liable for its employee's sexual assault of a child in its care. This poses two sub-issues:

- (1) May employers be held vicariously liable for their employees' sexual assaults on clients or persons within their care?
- (2) If so, should non-profit employers be exempted from liability?

V. ANALYSIS

A. MAY EMPLOYERS BE HELD VICARIOUSLY LIABLE FOR THEIR EMPLOYEES' SEXUAL ASSAULTS ON CLIENTS OR PERSONS WITHIN THEIR CARE?

Both parties agree that the answer to this question is governed by the *Salmond test*, which posits that employers are vicariously liable for (1) employee acts authorized by the employer; or (2) unauthorized acts so connected with authorized acts that they may be regarded as modes (albeit improper modes) of doing an authorized act. Both parties also agree that we are here concerned with the second branch of the test. They diverge, however, on what the second branch of the test means. The Foundation says that its employee's sexual assaults of Bazley were not "modes" of doing an authorized act. Bazley, on the other hand, submits that the assaults were a mode of performing authorized tasks, and that courts have often found employers vicariously liable for intentional wrongs of employees comparable to sexual assault.

The problem is that it is often difficult to distinguish between an unauthorized "mode" of performing an authorized act that attracts liability, and an entirely independent "act" that does not. Unfortunately, the test provides no criterion on which to make this distinction. In many cases, like the present one, it is possible to characterize the tortious act either as a mode of doing an authorized act (as the respondent would have us do), or as an independent act altogether (as the appellants would suggest). In such cases, how is the judge to decide between the two alternatives?

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[T]he second branch of the *Salmond* test may usefully be approached in two steps. First, a court should determine whether there are precedents which unambiguously determine on which side of the line between vicarious liability and no liability the case falls. If prior cases do not clearly suggest a solution, the next step is to determine whether vicarious liability should be imposed in light of the broader policy rationales behind strict liability. This Court has an additional duty: to provide guidance for lower tribunals. Accordingly, I will try to proceed from these first two steps to articulate a rule consistent with both the existing cases and the policy reasons for vicarious liability.

1. Previous Cases

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The relevant cases may usefully be grouped into three general categories: (1) cases based on the rationale of “furtherance of the employer’s aims”; (2) cases based on the employer’s creation of a situation of friction; and (3) the dishonest employee cases. If we can find a common thread among these three categories of cases, it may suggest how the test should be interpreted.

The cases confirming vicarious liability on the basis that the employee was acting in furtherance of the employer’s aims rely on the agency rationale implicit in the *Salmond* test. ... Because the employee was acting in furtherance of the employer’s aims, he or she is said to have “ostensible” or “implied” authority to do the unauthorized act. This rationale works well enough for torts of negligent accident. It does not suffice for intentional torts, however. It is difficult to maintain the fiction that an employee who commits an assault or theft was authorized to do so, even “ostensibly.” ... I would put the line of cases addressing the distinction between a “frolic” and a “detour” in this group.

The cases based on the employer’s creation of a situation of friction rest on the idea that if the employer’s aims or enterprise incidentally create a situation of friction that may give rise to employees committing tortious acts, an employee’s intentional misconduct can be viewed as falling within the scope of the employment and the employer is vicariously liable for ensuing harm. This rationale was used to extend vicarious liability to intentional torts like a provoked bartender’s assault on an obnoxious customer. While it does not rest on ostensible or implied authority, it builds on the logic of risk and accident inherent in the cases imposing vicarious liability on the basis that the employee was acting to further the employer’s aims. Intentional torts arising from situations of friction are like accidents in that they stem from a risk attendant on carrying out the employer’s aims. Like accidents, they occur in circumstances where such incidents can be expected to arise because of the nature of the business, and hence their ramifications appropriately form part of the cost of doing business. See, e.g., *Ryan v. Fildes*, [1938] 3 All ER 517 (KBD) (schoolteachers’ discipline); *Daniels v. Whetstone Entertainments, Ltd.*, [1962] 2 Lloyd’s Rep. 1 (CA) (dance hall “bouncer”); *Dyer v. Munday*, [1895] 1 QB 742 (CA) (furniture reposessor); *Lakatosh v. Ross* (1974), 48 DLR (3d) 694 (Man. QB) (bouncer); *Cole v. California Entertainment Ltd.*, [1989] BCJ no. 2162 (QL) (CA) (bouncer).

Neither furtherance of the employer’s aims nor creation of situations of friction, however, suffice to justify vicarious liability for employee theft or fraud, according to cases like *Lloyd v. Grace, Smith & Co.*, [1912] AC 716 (HL), and *The Queen v. Levy Brothers Co.*, [1961] SCR 189. The language of authority, whether actual or ostensible, is inappropriate for intentional, fraudulent conduct like the theft of a client’s property. A bank employee stealing a client’s money cannot be said to be furthering the bank’s aims. Nor does the logic of a situation of friction apply, unless one believes that any money-handling operation generates an inexorable temptation to steal. Nevertheless, courts considering this type of case have increasingly held employers vicariously liable, even when the employee’s conduct is antithetical to the employer’s. ...

Looking at these three general classes of cases in which employers have been held vicariously liable for employees’ unauthorized torts, one sees a progression from accidents, to accident-like intentional torts, to torts that bear no relationship to either agency-like conduct or accident. In search of a unifying principle, one asks what the three classes of cases have in common. At first glance, it may seem little. Yet with the benefit of hindsight it is possible to posit one common feature: in each case it can be said that the employer’s enterprise had created the risk that produced

the tortious act. The language of “furtherance of the employer’s aims” and the employer’s creation of “a situation of friction” may be seen as limited formulations of the concept of enterprise risk that underlies the dishonest employee cases. The common theme resides in the idea that where the employee’s conduct is closely tied to a risk that the employer’s enterprise has placed in the community, the employer may justly be held vicariously liable for the employee’s wrong. ...

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To return to the approach suggested earlier, precedent does not resolve the issue before us. We must therefore proceed to the second stage of the inquiry—a consideration of the policy reasons for vicarious liability, in the hope of discerning a principle to guide courts in future cases.

2. Policy Considerations

Vicarious liability has always been concerned with policy: Fleming, *supra*, at pp. 409 et seq. The view of early English law that a master was responsible for all the wrongs of his servants (as well as his wife’s and his children’s) represented a policy choice, however inarticulate, as to who should bear the loss of wrongdoing and how best to deter it. The narrowing of vicarious responsibility with the expansion of commerce and trade and the rise of industrialism also represented a policy choice. Indeed, it represented a compromise between two policies—the social interest in furnishing an innocent tort victim with recourse against a financially responsible defendant, and a concern not to foist undue burdens on business enterprises: Fleming, *ibid*. The expansion of vicarious liability in the 20th century from authorization-based liability to broader classes of ascription is doubtless driven by yet other policy concerns. “[V]icarious liability cannot parade as a deduction from legalistic premises, but should be frankly recognised as having its basis in a combination of policy considerations” (Fleming, at p. 410).

A focus on policy is not to diminish the importance of legal principle. It is vital that the courts attempt to articulate general legal principles to lend certainty to the law and guide future applications. However, in areas of jurisprudence where changes have been occurring in response to policy considerations, the best route to enduring principle may well lie through policy. The law of vicarious liability is just such a domain.

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... In [Fleming’s] view, two fundamental concerns underlie the imposition of vicarious liability: (1) provision of a just and practical remedy for the harm; and (2) deterrence of future harm. While different formulations of the policy interests at stake may be made (for example, loss internalization is a hybrid of the two), I believe that these two ideas usefully embrace the main policy considerations that have been advanced.

First and foremost is the concern to provide a just and practical remedy to people who suffer as a consequence of wrongs perpetrated by an employee. Fleming expresses this succinctly (at p. 410): “a person who employs others to advance his own economic interest should in fairness be placed under a corresponding liability for losses incurred in the course of the enterprise.” The idea that the person who introduces a risk incurs a duty to those who may be injured lies at the heart of tort law. As Cardozo CJ stated in *Palsgraf v. Long Island R. Co.*, 162 NE 99 (NY 1928), at p. 100, “[t]he risk reasonably to be perceived defines the duty to be obeyed, and risk imports relation; it is risk to another or to others within the range of apprehension.” This principle of fairness applies to the employment enterprise and hence to the

issue of vicarious liability. While charitable enterprises may not employ people to advance their economic interests, other factors, discussed below, make it fair that they should bear the burden of providing a just and practical remedy for wrongs perpetrated by their employees. This policy interest embraces a number of subsidiary goals. The first is the goal of effective compensation. "One of the most important social goals served by vicarious liability is victim compensation. Vicarious liability improves the chances that the victim can recover the judgment from a solvent defendant." (B. Feldthusen, "Vicarious Liability for Sexual Torts," in *Torts Tomorrow* (1998), 221, at p. 224.) Or to quote Fleming, the master is "a more promising source of recompense than his servant who is apt to be a man of straw" (p. 410).

However, effective compensation must also be fair, in the sense that it must seem just to place liability for the wrong on the employer. Vicarious liability is arguably fair in this sense. The employer puts in the community an enterprise which carries with it certain risks. When those risks materialize and cause injury to a member of the public despite the employer's reasonable efforts, it is fair that the person or organization that creates the enterprise and hence the risk should bear the loss. This accords with the notion that it is right and just that the person who creates a risk bear the loss when the risk ripens into harm. While the fairness of this proposition is capable of standing alone, it is buttressed by the fact that the employer is often in the best position to spread the losses through mechanisms like insurance and higher prices, thus minimizing the dislocative effect of the tort within society. "Vicarious liability has the broader function of transferring to the enterprise itself the risks created by the activity performed by its agents" (*London Drugs*, per La Forest J, at p. 339).

The second major policy consideration underlying vicarious liability is deterrence of future harm. Fixing the employer with responsibility for the employee's wrongful act, even where the employer is not negligent, may have a deterrent effect. Employers are often in a position to reduce accidents and intentional wrongs by efficient organization and supervision. Failure to take such measures may not suffice to establish a case of tortious negligence directly against the employer. Perhaps the harm cannot be shown to have been foreseeable under negligence law. Perhaps the employer can avail itself of the defence of compliance with the industry standard. Or perhaps the employer, while complying with the standard of reasonable care, was not as scrupulously diligent as it might feasibly have been. ...

... Beyond the narrow band of employer conduct that attracts direct liability in negligence lies a vast area where imaginative and efficient administration and supervision can reduce the risk that the employer has introduced into the community. Holding the employer vicariously liable for the wrongs of its employee may encourage the employer to take such steps, and hence, reduce the risk of future harm. A related consideration raised by Fleming is that by holding the employer liable, "the law furnishes an incentive to discipline servants guilty of wrongdoing" (p. 410).

The policy grounds supporting the imposition of vicarious liability—fair compensation and deterrence—are related. The policy consideration of deterrence is linked to the policy consideration of fair compensation based on the employer's introduction or enhancement of a risk. The introduction of the enterprise into the community with its attendant risk, in turn, implies the possibility of managing the risk to minimize the costs of the harm that may flow from it.

Policy considerations relating to the fair allocation of loss to risk-creating enterprises and the deterrence of harms tend to support the imposition of vicarious liability on employers. But, as Fleming notes, there often exists a countervailing concern. At one time the law held masters responsible for all wrongs committed by servants. Later, that policy was abandoned as too harsh in a complex commercial

society where masters might not be in a position to supervise their servants closely. Servants may commit acts, even on working premises and during working hours, which are so unconnected with the employment that it would seem unreasonable to fix an employer with responsibility for them. For example, if a man assaults his wife's lover (who coincidentally happens to be a co-worker) in the employees' lounge at work, few would argue that the employer should be held responsible. Similarly, an employer would not be liable for the harm caused by a security guard who decides to commit arson for his or her own amusement: see, e.g., *Plains Engineering Ltd. v. Barnes Security Services Ltd.* (1987), 43 CCLT 129 (Alta. QB).

On further analysis, however, this apparently negative policy consideration of when liability would be appropriate is revealed as nothing more than the absence of the twin policies of fair compensation and deterrence that justify vicarious liability. A wrong that is only coincidentally linked to the activity of the employer and duties of the employee cannot justify the imposition of vicarious liability on the employer. To impose vicarious liability on the employer for such a wrong does not respond to common sense notions of fairness. Nor does it serve to deter future harms. Because the wrong is essentially independent of the employment situation, there is little the employer could have done to prevent it. Where vicarious liability is not closely and materially related to a risk introduced or enhanced by the employer, it serves no deterrent purpose, and relegates the employer to the status of an involuntary insurer. I conclude that a meaningful articulation of when vicarious liability should follow in new situations ought to be animated by the twin policy goals of fair compensation and deterrence that underlie the doctrine, rather than by artificial or semantic distinctions.

3. From Precedent and Policy to Principle

Underlying the cases holding employers vicariously liable for the unauthorized acts of employees is the idea that employers may justly be held liable where the act falls within the ambit of the risk that the employer's enterprise creates or exacerbates. Similarly, the policy purposes underlying the imposition of vicarious liability on employers are served only where the wrong is so connected with the employment that it can be said that the employer has introduced the risk of the wrong (and is thereby fairly and usefully charged with its management and minimization). The question in each case is whether there is a connection or nexus between the employment enterprise and that wrong that justifies imposition of vicarious liability on the employer for the wrong, in terms of fair allocation of the consequences of the risk and/or deterrence.

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The connection between the tort and the employment is broad. To say the employer's enterprise created or materially enhanced the risk of the tortious act is therefore different from saying that a reasonable employer should have foreseen the harm in the traditional negligence sense, making it liable for its own negligence. As Fleming explains (*supra*, at p. 422):

Perhaps inevitably, the familiar notion of foreseeability can here be seen once more lurking in the background, as undoubtedly one of the many relevant factors is the question of whether the unauthorised act was a normal or expected incident of the employment. But one must not confuse the relevance of foreseeability in this sense with its usual function on a negligence issue. We are not here concerned with attributing fault to the master for failing to provide against foreseeable harm (for example in consequence of employing an incompetent servant), but with the

measure of risks that may fairly be regarded as typical of the enterprise in question. *The inquiry is directed not at foreseeability of risks from specific conduct, but at foreseeability of the broad risks incident to a whole enterprise.* (Emphasis added [by McLachlin CJ].)

On the other hand, this analysis's focus on what might be called "general cause," while broader than specific foreseeability, in no way implies a simple "but-for" test: but for the enterprise and employment, this harm would not have happened. This is because reduced to formalistic premises, any employment can be seen to provide the causation of an employee's tort. Therefore, "mere opportunity" to commit a tort, in the common "but-for" understanding of that phrase, does not suffice: *Morris v. C.W. Martin & Sons Ltd.*, [1966] 1 QB 716 (CA) (per Diplock LJ). The enterprise and employment must not only provide the locale or the bare opportunity for the employee to commit his or her wrong, it must *materially* enhance the risk, in the sense of significantly contributing to it, before it is fair to hold the employer vicariously liable. Of course, opportunity to commit a tort can be "mere" or significant. Consequently, the emphasis must be on the strength of the causal link between the opportunity and the wrongful act, and not blanket catch-phrases. When the opportunity is nothing more than a but-for predicate, it provides no anchor for liability. When it plays a more specific role—for example, as permitting a peculiarly custody-based tort like embezzlement or child abuse—the opportunity provided by the employment situation becomes much more salient.

Reviewing the jurisprudence, and considering the policy issues involved, I conclude that in determining whether an employer is vicariously liable for an employee's unauthorized, intentional wrong in cases where precedent is inconclusive, courts should be guided by the following principles:

- (1) They should openly confront the question of whether liability should lie against the employer, rather than obscuring the decision beneath semantic discussions of "scope of employment" and "mode of conduct."
- (2) The fundamental question is whether the wrongful act is sufficiently related to conduct authorized by the employer to justify the imposition of vicarious liability. Vicarious liability is generally appropriate where there is a significant connection between the creation or enhancement of a risk and the wrong that accrues therefrom, even if unrelated to the employer's desires. Where this is so, vicarious liability will serve the policy considerations of provision of an adequate and just remedy and deterrence. Incidental connections to the employment enterprise, like time and place (without more), will not suffice. Once engaged in a particular business, it is fair that an employer be made to pay the generally foreseeable costs of that business. In contrast, to impose liability for costs unrelated to the risk would effectively make the employer an involuntary insurer.
- (3) In determining the sufficiency of the connection between the employer's creation or enhancement of the risk and the wrong complained of, subsidiary factors may be considered. These may vary with the nature of the case. When related to intentional torts, the relevant factors may include, but are not limited to, the following:
 - (a) the opportunity that the enterprise afforded the employee to abuse his or her power;
 - (b) the extent to which the wrongful act may have furthered the employer's aims (and hence be more likely to have been committed by the employee);

- (c) the extent to which the wrongful act was related to friction, confrontation or intimacy inherent in the employer's enterprise;
- (d) the extent of power conferred on the employee in relation to the victim;
- (e) the vulnerability of potential victims to wrongful exercise of the employee's power.

Applying these general considerations to sexual abuse by employees, there must be a strong connection between what the employer was asking the employee to do (the risk created by the employer's enterprise) and the wrongful act. It must be possible to say that the employer significantly increased the risk of the harm by putting the employee in his or her position and requiring him to perform the assigned tasks. The policy considerations that justify imposition of vicarious liability for an employee's sexual misconduct are unlikely to be satisfied by incidental considerations of time and place. For example, an incidental or random attack by an employee that merely happens to take place on the employer's premises during working hours will scarcely justify holding the employer liable. Such an attack is unlikely to be related to the business the employer is conducting or what the employee was asked to do and, hence, to any risk that was created. Nor is the imposition of liability likely to have a significant deterrent effect; short of closing the premises or discharging all employees, little can be done to avoid the random wrong. Nor is foreseeability of harm used in negligence law the test. What is required is a material increase in the risk as a consequence of the employer's enterprise and the duties he entrusted to the employee, mindful of the policies behind vicarious liability.

What factors are relevant to whether an employer's enterprise has introduced or significantly exacerbated a risk of sexual abuse by an employee? (Again, I speak generally, supplementing the factors suggested above.) It is obvious that the risk of an employee sexually abusing a child may be materially enhanced by giving the employee an opportunity to commit the abuse. There are many kinds of opportunity and the nature of the opportunity in a particular case must be carefully evaluated in determining whether it has, in fact, materially increased the risk of the harm that ensued. If an employee is permitted or required to be with children for brief periods of time, there may be a small risk of such harm—perhaps not much greater than if the employee were a stranger. If an employee is permitted or required to be alone with a child for extended periods of time, the opportunity for abuse may be greater. If in addition to being permitted to be alone with a child for extended periods, the employee is expected to supervise the child in intimate activities like bathing or toileting, the opportunity for abuse becomes greater still. As the opportunity for abuse becomes greater, so the risk of harm increases.

The risk of harm may also be enhanced by the nature of the relationship the employment establishes between the employee and the child. Employment that puts the employee in a position of intimacy and power over the child (i.e., a parent-like, role-model relationship) may enhance the risk of the employee feeling that he or she is able to take advantage of the child and the child submitting without effective complaint. The more the employer encourages the employee to stand in a position of respect and suggests that the child should emulate and obey the employee, the more the risk may be enhanced. In other words, the more an enterprise requires the exercise of power or authority for its successful operation, the more materially likely it is that an abuse of that power relationship can be fairly ascribed to the employer. ...

Other factors may be important too, depending on the nature of the case. To require or permit an employee to touch the client in intimate body zones may enhance the risk of sexual touching, just as permitting an employee to handle large

sums of money may enhance the risk of embezzlement or conversion. This is the common sense core of the “mode of conduct” argument accepted by the trial judge in this case. (The same factor might of course be analyzed in terms of enhanced opportunity.) Time and place arguments may also be relevant in particular cases. The mere fact that the wrong occurred during working hours or on the jobsite may not, standing alone, be of much importance; the assessment of material increase in risk cannot be resolved by the mechanical application of spatial and temporal factors. This said, spatial and temporal factors may tend to *negate* the suggestion of materially enhanced risk of harm, insofar as they suggest that the conduct was essentially unrelated to the employment and any enhanced risk it may have created (for example, the employee’s tort occurred offsite and after hours). The policy considerations of fair compensation and deterrence upon which vicarious liability is premised may be attenuated or completely eliminated in such circumstances.

In summary, the test for vicarious liability for an employee’s sexual abuse of a client should focus on whether the employer’s enterprise and empowerment of the employee materially increased the risk of the sexual assault and hence the harm. The test must not be applied mechanically, but with a sensitive view to the policy considerations that justify the imposition of vicarious liability—fair and efficient compensation for wrong and deterrence. This requires trial judges to investigate the employee’s specific duties and determine whether they gave rise to special opportunities for wrongdoing. Because of the peculiar exercises of power and trust that pervade cases such as child abuse, special attention should be paid to the existence of a power or dependency relationship, which on its own often creates a considerable risk of wrongdoing.

B. SHOULD THERE BE AN EXEMPTION FOR NON-PROFIT ORGANIZATIONS?

In the alternative, the Foundation submits that even if vicarious liability should presumptively attach for Curry’s torts, this Court should exempt non-profit organizations. None of the judges below accepted this suggestion. Nor would I.

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The first submission is that it is unfair to fix liability without fault on non-profit organizations performing needed services on behalf of the community as a whole. It is difficult not to be sympathetic to this plea. Churches and aid societies undertake to care for society’s most needy. They do work few others would, and they do it in a selfless, generous manner. In the case at bar, the Children’s Foundation took in the respondent when no one else seemed ready or able to do so and undertook the difficult task of providing him with the love and guidance that other children receive from their parents. ...

There is, however, another perspective to be considered—that of the innocent child who was the victim of the abuse. From his perspective, the appellant’s institution, however meritorious, put him in the intimate care of Mr. Curry and in a very real sense enhanced the risk of his being abused. From his perspective, it is fair that as between him and the institution that enhanced the risk, the institution should bear legal responsibility for his abuse and the harm that befell him. It may also deter other incidents of sexual abuse by motivating charitable organizations entrusted with the care of children to take not only such precautions as the law of negligence requires, but all possible precautions to ensure that their children are not sexually abused.

When all perspectives are considered, it is difficult to conclude that the fact that the appellant does good work in the community without expectation of profit makes it unjust that it should be held vicariously responsible for the abuse of the respondent.

These facts, therefore, do not constitute a sound basis by themselves for exempting non-profit organizations from legal liability that would otherwise fall on them.

The second argument is that non-profit charitable organizations often work with volunteers and are thus less able than commercial enterprises to supervise what their agents do. This, it is said, diminishes the fairness of holding such organizations vicariously liable, and lessens any deterrent effect that liability might bring. This position rests on the premise that an organization's responsibility and control over its operations diminish when it employs volunteers, a premise I cannot accept. Indeed, it is not suggested that non-profit organizations do not have a duty to screen or supervise those whom they entrust with their important work. Accordingly, the same considerations of fairness and deterrence arise, whether the organization is non-profit or commercial.

The third argument, essentially a variation on the first, is that vicarious liability will put many non-profit organizations out of business or make it difficult for them to carry on their good work. It is argued that unlike commercial organizations, non-profit organizations have few means of distributing any loss they are made to assume, since they cannot increase what they charge the public and cannot easily obtain insurance for liability arising from sexual abuse. While in this case, it may be that the loss can be distributed to the public (since the province pays the Foundation for caring for children like the respondent), many non-profit organizations may have no way to obtain contribution from other sources to cover judgments against them. In sum, attaching liability to charities like the Foundation will, in the long run, *disadvantage* society.

I cannot accept this contention. It is based on the idea that children like the respondent must bear the cost of the harm that has been done to them so that others in society may benefit from the good work of non-profit organizations. The suggestion that the victim must remain remediless for the greater good smacks of crass and unsubstantiated utilitarianism. Indeed, it is far from clear to me that the "net" good produced by non-profit institutions justifies the price placed on the individual victim, nor that this is a fair way for society to order its resources. If, in the final analysis, the choice is between which of two faultless parties should bear the loss—the party that created the risk that materialized in the wrongdoing or the victim of the wrongdoing—I do not hesitate in my answer. Neither alternative is attractive. But given that a choice must be made, it is fairer to place the loss on the party that introduced the risk and had the better opportunity to control it.

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... I can see no basis for carving out an exception from the common law of vicarious liability for a particular class of defendants, non-profit organizations. ... The Court's task is to clarify the general legal principles that govern vicarious liability. The common law backdrop thus established, it is for the legislature to consider whether relief should be granted to limit the legal exposure of non-profit organizations to prosecution for sexual abuse.

C. APPLICATION TO THE CASE AT BAR

The appropriate inquiry in a case such as this is whether the employee's wrongful act was so closely connected to the employment relationship that the imposition of vicarious liability is justified in policy and principle. From the point of view of principle, a prime indicator is whether the employer, by carrying on its operations, created or materially enhanced the risk of the wrong that occurred, such that the policy considerations of fair recovery and deterrence are engaged. In answering this question, the court must have regard to how the employer's enterprise increased

opportunity to commit the wrong, and how it fostered power-dependency relationships that materially enhanced the risk of the harm. There is no special rule for non-profit corporations.

Applying these considerations to the facts in the case at bar, the Foundation is vicariously liable for the sexual misconduct of Curry. The opportunity for intimate private control and the parental relationship and power required by the terms of employment created the special environment that nurtured and brought to fruition Curry's sexual abuse. The employer's enterprise created and fostered the risk that led to the ultimate harm. The abuse was not a mere accident of time and place, but the product of the special relationship of intimacy and respect the employer fostered, as well as the special opportunities for exploitation of that relationship it furnished. Indeed, it is difficult to imagine a job with a greater risk for child sexual abuse. This is not to suggest that future cases must rise to the same level to impose vicarious liability. Fairness and the need for deterrence in this critical area of human conduct—the care of vulnerable children—suggests that as between the Foundation that created and managed the risk and the innocent victim, the Foundation should bear the loss.

NOTES

1. In *Jacobi v Griffiths*, [1999] 2 SCR 570, a companion case to *Bazley* decided on the same day, the defendant was a non-profit club whose objective was (according to its constitution) to provide behaviour guidance and to promote the health, social, educational, vocational, and character development of boys and girls. The club employed Griffiths, as program director, to organize recreational activities and the occasional outing. He was expected to develop a rapport with the club's members. The plaintiffs were a sister and brother, aged 13 and 11, respectively, who came from an unsettled home, lived close to the club, and participated in its activities. Although it was not part of Griffiths's job to entertain the members of the club off club premises or after club hours, Griffiths cultivated individual relationships with the children by drawing the children to his home. There, over a period of time, he increased the level of intimacy and eventually abused them sexually. The plaintiffs sued the club.

BINNIE J (CORY, IACOBUCCI, and MAJOR JJ concurring) dismissed the action: It is important to be precise about the characteristics of the particular enterprise at issue in this appeal. The Club provided the employee with an opportunity to meet children, as does any organization that deals with children. The Club authorized Griffiths to develop a rapport with these children. This again is inevitable in any such enterprise. The Club offered recreation in a *public* setting (as opposed to the privacy of Griffiths's home) in group activities with *other persons* including children and volunteers whose continuing presence would have been fatal to Griffiths's personal agenda. Griffiths had no job-created authority to insinuate himself into the intimate lives of these children. Unlike *[Bazley]*, the enterprise here had only two employees and its emphasis was on developing (horizontal) relationships among the members, not (vertical) relationships to persons in authority.

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The "enterprise risk" rationale holds the employer vicariously responsible because, however innocently, it introduced the seeds of the potential problem into the community, or aggravated the risks that were already there, but only if its enterprise materially increased the risk of the harm that happened. Once materiality is established under the "strong connection" test, the imposition of no-fault liability is justified under the second phase of the analysis, as set out in *[Bazley]*, by policy considerations, including in particular: (a) compensation; and (b) deterrence.

These policy considerations have to be balanced with a measure of fairness to the employer and adherence to legal principle because standing on their own these particular policies will generally favour vicarious liability, i.e., a solvent employer will almost always be in a better position to provide effective compensation to an assault victim than the assailant, and the higher the likelihood of financial liability on the employer, generally speaking, the more potent the deterrent. These pro-liability policies have therefore been restrained historically by a recognition that competing social objectives also have to be weighed in the balance. ...

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The key to this case, in my view, is that the Club's "enterprise" was to offer group recreational activities for children to be enjoyed in the presence of volunteers and other members. The opportunity that the Club afforded Griffiths to abuse whatever power he may have had was slight. The sexual abuse only became possible when Griffiths managed to subvert the public nature of the activities. The success of his agenda of personal gratification, which ultimately progressed to sex acts, depended on his success in isolating the victims from the group. The progress from the Club's program to the sexual assaults was a chain with multiple links, none of which could be characterized as an inevitable or natural "outgrowth" of its predecessor:

- 1) The Club provided Griffiths with the opportunity to work with children.
- 2) While it was undoubtedly part of Griffiths's job to develop a positive rapport with the children, the relationship envisaged by the Club had no element of intimacy comparable to the situation in *[Bazley]*.
- 3) While Griffiths might come into occasional physical contact with children by reason of his job, e.g., steadying a child on a piece of gym equipment, the authorized "touching" had no more to do with parenting, nurture or intimacy than could be said of a normal adult reaching out to steady a child who, e.g., tripped over a carpet.
- 4) Griffiths enticed each child to his home to cultivate a one-on-one relationship. The Club activities did not require the Program Director to be alone with a child off Club premises and outside Club hours. Such a practice was explicitly prohibited after 1988.
- 5) Griffiths established his own bait of home attractions, such as video games, that had nothing to do with Club activities. It was not part of his job to entertain children at home after hours.
- 6) Unlike the situation in *[Bazley]*, the appellants' mother was a parental authority interposed between the assailant and his victims. She gave permission to the children to go to Griffiths's home. No doubt, knowing of Griffiths's job at the Club, she did not regard him as a stranger or as a threat. Nevertheless, it must have been evident to a reasonably cautious parent that Griffiths's home entertainment was not part of the Club's program.
- 7) Once the children were drawn into his home-based activities, Griffiths gradually increased the level of intimacy, initially with Randy and subsequently with Jody, in terms of banter and sexually suggestive talk. This was not only unauthorized, it was antithetical to the moral values promoted by the Club.
- 8) Eventually, when Griffiths saw his chance, he committed the assaults.

If it was the law that the provision of "opportunity" was enough to render the employer liable, then the progression from step 1 to step 8 might be seen as a series of "but-for" opportunities sufficient to impose liability. But that is not the law. I accept that "but for" the opportunity created by Griffiths's employment at the Club, it is unlikely these assaults would have occurred in the way that they did. As pointed out by McLachlin J in *[Bazley]*, however, the relevant nexus, if it exists, is between the job-related conduct at step one and Griffiths's criminal assault at step eight. It is not enough to postulate a series of steps each of which

might not have happened “but for” the previous steps. Where, as here, the chain of events constitutes independent initiatives on the part of the employee for his personal gratification, the ultimate misconduct is too remote from the employer’s enterprise to justify “no fault” liability. Direct liability would attach, of course, if the employer could be found derelict in respect of any of its own responsibilities towards these children. However, this appeal has been argued on the assumption that there is no such fault on the part of the employer.

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The Club did not confer any meaningful “power” over the appellants. They were free to walk out of the Club at any time ...

Griffiths took advantage of the opportunity the Club afforded him to make friends with the children. His manipulation of those friendships is both despicable and criminal, but whatever power Griffiths used to accomplish his criminal purpose for personal gratification was neither conferred by the Club nor was it characteristic of the type of enterprise which the respondent put into the community.

MCLACHLIN J (L’HEUREUX-DUBÉ and BASTARACHE JJ concurring) dissented: ... The ultimate focus must be on the connection between the employment and the tort, and whether the former *materially* and *significantly* enhanced or exacerbated the risk of the latter. As suggested in [*Bazley*], negating factors may come into play in making this determination. This case provides such an example. Other than the van incident, Griffiths’s assaults all took place off site (at his home) and after hours. This fact weighs against holding the Club liable for the Griffiths’s torts, buttressing the submission that Griffiths’s conduct was perverse personal frolic, wholly unrelated to the scope of his employment.

The force of that suggestion, however, is largely dissipated by two countervailing considerations. First, spatial and temporal factors such as when and where the torts occurred must be considered together with all the other relevant factors. They are not *per se* determinative. The issue of whether a sufficient connection to posit vicarious liability exists between the wrongful act and the employment involves much more than when and where the wrongful act occurred. This leads to the second countervailing consideration. To treat the torts simply as discrete incidents that occurred at Griffiths’s house ignores the careful plan of entrapment that Griffiths laid. It was his fostering of trust at the Club, flowing from the requirement of his employment that he forge bonds of intimacy and respect, that enabled him to commit his despicable acts. ...

Almost all the relevant factors suggest that Griffiths’s torts were, in fact, linked to his employment. I would therefore hold the Club vicariously liable for his conduct. The policy rationales underpinning vicarious liability—fair compensation and deterrence—support this conclusion. The Club introduced Griffiths to the community’s children and clothed him with special responsibilities and powers over those children who were most vulnerable. It created and sustained the risk that materialized. Compensation for the harm that followed may fairly be viewed as a cost of the Club’s operations. The rationales of risk distribution and deterrence support vicarious liability in these circumstances.

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I do not see the issue as a contest between fairness and liability. The goal of compensation is not simply a deep pockets rule. Fair compensation involves internalizing the cost of a risk on the appropriate party, judged not by terms of ability to pay but by introduction of the risk that led to the tort. To cast the issue in terms of “pro-liability” versus “fairness” is to posit a false dichotomy between vicarious liability and what is fair. Our ultimate goal is a rule of vicarious liability that is fair to the plaintiff, the defendant, and society.

2. The approach to vicarious liability announced in *Bazley* is well known throughout the common law world. The House of Lords commented on it in *Lister v Hesley Hall*, [2001] 2 All ER 769. In that case, the warden for a boarding house for boys with emotional and behavioural

difficulties, who was responsible for the day-to-day operations of the house and for maintaining discipline, sexually abused the residents. The victims successfully sued the warden's employers.

LORD STEYN: My Lords, I have been greatly assisted by the luminous and illuminating judgments of the Canadian Supreme Court in [*Bazley*] and [*Jacobi*]. Wherever such problems are considered in future in the common law world these judgments will be the starting point. On the other hand, it is unnecessary to express views on the full range of policy considerations examined in those decisions.

Employing the traditional methodology of English law, I am satisfied that in the case of the appeals under consideration the evidence showed that the employers entrusted the care of the children in Axeholme House to the warden. The question is whether the warden's torts were so closely connected with his employment that it would be fair and just to hold the employers vicariously liable. On the facts of the case the answer is yes. After all, the sexual abuse was inextricably interwoven with the carrying out by the warden of his duties in Axeholme House. Matters of degree arise. But the present cases clearly fall on the side of vicarious liability. ...

LORD CLYDE: ... The careful and comprehensive discussion of the problem by McLachlin J, was presented in the context of policy considerations, but the essence of the decision seems to me to lie in the recognition of the existence of a sufficient connection between the acts of the employee and the employment. This in turn was explored by reference to various factors by reference to which the strength of the connection can be established. In that case vicarious liability was held to exist. On the other hand in [*Jacobi*] vicarious liability was not established. In that case the acts, with one minor exception, took place in the employee's home outside working hours and away from the club which was the principal place of employment. That the club had provided an opportunity to establish a friendship with the children did not constitute a sufficient connection. These two decisions seem to be consistent with the traditional approach recognised in this country.

I turn finally to the facts of the present case. It appears that the care and safekeeping of the boys had been entrusted to the respondents and they in turn had entrusted their care and safekeeping, so far as the running of the boarding house was concerned, to the warden. That gave him access to the premises, but the opportunity to be at the premises would not in itself constitute a sufficient connection between his wrongful actions and his employment. In addition to the opportunity which access gave him, his position as warden and the close contact with the boys which that work involved created a sufficient connection between the acts of abuse which he committed and the work which he had been employed to do. It appears that the respondents gave the warden a quite general authority in the supervision and running of the house as well as some particular responsibilities. His general duty was to look after and to care for, among others, the appellants Given that he had a general authority in the management of the house and in the care and supervision of the boys in it, the employers should be liable for the way in which he behaved towards them in his capacity as warden of the house. The respondents should then be vicariously liable to the appellants for the injury and damage which they suffered at the hands of the warden. ...

LORD HOBHOUSE: ... I do not believe that it is appropriate to follow the lead given by the Supreme Court of Canada in [*Bazley*]. The judgments contain a useful and impressive discussion of the social and economic reasons for having a principle of vicarious liability as part of the law of tort which extends to embrace acts of child abuse. But an exposition of the policy reasons for a rule (or even a description) is not the same as defining the criteria for its application. Legal rules have to have a greater degree of clarity and definition than is provided by simply explaining the reasons for the existence of the rule and the social need for it, instructive though that may be. In English law that clarity is provided by the application of the criterion to which I have referred derived from the English authorities. ...

3. In *Mohamud v WM Morrison Supermarkets Plc*, [2016] AC 677 (UKSC), the defendant was the operator of a supermarket chain that employed Mr Khan to serve customers at the kiosk of a gas station on its premises. The claimant entered the kiosk to enquire whether it would be possible to print some documents from a USB stick that he was carrying. What happened then, according to Lord Toulson, was the following:

Mr Khan, who was behind the counter, replied by saying “We don’t do such shit.” The claimant protested at being spoken to in that manner. Using foul, racist and threatening language, Mr Khan ordered the claimant to leave. The claimant walked out of the kiosk and returned to his car by the air pump. He was followed by Mr Khan. The claimant got into his car and switched on the engine, but before he could drive off Mr Khan opened the front passenger door and told him in threatening words never to come back. The claimant told Mr Khan to get out of the car and shut the passenger door. Instead, Mr Khan punched the claimant on his left temple, causing him pain and shock. The claimant switched off the engine and got out in order to walk round and close the passenger door. At this point Mr Khan again punched him in the head, knocked him to the floor and subjected him to a serious attack, involving punches and kicks, while the claimant lay curled up on the petrol station forecourt, trying to protect his head from the blows. In carrying out the attack Mr Khan ignored instructions from his supervisor, who came on the scene at some stage and tried to stop Mr Khan from behaving as he did.

Lord Toulson, with whom the rest of the Court agreed, gave judgment for the claimant:

In the simplest terms, the court has to consider two matters. The first question is what functions or “field of activities” have been entrusted by the employer to the employee, or, in everyday language, what was the nature of his job.

Secondly, the court must decide whether there was sufficient connection between the position in which he was employed and his wrongful conduct to make it right for the employer to be held liable under the principle of social justice which goes back to Holt [in *Jones v Hart*]. To try to measure the closeness of connection, as it were, on a scale of 1 to 10, would be a forlorn exercise and, what is more, it would miss the point. The cases in which the necessary connection has been found for Holt’s principle to be applied are cases in which the employee used or misused the position entrusted to him in a way which injured the third party ...

In the present case it was Mr Khan’s job to attend to customers and to respond to their inquiries. His conduct in answering the claimant’s request in a foul mouthed way and ordering him to leave was inexcusable but within the “field of activities” assigned to him. What happened thereafter was an unbroken sequence of events. It was argued by the [defendant] and accepted by the judge that there ceased to be any significant connection between Mr Khan’s employment and his behaviour towards the claimant when he came out from behind the counter and followed the claimant onto the forecourt. I disagree for two reasons. First, I do not consider that it is right to regard him as having metaphorically taken off his uniform the moment he stepped from behind the counter. He was following up on what he had said to the claimant. It was a seamless episode. Secondly, when Mr Khan followed the claimant back to his car and opened the front passenger door, he again told the claimant in threatening words that he was never to come back to the petrol station. This was not something personal between them; it was an order to keep away from his employer’s premises, which he reinforced by violence. In giving such an order he was purporting to act about his employer’s business. It was a gross abuse of his position, but it was in connection with the business in which he was employed to serve customers. His employers entrusted him with that position and it is just that as between them and the claimant, they should be held responsible for their employee’s abuse of it.

Do you agree? How do you think this case would be decided in Canada?

BLACKWATER V PLINT
2005 SCC 58, [2005] 3 SCR 3

McLACHLIN C.J.C.:

1. INTRODUCTION

1 Are the Government of Canada and the United Church of Canada (the “Church”) liable to Aboriginal students who attended residential schools operated by them in British Columbia in the 1940s, 1950s and 1960s? If so, on what legal basis are they liable, and how should liability be apportioned between them? Finally, what damages should be awarded? These are the central questions on this appeal.

2 The appeal arises from four actions commenced in 1996 by 27 former residents of the Alberni Indian Residential School (AIRS) claiming damages for sexual abuse and other harm. The children had been taken from their families pursuant to the *Indian Act*, S.C. 1951, c. 29, and sent to the school, which had been established by the United Church’s predecessor, the Presbyterian Church of Canada, in 1891 to provide elementary and high school education to Aboriginal children whose families resided in remote locations on the west coast of Vancouver Island. The children were cut off from their families and culture and made to speak English. They were disciplined by corporal punishment. Some, like the appellant Mr. Barney, were repeatedly and brutally sexually assaulted.

3 A number of former students, including Mr. Barney, brought an action for damages for the wrongs they had suffered ...

[The experiences of Mr. Blaney in the residential school were described in the trial judgment (2001 BCSC 997, paragraphs 18-21) as follows:

Mr. Barney testified that he started at AIRS in 1962 or 1963 and that Plint’s first assault took place at the end of his second year. He says Plint took him into his office and made Barney perform oral sex on him. He described a second incident in Plint’s office where after physically beating him, Barney says Plint performed anal intercourse on him. Barney says he spent the weekend in the infirmary as a consequence. He described two other incidents in which he was forced by Plint to perform oral sex. One occurred when Plint saw he wasn’t singing in the auditorium. Barney says Plint pulled him aside, started hitting him on the head, made him perform oral sex and told him to sing. Barney asked Mr. Andrews if he could change dorms and he described what Plint had been doing to him. He says Andrews responded by strapping him, telling him he didn’t believe him and that he should stop saying bad things about the people that were taking care of him. He also says that when his mother came to the school for a visit he told her that Plint was doing bad things to him and really hurting him. Barney also saw Plint abusing another student.]

4 The trial judge found that all claims other than those of a sexual nature were statute-barred. He held a dormitory supervisor, Plint, liable to six plaintiffs for sexual assault. He ... found that Canada and the Church were jointly and vicariously liable for these wrongs. He apportioned fault 75% to Canada and 25% to the Church. The trial judge awarded Mr. Barney \$125,000 general damages and \$20,000 aggravated damages, against the Church and Canada. In addition, the trial judge awarded Mr. Barney punitive damages against Plint in the sum of \$40,000 plus a future counselling fee of \$5,000. Other plaintiffs were awarded amounts commensurate with their situations.

. . .

9 A more general issue lurks beneath the surface of a number of the specific legal issues. It concerns how claims such as this, which reach back many years, should be proved, and the role of historic and social science evidence in proving issues of liability and damages. For example, to what extent is evidence of generalized policies toward Aboriginal children relevant? Can such evidence lighten the burden of proving specific fault and damage in individual cases? I conclude that general policies and practices may provide relevant context for assessing claims for damages in cases such as this. However, government policy by itself does not create a legally actionable wrong. For that, the law requires specific wrongful acts causally connected to damage suffered. This appeal must be decided on the evidence adduced at trial and considered by the Court of Appeal.

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2. ANALYSIS

2.1 NEGLIGENCE

11 Mr. Barney argues that the trial judge erred in dismissing the claims that the Church and Canada were negligent in employing and continuing to employ various employees when they knew or ought to have known that the employees were paedophiles, in failing to take reasonable steps to prevent or stop physical and sexual assaults, in failing to investigate abuse after it was reported by the students, and in failing to exercise reasonable supervision and direction over their employees.

12 The trial judge carefully considered the law and the evidence on the issue of negligence. He found that both Canada and the Church were sufficiently proximate to the claimants to give rise to a duty of care to them. He rejected the argument that Canada was exempt from negligence on the basis that its decisions arose from policy decisions: "Here Canada is being taken to task for not only its policy of having Indian residential schools such as AIRS, but also the steps that it took or failed to take to execute that policy" (2001 decision, para. 79).

13 Having concluded that both the Church and Canada owed a duty of care to the claimants, the trial judge examined the applicable standard of care to define the extent of that duty. The question was what Canada and the Church knew or ought to have known, judged by the standards applicable at the time of the acts—the 1940s to the 1960s. In other words, was the risk of sexual assault of the children reasonably foreseeable at the time?

14 The trial judge concluded that the harm was not foreseeable on the evidence before him. There was no evidence that the possibility of sexual assault was actually brought to the attention of the people in charge of AIRS. The trial judge found that the children had not been very clear in reporting the abuse and the adults to whom they reported did not realize the children were talking about sexual abuse, an almost unthinkable idea at the time. Former employees at AIRS testified that they were ignorant of any systemic or widespread abuse at the school and the doctor who cared for the children there never suspected abuse. On the two occasions that a sexual abuse was brought to the supervisor's attention, the perpetrator was immediately fired.

15 Nor, given the standards and awareness of the time, could it be contended that they ought to have known of the risks; as the trial judge stated, "... when the evidence is examined closely, one is drawn to the conclusion that the unspeakable acts which were perpetrated on these young children were just that: at that time they were for the most part not spoken of" (2001 decision, para. 135). By contemporary standards,

the measures taken were clearly inadequate and the environment unsafe. But by the standards of the time, constructive knowledge of a foreseeable risk of sexual assault to the children was not established. As a result, the trial judge dismissed the claims of negligence against the Church and Canada.

16 Mr. Barney does not point to specific errors in the trial judge's application of the test and conclusion on standard of care. Instead he focuses on the trial judge's factual findings. In particular, he argues that the Church and Canada should have investigated why so many children were running away from AIRS and clarified the complaints of the children. This goes to the actual and constructive knowledge of the defendants, and more particularly, what steps they should have taken if they had had knowledge of sexual abuse. The trial judge addressed these matters thoroughly and sensitively in his reasons, and the Court of Appeal correctly concluded that no error in his conclusions on negligence had been demonstrated.

17 Mr. Barney's appeal on this point must be dismissed.

2.2 VICARIOUS LIABILITY

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19 I conclude that the trial judge was correct in concluding that both the Church and Canada are vicariously liable for the wrongful acts of Plint.

20 Vicarious liability may be imposed where there is a significant connection between the conduct authorized by the employer or controlling agent and the wrong. Having created or enhanced the risk of the wrongful conduct, it is appropriate that the employer or operator of the enterprise be held responsible, even though the wrongful act may be contrary to its desires: *Bazley v. Curry*, [1999] 2 S.C.R. 534 (S.C.C.). The fact that wrongful acts may occur is a cost of business. The imposition of vicarious liability in such circumstances serves the policy ends of providing an adequate remedy to people harmed by an employee and of promoting deterrence. When determining whether vicarious liability should be imposed, the court bases its decision on several factors, which include: (a) the opportunity afforded by the employer's enterprise for the employee to abuse his power; (b) the extent to which the wrongful act furthered the employer's interests; (c) the extent to which the employment situation created intimacy or other conditions conducive to the wrongful act; (d) the extent of power conferred on the employee in relation to the victim; and (e) the vulnerability of potential victims.

21 I turn first to the vicarious liability of the Church. On the documents, the Church was Plint's immediate employer. Plint was in charge of the dormitory in which Mr. Barney slept and was answerable to the Church. The trial judge considered the legal test for vicarious liability and concluded that the Church was one of Plint's employers. It employed him in furtherance of its interest in providing residential education to Aboriginal children, and gave him the control and opportunity that made it possible for him to prey on vulnerable victims. In these circumstances, the trial judge found the Church, together with Canada, to be vicariously liable for Plint's sexual assault of the children. However, the Court of Appeal concluded that because of management arrangements between the Church and Canada, the Church could not be considered Plint's employer for purposes of vicarious liability.

22 The trial judge made at least eight factual findings that support his conclusion that the Church was one of Plint's employers in every sense of the word and should be vicariously liable for the assaults.

23 First, the principal, who was responsible for hiring and supervising dormitory supervisors, was hired by the Church subject to Canada's approval as a matter of

convention (Caldwell in 1944 and Dennys in 1958) and as a matter of agreement (Andrews in 1962): 1998 decision, paras. 54-55.

24 Second, it was Principal Andrews' understanding that the Church hired and fired him. In the course of his employment, the principal communicated with both Canada and the Church on a regular basis. The Church was his direct supervisor and controlled the principal's salary: 1998 decision, para. 60. Andrews' vice-principal confirmed that he was hired by a representative of the Church: 1998 decision, para. 61.

25 Third, the Church was involved in all aspects of the operation and management of AIRS, including the ongoing supervision of the principal, the periodic inspection of the school, the hiring of Church workers directly (although it was not responsible for hiring teaching staff after 1949) and the religious education of the students: 1998 decision, para. 65. In its 1993 Brief to the Royal Commission on Aboriginal Peoples, the Church described that it was responsible for the "day-to-day atmosphere and activity" of the schools as "implementing agents": 1998 decision, para. 66. The principal controlled Plint in the conduct of his duties as dormitory supervisor.

26 Fourth, the Church managed a pension plan for lay employees, though the employer's contributions were paid by Canada: 1998 decision, para. 69.

27 Fifth, the principal's authority to dismiss employees was subject to review by the Church, and dismissed employees could appeal to the Church Advisory Committee: 1998 decision, para. 69.

28 Sixth, the Church made periodic grants to the school's operation (although the budget was funded by Canada), guaranteed the AIRS overdraft and set a limit to the school's line of credit: 1998 decision, paras. 70-71.

29 Seventh, the Church inspected the school annually and provided the Christian education at the school: 1998 decision, paras. 70-71.

30 Finally, the Church appointed an advisory committee to ensure that Church policies were being carried out at the school: 1998 decision, para. 64.

31 In summary, the trial judge adduced compelling reasons for his conclusion that the Church did in fact exert sufficient control to be found vicariously liable with Canada.

32 The Court of Appeal, in rejecting the Church's vicarious liability, relied on Canada's degree of control over AIRS, the Church's specific mandate to promote Christian education, and the difficulty of holding two defendants—Canada and the Church—vicariously liable for the same wrong. I conclude that none of these considerations negate the imposition of vicarious liability on the Church.

33 The Court of Appeal's first reason for not imposing vicarious liability on the Church is that this would be inappropriate, given the degree of control over the operations exercised by the government. In making this finding, the Court of Appeal engaged in extensive re-evaluation of the evidence to negate the trial judge's conclusion that the Church had sufficient control to attract vicarious liability. Esson J.A. emphasized that the agreement between the government and the Church did not transfer all management responsibility to the Church, and that under the agreement the Minister retained detailed control over the operation. He pointed out that Canada had taken the position before the Canada Labour Relations Board that the employees of residential schools were employees of the Crown. As for the overwhelming evidence that the Church in fact had the daily management and control of the school, including the hiring, firing and supervision of staff, Esson J.A. concluded that this did not matter, since the Church official in charge, Reverend Joblin, was the agent of Canada in providing supervision and management of what were in fact the government's schools.

34 Despite these assertions, the incontrovertible reality is that the Church played a significant role in the running of the school. It hired, fired and supervised the employees. It did so for the government of Canada, but also for its own end of promoting Christian education to Aboriginal children. The trial judge's conclusion that the Church shared a degree of control of the situation that gave rise to the wrong is not negated by the argument that as a matter of law Canada retained residual control, nor by formalistic arguments that the Church was only the agent of Canada. Canada had an important role, to be sure, which the trial judge recognized in holding it vicariously liable for 75% of the loss. But that does not negate the Church's role and the vicarious liability it created.

35 The Court of Appeal's second reason for not holding the Church vicariously liable is that Plint's employment as dormitory supervisor fell outside the only area in which the Church was mandated to make decisions—the provision of a Christian education. Again, this argument flies in the face of reality. The Church in fact ran the dormitory, as well as other parts of the school. Whether or not that fell within some formal definition of its objects is irrelevant.

36 The third reason, and the one that seems to drive the decision of the Court of Appeal on the Church's vicarious liability, is discomfort with the idea that two defendants can be vicariously liable for the same conduct.

37 This concern, however, may be misplaced. There is much to support the view of P. S. Atiyah in *Vicarious Liability in the Law of Torts*, that "[t]here is, of course, no reason why two employers should not jointly employ a servant, and this would normally be the case with the employees of a partnership. Here the servant is the servant of each partner and of all jointly, and they are all jointly and severally liable for the servant's torts": (1967), at p. 149. Thus, joint vicarious liability is acceptable where there is a partnership.

38 In this case, the trial judge specifically found a partnership between Canada and the Church, as opposed to finding that each acted independently of the other. No compelling jurisprudential reason has been adduced to justify limiting vicarious liability to only one employer, where an employee is employed by a partnership. Indeed, if an employer with *de facto* control over an employee is not liable because of an arbitrary rule requiring only one employer for vicarious liability, this would undermine the principles of fair compensation and deterrence. I conclude that the Church should be found jointly vicariously liable with Canada for the assaults, contrary to the conclusions of the Court of Appeal.

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2.5 FIDUCIARY DUTY

56 Neither the trial judge nor the Court of Appeal found breach of fiduciary duty. The appellant, Mr. Barney, asks that we reverse this decision.

57 A fiduciary duty is a trust-like duty, involving duties of loyalty and an obligation to act in a disinterested manner that puts the recipient's interest ahead of all other interests: *B. (K.L.) v. British Columbia*, [2003] 2 S.C.R. 403, 2003 SCC 51 (S.C.C.), para.49.

58 The argument for breach of fiduciary duty is presented on two different bases: one individual, one collective.

59 The first argument, put on an individual basis, is that the government of Canada and the Church occupied a trust-like relationship with attendant trust-like duties with respect to Mr. Barney and other students at the school. As such, it was required to put their interests first and avoid disloyalty in its conduct toward them.

60 Assuming such a duty did exist, the trial judge found that it was not breached in this case. He specifically found that neither the Church nor Canada were dishonest or intentionally disloyal. These findings of fact have not been negated. It follows that breach of fiduciary duty toward Mr. Barney and his schoolmates has not been established.

61 Beneath this specific argument, a second broader argument focusing on Aboriginal children collectively can be discerned. This is the argument that the system of residential schools robbed Indian children of their communities, culture and support and placed them in environments of abuse. This, it is argued, amounted to dishonest and disloyal conduct that violated the government's fiduciary duty to Canada's Aboriginal peoples.

62 This argument cannot be resolved on this appeal. It was not raised below, other than as contextual background to the circumstances and events at the school Mr. Barney attended, AIRS. It was pursued only at this level, and then mainly by interveners. In support of their argument, they submitted studies and writings, none of which were proved in evidence in the courts below and the historic and scientific validity of which the respondents have had no opportunity to challenge. In these circumstances, it would be unfair to rely on this material and inappropriate to deal with the larger argument.

63 We agree with the courts below that the argument on fiduciary duty presented in this case cannot succeed.

2.6 APPORTIONMENT OF DAMAGES

64 Having found the Church and Canada vicariously liable ... the trial judge found Canada to have been 75% at fault and the Church 25% at fault. Since he found them jointly and severally liable, the parties may recover full damages against either or both of them. However, the issue remains whether either of the parties to the joint enterprise that led to the loss is entitled to be completely or partially indemnified by the other.

65 The trial judge examined the relationship between the parties and concluded that Canada had not agreed to generally indemnify the Church for loss incurred in running the school. He then considered the allocation of fault between the two. He apportioned the loss 75% to Canada and 25% to the Church. In doing so, he noted that Canada had the final decision regarding the employment of a principal and control of finances, thus effectively controlling the school. He concluded that as the "more senior of the two partners" in the joint enterprise, Canada should bear the major portion of the loss.

66 Canada argues that this conclusion runs counter to the British Columbia *Negligence Act*, R.S.B.C. 1996, c. 333, which provides that "if ... it is not possible to establish different degrees of fault, the liability must be apportioned equally" (s. 1(2)). Canada argues that vicarious liability is not predicated on fault, and therefore liability and apportionment of damages must be divided equally, not 75-25 as the trial judge held.

67 It remains an open question whether the term "fault" in the *Negligence Act* includes vicarious liability. Fault has been held not to include intentional torts and torts other than negligence: e.g., *Cherneskey v. Armadale Publishers Ltd.*, [1974] 6 W.W.R. 162 (Sask. C.A.); *Funnell v. Canadian Pacific Railway*, [1964] 2 O.R. 325 (Ont. H.C.). Other cases hold the contrary: *Bell Canada v. Cope (Sarnia) Ltd.* (1980), 11 C.C.L.T. 170 (Ont. H.C.); *Gerling Global General Insurance Co. v. Siskind, Cromarty, Ivey & Dowler* (2004), 12 C.C.L.I. (4th) 278 (Ont. S.C.J.). However, it is not necessary to resolve this dispute. If vicarious liability amounts to "fault" under the *Negligence*

Act, the trial judge's conclusion that Canada was 75% at fault would amount to a finding that fault could be apportioned, with the result that s. 1(2) would not apply to impose an equal allocation. On the other hand, if vicarious liability is not "fault" under the Act, then the Act does not apply. In this case, liability may be assigned at common law, with the same result.

68 In these circumstances, the Church argues that the common law of contribution should apply. This Court in *Bow Valley Husky (Bermuda) Ltd. v. Saint John Shipbuilding Ltd.*, [1997] 3 S.C.R. 1210 (S.C.C.), questioned whether the common law rule against contribution was absolute. It held that a common law right of contribution between tortfeasors may exist, except for intentional torts or malicious motivation (para. 101). Vicarious liability is not founded on intent or maliciousness. ...

69 This raises the question of whether unequal apportionment of responsibility is appropriate in cases of vicarious liability. The conflicting views on whether vicarious liability attributes any fault or blame on the wrongdoer are summarized in *Bluebird Cabs Ltd. v. Guardian Insurance Co. of Canada* (1999), 173 D.L.R. (4th) 318 (B.C. C.A.) (para. 13-14). The most compelling view is that while vicarious liability is a no-fault offence in the sense that the employer need not have participated in or even have authorized the employee's particular act of wrongdoing, in another sense it implies fault. As D. N. Husak states, "no defendant who is held vicariously liable is selected randomly; the principles used to identify this defendant are not arbitrary. Vicarious liability is imposed on someone who was in a position to have supervised and thus to have prevented the occurrence of the harm": "Varieties of Strict Liability" (1995), 8 Can. J. L. & Jur. 189, at p. 215. It follows that the degree of fault may vary depending on the level of supervision. Parties may be more or less vicariously liable for an offence, depending on their level of supervision and direct contact.

70 The trial judge's reasoning suggests that he applied this analysis to conclude that one of the parties, Canada, was "more senior" and had more control (2001 decision, para. 324). He reasoned that when an employee has two or more employers, it is more likely than not that one exercises more control or plays a more important role than the other. The damage award, he concluded, should reflect that. It is true that at various places the trial judge referred to the "partnership" (1998 decision, paras. 99, 119), the "joint enterprise" (para. 107), and "joint control" (para. 114). However, I cannot accept Canada's argument that the trial judge found no hierarchical relationship between Church and Crown. He found the relationship between Canada and the Church was not that of principal-agent or employer-employee. This does not exclude one party to the joint enterprise being more senior or exercising more control. In these circumstances an unequal apportionment of responsibility is appropriate.

71 Here the trial judge found that Canada was in a better position than the Church to supervise the situation and prevent the loss. That finding was grounded in the evidence and I would not interfere with it.

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73 I would confirm that damages should be apportioned 75% to Canada and 25% to the Church.

2.7 DAMAGES: THE EFFECT OF PRIOR ABUSE

74 The calculation of damages for sexual assault to Mr. Barney is complicated by two other sources of trauma: (1) trauma suffered in his home before he came to AIRS; and (2) trauma for non-sexual abuse and deprivation at AIRS that was statute barred. In reality, all these sources of trauma fused with subsequent experiences to create the problems that have beset Mr. Barney all his life. Untangling the different sources

of damage and loss may be nigh impossible. Yet the law requires that it be done, since at law a plaintiff is entitled only to be compensated for *loss caused by the actionable wrong*. It is the “essential purpose and most basic principle of tort law” that the plaintiff be placed in the position he or she would have been in had the tort not been committed: *Athey v. Leonati*, [1996] 3 S.C.R. 458 (S.C.C.), para. 32.

75 The trial judge followed this principle and sought to exclude damages relating to trauma suffered by Mr. Barney before coming to AIRS and statute-barred wrongs. In his view, the plaintiff’s family background, his institutionalization at AIRS and the non-sexual traumas he suffered, fell to be considered as factors inherent in his position, distinct from the sexual assaults. The trial judge clearly concluded that Mr. Barney’s family life prior to AIRS, as well as other experiences at AIRS, made it likely that he would have suffered serious psychological difficulties even if the sexual abuse had never occurred.

76 Mr. Barney submits that his situation prior to entering the school and other traumas suffered while at the school must be considered in assessing damages, and that the trial judge erred in not doing so. He also argues that the principle of *ex turpi causa non oritur actio* (a person cannot profit from his own wrong) prevents the respondents from claiming that some of his problems stem not from the sexual assaults he suffered but from other statute-barred wrongs he suffered while at the school. These submissions indirectly raise some of the same generalized complaints against the residential school policy as a whole as are raised with respect to breach of fiduciary obligation.

77 For the reasons that follow, I am not persuaded that the trial judge erred in proceeding as he did.

78 It is important to distinguish between causation as the source of the loss and the rules of damage assessment in tort. The rules of causation consider generally whether “but for” the defendant’s acts, the plaintiff’s damages would have been incurred on a balance of probabilities. Even though there may be several tortious and non-tortious causes of injury, so long as the defendant’s act is a cause of the plaintiff’s damage, the defendant is fully liable for that damage. The rules of damages then consider what the original position of the plaintiff would have been. The governing principle is that the defendant need not put the plaintiff in a better position than his original position and should not compensate the plaintiff for any damages he would have suffered anyway: *Athey*. Mr. Barney’s submissions that injury from traumas other than the sexual assault should not be excluded amount to the contention that once a tortious act has been found to be a material cause of injury, the defendant becomes liable for all damages complained of after, whether or not the defendant was responsible for those damages.

79 At the same time, the defendant takes his victim as he finds him—the thin skull rule. Here the victim suffered trauma before coming to AIRS. The question then becomes: what was the effect of the sexual assault on him, in his already damaged condition? The damages are damages caused by the sexual assaults, not the prior condition. However, it is necessary to consider the prior condition to determine what loss was caused by the assaults. Therefore, to the extent that the evidence shows that the effect of the sexual assaults would have been greater because of his pre-existing injury, that pre-existing condition can be taken into account in assessing damages.

80 Where a second wrongful act or contributory negligence of the plaintiff occurs after or along with the first wrongful act, yet another scenario, sometimes called the “crumbling skull” scenario, may arise. Each tortfeasor is entitled to have the consequences of the acts of the other tortfeasor taken into account. The defendant must compensate for the damages it actually caused but need not compensate for the debilitating effects of the other wrongful act that would have occurred anyway. This

means that the damages of the tortfeasor may be reduced by reason of other contributing causes: *Athey*, at paras. 32-36.

81 All these scenarios flow from the basic principle that damages must seek to put the plaintiff in the position he or she would have been in but for the tort for which the defendant is liable.

82 The trial judge correctly apprehended the applicable legal principles. He recognized the “daunting task” of untangling multiple interlocking factors and confining damages to only those arising from the actionable torts, the sexual assaults (2001 decision, para. 365). He tried his best to award fair damages, taking all this into account. He recognized the thin skull principle, but in the absence of evidence that Mr. Barney’s family difficulties prior to coming to AIRS had exacerbated the damage he suffered from the sexual assaults he sustained at AIRS, the trial judge had no choice but to attempt to isolate those traumas. Similarly, there was no legal basis upon which he could allow damages suffered as a result of statute-barred wrongs committed at AIRS, like the beatings, to increase the award of damages.

83 More broadly, Mr. Barney relies on the maxim that none should profit from his own wrong, *ex turpi causa non oritur actio*, to argue that the respondents should not be enriched by their improper care of him. He argues that reducing his damages award because of the harm caused by placing Aboriginal children in residential schools allows the Church and Canada to profit from their own immoral and illegal conduct.

84 This argument cannot succeed, notwithstanding its instinctive appeal. First, it is not correct to view the respondents’ case as an attempt to profit from immoral and illegal conduct by reducing damages. The amount of damages is limited by loss caused by the actionable torts, in this case sexual assault. Not awarding damages for loss caused by other factors does not “reduce” damages. On the contrary, to award damages for such loss would be to “increase” them beyond what the law allows. Thus it cannot be said that the respondents are profiting from their wrong.

85 Second, the maxim *ex turpi causa non oritur actio* cannot be applied to evade legal limits or undermine the legal system. Applying it to permit damages to be awarded for wrongful acts that are subject to limitation periods that have expired would subvert the legislation and compensate for torts that have been alleged but not proven. It would be to override legislative intent and fix liability in the absence of legal proof.

86 Third, even if these difficulties could be overcome, *ex turpi causa non oritur actio* should be applied cautiously, where it is clearly mandated: *Hall v. Hebert*, [1993] 2 S.C.R. 159 (S.C.C.). Compensation for the impact of attending residential schools is fraught with controversy and difficulty. Here, as for the broad claim for collective breach of fiduciary duty, the necessary record to permit consideration of past policy wrongs is lacking.

87 I conclude that Mr. Barney’s contention that the trial judge erred in failing to properly consider wrongs other than the actionable sexual assaults in assessing damages cannot succeed.

2.8 GENERAL AND AGGRAVATED DAMAGES: QUANTUM

88 The trial judge awarded Mr. Barney \$125,000 in general damages, plus \$20,000 aggravated damages. Mr. Barney argues that these amounts should be increased to \$300,000 having regard to the awards in other cases, exacerbating factors and non-sexual brutalization suffered by him while at AIRS.

89 This ground of appeal cannot succeed. The trial judge considered the correct factors in arriving at the damages award. He emphasized the nature and frequency of the assaults and their dreadful physiological and psychological effect on the

victim. He referred to numerous decisions of a similar nature, in order to arrive at a fair figure. No basis for interfering with his award of general and aggravated damages has been made out.

2.9 PUNITIVE DAMAGES

90 The trial judge awarded punitive damages only against Plint. The appellant asks for \$25,000 of punitive damages to be awarded against Canada as well.

91 No compelling reason exists to disturb the trial judge's award. Punitive damages are awarded against a defendant only in exceptional circumstances for "high-handed, malicious, arbitrary or highly reprehensible misconduct that departs to a marked degree from ordinary standards of decent behaviour": *Whiten v. Pilot Insurance Co.*, [2002] 1 S.C.R. 595, 2002 SCC 18 (S.C.C.), para. 94. The trial judge made no finding that Canada's behaviour in this case met any of those thresholds. He correctly stated that punitive damages cannot be awarded in the absence of reprehensible conduct specifically referable to the employer. ...

92 I conclude that the contention that the punitive damage award should include Canada should be rejected.

2.10 LOSS OF FUTURE EARNING OPPORTUNITY

93 The trial judge did not order any damages for loss of future earning ability. The Court of Appeal allowed an award of \$20,000. The appellant is now asking this Court to raise the award to \$240,000.

94 The Court of Appeal held that "the trial judge overlooked the reality that [Mr. Barney's] psychological injury would, at least for a period of time in the future, foreclose for him some occupations that might otherwise be available" (para. 221). The trial judge had found that Mr. Barney was likely to have become a logger in any event, as that was the occupation of both of his brothers. The trial judge had also found that Mr. Barney was disabled from working as a logger for reasons that had nothing to do with the sexual assaults (para. 527). Finally, the trial judge had found that Mr. Barney did not have the intellectual capacity to pursue vocational or retraining programs "save for the briefest and most practically oriented" (2001 decision, para. 527).

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96 I am satisfied that no evidentiary record exists to specifically quantify any future loss of earnings and that the Court of Appeal, noting the inadequacy of the evidentiary record on this point, was correct to award a conventional amount.

NOTES

1. At the Court of Appeal, 2003 BCCA 671, the plaintiffs claimed damages for the loss of native language and culture. Esson JA:

76 All of the seven remaining plaintiffs have advanced in this court a claim for damages flowing from loss of their native language and culture as a consequence of being required to attend the residential school and by the rules and treatment to which they were subjected while there. ...

77 No such claim was advanced in the pleadings of the plaintiffs save as a particular of damage alleged to have flowed from other torts. ...

78 The manner in which the argument was framed in this court appears in this passage in the factum of Mr. Paterson ... :

42. One of the goals of the residential school system from its inception was the assimilation of aboriginal children to the majority culture.

43. As part of this policy of assimilation, the children at AIRS were punished if they spoke their own language.

44. In addition to the use of racial epithets and outright denigration of aboriginal people by the staff, the children were taught that being an aboriginal person was something to be ashamed of.

45. Some of the plaintiffs found they no longer knew, or could no longer communicate with their families when they were finally allowed to go home.

46. The Church admitted students attending the residential schools suffered the loss of their native languages and that their native spirituality was discounted and undermined by the policies and practices of the Church and Canada. The Church also agreed that loss of language and native spirituality constituted cultural abuse of the students in the school.

79 At other points, the appellants submitted that the abusive treatment of the children in residential schools, and their alienation from their parents and the native community generally, should be treated as an aggravating factor in fixing aggravated damages for the sexual abuse. That approach was presumably taken in an attempt to bring the matter of loss of language and culture within the scope of damages for sexual abuse, but it is clear that the basis for the claim is essentially an attack upon the system of residential schools and its overall effect on all students. The attempt to link that subject to sexual abuse, the only cause of action in respect of which in this province there is no limitation, is strained at best.

80 The trial judge held that all claims other than those based upon sexual abuse were statute barred. In paras. 268-275 of his reasons, he pointed out that the elapsed time from the attendance of any of the plaintiffs at AIRS to the issuance of the first writ in 1995 was beyond the thirty year ultimate limitation in the *Limitation Act*, R.S.B.C. 1979, c. 236, and that no facts which would support a finding of postponement had been pleaded or proved.

81 The appellants take no issue with that finding but, in this court, they seek to take the position that no limitation period applies to such a claim and that, to the extent the *Limitation Act* purports to have that effect, it is unconstitutional. A notice of constitutional question was filed prior to the hearing in this court.

82 In my view, it is not open to the plaintiffs to raise these issues at this stage. They say that they are not seeking to advance loss of culture and language as an independent cause of action, but that is clearly the substance of what they seek to do. That might have been done by an appropriate pleading before trial to which the defendants no doubt would have pleaded the *Limitation Act* and the plaintiffs would have responded by raising the constitutional issue. I agree with counsel for Canada that, as matters stand, this court cannot properly entertain these issues. I would dismiss this ground of appeal.

2. In 2006, the government of Canada announced the Indian Residential Schools Settlement Agreement with the approximately 86,000 Indigenous Canadians who had been in the residential school system. It was the largest class action settlement in Canadian history. The settlement established a \$2 billion compensation package. Payments to individual former students were of two kinds: a Common Experience Payment under which former students received \$10,000 per person and \$3,000 for every year spent at a residential school; and payments under an Independent Assessment Process for those who had experienced serious physical or sexual abuse. The maximum payment for abuse was \$275,000, with an additional \$250,000 for actual income loss. The settlement also allocated funds for the Truth and Reconciliation Commission that provided former students with the opportunity to share their experiences, for commemorative projects, and for the Aboriginal Healing Foundation (a not-for-profit corporation managed by Aboriginal persons that supported healing initiatives that addressed the legacy of physical and sexual abuse.)

**EB V ORDER OF THE OBLATES OF MARY IMMACULATE
IN THE PROVINCE OF BRITISH COLUMBIA**

2005 SCC 60, [2005] 3 SCR 45

BINNIE J (McLACHLIN CJC, BASTARACHE, LEBEL, DESCHAMP, FISH, and CHARON JJ concurring):

[1] The appellant attended a residential school for First Nations children run by the respondent Order of the Oblates of Mary Immaculate in the Province of British Columbia ("Oblates") on Meares Island, British Columbia. In the years 1957 to 1962, he suffered sexual abuse at the hands of a lay employee, Martin Saxey, also of First Nations origin, who worked in the school bakery and operated the school motorboat. ...

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[6] The appellant began attending the school at the age of six, on September 18, 1956. He was a student there until June of 1965. His siblings also attended the school.

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[8] At the relevant period, the educational and social functions of the school were under the direction of the respondent Oblates (including priests and lay brothers), assisted by different orders of nuns from time to time. ... While the direct care of the children and the educational functions were performed by religious personnel, the maintenance services and physical operation of the school were in the hands of First Nations staff, mostly recruited from adult relatives of the students. ...

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[10] Saxey resided upstairs in a building located on the school grounds. Some downstairs residential rooms were occupied by relatives of the appellant. The appellant testified that around 1957, when he was in his second year at the school, Saxey began luring him to his room by promising to give him candy. He said that when he went up to the room he was sexually assaulted by Saxey. He testified that for the next four or five years Saxey continued to lure him to his room with the promise of candy and performed numerous sexual assaults upon him. The appellant testified that he went with Saxey because he felt threatened. He did not at the time bring Saxey's misconduct to the attention of anyone at the school.

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[25] The Court in *Bazley* did not dispute the emphasis placed by the *Salmond* test on looking at what the employee was authorized to do, but insisted that it be placed in the larger context of the employer's enterprise and the risk that the enterprise has introduced into the community. Thus McLachlin J wrote that "[f]irst and foremost is the concern to provide a just and practical remedy" (para. 30), but to be "just" is to require that "[a] wrong that is only coincidentally linked to the activity of the employer and duties of the employee cannot justify the imposition of vicarious liability on the employer" (para. 36 (emphasis added)). ...

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[28] Therefore, the appellant is right to say that the connection has to be made between the tort and the risk created by the enterprise, but this is not the end of the matter. The nature of the "risk created by the enterprise" must be considered in relation to the wrong done by Saxey to the appellant. It therefore calls for an examination of the job-created power and duties given to Saxey, recognizing of course that those powers and duties are discharged in a particular residential school environment. ...

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[36] The trial judge acknowledged that the respondent had taken precautions to prevent improper contact between the students and the lay employees. Although

Saxey's living quarters were on a part of the grounds to which the children had access, the staff quarters were segregated from the school dormitories. Further, the appellant himself testified that the students were not allowed to enter the staff living quarters. The respondent thus imposed a degree of geographic separation. With respect to Saxey's motorboat responsibilities, school policy required a religious brother (or equivalent) to travel on the boat when boys were present. If the school can be shown to have been negligent in supervising adherence to these and similar instructions, thereby creating a risk which led directly to the commission of the sexual assaults on the appellant, that would nourish the claim in relation to direct liability. At present, however, we are dealing only with *vicarious* liability.

[37] As it stands, the evidence is that Saxey did not have authority to insinuate himself into the intimate life of the appellant or any of the other students

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[48] I therefore turn to the "five factors" listed in *Bazley* to consider in light of the precedents whether the strength of the "connection between what the employer was asking the employee to do ... and the wrongful act" (*Bazley*, at para. 42), was sufficient to impose vicarious liability:

- (1) The respondent provided Saxey with the opportunity to come into contact with the children. Opportunity will often be a question of degree. "As the opportunity for abuse becomes greater, so the risk of harm increases" (*Bazley*, at para. 43). The review of previously decided cases shows that opportunity in this case lies at the low end of significance. As put in *Bazley*, "[i]f an employee is permitted or required to be with children for brief periods of time, there may be a small risk of such harm—perhaps not much greater than if the employee were a stranger" (para. 43). Here, Saxey was not "permitted or required" to be with the children at all, apart from trips in the motorboat which were supervised by one of the religious brothers or equivalent and occasionally in the bakery.
- (2) The wrongful acts had nothing to do with furthering the respondent's aims. No one disputes that Saxey's conduct was abhorrent and in direct opposition to the Oblates' aims.
- (3) While a degree of intimacy with staff is inherent in any residential school, such intimacy did not involve Saxey, who was expected to devote himself to baking, maintenance and driving the motorboat. Saxey's duties required no significant contact with the students, and his quarters where the sexual abuse took place was located in an area off limits to students.
- (4) The respondent did not confer any power on Saxey in relation to the appellant. Despite the loose structure of the school, as discussed by the trial judge, Saxey's position was not one involving regular or meaningful contact with the students. Of course, as the trial judge pointed out, the very fact that Saxey was an adult in a children's school conferred a certain status, but to find that Saxey's status as an "adult" in the school was sufficient to attract vicarious liability would in practice cross the line into making the employer an "involuntary insurer" (*Bazley*, at para. 36).
- (5) The students in any residential school are vulnerable and require protection, but it is the nature of a residential institution rather than the power conferred by the respondent on Saxey that fed the vulnerability. In *Bazley*, at para. 42, the Court said that "[i]t must be possible to say that the employer significantly increased the risk of harm by putting the employee in his or her position and *requiring him to perform the assigned tasks*" (emphasis added; emphasis in original deleted). Such a statement cannot fairly be said of the respondent employer in this case.

In summary, the appellant did not establish “a strong connection between *what the employer was asking the employee to do ... and the wrongful act*” (*Bazley*, at para. 42 (emphasis added)). ...

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[51] [M]y view ... is that while the residential school setting and the nature of the discipline at the school clearly contributed to the vulnerability of the children to abuse, there was no finding of a “strong connection” between the particulars of Saxey’s employment and the outrages he committed by luring the appellant to his private quarters as is required by our jurisprudence. The fact that Saxey was permitted on occasion to ask children to do chores, and that children were inevitably in occasional contact with him, is not enough. The employment of Saxey as a baker, boat driver and odd-job man did not put him in a position of power, trust or intimacy with respect to the children. His job did not include regular or private contact with the children. He was not encouraged or required to develop any sort of personal relationship with the children. His role did not include supervising any intimate activities. I conclude that the Court of Appeal was correct that while the employment relationship in this case provided Saxey with the opportunity to commit the wrongful acts, his assigned role in relation to the students fell short of what is required to attract vicarious liability. An analysis of general “operational characteristics” is more properly undertaken in relation to the claim of *direct* liability.

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[57] There is no doubt that the imposition of no-fault liability here would benefit the victim and deter similar conduct in the future. Also, the notion of fairness to the not-for-profit organization remains compatible with vicarious liability, *provided that a strong connection is established between the job-conferred authority and the sexual assault*. As the analysis above demonstrates, however, the strong connection test cannot be met in this case, given Saxey’s limited role at Christie. Thus, legal principle as well as precedent supports the conclusion that vicarious liability should not be imposed in this case. Whether or not the respondent can be shown to be directly at fault in a way that contributed to Saxey’s sexual assault on the appellant is a matter that will have to be determined by the trial judge.

ABELLA J (dissenting): ...

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[71] [T]he abuse of E.B. was systematic and horrifying. The trial judge found that the victim was sexually assaulted multiple times weekly for four to five years from 1957 to 1962 while he was a resident student at Christie. The assaults consisted of partial anal penetration, fondling and masturbation. They were committed by Martin Saxey, a violent offender convicted of manslaughter who was hired by the Order of the Oblates of Mary Immaculate (“Oblates”) shortly after his release from prison.

[72] These events occurred in the context of a residential school, where children were forcibly removed and segregated from their families to facilitate the obliteration of their Aboriginal identity. Few environments could be more conducive to enhancing the vulnerability of children. See, e.g., *Report of the Royal Commission on Aboriginal Peoples*, vol. 1, *Looking Forward, Looking Back* (1996), ch. 10; R. Claes and D. Clifton, *Needs and Expectations for Redress of Victims of Abuse at Residential Schools* (1998); Law Commission of Canada, *Restoring Dignity: Responding to Child Abuse in Canadian Institutions* (2000).

[73] These are the pertinent realities which introduce the analysis in this case.

[74] The *Bazley* vicarious liability test is focused on the creation and enhancement of enterprise risk. The term used by Cohen J, “operational characteristics,” is simply another way of saying “enterprise.” It seems to me that a proper application of

this Court's vicarious liability jurisprudence, far from precluding an examination of an enterprise's operational characteristics, invites exactly this kind of scrutiny. The relevance of the five factors in *Bazley* lies in the realities of the operational workings of the enterprise under review. ...

[75] The first factor in *Bazley* is "the opportunity that the enterprise afforded the employee to abuse his or her power." Cohen J thoroughly discussed the question of opportunity and made a number of key factual findings. His first was about the high level of access Mr. Saxey was given to the children, observing:

Saxey lived in the upper floor of a building situated on that portion of the grounds of Christie to which the junior and senior boys were given free access. Directly outside his window were the swings where children played. He had unrestricted access to everywhere where children might be found playing. [para. 108] ...

[76] He also found that the school authorities permitted the students to form casual relationships with the lay staff. Not only did the children and the lay staff refer to each other by their first names, lay staff members were permitted to play with the children, including activities that involved physical contact.

[77] Finally, Cohen J found that the children were not always carefully supervised and were allowed to roam around school property, both outdoors and indoors, until bedtime. During much of this free time, no child care workers were present.

[78] Although mere opportunity is insufficient to support a finding of vicarious liability, the link between the opportunity and the tort committed in this case is particularly strong. Mr. Saxey was given quarters in the middle of the school's property, was permitted to form relationships with vulnerable children, and could not have been unaware of the lax supervision prevalent at Christie.

[79] The second *Bazley* factor is "the extent to which the wrongful act ... further[s] the employer's aims." As McLachlin J explained in *Jacobi*, sexual molestation will never be any organization's aim The absence of evidence supporting this factor, therefore, has no bearing on this case.

[80] The third *Bazley* factor is "the extent to which the wrongful act was related to friction, confrontation or intimacy inherent in the employer's enterprise." ...

[81] I agree with the trial judge that the power structure inherent in the employer's enterprise greatly increased the level of friction and confrontation, helping to create the conditions that led to the sexual assault of E.B. He found that the discipline at Christie was strict and harsh, and that order was maintained largely through fear and the threat of punishment. The students' daily life included physical and emotional violence, deprivation, belittling, and intimidation. ...

[82] He found further that the students were repeatedly told that they had to obey all staff members, including lay staff like Mr. Saxey. ...

[83] Finally, although it is unclear whether the lay staff had the same power to administer corporal punishment to the children as the religious staff, the trial judge accepted the expert testimony of Dr. Paul Janke in this regard. Dr. Janke was of the view that this was "[o]nly slightly" relevant because he "would expect a child in that setting to generalize that fear to all the adults that were dealing with him." The trial judge was entitled to accept this evidence of what a child in these circumstances would perceive. ...

[84] The fourth *Bazley* factor is "the extent of power conferred on the employee." It is under the rubric of this factor that the actual job duties and responsibilities of the employee are best assessed. Job duties are undoubtedly also connected to other *Bazley* factors, such as the "opportunity that the enterprise afforded the employee to abuse his or her power." However, in my view, Mr. Saxey's job duties and

responsibilities, and the way in which those duties and responsibilities were allocated, are most relevant to the question of how much power the Oblates gave him.

[85] The trial judge found that Mr. Saxey's employment duties, powers and responsibilities were not clearly delineated. He was variably described as a baker, a boat operator, a maintenance person, a freight worker, a garbage person, or some combination of these. The ambiguity surrounding Mr. Saxey's job duties was exacerbated by the fact that work assignments were entirely verbal.

[86] Moreover, it was the evidence of the religious staff members that Christie was the kind of place where everyone was expected to contribute to all tasks. As a number of them said, Christie was not the kind of place where staff members refused to help out because a particular task was not in their job description. Consequently, all employees were expected to help out with the supervision of the children. ...

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[88] The Court of Appeal concluded that there was an insufficient nexus between the employment duties of Mr. Saxey and the tort of sexual assault, and designated Mr. Saxey as a "modest labour[er]" (para. 56). This is in stark contradiction to the trial judge's factual findings that strongly support the existence of a strong connection and his findings that Mr. Saxey had responsibility for helping the religious staff with all school-related tasks, including child care and supervision, and a role that included supervising children on a daily basis and assigning chores to them. A July 1960 letter written by Principal Allan Noonan describes Mr. Saxey as the "main cog around here right now." The failure to strictly delineate his official duties served to increase his authority. The breadth and amorphous nature of the employment duties given to him, and the way in which those duties were allocated by the school's administration, gave him both actual and perceived power over the students.

[89] The final *Bazley* factor is "the vulnerability of potential victims to wrongful exercise of the employee's power." Cohen J found ... that, consistent with all of the official inquiries into and research on Indian residential schools, the children at Christie were profoundly vulnerable.

[90] He focused on their isolation. The children at Christie were separated from their parents for long periods of time, year after year; sisters and brothers were separated; and older siblings were separated from younger ones. The trial judge recognized that although E.B. had a number of adult relatives living at Christie, including grandparents, he was prevented from maintaining a close relationship with them. There was, as a result, no meaningful mitigation of his sense of isolation. This familial isolation was aggravated by geography. Christie, accessible only by boat and only in good weather, had no docking facilities.

[91] The vulnerability created by this geographic and personal isolation was compounded by the harsh disciplinary regime consisting of routine corporal punishment, threats of such punishment and repeated orders to obey all staff members. The result, as found by the trial judge, was children who were young, afraid, isolated, intimidated and conditioned to obey adults, especially school staff members. It is difficult to imagine a more vulnerable group of potential victims.

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[110] To gain a thorough understanding of the dynamics at work at Christie and to determine whether the Oblates materially enhanced the risk of sexual assault, the nature and operation of the enterprise had to be assessed. The trial judge did not ignore Mr. Saxey's employment duties; he reviewed them in the context of the work

environment created by the Oblates. This review led him to conclude that there was a strong connection between the job duties and job-related powers given to Mr. Saxey and the tort committed.

SUPPLEMENTARY READING

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Flannigan, "Enterprise Control: The Servant-Independent Contractor Distinction" (1987) 37 UTLJ 25.

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Giliker, "Comparative Perspectives on Vicarious Liability: Defining the Scope of Employment" in Neyers, Chamberlain & Pitel, eds, *Emerging Issues in Tort Law* (Oxford: Hart, 2007) 419.

Giliker, "Making the Right Connection: Vicarious Liability and Institutional Responsibility" (2009) 17 Torts LJ 35.

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Schwartz, "*Rylands v Fletcher*, Negligence, and Strict Liability" in Cane & Stapleton, eds, *The Law of Obligations: Essays in Celebration of John Fleming* (Oxford: Clarendon Press, 1988) 209.

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Stevens, "Non-Delegable Duties and Vicarious Liability" in Neyers, Chamberlain & Pitel, eds, *Emerging Issues in Tort Law* (Oxford: Hart, 2007) 331.

Weinrib, *The Idea of Private Law* (Cambridge, Mass: Harvard University Press, 1995) ch 7.

CHAPTER TWELVE

DAMAGES

Supplementary Reading 711

In this chapter we turn from the grounds of the defendant's liability to the assessment of the monetary damages that the defendant is obligated to pay the successful plaintiff. Just as the plaintiff is entitled to be free from being wrongly harmed by the defendant, so on the occurrence of a wrongful harm the plaintiff is entitled to have the defendant restore the plaintiff to the position in which the plaintiff would have been had the wrong not occurred. In cases of personal injury, restoration of the status quo is impossible. The best that the law can do is to make the defendant pay a sum that, to the extent possible, compensates for the harm that the plaintiff has suffered.

In 1978, the Supreme Court of Canada indicated that even in the most difficult cases of long-term personal injury, the assessment of damages is a matter of calculation and not mere impression. This calculation creates extremely difficult practical and theoretical problems: what are the kinds of items for which the defendant must compensate, how is the court to determine a present sum that will adequately compensate far into the future, and what is the effect on the tort award of the availability of insurance proceeds and other forms of compensation? These problems are the focus of this chapter.

POSNER, ECONOMIC ANALYSIS OF LAW, 2ND ED
(Boston: Little, Brown, 1977) at 144

DAMAGES FOR LOSS OF EARNING CAPACITY

A nonfatal accident may have three economic consequences for the victim. It may compel him to make outlays for medical and related expenses, impair his earning capacity, and cause pain and suffering. All three kinds of loss are economic (the first obviously so) in that they impose opportunity costs. A victim no longer able to work sustains a cost equal to the net income that he would have received for his labor. A victim who loses a finger sustains a cost that can be conceived of in various ways, including the price he would have demanded from someone who made a credible offer to purchase the finger.

Where an accident disables the victim from working for some period into the future, courts, rather than ordering the defendant to make periodic payments during the period of disability (analogous to alimony payments), order him to pay the victim a lump sum equal in value to the expected future stream of earnings. They do not make the mistake of computing the lump sum by simply multiplying the amount of

the periodic payment by the number of periods during which the victim is expected to remain disabled. This method of computation would overcompensate the victim, because at the end of the period he would have received not only an amount equal to the sum of the periodic payments, but interest on that sum, which he would not have received had payment been made periodically rather than in a lump at the outset. The lump sum should be equal to the price that the victim would have had to pay in order to purchase an annuity calculated to yield the periodic payment for the expected duration of the disability, and no more.

The payment of a lump sum is preferable to periodic payment on two economic grounds. It economizes on administrative expenses. And it avoids the disincentive effects of tying continued receipt of money to continued disability. Having received the lump sum, the victim has every incentive to overcome his disability sooner than had been estimated. A system of periodic disability payments, in contrast, would be the equivalent of a 100 percent tax on earned income.

Where the earnings lost as a result of a disabling injury would have been obtained over a long period of time into the future, both the assumptions made concerning future changes in the victim's income and the choice of the interest rate to use to discount those earnings to present value greatly affect the size of the award. The higher the interest rate, the smaller the award since it will earn more interest. At 8 percent, the present value of \$1.00 received every year for 25 years is \$10.67; at 5 percent, it would be \$14.09. Let us examine first the problem of estimating future earnings, and then the problem of choosing an appropriate discount (interest) rate.

Setting to one side the problem of determining whether the victim might have changed his or her occupation at some time, we must determine the wages likely to have been received each year between accident and retirement. The starting point for the inquiry is the wage profile by age for the occupation in question. If for example the victim was a truck driver, age 25, we would need to know the wages not only of 25-year-old truck drivers but, assuming permanent disability and retirement age of 65, those of 26 to 64-year-old truck drivers. The next step is to determine how the wages in his occupation are likely to change in the future. Many of the factors that might alter the wage level in a particular occupation are very difficult to foresee—such as changes in the demand for output of the industry in which the worker is employed or in the level of unionization in the industry. These sources of future wage change will generally have to be ignored in estimating damages. The foreseeable sources of wage change are to: (1) secularly rise in labor productivity and (2) secular inflation.

Productivity is the ratio of output to input. An increase in the productivity of labor is an increase in the amount of output per hour of labor. By reducing the employer's production costs, an increase in labor productivity enables him to pay higher wages. Rising labor productivity appears to be responsible for an average annual increase in the real (i.e., inflation-adjusted) earnings of workers of 3 percent. This would seem to be in general the appropriate figure to use in computing future real wages.

Having thus derived an estimate of the real wages that our truck driver would have earned in each year during his working life (by adjusting his current wages for life-cycle and productivity-growth effects), we must next multiply each year's estimated wages by the actuarial probability that he will still be alive that year. We could also, although, as we shall soon see, we need not, adjust our estimates of his real wages to reflect the effect on nominal wages of the inflation estimated to occur over his working life. The best estimate of long-term future inflation rates is investor expectation as reflected in interest rates on long-term riskless instruments, such as US government bonds.

To explain, an interest rate has three principal components. The first is the real cost of capital net of any risk of loss and of any expectation of inflation (or deflation). The second is a risk premium to compensate the investor for the possibility that he will never get his capital back; but this is not a factor—not a major factor, at any rate—in securities issued by the US government. The third is the inflation rate expected over the period in which the loan is outstanding. If a loan is for one year, and the purchasing power of the dollar is expected to decline by 4 percent during that year, then the lender will demand the opportunity cost of his capital plus 4 percent to compensate him for the loss in the purchasing power of his capital, even if there is no risk of default.

A reasonable estimate of the real, riskless cost of capital is 3 percent, and the current interest rate on long-term government bonds is about 7 percent. This implies that the expected long-term inflation rate is 4 percent a year which is the relevant figure when the accident victim's disability is expected to last many years. Adding the 3 percent expected annual increase in real wages due to rising productivity to the 4 percent expected annual rate of inflation yields 7 percent. The calculation of the accident victim's lost wages is then straightforward. To determine the lost wages of our 25-year-old truck driver in his thirty-fifth year, for example, we would multiply the current wages of a 35-year-old truck driver (discounted by the probability of a 25-year-old's living to 35) by 1.07, and the product of that multiplication by 1.07, and so on until we had compounded his current wages 10 times at a 7 percent rate of interest. This process would be repeated for every year of disability, and the products summed.

Having determined lost future earnings by the above methodology, we must now discount them to present value, using an appropriate discount rate. The interest rate on long-term government bonds—7 percent—seems the appropriate rate to use, for the present-value sum so computed, if used to buy an annuity from an insurance company that would invest the money in long-term government bonds, would yield, over the victim's lost working life, the precise amount of the estimated lost earnings. But notice that the result of first using an interest rate of 7 percent to raise the accident victim's current earnings to the levels expected in the future and then reducing those estimated future earnings to present value using the same 7 percent interest rate is a wash. We would end up with the same figure if we simply toted up the expected lost earnings computed on the basis of the victim's current wages adjusted only for life-cycle and mortality factors. There is thus a case—an economic case—for using this apparently naive method for the estimation of lost earnings in an accident case.

The theory of household production discussed in Chapter 5 implies that an individual's real earnings are not limited to the market income that he earns in 40 of the 168 hours in a week. A serious accident that disables a person from working in the market may also impair the productivity of his nonmarket hours, which he might have been using to produce recreation, love, or other ultimate household commodities. It has been suggested that the wage rate for second jobs ("moonlighting") might be used to estimate the opportunity costs of being disabled from productive use of hours not devoted to the production of market income. However, estimating the extent of nonmarket disability presents obvious problems; and once the inquiry is extended beyond the loss of market income, logic seems to require also considering the nonpecuniary cost savings from disability. Some portion of a person's wages are compensation for the costs (including the forgone nonpecuniary income from leisure, and any hazards or disamenities involved in the job) of working. The costs should, in principle, be subtracted in determining the worker's net loss from disability;

but the measurement problems are again acute. The law's approach is to ignore the nonpecuniary costs of work and to treat losses of nonmarket, nonpecuniary earning capacity under the rubric of "pain and suffering" (see next section).

DAMAGES FOR PAIN AND SUFFERING AND THE PROBLEM OF VALUING HUMAN LIFE

The layman's confusion ... between pecuniary loss and economic loss is at the bottom of most criticisms of the practice of awarding damages (frequently quite substantial) for pain, disfigurement, loss of mobility, and other forms of suffering inflicted by accidents. It is true that such losses, if they do not impair market earning capacity, have no pecuniary dimension. But this is not because they are not true economic losses; it is because of the absence of markets in mutilation. A cannot buy B's ears and tongue to gratify his taste for mutilating people and therefore these things do not have prices. But they have opportunity costs: B would not part from them for nothing. The attempt to affix a money value to human suffering is disagreeable. But it would also be disagreeable to increase that suffering by reducing the incentives to avoid inflicting it.

If anything, awards for pain and suffering probably undercompensate victims seriously crippled by accidents. Since the loss of vision or limbs reduces the amount of pleasure that can be purchased with a dollar, a very large amount of money will frequently be necessary to place the victim in the same position of relative satisfaction that he occupied before the accident. This factor is, of course, most pronounced in a death case. Most people would not exchange their lives for anything less than an infinite sum of money, if the exchange were to take place immediately, since they would have so little time in which to enjoy the proceeds of the sale. Yet it cannot be correct that the proper award of damages in a death case is infinite. This would imply that the optimum rate of fatal accidents was zero, or very close to it (why this qualification?), and it is plain that people are unwilling individually or collectively to incur the costs necessary to reduce the rate of fatal accidents so drastically.

ANDREWS V GRAND & TOY ALBERTA LTD

[1978] 2 SCR 229, 83 DLR (3d) 456

DICKSON J (for the court): This is a negligence action for personal injury involving a young man rendered a quadriplegic in a traffic accident for which the respondent Anderson and his employer, Grand & Toy Alberta Ltd., have been found partially liable. Leave to appeal to this Court was granted on the question whether the Appellate Division of the Supreme Court of Alberta erred in law in the assessment of damages. At trial Mr. Justice Kirby awarded \$1,022,477.48; the Appellate Division reduced that sum to \$516,544.48.

The amount awarded in each Court under each of the several heads of damages is set out below:

Pecuniary Loss

	<i>Trial</i>	<i>Appellate Division</i>
(a) Cost of Future Care		
—special equipment	\$ 14,200	\$ 14,200
—monthly amount	4,135	1,000
—contingencies	20%	30%
—capitalization rate	5%	5%
—life expectancy	45 years	45 years
	<u>\$735,594</u>	<u>\$164,200</u>
(b) Loss of Prospective Earnings		
—level of earnings	\$ 830	\$ 1,200
—basic deduction to avoid duplication between the award for future care and that part of the lost earnings that would have been spent on living expenses	440	—
Net	\$ 390	\$ 1,200
—contingencies	20%	20%
—work span	30.81	30.81
—capitalization rate	5%	5%
Total	<u>\$ 59,539</u>	<u>\$175,000</u>
<i>Non-Pecuniary Loss</i>		
—Pain and Suffering	\$150,000	\$100,000
—Loss of Amenities		
—Loss of Expectation of Life		
<i>Special Damages</i>	<u>\$ 77,344</u>	<u>\$ 77,344</u>

Liability is not an issue. The trial Judge found that the fault was entirely that of the respondents. The Appellate Division (McDermid JA dissenting on this issue) found the appellant James Andrews 25% contributorily negligent. Those findings do not arise for discussion in this appeal. Nor does the question of special damages.

This Court is called upon to establish the correct principles of law applicable in assessing damages in cases such as this where a young person has suffered wholly incapacitating injuries and faces a lifetime of dependency on others. The question of “million dollar” awards has not arisen in Canada until recently, but within the past several years four such cases have been before the Courts, namely: (i) the case at bar; (ii) *Thornton et al. v. Board of School Trustees of School District No. 57 (Prince George) et al.* (1975), 57 DLR (3d) 438, [1975] 3 WWR 622 (BC SC); varied 73 DLR (3d) 35, [1976] 5 WWR 240 (BC CA), at present under appeal to this Court in which the award at trial was \$1,534,058, reduced on appeal to \$649,628; (iii) *Teno et al. v. Arnold et al.* (1974), 55 DLR (3d) 57, 7 OR (2d) 276 (Ont. HCJ); reversed in part 67 DLR (3d) 9, 11 OR (2d) 585 (Ont. CA), also under appeal to this Court in which the award for general damages at trial was \$950,000, reduced on appeal to \$875,000; (iv) *McLeod v. Hodgins* (unreported), in which Mr. Justice Robins, of the Ontario High Court, awarded at trial an amount of \$1,041,197, of which \$1,000,000 were general damages.

Let me say in introduction what has been said many times before, that no appellate Court is justified in substituting a figure of its own for that awarded at trials simply because it would have awarded a different figure if it had tried the case at first instance. It must be satisfied that a wrong principle of law was applied, or that the overall amount is a wholly erroneous estimate of the damage. ...

The method of assessing general damages in separate amounts, as has been done in this case, in my opinion, is a sound one. It is the only way in which any meaningful review of the award is possible on appeal and the only way of affording reasonable guidance in future cases. Equally important, it discloses to the litigants and their advisers the components of the overall award, assuring them thereby that each of the various heads of damage going to make up the claim has been given thoughtful consideration.

The subject of damages for personal injury is an area of the law which cries out for legislative reform. The expenditure of time and money in the determination of fault and of damage is prodigal. The disparity resulting from lack of provision for victims who cannot establish fault must be disturbing. When it is determined that compensation is to be made, it is highly irrational to be tied to a lump-sum system and a once-and-for-all award.

The lump-sum award presents problems of great importance. It is subject to inflation, it is subject to fluctuation on investment, income from it is subject to tax. After judgment new needs of the plaintiff arise and present needs are extinguished; yet, our law of damages knows nothing of periodic payment. The difficulties are greatest where there is a continuing need for intensive and expensive care and a long-term loss of earning capacity. It should be possible to devise some system whereby payments would be subject to periodic review and variation in the light of the continuing needs of the injured person and the cost of meeting those needs. In making this comment I am not unaware of the negative recommendation of the British Law Commission—*Assessment of Damages*, following strong opposition from insurance interests and the plaintiffs' bar.

The apparent reliability of assessments provided by modern actuarial practice is largely illusory, for actuarial science deals with probabilities, not actualities. This is in no way to denigrate a respected profession, but it is obvious that the validity of the answers given by the actuarial witness, as with a computer, depends upon the soundness of the postulates from which he proceeds. Although a useful aid, and a sharper tool than the "multiplier-multiplicand" approach favoured in some jurisdictions, actuarial evidence speaks in terms of group experience. It cannot, and does not purport to, speak as to the individual sufferer. So long as we are tied to lump-sum awards, however, we are tied also to actuarial calculations as the best available means of determining amount.

In spite of these severe difficulties with the present law of personal injury compensation, the positive administrative machinery required for a system of reviewable periodic payments, and the need to hear all interested parties in order to fashion a more enlightened system, both dictate that the appropriate body to act must be the legislature, rather than the Courts. Until such time as the Legislature acts, the Courts must proceed on established principles to award damages which compensate accident victims with justice and humanity for the losses they may suffer.

I proceed now to a brief recital of the injuries sustained by the appellant James Andrews in the present case. He suffered a fracture with dislocation of the cervical spine between the fifth and sixth cervical vertebrae, causing functional transection of the spinal cord, but leaving some continuity; compound fracture of the left tibia and left humerus; fracture of the left patella. The left radial nerve was damaged. The

lesion of the spinal cord left Andrews with paralysis involving most of the upper limbs, spine and lower limbs. He has lost the use of his legs, his trunk, essentially his left arm and most of his right arm. To add to the misery, he does not have normal bladder, bowel and sex functions. He suffers from spasticity in both upper and lower limbs. He has difficulty turning in bed and must be re-positioned every two hours. He needs regular physiotherapy and should have someone in close association with him at all times, such as a trained male orderly. The only functioning muscles of respiration are those of the diaphragm and shoulders. There is much more in the evidence but it need not be recited. Andrews is severely, if not totally disabled. Dr. Weir, a specialist in neurosurgery, said of Andrews' condition that "there is no hope of functional improvement." For the rest of his life he will be dependent on others for dressing, personal hygiene, feeding and, indeed, for his very survival. But, of utmost importance, he is not a vegetable or a piece of cordwood. He is a man of above average intelligence and his mind is unimpaired. He can see, hear and speak as before. He has partial use of his right arm and hand. With the aid of a wheelchair he is mobile. With a specially-designed van he can go out in the evening to visit friends, or to the movies, or to a pub. He is taking driving lessons and proving to be an apt pupil. He wants to live as other human beings live. Since May 31, 1974, he has resided in his own apartment with private attendant care. The medical long-term care required is not at a sophisticated level but rather at a practical care level.

Andrews was 21 years of age and unmarried on the date of the accident. On that date he was an apprentice carman employed by the Canadian National Railways in the City of Edmonton.

I turn now to consider assessment of the damages to which Andrews is entitled.

1. PECUNIARY LOSS

(A) FUTURE CARE

(i) *Standard of care.* While there are several subsidiary issues to be decided in this case, there is one paramount issue: in a case of total or near-total disability should the future care of the victim be in an institutional or a home-care environment? The trial judge chose home care. The Appellate Division agreed that home care would be better but denied it to him. Chief Justice McGillivray who delivered the judgment of the Court on this issue said [at 698]:

All the evidence called supports the proposition that psychologically and emotionally Andrews would be better in a home of his own, where he would be lord of the manor, as it were.

Some evidence even indicated the medical superiority of a home environment.

The trial Judge found that it would take \$4,135 per month to provide care for Andrews in a home environment. The Appellate Division considered that this standard of care was unreasonably and unrealistically high. Without giving any reason for selecting the particular figure chosen, the Appellate Division substituted \$1,000 per month. Obviously, here is the heart of the controversy. On other matters there was substantial agreement between the lower Courts.

In my opinion, the Court of Appeal erred in law in the approach it took. After the statement quoted above, that Andrews would be better psychologically and emotionally in a home of his own, Chief Justice McGillivray referred to some of the evidence supporting that proposition. He quoted the following passage from the evidence of Dr. Weir [at 698]:

Well, I think that the greatest problem they have and the greatest burden of their affliction is the fact that they are all depressed because not only have they lost the potential for many normal and enjoyable human activities. In fact up until the present they pretty well have been converted into life long inhabitants of a hospital institution and an institution is an institution, it is virtually a life sentence and has been to this date. I would say that if you really, you know, if you wanted to give him the optimal potential it would be in a home environment in which he had some, in which he had the control of it to the same extent that the rest of us have control over our own homes and dwelling places. I don't really think that any hospital or medical institution has the potential to give someone that same feeling that they are in fact the lords and masters of their own castle.

The Chief Justice noted that Andrews had said he would not live in an institution and the following excerpts from the evidence were quoted [at 699]:

- Q. Tell us, Jim, would you be prepared to live in an auxiliary hospital.
 A. Never.
 Q. Would you elaborate on that?
 A. Well there is just no way that I would go into an auxiliary hospital that is—I don't know, I think that is one step into a grave, that is all it is, too many old folks that have nothing to do but reminisce, you know, I don't know, but just from what I have heard of auxiliary hospitals.
 Q. Well how about other disabled people, do you have any difficulty getting along with them, would you be prepared to live with them, say if they were even younger?
 A. My age?
 Q. Yes.
 A. With my same disability?
 Q. Yes, if you were in some place with people that have disabled problems?
 A. No, because it is the same thing, people get into a state of depression and they throw it on the group, like even now in the hospital like the way it is now there is a group of younger people and, you know, even friction can be created amongst us because of one person's bad day kind of thing, and I wouldn't want to live with other disabled persons, not at all.

I am hesitant to enter upon a detailed analysis of the reasons advanced by the Appellate Division for its decision, but in view of the importance of the matters raised in this litigation, not only for the appellant Andrews but for others in a similar plight, I do not think any other course is open.

Following the passage from the evidence of Andrews which I have quoted, Chief Justice McGillivray said:

In having a home of his own, it is stated that Andrews needs at least 20 hours a day care. He has to be turned at night every two hours, he has to have constant attention, and it is on this footing that two orderlies and a housekeeper and the cost of operating a three-bedroom home are advanced as being reasonable costs. Now, while the proposition that to the extent that money can do it, a plaintiff should be put into the position he would have been in, but for the accident, this does not mean that the plaintiff does not have to be reasonable and mitigate damage.

With respect, I agree that a plaintiff must be reasonable in making a claim. I do not believe that the doctrine of mitigation of damages, which might be applicable, for example, in an action for conversion of goods, has any place in a personal injury claim. In assessing damages in claims arising out of personal injuries, the ordinary common law principles apply. The basic principle was stated by Viscount Dunedin in

Admiralty Com'rs v. S.S. "Susquehanna," [1926] AC 655 at p. 661 (cited with approval in *H. West & Son Ltd. v. Shephard*, [1964] AC 326 at p. 345), in these words:

... the common law says that the damages due either for breach of contract or for tort are damages which, so far as money can compensate, will give the injured party reparation for the wrongful act. ...

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In theory a claim for the cost of future care is a pecuniary claim for the amount which may reasonably be expected to be expended in putting the injured party in the position he would have been in if he had not sustained the injury. Obviously, a plaintiff who has been gravely and permanently impaired can never be put in the position he would have been in if the tort had not been committed. To this extent, *restitutio in integrum* is not possible. Money is a barren substitute for health and personal happiness, but to the extent, within reason, that money can be used to sustain or improve the mental or physical health of the injured person it may properly form part of a claim.

Contrary to the view expressed in the Appellate Division of Alberta, there is no duty to mitigate, in the sense of being forced to accept less than real loss. There is a duty to be reasonable. There cannot be "complete" or "perfect" compensation. An award must be moderate, and fair to both parties. Clearly, compensation must not be determined on the basis of sympathy, or compassion for the plight of the injured person. What is being sought is compensation, not retribution. But, in a case like the present, where both Courts have favoured a home environment, "reasonable" means reasonableness in what is to be provided in that home environment. It does not mean that Andrews must languish in an institution which on all evidence is inappropriate for him.

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The Court then expressed the view that the standard accepted by the trial Judge was the equivalent of supplying a private hospital. The phrase "private hospital" is both pejorative and misleading. It suggests an extravagant standard of care. The standard sought by the appellant is simply practical nursing in the home. The amount Andrews is seeking is, without question, very substantial, but essentially it means providing two orderlies and a housekeeper. The amount is large because the victim is young and because life is long. He has 45 years ahead. That is a long time.

In reducing the monthly amount to \$1,000, the Appellate Division purposed to apply a "final test" which was expressed in terms of the expenses that reasonably-minded people would incur, assuming sufficient means to bear such expense. It seems to me difficult to conceive of any reasonably-minded person of ample means who would not be ready to incur the expense of home care, rather than institutional care, for himself or for someone in the condition of Andrews for whom he was responsible. No other conclusion is open upon the evidence adduced in this case. If the test enunciated by the Appellate Division is simply a plea for moderation then, of course, no one would question it. If the test was intended to suggest that reasonably-minded people would refuse to bear the expense of home care, there is simply no evidence to support that conclusion.

The Appellate Division, seeking to give some meaning to the test, said that it should be open to consider "standards of society as a whole as they presently exist." As instances of such standards the Court selected the daily allowances provided under the *Workmen's Compensation Act 1973* (Alta.), c. 87, s. 56, and the federal *Pension Act*, RSC 1970, c. P-7, s. 28 [rep & sub RSC 1970, c. 22 (2nd Supp), s. 14(1)]. The standard of care expected in our society in physical injury cases is an elusive concept.

What a Legislature sees fit to provide in the cases of veterans and in the cases of injured workers and the elderly is only of marginal assistance. The standard to be applied to Andrews is not merely "provision," but "compensation," i.e., what is the proper compensation for a person who would have been able to care for himself and live in a home environment if he had not been injured? The answer must surely be home care. If there were severe mental impairment, or in the case of an immobile quadriplegic, the results might well be different; but, where the victim is mobile and still in full control of his mental faculties, as Andrews is, it cannot be said that institutionalization in an auxiliary hospital represents proper compensation for his loss. Justice requires something better.

Other points raised by the Appellate Division in support of its reversal of the trial Judge, may be briefly noted [at 704]: (i) "It seems to me probable that there will be, at Government expense, people employed to look after quadriplegics. In the United States, there are now a few institutions which have special apartments as part of the hospital setting, where patients can receive attention and, at the same time, have privacy." There is no evidence that the Government of Alberta at present has any plans to provide special care or institutions for quadriplegics. Any such possibility is speculation. (ii) "... will the respondent, in fact, operate a home of his own?" The Court expressed the fear that Andrews would take the award, then go into an auxiliary hospital and have the public pay. It is not for the Court to conjecture upon how a plaintiff will spend the amount awarded to him. There is always the possibility that the victim will not invest his award wisely but will dissipate it. That is not something which ought to be allowed to affect a consideration of the proper basis of compensation within a fault-based system. The plaintiff is free to do with that sum of money as he likes. Financial advice is readily available. He has the flexibility to plan his life and to plan for contingencies. The preference of our law to date has been to leave this flexibility in the plaintiff's hands: see Fleming, "Damages: Capital or Rent?" 19 *U of Toronto LJ* 295 (1969). Save for infants and the mentally incompetent, the Courts have no power to control the expenditure of the award. There is nothing to show that the dangers the Appellate Division envisaged have any basis in fact.

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The basic argument, indeed the only argument, against home care is that the social cost is too high. In these days the cost is distributed through insurance premiums. In this respect, I would adopt what was said by Salmon LJ in *Fletcher v. Autocar & Transporters, Ltd.* [1968] 1 All ER 726 at 750, where he stated:

Today, however, virtually all defendants in accident cases are insured. This certainly does not mean compensation should be extravagant, but there is no reason why it should not be realistic. ... It might result in some moderate increase in premium rates, which none would relish, but of which no one, in my view, could justly complain. It would be monstrous to keep down premiums by depressing damages below their proper level, i.e. a level which ordinary men would regard as fair—unprejudiced by its impact on their own pockets.

I do not think the area of future care is one in which the argument of the social burden of the expense should be controlling, particularly in a case like the present, where the consequences of acceding to it would be to fail in large measure to compensate the victim for his loss. Greater weight might be given to this consideration where the choice with respect to future care is not so stark as between home care and an auxiliary hospital. Minimizing the social burden of expense may be a factor influencing a choice between acceptable alternatives. It should never compel the choice of the unacceptable.

(ii) *Life expectancy.* At trial, figures were introduced which showed that the life expectancy of 23-year-old persons in general is 50 years. As Chief Justice McGillivray said in the Appellate Division, it would be more useful to use statistics on the expectation of life of quadriplegics. A statistical average is helpful only if the appropriate group is used. At trial, Dr. Weir and Dr. Gingras testified that possibly five years less than normal would be a reasonable expectation of life for a quadriplegic. The Appellate Division accepted this figure. On the evidence I am willing to accept it.

(iii) *Contingencies of life.* The trial Judge did, however, allow a 20% discount for "contingencies and hazards of life." The Appellate Division allowed a further 10% discount. It characterized the trial Judge's discount as being for "life expectancy" or "duration of life," and said that this ignored the contingency of "duration of expense," i.e., that despite any wishes to the contrary, Andrews in the years to come may be obliged to spend a great deal of time in hospital for medical reasons or because of the difficulty of obtaining help. With respect, the Appellate Division appears to have misunderstood what the trial Judge did. The figure of 20% as a discount for contingencies was arrived at first under the heading of "Prospective Loss of Earnings" and then simply transferred to the calculation of "Costs of Future Care." It was not an allowance for a decreased life expectancy, for this had already been taken into account by reducing the normal 50-year expectancy to 45 years. The "contingencies and hazards of life" in the context of future care are distinct. They relate essentially to duration of expense and are different from those which might affect future earnings, such as unemployment, accident, illness. They are not merely to be added to the latter so as to achieve a cumulative result. Thus, so far as the action taken by the Appellate Division is concerned, in my opinion, it was an error to increase by an extra 10% the contingency allowance of the trial Judge.

This whole question of contingencies is fraught with difficulty, for it is in large measure pure speculation. It is a small element of the illogical practice of awarding lump-sum payments for expenses and losses projected to continue over long periods of time. To vary an award by the value of the chance that certain contingencies may occur is to assure either over-compensation or under-compensation, depending on whether or not the event occurs. In light of the considerations I have mentioned, I think it would be reasonable to allow a discount for contingencies in the amount of 20%, in accordance with the decision of the trial Judge.

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(B) PROSPECTIVE LOSS OF EARNINGS

We must now gaze more deeply into the crystal ball. What sort of a career would the accident victim have had? What were his prospects and potential prior to the accident? It is not loss of earnings but, rather, loss of earning capacity of which compensation must be made: *The Queen v. Jennings, supra*. A capital asset has been lost: what was its value?

(i) *Level of earnings.* The trial Judge fixed the projected level of earnings of Andrews at \$830 per month, which would have been his earnings on January 1, 1973. The Appellate Division raised this to \$1,200 per month, a figure between his present salary and the maximum for his type of work of \$1,750 per month. Without doubt the value of Andrews' earning capacity over his working life is higher than his earnings at the time of the accident. Although I am inclined to view even that figure as somewhat conservative, I would affirm the holding of the Appellate Division that \$1,200 per month represents a reasonable estimate of Andrews' future average level of earnings.

(ii) *Length of working life.* Counsel for the appellants objected to the use of 55 rather than 65 as the projected retirement age for Andrews. It is agreed that he could retire on full pension at 55 if he stayed with his present employer, Canadian National Railways. I think it is reasonable to assume that he would, in fact, retire as soon as it was open for him to do so on full pension.

One must then turn to the mortality tables to determine the working life expectancy for the appellant over the period between the ages of 23 and 55. The controversial question immediately arises whether the capitalization of future earning capacity should be based on the expected working life span prior to the accident, or the shortened life expectancy. Does one give credit for the "lost years"? When viewed as the loss of a capital asset consisting of income-earning capacity rather than a loss of income, the answer is apparent: it must be the loss of that capacity which existed prior to the accident. This is the figure which best fulfils the principle of compensating the plaintiff for what he has lost. ... I would accept [the trial judge's] decision that Andrews had a working life expectancy of 30.81 years.

(iii) *Contingencies.* It is a general practice to take account of contingencies which might have affected future earnings, such as unemployment, illness, accidents and business depression. In the *Bisson* case, which also concerned a young quadriplegic, an allowance of 20% was made. There is much support for the view that such a discount for contingencies should be made: see, e.g., *Warren et al. v. King*, [1963] 3 All ER 521; *McKay et al. v. Board of Govan School Unit No. 29 of Saskatchewan* (1968), 68 DLR (2d) 519, [1968] SCR 589, 64 WWR 301. There are, however, a number of qualifications which should be made. First, in many respects, these contingencies implicitly are already contained in an assessment of the projected average level of earnings of the injured person, for one must assume that this figure is a projection with respect to the real world of work, vicissitudes and all. Second, not all contingencies are adverse, as the above list would appear to indicate. As is said in *Bresatz v. Przibilla* (1962), 108 CLR 541, in the Australian High Court, at p. 544: "Why count the possible buffets and ignore the rewards of fortune?" Finally, in modern society there are many public and private schemes which cushion the individual against adverse contingencies. Clearly, the percentage deduction which is proper will depend on the facts of the individual case, particularly the nature of the plaintiff's occupation, but generally it will be small: see J.H. Preveit, "Actuarial Assessment of Damages: The Thalidomide Case—I," 35 *Mod. L. Rev.* 140 at p. 150 (1972).

In reducing Andrews' award by 20% Mr. Justice Kirby gives no reasons. The Appellate Division also applied a 20% reduction. It seems to me that actuarial evidence could be of great help here. Contingencies are susceptible to more exact calculation than is usually apparent in the cases; see Traversi, "Actuaries and the Courts," 29 *Aust. Law. Jo.* 557 (1956). In my view, some degree of specificity, supported by evidence, ought to be forthcoming at trial.

The figure used to take account of contingencies is obviously an arbitrary one. The figure of 20% which was used in the lower Courts (and in many other cases), although not entirely satisfactory, should, I think, be accepted.

(iv) *Duplication of the cost of future basic maintenance.* As discussed, since basic needs such as food, shelter, and clothing have been included in the cost of future care, a deduction must be made from the award for prospective earnings to avoid duplication. The injured person would have incurred expenses of this nature even if he had not suffered the injury. At trial evidence was given that the cost of basics for a person in the position of Andrews prior to the accident would be approximately 53% of income. I would accept this figure and reduce his anticipated future monthly earnings accordingly to a figure of \$564.

(C) CONSIDERATIONS RELEVANT TO BOTH HEADS OF PECUNIARY LOSS

(i) *Capitalization rate: allowance for inflation and the rate of return on investments.* What rate of return should the Court assume the appellant will be able to obtain on his investment of the award? How should the Court recognize future inflation? Together these considerations will determine the discount rate to use in actuarially calculating the lump sum award.

The approach at trial was to take as a rate of return the rental value of money which might exist during periods of economic stability, and consequently to ignore inflation. This approach is widely referred to as the Lord Diplock approach, as he lent it his support in *Mallett v. McMonagle*, [1970] AC 166. Although this method of proceeding has found favour in several jurisdictions in this country and elsewhere, it has an air of unreality. Stable, non-inflationary economic conditions do not exist at present, nor did they exist in the recent past, nor are they to be expected in the foreseeable future. In my opinion, it would be better to proceed from what known factors are available rather than to ignore economic reality. Analytically, the alternate approach to assuming a stable economy is to use existing interest rates and then make an allowance for the long-term expected rate of inflation. At trial the expert actuary, Mr. Grindley, testified as follows:

Yes, as I mentioned yesterday, I was comfortable with that assumption 5% interest because it produces the same result as for example 8% interest and 3% inflation.

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I would be happy to use either of the following two packages of assumption, either an 8% interest rate combined with provision for amounts which would increase 3% in every year in the future or a 5% interest rate and level amount, level amounts, that is no allowance for inflation.

One thing is abundantly clear: present interest rates should not be used with no allowance for future inflation. To do so would be patently unfair to the plaintiff. It is not, however, the level of inflation in the short term for which allowance must be made, but that predicted over the long term. It is this expectation which is built into present interest rates for long-term investments. It is also this level of inflation which may at present be predicted to operate over the lifetime of the plaintiff to increase the cost of care for him at the level accepted by the Court, and to erode the value of the sum provided for lost earning capacity.

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The approach which I would adopt, therefore, is to use present rates of return on long-term investments and to make some allowance for the effects of future inflation. Once this approach is adopted, the result, in my opinion, is different from the 5% discount figure accepted by the trial Judge. While there was much debate at trial over a difference of a half to one percentage point, I think it is clear from the evidence that high quality long-term investments were available at time of trial at rates of return in excess of 10%. On the other hand, evidence was specifically introduced that the former head of the Economic Council of Canada, Dr. Deutsch, had recently forecast a rate of inflation of 3.5% over the long-term future. These figures must all be viewed flexibly. In my opinion, they indicate that the appropriate discount rate is approximately 7%. I would adopt that figure. It appears to me to be the correct result of the approach I have adopted, i.e., having regard to present investment market conditions and making an appropriate allowance for future inflation. I would, accordingly, vary to 7% the discount rate to be used in calculating the present value

of the awards for future care and loss of earnings in this case. The result in future cases will depend upon the evidence adduced in those cases.

(ii) *Allowance for tax.* In *The Queen v. Jennings, supra*, this Court held that an award for prospective income should be calculated with no deduction for tax which might have been attracted had it been earned over the working life of the plaintiff. This results from the fact that it is earning capacity and not lost earnings which is the subject of compensation. For the same reason, no consideration should be taken of the amount by which the income from the award will be reduced by payment of taxes on the interest, dividends, or capital gain. A capital sum is appropriate to replace the lost capital asset of earning capacity. Tax on income is irrelevant either to decrease the sum for taxes the victim would have paid on income from his job, or to increase it for taxes he will now have to pay on income from the award.

In contrast with the situation in personal injury cases, awards under the *Fatal Accident Act*, RSA 1970, c. 138, should reflect tax considerations, since they are to compensate dependants for the loss of support payments made by the deceased. These support payments could only come out of take-home pay, and the payments from the award will only be received net of taxes: see the contemporaneous decision of this Court in *Keizer v. Hanna et al.* (1978), 82 DLR (3d) 449.

The impact of taxation upon the income from the capital sum for future care is mitigated by the existence of s. 110(1)(c)(iv.1) [enacted 1973-74, c 14, s 35] of the *Income Tax Act*, RSC 1952, c. 148 (as amended by 1970-71, c. 63), in respect of the deduction of medical expenses, which provides that medical expenses in excess of 3% of the taxpayer's income includes "remuneration for one full-time attendant upon an individual who was a taxpayer ... in a self-contained domestic establishment in which the cared for person lived." This exemption, I should think, permits a deduction for the payment of one full-time attendant for seven days a week, regardless of whether this attendance is provided by several attendants working over 24-hour periods, or one person working 24-hour shifts seven days a week.

The exact tax burden is extremely difficult to predict, as the rate and coverage of taxes swing with the political winds. What concerns us here is whether some allowance must be made to adjust the amount assessed for future care in light of the reduction from taxation. No such allowance was made by the Courts below. Elaborate calculations were provided by the appellant to give an illusion of accuracy to this aspect of the wholly speculative projection of future costs. Because of the provision made in the *Income Tax Act* and because of the position taken in the Alberta Courts, I would make no allowance for that item. The Legislature might well consider a more generous income tax treatment of cases where a fund is established by judicial decision and the sole purpose of the fund is to provide treatment or care of an accident victim.

One subsidiary point should be affirmed with respect to the determination of the present value of the cost of future care. The calculations should provide for a self-extinguishing sum. To allow a residual capital amount would be to over-compensate the injured person by creating an estate for him. This point was accepted by the lower Courts and not challenged by the parties.

2. NON-PECUNIARY LOSSES

Andrews used to be a healthy young man, athletically active and socially congenial. Now he is a cripple, deprived of many of life's pleasures and subjected to pain and disability. For this, he is entitled to compensation. But the problem here is qualitatively different from that of pecuniary losses. There is no medium of exchange for

happiness. There is no market for expectation of life. The monetary evaluation of non-pecuniary losses is a philosophical and policy exercise more than a legal or logical one. The award must be fair and reasonable, fairness being gauged by earlier decisions; but the award must also of necessity be arbitrary or conventional. No money can provide true restitution. Money can provide for proper care: this is the reason that I think the paramount concern of the Courts when awarding damages for personal injuries should be to assure that there will be adequate future care.

However, if the principle of the paramountcy of care is accepted, then it follows that there is more room for the consideration of other policy factors in the assessment of damages for non-pecuniary losses. In particular, this is the area where the social burden of large awards deserves considerable weight. The sheer fact is that there is no objective yardstick for translating non-pecuniary losses, such as pain and suffering and loss of amenities, into monetary terms. This area is open to widely extravagant claims. It is in this area that awards in the United States have soared to dramatically high levels in recent years. Statistically, it is the area where the danger of excessive burden of expense is greatest.

It is also the area where there is the clearest justification for moderation. As one English commentator has suggested, there are three theoretical approaches to the problem of non-pecuniary loss (A.J. Ogus, "Damages for Lost Amenities: For a Foot, a Feeling or a Function?" 35 *Mod. L. Rev.* 1 (1972)). The first, the "conceptual" approach, treats each faculty as a proprietary asset with an objective value, independent of the individual's own use or enjoyment of it. This was the ancient "bot," or tariff system, which prevailed in the days of King Alfred, when a thumb was worth 30 shillings. Our law has long since thought such a solution unsubtle. The second, the "personal" approach, values the injury in terms of the loss of human happiness by the particular victim. The third, or "functional" approach, accepts the personal premise of the second, but rather than attempting to set a value on lost happiness, it attempts to assess the compensation required to provide the injured person "with reasonable solace for his misfortune." "Solace" in this sense is taken to mean physical arrangements which can make his life more endurable rather than "solace" in the sense of sympathy. To my mind, this last approach has much to commend it, as it provides a rationale as to why money is considered compensation for non-pecuniary losses such as loss of amenities, pain and suffering, and loss of expectation of life. Money is awarded because it will serve a useful function in making up for what has been lost in the only way possible, accepting that what has been lost is incapable of being replaced in any direct way. As Windeyer J said in *Skelton v. Collins*, *supra*, at p. 495:

... he is, I do not doubt, entitled to compensation for what he suffers. Money may be compensation for him if having it can give him pleasure or satisfaction. ... But the money is not then a recompense for a loss of something having a money value. It is given as some consolation or solace for the distress that is the consequence of a loss on which no monetary value can be put.

If damages for non-pecuniary loss are viewed from a functional perspective, it is reasonable that large amounts should not be awarded once a person is properly provided for in terms of future care for his injuries and disabilities. The money for future care is to provide physical arrangements for assistance, equipment and facilities directly related to the injuries. Additional money to make life more endurable should then be seen as providing more general physical arrangements above and beyond those relating directly to the injuries. The result is a coordinated and interlocking basis for compensation, and a more rational justification for non-pecuniary loss compensation.

However one may view such awards in a theoretical perspective, the amounts are still largely arbitrary or conventional. As Lord Denning MR said in *Ward v. James*, [1965] 1 All ER 563, there is a great need in this area for assessability, uniformity and predictability. In my opinion, this does not mean that the courts should not have regard to the individual situation of the victim. On the contrary, they must do so to determine what has been lost. For example, the loss of a finger would be a greater loss of amenities for an amateur pianist than for a person not engaged in such an activity. Greater compensation would be required to provide things and activities which would function to make up for this loss. But there should be guidelines for the translation into monetary terms of what has been lost. There must be an exchange rate, albeit conventional. In *Warren v. King*, *supra*, at p. 528 the following dictum of Harman LJ appears, which I would adopt, in respect of the assessment of non-pecuniary loss for a living plaintiff:

It seems to me that the first element in assessing such compensation is not to add up items as loss of pleasures, of earnings, of marriage prospects, of children ... and so on, but to consider the matter from the other side, what can be done to alleviate the disaster to the victim, what will it cost to enable her to live as tolerably as may be in the circumstances.

Cases like the present enable the Court to establish a rough upper parameter on these awards. It is difficult to conceive of a person of his age losing more than Andrews has lost. Of course, the figures must be viewed flexibly in future cases in recognition of the inevitable differences in injuries, the situation of the victim, and changing economic conditions.

The amounts of such awards should not vary greatly from one part of the country to another. Everyone in Canada, wherever he may reside, is entitled to a more or less equal measure of compensation for similar non-pecuniary loss. Variation should be made for what a particular individual has lost in the way of amenities and enjoyment of life, and for what will function to make up for this loss, but variation should not be made merely for the Province in which he happens to live.

There has been a significant increase in the size of awards under this head in recent years. As Moir JA, of the Appellate Division of the Alberta Supreme Court, has warned: "To my mind, damages under the head of loss of amenities will go up and up until they are stabilized by the Supreme Court of Canada": *Hamel et al. v. Prather et al.* (1976), 66 DLR (3d) 109 at p. 127, [1976] 2 WWR. 742 at p. 748. In my opinion, this time has come.

It is customary to set only one figure for all non-pecuniary loss, including such factors as pain and suffering, loss of amenities, and loss of expectation of life. This is a sound practice. Although these elements are analytically distinct, they overlap and merge at the edges and in practice. To suffer pain is surely to lose an amenity of a happy life at that time. To lose years of one's expectation of life is to lose all amenities for the lost period, and to cause mental pain and suffering in the contemplation of this prospect. These problems, as well as the fact that these losses have the common trait of irreplaceability, favour a composite award for all non-pecuniary losses.

There is an extensive review of authorities in the Court of Appeal judgment in this case as well as in the *Thornton* and *Teno* cases, *supra*, to which I have referred. I need not review these past authorities. What is important is the general picture. It is clear that until very recently damages for non-pecuniary losses, even from very serious injuries such as quadriplegia, were substantially below \$100,000. Recently, though, the figures have increased markedly. In *Jackson v. Millar et al.* (1975), 59 DLR (3d) 246, [1976] 1 SCR 225, this Court affirmed a figure of \$150,000 for non-pecuniary

loss in an Ontario case of a paraplegic. However, this was done essentially on the principle of non-interference with awards allowed by provincial Courts of Appeal. The need for a general assessment with respect to damages for non-pecuniary loss, which is now apparent, was not as evident at that time. Even in Ontario, prior to these recent cases, general damages allocable for non-pecuniary loss, such as pain and suffering and loss of amenities, were well below \$100,000.

In the present case, \$150,000 was awarded at trial, but this amount was reduced to \$100,000 by the Appellate Division. In *Thornton* and *Teno* \$200,000 was awarded in each case, unchanged in the provincial Courts of Appeal.

I would adopt as the appropriate award in the case of a young adult quadriplegic like Andrews the amount of \$100,000. Save in exceptional circumstances, this should be regarded as an upper limit of non-pecuniary loss in cases of this nature.

TOTAL AWARD

This is largely a matter of arithmetic. Of course, in addition, it is customary for the Court to make an overall assessment of the total sum. This, however, seems to me to be a hangover from the days of global sums for all general damages. It is more appropriate to make an overall assessment of the total under each head of future care, prospective earnings, and non-pecuniary loss, in each case in light of general considerations such as the awards of other Courts in similar cases and an assessment of the reasonableness of the award.

In the result I would assess general damages for the appellant Andrews as follows:

1. Pecuniary Loss

(a) Cost of future care

—special equipment	\$ 14,200
—amount for monthly payments (monthly amount \$4,135; life expectancy 45 years; contingencies 20%; capitalization rate 7%)	557,232

(b) Prospective loss of earnings

—(monthly amount \$564; work span 30.81 years; contingencies 20%; capitalization rate 7%)	69,981
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2. Non-Pecuniary Loss

—compensation for physical and mental pain and suffering endured and to be endured, loss of amenities and enjoyment of life, loss of expectation of life	<u>100,000</u>
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Total General Damages	<u>\$741,413</u>
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Rounded off at	<u>\$740,000</u>
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To arrive at the total damage award, the special damages of \$77,344 must be added to give a final figure of \$817,344.

The appellant Andrews will have judgment for 75% of that amount, that is, \$613,008.

The appellants should have their costs in this Court and in the trial Court. The respondents should have their costs in the Court of Appeal as they achieved substantial success in that Court in respect of the finding of contributory negligence on the part of Andrews.

Appeal allowed; judgment varied.

NOTES

1. *Lump-Sum or Periodic Payments?* Rea, "Lump Sum Versus Periodic Damage Award" (1981) 10 J Leg Stud 131, argues on insurance grounds that switching to periodic payments would not be an improvement, concluding:

Most of those advocating periodic payments, particularly in the no-fault context, do so out of concern for accident victims. They are concerned that the award will not coincide with the actual loss. The analysis in this paper suggests that *ex ante* the victim will never be made better off (for a given cost) if the court makes awards periodic and contingent on future losses. The availability of private insurance guarantees that lump-sum awards can always be converted to periodic or contingent payments. The inability of private insurers to offer annuities indexed to the cost of living suggests that there is a valid argument for some sort of government protection against uncertain rates of inflation. However, the inflation problem affects all individuals, not just tort victims.

The other argument for periodic payment rests on paternalism. Advocates of periodic benefits feel that the victim will be better off by receiving periodic benefits, even if he prefers a lump-sum award. The general conflict between paternalism and free choice cannot be settled here, but the paternalistic approach suffers from two crucial inconsistencies when applied to the form-of-damages issue. First, the victim is not made whole if his stream of lost earnings, against which he can borrow if he wishes to increase his present consumption, is replaced with a stream of payments against which he cannot borrow. Second, as long as there is the possibility of a lump-sum settlement and the victim prefers lump-sum benefits, the threat of periodic payments will lower the lump-sum settlement, clearly making the victim worse off.

Earlier in the article, Rea pointed to the significance of "moral hazard" (the loss of incentives to earn or to reduce medical expenses if one's earnings or medical expenses are completely insured) in determining the best form of tort award.

Moral hazard exists because it is too costly or impossible for an insurer to monitor all of the precautions taken by the insured individual or to measure precisely the size of loss, such as the extent of disability. ...

Moral hazard usually leads to increased costs of administering insurance, increased costs of supplying a given schedule of benefits, and less than full coverage. Moral hazard may reduce coverage to such an extent that transaction costs outweigh the advantage of reducing the risk. How is this relevant for the tort victim? Without moral hazard he will be able to use the lump-sum payment to buy insurance. If there is no market coverage for the uncertainties that he faces, moral hazard and transaction costs may explain the lack of a particular type of coverage. A court-administered system of periodic contingent payments would face the same moral hazard and the same monitoring costs. If the court ignores the moral hazard and administrative costs, it will make the victim worse off by imposing insurance rather than giving a lump-sum amount of equal cost.

Moral hazard suggests several propositions:

- (1) Given moral hazard, a periodic payment plan that offers full insurance will always cost more than a lump-sum benefit. The lump-sum benefit equals the (discounted) expected future loss in the absence of disincentives, and the periodic contingent payment equals the expected loss plus additional losses induced by the contingent benefits. For instance, if the loss of future earnings resulting from partial disability is predicted to be \$10,000 per year and the court orders that benefits equal the actual loss, the resulting reduction in work in response to the 100 percent tax on earnings will guarantee that the loss exceeds \$10,000.

- (2) If there is no market insurance coverage because of moral hazard (and transaction costs), the tort victim with representative risk aversion will prefer the conventional lump-sum benefit to a periodic contingent benefit of equal cost. In other words, the lack of market coverage demonstrates that the cost of the moral hazard and transaction costs exceed the advantage of risk reduction for this type of insurance.
- (3) If there is moral hazard in the insurance of the types of risks to which the victim is exposed, the court must determine if the level of risk faced by the victim has changed as a result of the accident. Moral hazard implies that risk reduction can only be achieved at some cost over and above the expected loss in the absence of insurance.
- (4) If the victim faces additional risk as a result of the accident, and the insurance market provides for full insurance of this risk, the court need only assess damages equal to the cost of such insurance. In this case periodic payments administered by the court are not necessary.
- (5) If the victim faces additional risk as a result of the accident and there is no market insurance for this residual risk because of moral hazard, the court must assess an amount that would compensate the victim for the additional risk. The court should not insure the victim. If the court orders periodic contingent payments in such a case, the cost of these payments will exceed their value to the victim. The victim with representative risk aversion would always prefer to take the cost of the period payments in a lump-sum form. In other words, it is in precisely the situations in which no insurance is available in the market (because of moral hazard) that the court will make the victim worse off by imposing court-supplied insurance.

2. The Supreme Court of Canada returned to the issue of periodic payments in *Watkins v Olafson*, [1989] 2 SCR 750, 61 DLR (4th) 577, allowing an appeal from a judgment of the Manitoba Court of Appeal that substituted periodic payments for a lump sum. McLachlin J stated:

[I]t is not surprising that the periodic payment of damages for cost of future care has emerged as an attractive alternative to the lump-sum award. Periodic payment schemes have been introduced in numerous American states. ...

Legislation authorizing courts to award damages on a periodic basis has also been enacted in Western Australia: see *Motor Vehicle (Third Party) Insurance Act 1943-1972*, s. 16 E(5)(a) (W Aust.), which pertains to cases of personal injury or death caused by or arising out of the use of a motor vehicle. In Ontario, legislation permits periodic awards where the parties agree: *Courts of Justice Act*, 1984, SO 1984, c. 11, s. 129. In addition, structured settlements, where parties agree voluntarily to a scheme of periodic future payments, have become increasingly common throughout Canada.

This case, however, poses a different issue. The issue here is not whether the legislature can impose or authorize periodic damage awards, or whether parties can voluntarily agree to periodically paid compensation; that is conceded. Nor is the issue whether the ability to award damages by instalments would be desirable in some cases; clearly it would. Rather, the issue here is whether, in the absence of enabling legislation or the consent of all parties, a court can or should order that a plaintiff forgo his traditional right to a lump-sum judgment for a series of periodic payments.

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Generally speaking, the judiciary is bound to apply the rules of law found in the legislation and in the precedents. Over time, the law in any given area may change; but the process of change is a slow and incremental one, based largely on the mechanism of extending an existing principle to new circumstances. While it may be that some judges are more activist than others, the courts have generally declined to introduce major and far-reaching changes in the rules hitherto accepted as governing the situation before them.

There are sound reasons supporting this judicial reluctance to dramatically recast established rules of law. The court may not be in the best position to assess the deficiencies of the existing law, much less problems which may be associated with the changes it might make. The court has before it a single case; major changes in the law should be predicated on a wider view of how the rule will operate in the broad generality of cases. Moreover, the court may not be in a position to appreciate fully the economic and policy issues underlying the choice it is asked to make. Major changes to the law often involve devising subsidiary rules and procedures relevant to their implementation, a task which is better accomplished through consultation between courts and practitioners than by judicial decree. Finally, and perhaps most importantly, there is the long-established principle that in a constitutional democracy it is the legislature, as the elected branch of government, which should assume the major responsibility for law reform.

Considerations such as these suggest that major revisions of the law are best left to the legislature. Where the matter is one of a small extension of existing rules to meet the exigencies of a new case and the consequences of the change are readily assessable, judges can and should vary existing principles. But where the revision is major and its ramifications complex, the courts must proceed with great caution.

The change in the law which we are asked to endorse in this case would constitute a major revision of the long-standing principles governing the assessment of damages for personal injury—in particular, the principle that judgment is to be rendered once and for all at the conclusion of a trial, and the correlative entitlement of the plaintiff to immediate execution on the entire award. ...

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The main purpose of the periodic award is to permit adjustment from time to time so that compensation may be more precisely tailored to need. But how is this tailoring to take place? Presumably further court hearings would be required, with the concomitant expense and worry entailed by documents, discovery, hearings and appeals. The result would be an increased burden on the parties and on the court system. Rules governing the review process would also be required, rules which might be better fashioned by non-judicial bodies.

Another difficulty involves security. In the case at bar, security appears not to have been an issue, one of the respondents ordered to pay being a provincial government. Even so, concerns arise; could the plaintiff be certain that the government would not, at some future date, curtail his right to damages? Even with an apparently solvent defendant, it is unfair and unacceptable to place the plaintiff in the uncertain position of not being sure the money he needs to meet his or her needs will be forthcoming in the future. Most of those who have studied periodic payment schemes concur that they are unworkable unless sufficient security is posted. But, assuming security is necessary, how can a judge ensure compliance with an order that a reluctant defendant post security? What adverse consequences could be brought to bear on a defendant who refused or professed to be unable to post the necessary security?

Further complexities arise when one attempts to define precisely when periodic damages should be available. Simply to leave the matter to the discretion of the judge is inadequate; some guidelines would need to be developed, if only to make the law reasonably predictable and promote settlements. ...

Yet another factor meriting examination is the lack of finality of periodic payments and the effect this might have on the lives of plaintiff and defendant. Unlike persons who join voluntarily in marriage or contract—areas where the law recognizes periodic payments—the tortfeasor and his or her victim are brought together by a momentary lapse of attention. A scheme of reviewable periodic payments would bind them in an uneasy and unterminated relationship for as long as the plaintiff lives.

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In summary, I conclude that the well-established limits on judicial law-making powers as well as the complexities associated with introduction of the concept of periodic payments into our law, preclude the court from ordering periodic reviewable payments for future cost of care in the stead of the lump-sum judgment to which the plaintiff is entitled under existing legal principles.

At the beginning of this extract, McLachlin J referred to the statutory provision for consensual periodic payments and the possibility of a structured settlement. On these, see further *Wilson v Martinello*, extracted below.

3. *The Discount Rate*. The court's procedure in setting the discount rate at 7 percent has been universally reprobated by commentators. Rea, *Disability Insurance and Public Policy* (Toronto: Ontario Economic Council, 1981) at 63, explains the court's error as follows:

The Supreme Court of Canada recently acknowledged that inflation must be built into the damage calculation, but it did not understand that the forecast rate of inflation must be consistent with the rate of interest used to discount future losses. ...

Interest rates can be thought of as a mechanism for enticing consumers to forgo consumption today in exchange for consumption in the future. Consider the simple case of someone who is loaning \$100 for one year at 3 per cent interest. In the absence of inflation the 3 per cent interest is the reward for delaying consumption for one year. If prices rise 7 per cent by next year, the \$100 loan plus \$3 in interest will be worth 7 per cent less in terms of this year's purchasing power. The [lender] is put in a position of giving up \$100 in consumption goods to have the equivalent of $\$103/1.07 = \96.26 in consumption goods next year. He may be induced to consume this year rather than lending on these terms. The borrower of funds on these terms may be induced to borrow more because he can repay the loan with dollars that are worth 7 per cent less. Since lenders are less willing to lend and borrowers are more willing to borrow, the interest rate must rise above 3 per cent to equate the supply and demand for loans. If the [lender] was willing to lend at 3 per cent interest in the absence of inflation, he will be willing to lend at (roughly) a 10 per cent rate of interest if inflation equals 7 per cent. At the end of the year the \$100 plus \$10 interest has a purchasing power equal to $\$110/1.07 = \102.08 in today's prices, roughly 3 per cent more than at the beginning of the year. The borrower is willing to pay 10 per cent because he can repay the loan with dollars that are worth 7 per cent less than when the loan was made. Economists differentiate between the nominal interest rate and the real interest rate, the latter being corrected for inflation. In this example the nominal interest rate is 10 per cent and the real interest rate is 3 per cent.

Once one understands the relationship between interest rates and inflation it is easy to see that the estimate of future inflation is not needed by the court. Consider an individual whose loss one year from now is estimated to equal \$10,000 in today's prices. If inflation is forecast to be 7 per cent, the plaintiff will need \$10,700 next year to be restored to his former position. If the market interest rate is 10 per cent, the present value of \$10,700 is $10,700/1.1 = \$9,727$. If instead we simply calculate the present value of \$10,000 using a real rate of return of 3 per cent, we get substantially the same result without considering the rate of inflation: $\$10,000/1.03 = \$9,709$. The slight difference between these two figures is eliminated if the interest is continuously compounded. Alternatively, we can achieve an exact result if we recognize that the interest payment (as well as the principal) will have lower purchasing power after a year of inflation. If r is the real rate of return and p is the rate of inflation, the interest rate must equal $r + p + (r \times p/100)$ to guarantee a real rate of return equal to r . For example, if the rate of inflation is expected to be 7 per cent and the real rate of return is 3 per cent, the interest rate must equal $7 + 3 + (7 \times 3/100) = 10.21$ per cent. We can conclude that exactly the same capital sum will be calculated if either of two methods is used: if \$10,000 is capitalized at a real rate of 3 per cent or if \$10,000 is increased by

7 per cent a year to account for inflation and the resulting series is discounted at a rate of 10.21 per cent. However, it is crucial that the forecast rate of inflation used to inflate the \$10,000 annual sum be the same rate of inflation as is implicit in the interest rate. This is where the Supreme Court judgment made a crucial miscalculation in *Andrews*. Mr. Justice Dickson noted that current rates were approximately 10.5 per cent and subtracted a forecast rate of inflation of 3.5 per cent, producing a 7 per cent real rate of discount. The use of this excessively high real discount rate substantially reduced the awards. For instance, in *Andrews* the pecuniary loss would be \$1,109,373 with a 3 per cent discount rate, compared to \$641,713 with a 7 per cent discount rate. The 3.5 per cent inflation forecast is totally inconsistent with the rate of inflation, which participants in the market were predicting in 1978 when interest rates were above 10 per cent. This type of error will occur in the use of the second method unless the (nominal) discount rate reflects the same forecast of inflation that is used to inflate future losses.

The confusion over expected rates of inflation can be ignored altogether if the courts use a real rate of discount which reflects historical experience, such as 2 to 3 per cent. The damage assessment process could be greatly simplified by a Supreme Court ruling that a particular real rate is reasonable for all cases. It is extremely inefficient for economic evidence to be heard on the historical real rate of return in every case.

Bale, "Adding Insult to Injury: The Inappropriate Use of Discount Rates to Determine Damage Awards" (1983) 28 McGill LJ 1015, suggests that the discount rate can be eliminated because historically the growth of real wages in favour of salaries has exceeded the real interest rate:

If the lost future flow of income increases at a rate equal to the rate of inflation ... the present value should be determined by discounting at the real rate of interest of the inflation-free rate of interest. However, if the lost future flow of income increases at a rate which is greater than the rate of inflation, there is no reason to believe that discounting is required. ...

We are only paying lip service to the principle that a tort victim is entitled to full indemnity for all pecuniary losses. Reality denies the mythology of full compensation. Applying any discount rate, and certainly a net discount rate which is greater than 0.5% or 1.0%, to lost future earnings, implies clearly that the court is denying the right of a victim to share in the future growth of wages stemming from the productivity gains of the economy. Discount rates, particularly unrealistically high net discount rates, are adding insult to injury. Such discount rates proclaim that the injured person was a substantially below-average worker who would not have shared in the productivity gains of the economy if he had not been injured.

4. In the aftermath of *Andrews*, some jurisdictions specified a discount rate. In Ontario, for example, the discount rate is set by the *Rules of Civil Procedure*, O Reg 575/07, s 6(1):

53.09 (1) The discount rate to be used in determining the amount of an award in respect of future pecuniary damages, to the extent that it reflects the difference between estimated investment and price inflation rates, is,

- (a) for the 15-year period that follows the start of the trial, the greater of,
 - (i) the average of the value for the last Wednesday in each month of the real rate of interest on long-term Government of Canada real return bonds (Series V121808, formerly Series B113911), as published in the Bank of Canada's *Weekly Financial Statistics* for the period starting on March 1 and ending on August 31 in the year before the year in which the trial begins, less $\frac{1}{2}$ per cent and rounded to the nearest $\frac{1}{40}$ per cent, and
 - (ii) zero; and
- (b) for any later period covered by the award, 2.5 per cent per year for each year in that period. O Reg 488/99, s 2; O Reg 263/03, s 4 (1); O Reg 231/13, s 9 (1).

Courts award a lower discount rate when there is evidence that certain health expenditures will rise faster than the rate of inflation: see e.g. *Gordon v Greig* 2007 CanLII 1333, [2007] OJ No 225 (QL) (Sup Ct J).

5. The Supreme Court of Canada revisited the discount rate in *Lewis v Todd and McClure*, [1980] 2 SCR 694, 115 DLR 3d 257 at 268 (per Dickson J):

It is important, I think, that the Court affirm the principle that the discount rate is normally a factual issue which will turn on the evidence advanced in individual cases.

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It has been suggested at various times that there is no need for a Court to hear evidence on expected rates of interest and inflation as the relationship between these two factors and thus the real rate of return, is constant. ...

I know of no authority by which this Court, if so minded, could legislate a fixed discount rate, applicable for all cases. Even if such authority were present, I would be loath to exercise it in the present case. At trial, the plaintiff called one economist and one actuary to give evidence on future trends in inflation and interest rates. It would be irresponsible for this Court to make an immutable pronouncement on a complex issue on the basis of such limited evidence. The findings made herein should, in justice, only bind the parties to the present litigation.

The principle remains that, absent legislation (see the *Judicature Amendment Act, 1979* (Ont.), 65, s. 6(5)) which directs the manner of calculating [the] discount rate (e.g., by setting a figure or by pegging the interest rate to return on specific investment vehicles and inflation to a particular index), the discount rate will vary according to the expert testimony led at trial.

This does not mean that there will never be any uniformity in the selection of discount rates. As litigants in these cases produce more thorough and rigorous economic data and as the judiciary becomes more familiar with this data, a certain uniformity will no doubt emerge.

As I have earlier indicated, the trial Judge selected 8.25% as the reasonable rate of return for high-grade investments of long-term duration. This was balanced against inflation (4%) and yielded a real rate of return of 4.25%. A productivity factor of 2% was then introduced. The Court of Appeal did not deal at any length with the evidence on this issue. Rather, it overturned the trial Judge's finding on the sole basis that this Court had adopted a 7% discount rate in *Teno v. Arnold*, *supra*, and there was "a basis" for adopting a similar rate in the present case. In imposing a 7% discount rate, the Court of Appeal did not explicitly state the assumptions which supported such figure. It is not clear, for example, whether the Court was eliminating the 2% productivity factor included by the trial Judge; nor is it clear what nominal rate of return the Court considered the plaintiff would receive a through investment of the damage award.

With respect, the Court of Appeal erred in treating the discount rate adopted in *Teno* as, virtually, a matter of law. The Court turned to the evidence in the case only to determine whether there was "a basis" for adopting a similar rate here. The Court should have commenced its inquiry with the finding of the trial judge and evidence adduced at trial, and should have left those findings undisturbed if supported on the evidence. The "trilogy" of cases was available for guidance on the basic questions of principle.

Turning to that evidence, it is true there was testimony which could have supported a higher discount rate. There was, however, ample evidence to support the trial Judge's finding that inflation would run at approximately 4% and long-term investment rates would average 8.25%. Productivity was not raised as a factor in the "trilogy" but I consider it an appropriate component of a damage award in a proper case. There was evidence to support the 2% figure selected by the trial Judge.

In the result, I would reverse the judgment of the Court of Appeal on this point and restore the finding at trial.

6. *Future Earnings of Children*. What is the appropriate method for determining the prospective loss of earnings of a child? In *Arnold v Teno*, [1978] 2 SCR 287, 83 DLR (3d) 609, Spence J dealt with the claim of a totally disabled four-year-old girl as follows (at 328-32 (SCR), 625 (DLR)):

I turn next to the consideration of an award to cover the income which the infant plaintiff would have earned had she grown to womanhood and joined the work force. ...

Zuber JA in his reasons for the Court of Appeal for Ontario, assigned the sum of \$115,000 to cover this loss of future income. His reasons for doing so are set out in one paragraph which I quote:

Diane Teno is entitled to be compensated for the loss of future income she would have earned but for this accident. Inherent in this statement, there is the obvious difficulty of selecting the income she would have earned. In view of Diane's age, obviously no evidence could be tendered as to what in fact her potential earnings might have been. It was disclosed in evidence that Diane's mother, Yvonne, was a teacher, earning in excess of \$10,000. In the absence of any other guide, the trial Judge rightly used this as some indication of Diane's potential. ...

The allowance of an amount for loss of future income in the present case is extremely difficult. The plaintiff at the time of her injury was a four-and-a-half-year-old child. There can be no evidence whatsoever which will assist us in determining whether she ever would have become a member of the work force or whether she would have grown up in her own home and then married. There can be no evidence upon which we may assess whether she would have had a successful business future or have been a failure. Since the Court is bound not to act on mere speculation, I do not see how this Court could approve the course taken by Zuber JA, which simply amounted to assuming, as he quite frankly said, "in the absence of any other guide," that the infant plaintiff would follow the course of her mother who was a primary school teacher with an income of \$10,000 per year. On the other hand, I do not think we can assume that a bright little girl would not grow up to earn her living and would be a public charge, and we are not entitled to free the defendants, who have been found guilty of negligence, from the payment of some sum which would be a present value of the future income which I think we must assume the infant plaintiff would earn. It must be remembered that the allowance for future care provides only for the cost of attendants and that like everyone else the infant plaintiff has to eat, clothe herself and shelter herself.

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As I have said, I think we must make an award of some sum but we have no guidance whatsoever in the fixation of that sum. It would seem to me that we are entitled to say that the infant plaintiff would not have become a public charge. To award an annual loss of income of the sum of \$5,000 is to make an award of an amount which, in the present economic state, is merely on the poverty level, yet, I cannot justify an award based on an amount of \$10,000 as did Zuber JA. I think that we would be doing justice to both plaintiff and defendants, and I find it equitable, to determine that the infant plaintiff would, at least, have earned \$7,500 per year for her business life.

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I am of the view that annual amounts should only be calculated from the time the infant plaintiff would have reached 20 years of age until she would have reached the normal retirement age in industry today of 65 years. Moreover, when we assume that the plaintiff would have been a wage earner, we must also consider that all wage earners are faced with possibilities of failure through illness short of death, financial disasters, personality defects, and other causes. I, therefore, believe that we should allow a 20% contingency deduction from the \$7,500 to make a net annual loss of income of \$6,000 and then calculate the present

value of payments of \$6,000 commencing at the time the infant plaintiff would have attained the age of 20 years and continue until she would have reached 65 years. That present value, in my view, should be calculated at the same discount rate of 7% as the present value of the amount provided for future care for the reasons which I have discussed above.

7. In *Toneguzzo-Norvell (Guardian ad litem of) v Burnaby Hospital*, [1994] 1 SCR 114, 110 DLR (4th) 289, the plaintiff was a girl who had been injured at birth by the defendant's negligence. McLachlin J stated (at 124-25 (SCR)):

The trial judge, noting that assessing loss of future earning capacity involves many hypotheticals, based his analysis in the main on the assumptions proposed by Jessica's counsel: that Jessica, had she not been injured, would have received non-university post-secondary education; and that she would have entered the workforce at the age of 19 and remained in it until the age of 65. This resulted in an award, when discounted to present value, of \$292,758.

But the trial judge went further. Jessica's counsel had not asked him to increase the award to compensate for the fact that the earning tables for women reflect past inequities which have historically resulted in women on average earning less than men, inequities which arguably should not be imposed on Jessica. Nevertheless, the trial judge took this matter into consideration. Given the conduct of the case, he had no evidence before him of what people would earn in the future, assuming income parity between females and males. Indeed, he did not have the male earnings tables in evidence before him. This absence of evidence precluded a detailed calculation on a "gender neutral" basis. But the trial judge did consider this factor as one of the positive contingencies which justified a higher award than might otherwise be the case, stating that he was weighing "other contingencies such as the possibility of family income, early retirement packages *and the trend to increase and equalize the salaries of women with those of men*" (emphasis added). The Court of Appeal generally affirmed the trial judge's conclusions on this point.

Before us, counsel for Jessica argued that both the trial judge and the Court of Appeal had erred. She urged this court to set aside their award for lost future earning capacity and to substitute an award based on male earning tables.

Any attempt to implement this submission on this appeal runs squarely up against the impediment that, on the record and submissions of counsel before the trial judge, it is impossible to say that the trial judge erred, much less that his conclusion on the award for lost future earning capacity was wholly erroneous. The trial judge in fact went further than counsel for Jessica urged him to do in considering the potential inequity of applying earning tables based on past earnings of women. Given that the only evidence on the record before the trial judge was the earning table for women, and given that he was asked to apply only this table, the most the trial judge could do was take into account as a positive contingency the expectation that as greater equality is achieved between men and women in our society, women's earnings will increase. This court is in no better position. Due to the manner in which this case was presented at trial, we are not in a position to entertain the arguments advanced for the first time in this court that female earning tables should be replaced by other alternatives. Consideration of these arguments must await another case, where the proper evidentiary foundation has been laid.

The Supreme Court of Israel considered the issue avoided in *Toneguzzo-Norvell* in *Migdal Insurance v Abu Hanna*, CA 10064/02 (2005), in which the injured plaintiff was a one-year-old girl from a village where women generally did not seek employment outside the home after marriage. The defendant argued that the lost earnings should be computed by reference to "objective evidence" of her potential earning power, including her "personal and familial background, the employment patterns of her sector, and, above all, the average wage data of the village ... where she lived." The court rejected this argument, holding that the appropriate statistical basis for computing lost earnings was data about the average wage in the country.

RIVLIN J: Every person has the right to write the narrative of his life. This is the individual's autonomy, which is part of a person's human dignity and freedom. ...

When a tortious act deprives a person of the capacity to choose the outline of his life, the law of torts seeks to restore the status quo, and, so far as it can, to return the right that was lost, i.e., to the right to sketch the narrative of his life, a narrative of hope, a narrative of the aspiration to realize this hope. This is also the case when a tortious act diminishes a person's earning capacity. This diminution lessens the possible life-paths available for each person's choices. It restricts the horizon of possibilities that are open to him. It chains him in the bonds of disability Restoration of the status quo comes to correct the situation created as a result of the injury. It comes to negate, to the extent it can, the result of breach of equality between plaintiff and defendant according to Aristotle's conception. In our case, it comes to correct the restricted horizon of vocational possibilities seen from the eyes of the injured person. (On the conception of corrective justice in tort law, see E.J. Weinrib, "Understanding Tort Law," 23 *Val. U. L. Rev.* 485 (1989).) Corrective justice, as an important goal of the law of torts, is just one branch of a large tree that expresses the conception of universal justice, the justice that requires equality, that requires recognition of the right to autonomy, and that nourishes hope.

How, then, does the law of torts restore the status quo for a person whose ability to work has been lessened or destroyed. The law must forecast the future and estimate what his income would have been had he not been injured in the accident. In effect, the court has to sketch the map of the life of the person without the injury and compare it to the map of his life after his injury. Sometimes the injured person reveals—by word, deed, conduct or way of life—how he intended to direct his path and what could be forecast for him in the area of employment. Thus, for example, the pattern of his life, the horizon for promotion in his place of employment, academic studies, realizable aspirations, all these and other facts allow one to forecast what his real income would have been had the accident not occurred Unfortunately, sometimes the injured person does not tell us anything. The path on which he would have trod in the future has not yet begun. Our case of the infant is a conspicuous example of this. ...

When we are dealing with an infant, we look around then for a basis that will allow us to compensate despite the shroud of uncertainty. In practice, we seek to locate a basis that will reflect the range of possibilities that was open to the injured infant. This basis has to express not only the possibility that the infant on maturity would be found on the lowest stratum of employment, but also the possibility that in due course he would have achieved professional greatness. This basis has to encompass the range of narratives that are open to a child in Israel—every child, of whatever sex, origin, race or religion. The average level of employment in the market is the best basis for realizing this goal. The choice of any other basis on the exclusive ground that the injured infant belongs to a certain group signifies adherence to the assumption that the vocational opportunities that exist in Israel are not open—and never will be open in the future—to a child of that group. This denial had no factual or normative ground. ...

The use of statistical data based on the sector, race or ethnic group of the injured person gives effect to the prevailing division of resources in society. It weights the past but does not reflect the reality of the future. This is not normatively appropriate. Restoring the status quo under the heading of loss of earning power means bringing the injured person to the place destined for him in the future, not returning to the place where his forefathers (and foremothers) were in the past. ... From the standpoint of corrective justice, it is not right to say that our approach turns the injurer into an instrument for pursuing social goals and for remedying an injustice built into society. The injurer is obliged to provide compensation that reflects what the injured person lost.

8. In *Walker v Ritchie* (2005), 197 OAC 81 (CA), the court rejected the argument that the income loss of the plaintiff, a 17-year-old girl at the time of the accident, should not be on the basis of gender-neutral earnings statistics:

The appellants ... submit that the trial judge erred in basing his award on statistics for all university graduates, as opposed to statistics for all female university graduates. ...

On the first ground, the trial judge discussed the legal principles. He considered *Tucker v. Asleson*, [1991] B.C.J. No. 954 (S.C.), where Finch J. applied the average university earnings of male graduates to an eight-year-old girl who suffered serious brain injury. In doing so, he found that “no educational or vocational opportunities were excluded to her,” although he subsequently applied a significant deduction for negative contingencies. In *Terracciano (Guardian ad litem of) v. Etheridge*, [1997] B.C.J. No. 1051 (S.C.) at para. 80, Saunders J. queried the applicability of average female earnings statistics, which he noted, “have hidden in them serious discounts for lower and sporadic participation in the labour market which are duplicated by many of the negative contingencies used by economists to massage the numbers downward.” Finally, the trial judge considered *Gray v. Macklin*, [2000] O.J. No. 4603 (S.C.J.), where evidence was called about the diminishing differential in men’s and women’s earnings. In *Gray*, the trial judge commented at para. 197 on historical wage inequities and the need for the court to “ensure as much as possible that the appropriate weight is given to societal trends in the labour market in order that the future loss of income properly reflects future circumstances.” In that case, the trial judge also discounted the award by a total of 30% for negative contingencies.

In *Audet (Guardian ad litem of) v. Bates*, [1998] B.C.J. No. 678 (S.C.), in assessing the damages for a female plaintiff asphyxiated during birth, the trial judge used gender-neutral earnings tables, saying at para. 76 that there was “no logical or compelling reason to differentiate between male and female earning capacity when making an assessment in relation to an infant whose work and education prospects cannot be identified or characterized with any precision.” However, the trial judge then discounted the award by 30% for negative contingencies.

In *MacCabe v. Westlock Roman Catholic Separate School District No. 110* (2001), 293 A.R. 41 (C.A.), the Alberta Court of Appeal held that, in the circumstances of the case, it was not reasonable to calculate the plaintiff’s damages based on male earnings. In that case, the plaintiff had given specific evidence that she wished to have four children and would have preferred to remain at home with them for some period of time. Accordingly, on that evidence, the plaintiff would not have achieved earnings equivalent to a male in similar circumstances. The Court of Appeal also noted at para. 125 that: “In general, tort law and in particular, the quantification of damages necessitates an individual approach.”

As in the other authorities that have considered this issue, the trial judge decided damages on the evidence before him. On the first objection, while damages awards are compensatory in nature and cannot be calculated in a manner that overcompensates a particular individual, a court must be equally cognizant of the fact that gender-based earnings statistics are grounded in retrospective historical data that may no longer accurately project the income a person would achieve in the future.

In this case, the trial judge cannot be said to have erred in applying gender-neutral earnings tables to Stephanie’s income loss. He did so on the basis of the evidence before him, which he accepted. In doing so, he noted that at least two of Stephanie’s potential options—teaching and kinetics—were areas where pay equity had been achieved. Further, he noted at para. 135 that female earnings tables were based on historical data and might be inappropriate “where the court is attempting to make a forecast stretching many years into the future.”

Further, the loss of income figure which the trial judge accepted included consideration of negative contingencies for layoff, unemployment, forced early retirement, and disability.

These contingencies, according to the evidence, were offset by employee benefits as well as by positive contingencies such as promotion, productivity increases, and the possibility of post-age-65 income. The trial judge's decision not to deduct a global amount for negative contingencies was firmly grounded in the evidence he accepted. It is worth noting that, in any event, the gender-neutral statistics, which are a composite of male and female statistics, inherently include absenteeism from the workforce, whether caused by reason of illness, childcare or other circumstance.

In this case, as in most, an individual approach is required to the assessment of future loss of income. The trial judge applied an individual approach to his assessment of Stephanie's loss of income. He chose to apply gender-neutral statistics. We see no error in his decision to do so or in his application of those statistics.

9. *Non-Pecuniary Damages*. *Lindal v Lindal*, [1981] 2 SCR 629, 129 DLR (3d) 263 confirmed the reduction to \$100,000 of an award for non-pecuniary losses that, because of the severity of the plaintiff's injuries, the trial court set above the upper limit of \$100,000 laid down in *Andrews*. Dickson J stated:

[T]he amount of an award for non-pecuniary damage should not depend alone upon the seriousness of the injury but upon its ability to ameliorate the condition of the victim considering his or her particular situation. It therefore will not follow that in considering what part of the maximum should be awarded the gravity of the injury alone will be determinative. An appreciation of the individual's loss is the key and the "need for solace will not necessarily correlate with the seriousness of the injury" (Cooper-Stephenson and Saunders, *Personal Injury Damages in Canada* (1981), p. 373). In dealing with an award of this nature it will be impossible to develop a "tariff." An award will vary in each case "to meet the specific circumstances of the individual case": *Thornton*, *supra*, at p. 490 DLR p. 284 SCR.

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I would here reaffirm, for all the reasons outlined above, a rough upper limit of \$100,000 for non-pecuniary loss in cases of severe personal injury, as providing a measure of uniformity and predictability in this difficult area. None of us, however, is unaware of, or unaffected by, the inflationary trend and the erosion in the value of money since the trilogy of cases was decided by this Court. The value of money has been steadily declining. It seems only reasonable therefore to reaffirm the statement in *Andrews*, at p. 477 DLR p. 263 SCR, that the figures must be viewed flexibly in recognition of, *inter alia*, "changing economic conditions." Such amount of \$100,000 should be subject to increase upon proof of, or agreement as to, the effect of inflation on the value of money since the decisions of this Court in *Andrews*, *Teno* and *Thornton*. ...

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The award of \$100,000 for non-pecuniary loss in the trilogy was not in any sense of valuation of the assets which had been lost by *Andrews*, *Thornton* and *Teno*. As has been emphasized, these assets do not have a money value, and thus an objective valuation is impossible. The award of \$100,000 was made, as earlier indicated, in order to provide more general physical arrangements above and beyond those directly relating to the injuries in order to make life more endurable. This is reflected in the fact that an identical sum was awarded to each of the three plaintiffs in those cases, even though their injuries were quite different. ...

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The limit of \$100,000 was not selected because the plaintiff could only make use of \$100,000 and no more. Quite the opposite. It was selected because without it, there would be no limit to the various uses to which a plaintiff could put a fund of money. The defendant, and ultimately, society at large, would be in the position of satisfying extravagant claims by severely injured plaintiffs.

In some provinces non-pecuniary damages for automobile injuries have been further limited by regulation under their respective insurance acts. The Alberta *Minor Injury Regulation*, Alta Reg 123/2004, for example, caps non-pecuniary damages for a defined set of minor injuries (sprains, strains, and whiplash-associated disorders) at \$4,000, adjusted annually for inflation beginning in 2007. The constitutionality of this measure was upheld by the Alberta Court of Appeal in *Morrow v Zhang*, 2009 ABCA 215. The Supreme Court of Canada subsequently dismissed an application for leave to appeal.

10. Damages for non-pecuniary losses like pain and suffering have been severely criticized. For example, Jaffe, "Damages for Personal Injury: The Impact of Insurance" (1953) 18 Law & Contemp Probs 219 at 221, writes:

We have come to accept almost without question the monetary evaluation of the immeasurable perturbations of the spirit. But why should the law measure in monetary terms a loss which has no monetary dimension? If A takes B's chattel he should return it or pay for it; if he destroys it he has had his way with B's goods and should pay. At least this seems clear where A's conduct is blameworthy. A has or has had what is B's and if the law can return to B the chattel or its equivalent it is acting on the maxim to each his own. The case provides an analogy for a case involving a total or partial destruction of B's earning power. If A's act was innocent, under the modern law he has not had to pay. Though in a sense he may be said to have taken away he has not received anything. Where, however, he has wrongfully deprived B of his earning power the law can and will order him to return its equivalent. But what of the apprehension of injury, and the pain and suffering of it? At this point the analogy to the deprivation of a valued good breaks down. This is clearly true of suffering which is in the past. It is less true for pain still to be faced. The pain I have suffered may leave me a better or a worse man, it may leave me with a memory of pain or a sense of gratitude for pain departed. To put a monetary value on the unpleasant emotional characteristics of experience is to function without any intelligible guiding premises.

But why we may ask *should* the plaintiff be compensated in money for an experience which involves no financial loss? It cannot be on the principle of returning what is his own. Essentially that principle rests on an economic foundation: on maintaining the integrity of the economic arrangements which provide the normally expectable basis for livelihood in our society. Pain is a harm, an "injury," but neither past pain nor its compensation has any consistent economic significance. The past experience is not a loss except insofar as it produced present deterioration. It will be said, however, that these arguments betray a limited, a Philistine view of the law's concern, one that the law has happily transcended. This objection mistakes the argument. Of course the law is concerned, and properly so, with other than economic interests. The criminal law and the tort law insofar as punitive (that is to say insofar as the conduct of the plaintiff warrants punishment) is much concerned with the protection of non-economic interests; and to punishment may be added judicial remedies of a preventive character such as the injunction against nuisances, invasions of privacy, etc., and legislative devices such as zoning.

I am aware, however, that though the premise may elude detection, some deep intuition may claim to validate this process of evaluating the imponderable. One who has suffered a violation of his bodily integrity may feel a sense of continuing outrage. This is particularly true where there has been disfigurement or loss of a member (even though not giving rise to economic loss). Because our society sets a high value on money it uses money or price as a means of recognizing the worth of non-economic as well as economic goods. If, insists the plaintiff, society really values my personality, my bodily integrity it will signify its sincerity by paying me a sum of money. Damages thus may somewhat re-establish the plaintiff's self-confidence, wipe out his sense of outrage. Furthermore, though money is not an equivalent it may be a consolation, a solatium. These arguments, however, are most valid for

disfigurements or loss of member giving rise to a continuing sense of injury. (And in such cases there may be potential economic injury which cannot be established.) It is doubtful that past pain figures strongly as present outrage. And even granting these arguments there must be set over against them the arbitrary indeterminateness of the evaluation. Insurance aside, it is doubtful justice seriously to embarrass a defendant, though negligent, by real economic loss in order to do honor to plaintiff's experience of pain. And insurance present, it is doubtful that the pooled social fund of savings should be charged with sums of indeterminate amount when compensation performs no specific economic function. This consideration becomes the stronger as year after year the amounts set aside for the security account become a larger proportion of the national income.

11. Several states in the United States have legislated caps similar in principle (though at a higher level) to that set by the Supreme Court of Canada. Geistfeld, "Placing a Price on Pain and Suffering: A Method for Helping Juries Determine Tort Damages for Nonmonetary Injuries" (1995) 83 Cal L Rev 773 at 790, criticizes such caps:

Capping damages is problematic because it fails to address the fundamental problems created by the current system for awarding pain-and-suffering damages. This reform does not help juries or courts determine the appropriate award in the first instance, and thus any awards below the cap are subject to the same claims of arbitrariness and unfairness that plague the current system. Indeed, caps or ceilings actually introduce a new element of unfairness into the system because studies show that caps do not affect all tort cases equally, but rather have a targeted effect on the most severe injuries. If the most severe injuries tended to involve the most excessive awards, then there would be a degree of vertical inequity in the current system that might justify caps. The data, however, show that the most severe injuries involve inadequate rather than excessive damages awards. Caps therefore have the effect of placing the entire burden of reform on those severely injured plaintiffs who are in greatest need of the full pain-and-suffering award for just compensation. This unjust burden appears to be a rather steep price to pay for any benefits that caps create by reducing legal uncertainty, which explains why this reform has been disfavored by courts and commentators.

Instead, Geistfeld proposes (at 841) that the law reflect the following hypothetical jury instruction:

To determine the appropriate sum of money for the plaintiff's pain-and-suffering injury, the law allows you to award the plaintiff a sum that will reasonably compensate her for any past physical pain, as well as pain that is reasonably certain to be suffered in the future as a result of the defendant's wrongdoing. For this reason, you should consider all the evidence bearing on the nature of the injuries, the certainty of future pain, the severity, and the likely duration thereof.

In determining the amount of these damages, you should recognize that the defendant did not know for certain that the plaintiff would be injured, nor did the defendant intend for the plaintiff to be harmed. Rather, the defendant must pay for the plaintiff's injury because the defendant is legally responsible for the unreasonable risk of harm that caused the injury. Consequently, the damages award should equal the amount of money that a reasonable person would have accepted as fair compensation for the pain-and-suffering injury when confronted by the risk of suffering that injury.

You may assume that the defendant's wrongdoing resulted in the plaintiff being exposed to a 1-in-10,000 risk of injury. This means that one injury identical to the plaintiff's pain-and-suffering injury would occur on average for every 10,000 times that an individual in the plaintiff's position was exposed to this risk. To determine what is fair compensation for the pain-and-suffering injury in light of this 1-in-10,000 risk, assume that a reasonable person is given the choice to purchase a safety device that would eliminate only this risk. If the individual purchased the safety device, she would continue to face the risk of suffering other

injuries, but the safety device would completely eliminate the 1-in-10,000 risk that this individual would end up with a pain-and-suffering injury as severe as the plaintiff's injury. In choosing between spending money on this safety device or facing this 1-in-10,000 risk of injury, a reasonable person would compare the cost of eliminating the risk with the cost of the injury that she might suffer if the safety device were not purchased. For this reason, the maximum amount that a reasonable person would be willing to pay to eliminate the risk of injury reflects that person's assessment of the cost of the pain-and-suffering injury that would be avoided if the risk were eliminated.

This explains why you can determine the pain-and-suffering award by answering the following question: What is the maximum amount of money that a reasonable person would have been willing to pay to eliminate the 1-in-10,000 risk of ending up with an injury as severe as the plaintiff's pain-and-suffering injury? Upon reaching an answer, if you multiply the amount by 10,000, you will get the amount of money that would fairly compensate the plaintiff for her pain-and-suffering injury.

12. *Non-Monetary Remedies*. Bender, "Changing the Values in Tort Law" (1990) 25 *Tulsa LJ* 759 at 768, proposes a different approach:

My suggestion is that we use feminist theory to change the meaning of responsibility in tort—which now means primarily an obligation to make monetary reparations for harms caused—to a meaning rooted in a concept of care. This enriched meaning of responsibility arises out of our recognition of our interconnectedness as human beings and has to do with responding through interpersonal caregiving to the needs of someone who has been injured. It means taking care of. Responsibility as taking care of, rather than solely as paying for, seems completely absent from the law although it is part of our social understanding of the meaning of responsibility that arises out of our experiences as parents, siblings, lovers, friends, and neighbors. It is time for legal responsibility to include this meaning.

A responsibility to give care (or care for) has always existed in the lived experiences of tort victims and their friends and families. Injured people need direct, personal services of caregiving to survive and recover. Interpersonal caregiving always involves planning, organizing, managing, being available as needed, and keeping another's needs in the forefront of one's mind. Personal caregiving consists of both physical and emotional work in response to the needs of the person being care for. It runs the gamut from providing services such as shopping, transportation, and arranging for medical treatments, to retraining or educating, to feeding and aiding in personal hygiene care, to rebuilding self-confidence, and even to spending time with the injured person and treating her with dignity and importance. It requires personal time, energy, and attention from the caregiver in a manner completely ignored by the tort system.

The burden of caregiving has traditionally fallen on the friends and family of the injured and on people hired to do these tasks—usually lower class women who are paid too little and are given no prestige for their vital work. Tort law has never deemed interpersonal caregiving to be the responsibility of the tortfeasor, except perhaps to pay for a small portion of it. If interpersonal caregiving is a necessary and essential part of the social and moral responsibility involved in taking care of any injured person, why doesn't legal responsibility include it? Someone must always do this work when there is injury. If the law doesn't hold a tort defendant liable or responsible for this caregiving, who ends up being "held responsible" by default? The law's ignoring these responsibilities does not make them go away. And if all the law does is ask a harm-causing defendant to pay the costs of others' caregiving it is passing on or transferring the interpersonal caregiving responsibility to a third party instead of requiring a defendant to assume it.

It is arguable that the law's meaning of responsibility does not include interpersonal caregiving because that kind of work has traditionally been done by women, not by the men who created and developed tort law, nor by the men who ran the business world that

created all these mass torts and personal injuries. Those men may have inadvertently universalized the meaning of responsibility from their own experiences without recognizing its partiality and under inclusiveness. To them, being responsible for family usually meant providing financial support. Therefore, it is not surprising that when they wrote the law, “paying for” or “financial responsibility” became the definition of responsibility. But now, in the 1990s, we can see how flawed and incomplete that reasoning is.

Women have always known that responsibility means taking care of and that taking care of involves interpersonal caregiving, time, and energy. If women had designed tort remedies, we probably would have done it very differently. By using only part of human experience to construct law, we get laws that only partially respond to human needs. There is nothing natural or necessary about the way law is ordered now. We can construct tort law to recognize the human and social character of injured people rather than just their commodity or exchange value. We can change the meaning of responsibility in tort law to blend obligations to pay and obligations to give care. Neither one alone would be adequate—at least not until we get a system of guaranteed health care and income maintenance. If that came to pass, then we could cut back the meaning of responsibility to include only obligations of caregiving.

How can the law hold corporate defendants, corporate officers, and corporate decision-makers personally responsible in an interpersonal caregiving way for the mass harms they cause in their relentless pursuit of materialism and convenience? This is where we all need to brainstorm. We need to develop new kinds of remedies where corporate officers have nondelegable duties to provide direct interpersonal services—time and energy—for the care of their victims or of persons similarly situated. Each situation would be different. The specific kinds of care needed would depend on the particularized needs of the victim. If tortfeasors have to take direct personal caregiving responsibilities for the harms they cause, then families and friends of victims will be relieved of a portion of the increased responsibility the injuries have imposed upon them. The responsibilities will not be lifted completely from loved ones, but the help with them will be appreciated.

A salutary effect of this change might be that corporate officers would be goaded into reprioritizing health, welfare, and human dignity in their decisionmaking because they would know they would have to give personal caregiving services to persons injured by their actions or decisions. Because they would not want to spend their time, effort, and emotional energy on strangers they happened to injure while doing their jobs, they would take much greater care to avoid that potentiality. ...

A legal definition of responsibility in tort that includes notions of interpersonal caregiving, of taking care of, makes sense if we can agree on certain assumptions or premises. If we can agree that part of being human is being connected, interrelated, and mutually dependent; if we can agree that personal injuries always give rise to needs for interpersonal caregiving, in addition to needs for money; if we can agree that a language of torts that singularly translates injuries and responsibility into dollars is partial, inadequate, and disrespectful of the fullness of our human dignity; and if we can agree that we prefer values in tort law that go beyond economics and a language of dollars to include an ethic of care, I know that together we can develop concrete and practical remedies.

TOWNSEND V KROPPMANN'S

2004 SCC 10, [2004] 1 SCR 315

DESCHAMPS J:

[1] This appeal deals with issues which are often raised in large personal injury cases. It concerns management fees and tax gross-up awarded to a victim in a tort case. More specifically, first, should the award take into account the rate of return by

the victim and, second, should the tax gross-up and management fees be calculated on the estimated amount established at the time of the trial or on some other figure likely to become known at a later date. ...

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[5] Compensation aims at restoring the victim to the position that person would have been in had no loss been incurred. Compensation is awarded in the form of a lump sum payment. The dollar amount received for future costs is actually lower than projected costs because it is assumed that the amount paid will be invested and will earn income before being used for future needs. The same reasoning applies for loss of future income. The victim is awarded a lower amount for income than that person would have actually earned at a future date. In other words, the amounts are discounted to reflect the present value of the expenses incurred or the income earned at a future date, taking inflation adjustments into consideration. The purpose of the discount rate is thus to insure that victims will be fully compensated but that defendants will not be called on to overpay. In British Columbia, to avoid courts having to hear expert evidence in every case in order to determine the appropriate discount rate, s. 56 of the *Law and Equity Act*, RSBC 1996, c. 253, which was added in 1981 (SBC 1981, c. 10, s. 30), authorizes the Chief Justice of the British Columbia Supreme Court to set the discount rate. Pursuant to the *Law and Equity Regulation*, BC Reg. 352/81, which was adopted pursuant to s. 56 of the *Law and Equity Act*, the Chief Justice has fixed the discount rate at 2½ percent for future earnings and 3½ percent for future costs.

[6] The same underlying rationale guides the attribution of management fees and tax gross-up. The law aims at ensuring that the value of the amounts awarded to victims is maintained over time. In tort law, victims of personal injuries are awarded management fees when their ability to manage the amount they receive is impaired as a result of the tortious conduct. The purpose of this segment of the award is to ensure that amounts related to future needs are not exhausted prematurely due to the inability of the victims to manage their affairs. Depending on the needs of the victims, more or less extensive help is required. The assessment is made on a case-by-case basis: *Mandzuk v. Insurance Corporation of British Columbia*, [1988] 2 SCR 650. In the same vein, since the earnings on the capital awarded are subject to income tax, an amount called tax gross-up is awarded to ensure that the amount will not be eroded by the tax liability.

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I. REDUCTION OF MANAGEMENT FEES

[8] The appellants argue ... that when an allowance for investment counselling is made, one can expect the rate of return to be higher than that otherwise achieved, which is a benefit both the victim and the defendants should share. In their view, the reduction of 50 percent ordered by the trial judge was appropriate.

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[12] The ... appellants' argument, which seeks to compare the potential rate of return with the statutory rate, defeats the whole purpose of the deeming provision. The statutory discount rate is mandatory and renders irrelevant any evidence on actual or potential rates of return or inflation. In order to entertain the appellants' approach, courts would have to enquire into the potential rates of return and inflation with the assistance of expert actuarial evidence, compare it with the statutory rate to determine whether the victim is likely to achieve a higher rate than the one provided for by the statute, and then apportion any perceived overpayment between

the victim and the defendant. This kind of inquiry is exactly the one that the legislature allowed the parties to avoid by adopting a mandatory deeming provision. With the deeming provision, parties no longer need to adduce evidence on rate of return. Assessment of management fees should not be an indirect and incidental means of reverting to costly complex evidence.

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[16] A policy choice was made by the legislature to allow the parties to avoid the hurdles of evidence on rate of return. In addition to enhancing trial efficiency and saving valuable court time, it is likely that the important concerns of consistency in compensation awards and fairness to victims also motivated the imposition of a deemed rate. The Court must respect this policy choice and refrain from mixing deemed return with potential return achieved. ...

II. BASIS FOR CALCULATION OF THE MANAGEMENT FEES AND TAX GROSS-UP

[17] The appellants argue that the amount on which tax gross-up and management fees should be calculated is the amount that is closest to the actual amount the victim will eventually invest. As a consequence, deduction should be made for known expenses in order to identify the income-producing fund actually available.

[18] In fixing the award of damages in a tort action, courts rely on many principles. Three of them are of particular relevance to this case. First, there is the principle that damages are assessed and not calculated. The second principle is finality, according to which courts award a one-time lump sum of damages. Finally, the third principle is that the plaintiff has property over the award. I will examine each of these principles and explain how they affect the disposition of this case.

[19] First, damages are assessed and not calculated. Since it is impossible to calculate the exact amount of money that will be needed in the future, courts have to rely on actuarial evidence: *Andrews v. Grand & Toy Alberta Ltd.*, [1978] 2 SCR 229, at pp. 236-37. Actuarial evidence is itself based on experience and not on individual circumstances. Future costs and loss of future earnings are amounts that are estimated because, by definition, they are not yet incurred or earned. Although this hypothesis may seek to simulate reality, it remains notional. Courts can only provide the victim with an adequate amount to cover the loss caused by the defendant. There is no assurance that the amount will cover the actual costs of care that become incurred nor is the defendant guaranteed that he or she is not disbursing more than the strict minimum that becomes necessary to cover the victim's loss. In assessing damages, courts do not take into consideration what victims actually do with the award. The fact that the respondent here had to wait for almost five years before management fees were assessed creates an atypical situation, but these exceptional circumstances should not justify a departure of the usual rules. Notional amounts cannot be mixed with actual amounts when assessing future damages.

[20] Secondly, damages are awarded in a lump sum in order to respect the principle of finality: *Andrews, supra*, at p. 236. According to this principle, there has to be a clean break between the parties. It would be inconsistent with the principle of finality to authorize repeatedly revisiting the amount assessed as full and fair compensation at trial whenever new evidence became available. During the prospective period for which damages are awarded, the hypothesis may prove overly pessimistic for a period but overstated for another period. The award should not be reassessed every time reality reveals a discrepancy with the forecast. Therefore, monitoring the

respondent's use of the award or adjusting it with her changing circumstances would create more uncertainty than the present rule, would undermine the purpose of the statutory discount rate, and would improperly interfere with the third principle of damages relevant to this case.

[21] This final and most important principle is that the plaintiff has property of the award. The plaintiff is free to do whatever he or she wants with the sum of money awarded: *Andrews, supra*, at pp. 246-47. On this issue, I am in complete agreement with the reasons delivered by Finch CJBC in the Court of Appeal. He held that it is not relevant to inquire into how the plaintiff chooses to spend the amounts recovered for the assessment of damages for management fees and tax gross-up. Consequently, management fees and tax gross-up are to be assessed based on the first assessment of damages and not according to the amount available for investment as eventually found at some indeterminate future date. In other words, the appropriate basis for calculation is the one determined at trial, without considering what happens thereafter. It is improper for a trial judge to consider what the plaintiff does with awarded damages. As Dickson J, as he then was, wrote in *Andrews, supra*, at pp. 246-47:

It is not for the Court to conjecture upon how a plaintiff will spend the amount awarded to him. There is always the possibility that the victim will not invest his award wisely but will dissipate it. That is not something which ought to be allowed to affect a consideration of the proper basis of compensation within a fault-based system. The plaintiff is free to do with that sum of money as he likes.

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[23] In the case at bar, the victim chose to pay her legal fees and buy a house. There is no principled reason why these expenses should be deducted from the award for costs of future care rather than assuming that other sources can bear the cost. This is particularly important in the case of damages awarded for costs of future care. This head of damages is aimed at ensuring an adequate level of care to a person injured as a result of tortious conduct. To reduce those damages would defeat the very purpose of ensuring decent care and full compensation to a victim. Even if it was demonstrated that legal fees were paid with the future costs award because no other funds were available, such a deduction would be irrelevant and inadmissible. The goal of compensation is to provide the plaintiff with the means to be placed in the position she would have been in had the defendant not committed a tort against her. The plaintiff's future actions do not alter the court's duty to meet this objective.

[24] Moreover, an impecunious person should not be penalized for using part of the damages to accord with his or her priorities. On the reasoning advanced by the appellants, a victim in a position to pay his or her legal fees with personal money would always receive the amount required for tax gross-up and management fees whereas an impecunious person would always receive a reduced amount. This distinction is repugnant to the law. The damages are part of the plaintiff's assets as much as any other sum of money. As a matter of fairness, every victim must be compensated on the same basis and no distinction should be made between a plaintiff who can pay out of savings and a plaintiff who has to resort to the damages awarded to pay legal fees.

[25] In light of the above, the appellants' arguments cannot be accepted. No reduction of the management fees is allowed and the amounts spent by the respondent on her legal fees and for the purchase of a house should not be deducted from the amount upon which management fees and tax gross-up are calculated.

WILSON V MARTINELLO
(1995), 125 DLR (4th) 240 (Ont CA)

[In an action under the *Family Law Reform Act*, RSO 1990, c F.3, s 67 (which provides that specified relatives of a person who has been tortiously injured or killed are entitled to compensation for, *inter alia*, the loss of guidance, care, and companionship), the appellant admitted liability for the death of the respondent's wife and daughter in an automobile accident. The respondent wanted a lump-sum award because he was contemplating investing in a franchise.]

FINLAYSON JA (McKINLAY and WEILER JJA concurring): ... The one issue of substance in this appeal concerns the circumstances in which a trial judge is entitled to include an allowance for gross-up for income taxes and a management fee in a lump sum award for future pecuniary loss under Part V of the FLA. An examination of this issue revolves around the interpretation of s. 116 of the *Courts of Justice Act*, RSO 1990, c. C.43 (hereinafter the Act).

RELEVANT LEGISLATION AND RULES

A. SECTION 116 OF THE ACT

116(1) In a proceeding where damages are claimed for personal injuries or under Part V of the *Family Law Act* for loss resulting from the injury to or death of a person, the court,

(a) if all affected parties consent, may order the defendant to pay all or part of the award for damages periodically on such terms as the court considers just; and

(b) if the plaintiff requests that an amount be included in the award to compensate for income tax payable on the award, shall order the defendant to pay all or part of the award periodically on such terms as the court considers just.

(2) An order under clause (1)(b) shall not be made if the parties otherwise consent or if the court is of the opinion that the order would not be in the best interests of the plaintiff, having regard to all the circumstances of the case.

(3) In considering the best interests of the plaintiff, the court shall take into account,

(a) whether the defendant has sufficient means to fund an adequate scheme of periodic payments;

(b) whether the plaintiff has a plan or a method of payment that is better able to meet the interests of the plaintiff than periodic payments by the defendant; and

(c) whether a scheme of periodic payments is practicable having regard to all the circumstances of the case.

(4) In an order made under this section, the court may, with the consent of all the affected parties, order that the award be subject to future review and revision in such circumstances and on such terms as the court considers just.

(5) If the court does not make an order for periodic payment under subsection (1), it shall make an award for damages that shall include an amount to offset liability for income tax on income from investment of the award.

C. SECTION 66(2)(V) OF THE ACT

66(2) The Civil Rules Committee may make rules for the courts described in subsection (1), even though they alter or conform to the substantive law, in relation to, ...

(v) the method of calculating the amount to be included in an award of damages to offset any liability for income tax on income from investment of the award ...

D. RULE 53.09 OF THE RULES OF CIVIL PROCEDURE, RRO 1990, REG. 194 ("RULES")

Discount Rate

53.09(1) The discount rate to be used in determining the amount of an award in respect of future pecuniary damages, to the extent that it reflects the difference between estimated investment and price inflation rates, is 2½ per cent per year.

Gross-Up

(2) In calculating the amount to be included in the award to offset any liability for income tax on income from investment of the award, the court shall, (a) assume that the entire award will be invested in fixed income securities; and (b) determine the rate to be assumed for future inflation in accordance with the following formula: ... [Formula not reproduced.]

BACKGROUND TO THE CONCEPT OF GROSS-UP

The court had the benefit of full argument from both counsel on the issue of when a trial judge can include gross-up and a management fee in a lump sum award for future pecuniary losses. As it turned out, there was very little difference of opinion between counsel save for the final resolution of the issue. The following appears to be accepted by both parties for the purposes of this appeal.

(1) "Gross-up" is the practice of increasing lump sum awards for future care costs and pecuniary losses in personal injury cases (other than loss of future income) and for pecuniary losses in fatal accident cases to take into account the impact of taxation on the income generated by lump sum awards in respect of those heads of damages. It has been accepted at common law as a proper head of damages to be included in a lump sum award at trial: see *McErlean v. Sarel* (1987), 42 DLR (4th) 577 at pp. 611-13, 42 CCLT 78, 61 OR (2d) 396 (CA). The gross-up in this case was 57% of the sum of the two claims for pecuniary loss, namely future dependency (\$195,000) and loss of future housekeeping services (\$109,900). The result is \$173,280.

(2) A "structured settlement" is a method of paying an agreed future loss on a periodic basis. It has been defined by Revenue Canada as a means of paying or settling a claim for damages through the purchase of an annuity so that amounts paid to the claimant as a result of the judgment or settlement are not eroded by income tax once in the claimant's hands (Revenue Canada Bulletin IT-365R2, dated May 8, 1987). In practice, payments made under structured settlements are not subject to income tax. Since the payments are predetermined and paid periodically by a life insurer (usually over the lifetime of the recipient) there is no need to provide for a management fee to assist in investment as with the income generated by the investment of a lump sum award. A structured settlement is described in this way in the

Report of Inquiry into Motor Vehicle Accident Compensation in Ontario, vol. 1 (Toronto: Queen's Printer for Ontario, 1988) (chair: Mr. Justice Coulter Osborne) (hereinafter the Osborne Report). At p. 417 of that report the Honourable Mr. Justice Osborne wrote:

Structured settlements have come to be identified with the periodic payment of damages by means of an annuity; the annuity is purchased by the defendant's casualty insurer from a life insurer. Annuity payments flow to the injured plaintiff as tax-free damages. The annuity contract is owned by the casualty insurer, which guarantees payment to the injured person. The increasing popularity of structured settlements is largely attributable to the cost of gross-up. Because periodic payments flowing to the injured party are non-taxable, gross-up is not an issue.

(3) While there are a number of advantages to a structured settlement or award, the most compelling one relates to the elimination of the significant cost to defendants (and particularly their insurers) of gross-up on pecuniary damages in fatal accident cases and in compensation for future care in personal injury cases: see Osborne Report at p. 422. Another benefit is the elimination of the plaintiff's investment risk and the consequent elimination of the need to consider management costs: see Osborne Report at p. 422.

(4) At common law, a plaintiff was not obliged to accept a structured settlement and the court had no jurisdiction to impose one upon him: see *McErlean v. Sarel*, *supra*, at p. 614.

(5) Section 116 of the Act was intended to implement the recommendations of the Osborne Report. Specifically that report stated at pp. 424-5:

Under the circumstances, I recommend that ... the *Courts of Justice Act* be amended to provide for mandatory structured judgments at the discretion of the trial judge for future care costs and pecuniary loss in fatal accident cases. As a practical matter this would only apply in cases where the defendants are insured. Just as in the current system, the trial judge or jury will determine the plaintiff's future care costs as part of the required findings of fact. In fatal accident cases, the trial judge will make a finding as to a defendant's future pecuniary loss arising out of death. All affected parties may then give submissions on the structured settlement issue. If the trial judge is satisfied that lump sum compensation without gross-up should be paid, damages can be assessed in the usual way. If the trial judge, in considering the interests of affected parties and the public interest, is persuaded that the consequences of the taxation of a lump sum established for future care cost compensation or for pecuniary loss in fatal accident cases should be recognized, the trial judge may exercise discretion and impose a structured judgment.

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(7) Section 116(1)(b) of the Act contains a patent drafting error. It purports to describe a request by the plaintiff for gross-up, but gross-up is compensation for income tax payable on income from the investment of the award, not compensation for income tax payable on the award. There is no tax on the award as such. The language of s-s. (1)(b) should track that in s. 116(5) which provides for gross-up where there is no structured award. The parties to this appeal were in agreement that the language of s. 116(1)(b) should read:

(b) if the plaintiff requests that an amount be included in the award to compensate for income tax payable on *income from the investment* of the award, shall order the defendant to pay all or part of the award periodically on such terms as the court considers just.

(Emphasis added.)

ANALYSIS

MEANING OF SECTION 116 OF THE ACT

One matter upon which counsel and the members of the court were in full agreement was that s. 116 of the Act is very badly drafted. However, the court must take the responsibility of determining the legislature's intention and, if at all possible, give the legislation an interpretation that is intelligible. To this end, I start with the assumption that the legislature intended to give to the court a jurisdiction that it did not possess formerly under s. 129 of the Act. Specifically, the court was given the power to impose a structured award upon a plaintiff in a claim for future pecuniary damages where the plaintiff seeks to include in the award an amount to offset any liability for income tax on income from the investment of the award. In other words, if the plaintiff now seeks a gross-up, the court does not require the plaintiff's consent to structure the award so that it does not attract income tax and thereby eliminate the need to gross-up the award. ...

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Counsel for the plaintiff proceeded [at trial] on the basis that since the key to triggering mandatory structuring of the award was the plaintiff's request for gross-up, the tactic of choice was for the plaintiff not to make the request. He attempted to avoid the predicament of appearing to "request" an amount to compensate for income taxes to be included in the award by stating that he was not making such a request. He then submitted that since no request for gross-up had been made, the court could not order periodic payments (a structure) to avoid the necessity for a gross-up. This led to counsel's conclusion that the court was obliged to award gross-up under s-s. (5) because it had not ordered periodic payments under s-s. (1)(a) or (b). That is to say that he was not requesting a "gross-up" under s-s. (1)(b) and accordingly the trial judge was obliged to award "gross-up" under s-s. (5). To magnify the absurdity of counsel's position that no request for gross-up was being made, the only party to lead evidence as to the quantum of the gross-up was the plaintiff.

Unfortunately, the trial judge felt obliged to go along with this charade. As he put it: "The effect of this argument is that 'we are not requesting it but you must give it to us.'" After lamenting the lack of clarity in the subsection, he concluded that "no request by the plaintiff as set out in s-s. (1)(b) has been made and I must therefore order a gross-up pursuant to s. 116(5)." ...

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The section is directed to the restriction of allowances for gross-up by utilizing structured awards except in those circumstances where the plaintiff can demonstrate that a structure is not in the plaintiff's best interests. From the Osborne Report, *supra*, it is apparent that gross-up represents a very significant cost to casualty insurers in this province and the legislature has obviously directed its attention to granting them some relief by mandating structured awards in appropriate cases. On the other hand, most plaintiffs' lawyers and some academics oppose any departure from the traditional lump sum award of full compensation. ... The fact that the legislation only restricts the circumstances in which the plaintiff can be awarded gross-up, as opposed to eliminating it, suggests some compromise on the part of the legislature. The result, in my opinion, is that the plaintiff cannot avoid a structured award if he requests gross-up unless he can demonstrate that the structure proposed by the defendant is not in the plaintiff's best interests.

Accordingly, the trial judge was in error in going along with the artificial posture adopted by the plaintiff. ...

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WHAT DOES "BEST INTERESTS OF THE PLAINTIFF" MEAN?

In testifying as to why he wanted a lump sum payment, the plaintiff said that he was considering investing it in a franchise operation such as Tim Horton's Donuts. ...

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The overriding submission of counsel for the defendants in this appeal is that s. 116(3)(b) imposes upon the plaintiff an obligation to adduce reliable evidence that he "has a plan or a method of payment that is better able to meet [his] interests than periodic payments by the defendant." He submits that there is a total failure of proof on this record that this onus has been met and argues that the plan we have is too ephemeral and could amount to a "wasting of scarce assets." While I concede that there is a public interest in keeping insurance premiums at the lowest level possible, I do not see the role of the court as being that of an administrator of insurance funds. Rather, our role is to determine on the facts of each case whether the plaintiff has demonstrated that a structured award in his case would not be in his best interests.

I think that counsel for the defendants is creating his own problems by insisting upon a reconciliation between the structure that he is advocating and the plan or method of payment that the plaintiff proposes. Defendant's counsel emphasizes that the plaintiff must propose a method of payment which is superior to the periodic payments of the defendant, as if this was simply a contest between structured awards. In the case on appeal, the contest is between periodic payments and no periodic payments. The plaintiff is not bound by s. 116 of the Act to propose an alternative structure to that of the defendant. He need give no undertaking that he will invest it in any particular manner. He wants a lump sum payment to invest or spend as he pleases. The only issue facing the trial judge is whether he should be allowed to have it.

Having regard to the circumstances of this case and the background of the plaintiff, the court is not required to scrutinize too critically the investment plans of the plaintiff in order to make a ruling as to his best interests. The trial judge was of the opinion that periodic payments would not be in the best interests of the plaintiff because that would prevent him from buying a franchise such as Tim Hortons. I agree with this conclusion. ...

This is not the usual case which calls for a structured award. We are dealing here with a husband who has lost his wife and one of his daughters. They were killed outright. There is no ongoing obligation on his part to provide them with future medical and financial care. A structure is not required to provide the victims of this accident with a source of income for the rest of their lives that would ensure that their needs are met, regardless of what the plaintiff husband does. The two victims will never be a charge on society.

On the other side of the coin, we are dealing with a mature plaintiff who was 44 years of age at the time of these fatalities. His only other dependant is a daughter who was 15 years of age at that time. She is a normal and healthy teenager and will in time leave the family household. The plaintiff is a school teacher who obtained his Bachelor of Arts degree in commerce and sociology in 1977 and has taught at various schools since then. At the time in question, he had taught at Brampton Centennial School since August of 1984 and is currently the assistant head of student services in charge of co-op education programs. According to his counsel, he had worked as an industrial relations supervisor between 1974 and 1976 and had some 10 years working in private industry before obtaining his degree and entering the teaching profession.

The trial judge was alive to all of the considerations that I have discussed above and I can find no error in principle in what he did. In the end, he appears to have

looked at the effect of s. 116 of the Act on the *status quo ante* that is reflected in the judgment of this court in *McErlean v. Sarel*, *supra* at p. 614:

While we accept, of course, that the respondent is under a duty to mitigate his damages and should not be able to recover losses that are reasonably avoidable, we do not think that if he does not agree to accept periodic payments he should receive less than what he is entitled to as part of the lump-sum award. Whether or not a better system of compensation should be devised, and we are aware of various reform proposals in this regard, the respondent is legally entitled to a lump-sum judgment and is not legally obliged to accept periodic payments. He should not be penalized by asserting a claim to which he is entitled.

As the trial judge pointed out, the only change since the above decision has been the passage of s. 116 of the Act. Once the trial judge finds, as he did, that the structure put forward by the defendant is not in the plaintiff's best interests, the plaintiff is legally entitled to a lump sum judgment with gross-up ...

CUNNINGHAM V WHEELER

[1994] 1 SCR 359, 113 DLR (4th) 1

CORY J (SOPINKA, IACOBUCCI, and MAJOR JJ concurring): These three appeals were heard together. They raise the following questions. First, should payments received by a plaintiff pursuant to a private policy of insurance be deducted from the amount recovered for loss of wages? Second, if private policies of insurance are to be exempt from deduction, then should disability benefits negotiated under a collective agreement also be exempted from deduction? Third, if disability benefits provided by a collective agreement are to be exempt from deduction, what proof is required of the payment for the benefits by the plaintiff employee? ...

...

On November 14, 1988, the plaintiff Bradwell Cunningham was injured when he was struck by a car while he was walking across a road. At the time he was 46 years old and had been employed by BC Rail, for about 25 years. He was in hospital for nine days and off work for almost 20 weeks. During this period, pursuant to the provisions of a collective bargaining agreement, he collected disability benefits which amounted to \$5,327.15.

No deductions were made from his pay for the disability benefits. However, there was evidence accepted by the trial judge which demonstrated that collateral benefits formed an important aspect of the negotiations between the company and its various unions. A union representative and the company vice-president of human resources explained that if the indemnity coverage was increased, there would be a proportionate decrease in either the hourly wages or the other collateral benefits paid to the employees. Put another way, it was said that under the collective bargaining agreement the employees were entitled to receive an hourly wage package. That package was made up of an hourly rate of pay together with the collateral benefits. If the disability benefits were to be abandoned, then the hourly wage rate would be proportionately higher. ...

...

For over 119 years, the courts of England and Canada have held that payments received for loss of wages pursuant to a private policy of insurance should not be deducted from the lost wages claim of a plaintiff. The first question to be considered is whether the rationale for this exemption persists. In my view, there are convincing reasons both for the existence of the policy and for its continuation.

At the outset, it may be well to state once again the principle of recovery in an action for tort. Simply, it is to compensate the injured party as completely as possible for the loss suffered as a result of the negligent action or inaction of the defendant. However, the plaintiff is not entitled to a double recovery for any loss arising from the injury. How then has the insurance exception arisen? It was first formally recognized in *Bradburn v. Great Western Rail Co.* (1874), LR 10 Ex. 1, [1874-80] All ER Rep. 195 (Ex. Div.). In that case the plaintiff had been injured as a result of the negligence of the defendant railway company. The plaintiff had received a sum of money from a private insurer to compensate him for lost income as a result of the accident. It was held that the plaintiff was entitled to full damages from the defendant as well as the payment from the insurer. That is to say, there was to be no deduction of the insurance proceeds received from his recovery from the defendant. This result was explained by stating that there would be no justice in setting off an amount to which the plaintiff had entitled himself under a contract of insurance such as any prudent man would make. The justification for the rule is explained in these words at p. 197 [All ER Rep] in the reasons of Pigott B:

... I think that there would be no justice or principle in setting off an amount which the plaintiff has entitled himself to under a contract of insurance, such as any prudent man would make on the principle of, as the expression is, "laying by for a rainy day." He pays the premiums upon a contract which, if he meets with an accident, entitles him to receive a sum of money. It is not because he meets with the accident, but because he made a contract with, and paid premiums to, the insurance company, for that express purpose, that he gets the money from them. It is true that there must be the element of accident in order to entitle him to the money; but it is under and by reason of his contract with the insurance company, that he gets the amount; and I think that it ought not, upon any principle of justice, to be deducted from the amount of the damages proved to have been sustained by him through the negligence of the defendants.

The decision of the court in that case was founded on the ground that the accident was not the *causa causans* of the receipt of the insurance benefits, but merely a *causa sine qua non*.

Later, the basis for the exemption was shifted from the causal reason set out in *Bradburn* to one based on the fact that the plaintiff had paid for the insurance benefit and that benefit thus paid for should not enure to the benefit of the defendant. ...

• • •

Recovery in tort is dependent on the plaintiff establishing injury and loss resulting from an act of misfeasance or nonfeasance on the part of the defendant, the tortfeasor. I can see no reason why a tortfeasor should benefit from the sacrifices made by a plaintiff in obtaining an insurance policy to provide for lost wages. Tort recovery is based on some wrongdoing. It makes little sense for a wrongdoer to benefit from the private act of forethought and sacrifice of the plaintiff.

SHOULD THE INSURANCE EXCEPTION APPLY IN THE SITUATION WHERE DISABILITY BENEFITS ARE OBTAINED NOT PRIVATELY BUT PURSUANT TO A COLLECTIVE BARGAINING AGREEMENT?

The Court of Appeal refused to exempt the disability payments received by the plaintiff because they were obtained as a result of a collective bargaining agreement, rather than by way of a direct deduction from his pay. That, I think, is too narrow an exception. They were bargained for and obtained as a result of a reduction in

the hourly rate of pay. These benefits were therefore obtained and paid for by the plaintiff just as much as if he had bought and privately paid for a policy of disability insurance.

• • •

To say that the exception applies only to private insurance, where actual premiums are paid to the insurance company, would create barriers that are unfair and artificial. It would mean that top management and professionals who could well afford to purchase their own insurance would have the benefit of the insurance exception, while those who made the same provision and made relatively greater financial sacrifices to provide for the disability payments through their collective bargaining agreement would be denied the benefits of the insurance exception. This would be manifestly unfair. There is no basis for such a socially regressive distinction.

Union representation and collective bargaining are recognized as a means for working people to protect their interests. The benefits for which employees have bargained in good faith should not be sacrificed simply because the mode of payment for the disability benefit is different from that in private insurance contracts. Where evidence is adduced that an employee-plaintiff has paid in some manner for his or her benefits under a collective agreement or contract of employment, the insurance exception should apply. It would be unjust to deprive employees of the benefits which, through prudence and thrift, they have provided for themselves.

• • •

... What type of proof will be required to show that the benefits are in the nature of insurance? It is my opinion that what is required ... is that there be evidence adduced of some type of consideration given up by the employee in return for the benefit. The method or means of payment of the consideration is not determinative. Evidence of a contribution to the plan by the employee, whether paid for directly or by a reduced hourly wage reflected in a collective bargaining agreement, will be sufficient.

Generally speaking, any of the following examples, by no means an exhaustive list, provide the sort of evidence that could well be sufficient to establish that the employee paid for the benefit:

- (1) Evidence that there were trade-offs in the collective bargaining process, which demonstrate that the employee has forgone higher wages or other benefits in return for the disability benefits. In such a case, the employee has paid for the benefits through wages forgone.
- (2) Evidence of some money forgone by the employee in return for the benefits. For example if the employees gave up the return of a percentage of their Unemployment Insurance Plan premiums in return for the benefits.
- (3) Evidence of a direct contribution by the employee, in a form such as payroll deductions, in return for the benefits. Such a contribution need not be 100% of the premium.
- (4) Evidence of payments by the employer for the benefits made on behalf of the employee which shows that those payments were part of the employee's wages, and thus the employee provided work for the employer in order to have the premium paid. For example, if the employer's contribution is listed on the employee's pay slip or statement of benefits, it can reasonably be inferred that the contribution is part of the employee's wage package.

The application of the insurance exception to benefits received under a contract of employment should not be limited to cases where the plaintiff is a member of a union and bargains collectively. Benefits received under the employment contracts of non-unionized employees will also be non-deductible if proof is provided of

payment in some manner by the employee for the benefits. Although there may not be evidence of negotiations for the wage/benefits package which makes up the employee's remuneration, evidence that the employer takes the cost of benefits into account in determining wages would adequately establish that the employee contributed by way of a trade-off against higher wages. Clearly, if the non-union employee contributed to the plan by means of payroll deductions, that would prove the employee's contribution. Again, these suggested methods of proof are not an exhaustive list.

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In the result, the collateral benefits obtained by Cunningham as a result of his collective bargaining agreement are in the nature of a private policy of insurance. The benefits obtained under the collective agreement, like those obtained under a private policy of insurance, should not be deducted from the claim for lost wages. ...

McLACHLIN J (dissenting in part) (La FOREST and L'HEUREUX-DUBÉ JJ concurring): ... The fundamental principle ... is that a plaintiff is entitled to recover to the full extent of the loss, and no more. However, the law, in limited circumstances, has permitted exceptions to the rule against double recovery.

The first exception to the rule against double recovery is the case of charitable gifts. If a plaintiff is injured and his neighbour brings him a basket of groceries or donates to him a sum of money, the law will not deduct the value of the basket from the damages which the negligent defendant must pay nor require that the monetary gift be called into account. This exception reflects the concern of the courts who initiated it that people should not be discouraged from aiding those in misfortune. Arguably, it also reflects the reality that in most cases it would be more trouble than it is worth to require the courts to hear evidence and rule on the value of charitable assistance.

A second apparent exception to the rule against double recovery was introduced in 1874 by the English decision of *Bradburn v. Great Western Rail Co.* (1874), LR 10 Ex. 1, [1874-80] All ER Rep. 195. Mr. Bradburn had purchased a private accident insurance policy. He was injured in an accident. The insurance company paid him £31. Bradburn sued the railway company which had negligently caused the accident. The railway company argued that the £31 that Bradburn had received from the insurance company should be deducted from the damages payable by the railway. The court disagreed. It reasoned (per Pigott B, at p. 3) that the plaintiff: "... does not receive that sum of money because of the accident, but because he has made a contract providing for the contingency; an accident must occur to entitle him to it, but it is not the accident, but his contract, which is the cause of his receiving it." This language suggests an exception of narrow scope. At the very least, the case does not seem to stand for more than the fact that an insurance policy triggered by a specific event, in this case a railroad accident, need not be brought into account in assessing damages for negligence causing the accident. What Bradburn had lost seems to play no role in what he is entitled to recover; it is not his loss which entitles him to payment under the policy, but the event of the accident. While it is impossible to be sure more than 100 years later, the words used suggest that the contract of insurance was not viewed as an indemnity contract, indemnifying the policy holder for a stipulated loss, but rather as a contract for a payment of a certain sum upon the happening of a certain event.

The distinction between indemnity and non-indemnity insurance is well-recognized in the insurance industry. The following definitions, which I adopt here, were used by the 1988 *Report of Inquiry into Motor Vehicle Accident Compensation*

in *Ontario* (the Osborne Commission), vol. 1 (Toronto: Ministry of the Attorney-General), at p. 429:

An indemnity payment is one which is intended to compensate the insured in whole or in part for a pecuniary loss. ... A non-indemnity payment is a payment of a previously determined amount upon proof of a specified event, whether or not there has been pecuniary loss.

Perhaps the best example of non-indemnity insurance is that of life insurance. The beneficiary under a life insurance policy collects a set amount upon the death of the policy holder without reference to any pecuniary loss. Pensions are also considered to be non-indemnity payments: ...

This distinction is critical to a discussion of collateral benefits. If the insurance money is not paid to indemnify the plaintiff for a pecuniary loss, but simply as a matter of contract on a contingency, then the plaintiff has not been compensated for any loss. He may claim his entire loss from the negligent defendant without violating the rule against double recovery. Viewed thus, *Bradburn* may not even represent a true exception to the compensatory principle of compensation.

This much appears uncontroversial. Controversy arises, however, when attempts are made to apply *Bradburn* to indemnity policies or plans which compensate the plaintiff for the very loss claimed against the tortfeasor. This is because application of *Bradburn* to such plans raises starkly the problem of double recovery in a context that is more significant and questionable than the exception for charitable gifts. Courts are far from unanimous on the question of whether *Bradburn* applies to indemnity policies and plans. Some, particularly the earlier cases, held that it does. The trend in recent years, however, has been to hold that *Bradburn* does not extend so far. ...

[McLachlin J then surveyed the English and Australian cases and continued:]

In sum, it can be stated with confidence that, subject to the exceptions of charity and non-indemnifying personal insurance or pensions, the rule in other common law jurisdictions remains one of deductibility. Where plaintiffs have received collateral benefits with respect to wages and “wage-alikes,” such as sick leave entitlement and unemployment benefits, these will be deducted from the calculation of loss. John G. Fleming, *The Law of Torts*, 8th ed. (Sydney: Law Book Co., 1992), summarizes the position as follows (at p. 246): “In other words, they [collateral benefits] are treated not as gains which might or might not be set off against an actual loss, but (like free medical services in Britain) as preventing a loss from ever arising.” ...

[McLachlin J then turned to considerations of policy.]

1. THE SUBSTITUTE LOSS ARGUMENT

My colleague concludes that if the plaintiff has given consideration, or paid for the employment plan, he or she can recover the amount claimed twice: once from the plan and again from the tortfeasor. He argues that “[i]t would be unjust to deprive employees of the benefits which, through prudence and thrift, they have provided for themselves.” It is suggested that the fact the plaintiff has paid something avoids the prohibition against double recovery.

In fact, contribution by the plaintiff to the plan does not have that effect. Two arguments support this; one based on logic, the other on the reality of how such plans operate.

As a matter of logic, the fact that a plaintiff may lose the benefit of having made a contribution does not affect the fact that, to the extent a loss is made good by the plan, the plaintiff in fact suffers no parallel loss recoverable against the defendant under tort principles. Tort law says the plaintiff who is prevented from working by an injury caused by the defendant's negligence may claim any lost earnings from the defendant. If the earnings have not been lost because they continued under an employment plan, then the plaintiff has suffered no loss of earnings. So logic dictates the plaintiff can recover nothing on account of lost earnings. The fact that the plaintiff has contributed to the plan does not enter into the chain of reasoning which tort principles require. And even if this contribution could somehow be considered, the amount credited to the plaintiff would at best be the cost to the plaintiff of the contribution, in many cases a sum much smaller than the claim for loss of wages. So the fact that the plaintiff has made a contribution to the plan does not avoid the problem of double recovery.

The law reflects this logic. The law has consistently refused to compensate a plaintiff because he or she took precautions which minimized the loss flowing from the negligent act. The defendant takes the plaintiff as the defendant finds the plaintiff. Sometimes this increases the damages a defendant must pay, as in the case of what the law calls the "thin skulled" plaintiff. Sometimes it decreases the damages the defendant must pay. The point is simply this: the fact that the plaintiff is more or less vulnerable and hence suffers greater or lesser damages as a consequence of the defendant's negligence will not be reflected in the actual award of damages. The plaintiff will be compensated to the full extent of the loss, and no more, regardless of the measure of the plaintiff's personal vulnerability.

Turning to the argument based on the nature of employment plans, it appears wrong as a matter of fact to suggest that contribution to a plan can be traded off against indemnification for accident-caused loss to avoid double recovery. Deduction of benefits paid by employment plans does not deprive the plaintiff of the value of his contribution to the plan. The contribution covers, after all, a wide range of circumstances which may result in an inability to work, including sickness or injury, while ensuring that income is continued. In many cases, the claim does not involve injury caused by another's negligence and there is no defendant to sue for the loss. In those cases where there is a defendant, recovery is not assured. The tortfeasor may be unknown, unavailable or judgment-proof. Where these particular problems do not arise, recovery may nevertheless be long delayed. Each of these difficulties is attenuated by an employee benefits plan. The plaintiff enjoys the benefits provided by the plan regardless of whether deduction of plan benefits from tort claims is required or not.

Taken together, these arguments demonstrate that the "substitute loss" argument based on contribution to a plan by the plaintiff does not support the unacceptable result of double recovery by the plaintiff.

2. THE DETERRENCE ARGUMENT

It is suggested that wage benefits paid under employment plans should not be deducted from damages for lost earnings claimed from tortfeasors, because requiring the tortfeasor to pay more will increase the deterrent effect of tort actions and reduce the incidence of negligent conduct. The general deterrent effect of tort actions is not the issue here, although recent research casts doubt on its validity: see Daniel W. Shuman, "The Psychology of Deterrence in Tort Law" (1993), 42 *Kans. L. Rev.* 115. What is at issue is the additional deterrent effect, if any, gained by requiring the

defendant to pay more than what the plaintiff has truly lost; by paying again for benefits already received.

This argument suggests two answers. First, it is far from clear that the difference between the damages payable without deduction of collateral benefits received from employment plans and damages payable with deduction would have any effect on negligent conduct. Large and well-publicized awards of punitive damages such as those permitted in some countries might arguably have such an effect. But it strains credulity to imagine that the prospect of paying wage benefits in a negligence action, as opposed to not paying them, will play an important role in people's decisions about the care they take in the way they drive their automobiles or carry out their work.

Second, even if some connection between non-deduction of employment benefits from damage awards and deterring negligent conduct could be established, our law has not generally gone so far as to suggest that deterrence alone is a valid basis upon which to justify increasing damages. If that were so, one might expect heavily punitive damages in many more cases. In fact, we have not chosen to follow that path.

3. THE ARGUMENT THAT THE TORTFEASOR SHOULD BEAR THE LOSS

It is argued that, as between the prudent employee and the negligent tortfeasor, the tortfeasor should bear the loss. Or in the words of Cory J, "[i]t makes little sense for a wrongdoer to benefit from the private act of forethought and sacrifice of the plaintiff."

This argument rests on the assumption that there is a loss which someone must pay. A plaintiff who has been compensated for lost earnings by an employment benefits plan has suffered no loss to the extent of those benefits. It is not a question of who will bear the loss, but rather of whether there is any loss to be borne.

Nor is this a case of the tortfeasor unjustly benefiting at the plaintiff's expense. The plaintiff contributes regardless of whether the accident occurs or not. And the tortfeasor does not benefit, in any usual sense of the word; he or she pays the actual measure of the plaintiff's loss. If the fact that a plaintiff was wearing a seat-belt lessens the injury which might have otherwise occurred from a defendant's negligence, we do not say that the defendant has benefited from the prudence of the plaintiff, nor do we suggest there is any unfairness in this. The measure of tort damages is what the plaintiff has lost, not what the defendant should be compelled to pay as the price of his negligence.

...

4. THE SOCIAL INEQUITY ARGUMENT

...

[T]he argument ... assumes that employees either cannot afford to purchase private insurance or that they make relatively greater financial sacrifices to obtain their employment plans than would those able to purchase insurance privately. It might well be, however, that employees pay relatively less than self-employed persons for their benefits. Again, many employees who benefit from plans in government or corporations earn relatively high salaries, higher than the salaries of many self-employed persons. It is not just "top management and professionals" who purchase insurance privately, and it is not true that all employees are in inferior financial positions. Is the self-employed carpenter with private insurance in a better position than a Deputy Minister with employment sickness and disability plans? Clearly not. In the absence of further proof, the case that deduction of wage benefits is socially regressive is not made out.

5. SUBROGATION

The argument that it makes sense for the tortfeasor to pay damages for wage losses already indemnified by others succeeds only if the employer or insurer who pays the wage benefit recovers the damages allocated to lost wages from the employee by way of subrogation. In this case there is no double recovery. The burden is properly placed on the tortfeasor rather than the employee or insurance company. The latter result, unlike the result of double payment to the plaintiff, is defensible economically and in justice. For this reason, *Ratych v. Bloomer* suggested that where subrogation is exercised, no deduction for double recovery need be made.

If subrogation were effected in each case of payment of employment benefits, it would favour a regime of non-deduction of the benefits from damage awards in tort. The plaintiff would end up with compensation for his or her net loss, and no more. However, this is not what happens in the majority of cases. Rights of subrogation appear to be exercised rarely. *The Report of Inquiry into Motor Vehicle Accident Compensation in Ontario, supra*, at p. 430, concluded that the collateral benefits rule in Ontario resulted in persons with collateral sources of indemnity recovering an average of 136% of their gross wage loss. Similarly, the Ontario Law Reform Commission, in *Report on Compensation for Personal Injuries and Death* (Toronto: Ministry of the Attorney-General, 1987), stated at p. 189:

... we are advised that disability insurers and employers generally do not exercise their rights of subrogation. Most disability and accident insurers apparently regard the cost of establishing a system of subrogation to be unwarranted in light of the benefit that would be derived and, accordingly, prefer to absorb and spread the amounts paid to the insured through their own funding structure. Employers also regard the exercise of subrogation rights to be impractical and costly, particularly where recovery would be attempted months or years after providing the benefit. They often have no effective means of monitoring the progress of the injured person's claim, or of identifying what parts of a settlement represent lost wages. Furthermore, there is a reluctance on the part of employers to exercise such a right of recovery because of its possibly detrimental impact on employee relations.

The rare exercise of the right of subrogation suggests that the best approach is a regime of deductibility of employment plan benefits, subject to the plaintiff's right to claim the benefits if it is established that they will be paid over to the subrogated third party. In that case, the plaintiff would hold the recovered moneys in trust on behalf of the subrogated insurer or employer: *Ratych, supra*, at p. 54.

6. THE NEED FOR CERTAINTY

What is required is a coherent, consistent rule which can be applied with certainty. ... Each year, thousands of cases similar to those at bar arise. Failing a negotiated settlement, they fall to be decided in our courts. Lack of certainty as to when a deduction for a benefit should be made adds to the complexity of settlement negotiations and increases the number of cases which must be litigated. This in turn adds to the burden on the courts, delays resolution of the plaintiff's suit, and increases the cost to the general public. The desirability of a coherent, consistent rule which can be applied with certainty favours adhering as closely as possible to the fundamental principle of restorative, compensatory damages for actual loss suffered.

Consider the problems posed by the rule based on contribution of the employee proposed by my colleague. Cases at either end of the spectrum are clear enough. At one extreme, the proceeds of a non-indemnity insurance policy purchased by the plaintiff, such as that at issue in *Bradburn*, would not be deducted. At the other

extreme, benefits under a scheme whereby an employer simply continues to pay the employee's wages during the time he or she is off work are fully deductible: *Ratych v. Bloomer*. Between these extremes, however, lie a multiplicity of different situations susceptible of categorization as deductible or non-deductible depending upon whether the judge finds, on the facts, sufficient evidence of contribution by the plaintiff to bring the benefit into the category of something which the plaintiff has paid for or "earned." This is a question on which different people may hold different views. In fact, it is often possible to see the same benefit as having been paid for by either the employee or the employer, depending on how one looks at the benefit scheme and its integration into the compensation package.

... In applying the rule, Cory J seems to assume that all employer contributions are to the employee's account. But, in another case, evidence might well demonstrate the contrary. Courts would then be in the position of trying to determine whether the employee's contribution was sufficient to bring it within the expanded insurance exception. Moreover, the reasoning by which Cory J arrives at the conclusion that the employee paid for the benefit in the case of Mr. Shanks, who on the evidence contributed nothing to his wage benefit plan, demonstrates the large area left to inference by the test he proposes. The "open texture" of the process is caught by phrases such as "it must be inferred from this evidence that ..."; "[t]here must have been trade-offs made by the employees ..."; "[i]t is hard to imagine that Mr. Shanks' employer was in any different position ..."; and finally, "[i]t would ... be cruelly insensitive and unrealistic to think that this was not the case after such a long strike." Where so much must be left to inference and supposition, can litigation be far behind?

• • •

D. CONCLUSION ON THE LAW

I conclude that principle, precedent and policy all favour the conclusion that wage benefits paid pursuant to employment plans should be deducted from damages for loss of earnings claimed against the tortfeasor, except where it is established that a right of subrogation will be exercised, thereby avoiding double recovery. The only exceptions that should be endorsed are charity and cases of non-indemnity insurance or pensions. Any benefits which indemnify the plaintiff against wage loss must be brought into account in a damage claim for that loss against a tortfeasor because, to the extent the plaintiff has been indemnified, no loss arises. On the other hand, benefits which are not in the nature of indemnification for the loss claimed against the tortfeasor need not be brought into account.

E. APPLICATION TO THE FACTS OF THIS CASE

The benefits under the plans at issue on these appeals were paid in lieu of wages to the plaintiffs. Having been compensated for these lost wages, neither Shanks, Miller nor Cunningham can claim that they suffered a loss for those amounts. For the reasons I have suggested, the benefits should not be held to fall under any of the exceptions to the principle of compensatory damages. It follows that they must be brought into account in calculating damages.

NOTE

In *MB v British Columbia*, 2003 SCC 53, [2003] 2 SCR 477, the Supreme Court of Canada determined that social assistance was a form of income replacement and therefore should be deducted from the award of tort damages.

McLACHLIN CJC: ...

[25] It is argued that social assistance is not a form of income replacement, because it is given on the basis of need for the purpose of relieving poverty.

[26] In my view, this argument is mistaken. It is true that social assistance benefits are intended to relieve poverty, and that need is the relevant criterion. However, ... this does not mean that they are not intended as wage replacement. On the contrary, it suggests that they are intended to replace that *part* of employment income that would normally be spent on meeting basic needs. ... Most people who require welfare require it because they lack sufficient income to meet their basic needs, and the normal source of sufficient income is employment of one sort or another. Social assistance therefore replaces income that most people would have obtained through employment. It does not purport to replace all of the income they would have obtained if they had a job. It only replaces enough to satisfy basic needs. But it is no less “wage replacement,” simply because it only replaces a portion of the income a person might otherwise have had.

[27] The arguments to the contrary do not, with respect, withstand scrutiny. ... MacKenzie JA argued that social assistance benefits do not duplicate damages received for a tort because “[t]hey are independent of any loss,” such as a loss caused by a tort (para. 104). However, an inability to earn an income through employment is a loss. It is not a loss that is invariably *caused by a tort*, to be sure. But the test for whether a certain category of collateral benefit “duplicates” a certain head of damages is not whether the benefit was intended as compensation for a *loss caused by a tort* but simply whether the benefit was of the same type as the particular head of damages in tort law—i.e., in this case, wage replacement. Mackenzie JA’s second argument was that the social assistance benefits received by M.B. could not possibly duplicate her entire tort award, because the tort award was made for a much longer period. But an award for loss of earning capacity is really compensation for the loss of the use of that capacity over time. It does not matter, for this purpose, for how much of this period M.B. was on social assistance.

[28] I conclude that nothing has been put forward to displace the common sense proposition that social assistance benefits are a form of wage replacement. It follows that the only way in which they can be non-deductible at common law is if they fit within the charitable benefits exception, or if this Court carves out a new exception. Otherwise, retention of them would amount to double recovery. ...

[29] Both Prowse JA and counsel for M.B. argue in the alternative that social assistance benefits fit within the charitable benefits exception to the rule against double recovery, because they are analogous to charitable benefits in their purpose, which is to relieve need.

[30] Although superficially attractive, this argument misconstrues the rationale behind the charitable benefits exception. The rationale for the charitable benefits exception does not concern the *purpose* of charitable donations. It is therefore irrelevant whether social assistance benefits share the same purpose as charitable donations made by private individuals. The rationale for the exception lies in the *effect* that a rule of deductibility might have on individuals who wish to help those who are in need: the idea is that they should not be discouraged from doing so. A further rationale is that it is difficult to assess the monetary value of certain forms of private charity—for instance, the value of companionship; the value of assistance with daily errands; or the value of raising and training a “helper dog” to perform tasks that a person who has been rendered disabled can no longer perform (see *Cunningham v. Wheeler*, [1994] 1 SCR 359, at p. 370, *per* McLachlin J).

[31] Neither of these rationales for the charitable benefits exception seems to apply in the case of social assistance benefits made by the government It is not difficult to value social assistance benefits. Moreover, since the governmental schemes are already in place, and since individuals are *entitled* to receive these benefits if they meet the specified criteria, there is no possibility that the government will be discouraged from offering the benefits at

all, or will use discretion to deny them to people who may in the future receive a damage award. As for counsel for M.B.'s suggestion that taxpayers will balk at the thought of their money "subsidizing" people who engage in sexual assaults, it seems doubtful that anyone would favour denying social assistance to someone who was genuinely needy on the grounds that if social assistance were given, a tortfeasor might later benefit from the deduction of this sum from a damage award. ...

[32] The remaining possibility is that this Court endorse a new exception for social assistance payments from the general rule of deductibility.

[33] It is difficult to find a principled rationale for carving out a new policy-based exception for social assistance. Given that social assistance benefits come out of *public* funds, and given that taxpayers contribute to these funds in the belief that they will be used for legitimate purposes such as relieving genuine need, it seems unfair to taxpayers to allow certain plaintiffs to recover from these funds and then receive a duplicative payment from a tort award. A policy-based exception creating a rule of non-deductibility for social assistance payments does not, then, seem justifiable on grounds of fairness. Moreover, a rule of non-deductibility of social assistance payments might also lead to inefficient results. If the courts were to affirm such a rule, then legislatures might move to institute schemes to recoup social assistance funds from successful plaintiffs. Current scholarship suggests that such legislative schemes result in less efficient loss distribution than does a simple rule of deductibility of social assistance benefits It therefore seems difficult to justify creating a new policy-based exception for social assistance, whether on the basis of fairness or on the basis of efficiency.

SUPPLEMENTARY READING

Adjin-Tetty, "Replicating and Perpetuating Inequalities in Personal Injury Claims Through Female-Specific Contingencies" (2004) 49 McGill LJ 309.

Chapman, "Developments in Tort Law: The 1993-94 Term" (1995) 6 Sup Ct L Rev 487.

Cooper-Stephenson & Saunders, *Personal Injury Damages in Canada*, 2nd ed (Toronto: Carswell, 1996).

Fleming, "The Collateral Source Rule and Loss Allocation" (1966) 54 Cal L Rev 1478.

Waddams, *The Law of Damages*, 4th ed (Aurora, Ont: Canada Law Book, 2004) ch 3.

CHAPTER THIRTEEN

SHOULD TORT LAW BE REPLACED?

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Having now completed our consideration of the doctrines of tort law, we can stand back and ask: Does tort law make sense? Should tort law be wholly or partly replaced, and, if so, by what? These questions have been much discussed over the past few decades. Tort law has especially been criticized for being an unsatisfactory way of dealing with personal injuries. **In some contexts, such as workers' compensation, tort law has long been completely supplanted by a statutory and regulatory compensation scheme.** Other alternatives of varying comprehensiveness have been enacted or proposed for different contexts, with special attention lavished on the problem of compensation for automobile injuries.

The determination of whether tort law makes sense depends on a number of subsidiary issues that are implicit in the readings of this chapter's first section. Are the dissatisfactions that one might have with tort law capable of being remedied by local tinkering with particular institutional or doctrinal aspects? Or are they systemically inherent in tort law as a judicial mechanism for dealing with wrongful injury? In thinking about these questions we have not only to consider the details of tort law but also to work out the standpoint of criticism that is appropriate to tort law.

Even if we decide that tort law should be wholly or partly replaced, the readings in the subsequent sections of this chapter show that we must not imagine that the road is then open to instant utopian solutions. Not only does legislation operate within political constraints, but its very open-endedness (in comparison with tort law) accentuates the normative problems it presents. Once one curtails the operation of tort law's circumscribed notion of wrongful injury, what should take its place? What kinds of activities or conditions should be singled out as triggering the operation of a compensatory scheme? Given that the attempt at full compensation that characterizes tort law will not be feasible across a significantly wider set of injuries, how does one determine the level of compensation or who should pay it? And if tort law is not completely abolished, what is the relationship between what remains of it and the mechanisms of compensation that have replaced it? The question of replacing tort law is therefore a complex one that entails consideration of tort law's normative standing as a particular legal regime in the panoply of possible political responses to the inevitability of injury.

I. THE VIABILITY OF TORT LAW

BLUM & KALVEN, PUBLIC LAW PERSPECTIVES ON A PRIVATE LAW PROBLEM: AUTO COMPENSATION PLANS

(Boston: Little, Brown, 1965) at 8-15

We turn first to consider fault as a criterion of liability. We do so with only the most modest of expectations. The whole concept of fault, even in our torts system, is so closely tied to views on personal responsibility—and hence to values that have deep cultural and religious roots—that we must limit our discussion of it here to very narrow confines. We have no intention of developing an adequate brief on its behalf. Our purpose is merely to counteract the fashionable tendency to dismiss it out of hand as being an untenable principle.

There have been various objections to fault as a criterion for liability, but in oversimplified fashion they can be schematized as three general points: (1) We can never get enough facts about a particular accident to know whether fault was present or not; (2) even if we had a full history of the event we would be unable to rationally apply the fault criterion because it is unintelligible; and (3) even if we knew the history of the event and understood what fault meant, we would be deciding cases on the basis of an unsound and arbitrary criterion.

The objection based on the difficulties of proof is a familiar one in all litigation, but it is urged as presenting special and decisive difficulties for the auto accident. **There is the threat of evidence deteriorating because of the time it may take to get to trial. There is the sheer absence of competent witnesses at the crucial time of the event. And there is the emphasis under the fault criterion on split-second time sequences which place extra burdens on the capacity of witnesses to perceive, recall, and narrate.** These difficulties cumulate, we are told, so that the actual trial almost necessarily involves an imperfect and ambiguous historical reconstruction of the event, making a mockery of the effort to apply so subtle a normative criterion to the conduct involved. An impenetrable evidentiary screen thus makes fault unworkable as a criterion whatever its merits as a concept.

But does not this objection run the risk of proving too much? **All adjudication is vulnerable to the inadequacies of evidence and the consequent exploitation of the situation by the skill of counsel.** From prosecutions for murder to adjudications of the validity of family partnerships for income tax purposes the law has had to wrestle with these difficulties. Auto accidents are at least more public than many other legal situations and they almost invariably do leave physical traces. The witness to an auto accident is asked for observations likely to be well within his daily experience. The law can tolerate a goodly margin of error, and the threshold of distortion which this line of attack on liability for fault must establish before it becomes a persuasive reason for throwing over the system is high. We remain skeptical that the evidentiary aspects of the auto accident are so peculiar as to be set apart from the evidentiary aspects of all other controversies that are brought to law.

The objections to fault as being an unintelligible concept also run the risk of proving too much. One needs a generous view of the meaning of a legal principle. We should be at least as charitable toward negligence as we are toward procedural due process, fraud, or gross income. All the big ideas of law are imprecise and have a core meaning which moves toward ambiguity at the margin. Except intuitively, there seems no way of measuring the relative clarity of such ideas. When we place negligence in the context of law's other big ideas, it looks at home. A simple test of

its intelligibility is whether we can put easy cases so as to compel virtually complete agreement on the presence or absence of fault. We would all readily recognize that the negligence concept could pass this test were it not for the fact that our impressions of it are derived so much from the reading of appellate decisions with their marginal fact situations. The negligence concept, after all, has been employed by generations of lawyers and judges as though it made sense. They were able to argue in terms of it and to array cases inside and outside the line. The decades of apparently rational discussion at the bar are paralleled by the decades of law school teaching. Every law student has been exposed to the experience of locating the relevant variables involved and of ranking the cases through varying a fact in one direction or the other. ...

The third objection, that even in theory fault is an unsound criterion, has several facets. The first is that the law exaggerates the contribution of the actor's fault to an accident. On a larger view the actor's role is frequently dwarfed by other causally contributing factors, such as road engineering, traffic density, car design, traffic regulations, and the performance of other cars just before the accident. **The precise challenge is whether an admitted flaw in the actor's conduct, looked at in the context of the other causes, is a sufficient basis for determining whether the accident victim is to get compensation.**

This challenge appears to mirror the proposition sometimes advanced in criminal law that the individual actor's contribution to the crime is overshadowed by such other contributing factors as poor education, poverty, broken home, and so forth. The difficulty with this approach either in tort or in crime is that it is hard to see what else the law could do but single out the conduct of the individual actor. Speaking statistically, we can of course say that road engineering or broken homes are significant causes of accidents or crimes. But this does not help dispose of the individual case, and **the law is charging the actor for a flaw in conduct that the mass of mankind—including those who come from broken homes or drive on poorly engineered highways—could have avoided.** Although never philosophical about causation, the law has clearly recognized that any actor is but one of an infinity of causes of a particular event. It has dealt with the actor because he was a reachable cause and because his contribution to the event was relevant and decisive. Even if we concede that the law always overrates the contribution of the actor, there is nothing in the auto accident field that gives this perception any special force.

The critic of the fault criterion might shift his emphasis and follow another line in pressing the point about the **incommensurability** of the actor's flaw and the consequences the law attaches to it. Negligence covers a multitude of sins, ranging from the grave to the trivial; and the critic can stress that there is no correlation whatsoever between the gravity of the sin and the magnitude of the damage caused. If tort damages were viewed as a system of fines, everyone would agree that the incidence of sanctions would be absurd, and it would be the rare case in which the punishment fit the crime. **The difference in conduct between the negligent and the non-negligent drivers is too slight to support the huge difference in consequences that the fault principle attaches.**

Does it matter for tort law that the punishment does not fit the crime? A sufficient answer is that the purpose of tort law is to compensate and not to punish; and this is well understood throughout the community and by the typical defendant. But the critic's point probably overestimates the lack of correlation between risk and damage. On the average we are likely to find that the magnitude of harm caused correlates fairly well with the magnitude of the risk taken—in fact, **the magnitude of the potential harm bears a direct relationship to the magnitude of the risk taken.** The critic's point in any event is especially weak in the case of auto accidents inasmuch as

impossible to measure
or compare in value or
size or excellence

virtually everyone is well aware that an auto in motion can maim or kill. ... [I]t is improper to invert the process of judgment and argue that a small amount of harm somehow indicates a small degree of negligence. **The key concept for the law here is risk, and what is constant in these situations is the amount of negligent risk taken—and this is a factor which, as Holmes noted almost a century ago, is independent of the harm that actually occurs.**

Another facet of the objection to fault as a principle builds on the not implausible assumption that all drivers are at some time or other clearly negligent. Most negligent conduct however, is not actionable inasmuch as it does not cause harm. Whether a given negligent act causes harm seems to be largely a matter of chance. **Since all drivers are in the same boat morally and only chance distinguishes them, it has been urged that all drivers ought to pay for the damages inflicted by drivers as a class, and that it is unjustifiable to place the burden solely on those whom chance did not favor.**

The popular impression that all drivers are alike in being occasionally negligent is very likely an overestimation, for it fails to take account of the many minor adjustments in conduct which are made when men engage in what seems to be essentially the same risk behavior. Driving eighty miles an hour is not a constant risk, and presumably all recognize that such a speed in the city entails a markedly higher risk than in the open country. **But driving eighty miles an hour in the city does not represent a constant risk either, and those who drive at this speed under similar conditions might well do so with differing degrees of reserve or caution.** It is not unlikely that there are grades of prudence even among the negligent risk takers. **These minor differentiations in all probability partially account for which of the negligent drivers in fact get into accidents. And even if we grant that there is a large factor of chance as to which of the negligent drivers do cause accidents, it does not follow that the recruitment of drivers to accidents is a random process. Under the laws of chance, the drivers who take relatively more risks of a given magnitude are more likely to become involved in accidents than their fellow drivers who take relatively fewer risks of the same magnitude.**

The last challenge of fault as a principle echoes the recurring suggestion in much contemporary writing about tort law that a proper criterion for choice between competing rules is the sheer number of losses that would be shifted. **We should always prefer, we are told, the rule that results in shifting the largest number of losses off victims. Using this criterion at the most general level, it could be said that the basic difficulty with the common law fault rule in the world of the auto is that it leaves too many victims of auto accidents uncompensated. And we are offered empirical studies to prove that this is indeed the case.**

If the earlier objections to fault run the risk of proving too much, this one runs the risk of begging the question. **It should be abundantly clear that the common law never has had information about the incidence of recovery which would follow from the application of its liability rules. What is more important, it has had no expectations about incidence of recovery, and could not have cared less.** Its commitment to fault as a basis for shifting losses is independent of any estimates of how many losses will thus be shifted. No empirical study of gaps in loss shifting, insofar as they rest on the absence of liability, can be relevant. The striking point is that under the common law system it is intended that some victims will have to bear their own losses.

As familiar as all this is, it marks a critical point of departure. The question frequently now heard is: "By what arrangement can we most expeditiously maximize the shifting of losses?" There is a profound difference between this and the old-fashioned question: "What losses should be shifted and what losses should the victim bear?" Under the logic of the common law, there is no meaningful way of answering the first question unless the second question has already been answered. We agree with that logic.

FRANKLIN, "REPLACING THE NEGLIGENCE LOTTERY: COMPENSATION AND SELECTIVE REIMBURSEMENT"

(1967) 53 Va L Rev 774 at 778-95

There can be no doubt that the *theory* of the fault system today is the same as it was in 1850, when it was first announced in this country. That theory disregards the incidence of recovery and assumes that some innocent victims will have to bear their own losses. Studies indicate that under the fault system today some twenty-five per cent of victims recover nothing. Whether this is because of the rules of the fault system, personal attitudes towards lawsuits or the insolvency of potential defendants is not clear. But one may suspect that most of these victims fail to recover because of failure to prove fault on the part of the defendant or because of contributory fault on their own parts, or both. Even so, the fact that seventy-five per cent of the victims do recover something is surprising in view of the two fault requirements until one realizes that to say victims recover "something" is to say nothing about the adequacy of their recoveries. The existence of fault and contributory fault are usually speculative issues that cannot be resolved definitively by resort to precedent but must be left to juries. This uncertainty on both sides is conducive to negotiation and compromise. Indeed, over ninety-five per cent of those who do recover something do so through the settlement process, whereby the severity of the injury is roughly discounted by the defendant's chances of total success at trial.

A sound reason for compromise settlements may be the victim's dire need—especially in the big cases—for some immediate compensation. The defendant's ability to delay final disposition of the case, particularly where there is an honest dispute as to the amount of damages, may lead the plaintiff to settle quickly for less. A recent study suggests that the fault system tends toward over-compensation in the small cases, while in big damage cases very few victims get as much as twenty-five per cent of their real economic loss. This facet of the personal injury law takes on added importance when it is realized that the overwhelming majority of personal injury cases today are litigated within the framework of the fault doctrine. The question to which I now turn is the place that such a system should have in today's law. ...

[O]ne is struck by the fault system's initial preoccupation with the defendant and his conduct, and its lack of concern for the social problem of victims. Perhaps when personal injury law became important, during the early stages of the Industrial Revolution, the fault system was a reasonable compromise that permitted reparation under the guise of "punishing" those who had acted "carelessly" at a time when any broader liability was politically impossible. But given today's criminal and administrative law, the development of the insurance industry and current attitudes toward appropriate government conduct, should we retain the fault system?

The fault system is not needed to create deterrence. While it may be true that in order to deter carelessness something must be done to the transgressor, there is no logical reason why treatment of the transgressor should be tied inexorably to treatment of the victim. We already regulate conduct through our relatively mature system of criminal sanctions and our rapidly developing structure of administrative law. Moreover, there is no reason to think that separating liability from fault would in any way undermine the deterrent goals of society. A defendant who is held liable without regard to fault will certainly take care to avoid fault and may also take "super care" to avoid harming others.

A more substantial reason for requiring fault before shifting a loss is that operating adjudicatory machinery costs society money that should not be spent unless the shift will yield some social gain. When the defendant has been at fault and his victim has not, shifting the loss will achieve both compensation and deterrence, but when

neither party has been at fault, the underlying premise of the fault system is that there is no social gain in shifting losses from an innocent plaintiff to an innocent defendant. This position is bolstered by Holmes' affirmative argument that "the public generally profits by individual activity. As action cannot be avoided, and tends to the public good, there is obviously no policy in throwing the hazard of what is at once desirable and inevitable upon the actor."

Today, as we approach the final third of the 20th century, I think a persuasive case can be made that worthwhile "social gain" is achieved by shifting losses from innocent victims. Whether losses should be shifted to innocent defendants or elsewhere is a separate question that will be discussed in detail. Two factors make alternative treatment possible: (1) the development of insurance to "socialize" what has been a dispute between one plaintiff and one defendant; and (2) society's willingness to use government facilities to the same end.

The development of insurance influenced personal injury law directly. Insurance permits individuals and firms to spread their risks both interpersonally and temporally, thus avoiding disastrous sudden losses. Though insurance *could* have developed in such a way that it first became readily available to victims, the fact is that liability insurance came first—perhaps because those who were likely to cause actionable harm were more likely than potential victims to have the money to pay premiums. As a result, the legal pressures have been exerted in the direction of broadening liability rather than the other way.

Perhaps because of this, or perhaps just as a matter of insurance industry growth first party insurance has developed more slowly and is still less pervasive than liability coverage. Persons engaged in potentially harmful activities are more likely to be insured against liability than their victims are to have first party insurance. Courts and juries have learned that they can award compensation to a victim without at the same time destroying the defendant. That insurance was only spreading costs, and not eliminating them, was not enough to prevent the trend. Relief from the individual case's "either-or" dilemma was sought, and liability insurance provided it.

This insurance structure supports another argument that has been made to justify shifting losses from innocent victims to innocent defendants. This is the contention that activities in our society should show their "true social costs" by being forced to pay for harm they cause. In this way prices will reflect the added social cost, and consumers can decide whether they wish the product at its higher, and presumably more "accurate," price. While there is some dispute over whether this is better achieved by initially placing losses on the business or on the consumer, I find the former view more persuasive. Today's liability insurance structure suggests that greater efficiency and internalization will be achieved if losses are placed initially on defendants rather than on victims and then shifted partially to welfare or charity sources. If one accepts the view that better resource allocation can be achieved by imposing initial losses on innocent defendants rather than on innocent victims, a social gain is achieved by that shift, even if first party insurance is utilized.

Even if first party insurance were as readily available as liability insurance and covered as wide a range of losses, there would still be the problem of those potential victims unable or unwilling to acquire it. In a society as concerned as ours with security and the welfare of its poor as well as its ill and lame, **voluntary first party insurance is not a viable alternative.**

The path was also cleared by "socialization" of the accident problem by the acceptance of expanded notions of appropriate government spending and a willingness to pay taxes to socialize injury and welfare costs. The "pure" social insurance view emphasizes smooth compensation at the expense of resource allocation and deterrence. The emergence of this long-latent philosophy has not been manifested

through changes in tort law, but rather in social insurance programs associated with a “welfare state” philosophy, such as Social Security and Medicare. In common, they share a primary concern for the financial problems of victims.

We can thus see how insurance and government programs, though operating by different legal routes and stressing different premises, each provided a coherent approach to the accident problem. **The most that can be said for the fault system is that sometimes it compensates, sometimes it deters and sometimes it furthers good resource allocation, not from any general philosophy, but rather because it is incapable of operating beyond the individual case.**

Not only are the tools at hand to shift the focus in personal injury cases from the individual posture to a broader perspective but Professor Gregory has highlighted a major reason to take advantage of these tools—recognition of a deep-seated desire to treat alike victims who suffer like harm. One is immediately struck by the spectacular legal lottery into which the fault system thrusts the plaintiff. We may posit several identical victims suffering identically disabling injuries, yet one may recover thousands of dollars under the fault rules while an equally innocent victim may recover nothing. ...

When we move from the tort area to the other parts of the legal system, **we note the strong legislative emphasis on security for victims of accidents and illness in such measures as workmen’s compensation, Social Security, disability insurance, unemployment compensation, and most recently, Medicare. In all of these systems, fault in the causation of harm is irrelevant. They stress instead the loss inflicted upon the victim and his family by his misfortune. ...**

It may be argued that with all these nonfault social devices to aid accident victims, the need to compensate for personal harm is so reduced that tort law need no longer worry about compensation. There are two answers to this argument. First, the compensating schemes have coverage gaps, and we cannot be sure that all victims are covered, but the second and more crucial point is that the tort system would still treat differently victims who suffer identical injuries. ...

In a clumsy and inefficient way, the fault system attempts to achieve two distinct goals by one payment of money: to punish the defendant for his carelessness and to compensate the victim for his losses. [When dealing with the amount of recovery the system] abruptly forgets its preoccupation with the defendant and turns wholeheartedly to the plaintiff, perhaps concluding that once the defendant is found to be at fault he deserves little further attention. But just as the single focus on the defendant led to serious questions at the fault stage, so does the single focus on the plaintiff produce problems at the damage stage. Two defendants who commit identical careless acts may find themselves liable for vastly different amounts depending solely on the fortuitous nature of the harm that results. This is the defendants’ lottery. ...

In addition to the problems already discussed, the fault system is so spectacularly expensive to administer that even its disinterested adherents must doubt whether it is worth the cost. The recent Michigan study of automobile accidents reveals that to get \$1.00 of actual benefits to the victim requires an input of \$2.20 of liability insurance premiums. The difference is attributable to litigation costs and insurance administration expenses. Comparable figures developed by that study indicate that the same \$1.00 of benefit can be obtained for an input of \$1.44 through workmen’s compensation, \$1.22 through private first party insurance, \$1.07 through group first party insurance, and \$1.02 through Social Security.

The fault system is even more expensive when we consider non-economic costs. Recent studies have suggested that psychic harm is generated by the fault system’s long delays and uncertainties. One might also consider the attitudes toward law engendered among the many citizens whose principal encounter with the judicial

system is as a party, juror or witness in a personal injury case. When, moreover, the apparent sentiments of society today run so strongly in the direction of compensation and away from the haphazard operation of the fault system, what justification remains for adherence to such a costly system?

LITTLE, "UP WITH TORTS"

(1987) 24 San Diego L Rev 861 at 864-76

In keeping with the basic premise of freedom, the purpose of the law of torts is to serve as a lawful civil mechanism to separate intolerable extremes of human behavior from the vast bulk of behavior that society tolerates. As Holmes put it, "[t]he business of the law of torts is to fix the dividing line between those cases in which man is liable for harm which he has done, and those which he has not." By and large the truncation is based upon notions of wrong. "Negligence," asserted Cardozo in *Palsgraf*, "is not a tort unless it results in the commission of a wrong, and the commission of a wrong imports the violation of a right. ..." Moreover, what makes an action wrongful, according to Lord Atkin in his venerated *Donoghue v. Stevenson* judgment, is "based upon a general public sentiment of moral wrongdoing for which the offender must pay." Defined in the light of these premises and thousands of cases applying them, tortious wrongs comprise intentional, wanton and malicious acts, negligent acts (as in *Palsgraf* and *Donoghue*), and also "non-natural" acts that are inherently perilous to neighbors (*Rylands v. Fletcher*). By virtue of its civil character, tort law is activated by private citizens. It supplies the procedural and substantive wherewithal for ordinary people to initiate actions to ascertain whether others have overstepped these bounds to the detriment of the suitors. In sum, the purpose of the law of torts is to place civil self-help restraints on human behavior within the context and limits of individual responsibility and personal accountability in a democratic society.

After the law of torts has "fixed" that line between liability and impunity, what then? In a civil law system that depends upon the initiative of wronged citizens to bring culpable citizens to account, employing remedies that put things right between the disputing parties makes sense, and putting things right naturally seems to call for restoring things as they were before the harm was done. This remedy possesses the twin virtues of having a direct relationship to the wrongful act and being true to the private nature of the process (as opposed to, for example, some form of punishment or social retribution). It is no wonder, then, that restoring the status quo is the target of the tort remedy after liability has been established. It likewise is no wonder, given the absence of *in specie* restorative powers in judicial decrees, that compensation by the award of money has become the typical tort remedy in actions involving injury to person and property.

The nub of this argument is to show that compensation is not the goal of tort law, but merely is the most practical remedial expression yet discovered. Nevertheless, the remedy is subordinate to the true operational goal of the law of torts, which remains to serve as a civil law method of truncating unacceptable extremes of human behavior from the remainder that must be left unfettered in a democratic free society. ...

In the same vein as keeping tort law true to its essential purpose, much can be said both for instituting a legitimate comprehensive compensation system for all victims of accidental injury ... as well as for imposing a regulatory framework ... to impose economic and criminal incentives upon institutionalized activities that pose endemic threats to segments of the general public. Although these propositions may

seem to be at odds with certain of the basic premises that I have extolled, particularly minimal government, the inconsistency vanishes upon close inspection. What is minimal depends upon context. In deciding how far governmental intervention should go, we must assess, first, the capacity of ordinary members of society to perceive, understand and protect themselves against risks, and, second, their capacity to obtain redress through the self-help law of torts.

The first point largely is one of proportionality and mutuality. In a free democracy the ordinary person with self-help as his only remedy legitimately may be expected to confront the risks that are proportional to his capacity to protect himself against and that also are proportional to the risks of the sort he has the capacity to expose others to. This is what I mean by proportionality and mutuality. The more complex, interdependent, technical and institutional a society becomes, the more likely large sectors of organized human activity are to fall outside those bounds.

As to the second point, the more institutionalized activities become, the less likely is there to be a single human being who individually and personally is accountable for the institutional harm done to a particular accident victim. The adequacy of self-help tort remedies fades as flesh and blood defendants are replaced by phantom institutions. Hence, basic notions of individual responsibility ("I can take care of myself") and personal accountability ("Or hold the wrong-doer accountable") lose much of their force. This justifies more state intervention under the premise of minimal government. Indeed, government stands to lose its legitimacy when it provides inadequate protection and relief from risks that are beyond the self-help coping power of the typical citizen. Many risks in modern American life fall into that category. ...

None of this, however, makes it a good idea to bend the law of torts out of shape in an effort to make it do things it was never meant to do, or, after you have deformed it, to scrap it altogether. Not only are the revered aspects of self-government offended by it, but so are some elemental aspects of human nature that find legitimate expression in tort law.

A fundamental cultural point undervalued by "down with torts!" proposals is the sense of moral culpability that lies at the heart of the common law of torts. Damaged people want compensating; there is no denying that. They also want accountability, which in a civilized society means access to a forum and a set of rules by which they may publicly prove themselves right and someone else wrong. This aspect of torts is wholly in keeping with the attribution of moral blameworthiness to acts that the common law deems to be out of bounds. Again, as Lord Atkin put it, "[t]he liability for negligence, whether you style it such or treat it as in other systems as a species of 'culpa,' is no doubt based upon a general public sentiment of moral wrongdoing for which the offender must pay." ...

What's wrong with [tort law]? Perhaps the worst thing is that it has been forced to be something it is not. But apart from that, the tort law system indeed may cost too much when evaluated solely in the light of valid compensatory goals, and, as has been demonstrated time and again, its compensation is extravagant in a handful of cases and parsimonious in others. In addition, the law provides no compensation to injuries not caused by legal wrongs. As argued throughout this paper, the last point may be a fault in our society, but it is not a fault of the law of torts. ...

The law of torts is a big brick in our foundation of democratic governance based upon tenets of minimal government, individual responsibility and personal accountability. Where it expresses these premises well, it ought to be preserved and nurtured in doing its job of regulating behavior by civil self-help means. Its cultural and political values far exceed whatever its apparent economic cost may be. ...

By the same token, the law of torts may be revived by eliminating its excesses, and needed nontort regulatory and compensation programs, serving ends not within

the reach of tort law, may be instituted. These goals are mutually supporting. Tort law cannot adequately regulate modern industry and perhaps other highly sophisticated activities, and it cannot be made to function reasonably as a comprehensive accident compensation plan.

II. COMPENSATION SCHEMES: SOME EXAMPLES

CHAPMAN & TREBILCOCK, "MAKING HARD CHOICES: LESSONS FROM THE AUTO ACCIDENT COMPENSATION DEBATE"

(1992) 44 Rutgers L Rev 797 at 799-810

In surveying the spectrum of accident compensation schemes for personal injuries, some striking features stand out when one examines how we have collectively treated different sources of injuries. In most parts of the industrialized world, from the turn of the century onwards, the tort system has been largely displaced with respect to workplace injuries by no-fault workers' compensation schemes. Because liability attaches to injuries caused by workplace activities by applying a form of but-for causation test, these schemes entail a form of absolute liability for employers or their insurers. Benefits typically cover a high percentage of economic losses, health care expenses, and rehabilitation costs, but minimal non-pecuniary losses. On the other hand, in most parts of the industrialized world, with respect to injuries or disabilities resulting from medical malpractice or product use, the tort system remains the primary compensatory vehicle for most victims. ...

With respect to auto-related accidents, a very different picture emerges. While the tort system enjoyed a preeminent role in most industrialized jurisdictions until the late 1960's, from about 1970 onwards massive diversity in policy choices has emerged. For example, between 1970 and 1980, twenty-four states in the U.S. adopted some form of compulsory no-fault insurance regime, while the remaining states have retained the traditional third-party tort liability insurance regime. Moreover, among the twenty-four states that have adopted some form of no-fault auto insurance regime, design features vary widely. Sixteen states have adopted some form of threshold system, which generally precludes tort suits below a defined threshold. These thresholds, however, vary dramatically in form and stringency. Some thresholds are monetary and relate to some level of medical expenditures that have been incurred by the claimant as a result of the accident. In other jurisdictions, the thresholds are verbal and relate to the severity of the injuries sustained, although again, these thresholds vary widely. In the other eight no-fault states, the no-fault regimes are add-on regimes that provide no-fault benefits in addition to tort entitlements. In the case of both threshold and add-on regimes, the no-fault benefits available also vary widely from jurisdiction to jurisdiction. In some jurisdictions, these benefits must be subtracted from subsequent tort damages received, while in other jurisdictions no such subtraction is required. Since the early 1980's, no additional states have adopted no-fault regimes. Like workers' compensation schemes, the no-fault component of these various schemes entails a form of absolute liability on the part of first party insurers for the consequences of accidents arising out of motoring activity, while in some range of cases, tort liability contingent on proof of negligence is reformed.

This pattern of massive diversity in the U.S. is replicated elsewhere. In Canada, for example, the four Maritime provinces and Alberta retain the traditional

third-party tort liability insurance regime, with modest first party no-fault benefits. Since 1978, Quebec has operated a pure, state-run, no-fault auto compensation scheme that precludes all tort actions with respect to personal injuries. In 1990, Ontario adopted a threshold system rather similar to that previously adopted by Michigan, with relatively generous no-fault benefits for economic losses and rehabilitation expenses. No-fault entitlements did not exist, however, with respect to non-pecuniary losses and all tort claims were precluded unless they exceeded a very stringent serious injury threshold. The regime was adopted after the government of the day had rejected the recommendations of a Task Force (the Osborne Commission) it had appointed to study the question. The Osborne Commission favored an enhanced add-on regime. Ontario's recently elected social democratic government campaigned on a platform of restoring the right to sue but with public provision of liability insurance. It has now renounced its commitment to public provision of insurance, however, raised the income ceiling on no-fault benefits for wage losses, and prohibited all tort claims for economic losses. Tort claims for non-pecuniary losses will be permitted subject to a \$15,000 deductible and a judicially-imposed ceiling on such claims of about \$210,000 (1991 \$Can.). The Prairie provinces of Saskatchewan, Manitoba, and British Columbia all operate state-run auto insurance schemes, but entitlements continue to be resolved as a matter of tort law, with reasonably generous add-on first party no-fault benefits. ...

In considering alternatives to the traditional tort system in the auto accident context, it is useful to think of the alternatives as entailing either the supplementation of the tort system or the replacement of it. Add-on no-fault schemes fall into the first category. Threshold, elective, and pure no-fault schemes fall into the second category. While each of these options is susceptible of almost infinite variation, for clarity of exposition and comparison we adopt one concrete version of each option in the review that follows. In each case we adopt a strong-form version of the option, so that contrasting characteristics of the options are highlighted.

A. ADD-ON NO-FAULT

The option we adopt in this context is modelled on proposals recently advanced by the Ontario Osborne Commission. The Osborne Commission's proposal envisaged a benefits package similar to that obtained under workers' compensation regimes in many jurisdictions. The benefit schedule envisaged first party no-fault coverage of 80 percent of gross income to a maximum of \$450 a week, very generous benefits for rehabilitation and long term care (\$500,000 in each case), and relatively modest death benefits. No no-fault benefits for non-pecuniary losses would be provided. In all cases, however, claimants would retain the right to sue negligent third parties in tort for the full tort measure of damages, including non-pecuniary losses, although they would be required to subtract no-fault benefits from tort awards. Collateral benefits would also be subtracted from tort awards.

B. THRESHOLD NO-FAULT

The option that we adopt as exemplary of this option is the 1990 Ontario threshold no-fault scheme. Although it covers forgone earnings up to \$600 per week (compared to \$450), this regime adopts a very similar no-fault benefit package to the Osborne add-on no-fault proposal. All tort claims would be precluded, however, except in the case of death, permanent serious disfigurement, or permanent serious impairment of an important bodily function caused by continuing injury which is physical in nature. Collateral benefits would be deducted from no-fault benefits and tort recoveries.

C. PURE NO-FAULT

The next option is a pure no-fault option with the right to sue in tort foreclosed to all accident victims regarding personal injuries, and with victims restricted to a schedule of first party no-fault benefits. The model that we adopt as exemplary of this option is the no-fault regime currently in place in Quebec. The benefits provided under the Quebec regime are in many respects similar to those envisaged by both the Osborne proposal for an add-on no-fault regime and the Ontario government's 1990 threshold no-fault scheme. In addition, the scheme provides for lump sum payments for permanent after-effects of injury—in effect non-pecuniary losses—of up to \$75,000 per claim, based on an injury schedule. This ceiling was increased to \$100,000 in January 1991 and further increased to \$125,000 in January 1992.

FLEMING, THE LAW OF TORTS, 8TH ED

(Sydney: Law Book Co, 1992) at 405-7

Following the famous Woodhouse Report, New Zealand launched in 1974 a comprehensive system of exclusive compensation, replacing tort recovery not only for traffic and industrial accidents but for all “personal injury by accident,” including certain industrial diseases and criminal injuries. The decision to embrace all accidents was based as much on the difficulty of justifying special treatment for road casualties as on the practical problems of demarcation and the manageable extra costs of covering the residue.

The guiding principle of the scheme is to replace financial loss rather than the social welfare philosophy of assuring a minimally adequate living standard. Accordingly benefits are not flat but earnings-related and fixed at a level which the public could fairly accept in exchange for their common law rights. The standard is 80 percent of pre-accident earnings, payable in weekly instalments up to NZ \$1,179 in 1992. There is a waiting period of one week, during which the employer is responsible for work-related accidents.

Lump sums also used to be payable for permanent incapacity up to \$17,000 and up to \$10,000 for loss of “amenities or capacity for enjoying life, including loss from disfigurement” and for “pain and suffering, including nervous shock and neurosis.” Both evoked memories of common law damages, the one for loss of faculty, the other for pain and suffering. But these awards imposed too heavy a financial and administrative burden on the system and were abolished in 1992. Instead an “independence allowance” is now available for claimants with a disability of at least 10 per cent. ...

Although coverage of all “personal injury by accident” (*piba*) appears very inclusive, it has not been spared problems of demarcation. A thoroughgoing reform in 1992 made a new start of clarifying and narrowing the definition. It consists of two elements, accident and personal injury. The legacy of workers’ compensation has been retained in construing “accident” in the popular sense of an unlooked-for mishap or untoward event, unexpected and undesigned by the victim. Intentional acts like battery and rape are covered, being an “accident” to the victim; and so is pregnancy, like actual bodily harm, arising from a criminal act. Personal injury narrowly includes “mental or nervous shock” as the outcome of any act in relation to the claimant or of any criminal act against him. Injury to third persons is not covered.

The most troublesome problem has been around the inclusion of “medical misadventure,” now defined as “personal injury from medical error or medical mishap.” Medical error covers medical negligence as interpreted at common law, but the

scheme is expressly not intended to ensure the success of medical treatment. Medical mishap is determined on the basis of rarity (more than 1 per cent) or severity of outcome (hospitalisation of more than 14 days or incapacity for more than 28 days). The selection of such objective criteria may in the future mitigate the difficulties encountered under prior versions of the Act, in particular in drawing a line between iatrogenic causes and "disease, infection, or the ageing process." Occupational disease qualifies under certain conditions when arising out of the course of employment. Also resolving prior uncertainties, the Act now specifically provides that medical misadventure does not include failures of diagnosis or to provide treatment or to obtain informed consent (omissions), unless such failure is negligent. A formerly much criticised feature was the failure to provide deterrence to health care providers; this has now been corrected by exacting contributions from them to the fund and by experience rating and no-claim bonuses. ...

The financing of the scheme reveals a tension between the philosophies of social welfare and resource allocation. Dominated primarily by the desire to capture the same funds available to the old system and to avoid general taxation, the original proposal of raising a flat levy from employers of 1 per cent of all wages was abandoned in favour of establishing two separate funds. The Motor Vehicle Fund is fed by levies on motor vehicles and covers the whole population; the Earners' Fund derives from levies on employees (paid by their employer) and the self-employed at differential rates according to occupational risks, and covers only these segments of the population. As already mentioned, experience rating has now been introduced as a deterrent and means to achieve some measure of internalising costs in place of the original philosophy of regarding compensation as a community responsibility.

At the heart of the scheme is the complete elimination of tort recovery for those covered by its benefits. Though now that coverage has been somewhat reduced by the recent reform of 1992, resort to tort law has correspondingly become more available. In particular, exemplary damages have survived, not being "damages arising directly or indirectly" out of *piba*, inasmuch as they focus on the defendant's conduct not the plaintiff's injury (as to aggravated damages). The substantial savings resulting from reduction of administrative costs and channelling funds away from minor claims permit the considerable expansion of benefits for hitherto uncompensated major injuries, without noticeably increasing the total previous cost of workers' compensation and third party insurance for motor vehicles. To the same end, the administration is taken out of the hands of private insurance companies and vested in an Accident Compensation Corporation, which uses the Post Office for collecting premiums. Appeals from the Corporation lie to an Appeal Authority and thence (with leave) to the High Court.

III. THE SOCIAL INSURANCE PERSPECTIVE

SUGARMAN, "A RESTATEMENT OF TORTS"

(1992) 44 Stan L Rev 1163 at 1169-72

Tort law and its alternatives may be categorized in many ways. In this section, I offer five competing institutional arrangements for handling accidents. My models are not water-tight, but I offer them for heuristic purposes; moreover, I have given them labels drawn from political philosophy, broadly, right to left, that are meant to be suggestive, more than definitive.

1. THE LIBERTARIAN MODEL

The first model is the Libertarian alternative. Under this approach, members of society rely primarily upon the market to determine standards of conduct and provide compensation for accidental injuries. Government protects property from theft and intentional destruction, enforces contracts and, I suppose, punishes fraud. Voluntary market transactions, however, determine the degree of risk people will accept in the goods and services they consume. The market also provides insurance of all kinds. The dominant value is liberty; the social picture is a result of millions of decentralized decisions about risk.

2. THE CONSERVATIVE MODEL

The historic tort law/liability insurance option I call the Conservative model, both because it reflects the status quo for many types of accidents and because many of the values it embodies are conservative. In this model, government establishes legal rights and wrongs with respect to risk-taking beyond those created by contract. But those rights are enforced only when they are asserted by individuals. Fault is the fundamental criterion by which both wrongdoing and the right to compensation are identified. Behavior is meant to be controlled through private threats to assert these rights via lawsuits claiming money damages. (Hence, the judiciary, not the executive, is the public agency of social control.) Compensation, when provided, is intended to be full, with two further conservative consequences. First, by providing more compensation to the disabled high earner than to the disabled laborer, the law reinforces pre-existing inequalities in income and wealth that were upset by the injury-triggering event; second, by compensating for intangible loss ("pain and suffering"), the law caters to individual feelings of indignity and outrage.

3. THE LIBERAL MODEL

Focused compensation plans, of which workers' compensation is the most prominent example, characterize what I call the Liberal model. This alternative is more interventionist than traditional tort law in several ways. Like other liberal ideas, little weight is put on individual fault. Instead, larger institutional forces are thought to be responsible for causing the majority of injuries, and institutions are obligated to compensate their victims. Compensation, although comprehensively wide (perhaps excluding intentional self-injurers), is not meant to be full. The aim is to assure that the basic material needs of the ordinary citizen are met. The focused compensation plan, like the traditional tort system, can be seen as a single societal instrument used both to control conduct and provide compensation.

Because the funding mechanisms of these plans internalize the costs of accidents to specifically responsible institutions, they are meant to discourage dangerous activities and promote their safe performance.

4. THE COLLECTIVE MODEL

What I call the Collective model is more interventionist than the Liberal model in two critical ways. First, accident victims are not singled out based upon the specific type of accident they suffer, e.g., auto, medical, or product. In fact, accident victims are not treated separately or differently from the disabled generally; accident victims, like those suffering from disease, birth defects, and so on need medical care and income protection. Indeed, accident victims may be treated as part of a much broader class

of citizens, including the unemployed and the retired, for whom collective protection against loss is assured. Social insurance is the mechanism used to compensate the protected class and, as with focused compensation plans, its goal is to meet the basic material needs of its beneficiaries. Social insurance funding may be unrelated to behavior-channeling goals, relying instead on effective revenue-generating devices such as payroll and income taxes. This gives rise to the second contrast with focused compensation schemes. Under the Collective model, behavior control must be accomplished independent of compensation, through government regulation.

5. THE SOCIALIST MODEL

Finally, there is what I call the Socialist alternative. Its compensation side is not sharply differentiated from the Collective option. However, this alternative precludes the range of wealth and income inequalities permitted or encouraged by the other alternatives. It protects accident victims and others by nationalizing health care and providing a minimum guaranteed income for all. Under the Socialist model, behavior control is accomplished by a collective commitment to risk-sharing that is far greater than under other models. There is less freedom for individual risk-taking and risk-creating, and hence less diversity in the risk levels to which people are exposed. This greater equality with respect to the exposure to risk comes about not only through reductions in the levels of risk created in the society but also through collective ownership of, and worker control over, large enterprises that create risk.

Our actual experience in the United States, of course, neither runs the gamut of these five models, nor always fits neatly into just one of the boxes. But the models represent ideologically distinctive approaches to the control of risk and the personal injury consequences of risk. As we move through the models, managing risk and providing compensation shift from individual matters to matters of increasingly wider social responsibility. Thus, the focus of compensation shifts away from the individual and the particular to the group and the general, and the process for determining which risks are socially acceptable shifts from the decentralized to the increasingly centralized.

Obviously, as tort law shifts towards mass victim claims proceedings, ignores defendant fault, reduces its insistence on clear defendant-plaintiff causal connections, and pays out damage amounts that are much less finely tuned to individual circumstances, it ceases to be traditional tort law. It thereby loses many of its conservative characteristics and begins to take on those of the focused compensation plan of the Liberal model, albeit a compensation plan organized and operated under the supervision of the judiciary.

Combined models, which reject ideological purity in favor of pragmatic considerations, offer additional possibilities. Viewing the models as complementary rather than mutually exclusive, society could employ both cascading compensation arrangements (tort plus compensation plans and/or social insurance) and cascading control mechanisms (tort plus focused plan funding plus government regulation). Society, too, at least in certain respects, can decide to apply one model to some accidents and another model to others.

Before 1900, the United States largely combined reliance on the Conservative and Libertarian models. Today, no modern industrialized society relies exclusively, or even predominantly, on the Libertarian model. At present our nation's policy towards those suffering personal injuries and the prevention of accidents is decidedly mixed, combining elements of the Conservative, Liberal, and Collective models. This is contrasted, for example, with New Zealand where the Collective model predominates.

**BLUM & KALVEN, PUBLIC LAW PERSPECTIVES ON A PRIVATE
LAW PROBLEM: AUTO COMPENSATION PLANS**

(Boston: Little, Brown, 1965) at 81-85

[I]t may be appropriate to try a brief summary statement of how the case for an auto compensation plan looks to us now.

We of course find attractive the two main objectives of plans: to compensate all victims and to provide medical and emergency expense payments promptly. Nor can there be any argument but that the common law fails to achieve either of these. It does not achieve the first because it intends as a matter of policy to leave some victims uncompensated; and it cannot as a matter of practice achieve the second inasmuch as it limits liability to fault and hence subjects that issue to controversy.

In analysing plans it quickly becomes apparent that the old common law issue of liability translates into a question of costs. Changing the form of the question does not cause the underlying issue to evaporate. Any plan requires coverage of additional victims in order to achieve its twin objectives. Additional coverage of victims means additional cost. The central policy problem, in weighing the merits of plans, is: How is this additional cost to be defrayed? ...

The first alternative is to seek financing through economies in handling claims expected to follow from simplifying the criteria for making payments to victims. As a solution this has the great appeal of appearing to be painless to all concerned, except possibly to the lawyers whose fees would be substantially reduced. This approach, however, is not apt to take us as far as is hoped. At best the magnitude of the savings from internal economies alone is likely to fall far short of requirements, and at worst it is likely to be offset by an increase in claims consciousness.

The second alternative is to generate the financing by reallocating awards among victims. The arresting aspect of this approach is that while motorists remain unaffected by the switch to a plan, the victims who would be eligible for recovery at common law are materially affected. As long as the focus is on providing additional coverage, such a reallocation looks like a stratagem for taking something away from more deserving victims in order to give to less deserving victims. When, however, the focus is on improving the time of payment for medical and emergency expenses, there emerges a quid pro quo to the old victims who, as a class, are compelled to accept smaller awards in order to get quicker payments.

It might be possible to finance a plan by drawing on each of these last two sources. The result would be a plan which, in theory, would not alter the position of motorists, would not drive too hard a bargain with old victims, and would not make unrealistic demands on effectuating economies in handling claims. On this avowedly eclectic approach the full formula for producing a plan would run as follows: (1) Take no more from motorists than in the absence of a plan. (2) Maximize the economies in handling claims. (3) Tentatively set the award level so as to reflect these economies through lowering the gross awards without reducing the take-home sums. (4) Adjust the tentative award level downward so that the old victims give up enough in take-home sums to cover any gap in satisfying the claims of new victims.

For a brief moment this compromise seems to realize the philosopher's dream of a political solution which achieves the common good—a solution in which there is an adjustment of self interests in a manner that is mutually satisfactory to each participant. On further inspection, however, the dream tends to fade. There is the doubt that, as a political matter, the promise to the motorists can be kept; there is the doubt that the savings through economies in handling claims will be substantial enough to avoid a harsh bargain with the old victims; there is the high likelihood

that some old victims, either because of the certainty of their claim at common law or because of their comfortable economic position, will in any event find the bargain detrimental; there is the difficulty of communicating the rationale for the compromise to a wide enough public to enlist sufficient political support; and there is the difficulty of translating the compromise formula into a concrete plan.

But the main challenge comes from quite another quarter. The rival is the final alternative for financing the additional cost. It will be recalled that the last approach is not to shift losses directly but to put the burden on all victims as a class—a class which is co-extensive with the entire population. The image is of compulsory accident insurance for everyone; but in reality so wide a scheme of accident insurance would require use of the taxing mechanism to collect premiums, producing what can be viewed as an extension of social security.

The greatest strength of this approach is that it frames the problem candidly and coherently. From the very beginning the proponents of plans have insisted that the auto accident be viewed as an instance of human misfortune calling for a welfare remedy. When the situation is looked at in this manner, it immediately becomes apparent that the problem is bigger than that which the proponents started out to solve. The welfare universe is not limited to victims of auto accidents but includes victims of all other kinds of human misfortune. We can think of no ground for singling out the misfortune of auto accident victims for special welfare treatment.

The social security perspective also has the merit of bringing to the surface the profound question of why the state should do anything about human misfortunes. We infer that those who urge the state to intervene have mixed motives. To some extent they favor sumptuary legislation in behalf of prudence. They are willing to restrict the power of the individual to choose because they distrust every man's capacity to make prudent judgments about privately carrying accident insurance. But more important, they are concerned over the financial ability of people to absorb misfortune. They see that by no means is everyone prosperous enough to buy adequate insurance against misfortune. The attraction of financing protection through the tax mechanism is that the necessary funds can be collected on some progressive tax basis, so that the richer will pay the costs for the poorer. Intervention by the state thus is sought in order to mitigate the evils of poverty. We are tempted to hazard the grand generalization that at the root of most of our major social issues lies the concern with what is thought to be poverty. The automobile compensation plan is no exception.

While social security provides a candid and coherent approach to the problem of the accident victim, it leaves unanswered the common law's main question of justice. In addressing itself to the problem of the needy auto accident victim, the social security approach tells us that his claim to help from society should be on a par with the claims of others who suffer from misfortune. But it cannot tell us why losses caused by negligent motorists should not be shifted to these drivers. The common law's solution was to make negligent motorists poorer in order to compensate victims in full for their losses. The question is whether this is any less just because the needs of victims are provided for by society.

We would urge that, in theory, the case for shifting the loss to a faulty driver rather than leaving it with the victim or as a charge on society is not thereby impaired. Theory would thus call for drawing a distinction between responding immediately to the victim's needs and deciding at leisure under the fault principle who ultimately should bear the cost. Once the dust had settled on all payments, no one would have been compelled to pay taxes or premiums on insurance to cover losses caused him by the fault of another.

We may, however, be in an area where there is a wide gulf between the theoretical and the practical. The effort to be this pure in allocating costs according to fault presents formidable difficulties quite apart from any controversy about the appropriateness of fault as a criterion of liability. To implement the suggested principle fully, the welfare fund would have to be allowed to recover over against the negligent actors. This complication raises two awful prospects: We can anticipate that motorists would then carry liability insurance against the threat of subrogation by the welfare fund, and the crucial equity would lie in adjustments between the insurance carriers and the welfare fund. And logic would seem to require that the welfare fund also be obligated to sue contributorily negligent victims. The spectre of these two results might well induce us to accept the social security approach without a negligence rider.

A middle ground has been suggested. The social security approach could be used to underwrite relief for those in need without allowing any recovery over by the welfare fund. Victims of faulty drivers, however, would be left with their common law actions intact, subject only to deduction for welfare payments which they have received from the fund. Under such an arrangement, losses below a certain level would be borne by the public generally and would be allocated wholly without regard to fault, while losses above that level would be allocated according to the fault principle—some remaining on victims and some shifted to drivers as the principle dictated. This result is in effect the Saskatchewan plan. For those who have a wholesale lack of enthusiasm for the fault principle, retaining it in this context might well appear as a foolish luxury.

So much for the perplexities of either marrying or divorcing social security and fault.

The old common law issue of justice apart, the social security approach to the problem of the auto accident victim has some distinctive disadvantages of its own. If economic considerations have a bearing on accident causing behaviour, this approach would seem to run the greatest risk of lessening deterrence. Neither drivers nor pedestrians would perceive any relationship between their taxes and their conduct in respect to automobiles. The approach also has the disadvantage of supplanting the private insurance industry in a major sector of its activities, and replacing it with taxation and government administration of welfare benefits. Such a development would add to the power of the government and weaken what now is an important private pool of power. Finally, the approach calls for one more—and perhaps an irreversible—reduction in the area of individual autonomy.

BLUM & KALVEN, "CEILINGS, COSTS, AND COMPULSION IN AUTO COMPENSATION LEGISLATION"

(1973) Utah L Rev 341 at 346-55, 376-77

[IS THE FUND LIMITED?]

A principal concern of any plan is how much the accident victim should be awarded for his accident experience. All plans offering substantial unconditional reparations to victims for personal injuries have had to deal one way or another with three specific operational questions: (i) Is there any top limit on the unconditional reparations the plan will pay the victims? (ii) Is there at the bottom, so to speak, any minimal loss for which the plan will not make reparations? (iii) To what extent are the unconditional reparations to be the exclusive source of compensation—or is the common law tort action to some extent to be preserved?

Whatever the variety of answers given to the three questions, there is one overriding observation to make about the responses. No plan has ever attempted to provide full common law damages as unconditional reparations to all victims. Numerous reasons for this have surfaced in the literature about plans: a desire, for reasons of administrative efficiency, to keep damage items as objective as possible; a criticism of some items of common law damages as unsound even for the common law; a distaste for the exploitation felt to be involved in the publicized million dollar awards; and a practical conviction that it would be wholly impolitic to have the new arrangements under the plan be that expensive. Behind such reasons we sense a point of principle. The upshot of a plan is to effect a shift from a redress perspective to an insurance perspective. As a result, one is liberated from being controlled by the common law damage answers, and even from being much guided by them.

For purposes of a plan it is proper to look elsewhere to set the award levels. The puzzle is where to look. There is an unexamined choice of basic assumptions underlying most discussions of award levels. To overstate the polarity: Are the award levels to be set on the assumption that there is a more or less fixed aggregate pool to be distributed as unconditional reparations to the victims, or on the assumption that the size of the pool is not a given, but is to be determined by notions of what the award levels ought to be? It is our impression that in almost all discussions it is implicit that there is a more or less determined limit to the pool, and that this sense of limit is perhaps the controlling factor in determining the award structure.

One does not have to look far for an explanation. A chief point of rhetoric in the advocacy of plans has been that they will offer a better product, dollar for dollar, than the motorist is now buying; in brief, under a plan, a motorist's total insurance premiums will not increase, but will in all likelihood decrease. It follows that the maximum size of the pool to be distributed in unconditional awards has to be set by the size of the "pool" that is generated under the common law tort-insurance system. Whatever the need to acknowledge the political imperatives, an anomaly lurks here. The award potential under a plan is being largely determined by a factor which is irrelevant to the aspirations of a plan. The aggregate amount the common law "collects" for distribution to victims is crucially affected by the fact that the law is not intended to pay all victims, but only those who qualify under common law liability rules. A principal point of every plan in mandating unconditional reparations is to reject those common law criteria of eligibility for compensation. Yet in effect the outcome is to permit these rejected criteria to limit how much a plan will do for victims. This almost automatic acceptance of the size of the common law "pool" as a limitation may be a key clue in explaining why the discussion of awards under plans has been so little concerned with theory. Once it is assumed that the size of the pool is already determined, many genuine issues about award levels are readily short-circuited.

[THE INSOLVENCY ANALOGY]

Plans, particularly high ceiling plans, have been designed as if to meet the problem of insolvency: the losses of victims are like claims that exceed the total assets of the estate or "pool" to be distributed. One solution has been to refuse recognition to certain claims or losses hitherto accepted as valid. Excluding from the unconditional reparations any claims based on pain and suffering is, we suspect, largely a strategy for dealing with the "insolvency" problem—although, as will be seen later, it admits of other rationales.

But the point we wish to build on here is the response of plans *even to items of strict economic loss*. Whatever the case for pain and suffering as loss, the case for recognition of loss of earnings is more sturdy and stubborn. If we assume for the

moment that the rationale for limiting compensation for loss of earnings is the sheer insufficiency of the pool to meet such loss in full, there are three principal ways to “balance the budget.” A plan can employ a floor, a ceiling or upper limit, or a percent-age scale-down of claims. Purely as a matter of arithmetic, any of these methods will serve to make the fund go around. While traces of floors and scale-down arrangements can be found in proposed plans, the dominant strategy has been to impose an upper limit or ceiling.

This preference for a ceiling yields the anomalous result that the more serious the economic loss, the greater the likelihood that it will not be paid in full by the unconditional reparations of the plan. Assume a \$4,000 ceiling on unconditional reparations for economic loss: all losses below \$4,000 will be paid in full; a loss of \$6,000 will be compensated two-thirds; a loss of \$8,000 will be compensated one-half, and so on. If instead the preference were for a floor, the result would be that the larger the claim, the greater the percentage of loss paid. If a pro rata scaling down were the preferred alternative, the result would be that all claims, whatever their size, would bear the same fraction of uncompensated loss. But it should be noted that under neither the floor nor the scale-down approach would any victim recover one hundred percent of his economic loss.

We find it a considerable puzzle that the floor and scale-down alternatives have not proved more popular to plan designers. Use of the floor would serve to eliminate a large fraction of the total number of claims being processed under the common law tort-insurance system; it would yield great internal economies in administration and have a direct bearing on the nuisance claim phenomena; it is, moreover, given its wide use in collision insurance, a device very familiar to the motoring public. Use of the scale-down alternative would have the deep appeal of treating all claimants evenhandedly.

The puzzle cuts deeper. For generations, a grievance urged against the common law has been that it so often dealt harshly with the seriously injured victim of an auto accident. Surely a much voiced aspiration of plans has been to do better by him. An empirical finding which has been widely publicized by advocates of plans appears to show that the common law tends on average to grossly overpay small claims, while grossly underpaying large ones. Whatever the aspirations of plans, the achievement is, at best, to correct the overpayment for small losses, while continuing to underpay large losses—once the “budget is balanced” through ceilings.

It may be helpful to consider why those who design plans nevertheless have found the choice of a ceiling so attractive. Undoubtedly there has been a strong desire to be able to say that the vast majority of auto accident victims recover their losses in full—a claim which, as noted, is precluded by use of either the floor or the scale-down. There is further the desire to be able to say that if there is a bias in the plan, the bias runs in favor of the poor.

Use of a floor may present some distinctive drawbacks of its own. It precludes saying that *all* victims will now receive at least *some* compensation. It may also invite insurance industry opposition because it could cut so deeply into the volume of business.

[DOES PRESERVING ACCESS TO A TORT REMEDY CORRECT THE BIAS AGAINST SERIOUS LOSS INVOLVED IN THE USE OF CEILINGS?]

This discussion of award levels for economic losses is obviously incomplete. We have been writing as though the unconditional reparations under a plan were to be the exclusive source of compensation. In the historic analogues this was the case. Workmen’s compensation, the grandfather of all compensation proposals, and the Columbia Plan of 1930, the first auto plan, were both total replacements of the tort

system. Another overriding observation about contemporary auto plans is that virtually never are the unconditional reparations designed as the exclusive source of compensation—virtually all plans keep a tort remedy open to some extent.

The full story about reparations for economic losses then is that it may include unconditional reparations under a plan in combination with some redress under the tort system. Does this combination mitigate the bias against serious harms in the handling of economic losses?

The situations on which to focus are those in which economic losses exceed the limit specified in the plan, whatever that limit may be. The question concerns the fate of these excess economic losses. Assume for present purposes that the plan imposes a relatively high ceiling on awards so that in the vast majority of cases economic losses are compensated in full by the unconditional reparations. Assume also that the part of the common law tort remedy that is preserved will serve for many victims to take care of their economic losses that exceed the unconditional reparations ceiling. A puzzle nevertheless resides in this combination treatment of large economic losses.

The total scheme still appears to discriminate in favor of less seriously injured victims. It seems a fair assumption that large economic losses are associated with more serious auto accidents. Whatever the arguments for compensating victims without regard to fault, these arguments would seem to be stronger in cases where the accident is more serious. The excess economic losses of some victims will not be recoverable because their claims will be ineligible under the liability criterion of the common law. The outcome then of combining the tort remedy and the unconditional reparations of the plan is still that economic losses of the less seriously injured victims will be paid under all circumstances, while the economic losses of some of the more seriously injured victims will be paid only in part.

For the plan with a high ceiling there are further embarrassments in preserving the tort action. Such a plan is designed to replace the tort system altogether in all but the small minority of very serious cases. The arguments made on its behalf have heavily stressed the inadequacies of the existing tort system. These arguments reduce to the complaints that only victims “lucky enough” to be hit by a negligent driver may recover, and that the system carries an undue invitation to fraud. But it stands to reason that high economic loss correlates to the more serious injury. The use of a ceiling on economic loss leaves a higher portion of that loss beyond the coverage of unconditional reparations, the more serious the injury. Thus, the more serious his injury, the more the victim is left to the mercies of the common law tort system, which will be as imperfect as before. It is implausible that the fault criterion for reparation becomes less arbitrary and the invitation to fraud less potent as the injury becomes more serious.

Whether or not the tort remedy is kept open above some level, the use of a ceiling on unconditional reparations involves the plan in discriminating against the more seriously injured victims. This inconsistency might be met in at least two ways: (i) by questioning the justice of paying in full the high economic losses of the more affluent; (ii) by relying on the use of voluntary insurance to cover the excess economic loss.

[IS LIMITED PROTECTION OF “EXCESS” ECONOMIC LOSS JUSTIFIED BY CONCERNS FOR DISTRIBUTIVE JUSTICE?]

The justice question is worthy in its own right and has more than one strand. In contemporary society there seems to be a deep-seated uneasiness about high incomes, and undoubtedly some of this carries over to economic losses that reflect high incomes. People whose incomes are considerably higher than the median are likely, if injured, to suffer economic losses beyond the ceiling of a plan. One need

only reflect for a moment on the \$200,000 a year athlete who is temporarily disabled as a result of an auto accident. A year's disablement results in an economic loss ninety-five percent of which may well be above the limit for a plan, but which may also be twenty times the economic loss for the laborer who suffers comparable injury. This example is admittedly extreme, but is used only to dramatize the strains on any award system that may be generated by the unequal distribution of earned income in society.

At common law the tort system never experienced any qualms in redressing full economic loss regardless of disparities in income levels. It would be unheard of for a defendant to argue that his damages should be reduced because the plaintiff's income was unseemly high! Tort law, engaged in corrective justice, was able to leave matters of distributive justice for other branches of the law to deal with—if at all.

Calling into question the justice of the earned income distribution in society raises a point so powerful that it becomes difficult to know what to do with it. In this context, setting the ceiling on awards under a plan is inescapably perceived as a normative judgment. In a fashion reminiscent of earlier literature on tax justice, the ceiling suggests a distinction between two levels of income. The first level is that which is "normal"—that is, expected to be used in usual consumption patterns; the second level is that which is "surplus." In taxation this distinction was employed to justify taxing the surplus at higher rates; in designing compensation plans the distinction can be used analogously to justify not providing unconditional reparations for economic losses above the ceiling.

Notions of surplus income, whatever their plausibility, cannot be decisive for the handling of all high economic losses in the special case of auto accidents. The stumbling block is the serious disability injury. People with middle bracket incomes surely can suffer injuries producing very high aggregate economic losses. To revert to our athlete example again, a journeyman worker with only one-twentieth of the athlete's income may, if disabled for life, suffer an equally large aggregate economic loss. Indeed, the predominant experience with high awards under the present tort system has not been with injuries to the high income earner, but with serious injuries to the man whose income is not high enough to be regarded as surplus. Designers of high ceiling plans presumably would like to take care of this dominant case of severe economic loss, even when for distributive justice reasons they may not wish to cover losses reflecting merely high earned income.

There would seem to be a practical method for separating the treatment of the two situations. All that need be done is to state the award ceiling not in a single aggregate amount, but rather as a limit on loss of earnings incurred in a given time interval; no limit would otherwise be imposed on the total loss that may be covered by reparations. What is striking here is that a detail of plan design—the ceiling format—turns out to implicate a serious and interesting policy question concerning distributive justice.

[IS LIMITED PROTECTION OF "EXCESS" ECONOMIC LOSS JUSTIFIED BECAUSE VOLUNTARY INSURANCE IS MADE AVAILABLE?]

The other route to justifying limitations on awards for economic loss, under plans with high ceilings, is to rely on the opportunity for the motoring public to voluntarily buy insurance to cover any above-ceiling economic loss. Put this way the analysis may again contain an implicit notion of surplus earned income. The thought seems to be that the high earner, if he is concerned about protecting his economic power in full from accident loss, can afford to take out insurance to cover himself. And if

he does not, there is no reason why society should have any great interest in second guessing his judgment.

This approach runs into serious difficulties too, once account is taken of the sources of high economic loss. The dominant case, as pointed out, will be that of the middle income victim. As to him the suggestion that he can make himself whole by voluntary insurance calls into question the social achievement of the plan.

It calls into question something further—the basic commitment that the plan be compulsory on the motoring public. Consider first the situation of the man with a large earned income. A plan with a high ceiling explicitly accepts and relies on his judgment as to what to do about the possibility of excess economic loss—which may well be the major part of his loss. If we give him the choice of being a voluntary insurer (or a self insurer) of so major a part of his loss, should he not be accorded the same choice with respect to the whole of his loss?

Is the compulsion different if we focus attention on the accident victim whose income is near the median? A high ceiling plan (that is well designed) will be compelling him to insure against substantially all of his economic loss from accident. Granting that most people in the median income range would find such insurance a sensible buy, is this a sufficient basis for compelling those who do not see it that way to buy the insurance? Some, once stimulated to think about first party accident insurance, may prefer to buy some more general form of protection, rather than one confined so provincially to auto accidents alone. Others may not wish to insure at all because they have different risk preferences, as is so often apparent in the case of life insurance. For these people, and others, there is a puzzle about the policy behind the compulsion.

However the matter of compulsion may stand as to those with median incomes, is there any way of at least permitting those with high incomes, as to whom the case for compulsion is weakest, to have a choice? The theoretical merit of drawing such a distinction among income levels need not detain us. There is no way to put it into practice. It is not feasible to isolate those who will be permitted to opt out. We here confront, in the unexpected context of an auto plan, the well-known and formidable difficulties of introducing into the law “a means test”—difficulties that have become so familiar under social security and welfare measures.

[AT WHAT LEVEL SHOULD THE CEILING FOR UNCONDITIONAL REPARATIONS BE SET?]

The discussion of award levels for economic loss is still incomplete. We have been directing attention to plans that aspire to unconditional reparations up to substantial amounts. At the outset in our profile of plans we noted that one category of plans had a different aspiration, not calling for substantial reparation. This difference introduces a new note into the discussion. One of the most intense points in debate over plans concerns this difference. The question is: At what level of economic loss is the unconditional reparation under the plan to stop and the conditional reparation under the common law to begin? On the surface the debate appears to be over a mechanical detail of little theoretic import—should the award limit under the plan be \$500, \$1,000, \$5,000 or \$10,000? But beneath the surface there is posed a fundamental policy choice. ...

There is no need to settle on a definition of a serious loss in order to acknowledge two key relationships. First, the larger the economic loss, the less frequent its incidence. The gravest economic losses occur in only a very small minority of instances. Second, turning to dollar aggregates, a substantial reaction of all economic loss suffered by all victims falls upon the relatively few who are seriously injured. If a

choice must be made, there is a tough issue of locating the principal social problem. Is it more important to take care of the vast majority of auto accident victims—under which premise any scheme which disposes of say 85 to 95 percent of such claims is the solution? Or is it more important to concentrate resources on the minority of seriously harmed victims?

Against this backdrop, polar responses have emerged in the popular debate. On one view unconditional reparations under the plan are seen as the heart of the matter; and whether or not the tort system is kept open at any level is pretty much a minor strategy or a footnote. Predictably, high ceilings are advocated. On the opposing view the tort system, with its traditional merits, continues to be seen as the heart of the matter; unconditional reparations under the plan function simply as a way of disposing expeditiously of losses from less serious injuries. Again predictably, low ceilings are advocated. The tort system remains as the channel for what is seen as the central job—the handling of seriously injured auto accident victims.

Under either high or low ceilings there is an embarrassment. With the high ceiling alternative it proves awkward, as we have seen, to explain why the tort system is left alive at all, and there arises an apparently ineradicable discrimination against victims having the most serious injuries. With the low ceiling alternative it proves awkward to explain the need for introducing a plan at all.

Evaluation of low ceiling plans is dampened because they have been put forward largely by the trial bar. The function of the low ceiling has been viewed with deep suspicion since it preserves the symbol of a plan, while leaving as much of the tort system, and therefore the business of the trial bar, as undisturbed as possible.

It is not, however, altogether implausible that a low ceiling plan would be proposed on its merits. Several lines of argument could be advanced for such a plan. Certain characteristics of small claims make it advisable to exclude them from the tort fault system. It is widely thought that they are unduly expensive to process. The expectation is that internal economies from paying small claims unconditionally under a plan will result in substantial savings. Indeed, it is hoped that these savings will make it possible to pay all small claims for economic loss, whether or not compensable at common law, without any increase in overall insurance costs to motorists. On this approach, it might be noted, pressure to employ a ceiling does not, as it did with the high ceiling plan, come from what we have called the fixed fund or the “insolvency” dilemma.

Another concern, especially prominent in the literature, has been with the overpayment of small claims because of their nuisance value. This, it is often said, injects a major injustice into the distribution of damages under common law settlement practices. It is argued that the simplicity of unconditional reparations under a plan will vastly reduce the nuisance value of small claims and their exploitative potential.

If support for the low ceiling plan is predicated either upon the diseconomy or nuisance of processing small claims, why not eliminate small claims from the tort system altogether? Doing so would certainly remove these evils and with the maximum savings to society. If the tactic is to set the ceiling so as to just catch the small claim, leaving everything else to the common law, the purported goals might be better achieved by dropping the plan altogether and, as the alternative, merely setting a floor for redress under the tort system.

The logic plays differently if the assumption as to the purpose of the low ceiling is changed. Such a ceiling may be explained on the ground that a plan will have done enough if unconditional reparations are made in full for the range of auto accident claims that will be experienced by the vast majority of the public. A major part of the rationale here presumably derives from distaste over asking financially poor victims to handle these losses themselves. But if so, this sharply differs from most proposals

for assisting the poor. It would avoid having the poor manage the injury losses individually by insisting that the motoring poor (like other motorists) pay in advance for insurance to cover such losses. The puzzle that arises keys once again to the fact that the plan is compulsory. Consequently there is the old problem of forcing people by law to do what is good for them. In this version, the lower the ceiling, the more the "official advice" is concentrated on the poor.

Additional questions about the fit of the sumptuary principle readily come to mind. Is there really sufficient justification for being sumptuary on behalf of the motoring poor? Might they not rationally prefer to bear the loss themselves; or, if they elect to insure, might they not choose to cover the unlikely but serious loss rather than the more likely but less serious loss? Can there, moreover, be any justification for applying the sumptuary principle to the small losses of the more affluent? Or are they included only because we cannot design any political way to leave them out while insisting upon helping the poor?

It thus appears that compulsion raises difficulties for both high and low ceiling plans. In either case is it possible to devise ways of screening out those who may not be the objective of the coercion? With a high ceiling, it appears that to reach the objective—to force the middle classes to be prudent enough to insure substantially all their losses—it becomes necessary to compel the upper income people to insure. With a low ceiling, everyone is compelled to insure in order to reach the objective of forcing the poor to be prudent enough to insure their typical losses.

[DOES THE COMMON LAW CONCEPTUALIZATION CONTINUE TO "RULE FROM THE GRAVE"?)

The underlying theme of this Article has been that auto compensation legislation has been proliferated and elaborated to the point where it is now creating its own jurisprudence. Throughout we have recognized that the auto plan is a new institutional concept. Something new has been brought in to replace something old. At the heart of every plan is the replacement of conditional redress keyed to corrective justice, by unconditional reparations keyed to insurance. One might have thought that a change so conceived would have been able to break sharply with the common law and its legacy of traditions, expectations, and concepts. The most interesting impression with which we are left is that the common law, even in the case of the most ambitious plans, still makes its presence felt. Once again Maitland's aphorism is corroborated: auto plans, too, might be said to be ruled from the grave.

On at least three issues the bond is close. The most obvious instance, made explicitly in the public rhetoric, is tying the cost of the new arrangement to the cost of the old. Almost universally the baseline for assessing the cost of a plan to the motorist is provided by the cost to him of the common law tort-insurance system. Use of the common law as a baseline is exemplified again in justifying, with respect to non-contributors, the limitations on reparations. This time the reference is not to what the common law costs, but to what the common law affords as redress. The justification may be seen in terms of "a bargain" in which old common law rights are traded for new unconditional reparation rights—a justification which would be without foundation in the absence of any common law rights. Further, we would hazard the guess that it is this same sense of trade-off of the old for the new which explains why the compulsion of the first party insurance component of plans has received so little attention. In general one would not have anticipated that society was so ready to take for granted the propriety of compelling first party insurance. The sumptuary principle, we suggest, was tranquilly accepted in the auto plan instance because the first party insurance was not viewed as simply first party

insurance. It was viewed rather as the replacement of an older system which itself is “compulsory”—that is, the common law liability system, whether or not accompanied by compulsory third party liability insurance.

ABEL, “A CRITIQUE OF AMERICAN TORT LAW”

(1981) 8 Brit J Law & Soc’y 199 at 208-11

A SOCIALIST APPROACH TO INJURY AND ILLNESS

Just as capitalism expropriates from workers, consumers, and citizens the power to control their own health and safety, offering only an inadequate level of compensation in exchange, so the primary concern of socialism must be to ensure that those at risk regain control over the threat of injury and illness; compensation must be subordinated to safety, if it remains important. This reversal of priorities simply reflects our spontaneous response to danger: surely we think first about the safety of those we love and not whether they will be compensated if they are injured. We do not accept—or perversely welcome—injury because it is accompanied by damages. Furthermore, compensating victims by imposing liability on the causal actor cannot achieve an acceptable level of safety. Even if we remedied all the defects in the capitalist compensation system, raising damages to adequate levels and increasing rates of recognition, claim, and recovery to one hundred percent—and clearly this would require a fundamental social transformation—we would have devised a social democratic rather than a socialist solution to the problem of injuries, one that contains two irremediable and fatal flaws. First we would have spread the cost of accidents across society through a social welfare scheme, whereas what we must do is spread the risk of accidents more equally. True, accidents would then cost the same, regardless of the victim’s identity, and there would be no economic incentive to inflict them on a particular class, race, or gender. But those with greater resources would still be able to buy more immunity from risk and would undoubtedly do so, just as they do now under capitalism. For every social democracy preserves differences of wealth and income that allow the privileged to obtain superior education, health care, cultural and physical amenities—and safety. The social democratic program might better promote the capitalist criterion of allocating efficiency, but it would not realize the distributional goal of equality. Second, the social democratic solution remains paternalistic (like capitalist law, whatever its pretensions to protect individual freedom). The valuation of illness and injury (and the converse, health and safety) is still performed by the state—whether by a legislature, regulatory agency, judge, or jury—and not by the person or group who suffers (or enjoys) it. Respect for personal autonomy demands that the person at risk decide what it is worth to undergo that danger—even bourgeois economics concedes this (which suggests that the bourgeois ideal of optimal efficiency can only be realized under socialism and may not be all that different from the principle: to each according to his needs).

The two requirements of a just approach to illness and injury—equalizing risk and restoring control to those who undergo danger—cannot be satisfied without radical change: in the division of labour (a reduction in specialization and perhaps rotation between hand work and head work, such as occurred during the Chinese cultural revolution and in many intentional communities); and in control over the means of production (which must be transferred from capitalists to workers). The first steps might be forms of cooperative enterprise and worker involvement in improving health and safety in the workplace—not nationalization of industry, which simply substitutes the state for capital. Since both reforms would threaten capitalist

control vigorous resistance can be expected, and is already visible in the Reagan administration's decision to withdraw funding from the national cooperative bank and in its attacks on OSHA. The strength of capitalist opposition may also explain the timidity of unions. But for precisely these reasons, occupational health and safety is an excellent issue for rank and file activists and for organizing unorganized workers. It is harder to see how to equalize exposure to the risks posed by consumer goods and services and by residence (although economic equality and its political and social consequences would advance this goal) and how to empower those exposed to such risks to control their own safety (increased self-reliance may be necessary since consumers are a diffuse category, unlike those who share the same workplace or residential area).

The socialist approach to the problem of safety will still require a response to illness and injury, since these will occur even under socialism(!), although their frequency and distribution will be radically altered. Furthermore, because full attainment of the socialist programme will have to await the overthrow of capitalism it is essential to identify other short-run goals that progressives can pursue as long as there is no reason to believe that these detract from safety or come to be seen as substitutes for prevention. Historically, and perhaps inevitably, there has been a tension between efforts to extend recovery to new victims or new forms of misfortune and efforts to increase the amount of compensation paid to each. Thus both workers' compensation and no-fault insurance for automobile accidents protect more victims but are less generous than tort damages. I believe this is the right choice on grounds of both equity and political tactics. The paramount criterion for a just compensation system should be equality: it should respond to all victims if it responds to any, and the response to each should be equal. The first requirement mandates equality among victims whether or not their misfortunes were caused by fault (their own or that of others), or by human actor at all: those who suffer from tort, unavoidable accident, illness, and congenital disability should be treated alike. After all, that is how we respond to the misfortunes of those we love. The second requirement argues that inequalities of wealth and income should not be reproduced in the level of compensation, for this would maintain those inequalities materially and reaffirm them symbolically. Thus there should be no compensation for damage to either property or individual earning power: those who enjoy privileges of wealth or income should pay to protect them against loss. But if the present system of compensating pecuniary loss treats equals unequally (all people are created equal), compensation for intangibles treats unequals equally (human experience is unique). I advocate an end to such compensation, both for this reason and because I believe that damages for intangible injury dehumanize, substituting money for compassion, arousing jealousy rather than expressing sympathy, and contributing to a culture that views experience and love as commodities. We need, instead, to recreate a society that responds to misfortune with personal care rather than relegating the victim to the scrap heap of welfare and custodial institutions: nursing homes, hospitals, "special" schools, and ghettos for the aged and the mentally ill—the sanitized and less visible skid rows of our society.

Implementing these latter recommendations might also enhance our ability to provide a remedy for all—the first (and primary) meaning of equality. By reducing the amount of compensation paid to any one victim (i.e., by excluding property damage, loss of income above some minimum level, and intangible injury) we would free resources that could be distributed to additional victims. Even more important, the extraordinarily high transaction rates of the present system virtually would be eliminated because there would no longer be any need to adjudicate causation, fault, defenses, or even damages. For the same reason lengthy delays would disappear and

victims would no longer be dependent on, or exploited by, lawyers. The politics of injury would be replaced by the administration of care.

To this end I propose that the state provide comprehensive medical care and a guaranteed minimum income. The first would be broadly defined to include all forms of therapy, rehabilitation, physical aids, special education, etc. The second would ensure a minimum standard of living for all members of the society regardless of why their income was otherwise inadequate. Both state responsibilities are mandated by the fundamental requirements of human dignity; they are a response to all forms of misfortune, not just to traumatic injuries. But this proposal, too, will have its opponents who benefit from the status quo: personal injury lawyers (whose greed and hypocrisy have become notorious), the private insurance industry (endowed with enormous assets and substantial political clout), and those who presently enjoy privileges of wealth and income. These are less formidable adversaries than the capitalist class that will resist the reallocation of risk and worker control over safety (indeed, capital might well favour some of these changes); but they are not insignificant enemies, as the dismal history of recent reform efforts shows. It is essential to recognize the limitations of this plan. It would not greatly alter the existing distribution of wealth and income since the privileged would protect themselves by insuring their property and income expectations. It would not itself encourage greater compassion for the victims of misfortune, although they would less likely become the subjects of misplaced envy. It would not express societal outrage at the victim's wrong, for which purpose a criminal penalty is necessary. And it would do nothing to enhance safety (if there is also little persuasive evidence that externalizing accident costs presently internalized through the tort system would reduce safety). Nevertheless, the proposed response to misfortune would be more humane and just and might allow us to concentrate on safety the energies that are presently dissipated in simultaneously pursuing the often inconsistent goals of compensation and the punishment of moral fault.

ATYIAH, "PERSONAL INJURIES IN THE TWENTY-FIRST CENTURY: THINKING THE UNTHINKABLE"

in Birks, ed, *Wrongs and Remedies in the Twenty-First Century*
(Oxford: Clarendon, 1996) at 1-3, 33-38, 42-44

It is one of the functions of the academic lawyer from time to time to think the unthinkable, and to challenge some of the most fundamental assumptions of our legal system. Few assumptions are more basic than the idea that if someone wrongfully does you an injury you should be entitled to sue him, and to think of abolishing this right without providing any real replacement is to go about as far as one can in thinking the unthinkable. Yet I want in all seriousness to float the suggestion that the action for damages for personal injuries should largely be abolished, and its replacement left to the free market. I shall also offer some reasons for thinking that the next century may well see some moves in this direction.

One of the principal reasons why this whole idea appears so unthinkable is that it confronts two powerful, though to some extent rival, ideologies, at the root of much of the legal system, and of the law of personal injuries in particular. One of these ideologies is, if one may for a moment be a little simplistic, that of the political right. This ideology concentrates on the position of the defendant in a personal injury action, and is rooted in the idea of personal responsibility. ... Everyone must be answerable at law for his own actions, and to think of abolishing liability for personal

injuries is to fly in the face of everything which modern conservatism appears to stand for. The other ideology which thinking the unthinkable also confronts appears to be a form of consumerism. According to this view the victims of accidents causing personal injury are entitled to some form of benefit like a welfare benefit, though it needs to be much more generous than the welfare benefits of the modern social security system. These injuries are often caused, on this view, by large corporations or public bodies who need to be kept in check and made to pay for their misdeeds to the individual suffering the accident. This ideology concentrates not only on the wrong committed by the defendants, but also stresses the position of the injured victim rather more than the rival conservative ideology, but since they concur in supporting the system of tort liability, anybody who proposes to take them both on obviously faces a formidable task. Yet there is an important distinction between them which is crucial to the theme of this paper, and that is that while the conservative ideology of personal responsibility is rooted in corrective justice, the consumerism which underlies the rival ideology is in reality rooted in ideas of distributive justice.

The view I want to offer here will no doubt be seen by some as resting on its own ideology, which will easily be identified as close to that of the extreme right of modern conservatism; but that would be an over-simplification. In some respects I am, on the contrary, moved by a desire to redistribute certain accident costs towards the higher paid classes. In any event, whatever the ideology behind the proposal made in this article, it rests at least upon the realities of the law as it currently operates, and not upon a vision of those realities distorted by the differing ideologies. I can summarise the argument which follows very briefly. The current system of tort liability for personal injuries is not a system of personal responsibility because those who are genuinely responsible for such injuries are hardly ever called to account for the injuries or required to pay the damages. It is actually a system of insurance but a very peculiar kind of insurance system in which those who benefit do not pay the premiums. It thus operates much more like a welfare system in which those who are injured seek benefits under insurance policies which they have not themselves bought or paid for. To this extent I find the consumerist ideology more real than that of personal responsibility, and to my mind this means that the law of personal injuries cannot be defended by moral arguments about corrective justice. In practice it just does not operate as a system of corrective justice but of distributive justice. To justify its fairness or equity, therefore, it must be looked at from the point of view of distributive justice, and from that perspective, it is evident that the whole system is grossly unfair. Efficiency arguments must also be considered from this perspective, and although it is possible that there may be a slight loss of efficiency in some respects if tort liability is abolished, there will be a great gain in other respects because of the restructuring of the insurance markets which would inevitably follow from abolition of liability.

Before proceeding to detailed development of my case, there are a few preliminary points I want to make. First, I am not dealing here with cases of intentional assault and deliberately caused injuries. These raise special issues and I simply put them on one side. My concern is with the run of the mill personal injury accident which arises from negligence or pure accident. ...

Twenty-five or thirty years ago there was a world-wide movement to replace tort liability for personal injuries. The criticisms of the tort system which I have summarised above began to be taken seriously by many academic lawyers and insurance companies, and even some judges and politicians. As is widely known, the reform movement took two basic forms. The narrow option was to deal solely with road accidents and establish a no-fault system of compensation for traffic related injuries. The broader movement, which was at first largely confined to New Zealand and

Australia, was much more ambitious. The famous Woodhouse Report in New Zealand first promulgated the revolutionary idea that personal injury liability in tort should simply be abolished and replaced by a national accident compensation system. The case for it was set out so persuasively and simply in Mr. Justice Woodhouse's Report that many academics, at least, were totally convinced by it, if not indeed, bowled over by the force of the arguments. ...

As everybody knows, there has been a massive, world-wide reaction against bureaucratic welfare schemes in the past decade, much of it fuelled by the unwillingness of voters to return to the high tax policies of the third quarter of the twentieth century. And so far as the UK is concerned there is the additional problem raised by the demographic factors which I have already alluded to [that is, the prospect that the proportion of the population of working age will fall to its lowest level in history]. In the next century the pressures will be stronger than ever to cut welfare benefits more, and to encourage people to insure themselves against more of the risks presently covered by social security. It is virtually certain, for example, that the days of the present retirement pension, payable to all, regardless of need, and regularly uprated against inflation, are doomed. In that context the idea of the personal injury system being replaced by a massive state compensation system is, frankly, absurd. ...

It is against this background that I make my suggestion that the personal injury tort system should be abolished, but not replaced by a universal state compensation system. Instead, we should be willing to leave its replacement largely to the operation of the free market. Now I must immediately qualify this proposal by adding that I do not believe that this idea, sensibly implemented, would be nearly so radical and perhaps even outrageous as it may seem at first sight. ...

First, it is reasonable to assume that many, and perhaps most, people want some insurance protection against the risk of being injured in accidents, and would be willing to pay for it, if it was not paid for by others. But judging by the market for comprehensive motor insurance, for household insurance and for life insurance most people would want coverage for accidental injury on a no-fault basis. People do not expect their life insurance policies to apply only if they die as a result of someone else's fault, and I would not think they would expect accident coverage to be so limited either. So to that extent, most people would want substantially wider coverage than tort law gives them today.

On the other hand, there seems to me to be many respects in which a free first party insurance market for personal injuries would probably be considerably less extensive in its benefits than tort law is today, though perhaps more generous than social security. For example, I would expect to see frequent use of "excesses," that is the insured would be expected to meet his own losses for minor injuries where the loss is perhaps less than £50 or £100. Second, I would expect to see very little coverage for pain and suffering. There appears to be virtually no demand for this in first party insurance, though there are companies who, in some policies like holiday insurance, offer relatively small disability payments or other lump sums for specified injuries (loss of a limb, for instance, or blindness) and no doubt a wide variety of these may be on offer in a free market. I would expect very few people to take them up unless the cost of coverage is so small that it is offered as part of an overall package. Third, I would expect that insurance against medical and hospital costs would virtually disappear. Those who expect to use the NHS for their medical or hospital care would continue to expect to do so if they are injured in an accident. Those who have BUPA or similar private insurance would continue to rely on their private insurer. Not many people, surely, would be content to rely on the NHS for ordinary medical needs, but would be willing to pay for BUPA coverage for accidental injuries. But I would also expect some insurers to offer major and generous benefits for really catastrophic injuries, probably well beyond the kind of thing the public services could provide.

Turning now to income protection, I would expect a free first party market to operate in a very different way from the tort system. First, there are many people who do not need income-protection insurance at all. The retired, for instance, whose pensions will continue whether they are able to work or not, do not need and will clearly not buy income-protection insurance in a free market. Furthermore short-term income protection (for example, for periods of up to six months) is not needed by many other members of the community, such as children, and those who are unemployed and expect to continue unemployed for a substantial time. Nor is it needed by many professional and middle-class earners whose employers would continue to pay them for periods of up to six months or even longer. Long-term income protection may be needed by these groups, but since we know that over 95% of those injured in accidents are able to resume work within six months, it is likely that the market would soon learn to differentiate between the needs of those who want long-term protection and those who need short-term protection. It also seems to me probable that in a free market first party insurance system, earners would be especially likely to insure against the loss of that slice of their income which is needed to cover some of their more important commitments; indeed, this kind of insurance has actually been operating for some years, because anybody who borrows substantial sums of money for consumer expenditure, such as the purchase of a car, is nowadays always offered the opportunity (and sometimes is obliged) to insure against illness or redundancy or other causes of income loss which may jeopardise repayment of the loan. Apart from the extent of the coverage, I would expect the market to introduce some limits on the amount of income to be protected, and naturally I would expect the cost of the policy would vary substantially according to the size of the income protected. Even the really wealthy may choose to insure the first slice of their income rather than the whole of it, if they have to pay premiums proportionate to the amount of income to be protected. In addition, as a purely practical way of cutting administrative costs I would suspect that many insurers may be tempted to make income replacement payments without asking for proof of actual income loss, often a complex and tiresome business. So long as the premium is proportionate to the income insured, the only risk of this procedure lies in the element of moral hazard which insurers may prefer to tackle in other ways. All this would mean that the first party insurer would generally be paying out much less, in these respects, than third party insurers. So that even if coverage is granted for all accidents, the total cost will almost certainly be lower than the costs of third party liability insurance.

The next problem is plainly the really difficult one. Will society be satisfied to leave this kind of insurance to a voluntary market? Will the uptake be sufficient if everything is done on a voluntary basis? Even if the change were heralded with massive advertising campaigns, and (say) distribution of leaflets to householders and employees and motorists, is it not likely that large numbers will not buy the insurance, claiming that they cannot afford it, or that they do not understand it? I have no doubt that this would be the case if everything was left entirely voluntary and the state adopted no role at all. Hard cases would undoubtedly occur and would get massive publicity especially from those who opposed the introduction of the new system. I am not entirely persuaded that this would actually justify departing from the voluntary free market principle. It must never be forgotten that anybody who relies on the tort system today to protect him against the consequences of accidental injury is still leaving by far the greater part of the risk uninsured anyhow. Since so few people buy any first party personal injury insurance today, and since so few people are anyhow likely to obtain damages if they are injured in an accident, most people would not be significantly worse off if tort law were abolished even if they declined to buy insurance for themselves in the open market. Indeed, many people would be

better off because they would be spared some part of the motor insurance premiums which they pay today. All the same, I appreciate that this attitude would probably be unsustainable in practice, and that some degree of interference with a first party market would almost certainly be a necessity. ...

The main advantages of a scheme of this kind seems to me to be these. First, it will save a great deal of money which, from the social point of view, is today largely wasted. The huge administrative costs of the tort system will largely disappear, and although this will no doubt be unpalatable to lawyers, history suggests that lawyers can usually find work to be done. Reduction or elimination of these legal costs will, of course, be especially welcome to the Lord Chancellor and the Treasury, because it will save a great deal of taxpayers' money which currently goes on legal aid. Second, it will vastly improve the coverage against various risks which most people have today. Instead of being offered a small, often a minuscule chance, of recovering enormous damages for some injuries, most people will have a much better chance of obtaining some compensation for those injuries. The compensation will be nothing like as generous as that on offer in the tort system, but it should meet essential needs much more effectively than most basic social security benefits. Third, it begins the job of getting rid of the artificial distinctions embodied in present law and practice between accidental injuries and disabilities from other causes. While I am not offering anything like the wildly ambitious Woodhouse proposals in the Australian report, the shift to personal or first party insurance will, I think, gradually begin the process of getting people to think about insuring themselves against disabilities which arise from non-accidental causes. Fourth, the shift to a free market in insurance will introduce a great deal of consumer choice in an area where it is significantly absent today. Fifth, it will distribute more equitably the burden of many accidents, especially road accidents, where at present the insurance system favours the more highly paid, and penalises the low-paid, the unemployed and the retired. Sixth, it will get rid of the adversarial process in cases like medical malpractice where its disadvantages heavily outweigh any benefits it brings.

I now have to answer some of the more obvious objections which my proposals are likely to encounter. First, it may be objected that I am not offering any general or universal coverage against accidental injuries. What I propose is a system which will operate in patches, and will be full of holes. All kinds of people may fail to obtain compensation for injuries under a free market insurance system of the kind I have outlined.

I cannot deny this, but for the defenders of the tort system to object to a proposed new system on the ground that it is full of holes is certainly a case of the pot calling the kettle black, or to use a more appropriate metaphor, of the sieve accusing the colander of being full of holes. There is no doubt that a system such as I have outlined would cover far more victims than tort law does in practice, and many of those who are not covered would have had the opportunity to buy coverage but would have failed to avail themselves of that opportunity. Further, given the almost certain pressures on the welfare state in the next century for the demographic reasons I have already referred to, it seems to me highly probable that future governments will strain every nerve to encourage the spread of the sort of system I have outlined, once it has been introduced and become familiar.

The next inevitable objection to my proposals is likely to be that I will be depriving many people of their potential right to sue for damages in cases where they may remain without cover under my proposals. What about the "little old lady" who is harmed by a defective drug manufactured, perhaps negligently, by some giant drug company? Am I really prepared to see her deprived of her right to sue without ensuring some adequate replacement? I have to say that the answer is Yes, for reasons

which I have already largely given. But let me spell those reasons out more fully in the context of a specific example, like this one. The little old lady's present right to sue the drug company for damages, assessed as they are in the generous way that tort law uses, appears to me to be very difficult to justify on any moral principle. The actual chemists or employees of the drug company who were responsible for putting the drug on the market in its defective state will not be paying the damages, nor indeed will they have paid the insurance premium for this risk. So arguments based on corrective justice are out of place, unless we can truly think of a drug company as a moral entity, which I find impossible. To my mind, arguments based on ideas of this kind are probably ultimately derived from simple redistributive ideas. But these, too, on analysis, prove to be based on very insubstantial grounds.

The third likely objection to my proposals is closely allied to the second. It will, no doubt, be complained that the benefits I am proposing for much first party insurance will be extremely basic. Nothing for pain and suffering, nothing for medicals (except perhaps for catastrophe insurance) and income replacement which will often be less than the income lost. Yet would such a system of benefits, if the coverage is really widespread, be so very inadequate? Of course, after an accidental injury has been insured, the victim, and (to be fair) many others who sympathise with him, will want and feel that he is entitled to much more substantial compensation. But if a person is asked to make rational choices about these matters in advance I cannot believe that most would not willingly accept more limited but certain benefits, than huge but highly uncertain benefits. Speaking for myself I would be delighted if I and my family could have coverage against risks of this kind at no additional cost compared with the low coverage and high benefits offered by the tort system. And, given the whole thrust of my proposals towards expansion and development of first party insurance in many new forms, if people really want higher benefits they will be able to get them, but only if they pay the price.

IV. THE DETERRENCE PERSPECTIVE

TREBILCOCK, "THE FUTURE OF TORT LAW: MAPPING THE CONTOURS OF THE DEBATE"

(1990) 15 Can Bus LJ 471 at 483-87

Those who advocate the complete or partial replacement of tort law in respect of personal injuries—principally the compensation theorists—argue first that the deterrent function of tort law can safely be assigned to other legal or regulatory instruments. This argument needs to be treated with some caution. Whatever the empirical frailties in the evidence on the deterrent effects of tort law, tort theorists who propose these alternatives have rarely bothered to acquaint themselves with the empirical evidence on the efficacy of alternative control mechanisms. In fact, the evidence on the efficacy of various public control measures in the case of both automobile and industrial accidents is often highly inconclusive and findings on safety effects have often been extremely disappointing.

However, proceeding from their first argument, the proponents of the replacement of tort law then argue that with deterrence and compensatory objectives separated, the compensation objective is best served by new legal arrangements that focus exclusively on the compensation function. Proposals are more or less ambitious

ranging from complete or total displacement of the tort system in some contexts (e.g., industrial accidents, auto accidents, catastrophic mass injuries), to all accidents, a universal disability programme, or a universal minimum income guarantee.

Compensation proposals in each of these contexts present their own complexities, but one central and common complexity warrants special comment: this is the role that safety incentives should play in such compensation schemes. I believe that the argument that this issue can be set aside is fundamentally misconceived, in part because alternative control regimes are highly imperfect, and in part because compensation schemes that ignore incentive effects are likely to prove extremely expensive. In other words, the notion that deterrence and compensation objectives can be separated and addressed independently of one another is untenable.

This issue is well illustrated by the New Zealand Accident Compensation scheme which many proponents of the replacement of tort law hold up as a model, subject only to the criticism that the scheme covers only accidents and not most illnesses and other disabilities. The New Zealand scheme provides for a high level of earnings-related benefits and is financed from flat rate contributions by employers and motorists, and from general tax revenues. In short, no attempt is made to risk-rate injurers in setting contribution levels or to structure benefit levels to provide incentives to victims to minimize the likelihood or magnitude of claims.

The implications of these design choices are easily demonstrated. In the case of non-risk-rated contributions, the Quebec auto no-fault scheme indicates the likely safety effects in an auto accident context. By abandoning age, sex, previous accident and traffic violation experience as pricing variables and charging a standard annual premium to all drivers, high-risk drivers, including young male drivers who were priced off the highways by substantial insurance premiums under the traditional tort private third-party insurance regime that previously prevailed, were now able to afford to drive. Instead of facing annual premiums of perhaps \$2,000 to buy mandatory third-party insurance coverage, these drivers could now obtain coverage for less than \$300. The two recent Quebec studies find that the sharp increase in fatalities after adoption of the scheme was largely attributable to a failure to internalize expected accident costs to drivers through a differentiated premium structure.

In the workers compensation context, employers' contributions in most jurisdictions are determined mostly by industry classification and are not individualized to particular firms. A recent Ontario study found that if individualized risk rating had been in effect, this would have resulted in one company in the automobile manufacturing industry in 1982 receiving a rebate of \$1.6 million, while another firm in the same industry would have paid an additional \$2.6 million surcharge. Shifts in levels of contribution among firms in other industries of comparable magnitude would also have occurred. The author of the study concludes that shifts in contributions of this scale would be likely to have a significant impact on safety incentives.

However, the difficulties of operationalizing risk-rating regimes in many contexts should not be underestimated. With small employers, past accident experience is unlikely to be a reliable predictor of future accident costs. With new workplace substances, whose health effects may not be known for many years, risk-rating contributions may be a next-to-impossible task. Indeed, many of the problems that currently bedevil the tort system in most toxic tort cases—causation and fault—are likely to reappear in another guise in risk-rated, contributory compensation systems.

With respect to benefit levels, high earnings-related benefits raise the problem of what economists call "moral hazard." The concept of moral hazard refers to two classes of situations: *ex ante* moral hazard refers to incentives that insureds face, by virtue of being insured, to engage in conduct that increases the probability of the insured contingency happening; *ex post* moral hazard refers to incentives that insureds face, once in receipt of insurance benefits, to exaggerate their losses or to perpetuate the

state of affairs that qualifies them for continuing insurance benefits. Both forms of moral hazard are present in differing degrees of severity across the landscape of insured states of affairs that comprehensive social insurance schemes would cover, and make it impossible responsibly to sustain in unqualified form the horizontal equity argument that is a central predicate of such schemes. While it may be true, as is often asserted, that no one wishes voluntarily to sustain personal injuries, even if most pecuniary losses are covered, this is not to say that the problem does not exist, at least with respect to an increased propensity to file contrived claims. For example, under the New Zealand scheme, employers are required to provide direct 100% coverage of earnings for a worker's first week off work as a result of an accident or work-related illness. A New Zealand government study reported a 92% increase in lost-time injuries (mostly short-term) by workers in the meat freezing industry following the adoption of the scheme.

If an accident compensation scheme were to be extended to all illnesses and other disabilities, these problems would become even more acute. If illness were to be broadly defined ... to include mental and emotional illness, questions of whether an insured is "ill" in the first place, or if so, remains "ill," so as to disable him or her from working are likely to prove highly problematic. Unless benefit levels are scaled down so as to reflect a significant element of co-insurance, substantial costs are likely to be entailed in some mix of socially unjustified payments and administrative resources devoted to verification and monitoring in order to contain these payments. But to scale down benefits in the case of at least some illnesses relative to accidents implies an acknowledgement that horizontal equity arguments cannot alone determine benefit schedules, but that incentive effects with respect to recipients of benefits are also a relevant consideration. If a comprehensive social insurance scheme were also to embrace other causes of financial deficiency, e.g., unemployment, spousal desertion, and retirement, moral hazard problems of differing severity would dictate even further deviations from a common benefits schedule.

In short, in structuring both contributions to a compensation scheme and benefit entitlements under it, incentive effects cannot be ignored. Moreover, there may well be room for a residual role for the tort system, reflecting corrective justice and deterrence rationales for tort liability in their most powerful form, such as extreme cases of intentionally, recklessly or grossly negligently inflicted injuries resulting in serious and permanent physical impairment. Preserving some residual role for the tort system also ensured some continuing role for tort law as ombudsman in uncovering regulatory failures that require redressing, as in the case of asbestos. The dream of a "pure" compensation system is unattainable if it is accepted that reducing accidents is at least as worthwhile as compensating for their occurrence.

CALABRESI, "THE DECISION FOR ACCIDENTS: AN APPROACH TO NONFAULT ALLOCATION OF COSTS"

(1965) 78 Harv L Rev 713 at 713-16, 725, 733-35, 739-45 (footnotes omitted)

I. INTRODUCTION

I take it as given that the principal functions of "accident law" are to compensate victims and reduce accident costs. Such incidental benefits as providing respectable livelihoods for a large number of lawyers and insurance agents are at best beneficent side effects. The notion that accident law's role is punishment of wrongdoers cannot be taken seriously. Whatever function we may wish to ascribe to punishment in criminal law, it simply will not carry over to civil accident suits. If the time-honored, though somewhat shopworn, distinctions between legal and moral fault and between

damages and degree of culpability which prevail in tort law do not sufficiently demonstrate this proposition, then surely the prevalence of insurance priced on the basis of categories that have little to do with any individual insured's "goodness" or "badness" must. ...

Many recent writers have tended to focus on compensation as the main purpose of accident law. Were this emphasis proper, there would be no justification for limiting compensation to accidents and not spreading it across the board to illness, old age, and all the troubles of this planet. Of course, we do spread compensation beyond accidents to some extent, but it is the fact that we only do it "to some extent" that is crucial. Why is compensation for illness—even in highly welfaristic countries—much less complete than compensation for accidents? And why is the accident field kept a separate entity, where methods that achieve a fair degree of compensation spreading are used, but which would be woefully inefficient if compensation spreading were the only aim? Surely, if the type of cost reduction with which we are concerned is solely or principally that accomplished by diminishing secondary costs—social and economic dislocations—then a generalized system of social insurance covering all types of severe injuries would be the only efficient system.

The answer is that accidents are not the same as diseases. There are ways to reduce the primary cost of accidents—their number and severity—that can, indeed must, be an important aim of whatever system of law that governs the field. One way is to discourage those activities that result in accidents and to substitute safer ones for them. Another is to encourage care in the course of an activity. "Activity" and "care" are not, of course, mutually exclusive categories. If "activity" is defined narrowly or if "care" is broadly viewed, the concepts tend to merge. The activity of driving is not thought to be careless although a predictable number of accidents result from it. Driving through a busy intersection without brakes is careless and not an activity. Between these relatively clear cases the distinction becomes more difficult, as, for example, navigating without radar. In addition, an activity may properly be defined as the doing of something by an actuarial class, which may tend to do it carelessly. Treating the problems of accident law in terms of activities rather than in terms of careless conduct is the first step toward a rational system of resource allocation.

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IV. WHAT IS A COST OF WHAT ACTIVITY

The difficulty of deciding which costs are relevant is painfully apparent. When compounded with the problem of deciding what costs are allocable to which activity, the game of deterring competing accident-causing activities by making their prices reflect their full cost and letting the market decide may well seem not worth the candle. Why is it sometimes thought that a heart attack is caused by an automobile accident and sometimes by the victim's occupation? Is a pedestrian–auto accident to be attributed to driving or walking? Despite their familiar ring, these questions are not meant to herald a metaphysical search for ultimate causes. Rather they must be approached in terms of a "social cost accounting" system, in which activities are made to bear their costs in pursuit of sounder resource allocation.

The methodology involved in finding the accident costs of an activity is deceptively simple. The cost of any activity, *A*, includes the sum of the cost of accidents in which *A* alone is involved and some part of the cost of all other accidents in which *A* is involved with other activities. Solving the problem is more complex. A solution requires that criteria be evolved for apportioning the cost of an accident among those activities that caused it. There is no formula for allocating the cost of an accident among the activities involved, as there is no such formula for allocating overhead

costs among activities that share the same facilities. One is reduced to making guesses in light of the goals of the system, as do cost accountants and regulatory agencies. When the system extends to the whole of society, the goals become harder to define and the guess more open to error. A cost accountant for an oil-drilling company need not study the effect on the rest of the economy of buying extra equipment needed to recover gas as well as oil. A student of accident law cannot *a priori* neglect the effects of discouraging driving on, for example, walking, busing, and cycling. ...

[Calabresi first deals with bargaining situations, where it does not matter which of the two activities initially bears the cost, because the proper allocation of burdens will be worked out through the bargaining process. He then turns to the idea of subcategorization.]

It is better to apportion the accident costs among subcategories of drivers on the basis of the accident proneness of the category rather than to charge the accident costs equally to all drivers. If driving's share of auto-pedestrian accidents is paid by a set tax on driver's licenses, some desired deterrence on driving would be achieved. This allocation of costs, however, fails to distinguish between driving old cars and new cars, and the best way of reducing accidents (the cheapest way in terms of the choice for accidents) might be to reduce driving somewhat but to shift most driving to newer cars.

I shall not discuss now how far we can go in subdividing activities in allocating accident costs. Suffice it to say that there comes a point where the cost of further subclassification is greater than the worth of the choice offered, and that in practice it is possible to find that point. Indeed, in the context of subclassification for fault proneness, insurance companies make exactly such a decision every day when they charge higher rates for unmarried male drivers under twenty-five but do not break this down into unmarried male drivers of twenty-two and seven months as against unmarried male drivers of twenty-two and eight months.

The point is simply this: were there no costs involved in subclassifying activities, it would always be best to put the accident cost of an activity on its smallest subcategory. To the extent that the subcategory has the same accident proneness as another subcategory, no choice between these subcategories would be affected nor would one be desired. To the extent that subcategories were differently accident prone, some movement to the safer ones would result because the greater real cost of the more dangerous one would be reflected in its price. In either case, the activity of which both were subcategories would automatically also reflect its own accident proneness relative to other safer activities. Instead, if the costs were allocated solely to the larger category or activity, any possible "general deterrence" at the "subactivity" level would be lost.

Thus, although it is unclear whether an accident cost is attributable to driving or walking, in terms of general accident deterrence it is better to allocate it to one or the other or both than to pay it out of general taxes. And to the extent that the cost is put on these activities, further subclassification by drivers, type of cars, and the like, causing people to shift from the more accident-prone subclassification to the safer one, will bring about minimization of accident costs.

In this sense, then, the problem of "what is a cost of what" is further diminished. For even in a nonbargaining situation where accident costs are not readily divisible between the activities involved, it is clear that placing the costs on them is better than externalizing the costs. ...

[Calabresi then turns to situations where there is no hope of influencing one of the activities involved in an accident.]

Thus, if it is clear that pedestrianism is ineluctably here and nothing much can be done about it or its habits, and our concern is whether it is better to have driving or busing or how much of each and what kind of each, then it is proper to consider as part of the costs of cars and buses the added accidents they each bring to a pedestrian's world.

[Calabresi then outlines his idea of "involvement."]

Despite the lack of any inclusive theoretical basis for apportioning the cost of an accident among the activities involved, substantial guides to the allocation of costs in a nonfault system of accident law have been shown to exist in many situations. Yet a great many cases remain in which there are no rational criteria for dividing the accident costs among the activities involved. A straightforward, if rough, solution for these cases is possible. The cost of each accident might be divided pro rata among the activities involved and then cumulated for each activity.

For example, if a car and a pedestrian are involved, the cost will be split between driving and walking. If a car, a pedestrian, and a cyclist are involved, then the cost will be divided three ways. If a cost can be allocated between two of the three according to any of the previously derived criteria, then this will be done for two-thirds of the cost and the third activity will bear the remainder. At the end of any given period of time, those activities that are involved in more accidents or in more expensive accidents will bear the greater proportion of all costs. According to theory, safer but formerly more expensive substitutes will replace more dangerous activities as these are made to bear their costs. Even if categories are initially defined in terms of factors that are not related to accident proneness, this defect will eventually work itself out of the system.

Thus, if everyone drove blue cars and cars were involved in all accidents, then driving would bear a large part of all accident costs. Walking, cycling, and the like would bear the rest. If somehow "blueness" were thought significant, a shift from blue to red cars would occur; but since it would not help to reduce accident costs, the mistake would not persist. If a shift from big cars to small cars would reduce costs, then such a shift would be forthcoming to the extent that the cost differential between small cars and large cars was magnified by the previous year's cost allocation.

This method allows for special treatment in cases where the more exact criteria for allocating costs exist, while dealing with all other situations in terms of the preponderance of involvements. Its basis is the assumption that although criteria for allocating costs cannot always be found, criteria for determining involvement can. Again, it is necessary to warn that activities are not treated as "involved" in order to round out metaphysical notions of causation, but rather to make comparisons between potential substitutes more meaningful. It does not further this purpose to treat each *sine qua non* cause as involved in an accident. For while in most accidents there will be among the *sine qua non* causes some activities that may profitably be compared with substitute activities, there will also be other such *sine qua non* causes not worth comparing. This may be because: (1) there are virtually no substitutes with less accident-causing potential; (2) the activity and its substitutes will appear so infrequently in such accidents that any cost allocation to them could have no significant effect on choice; or (3) placing the cost on them initially would result in having the cost removed and externalized from all the causes.

Determining which causes are to be excluded as coincidental will not always be a simple proposition. For example, suppose a car and a pedestrian collide, and the driver notes that he was distracted by a low-flying plane. In the normal course of

things, planes will not be a sufficiently significant cause of car–pedestrian accidents to be worth bothering about. If, however, a fair number of accidents were to occur near airports, and enough of them involved distraction by a plane, then it might be worthwhile considering planes as involved. In that case, the accumulation of these costs and other costs caused in part by airport noise might induce installation of noise-diminishing devices or relocation of airports. The point is that often it will not be enough to look at the immediate case, but instead it will be necessary to discover whether an apparent coincidental cause is similarly involved in other types of accidents.

In other words, “involvement” is a term of art designed to include all those factors that are part of an accident and that may be replaced by substitutes with a substantially different accident potential. It includes those factors that are “typical” of an accident while ruling out those that are “incidental.” Although the example shows that typicalness and incidentality are not altogether easy notions, they are probably workable.

V. CONCLUSION

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I have suggested that usually in our society, decisions on how much we want to deter accidents are made in a way that combines market choice and collective political judgments. My feeling is that this choice can be made more effectively through a system of accident liability based on accident “involvement” instead of fault, combined with a system of criminal and semicriminal penalties for specific behavior, and overseen by collective political judgments on the desirability or undesirability of certain activities regardless of the market.

When we are dealing with deterrence of activities that have some social usefulness but that cause accidents, the first step toward deciding how much of these activities is wanted can still, in a substantially free enterprise society, be best determined by the market. There are simply too many such decisions to be made collectively in any intelligent fashion. However, in a wide and perhaps growing area, we are dissatisfied with letting a purely market determination of social usefulness rule. This is because of the inherent inexactness of both the market mechanism and of any estimate of accident costs and to whom they belong. It is also because in a growing area we are becoming convinced, whether rightly or wrongly, that individuals do not know what is best for themselves. For both these reasons, some degree of subsidization or deterrence of activities based on collective decisions overruling the market is inevitable and probably desirable. Such decisions—like that to subsidize drivers over seventy, or to bar drunken driving—are, however, best made openly and in the face of the market decision, so that it is clear to us when we make such decisions that what we are really saying is, “In this case considerations *other* than individual choice among alternatives are paramount and supersede individual choice.”

I do not, with all this emphasis on “general deterrence” of accident-causing activities, foreclose the specific deterrence that, it is often asserted, fault liability brings about. I simply believe that the best way to bar groups of acts that we feel politically are sufficiently bad that they should be barred regardless of their market usefulness is not through a “fault” system connected with insurance devices that remove most of the desired specific deterrence. Instead, the way to effect such a political judgment is through criminal or semicriminal penalties.

In elaborating such a “general deterrence” approach I have spent a great deal of time on the very difficult problems of what the costs of accidents are and to whom

they belong. I have done this from the point of view of general deterrence and not at all from the point of view of compensation. This is simply for clarity and not because I would slight compensation as a goal of accident law. I will readily admit, however, that if compensation were the only goal, then by far the most effective and efficient method of accomplishing it would be through a system of general social insurance, which would externalize the costs of accidents from any market decisions.

Social insurance, however, is not likely to be the solution if we are interested in the “savings” brought about by general deterrence, as well as the savings brought about by compensation. In fact, if it can be shown that a system is available that combines a substantial amount of general deterrence with an adequate degree of compensation, that system may be far better than either social insurance or an optimal general deterrence scheme.

The result is that we may very well be influenced in the division of accident costs, between autos and pedestrians say, by compensation motives. If we are in doubt about the proper division of costs, or which are the important comparisons from a general deterrence standpoint, it may well be proper to make the division in a way that accomplishes compensation (risk spreading) best. For in such a case little general deterrence savings would be lost through such a move, and substantial compensation savings gained.

Indeed, it would be the height of foolishness to establish a system—even a perfect system—for market general deterrence if this system were so unpalatable on compensation grounds that it would soon be replaced by social insurance in order to accomplish compensation. And this, of course, is another problem with fault liability. For even if it accomplished general deterrence as well and as cheaply as an “involve-ment” system (which I believe it does not), it is—apparently—so undesirable from a compensation point of view that it is constantly under attack.

This attack leads too often to the simple alternative of social insurance. Such a result would eliminate even the attenuated general deterrence that the fault system accomplishes, and therefore would substantially decrease the range of informed individual market choices with respect to activities and accidents in our society. In other words, if we stick too obstinately to a system that gives us some but not very effective general deterrence but very poor compensation, we may find that we end up with a system that gives us no general deterrence, or market choice on accidents, in exchange for a perfection in compensation we may neither want nor need. This would be so despite the fact that a little work can develop a modified enterprise-liability approach that would give us better general deterrence than fault and as much compensation as we want.

Ultimately, of course, the problem of what we will do in this area reflects a much broader problem. For here, as so often, we are faced with the fact that a time-honored system (fault) fails to satisfy a modern demand (compensation). We can react to this by dividing into hostile “conservative” and “radical” camps with the result that either nothing gets done or we abolish everything about our previous system, and set up one that meets the demand regardless of its other consequences (social insurance). Alternatively, we can work to see if there are other ways to retain what we believe is fundamental in the old, and yet adequately meet the demands it failed to satisfy. I believe that somewhere in a nonfault enterprise-liability approach, combined with tort or criminal fines for some specific acts, such a satisfactory middle ground exists. I also believe that the finding of such middle ground is the mark of a legal-political system that works.

**BLUM & KALVEN, PUBLIC LAW PERSPECTIVES ON A
PRIVATE LAW PROBLEM: AUTO COMPENSATION PLANS**

(Boston: Little, Brown, 1965) at 57-65, 68-70

The third—and surely the most important—meaning of the superior risk bearer formula is that enterprises should pay their own way. Beginning with the celebrated analyses of vicarious liability a generation ago, a whole series of legal problems have been re-analyzed from this perspective. Under this approach those interested in law in effect turn to the economist for advice in the expectation that the economist's analyses regarding the allocation of costs will aid the law in reaching determinations on the allocation of liability. As far as we can tell, many in the legal world have thought that the concept of an enterprise paying its own way offers a sufficient bridge into the world of economics. They hear the economist talking about proper and improper allocation of costs and understand him as saying that an improper allocation of costs leads to an uneconomic and impolitic result. The lawyer's expectation is that by translating the liability issue into a question of costs, he can draw on the expertise of the economist to reach a proper allocation of these costs.

But if the economist is patient and candid, the lawyer will find his great expectations shaken. The economist will point out that the allocation of costs is not a matter of giving a description of the facts of the economic order, as the lawman seems to have thought. Rather the allocation of costs is always avowedly instrumental. Only if we specify the goals can the economist tell us what is the proper allocation of costs.

But the possibility of getting help from the economist does not end so abruptly. The lawyer may well find congenial two goals which are commonly found in the writings of economists: (1) It is desirable to arrange matters so that as many decisions as possible about the use of resources are made responsible to realistic voting by the consumers of goods and services; (2) in satisfying the votes of consumers, given the existing distribution of wealth and income, it is desirable to maximize output through achieving the most efficient combinations of resources. Using these goals, the economist is now able to say something significant about allocating costs. It is desirable to have consumers confront as realistically as possible the costs of activities in choosing among alternatives. And it is preferable to place costs strategically on those whose decisions can affect the magnitude of the costs. The first injunction will tend to make the allocation of resources in the society conform to the free choice of the members expressed through the market. The second injunction will tend to hold down waste and maximize efficiency in producing the goods and services for which the consumers have voted.

Assuming that we accept these twin goals as stating an attractive public policy, what advice can the economist now give us about resolving liability issues? ...

Let us suppose that a certain radioactive material on the face of a wristwatch dial causes skin damage to some persons who wear the watch. The important characteristics of this situation are that users of the watch acquired the product in voluntary market transactions with the manufacturer and that only users of the watch are exposed to the harm. Thus the universe of consumer voters and the universe of potential victims coincide.

In this situation the economist can add a major insight to what the lawyer might normally perceive about the relationships involved. If the law imposes liability for the harm from the watch dials on the manufacturer, that cost ultimately will be reflected in the price of the watches and hence the cost will be borne by the consumers of the product. Legal writing in recent years has picked up this point and often

takes the position that, whenever possible, liability costs should be placed on an industry in order to achieve such wide distribution of loss. This, however, is only half the story as the economist tells it. If the law does not impose liability on the manufacturer of the watches but leaves it on the consumers, the result would again be that consumers as a class bear the loss. The risk of harm from using the watch, it may be assumed, will be known to users and they will regard it as part of the cost of the product. Therefore whether liability is placed on the industry or the loss is left with consumers, the economy will be equally responsive to consumer voting and consumers as a class will cast the same vote. The law's choice of liability rules thus would seem to have no impact on the allocation of resources in the society. To the economist, the choice of legal rule for this situation might seem *prima facie* to be a matter of indifference.

On further analysis this is not quite the case. But the difference in consequences is not what the lawyer might have expected. Placing liability on the industry is tantamount to compelling the consumers to buy insurance against the loss through paying a higher price. The outcome would be that each user would purchase not only the product but also insurance against harm from the product, in much the same way that today he frequently is forced to purchase "free" trading stamps. This obviously is a sure method for bringing about total insurance coverage against the harm for all purchasers of the product. For a variety of reasons it can be argued that the coverage would not be the same if the law were to leave the loss with consumers. As a practical matter, accident insurance may not be available for so narrowly defined a risk; the consumers may perceive the risk of harm differently than does the industry; and many consumers may deliberately elect not to insure themselves. But such differences in insurance coverage need not lead us to the conclusion that it is better policy for the law to place the cost on the industry. For one thing, this automatic form of compulsory insurance in effect provides every consumer with the same coverage at the same price. It therefore cannot adjust adequately to the differing insurance needs of individual consumers of the product, with the result that some will overpay and others will underpay for protection. And, more important, like any form of compulsory insurance, it deprives the consumer of his own choice as to whether he wishes to carry insurance.

While considerably more could be said about the competing considerations in this situation, what is arresting for us is that the whole issue turns on the merits of compulsory accident insurance. The statement of the policy issue now has an unfamiliar ring. In the end the argument for strict liability turns out to be that it provides the most strategic method for compelling accident insurance.

Having stayed with the economist this far, and perhaps having been reassured by learning that so little depends on the choice of liability rules, we come back to the problem of auto accidents. Does the same analysis hold? If it is thought to be a good idea to place the cost of radium dial injuries on the industry to spread losses, is it not an equally good idea to place the cost of auto accidents on car manufacturers or motorists?

The economist will tell us that here the choice of liability rule may entail consequences of a different order. In his scheme of things, the injuries caused by autos and the radium dial injuries involve intrinsically different situations. Unlike our watch illustration, the risk of harm from autos is not confined to those who buy and drive cars, but includes also those who are strangers to the marketing and use of autos. Insofar as this is true, the cost of auto accidents will not inescapably be borne by motorists through the voluntary act of purchasing or driving a car. The upshot is that under the economist's value system it will make a difference where the law places the loss. If placed on motorists, the loss becomes a cost of driving. If left on

victims, the loss is what the economist might call an “externality” to the auto industry—a cost of society but not one to producers or users of cars. The size of the auto industry, and hence the allocation of resources, can be expected to be materially different under the two alternative legal rules.

At this point it would appear that the economist does find the legal question significant, and that here, unlike the radium watch dial case, the law can make a mistake in economics. But once again the promise of a decisive contribution from economics to legal policy slips from our grasp. In order to know when the law distorts consumer voting in the allocation of resources, we must first know which group of consumers should properly confront the cost of auto accidents. If auto accidents are properly a cost of using autos but the law elects to leave auto accident losses on the victims, there will be a resulting distortion in the allocation of resources. If auto accidents are not properly a cost of using autos but a cost of some other activity—perhaps of living in general—and if the law elects to shift auto accident losses to the users of autos, there will be a comparable distortion in the allocation of resources. In this perplexing situation can the economist advise us where the costs of auto accidents properly belong? The answer seems to be no. Nothing in his analysis can inform us whether it is less arbitrary to place the auto accident losses on the drivers or to leave them with the victims. Economics, in short, cannot tell us under which legal rule we run the larger risk of distortion.

The root difficulty here is simple and can easily be illustrated by juxtaposing pedestrians and motorists. Whatever can be said about accidents being a consequence of the activity of driving can be said with equal force about accidents being a consequence of the activity of pedestrianism. It is true that we can make a statistical statement that for every so many autos on the road there will be so many auto accidents. But the embarrassment is that one can just as correctly make a statistical statement that for a certain amount of pedestrian activity there will be so many auto accidents. Auto accidents appear to be impregnably a cost of multiple activities.

We seem then, and all too quickly, to have reached an impasse where we cannot use the economist's criteria to resolve our liability issue. ...

We have been testing alternative legal rules primarily in terms of responsiveness to consumer voting. It is time to deal more directly with the other major goal of economists which at the outset we accepted—maximizing efficiency in satisfying wants by reducing unnecessary costs or waste. For this purpose the important consideration is bringing about the largest net reduction in costs for the entire economy while it responds to consumer demand. In the auto accident situation the question becomes whether the choice of liability rule will make a difference in total costs. This depends not only on whether, as a result of a given rule, there will be a reduction in accidents, but also on how expensive the means used to accomplish this reduction will be. In these terms the argument for putting the loss from accidents on motorists is that it will hold to a minimum the total net costs of accidents to society.

This thesis, although stated in economic idiom, reintroduces us to an old legal friend—deterrence. Generally speaking the law has not taken very seriously the possibility of deterring with tort sanctions. While imposing liability on drivers might cause some people to decide not to drive at all, the law has not been sanguine about the impact of liability on the specific driving behavior of those who do drive. Even apart from the complications introduced by liability insurance, legal commentary has long emphasized that the driver's own personal safety is almost certain to be involved in any accident and that financial liability on the driver is not likely to add materially to this natural sanction. It is quite possible that legal commentary has come to this conclusion too quickly and that there are many situations in the auto world in which imposition of liability adds a significant stimulus to prudence on the

part of motorists. But there is no need for us to pursue further the troubled issue of deterrence; it is more profitable to turn to other aspects of the economist's quest for a liability rule that will hold down waste.

A major difficulty here is that the thesis requires predictions about behavior of two populations and not just one. It is not enough to predict that if liability is placed on drivers they will act somewhat differently and that there will be a net reduction in costs. This prediction must be weighed against a companion prediction about the reduction in costs if losses are not shifted to drivers but are left on victims. Conceivably investigation might some day establish that there would be a significant difference in the cost reducing potential of those two alternatives for handling accident losses. But surely today no one claims to know this much about the behavior sequences which would be involved. If we are to resort to armchair guessing, the considerations on the one side seem closely balanced by those on the other.

In seeking to use the waste reducing criterion, we have been posing the liability issue in the broad terms of whether all auto accident losses should be placed on drivers or whether all losses should be left on victims. The precise issue is much narrower. Many losses today are shifted by the common law to drivers; what we are seeking to find in economics is whether there is justification for shifting the remaining losses onto drivers. Until now we have considered deterrence without distinguishing between the possible impact of liability rules on faulty conduct and on conduct without fault. Whatever little we may know about deterrence, it seems plausible that liability rules will have a more marked impact on accidents due to fault than on those not caused by fault. If this is accepted, the common law appears to have reached a solution which the economist might find very bright indeed. Offhand, the common law, with its negligence and contributory negligence rules, seems to be maximizing the waste reducing potential of liability rules. It presents inducements to both drivers and potential victims to be careful.

As a final observation on the quest for a liability rule which will most economically reduce waste, it may be asked whether this is, in the end, a prudent way of looking at liability problems. In its efforts to reduce harmful behavior the law, of course, is not limited to tort sanctions. In the auto field we can and do use criminal penalties and licensing controls on drivers. Their availability affects the analysis. If, for example, the case for strict liability on drivers on waste grounds rests in part on the prediction that it will tend to keep poor drivers off the roads, the argument becomes much less persuasive when the availability of these other sanctions is taken into account. Compared with the alternative sanctions, tort liability conceivably might turn out to be the most expensive, as well as the least precise, way of holding down waste due to accidents.

This extended excursion into economic analysis has accepted the twin criteria of having consumers confront proper cost alternatives in casting their votes, and maximizing output of goods and services in response to those votes. It is worth emphasizing that the difficulties we have been experiencing in finding economic clues for legal policy have all arisen in applying these criteria to the problem of allocating liability for harms. We now turn to ask whether these two economic criteria standing alone can ever provide a sufficient definition of public policy for the law.

The economist would be the first to warn us that his criteria may not be sufficient for the law. In addition to the goals he has considered, there is a basic question of equity that the law cannot escape the obligation to answer. In simplest form it is, who should be made poorer as a result of an accident loss? On this issue the economist once again will find helpful the distinction between inescapable user costs involved in the radium watch dial situation and auto accident injuries which can be externalities to purchasing or using a car. In the former case the economist can

reassure us that, as between consumers of watches as a class and the watch industry, the choice of legal rules as to liability does not pose an equity problem since the cost cannot be taken off the users. In the latter case the economist will confirm what the law has long recognized—that its choice of liability rule will make either victims as a class or motorists as a class poorer. This issue of justice is one on which our hypothetical economic adviser takes no position. Yet there might well be a conflict between pursuing the economist's two goals and satisfying a sense of justice in distributing economic goods. Even if it could be shown that putting the cost of all accidents on drivers would minimize the net cost of accidents, the justice of making motorists as a class poorer would still be open to serious challenge.

In retrospect, the harvest from being patient with economic analysis proves to be somewhat ironic. In the situation in which his analysis is most refreshing, the economist tells us that the liability issue is not worth arguing about except possibly as a strategy for compulsory accident insurance; and in the other situation, where he stresses that the legal rule does affect the allocation of resources, his analysis at best yields indecisive clues as to the proper answer. To exaggerate only a little, when the economist is helpful he says that the legal problem is not worth arguing about; when he finds the legal problem consequential, he cannot be helpful in fashioning a solution. And in any event, the two criteria borrowed from him do not profess to touch issues of equity that are the ultimate concern of the law.

It will be recalled that one economic goal we accepted was having consumers face up to proper full costs in choosing among alternatives. The argument has been advanced that insurance succeeds not only in spreading costs but perhaps even more significantly it also succeeds in educating users about costs. On this educational feature it might be possible to suggest another rationale for placing the cost of the additional coverage under a plan on motorists. In discussing the goal of realistic consumer choice, we pointed out that regrettably it was impossible to tell whether the cost of an accident not due to the fault of the driver was a cost of using autos, or of being a pedestrian, or of just living in society. Assuming a wide use of liability insurance the new proposal would be to place some fraction, say one-half, of such cost on motorists in order to confront them with it as a cost of operating a car. The assumption is that it is plausible that some part of the cost of all auto accidents belongs to motoring as an activity, and that we cannot be far wrong if we settle for one-half. It is then argued that consumers are presented with more realistic cost alternatives where half of these losses is made a cost of motoring than where none is, especially since a car is involved in all auto accidents while pedestrians or other factors need not be present in every instance.

Such arguments are ingenious but not persuasive. The whole point to this aspect of economic analysis is that resources should be allocated in response to consumer voting and that the allocation should not be distorted by confronting consumers with improper cost alternatives. Assigning some arbitrary fraction of accident losses to motoring does not necessarily reduce such distortion. It might sound prudent to split the loss in two, but there is no way of knowing whether charging motorists 50% of the loss brings about more or less of a distortion than would charging them nothing for losses—or charging them everything.

It will also be recalled that a second economic goal which we accepted in our prior analysis was that of maximizing output through minimizing waste. In the matter of auto accidents, pursuit of this objective would dictate placing the cost of accident losses on that class of persons who would take steps to reduce accidents by the least costly means. We recognized that this was simply a different way of approaching the not unfamiliar problem of deterrence. We concluded that tort sanctions probably had little impact on the quality of driving conduct; but we observed

that if deterrence of accidents were taken as a serious goal for liability policy it appeared that the common law combination of negligence and contributory negligence was most likely to maximize whatever deterrent potential there might be. We have now reached a convenient place to consider what bearing use of liability insurance has on these possibilities for reducing waste.

The obvious point is that insurance may dampen whatever stimulus to deterrence there may be in liability rules. To the extent that the pooling of risks for insurance purposes homogenizes insureds, as it does by and large under current practices, it can only blunt the impact of liability on driving conduct. But, at most, all that such considerations do is to weaken a very faint argument on behalf of the fault liability principle. They in no way strengthen the affirmative case for a compensation plan.

Such discussion serves to remind us once more that there is much room for experimentation and greater daring in setting insurance rates for the sake of creating more deterrent impact. From time to time insurance companies have experimented with classifications based on safe driving histories so as to give rate discounts to drivers who have good records from an insurance point of view. A well established English practice has been to offer a discount to a motorist where there has been no claim against his liability policy over stated periods, with the discount increasing for each successive claim-free period. Certain companies in the United States have experimented with a demerit point system based on the presence or absence of moving traffic violations. Recently there have been suggestions that deterrence might be increased by use of a mandatory deductible provision which would take loss off the victim but leave part of it on the negligent driver. In general, however, the whole experience in the United States with such rating devices has not been very encouraging. Premium differences have, for the most part, been relatively small and unglamorous, and further elaboration along these lines, it is feared, may tend to complicate or embarrass the insurers in the ready marketing of their product. The rate differences, moreover, have usually been in the form of reductions in premiums for safe driving and have been advertised and understood as rewards and not as penalties. We suspect that these differentials serve not so much to affect driving conduct as to establish fairer rates for those who are the careful drivers anyway. But whether or not more effective arrangements can be devised, the topic has little bearing on the main theme of our analysis. The potentiality for differentiating premiums in terms of safe driving in no respect depends on changing from the common law system to a compensation plan.

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